REPUBLIC OF KENYA

Office of the Controller of Budget

Budget Oversight for Transparency

COUNTY GOVERNMENTS BUDGET IMPLEMENTATION REVIEW REPORT

FIRST NINE MONTHS OF FY 2025/26

MAY, 2026

Office of the
Controller of Budget

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FOREWORD

I am pleased to present the County Governments Budget Implementation Review Report (CBIRR) for the first nine months of FY 2025/26. This report provides a detailed analysis of the budget performance of all forty-seven County Governments, reviewing receipts to the County Revenue Funds and County Assembly Funds, exchequer releases as approved by the Controller of Budget, expenditures, and absorption rates relative to approved budgets. It also tracks trade payables and receivables, shares key findings from the monitoring exercises undertaken by this office during the financial year, highlights the main challenges encountered during budget implementation, and offers practical recommendations for improvement.

This report has been prepared in accordance with Article 228(6) of the Constitution, which mandates the Controller of Budget to submit a report on the implementation of the budgets of the National and County Governments to each House of Parliament every four months. It also complies with Section 9 of the Controller of Budget Act, 2016, which prescribes the contents of budget implementation reports, and fulfils the reporting requirements set out in Section 39(8) of the Public Finance Management Act, 2012.

The compilation of this report involved a thorough review and analysis of self-reported financial and non-financial data from County Governments, including submissions made to the Controller of Budget under Sections 166 and 168 of the Public Finance Management Act. Data from the Integrated Financial Management Information System and the approved FY 2025/26 budgets were also utilised. The findings were further enriched by findings from the monitoring and evaluation exercise undertaken by this office.

This report will be valuable to the legislative and executive branches of County Governments and the public by fostering greater awareness of budget implementation and supporting the effective management of public funds. I encourage all stakeholders to use this report to assess how County Governments are utilising public resources critically.

The preparation of this report was made possible by the dedication and hard work of the Controller of Budget staff and County Government personnel, whose contributions I gratefully acknowledge.

The report is also available at https://cob.go.ke/.

FCPA Dr Margaret Nyakang'o, CBS

CONTROLLER OF BUDGET

EXECUTIVE SUMMARY

This report presents the County Budget Implementation Review Report (CBIRR) for the first nine months of FY 2025/26, covering July 2025 to March 2026. It is prepared pursuant to Article 228(6) of the Constitution of Kenya, 2010, and Section 9 of the Controller of Budget Act, 2016. The report analyses budget implementation across all 47 county governments during the reporting period, with emphasis on revenue and expenditure performance, key implementation challenges, and priority recommendations.

The forty-seven county governments approved budgets totalling Kshs.633.30 billion for FY 2025/26, comprising Kshs.234.33 billion (37 per cent) for development expenditure and Kshs.398.97 billion (63 per cent) for recurrent expenditure. This allocation complies with Section 107(2)(b) of the Public Finance Management (PFM) Act, 2012, which requires at least 30 per cent of total budgets to be allocated to development initiatives.

To finance the FY 2025/26 budget, the county governments expected Kshs.415 billion from the equitable share of nationally raised revenue, Kshs.100.13 billion from ordinary own-source revenue, including Kshs.30.12 billion from the Facility Improvement Fund (FIF) and Appropriation in Aid (A-in-A), and Kshs.71.98 billion in additional conditional allocations from the National Government and development partners.

In the first nine months of FY 2025/26, the county governments had Kshs.386.59 billion available, which included Kshs.275.98 billion from the equitable share of nationally raised revenue, authorised for withdrawal from the Consolidated Fund to County Revenue Funds under Article 206(4) of the Constitution, Kshs.33.05 billion in cash balances carried forward from FY 2024/25, and Kshs.30.43 billion generated from own-source revenues, including Kshs.23.45 billion from FIF and A-in-A. The counties also reported additional allocations of Kshs.23.68 billion.

The county governments generated Kshs.53.88 billion in own-source revenue during the reporting period, equivalent to 54 per cent of the annual target of Kshs.100.13 billion. Of the 47 counties, 9 exceeded 75 per cent of the target, 24 recorded between 50 per cent and 74 per cent, and 14 were below 49 per cent. The strongest performers were Samburu (138 per cent), Garissa (109 per cent), Kirinyaga (102 per cent), West Pokot (84 per cent), and Trans Nzoia (81 per cent).

As at 31 March 2026, the total outstanding revenue receivables stood at Kshs.166.14 billion, comprising Kshs.106.06 billion from ordinary own-source revenue receivables, Kshs.26.87 billion in Facility Improvement Fund receivables, and Kshs.33.20 billion relating to the March 2026 equitable share. This situation constrains liquidity and impedes the effective implementation of the FY 2025/26 budget.

The Controller of Budget authorised withdrawals of Kshs.312.44 billion from County Revenue Funds to county operational accounts. Of this amount, Kshs.250.37 billion (80 per cent) was for recurrent activities and Kshs.62.08 billion (20 per cent) for development activities. There were transfers of Kshs.457.74 million to the County Assembly Funds for Trans Nzoia (Kshs.377.74 million) and Marsabit (Kshs.80 million), the two counties that had operationalised their funds during the period.

Cumulative county expenditure during the review period totalled Kshs.331.65 billion, comprising Kshs.259.57 billion (78 per cent) for recurrent expenditure and Kshs.72.07 billion (22 per cent) for development expenditure. This represented 53 per cent of the annual county budget. Nairobi recorded the highest overall absorption rate at 72 per cent; 26 counties recorded between 50 per cent and 70 per cent, while 20 remained below 49 per cent. Other top performers were Meru (68 per cent), Marsabit (66 per cent), Nandi (63 per cent), Wajir (62 per cent), and Kilifi (61 per cent).

Development expenditure during the first nine months of FY 2025/26 amounted to Kshs.72.07 billion, representing a 31 per cent absorption rate against the annual development budget.234.33 billion. Forty-three counties recorded development absorption rates below 50 per cent, while only four exceeded that threshold: Nandi (55 per cent), Meru (54 per cent), Wajir (54 per cent), and Marsabit (51 per cent).

Recurrent expenditure during the review period amounted to Kshs.259.57 billion, equivalent to 65 per cent of the annual recurrent budget. This included Kshs.171.36 billion for employee compensation and Kshs.88.22 billion for operations and maintenance. Seven counties recorded recurrent absorption rates of 70 per cent or more, while 40 remained below 50 per cent.

County governments reported outstanding trade payables of Kshs.156.84 billion during the reporting period, comprising Kshs.116.50 billion for recurrent activities and Kshs.40.34 billion for development activities. The largest trade payables were reported by Nairobi City (Kshs.81.79 billion), Kilifi (Kshs.6.40 billion), Kiambu (Kshs.5.55 billion), Machakos (Kshs.5.46 billion), and Turkana (Kshs.4.81 billion).

The Controller of Budget identified several factors constraining effective budget execution during the reporting period. These included underperformance in own-source revenue collection, increased overdependence on Facility Improvement Fund financing, delays in enacting County Facility Improvement Financing Legislation, high receivables, non-compliance with the 35 per cent Wage Bill-to-Revenue threshold and continued use of manual payroll, high trade payables and inconsistent reporting, non-adherence to the first-in-first-out principle in the settlement of trade payables, slow operationalisation of County Assembly Funds, low development expenditure, stalled county-government projects, high domestic and foreign travel expenditure, commercial bank accounts operated without authorisation, and delay in submission of financial and non-financial reports.

To strengthen budget implementation in the remainder of FY 2025/26, the Controller of Budget recommends that county governments improve own-source revenue collection, reduce reliance on FIF revenue streams, enact County FIF legislation, intensify receivables recovery, progressively reduce their wage-bill-to-revenue ratios to 35 per cent statutory ceiling, complete migration of all eligible employees and payroll components to HRIS-ke and discontinue manual payroll, prioritise settlement of trade payables using the first-in-first-out principle, operationalise County Assembly Funds on time, increase development expenditure, complete all viable stalled projects, submit copies of authorisation letters for all accounts maintained by the County to the Controller of Budget and comply with statutory reporting requirements. These actions will support stronger budget execution and better county development outcomes.

During FY 2025/26, monitoring and evaluation by the Controller of Budget across County Governments revealed mixed outcomes in budget implementation and service delivery. While progress was observed in implementing development programmes and selected projects, significant challenges persisted, including weak compliance with legal and regulatory frameworks, inadequate financial controls, delayed project implementation, and weak institutional coordination. The exercise also identified concerns in the procurement and management of medical supplies, particularly inadequate budgetary provisions, accumulation of pending bills, and delays in the rollout of automated inventory systems. Further, assessments of projects funded under the Equalisation Fund raised concerns about implementation effectiveness, project oversight, and the extent to which interventions address service delivery gaps in marginalised areas. Consequently, the Controller of Budget's recommendations focus on strengthening governance systems, enhancing accountability and financial management practices, improving compliance with public finance laws, and promoting transparency and efficient use of public resources to support sustainable service delivery and development outcomes across County Governments.

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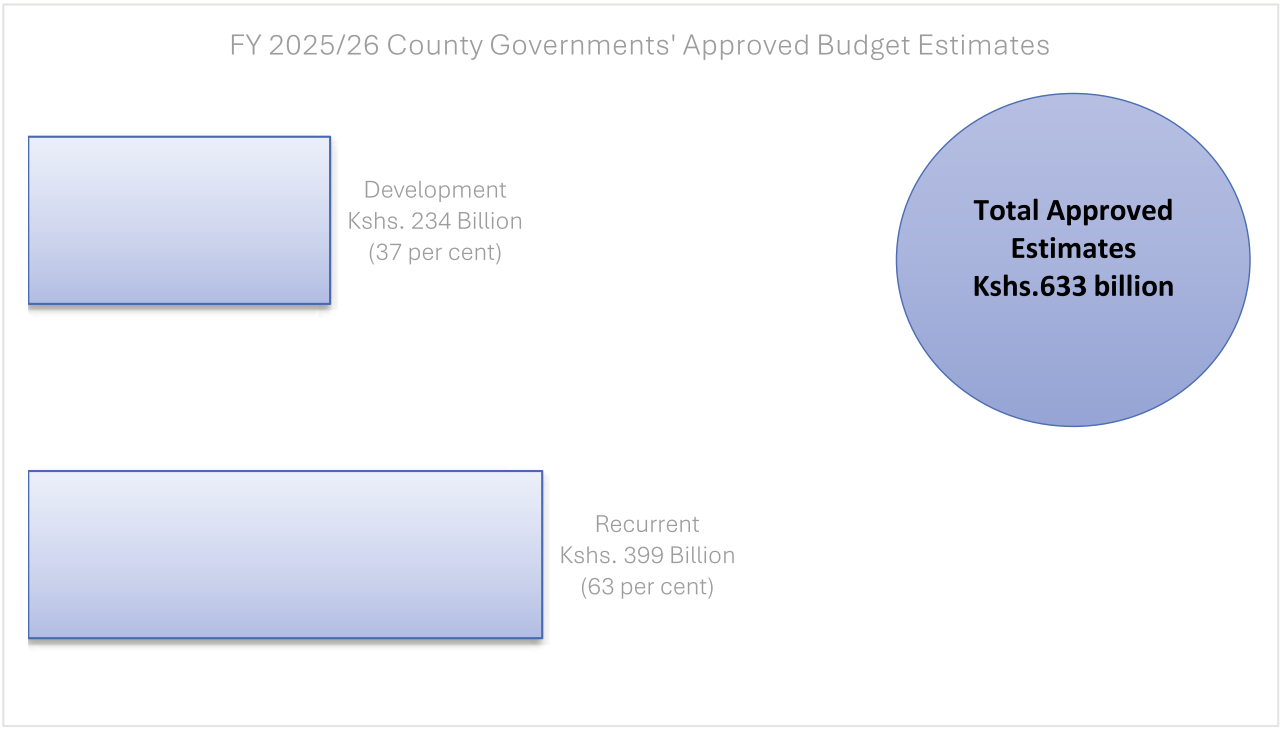
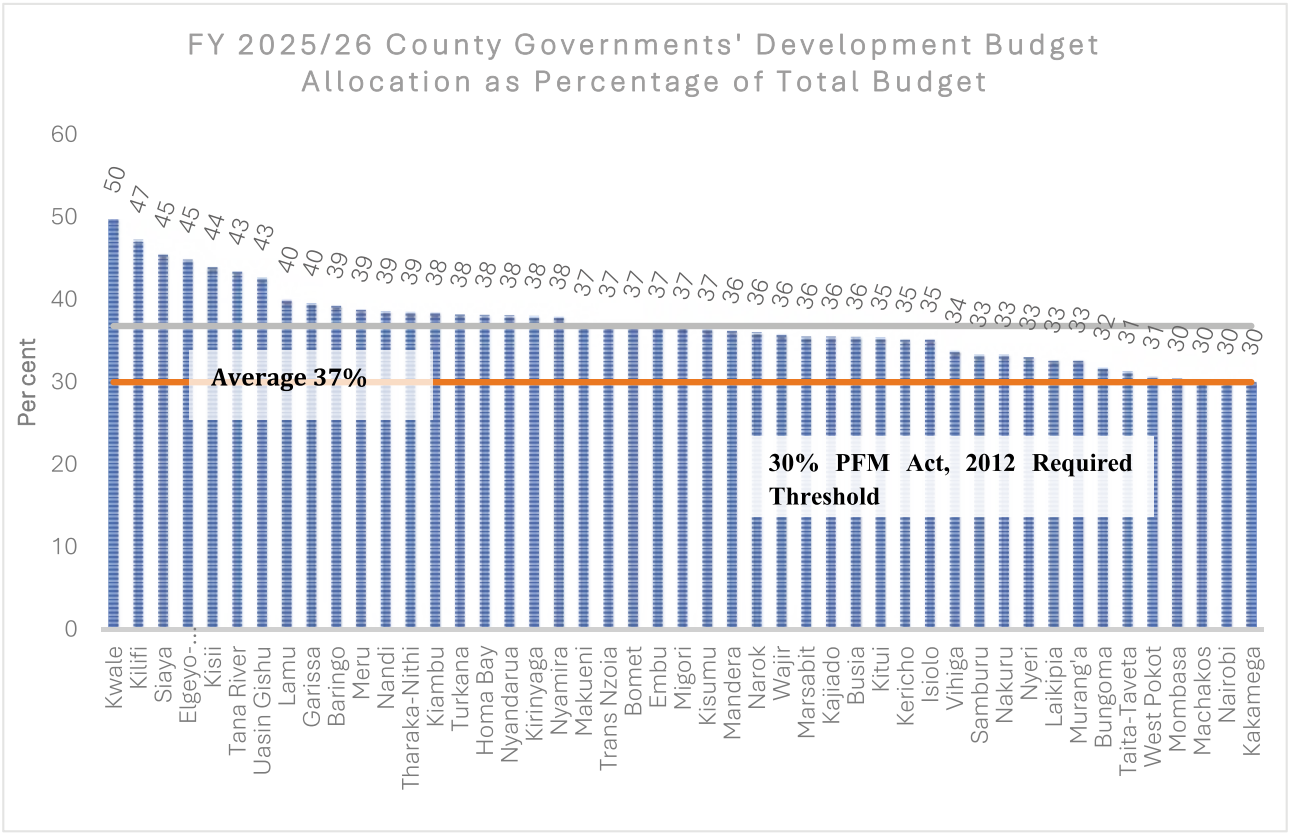
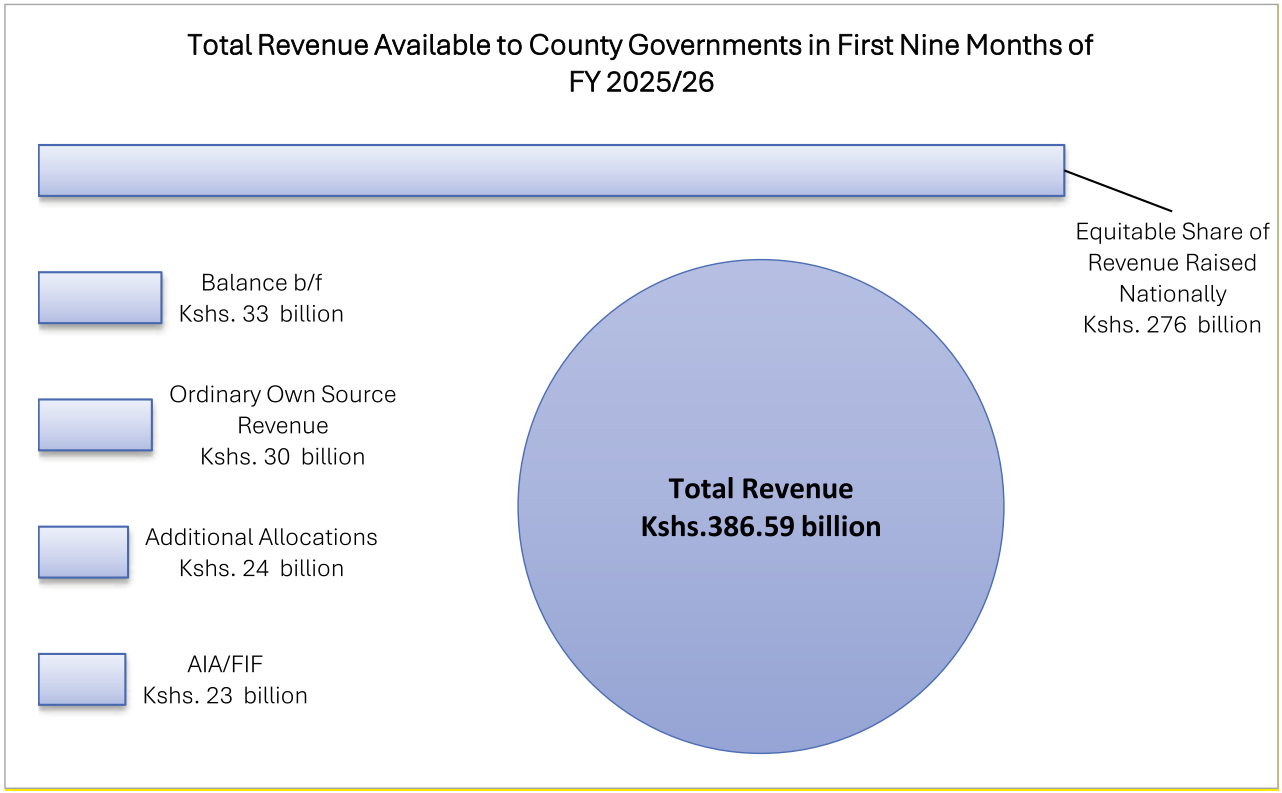
ACRONYMS

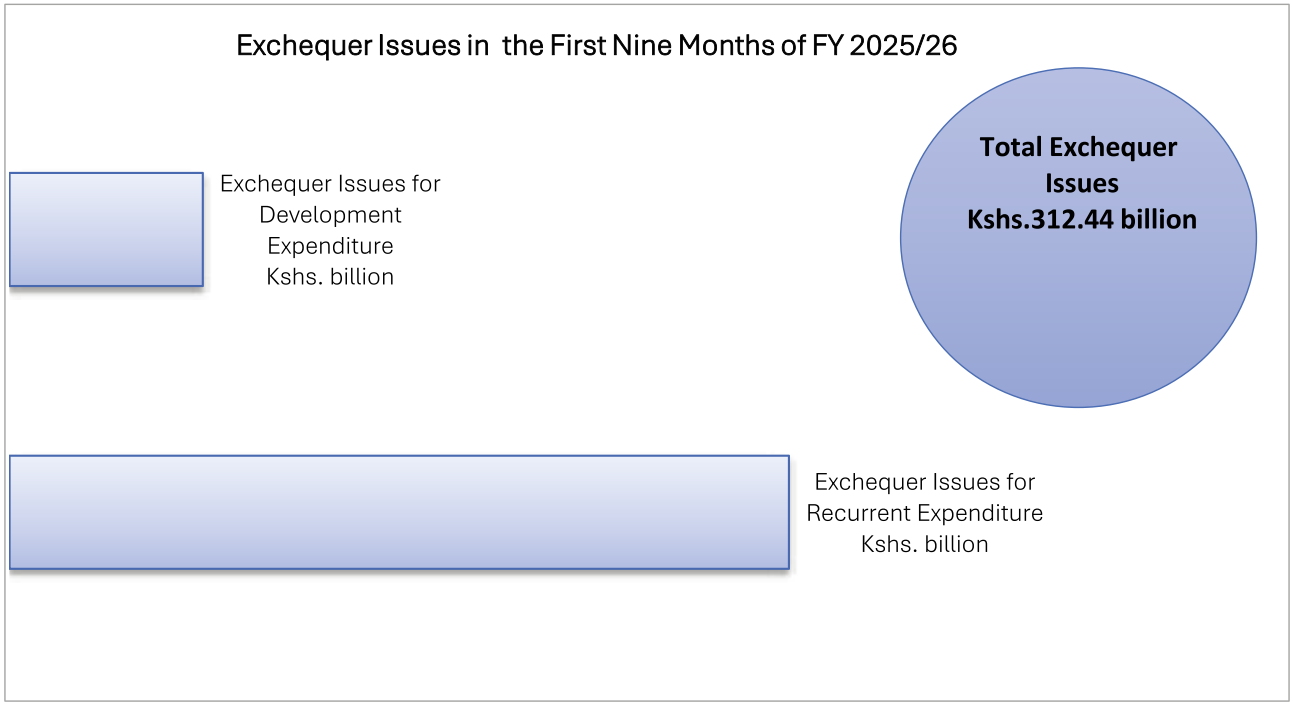
AIA	Appropriation in Aid
ASDSP	Agriculture Sector Development Support Programme
CAIP	County Aggregation and Industrial Parks
CARA	County Allocation Revenue Act
CBIRR	County Budget Implementation Review Report
CGAAA	County Governments Additional Allocation Act
CHP/V	Community Health Promoters/ Volunteers
CoB	Controller of Budget
CPF	County Pension Fund
CRF	County Revenue Fund
DANIDA	Danish International Development Agency (Primary Health Care)
Dev	Development
DRPNK	Drought Resilience Programme in Northern Kenya
ELRP	Emergency Locust Response Project
FIF	Facility Improvement Fund/ Financing
FLLoCA	Financing Locally – Led Climate Action Programme
FSRP	Food System Resilience Project
FY	Financial Year
GHRIS	Government Human Resources Information System
IB	Internet Banking
IDA	International Development Association
IDEAs	Instrument for Devolution Advice and Support
IFAD	International Fund for Agricultural Development
IFMIS	Integrated Financial Management System
IPPD	Integrated Payroll and Personnel Database
KABDP	Kenya Agricultural Business Development Project
KDSP	Kenya Devolution Support Programme
KeLCoP	Kenya Livestock Commercialisation Project
KUSP	Kenya Urban Support Project
MCA	Member of the County Assembly
NAVCDP	National Agricultural Value Chain Development Project
NHIF	National Health Insurance Fund
PHDC	Primary Health Care in Devolved Context
RMLF	Road Maintenance Levy Fund
UIG	Urban Institutional Grant
WASH	Kenya Water, Sanitation and Hygiene

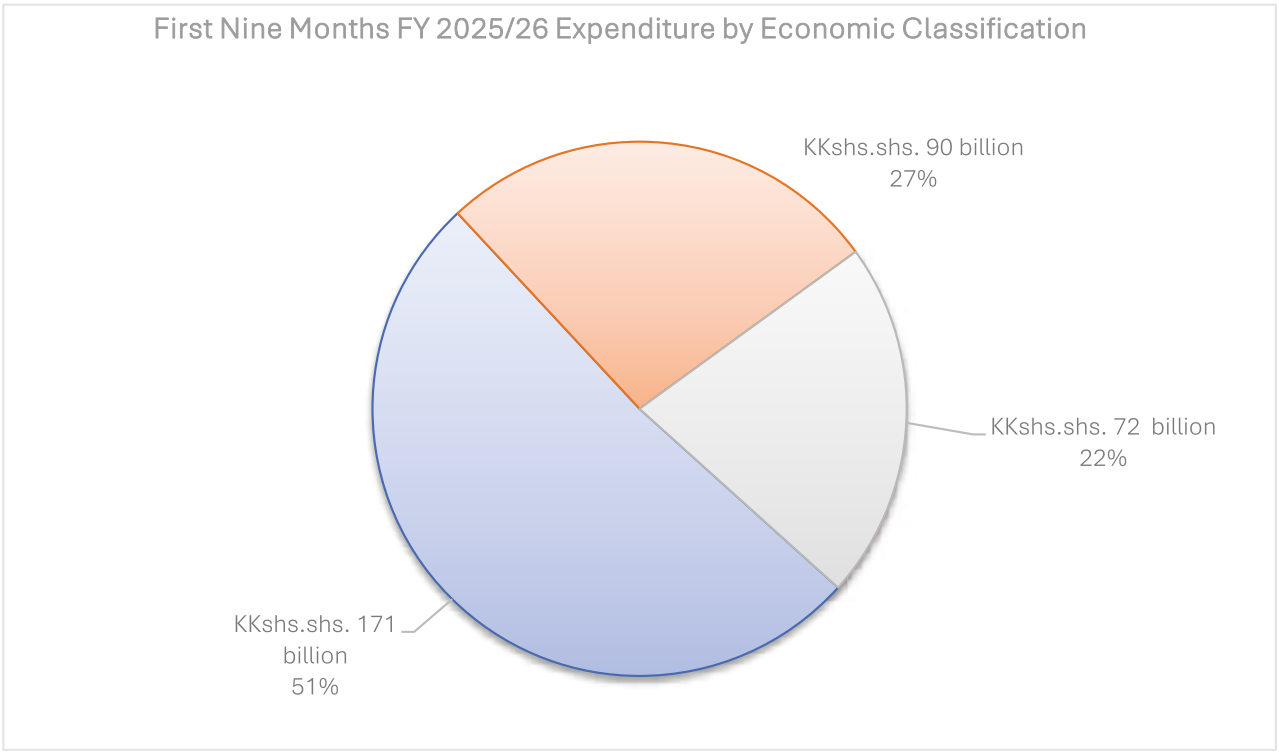
KEY HIGHLIGHTS

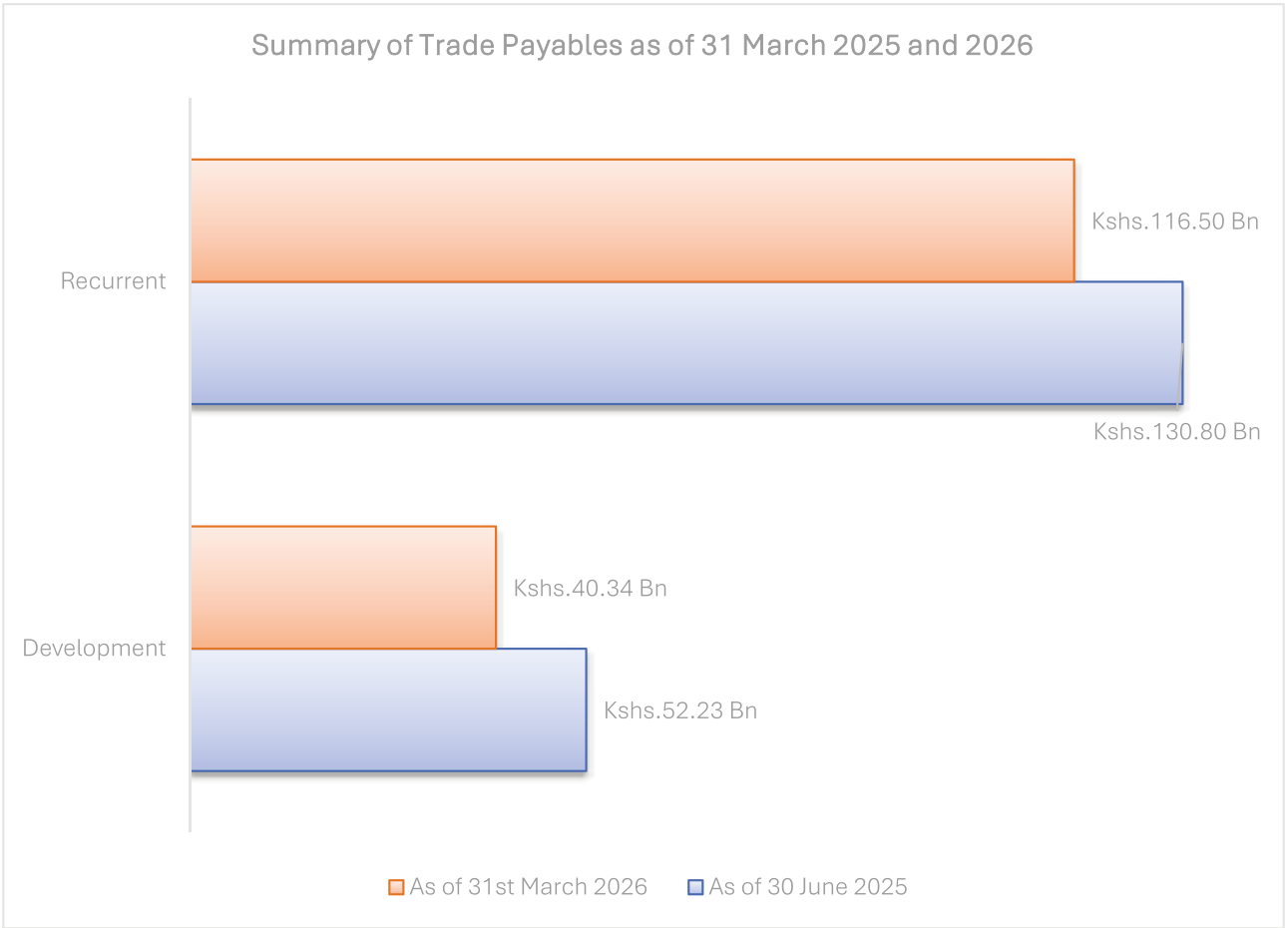


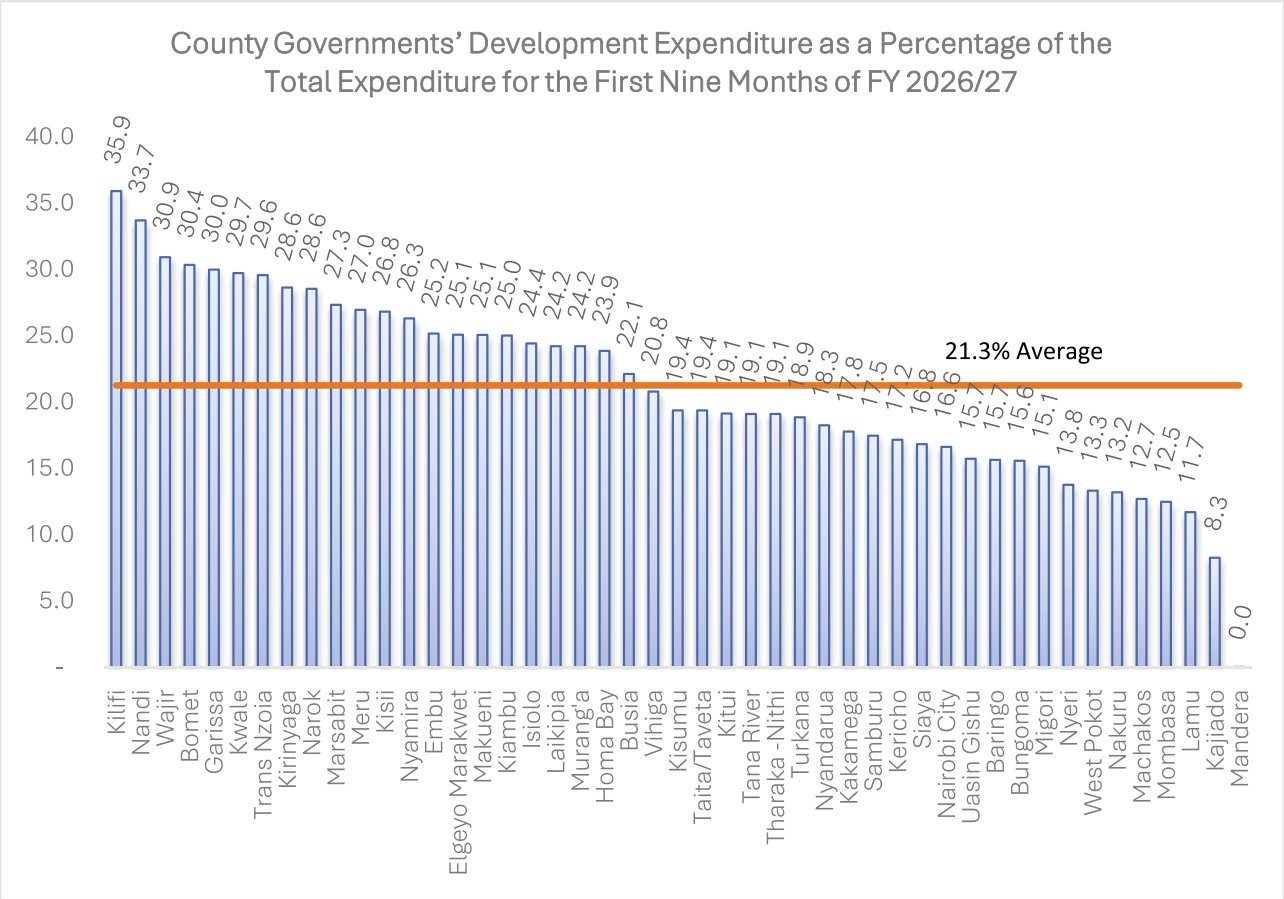



Total Revenue Available to County Governments in First Nine Months of FY 2025/26
Equitable Share of Revenue Raised Nationally Kshs. 276 billion
Balance b/f Kshs. 33 billion
Ordinary Own Source Revenue Kshs. 30 billion
Additional Allocations Kshs. 24 billion
AIA/FIF Kshs. 23 billion
Total Revenue Kshs.386.59 billion


Exchequer Issues in the First Nine Months of FY 2025/26
Exchequer Issues for Development Expenditure Kshs. billion
Total Exchequer Issues Kshs.312.44 billion
Exchequer Issues for Recurrent Expenditure Kshs. billion


First Nine Months FY 2025/26 Expenditure by Economic Classification
KKshs.shs. 90 billion
27%
KKshs.shs. 72 billion
22%
KKshs.shs. 171 billion
51%


Summary of Trade Payables as of 31 March 2025 and 2026
Recurrent
Kshs.116.50 Bn
Kshs.130.80 Bn
Development
Kshs.40.34 Bn
Kshs.52.23 Bn
As of 31st March 2026
As of 30 June 2025


County Governments' Development Expenditure as a Percentage of the Total Expenditure for the First Nine Months of FY 2026/27
40.0
35.0
30.0
25.0
20.0
15.0
10.0
5.0
-
21.3% Average
35.9
33.7
30.9
30.4
30.0
29.7
29.6
28.6
28.6
27.3
27.0
26.8
26.3
25.2
25.1
25.1
25.0
24.4
24.2
24.2
23.9
22.1
20.8
19.4
19.4
19.1
19.1
19.1
18.9
18.3
17.8
17.5
17.2
16.8
16.6
15.7
15.7
15.6
15.1
13.8
13.3
13.2
12.7
12.5
11.7
8.3
0.0
Kilifi
Nandi
Wajir
Bomet
Garissa
Kwale
Trans Nzoia
Kirinyaga
Narok
Marsabit
Meru
Kisii
Nyamira
Embu
Elgeyo Marakwet
Makueni
Kiambu
Isiolo
Laikipia
Murang'a
Homa Bay
Busia
Vihiga
Kisumu
Taita/Taveta
Kitui
Tana River
Tharaka - Nithi
Turkana
Nyandarua
Kakamega
Samburu
Kericho
Siaya
Nairobi City
Uasin Gishu
Baringo
Bungoma
Migori
Nyeri
West Pokot
Nakuru
Machakos
Mombasa
Lamu
Kajiado
Mandera

1. INTRODUCTION

The Controller of Budget (OCoB) is an independent constitutional office established under Article 228 of the Constitution of Kenya. Its primary mandate is to oversee and report on the implementation of budgets for both the National and County Governments. In accordance with Article 228(6) of the Constitution and Section 9 of the Controller of Budget (CoB) Act, 2016, the Controller of Budget is required to submit a report on budget implementation to each House of Parliament every four months.

This County Budget Implementation Review Report (CBIRR) covers the first nine months of the 2025/26 financial year, specifically from July 2025 to March 2026. The report analyses key aspects of county budget implementation, including own-source revenue, transfers from the National Government and Development Partners, and total expenditures during the review period. It also tracks the settlement of trade payables and receivables. The analysis draws on financial reports submitted by County Treasuries, in accordance with Sections 166 and 168 of the Public Finance Management (PFM) Act, 2012, as well as data from the Integrated Financial Management Information System (IFMIS) and information collected through the CoB's monitoring and evaluation activities. Expenditure performance is assessed using the absorption rate—actual expenditure as a percentage of approved budget estimates—while revenue performance is measured as actual revenue collected compared to annual projections.

The report is organised into six chapters. Chapter One is the introduction. Chapter Two examines the budget performance of County Governments during the first nine months of FY 2025/26, focusing on own-source revenue generation, outstanding revenue, and the comparison of actual expenditure against budgeted amounts for both recurrent and development costs. It also provides a summary of sub-programme performance, highlighting cases of over- and under-absorption, and reviews the status of trade payables for all forty-seven County Governments as at March 31, 2026.

Chapter Three provides a detailed assessment of each County's budget performance, covering recurrent and development expenditures, exchequer issues, and actual spending, which is categorised into Compensation of Employees, Operations and Maintenance, and Development Expenditure. The chapter also analyses development projects undertaken during the review period.

Chapter Four summarises the key challenges Counties encountered in implementing their budgets during the first nine months of FY 2025/26. It also presents recommendations to enhance the effective and efficient execution of the budget and promote best practices.

Chapter Five presents the key findings and recommendations from OCoB's monitoring and evaluation of County Governments in FY 2025/26. Chapter Six concludes the report.

2. FINANCIAL ANALYSIS OF COUNTY BUDGET IMPLEMENTATION FOR THE FIRST NINE MONTHS OF 2025/26

2.1. Introduction

This chapter presents the financial analysis of the aggregated County budget implementation for the first nine months of FY 2025/26, covering July 2025 to March 2026.

2.2. Revenue Analysis

The combined budgets of the County Governments, approved by the County Assemblies, amounted to Kshs.633.30 billion, comprising Kshs.234.33 billion (37 per cent) allocated to development expenditure and Kshs.398.97 billion (63 per cent) to recurrent expenditure.

In aggregate, County Governments are expected to receive their equitable share of nationally raised revenue for FY 2025/26, amounting to Kshs.415 billion. Own Source Revenue is estimated at Kshs.100.13 billion, including Appropriations in Aid (A-i-A) and Facility Improvement Financing (FIF) of Kshs.30.12 billion and ordinary OSR of Kshs.70.01 billion. Also, County Governments projected Additional Allocations of Kshs.71.98 billion.

2.2.1 Revenue Outturn

The total funds available to the County Governments in the first nine months of FY 2025/26 amounted to Kshs.386.59 billion. This included Kshs.275.98 billion in the equitable share of revenue raised nationally for FY 2025/26; own-source revenue collection of Kshs.53.88 billion, which includes A-i-A/FIF of Kshs.23.45 billion, and ordinary OSR of Kshs.30.43 billion. The counties also reported additional allocations of Kshs.23.68 billion, with cash balances brought forward from FY 2024/25 of Kshs.33.05 billion.

2.2.2 Own-Source Revenue

During the reporting period, County Governments received a total of Kshs.53.88 billion from their own-source revenue (OSR), which was 54 per cent of the annual target of Kshs.100.13 billion. The realised OSR is higher than the Kshs.45.91 billion received in a similar period in FY 2024/25. An analysis of own-source revenue collection from July 2025 to March 2026 is presented in Table 2.1.

Table 2.1: Own Source Revenue Collection in the First Nine Months of FY 2025/26

County	Target (Kshs.Million)			Actual Realised (Kshs.Million)			Performance (%)		
	Ordinary OSR	FIF/ AIA	Total OSR	Ordinary OSR	FIF/AIA	Total OSR	Ordinary OSR	FIF/AIA	Total OSR
	A	B	C=A+B	D	E	F=D+E	G=D/A*100	F=E/B*100	G=F/C*100
Baringo	331.94	320.00	651.94	131.27	195.25	326.51	40	61	50
Bomet	607.50	290.00	897.50	88.05	340.65	428.69	14	117	48
Bungoma	683.89	1,393.56	2,077.45	390.62	831.13	1,221.76	57	60	59
Busia	554.70	445.06	999.76	153.13	355.31	508.44	28	80	51
Elgeyo-Marakwet	107.43	350.00	457.43	55.78	230.11	285.89	52	66	63
Embu	712.49	600.00	1,312.49	263.40	591.77	855.17	37	99	65
Garissa	101.00	349.00	450.00	44.27	444.86	489.13	44	127	109
Homa Bay	566.18	1,104.91	1,671.09	304.04	714.57	1,018.62	54	65	61
Isiolo	271.21	104.00	375.21	122.54	44.29	166.83	45	43	44
Kajiado	1,200.00	440.00	1,640.00	514.24	214.17	728.41	43	49	44
Kakamega	957.37	1,242.63	2,200.00	431.57	806.13	1,237.70	45	65	56
Kericho	870.13	724.25	1,594.38	245.56	392.32	637.88	28	54	40
Kiambu	7,322.37	2,611.85	9,934.22	2,486.44	1,411.62	3,898.06	34	54	39

County	Target (Kshs.Million)			Actual Realised (Kshs.Million)			Performance (%)		
	Ordinary OSR	FIF/ AIA	Total OSR	Ordinary OSR	FIF/AIA	Total OSR	Ordinary OSR	FIF/AIA	Total OSR
	A	B	C=A+B	D	E	F=D+E	G=D/A*100	F=E/B*100	G=F/C*100
Kilifi	1,875.71	500.00	2,375.71	524.62	691.78	1,216.40	28	138	51
Kirinyaga	459.00	305.00	764.00	324.74	454.80	779.54	71	149	102
Kisii	1,467.00	1,700.00	3,167.00	352.49	809.14	1,161.62	24	48	37
Kisumu	2,741.31	800.00	3,541.31	581.66	505.57	1,087.23	21	63	31
Kitui	312.35	806.90	1,119.25	196.24	452.22	648.47	63	56	58
Kwale	486.04	400.00	886.04	259.91	292.38	552.30	53	73	62
Laikipia	725.00	626.00	1,351.00	374.65	508.38	883.02	52	81	65
Lamu	150.00	130.00	280.00	71.17	129.63	200.80	47	100	72
Machakos	3,020.88	1,069.90	4,090.78	1,378.81	1,242.11	2,620.93	46	116	64
Makueni	1,067.56	600.00	1,667.56	317.66	806.80	1,124.46	30	134	67
Mandera	360.00	322.53	682.53	128.13	146.98	275.11	36	46	40
Marsabit	150.00	173.50	323.50	67.92	73.81	141.73	45	43	44
Meru	796.00	1,025.50	1,821.50	324.70	848.19	1,172.89	41	83	64
Migori	525.00	350.00	875.00	204.15	388.11	592.26	39	111	68
Mombasa	3,877.93	1,200.00	5,077.93	2,192.10	1,718.19	3,910.29	57	143	77
Murang'a	1,018.57	588.10	1,606.67	503.65	656.86	1,160.51	49	112	72
Nairobi City	19,942.05	1,236.00	21,178.05	9,440.57	1,348.85	10,789.42	47	109	51
Nakuru	2,400.00	2,175.90	4,575.90	1,313.32	1,502.58	2,815.90	55	69	62
Nandi	669.21	453.61	1,122.82	217.34	456.76	674.10	32	101	60
Narok	5,909.59	120.95	6,030.54	3,301.73	142.08	3,443.81	56	117	57
Nyamira	218.71	650.00	868.71	101.58	309.70	411.28	46	48	47
Nyandarua	675.00	300.00	975.00	166.66	386.47	553.13	25	129	57
Nyeri	800.00	850.00	1,650.00	530.03	764.29	1,294.32	66	90	78
Samburu	282.37	0.00	282.37	277.72	112.10	389.82	98	n/a	138
Siaya	2,036.24	1,078.69	3,114.92	184.20	423.24	607.45	9	39	20
Taita-Taveta	669.60	280.00	949.60	234.55	202.53	437.09	35	72	46
Tana River	196.07	4.35	200.42	85.62	2.24	87.86	44	51	44
Tharaka-Nithi	293.08	305.40	598.48	189.65	270.12	459.76	65	88	77
Trans Nzoia	324.97	275.03	600.00	243.14	245.43	488.57	75	89	81
Turkana	600.00	600.00	1,200.00	143.04	19.88	162.92	24	3	14
Uasin Gishu	1,300.00	450.00	1,750.00	666.55	391.54	1,058.09	51	87	60
Vihiga	170.00	274.13	444.13	148.45	194.75	343.20	87	71	77
Wajir	110.00	240.00	350.00	75.79	166.73	242.51	69	69	69
West Pokot	98.15	253.51	351.66	77.34	216.31	293.65	79	85	84
Total	**70,013.58**	**30,120.25**	**100,133.83**	**30,430.81**	**23,452.71**	**53,883.52**	**43**	**78**	**54**

***Source**: County Treasuries*

An analysis of own-source revenue (OSR), including Facility Improvement Financing (FIF), as a percentage of the annual OSR target shows that three counties achieved performance levels of over 100 per cent. The top performer, Samburu County, reached 138 per cent, attributed to strong tourism-related revenues. It was closely followed by Garissa County, which achieved 109 per cent, largely due to an exceptional FIF performance of 127 per cent of its target. Kirinyaga County followed with a performance rate of 102 per cent, also driven by a commendable FIF achievement of 149 per cent of its target.

In contrast, seven counties reported OSR performances of 40 per cent or lower. These counties are Mandera at 40 per cent, Kericho at 40 per cent, Kiambu at 39 per cent, Kisii at 37 per cent, Kisumu at 31 per cent, Siaya at 20 per cent, and Turkana at 14 per cent. The low performance in these counties may be attributed to weak results in ordinary OSR streams, failure to utilise revenue forecasting tools, and/or inadequate performance in FIF streams. A detailed analysis of own-source revenue by stream for each County is available in Chapter Three.

2.2.3 Receivables

As of 31st March, 2026, the total receivables amounted to Kshs.166.14 billion. This figure includes Kshs.106.06 billion in ordinary Own Source Revenue receivables, Kshs.26.87 billion in Facility Improvement Financing receivables, and Kshs.33.20 billion related to the March 2026 equitable share. A detailed breakdown of these receivables is presented in Table 2.2.

Table 2.2: Summary of County Governments' Receivables

County	Receivables as of 31st March 2026 (Kshs.Million)			
	Ordinary OSR	FIF	Equitable Share	Totals
Baringo	301.75	261.79	566.69	1,130.23
Bomet	726.27	762.36	595.78	2,084.41
Bungoma	259.68	358.55	947.04	1,565.28
Busia	-	355.31	636.53	991.83
Elgeyo-Marakwet	180.87	354.11	441.21	976.19
Embu	-	755.51	486.20	1,241.71
Garissa	-	494.71	710.22	1,204.94
Homa Bay	-	714.57	691.71	1,406.28
Isiolo	-	21.77	450.51	472.28
Kajiado	411.90	558.06	711.54	1,681.50
Kakamega	1,099.90	1,303.79	1,093.99	3,497.68
Kericho	161.72	558.06	574.29	1,294.08
Kiambu	5,052.24	1,675.41	1,045.75	7,773.39
Kilifi	-	691.78	1,025.07	1,716.85
Kirinyaga	-	-	492.13	492.13
Kisii	621.78	718.19	785.58	2,125.55
Kisumu	-	787.97	712.16	1,500.13
Kitui	2,132.55	618.65	920.31	3,671.51
Kwale	287.55	419.69	726.30	1,433.53
Laikipia	1,368.76	-	488.33	1,857.09
Lamu	228.09	129.63	308.61	666.33
Machakos	16.32	1,242.11	814.33	2,072.77
Makueni	985.57	603.51	718.11	2,307.19
Mandera	-	146.98	981.21	1,128.18
Marsabit	-	152.92	648.45	801.37
Meru	830.93	567.46	844.32	2,242.71
Migori	281.35	468.14	710.72	1,460.21
Mombasa	13,909.62	2,314.93	670.67	16,895.22
Murang'a	41.83	-	637.56	679.38
Nairobi	63,547.40	1,348.85	1,713.37	66,609.62
Nakuru	12,569.90	2,914.91	1,156.41	16,641.23
Nandi	-	456.76	621.74	1,078.51

County	Receivables as of 31st March 2026 (Kshs.Million)			
	Ordinary OSR	FIF	Equitable Share	Totals
Narok	-	142.08	781.63	923.70
Nyamira	-	309.70	485.87	795.57
Nyandarua	224.72	569.54	533.01	1,327.28
Nyeri	646.05	1,396.35	551.69	2,594.10
Samburu	-	113.43	506.96	620.39
Siaya	46.42	611.76	620.36	1,278.54
Taita-Taveta	-	202.53	460.84	663.37
Tana River	-	-	577.80	577.80
Tharaka-Nithi	56.84	443.85	404.66	905.36
Trans Nzoia	-	245.43	639.29	884.72
Turkana	-	-	1,111.41	1,111.41
Uasin Gishu	-	644.03	718.16	1,362.19
Vihiga	-	159.61	480.70	640.31
Wajir	-	59.43	840.61	900.04
West Pokot	74.96	216.31	560.19	851.46
Total	**106,064.96**	**26,870.55**	**33,200.00**	**166,135.51**

Source: *County Treasuries*

As of 31st March, 2026, Nairobi City County had the highest receivables, totalling Kshs.66.61 billion, representing 40 per cent of the overall receivables. Mombasa County reported Kshs.16.90 billion in receivables (10 per cent); Nakuru County had Kshs.16.64 billion (10 per cent), and Kiambu County had Kshs.7.77 billion (5 per cent). This overall situation regarding receivables underscores persistent challenges in revenue mobilisation, which constrain liquidity.

2.2.4 Status of County Facility Improvement Financing Legislation

Section 29 of the Facilities Improvement Financing Act, 2023, provides that a county government may enact county legislation to give further effect to the Act within the respective county. The Act provides a framework for the collection, retention, management and use of facility improvement financing in public health facilities.

As of 31 March 2026, twenty-seven county governments had enacted county legislation on Facility Improvement Financing, including Baringo, Garissa, Embu and Homa Bay. The remaining twenty counties were either at the drafting, approval or reporting stage, or had not yet enacted the required legislation. Chapter Three of this report provides more details.

2.3. Funds Released to the Counties

2.3.1 Transfer from Consolidated Fund to the County Revenue Fund Accounts

In the period under review, the CoB approved the transfer of Kshs.275.98 billion as the equitable share of revenue raised nationally from the Consolidated Fund to the various County Revenue Funds (CRFs) per Article 206(4) of the Constitution of Kenya, 2010. Chapter Three provides a detailed analysis of the released equitable share to each County.

2.3.2 Transfers from County Revenue Funds to County Assembly Fund Accounts

The County Public Finance Laws (Amendment) Act, 2025, amended the Public Finance Management Act, 2012, by inserting section 109A, which establishes a County Assembly Fund for each county. Section 109A designates the Clerk of the County Assembly as the administrator of the Fund, requires the Fund to be kept at the Central Bank of Kenya, and requires the administrator to obtain written approval from the Controller of Budget before withdrawals are made from the Fund account.

During the review period, the Controller of Budget approved transfers totalling Kshs.457.74 million from County Revenue Funds to County Assembly Fund accounts for Trans Nzoia County (Kshs.377.74 million) and Marsabit County (Kshs.80 million). These transfers operationalised the County Assembly Funds in the two counties, while other counties remained at various stages of establishing their funds.

2.3.3 Funds Released to the County Operational Accounts

The CoB authorised withdrawals of Kshs.312.44 billion from the County Revenue Funds to the County Operational Accounts, comprising Kshs.250.37 billion (80 per cent) for recurrent expenditure and Kshs.62.08 billion (20 per cent) for development expenditure. This was an increase from the Kshs.182.05 billion authorised in a similar period in FY 2024/25. Chapter Three provides a detailed analysis of the funds released to each County.

2.4. Expenditure Analysis

In the first nine months of the FY 2025/26, County Governments spent a total of Kshs.331.65 billion, corresponding to an overall absorption rate of 52 per cent of the total annual budget for County Governments, set at Kshs.633.30 billion. This marks an increase in performance compared to the 48 per cent reported in the same period of FY 2024/25, when total expenditures amounted to Kshs.286.49 billion against a budget of Kshs.600.69 billion.

Recurrent expenditure amounted to Kshs.259.57 billion, accounting for 65 per cent of the annual recurrent budget. This is an increase in performance compared to the 61 per cent for recurrent expenditure absorption observed in a similar period of FY 2024/25. Conversely, development expenditure totalled Kshs.72.07 billion, representing an absorption rate of 31 per cent, up from 22 per cent reported in the same period in FY 2024/25. Table 2.3 presents an analysis of expenditures by economic classification for the first nine months of FY 2025/26.

Table 2.3: Expenditure by Major Economic Classification in the First Nine Months of FY 2025/26

County	Recurrent Expenditure (Kshs.Million)			Development Expenditure (Kshs.Million)	Total Expenditure (Kshs.Million)
	Compensation to Employees	Operations & Maintenance	Total Recurrent Expenditure		
	a	b	c=a+b	d	e=c+d
Baringo	2,672.39	779.5	3,451.89	640.49	4,092.38
Bomet	3,028.34	1444.82	4,473.16	1,671.31	6,144.47
Bungoma	5,848.82	2,239.79	8,088.61	1,493.36	9,581.97
Busia	3,251.58	1,475.45	4,727.03	1,343.48	6,070.51
Elgeyo-Marakwet	2,389.54	611.18	3,000.72	1,005.12	4,005.84
Embu	2,134.70	831.76	2,966.46	998.27	3,964.73
Garissa	3,544.82	971.6	4,516.42	1,935.60	6,452.02
Homa Bay	4,551.52	623.56	5,175.08	1,622.74	6,797.82
Isiolo	1,952.88	757.29	2,710.17	876.24	3,586.41
Kajiado	3,774.30	1,529.50	5,303.80	438.44	5,742.24
Kakamega	5,256.81	2,796.22	8,053.03	1,742.18	9,795.21
Kericho	2,628.92	870.51	3,499.43	725.34	4,224.77
Kiambu	5,726.68	3,759.81	9,486.49	3,166.61	12,653.10
Kilifi	4,315.42	3,391.23	7,706.65	4,320.40	12,027.05
Kirinyaga	1,907.47	1,256.04	3,163.51	1,270.10	4,433.61
Kisii	4,837.01	1,590.42	6,427.43	2,356.80	8,784.23
Kisumu	3,520.32	1,727.92	5,248.24	1,261.83	6,510.07
Kitui	4,463.00	2,079.31	6,542.31	1,549.24	8,091.55

County	Recurrent Expenditure (Kshs.Million)			Development Expenditure (Kshs.Million)	Total Expenditure (Kshs.Million)
	Compensation to Employees	Operations & Maintenance	Total Recurrent Expenditure		
	a	b	c=a+b	d	e=c+d
Kwale	2,974.56	2,075.13	5,049.69	2,137.21	7,186.90
Laikipia	2,362.10	1,021.40	3,383.50	1,045.99	4,429.49
Lamu	1,356.68	540.06	1,896.74	251.51	2,148.25
Machakos	5,544.55	2,447.23	7,991.78	1,163.43	9,155.21
Makueni	3,731.80	1,492.27	5,224.07	1,748.49	6,972.56
Mandera	3,485.23	2,562.84	6,048.07	2,409.11	8,457.18
Marsabit	3,282.25	1,691.16	4,973.41	1,871.86	6,845.27
Meru	4,202.88	3,359.00	7,561.88	3,390.60	10,952.48
Migori	2,765.85	1,991.47	4,757.32	848.5	5,605.82
Mombasa	5,244.91	1,132.22	6,377.13	910.03	7,287.16
Murang'a	3,271.13	1,302.33	4,573.46	1,462.03	6,035.49
Nairobi	14,162.40	12,618.40	26,780.80	5,341.86	32,122.66
Nakuru	5,099.45	4,230.19	9,329.64	1,419.36	10,749.00
Nandi	2,499.67	1,969.26	4,468.93	2,273.01	6,741.94
Narok	5,332.82	1,992.23	7,325.05	2,091.60	9,416.65
Nyamira	2,565.44	1,137.91	3,703.35	1,322.99	5,026.34
Nyandarua	2,414.11	1,224.38	3,638.49	812.61	4,451.10
Nyeri	3,494.99	1,108.06	4,603.05	735.12	5,338.17
Samburu	2,083.10	1,742.72	3,825.82	810.1	4,635.92
Siaya	2,961.94	800.35	3,762.29	761.71	4,524.00
Taita-Taveta	3,193.64	754.11	3,947.75	949.02	4,896.77
Tana River	1,706.27	1,454.25	3,160.52	746.87	3,907.39
Tharaka-Nithi	2,079.21	599.95	2,679.16	677.87	3,357.03
Trans Nzoia	2,628.73	1,168.58	3,797.31	1,595.36	5,392.67
Turkana	4,410.63	2,845.25	7,255.88	1,686.80	8,942.68
Uasin Gishu	3,898.89	1,464.20	5,363.09	1,001.49	6,364.58
Vihiga	2,458.67	1,134.29	3,592.96	943.78	4,536.74
Wajir	3,795.29	2,036.62	5,831.91	2,612.20	8,444.11
West Pokot	2,545.26	1,585.58	4,130.84	635.34	4,766.18
Total	**171,356.97**	**88,217.35**	**259,574.32**	**72,073.40**	**331,647.72**

Source: County Treasuries and Assemblies

A review of cumulative expenditures by economic classification revealed that Kshs.171.36 billion (52 per cent) was spent on Compensation to Employees, Kshs.88.22 billion (27 per cent) on Operations and Maintenance, and Kshs.72.07 billion (22 per cent) on Development Expenditures.

2.4.1 Development Expenditure

County governments spent Kshs.72.07 billion on development activities, representing a 31 per cent absorption rate of the annual development budget of Kshs.234.33 billion. Table 2.4 analyses County budget allocations, expenditures, and absorption rates during the period under review.

Table 2.4: County Budget Allocation, Expenditure, and Absorption Rate for the First Nine Months of FY 2025/26

County	Budget Estimates (Kshs.Million			Expenditure (Kshs.Million)			Absorption Rate(%)		
	Rec	Dev	Total	Rec	Dev	Total	Rec	Dev	Total
	A	B	C=A+B	D	E	F=D+E	G=D/A 100	H=E/B 100	I=F/C 100
Baringo	5,793.60	3,748.43	9,542.03	3,451.89	640.49	4,092.38	60	17	43
Bomet	6,818.55	3,997.23	10,815.78	4,473.16	1,671.31	6,144.47	66	42	57
Bungoma	11,888.81	5,544.38	17,433.19	8,088.61	1,493.36	9,581.97	68	27	55
Busia	7,253.89	3,994.27	11,248.15	4,727.03	1,343.48	6,070.51	65	34	54
Elgeyo - Marakwet	4,880.60	3,969.02	8,849.61	3,000.72	1,005.12	4,005.84	61	25	45
Embu	5,673.12	3,317.13	8,990.25	2,966.46	998.27	3,964.73	52	30	44
Garissa	7,666.96	5,027.67	12,694.63	4,516.42	1,935.60	6,452.02	59	38	51
Homa Bay	8,409.36	5,192.09	13,601.45	5,175.08	1,622.74	6,797.82	62	31	50
Isiolo	4,899.68	2,656.16	7,555.84	2,710.17	876.24	3,586.41	55	33	47
Kajiado	8,882.07	4,893.40	13,775.47	5,303.80	438.44	5,742.24	60	9	42
Kakamega	11,929.97	5,117.88	17,047.86	8,053.03	1,742.18	9,795.21	68	34	57
Kericho	6,506.27	3,528.69	10,034.96	3,499.43	725.34	4,224.77	54	21	42
Kiambu	16,517.87	10,313.45	26,831.32	9,486.49	3,166.61	12,653.10	57	31	47
Kilifi	10,479.03	9,397.48	19,876.51	7,706.65	4,320.40	12,027.05	74	46	61
Kirinyaga	5,292.70	3,248.67	8,541.37	3,163.51	1,270.10	4,433.61	60	39	52
Kisii	11,233.88	8,814.05	20,047.93	6,427.43	2,356.80	8,784.23	57	27	44
Kisumu	10,366.33	5,965.19	16,331.52	5,248.24	1,261.83	6,510.07	51	21	40
Kitui	9,518.59	5,226.77	14,745.36	6,542.31	1,549.24	8,091.55	69	30	55
Kwale	7,960.38	7,867.18	15,827.56	5,049.69	2,137.21	7,186.90	63	27	45
Laikipia	4,946.67	4,270.47	9,217.14	3,383.50	1,045.99	4,429.49	68	24	48
Lamu	3,355.33	2,237.23	5,592.56	1,896.74	251.51	2,148.25	57	11	38
Machakos	10,597.21	4,596.38	15,193.59	7,991.78	1,163.43	9,155.21	75	25	60
Makueni	8,238.17	4,867.90	13,106.07	5,224.07	1,748.49	6,972.56	63	36	53
Mandera	9,570.93	5,440.74	15,011.67	6,048.07	2,409.11	8,457.18	63	44	56
Marsabit	6,656.99	3,672.95	10,329.94	4,973.41	1,871.86	6,845.27	75	51	66
Meru	9,794.27	6,224.56	16,018.83	7,561.88	3,390.60	10,952.48	77	54	68
Migori	7,449.61	4,327.74	11,777.35	4,757.32	848.5	5,605.82	64	20	48
Mombasa	10,179.29	4,450.71	14,630.00	6,377.13	910.03	7,287.16	63	20	50
Murang'a	7,887.83	3,828.92	11,716.75	4,573.46	1,462.03	6,035.49	58	38	52
Nairobi	31,203.19	13,417.70	44,620.89	26,780.80	5,341.86	32,122.66	86	40	72
Nakuru	14,924.87	7,472.53	22,397.40	9,329.64	1,419.36	10,749.00	63	19	48
Nandi	6,529.92	4,111.27	10,641.18	4,468.93	2,273.01	6,741.94	68	55	63
Narok	11,018.82	6,212.24	17,231.06	7,325.05	2,091.60	9,416.65	66	34	55
Nyamira	5,365.31	3,280.99	8,646.30	3,703.35	1,322.99	5,026.34	69	40	58
Nyandarua	5,833.86	3,592.61	9,426.48	3,638.49	812.61	4,451.10	62	23	47
Nyeri	6,324.12	3,117.61	9,441.73	4,603.05	735.12	5,338.17	73	24	57
Samburu	5,403.79	2,705.59	8,109.38	3,825.82	810.1	4,635.92	71	30	57
Siaya	6,974.55	5,818.79	12,793.34	3,762.29	761.71	4,524.00	54	13	35
Taita-Tav-eta	5,721.68	2,613.34	8,335.02	3,947.75	949.02	4,896.77	69	36	59

County	Budget Estimates (Kshs.Million			Expenditure (Kshs.Million)			Absorption Rate(%)		
	Rec	Dev	Total	Rec	Dev	Total	Rec	Dev	Total
	A	B	C=A+B	D	E	F=D+E	G=D/A 100	H=E/B 100	I=F/C 100
Tana River	5,639.26	4,325.61	9,964.87	3,160.52	746.87	3,907.39	56	17	39
Thara-ka-Nithi	4,617.43	2,893.13	7,510.56	2,679.16	677.87	3,357.03	58	23	45
Trans Nzoia	6,250.62	3,667.04	9,917.66	3,797.31	1,595.36	5,392.67	61	44	54
Turkana	12,303.86	7,602.43	19,906.29	7,255.88	1,686.80	8,942.68	59	22	45
Uasin Gishu	9,984.96	7,442.25	17,427.22	5,363.09	1,001.49	6,364.58	54	13	37
Vihiga	5,244.37	2,681.85	7,926.22	3,592.96	943.78	4,536.74	69	35	57
Wajir	8,758.85	4,879.67	13,638.52	5,831.91	2,612.20	8,444.11	67	54	62
West Pokot	6,227.17	2,757.89	8,985.06	4,130.84	635.34	4,766.18	66	23	53
Total	**398,974.59**	**234,329.28**	**633,303.87**	**259,574.32**	**72,073.40**	**331,647.72**	**65**	**31**	**52**

Source: County Treasuries and Assemblies

An analysis of development expenditures reveals that four County Governments had development absorption rates above 50 per cent: Nandi at 55 per cent, Meru at 54 per cent, Wajir at 54 per cent, and Marsabit at 51 per cent. On the other hand, 9 Counties had a development absorption of 20 per cent or less in the first nine months of FY 2025/26, which includes Mombasa at 20 per cent, Migori at 20 per cent, Nakuru at 19 percent, Tana River at 17 per cent, Baringo at 17 per cent, Uasin Gishu at 13 per cent, Siaya at 13 per cent, Lamu at 11 per cent and Kajiado at 9 per cent. Chapter Three provides a detailed analysis of the implementation of development expenditures in these counties.

2.4.2 Status of County Government Stalled Projects

Article 201 of the Constitution requires openness, accountability, prudent use of public money and clear fiscal reporting in all aspects of public finance. Article 227 further requires that public procurement be undertaken through a system that is fair, equitable, transparent, competitive, and cost-effective. In addition, the Public Finance Management Act, 2012 requires county governments to use public resources efficiently and effectively, and to implement programmes and projects in accordance with approved budgets, plans and appropriations.

Table 2.5 summarises county government stalled projects as of 31 March 2026.

Table 2.5: County Government Stalled Projects as of 31 March 2026

No.	County	Number of Stalled Projects	Estimated Project Value (Kshs.Million)	Amount Paid (Kshs.Million)	Outstanding Balance (Kshs.Million)
1	Baringo	24	1,330.00	131.06	1,198.94
2	Bomet	-	-	-	-
3	Bungoma	-	-	-	-
4	Busia	-	-	-	-
5	Elgeyo-Marakwet	2	98.73	60.78	37.95
6	Embu	-	-	-	-
7	Garissa	4	283.54	64.00	219.54
8	Homa Bay	-	-	-	-
9	Isiolo	8	1,470.00	1,050.00	420.00
10	Kajiado	-	-	-	-
11	Kakamega	6	45.90	12.46	33.44
12	Kericho	5	131.80	57.80	74.00

No.	County	Number of Stalled Projects	Estimated Project Value (Kshs.Million)	Amount Paid (Kshs.Million)	Outstanding Balance (Kshs.Million)
13	Kiambu	5	597.16	395.74	201.42
14	Kilifi	68	542.44	473.06	69.38
15	Kirinyaga	-	-	-	-
16	Kisii	2	29.40	11.28	18.12
17	Kisumu	-	-	-	-
18	Kitui	1	923.78	406.91	516.87
19	Kwale	3	464.68	240.53	224.15
20	Laikipia	-	-	-	-
21	Lamu	3	366.13	183.73	182.40
22	Machakos	54	1,130.00	314.26	815.74
23	Makueni	-	-	-	-
24	Mandera	-	-	-	-
25	Marsabit	-	-	-	-
26	Meru	1	34.74	18.80	15.94
27	Migori	-	-	-	-
28	Mombasa	-	-	-	-
29	Murang'a	-	-	-	-
30	Nairobi City	36	2,900.00	117.30	2,782.70
31	Nakuru	-	-	-	-
32	Nandi	-	-	-	-
33	Narok	-	-	-	-
34	Nyamira	2	417.35	259.99	157.36
35	Nyandarua	-	-	-	-
36	Nyeri	-	-	-	-
37	Samburu	2	204.54	168.23	36.31
38	Siaya	1	1.89	3.72	(1.83) *Project under investigation*
39	Taita-Taveta	-	-	-	-
40	Tana River	-	-	-	-
41	Tharaka-Nithi	1	689.34	105.89	583.45
42	Trans-Nzoia	1	874.00	794.52	79.48
43	Turkana	-	-	-	-
44	Uasin Gishu	4	466.92	129.58	337.34
45	Vihiga	-	-	-	-
46	Wajir	-	-	-	-
47	West Pokot	4	660.00	108.00	552.00
	TOTAL (all 47 counties)	**237**	**13,662.34**	**5,107.64**	**8,554.70**

Source: County Treasuries

Twenty-two counties reported stalled projects during the period under review. In total, these counties reported 237 stalled projects with an estimated value of Kshs.13.66 billion, of which Kshs.5.11 billion had already been paid. The reported causes of project stalling included inadequate budgetary allocations, un-

resolved contract variations, contractor abandonment, contract termination, missing contract files and projects under investigation. Further details on individual stalled projects and the reasons for stalling are provided in Chapter Three of the report.

Stalled projects delay service delivery, undermine achievement of intended development objectives and expose funds already paid to value-for-money risks.

County governments should prioritise stalled projects that can be completed and operationalised in subsequent budget cycles, allocate adequate resources for completion and resolve outstanding contractual issues in accordance with the law, including through relevant dispute-resolution or oversight agencies where applicable.

2.4.3 Recurrent Expenditure

Counties collectively spent Kshs.259.57 billion on recurrent expenditure, accounting for 78 per cent of their total expenditure. This amount represented 65 per cent of the annual recurrent budget for County Governments. Four counties demonstrated strong absorption rates of recurrent expenditure of 75 per cent or higher, including Meru, Nairobi City, Machakos and Marsabit. Conversely, six County Governments reported recurrent performance levels of 55 per cent or lower, i.e., Isiolo, Siaya, Kericho, Uasin Gishu, Embu, and Kisumu, as shown in Table 2.4. Chapter Three provides a detailed analysis of recurrent expenditure by county.

2.4.4 Compensation of Employees as a Share of Actual County Revenue

Section 107(2) of the Public Finance Management Act, 2012 establishes fiscal responsibility principles for county governments, while Regulation 25(1)(b) of the Public Finance Management (County Governments) Regulations requires county governments to ensure that expenditure on wages and benefits for public officers does not exceed 35 per cent of total county revenue. Accordingly, the review assessed actual compensation of employees for the first nine months of FY 2025/26 against reported actual revenue for each county, with the results summarised in Table 2.6.

Table 2.6: County Wage Bill Expenditure Compared with Actual Revenue

County	Reported Revenues (Kshs. Million)	Compensation of Employees Expenditure (Kshs.Million)	% of Compensation of Employees to Actual Revenue
	a	b	c=b/a*100
Baringo	4,819.30	2,672.39	55
Bomet	5,521.24	3,028.34	55
Bungoma	11,106.44	5,848.82	53
Busia	6,730.51	3,251.58	48
Elgeyo Marakwet	6,143.12	2,389.54	39
Embu	5,758.84	2,134.70	37
Garissa	7,716.76	3,544.82	46
Homa Bay	7,261.04	4,551.52	63
Isiolo	4,860.55	1,952.88	40
Kajiado	7,682.12	3,774.30	49
Kakamega	10,529.71	5,256.81	50
Kericho	6,043.15	2,628.92	44
Kiambu	15,086.73	5,726.68	38
Kilifi	11,717.38	4,315.42	37
Kirinyaga	5,918.55	1,907.47	32
Kisii	11,130.30	4,837.01	43
Kisumu	8,833.03	3,520.32	40
Kitui	9,136.34	4,463.00	49

County	Reported Revenues (Kshs. Million)	Compensation of Employees Expenditure (Kshs.Million)	% of Compensation of Employees to Actual Revenue
	a	b	c=b/a*100
Kwale	9,930.35	2,974.56	30
Laikipia	6,129.02	2,362.10	39
Lamu	3,366.82	1,356.68	40
Machakos	9,479.55	5,544.55	58
Makueni	8,199.93	3,731.80	46
Mandera	9,388.66	3,485.23	37
Marsabit	6,496.09	3,282.25	51
Meru	9,832.28	4,202.88	43
Migori	7,445.24	2,765.85	37
Mombasa	10,111.83	5,244.91	52
Muranga	7,211.95	3,271.13	45
Nairobi	26,035.12	14,162.40	54
Nakuru	17,018.92	5,099.45	30
Nandi	6,567.89	2,499.67	38
Narok	10,651.95	5,332.82	50
Nyamira	5,361.46	2,565.44	48
Nyandarua	5,775.33	2,414.11	42
Nyeri	6,758.73	3,494.99	52
Samburu	3,991.43	2,083.10	52
Siaya	7,312.95	2,961.94	41
Taita Taveta	5,051.89	3,193.64	63
Tana River	6,281.32	1,706.27	27
Tharaka Nithi	4,329.55	2,079.21	48
Trans Nzoia	6,483.05	2,628.73	41
Turkana	11,349.70	4,410.63	39
Uasin Gishu	12,478.94	3,898.89	31
Vihiga	4,847.19	2,458.67	51
Wajir	8,826.89	3,795.29	43
West Pokot	5,659.22	2,545.26	45
Total	**388,368.35**	**171,356.97**	**44**

Source: County Treasuries and Assemblies

The analysis shows that, in aggregate, counties spent Kshs.171.36 billion on compensation of employees against reported revenue of Kshs.388.37 billion, translating to a wage-to-revenue ratio of 44 per cent. This exceeded the statutory ceiling of 35 per cent by 9 percentage points, indicating that personnel costs continued to exert significant pressure on county fiscal space. Forty-one counties exceeded the ceiling during the review period. Only five counties were within the ceiling: Tana River at 27 per cent, Kwale and Nakuru at 30 per cent each, Uasin Gishu at 31 per cent, and Kirinyaga at 32 per cent.

Further analysis of compensation of employees shows that most counties continued to process some payroll payments manually, notwithstanding the April 2024 Wage Bill and Productivity Conference resolution requiring county entities to migrate payroll processing to the Human Resource Information System Kenya (HRIS-Ke) by June 2025. The highest manual payroll shares were reported by Siaya at 13.8 per cent, Wajir at 12.7 per cent, Tharaka Nithi at 12.5 per cent and Lamu at 10.1 per cent. In contrast, Narok, Trans Nzoia, Turkana and Uasin Gishu reported no manual payroll. The main reasons cited for manual payroll were delayed issuance of personal or payroll numbers, incomplete HRIS-Ke onboarding, temporary casual

staff, gratuity and statutory payments, security top-up allowances, connectivity challenges and missing staff documentation. Further details on wage bill-to-revenue ratio compliance and county-specific reasons for maintaining manual payroll are provided in Chapter Three of the report.

2.4.5 Domestic and Foreign Travel Expenditure by County Governments

Article 201 of the Constitution requires that public money be used prudently and responsibly and that fiscal reporting be clear. The Public Finance Management Act, 2012, and the Public Finance Management (County Governments) Regulations, 2015, require that expenditure be authorised, supported, budgeted for, and applied only for approved public purposes. Expenditure on domestic and foreign travel should therefore be properly planned, approved, documented and linked to official county business and service-delivery objectives.

Table 2.7 summarises domestic and foreign travel expenditure by county governments during the first nine months of FY 2025/26 and compares the expenditure with reported operations and maintenance expenditure.

Table 2.7: Domestic and Foreign Travel Expenditure as a Share of Operations and Maintenance Expenditure

County	O&M Expenditure (Kshs.Million)	Domestic Travel (Kshs.Million)	Foreign Travel (Kshs.Million)	Total Travel Expenditure (Kshs.Million)	Travel as Share of O&M (%)
	a	b	c	d=b+c	e=d/a*100
Baringo	779.50	302.92	20.64	323.56	**42**
Bomet	1,444.82	171.19	39.80	210.99	**15**
Bungoma	2,239.79	360.50	12.58	373.08	**17**
Busia	1,475.45	171.78	40.93	212.71	**14**
Elgeyo-Marakwet	611.18	65.92	11.76	77.68	**13**
Embu	831.76	131.60	27.56	159.16	**19**
Garissa	971.60	62.17	10.08	72.25	**7**
Homa Bay	623.56	219.82	-	219.82	**35**
Isiolo	757.29	93.24	23.19	116.43	**15**
Kajiado	1,529.50	348.58	17.96	366.54	**24**
Kakamega	2,796.22	285.17	13.28	298.45	**11**
Kericho	870.51	233.94	22.20	256.14	**29**
Kiambu	3,759.81	266.55	210.99	477.54	**13**
Kilifi	3,391.23	180.73	6.60	187.33	**6**
Kirinyaga	1,256.04	235.37	-	235.37	**19**
Kisii	1,590.42	174.73	18.22	192.95	**12**
Kisumu	1,727.92	269.86	49.31	319.17	**18**
Kitui	2,079.31	482.77	40.64	523.41	**25**
Kwale	2,075.13	280.21	23.22	303.43	**15**
Laikipia	1,021.40	91.10	53.32	144.42	**14**
Lamu	540.06	108.21	88.27	196.48	**36**
Machakos	2,447.23	249.15	64.89	314.04	**13**
Makueni	1,492.27	171.09	11.56	182.65	**12**
Mandera	2,562.84	77.19	26.69	103.88	**4**
Marsabit	1,691.16	134.29	26.62	160.91	**10**
Meru	3,359.00	420.32	95.51	515.83	**15**

County	O&M Expenditure (Kshs.Million)	Domestic Travel (Kshs.Million)	Foreign Travel (Kshs.Million)	Total Travel Expenditure (Kshs.Million)	Travel as Share of O&M (%)
	a	b	c	d=b+c	e=d/a*100
Migori	1,991.47	254.97	4.83	259.80	**13**
Mombasa	1,132.22	156.54	69.10	225.64	**20**
Murang'a	1,302.33	216.69	2.56	219.25	**17**
Nairobi	12,618.40	1,180.00	373.61	1,553.61	**12**
Nakuru	4,230.19	258.07	57.95	316.02	**7**
Nandi	1,969.26	207.08	37.96	245.04	**12**
Narok	1,992.23	275.89	14.19	290.08	**15**
Nyamira	1,137.91	168.16	6.89	175.05	**15**
Nyandarua	1,224.38	236.97	19.96	256.93	**21**
Nyeri	1,108.06	265.33	62.27	327.60	**30**
Samburu	1,742.72	417.18	27.35	444.53	**26**
Siaya	800.35	123.86	-	123.86	**15**
Taita-Taveta	754.11	194.81	9.99	204.80	**27**
Tana River	1,454.25	327.08	41.53	368.61	**25**
Tharaka-Nithi	599.95	136.60	4.90	141.50	**24**
Trans Nzoia	1,168.58	150.24	17.12	167.36	**14**
Turkana	2,845.25	194.22	4.30	198.52	**7**
Uasin Gishu	1,464.20	231.82	17.70	249.52	**17**
Vihiga	1,134.29	213.59	27.55	241.14	**21**
Wajir	2,036.62	109.33	2.97	112.30	**6**
West Pokot	1,585.58	492.91	11.37	504.28	**32**
Total	**88,217.35**	**11,399.74**	**1,769.92**	**13,169.66**	**15**

Source: *County Treasuries and Assemblies*

County governments spent Kshs.13.17 billion on domestic and foreign travel, representing 15 per cent of the total operations and maintenance expenditure of Kshs.88.22 billion. The highest travel-to-O&M ratios were reported by Baringo at 42 per cent, Lamu at 36 per cent and Homa Bay at 35 per cent, while West Pokot followed at 32 per cent. Mandera reported the lowest ratios at 4 per cent, and Kilifi and Wajir at 6 per cent each.

2.4.6 Review of MCA Sitting Allowances

County Assemblies spent Kshs.1.12 billion on MCAs' sitting allowances against an approved budget of Kshs.2.02 billion during the reporting period. This reflects an absorption rate of 55 per cent. Table 2.8 shows the budgetary allocation and expenditure on MCAs' and Speakers' sitting allowances for the first nine months of FY 2025/26.

Table 2.8: MCA's Budget Allocation, Expenditure and Absorption Rate for the First Nine Months of FY 2025/26

County	Budget (Kshs.)	Expenditure (Kshs.)	Absorption (%)	No. of MCAs	Average monthly sitting allowances per MCA (Kshs.)
	A	B	C=B/A100	D	E=B/D/9
Baringo	50,784,000	17,168,000	34	46	41,469
Bomet	35,942,400	33,722,800	94	39	96,076
Bungoma	51,016,112	45,337,392	89	63	79,960

County	Budget (Kshs.)	Expenditure (Kshs.)	Absorption (%)	No. of MCAs	Average monthly sitting allowances per MCA (Kshs.)
	A	B	C=B/A100	D	E=B/D/9
Busia	65,657,400	35,403,544	54	54	72,847
Elgeyo-Marakwet	30,308,742	17,678,400	58	34	57,773
Embu	60,859,587	37,547,103	62	31	134,577
Garissa	78,304,000	33,754,636	43	48	78,136
Homa Bay	45,676,800	21,319,065	47	54	43,866
Isiolo	13,503,758	11,994,100	89	18	74,038
Kajiado	32,000,000	9,938,000	31	42	26,291
Kakamega	128,153,160	57,095,200	45	91	69,713
Kericho	48,410,400	29,030,701	60	48	67,201
Kiambu	75,000,000	53,255,800	71	89	66,487
Kilifi	28,000,000	16,783,600	60	56	33,301
Kirinyaga	52,832,946	21,249,300	40	34	69,442
Kisii	65,000,710	51,287,700	79	71	80,262
Kisumu	45,907,664	25,465,525	55	48	58,948
Kitui	24,186,692	13,246,019	55	61	24,128
Kwale	24,814,300	11,583,200	47	31	41,517
Laikipia	20,968,000	6,300,900	30	22	31,823
Lamu	15,732,000	11,527,100	73	20	64,039
Machakos	50,000,000	28,061,800	56	61	51,114
Makueni	43,692,800	20,408,600	47	49	46,278
Mandera	30,000,000	7,436,700	25	51	16,202
Marsabit	30,000,000	24,576,300	82	33	82,748
Meru	71,043,600	44,119,583	62	70	70,031
Migori	44,330,000	13,245,700	30	60	24,529
Mombasa	35,881,608	23,886,700	67	43	61,723
Murang'a	38,937,600	17,645,252	45	48	40,845
Nairobi	70,000,000	30,292,591	43	125	26,927
Nakuru	53,000,000	28,499,431	54	76	41,666
Nandi	32,828,800	32,670,366	100	45	80,668
Narok	35,113,760	27,673,900	79	50	61,498
Nyamira	41,184,012	24,919,700	61	34	81,437
Nyandarua	36,855,000	19,869,200	54	42	52,564
Nyeri	18,000,000	13,092,100	73	43	33,830
Samburu	30,451,200	15,052,317	49	26	64,326
Siaya	29,745,100	18,821,000	63	45	46,472
Taita-Taveta	27,800,000	16,821,600	61	32	58,408
Tana River	34,611,200	25,003,800	72	27	102,896
Tharaka-Nithi	27,899,124	17,971,200	64	24	83,200
Trans Nzoia	42,432,000	11,404,600	27	34	37,270
Turkana	60,373,202	10,457,900	17	48	24,208

County	Budget (Kshs.)	Expenditure (Kshs.)	Absorption (%)	No. of MCAs	Average monthly sitting allowances per MCA (Kshs.)
	A	B	C=B/A100	D	E=B/D/9
Uasin Gishu	39,918,400	19,818,500	50	45	48,935
Vihiga	30,680,000	13,601,300	44	38	39,770
Wajir	37,860,100	32,260,100	85	46	77,923
West Pokot	33,575,800	19,966,200	59	33	67,226
Total	**2,019,271,977**	**1,118,264,525**	**55**	**2,228**	**83,652**

Source: County Treasuries

Expenditure performance on MCAs' sitting allowances varied significantly across counties, with Nandi, Bomet, Bungoma, Isiolo and Wajir registering high utilisation levels. At the same time, Migori, Trans Nzoia, Mandera and Turkana recorded minimal absorption. Embu County monthly average MCA sitting allowance of Kshs.134,577 exceeds the SRC set limit of Kshs.124,800.

2.4.7 Trade Payables as of 31st March 2026

A trade payable is an unsettled financial obligation at the end of a financial year. It arises when an entity fails to settle invoiced amounts for goods and services that were adequately procured, delivered, or rendered at the end of the financial year.

As of 31st March, 2026, County Governments reported outstanding trade payables totalling Kshs.156.84 billion. This amount includes Kshs.116.50 billion for recurrent activities and Kshs.40.34 billion for development activities. The trade payables for the County Executive as of this date were Kshs.151.49 billion, while for the Assemblies amounted to Kshs.5.35 billion. Table 2.9 shows more details on trade payables.

Table 2.9: Trade Payables for the Counties as of 31st March 2026

County	County Executive (Kshs.Million)			County Assembly (Kshs.Million)			Grand Total (Kshs. Million)	FY 2025/26 Budget (Kshs. Million)	% of Pending Bill to Budget
	Rec	Dev	Sub-Total	Rec	Dev	Sub-Total			
Baringo	151.87	95.61	**247.48**	23.89	0.00	**23.89**	**271.37**	9,542.03	3
Bomet	229.87	352.85	**582.71**	7.21	10.85	**18.06**	**600.78**	10,815.78	6
Bungoma	1,576.69	1,801.31	**3,378.00**	0.01	-	**0.01**	**3,378.01**	17,433.19	19
Busia	1,174.30	937.57	**2,111.86**	548.34	0.00	**548.34**	**2,660.20**	11,248.15	24
Elgeyo-Marakwet	6.31	2.41	**8.72**	0.00	0.00	**0.00**	**8.72**	8,849.61	0
Embu	662.82	611.83	**1,274.64**	0.00	0.00	**0.00**	**1,274.64**	8,990.25	14
Garissa	731.47	814.44	**1,545.91**	57.89	26.74	**84.63**	**1,630.54**	12,694.63	13
Homa Bay	182.63	520.43	**703.06**	83.87	157.17	**241.04**	**944.10**	13,601.45	7
Isiolo	645.12	180.35	**825.46**	121.21	106.36	**227.57**	**1,053.03**	7,555.84	14
Kajiado	1,101.62	1,246.53	**2,348.16**	33.65	8.69	**42.34**	**2,390.49**	13,775.47	17
Kakamega	1,739.09	826.94	**2,566.03**	503.78	163.84	**667.62**	**3,233.65**	17,047.86	19
Kericho	247.83	776.14	**1,023.97**	0.00	13.21	**13.21**	**1,037.18**	10,034.96	10
Kiambu	3,059.85	2,283.83	**5,343.67**	175.30	31.21	**206.51**	**5,550.18**	26,831.32	21
Kilifi	2,786.36	3,317.43	**6,103.79**	287.24	4.29	**291.53**	**6,395.32**	19,876.51	32
Kirinyaga	363.85	373.98	**737.83**	0.00	0.00	**0.00**	**737.83**	8,541.37	9
Kisii	444.33	116.44	**560.77**	1.85	28.43	**30.28**	**591.05**	20,047.93	3
Kisumu	1,499.06	1,120.08	**2,619.14**	12.08	0.00	**12.08**	**2,631.22**	16,331.52	16
Kitui	11.73	103.33	**115.06**	9.22	0.00	**9.22**	**124.29**	14,745.36	1
Kwale	179.38	161.86	**341.24**	0.00	207.95	**207.95**	**549.19**	15,827.56	3
Laikipia	384.16	922.98	**1,307.14**	20.77	3.99	**24.76**	**1,331.90**	9,217.14	14

County	County Executive (Kshs.Million)			County Assembly (Kshs.Million)			Grand Total (Kshs. Million)	FY 2025/26 Budget (Kshs. Million)	% of Pending Bill to Budget
	Rec	Dev	Sub-Total	Rec	Dev	Sub-Total			
Lamu	17.92	0.00	**17.92**	0.00	0.00	**0.00**	**17.92**	5,592.56	0
Machakos	2,932.85	2,307.37	**5,240.23**	221.99	1.94	**223.93**	**5,464.16**	15,193.59	36
Makueni	93.10	17.09	**110.20**	113.52	0.00	**113.52**	**223.72**	13,106.07	2
Mandera	722.16	958.98	**1,681.14**	0.00	0.00	**0.00**	**1,681.14**	15,011.67	11
Marsabit	0.00	143.08	**143.08**	3.43	72.33	**75.76**	**218.84**	10,329.94	2
Meru	315.42	311.92	**627.34**	0.00	0.00	**0.00**	**627.34**	16,018.83	4
Migori	336.64	280.01	**616.65**	629.57	0.30	**629.87**	**1,246.51**	11,777.35	11
Mombasa	700.02	1,270.60	**1,970.62**	14.38	0.00	**14.38**	**1,985.00**	14,630.00	14
Murang'a	1,002.81	143.45	**1,146.26**	36.12	0.00	**36.12**	**1,182.39**	11,716.75	10
Nairobi	74,517.63	6,619.17	**81,136.80**	650.60	0.00	**650.60**	**81,787.40**	44,620.89	183
Nakuru	1,473.17	438.23	**1,911.40**	63.43	0.00	**63.43**	**1,974.83**	22,397.40	9
Nandi	222.46	216.09	**438.54**	0.00	0.00	**0.00**	**438.54**	10,641.18	4
Narok	2,786.50	1,592.52	**4,379.02**	21.80	0.00	**21.80**	**4,400.82**	17,231.06	26
Nyamira	386.19	322.92	**709.11**	3.70	10.07	**13.77**	**722.88**	8,646.30	8
Nyandarua	297.53	630.62	**928.15**	50.97	0.05	**51.02**	**979.17**	9,426.48	10
Nyeri	218.52	12.45	**230.97**	0.00	0.00	**0.00**	**230.97**	9,441.73	2
Samburu	6.27	53.74	**60.01**	24.11	0.00	**24.11**	**84.12**	8,109.38	1
Siaya	759.30	601.47	**1,360.77**	72.58	0.00	**72.58**	**1,433.35**	12,793.34	11
Taita-Taveta	1,331.45	480.54	**1,811.99**	84.95	0.00	**84.95**	**1,896.94**	8,335.02	23
Tana River	1,167.19	905.38	**2,072.56**	0.00	0.00	**0.00**	**2,072.56**	9,964.87	21
Tharaka-Nithi	244.74	109.80	**354.54**	101.12	3.92	**105.04**	**459.58**	7,510.56	6
Trans Nzoia	806.33	947.06	**1,753.39**	0.00	0.00	**0.00**	**1,753.39**	9,917.66	18
Turkana	2,520.86	2,034.42	**4,555.28**	39.67	213.20	**252.87**	**4,808.15**	19,906.29	24
Uasin Gishu	818.14	109.95	**928.09**	134.23	0.00	**134.23**	**1,062.32**	17,427.22	6
Vihiga	319.25	552.26	**871.51**	0.00	0.00	**0.00**	**871.51**	7,926.22	11
Wajir	861.99	1,569.28	**2,431.27**	129.81	0.00	**129.81**	**2,561.08**	13,638.52	19
West Pokot	183.25	77.49	**260.74**	0.00	0.00	**0.00**	**260.74**	8,985.06	3
Total	**112,220.01**	**39,272.20**	**151,492.21**	**4,282.31**	**1,064.54**	**5,346.85**	**156,839.06**	**633,303.84**	**25**

Source: County Treasuries

Several county governments did not adhere to their scheduled payment plans for outstanding trade payables (see Chapter Three for more details). According to Regulation 55(2)(b) of the Public Finance Management (County Governments) Regulations, 2015, county governments are required to prioritise the settlement of all eligible trade payables in the budget as a first charge for the fiscal year 2025/26.

Nairobi City County led in trade payables, at Kshs.81.79 billion, accounting for 53 per cent of all County Governments' payables, followed by Kilifi, Kiambu, Machakos, Turkana, and Narok Counties.

The ageing analysis of County Executive and County Assemblies trade payables as of 31st March 2026 is shown in Table 2.10 and Table 2.11 below.

Table 2.10: Trade Payables Ageing Analysis for County Executives as of 31st March 2026

	County Executives Ageing analysis (Amount in Kshs.Millions)				Total (Kshs.Millions)
	Under one year	1-2 years	2-3 years	Over 3 years	
Baringo	-	247,481,073	-	-	**247,481,073**
Bomet	-	582,713,731	-	-	**582,713,731**

	County Executives Ageing analysis (Amount in Kshs.Millions)				Total (Kshs.Millions)
	Under one year	1-2 years	2-3 years	Over 3 years	
Bungoma	1,046,705,243	965,706,969	438,694,660	926,885,990	**3,377,992,862**
Busia	1,129,646,256	685,254,366	236,978,069	59,982,595	**2,111,861,286**
Elgeyo-Marakwet*	-	2,199,999	-	-	**2,199,999**
Embu	131,017,992	310,285,669	2,990,011	830,350,416	**1,274,644,088**
Garissa	145,624,771	292,315,511	310,621,067	797,349,095	**1,545,910,444**
Homa Bay	432,538,321	225,721,958	44,798,409	-	**703,058,688**
Isiolo	132,284,983	333,385,485	322,508,302	37,286,031	**825,464,801**
Kajiado	541,878,799	803,221,164	190,891,712	812,164,056	**2,348,155,731**
Kakamega*	-	-	-	-	**2,566,029,041**
Kericho	29,492,288	921,609,362	72,867,237	-	**1,023,968,887**
Kiambu	1,005,473,963	764,331,666	10,006,733	3,563,862,087	**5,343,674,449**
Kilifi	1,592,812,717	1,818,277,662	1,410,929,569	1,281,766,312	**6,103,786,260**
Kirinyaga	330,664,983	34,121,509	373,042,485	-	**737,828,977**
Kisii	293,459,107	127,951,034	56,539,889	82,816,899	**560,766,929**
Kisumu	543,305,859	637,307,095	157,274,921	1,281,247,528	**2,619,135,403**
Kitui	-	115,063,394	-	-	**115,063,394**
Kwale	153,983,112	187,252,286	-	-	**341,235,398**
Laikipia	-	-	455,032,576	852,111,502	**1,307,144,078**
Lamu	15,762,482	2,160,815	-	-	**17,923,297**
Machakos	1,332,623,093	602,801,788	453,161,979	2,851,638,269	**5,240,225,129**
Makueni	92,817,051	17,361,256	-	-	**110,178,307**
Mandera	-	420,105,763	-	1,261,035,109	**1,681,140,872**
Marsabit	35,477,148	1,199,000	106,403,411	-	**143,079,559**
Meru	362,452,631	122,984,589	106,855,412	35,051,373	**627,344,005**
Migori	142,451,104	162,473,851	282,354,562	29,367,821	**616,647,338**
Mombasa	40,451,166	-	-	1,930,177,618	**1,970,628,784**
Murang'a	299,956,106	-	-	846,308,294	**1,146,264,400**
Nairobi	8,587,117,807	3,750,527,383	7,186,876,537	61,612,277,713	**81,136,799,440**
Nakuru	471,998,986	866,406,737	109,214,957	463,782,127	**1,911,402,807**
Nandi	303,832,960	98,783,814	35,927,231	-	**438,544,005**
Narok	2,945,645,555	1,022,157,550	17,739,950	393,480,704	**4,379,023,759**
Nyamira*	69,859,631	223,182,640	263,289,877	166,548,811	**722,880,959**
Nyandarua	797,843,024	117,543,620	12,761,893	-	**928,148,537**
Nyeri	172,806,060	58,161,543	-	-	**230,967,603**
Samburu	44,951,838	-	-	15,054,646	**60,006,484**
Siaya	1,196,228,580	99,476,470	32,725,678	32,335,670	**1,360,766,398**
Taita-Taveta	170,503,289	462,131,421	921,018,034	258,336,480	**1,811,989,224**
Tana River	518,500,275	562,967,476	517,383,424	473,711,220	**2,072,562,395**
Tharaka-Nithi*	190,594,277	20,751,872	9,594,425	133,598,819	**354,539,393**
Trans Nzoia	485,713,675	830,194,338	238,774,415	198,709,637	**1,753,392,065**
Turkana	3,157,995,832	379,729,251	360,064,845	657,486,939	**4,555,276,867**
Uasin Gishu	293,378,506	218,030,657	402,936,474	13,736,215	**928,081,852**
Vihiga	301,548,398	353,659,343	-	216,298,521	**871,506,262**
Wajir	488,090,111	-	-	1,943,178,770	**2,431,268,881**

	County Executives Ageing analysis (Amount in Kshs.Millions)				Total (Kshs.Millions)
	Under one year	1-2 years	2-3 years	Over 3 years	
West Pokot*	65,648,705	8,163,480	89,696,938	19,737,219	**183,246,342**
Total	**30,093,136,684**	**19,455,154,590**	**15,229,955,682**	**84,077,674,486**	**151,421,950,483**

Note: Kakamega County Executive did not provide an ageing analysis of payables as of 31st March 2026. Additionally, there are discrepancies between the cumulative trade payables in Table 2.9 *and the ageing analysis in* Table 2.10 *for the counties with an asterisk.*

Source: *County Treasuries*

Table 2.10 shows that 10 County Executives had over 50 per cent of their trade payables aged 3 years or more: Mombasa Executive (98 per cent), Wajir Executive (80 per cent), Nairobi Executive (76 per cent), Mandera Executive (75 per cent), Murang'a Executive (74 per cent), Kiambu Executive (67 per cent), Laikipia Executive (65 per cent), Embu Executive (65 per cent), Machakos Executive(54 per cent), and Garissa Executive (52 per cent). This poses significant risks for County Executives in ever settling their bills as their terms come to an end shortly.

Table 2.11: Trade Payables Ageing Analysis for County Assemblies as of 31st March 2026

	County Assemblies Ageing analysis (Amount in Kshs.Millions)				Total (Kshs.Millions)
	Under one year	1-2 years	2-3 years	Over 3 years	
Baringo	-	23,891,640	-	-	**23,891,640**
Bomet	-	18,061,521	-	-	**18,061,521**
Bungoma	10,514	-	-	-	**10,514**
Busia	207,737,306	340,601,237	-	-	**548,338,543**
Elgeyo-Marakwet	-	-	-	-	**-**
Embu	-	-	-	-	**-**
Garissa	37,779,625	46,850,388	-	-	**84,630,013**
Homa Bay	36,893,748	149,429,658	9,999,305	44,721,941	**241,044,652**
Isiolo	35,236,983	89,241,832	-	103,087,012	**227,565,827**
Kajiado	-	42,337,009	-	-	**42,337,009**
Kakamega	77,599,380	163,107,920	183,784,362	243,132,068	**667,623,730**
Kericho	13,206,900	-	-	-	**13,206,900**
Kiambu	57,201,487	82,070,177	30,013,272	37,225,527	**206,510,463**
Kilifi	38,589,946	187,746,775	53,463,132	11,732,305	**291,532,158**
Kirinyaga	-	-	-	-	**-**
Kisii*	43,729,835	400,000	-	-	**44,129,835**
Kisumu	12,082,860	-	-	-	**12,082,860**
Kitui	-	9,222,214	-	-	**9,222,214**
Kwale	182,834,961	25,117,814	-	-	**207,952,775**
Laikipia	-	-	-	24,757,628	**24,757,628**
Lamu	-	-	-	-	**-**
Machakos	70,668,361	58,456,925	42,201,867	52,604,778	**223,931,931**
Makueni	-	113,524,267	-	-	**113,524,267**
Mandera	-	-	-	-	**-**
Marsabit	54,286,293	21,473,895	-	-	**75,760,188**
Meru	-	-	-	-	**-**
Migori*	-	45,788,834	28,185,706	555,591,769	**629,566,309**
Mombasa	10,568,239	2,549,009	-	1,263,098	**14,380,346**
Murang'a*	17,357,434	1,951,631	-	16,833,286	**36,142,351**
Nairobi	419,850,356	206,437,519	24,310,520	-	**650,598,395**
Nakuru	52,875,739	1,878,060	8,676,575	-	**63,430,374**
Nandi	-	-	-	-	**-**

	County Assemblies Ageing analysis (Amount in Kshs.Millions)				Total (Kshs.Millions)
	Under one year	1-2 years	2-3 years	Over 3 years	
Narok*	50,985,623	-	-	19,303,489	**70,289,112**
Nyamira	3,700,000	10,071,130	-	-	**13,771,130**
Nyandarua	6,729,859	106,069	44,212,178	-	**51,048,106**
Nyeri	-	-	-	-	**-**
Samburu	24,113,069	-	-	-	**24,113,069**
Siaya	72,579,426	-	-	-	**72,579,426**
Taita-Taveta	-	-	84,954,732	-	**84,954,732**
Tana River	-	-	-	-	**-**
Tharaka-Nithi	-	-	38,516,525	66,524,503	**105,041,028**
Trans Nzoia	-	-	-	-	**-**
Turkana	1,843,180	251,028,778	-	-	**252,871,958**
Uasin Gishu*	112,862,225	33,636,105	36,737,795	4,456,680	**187,692,805**
Vihiga	-	-	-	-	**-**
Wajir	3,783,452	30,508,434	7,285,838	88,228,522	**129,806,246**
West Pokot	-	-	-	-	**-**
Total	**1,645,106,801**	**1,955,488,841**	**592,341,807**	**1,269,462,606**	**5,462,400,055**

Note: There are discrepancies between the cumulative trade payables in Table 2.9 and the ageing analysis in Table 2.11 for Counties with an asterisk.

Source: *County Assemblies*

As shown in Table 2.11, Laikipia County Assembly has 100 per cent of its payables aged over three years, while Migori County Assembly, Wajir Assembly, and Tharaka Nithi Assembly have 88 per cent, 68 per cent, and 63 per cent, respectively. Historical payables over three years increase financial and legal risks for the respective Assemblies.

2.5. Commercial Bank Accounts Operated by County Governments

Regulation 81 of the Public Finance Management (County Governments) Regulations, 2015 requires county government bank accounts to be opened and maintained with the Central Bank of Kenya, except for accounts used for imprest, petty cash, and revenue collection, and any other accounts approved under the Regulations.

Regulation 82 further requires accounting officers to obtain written authorisation before opening bank accounts and requires County Treasuries to submit copies of authorisation letters to the Controller of Budget. This assures the legality, purpose and completeness of bank accounts operated by county entities.

As at 31 March 2026, county governments reported 6,585 commercial bank accounts, an increase from 6,386 accounts reported as at 31 December 2025. However, County Treasuries had not submitted copies of authorisation letters for these accounts to the Controller of Budget, as required, thereby limiting transparency and assurance regarding the number and purpose of commercial bank accounts maintained by counties. Table 2.12 summarises the number of commercial bank accounts reported by county governments.

Table 2.12: Commercial Bank Accounts Reported by County Governments

County	Accounts Reported as at 31 December 2025 (a)	Accounts Reported as at 31 March 2026 (b)	Net Change in Accounts (c=b-a)
Baringo	**263**	**263**	**0**
Bomet	**148**	**149**	**-1**
Bungoma	301	301	**0**
Busia	57	151	**-94**
Elgeyo-Marakwet	190	190	**0**

County	Accounts Reported as at 31 December 2025 (a)	Accounts Reported as at 31 March 2026 (b)	Net Change in Accounts (c=b-a)
Embu	219	239	**-20**
Garissa	26	26	**0**
Homa Bay	274	274	**0**
Isiolo	68	72	**-4**
Kajiado	172	172	**0**
Kakamega	177	177	**0**
Kericho	245	242	**3**
Kiambu	73	73	**0**
Kilifi	19	19	**0**
Kirinyaga	305	305	**0**
Kisii	13	13	**0**
Kisumu	187	187	**0**
Kitui	493	493	**0**
Kwale	240	240	**0**
Laikipia	44	82	**-38**
Lamu	37	37	**0**
Machakos	287	225	**62**
Makueni	24	254	**-230**
Mandera	35	35	**0**
Marsabit	112	112	**0**
Meru	529	67	**462**
Migori	76	76	**0**
Mombasa	94	78	**16**
Murang'a	16	16	**0**
Nairobi	174	174	**0**
Nakuru	311	311	**0**
Nandi	10	10	**0**
Narok	14	14	**0**
Nyamira	157	172	**-15**
Nyandarua	119	119	**0**
Nyeri	32	32	**0**
Samburu	125	125	**0**
Siaya	37	228	**-191**
Taita-Taveta	37	102	**-65**
Tana River	58	58	**0**
Tharaka-Nithi	19	19	**0**
Trans Nzoia	135	135	**0**
Turkana	19	19	**0**
Uasin Gishu	160	165	**-5**
Vihiga	116	116	**0**
Wajir	115	115	**0**
West Pokot	24	103	**-79**

County	Accounts Reported as at 31 December 2025 (a)	Accounts Reported as at 31 March 2026 (b)	Net Change in Accounts (c=b-a)
Total	**6,386**	**6,585**	**-199**

Source: County Treasuries

We observed variation in the reported number of accounts for several counties, including Meru, Siaya, Taita-Taveta, West Pokot, Makueni, Busia, and Laikipia, from December 31, 2025, to March 31, 2026. The reasons for these variations were unexplained.

3. BUDGET PERFORMANCE BY COUNTY GOVERNMENT

3.1. County Government of Baringo

3.1.1 Overview of FY 2025/26 Budget

The Baringo County Approved Budget for FY 2025/26 is Kshs.9.54 billion. It comprises Kshs.3.75 billion (39 per cent) and Kshs.5.79 billion (61 per cent) in allocations for development and recurrent programmes, respectively. The budget estimates represent an increase of Kshs.1.3 billion (16 per cent) from the FY 2024/25 budget, which comprised a development budget of Kshs.2.48 billion and a recurrent budget of Kshs.5.74 billion. The budget increase was primarily attributable to higher expected own-source revenue.

The Baringo County budget is to be financed from various revenue sources. These include: the equitable share of revenue raised nationally of Kshs.7 billion (73 per cent), additional allocations of Kshs.461.31 million (5 per cent), a cash balance of Kshs.1.34 billion (14 per cent) brought forward from FY 2024/25, and own-source revenue includes Kshs.320 million (3 per cent) as Facility Improvement Fund (revenue from health facilities), Kshs.331.94 million (4 per cent) as ordinary own-source revenue and Kshs.85.78 million(1 per cent) as other revenues(municipality). A breakdown of the additional allocations is shown in Table 3.1

3.1.2 Revenue Performance

During the first nine months of FY 2025/26, the County reported total revenues of Kshs.4.82 billion. This amount represented an increase of 1 per cent compared to the amount received in a similar period in FY 2024/25 of Kshs.4.76 billion. The total revenue consisted of Kshs.4.09 billion from the equitable share of nationally raised revenue, and own-source revenue (OSR) collection of Kshs.360.77 million. Additionally, the County had a cash balance of Kshs.366.42 million from FY 2024/25. The total OSR collection of Kshs.326.5 million included Facilities Improvement Financing (FIF) of Kshs.195.25 million, and Kshs.131.27 million from other OSR sources. Table 3.1 summarises the total revenue available to the County Government during FY 2025/26.

Table 3.1: Baringo County, Revenue Performance in the first nine months of FY 2025/26

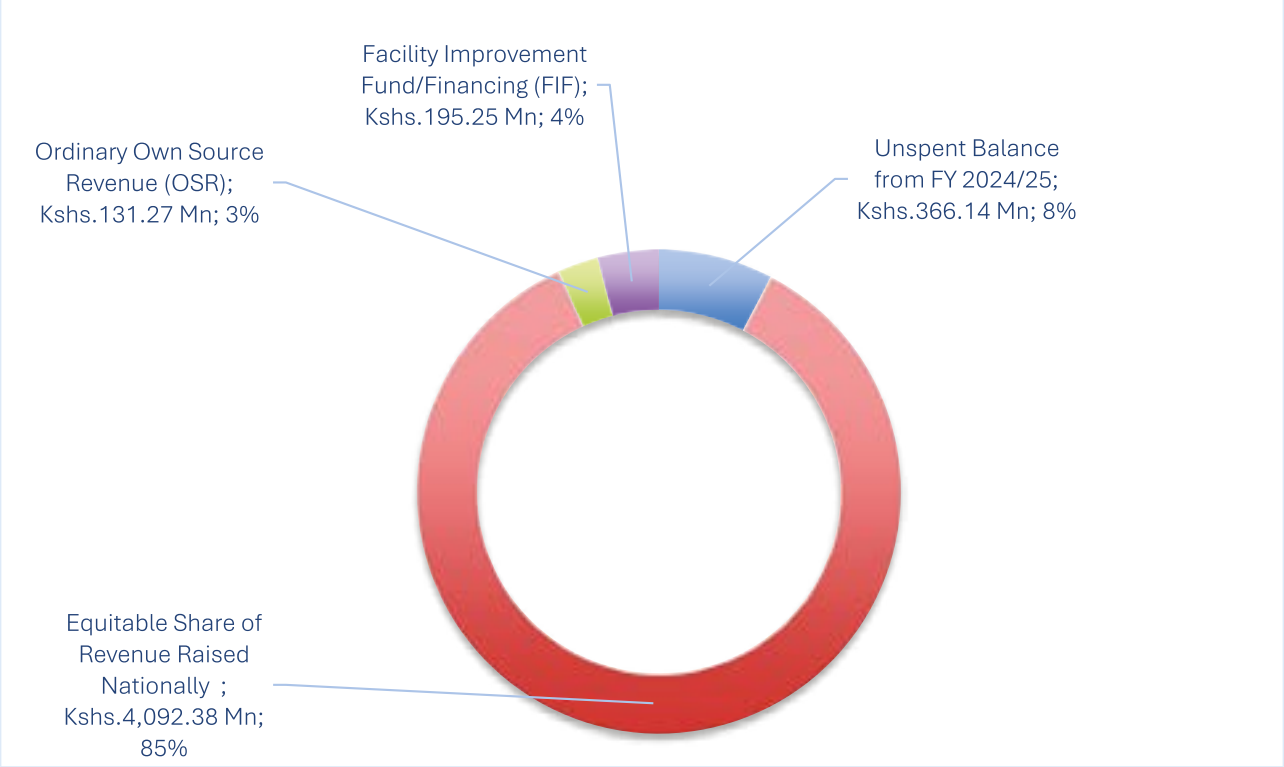
No	Revenue Stream	Annual Targeted Revenue (Kshs.)	Actual Receipts (Kshs.)	Receivables in the First Nine Months of FY 2025/26 (Kshs.)	Total Revenues (in accrual basis) in the First Nine Months of FY 2025/26 (Kshs.)	Variance (Kshs.)
		A	B	C	D=B+C	E=A-D
A	Unspent Balance from FY 2024/25	1,340,686,287.01	-	-	-	1,340,686,287
1	Balance at CRF	-	272,978,952.60	-	272,978,953	- 272,978,953
2	County Executive Refunds to CRF	-	92,523,912.65	-	92,523,913	- 92,523,913
3	County Assembly Refunds to CRF	-	638,770.40	-	638,770	- 638,770
	Sub-Total	**1,340,686,287**	**366,141,636**	**-**	**366,141,636**	**974,544,651**
B	**Equitable Share of Revenue Raised Nationally**					
1	Equitable Share	7,002,310,782	4,092,382,376		4,092,382,376	2,909,928,406
	Sub-Total	**7,002,310,782**	**4,092,382,376**	**-**	**4,092,382,376**	**2,909,928,406**
C	**Additional Allocations (Including Grants)**					
1	KDSP Level II recurrent	37,500,000	-	-	-	37,500,000
2	KDSP Level II Development	352,500,000	-	-	-	352,500,000
3	Road Maintenance Levy Fund (RMLF)	71,309,824	-	-	-	71,309,824
	Sub-Total	**461,309,824**	**-**	**-**	**-**	**461,309,824**

No	Revenue Stream	Annual Targeted Revenue (Kshs.)	Actual Receipts (Kshs.)	Receivables in the First Nine Months of FY 2025/26 (Kshs.)	Total Revenues (in accrual basis) in the First Nine Months of FY 2025/26 (Kshs.)	Variance (Kshs.)
D	**Ordinary Own Source Revenue (OSR)**					
1	Ordinary Own Source Revenue	331,939,770	131,265,153		131,265,153	200,674,617
	Sub-Total	**331,939,770**	**131,265,153**	**-**	**131,265,153**	**200,674,617**
E	**Facility Improvement Financing (FIF)**					
1	Facility Improvement Financing	320,000,000	**31,876,765.00**	**-**	**31,876,765.00**	**288,123,235**
2	SHIF	-	163,369,759	-	**163,369,759.00**	
	Sub-Total	**320,000,000**	**195,246,524**	**-**	**195,246,524**	**288,123,235**
F	**Other Revenues**					
1	Kabarnet Municipality	85,779,445	34,259,395	-	34,259,395	51,520,050
	Sub-Total	**85,779,445**	**34,259,395**	**-**	**34,259,395**	**51,520,050**
	Grand Total	**9,542,026,108**	**4,819,295,084**	**-**	**4,960,201,757**	**4,745,194,110**

Source: Baringo County Treasury

The County has governing legislation on operating ordinary A-I-A and FIF. Figure 3.1 provides a detailed breakdown of receipts.

Figure 3.1: Baringo County Composition of Revenue in the first nine months of FY 2025/26

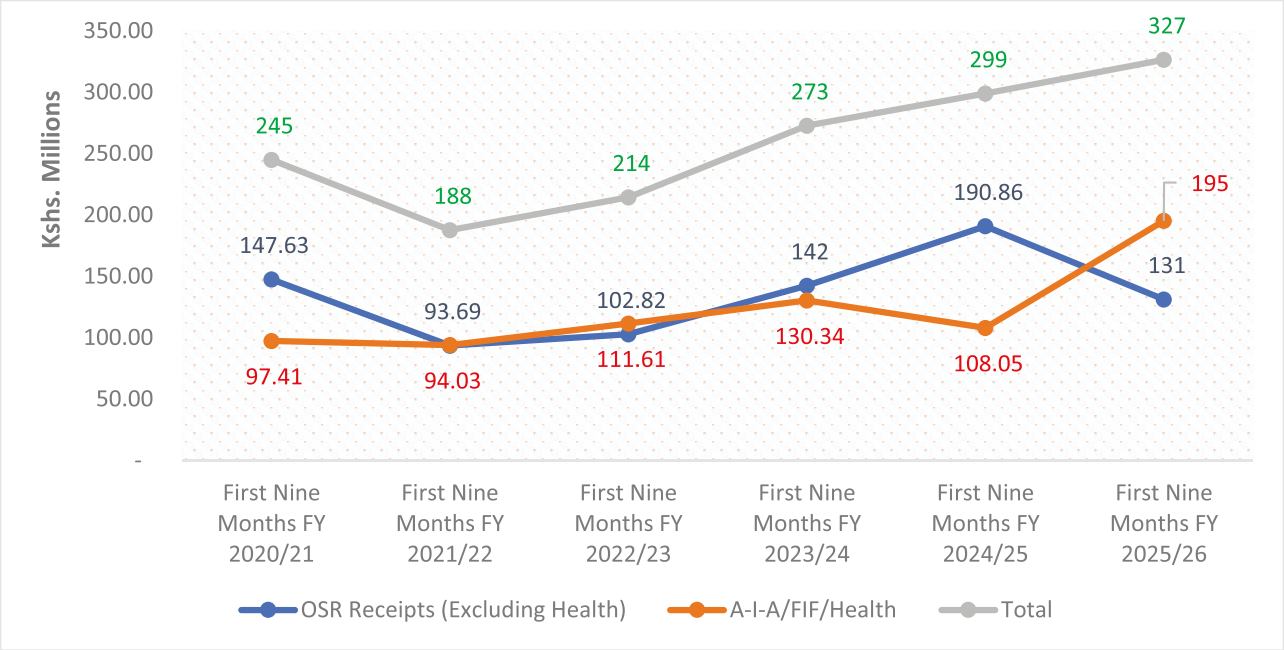


Source: *Baringo County Treasury*

The equitable share of revenue raised nationally, balance brought forward, and FIF contributed 85 per cent, 8 per cent and 4 per cent, respectively, of the total receipts for the reporting period.

Figure 3.2 shows the collection trend in own-source revenue from the first nine months of FY 2020/21 to the first nine months of FY 2025/26.

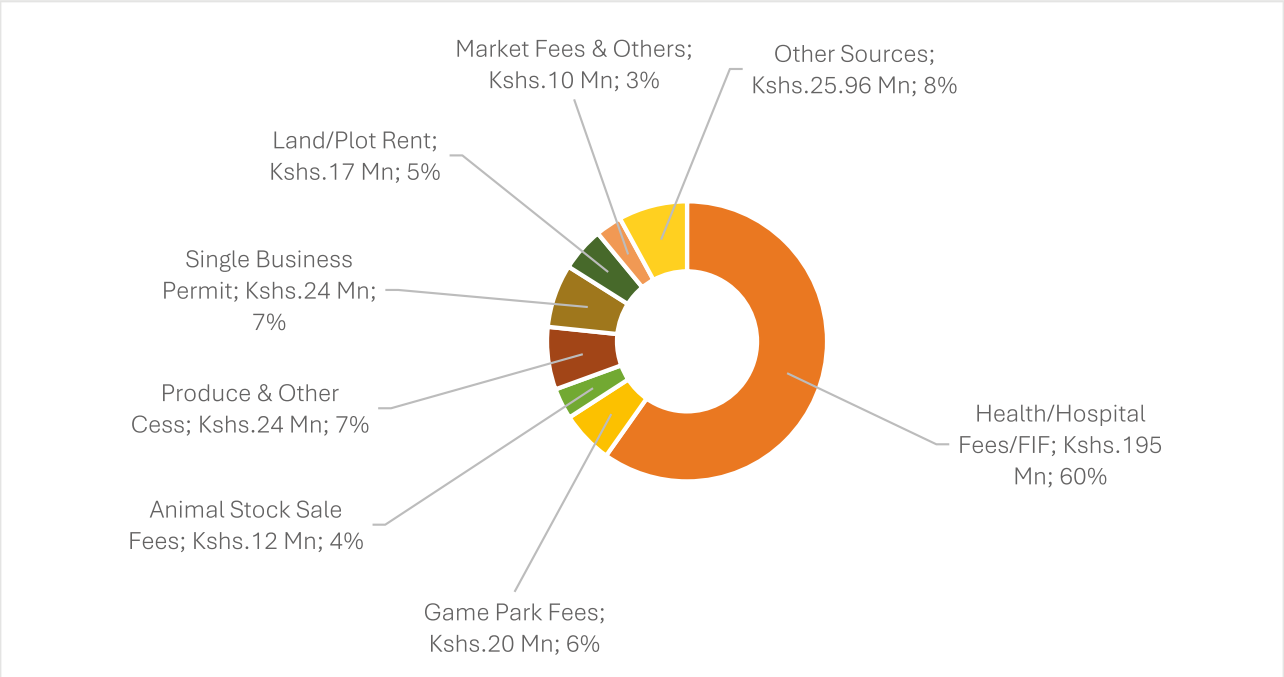
Figure 3.2: Baringo County Trend in Own-Source Revenue Collection from the first nine months of FY 2020/21 to the first nine months of FY 2025/26



Source: *Baringo County Treasury*

During the first nine months of FY 2025/26, the County received Kshs.360.77 million from OSR, including FIF. This amount was an increase of 17 per cent compared to Kshs.298.91 million realised in a similar period in FY 2024/25, and was 49 per cent of the annual target and 1 per cent of the equitable revenue share disbursed. The increase in OSR was attributed to stringent revenue collection measures, surveillance, and an improved supply of health products which led to high consumption of health care services. Additionally, receivables of Kshs.42.5 million were received during the period under review. The revenue streams that contributed the most to OSR receipts are shown in Figure 3.3.

Figure 3.3: Baringo County Top Own Source Revenue Streams in the first nine months of FY 2025/26



Source: Baringo County Treasury

As shown in Figure 3.3, the largest revenue stream is at Kshs.195 million, was FIF, accounting for 60 per cent of total OSR receipts. The County Government indicated that it has automated all revenue streams.

The system utilised for FIF revenue collection, Taifa Care System, has been in use since 2025. The system supports key functions including patient registration, admission, and dispensing of pharmaceutical/medical services. Payments are made through M-Pesa Paybill numbers assigned to individual hospitals.

3.1.3 Revenue Receivables

As of 1st July 2025, the County reported revenue receivables of Kshs.430.47 million, which decreased to Kshs.400.17 million as of 31st March 2026. The County manages its revenue receivables using an automated revenue system called the ZIZI electronic system, which facilitates the management of receivables, particularly for structured revenue streams. However, the County still operates a hybrid approach, utilising both the electronic system and manual processes, including physical ledgers, to monitor and manage revenue receivables, with a cash or accrual basis. Table 3.2 presents a breakdown of the County's revenue receivables.

Table 3.2: Baringo County Revenue Receivables as of 31st March 2026

No	Revenue Stream	Revenue Receivables as of 1 July 2025 (Kshs.)	Progress made in the first nine months of FY 2025/26			OSR Receivables as of 31st March 2026 (Kshs.)
			Waivers (Kshs)	Receivables paid in the financial year (Kshs)	Receivables earned in the first nine months of FY 2025/26 (Kshs)	
A	**Ordinary Own Sources of Revenue**					
1	OSR	301,747,163	-	-	-	301,747,163
	Sub-Total	**301,747,163**	**-**	**-**	**-**	**301,747,163**
B	**Facility Improvement Fund (FIF)**					
1	SHIF	61,348,899	-	72,796,132	42,497,432	31,050,199
2	Defunct NHIF	67,371,095	-	-	-	67,371,095
	Sub-Total	**128,719,994**	**-**	**72,796,132**	**42,497,432**	**98,421,294**
Total		**430,467,157**	**-**	**72,796,132**	**42,497,432**	**400,168,457**

Source: *Baringo County Treasury*

As of 31st March 2026, the revenue receivables totalled Kshs.400.17 million, comprising Kshs.301.75 million for ordinary own-source revenue (75 per cent) and Kshs.98.42 million for the facility improvement fund (25 per cent). The measures instituted by the County to collect the outstanding receivables in FY 2025/26 include enforcement measures and linking arrears clearance to access to other County services to enhance compliance.

3.1.4 Borrowing by the County

The County did not report on any credit facilities or short-term borrowing with commercial banks during the period under review.

3.1.5 Withdrawals from the County Revenue Fund and County Assembly Fund

During the reporting period, the Controller of Budget approved exchequer withdrawal requests totalling Kshs.4.09 billion from the Baringo County Revenue Fund (CRF) account. This amount consisted of Kshs.640.49 million (16 per cent) designated for development programs and Kshs.3.45 billion (84 per cent) allocated for recurrent programs.

An analysis of the released recurrent exchequers shows that Kshs.2.67 billion was allocated to employee compensation and Kshs.779.50 million to operations and maintenance expenditures. Within the operations and maintenance category, 39 per cent was for domestic travel and 4 per cent for foreign travel. The domestic travel exchequers totalled Kshs.302.92 million, which included Kshs.186.85 million for the County Executive and Kshs.116.07 million for the County Assembly. Equally, the foreign travel exchequers amounted to Kshs.33.04 million, with Kshs.6.67 million for the County Executive and Kshs.26.38 million for the County Assembly.

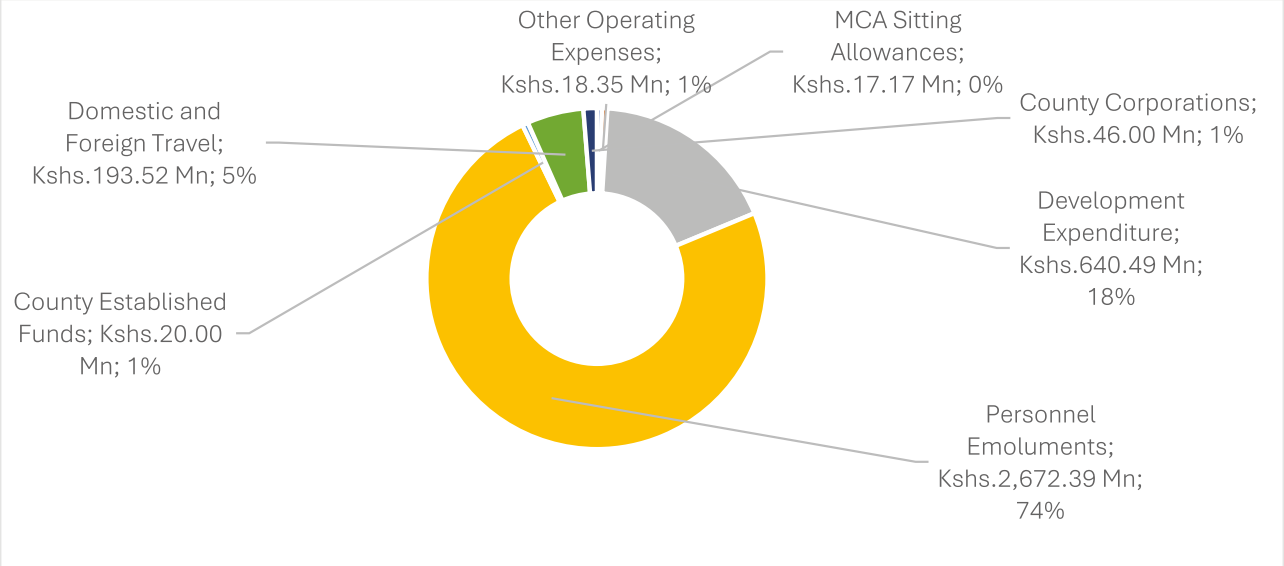
As of 31st March 2026, the County Government's cash balance in the County Revenue Fund account was Kshs.1.62 billion. Further, the County had not operationalised the County Assembly Fund as of 31st March 2026.

3.1.6 Expenditure Review

The County spent Kshs.4.09 billion on development and recurrent programmes during the reporting period. The expenditure represented 99 per cent of the total funds released by the CoB. It comprised Kshs.640.49 million for development programmes and Kshs.3.45 billion for recurrent programmes. Expenditure on development programmes accounted for 17 per cent of the annual development expenditure budget, while recurrent expenditure accounted for 60 per cent of the annual recurrent expenditure budget.

Figure 3.4 provides a detailed breakdown of total expenditure.

Figure 3.4: Baringo County Composition of Expenditure in the first nine months of FY 2025/26



Source: *Baringo County Treasury*

As shown in Figure 3.4, the three highest expenditure categories were personnel emoluments, development expenditure, and domestic and foreign travel, contributing 74, 18 and 5 per cent of total expenditure for the reporting period.

3.1.7 Expenditure by Economic Classification

The County Executive incurred Kshs.2.37 billion in employee compensation, Kshs.583.13 million in operations and maintenance, and Kshs.640.49 million in development activities. Similarly, the County Assembly spent Kshs.300.66 million on compensation of employees, Kshs.196.37 million on operations and maintenance, as shown in Table 3.3.

Table 3.3: Baringo County Summary of Budget and Expenditure by Economic Classification

Expenditure Classification	Approved Budget (Kshs. Million) (a)		Amount Paid in the first nine months of FY 2025/26 (Kshs.Million) (b)		Total Expenditure in the first nine months of FY 2025/26 (Kshs. Million) (d=b+c)		Absorption (%) (d/a*100)	
	Executive	Assembly	Executive	Assembly	Executive	Assembly	Executive	Assembly
Total Recurrent Expenditure	4,970.12	823.48	2,954.86	497.03	2,954.86	497.03	59	60
Compensation of Employees	3,935.29	452.82	2,371.73	300.66	2,371.73	300.66	60	66
Operations and Maintenance	1,034.82	370.67	583.13	196.37	583.13	196.37	56	53
Development Expenditure	3,716.96	31.46	640.49	-	640.49	-	17	0
Total	**8,687.08**	**854.95**	**3,595.35**	**497.03**	**3,595.35**	**497.03**	**77**	**60**

Source*: Baringo County Treasury*

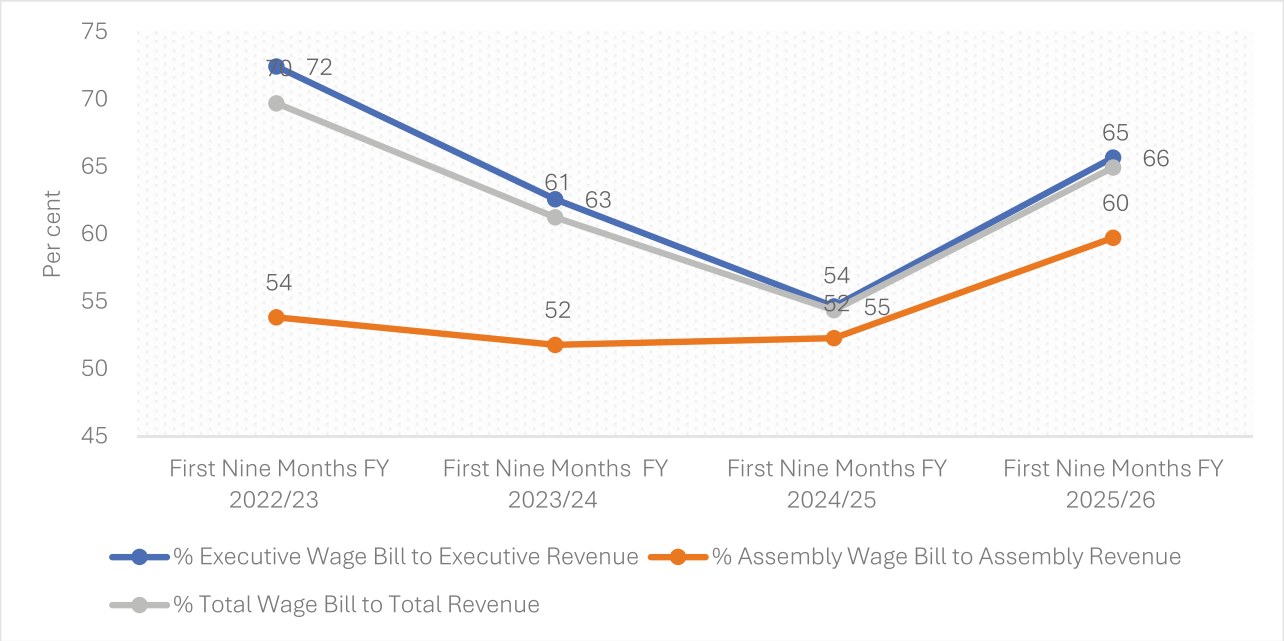
3.1.8 Expenditure on Employee Compensation

The expenditure on employee compensation totalled Kshs.2.67 billion, representing 54 per cent of revenue. This expenditure on employee compensation shows an increase compared to the Kshs.2.58 billion

reported in a similar period in FY 2024/25. Of this total, Kshs.1.42 billion related to health sector employees, accounting for 53 per cent of the overall employees' compensation.

Figure 3.5 shows the trend in employee compensation as a percentage of total revenue from the first nine months of FY 2020/21 to the first nine months of FY 2025/26.

Figure 3.5: Percentage of Employee Compensation Expenditure to Total Revenue Received in the first nine months of FY 2020/21 to the first nine months of FY 2025/26



Source: Baringo County Treasury

Further analysis indicated that PE costs totalling Kshs.2.66 billion were processed through the Human Resource Information System (HRIS). In contrast, Kshs.10.80 million was processed through manual payroll, accounting for less than 1 per cent of the total PE cost. The manual payroll comprised salaries for 205 casual staff as shown in Table 3.4

Table 3.4: Breakdown of Baringo County Manual Payroll

Sno.	Description of Manual Payroll	Amount (Kshs.Million)
	Salaries for casual staff	10.80
	Total	**10.80**

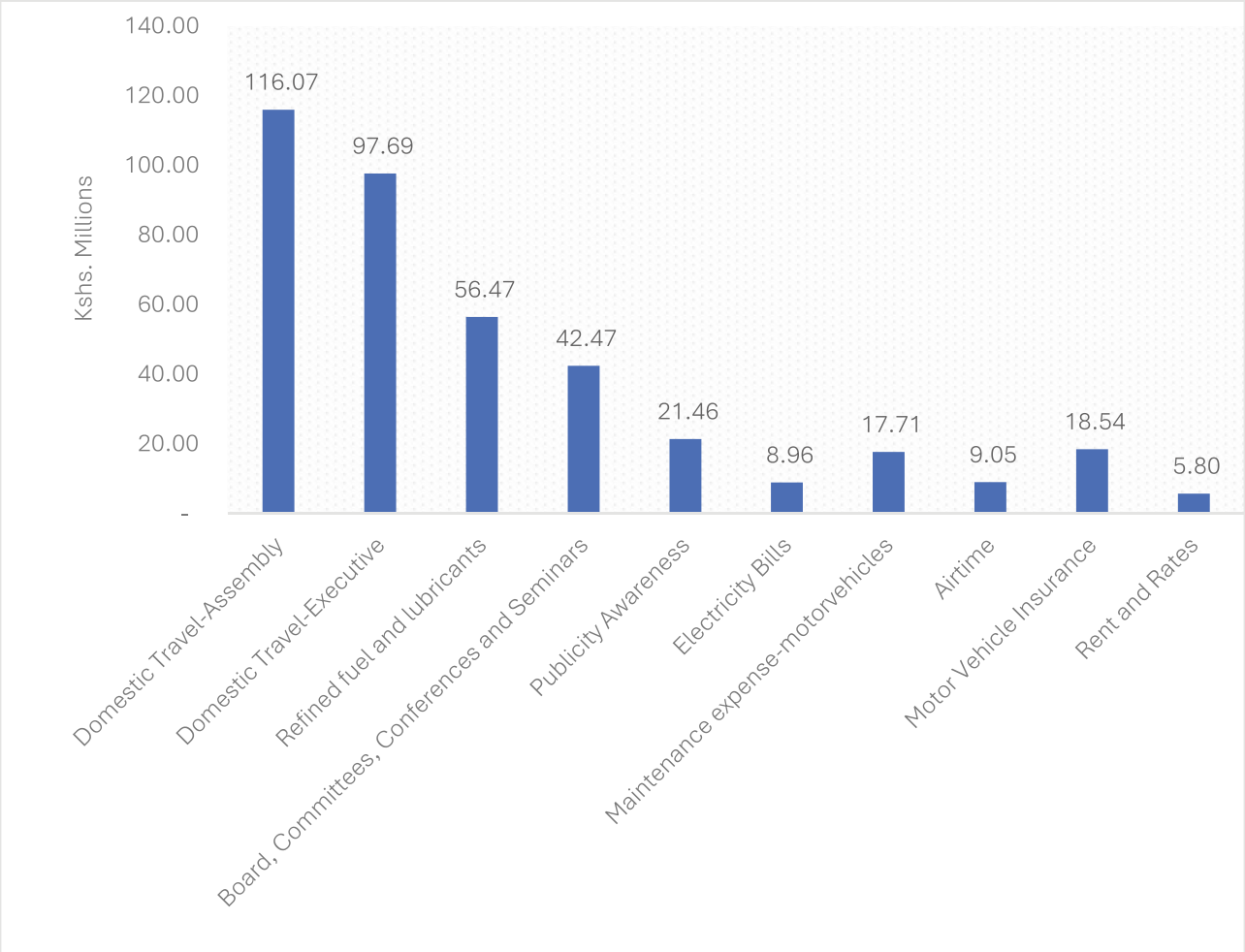
Source: *Baringo County Treasury*

The County Assembly spent Kshs.17.17 million on committee sitting allowances for the 46 MCAs against the annual budget allocation of Kshs.50.78 million. The average monthly sitting allowance was Kshs.41,469 per MCA. The County Assembly has 25 House committees.

3.1.9 Expenditure on Operations and Maintenance

During the reporting period, the County spent Kshs.779.50 million on operations and maintenance, representing a decrease of 22 per cent compared to a similar period in FY 2024/25, when the County spent Kshs.1.01 billion. Figure 3.6 illustrates the distribution of operations and maintenance expenditures across the major spending categories.

Figure 3.6: Baringo County, Operations and Maintenance Expenditure by Major Categories



Source: *Baringo County Treasury*

Expenditure on domestic travel amounted to Kshs.213.76 million and comprised Kshs.116.07 million spent by the County Assembly and Kshs.97.69 million by the County Executive.

3.1.10 Unbundling "Other Operating Expenses - Other" (IFMIS Code 2211399) Under Operations and Maintenance Expenditures

- The budget performance report for the first nine months of FY 2025/26 indicates that the County spent Kshs.4.24 million on "*other operating expenses - Other*," which was 3 per cent of the total operations and maintenance expenditure of Kshs.779.50 million. The disaggregated items under the "*Other Operating Expenses - Other*" category are shown in Table 3.5

Table 3.5: Breakdown of "Other Operating Expenses - Other" under O&M Expenditures

Code	Item	Budget (Kshs)	Expenditure (Kshs.)
2211399	Staff Allowances	1,000,000	639,100
2211399	A.I. Es	1,725,000	1,500,000
2211399	Office Furniture	2,500,000	2,100,000
Total		**5,225,000**	**4,239,100**

Source: *Baringo County Treasury*

A review of the other expense items listed in the table revealed the following inconsistencies. Some expenditures with clear and unique budget codes were erroneously aggregated under the "Other Operating Expenses - Other" category. These include: staff allowances, AIEs, and office furniture.

3.1.11 County-Established Funds

Section 116 of the PFM Act 2012 allows County Governments to establish other public funds, subject to approval from the County Executive Committee and the County Assembly. The County allocated Kshs.20 million to County-Established funds in FY 2025/26, representing 1 per cent of the County's overall budget. Of this amount, the County allocated Kshs.20 million to the Emergency Fund in line with Section 110 of the PFM Act, 2012, accounting for 1 per cent of the total budget. Table 3.6 summarises each established Fund's budget allocation and performance during the reporting period.

Table 3.6: Performance of Baringo County Established Funds in the first nine months of FY 2025/26

S/ No.	Name of the Fund	Date Established	Approved Budget Allocation in FY 2025/26 (Kshs.Million)	Exchequer Issues in First Nine Months of FY 2025/26 (Kshs.Million)	Cumulative disbursements to the Fund (Kshs.Million)	Submission of Financial Statements (Yes/No.)
1	Baringo County Emergency Fund	2018/2019	20.00	10.00	30.00	Yes
2	Baringo County Executive Car Loan Fund	2019/2020	-	-	-	Yes
3	Baringo County Executive Mortgage Fund	2016/2017	-	-	-	Yes
4	Baringo County SME Fund	2016/2017	-	-	-	No
5	Baringo County Bursary Fund	2018/2019	23.05	-	-	No
6	Baringo County Youth and Women Fund	2019/2020	-	-	17.15	No
7	Baringo County Cooperative Development Fund	2014/2015	-	-	-	No
8	Baringo County PWD Fund	2019/2020	15.10	-	-	No
9	Baringo County Lake Bogoria Grants	2014/2015	5.00	-	-	No
10	County Assembly Car and Mortgage Fund	2018/2019	-	-	6.00	Yes
	Total		**63.15**	**10.00**	**53.15**	

Source: *Baringo County Treasury*

During the reporting period, the CoB did not receive quarterly financial reports, save for Baringo County Emergency Fund, Baringo County Executive Car Loan Fund and Baringo County Executive Mortgage and County Assembly Car and Mortgage Fund from Fund Administrators, as indicated in Table 3.6, contrary to the requirement of Section 168 of the PFM Act, 2012.

Regulation 197(1)(i) of the Public Finance Management (County Governments) Regulations, 2015, allows County Governments to establish public funds with a lifespan capped at 10 years unless extended by the County Assembly. In FY 2025/26, the CoB determined that the Cooperative Development Fund, County PWD Fund and Lake Bogoria Grants.

3.1.12 County Corporations

The County has three County Corporations, which were allocated Kshs.49.50 million in FY 2025/26. Their total expenditure for the review period amounted to Kshs.46 million as shown in Table 3.7

Table 3.7: Performance of Baringo County Corporations in the first nine months of FY 2025/26

S/No.	Name of the Corporation	Approved Budget Allocation in FY 2025/26 (Kshs.)	Exchequer Issues (Kshs.)	Actual Transfers in the first Nine months of FY 2025/26 (Kshs.)	Cumulative Transfers to the Corporation since its inception (Kshs.)
1	Baringo County Investment and Economic Development Corporation	3,500,000	-	-	-
2	Chemususu Water Company Limited	-	-	-	-
3	Kirandich Water Company Limited	46,000,000	46,000,000	46,000,000	46,000,000
	TOTAL	**49,500,000**	**46,000,000**	**46,000,000**	**46,000,000**

Source: *Baringo County Treasury*

3.1.13 Expenditure on Domestic and Foreign Travel

Expenditure on domestic travel amounted to Kshs.302.92 million and comprised Kshs.116.067 million spent by the County Assembly and Kshs.186.85 million by the County Executive. Expenditure on foreign travel amounted to Kshs.20.64 million and comprised Kshs.14.34 million by the County Assembly and Kshs.6.29 million by the County Executive. Expenditure on foreign travel is summarised in Table 3.8

Table 3.8: Summary of Expenditure on Foreign Travel in the first nine months of FY 2025/26

Arm of County Government	Number of Officers Travelled	Date travelled	Purpose of the travel	Destination	Actual Payment on Travel (a) (Kshs.)	Accrued Expenditure on Travel (b) (Kshs.)	Total Expenditure on Travel (c=a+b) (Kshs.)
County Executive	13	24th July-30th 2025	Strategic Leadership Training	Tanzania, Arusha	5,240,040	-	5,240,040
County Executive	1	30th -31st Octt,2025	Official Travel	Botswana, Gaborone	450,740	-	450,740
County Executive	1	6th -13th Sept 2025	Africa Climate Summit	Ethiopia	602,062	-	602,062
County Assembly	6	6th -13th Sept 2025	Attend the Africa Climate Summit	Ethiopia	2,064,025	-	2,064,025
County Assembly	7	2nd -8th Sept 2025	Governance and Leadership Training	Arusha	2,942,527	-	2,942,527
County Assembly	6	20th – 30th Sept 2025	Training on Navigating Governance	Arusha	2,474,047	-	2,474,047
County Assembly	6	29th Sept- 7th Oct 2025	Result-Based Performance Training	Singapore	3,635,539	-	3,635,539
County Assembly	7	25th Jan-3rd Feb 2026	Training on Integrated Strategy & Risk Management	Arusha	2,227,407	-	2,227,407
County Assembly	1	5th-16th Jan 2026	Training on Executive Programme	Geneva Switzerland	999,810	-	999,810
-Total					**20,636,197**	**0**	**20,636,197**

Source: *Baringo County Treasury and Baringo County Assembly*

3.1.14 Facility Improvement Financing

During the review period, the County reported collections of Kshs.195.25 million as FIF, which was 61 per cent of the annual target of Kshs.320 million. The collected amount was retained and utilised at source in line with the Facility Improvement Financing Act, 2023. The County has developed regulations to operationalise the FIF Act of 2023.

The expenditure by the health facilities amounted to Kshs.190.29 million, as shown in Table 3.9

Table 3.9: Baringo County Health Facilities Expenditure Performance in the first nine months of FY 2025/26

No.	Health Facility	Number of Facilities	Approved Budget (Kshs.)	Actual Expenditure (Kshs.)	Absorption rate (%)
1.	Level 4 Hospital	6	320,000,000	190,291,457	59
2.	Level 3 Facility	25	3,466,948	-	-
3.	Level 2 Facility	205	5,227,052	-	-
	Total	**236**	**328,694,000**	**96,063,214**	**59**

Source: *Baringo County Treasury*

3.1.15 Development Expenditure

In the review period, the County reported spending Kshs.640.49 million on development programmes, representing an increase of 8 per cent compared to FY 2024/25, when the County spent Kshs.591.20 million. Table 3.10 summarises the development projects with the highest expenditure in the reporting period.

The decrease in development expenditure was attributed to a lack of personnel capacity to handle the new procurement system.

Table 3.10: Baringo County, List of Development Projects with the Highest Expenditure

No	Sector	Project Name	Project Location	Project Commencement Date	Expected date of Completion of the Project	Contract sum (Kshs. Million)	Total Funding in FY 2025/26 (Kshs. Million)	Expenditure (on an accrual basis) in the first nine months of FY 2025/26 (Kshs.mn)	Cumulative project expenditure (on an accrual basis) as of 31st March 2026 (Kshs. Million)	Percentage (%) of Completion
County Funded Projects										
1	Trade, Cooperatives, Tourism and Industrialisation	Hilltee and Maji Mazuri Boda-boda shade	Mumberes-Maji Mazuri	5/6/2025	8/8/2025	0.50	0.50	0.50	0.50	100
2	Trade, Cooperatives, Tourism and Industrialisation	Kapluk, Kapkoiwo and Kuikui Market stall /boda sheds	Barwesa	5/5/2025	4/7/2025	1.00	1.00	1.00	1.00	100
3	Trade, Cooperatives, Tourism and Industrialisation	Maji Mazuri market pit latrine	Mumberes-Maji Mazuri	4/5/2025	5/5/2025	0.51	0.50	0.51	0.51	100
4	Trade, Cooperatives, Tourism and Industrialisation	Construction of a market stall at Marigat	HQs	20/5/2025	30/6/2025	2.49	2.50	2.49	2.49	100
5	Trade, Cooperatives, Tourism and Industrialization	Kaitumet Sub location farmers	Kisanana	5/6/2025	25/9/2025	2.00	2.00	2.00	2.00	100

No	Sector	Project Name	Project Location	Project Commencement Date	Expected date of Completion of the Project	Contract sum (Kshs. Million)	Total Funding in FY 2025/26 (Kshs. Million)	Expenditure (on an accrual basis) in the first nine months of FY 2025/26 (Kshs.mn)	Cumulative project expenditure (on an accrual basis) as of 31st March 2026 (Kshs. Million)	Percentage (%) of Completion
8	Trade, Cooperatives, Tourism and Industrialization	Kisanana Ward wide Farmers	Kisanana	5/6/2025	25/9/2025	1.00	1.00	1.00	1.00	100
7	Industry, Commerce, Tourism, Cooperative and Enterprise Development	Aggregated Industrial Park	HQs	21/11/2023	30/12/2026	10.00	10.00	3.35	3.35	34

Source: *Baringo County Treasury*

The County reported 24 stalled development projects as of 31st March 2026, with an estimated value of Kshs.1.33 billion, of which Kshs.131.06 million has already been paid. The stalled projects are shown in Table 3.11

Table 3.11: Baringo County Stalled Projects as of 31st March 2026

No	Sector	Project Name	Project Location	Estimated Value of the Project (Kshs.Mn)	Amount Paid on the stalled project (Kshs.Mn)	Outstanding Unpaid Balance As of 31st March 2026 (Kshs. Mn)	Reason for Project Stalling
1	Health Services	Construction Staff house at Sugut Dispensary-	Tirioko	2.00	0.70	1.30	Insecurity
2	Health Services	Construction of laboratory ar Riongo Dispensary	Silale	1.46	1.05	0.41	Insecurity
3	Health Services	Construction and completion of Emining theatre block	Emining	11.95	9.82	2.12	The contractor capacity and incapacity due road accident
4	Youth and social services	Marigut Community Social Hall	Barwessa	3.00		2.50	Contract terminated due to delay by the contractor
5	Agriculture, Livestock and Fisheries	ATC Guesthouse	Lembus perkerra	19.00	16.00	3.00	It is a phased project. Challenges of low funding
6	Public Service and Administration	Proposed Construction of pit latrine, fencing and installation of 10,000 litres tanks and gutters at Saimo Kipsaraman Ward office	Saimo Kipsaraman	1.49	1.04	0.45	The contractor is behind schedule
7	Public Service and Administration	Tirioko Ward office: Cash Transfer	Tirioko	1.00	-	1.00	The contractor is behind schedule
8	Public Service and Administration	Construction of Ajira Centre at Cheplambus Phase 1	Tenges	1.99	-	1.70	The contractor is behind schedule
9	Youth and social services	Construction of Youth Empowerment Centre, Marigat	Marigat	13.00	5.33	7.67	No Budget allocation and Structural Assessment report foundation adjustment due to possible fault line.
10	Youth and social services	Construction of Kabarnet Stadium	Kabarnet	1,167.64	47.36	-	Inadequate appropriation of funds

No	Sector	Project Name	Project Location	Estimated Value of the Project (Kshs.Mn)	Amount Paid on the stalled project (Kshs.Mn)	Outstanding Unpaid Balance As of 31st March 2026 (Kshs. Mn)	Reason for Project Stalling
11	Trade, Enterprise, tourism a and wildlife management	Construction mogotio information centre radio room, kitchen, globe. Amphitheatre, integrated gate	Mogotio	54.65	26.80	27.85	Inadequate funding
12	Trade, Enterprise, tourism a and wildlife management	Construction of kipsaraman museum with laboratory	Saimo Soi	32.28	12.46	19.82	Inadequate funding
13	Education and vocational training	Hospitality Centre at Marigat VTC	Marigat ward	10.00	5.00	5.00	Budget expunged/contractor delay
14	Education and vocational training	Kaplop Pri ECD	Kabarnet	1.10	0.30	0.80	Contractor declined
15	Education and vocational training	Construction of Milimani ECD	Ravine	1.20	0.49	0.71	Contractor declined
16	Education and vocational training	kaburwo ECDE classroom	Ravine	1.20	-	1.20	Contractor declined
17	Education and vocational training	Chemayes ECDE classroom	Tirioko	1.00	0.70	0.30	Contractor declined
18	Education and vocational training	Chesakam ecd classroom	Loyamorok	1.00	0.40	0.60	Contractor declined
19	Education and vocational training	Noswo ecd classroom	Churo	1.00	0.40	0.60	Contractor declined
20	Education and vocational training	Borokwo ecd classroom	Mogotio	1.00	0.60	0.40	Contractor declined
21	Education and vocational training	Psau ECD classroom	Tirioko	1.00	0.70	0.30	Contractor declined
22	Education and vocational training	Mwal ECD classroom	Tirioko	1.00	0.60	0.40	Contractor declined
23	Education and vocational training	Ketukoi ECD classroom	Kolowa	1.00	0.60	0.40	Contractor declined
24	Education and vocational training	Toplen ECDE Staff House	Silale	1.00	0.70	0.30	Contractor declined

Source: Baringo County Treasury

3.1.16 Budget Performance by Department

Table 3.12 summarises the approved budget allocation, expenditure, and absorption rate by department for the period under review.

Table 3.12: Baringo County, Budget Allocation and Absorption Rate by Department in the first nine months of FY 2025/26

Department	Revised Budget Allocation (Kshs.Million)		Exchequer Received (Kshs.Million)		Expenditure (Kshs. Million)		Expenditure to Exchequer (%)		Absorption rate (%)	
	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev
County Assembly	823.48	31.46	497.03	-	505.08	-	102	-	61	0
County Treasury Services	90.63	12	82.43	-	79.1	-	96	-	87	0
Transport and Infrastructure	40.8	591.9	28.81	4.54	24.91	5.12	86	113	61	1
Industrialisation, Commerce and Tourism	21.4	190.59	19.82	118.57	12.94	114.94	65	97	60	60
Education and ICT	26.49	336.53	12.45	3	10.63	3	85	100	40	1
Health	450.35	476.02	104.52	14.97	95.44	14.97	91	100	21	3

Department	Revised Budget Allocation (Kshs.Million)		Exchequer Received (Kshs.Million)		Expenditure (Kshs. Million)		Expenditure to Exchequer (%)		Absorption rate (%)	
	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev
Lands, Housing & Urban Development	29.16	143.92	9.01	83.89	8.5	81.89	94	98	29	57
Agriculture, Livestock, Fisheries & Marketing	29.78	281.03	26.53	1	20.93	1	79	100	70	-
Youth, Gender & Social Security Services	47.6	196.46	38.25	47.35	34.93	160.47	91	339	73	82
Water & Irrigation	37.01	715.85	10.75	16.6	9.93	22.6	92	136	27	3
Environment & Natural Resources	16.5	309.01	5.99	289.23	10.37	157.38	173	54	63	51
Kabarnet Municipality	16.26	63.99	7.89	-	6.76		86	-	42	-
County Public Service Board	17.92	-	10.33	-	8.18	5.61	79	-	46	-
Devolution, Public and Special Programs	168.3	384.51	104.24	61.34	83.28	-	80	-	49	-
Public Devolution and Public Administration	3,935	-	2,452.32	-	2,447.93	-	100	-	62	-
County Treasury Economic Planning	42.62	15.15	41.5	-	28.47	-	69	-	67	-
TOTAL	**5,793.30**	**3,748.42**	**3,451.87**	**640.49**	**3,387.38**	**566.98**	**98**	**89**	**58**	**15**

***Source**: Baringo County Treasury*

Analysis of expenditure by departments shows that the Department of Youth, Gender & Social Security Services recorded the highest absorption rate of development budget at 82 per cent, followed by the Department of Industrialisation, Commerce and Tourism at 60 per cent. The Department of County Treasury Services had the highest percentage of recurrent expenditure to budget at 87 per cent, while the Department of Health had the lowest at 21 per cent.

The County incurred an over-expenditure beyond the exchequer releases in the Departments of County Assembly, County Treasury, Agriculture, Livestock and Fisheries, and Youth, Gender & Social Security Services, resulting from diverting funds intended for payments from one department to another.

3.1.17 Budget Execution by Programmes and Sub-Programmes

Budget execution was concentrated in selected performance bands. In the 1–10 per cent band, recurrent absorption was reported for general administration, planning and support services under Eldama Ravine urban services in the Department of Lands, Housing and Urban Development at 1 per cent and for fisheries extension support under the Department of Agriculture, Livestock and Fisheries at 2 per cent. In the 11–20 per cent band, recurrent absorption was reported for water resource management and storage under the Department of Water and Irrigation at 18 per cent.

In the 21–30 per cent band, development absorption was reported for sports infrastructure development under the Department of Sports, Gender, Culture and Social Services at 22 per cent and for affirmative action initiatives at 27 per cent, while recurrent absorption was recorded for general administrative services under the Department of Water and Irrigation at 29 per cent. In the 31–40 per cent band, development absorption was reported for infrastructure development under the Department of Economic Planning at 37 per cent and for sanitation and waste management under Eldama Ravine urban services at 40 per cent, while recurrent absorption was recorded for board services and general administration under Kabarnet Municipality at 35 per cent, for revenue administration services at 36 per cent, and for general administration under Kabarnet Municipality at 44 per cent.

In the 41–50 per cent band, development absorption was reported for revenue infrastructure services under county finance and accounting services at 43 per cent and for curriculum development and equipment under early childhood development at 44 per cent, while recurrent absorption was recorded for general administration, planning and support services under the County Public Service Board at 44 per cent and for general administrative services under environment and natural resources at 50 per cent.

In the 51–60 per cent band, recurrent absorption was reported for mining development under environment and natural resources at 61 per cent. In the 71–80 per cent band, recurrent absorption was reported for environmental conservation and protection at 79 per cent. In the 90–100 per cent band, development absorption reached 100 per cent for capture fisheries and recreational fisheries development under the Department of Agriculture, Livestock and Fisheries. In the band above 100 per cent, recurrent absorption reached 244 per cent for general administrative services under gender development and management services, 118 per cent for general administrative services under youth development and management, 112 per cent for general administrative services under sports development and management, 111 per cent for general administrative services under culture and creative arts development, and 110 per cent for general administration under the Department of Economic Planning.

Low absorption in the lower performance bands reflected slow implementation across urban services, fisheries extension, water resource management and revenue administration sub-programmes. Conversely, the recurrent sub-programmes exceeding 100 per cent reflected expenditure above the approved estimates, including accrued spending, during the review period.

Table 3.13 summarises budget execution by programmes and sub-programmes in the period under review with the highest absorption rates.

Table 3.13: Budget Execution by Programmes and Sub-Programmes with Highest Absorption Rates

Programme	Sub-Programme	Gross Approved Estimates FY 2025/26 (Kshs.)	Expenditure (including accrued expenditure) as of 31st March 2026 (Kshs.)	Absorption Rate (%)
Development				
Agriculture Livestock & Fisheries				
Fisheries Development and Management Services	SP2 Capture Fisheries	1,500,000	1,500,000	100
	SP3 Recreational Fisheries Development	2,000,000	1,999,992	100
Education Services				
Early Childhood Development	SP3: Curriculum development and Equipment	4,500,000	2,000,000	44
County Finance and Accounting Services				
Revenue Services	SP2. Revenue Infrastructure Services	12,000,000	5,120,123	43
Lands, Housing and Urban Development				
Eldama Ravine Urban Services	SP3. Sanitation and waste management	2,500,000	1,000,000	40
Economic Planning				
Economic Planning Services	SP4. Infrastructure Development	15,148,967	5,610,576	37
Sports, Gender, Culture and Social Services				
Social Services and Safety Nets	SP2: Affirmative Action Initiatives	70,000,000	19,100,000	27
Sports Development and Management	P3. Infrastructure Development	15,800,000	3,500,000	22
Recurrent				
Sports, Gender, Culture and Social Services				
Gender Development and Management Services	SP1: General Administrative Services	2,000,000	4,880,500	244

Programme	Sub-Programme	Gross Approved Estimates FY 2025/26 (Kshs.)	Expenditure (including accrued expenditure) as of 31st March 2026 (Kshs.)	Absorption Rate (%)
Sports Development and Management	P1. General Administrative Services	5,100,000	5,703,980	112
Youth Development and Management	SP1: General Administrative Services	3,000,000	3,547,615	118
Culture, Creative Arts Development	SP1. General Administrative Services	4,900,000	5,447,950	111
Economic Planning				
General administration Planning and Support Service	General Administration	11,000,000	12,150,398	110
Environment and Natural Resources				
Environmental Conservation and Management	SP2. Environmental Conservation and Protection	6,650,000	5,278,411	79
Natural Resource Conservation, Exploitation and Management	SP2. Mining Development	1,500,000	912,362	61
General Administration, Planning and Support Services	General Administrative Services	29,009,288	4,175,729	50
County Public Service Board				
County Public Service Board Services	General Administration, Planning and Support Services	13,622,030	5,982,444	44
Kabarnet Municipality				
Kabarnet Municipality Services	General Administration, Planning and Support Services	11,259,157	5,010,031	44
	Board Services	5,000,000	1,750,000	35
County Finance and Accounting Services				
Revenue Services	SP1. Revenue Administration Services	8,000,000	2,886,600	36
Water and Irrigation				
General Administration, Planning and Support Services	General Administrative Services	29,009,288	8,507,298	29
Water Resource Development and Supplies Management	Water Resource Management and Storage	7,700,000	1,419,000	18
Agriculture Livestock & Fisheries				
Fisheries Development and Management Services	SP4 Fisheries Extension Support	1,000,000	22,500	2
Lands, Housing and Urban Development				
Eldama Ravine Urban Services	SP1. General Administration, Planning and Support Services	10,557,961	70,020	1

Source: *Baringo County Treasury*

The development sub-programmes with the highest budget implementation rates were: Recreational Fisheries Development in the Department of Agriculture, Livestock & Fisheries at 100 per cent, Early Childhood Development in the Department of Education Services at 44 per cent, and Revenue Services in the Department of County Finance and Accounting Services at 43 per cent.

For recurrent sub-programmes, the top performers included: Culture, Creative Arts Development in the Department of Sports, Gender, Culture and Social Services at 111 per cent, General Aadministration Planning and Support Service in the Department of Economic Planning at 110 per cent, and Environmental Conservation and Management in the Department of Environment and Natural Resources at 79 per cent.

Table 3.14 summarises the budget execution by programmes and sub-programmes in the period under review that had the lowest absorption rates.

Table 3.14: Budget Execution by Programmes and Sub-Programmes with Lowest Absorption Rates

Programme	Sub-Programme	Gross Approved Estimates FY 2025/26 (Kshs.)	Expenditure (including accrued expenditure) as of 31st March 2026 (Kshs.)	Absorption Rate (%)
		Dev	Dev	Dev
Development				
Sports, Gender, Culture and Social Services				
Sports Development and Management	P3. Infrastructure Development	15,800,000	3,500,000	22
Social Services and Safety Nets	SP2: Affirmative Action Initiatives	70,000,000	19,100,000	27
Economic Planning				
Economic Planning Services	SP4. Infrastructure Development	15,148,967	5,610,576	37
Lands, Housing and Urban Development				
Eldama Ravine Urban Services	SP3. Sanitation and waste management	2,500,000	1,000,000	40
County Finance and Accounting Services				
Revenue Services	SP2. Revenue Infrastructure Services	12,000,000	5,120,123	43
Education Services				
Early Childhood Development	SP3: Curriculum development and Equipment	4,500,000	2,000,000	44
Recurrent				
Lands, Housing and Urban Development				
Eldama Ravine Urban Services	SP1. General Administration, Planning and Support Services	10,557,961	70,020	1
C				
Fisheries Development and Management Services	SP4 Fisheries Extension Support	1,000,000	22,500	2
Water and Irrigation				
Water Resource Development and Supplies Management	Water Resource Management and Storage	7,700,000	1,419,000	18
General Administration, Planning and Support Services	General Administrative Services	29,009,288	8,507,298	29
County Finance and Accounting Services				
Revenue Services	SP1. Revenue Administration Services	8,000,000	2,886,600	36
Kabarnet Municipality				
Kabarnet Municipality Services	Board ServiceS	5,000,000	1,750,000	35
	General Administration, Planning and Support Services	11,259,157	5,010,031	44

***Source**: Baringo County Treasury*

The development sub-programmes with the lowest budget implementation rates were as follows: Sports Development and Management in the Department of Sports, Gender, Culture and Social Services at 22 per cent, Economic Planning Services in the Department of Economic Planning at 37 per cent, and Eldama Ravine Urban Services in the Department Lands, Housing and Urban Development at 40 per cent.

For recurrent sub-programmes, the poorest performers included: Eldama Ravine Urban Services in the Department of Lands, Housing and Urban Development at 1 per cent, Fisheries Development and Management Services in the Department of Agriculture Livestock & Fisheries at 2 per cent, Water Resource Development and Supplies Management in the Department of Water and Irrigation at 18 per cent, and Board Services in the Department of Kabarnet Municipality at 35 per cent.

3.1.18 Settlement of Trade Payables

As of 1st July 2025, the County reported trade payables totalling Kshs.477.14 million. This amount consisted of Kshs.395.62 million from the County Executive and Kshs.81.53 million from the County Assembly. The trade payables from the County Executive comprised Kshs.178.30 million for recurrent expenditure and Kshs.217.32 million for development expenditure.

During the reporting period, the County Executive settled trade payables amounting to Kshs.148.14 million, comprising Kshs.26.43 million (18 per cent) for recurrent programmes and Kshs.121.70 million (82 per cent) for development programmes. On the other hand, the County Assembly settled trade payables amounting to Kshs.31.20 million. The outstanding trade payables as of 31st March 2026 were Kshs.247.48 million for County Executive and Kshs.23.89 million for County Assembly. Table 3.15 provides additional details of trade payables.

Table 3.15: Baringo County Trade Payables as of 31st March 2026

		County Entity	Development (Kshs.)	Recurrent (Kshs.)	Total (Kshs.)
As at 1 July 2025 (End of FY 2024/25)	a	County Executive	217,316,203	178,302,220	395,618,423
		County Assembly	-	81,526,122.61	81,526,123
		Total	**217,316,203**	**259,828,342**	**477,144,545**
Trade payables scheduled to be settled in the first nine months of FY 2025/26 per the action plan	b	County Executive	-	-	-
		County Assembly	-	-	-
		Total	**-**	**-**	**-**
Amount paid in the first nine months of FY 2025/26	c	County Executive	121,703,942	26,433,408	148,137,350
		County Assembly	-	31,201,075	31,201,075
		Total	**121,703,942**	**57,634,483**	**179,338,424**
Trade Payables Incurred in the First Nine Months of FY 2025/26	d	County Executive	-	-	-
		County Assembly	-	-	-
		Total	-	-	-
Outstanding trade payables as of 31st March 2026	**e=a-c*b**	**County Executive**	95,612,261	151,868,812	247,481,073
		County Assembly		23,891,640	23,891,640
		Total	**95,612,261**	**175,760,452**	**271,372,713**

Source: *Baringo County Treasury*

The County Executive and the Assembly submitted a trade payables payment plan, committing to pay Kshs.259.83 million and Kshs.217.32 million respectively, in FY 2025/26. The County did not adhere to this payment plan, as it cleared Kshs.148.14 million for the Executive and Kshs.31.20 million for the Assembly.

Table 3.16 and Table 3.17 present the ageing of the total outstanding bills as of 31st March 2026 for the County Executive and Assembly, which were Kshs.271.37 million.

Table 3.16: Baringo County Executive Trade Payables Ageing Analysis as of 31st March 2026

Category	Ageing analysis (Amount in Kshs.)				Total
	Under one year	1-2 years	2-3 years	Over 3 years	
Development Trade Payables	**-**	95,612,261	**-**	**-**	95,612,261
Recurrent Trade Payables (Goods & Services)	-	151,868,812	-	--	151,868,812
Recurrent Trade Payables (Salary Arrears and Statutory Deductions)	-	-	-	-	**-**
Recurrent Trade Payables (Staff Claims)	-	-	-	-	**-**
Total Recurrent Trade Payables	**-**	**151,868,812**	**-**	**-**	**151,868,812**

Category	Ageing analysis (Amount in Kshs.)				Total
	Under one year	1-2 years	2-3 years	Over 3 years	
Total Trade Payables	**-**	**247,481,073**	**-**	**-**	**247,481,073**
% of Total	**-**	**100**	**-**	**-**	**100**

Source: *Baringo County Treasury*

Table 3.17: Baringo County Assembly Trade Payables Ageing Analysis as of 31st March 2026

Category	Ageing analysis (Amount in Kshs.)				Total
	Under one year	1-2 years	2-3 years	Over 3 years	
Development Trade Payables	**-**	**-**	**-**	**-**	**-**
Recurrent Trade Payables (Goods & Services)	-	23,891,640	-	-	**23,891,640**
Recurrent Trade Payables (Salary Arrears and Statutory Deductions)	-	-	-	-	**-**
Recurrent Trade Payables (Staff Claims)	-	-	-	-	**-**
Total Recurrent Trade Payables	**-**	**23,891,640**	**-**	**-**	**23,891,640**
Total Trade Payables	**-**	**-**	**-**	**-**	**-**
% of Total	**-**	**100**	**-**	**-**	**100**

Source: Baringo *County Treasury*

3.1.19 General Observations and Recommendations

In the course of overseeing and reporting on the implementation of the Baringo County budget, the CoB identified the following challenges, which hampered effective budget implementation;

i. The County Treasury's late submission of financial reports to the Controller of Budget affected the timely preparation of the budget implementation report, which was received on 21st April, 2026
ii. Low development performance in the review period as the County incurred Kshs.640.50 million on development activities, achieving a 17 per cent absorption rate against an approved budget of Kshs.3.75 billion.
iii. High levels of trade receivables, which amounted to Kshs.1.37 billion as of 31st March, 2026.
iv. The County had over-expenditure above the exchequer releases in the Departments of County Assembly, County Treasury, Agriculture, Livestock and Fisheries and Youth, Gender & Social Security Services as a result of diverting funds meant for payments in other departments.
v. Regulation 197(1)(i) of the Public Finance Management (County Governments) Regulations, 2015, limits the lifespan of public funds to 10 years unless extended by the County Assembly. As of 31st March 2026, the lifespan of the County SME Fund, Bursary Fund, Youth and Women Fund, Cooperative Development Fund, County PWD Fund, Lake Bogoria Grants and County Assembly Car and Mortgage Fund had lapsed, making them ineligible for further withdrawals.
vi. Fund Administrators failed to submit quarterly financial and non-financial reports to the CoB within the timelines provided by law, which is against the requirement of Section 168 of the PFM Act, 2012. The reports were not submitted to the CoB as of 15th April, 2026.
vii. Non-submission of copies of authorisation letters for opening commercial bank accounts as per Regulation 82(5) of the Public Finance Management (County Governments) Regulations, 2015.
viii. Non-adherence to the trade payables payment plan.

The County should implement the following recommendations to improve budget execution:

i. *The County Treasury should ensure the timely preparation and submission of financial reports to the Controller of Budget per the timelines prescribed in Section 166 of the PFM Act, 2012.*
ii. *The County should address its own-source revenue performance to ensure the approved budget is fully financed. Appropriate austerity measures should be implemented to ensure expenditure commitments are aligned with available revenue.*
iii. *The County Treasury should institute measures to ensure that the trade receivables due are recov-*

ered in order to increase the cashflow to the County.

iv. *The county should undertake a supplementary review to correct/reconcile the over expenditures.*

v. *The County should implement strategies to increase development expenditures in FY 2025/26.*

vi. *The CECMF should follow up to ensure Fund Administrators prepare and submit statutory reports in line with the PFM Act, 2012.*

vii. *The County Treasury should ensure it submits copies of authorisation letters to the CoB for opening commercial bank accounts to enhance accountability and oversight.*

viii. *The County Leadership should address the situation of trade payables to ensure that genuine bills are paid promptly in the remaining financial year. Further, compliance with the trade payables action plan should be enforced.*

3.2. County Government of Bomet

3.2.1 Overview of FY 2025/26 Budget

The Bomet County Approved Budget for FY 2025/26 is Kshs.10.82 billion. It comprises Kshs.4.0 billion (37 per cent) and Kshs.6.82 billion (63 per cent) allocation for development and recurrent programmes, respectively. The budget estimates represent an increase of Kshs.984.08 million (10 per cent) from the FY 2024/25 budget, which comprised a development budget of Kshs.3.36 billion and a recurrent budget of Kshs.6.47 billion. The increase in the budget was primarily attributed to the high balance carried forward from FY 2024/25 of Kshs.743 million.

The budget is to be financed from various revenue sources. These include; the equitable share of revenue raised nationally of Kshs.7.45 billion (69 per cent), additional allocations of Kshs.1.73 billion (16 per cent), a cash balance of Kshs.743 million (7 per cent) brought forward from FY 2024/25, and Kshs.897 million (8 per cent) generated as own-source revenue. A breakdown of the additional allocations is shown in Table 3.18

3.2.2 Revenue Performance

During the first nine months of FY 2025/26, the County reported total revenues amounting to Kshs.5.52 billion. This amount represented an increase of 2 per cent compared to the amount received in a similar period in FY 2024/25 of Kshs.5.51 million. The total revenue consisted of Kshs.4.05 billion from the equitable share of revenue raised nationally, additional allocations from the national government and development partners of Kshs.280.04 million, and own-source revenue (OSR) collection of Kshs.428.69 million. Additionally, the County had a cash balance of Kshs.766.14 million from FY 2024/25. The total OSR collection of Kshs.428.69 million included Facilities Improvement Financing (FIF) of Kshs.340.65 million, and Kshs.88.05 million from other OSR sources. Table 3.18 summarises the total revenue available to the County Government during FY 2025/26.

Table 3.18: Bomet County, Revenue Performance in the first nine months of FY 2025/26

No	Revenue Stream	Annual Targeted Revenue (Kshs.)	Actual Receipts (Kshs.)	Receivables in the First Nine Months of FY 2025/26 (Kshs.)	Total Revenues (in accrual basis) in the First Nine Months of FY 2025/26 (Kshs.)	Variance (Kshs.)
		A	B	C	D=B+C	E=A-D
A	Unspent Balance from FY 2024/25					
1	A.I.A C/F	120,000,000	120,000,000	-	120,000,000	-
2	County Executive Refunds to CRF	593,000,001	616,139,090	-	616,139,090	- 23,139,089
3	County Assembly Refuncs to CRF	30,000,000	30,000,000	-	30,000,000	-
	Sub-Total	**743,000,001**	**766,139,090**	**-**	**766,139,090**	**- 23,139,089**

No	Revenue Stream	Annual Targeted Revenue (Kshs.)	Actual Receipts (Kshs.)	Receivables in the First Nine Months of FY 2025/26 (Kshs.)	Total Revenues (in accrual basis) in the First Nine Months of FY 2025/26 (Kshs.)	Variance (Kshs.)
B	**Equitable Share of Revenue Raised Nationally**	**Annual Targeted Revenue (Kshs.)**	**Actual Receipts (Kshs.)**	**Receivables in the First Nine Months of FY 2025/26 (Kshs.)**	**Total Revenues (in accrual basis) in the First Nine Months of FY 2025/26 (Kshs.)**	**Variance (Kshs.)**
1	**Equitable Share**	**7,447,200,499**	**4,046,361,531**	**595,776,040**	**4,642,137,571**	**2,805,062,928**
C	**Additional Allocations (Including Grants)**					
1	Road Maintenance Fuel Levy (KRB)	163,000,000	319,907		319,907	162,680,093
2	Community Health Promoters	74,070,000	-		-	74,070,000
3	Conditional Allocation for Libraries	950,259	-		-	950,259
4	World Bank Loan for the Transforming Health Systems for Universal Care project	-	-		-	-
5	Primary Healthcare in a Devolved Context	8,482,500	-		-	8,482,500
6	Kenya Urban Support Programme (KUSP) - UIG B/F	35,000,000	32,309,300		32,309,300	2,690,700
7	Kenya Urban Support Programme (KUSP) - UIG	28,500,000	-		-	28,500,000
8	IDA Kenya Urban Development Grant (UDG) B/F	18,278,289	18,278,289		18,278,289	-
10	KDSP (Level 1)	37,500,000	-		-	37,500,000
11	KDSP (Level 1 Grant) B/F-Recurrent	-	328,093		328,093	- 328,093
12	KDSP (Level 2 Grant) -Development	352,000,000	-		-	352,000,000
13	WASH - Health & Water- DIG DEEP	80,000,000	-		-	80,000,000
14	Kenya Water, Sanitation and Hygiene (K-WASH) Program	197,903,000	-		-	197,903,000
15	Nutritional International B/F	4,453,054	4,453,054		4,453,054	-
16	Nutritional International	15,000,000	-		-	15,000,000
17	HSSF Danida	20,056,500	-		-	20,056,500
18	IDA Kenya/Climate Change Resilience Invest (CCRI) - BAL B/F	44,814,161	25,636,120	-	25,636,120	19,178,041
19	IDA Kenya/Climate Change Resilience Invest (CCRI)KfW	85,000,000	70,351,919	-	70,351,919	14,648,081
20	IDA Kenya/Climate Change Resilience Invest (CCRI)	130,126,688	128,367,963	-	128,367,963	1,758,725
21	IDA Kenya/Climate Change Institutional Support (CCIS)	11,000,000			-	11,000,000
22	Fertiliser Subsidy Program	131,684,382	-	-	-	131,684,382
23	REREC Matching Funds	-	-	-	-	-
24	Agriculture Sector Development Support Programme (ASDSP)	1,716,655	-	-	-	1,716,655
25	Livestock Value Chain Support Project - GRANTS	57,294,720	-	-	-	57,294,720
26	IDA World Bank-Value Chain NAVCDP	231,250,000	-	-	-	231,250,000
	Sub-Total	**1,728,080,208**	**280,044,645**	**-**	**280,044,645**	**1,448,035,563**
D	**Ordinary Own Source Revenue (OSR)**					

No	Revenue Stream	Annual Targeted Revenue (Kshs.)	Actual Receipts (Kshs.)	Receivables in the First Nine Months of FY 2025/26 (Kshs.)	Total Revenues (in accrual basis) in the First Nine Months of FY 2025/26 (Kshs.)	Variance (Kshs.)
1	Ordinary Own Source Revenue (OSR)	607,500,000	88,046,345	103,510,420	191,556,765	415,943,235
E	**Facility Improvement Financing (FIF)**					
1	SHIF	290,000,000	340,646,987	367,492,700	708,139,687	- 418,139,687
	Grand Total	**10,815,780,708**	**5,521,238,598**	**1,066,779,160**	**6,588,017,758**	**4,227,762,950**

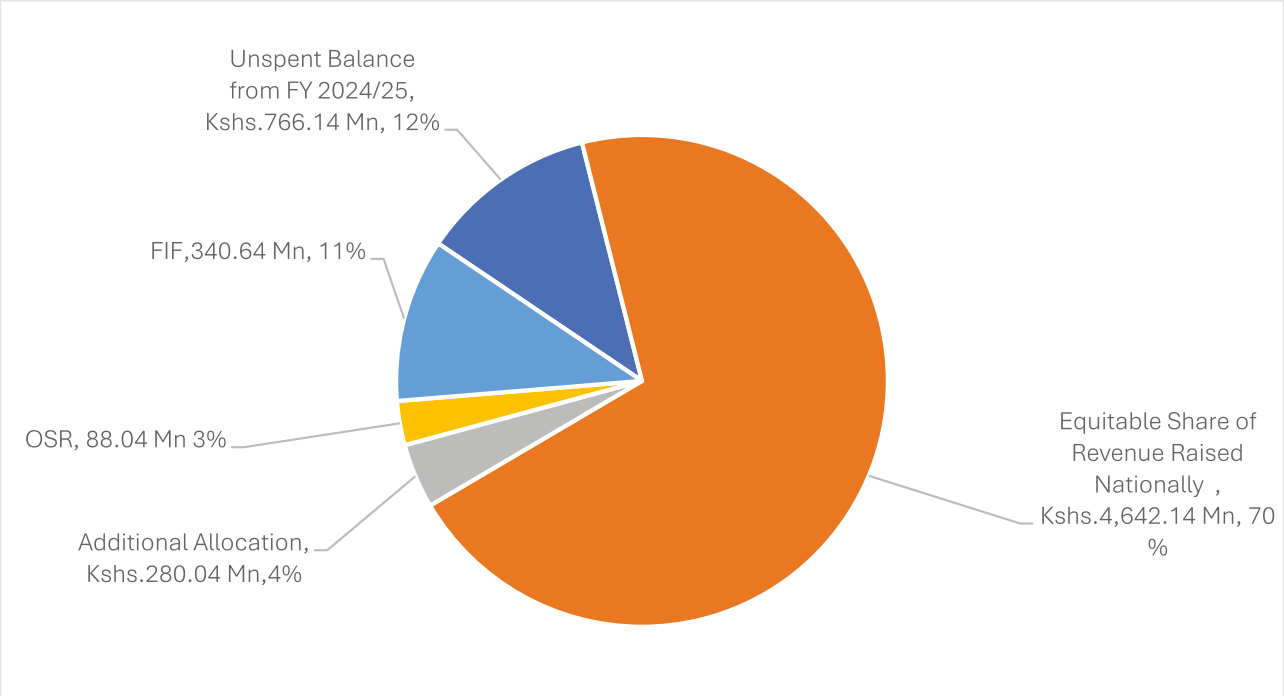
***Source**: Bomet County Treasury*

The County received 54 per cent of the expected shareable revenue against the expected 75 per cent as at 31st March, 2026. This is due to a delay in the release by the National Treasury. Further, only 16 per cent of the additional allocation was received in the period. It's not clear what caused the delay.

The County is yet to finalise the approval process for the governing regulations to operationalise the Facility Improvement Fund (FIF). The draft Act is pending approval at the County Assembly.

Figure 3.7 provides a detailed breakdown of receipts.

Figure 3.7: Bomet County Composition of Revenue in the first nine months of FY 2025/26

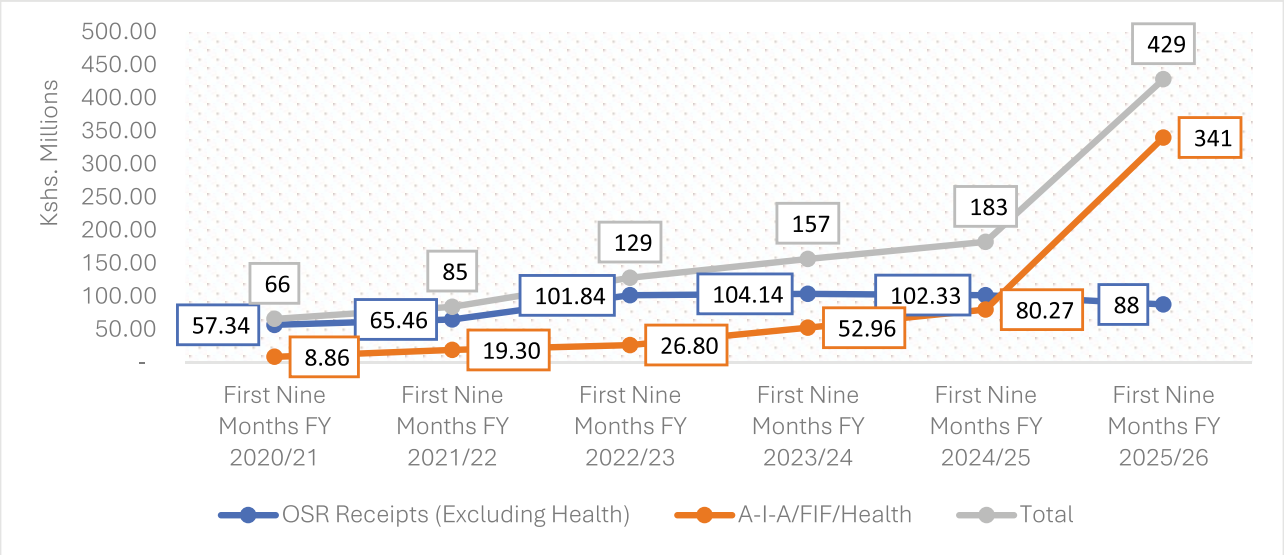


***Source:** Bomet County Treasury*

The equitable share of revenue raised nationally, the unspent balance from FY 2024/25, and FIF contributed 70 per cent, 12 per cent, and 11 per cent, respectively, of the total receipts for the reporting period.

Figure 3.8 shows the collection trend in own-source revenue from the first nine months of FY 2020/21 to the first nine months of FY 2025/26.

Figure 3.8: Bomet County Trend in Own-Source Revenue Collection from the first nine months of FY 2020/21 to the first nine months of FY 2025/26



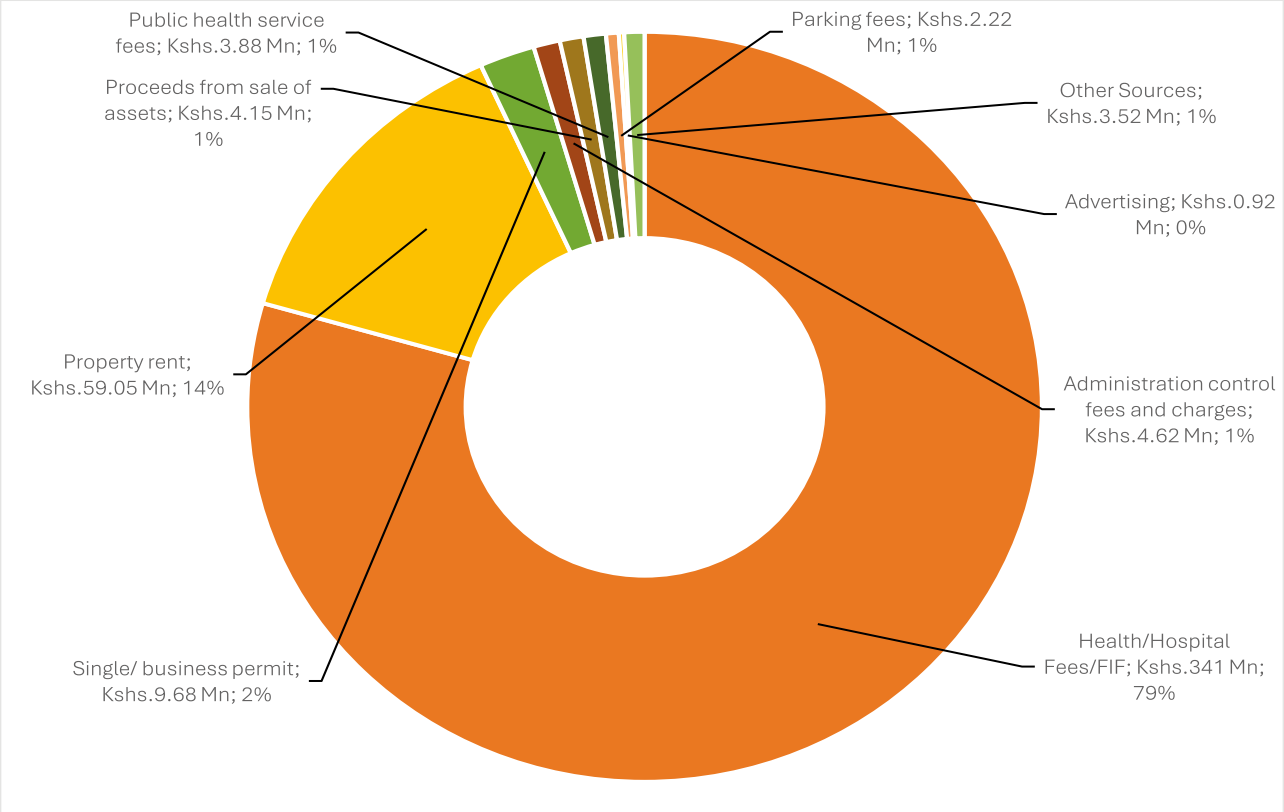
Source: *Bomet County Treasury*

During the first nine months of FY 2025/26, the County received Kshs.428.69 million from OSR, including FIF. This amount was an increase of 135 per cent compared to Kshs.182.6 million realised in a similar period in FY 2024/25, and was 48 per cent of the annual target and 11 per cent of the equitable revenue share disbursed.

The increase in OSR was attributed to enhanced management of FIF.

The revenue streams that contributed the most to OSR receipts are shown in Figure 3.9

Figure 3.9: Bomet County Top Own Source Revenue Streams in the first nine months of FY 2025/26



Source: Bomet County Treasury

As shown in Figure 3.9, the largest revenue stream, at Kshs.341 million, was FIF, accounting for 79 per cent of total OSR receipts. The County Government indicated that it has not automated revenue collection.

3.2.3 Revenue Receivables

As of 1st July 2025, the County reported revenue receivables of Kshs.1.67 billion, which increased to Kshs.1.74 billion as of 31st March 2026. The County manages its receivables manually using the accrual-basis option. Table 3.19 presents a breakdown of the County's receivables.

Table 3.19: Bomet County Receivables as of 31st March 2026

No	Revenue Stream	Receivables as of 1 July 2025 (Kshs.)	Progress made in First Nine Months of FY 2025/26			
			Waivers (Kshs)	Arrears paid in the financial year (Kshs)	Arrears earned in First Nine Months of FY 2025/26 (Kshs)	Receivables as of 31st March 2026 (Kshs.)
		a	b	c	d	f=a-b-c+d
A	**Equitable Share of Revenue Raised Nationally**	596,285,282		596,285,282	595,776,040	595,776,040
B	**Additional Allocations**	118,830,478		118,830,478		
C	**Ordinary Own Sources of Revenue**					
1	Land rates	670,873,265			55,399,832	726,273,097
2	Property rent	5,500,000			41,824,958	47,324,958
3	other receivables	-			6,285,630	6,285,630
	Sub-Total	**670,873,265**	**-**	**-**	**55,399,832**	726,273,097
D	**Facility Improvement Fund (FIF)**					
1	SHIF	197,088,678		197,088,678	367,492,700	367,492,700
2	Defunct NHIF	54,216,282				54,216,282
	Sub-Total	**251,304,960**	**-**	**197,088,678**	**367,492,700**	**421,708,982**
	Grand Total	**1,637,293,985**	**-**	**912,204,438**	**1,018,668,572**	**1,743,758,119**

Source: *Bomet County Treasury*

As of 31st March 2026, the receivables totalled to Kshs.1.74 billion, comprising of shareable revenue, Kshs.595.78 million (34 per cent) OSR, Kshs.726.27 million (41.6 per cent and FIF, Kshs.421.7 (24 per cent). The measures instituted by the County to collect the outstanding arrears in FY 2025/26 include the enactment of the updated valuation roll and pressure on the National Treasury to release the delayed disbursement through the Council of Governors.

3.2.4 Borrowing by the County

The County Assembly and County Executive have not reported any approved credit facility with commercial banks.

3.2.5 Withdrawals from the County Revenue Fund and County Assembly Fund

During the reporting period, the Controller of Budget approved exchequer withdrawal requests totalling Kshs.5.27 billion from the Bomet County Revenue Fund (CRF) account. This amount consisted of Kshs.1.52 billion (29 per cent) designated for development programs and Kshs.3.75 billion (71 per cent) allocated for recurrent programs.

An analysis of the released recurrent exchequers shows that Kshs.2.52 billion was allocated to employee compensation and Kshs.1.23 billion to operations and maintenance expenditures. Within the operations and maintenance category, 14 per cent was for domestic travel and 3.2 per cent for foreign travel. The domestic travel exchequers totalled Kshs.171 million, which included Kshs.53 million for the County Executive and Kshs.118 million for the County Assembly. Meanwhile, the foreign travel exchequers amounted to Kshs.39.88 million, with Kshs.8.88 million for the County Executive and Kshs.31 million for the County Assembly.

As of 31st March 2026, the County Government's cash balance in the Bomet County Revenue Fund CRF account was Kshs.391,663,993 million.

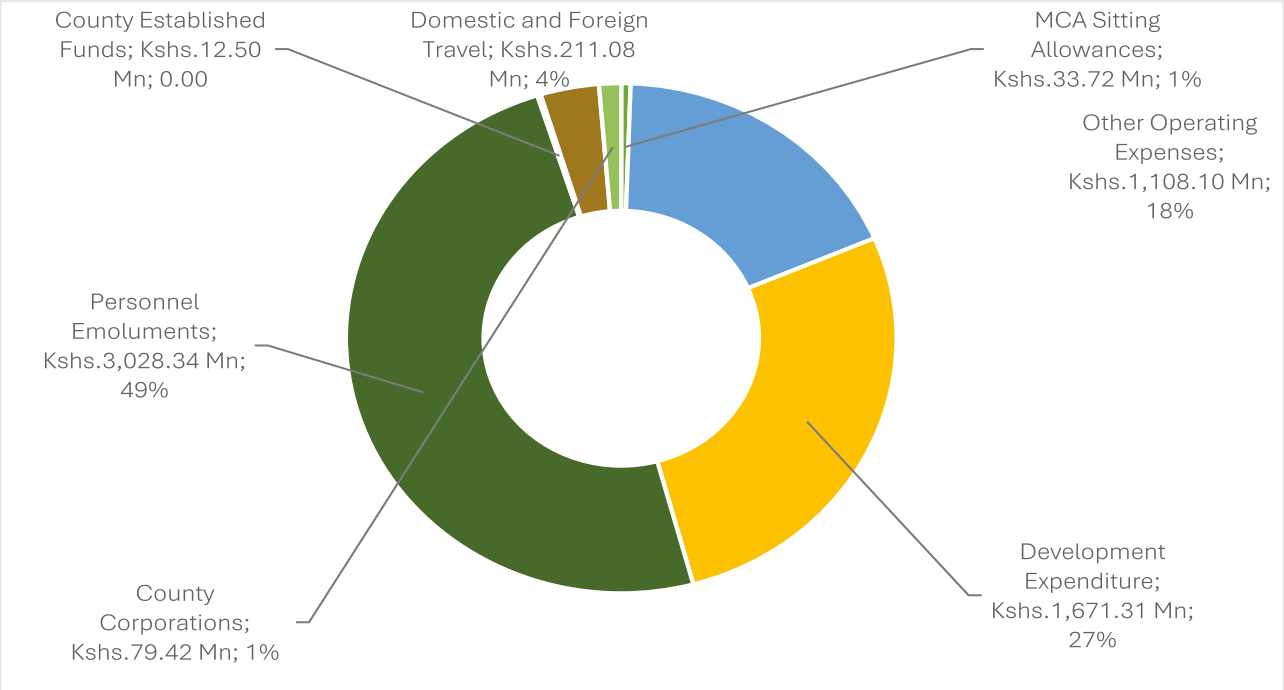
The County Assembly Fund has not yet been operationalised.

3.2.6 Expenditure Review

The County spent Kshs.6.14 billion on development and recurrent programmes during the reporting period. The expenditure represented 147 per cent of the total funds released by the CoB. It comprised Kshs.1.67 billion for development programmes and Kshs.4.47 billion for recurrent programmes. Expenditure on development programmes accounted for 42 per cent of the annual development expenditure budget, while recurrent expenditure accounted for 66 per cent of the annual recurrent expenditure budget.

Figure 3.10 provides a detailed breakdown of total expenditure.

Figure 3.10: Bomet County Composition of Expenditure in the first nine months of FY 2025/26



Source: Bomet *County Treasury*

As shown in Figure 3.10, the three highest expenditure categories were Personnel emoluments, Development and Operating Other Expenses contributing 49, 27 and 18 per cent of total expenditure for the reporting period.

3.2.7 Expenditure by Economic Classification

The County Executive incurred Kshs.2.77 billion in employee compensation, Kshs.1.2 billion in operations and maintenance, and Kshs.1.64 billion in development activities. Similarly, the County Assembly spent Kshs.262.05 million on compensation of employees, Kshs.248.33 million on operations and maintenance, and Kshs.32.59 million on development activities, as shown in Table 3.20.

Table 3.20: Bomet County Summary of Budget and Expenditure by Economic Classification

Expenditure Classification	Approved Budget (Kshs.) (a)		Amount Paid in the first nine months of FY 2025/26 (Kshs.) (b)		Expenditure Accrued in the first nine months of FY 2025/26 (Kshs.) (c)		Total Expenditure in the first nine months of FY 2025/26 (Kshs.) (d=b+c)		Absorption (%) (d/a*100)	
	Executive(	Assembly	Executive	Assembly	Executive	Assembly	Executive	Assembly	Executive	Assembly
Total Recurrent Expenditure	6,092,634,070	725,816,719	2,762,165,484	510,385,787	1,200,606,388	-	3,680,040,128	510,385,787	65	70

Expenditure Classification	Approved Budget (Kshs.) (a)		Amount Paid in the first nine months of FY 2025/26 (Kshs.) (b)		Expenditure Accrued in the first nine months of FY 2025/26 (Kshs.) (c)		Total Expenditure in the first nine months of FY 2025/26 (Kshs.) (d=b+c)		Absorption (%) (d/a*100)	
	Executive(	Assembly	Executive	Assembly	Executive	Assembly	Executive	Assembly	Execu-tive	Assem-bly
Compensation of Employees	3,510,000,000	407,738,131	2,483,552,853	262,052,154	282,731,744		**2,483,552,853**	**262,052,154**	**79**	**64**
Operations and Maintenance	2,582,634,070	318,078,588	278,612,631	248,333,633	917,874,644	-	**1,196,487,275**	**248,333,633**	**46**	**78**
Development Expenditure	**3,925,227,719**	**72,000,000**	**893,285,598**	**17,361,111**	**745,434,181**	**15,231,267**	1,638,719,779	32,592,378	**42**	**45**
Total	**10,017,861,789**	**797,816,719**	**3,655,451,082**	**527,746,898**	**1,946,040,568**	**15,231,267**	**5,318,759,906**	**542,978,165**	**56**	**132**

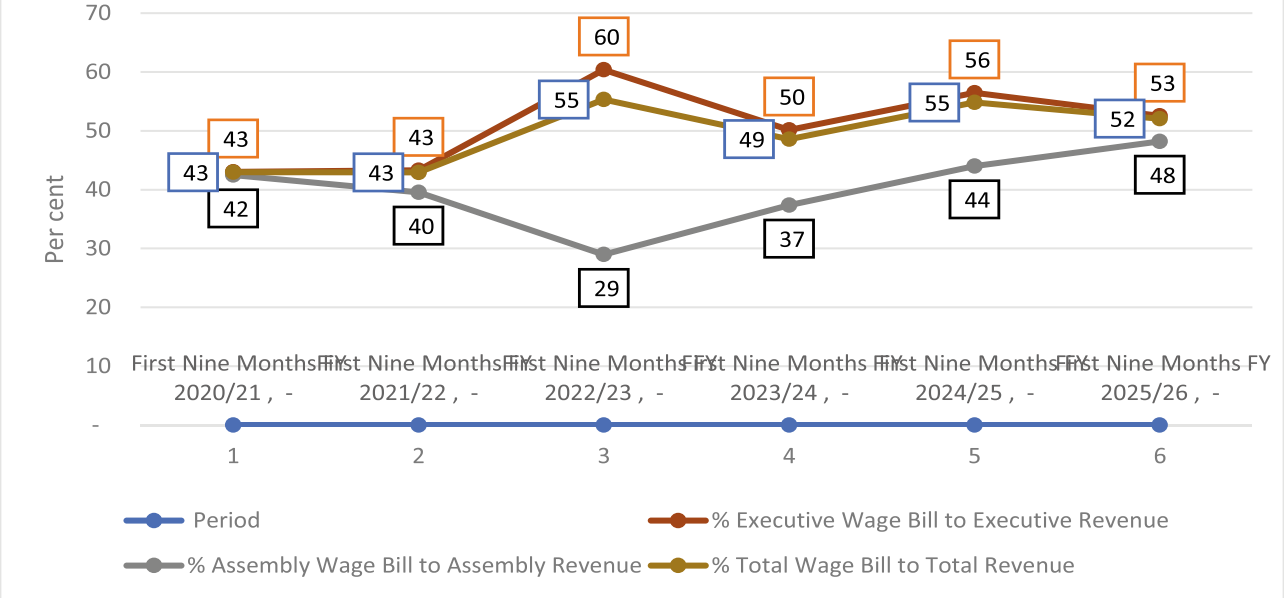
***Source**: Bomet County Treasury*

3.2.8 Expenditure on Employee Compensation

The expenditure on employee compensation totalled Kshs.3.03 billion, representing 46 per cent of revenue. This expenditure on employee compensation shows an increase compared to the Kshs.2.59 billion reported in a similar period in FY 2024/25. Of this total, Kshs.1 billion related to Health Sector employees, accounting for 33 per cent of the overall employees' compensation.

Figure 3.11 shows the trend in employee compensation as a percentage of total revenue from the first nine months of FY 2020/21 to the first nine months of FY 2025/26.

Figure 3.11: Percentage of Employee Compensation Expenditure to Total Revenue Received in the first nine months of FY 2020/21 to the first nine months of FY 2025/26



***Source:** Bomet County Treasury*

Further analysis indicated that PE costs amounting to Kshs.3.02 billion were processed through the Human Resource Information System (HRIS). In contrast, Kshs.1.1 million was processed through manual payrolls, which accounted for 1 per cent of the total PE cost. The justification for the continued use of manual payroll was the settlement of gratuity for staff without payroll numbers.

The manual payroll comprised salaries for 2 staff not onboarded into the Human Resource Information System (HRIS) and gratuity remittances for members of the County Assembly on contract, as shown in Table 3.21

Table 3.21: Breakdown of Bomet County Manual Payroll

Category	County Executive	County Assembly	Total
Salaries for staff paid outside the Human Resource Information System (HRIS)	-	1,105,830	1,105,830
Total	**-**	**1,105,830**	**1,105,830**

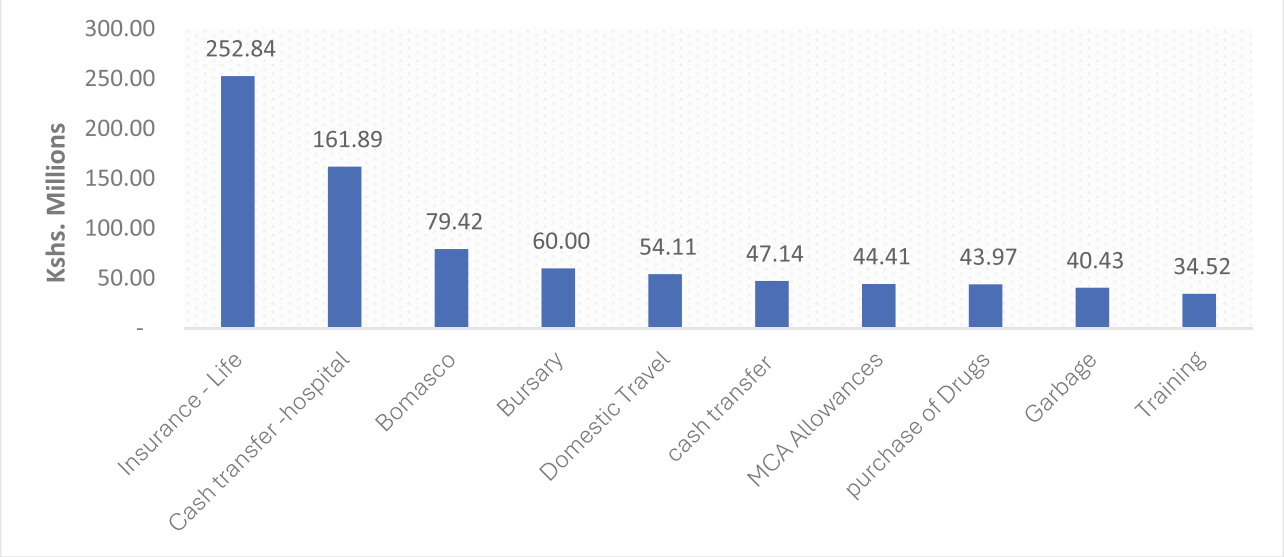
Source: *Bomet County Treasury*

The County Assembly spent Kshs.33.72 million on committee sitting allowances for the 39 MCAs against the annual budget allocation of Kshs.35.94 million. The average monthly sitting allowance was Kshs.96,076 per MCA. The County Assembly has 21 House Committees.

3.2.9 Expenditure on Operations and Maintenance

During the reporting period, the County spent Kshs.1.44 billion on operations and maintenance, representing an increase of 13 per cent compared to a similar period in FY 2024/25, when the County spent Kshs.1.27 billion. Figure 3.12 illustrates the distribution of Operations and Maintenance expenditures across the major spending categories.

Figure 3.12: Bomet County, Operations and Maintenance Expenditure by Major Categories



Source: Bomet *County Treasury*

The highest expenditure of Kshs.252 million was on medical Insurance followed by cash transfer to hospitals of Kshs.161.89 million. The county also settled payments totalling Kshs.79.42 on behalf of Bomet Water and Sewerage company.

3.2.10 Unbundling "Other Operating Expenses" Under Operations and Maintenance Expenditures

The budget performance report for the first nine months of FY 2025/26 indicates that the County spent Kshs.7.38 million on "*other operating expenses*," which was 0.5 per cent of the total operations and maintenance expenditure of Kshs.1.44 billion. This category of expenditure includes Kshs.4.15 million for support of vulnerable citizens, including PWD, children, and the elderly, and Kshs.2.07 million for community participation. The disaggregated items under the "*Other Operating Expenses*" category are shown in Table 3.22.

Table 3.22: Breakdown of "Other Operating Expenses"IFMIS code 2211399 under O&M Expenditures

Code	Item	Budget (Kshs)	Expenditure (Kshs.)
4761-2211399	Resource Mobilization	500,000	74,200
4761-2211399	Community Participation	11,088,103	1,980,000
4765-2211399	Community Participation on survey works and town planning activities across all wards	500,000	-
4765-2211399	Community Participation [other operating expenses]	400,000	-
4770-2211399	Support to PWD, Children and the Elderly	8,700,000	4,146,840
4767-2211399	Support for operation and maintenance of rural water supply schemes (KWASH)	1,200,000	1,089,508
4766-2211399	Public Participation	300,000	-
4769-2211399	Community Participation	300,000	63,000
4771-2211399	Community Participation	50,000	25,000
	Total	**23,038,103**	**7,378,548**

Source: Bomet *County Treasury*

3.2.11 County-Established Funds

Section 116 of the PFM Act 2012 allows County Governments to establish other public funds, subject to approval from the County Executive Committee and the County Assembly. The County allocated Kshs.110 million to County-Established funds in FY 2025/26, representing 1 per cent of the County's overall budget. Further, the County did not allocate funds to the Emergency Fund in line with Section 110 of the PFM Act, 2012 as the Emergency Funds Act had expired. Table 3.23 summarises each established Fund's budget allocation and performance during the reporting period.

Table 3.23: Performance of Bomet County Established Funds in the first nine months of FY 2025/26

S/ No.	Name of the Fund	Year Established	Approved Budget Allocation in FY 2025/26 (Kshs.)	Exchequer Issues in First Nine months Year of FY 2025/26 (Kshs.)	Actual Expenditure in the First Nine months of FY 2025/26 (Kshs.)	Cumulative disbursements to the Fund (Kshs)	Submission of Financial Statements (Yes/No.)
		County Executive Established Funds					
1.	Bomet County Bursary Fund	2021	85,000,000	12,500,000	12,500,000	602,958,915	Yes
2.	Bomet County Executive Car Loan and Mortgage Fund	2014	-	-	-	124,813,880	No
		County Assembly Established Funds					
3	Bomet County Assembly Car Loan and Mortgage Fund	2017	25,000,000	-	-	483,307,071	No
	Total		**110,000,000**	**12,500,000**	**12,500,000**	**1,211,079,866**	

Source: *Bomet County Treasury*

During the reporting period, the CoB did not receive quarterly financial reports from Bomet County Executive Car Loan and Mortgage Fund and Bomet County Assembly Car Loan and Mortgage Fund Fund Administrators, as indicated in Table 3.6, contrary to the requirement of Section 168 of the PFM Act, 2012. The County disclosed that the administration costs of the three Funds were the 3 per cent limit of the Fund budget set in Regulation 197(1)(d) of the Public Finance Management (County Governments) Regulations, 2015.

Regulation 197(1)(i) of the Public Finance Management (County Governments) Regulations, 2015, allows County Governments to establish public funds with a lifespan capped at 10 years unless extended by the County Assembly. In the period under review, all three Funds in the county were within the legal period.

3.2.12 County Municipalities, Corporations, and other agencies.

The County has 3 County Corporations, which were allocated Kshs.150.45 in FY 2025/26. Their total expenditure for the review period amounted to Kshs.79.42 as shown in Table 3.24

Table 3.24: Performance of Bomet County Corporations in the first nine months of FY 2025/26

S/No.	Name of the Corporation	Approved Budget Allocation in FY 2025/26 (Kshs.)	Exchequer Issues	Actual Transfers in FY 2025/26 (Kshs.)	Cumulative Transfers to the Corporation since its inception (Kshs.)
1.	Bomet Municipality	66,750,000	-	-	33,102,820
2.	Sotik Municipality	3,700,000	-	-	-
3.	Bomwasco	80,000,000	66,023,043	79,416,157	199,393,114
	Total	**150,450,000**	**66,023,043**	**79,416,157**	**232,495,934**

Source: Bomet *County Treasury*

3.2.13 Expenditure on Domestic and Foreign Travel

Expenditure on domestic travel amounted to Kshs.171.19 million and comprised Kshs.118.05 million spent by the County Assembly and Kshs.53.15 million by the County Executive. Expenditure on foreign travel amounted to Kshs.39.8 million and comprised Kshs.31 million by the County Assembly and Kshs.8.88 million by the County Executive. Expenditure on foreign travel is summarised in Table 3.25

Table 3.25: Summary of Expenditure on Foreign Travel in the first nine months of FY 2025/26

Arm of County Government	No. of Officers Travelled	Dates travelled	Purpose of the travel	Destination	Actual Payment on Travel (a) (Kshs.)	Accrued Expenditure on Travel (b) (Kshs.)	Total Costs of the Travel (Kshs.)
Bomet County Assembly	25	13th - 23rd sept - 2025	2nd- Edition of the RAID Okavango Region	Angola	13,941,200	-	13,941,200
Bomet County Assembly	10	12th - 22nd November 2025	Attending 30th Session of the Conference of the Parties to the United Nations Framework Convention on Climate Change (COP30)	Brazil	10,393,040	-	10,393,040
Bomet County Assembly	7	1st - 10th December 2025	Attending Exchange program in the Parliament of Victoria in Melbourne Australia	Australia	5,966,805	-	5,966,805
Bomet County Assembly	1	16th -26th October 2025	Attending Leadership Masterclass on steering devolved system towards intergrity	Zanzibar	548,600	-	548,600
Bomet County Assembly	1	24th October - 4th November 2025	Attending International Exchange Programme on empowering legislative administration	Spain / France	813,800	-	813,800

Arm of County Government	No. of Officers Travelled	Dates travelled	Purpose of the travel	Destination	Actual Payment on Travel (a) (Kshs.)	Accrued Expenditure on Travel (b) (Kshs.)	Total Costs of the Travel (Kshs.)
Bomet County Executive	4	23 august 2025-29 september 2025	Signing ceremony of cooperation and twinning agreement between region of western Greece and Bomet County Government	Greece	1,165,050	-	1,165,050
County Executive	3	20th September-28th October 2025	Attend 2025 Association for Budgeting and Financial Management(ABFM) Annual Conference.	Atlanta Georgia	1,890,020	-	1,890,020

Source: Bomet County Treasury and Bomet County Assembly

3.2.14 Facility Improvement Financing

During the review period, the County reported collections of Kshs.340.65 million as FIF, which was 117 per cent of the annual target of Kshs.290 million. The collected amount was retained and utilised at source in line with the Facility Improvement Financing Act, 2023. The County has (however, not) developed regulations to operationalise the FIF Act of 2023.

The expenditure by the health facilities amounted to Kshs.276.24 million, as shown in Table 3.26

Table 3.26: Bomet County Health Facilities Expenditure Performance in the first nine months of FY 2025/26

No.	Health Facility	Number of Facilities	Approved Budget (Kshs.)	Actual Expenditure (Kshs.)	Absorption rate (%)
1.	Level 5 Hospital	-			
2.	Level 4 Hospital	4	418,864,080	95,003,991	23
3.	Level 3 Facility	31	296,857,836	81,539,516	28
4.	Level 2 Facility	128	335,749,353	99,700,302	30
	Total	**163**	**1,051,471,268**	**276,243,809**	**26**

***Source: Bomet** County Treasury*

3.2.15 Development Expenditure

In the review period, the County reported spending Kshs.1.67 billion on development programmes, representing an increase of 90 per cent compared to FY 2024/25, when the County spent Kshs.877.42 million. Table 3.27 summarises the development projects with the highest expenditure in the reporting period.

The increase in development expenditure was attributed to streamlining of the procurement process and increased capacity building among the staff.

Table 3.27: Bomet County, List of Development Projects with the Highest Expenditure

No	Sector	Project Name	Project Location	Project Commencement Date	Expected date of Completion of the Project	Contract sum (Kshs)(Mn)	Total Funding in FY 2025/26 (Kshs.)	Expenditure (in accrual sis) in the First Nine of FY 2025/26 (Kshs.)	Cumulative project expenditure (in accrual basis) as of 31st March 2025 (Kshs.)
1	Finance	Construction of avocado value addition packhouse	Hq	2025	2026	296.93	34	40	74
2	Health	Proposed Completion of Radiology at Tegat hospital	Hq	2025	2026	10	10	10	10
3	Health	Construction of theatre radiology and surgical wards at Sor Sub County Hospital	Hq	2025	2026	34.10	34.10	34.10	34.10
4	County Assembly	Construction of Bomet County Assembly	Hq	2025	2026	27.28	27.28	27.28	27.28
5	Water	procurement of works for nderemiat	Hq	2025	2026	4.97	4.97	4.97	4.97
6	Water	procurement of works for marangetit water	Hq	2025	2026	4.84	4.84	4.84	4.84
7	Water	Procurement of works for Kuriot Pipeline Extension	Hq	2025	202 6	4.56	4.56	4.56	4.56
8	Roads	Routine Maintenance of Chebaibai-Kapboisyo Road	Hq	2025	2026	4.38	4.38	4.38	4.38
9	Roads	Routine Maintenance Of Arap Chebusit -kamogiboi road	Hq	2025	2026	3.45	3.45	3.45	3.45
10	Roads	Routine maintenance of kipsoen -youth empowerment box culvert	Hq	2025	2026	3.72	3.72	3.72	3.72

Source: *Bomet County Treasury*

The County did not submit a report on stalled development projects as of 31st March 2026.

Table 3.28: Bomet County Stalled Projects as of 31st March 2026

3.2.16 Budget Performance by Department

Table 3.29 summarises the approved budget allocation, expenditure, and absorption rate by department for the period under review.

Table 3.29: Bomet County, Budget Allocation and Absorption Rate by Department in the first nine months of FY 2025/26

Department	Budget Allocation (Kshs.Millions)		Exchequer Issues (Kshs.Millions)		Expenditure (Kshs. Millions)		Expenditure to Exchequer Issues (%)		Absorption rate (%)	
	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev
County Assembly	751	47	511	17	510	33	100	188	68	69
Administration ICT and Public Service	3,042	397	1,958	34	1,978	34	101	100	65	9
Finance And Economic Planning	164	229	94	27	97	98	103	360	59	43
Lands, Housing And Urban Planning	163	129	27	6	37	6	139	108	23	5
Municipalities	52	19	2	1	-	-	-	0	-	-
Gender And Culture	45	10	13	-	11	-	82	0	24	-
Health Services	2,129	287	874	51	927	89	106	173	44	31
Education, Vocational Training, Youth & Sports	172	237	49	64	43	188	88	292	25	79
Water, Sanitation And Environment	166	910	150	474	150	349	100	74	91	38
Agriculture, Livestock, Fisheries, Cooperatives	27	583	10	125	9	156	94	124	98	27
Roads, Transport & Public Works	127	1,097	64	540	64	716	100	133	50	65
Trade, Energy Tourism & Investment	6	28	1	2	1	2	95	109	17	7
Total	**6,844**	**3,972**	**3,752**	**1,342**	**3,828**	**1,670**	**102**	**124**	**55**	**42**

Source: *Bomet County Treasury*

Analysis of expenditure by departments shows that the Department of Education, Vocational Training, Youth & Sports recorded the highest absorption rate of development budget at 79 per cent, followed by the Department of County Assembly at 69 per cent. The Department of Agriculture, Livestock, Fisheries, Cooperatives had the highest percentage of recurrent expenditure to budget at 98 per cent, while the Department of Trade, Energy, Tourism & Investment had the lowest at 17 per cent.

3.2.17 Budget Execution by Programmes and Sub-Programmes

Budget execution was concentrated in selected performance bands. In the 1–10 per cent band, development absorption was reported for infrastructural development under the Office of the Governor and Administration at 1 per cent, for food and nutrition security under the Department of Agriculture, Livestock and Veterinary Services at 5 per cent, for infrastructure for the new revenue system under the Department of Finance at 6 per cent, and for land use planning and management under the Department of Lands, Housing and Urban Planning at 8 per cent. Recurrent absorption was reported for community-based primary health care under the Department of Medical and Public Health at 4 per cent and for gender mainstreaming and women economic empowerment and training under the Department of Gender, Culture and Social Services at 5 per cent.

In the 11–20 per cent band, development absorption was reported for veterinary services under the Department of Agriculture, Livestock and Veterinary Services at 14 per cent and for completion of offices under the Office of the Governor and Administration at 16 per cent, while recurrent absorption was recorded for legal services at 18 per cent and for use of goods and services under the Department of Gender, Culture and Social Services at 18 per cent.

In the 90–100 per cent band, development absorption reached 99 per cent for construction and maintenance of motorized bridges, culverts and foot bridges under the Department of Roads, Public Works and Transport, 98 per cent for pipeline extension services under the Department of Water and Environment, and 97 per cent for installation of floodlights under the Department of Trade, Energy, Tourism, Industry and Investment. Recurrent absorption reached 99 per cent for use of goods and services under the Department of Roads, Public Works and Transport and under the Department of Water and Environment, 97 per

cent for use of goods and services under the Department of Finance, Economic Planning and ICT, and 95 per cent for casual services under gender and for budget preparation under finance.

Low absorption in the lower performance bands reflected slow implementation across infrastructural development, agriculture, revenue systems, land use, health and gender sub-programmes. Conversely, performance in the higher bands was attributed to proper planning at the beginning of the financial year and the prioritisation of the respective sub-programmes during the review period.

Table 3.30 summarises budget execution by programmes and sub-programmes in the period under review with the highest absorption rates.

Table 3.30: Budget Execution by Programmes and Sub-Programmes with Highest Absorption Rates

Programme	Sub-Programme	Gross Approved Estimates FY 2025/26 (Kshs.)(Mn)		Expenditure (Including Accrued Expenditure) As Of 31st March 2025 (Kshs.) (Mn)		Absorption Rate (%)	
		Recurrent	Development	Recurrent	Development	Recurrent	Development
ROADS PUBLIC WORKS AND TRANSPORT							
Administrative Services	Use Of Goods And Services	127.04		125.56	-	99	-
Development And Maintenance Of Other Public Works	Construction And Maintenance Of Motorized Bridges, Culverts And Foot Bridges	--	131	-	129.68	-	99
WATER AND ENVIRONMENT							
Policy Planning And Administrative Services	Use Of Goods And Services	10.05		9.97		99	-
Policy Planning And Administrative Services	Pipeline Extension Services		171.		168.02	-	98
FINANCE Economic Planning And ICT							
Policy, Planning & General Administrative Services	Use Of Goods And Services	63.5		61.90		97	0
TRADE, ENERGY, TOURISM, INDUSTRY AND INVESTMENT							
P2. Energy Development	S.P. 2.2. Installation Of Floodlights		12.50		12.14	-	97
WATER AND ENVIRONMENT							
Policy Planning And Administrative Services	Planning	145.65		140.03		96	-
ROADS PUBLIC WORKS AND TRANSPORT							
Administrative Services	Use Of Goods And Services	127.04		125.56		99	-
GENDER, CULTURE AND SOCIAL SERVICES							
Policy Development And Administrative Services	Casual	1.50		1.42		95	-
FINANCE Economic Planning And ICT							

Programme	Sub-Programme	Gross Approved Estimates FY 2025/26 (Kshs.)(Mn)		Expenditure (Including Accrued Expenditure) As Of 31st March 2025 (Kshs.) (Mn)		Absorption Rate (%)	
		Recurrent	Devel-opment	Recurrent	Develop-ment	Recur-rent	Develop-ment
Budget Preparation And Management	Preparation Of Budget Docu-ments	3		2.85		95	-
Budget Preparation And Management	Training	1.5		1.43		95	-

Source: *Bomet County Treasury*

The development sub-programmes with the highest budget implementation rates were: Development and Maintenance of Other Public Works in the Department of Roads Public works and Transport at 99 per cent, Policy Planning and Administrative Services in the Department of Water and Environment at 98 per cent, and Energy Development in the Department of Trade, Energy, Tourism, Industry and Investment at 97 per cent

For recurrent sub-programmes, the top performers included: Administrative Services in the Department of Roads, Public Works and Transport at 99 per cent, Policy Planning and Administrative Services in the Department of Water and Environment at 99 per cent, and Policy, Planning & General Administrative Services in the Department of Finance and Economic Planning at 97 per cent.

The higher performance of these programmes can be attributed to proper planning at the beginning of the FY.

Table 3.31 summarises the budget execution by programmes and sub-programmes in the period under review that had the lowest absorption rates.

Table 3.31: Budget Execution by Programmes and Sub-Programmes with Lowest Absorption Rates

Programme	Sub-Programme	Gross Approved Estimates FY 2025/26 (Kshs.)		Expenditure (in-cluding accrued expenditure) as of 31st March 2026 (Kshs.)		Absorption Rate (%)	
		Recurrent	Develop-ment	Recur-rent	Devel-opment	Recur-rent	De-velop-ment
Office of The Governor And Administration							
Economic, Social and Political Advisory Services	Infrastructural Development		356		2.74		1
MEDICAL AND PUBLIC HEALTH							
Preventive and Promo-tive Services	Community based Primary Health Care (Community Health Promoters - CHPs)	74.07		3.03		4	
GENDER, CULTURE AND SOCIAL SERVICES							
Gender, Children Services and Social Protection	Gender mainstreaming & Women Economic Empow-erment & Training	12.65		0.68		5	
AGRICULTURE, LIVESTOCK AND VETERINARY SERVICES							
AGRICULTURE SER-VICES	Food & Nutrition Security		38.2		1.75	-	5
FINANCE							

Programme	Sub-Programme	Gross Approved Estimates FY 2025/26 (Kshs.)		Expenditure (including accrued expenditure) as of 31st March 2026 (Kshs.)		Absorption Rate (%)	
		Recurrent	Development	Recurrent	Development	Recurrent	Development
Information Communication Technology (ICT) Services	Infrastructure for the new revenue system		15		0.94	-	6
Lands, Housing and Urban Planning							
LAND USE AND URBAN ADMINISTRATION	Land Use Planning and Management		120		10.1	-	8
Office of The Governor And Administration							
Policy, Planning & General Administrative Services	Legal Services	16.94		3.09		18	-
Policy, Planning & General Administrative Services	Completion of offices	-	41		6.47		16
GENDER, CULTURE AND SOCIAL SERVICES							
Policy Development and Administrative Services	Use of Goods and Services total	11.71		2.10		18	-
AGRICULTURE, LIVESTOCK AND VETERINARY SERVICES							
Livestock, Fisheries & Veterinary Services	SP 3.3 Veterinary Services		40.27		5.81	-	14

***Source**: Bomet County Treasury*

The Development Sub-Programmes with the Lowest Budget Implementation Rates Were as Follows: Economic, Social and Political Advisory Services in the Department of Finance, Economic Planning and Ict At 1 Per Cent, Agriculture Services in the Department of Agriculture, Livestock and Veterinary Services At 5 Per Cent, And Information Communication Technology (Ict) Services At 6 Per Cent.

For Recurrent Sub-Programmes, The Poorest Performers Included: Preventive and Promotive Services in the Department of Health Services At 4 Per Cent, Gender, Children Services and Social Protection in The Department of Gender Culture and Social Services 5 Per Cent, And Policy, Planning & General Administrative Services in The Department of Public Service and Administration At 18 Per Cent.

3.2.18 Settlement of Trade Payables

As of 1st July 2025, the County reported trade payables totalling Kshs.1.52 billion. This amount consisted of Kshs.1.46 billion from the County Executive and Kshs.65.87 million from the County Assembly. The trade payables from the County Executive comprised of Kshs.599.97 million for recurrent expenditure and Kshs.857.4 million for development expenditure.

During the reporting period, the County Executive settled trade payables amounting to Kshs.874.66 million, comprising Kshs.370.12 million (42 per cent) for recurrent programmes and Kshs.504.55 million (58 per cent) for development programmes. On the other hand, the County Assembly settled trade payables worth Kshs.47.81 million, which included Kshs.12.84 million (27 per cent) for recurrent activities and Kshs.34.96 million 73 per cent) for development activities. The outstanding trade payables as of 31st March 2026 were Kshs.582.7 million for County Executive and Kshs.18.06 million for County Assembly. 16 Table 3.32 provides additional details of trade payables.

Table 3.32: Bomet County Trade Payables as of 31st March 2026

	County Entity	Development	Recurrent	Total
As at 1 July 2025 (End of FY 2024/25)	County Executive	857,398,556	599,970,751	1,457,369,307
	County Assembly	45,807,600	20,063,977	65,871,577
	Total	**903,206,156**	**620,034,728**	**1,523,240,884**
Amount paid in FY 2025/26	County Executive	504,550,161	370,105,415	874,655,576
	County Assembly	34,960,227.00	12,849,829	47,810,056
	Total	**539,510,388**	**382,955,244**	**922,465,632**
Trade Payables Incurred in FY 2025/26	County Executive	-	-	-
	County Assembly	-	-	-
	Total	-	-	-
Outstanding Trade Payables as of 31 March 2026 (Kshs.)	County Executive	352,848,395	229,865,336	582,713,731
	County Assembly	10,847,373	7,214,148	18,061,521
	Total	**363,695,768**	**237,079,484**	**600,775,252**

Source: Bomet *County Treasury*

The County Executive submitted a trade payables payment plan, committing to pay Kshs.620 million and Kshs.903.3 million on recurrent and development expenditure, respectively. In the reporting period of FY 2025/26 the County Executive did not adhere to this payment plan, as it cleared Kshs.370.12 million and Kshs.504.55 million for recurrent and development respectively.

Similarly, the County Assembly submitted a trade payables payment plan, committing to pay Kshs.20.1 million and Kshs.45.81 million on recurrent and development expenditure, respectively. In the reporting period of FY 2025/26 the County Assembly did not adhere to this payment plan, as it cleared Kshs.12.85 million and Kshs.34.9 million for recurrent and development respectively.

Table 3.33: Bomet County Executive Trade Payables Ageing Analysis as of 31st March 2026

Category	Ageing analysis (Amount in Kshs.)				Total
	Under one year	1-2 years	2-3 years	Over 3 years	
County Executive					
Development Trade Payables		352,848,395			352,848,395
Recurrent Trade Payables (Goods & Services)		229,865,336			229,865,336
Recurrent Trade Payables (Salary Arrears and Statutory Deductions)		-			-
Recurrent Trade Payables (Staff Claims)		-			-
Total Recurrent Trade Payables	-	229,865,336			229,865,336
Total Trade Payables		582,713,731	-	-	582,713,731
% of Total	**-**	**97**	**-**	**-**	**97**

Source: Bomet *County Treasury*

Table 3.34: Bomet County Assembly Trade Payables Ageing Analysis as of 31st March 2026

Development Trade Payables		10,847,373			10,847,373
Recurrent Trade Payables (Goods & Services)		7,214,148			7,214,148
Recurrent Trade Payables (Salary Arrears and Statutory Deductions)					
Recurrent Trade Payables (Staff Claims)					
Total Recurrent Trade Payables	-	7,214,148	-	-	7,214,148

Development Trade Payables		10,847,373			10,847,373
Total Trade Payables	-	18,061,521	-	-	18,061,521
% of Total	-	3			3

Source: Bomet *County Treasury*

As shown in Table 3.33 and Table 3.34, there were no salary arrears and statutory deduction pending payables. Additionally, the two tables indicate that all trade payables are aged between one and two years, a trend attributed to the county adhering to the payment of pending payables using the FIFO basis.

The payment plan submitted to Controller of budget by the county was largely adhered to in the first nine months of the FY. The county executive did not comply with the plan in the third quarter of the reporting period.

3.2.19 General Observations and Recommendations

In the course of overseeing and reporting on the implementation of the Bomet County budget, the CoB identified the following challenges, which hampered effective budget implementation;

i. The County Treasury's late submission of financial reports to the Controller of Budget affected the timely preparation of the budget implementation report, which was received on 7th May, 2026.
ii. The underperformance of own-source revenue at Kshs.88 million against an annual target of Kshs.570.5 million, representing 13 per cent of the financial year target.
iii. Unspent funds from FY 2024/25 were not refunded into the CRF account, resulting in actual expenditures exceeding the approved exchequer in several departments, as shown in Table 3.12.
iv. Fund Administrators failed to submit quarterly financial and non-financial reports to the CoB within the timelines provided by law, which is against the requirement of Section 168 of the PFM Act, 2012. The reports for the County Assembly Car Loan and Mortgage Fund, County Executive Car Loan and Mortgage Fund and Bursary Fund were not submitted to the CoB as of 15 April 2026.
v. Non-submission of copies of authorisation letters for opening commercial bank accounts as per Regulation 82(5) of the Public Finance Management (County Governments) Regulations, 2015.

The County should implement the following recommendations to improve budget execution:

i. *The County Treasury should ensure the timely preparation and submission of financial reports to the Controller of Budget per the timelines prescribed in Section 166 of the PFM Act, 2012.*
ii. *The County should address its own-source revenue performance to ensure the approved budget is fully financed. Appropriate austerity measures should be implemented to ensure expenditure commitments are aligned with available revenue.*
iii. *The County Treasury should ensure unspent funds from the previous financial year are deposited into the CRF Account in line with Section 136 of the PFM Act 2012.*
iv. *The CECMF should follow up to ensure Fund Administrators prepare and submit statutory reports in line with the PFM Act, 2012.*
v. *The County Treasury should ensure it submits copies of authorisation letters to the CoB for opening commercial bank accounts to enhance accountability and oversight.*

3.3. County Government of Bungoma

3.3.1 Overview of FY 2025/26 Budget

The Bungoma County Approved Supplementary Budget for FY 2025/26 is Kshs.17.43 billion. It comprises Kshs.5.54 billion (32 per cent) and Kshs.11.89 billion (68 per cent) allocation for development and recurrent programmes, respectively. The budget estimates represent an increase of Kshs.1.96 billion (13 per cent) from the FY 2024/25 budget, which comprised a development budget of Kshs.5.64 billion and a recurrent budget of Kshs.9.83 billion. The increase in the budget was primarily attributed to growth in the Equitable share, a high balance carried forward from FY 2024/25 of Kshs.686.93 million, and conditional allocations to the Facility Improvement Financing.

The budget is to be financed from various revenue sources. These include the equitable share of reve-

nue raised nationally of Kshs.11.84 billion (68 per cent), additional allocations of Kshs.2.83 billion (16 per cent), a cash balance brought forward from FY 24/25 of Kshs.686.90 million (4 per cent) and Kshs.2.08 billion (12 per cent) generated as own-source revenue and Kshs.17.43 million (less than 1 per cent) as other revenue. The own-source revenue includes Kshs.1.39 billion (67 per cent) as Facility Improvement Financing (revenue from health facilities) and Kshs.683.89 million (33 per cent) as ordinary own-source revenue. A breakdown of the additional allocations is shown in Table 3.35 Revenue Performance

During the first nine months of FY 2025/26, the County reported total revenues of Kshs.12.05 billion. This amount represented an increase of 32 per cent compared to the amount received in a similar period in FY 2024/25 of Kshs.9.12 billion. The total revenue consisted of Kshs.8.82 billion from the equitable share of revenue raised nationally, additional allocations from the national government and development partners of Kshs.1.27 billion, and own-source revenue (OSR) collection of Kshs.1.22 billion. Additionally, the County had a cash balance of Kshs.686.93 million from FY 2024/25. The total OSR collection of Kshs.1.22 billion included Facilities Improvement Financing (FIF) of Kshs.831.13 million, and Kshs.390.62 million from other OSR sources. Table 3.35 summarises the total revenue available to the County Government during FY 2025/26.

Table 3.35: Bungoma County, Revenue Performance in the first nine months of FY 2025/26

No	Revenue Stream	Annual Targeted Revenue (Kshs.)	Actual Receipts (Kshs.)	Receivables in the first nine months of FY 2025/26 (Kshs.)	Total Revenues (in accrual basis) in the first nine months of FY 2025/26 (Kshs.)	Revenue Performance (%)
		A	B	C	D	F=D/A*100
A	**Unspent Balance from FY 2023/24**					
1	Balance at CRF	**685,017,970**	**685,017,970**	**-**	**685,017,970**	100
2	County Executive Refunds to CRF	**1,884,078**	**1,884,078**	**-**	**1,884,078**	100
3	County Assembly Refunds to CRF	**-**	**26,545**	**-**	**26,545**	-
	Sub-Total	**686,902,047**	**686,928,592**	**-**	**686,928,592**	**100**
B	**Equitable Share of Revenue Raised Nationally**	11,838,054,666	7,872,306,354	947,044,373	8,819,350,727	75
	Sub-Total	**11,838,054,666**	**7,872,306,354**	**947,044,373**	**8,819,350,727**	**75**
D	**Additional Allocations (Including Grants)**					
1	**Conditional Additional Allocations from the National Government's**					
a	Community Health Promoters (CHPs) Programme	14,331,000	-	-	-	-
b	County Aggregation and Industrial Parks (CAIPs) Programme	204,706,886	204,706,886	-	204,706,886	100
2	**Conditional Allocations from Loans and Grants**					
1	(IFAD) Loan for the Aquaculture Business Development Project (ABDP)	10,918,919	-	-	-	-
2	Financing of FLLoCA County Climate Institutional Support (CCIS) Grant	590,169,149	702,166,461	-	702,166,461	119
3	United Nations Population Fund-UNFPA	7,400,000	-	-	-	-
4	Danish International Development Agency (DANIDA)	16,202,706	16,202,706	-	16,202,706	100

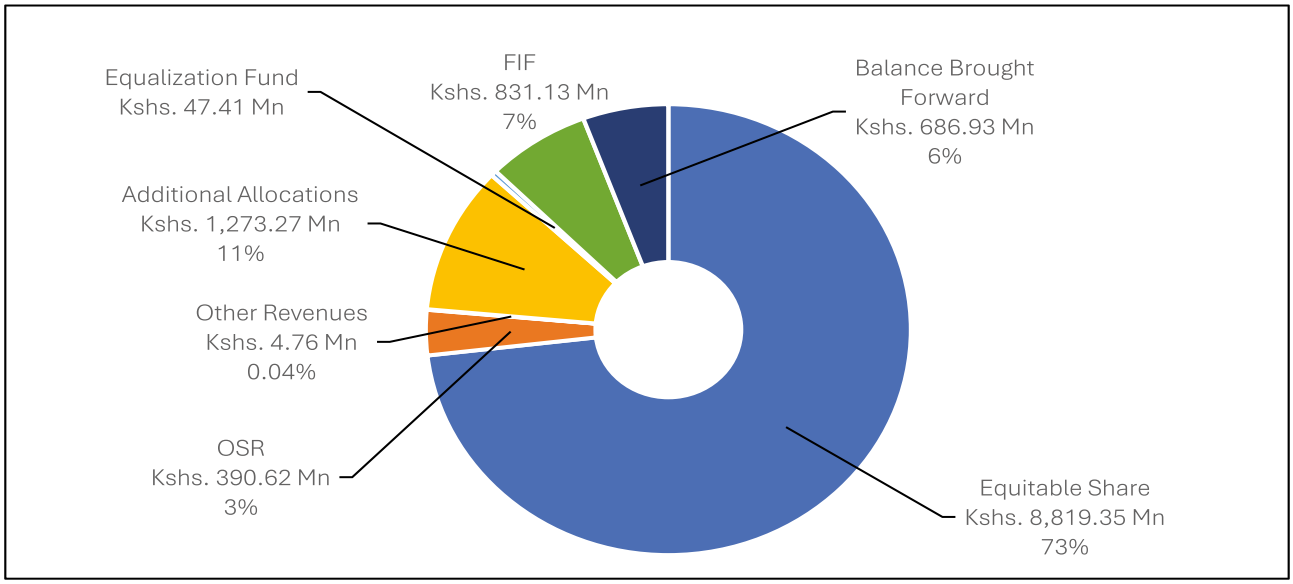
No	Revenue Stream	Annual Targeted Revenue (Kshs.)	Actual Receipts (Kshs.)	Receivables in the first nine months of FY 2025/26 (Kshs.)	Total Revenues (in accrual basis) in the first nine months of FY 2025/26 (Kshs.)	Revenue Performance (%)
		A	B	C	D	F=D/A*100
5	Kenya Devolution Support Programme Phase Two (KDSP II) Level I Grant	73,237,537	328,037	-	328,037	-
6	Kenya Devolution Support Programme Phase Two (KDSP II) Level 2 Grant	352,500,000	35,253,471	-	35,253,471	-
7	Kenya Livestock Commercialisation Project (KelCop)	94,202,157	62,408,470	-	62,408,470	66
8	Kenya Urban Project (KUSP)-Urban Institutional Grant (IUG)	35,106,669	106,669	-	106,669	-
9	Kenya Urban Project (KUSP)-Urban Development Grant (UDG)	100,440,487	48,569,409	-	48,569,409	48
10	Agriculture: World Bank Agricultural and Rural Growth Projects	391,721	391,721	-	391,721	100
11	National Agricultural Value Chain Development Project (NAVCDP)	231,843,531	138,509,849	-	138,509,849	60
12	Road Maintenance Levy Fund	293,952,071	63,910,688	-	63,910,688	22
13	Water and Natural Resources (I) Water KOICA	500,000,000	-	-	-	-
14	Kenya Informal Settlement Improvement Project (KISIP II)	300,614,270	714,080	-	714,080	-
	Sub-Total	**2,826,017,103**	**1,273,268,447**	**-**	**1,273,268,447**	**45**
E	**Ordinary Own Source Revenue (OSR)**					
1	Other Ordinary OSR	275,888,034	114,080,268	-	114,080,268	41
2	Single Business Permits	109,251,658	69,664,250	-	69,664,250	64
3	Cess	49,878,384	56,960,879	-	56,960,879	114
4	Enclosed Bus Park Fee	75,371,780	50,371,800	-	50,371,800	67
5	Mabanga ATC	33,998,931	27,936,978	-	27,936,978	82
6	Market Fees	47,403,328	26,119,655	-	26,119,655	55
7	Land Rates	59,432,350	24,928,587	-	24,928,587	42
8	Advertisement Fees	32,667,681	20,561,225	-	20,561,225	63
	Sub-Total	**683,892,147**	**390,623,642**	**-**	**390,623,642**	**57**
F	**Appropriations in Aid**					
1	Health, Water, and Sanitation	1,393,562,696	831,134,802	-	831,134,802	60
	Sub-Total	**1,393,562,696**	**831,134,802**	**-**	**831,134,802**	**60**
G	**Other Revenues**					

No	Revenue Stream	Annual Targeted Revenue (Kshs.)	Actual Receipts (Kshs.)	Receivables in the first nine months of FY 2025/26 (Kshs.)	Total Revenues (in accrual basis) in the first nine months of FY 2025/26 (Kshs.)	Revenue Performance (%)
		A	B	C	D	F=D/A*100
1	Trade loan	3,435,064	3,435,064	-	3,435,064	100
2	Women Fund	155,250	155,250	-	155,250	100
3	Disability	26,511	26,511	-	26,511	100
4	Youth Fund	25,992	25,992	-	25,992	100
5	Emergency Fund	365,961	365,961	-	365,961	100
6	Education Support Scheme Fund	754,500	754,500	-	754,500	100
	Sub-Total	**4,763,278**	**4,763,278**		**4,763,278**	**100**
Total		**17,433,191,937**	**11,106,440,104**	**947,044,373**	**12,053,484,477**	**69**

Source: *Bungoma County Treasury*

Figure 3.13 provides a detailed breakdown of receipts.

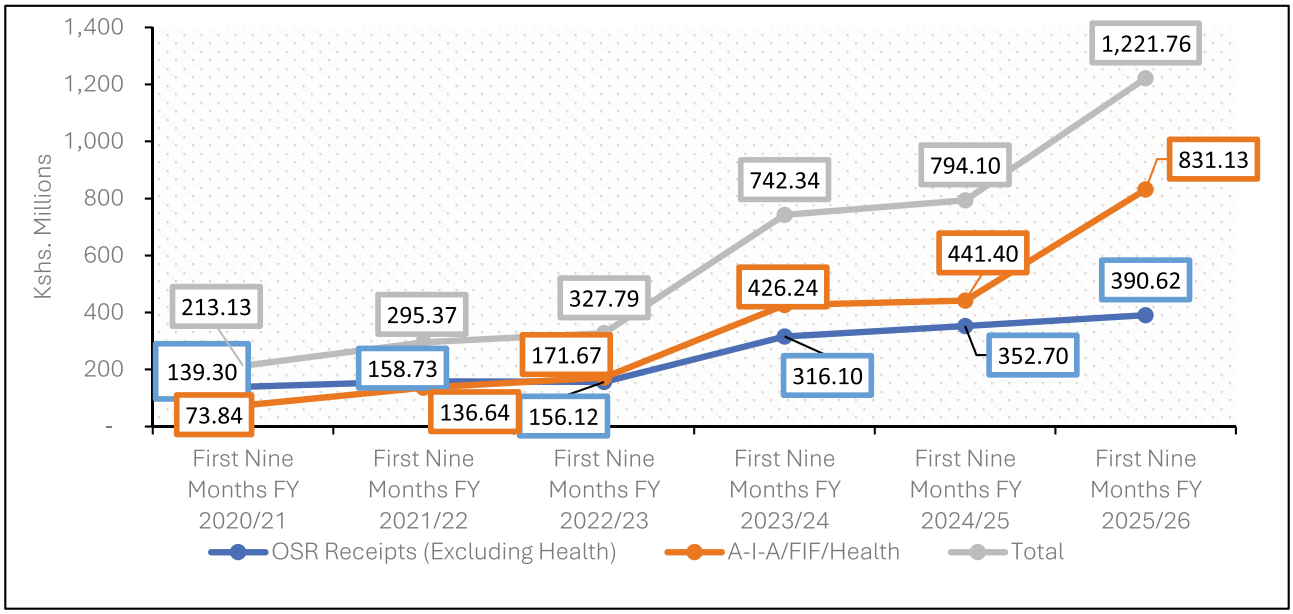
Figure 3.13: Bungoma County Composition of Revenue in the first nine months of FY 2025/26



Source: *Bungoma County Treasury*

The equitable share of revenue raised nationally, OSR, and FIF contributed 73 per cent, 3 per cent and 7 per cent, respectively, of the total receipts for the reporting period. Figure 3.14 shows the collection trend in own-source revenue from the first nine months of FY 2020/21 to the first nine months of FY 2025/26.

Figure 3.14: Bungoma County Trend in Own-Source Revenue Collection from the first nine months of FY 2020/21 to the first nine months of FY 2025/26

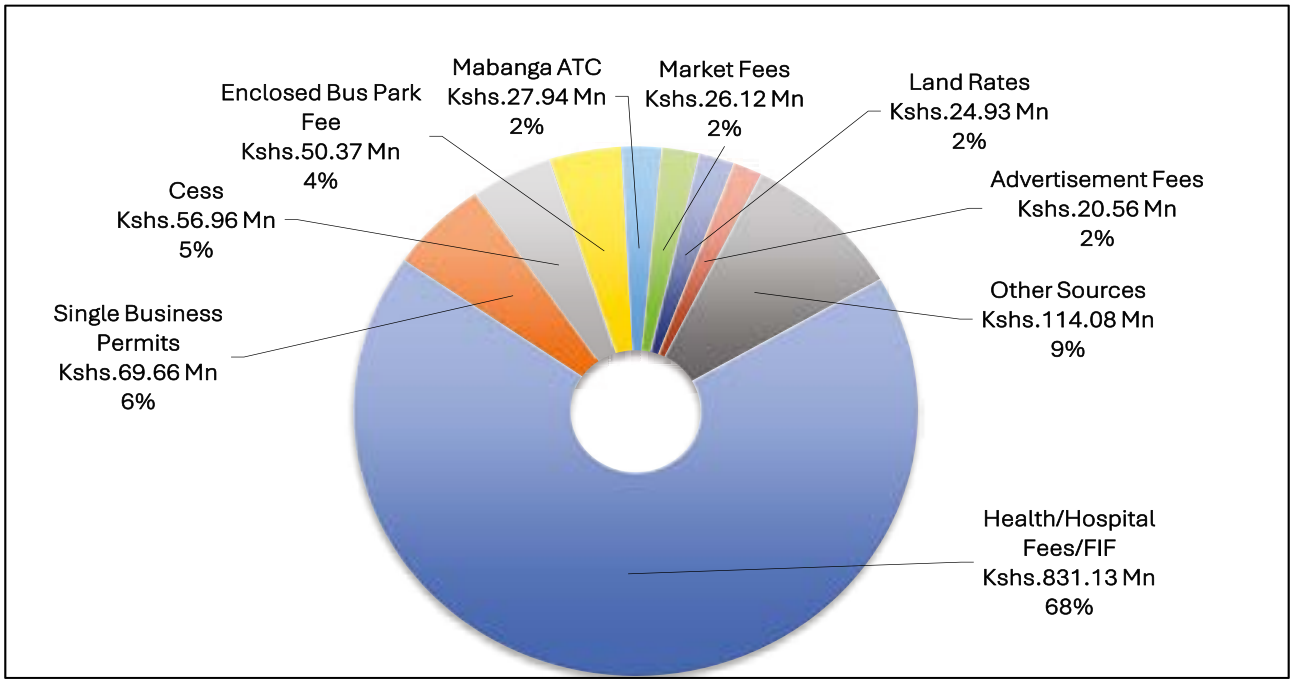


Source: *Bungoma County Treasury*

During the first nine months of FY 2025/26, the County received Kshs.1.22 billion from OSR, including FIF. This amount was an increase of 54 per cent compared to Kshs.794.10 million realised in a similar period in FY 2024/25, and was 59 per cent of the annual target and 14 per cent of the equitable revenue share disbursed.

The increase in OSR was attributed to revenue enhancement from the implementation of revenue acts. The revenue streams that contributed the most to OSR receipts are shown in Figure 3.15

Figure 3.15: Bungoma County Top Own Source Revenue Streams in the first nine months of FY 2025/26



Source: Bungoma County Treasury

As shown in Figure 3.15, the largest revenue stream, at Kshs.831.13 million, was Health/Hospital Fees/FIF, accounting for 68 per cent of total OSR receipts. The County Government indicated that it has automated 51 of 60 revenue streams. The system utilised for FIF revenue collection is Funsoft for Webuye County Hos-

pital and Tabibu HMIS for other facilities, including Bungoma County Referral Hospital (BCRH), which has been in use since October, 2025. All the 93 FIF streams reported have been automated.

3.3.2 Revenue Receivables

As of 1st July 2025, the County reported revenue receivables of Kshs.660.69 million, which decreased to Kshs.626.94 million as of 31st March 2026. The County manages its receivables using the Bungoma Automated Revenue Management System (BARMS), with an accrual-basis option. Table 3.36 presents a breakdown of the County's revenue receivables.

Table 3.36: Bungoma County Receivables as of 31st March 2026

No	Revenue Stream	Receivables as of 1 July 2025 (Kshs.)	Progress made in the first nine months of FY 2025/26		Receivables as of 31st March 2026 (Kshs.)
			Receivables paid in the financial year (Kshs)	Receivables earned in the first nine months of FY 2025/26 (Kshs)	
		a	c	d	f=a-b-c+d
A	**Equitable Share of Revenue Raised Nationally**				
1	Month of March, 2026	-	-	947,044,373	947,044,373
	Sub-Total			947,044,373	947,044,373
B	**Ordinary Own Sources of Revenue**				
1	**Cess**	84,641,795	-	-	84,641,795
2	**Land Rate**	183,756,587	8,716,523	-	175,040,064
	Sub-Total	268,398,383	8,716,523	-	259,681,860
E	**Facility Improvement Financing (FIF)**				
1	SHIF	358,551,600	-	-	358,551,600
	Sub-Total	358,551,600	-	-	358,551,600
Total		626,949,982	8,716,523	947,044,373	1,565,277,832

Source: Bungoma *County Treasury*

As of 31st March 2026, the receivables totalled to Kshs.1.57 billion, comprising Kshs.947.04 million (61 per cent) for Equitable Share of Revenue Raised Nationally, Kshs.259.68 million (17 per cent) for Ordinary Own Sources of Revenue and Kshs.358.55 million (23 per cent) for Facility Improvement Financing. The measures instituted by the County to collect outstanding arrears in FY 2025/26 include enforcement actions against defaulters, stricter compliance monitoring, and follow-up on unpaid obligations to improve revenue performance.

During the period under review, Kshs.8.72 million was collected as land rates arrears, and no cess arrears were collected

3.3.3 Borrowing by the County

The did not report any short-term borrowing, both the Executive and the County Assembly during the period under review.

3.3.4 Withdrawals from the County Revenue Fund and County Assembly Fund

During the reporting period, the Controller of Budget approved exchequer withdrawal requests totalling Kshs.8.26 billion from the Bungoma County Revenue Fund (CRF) account. This amount consisted of Kshs.1.25 billion (15 per cent) designated for development programs and Kshs.7.01 billion (85 per cent) allocated for recurrent programs.

An analysis of the released recurrent exchequer shows that Kshs.5.85 billion was allocated to employee compensation and Kshs.1.16 billion to operations and maintenance expenditures. Within the operations and maintenance category, 32 per cent was for domestic travel and less than 1 per cent for foreign travel. The domestic travel exchequers totalled Kshs.360.50 million, comprising Kshs.241.49 million for the

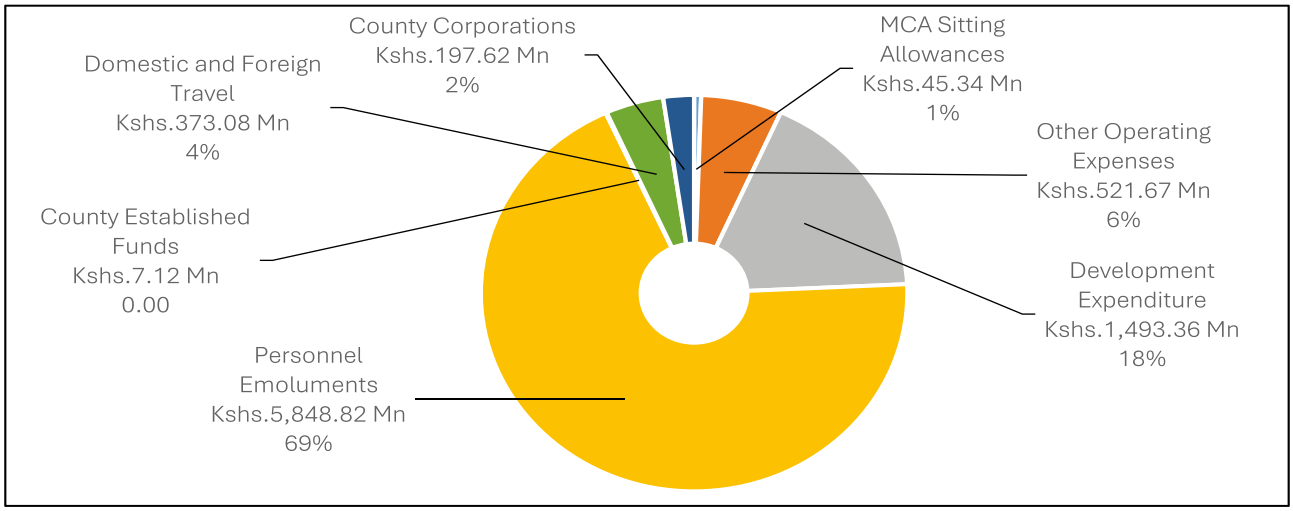
County Executive and Kshs.119.01 million for the County Assembly. Meanwhile, the foreign travel expenses amounted to Kshs.12.58 million, with Kshs.5.98 million for the County Executive and Kshs.6.60 million for the County Assembly.

As of 31st March 2026, the County Government's cash balance in the Bungoma CRF account was Kshs.1.35 billion. The Bungoma County Assembly Fund (CAF) account has not been made operational as of 31st March 2026.

3.3.5 Expenditure Review

The County spent Kshs.9.58 billion on development and recurrent programmes during the reporting period. The expenditure represented 116 per cent of the total funds released by the CoB. It comprised Kshs.1.49 billion for development programmes and Kshs.8.09 billion for recurrent programmes. Expenditure on development programmes accounted for 27 per cent of the annual development expenditure budget, while recurrent expenditure accounted for 68 per cent of the annual recurrent expenditure budget. Figure 3.16 provides a detailed breakdown of total expenditure.

Figure 3.16: Bungoma County Composition of Expenditure in the first nine months of FY 2025/26



Source: Bungoma *County Treasury*

As shown in Figure 3.16, the three highest expenditure categories were Personnel Emoluments, Development Expenditure, and Other Operating Expenses, which accounted for 69 per cent, 18 per cent, and 6 per cent of the total expenditure for the reporting period.

3.3.6 Expenditure by Economic Classification

The County Executive incurred Kshs.5.46 billion in employee compensation, Kshs.1.96 billion in operations and maintenance, and Kshs.1.46 billion in development activities. Similarly, the County Assembly spent Kshs.393.42 million on compensation of employees, Kshs.283.19 million on operations and maintenance, and Kshs.1.55 million on development activities, as shown in Table 3.37

Table 3.37: Bungoma County Summary of Budget and Expenditure by Economic Classification

Expenditure Classification	Approved Budget (Kshs.) (a)		Amount Paid in the first nine months of FY 2025/26 (Kshs.) (b)		Total Expenditure in the first nine months of FY 2025/26 (Kshs.) (d=b+c)		Absorption (%) (d/a*100)	
	Executive	Assembly	Executive	Assembly	Executive	Assembly	Executive	Assembly
Total Recurrent Expenditure	**10,814,603,300**	**1,074,221,694**	**7,413,000,798**	**675,610,585**	**7,413,000,798**	**675,610,585**	**69**	**63**
Compensation of Employees	7,002,462,932	392,415,930	5,456,402,836	392,415,930	5,456,402,836	392,415,930	**78**	**100**
Operations & Maintenance	3,812,140,368	681,805,764	1,956,597,963	283,194,655	1,956,597,963	283,194,655	**51**	**42**

Expenditure Classification	Approved Budget (Kshs.) (a)		Amount Paid in the first nine months of FY 2025/26 (Kshs.) (b)		Total Expenditure in the first nine months of FY 2025/26 (Kshs.) (d=b+c)		Absorption (%) (d/a*100)	
	Executive	Assembly	Executive	Assembly	Executive	Assembly	Executive	Assembly
Development Expenditure	5,228,126,575	316,248,601	1,491,808,959	1,551,358	1,491,808,959	1,551,358	29	-
Total	16,042,729,875	1,390,470,295	8,904,809,757	677,161,943	8,904,809,757	677,161,943	56	49

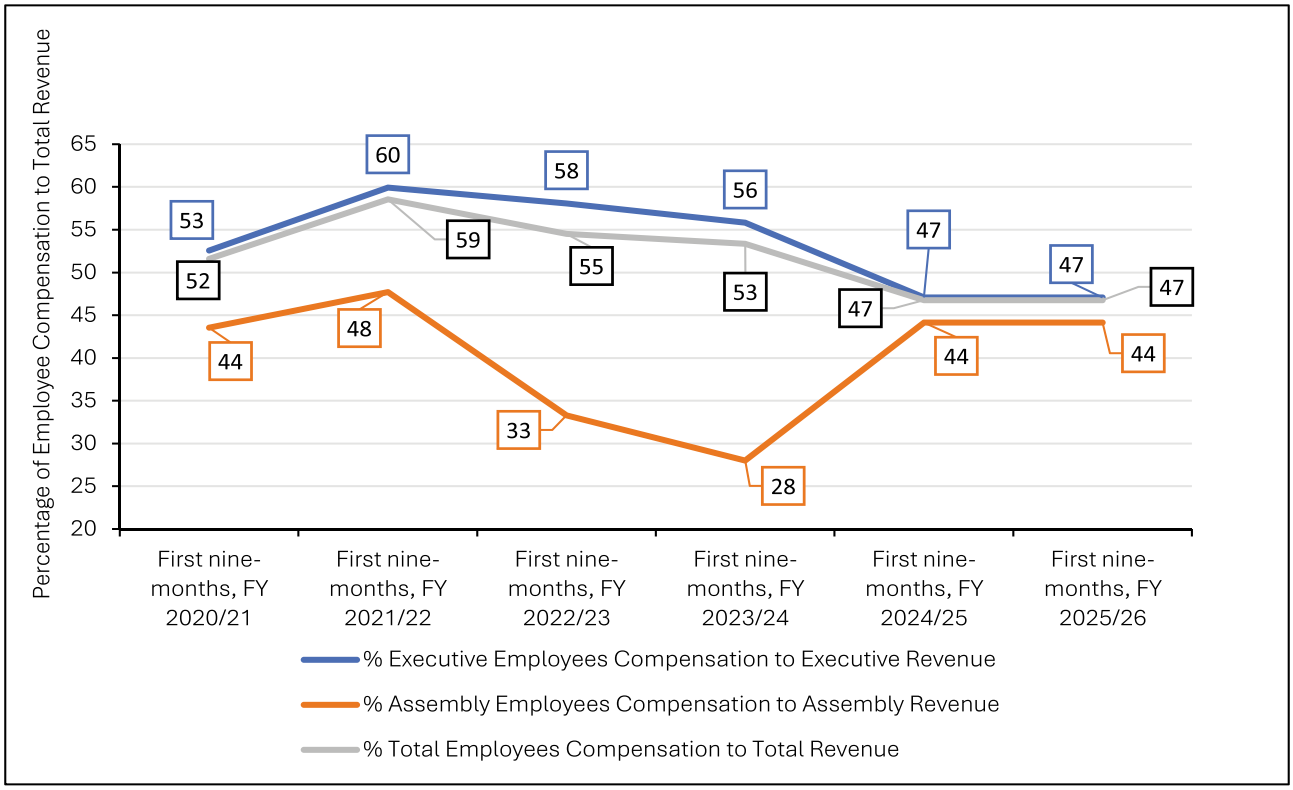
Source: *Bungoma County Treasury*

3.3.7 Expenditure on Employee Compensation

The expenditure on employee compensation totalled Kshs.5.85 billion, representing 47 per cent of revenue. This expenditure on employee compensation shows an increase compared to the Kshs.4.70 billion reported in a similar period in FY 2024/25. Of this total, Kshs.2.23 billion related to Health Sector employees, accounting for 38 per cent of the overall employees' compensation. The increase in PE expenditure during the reporting period, compared with a similar period in FY2024/25, is attributable to annual salary increases across various staff cadres.

Figure 3.17 shows the trend in employee compensation as a percentage of total revenue from the first nine months of FY 2020/21 to the first nine months of FY 2025/26.

Figure 3.17: Percentage of Employee Compensation Expenditure to Total Revenue Received in the first nine months of FY 2020/21 to the first nine months of FY 2025/26



Source: *Bungoma County Treasury*

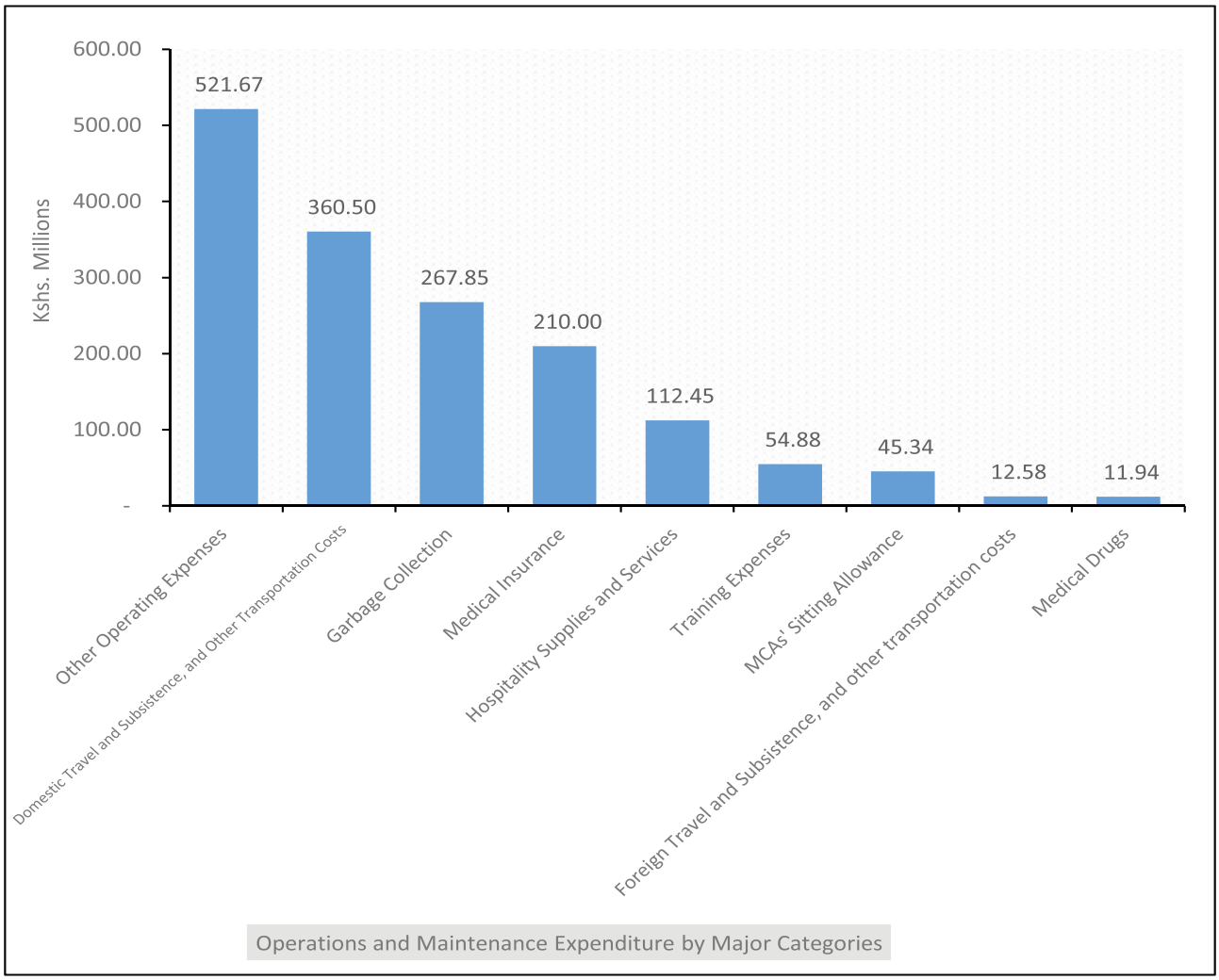
Further analysis indicated that PE costs amounting to Kshs.5.79 billion were processed through the Human Resource Information System (HRIS). Only Kshs.62.65 million was processed through manual payrolls, accounting for 1 per cent of the total PE cost. The justification for the continued use of manual payroll was the stipend payable to Community Health Volunteer staff. The manual payroll comprised a stipend to 2,238 CHVs who are not onboarded into the Human Resource Information System (HRIS).

The County Assembly spent Kshs.45.34 million on committee sitting allowances for the 63 MCAs against the annual budget allocation of Kshs.51.02 million. The average monthly sitting allowance was Kshs.79,960 per MCA. The County Assembly has 24 House Committees.

3.3.8 Expenditure on Operations and Maintenance

During the reporting period, the County spent Kshs.2.24 billion on operations and maintenance, representing an increase of 58 per cent compared to a similar period in FY 2024/25, when the County spent Kshs.1.42 billion. Figure 3.18 illustrates the distribution of Operations and Maintenance expenditures across the major spending categories.

Figure 3.18: Bungoma County, Operations and Maintenance Expenditure by Major Categories



Source: *Bungoma County Treasury*

3.3.9 Unbundling "Other Operating Expenses-Other (IFMIS Code 2211399)" Under Operations and Maintenance Expenditures

The budget performance report for the first nine months of FY 2025/26 indicates that the County spent Kshs.521.67 million on "other operating expenses-Other," which accounted for 23 per cent of the total operations and maintenance expenditure of Kshs.2.24 billion. This category of expenditure includes Kshs.2.33 million for legal fees and compensation payments, and excludes Kshs.267.85 million for garbage collection. The disaggregated items under the "*Other Operating Expenses*" category are shown in Table 3.38.

Table 3.38: Breakdown of "Other Operating Expenses-Other- IFMIS Code -2211399" under O&M Expenditures

Item	Budget (Kshs.)	Expenditure (Kshs.)
Other Operating Expenses- Other (2211399)		
Operational Expenses- County Executive	**216,672,078**	51,069,525
Operational Expenses- County Assembly	128,980,114	86,668,464
Payment to KRA		43,100,000

Item	Budget (Kshs.)	Expenditure (Kshs.)
Sensations, i.e. Mpox and T.B.		3,085,240
Medical Expenses: Medical Files & Records		2,376,400
Total	**1,008,098,274**	**186,299,629**

Source: *Bungoma County Treasury*

A review of the other expense items listed in the table revealed the following inconsistencies: Some expenditures with clear budget codes were erroneously aggregated under the "Other Operating Expenses" category. These include: Other Operating Expenses County Executive (Kshs.51.07 million), Other Operating Expenses County Assembly (Kshs.86.67 million), KRA payment Penalties (Kshs.43.10 million), M-Pox Sensitisation and T.B (Kshs.3.09 million), and Medical Reports and Records (Kshs.2.38 million).

3.3.10 County-Established Funds

Section 116 of the PFM Act 2012 allows County Governments to establish other public funds, subject to approval from the County Executive Committee and the County Assembly. The County allocated Kshs.103 .46 million to County-Established funds in FY 2025/26, representing 1 per cent of the County's overall budget. Of this amount, the County allocated Kshs.100 million to the Emergency Fund in line with Section 110 of the PFM Act, 2012, accounting less than 1 per cent of the total budget. Table 3.39 summarises each established Fund's budget allocation and performance during the reporting period.

Table 3.39: Performance of Bungoma County Established Funds in the first nine months of FY 2025/26

S/ No.	Name of the Fund	Date Published	Approved Budget Allocation in FY 2025/26 (Kshs.)	Actual disbursements in the first nine months of FY 2025/26 (Kshs.)	Actual Expenditure in the first nine months of FY 2025/26 (Kshs.)	Cumulative disbursements to the Fund (Kshs.)	Submission of Financial Statements (Yes/No.)
	County Executive Established Funds						
1.	Education Support Scheme	April 2019	-	-	747,408	1,864,000,000	Yes
2.	Trade Development Loan	October 2014	3,435,064	-	515,082	138,890,287	Yes
3.	Disability Empowerment Fund	May 2016	-	-	-	7,535,256	Yes
4.	Youth and Women Empowerment Fund	August 2015	25,992	-	-	75,414,500	Yes
5.	Emergency Fund	August 2019	100,000,000	10,244,628	-	337,871,021	Yes
	County Assembly Established Funds						
5.	Employee's Car Loan and Mortgage Scheme Fund	January 2017	-	-	2,854,205	314,606,924	Yes
6.	MCAs' Car Loan and Mortgage Scheme Fund	February 2014	-	-	3,005,328	255,071,946	Yes
	Total		**103,461,056**	**10,244,628**	**7,122,023**	**2,993,389,934**	

Source: *Bungoma County Treasury and Bungoma County Assembly*

During the reporting period, the CoB did receive quarterly financial reports from Scholarships and other Educational Benefits Fund, Trade Development Loan Fund, Disability Empowerment Fund, Youth and Women Empowerment Fund, Emergency Fund, Employees' Car Loan and Mortgage Scheme Fund and MCAs' Car Loan and Mortgage Scheme Fund Administrators as indicated in Table 3.39.

Regulation 197(1)(i) of the Public Finance Management (County Governments) Regulations, 2015, allows County Governments to establish public funds with a lifespan capped at 10 years unless extended by the County Assembly. In FY 2025/26, the CoB established that the lifespans of the Scholarships and other Educational Benefits Fund, Trade Development Loan Fund, Disability Empowerment Fund, Youth and Wom-

en Empowerment Fund, Emergency Fund, and MCAs' Car Loan and Mortgage Scheme Fund had lapsed. Consequently, the CoB did not approve any withdrawal requests to support the operations of the lapsed funds and the county should wound up the funds since they are not in compliance with the law.

3.3.11 County Municipalities and Other Agencies

The County has, 2 Semi-Autonomous municipalities and one Water & Sanitation Company, which were allocated Kshs.658.79 million in FY 2025/26. The total expenditure for the review period amounted to Kshs.302.05 million as shown in Table 3.40.

Table 3.40: Performance of Bungoma County Corporations in the first nine months of FY 2025/26

S/No.	Name of the Corporation	Approved Budget Allocation in FY 2025/26 (Kshs.)	Exchequer Issues (Kshs)	Reported Expenditures in the first nine months of FY 2025/26 (Kshs.)	Financial Statement Submitted
1	Bungoma Municipality	142,336,513	25,899,204	66,914,777	Yes
2	Kimilili Municipality	113,680,042	22,190,244	37,521,635	Yes
3	Bungoma Water and Sewerage Plc-BWASCO	402,773,236	30,000,000	197,615,751	Yes
Sub-total		**658,789,791**	**78,089,448**	**302,052,163**	

Source: *Bungoma County Treasury*

3.3.12 Expenditure on Domestic and Foreign Travel

Expenditure on domestic travel amounted to Kshs.360.50 million and comprised Kshs.119.01 million spent by the County Assembly and Kshs.241.49 million by the County Executive. Expenditure on foreign travel amounted to Kshs.12.58 million and comprised Kshs.6.60 million by the County Assembly and Kshs.5.98 million by the County Executive. Expenditure on foreign travel is summarised in Table 3.41.

Table 3.41: Summary of Expenditure on Foreign Travel in the first nine months of FY 2025/26

Arm of County Government	Number of Officers Travelled	Date travelled	Purpose of the travel	Destination	Actual Payment on Travel (a) (Kshs.)	Total Expenditure on Travel (c=a+b) (Kshs.)
County Executive	4	29th September to 2nd October, 2025	Facilitation for Intercultural Competence Annual Conference and Travel Fee	Rabat-Morocco	2,672,949	2,672,949
	1	10th to 20th January, 2026	Facilitation to attend International Learning Model on Leadership Program for National Transformation (LPNT)	Paris- France	920,400	920,400
	1	1st to 7th March, 2026	To Participate in the South- South Knowledge Exchange Mission with Mexican Counterparts on Strengthening Agricultural Finance and Development through Savings and Credit Cooperatives Societies	Mexico City-Mexico	1,704,660	1,704,660
	2	17th to 21st March, 2026	Attending Training on Proposal Writing and Resource Mobilisation Programme, Esami Headquarters	Arusha Tanzania	684,720	684,720
County Assembly	5	29th to 30th August,2025	Facilitation to the second Umukuuka 111 royal Anniversary Dinner 2025		388,759	388759
	1	5th to 10th September, 2025	Facilitation for DSA to attend the Second Africa Climate Summit in Addis Ababa	Ethiopia	674,424	674,424
	19	28th October to 3rd November, 2025	Leadership Retreat in Kampala	Uganda	5,534,487	5,534,487
Total					12,580,399	12,580,399

Source: *Bungoma County Treasury and Bungoma County Assembly*

3.3.13 Facility Improvement Financing

During the review period, the County reported collections of Kshs.831.13 million as FIF, which was 60 per cent of the annual target of Kshs.1.39 billion. The collected amount was retained and utilised at source in line with the Facility Improvement Financing Act, 2023. The County, however, has not developed regulations to operationalise the FIF Act of 2023.

The expenditure by the health facilities amounted to Kshs.686.85 million, as shown in Table 3.42.

Table 3.42: Bungoma County Health Facilities Expenditure Performance in the first nine months of FY 2025/26

No.	Health Facility	Number of Facilities	Approved Budget (Kshs.)	Actual Expenditure (Kshs.)	Absorption rate (%)
1.	Level 5 Hospital	2	627,294,502	448,177,963	71
2.	Level 4 Hospital	8	418,545,757	139,492,558	33
3.	Level 2& 3 Facility	180	347,722,437	99,176,084	29
	Total		**1,393,562,696**	**686,846,605**	**49**

Source: *Bungoma County Treasury*

3.3.14 Development Expenditure

In the review period, the County reported spending Kshs.1.49 billion on development programmes, representing a decrease of 9 per cent compared to FY 2024/25, when the County spent Kshs.1.63 billion. Table 3.43 summarises the development projects with the highest expenditure in the reporting period.

The decline in development expenditure was attributed to the delay in the rollout of annual procurement plans and the e-GP system.

Table 3.43: Bungoma County, List of Development Projects with the Highest Expenditure

No	Sector	Project Name	Project Location	Project Commencement Date	Expected date of Completion of the Project	Contract sum (Kshs.)	Total Funding in FY 2025/26 (Kshs.)	Expenditure (on an accrual basis) in the first nine months of FY 2025/26 (Kshs.)	Cumulative project expenditure (on an accrual basis) as of 31st March 2026 (Kshs.)	Percentage (%) of Completion
County Funded Projects										
1	Agriculture, Livestock, Fisheries and Co-operative Development	Farm Input Support – Maize Seed for 500 beneficiaries per Ward	45 Wards	23rd March, 2026	3rd October, 2026	67,500,000	67,500,000		67,500,000	100
2	County Assembly of Bungoma	Debating Chambers	Head Office	15th March, 2024	13th March, 2026	399,734,190	64,959,188	64,959,188	114,820,897	60
3	Road and Transport	Upgrading of Rural Roads - Misikhu - Brigadier Road	Tongaren	April, 2024	June, 2026	525,999,390	155,999,390		106,810,787	78
4	Agriculture, Livestock, Fisheries and Co-operative Development	Farm Input Support – Maize Seed for 500 beneficiaries per Ward	45 Wards	23rd March, 2026	3rd October, 2026	67,500,000	67,500,000		67,500,000	100
5	Road and Transport	Upgrading of Urban Roads, Salmond – Khalaba River Road	Khalaba Ward	1st December, 2023	31st December,2026	174,606,810	73,973,232		57,989,585	90

No	Sector	Project Name	Project Location	Project Commencement Date	Expected date of Completion of the Project	Contract sum (Kshs.)	Total Funding in FY 2025/26 (Kshs.)	Expenditure (on an accrual basis) in the first nine months of FY 2025/26 (Kshs.)	Cumulative project expenditure (on an accrual basis) as of 31st March 2026 (Kshs.)	Percentage (%) of Completion
6	Lands, Urban, Physical Planning and Housing	Construction of Office Block	Township	February, 2024	1st September, 2026	498,880,128	39,322,930		32,405,530	20
7	Bungoma Municipality	Proposed Construction of Market Stalls	Kanduyi	1st April 2025	March, 2026	248,158,489	33,447,180		16,997,804	80
8	Tourism, Forestry, Environment, Water and Natural Resources	Storm Water Drainage System	Township			14,000,000	14,000,000		14,000,000	100
9	Lands, Urban, Physical Planning and Housing	GIS Lab	County Wide	July, 2025	June,2026	18,660,000	18,660,000	12,950,000	12,950,000	69
Donor Funded Projects										
1	Lands, Urban, Physical Planning and Housing	KISIP 2 Infrastructure Grant for slum upgrading	Township	July, 2023	June, 2026	300,614,270	300,614,270		300,614,270	
2	Agriculture, Livestock, Fisheries and Co-operative Development	National Agricultural Value Chain Development Programme (NAVCDP)	County Wide	7th January, 2025	30th February, 2026	289,431,469	232,235,252		142,916,317	62
3	Tourism, Forestry, Environment, Water and Natural Resources	Climate Change Reliance Investment Grant	County Wide	April, 2023	30th June, 2027	590,169,149	590,169,149		142,641,998	
4	Trade, Energy, Industrialisation	County Aggregated Industrial Park (CAIP)	Sang'alo	29th September, 2023	2nd December,2026	474,153,713	204,706,886		59,265,593	60
5	Public Administration	KDSP 11	County Wide	July ,2024	June, 2026	352,500,000	352,500,000		6,950,000	
Equalization Funded Projects										
1	Road and Transport	Spot improvement of Kapkurongo-Kiptega-Chepkwende Road	Rwanda-Kiptega-Chepkwende Road	12th May, 2024	15th February, 2025	11,276,360	11,276,360	11,245,040	11,245,040	100
2	Road and Transport	Construction of Makutano-Kabukwo Box culvert	Makutano-Kabukwo	12th February, 2024	15th April, 2025	10,340,878	10,340,878	10,340,058	10,340,058	100
3	Health and Sanitation	The Proposed Construction of Wards and Laboratory of Kubura Dispensary	Mt Elgon	12th April, 2024	25th October, 2025	9,936,434	9,936,434	9,936,434	9,936,434	100

No	Sector	Project Name	Project Location	Project Commencement Date	Expected date of Completion of the Project	Contract sum (Kshs.)	Total Funding in FY 2025/26 (Kshs.)	Expenditure (on an accrual basis) in the first nine months of FY 2025/26 (Kshs.)	Cumulative project expenditure (on an accrual basis) as of 31st March 2026 (Kshs.)	Percentage (%) of Completion
4	Water and Environment	Sambocho Water Project	Kapkatenyward	12th March, 2024	1st May, 2026	9,474,907	9,474,907	9,474,907	9,474,907	100
5	Water and Environment	Sacho Water Project	Kibisi-Sambocho	12th February, 2024	28th March, 2025	4,241,337	4,241,337	4,241,337	4,241,337	100
6	Health and Sanitation	Spot improvement of land b-Kopsiro Health Centre-Chepyuk Centre Road	Chepyuk	12th March, 2024	2nd October, 2025	2,202,120	2,202,120	2,193,212	2,193,212	100

Source: *Bungoma County Treasury*

The County did not report on stalled development projects as of 31st March,2026.

3.3.15 Budget Performance by Department

Table 3.44 summarises the approved budget allocation, expenditure, and absorption rate by department for the period under review.

Table 3.44: Bungoma County, Budget Allocation and Absorption Rate by Department in the first nine months of FY 2025/26

Department	Revised Budget Allocation (Kshs.Million)		Exchequer Received (Kshs.Million)		Expenditure (Kshs. Million)		Expenditure to Exchequer (%)		Absorption rate (%)	
	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev
Agriculture, Livestock, Fisheries and Co-operative Development	68.86	668.94	54.93	331.94	44.31	350.94	81	106	64	52
Tourism, Forestry, Environment, Water and Natural Resources	473.91	1,342.19	295.25	348.07	294.44	201.36	100	58	62	15
Roads and Public Works	48.21	1,325.33	15.86	299.36	16.47	332.15	104	111	34	25
Education and Vocational Training	149.21	147.40	48.97	27.52	48.88	56.15	100	204	33	38
Health and Sanitation	1,426.24	219.14	62.12	9.04	633.71	9.04	1,020	100	44	4
Trade, Energy, Industrialisation	79.27	370.21	79.26	65.94	44.90	65.46	57	99	57	18
Lands, Urban, Physical Planning and Housing	94.14	408.83	55.40	45.50	67.84	376.97	122	829	72	92
Bungoma Municipality	41.55	100.78	8.90	17.00	37.65	29.26	423	172	91	29
Kimilili Municipality	46.44	67.24	8.58	13.61	23.91	13.61	279	100	51	20
Gender, Culture, Youth and Sports	69.29	16.82	38.94	2.95	40.95	14.66	105	497	59	87

Department	Revised Budget Allocation (Kshs.Million)		Exchequer Received (Kshs.Million)		Expenditure (Kshs. Million)		Expenditure to Exchequer (%)		Absorption rate (%)	
	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev
County Assembly	1,074.22	316.25	584.17	1.55	675.61	1.55	116	100	63	0
Finance and Economic Planning	443.35	203.72	223.40	29.73	269.20	35.24	121	119	61	17
County Public Service Board	39.60	3.80	15.57	-	15.56	-	100	-	39	-
Governor/Deputy-Governor's Office	227.89	-	120.66	-	123.22	-	102	-	54	-
Public Administration/County Secretary and County Attorney	7,606.63	353.72	5,397.91	54.79	5,751.97	6.95	107	13	76	2
Total	**11,888.82**	**5,544.38**	**7,009.91**	**1,247.00**	**8,088.61**	**1,493.36**	**115**	**120**	**68**	**27**

Source: *Bungoma County Treasury*

Analysis of departmental expenditure shows that the Department of Lands, Urban, Physical Planning and Housing recorded the highest absorption rate of the development budget at 92 per cent, followed by the Department of Gender, Culture, Youth and Sports at 87 per cent. The Bungoma Municipality had the highest recurrent expenditure-to-budget ratio at 91 per cent, while the Department of Education and Vocational Training had the lowest at 33 per cent.

The departments and entities, namely, Roads and Public Works, Education and Vocational Training, Health and Sanitation, and County Public Service Board, reported absorption rates below 50 per cent for both recurrent and development expenditures, occasioned by intermittent delays in the roll-out of procurement plans and the implementation of the e-GP system.

The absorption of funds above the approved exchequer was due to funds carried forward from the 2024/25 financial year in special-purpose accounts for additional allocations to the Department of Bungoma Municipality, and Land, Urban and Physical Planning. The Department of Gender, Culture, Youth and Sports, Public Administration/County Secretary and County Attorney, Agriculture, Livestock, Fisheries and Co-operative Development, Finance and Economic Planning, Roads and Public Works, and Education, Science and ICT had overcommitted funds in the system and reported on an accrual basis. While the department of Health and Sanitation is due to FIF spending as per Facilities Improvement Financing (FIF) Act, 2023.

3.3.16 Budget Execution by Programmes and Sub-Programmes

Budget execution was concentrated in selected performance bands. In the 1–10 per cent band, development absorption was reported for Ward based projects under crop development and management in the Department of Agriculture, Livestock, Fisheries, Irrigation and Cooperatives Development at 1 per cent, for the Kenya Devolution Support Programme II under the Department of Public Administration at 2 per cent, for construction and maintenance of buildings under the Department of Health and Sanitation at 5 per cent, for maintenance of roads under the Department of Roads and Public Works at 7 per cent, and for the emergency fund under the Department of Finance and Economic Planning at 10 per cent. Recurrent absorption was reported for trade payables under the Department of County Attorney at 8 per cent.

In the 11–20 per cent band, recurrent absorption was reported for legislative services under the County Assembly at 12 per cent and for primary health care under the Department of Health and Sanitation at 15 per cent. In the 21–30 per cent band, recurrent absorption was reported for staff training under the Department of Gender, Culture, Youth and Sports at 23 per cent and for records management and development under the Department of County Secretary at 24 per cent.

In the 81–90 per cent band, recurrent absorption was reported for participation in the KICOSCA and EALSCA games under the Department of Gender, Culture, Youth and Sports at 87 per cent.

In the 90–100 per cent band, development absorption reached 100 per cent for crop production and pro-

ductivity under the Department of Agriculture, Livestock, Fisheries, Irrigation and Cooperatives Development, for housing financing services and land acquisition under the Department of Lands, Urban, Physical Planning, Housing and Municipalities, 93 per cent for the pending bill under cooperatives development and management, and 92 per cent for construction of roads, bridges and drainage works under the Department of Roads and Public Works. Recurrent absorption reached 100 per cent for the tuition support grant under the Department of Education and Vocational Training and for electricity connectivity and maintenance under the Department of Trade, Energy and Industrialisation, 98 per cent for general administration, planning and support services under Kimilili Municipality, and 95 per cent for medical insurance under the Department of Public Administration.

Low absorption in the lower performance bands was attributed mainly to delays in annual procurement plans and issues with the electronic government procurement system. Conversely, performance in the higher bands was attributed to the payment of trade payables for contracted works, goods and services and to participation in the KICOSCA games during the review period.

Table 3.45 summarises budget execution by programmes and sub-programmes in the period under review with the highest absorption rates.

Table 3.45: Budget Execution by Programmes and Sub-Programmes with Highest Absorption Rates

Programme	Sub-Programme	Gross Approved Estimates FY 2025/26 (Kshs.)	Expenditure (including accrued expenditure) as of 31st March 2026 (Kshs.)	Absorption Rate (%)
DEVELOPMENT				
Department of Agriculture, Livestock, Fisheries and Co-operative Development				
Crop Development and Management	Crop Production and Productivity	184,500,000	184,500,000	100
Department of Lands, Urban, Physical Planning, Housing and Municipalities				
Housing Development and Management	Housing Financing Services	300,614,270	300,614,270	100
Department of Lands, Urban, Physical Planning, Housing and Municipalities				
Land Development and Management	Land acquisition	8,000,000	8,000,000	100
Department of Agriculture, Livestock, Fisheries and Co-operative Development				
Cooperatives Development and Management	Pending Bill	10,114,359	9,424,980	93
Department of Roads and Public Works				
Transport Infrastructure Development and Management	Construction of Roads, Bridges and Drainage Works	283,263,826	260,193,593	92
RECURRENT				
Department of Education and Vocational Training				
Vocational Education and Training	Tuition Support Grant	25,000,000	25,075,200	100
Department of Trade, Energy, and Industrialisation				
	Electricity Connectivity and Maintenance	34,000,000	34,000,000	100
Department of Kimilili Municipality				
Urban Governance	General Administration Planning and Support Services (Inclusive of Salary)	24,502,934	23,910,197	98
Department of Public Administration				

Programme	Sub-Programme	Gross Approved Estimates FY 2025/26 (Kshs.)	Expenditure (including accrued expenditure) as of 31st March 2026 (Kshs.)	Absorption Rate (%)
General Administration, Planning and Support Services	Medical insurance	220,000,000	210,000,000	95
Department of Gender, Culture, Youth and Sports				
Cultural Development and Management	Participate in KICOSCA and EALSCA Games	24,087,062	20,871,900	87

Source: *Bungoma County Treasury*

The development sub-programmes with the highest budget implementation rates were: Crop Production and Productivity in the Department of Agriculture, Livestock, Fisheries, Irrigation and Co-Operatives Development at 100 per cent, Housing Financing Services and Land acquisition in the Department of Department of Lands, Urban, Physical Planning, Housing and Municipalities at 100 per cent, Pending Bill in the Department of Agriculture, Livestock, Fisheries, Irrigation and Co-Operatives Development at 93 per cent, and Construction of Roads, Bridges and Drainage Works in the Department of Department of Roads and Public Works at 92 per cent.

For recurrent sub-programmes, the top performers included: Tuition Support Grant in the Department of Education and Vocational Training at 100 per cent Electricity Connectivity and Maintenance in the Department of Trade, Energy, Industrialization at 100 per cent, General Administration Planning and Support Services (Inclusive of Salary) in the Department of Department of Kimilili Municipality at 98 per cent, Medical insurance in the Department of Department of Public Administration at 95 per cent and Participate in KICOSCA and EALSCA Games in the Department of Department of Gender, Culture, Youth and Sports at 87 per cent.

The higher performance of these programmes can be attributed to the payment of trade payables for contracted works, goods and services, as well as Participation in the KICOSCA Games, with approximately 400 participants, in November 2025, in Siaya County. Table 3.46 summarises the budget execution by programmes and sub-programmes in the period under review that had the lowest absorption rates.

Table 3.46: Budget Execution by Programmes and Sub-Programmes with Lowest Absorption Rates

Programme	Sub-Programme	Gross Approved Estimates FY 2025/26 (Kshs.)	Expenditure (including accrued expenditure) as of 31st March 2026 (Kshs.)	Absorption Rate (%)
DEVELOPMENT				
Department of Finance and Economic Planning				
Service Delivery and Organisational Transformation	Emergency Fund	100,000,000	10,244,628	10
Department of Roads and Public Works				
Transport Infrastructure Development and Management	Maintenance of Roads	1,042,068,652	71,961,066	7
Department of Health and Sanitation				
General Administration, Planning and Support Services	Construction and Maintenance of Buildings	169,143,801	9,040,743	5
Department of Public Administration				
Governance and Public Relations	Kenya Devolution Support Programme II	352,500,000	6,950,000	2
Department of Agriculture, Livestock, Fisheries, Irrigation and Co-Operatives Development				
Crop Development and Management	Ward-Based Projects	113,740,000	750,000	1

Programme	Sub-Programme	Gross Approved Estimates FY 2025/26 (Kshs.)	Expenditure (including accrued expenditure) as of 31st March 2026 (Kshs.)	Absorption Rate (%)
RECURRENT				
Department of County Secretary				
General Administration, Planning and Support Services	Records Management and Development	1,000,000	240,100	24
Department of Gender, Culture, Youth and Sports				
General Administration Planning and Support Services	Staff Training	525,000	119,600	23
Department of Health and Sanitation				
Curative and Rehabilitative Health Services	Primary Health Care	143,531,956	20,997,892	15
Department of County Assembly				
Legislation, oversight and Representation	Legislative Services	8,986,000	1,051,713	12
Department of County Attorney				
General Administration Planning and Support Services	Trade payables	48,776,496	4,080,586	8

Source: *Bungoma County Treasury*

The development sub-programmes with the lowest budget implementation rates were: Emergency Fund in the Department of Finance and Economic Planning at 10 per cent, Maintenance of Roads in the Department Roads and Public Works at 7 per cent, Construction and Maintenance of Buildings in the Department of Health and Sanitation at 5 per cent, Kenya Devolution Support Programme II in the Department of Public Administration at 2 per cent and Ward Based Projects in the department of Department of Agriculture, Livestock, Fisheries, Irrigation and Co-Operatives Development at 1 per cent.

The development sub-programmes with the lowest budget implementation rates were: Emergency Fund in the Department of County Secretary at 24 per cent; Staff Training in the Department of Gender, Culture, Youth and Sports at 23 per cent; Primary Health Care in the Department of Health and Sanitation at 15 per cent; Legislative Services in the Department of County Assembly at 12 per cent and Trade payables in the Department of County Attorney at 8 per cent.

These low performances are mainly due to delays in annual procurement plans and issues with the electronic Government Procurement System.

3.3.17 Settlement of Trade Payables

As of 1st July 2025, the County reported trade payables totalling Kshs.5.21 billion. This amount consisted of Kshs.5.19 billion from the County Executive and Kshs.0.16 million from the County Assembly. The trade payables from the County Executive comprised Kshs.2.95 billion for recurrent expenditure and Kshs.2.24 billion for development expenditure.

During the reporting period, the County Executive settled trade payables amounting to Kshs.1.82 billion, comprising Kshs.1.37 billion (75 per cent) for recurrent programmes and Kshs.441.63 million (25 per cent) for development programmes. On the other hand, the County Assembly settled trade payables amounting to Kshs.16.35 million for recurrent activities. The outstanding trade payables as of 31st March 2026 were Kshs.3.38 billion for the County Executive and Kshs.0.11 million for the County Assembly. Table 3.47 provides additional details of trade payables.

Table 3.47: Bungoma County Trade Payables as of 31st March 2026

		County Entity	Development (Kshs.)	Recurrent (Kshs.)	Total (Kshs.)
As at 1 July 2025 (End of FY 2024/25)	a	County Executive	2,242,939,069	2,950,488,266	5,193,427,335
		County Assembly	-	16,356,038	16,356,038
		Total	**2,242,939,069**	**2,966,844,304**	**5,209,783,373**
Trade payables scheduled to be settled in the first nine months of FY 2025/26 per the action plan	b	County Executive	520,104,261	1,420,138,069	1,940,242,330
		County Assembly	-	16,356,038	16,356,038
		Total	**520,104,261**	**1,436,494,107**	**1,956,598,368**
Amount paid in the first nine months of FY 2025/26	c	County Executive	441,633,034	1,373,798,439	1,815,431,473
		County Assembly	-	16,345,524	16,345,524
		Total	**441,633,034**	**1,390,143,963**	**1,831,776,997**
Trade Payables Incurred in the First Nine Months of FY 2025/26	d	County Executive	-	-	-
		County Assembly	-	-	-
		Total	**-**	**-**	**-**
Outstanding trade payables as of 31st March 2026	**e=a-c*b**	**County Executive**	**1,801,306,035**	**1,576,689,827**	**3,377,995,862**
		County Assembly	**-**	**10,514**	**10,514**
		Total	**1,801,306,035**	**1,576,700,341**	**3,378,006,376**

Source: *Bungoma County Treasury*

The County Executive and the County Assembly submitted a trade payables payment plan, committing to pay Kshs.1.44 billion and Kshs.520.10 million on recurrent and development expenditure, respectively, in FY 2025/26. The County Assembly adhered to this payment plan, as it cleared Kshs.16.35 million except Kshs.10,514.

Table 3.48 presents the ageing of the total outstanding bills as of 31st March 2026 for the County Executive and Assembly, which were Kshs.3.38 billion.

Table 3.48: Bungoma County Executive Trade Payables Ageing Analysis as of 31st March 2026

Category	Ageing analysis (Amount in Kshs.)				Total
	Under one year	1-2 years	2-3 years	Over 3 years	
Development Trade Payables	**451,761,188**	**717,490,602**	**387,138,932**	**244,915,313**	**1,801,306,035**
Recurrent Trade Payables (Goods & Services)	594,944,055	165,853,549	51,555,728	88,168,280	900,521,613
Recurrent Trade Payables (Salary Arrears and Statutory Deductions)	-	82,362,818		593,802,397	676,165,215
Total Recurrent Trade Payables	594,944,055	248,216,367	51,555,728	681,970,678	**1,576,686,828**
Total Trade Payables	**1,046,705,243**	**965,706,969**	**438,694,660**	**926,885,990**	**3,377,992,862**
% of Total	**31**	**29**	**13**	**27**	**100**

Source: *Bungoma County Treasury*

As shown in Table 3.48 , statutory deductions for trade payables amounted to Kshs.681.26 million, which represented 20 per cent of the total trade payables of Kshs.3.38 billion as of March 31, 2026. The statutory deductions included Kshs.87.45 million in gratuity arrears and pension liabilities of Kshs.581.07 million, and third-party deductions of Kshs.12.73 million.

Additionally, the table indicate that 31 per cent of total trade payables are aged under one year, 29 per cent total trade payables are aged between one year and two years, 13 per cent total trade payables are aged between two years and three years, and 27 per cent total trade payables are aged over three years a trend attributed to ageing analysis to address this situation, the County Executive and County Assembly should

strictly adopt the IBEC-approved trade payables action plan tracker templates for management, tracking, and reporting of their trade payables status, and adhere to the FIFO methodology in the payment of trade payables.

3.3.18 General Observations and Recommendations

In the course of overseeing and reporting on the implementation of the Bungoma County budget, the CoB identified the following challenges, which hampered effective budget implementation;

i. The underperformance of own-source revenue at Kshs.1.22 billion against an annual target of Kshs.2.08 billion, representing 59 per cent of the financial year target.
ii. A high wage bill accounted for 49 per cent of the County's total revenue amounting to Kshs.12.05 billion, realised in the first nine months of FY 2025/26, which is above the ceiling provided in law.
iii. Low development performance in the review period as the County incurred Kshs.1.49 billion on development activities, achieving a 27 per cent absorption rate.
iv. Regulation 197(1)(i) of the Public Finance Management (County Governments) Regulations, 2015, limits the lifespan of public funds to 10 years unless extended by the County Assembly. As of 31st March 2026, the lifespan of the Scholarships and other Educational Benefits Fund, Trade Development Loan Fund, Disability Empowerment Fund, Youth and Women Empowerment Fund, Emergency Fund, and MCAs' Car Loan and Mortgage Scheme Fund had lapsed, making them ineligible for further withdrawals.
v. High level of trade payables, which amounted to Kshs.3.38 billion as of 31st March 2026. Furthermore, the County Treasury did not adhere to the trade payables payment plan.
vi. Use of manual payroll. Personnel emoluments amounting to Kshs.62.65 million for 2,238 staff not onboarded into HRIS-Community Health Volunteers Staff (CHVs) were processed through manual payroll, accounting for 1 per cent of the total payroll cost. Manual payroll is prone to abuse and may result in the loss of public funds.
vii. Non-submission of copies of authorisation letters for opening commercial bank accounts as per Regulation 82(5) of the Public Finance Management (County Governments) Regulations, 2015.
viii. The County reported Kshs.561.67 million under "*other operating expenses,*" accounting for 23 per cent of total operation and maintenance costs. The review revealed that this category was misused to record items with specific budget codes, distorting the cost structure, reducing financial transparency, and weakening accountability in public fund management.
ix. High level of trade receivables of Kshs.259.68 million on own source revenues that remained uncollected as at 31st March 2026.

The County should implement the following recommendations to improve budget execution:

i. *The County should address its own-source revenue performance to ensure the approved budget is fully financed. Appropriate austerity measures should be implemented to ensure expenditure commitments are aligned with available revenue.*
ii. *The County Public Service Board should establish an optimal staffing structure to ensure expenditure on personnel emoluments complies with Regulation 25(1)(b) of the Public Finance Management (County Governments) Regulations, 2015.*
iii. *The County should implement strategies to increase development expenditures in FY 2025/26.*
iv. *The County should ensure timely review of public funds whose lifespans are nearing expiration or have lapsed to prevent operational disruptions. Additionally, any expenditure from lapsed funds should cease immediately, and legal mechanisms should be followed to re-establish or wind up such funds in compliance with the Public Finance Management Act.*
v. *The County Leadership should address the situation of trade payables to ensure that genuine bills are paid promptly in the remaining financial year. Further, compliance with the Trade Payables Action Plan should be enforced.*
vi. *The Government requires that salaries be processed through the HRIS system, and the County is advised to fast-track the acquisition of Unified Personnel Numbers for their staff. The County Public Service Board should regulate staff engagement on contract and casual workers as provided under Section 74 of the County Governments Act 2012. Furthermore, strict adherence to the approved staff establishment should be maintained.*

vii. *The County Treasury should ensure it submits copies of authorisation letters to the CoB for opening commercial bank accounts to enhance accountability and oversight.*

viii. *The County Treasury should adhere to the approved budget classification framework by ensuring that all expenditures are recorded under their specific budget codes rather than being aggregated under the "Other Operating Expenses" category.*

ix. *The Controller of Budget recommends that the County Governments should institute measures of collecting the trade receivables in order to meet the set revenue targets and expenditures as per the budget*

3.4. County Government of Busia

3.4.1 Overview of FY 2025/26 Budget

The Busia County Approved Supplementary Budget for FY 2025/26 is Kshs.11.25 billion. It comprises Kshs.3.99 billion (36 per cent) and Kshs.7.25 billion (64 per cent) allocation for development and recurrent programmes, respectively. The budget estimates represent an increase of Kshs.478 million (4 per cent) from the FY 2024/25 budget, which comprised a development budget of Kshs.3.91 billion and a recurrent budget of Kshs.6.86 billion. The increase in the budget was primarily attributable to the rise in own-source revenue and FIF.

The budget is to be financed from various revenue sources. These include: the equitable share of revenue raised nationally of Kshs.7.97 billion (71 per cent), additional allocations of Kshs.1.17 billion (10 per cent), a cash balance of Kshs.1.12 billion (10 per cent) brought forward from FY 2024/25, and Kshs.999.76 million (9 per cent) generated as own-source revenue. A breakdown of the additional allocations is shown in Table 3.49.

3.4.2 Revenue Performance

During the first nine months of FY 2025/26, the County reported actual total revenues of Kshs.6.73 billion. This amount represented an increase of 31 per cent compared to the amount received in a similar period in FY 2024/25 of Kshs.5.51 billion. The total revenue consisted of Kshs.5.29 billion from the equitable share of revenue raised nationally, additional allocations from the national government and development partners of Kshs.422.70 million and own-source revenue (OSR) collection of Kshs.508.44 million. Additionally, the County had a cash balance of Kshs.508.26 million from FY 2024/25. The total OSR collection of Kshs.508.26 million included Facilities Improvement Financing (FIF) of Kshs.355.31 million and Kshs.153.13 million from other OSR sources. Table 3.49 summarises the total revenue available to the County Government during FY 2025/26.

Table 3.49: Busia County, Revenue Performance in the first nine months of FY 2025/26

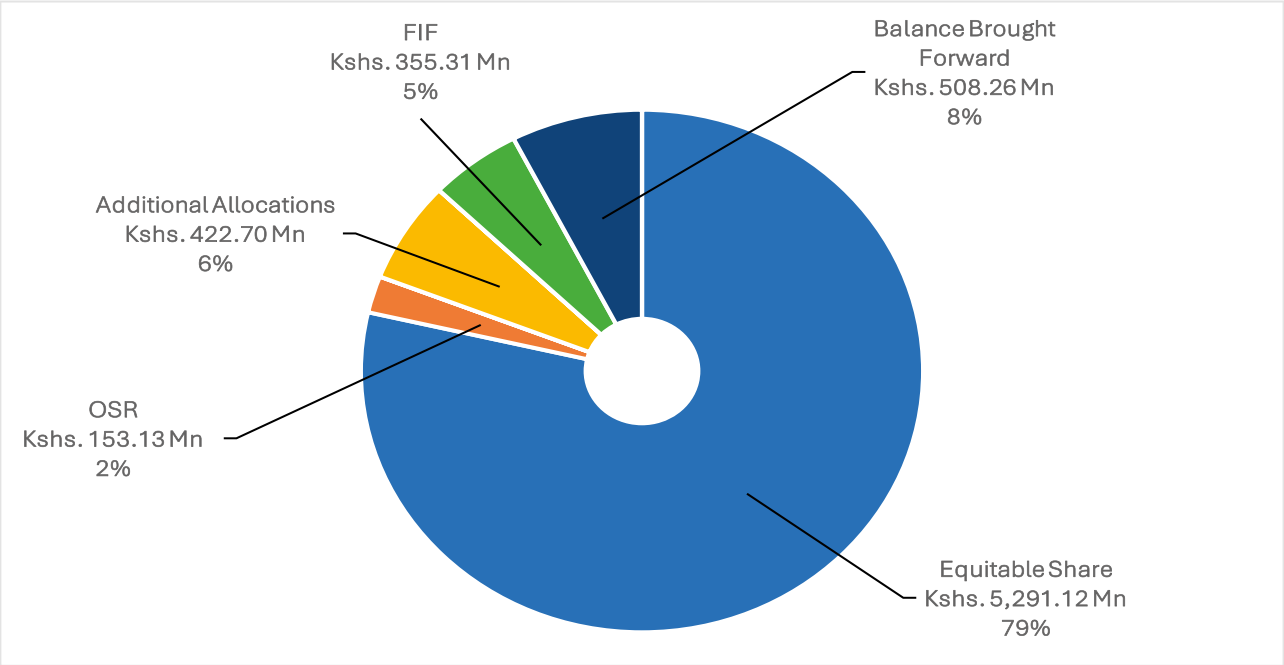
No	Revenue Stream	Annual Targeted Revenue (Kshs.)	Actual Receipts (Kshs.)	Receivables in the First Nine Months of FY 2025/26 (Kshs.)	Total Revenues (in accrual basis) in the First Nine months of FY 2025/26 (Kshs.)	Variance (Kshs.)
		A	B	C	D=B+C	E=A-D
A	**Unspent Balance from FY 2023/24**					
1	Balance at CRF	**506, 871, 860**	**506, 871, 860**	**-**	**506, 871, 860**	-
2	County Executive Refunds to CRF	**225, 633**	**225, 633**	**-**	**225, 633**	-
3	County Assembly Refunds to CRF	**1, 158, 654**	**1, 158, 654**	**-**	**1, 158, 654**	-
	0ther receivables	**612, 108, 110**	**-**	**612, 108, 110**	**612, 108, 110**	
	Sub-Total	**1,120,364,257**	**508, 256, 147**	**612, 108, 110**	**1,120,364,257**	
B	**Equitable Share of Revenue Raised Nationally**					
1	Equitable share	**7, 956, 564, 058**	**5, 291, 115, 098**	**636, 525,125**	**5, 927, 640, 223**	2, 028, 923, 835
	Sub-Total	**7, 956, 564, 058**	**5, 291, 115, 098**	**636, 525,125**	**5, 927, 640, 223**	**2, 028, 923, 835**

No	Revenue Stream	Annual Targeted Revenue (Kshs.)	Actual Receipts (Kshs.)	Receivables in the First Nine Months of FY 2025/26 (Kshs.)	Total Revenues (in accrual basis) in the First Nine months of FY 2025/26 (Kshs.)	Variance (Kshs.)
		A	B	C	D=B+C	E=A-D
C	**Transfers from the Equalisation Fund**					
1	Equalisation Fund	**17, 919, 656**	**-**	**8, 959, 828**	**13, 439, 742**	8, 959, 828
	Sub-Total	**17, 919, 656**	**-**	**8, 959, 828**	**13, 439, 742**	**8, 959, 828**
D	**Additional Allocations (Including Grants)**					
1	Kenya devolution support program II	**353, 500, 000**	**-**	**265, 125, 000**	**265, 125, 000**	88, 375, 000
2	National agricultural value chain development project	**231, 250, 000**	**137, 757, 982**	**35, 679, 518**	**173, 437, 500**	57, 812, 500
3	FFLoCA- County climate resilient investment	**217, 000, 000**	**114, 496, 970**	**48, 253, 030**	**162, 750, 000**	54, 250, 000
4	Kenya urban support program - UDG	**197, 124, 703**	**85, 586, 605**	**62, 256, 922**	**147, 843, 527**	49, 281, 176
5	Kenya devolution support program I	**37, 500, 000**	**35, 253, 471**	**-**	**35, 253, 471**	2, 246, 529
6	Kenya livestock commercialisation project	**33, 550, 000**	**49, 607, 689**	**-**	**49, 607, 689**	
7	Kenya urban support program - UIG	**28, 400, 000**	**-**	**21, 300, 000**	**21, 300, 000**	7, 100, 000
8	Aquaculture business development project	**22, 945, 560**	**-**	**17, 209, 170**	**17, 209, 170**	5, 736, 390
9	DANIDA	**13, 537, 500**	**-**	**10, 153, 125**	**10, 153, 125**	3, 384, 375
10	Kenya agricultural business development project	**10, 918, 919**	**-**	**8, 189, 189**	**8, 189, 189**	2, 729, 730
11	Affordable housing program	**8, 817, 410**	**-**	**6, 613, 058**	**6, 613, 058**	2, 204, 352
	Sub-Total	**1, 153, 544, 092**	**422, 702, 717**	**442, 455, 352**	**865, 158, 069**	**288, 386, 023**
E	**Ordinary Own Source Revenue (OSR)**					
1	Own source revenue	**554, 697, 942**	**153, 132, 395**	**262, 891, 061**	**416, 023, 457**	138, 674, 485
	Sub-Total	**554, 697, 942**	**153, 132, 395**	**262, 891, 061**	**416, 023, 457**	**138, 674, 485**
F	**Facility Improvement Financing (FIF)**					
1	SHIF	**445, 062, 668**	**355, 307, 089**	**-**	**355, 307, 089**	89, 755, 579
	Sub-Total	**445, 062, 668**	**355, 307, 089**	**-**	**355, 307, 089**	**89, 755, 579**
Total		**11, 248, 152, 673**	**6, 730, 513, 446**	**1,962,939,476**	**8,697,932,837**	2,550,219,836

Source: *Busia County Treasury.*

The County of Busia has governing legislation on the operation of the FIF Act 2023. Figure 3.19 provides a detailed breakdown of receipts.

Figure 3.19: Busia County Composition of Revenue in the first nine months of FY 2025/26

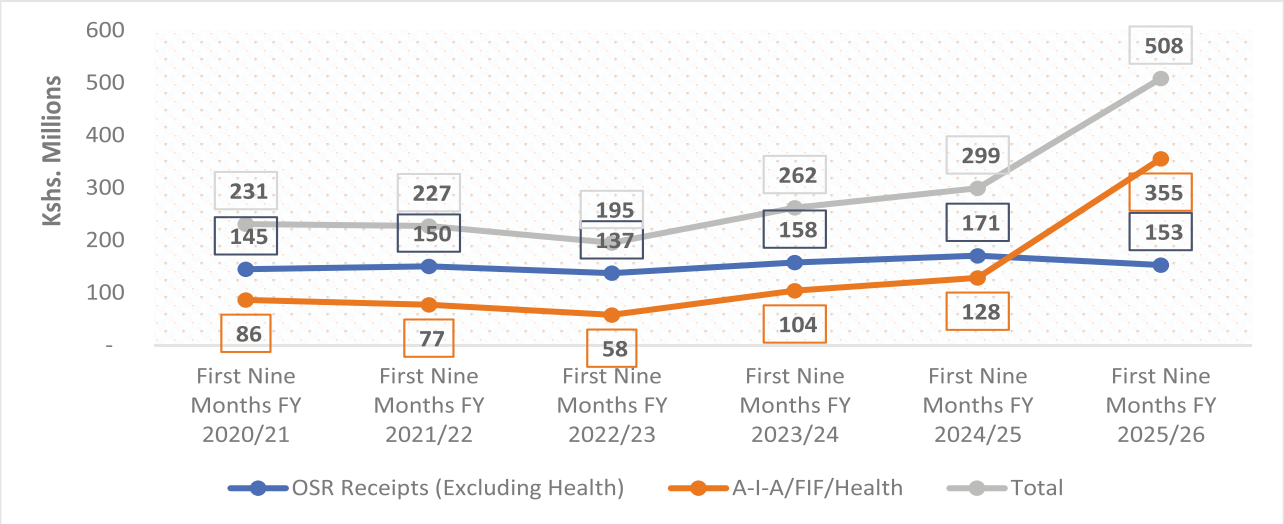


Source: *Busia County Treasury*

The equitable share of revenue raised nationally, Balance b/f from FY 2024/25, and FIF contributed 79 per cent, 8 per cent and 5 per cent, respectively, of the total receipts for the reporting period.

Figure 3.20 shows the collection trend in own-source revenue from the first nine months of FY 2020/21 to the first nine months of FY 2025/26.

Figure 3.20: Busia County Trend in Own-Source Revenue Collection from the first nine months of FY 2020/21 to the first nine months of FY 2025/26

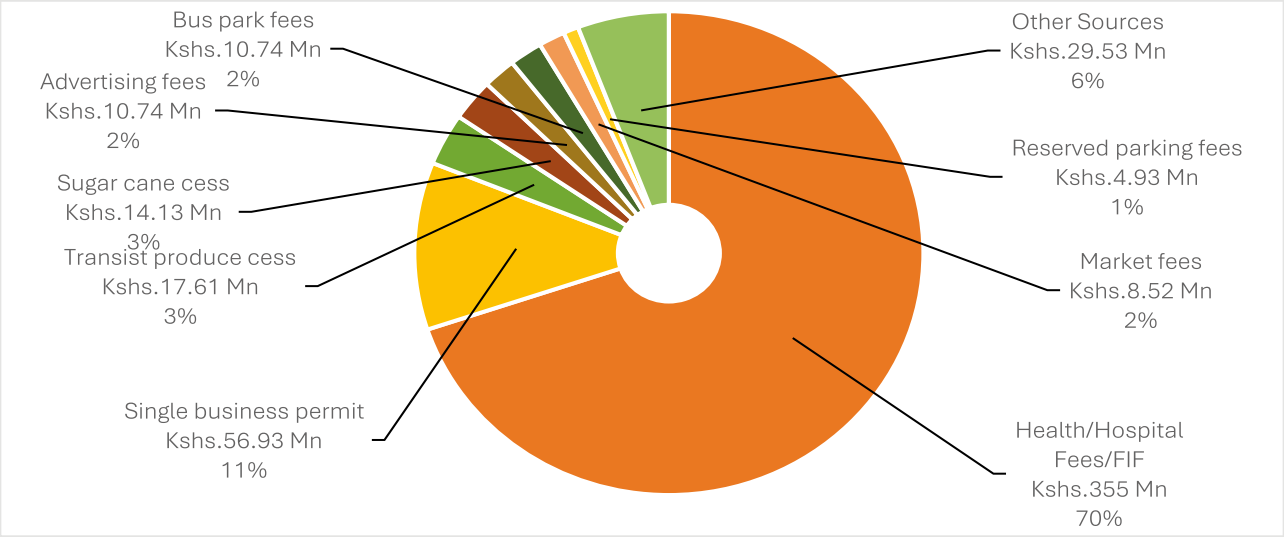


Source: *Busia County Treasury*

During the first nine months of FY 2025/26, the County received Kshs.508.26 million from OSR, including FIF. This amount was an increase of 70 per cent compared to Kshs.299.12 million realised in a similar period in FY 2024/25, and was 51 per cent of the annual target and 10 per cent of the equitable revenue share disbursed.

The increase in OSR was attributed to an increase in Facility Improvement Financing from the health facilities. The revenue streams that contributed the most to OSR receipts are shown in Figure 3.21

Figure 3.21: Busia County Top Own Source Revenue Streams in the first nine months of FY 2025/26



Source: Busia County Treasury

As shown in Figure 3.21, the largest revenue stream, at Kshs.355 million, was Facility Improvement Financing accounting for 70 per cent of total OSR receipts. The County Government indicated that it has automated all revenue streams. There is no system utilised for FIF revenue collection.

3.4.3 Revenue Receivables

As of 1st July 2025, the County reported receivables of Kshs.762.71 million, which increased to Kshs.1, 527.14 million as of 31st March 2026. The County manages its receivables using an automated system with an accrual-basis option. Table 3.50 presents a breakdown of the County's receivables.

Table 3.50: Busia County Receivables as of 31st March 2026

No	Revenue Stream	Receivables as of 1 July 2025 (Kshs.)	Progress made in the first nine months of FY 2025/26			Receivables as of 31st March 2026 (Kshs.)
			Waivers (Kshs)	Arrears paid in the financial year (Kshs)	Arrears earned in the first nine months of FY 2025/26 (Kshs)	
		a	b	c	d	f=a-b-c+d
A	**Equitable Share of Revenue Raised Nationally**					
1	Month of March	-	-	-	**636, 525, 125**	**636, 525, 125**
	Sub-Total				**636, 525, 125**	**636, 525, 125**
B	**Transfers from the Equalisation Fund**	-	-	-	**13, 439, 125**	**13, 439, 742**
	Sub-Total				**13, 439, 125**	**13, 439, 742**
C	**Additional Allocations**					
1	**National value chain development program**	**165, 424, 528**	-	-	**35, 679, 518**	**201, 104, 046**
2	FLLoCA – County climate resilient investment grant	**217, 000, 000**	-	**12, 705, 306**	**48, 253, 030**	**252, 547, 724**
3	**The county aggregated the industrial park**	**116, 631, 579**	-	**63, 500, 000**	**23, 973, 684**	**23, 973, 684**
4.	Kenya urban support program II - UDG	76, 464, 543	-	-	62, 256, 922	138, 721, 465

No	Revenue Stream	Receivables as of 1 July 2025 (Kshs.)	Progress made in the first nine months of FY 2025/26			Receivables as of 31st March 2026 (Kshs.)
			Waivers (Kshs)	Arrears paid in the financial year (Kshs)	Arrears earned in the first nine months of FY 2025/26 (Kshs)	
5.	Kenya devolution support program II	37, 500, 000	-	35, 253, 471	28, 125, 000	30, 371, 529
6.	Aquaculture business development project	**22, 585, 560**	**-**	-	**17, 209, 170**	**39, 794, 730**
7.	FLLoCA – County climate institutional support grant	11, 000, 000	-	-	-	11, 000, 000
8.	Nutrition international	6, 000, 000	-	-	-	6, 000, 000
9.	Kenya urban support program II - UIG	2, 690, 700	-	-	21, 300, 000	23, 990, 700
10.	Affordable housing programme	-	-	-	6, 613, 058	6, 613, 058
11.	Kenya agricultural business development project	-	-	-	8, 189, 189	8, 189, 189
	Sub-Total	**655, 296, 910**	**-**	**111, 458, 777**	**251, 599, 571**	**742, 306, 125**
E	**Facility Improvement Financing (FIF)**					
1	SHIF	**86, 900, 350**	**-**	**86, 900, 350**	**109, 600, 225**	**109, 600, 225**
2	Defunct NHIF	**20, 510, 166**	**-**	**-**	**4, 757, 999**	**25, 268, 165**
	Sub-Total	**107, 410, 516**	**-**	**86, 900, 350**	**114, 358, 224**	**134, 868, 390**
Total		**762, 707, 426**	**-**	**198, 359, 127**	**1, 015, 922, 045**	**1,527,139,382**

Source: Busia *County Treasury*

As of 31st March 2026, the receivables totalled to Kshs.1.53 billion, comprising Kshs.742.31 million from conditional additional allocations (49 per cent), Kshs.636.53 million from the equitable for March 2026 (42 per cent), and Kshs.134.87 million from Facility Improvement Financing (7 per cent). The County should liaise with the National Government on the timely disbursement of the equitable share of revenue raised nationally, as well as reimbursement of SHIF claims

3.4.4 Borrowing by the County

The County Government of Busia did not report any credit facility with banks during the period under review that came to our knowledge.

3.4.5 Withdrawals from the County Revenue Fund and County Assembly Fund

During the reporting period, the Controller of Budget approved exchequer withdrawal requests totalling Kshs.5.61 billion from the Busia County Revenue Fund (CRF) account. This amount consisted of Kshs.874.01 million (16 per cent) designated for development programs and Kshs.4.74 billion (84 per cent) allocated for recurrent programs.

An analysis of the released recurrent exchequers shows that Kshs.3.25 billion was allocated to employee compensation and Kshs.1.49 billion to operations and maintenance expenditures. Within the operations and maintenance category, 17 per cent was for domestic travel and 4 per cent for foreign travel. The domestic travel exchequers totalled Kshs.249.16 million, which included Kshs.128.04 million for the County Executive and Kshs.121.12 million for the County Assembly. Meanwhile, the foreign travel expenses amounted to Kshs.56.68 million, with Kshs.45.91 million for the County Executive and Kshs.10.77 million for the County Assembly.

As of 31st March 2026, the County Government's cash balance in the Busia CRF account was Kshs.674.65 million.

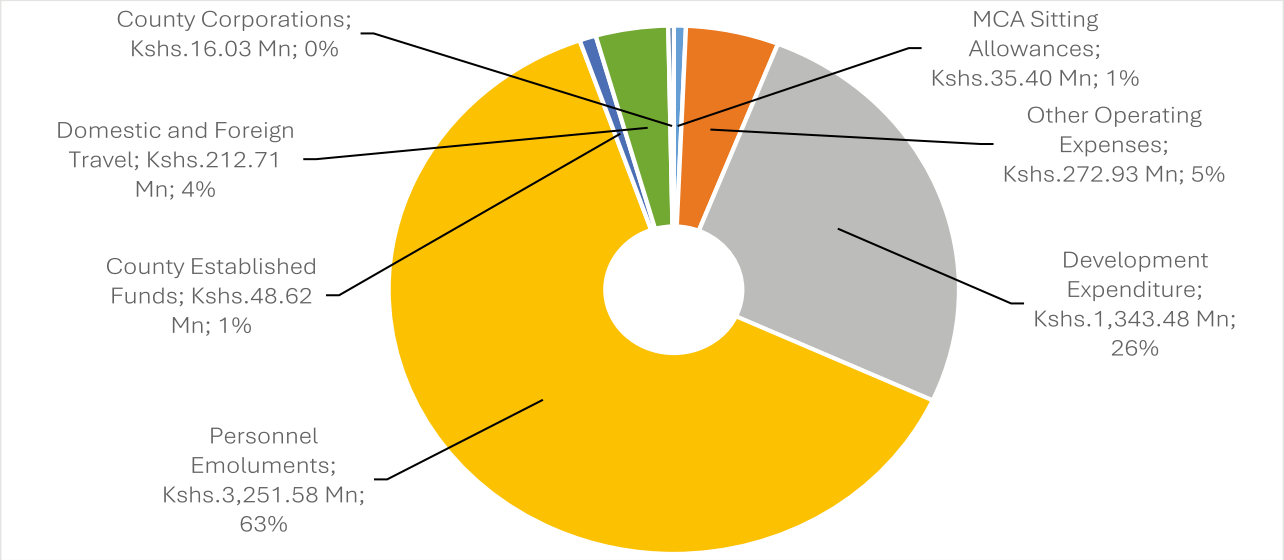
The County Government of Busia has not yet operationalised the County Assembly Fund (CAF) account during the review period. Therefore, as of 31st March 2026, the CAF account balance could not be stated.

3.4.6 Expenditure Review

The County spent Kshs.6.07 billion on development and recurrent programmes during the reporting period. The expenditure represented 108 per cent of the total funds released by the CoB. It comprised Kshs.1.34 billion for development programmes and Kshs.4.73 billion for recurrent programmes. Expenditure on development programmes accounted for 34 per cent of the annual development expenditure budget, while recurrent expenditure accounted for 69 per cent of the annual recurrent expenditure budget.

Figure 3.22 provides a detailed breakdown of total expenditure.

Figure 3.22: Busia County Composition of Expenditure in the first nine months of FY 2025/26



Source: Busia *County Treasury*

As shown in Figure 3.22, the three highest expenditure categories were Personnel emoluments, development and other operating expenses, contributing 63, 26 and 5 per cent of total expenditure for the reporting period.

3.4.7 Expenditure by Economic Classification

The County Executive incurred Kshs.2.98 billion in employee compensation, Kshs.1.22 billion in operations and maintenance, and Kshs.1.34 billion in development activities. Similarly, the County Assembly spent Kshs.267.95 million on compensation of employees, Kshs.254.91 million on operations and maintenance, and Kshs.1.45 million on development activities, as shown in Table 3.51

Table 3.51: Busia County Summary of Budget and Expenditure by Economic Classification

Expenditure Classification	Approved Budget (Kshs.) (a)		Amount Paid in the first nine months of FY 2025/26 (Kshs.) (b)		Total Expenditure in the first nine months of FY 2025/26 (Kshs.) (d=b+c)		Absorption (%) (d/a*100)	
	Executive	Assembly	Executive	Assembly	Executive	Assembly	Executive	Assembly
Total Recurrent Expenditure	**5,949,224,674**	**859,598,045**	**4,204,165,102**	**522,866,189**	**4,204,165,102**	**522,866,189**	**71**	**61**
Compensation of Employees	4,038,194,122	405,650,970	2,983,626,869	267,953,160	2,983,626,869	267,953,160	74	66
Operations and Maintenance	1,911,030,552	453,947,075	1,220,538,243	254,913,029	1,220,538,243	254,913,029	64	56

Expenditure Classification	Approved Budget (Kshs.) (a)		Amount Paid in the first nine months of FY 2025/26 (Kshs.) (b)		Total Expenditure in the first nine months of FY 2025/26 (Kshs.) (d=b+c)		Absorption (%) (d/a*100)	
	Executive	Assembly	Executive	Assembly	Executive	Assembly	Executive	Assembly
Development Expenditure	3,939,767,286	54,500,000	1,342,033,121	1,450,000	1,342,033,121	1,450,000	34	3
Total	9,888,991,960	914,098,045	5,546,198,223	524,316,189	5,546,198,223	524,316,189	56	57

***Source**: Busia County Treasury*

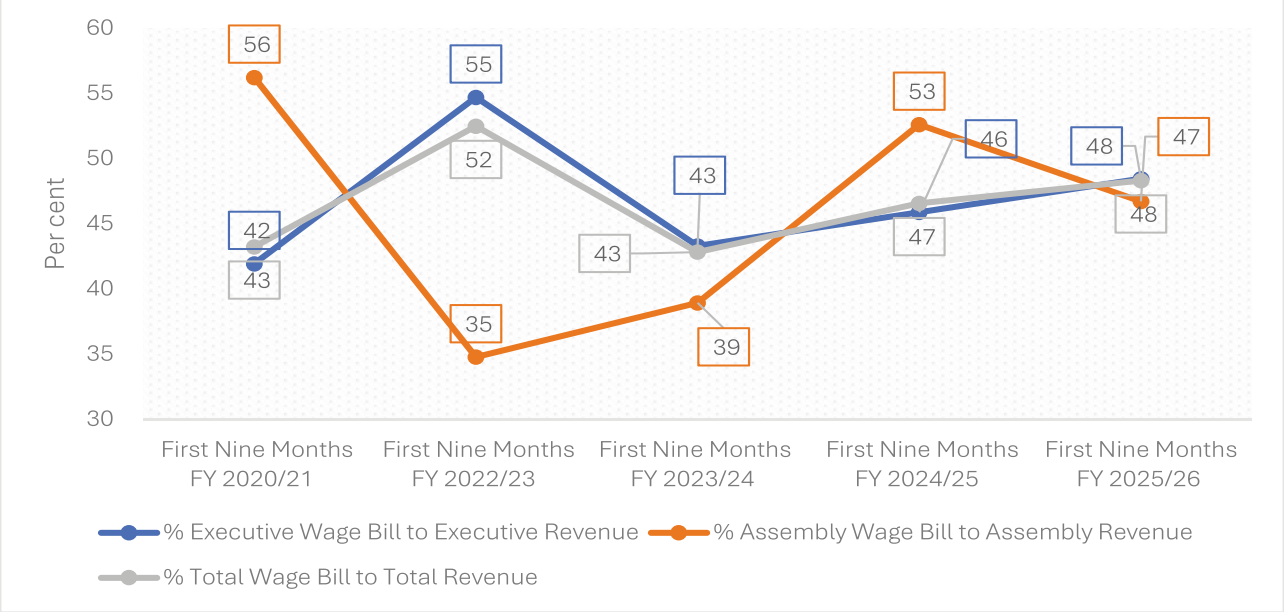
3.4.8 Expenditure on Employee Compensation

The expenditure on employee compensation totalled Kshs.3.25 billion, representing 48 per cent of revenue. This expenditure on employee compensation shows an increase of 26 per cent compared to the Kshs.2.57 billion reported in a similar period in FY 2024/25. Of this total, Kshs.1.60 billion related to Health Sector employees, accounting for 49 per cent of the overall employees' compensation.

This increase is due to the engagement of additional casual and health staff, which was occasioned by an increase in FIF funding.

Figure 3.23 shows the trend in employee compensation as a percentage of total revenue from the first nine months of FY 2020/21 to the first nine months of FY 2025/26.

Figure 3.23: Percentage of Employee Compensation Expenditure to Total Revenue Received in the first nine months of FY 2020/21 to the first nine months of FY 2025/26



Source: Busia County Treasury

Further analysis indicated that PE costs totalling Kshs.3.23 billion were processed through the Human Resource Information System (HRIS). In contrast, Kshs.132.51 million was processed through manual payrolls, which accounted for 4 per cent of the total PE cost. The justification for the continued use of manual payroll was intermittent connectivity and a lack of documents from the affected staff.

The manual payroll comprised salaries for 26 staff not onboarded into the Human Resource Information System (HRIS), salaries for 440 casual staff, gratuity remittances to pension schemes for staff on contract, and Community health volunteers, as shown in Table 3.52.

Table 3.52: Breakdown of Busia County Manual Payroll

Sno.	Description of Manual Payroll	Amount (Kshs.)
	Salaries for staff yet to be onboarded into HRIS	50,035,088

Sno.	Description of Manual Payroll	Amount (Kshs.)
	Salaries for casual staff	82,474,738
	Total	**132,509,826**

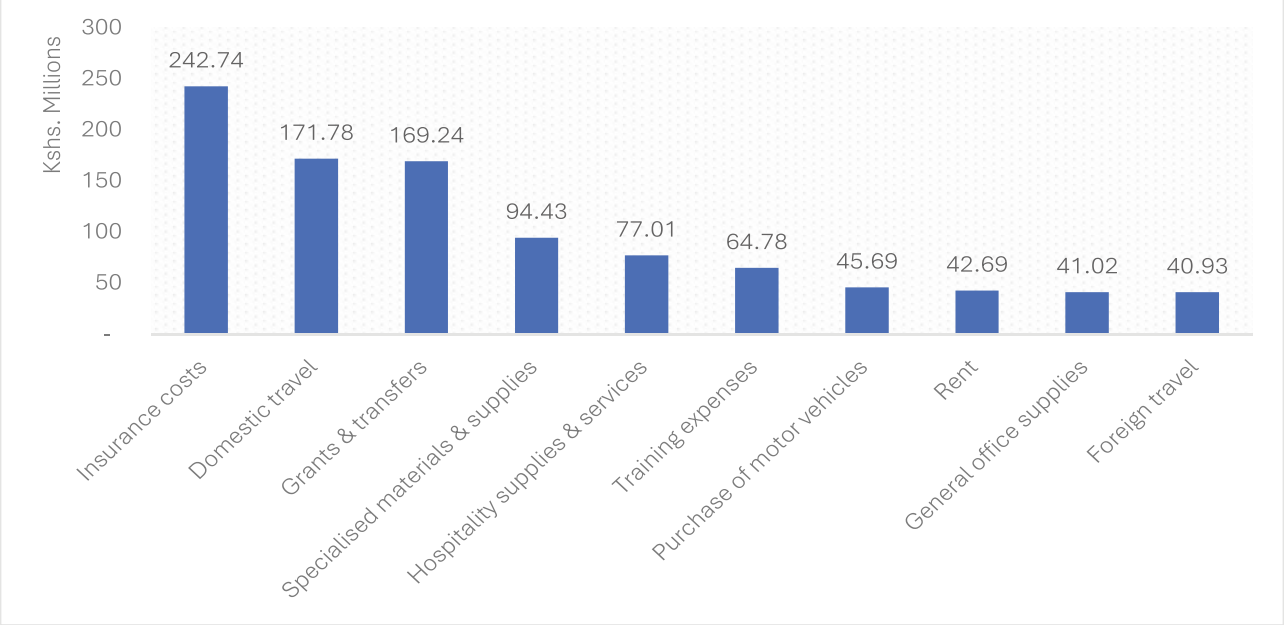
Source: Busia County Treasury

The County Assembly spent Kshs.35.40 million on committee sitting allowances for the 53 MCAs against the annual budget allocation of Kshs.65.66 million. The average monthly sitting allowance was Kshs.72, 847 per MCA. The County Assembly has 20 House Committees.

3.4.9 Expenditure on Operations and Maintenance

During the reporting period, the County spent Kshs.1,475.45 million on operations and maintenance, representing an increase of 25 per cent compared to a similar period in FY 2024/25, when the County spent Kshs.1,183.27 million. Figure 3.24 illustrates the distribution of Operations and Maintenance expenditures across the major spending categories.

Figure 3.24: Busia County, Operations and Maintenance Expenditure by Major Categories



Source: *Busia County Treasury*

3.4.10 Unbundling "Other Operating Expenses-Other (IFMIS Code 2211399)" Under Operations and Maintenance Expenditures

The budget performance report for the first nine months of FY 2025/26 indicates that the County spent Kshs.194.38 million on "*other operating expenses-Others*," which is 13 per cent of the total operations and maintenance expenditure of Kshs.1.48 billion. The disaggregated items under the "*Other Operating Expenses-others*" were not provided to ascertain what is paid under this vote.

Table 3.53: Breakdown of "Other Operating Expenses-Others (IFMIS Code 2211399)" under O&M Expenditures

Code	Item	Budget (Kshs)	Expenditure (Kshs.)
2211399	Other operating expenses - Others	310, 349, 038	194, 375, 329

Source: *Busia County Treasury*

A review of the other expense items listed in the Table 3.53 revealed that several expenditure items were recorded with vague or generic descriptions, making it difficult to determine their nature and map them to the correct budget codes. These include miscellaneous services and a facilitation fee, among others, and the specific amount spent on each was not provided.

3.4.11 County-Established Funds

Section 116 of the PFM Act 2012 allows County Governments to establish other public funds, subject to approval from the County Executive Committee and the County Assembly. The County allocated Kshs.65.65 million to County-Established funds in FY 2025/26, representing 1 per cent of the County's overall budget. Of this amount, the County allocated Kshs.5 million to the Emergency Fund in line with Section 110 of the PFM Act, 2012, accounting for 0.1 per cent of the total budget. Table 3.54 summarises each established Fund's budget allocation and performance during the reporting period.

Table 3.54: Performance of Busia County Established Funds in the first nine months of FY 2025/26

S/No.	Name of the Fund	Year Established	Approved Budget Allocation in FY 2025/26 (Kshs.)	Cumulative disbursements to the Fund (Kshs)	Submission of Financial Statements (Yes/No.)
1	Agriculture Development Fund	2015	-	90, 000, 000	N0
2	Bursaries and Scholarships	2014	52, 146, 300	117, 800, 000	NO
3	Cooperative Enterprise Fund	2016	13, 500, 000	123, 005, 000	NO
4	County Executive Revolving Fund	2017	-	222, 000, 000	NO
5	County Assembly Revolving fund	2014	-	641, 249, 842	NO
	Total		**65, 646, 300**	**1,229,854, 842**	

Source: *Busia County Treasury*

During the reporting period, the CoB did not receive quarterly financial reports from all the Fund Administrators, as indicated in Table 3.6, contrary to the requirement of Section 168 of the PFM Act, 2012. The County did not disclose the administration costs of all the funds.

Regulation 197(1)(i) of the Public Finance Management (County Governments) Regulations, 2015, allows County Governments to establish public funds with a lifespan capped at 10 years unless extended by the County Assembly. In this regard, the Agriculture development fund, Bursaries and scholarships and the County Assembly revolving fund lifespan has lapsed. Consequently, the CoB did not approve any withdrawal requests to support the operations of the lapsed funds and should be wound up since they are no longer operated under the law.

3.4.12 County Corporations

The County has one County Corporation, which was allocated Kshs.20 million in FY 2025/26. Their total expenditure for the review period amounted to Kshs.16 million, as shown in Table 3.55 .

Table 3.55: Performance of Busia County Corporations in the first nine months of FY 2025/26

S/No.	Name of the Corporation	Approved Budget Allocation in FY 2025/26 (Kshs.)	Actual Transfers in the first nine months of FY 2025/26 (Kshs.)	Cumulative Transfers to the Corporation since its inception (Kshs.)
	Busia Water & Sewerage Company	20, 000, 000	12, 025, 000	25, 525, 000
	Total	**20, 000, 000**	**12, 025, 000**	**25, 525, 000**

Source: *Busia County Treasury*

3.4.13 Expenditure on Domestic and Foreign Travel

Expenditure on domestic travel amounted to Kshs.171.78 million and comprised Kshs.81.87 million spent by the County Assembly and Kshs.89.91 million by the County Executive. Expenditure on foreign travel amounted to Kshs.40.93 million and comprised Kshs.10.77 million by the County Assembly and Kshs.30.15 million by the County Executive. Expenditure on foreign travel is summarised in Table 3.56.

Table 3.56: Summary of Expenditure on Foreign Travel in the first nine months of FY 2025/26

Arm of County Government	Number of Officers Travelled	Date travelled	Purpose of the travel	Destination	Accrued Expenditure on Travel (b) (Kshs.)	Total Expenditure on Travel (c=a+b) (Kshs.)
County Executive	4	1st July to 15th August 2025	Attend the UN General Assembly	New York	2,026, 300	2,026, 300
County Assembly	14	9 November 2025	E-governance conference	Dubai	7, 001, 862	7, 001, 862
County Assembly	7	10 December 2025	E-governance conference	Dubai	3, 772, 882	3, 772, 882
County Assembly	10	25th January 2026	High-impact leadership programme	Adis Ababa	11, 925, 018	11, 925, 018
County Assembly	14	25th January 2026	Public finance management program	Singapore	31, 966, 203	31, 966, 203
Total					**56, 692, 265**	**56, 692, 265**

Source: Busia County Treasury and Busia County Assembly

3.4.14 Facility Improvement Financing

During the review period, the County reported collections of Kshs.355.31 million as FIF, which was 80 per cent of the annual target of Kshs.455.06 million. The collected amount was retained and utilised at source in line with the Facility Improvement Financing Act, 2023. The County has developed regulations to operationalise the FIF Act of 2023.

The expenditure by the health facilities amounted to Kshs.13.46 million, as shown in Table 3.57.

Table 3.57: Busia County Health Facilities Expenditure Performance in the first nine months of FY 2025/26

No.	Health Facility	Number of Facilities	Approved Budget (Kshs.)	Actual Expenditure (Kshs.)	Absorption rate (%)
1.	Level 4 Hospital	6	383, 932, 246	105, 234, 193	27
2.	Level 3 Facility	16	21, 348, 581	210, 000	1
3.	Level 2 Facility	72	12, 599, 195	-	-
	Total	**94**	**417, 880, 022**	**13, 464, 903**	

Source: *Busia County Treasury*

3.4.15 Development Expenditure

In the review period, the County reported spending Kshs.1.34 billion on development programmes, representing a 7 per cent increase over FY 2024/25, when the County spent Kshs.1.25 billionTable 3.58 summarises the development projects with the highest expenditure in the reporting period.

Table 3.58: Busia County, List of Development Projects with the Highest Expenditure.

No	Sector	Project Name	Project Location	Project Commencement Date	Expected date of Completion of the Project	Contract sum (Kshs)	Total Funding in FY 2025/26 (Kshs.)	Expenditure (on an accrual basis) in the First Nine months of FY 2025/26 (Kshs.)	Cumulative project expenditure (on an accrual basis) as of 31st March 2026 (Kshs.)	Percentage (%) of Completion
County Funded Projects										
1	Education	Completion of 91 ECDE Classrooms	County wide	May 2025	June 2026	73,000,000	63,000,000	65,750,000	67,232,018	90
2	Roads	Upgrading to Bitumen standards for 4 roads	Adungosi, Nambale, Matayos	April, 2025	June 2026	27,424,360	27,424,360	27,424,360	27,424,360	80

No	Sector	Project Name	Project Location	Project Commencement Date	Expected date of Completion of the Project	Contract sum (Kshs)	Total Funding in FY 2025/26 (Kshs.)	Expenditure (on an accrual basis) in the First Nine months of FY 2025/26 (Kshs.)	Cumulative project expenditure (on an accrual basis) as of 31st March 2026 (Kshs.)	Percentage (%) of Completion
3	Roads	Maintenance of Akatagoroit-Asuret junction road	Amukura West Ward	January 2025	June 2026	7,141,399	7,141,339	7,141,339	7,141,339	90
4	Roads	Supply of farm tractor spare parts	HQ	June 2025	June 2026	4,637,780	4,637,780	4,637,780	4,637,780	100
5	Governorship	Construction of the disaster centre	Funyula	October 2024	June 2026	4,801,268	4,801,268	4,801,268	4,801,268	80
6	Water	Supply of tree seedlings	Bwiri ward	May 2025	June 2025	4,999,000	4,999,000	4,999,000	4,999,000	100
7	Water	Drilling & test pumping of the borehole	Marachi West Ward	March 2025	May 2025	5,959,350	5,959,350	5,959,350	5,959,350	100
8	Energy	Installation of streetlights at Bulanda junction, Philip Masinde road	Mayenje ward	February 2025	June 2025	7,979,850	7,979,850	7,979,850	7,979,850	90
9	Agriculture	Supply of 7650kgs of maize seeds	HQ	February 2025	March 2025	3,499,875	3,499,875	3,499,875	3,499,875	100
10	Health	Construction of the Rwatama dispensary	Angurai ward	January 2025	June 2025	4,832,645	4,832,645	4,832,645	4,832,645	80

Source: *Busia County Treasury*

The County did not report any stalled projects as of 31st March 2026

3.4.16 Budget Performance by Department

Table 3.59 summarises the approved budget allocation, expenditure, and absorption rate by department for the period under review.

Table 3.59: Busia County, Budget Allocation and Absorption Rate by Department in the first nine months of FY 2025/26

Department	Revised Budget Allocation (Kshs. Million)		Exchequer Received (Kshs. Million)		Expenditure (Kshs. Million)		Expenditure to Exchequer (%)		Absorption rate (%)	
	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev
Smart Agriculture, Livestock, and Fisheries	277.16	640.92	120.14	236.44	145.76	333.40	121	141	53	52
Trade, cooperative, Tourism & industry	86.04	270.13	50.12	63.50	43.44	134.28	88	212	51	50
Education & vocational training	685.74	213.02	369.12	71.63	591.93	91.99	160	120	86	43
Finance & economic planning	648.69	17.92	450.00	-	373.26	-	83	-	58	-

Department	Revised Budget Allocation (Kshs. Million)		Exchequer Received (Kshs. Million)		Expenditure (Kshs. Million)		Expenditure to Exchequer (%)		Absorption rate (%)	
	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev
Youths, sports, culture, gender, social ser	275.94	25.79	112.05	6.88	168.31	6.90	150	100	61	27
Transport, roads & Public works	157.69	786.09	74.59	150.33	86.38	331.61	116	221	55	42
Public service management	760.97	352.5	624.98	-	561.18	-	90	-	74	-
Lands, housing & urban development	223.26	350.12	71.82	15.49	95.73	36.54	133	236	43	10
Water, environment, irrigation & energy	158.66	890.43	101.93	213.66	99.84	247.66	98	116	63	28
Health and sanitation	2,127.99	365.13	1,878.27	98.50	1,741.29	136.91	93	139	82	38
Public service board	74.37	-	56.66	-	35.68	-	63	-	48	-
Office of the Governor	353.73	16.73	190.05	4.80	220.23	16.73	116	349	62	100
County Assembly	859.60	54.5	572.06	1.45	522.87	1.45	91	100	61	3
County Attorney	67.30	-	24.47	-	29.61	-	121	-	44	-
Strategic partnerships & digital economy	51.68	10.99	40.09	5.99	11.52	5.00	29	100	22	55
	6,808.82	**3,994.27**	**4,736.36**	**874.01**	**4,727.03**	**1,343.28**	**100**	**154**	**69**	**34**

***Source**: Busia County Treasury*

Analysis of the exchequer releases against the reported expenditure shows that the county misappropriates funds duly approved by COB to fund alternative items not submitted to COB for approval. This is demonstrated by the expenditure rate against the exchequer being above 100 per cent, except in rare cases where counties spend money retained in special-purpose accounts, particularly additional allocations and FIF. Further analysis of expenditure by departments shows that the Department of the Office of the Governor recorded the highest absorption rate of the development budget at 100 per cent, followed by the Department of Strategic Partnerships and Digital Economy at 55 per cent, while the Department of County Treasury had the lowest at 0 per cent. The Department of Education and vocational training had the highest percentage of recurrent expenditure to budget at 86 per cent, followed by the Department of Health and sanitation at 82 per cent. In comparison, the Department of Strategic Partnerships and Digital Economy had the lowest, at 22 per cent.

3.4.17 Budget Execution by Programmes and Sub-Programmes

Budget execution was concentrated in selected performance bands. In the 1–10 per cent band, development absorption was reported for County Assembly infrastructural development at 3 per cent and for health, sanitation and hygiene at 4 per cent, while recurrent sanitation and hygiene recorded 3 per cent. In the 11–20 per cent band, renewable energy technology recorded 13 per cent under development, while recurrent general administration in Trade, Investment, Industrialisation and SME recorded 20 per cent. In the 21–30 per cent band, recurrent administrative and support services under Strategic Partnerships and Digital Economy recorded 22 per cent.

In the 51–60 per cent band, recurrent general administration and support services were reported under Public Service Management at 57 per cent, Youth, Sports, Culture, Gender and Social Services at 56 per cent, and Water, Environment, Irrigation and Natural Resources at 55 per cent.

Development absorption reached 100 per cent for cultural promotion and infrastructure development, social support services, mechanical and fabrication workshop, and housing management.

Low absorption in the lower performance bands, 0–40 per cent, was attributed to inadequate county funding, despite the planned outcomes for the affected programmes. Conversely, performance in the 80–100 per cent band reflected prudent budget implementation and the prioritisation of the respective sub-programmes during the review period.

Table 3.60 summarises budget execution by programmes and sub-programmes in the period under review with the highest absorption rates.

Table 3.60: Budget Execution by Programmes and Sub-Programmes with Highest Absorption Rates

Programme	Sub-Programme	Gross Approved Estimates FY 2025/26 (Kshs.)	Expenditure (including accrued expenditure) as of 31st March 2026 (Kshs.)	Absorption Rate (%)
		Dev	Dev	Dev
DEVELOPMENT				
DEPARTMENT of Youth, Sports, Culture, Gender, gender and Social Services				
Cultural promotion & infrastructural development		5, 424, 103	5, 424, 103	100
Social support services		1, 480, 000	1, 480, 000	100
DEPARTMENT of Transport, roads and public works				
Mechanical & fabrication workshop		5,927, 140	5, 927, 140	100
DEPARTMENT of Lands, housing and urban development				
Housing management		13, 474, 568	13, 474, 568	100
DEPARTMENT of the Office of the governor				
Disaster preparedness		16, 730, 290	16, 730, 290	100
DEPARTMENT of Agriculture, livestock and fisheries				
Veterinary infrastructure development		21, 611, 201	20, 989, 335	97
RECURRENT				
DEPARTMENT of Public service management				
	General administration and support services	760, 974, 579	431, 311, 011	57
DEPARTMENT of Youth, Sports, Culture, Gender, gender and Social Services				
	General administration and support services	272, 642, 853	152, 731, 213	56
DEPARTMENT water, environment, natural resources and climate change				
	General administration and support services	158, 655, 750	87, 800, 532	55
DEPARTMENT of the County Assembly				
	Administrative and support services	859, 598, 045	450, 843, 879	52
DEPARTMENT of the Office of the Governor				
	Administrative and support services	353, 731, 177	176, 262, 250	50

Source: *Busia County Treasury*

The development sub-programmes with the highest budget implementation rates were: cultural promotion and infrastructure development, Social support services in the Department of Youths, sports, culture, gender and social services at 100 per cent, Mechanical & fabrication workshop in the Department of Transport, roads and public works at 100 per cent, and Housing management in the department of Lands, housing and urban development at 100 per cent.

For recurrent sub-programmes, the top performers included: General administration and support servic-

es in the Department of Public Service Management at 57 per cent, General administration and support services in the Department of Youth, Sports, sports, culture, gender and social services at 56 per cent, and General administration and support services in the Department of Water, environment, irrigation and natural resources at 55 per cent.

Table 3.61 summarises the budget execution by programmes and sub-programmes in the period under review that had the lowest absorption rates.

Table 3.61: Budget Execution by Programmes and Sub-Programmes with Lowest Absorption Rates

Programme	Sub-Programme	Gross Approved Estimates FY 2025/26 (Kshs.)	Expenditure (including accrued expenditure) as of 31st March 2026 (Kshs.)	Absorption Rate (%)
		Dev	Dev	Dev
DEVELOPMENT				
DEPARTMENT of the County Assembly				
Infrastructure development		54, 500, 000	1, 450, 000	3
DEPARTMENT Health and sanitation				
Sanitation and hygiene		11, 761, 361	483, 530	4
DEPARTMENT Trade, industrialisation and co-operatives				
Cooperative development		13, 500, 000	1, 640, 287	12
Market modernisation		99, 002, 628	16, 011, 933	16
DEPARTMENT Water, environment and natural resources				
Renewable energy technology		74, 355, 516	9, 651, 151	13
RECURRENT				
DEPARTMENT of Health and sanitation				
	Sanitation and hygiene	38, 429, 254	1, 070, 900	3
DEPARTMENT Trade, investments, industrialisation and SME				
	General administration and support services	86, 044, 626	16, 934, 204	20
DEPARTMENT Strategic partnerships and digital economy				
	Administrative and support services	51, 678, 603	11, 522, 068	22
DEPARTMENT County treasury				
	Administrative and support services	648, 685, 70	299, 685, 522	35
Department of Agriculture, Livestock, and Fisheries				
	General administration and support services	277, 164, 430	104, 608, 203	38

***Source**: Busia County Treasury*

The development sub-programmes with the lowest budget implementation rates were as follows: Infrastructural development in the Department of County assembly at 3 per cent, Sanitation and hygiene in the Department of Health and sanitation at 4 per cent, and Renewable energy technology in the Department of Water, environment, irrigation and natural resources at 13 per cent.

For recurrent sub-programmes, the poorest performers included: Sanitation and hygiene in the Department of Health and sanitation at 3 per cent, General administration and support services in the Department of Trade, Investment, industrialisation and SME at 20 per cent, and Administrative and support services in the Department of Strategic partnerships and digital economy at 22 per cent.

The low absorption was caused by dismal county funding for the programs, despite the outcomes outlined for each program.

3.4.18 Settlement of Trade Payables

As of 1st July 2025, the County reported trade payables totalling Kshs.3.27 billion. This amount consisted of Kshs.2.65 billion from the County Executive and Kshs.620.48 million from the County Assembly. The trade payables from the County Executive comprised Kshs.1.40 billion for recurrent expenditure and Kshs.1.26 billion for development expenditure. The trade payables from the County Assembly comprised Kshs.620.48 million for recurrent expenditure.

During the reporting period, the County Executive settled trade payables amounting to Kshs.542.21 million, comprising Kshs.221.66 million (40 per cent) for recurrent programmes and Kshs.320.55 million (60 per cent) for development programmes. On the other hand, the County Assembly settled trade payables amounting to Kshs.72.14 million for recurrent activities. The outstanding trade payables as of 31st March 2026 were Kshs.2.11 billion for the County Executive and Kshs.548.34 million for the County Assembly. Table 3.62 provides additional details of trade payables.

Table 3.62: Busia County Trade Payables as of 31st March 2026

		County Entity	Development (Kshs.)	Recurrent (Kshs.)	Total (Kshs.)
As at 1 July 2025 (End of FY 2024/25)	a	County Executive	1, 258, 115, 665	1, 395, 958, 621	2, 654, 074, 286
		County Assembly		620, 481, 377	620, 481, 377
		Total	1, 258, 115, 665	-	3, 274, 555, 663
Trade payables scheduled to be settled in the first nine months of FY 2025/26 per the action plan	b	County Executive	104, 842, 972	116, 329, 885	221, 172, 857
		County Assembly	-	51, 706, 781	51, 706, 781
		Total	104, 842, 972	168, 036, 666	272, 879, 638
Amount paid in the first nine months of FY 2025/26	c	County Executive	320, 550, 465	221, 662, 535	542, 213, 000
		County Assembly	-	72, 142, 834	72, 142, 834
		Total	320, 550, 465	293, 805, 369	614, 355, 834
Outstanding trade payables as of 31st March 2026	**e=a-c*b**	**County Executive**	**937, 565, 200**	**1, 174, 296, 086**	**2, 111, 861, 286**
		County Assembly	**-**	**548,338, 543**	**548, 338, 543**
		Total	**937, 565, 200**	**1, 722, 634, 629**	**2, 660, 199, 829**

Source: *Busia County Treasury*

The County Executive and the Assembly submitted a trade payables payment plan, committing to pay Kshs.116.33 million and Kshs.104.84 million on recurrent and development expenditure, respectively, in FY 2025/26. The County did not adhere to this payment plan, as it cleared Kshs.542.21 million for the Executive and Kshs.72.14 million for the Assembly.

Table 3.63 and Table 3.64 present the ageing of the total outstanding bills as of 31st March 2026 for the County Executive and Assembly, which were Kshs.2.11 billion.

Table 3.63: Busia County Executive Trade Payables Ageing Analysis as of 31st March 2026

Category	Ageing analysis (Amount in Kshs.)				Total
	Under one year	1-2 years	2-3 years	Over 3 years	
Development Trade Payables	**591, 152, 235**	**316, 983, 854**	**29, 429, 111**	**-**	**937, 565, 200**
Recurrent Trade Payables (Goods & Services)	538, 494, 021	368, 270, 512	207,548, 958	59, 982, 595	**1, 174, 296, 086**
Total Recurrent Trade Payables	538, 494, 021	368, 270, 512	207, 548, 958	59, 982, 595	**1, 174, 296, 086**
Total Trade Payables	**1, 129, 646, 256**	**685, 254, 366**	**236, 978, 069**	**59, 982, 595**	**2, 111, 861, 286**
% of Total	**53%**	**32%**	**11%**	**3%**	**100%**

Source: *Busia County Treasury*

Table 3.64: Busia County Assembly Trade Payables Ageing Analysis as of 31st March 2026

Category	Ageing analysis (Amount in Kshs.)				Total
	Under one year	1-2 years	2-3 years	Over 3 years	
Development Trade Payables	**-**	**-**	**-**	**-**	**-**
Recurrent Trade Payables (Goods & Services)	6, 837, 377	-	-	-	**6, 837, 377**
Salary Arrears and Statutory Deductions	190, 927, 605	340, 601, 237	-	-	**531, 528, 842**
Recurrent Trade Payables (Staff Claims)	9, 972, 324	-	-	-	**9, 972, 324**
Total Recurrent Trade Payables	207, 737, 306	304, 601, 237	-	-	**548, 338, 543**
Total Trade Payables	**1, 337, 383, 562**	**1,025,855,603**	**236, 978, 069**	**59, 982, 595**	**2, 660, 199, 829**
% of Total	**50%**	**39%**	**9%**	**2%**	**100%**

Source: *Busia County Treasury/County Assembly*

As shown in Table 3.63 and Table 3.64 , the total salary arrears and statutory deductions for trade payables amounted to Kshs 531.53 million, which represented 20 per cent of the total trade payables of Kshs 2.66 billion as of March 31, 2026.

3.4.19 General Observations and Recommendations

In the course of overseeing and reporting on the implementation of the Busia County budget, the CoB identified the following challenges, which hampered effective budget implementation;

i. The underperformance of own-source revenue at Kshs.508.26 million against an annual target of Kshs.999.46 million, representing 51 per cent of the financial year target.
ii. Low development performance in the review period as the County incurred Kshs.1.34 billion on development activities, achieving a 34 per cent absorption rate.
iii. Regulation 197(1)(i) of the Public Finance Management (County Governments) Regulations, 2015, limits the lifespan of public funds to 10 years unless extended by the County Assembly. As of 31st March 2026, the lifespans of three County-established Funds had lapsed, making them ineligible for further withdrawals.
iv. Fund Administrators failed to submit quarterly financial and non-financial reports to the CoB within the timelines provided by law, which is against the requirement of Section 168 of the PFM Act, 2012. The reports for all County Funds had not been submitted to the CoB as of 15 April 2026.
v. High level of trade payables, which amounted to Kshs.2.66 billion as of 31st March 2026. Furthermore, the County Treasury did not adhere to the trade payables payment plan.
vi. Use of manual payroll. Personnel emoluments amounting to Kshs.200.94 million for 26 staff not onboarded into the HRIS, and 450 casual staff were processed through manual payroll, accounting for 4 per cent of the total payroll cost. Manual payroll is prone to abuse and may result in the loss of public funds.
vii. Non-submission of copies of authorisation letters for opening commercial bank accounts as per Regulation 82(5) of the Public Finance Management (County Governments) Regulations, 2015.
viii. The County reported Kshs.194.38 million under "*other operating expenses - others,*" accounting for 13 per cent of total operation and maintenance costs. The review revealed that this category was misused to record items with specific budget codes, distorting the cost structure, reducing financial transparency, and weakening accountability in public fund management.

The County should implement the following recommendations to improve budget execution:

i. *The County should address its own-source revenue performance to ensure the approved budget is fully financed. Appropriate austerity measures should be implemented to ensure expenditure commitments are aligned with available revenue.*
ii. *The County should implement strategies to increase development expenditures in FY 2025/26.*
iii. *The County should ensure timely review and extension of public funds whose lifespans are nearing expiration or have lapsed to prevent operational disruptions. Additionally, any expenditure from*

lapsed funds should cease immediately, and legal mechanisms should be followed to re-establish or wind up such funds in compliance with the Public Finance Management Act.

iv. *The CECMF should follow up to ensure Fund Administrators prepare and submit statutory reports in line with the PFM Act, 2012.*

v. *The County Leadership should address the situation of trade payables to ensure that genuine bills are paid promptly in the remaining financial year. Further, compliance with the Trade Payables Action Plan should be enforced.*

vi. *The Government requires that salaries be processed through the HRIS system, and the County is advised to fast-track the acquisition of Unified Personnel Numbers for their staff. The County Public Service Board should regulate staff engagement on contract and casual workers as provided under Section 74 of the County Governments Act 2012. Furthermore, strict adherence to the approved staff establishment should be maintained.*

vii. *The County Treasury should ensure it submits copies of authorisation letters to the CoB for opening commercial bank accounts to enhance accountability and oversight.*

viii. *The County Treasury should adhere to the approved budget classification framework by ensuring that all expenditures are recorded under their specific budget codes rather than being aggregated under the "Other Operating Expenses" category.*

3.5. County Government of Elgeyo-Marakwet

3.5.1 Overview of FY 2025/26 Budget

The Elgeyo Marakwet County Approved Budget for FY 2025/26 is Kshs.8.85billion. It comprises Kshs.3.97 billion (45 per cent) and Kshs.4.88 billion (55 per cent) allocation for development and recurrent programmes, respectively. The budget estimates represent an increase of Kshs.949.74 million (12 per cent) from the FY 2024/25 budget, which comprised a development budget of Kshs.3.14 billion and a recurrent budget of Kshs.4.75 billion. The increase the budget was primarily attributed to the budgeting for additional allocation brought forward from previous financial years.

The budget is to be financed from various revenue sources. These include the equitable share of revenue raised nationally of Kshs.5.05 billion (57 per cent), additional allocations of Kshs.1.43 billion (16 per cent), a cash balance brought forward from FY 24/25 of Kshs.1.91 billion (22 per cent) and Kshs.457.42 million (5 per cent) generated as own-source revenue. A breakdown of the additional allocations is shown in Table 3.65.

3.5.2 Revenue Performance

During the first nine months of FY 2025/26, the County reported total revenues amounting to Kshs.6.14 billion. This amount represented an increase of 45 per cent compared to the amount received in a similar period in FY 2024/25 of Kshs.4.22 billion. The total revenue consisted of Kshs.3.64 billion from the equitable share of revenue raised nationally, additional allocations from the national government and development partners of Kshs.307.19 million, and own-source revenue (OSR) collection of Kshs.285.89 million. Additionally, the County had a cash balance of 1.91 billion from FY 2024/25. The total OSR collection of Kshs.285.89 million included Facilities Improvement Financing (FIF) of Kshs.230.11 million, and Kshs.55.78 million from other OSR sources. Table 3.65 summarises the total revenue available to the County Government during FY 2025/26.

Table 3.65: Elgeyo Marakwet County, Revenue Performance in the first nine months of FY 2025/26

No	Revenue Stream	Annual Targeted Revenue (Kshs.)	Actual Receipts (Kshs.)	Receivables in the first nine months of FY 2025/26 (Kshs.)	Total Revenues (in accrual basis) in the first nine months of FY 2025/26 (Kshs.)	Revenue Performance
		A	B	C	D	F=D/A*100
A	**Unspent Balance from FY 2024/25**					

No	Revenue Stream	Annual Targeted Revenue (Kshs.)	Actual Receipts (Kshs.)	Receivables in the first nine months of FY 2025/26 (Kshs.)	Total Revenues (in accrual basis) in the first nine months of FY 2025/26 (Kshs.)	Revenue Performance
		A	B	C	D	F=D/A*100
1	Balance at CRF	1,910,036,119	1,910,036,119	-	1,910,036,119	-
	Sub-Total	1,910,036,119	1,910,036,119	-	1,910,036,119	-
B	**Equitable Share of Revenue Raised Nationally**					
1		-	-	-	-	-
	Sub-Total					
C	**Transfers from the Equalisation Fund**					
1		5,049,704,514	3,639,996,830	-	3,639,996,830	29
	Sub-Total			-		
D	**Additional Allocations (Including Grants)**					
3	**Conditional Allocations from Loans and Grants**					
1	DANIDA	6,222,000	-	-	-	-
2	Kenya Livestock commercialization project	65,350,000	42,672,506.50	-	42,672,506.50	-
3	Food Systems Resilience Project (FSRP)	246,153,846	110,059,819.65	-	110,059,819.65	-
4	Financing Locally Led Climate Action Program (FLoCCA) CCRI Grant	79,818,750	80,480,503	-	80,480,503	-
5	Financing Locally Led Climate Action Program (FLoCCA) CCRI Grant	15,480,000	38,723,580	-	38,723,580	-
6	Financing Locally Led Climate Action Program (FLoCCA) CCIS Grant	1,560,900	-	-	-	-
7	Kenya Informal Settlement Improvement Program II -IDA	25,000,000	-	-	-	-
8	Kenya Informal Settlement Improvement Program II-IFAD	150,000,000	-	-	-	-
9	Kenya Urban Support Programme (KUSP)-UDG	16,770,000	-	-	-	-
10	Kenya Urban Support Programme (KUSP)-UIG	133,202,235	-	-	-	-
11	County Aggregated Industrial Park	250,000,000	-	-	-	-
12	Government Health Workers Salary arrears	15,685,017	-	-	-	-
13	Other Grants and Loans		-	-	-	-
14	KDSP-II Level 2 grant	352,500,000	-	-	-	-
15	KDSP-II Level 1 grant	37,500,000	35,253,471.15	-	35,253,471.15	-

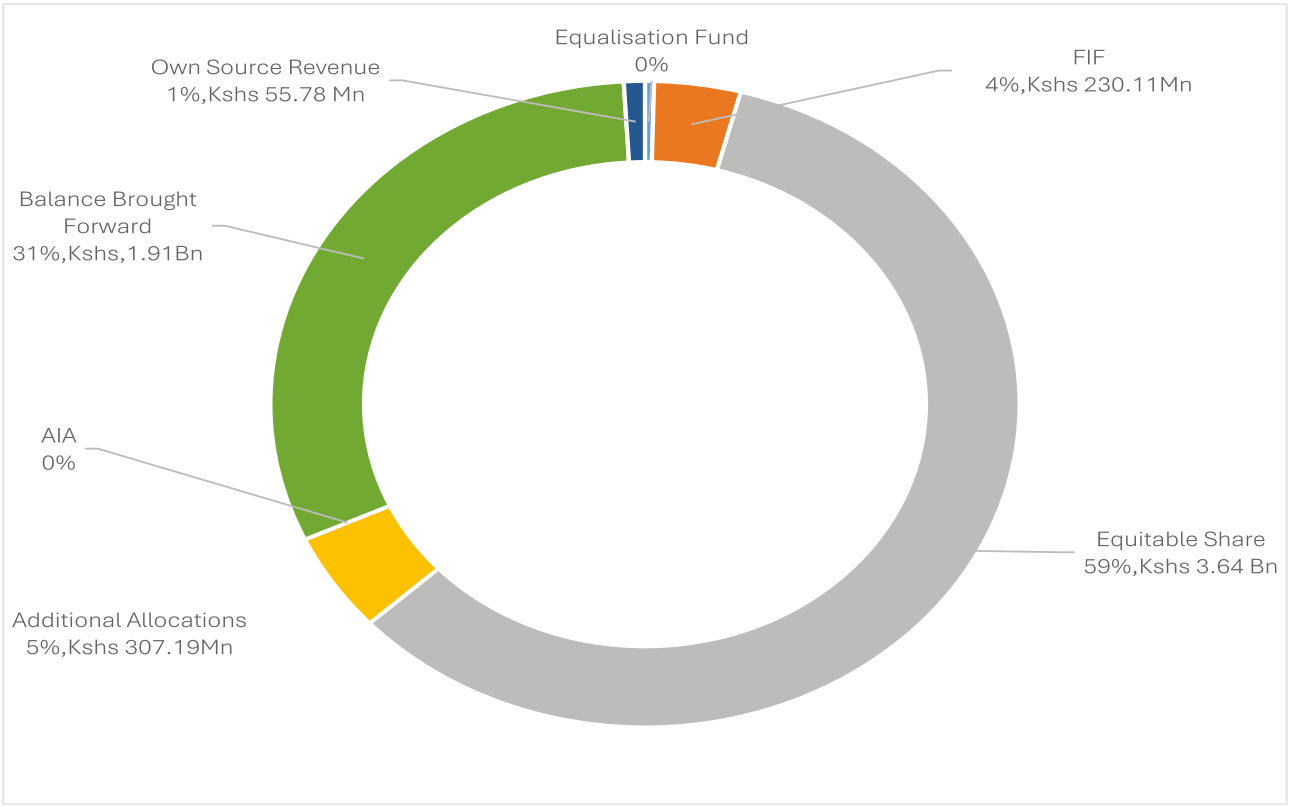
No	Revenue Stream	Annual Targeted Revenue (Kshs.)	Actual Receipts (Kshs.)	Receivables in the first nine months of FY 2025/26 (Kshs.)	Total Revenues (in accrual basis) in the first nine months of FY 2025/26 (Kshs.)	Revenue Performance
		A	B	C	D	F=D/A*100
16	Community Health Promoters	37,200,000	-	-	-	-
	Sub-Total	**1,432,442,748**	**307,189,880**		**307,189,880**	**21**
E	**Ordinary Own Source Revenue (OSR)**					
1		**107,429,872**	**55,780,819**	**180,870,226**	**55,780,819**	-
	Sub-Total	**107,429,872**	**55,780,819**		**55,780,819**	**52**
F	**Facility Improvement Fund/Financing (FIF)**					
1	SHIF	**245,000,000**	**156,239,538**	-	**156,239,538**	-
2	Defunct NHIF	**105,000,000**	**73,873,388**	-	**73,873,388**	-
	Sub-Total	**350,000,000**	**230,112,926**	-	**230,112,926**	**45**
	Total	**8,849,613,253**	**6,143,116,574**	-	**6,143,116,574**	69

Source: *Elgeyo Marakwet County Treasury*

The County has governing legislation on the operation of ordinary A-I-A and FIF.

Figure 3.25 provides a detailed breakdown of receipts.

Figure 3.25: Elgeyo Marakwet County Composition of Revenue in the first nine months of FY 2025/26

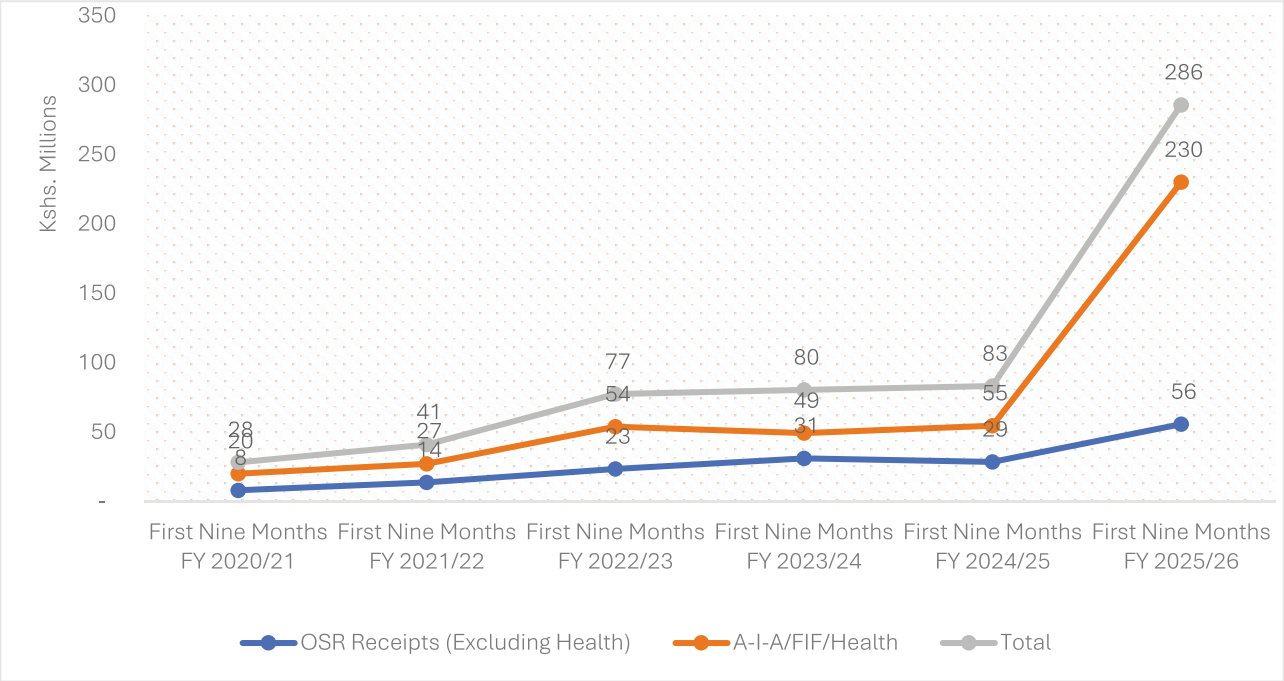


Source: *Elgeyo Marakwet County Treasury*

The equitable share of revenue raised nationally, Balance Brought Forward and Additional Allocations contributed 59 per cent, 31 per cent and 5 per cent, respectively, of the total receipts for the reporting period.

Figure 3.26 shows the collection trend in own-source revenue from the first nine months of FY 2020/21 to the first nine months of FY 2025/26.

Figure 3.26: Elgeyo Marakwet County Trend in Own-Source Revenue Collection from the first nine months of FY 2020/21 to the first nine months of FY 2025/26



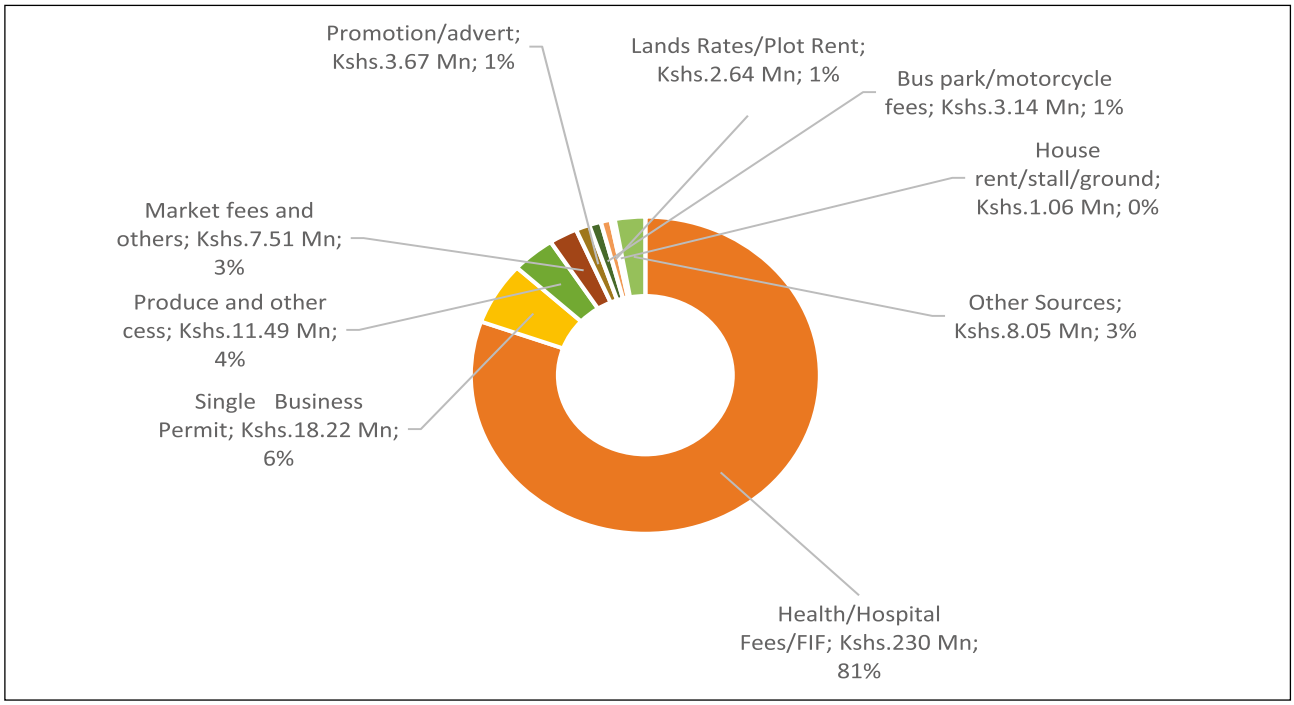
Source: *Elgeyo Marakwet County Treasury*

During the first nine months of FY 2025/26, the County received Kshs.285.89 million from OSR, including FIF. This amount was an increase of 10 per cent compared to Kshs.259.91 million realised in a similar period in FY 2024/25, and was 60 per cent of the annual target and 8 per cent of the equitable revenue share disbursed.

The increase in OSR was attributed to the automation of the main revenue streams.

The revenue streams that contributed the most to OSR receipts are shown in Figure 3.27.

Figure 3.27: Elgeyo Marakwet County Top Own Source Revenue Streams in the first nine months of FY 2025/26



Source*: Elgeyo Marakwet County Treasury*

As shown in Figure 3.27, the largest revenue stream, at Kshs.230 million, was Health/Hospital Fees/FIF, accounting for 81 per cent of total OSR receipts. The County Government indicated that it has automated 18 of 23 revenue streams. The system utilised for FIF revenue collection is A1 Health Management Information system, which has been in use since January 2023.

3.5.3 Revenue Receivables

As of 1st July 2025, the County reported revenue receivables of Kshs.173.12 million, which increased to Kshs.378.73 million as of 31st March 2026. The County manages its receivables manually, with an accrual-basis option.

Table 3.66 presents a breakdown of the County's revenue receivables.

Table 3.66: Elgeyo Marakwet County Revenue receivables as of 31st March 2026

No	Revenue Stream	Revenue receivables as of 1 July 2025 (Kshs.)	Progress made in the first nine months of FY 2025/26			Receivables as of 31st March 2026 (Kshs.)
			Waivers (Kshs)	Arrears paid in the financial year (Kshs)	Arrears earned in the first nine months of FY 2025/26 (Kshs)	
		a	b	c	d	f=a-b-c+d
D	**Ordinary Own Sources of Revenue**					
1	**Plot Rent**	**84,208,348**	**-**	**2,265,394**	**6,239,667**	**88,182,621**
2	**Land Rates**	**88,912,704**	**-**	**372,471**	**4,147,372**	**92,687,605**
3	-	-	-	-	-	-
	Sub-Total	**173,121,052**	**-**	**2,637,865**	**10,387,039**	**180,870,226**
E	**Facility Improvement Fund (FIF)**					
1	SHIF	-	-	**362,554,670**	**560,420,801**	**197,866,122**
	Sub-Total	-	-	**362,554,670**	**560,420,801**	**197,866,122**
Total		**173,121,052**	**-**	**365,192,535**	**570,807,840**	**378,736,348**

Source: *Elgeyo Marakwet County Treasury*

As of 31st March 2026, the revenue receivables totalled to Kshs.378.73 million, comprising Kshs.173.12 for FY 2024/25 (96 per cent). The measures instituted by the County to collect the outstanding arrears in FY 2025/26 include creating awareness among taxpayers through sensitisation and taking legal action.

3.5.4 Borrowing by the County

The Elgeyo Marakwet County did not report any borrowing during the period under review.

3.5.5 Withdrawals from the County Revenue Fund and County Assembly Fund

During the reporting period, the Controller of Budget approved exchequer withdrawal requests totalling Kshs.3.44 billion from the Elgeyo Marakwet County Revenue Fund (CRF) account. This amount consisted of Kshs.392.69 million (11 per cent) designated for development programs and Kshs.3.05 billion (89 per cent) allocated for recurrent programs.

An analysis of the released recurrent exchequers shows that Kshs.2.23 billion was allocated to employee compensation, and Kshs.814.98 million to operations and maintenance expenditures. Within the operations and maintenance category, 8 per cent was for domestic travel and 1 per cent for foreign travel. The domestic travel exchequers totalled Kshs.65.92million, which included Kshs.21.99, million for the County Executive and Kshs.43.93 million for the County Assembly. Meanwhile, the foreign travel exchequers amounted to Kshs.11.763 million, which was entirely for the County Assembly.

As of 31st March 2026, the County Government's cash balance in the Elgeyo Marakwet CRF account was Kshs.671.85 million.

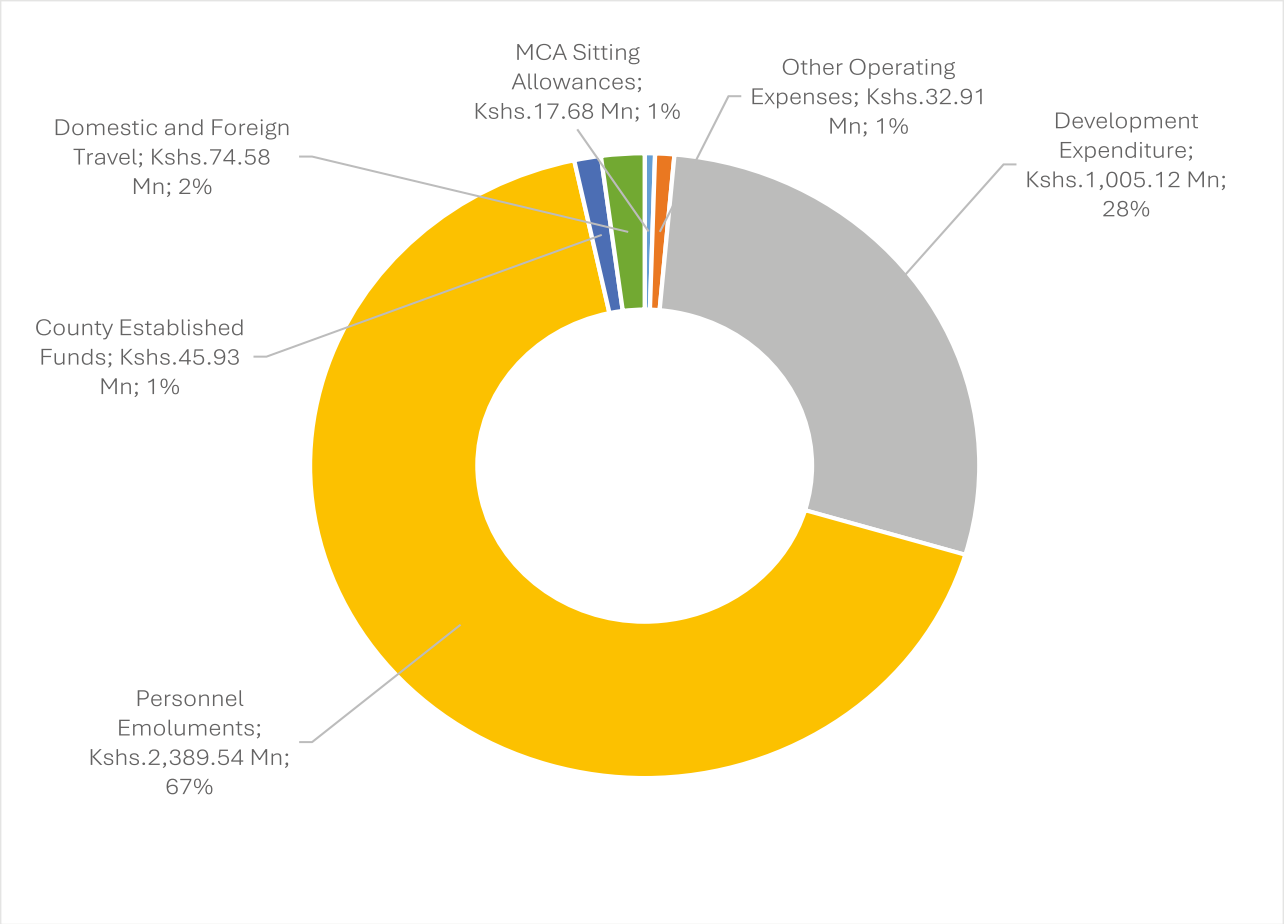
The Elgeyo Marakwet County had not operationalised the County Assembly Fund as of 31st March,2026..

3.5.6 Expenditure Review

The County spent Kshs.4 billion on development and recurrent programmes during the reporting period. The expenditure represented 116 per cent of the total funds released by the COB. It comprised Kshs.1.0 billion for development programmes and Kshs.3.0 billion for recurrent programmes. Expenditure on development programmes accounted for 25 per cent of the annual development expenditure budget, while recurrent expenditure accounted for 61 per cent of the annual recurrent expenditure budget.

Figure 3.28 provides a detailed breakdown of total expenditure.

Figure 3.28: Elgeyo Marakwet County Composition of Expenditure in the first nine months of FY 2025/26



***Source**: Elgeyo Marakwet County Treasury*

As shown in Figure 3.28, the three highest expenditure categories were Personnel Emoluments, Development Expenditure, and Domestic and Foreign Travel, contributing 67, 28 and 2 per cent of total expenditure for the reporting period.

3.5.7 Expenditure by Economic Classification

The County Executive incurred Kshs.2.16 billion in employee compensation, Kshs.377.72million in operations and maintenance, and Kshs.999.12 million in development activities. Similarly, the County Assembly spent Kshs.228.03 million on compensation of employees, Kshs.233.45 million on operations and maintenance, and Kshs.5.99 million on development activities, as shown in Table 3.67.

Table 3.67: Elgeyo Marakwet County Summary of Budget and Expenditure by Economic Classification

Expenditure Classification	Approved Budget (Kshs.) (a)(Mn)		Amount Paid in the first nine months of FY 2025/26 (Kshs.) (b) (Mn)		Expenditure Accrued in the first nine months of FY 2025/26 (Kshs.) (c)(Mn)		Total Expenditure in the first nine months of FY 2025/26 (Kshs.) (d=b+c)(Mn)		Absorption (%) (d/a*100(Mn)	
	Executive	Assembly	Executive	Assembly	Executive	Assembly	Executive	Assembly	Executive	Assembly
Total Recurrent Expenditure	**4,198.32**	**682.12**	**2,534.28**	**461.47**	**4,951.61**	**-**	**2,539.23**	**461.47**	**60**	**68**
Compensation of Employees	2,922.24	367.64	2,161.50	228.02	-	-	2,161.0	228.02	74	62
Operations and Maintenance	1,276.07	314.48	372.77	233.45	**4,951.61**	3.4	377.72	233.45	30	74
Development Expenditure	**3,942.145**	**26.87**	**562.77**	**1.2**	**436.35**	**-**	**999.12**	**5.99**	**25**	**22**
Total	**8,140.46**	**709**	**3,097.05**	**463.47**	**44.30**	**3,996.40**	**2,638.35**	**467.47**	**32**	**66**

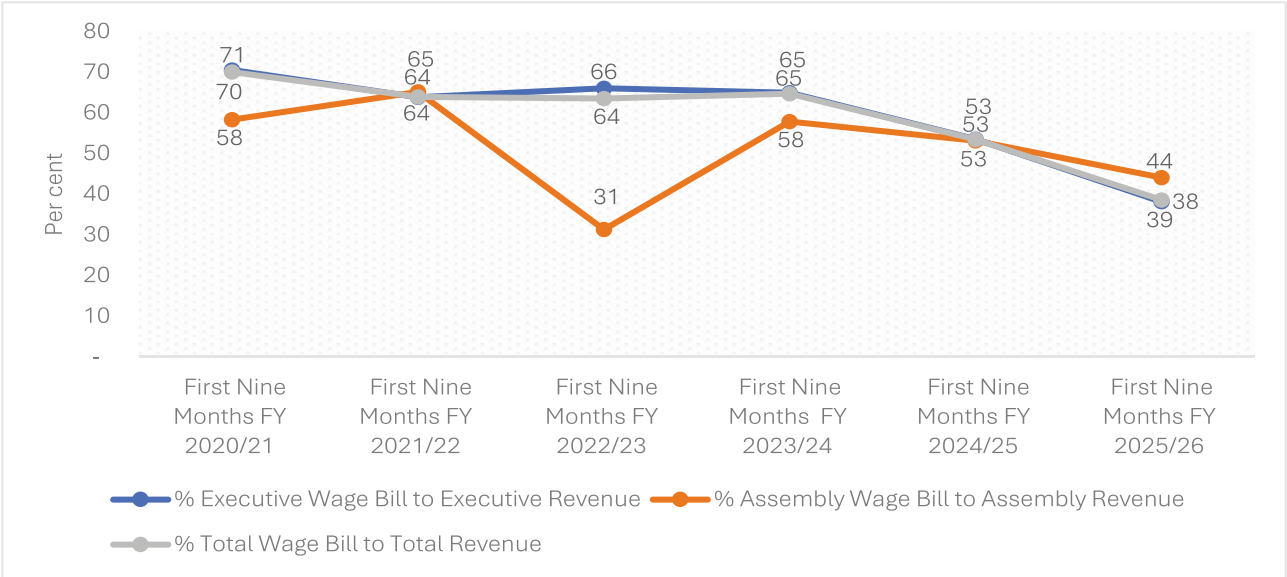
Source: *Elgeyo Marakwet County Treasury*

3.5.8 Expenditure on Employee Compensation

The expenditure on employee compensation totalled Kshs.2.39 billion, representing 62 per cent of revenue. This expenditure on employee compensation shows an increase compared to the Kshs.2.25 billion reported in a similar period in FY 2024/25. Of this total, Kshs.1.02 billion related to Health Sector employees, accounting for 43 per cent of the overall employees' compensation

Figure 3.29 shows the trend in employee compensation as a percentage of total revenue from the first nine months of FY 2020/21 to the first nine months of FY 2025/26.

Figure 3.29: Percentage of Employee Compensation Expenditure to Total Revenue Received in the first nine months of FY 2020/21 to the first nine months of FY 2025/26



Source: Elgeyo Marakwet County Treasury

Further analysis indicated that PE costs totalling Kshs.2.02 billion were processed through the Human Resource Information System (HRIS). In contrast, Kshs.160 million was processed through manual payroll, which accounted for 8 per cent of the total PE cost. The justification for the continued use of manual payroll was that the affected officers had not yet received PF Numbers; the manual payroll was also for officers employed on a casual basis

The manual payroll comprised salaries for 11 staff not onboarded into the Human Resource Information System (HRIS), salaries for 113 casual staff, and top-up allowances for security personnel, as shown in Table 3.68.

Table 3.68: Breakdown of Elgeyo Marakwet County Manual Payroll

Sno.	Description of Manual Payroll	Amount (Kshs.)
1	Salaries for staff yet to be onboarded into HRIS	142,972,339.70
2	Salaries for casual staff	13,547,249.05
3	Top-up Allowances for Security Officers	3,485,900
	Total	**160,005,489.75**

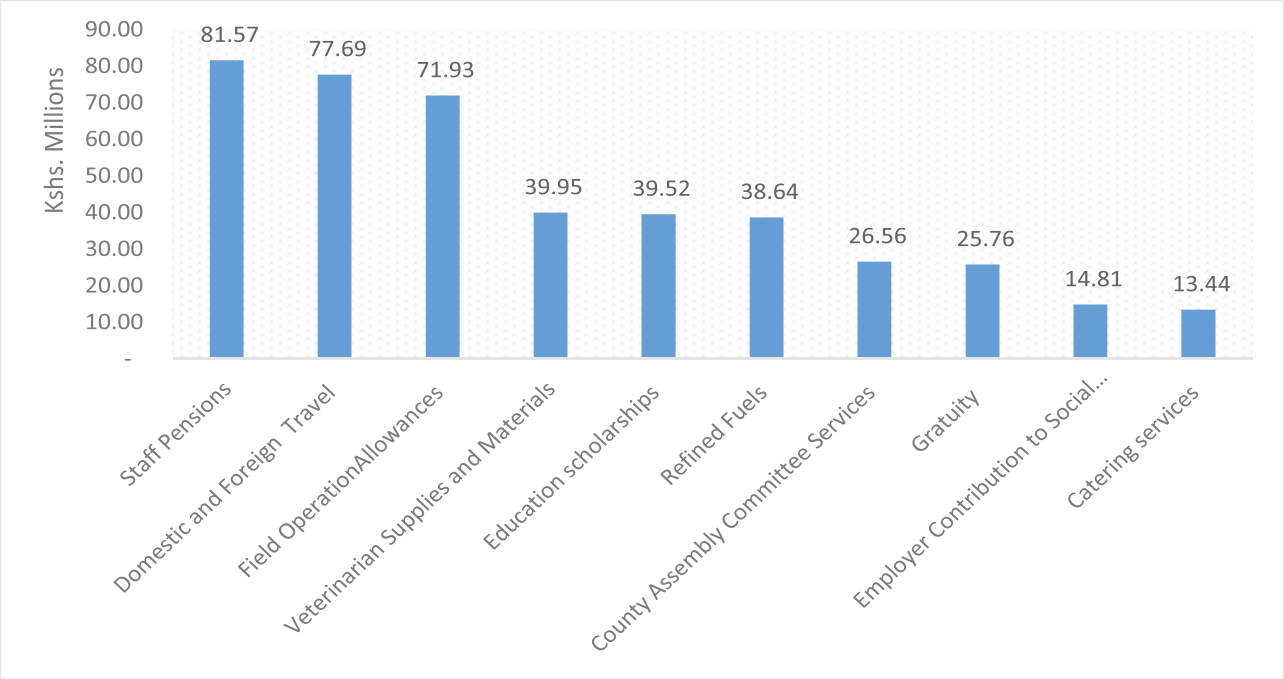
Source: Elgeyo Marakwet County Treasury

The County Assembly spent Kshs.17.68 million on committee sitting allowances for the 34 MCAs against the annual budget allocation of Kshs.30.31 million. The average monthly sitting allowance was Kshs.57,773 per MCA. The County Assembly has 18 House Committees.

3.5.9 Expenditure on Operations and Maintenance

During the reporting period, the County spent Kshs.611.17 million on operations and maintenance, representing an increase of 6 per cent compared to a similar period in FY 2024/25, when the County spent Kshs.572.02 million. Figure 3.30 illustrates the distribution of Operations and Maintenance expenditures across the major spending categories.

Figure 3.30: Elgeyo Marakwet County, Operations and Maintenance Expenditure by Major Categories



Source: *Elgeyo Marakwet County Treasury*

3.5.10 Unbundling "Other Operating Expenses" Under Operations and Maintenance Expenditures

The budget performance report for the first nine months of FY 2025/26 indicates that the County spent Kshs.0.13 million on "*other operating expenses*," which was 0.02 per cent of the total operations and maintenance expenditure of Kshs.611.17 million. The disaggregated items under the "*Other Operating Expenses*" category is shown in Table 3.69.

Table 3.69: Breakdown of "Other Operating Expenses" IFMIS Code 2211399 under O&M Expenditures

Code	Item	Budget (Kshs)	Expenditure (Kshs.)
2211399	Other Operating expenses	280,000	139,800
	Total	**280,000**	**139,800**

Source: *Elgeyo Marakwet County Treasury*

A review of the other expense items listed in the table revealed the following inconsistencies:

- *Several expenditure items were recorded with vague or generic descriptions, making it difficult to determine their nature and map them to the correct budget codes. For example, other operating expenses.*

3.5.11 County-Established Funds

Section 116 of the PFM Act 2012 allows County Governments to establish other public funds, subject to approval from the County Executive Committee and the County Assembly. The County allocated Kshs.117.92 million to County-Established funds in FY 2025/26, representing 1 per cent of the County's overall budget. Of this amount, the County allocated Kshs.2.70 million to the Emergency Fund in line with Section 110 of the PFM Act, 2012, accounting for 0 per cent of the total budget. Table 3.70 summarises each established Fund's budget allocation and performance during the reporting period.

Table 3.70: Performance of Elgeyo Marakwet County Established Funds in the first nine months of FY 2025/26

S/No.	Name of the Fund	Year Established	Approved Budget Allocation in FY 2025/26 (Kshs.)	Exchequer Issues in the first nine months of FY 2025/26 (Kshs.)	Actual disbursements in the first nine months of FY 2025/26 (Kshs.)	Cumulative disbursements to the Fund (Kshs)	Submission of Financial Statements (Yes/No.)
		County Executive Established Funds					
1	Elgeyo Marakwet County Education Fund	2015	115,223,109	-	104,099,874	643,706,836	Yes
2	Elgeyo Marakwet County Alcoholic Drinks Control Fund	2015	-	-	-	4,000,000	Yes
3	County Executive Car and Mortgage Loan Revolving Fund	2015	-	-	-	120,000,000	Yes
4	Emergency Fund	-	2,700,000	-	-	-	-
		County Assembly Established Funds					
1	Elgeyo Marakwet County Assembly MCA's and staff Car Loan and Mortgage Fund	2015	-	-	-	139,000,000	Yes
2	Elgeyo Marakwet (County Assembly) Catering Services Revolving Fund	2015	-	-	-	-	-
	Total	**-**	**117,923,109**	**-**	**-**	**816,606,962**	**-**

Source: *Elgeyo Marakwet County Treasury*

Regulation 197(1)(i) of the Public Finance Management (County Governments) Regulations, 2015, allows County Governments to establish public funds with a lifespan capped at 10 years unless extended by the County Assembly. In FY 2025/26, the CoB determined that the lifespan of the Elgeyo Marakwet County Education Fund, the Elgeyo Marakwet County Alcoholic Drinks Control Fund, the County Executive Car and Mortgage Loan Revolving Fund, the Elgeyo Marakwet County Assembly MCA's and staff Car Loan and Mortgage Fund and the Elgeyo Marakwet (County Assembly) Catering Services Revolving Fund had lapsed. Consequently, the COB did not approve any withdrawal requests to support the operations of the lapsed funds.

3.5.12 County Municipalities, Corporations, and other Agencies

The County has two County Corporations, which were allocated Kshs.52.47 in FY 2025/26.

Table 3.71: Performance of Elgeyo Marakwet County Corporations in the first nine months of FY 2025/26

S/No.	Name of the Corporation	Approved Budget Allocation in FY 2025/26 (Kshs.)	Exchequer Issues (Kshs.)	Actual Transfers in the first nine months of FY 2025/26 (Kshs.)	Cumulative Transfers to the Corporation since its inception (Kshs.)
	ITWASCO	42,477,000	-	-	-
	CHEMAWASCO	10,000,000	-	-	-
	Total	**52,477,000**	-	-	-

Source: *Elgeyo Marakwet County Treasury*

3.5.13 Expenditure on Domestic and Foreign Travel

Expenditure on domestic travel amounted to Kshs.65.92 million and comprised Kshs.43.93 million spent by the County Assembly and Kshs.21.98 million by the County Executive. Expenditure on foreign travel amounted to Kshs.11.76 million and comprised Kshs.11.76 million by the County Assembly. Expenditure on foreign travel is summarised in Table 3.72.

Table 3.72: Summary of Expenditure on Foreign Travel in the first nine months of FY 2025/26

Arm of County Government	Number of Officers Travelled	Date travelled	Purpose of the travel	Destination	Actual Payment on Travel (a) (Kshs.)	Accrued Expenditure on Travel (b) (Kshs.)	Total Expenditure on Travel (c=a+b) (Kshs.)
County Assembly	15	14th -20th September 2025	Facilitating During the Study Visit to the Rwanda Cooperation	Rwanda	4,906,988	-	-
County Assembly	21	5th -10th November 2025	Facilitating During the Study Visit to the Rwanda Cooperation	Rwanda	6,856,963	-	-
Total					**11,763,951**		

Source: Elgeyo Marakwet County Treasury and Elgeyo Marakwet County Assembly

3.5.14 Facility Improvement Financing

During the review period, the County reported collections of Kshs.230.11 million as FIF, which was 66 per cent of the annual target of Kshs.350 million. The collected amount was retained and utilised at source in line with the Facility Improvement Financing Act, 2023. The County has not developed regulations to operationalise the FIF Act of 2023.

The expenditure by the health facilities amounted to Kshs.232,790,356.59 million, as shown in Table 3.73.

Table 3.73: Elgeyo Marakwet County Health Facilities Expenditure Performance in the first nine months of FY 2025/26

No.	Health Facility	Number of Facilities	Approved Budget (Kshs.)	Actual Expenditure (Kshs.)	Absorption rate (%)
1.	Level 5 Hospital	1	252,598,165	162,064,846.50	64
2.	Level 4 Hospital	2	47,136,203	33,215,472.21	70
3.	Level 3 Facility	38	46,265,632	34,284,049.38	74
4.	Level 2 Facility	87	-	-	-

No.	Health Facility	Number of Facilities	Approved Budget (Kshs.)	Actual Expenditure (Kshs.)	Absorption rate (%)
5	Public Health	-	4,000,000	3,225,988.50	81
	Total		**350,000,000**	**232,790,357**	

Source: *Elgeyo Marakwet County Treasury*

3.5.15 Development Expenditure

In the review period, the County reported spending Kshs.1.0 billion on development programmes, representing an increase of 37 per cent compared to FY 2024/25, when the County spent Kshs.733.84 million. Table 3.74 summarises the development projects with the highest expenditure in the reporting period.

The increase in development expenditure was attributed to the utilisation of in the special funds accounts

Table 3.74: Elgeyo Marakwet County, List of Development Projects with the Highest Expenditure

No	Sector	Project Name	Project Location	Project Commencement Date	Expected date of Completion of the Project	Contract sum (Kshs) (Mn)	Total Funding in FY 2025/26 (Kshs.) (Mn)	Expenditure (on an accrual basis) in the first nine months of FY 2025/26 (Kshs.) (Mn)	Cumulative project expenditure (on an accrual basis) as of 31st March 2026 (Kshs.) (Mn)	Percentage (%) of Completion
County Funded Projects										
1	Roads & Public Works	purchase of low loader(-semi-Trailer)	County	07/01/2025	14/01/2026	5.3	5.3	5.3	5.3	100%
2	Education & TT	chesongoch VTC Administartion Block and Equipment	Endo	04/10/2025	07/12/2025	4.48	4.5	4.48	4.48	100%
3	Education & TT	Kapkei VTC Administration Block and workshop	Emsoo	28/04/2025	28/07/2025	3.99	4.0	3.78	3.78	95%
4	Roads & Public Works	Katgok- cheptuiya road	Kapsowar	07/01/2025	01/10/2026	3.34	3.44	3.34	3.34	97%
Donor Funded Projects										
1	Lands,PP,H&UD	Kenya Informal Settlement Improvement (KISIP II)	County	-	-	466.01	466.31	161.04	161.04	35%
2	Agriculture& Livestock	Food Systems Resilience Project (FSRP)	County	-	-	110.05	173.07	110.05	110.05	64%
3	Lands,PP,H&UD	Kenya Urban Support Programme (KUSP) UIG	County	-	-	1.65	35	1.65	1.65	5%

Source: *Elgeyo Marakwet County Treasury*

The County reported two stalled development projects as of 31st March 2026, with an estimated value of Kshs.98.73 million, of which Kshs.60.78 has already been paid. The stalled projects are shown in Table 3.75.

Table 3.75: Elgeyo Marakwet County Stalled Projects as of 31st March 2026

No	Sector	Project Name	Project Location	Project Start Date	Expected Completion Date of the Project	Estimated Value of the Project (Kshs.)	Amount Paid on the stalled project (Kshs.)	Accrued Expenditure on the stalled project (Kshs.)	Outstanding Unpaid Balance As of 31st March 2026	Percentage of Completion before stalling of the Project
1		Kamariny Stadium	Kamariny Ward	-	-	46,000,000	46,000,000	-	-	5
2		Governor's Official Residence	Kamariny Ward	-	-	52,739,516	14,787,937	37,951,581	-	5

Source: *Elgeyo Marakwet County Treasury*

3.5.16 Budget Performance by Department

Table 3.76 summarises the approved budget allocation, expenditure, and absorption rate by department for the period under review.

Table 3.76: Elgeyo Marakwet County, Budget Allocation and Absorption Rate by Department in the first nine months of FY 2025/26

Department	Revised Budget Allocation (Kshs.Million)		Exchequer Received (Kshs.Million)		Expenditure (Kshs.Million)		Expenditure to Exchequer (%)		Absorption rate (%)	
	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev
County Assembly	682,127,598	26,872,402	475,096,549	1,997,723	456,604,766	1,997,723	18,491,783		67	-
Office of the Governor & Administration	154,970,028	867,825	119,998,115.35	-	111,165,610	-	8,832,505.35		72	-
Finance & Economic planning	233,217,089	2,700,000	161,849,805.50	-	178,502,209	-	(16,652,403.50)		77	-
Agriculture Livestock and Fisheries	266,753,125	698,923,122	154,683,478.20	-	147,270,638	160,455,851	7,412,840.20		55	23
Environment and Water	63,798,949	667,007,468	77,002,669.25	115,904,394.65	41,957,278	31,420,435	35,045,391.25		66	5
Education and Technical Training	452,101,451	281,729,426	358,066,896.60	152,043,441.50	322,829,848	21,575,036	35,237,048.60		71	3
Health Services	2,115,547,025	604,300,799	985,580,912.80	16,920,066	1,162,710,259	71,096,948	(177,129,346.20)		55	12
Lands, Housing & planning	104,627,885	881,315,595	166,069,123.45	11,247,351	55,262,254	254,072,445	110,806,869.45		53	29
Roads, public works & Transport	191,486,144	222,841,244	96,988,153.85	19,535,000	106,681,314	24,148,710	(9,693,160.15)		56	3
Trade, Tourism, Cooperatives & Wildlife	81,150,411	538,348,154	49,951,040	23,189,410	59,928,118	-	(9,977,078)		74	-
Youth, Sports, Culture, Gender & ICT	98,047,543	30,611,740	49,156,341	-	31,875,799	-	17,280,542		33	-
Public service Mgt & Adm	373,958,322	13,500,000	176,331,942.15	-	280,091,817	-	(103,759,874.85)		75	-
County Public Service Board	62,809,907	-	410,547,475.85	-	36,009,844	-	374,537,631.85		57	-
County Assembly		-	-	-	-	-	-	-	-	-
	4,880,595,477	**3,969,017,775**	**3,281,322,503**	**340,837,386.15**	**2,990,889,754**	**564,767,149**	**290,432,749**		**61**	**14**

Source*: Elgeyo Marakwet County Treasury*

Analysis of expenditure by departments shows that the Department of Lands, Housing and Planning recorded the highest absorption rate of development budget at 29 per cent, followed by the Department of Agriculture at 23 per cent. The Department of Finance and Economic Planning had the highest percentage

of recurrent expenditure to budget at 77 per cent, while the Department of Youth, Sports and Culture had the lowest at 33 per cent.

3.5.17 Budget Execution by Programmes and Sub-Programmes

Budget execution was concentrated in selected performance bands. In the 1–10 per cent band, development absorption was reported for health services under the Department of Health Services at 1 per cent, for livestock extension and training services under the Department of Agriculture, Livestock, Fisheries and Irrigation at 2 per cent, for livestock disease control under the same department at 4 per cent, for water services under the Department of Water, Environment and Climate Change at 4 per cent, and for community and environmental health under the Department of Health Services at 5 per cent. Recurrent absorption was reported for sports infrastructure development at 1 per cent and for Wezesha at 2 per cent under the Department of Sports, Youth Affairs and Social Services.

In the 11–20 per cent band, development absorption was reported for pre-primary infrastructure development under the Department of Education and Technical Training at 15 per cent, for crop commercialization under the Department of Agriculture, Livestock, Fisheries and Irrigation at 20 per cent, and for urban infrastructure under the Department of Lands, Physical Planning and Urban Development at 20 per cent, while recurrent absorption was recorded for trade and enterprise development under the Department of Cooperatives, Trade, Industrialisation, Tourism and Wildlife at 14 per cent and for livestock commercialisation at 15 per cent.

In the 21–30 per cent band, development absorption was reported for county public land management under the Department of Lands, Physical Planning and Urban Development at 27 per cent, while recurrent absorption was recorded for revenue management services under the Department of Finance and Economic Planning at 30 per cent. In the 31–40 per cent band, development absorption was reported for energy under the Department of Lands, Physical Planning and Urban Development at 33 per cent.

In the 81–90 per cent band, recurrent absorption was reported for public works under the Department of Roads, Transport and Public Works at 86 per cent, for general administration and support services under the Department of Public Service, Administration, Devolution, Communication and E-Governance at 83 per cent, and for VTC infrastructure development under the Department of Education and Technical Training at 82 per cent. In the 90–100 per cent band, recurrent absorption reached 99 per cent for livestock disease control and 94 per cent for breeding under the Department of Agriculture, Livestock, Fisheries and Irrigation.

Low absorption in the lower performance bands was attributed to the late approval of the supplementary budget. Conversely, performance in the higher bands was attributed to the timely disbursement of funds and the prioritisation of the respective sub-programmes during the review period.

Table 3.77 summarises budget execution by programmes and sub-programmes in the period under review with the highest absorption rates.

Table 3.77: Budget Execution by Programmes and Sub-Programmes with Highest Absorption Rates

Programme	Sub-Programme	Gross Approved Estimates FY 2025/26 (Kshs.)	Expenditure (including accrued expenditure) as of 31st March 2026 (Kshs.)	Absorption Rate (%)
		Dev	Dev	Dev
DEVELOPMENT				
DEPARTMENT Lands,Physical plannng and Urban Development				
Energy	204014360 Energy	15,399,008	5,035,000	33%
DEPARTMENT Lands,Physical plannng and Urban Development				
County Public Land Management	413014360 County Public Land Management	54,500,000	14,500,000	27%
DEPARTMENT Lands,Physical plannng and Urban Development				

Programme	Sub-Programme	Gross Approved Estimates FY 2025/26 (Kshs.)	Expenditure (including accrued expenditure) as of 31st March 2026 (Kshs.)	Absorption Rate (%)
		Dev	Dev	Dev
Urban Infrastructure	415014360 Urban Infrastructure	809,514,688	162,700,949	20%
DEPARTMENT Agriculture, Livestock, Fisheries and Irrigation				
0102004364 P2 Crop Development	0102044360 SP 2.4 Crop commercialization	9,616,010	1,878,850	20%
DEPARTMENT EDUCATION AND TECHNICAL TRAINNING				
Pre-primary Infrastructure Development	Pre-primary Infrastructure Development	147,214,190	21,575,036	15%
RECURRENT				
DEPARTMENT Agriculture, Livestock, Fisheries and Irrigation				
106004360 P4 Livestock Development	0108034360 SP 8.3 Livestock Disease Control	37,247,353	36,949,560	99%
DEPARTMENT Agriculture, Livestock, Fisheries and Irrigation				
106004360 P4 Livestock Development	0108044360 SP 8.4 Breeding	3,200,000	3,000,000	94%
DEPARTMENT ROADS, TRANSPORT & PUBLIC WORKS				
203014359 SP 3.1 Public Works	0203014360 SP 3.1 Public Works	900,000	776,300	86%
DEPARTMENT Public Service, Administration, Devolution ,Communication and E-Governance				
General administration and support services	General administration and support services	336,458,322	280,091,815	83%
DEPARTMENT EDUCATION AND TECHNICAL TRAINNING				
VTC Infrastructure Development	VTC Infrastructure Development	9,500,001	55,505,074	82%

***Source**: Elgeyo Marakwet County Treasury*

The development sub-programmes with the highest budget implementation rates were: Energy in the Department of Lands, Physical Planning and Urban Development at 33 per cent, County Public Land Management in the Department of Lands, Physical Planning and Urban Development at 27 per cent, and Urban Infrastructure in the Department of Lands, Physical Planning and Urban Development at 27 per cent.

For recurrent sub-programmes, the top performers included: Livestock Disease Control in the Department of Agriculture, Livestock, Fisheries and Irrigation at 99 per cent, Breeding in the Department of Agriculture, Livestock, Fisheries and Irrigation at 94 per cent, and Public Works in the Department of Roads, Transport & Public Works at 86 per cent.

The higher performance of these programmes can be attributed to the timely disbursement of funds

Table 3.78 summarises the budget execution by programmes and sub-programmes in the period under review that had the lowest absorption rates.

Table 3.78: Budget Execution by Programmes and Sub-Programmes with Lowest Absorption Rates

Programme	Sub-Programme	Gross Approved Estimates FY 2025/26 (Kshs.)	Expenditure (including accrued expenditure) as of 31st March 2026 (Kshs.)	Absorption Rate (%)
		Dev	Dev	Dev
DEVELOPMENT				
DEPARTMENT HEALTH SERVICES				
Health Services	0417014360 Health Services	464,681,894	6,778,266	1

Programme	Sub-Programme	Gross Approved Estimates FY 2025/26 (Kshs.)	Expenditure (including accrued expenditure) as of 31st March 2026 (Kshs.)	Absorption Rate (%)
		Dev	Dev	Dev
DEPARTMENT Agriculture, Livestock, Fisheries and Irrigation				
106004360 P4 Livestock Development	0106024360 SP 6.2 Livestock Extension and Training Services	107,300,000	1,799,680	2
DEPARTMENT Agriculture, Livestock, Fisheries and Irrigation				
106004360 P4 Livestock Development	0108034360 SP 8.3 Livestock Disease Control	13,909,803	544,895.35	4
DEPARTMENT Water Environment & Climate Change				
Water Services	409014360 Water Services	307,318,719	12,513,376	4
DEPARTMENT HEALTH SERVICES				
Public Health	0407014360 Community and Environmental Health	139,618,906	6,747,995	5
RECURRENT				
DEPARTMENT Sports, Youth Affairs and Social Services				
General administration and support services	302014360 Sports Infrastructure Development	25,061,551	129,800	1
DEPARTMENT Sports, Youth Affairs and Social Services				
General administration and support services	309034360 Wezesha	16,012,300	325,500	2
DEPARTMENT Cooperatives, Trade, Industrialisation, Tourism and Wildlife				
Trade and enterprise development	0111014360 Trade and enterprise development	500,000	70,000	14
DEPARTMENT Agriculture, Livestock, Fisheries and Irrigation				
106004360 P4 Livestock Development	0106034360 SP 6.4 Livestock Commercialisation	48,383,728	7,489,900	15
DEPARTMENT Finance and Economic Planning				
0505004360 P 5.1 General administration and support services	0506054360 Revenue Management Services	8,346,464	2,479,068	30

***Source**: Elgeyo Marakwet County Treasury*

The development sub-programmes with the lowest budget implementation rates were as follows: Health Services in the Department of Health Services at 1 per cent, Livestock Extension and Training Services in the Department of Agriculture, Livestock, Fisheries and Irrigation at 2 per cent, and Livestock Disease Control in the Department of Agriculture, Livestock, Fisheries and Irrigation at 4 per cent.

For recurrent sub-programmes, the poorest performers included: Sports Infrastructure Development in the Department of Sports, Youth Affairs and Social Services at 1 per cent, Wezesha in the Department of Sports, Youth Affairs and Social Services at 2 per cent, and Trade and enterprise development in the Department of Cooperatives, Trade, Industrialisation, Tourism and Wildlife at 14 per cent.

These lower performances can be attributed to late approval of the supplementary budget

3.5.18 Settlement of Trade Payables

As of 1st July 2025, the County reported trade payables totalling Kshs.17.49 million. This amount consisted of Kshs.17.49 million from the County Executive. The trade payables from the County Executive comprised Kshs.8.41 million for recurrent expenditure and Kshs.9.07 million for development expenditure.

During the reporting period, the County Executive settled trade payables amounting to Kshs.8.77 million, comprising Kshs.2.11 million (24 per cent) for recurrent programmes and Kshs.6.66 million (76 per cent) for development programmes. On the other hand, the County Assembly did not have trade payables during the reporting period. The outstanding trade payables as of 31st March 2026 were Kshs.8.71 million for County Executive. Table 3.79 provides additional details of trade payables.

Table 3.79: Elgeyo Marakwet County Trade Payables as of 31st March 2026

		County Entity	Development (Kshs.)	Recurrent (Kshs.)	Total (Kshs.)
As at 1 July 2025 (End of FY 2024/25)	a	County Executive	9,074,260	8,418,682	17,492,942
		County Assembly	-	-	-
		Total	9,074,260	8,418,682	17,492,942
Trade payables scheduled to be settled in the first nine months of FY 2025/26 per the action plan	b	County Executive	6,661,261	2,112,995	8,774,256
		County Assembly	-	-	-
		Total	6,661,261	2,112,995	8,774,256
Amount paid in the first nine months of FY 2025/26	c	County Executive	6,661,261	2,112,995	8,774,256
		County Assembly	-	-	-
		Total	6,661,261	2,112,995	8,774,256
Trade Payables Incurred in the First Nine Months of FY 2025/26	d	County Executive	-	-	-
		County Assembly	-	-	-
		Total	-	-	-
Outstanding trade payables as of 31st March 2026	**e = a - c*b**	**County Executive**	**2,412,999**	**6,305,687**	**8,718,686**
		County Assembly	**-**	**-**	**-**
		Total	**2,412,999**	**6,305,687**	**8,718,686**

Source: *Elgeyo Marakwet County Treasury*

The County Executive submitted a trade payables payment plan, committing to pay Kshs.2.11 million and Kshs.6.66 million on recurrent and development expenditure, respectively, in FY 2025/26. The County adhere to this payment plan, as it cleared Kshs.8.77 million for the Executive.

Table 3.80 present the ageing of the total outstanding bills as of 31st March 2026 for the County Executive.

Table 3.80: Elgeyo Marakwet County Executive Trade Payables Ageing Analysis as of 31st March 2026

Category	Ageing analysis (Amount in Kshs.)				Total
	Under one year	1-2 years	2-3 years	Over 3 years	
Development Trade Payables	213,000	2,199,999	-	-	2,412,999
Recurrent Trade Payables (Goods & Services)	-	-	-	-	-
Recurrent Trade Payables (Salary Arrears and Statutory Deductions)	-	-	-	-	-
Recurrent Trade Payables (Staff Claims)	-	-	-	-	-
Total Recurrent Trade Payables	-	-	-	-	-
Total Trade Payables	-	2,199,999	-	-	2,412,999
% of Total	-	91	-	-	100

Source: *Elgeyo Marakwer County Treasury*

3.5.19 General Observations and Recommendations

In the course of overseeing and reporting on the implementation of the Elgeyo Marakwet County budget, the CoB identified the following challenges, which hampered effective budget implementation;

i. The County reported receivables of Kshs.378.73 million, comprising Kshs.180.87 million for ordinary OSR (Land rates and plot rates) and FIF arrears of Kshs 197.86 million (SHIF, and NHIF).These receivables limited funding for County activities in the review period.

ii. Regulation 197(1)(i) of the Public Finance Management (County Governments) Regulations, 2015, limits the lifespan of public funds to 10 years unless extended by the County Assembly. As of 31st March 2026, the lifespan of the Elgeyo Marakwet County Executive Car and Mortgage Revolving Fund, Elgeyo Marakwet County Education Fund, Elgeyo Marakwet County Alcoholic Drinks Control Fund, Elgeyo Marakwet County Assembly MCA's and Staff Cal Loan and Mortgage Fund, and the

Elgeyo Marakwet (County Assembly) Catering Services Revolving Fund had lapsed, making them ineligible for further withdrawals.

iii. The County Treasury's late submission of financial reports to the Controller of Budget affected the timely preparation of the budget implementation report, which was received on 24th April, 2026

iv. Non-submission of copies of authorisation letters for opening commercial bank accounts as per Regulation 82(5) of the Public Finance Management (County Governments) Regulations, 2015

The County should implement the following recommendations to improve budget execution:

i. The County needs to develop strategies to collect these outstanding arrears to improve budget implementation.

ii. The County should ensure timely review and extension of public funds whose lifespans are nearing expiration or have lapsed to prevent operational disruptions. Additionally, any expenditure from lapsed funds should cease immediately, and legal mechanisms should be followed to re-establish or wind up such funds in compliance with the Public Finance Management Act.

iii. The County Treasury should ensure the timely preparation and submission of financial reports to the Office of the Controller of Budget per the timelines prescribed in section 166 of the PFM Act,2012

iv. The County Treasury should ensure it submits copies of authorisation letters to the CoB for opening commercial bank accounts to enhance accountability and oversight.

3.6. County Government of Embu

3.6.1 Overview of FY 2025/26 Budget

The Embu County Approved Budget for FY 2025/26 is Kshs.8.99 billion. It comprises Kshs.3.32 billion (37 per cent) and Kshs.5.67 billion (63 per cent) allocations for development and recurrent programmes, respectively. The budget estimates represent an increase of Kshs.456.70 million (5 per cent) from the FY 2024/25 budget, which comprised a development budget of Kshs.2.82 billion and a recurrent budget of Kshs.5.71 billion. The increase in the budget was primarily attributed to the rise in the balances brought forward from FY 2024/2025.

The budget is to be financed from various revenue sources. These include; the equitable share of revenue raised nationally of Kshs.6.08 billion (68 per cent), additional allocations of Kshs.981.40 million (11 per cent), a cash balance of Kshs.566.92 million (6 per cent) brought forward from FY 2024/25, and Kshs.1.36 billion (15 per cent) to be received as own-source revenue. A breakdown of the additional allocations is shown in Table 3.81.

3.6.2 Revenue Performance

During the first nine months of FY 2025/26, the County reported total revenues amounting to Kshs.5.76 billion. This amount represented an increase of 31 per cent compared to the amount received in a similar period in FY 2024/25 of Kshs.4.38 billion. The total revenue consisted of Kshs.4.04 billion from the equitable share of revenue raised nationally, additional allocations from the national government and development partners of Kshs.294.50 million, and own-source revenue (OSR) collection of Kshs.855.92 million. Additionally, the County had a cash balance of Kshs.566.92 million from FY 2024/25. The total OSR collection of Kshs.855.92million included Facilities Improvement Financing (FIF) of Kshs.591.77 million, and Kshs.264.15 million from other OSR sources. Table 3.81 summarises the total revenue available to the County Government during FY 2025/26.

Table 3.81: Embu County, Revenue Performance in the first nine months of FY 2025/26

No	Revenue Stream	Annual Targeted Revenue (Kshs.)	Actual Receipts (Kshs.)	Receivables in the first nine months of FY 2025/26 (Kshs.)	Total Revenues (in accrual basis) in the first nine months of FY 2025/26 (Kshs.)	Revenue Performance
		A	B	C	D	F=D/A*100
A	**Unspent Balance from FY 2023/24**					
1	Balance at CRF	566,898,131	566,898,131	566,898,131	566,898,131	100
2	County Executive Refunds to CRF	14,916	14,916	14,916	14,916	100
3	County Assembly Refunds to CRF	4,479	4,479	4,479	4,479	100
	Sub-Total	566,917,526	566,917,526	566,917,526	566,917,526	
B	**Equitable Share of Revenue Raised Nationally**					
1	Equitable S	6,077,441,672	4,041,498,711	4,041,498,711	4,041,498,711	66
	Sub-Total	6,077,441,672	4,041,498,711	4,041,498,711	4,041,498,711	
	Sub-Total					
C	**Additional Allocations (Including Grants)**					
I	**Unconditional Additional Allocations to County Governments**					
A	Allocations for Court Fines	2,142	-	-	-	-
B	Allocations for 20% Share of Mineral Royalties	-	-	-	-	-
A	Settlement of Doctors' Salary Arrears	32,801,231	-	-	-	-
B	Community Health Promoters (CHPs) Programme	60,300,000	-	-	-	-
C	Conditional Allocation for Kenya Nutrition Support Grant	5,000,000	-	-	-	-
II	**Conditional Allocations from Loans and Grants**					
1	(IFAD) Loan for the Aquaculture Business Development Project (ABDP)	10,020,000	-	-	-	-
2	Financing of FLLoCA County Climate Institutional Support (CCIS) Grant	137,500,000	88,237,306	88,237,306	88,237,306	64
3	DANIDA Grant To Finance Primary Health Care in a Devolved Context Grant	6,930,000	-	-	-	-
4	Kenya Commercial Bank Vocational Training Centre Scholarship Grant	20,000,000	-	-	-	-
6	Kenya Devolution Support Programme Phase Two (KDSP II) Level I Grant	37,500,000	35,253,471	35,253,471	35,253,471	94

No	Revenue Stream	Annual Targeted Revenue (Kshs.)	Actual Receipts (Kshs.)	Receivables in the first nine months of FY 2025/26 (Kshs.)	Total Revenues (in accrual basis) in the first nine months of FY 2025/26 (Kshs.)	Revenue Performance
		A	B	C	D	F=D/A*100
7	Kenya Devolution Support Programme Phase Two (KDSP II) Level 2 Grant	352,500,000	-	-	-	-
9	Kenya Urban Project (KUSP)-Urban Institutional Grant (IUG)	35,000,000	5,429,429	5,429,429	5,429,429	16
10	Kenya Urban Project (KUSP)-Urban Development Grant (UDG)	52,595,562	52,595,562	52,595,562	52,595,562	100
12	National Agricultural Value Chain Development Project (NAVCDP)	231,250,000	112,983,230	112,983,230	112,983,230	49
	Sub-Total	981,398,935	294,498,998	294,498,998	294,498,998	
D	**Ordinary Own Source Revenue (OSR)**					
1	OSR	712,487,161	263,404,446	263,404,446	263,404,446	37
	Sub-Total	712,487,161	263,404,446	263,404,446	263,404,446	
E	**Facility Improvement Financing (FIF)**					
1	SHIF	600,000,000	591,767,910	591,767,910	591,767,910	99
	Sub-Total	600,000,000	591,767,910	591,767,910	591,767,910	
F	**Appropriations in Aid**					
1	AIA	52,000,000	752,429	752,429	752,429	1
	Sub-Total	**52,000,000**	**752,429**	**752,429**	**752,429**	
Total		**8,990,245,294**	**5,758,840,020**	**5,758,840,020**	**5,758,840,020**	

Source: *Embu County Treasury*

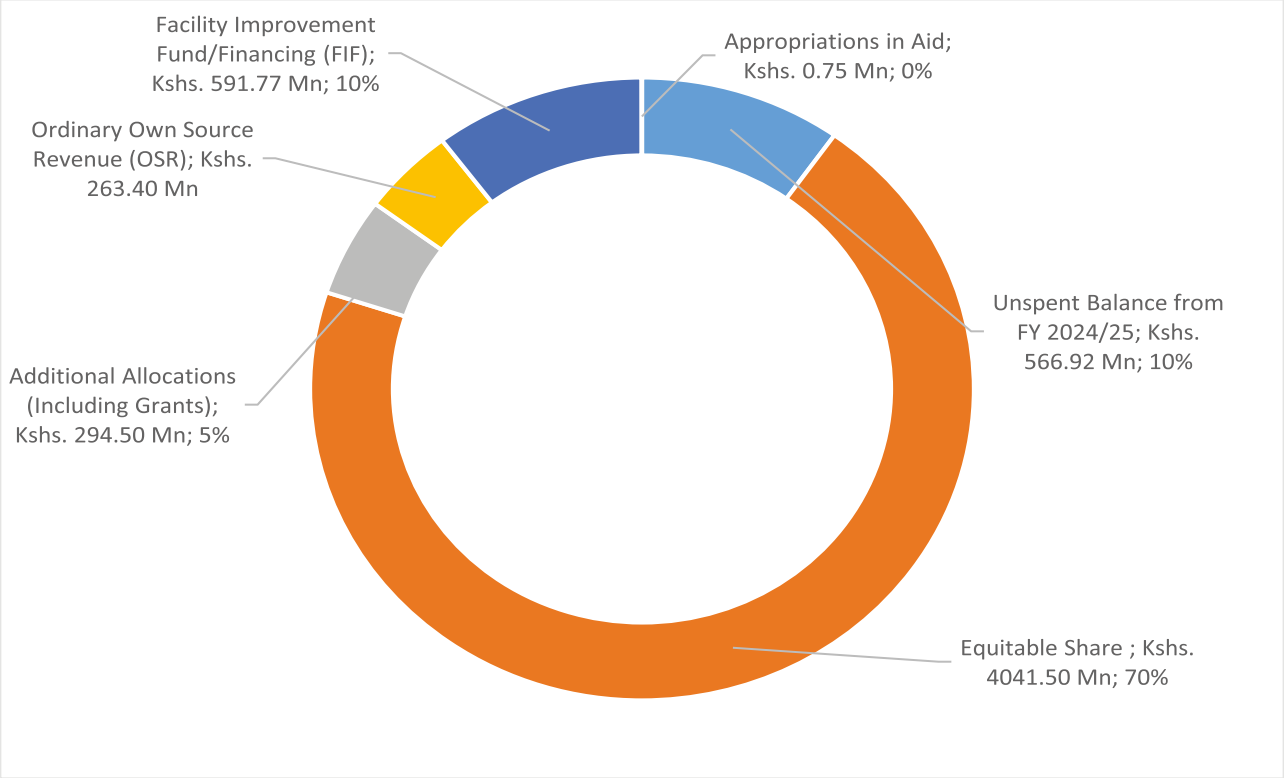
The performance of Ordinary Own Source Revenue (OSR) and Appropriations in Aid (AIA) recorded low outturns of 37 per cent and 1 per cent, respectively, representing less than 60 per cent of the annual targets. This subdued performance is primarily attributed to weak enforcement of revenue laws, a lack of strict penalties, which leads to non-compliance, and the delayed implementation of key revenue-generating initiatives. Nonetheless, performance is projected to improve significantly in the subsequent fourth quarter of the year as the revenue mobilisation strategies are fully rolled out.

The Health Facilities Improvement Fund registered a remarkable performance of 99 per cent, which is attributed to equipping the hospitals with drugs and upgrading some dispensaries to level 4 hospitals.

The County has the Embu County Health Facilities Improvement Fund legislation on the operation of ordinary A-I-A and FIF. Figure 3.1 provides a detailed breakdown of receipts, showing each shilling received.

Figure 3.31 provides a detailed breakdown of receipts.

Figure 3.31: Embu County Composition of Revenue in the first nine months of FY 2025/26

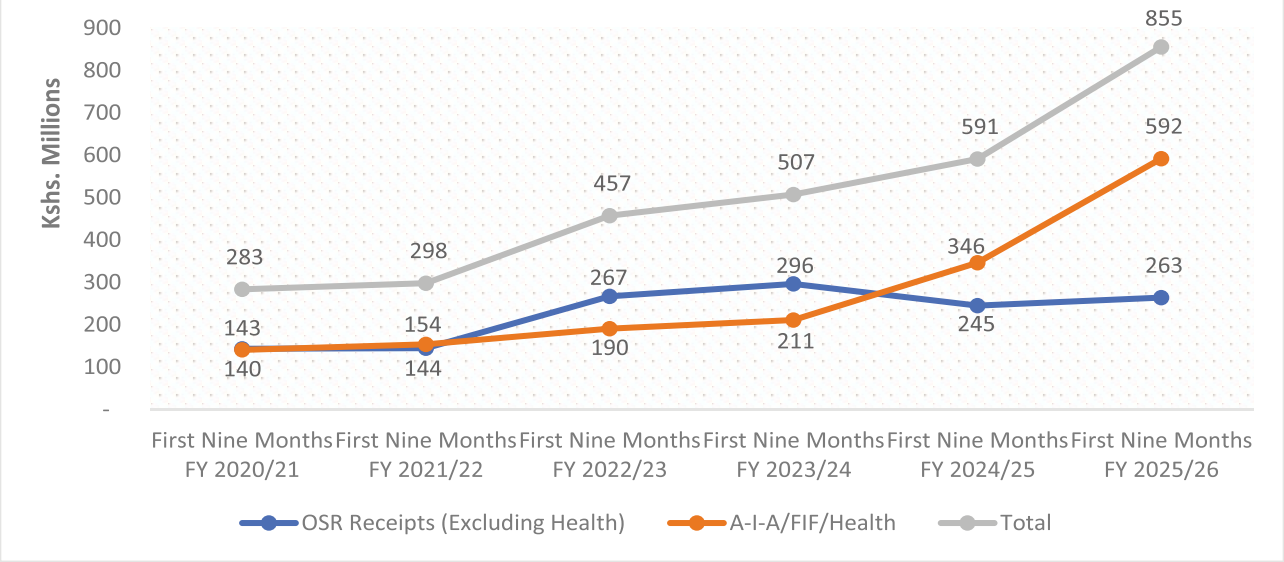


Source: *Embu County Treasury*

The equitable share of revenue raised nationally, the balance brought forward, and Facility improvement financing contributed 70, 10, and 10 per cent, respectively, of the total receipts for the reporting period.

Figure 3.32 shows the collection trend in own-source revenue from the first nine months of FY 2020/21 to the first nine months of FY 2025/26.

Figure 3.32: Embu County Trend in Own-Source Revenue Collection from the first nine months of FY 2020/21 to the first nine months of FY 2025/26



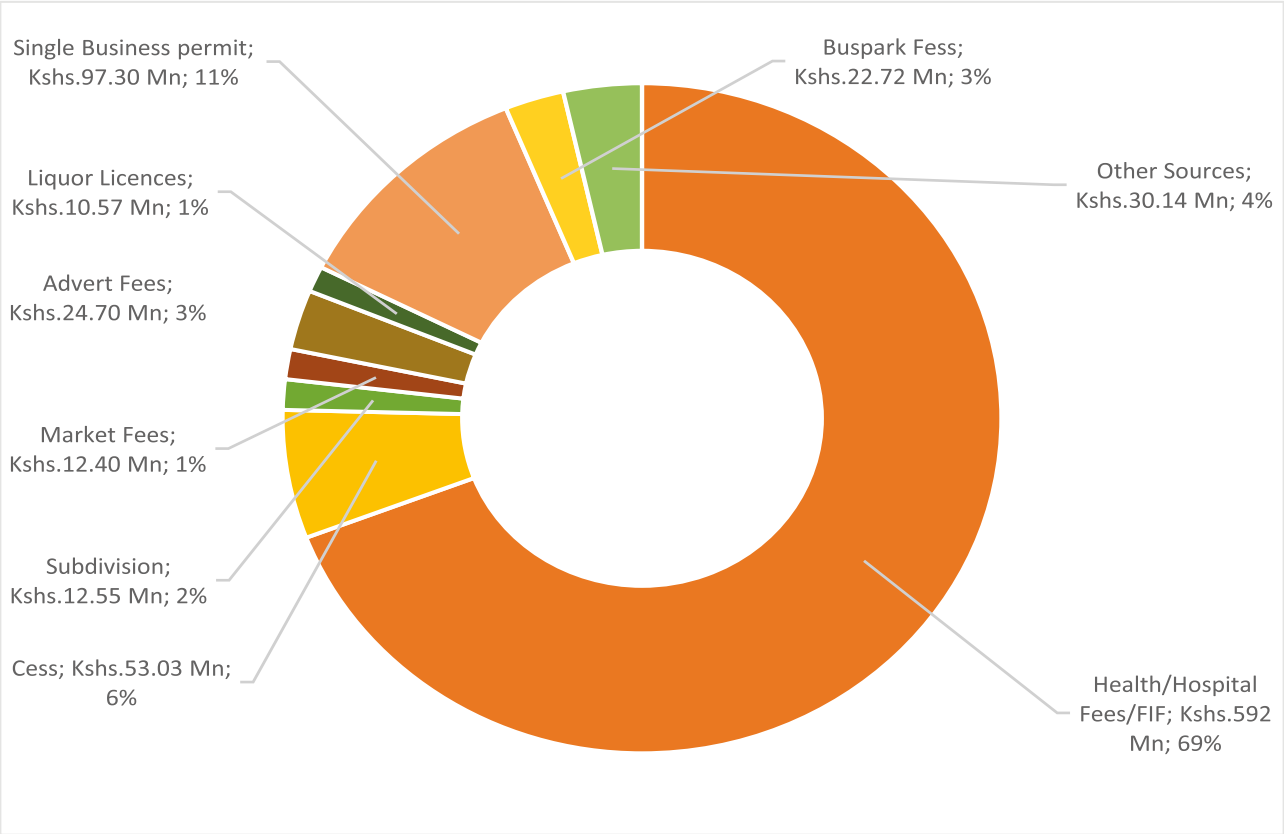
Source: *Embu County Treasury*

During the first nine months of FY 2025/26, the County received Kshs.855.92 million from OSR, including FIF. This amount was an increase of 45 per cent compared to Kshs.590.88 million realised in a similar period in FY 2024/25, and was 65 per cent of the annual target and 21 per cent of the equitable revenue share disbursed.

The increase in FIF can be attributed to various strategies put in place by the County that include the establishment and operationalisation of the Facility Improvement Fund (FIF), regular procurement and distribution of drugs and non-pharmaceutical commodities to ensure uninterrupted service delivery, and strengthening of internal controls that include enhancing financial and administrative controls to improve accountability, transparency, and efficiency.

The revenue streams that contributed the most to OSR receipts are shown in Figure 3.33.

Figure 3.33: Embu County Top Own Source Revenue Streams in the first nine months of FY 2025/26



Source: *Embu County Treasury*

As shown in Figure 3.33, the largest revenue stream, at Kshs.591.77 million, was from Health/FIF accounting for 69 per cent of total OSR receipts. The County Government indicated that it has automated 20 of 22 revenue streams.

3.6.3 Revenue Receivables

As of 1st July 2025, the County reported receivables of Kshs.374.87 million, which increased to Kshs.448.58 million as of 31st March 2026. The County manages its receivables using a manual system, with a cash option. Table 3.82 presents a breakdown of the County's receivables.

Table 3.82: Embu County Receivables as of 31st March 2026

No	Revenue Stream	Receivables as of 1 July 2025 (Kshs.)	Progress made in the first nine months of FY 2025/26			Receivables as of 31st March 2026 (Kshs.)
			Waivers (Kshs)	Arrears paid in the financial year (Kshs)	Arrears earned in the first nine months of FY 2025/26 (Kshs)	
		a	b	c	D	f=a-b-c+d
A	**Additional Allocations**					

No	Revenue Stream	Receivables as of 1 July 2025 (Kshs.)	Progress made in the first nine months of FY 2025/26			Receivables as of 31st March 2026 (Kshs.)
			Waivers (Kshs)	Arrears paid in the financial year (Kshs)	Arrears earned in the first nine months of FY 2025/26 (Kshs)	
1	Conditional Additional Allocation for Maintenance of County Roads from the Road Maintenance Levy Fund (RMLF)	211,127,369		73,706,112		284,833,481
	Sub-Total	211,127,369		73,706,112		284,833,481
B	**Facility Improvement Financing (FIF)**					
1	SHIF	163,743,779				163,743,779
Total		374,871,148	-	73,706,112	-	448,577,260

Source: *Embu County Treasury*

As of 31st March 2026, the receivables totalled Kshs.448.58 million, comprising Kshs.284.83 million from the Conditional Additional Allocation For Maintenance Of County Roads From The Road Maintenance Levy Fund (RMLF), which is 63 per cent of the total arrears, and Kshs.163.74 million from SHIF, which is 37 per cent of the total arrears. The measures instituted by the County to collect outstanding arrears in FY 2025/26 include appointing a liaison officer to coordinate and follow up on receivables.

3.6.4 Withdrawals from the County Revenue Fund and County Assembly Fund

During the reporting period, the Controller of Budget approved exchequer withdrawal requests totalling Kshs.3.96 billion from the Embu County Revenue Fund (CRF) account. This amount consisted of Kshs.998.27 million (25 per cent) designated for development programs and Kshs.2.97 billion (75 per cent) allocated for recurrent programs.

An analysis of the released recurrent exchequers shows that Kshs.2.13 billion was allocated to employee compensation and Kshs.831.76 million to operations and maintenance expenditures. Within the operations and maintenance category, 15 per cent was allocated to domestic travel and 3 per cent to foreign travel. The domestic travel exchequers totalled Kshs.131.60 million, which included Kshs.72.06 million for the County Executive and Kshs.59.53 million for the County Assembly. Meanwhile, the foreign travel exchequers amounted to Kshs.27.56 million, with Kshs.7.48 million for the County Executive and Kshs.20.08 million for the County Assembly.

As of 31st March 2026, the County Government's cash balance in the Embu CRF account was Kshs.611.55 million.

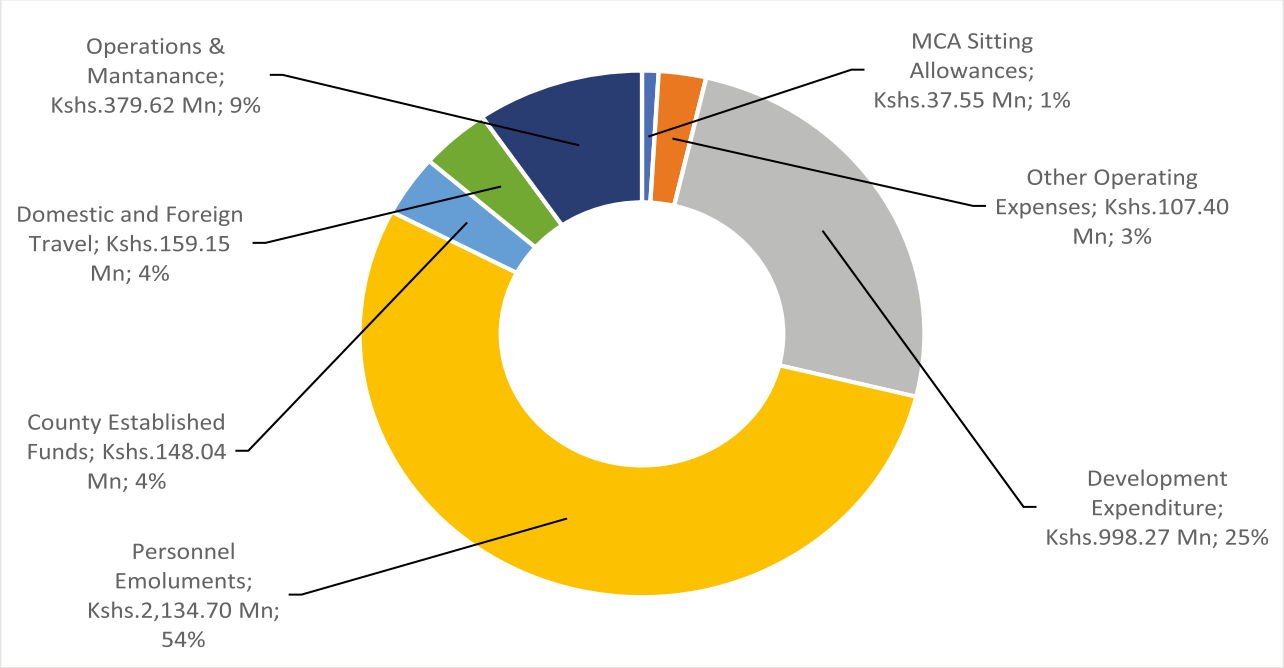
The County had not operationalised the County Assembly Fund as of 31st March 2026.

3.6.5 Expenditure Review

The County spent Kshs.3.96 billion on development and recurrent programmes during the reporting period. The expenditure represented 100 per cent of the total funds released by the CoB. It comprised Kshs.998.27 million for development programmes and Kshs.2.97 billion for recurrent programmes. Expenditure on development programmes accounted for 30 per cent of the annual development expenditure budget, while recurrent expenditure accounted for 58 per cent of the annual recurrent expenditure budget.

Figure 3.34 provides a detailed breakdown of total expenditure.

Figure 3.34: Embu County Composition of Expenditure in the first nine months of FY 2025/26



Source: *Embu County Treasury*

As shown in Figure 3.34, the three highest expenditure categories were personnel emoluments, development expenditure, and operations & maintenance, which accounted for 54 per cent, 25 per cent, and 13 per cent of the total expenditure for the reporting period.

3.6.6 Expenditure by Economic Classification

The County Executive incurred Kshs.1.89 billion in employee compensation, Kshs.684.05 million in operations and maintenance, and Kshs.975.10 million in development activities. Similarly, the County Assembly spent Kshs.244.47 million on compensation of employees, Kshs.147.71 million on operations and maintenance, and Kshs.23.16 million on development activities, as shown in Table 3.83.

Table 3.83: Embu County Summary of Budget and Expenditure by Economic Classification

Expenditure Classification	Approved Budget (Kshs.) (a)		Amount Paid in the first nine months of FY 2025/26 (Kshs.) (b)		Expenditure Accrued in the first nine months of FY 2025/26 (Kshs.) (c)		Total Expenditure in the first nine months of FY 2025/26 (Kshs.) (d=b+c)		Absorption (%) (d/a*100)	
	Executive	Assembly	Executive	Assembly	Executive	Assembly	Executive	Assembly	Executive	Assembly
Total Recurrent Expenditure	**4,419.12**	**654.00**	**2,574.28**	**392.18**			**2,574.28**	**392.18**		
Compensation of Employees	3,308.57	358.44	1,890.23	244.47	-	-	1,890.23	244.47	57	68
Operations and Maintenance	1,110.55	295.56	684.05	147.71	-	-	684.05	147.71	62	50
Development Expenditure	**3,277.13**	**40.00**	975.10	23.17	**-**	**-**	975.10	23.17	30	58
Total	**7,696.25**	**694.00**	**3,549.37**	415.36	**-**	**-**	3,549.37	**415.36**	46	60

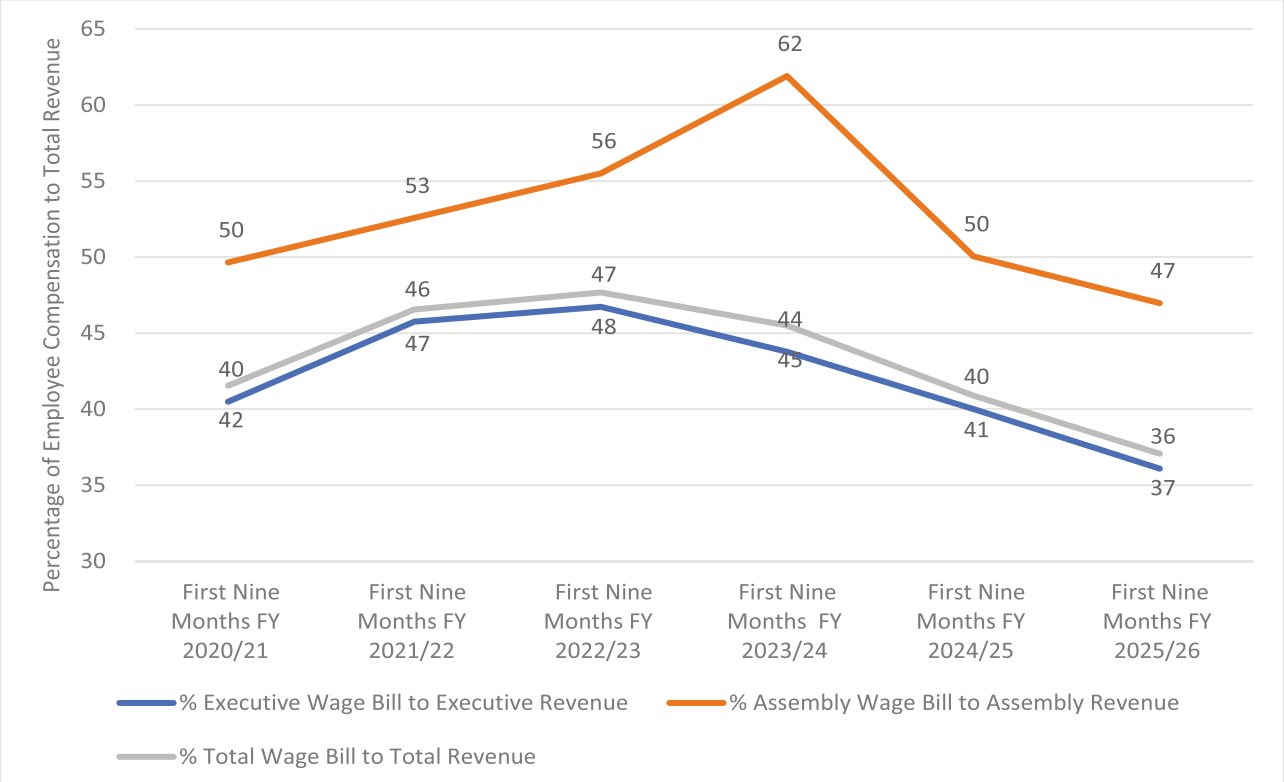
Source: *Embu County Treasury*

3.6.7 Expenditure on Employee Compensation

The expenditure on employee compensation totalled Kshs.2.13 billion, representing 37 per cent of revenue. This expenditure on employee compensation shows. a decrease compared to the Kshs.2.59 billion reported in a similar period in FY 2024/25. Of this total, Kshs.701.80 million related to Health Sector employees, accounting for 33 per cent of the overall employees' compensation. The decrease was attributed to a reduction of casual wages in the current reporting period.

Figure 3.35 shows the trend in employee compensation as a percentage of total revenue from the first nine months of FY 2020/21 to the first nine months of FY 2025/26.

Figure 3.35: Percentage of Employee Compensation Expenditure to Total Revenue Received in the first nine months of FY 2020/21 to the first nine months of FY 2025/26



Source: *Embu County Treasury*

As shown in Figure 3.35, the employee compensation-to-revenue ratios for the Executive and Assembly generally moved together between FY 2020/21 and FY 2021/22, before diverging in FY 2022/23 and FY 2023/24 due to subdued revenues, salary arrears settlements, and recruitment pressures. The ratios were later moderated in FY 2024/25 following improved revenue mobilisation and expenditure controls. Compared to a similar period under the manual payroll system, the current period shows greater fluctuations, largely driven by collective bargaining increments, trade payables, and delays in exchequer releases. The trend indicates continued pressure on county revenues from personnel costs.

Further analysis indicated that PE costs totalling Kshs.2.10 billion were processed through the Human Resource Information System (HRIS). In contrast, Kshs.37.36 million was processed through manual payrolls, which accounted for 2 per cent of the total PE cost. The justification for the continued use of manual payroll was the gratuity provision and the up allowances for security personnel.

The manual payroll comprised top-up allowances for security personnel and gratuity remittances to pension schemes for staff on contract, as shown in Table 3.84.

Table 3.84: Breakdown of Embu County Manual Payroll

S. No.	Description of Manual Payroll	Amount (Kshs.)
1	Top-up Allowances for Security Officers	21,943,961

S. No.	Description of Manual Payroll	Amount (Kshs.)
2	Gratuity for contract staff	15,412,832
	Total	**37,356,793**

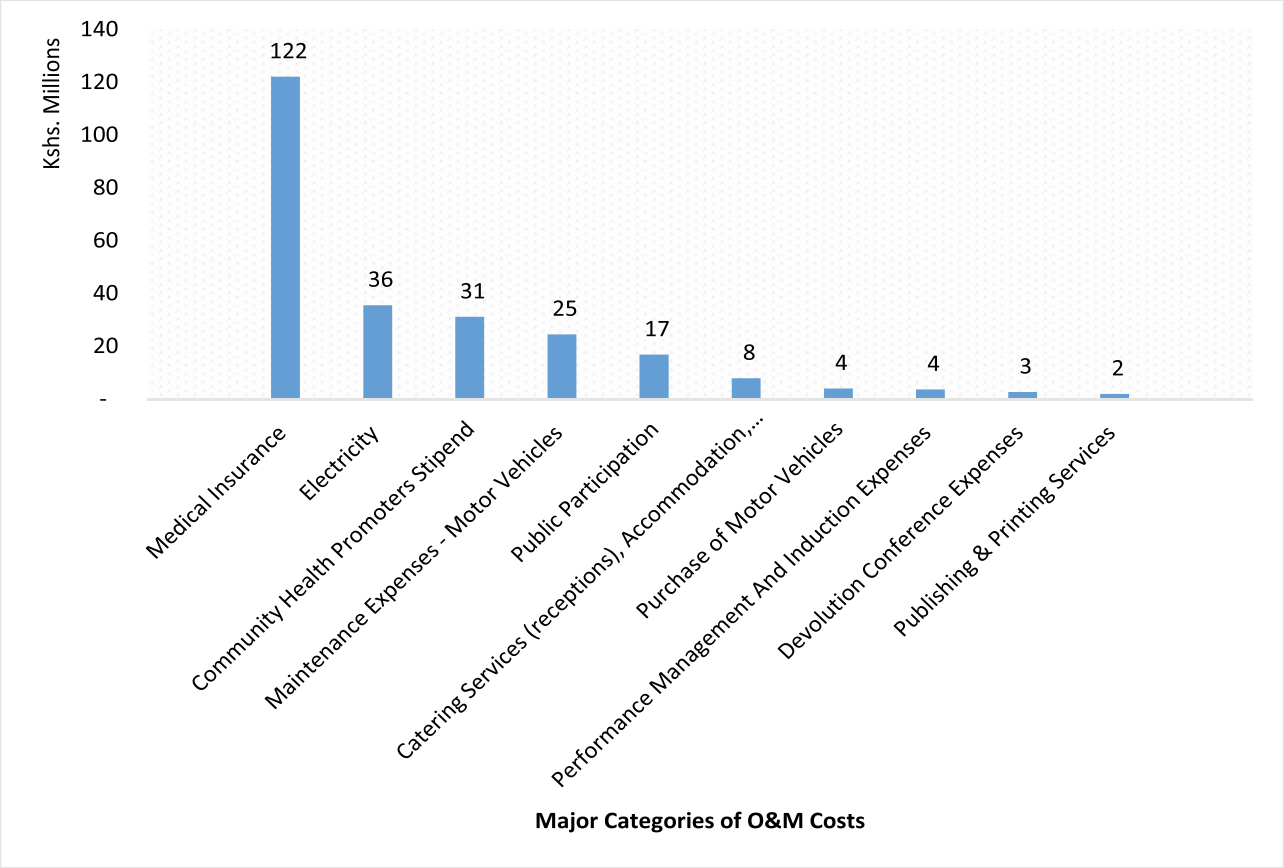
Source: *Embu County Treasury*

The County Assembly spent Kshs.37.55 million on committee sitting allowances for the 31 MCAs against the annual budget allocation of Kshs.60.86 million. The average monthly sitting allowance was Kshs134,577 per MCA. The County Assembly has 27 House Committees.

3.6.8 Expenditure on Operations and Maintenance

During the reporting period, the County spent Kshs.831.76 million on operations and maintenance, representing an increase of 37 per cent compared to a similar period in FY 2024/25, when the County spent Kshs.606.39 million. Figure 3.36 illustrates the distribution of Operations and Maintenance expenditures across the major spending categories.

Figure 3.36: Embu County, Operations and Maintenance Expenditure by Major Categories



Source: *Embu County Treasury*

The key exception in Figure 3.36 is the significantly high expenditure on medical insurance at Kshs.122 million driven by increased staff cover obligations and settlement of outstanding claims. Electricity costs and community health promoter stipends also remained relatively high due to their recurrent and essential nature. In contrast, expenditures on publishing, devolution conferences, and performance management were comparatively low, reflecting reduced operational demand and expenditure-rationalisation measures.

3.6.9 Unbundling "Other Operating Expenses" Under Operations and Maintenance Expenditures

The budget performance report for the first nine months of FY 2025/26 indicates that the County spent Kshs.107.40 million on "other operating expenses," which accounted for 13 per cent of the total operations and maintenance expenditure of Kshs.831.76 million. This category of expenditure includes Kshs.31.09

million for community Health promoters and Kshs.16.80 million for public participation. The disaggregated items under the "*Other Operating Expenses*" category are shown in Table 3.85.

Table 3.85: Breakdown of "Other Operating Expenses - Other" under O&M Expenditures

Code	Item	Budget (Kshs)	Expenditure (Kshs.)
2211399-00001001-0404013660-36600001	Community Health Promoters Stipend	107,190,000	31,090,000
2211399-00001001-0701013660-36600001	Public Participation	17,800,000	16,800,455
2211399-00001001-0723013660-36600001	General Office Operations	24,000,000	3,831,356
	Total	294,708,600.00	107,401,000.00

Source: *Embu County Treasury*

A review of the other expense items listed in the table revealed the following inconsistencies: Some expenditures with clear and unique budget codes were erroneously aggregated under the "Other Operating Expenses" category. These include: community health promoters, Public participation, health workers' grant arrears, etc.

3.6.10 County-Established Funds

Section 116 of the PFM Act 2012 allows County Governments to establish other public funds, subject to approval from the County Executive Committee and the County Assembly. The County allocated Kshs.310.54 million to County-Established funds in FY 2025/26, representing 4 per cent of the County's overall budget. Of this amount, the County allocated Kshs.20 million to the Emergency Fund in line with Section 110 of the PFM Act, 2012, accounting for 6 per cent of the total budget. Table 3.86 summarises each established Fund's budget allocation and performance during the reporting period.

Table 3.86: Performance of Embu County Established Funds in the first nine months of FY 2025/26

S/No.	Name of the Fund	Year Established	Approved Budget Allocation in FY 2025/26 (Kshs.)	Exchequer Issues in First Nine Months of FY 2025/26 (Kshs.)	Actual Expenditure in the First Nine Months of FY 2025/26 (Kshs.)	Cumulative disbursements to the Fund (Kshs)	Submission of Financial Statements (Yes/No.)
County Executive Established Funds							
1	Embu County Education Support Fund	1-January-2015	-	-	-	164,225,000	Yes
2	Embu County Youth Trust Fund	24-April-2015	-	-	-	20,000,000	Yes
3	Embu County Climate Change Fund	1-January-2020	290,541,470	148,041,451	148,041,451	345,193,736	Yes
4	Embu County Emergency Fund	25-March-2020	20,000,000	-	-	23,000,000	Yes
	Sub-Total		**310,541,470**	**148,041,451**	**148,041,451**	**552,418,736**	
County Assembly Established Funds							
1	County Assembly of Embu Car Loan and Mortgage (MCAs)	March 2014 (Revised in 2022)	-	-	-	165,000,010	Yes
2	County Assembly of Embu Car Loan and Mortgage (Staff)	11th February 2019 (Revised in 2022)	-	-	-	8,000,000	Yes
	Sub-Total		-	-	-	**173,000,010**	
	Total		**310,541,470**	**29,804,145**	**29,804,145**	**725,418,746**	

Source: *Embu County Treasury*

During the reporting period, the CoB received quarterly financial reports from all Fund Administrators, as indicated in Table 3.6, in accordance with the requirements of Section 168 of the PFM Act, 2012. The

County disclosed that administration costs of all Funds were within the 3 per cent limit of the Fund budget set in Regulation 197(1)(d) of the Public Finance Management (County Governments) Regulations, 2015.

Regulation 197(1)(i) of the Public Finance Management (County Governments) Regulations, 2015, allows County Governments to establish public funds with a lifespan capped at 10 years unless extended by the County Assembly. In FY 2025/26, the CoB found that the lifespans of the Embu County Youth Trust Fund and the Embu County Bursary Fund had lapsed, rendering them ineligible for further withdrawals.

3.6.11 County Corporations

The County has no corporations; hence, no budgetary allocation was made.

3.6.12 Expenditure on Domestic and Foreign Travel

Expenditure on domestic travel amounted to Kshs.131.60 million and comprised Kshs.59.54 million spent by the County Assembly and Kshs.72.06 million by the County Executive. Expenditure on foreign travel amounted to Kshs.27.56 million and comprised Kshs.20.08 million by the County Assembly and Kshs.7.48 million by the County Executive. Expenditure on foreign travel is summarised in Table 3.87.

Table 3.87: Summary of Expenditure on Foreign Travel in the first nine months of FY 2025/26

Arm of County Government	Number of Officers Travelled	Date travelled	Purpose of the travel	Destination	Actual Payment on Travel (a) (Kshs.)	Accrued Expenditure on Travel (b) (Kshs.)	Total Expenditure on Travel (c=a+b) (Kshs.)
County Executive	1	21st to 26h Sept 2025	Benchmarking	Watford/Hertfordshire in the United Kingdom (UK)	2,349,202	-	2,349,202
County Executive	1	3rd to 10th September 2025	Africa Climate Summit	Addis Ababa, Ethiopia	747,776	-	747,776
County Executive	1	3rd to 5th November 2025	Africa coffee conference	Dar Salam, Tanzania	919,910	-	919,910
County Executive	3	10th to 21st November 2025	(COP30) to the UN Framework Convention on Climate Change (UNFCCC).	Belem, Brazil	3,458,770	-	3,458,770
County Assembly	40	13th -18th October 2025	Benchmarking with the East African legislative Assembly	Arusha	20,079,631	-	20,079,631
Total					27,555,289		27,555,289

Source: *Embu County Treasury and Embu County Assembly*

3.6.13 Facility Improvement Financing

During the review period, the County reported collections of Kshs.591.77 million as FIF, which was 98 per cent of the annual target of Kshs.600 million. The collected amount was retained and utilised at source in line with the Facility Improvement Financing Act, 2023. The County has developed regulations to operationalise the FIF Act of 2023.

The expenditure by the health facilities amounted to Kshs.591.77 million, as shown in Table 3.88.

Table 3.88: Embu County Health Facilities Expenditure Performance in the first nine months of FY 2025/26

No.	Health Facility	Number of Facilities	Approved Budget (Kshs.)	Actual Expenditure (Kshs.)	Absorption rate (%)
1.	Level Five Hospital	1	426,800,000	430,231,002	101

No.	Health Facility	Number of Facilities	Approved Budget (Kshs.)	Actual Expenditure (Kshs.)	Absorption rate (%)
2.	Level Four Health Facilities	3	61,110,000	50,579,648	83
3.	Level Three Facilities	3	20,370,000	16,514,646	81
4.	Level Three Facilities II	10	33,465,000	31,963,467	96
5	Eighty-Seven Level Two Facilities	71	19,497,000	48,120,975	247
6	Sub-County Public Health Offices	6	20,758,000	14,358,172	69
7	Medical Services-Headquarters	1	18,000,000	0	0.0
	Total	**95**	**600,000,000**	**591,767,910**	**99**

Source: *Embu County Treasury*

3.6.14 Development Expenditure

In the review period, the County reported spending Kshs.998.27 million on development programmes, representing an increase of 120 per cent compared to FY 2024/25, when the County spent Kshs.453.13 million. Table 3.89 summarises the development projects with the highest expenditure in the reporting period.

The increase in development expenditure was attributed to the initiation of projects such as bitumen road improvements, the upgrading of level 3 hospitals, the renovation of county offices, and the construction of a stadium.

Table 3.89: Embu County, List of Development Projects with the Highest Expenditure

S/No	Sector	Project Name	Project Location		Project Commencement Date	Expected date of Completion of the Project	Contract sum (Kshs)	Total Funding in FY 2025/26 (Kshs.)	Expenditure (in accrual basis) in the First Nine Months of FY 2025/26 (Kshs.)	Cumulative project expenditure (on an accrual basis) as of 31st March 2026 (Kshs.)	Implementation status (%)
			Project Location (Ward)	Sub County							
County Funded Projects											
1	Health	Upgrading Of Gategi Health Centre-Phase 2	Mwea	Mbeere South	25 July 2025	30 June 2026	63.00	63.00	-	36.69	58
2	Agriculture, Livestock, Blue Economy and Co-Operative Development	Purchase Of Certified Crop Seeds	County Wide	County Wide	25 July 2025	30 June 2026	31.00	31.00	-	30.99	100

S/ No	Sector	Project Name	Project Location		Project Commencement Date	Expected date of Completion of the Project	Contract sum (Kshs)	Total Funding in FY 2025/26 (Kshs.)	Expenditure (in accrual basis) in the First Nine Months of FY 2025/26 (Kshs.)	Cumulative project expenditure (on an accrual basis) as of 31st March 2026 (Kshs.)	Implementation status (%)
			Project Location (Ward)	Sub County							
3	Finance and Economic Planning	Refurbishment of the County Headquarters Offices	Kirimari	Manyatta	25 July 2025	30 June 2026	35.00	35.00	-	25.59	73
4	Lands, Physical Planning and Urban Development	Development Of County Spatial Plan	County Wide	County Wide	25 July 2025	30 June 2026	40.00	40.00	-	21.79	55
5	Youth Empowerment, Sports, Gender, Culture, Children and Social Services	Governor's Cup Season 2 Programme	County Wide	County Wide	25 July 2025	30 June 2026	20.00	20.00	-	20.00	100
6	Trade, Tourism, Investment, Industrial Development and Marketing	Construction of the Wholesale Market in Embu Town	Kirimari	Manyatta	25 July 2025	30 June 2026	15.00	15.00	-	15.00	100
7	Education, Science and Technology	Scholarships (Capitation) For the Vocational Training Centres	County Wide	County Wide	25 July 2025	30 June 2026	25.00	25.00	-	12.49	50
8	Lands, Physical Planning and Urban Development	Acquisition Of Public Land at Njagairi	Kithimu	Manyatta	25 July 2025	30 June 2026	10.00	10.00	-	10.00	100
9	Health	Upgrading Of Kanja Health Centre	Kagaari North	Runyenjes	25 July 2025	30 June 2026	23.62	23.62	-	8.71	37

S/ No	Sector	Project Name	Project Location		Project Commencement Date	Expected date of Completion of the Project	Contract sum (Kshs)	Total Funding in FY 2025/26 (Kshs.)	Expenditure (in accrual basis) in the First Nine Months of FY 2025/26 (Kshs.)	Cumulative project expenditure (on an accrual basis) as of 31st March 2026 (Kshs.)	Implementation status (%)
			Project Location (Ward)	Sub County							
10	Health	Construction Of Kamugere/Kibogi Dispensary	Kyeni North	Runyenjes	25 July 2025	30 June 2026	11.15	11.15	-	7.58	68

Source: *Embu County Treasury*

The County did not report stalled development projects as of 31st March 2026.

3.6.15 Budget Performance by Department

Table 3.90 summarises the approved budget allocation, expenditure, and absorption rate by department for the period under review.

Table 3.90: Embu County, Budget Allocation and Absorption Rate by Department in the first nine months of FY 2025/26

Department	Revised Budget Allocation (Kshs. Million)		Exchequer Received (Kshs.Million)		Expenditure (Kshs. Million)		Expenditure to Exchequer (%)		Absorption rate (%)	
	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev
Office of the Governor	302.48	-	278.96	-	278.96	-	100	-	92	-
County Public Service Board	38.56	-	19.63	-	19.63	-	100	-	51	-
Public Service and Administration	932.42	354.15	604.77	-	604.77	-	100	-	65	-
County Assembly	653.99	40.00	392.19	23.17	392.19	23.17	100	100	60	58
Finance and Economic Planning.	214.12	75.00	163.23	54.99	163.23	54.99	100	100	76	73
Trade Tourism Investment and Industrialisation	39.48	167.49	22.31	22.87	22.31	22.87	100	100	57	14
Agriculture, Livestock, Fisheries and Co-Operative Development	228.73	255.91	193.24	144.98	193.24	144.98	100	100	85	57
Water Environment and Natural Resources	40.36	101.99	14.66	23.02	14,66	23.02	100	100	36	23
Health	1,766.99	430.31	700.69	161.36	700.69	161.36	100	100	40	38
Embu Level 5 Hospital	4.50	78.05	1.11	19.21	1.11	19.21	100	100	25	25

Department	Revised Budget Allocation (Kshs. Million)		Exchequer Received (Kshs.Million)		Expenditure (Kshs. Million)		Expenditure to Exchequer (%)		Absorption rate (%)	
	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev
Infrastructure, Public Works and Housing.	94.78	869.50	72.12	194.25	72.12	194.25	100	100	76	22
Education, Science and Technology	450.75	189.08	317.36	65.98	317.36	65.96	100	100	70	35
Youth Empowerment and Sports and Gender Empowerment	120.91	211.22	102.40	87.77	102.40	87.77	100	100	85	42
Lands, Physical Planning and Urban Development & Water	51.09	106.70	24.37	49.98	24.37	49.98	100	100	48	47
Embu County Revenue Authority (ECRA)	23.92	42.00	17.70	2.63	17.70	2.63	100	100	74	6
Embu Municipal Board	90.09	105.19	28.80	-	28.80	-	100	-	32	-
Climate Change Unit	-	290.54	-	148.04	-	148.04	-	100	-	51
County Attorney	19.95	-	12.93	-	12.93	-	100	-	65	-
	5,073.12	**3,317.13**	**2,966.46**	**998.27**	**2,966.46**	**998.27**				

Source: *Embu County Treasury*

Analysis of expenditure by departments shows that the Department of Finance and Economic Planning recorded the highest absorption rate of development budget at 73 per cent, followed by the Department of Agriculture, Livestock, Fisheries and Co-Operative Development at 57 per cent. The Department of Youth Empowerment and Sports and Gender Empowerment had the highest percentage of recurrent expenditure to budget at 85 per cent, while the Department of Embu County Revenue Authority (ECRA)had the lowest at 6 per cent. The lowest performance can be attributed to dependence on the equitable share and poor departmental planning.

3.6.16 Budget Execution by Programmes and Sub-Programmes

Budget execution was concentrated in selected performance bands. In the 1–10 per cent band, development absorption was reported for general administration, planning and support services and for revenue management services under the Embu County Revenue Authority, both at 6 per cent. In the 11–20 per cent band, development absorption was recorded for administrative support services, trade development and promotion, and industrial development and investment under the Department of Trade, Tourism, Investment and Industrialization, each at 14 per cent. In the 21–30 per cent band, recurrent absorption was reported for primary healthcare, health promotion and disease control, and general administration services under Embu Level 5 Hospital, each at 25 per cent.

In the 31–40 per cent band, recurrent absorption was reported for general administration, planning and support services and for urban development under the Embu Municipal Board, both at 32 per cent. In the 61–70 per cent band, development absorption was recorded for administration, planning and support services, economic development planning and coordination, revenue management services, and control and management of public finances under the Department of Finance and Economic Planning, each at 73 per cent.

In the 81–90 per cent band, recurrent absorption was reported for general administration services, gender mainstreaming and development, and child rehabilitation and custody under the Department of Youth Empowerment and Sports, Gender, Culture, Children and Social Services, each at 85 per cent. In the 90–100 per cent band, recurrent absorption reached 92 per cent for management of county affairs and for sub-county administration and field services under the Office of the Governor, while development absorption reached 100 per cent for administrative services under the County Assembly.

Low absorption in the lower-performance bands (0–40 per cent) was attributed to unrealistic departmental planning, weak procurement mechanisms, and reliance on the equitable share. Conversely, performance in the 80–100 per cent band reflected proper and realistic planning, the alignment of projects with clear timelines, and the use of framework contracts and prequalified suppliers to reduce procurement time during the review period.

Table 3.91 summarises budget execution by programmes and sub-programmes in the period under review with the highest absorption rates.

Table 3.91: Budget Execution by Programmes and Sub-Programmes with Highest Absorption Rates

Programme	Sub-Programme	Gross Approved Estimates FY 2025/26 (Kshs.)	Expenditure (including accrued expenditure) as of 31st March 2026 (Kshs.)	Absorption Rate (%)
		Dev	Dev	Dev
DEVELOPMENT				
COUNTY ASSEMBLY				
General Administration, Planning and Support Services	Administrative Services	23,167,340	23,167,340	100
FINANCE AND ECONOMIC PLANNING.				
General Administration Planning and Support Services	Administration, Planning and Support Services	26,773,728	19,632,412	73
Economic Policy and County Planning	Economic Development Planning and Coordination	11,287,782	8,277,009	73
Revenue Management	Revenue Management Services	20,934,321	15,350,542	73
Financial Management	Control and Management of Public Finances	13,271,104	9,731,323	73
RECURRENT				
OFFICE OF THE GOVERNOR				
General Administration Planning and Support Services	Management of County Affairs (Office of the Governor)	217,531,716	200,617,242	92
County Leadership and Coordination	Sub-County Administration and Field Services	84,950,779	78,345,316	92
YOUTH EMPOWERMENT AND SPORTS, GENDER, CULTURE, CHILDREN AND SOCIAL SERVICES				
General Administration Planning and Support Services	General Administration services	14,656,082	12,412,212	85
Gender and Social Development	Gender mainstreaming and development	32,976,184	27,927,477	85
Children Services	Child Rehabilitation and Custody	28,090,823	23,790,073	85

Source: *Embu County Treasury*

The development sub-programmes with the highest budget implementation rates were: Administrative Services in the Department of County Assembly at 100 per cent, Administration, Planning and Support Services in the Department of Finance and Economic Planning at 73 per cent, and Economic Development Planning and Coordination at 77 per cent in the Department of Finance and Economic Planning.

For recurrent sub-programmes, the top performers included: Management of County Affairs in the Department of Office of the Governor at 92 per cent, Sub-County Administration and Field Services in the Department of Office of the Governor at 92 per cent, and General Administration services in the Department of Youth Empowerment and Sports, gender, Culture, Children and Social Services at 85per cent.

The higher performance of these programmes can be attributed to proper and realistic planning, as well as to aligning projects with clear timelines and using framework contracts and prequalified suppliers to save procurement time.

Table 3.92 summarises the budget execution by programmes and sub-programmes in the period under review that had the lowest absorption rates.

Table 3.92: Budget Execution by Programmes and Sub-Programmes with Lowest Absorption Rates

Programme	Sub-Programme	Gross Approved Estimates FY 2025/26 (Kshs.)	Expenditure (including accrued expenditure) as of 31st March 2026 (Kshs.)	Absorption Rate (%)
		Dev	Dev	Dev
DEVELOPMENT				
EMBU COUNTY REVENUE AUTHORITY (ECRA)				
General Administration Planning and Support Services	General Administration Planning and Support Services	28,014,363	1,755,770	6
	Revenue Management Services	13,985,637	876,534	6
TRADE, TOURISM, INVESTMENT AND INDUSTRIALIZATION				
Administrative Support Services	Administrative Support Services	10,890,920	1,487,392	14
Trade Development and Promotion	Trade Development and Promotion	89,607,465	12,237,846	14
Industrial Development and Investment	Industrial Development and Investment	36,849,408	5,032,587	14
RECURRENT				
EMBU LEVEL 5 HOSPITAL				
Curative Health Services	Primary Healthcare	3,048,353	749,513	25
Preventive and Promotive Health Services	Health Promotion and Disease Control	837,402	205,896	25
General Administration Planning and Support Services	General Administration Services	612,490	150,596	25
EMBU MUNICIPAL BOARD				
General Administration Planning and Support Services	General Administration Planning and Support Services	22,408,526	7,163,697	32
Urban Development	Urban Development	24,731,709	7,906,386	32

Source: *Embu County Treasury*

The development sub-programmes with the lowest budget implementation rates were as follows: general administration, planning and support services, and revenue management services in the Department of Embu County revenue authority at 6 per cent, and administrative support services in the Department of Trade, Tourism, Investment and Industrialisation at 14 per cent.

For recurrent sub-programmes, the poorest performers included primary healthcare, health promotion and disease control, and general administration services at the Department of Embu level 5 hospital, at 25 per cent.

These lower performance outcomes can be attributed to unrealistic departmental planning, poor procurement mechanisms, and reliance on the equitable share.

3.6.17 Settlement of Trade Payables

As of 1st July 2025, the County reported trade payables totalling Kshs.1.24 billion. This amount consisted of Kshs.1.21 billion from the County Executive and Kshs.35.21 million from the County Assembly. The trade payables from the County Executive comprised Kshs.561.83 million for recurrent expenditure and Kshs.648.51 million for development expenditure.

During the reporting period, the County Executive settled trade payables amounting to Kshs.328.56 million, comprising Kshs.142.90 million (43 per cent) for recurrent programmes and Kshs.185.66 million (57 per cent) for development programmes. On the other hand, the County Assembly settled trade payables amounting to Kshs.35.21 million, comprising Kshs.35.21 million (100 per cent) for recurrent activities and

there were no outstanding payables for development activities. The outstanding trade payables as of 31st March 2026 were Kshs.1.27 billion for the County Executive and for the County Assembly had zero outstanding payables. Table 3.93 provides additional details of trade payables.

Table 3.93: Embu County Trade Payables as of 31st March 2026

		County Entity	Development (Kshs.)	Recurrent (Kshs.)	Total (Kshs.)
As at 1 July 2025 (End of FY 2024/25)	a	County Executive	648,508,025	561,836,303	1,210,344,328
		County Assembly	-	35,211,635	35,211,635
		Total	648,508,025	597,047,938	1,245,555,963
Trade payables scheduled to be settled in the first nine months of FY 2025/26 per the action plan	b	County Executive			
		County Assembly			
		Total			
Amount paid in the first nine months of FY 2025/26	c	County Executive	185,657,792	142,904,650	328,562,442
		County Assembly	-	35,211,635	35,211,635
		Total	185,657,792	178,116,285	363,774,077
Trade Payables Incurred in the First Nine Months of FY 2025/26	d	County Executive	148,974,921	243,887,281	392,862,202
		County Assembly	-	-	-
		Total	148,974,921	243,887,281	392,862,202
Outstanding trade payables as of 31st March 2026	**e=a-c*b**	**County Executive**	**611,825,154**	**662,818,934**	**1,274,644,088**
		County Assembly			**-**
		Total	**-**	**-**	**-**

Source: *Embu County Treasury*

The County Executive and the Assembly submitted a trade payables payment plan, committing to pay Kshs.350 million and Kshs.35.21 million on recurrent and development expenditure, respectively, in FY 2025/26. The County adhered to this payment plan, as it cleared Kshs.328.56 million for the Executive and Kshs.35.21 million for the Assembly.

Table 3.94 present the ageing of the total outstanding bills as of 31st March 2026 for the County Executive and Assembly, which were Kshs.1.27 billion.

Table 3.94: Embu County Executive Trade Payables Ageing Analysis as of 31st March 2026

Category	Ageing analysis (Amount in Kshs.)				Total
	Under one year	1-2 years	2-3 years	Over 3 years	
Development Trade Payables	65,149,006	173,928,621	2,990,011	420,751,296	662818934.3
Recurrent Trade Payables (Goods & Services)	65,868,986	136,357,048		409,599,121	611,825,155
Recurrent Trade Payables (Salary Arrears and Statutory Deductions)					-
Recurrent Trade Payables (Staff Claims)					-
Total Recurrent Trade Payables	65,868,986	136,357,048	-	409,599,121	611,825,155
Total Trade Payables	131,017,992	310,285,669	2,990,011	830,350,416	1,274,644,089
% of Total	**10**	**24**	**0**	**65**	**100%**

Source: *Embu County Treasury*

As shown in Table 3.94, there were no arrears on salary and statutory deductions for trade payables as of March 31, 2026.

Additionally, Table 3.94 indicates that 65 per cent of total trade payables are aged over 3 years, a trend attributed to non-compliance with the payment plan for settling trade payables. To address this situation, the county should adhere to the payment plan and clear the long-outstanding trade payables. The FIFO basis of payment will reduce significantly the trade payables of over 3 years. The trade payables action plan has not been fully implemented.

3.6.18 General Observations and Recommendations

In the course of overseeing and reporting on the implementation of the Embu County budget, the CoB identified the following challenges, which hampered effective budget implementation;

i. The County Treasury's late submission of financial reports to the Controller of Budget affected the timely preparation of the budget implementation report, which was received on 20th April 2026.
ii. The underperformance of ordinary own-source revenue at Kshs.263.40 million against an annual target of Kshs.712.49 million, representing 37 per cent of the financial year target.
iii. Low development performance in the review period as the County incurred Kshs.998.27 million on development activities, achieving a 30 per cent absorption rate.
iv. Regulation 197(1)(i) of the Public Finance Management (County Governments) Regulations, 2015, limits the lifespan of public funds to 10 years unless extended by the County Assembly. As of 31st March 2026, the lifespan of the Embu County Youth Trust Fund and the Embu County Bursary Fund had lapsed, making them ineligible for further withdrawals.
v. High level of trade payables, which amounted to Kshs.1.27 billion as of 31st March 2026. Furthermore, the County Treasury did not adhere to the trade payables payment plan.
vi. The County reported Kshs.107.40 million under "*other operating expenses,*" accounting for 13 per cent of total operation and maintenance costs. The review revealed that this category was misused to record items with specific budget codes, distorting the cost structure, reducing financial transparency, and weakening accountability in public fund management.

The County should implement the following recommendations to improve budget execution:

i. *The County Treasury should ensure the timely preparation and submission of financial reports to the Controller of Budget per the timelines prescribed in Section 166 of the PFM Act, 2012.*
ii. *The County should address its own-source revenue performance to ensure the approved budget is fully financed. Appropriate austerity measures should be implemented to ensure expenditure commitments are aligned with available revenue.*
iii. *The County should implement strategies to increase development expenditures in FY 2025/26.*
iv. *The County should ensure timely review and extension of public funds whose lifespans are nearing expiration or have lapsed to prevent operational disruptions. Additionally, any expenditure from lapsed funds should cease immediately, and legal mechanisms should be followed to re-establish or wind up such funds in compliance with the Public Finance Management Act.*
v. *The County Leadership should address the situation of trade payables to ensure that genuine bills are paid promptly in the remaining financial year. Further, compliance with the Trade Payables Action Plan should be enforced.*
vi. *The County Treasury should adhere to the approved budget classification framework by ensuring that all expenditures are recorded under their specific budget codes rather than being aggregated under the "Other Operating Expenses" category.*

3.7. County Government of Garissa

3.7.1 Overview of FY 2025/26 Budget

The Garissa County Approved Supplementary Budget for FY 2025/26 is Kshs.12.69 billion. It comprises Kshs.5.03 billion (40 per cent) and Kshs.7.67 billion (60 per cent) allocation for development and recurrent programmes, respectively. The budget estimates represent an increase of Kshs.688.83 million (6 per cent) from the FY 2024/25 budget, which comprised a development budget of Kshs.4.66 billion and a recurrent budget of Kshs.7.34 billion. The increase in the budget was primarily attributable to higher Garissa personnel emoluments, particularly in education and health, due to increased staffing. It was also adjusted to

facilitate the settlement of trade payables and the carryover of expenditure from previous financial years.

The budget is to be financed from various revenue sources. These include the equitable share of revenue raised nationally of Kshs.8.88 billion (70 per cent), additional allocations of Kshs.1.35 billion (11 per cent), a cash balance brought forward from FY 24/25 of Kshs.2.01 billion (16 per cent) and Kshs.450 million (3 per cent) generated as own-source revenue. A breakdown of the additional allocations is shown in Table 3.95.

3.7.2 Revenue Performance

During the first nine months of FY 2025/26, the County reported total revenues amounting to Kshs.7.72 billion. This amount represented an increase of 15 per cent compared to the amount received in a similar period in FY 2024/25 of Kshs.6.68 million. The total revenue consisted of Kshs.5.9 billion from the equitable share of revenue raised nationally, additional allocations from the national government and development partners of Kshs.512.95 million, and own-source revenue (OSR) collection of Kshs.489.13 million. Additionally, the County had a cash balance of Kshs.810.96 million from FY 2024/25. The total OSR collection of Kshs.489.13 million included Facilities Improvement Financing (FIF) of Kshs.444.86 million, and Kshs.44.27 million from other OSR sources. Table 3.95 summarises the total revenue available to the County Government during FY 2025/26.

Table 3.95: Garissa County, Revenue Performance in the first nine months of FY 2025/26

No	Revenue Stream	Annual Targeted Revenue (Kshs.)	Actual Receipts (Kshs.)	Receivables in the first nine months of FY 2025/26 (Kshs.)	Total Revenues (in accrual basis) in the first nine months of FY 2025/26 (Kshs.)	Revenue Performance
		A	B	C	D	F=D/A*100
A	**Unspent Balance from FY 2023/24**					
1	Balance at CRF	**2,011,923,772**	**810,793,554**	-	**810,793,554**	**40**
2	County Executive Refunds to CRF	-	**158,084**	-	**158,084**	-
3	County Assembly Refunds to CRF	-	**7,261**	-	**7,261**	-
	Sub-Total	**2,011,923,772**	**810,958,899**		**810,958,899**	**40**
B	**Equitable Share of Revenue Raised Nationally**	**8,877,784,676**	**5,903,726,810**	**710,222,774**	**6,613,949,584**	**75**
	Sub-Total	**8,877,784,676**	**5,903,726,810**	**710,222,774**	**6,613,949,584**	**75**
C	**Additional Allocations (Including Grants)**					
I	**Unconditional Additional Allocations to County Governments**					
A	Allocations for 20% Share of Mineral Royalties	**844,692**	-	-	-	**-**
II	**Conditional Additional Allocations from the National Government's**					
A	Settlement of Doctors' Salary Arrears	**32,981,339**	-	-	-	**-**
B	Community Health Promoters (CHPs) Programme	**74,520,000**	-	-	-	**-**
C	Allocations for 0.5 % of the Housing Levy Fund to the County Rural and Urban Affordable Housing Committees	**1,987,622**	-	-	-	**-**
3	**Conditional Allocations from Loans and Grants**					

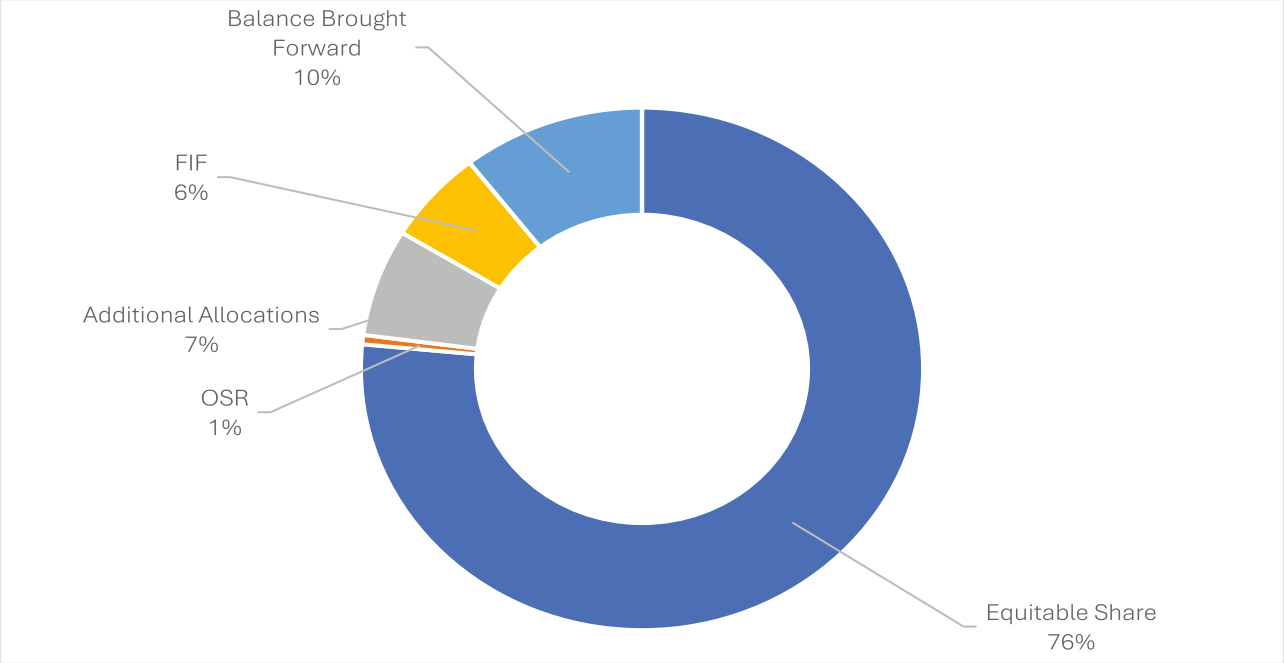
No	Revenue Stream	Annual Targeted Revenue (Kshs.)	Actual Receipts (Kshs.)	Receivables in the first nine months of FY 2025/26 (Kshs.)	Total Revenues (in accrual basis) in the first nine months of FY 2025/26 (Kshs.)	Revenue Performance
		A	B	C	D	F=D/A*100
1	Financing of FLLoCA County Climate Resilience Investment (CCRI) Grant	**188,293,356**	**169,464,019**	**-**	**169,464,019**	**90**
2	Food Systems Resilience Project (FSRP)	**246,153,846**	**110,059,820**	-	**110,059,820**	**45**
3	Kenya Devolution Support Programme Phase Two (KDSP II) Level I Grant	**72,909,500**	**35,253,471**	-	**35,253,471**	**48**
4	Kenya Devolution Support Programme Phase Two (KDSP II) Level 2 Grant	**352,500,000**	-	-	-	**-**
5	Kenya Urban Project (KUSP)-Urban Institutional Grant (IUG)	**35,000,000**	**32,309,100**	-	**32,309,100**	**92**
6	Kenya Urban Project (KUSP)-Urban Development Grant (UDG)	-	-	-	-	-
7	Primary Health Care in Devolved Context (PHDC) Programme	**11,322,000**	-	-	-	**-**
8	Water & Sanitation Development Project (WSDP)	**150,000,000**	**102,000,000**	-	**102,000,000**	**68**
9	Road Maintenance levy fund (RMLF)	**188,410,093**	**63,863,645**	-	**63,863,645**	**34**
	Sub-Total	**1,354,922,448**	**512,950,055**	**-**	**512,950,055**	**38**
D	**Ordinary Own Source Revenue (OSR)**					
1	Land Rates	**20,000,000**	**1,335,059**	-	**1,335,059**	**7**
2	Business Permits	**15,000,000**	**12,064,781**	-	**12,064,781**	**80**
3	Livestock Cess	**14,550,000**	**4,834,490**	-	**4,834,490**	**33**
4	Sales of Flowers, Plants, Firewood, Produce, etc.	**600,000**	**187,500**	-	**187,500**	**31**
5	Market Entrance / Gate Fee	**18,000,000**	**14,421,044**	-	**14,421,044**	**80**
6	Produce Inspection Fee - Weight and Measure	**500,000**	**3,200**	-	**3,200**	**1**
7	Vehicles Enclosed Park/Reserved Fees (Cars, Lorries, etc.)	**4,500,000**	**7,000**	-	**7,000**	**-**
8	Miraa Cess	**10,000,000**	**8,418,951**	-	**8,418,951**	**84**
9	Slaughtering Administration Fee	**1,800,000**	**105,000**	-	**105,000**	**6**
10	Livestock Movement permit	**2,430,000**	**1,507,790**	-	**1,507,790**	**62**
11	Environment and Natural Resources	**5,120,000**	**-**	-	**-**	-
12	Buildings Plan Approval Fee	**3,500,000**	**27,000**	-	**27,000**	**1**
13	Outdoor Advertisement	**3,000,000**	**-**	-	**-**	-
14	Right-of-Way / Way-Leave Fee (KPLN, Telkom, etc.)	**2,000,000**	**1,355,042**	-	**1,355,042**	**68**
	Sub-Total	**101,000,000**	**44,266,857**		**44,266,857**	**44**

No	Revenue Stream	Annual Targeted Revenue (Kshs.)	Actual Receipts (Kshs.)	Receivables in the first nine months of FY 2025/26 (Kshs.)	Total Revenues (in accrual basis) in the first nine months of FY 2025/26 (Kshs.)	Revenue Performance
		A	B	C	D	F=D/A*100
E	**Facility Improvement Financing (FIF)**					
1	SHIF	**340,000,000**	**442,200,874**	**222,309,979**	**664,510,853**	**195**
2	Defunct NHIF	**9,000,000**	**2,658,189**	-	**2,658,189**	**30**
	Sub-Total	**349,000,000**	**444,859,063**	**222,309,979**	**667,169,042**	**191**
Total		**12,694,630,896**	**7,716,761,684**	**932,532,753**	**8,649,294,437**	**68**

Source: *Garissa County Treasury*

The County did not receive some of the conditional allocation within the reporting period thus some performance below 60 per cent. The County has governing legislation on the operation of ordinary A-I-A and FIF. Figure 3.37 provides a detailed breakdown of receipts.

Figure 3.37: Garissa County Composition of Revenue in the first nine months of FY 2025/26

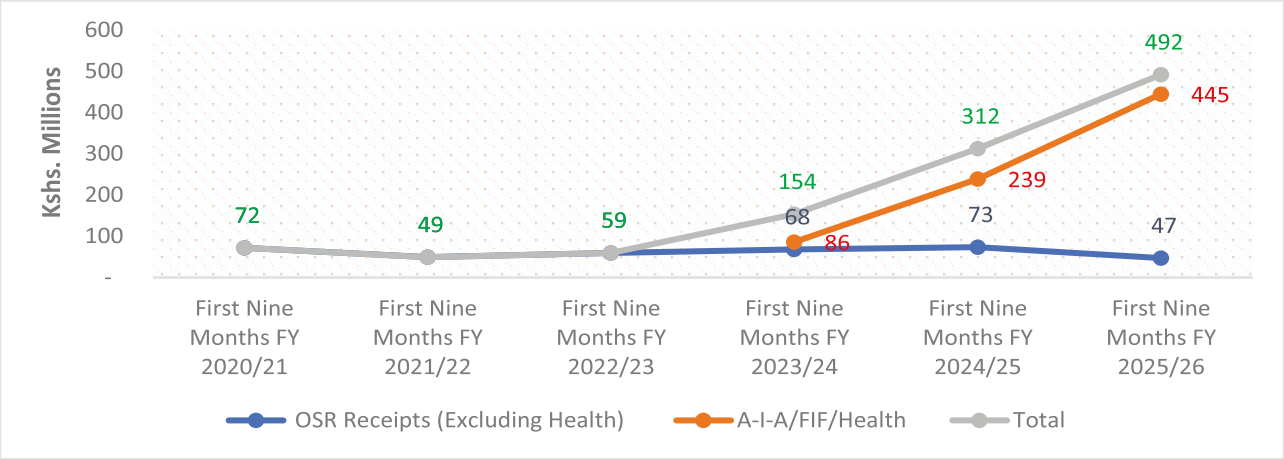


Source: *Garissa County Treasury`*

The equitable share of revenue raised nationally, OSR, and FIF contributed 76 per cent, one per cent and 6 per cent, respectively, of the total receipts for the reporting period.

Figure 3.38 shows the collection trend in own-source revenue from the first nine months of FY 2020/21 to the first nine months of FY 2025/26.

Figure 3.38: Garissa County Trend in Own-Source Revenue Collection from the first nine months of FY 2020/21 to the first nine months of FY 2025/26



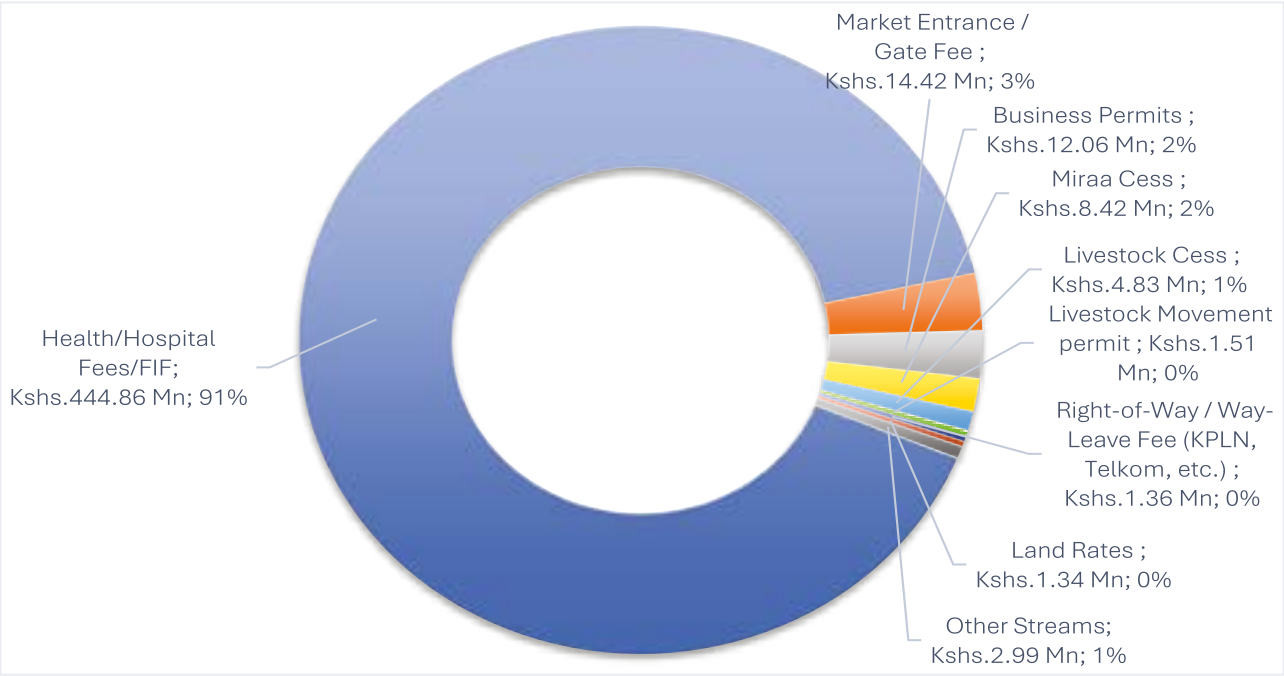
Source: *Garissa County Treasury*

During the first nine months of FY 2025/26, the County received Kshs.491.78 million from OSR, including FIF. This amount was an increase of 58 per cent compared to Kshs.312.20 million realised in a similar period in FY 2024/25, and was 109 per cent of the annual target and 8 per cent of the equitable revenue share disbursed.

The increase in OSR was attributed to collections from FIF, which were caused by an increase in SHA enrolment among county residents. Similarly, the decline recorded in the ordinary OSR was caused by severe droughts in the county, thus negatively affecting the cess collections from Livestock. Additionally, the executive order, which gave municipalities the authority to collect fees and levies, has negatively impacted the performance and the reporting of revenues collected from various revenue streams.

The revenue streams that contributed the most to OSR receipts are shown in Figure 3.39.

Figure 3.39: Garissa County Top Own Source Revenue Streams in the first nine months of FY 2025/26



Source: Garissa County Treasury

As shown in Figure 3.39, the largest revenue stream, at Kshs.444.86 million, was Garissa Health/Hospital Fees/FIF, accounting for 91 per cent of total OSR receipts. The County Government indicated that it does not have an automated Garissa revenue system. Without an automated revenue system, a county government like Garissa faces significant structural and financial risks. Relying on manual processes.

3.7.3 Revenue Receivables

As of 1st July 2025, the County reported receivables of Kshs.193.52 million, which increased to Kshs.1.14 billion as of 31st March 2026. The County manages its receivables using a manual system with an accrual-basis option. Table 3.2 presents a breakdown of the County's receivables.

As of 1st July 2025, the County reported revenue receivables of Kshs.193.52 million, which increased to Kshs.932.53 million as of 31st March 2026. Table 3.96 presents a breakdown of the County's receivables.

Table 3.96: Garissa County Receivables as of 31st March 2026

No	Revenue Stream	Receivables as of 1 July 2025 (Kshs.)	Progress made in the first nine months of FY 2025/26			Receivables as of 31st March 2026 (Kshs.)
			Waivers (Kshs)	Arrears paid in the financial year (Kshs)	Arrears earned in the first nine months of FY 2025/26 (Kshs)	
		A	b	c	d	f=a-b-c+d
A	**Equitable Share of Revenue Raised Nationally**					
1	Month of March	-			710,222,774	710,222,774
	Sub-Total	-	-	-	710,222,774	710,222,774
B	**Facility Improvement Financing (FIF)**					
1	SHIF	114,235,972	-	188,499,701	47,492,704	350,228,377
2	Defunct NHIF	79,284,433				79,284,433
	Sub-Total	193,520,405	-	188,499,701	47,492,704	429,512.810
Total		193,520,405	-	188,499,701	757,715,478	1,139,735,585

Source: Garissa *County Treasury*

As of 31st March 2026, the revenue receivables totalled to Kshs.1.14 billion, comprising Kshs.710.22 million for Equitable Share of Revenue Raised Nationally for month of March (62 per cent) and Kshs.429.51 million for Facility Improvement Fund (FIF)(38 per cent) The measures instituted by the County to collect the outstanding arrears in FY 2025/26 include constituting payment arrangements with the SHA and initiation of a litigation process to compel the authority to clear the long-outstanding arrears.

3.7.4 Borrowing by the County

Garissa County Executive/ Assembly has no credit facility with any bank.

3.7.5 Withdrawals from the County Revenue Fund and County Assembly Fund

During the reporting period, the Controller of Budget approved exchequer withdrawal requests totalling Kshs.6.75 billion from the Garissa County Revenue Fund (CRF) account. This amount consisted of Kshs.2.01 billion (30 per cent) designated for development programs and Kshs.4.74 billion (70 per cent) allocated for recurrent programs.

An analysis of the released recurrent exchequers shows that Kshs.3.60 billion was allocated to employee compensation and Kshs.1.13 billion to operations and maintenance expenditures. Within the operations and maintenance category, 6 per cent was for domestic travel and one per cent for foreign travel. The domestic travel exchequers totalled Kshs.62.17 million, which included Kshs.6.27 million for the County Executive and Kshs.55.89 million for the County Assembly. Meanwhile, the foreign travel exchequers amounted to Kshs.10.08 million, with zero amount for the County Executive and Kshs.10.08 million for the County Assembly.

As of 31st March 2026, the County Government's cash balance in the Garissa CRF account was Kshs.1.17 billion.

In addition, the Controller of Budget approved exchequer withdrawal requests totalling Kshs.670.38 million for the Garissa County Assembly account during the review period. This amount comprised Kshs.28.19 million for development activities and Kshs.642.20 million for recurrent activities.

As of 31st March 2026, the County Government's cash balance in the Garissa CRF account was Kshs.1.53 million.

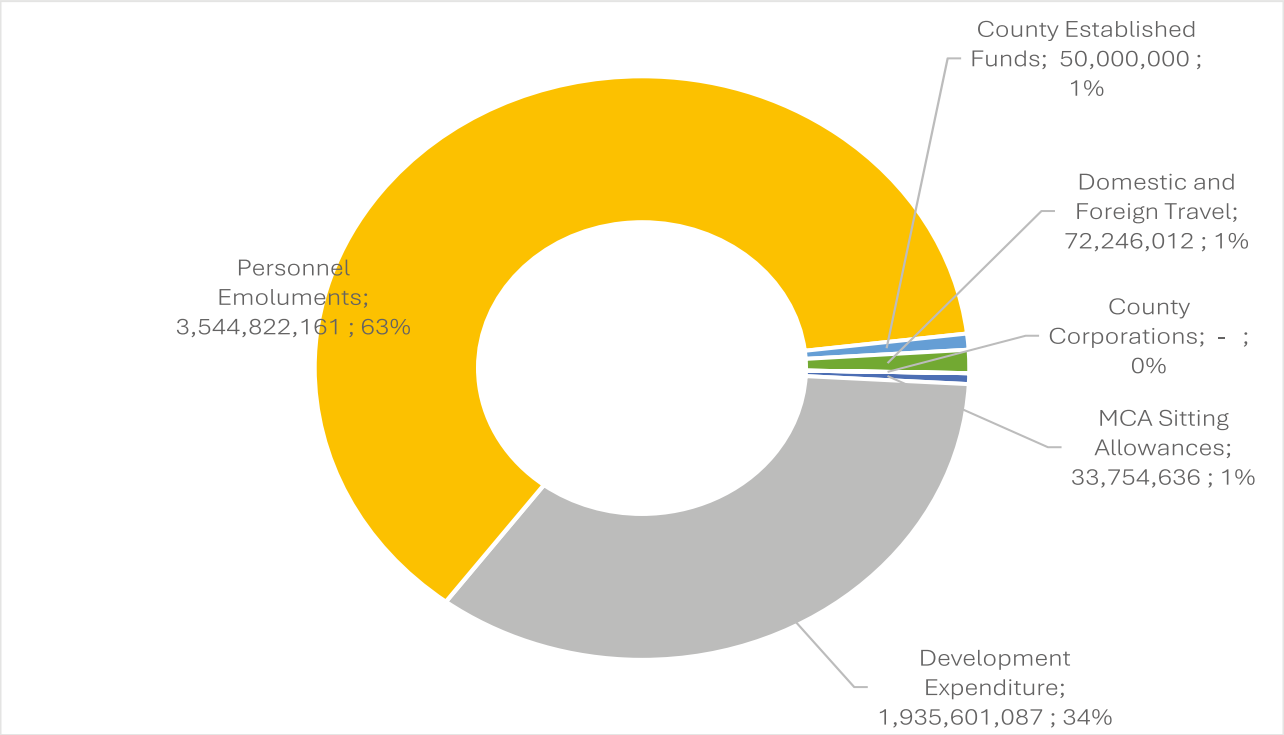
The County had not operationalised the County Assembly Fund as of 31st March 2026.

3.7.6 Expenditure Review

The County spent Kshs.6.45 billion on development and recurrent programmes during the reporting period. The expenditure represented 96 per cent of the total funds released by the CoB. It comprised Kshs.1.94 billion for development programmes and Kshs.4.52 billion for recurrent programmes. Expenditure on development programmes accounted for 38 per cent of the annual development expenditure budget, while recurrent expenditure accounted for 59 per cent of the annual recurrent expenditure budget.

Figure 3.40 provides a detailed breakdown of total expenditure.

Figure 3.40: Garissa County Composition of Expenditure in the first nine months of FY 2025/26



Source: Garissa *County Treasury*

As shown in Figure 3.40, the three highest expenditure categories were Garissa Personnel Emoluments, Garissa Development Expenditure, and Domestic & Foreign Travel, contributing 63, 34 and one per cent of total expenditure for the reporting period.

3.7.7 Expenditure by Economic Classification

The County Executive incurred Kshs.3.17 billion in employee compensation, Kshs.703.26 million in operations and maintenance, and Kshs.1.90 billion in development activities. Similarly, the County Assembly spent Kshs.373.87 million on compensation of employees, Kshs.268.33 million on operations and maintenance, and Kshs.35.62 million on development activities, as shown in Table 3.97.

Table 3.97: Garissa County Summary of Budget and Expenditure by Economic Classification

Expenditure Classification	Approved Budget (Kshs.Mn) (a)		Amount Paid in the first nine months of FY 2025/26 (Kshs. Mn) (b)		Expenditure Accrued in the first nine months of FY 2025/26 (Kshs.Mn) (c)		Total Expenditure in the first nine months of FY 2025/26 (Kshs.Mn) (d=b+c)		Absorption (%) (d/a*100)	
	Executive	Assembly	Executive	Assembly	Executive	Assembly	Executive	Assembly	Executive	Assembly
Total Recurrent Expenditure	**6,657**	**1,010**	**3,752**	**642**	**122**		**3,874**	**642**	**58**	**64**
Compensation of Employees	4,558	707	3,065	374	106		3,171	374	70	53
Operations and Maintenance	2,099	303	687	268	16		703	268	34	88
Development Expenditure	**4,886**	**141**	**1,900**	**28**		**7**	**1,900**	**36**	**39**	**25**
Total	**11,543**	**1,152**	**5,652**	**678**	**122**	**7**	**5,774**	**678**	**50**	**59**

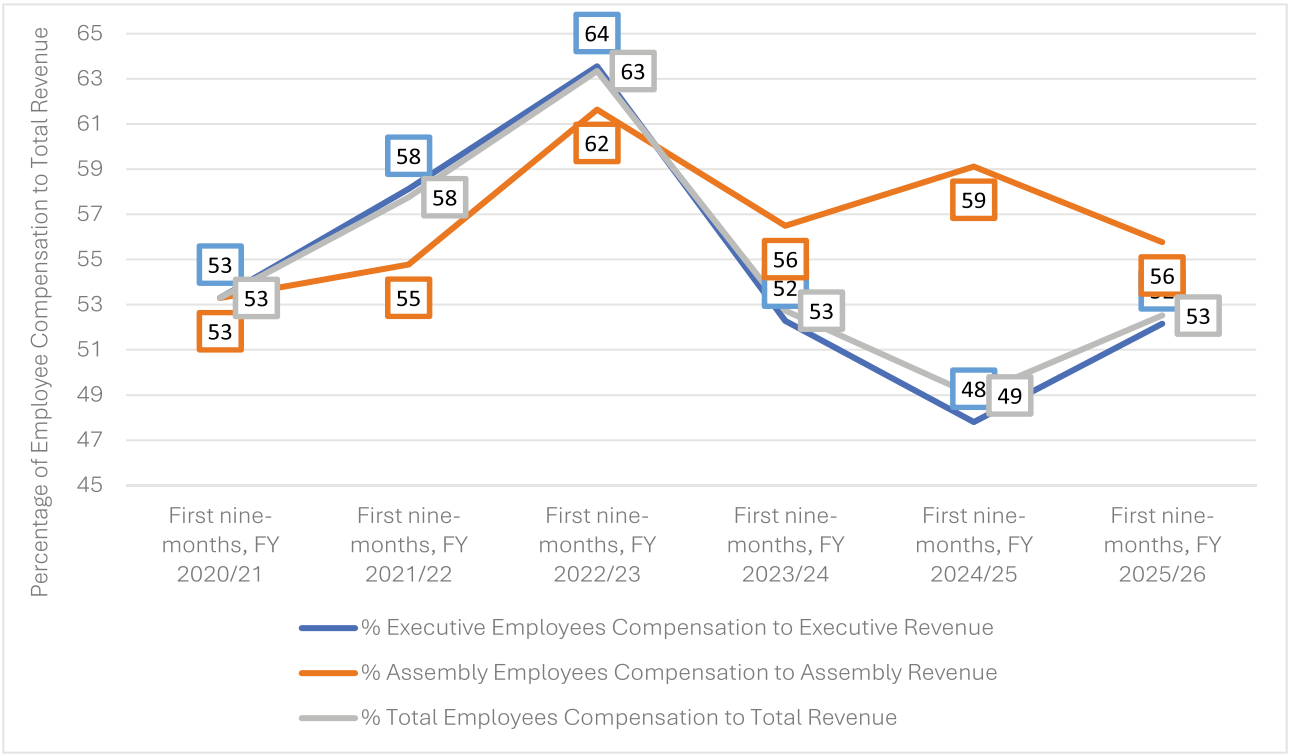
Source: *Garissa County Treasury*

3.7.8 Expenditure on Employee Compensation

The expenditure on employee compensation totalled Kshs.3.54 billion, representing 53 per cent of revenue. This expenditure on employee compensation shows. an increase compared to the Kshs.3.10 million reported in a similar period in FY 2024/25. Of this total, Kshs.1.50 billion related to Health Sector employees, accounting for 42 per cent of the overall employees' compensation. There was an increase of 14 per cent in compensation of employees compared to the previous period performance because of the introduction of the accrual reporting system and employment of more CHEWs.)

Figure 3.41 shows the trend in employee compensation as a percentage of total revenue from the first nine months of FY 2020/21 to the first nine months of FY 2025/26.

Figure 3.41: Percentage of Employee Compensation Expenditure to Total Revenue Received in the first nine months of FY 2020/21 to the first nine months of FY 2025/26



Source: Garissa County Treasury

Further analysis shows that Kshs.3.35 billion of Personnel Emoluments (PE) were processed via the Human Resource Information System (HRIS), while Kshs.87.04 million (3% of total PE) was processed through manual payroll. Compared with the similar period in FY 2024/25, when Total Employee compensation fell sharply to 49% of revenue, reflecting aggressive cost optimisation and workforce restructuring after a FY 2022/23 peak. The manual-payroll share remained a small but material residual of payroll processing. Self-reported justification by County Executive: continued use of manual payroll attributed to lack of personal (staff) numbers preventing onboarding into HRIS while County Assembly similarly reported absence of personal numbers for certain staff as the reason for processing pay manually.

As illustrated in Figure 3.41, the Percentage of Employee Compensation to Revenue experienced notable fluctuations over the six-year period, primarily characterised by a significant peak in FY 2022/23 followed by a sharp correction. The initial upward trajectory from 53% in FY 2020/21 to a peak of 64% for Total Employees in FY 2022/23 indicates a period during which payroll and compensation expenses grew faster than revenue realisation. This was driven by aggressive hiring phases, market-driven wage increases and temporary revenue stagnation. Conversely, the subsequent steep decline to a trough in FY 2024/25—when Total Employee compensation dropped to 49% of revenue—was a highly effective period of cost optimisation and workforce restructuring. Interestingly, Assembly Employee compensation remained more rigid during this downturn, hovering between 57% and 59%, pointing to higher fixed labour costs or sustained headcount in assembly operations. By FY 2025/26, the metrics show a stabilisation near their historical 52–53% baselines, reflecting a restored and sustainable alignment between workforce expenses and revenue generation.

The manual payroll comprised salaries for 195 staff not onboarded into the Human Resource Information System (HRIS), salaries for 508 casual staff, and top-up allowances for security personnel as shown in Table 3.98.

Table 3.98: Breakdown of Garissa County Manual Payroll

Sno.	Description of Manual Payroll	Amount (Kshs.)
1	Salaries for staff yet to be onboarded into HRIS	48,790,030
2	Salaries for casual staff	12,271,593
3	Top-up Allowances for Security Officers	7,224,565
5	Community Health Workers	18,750,000
	Total	**87,036,188**

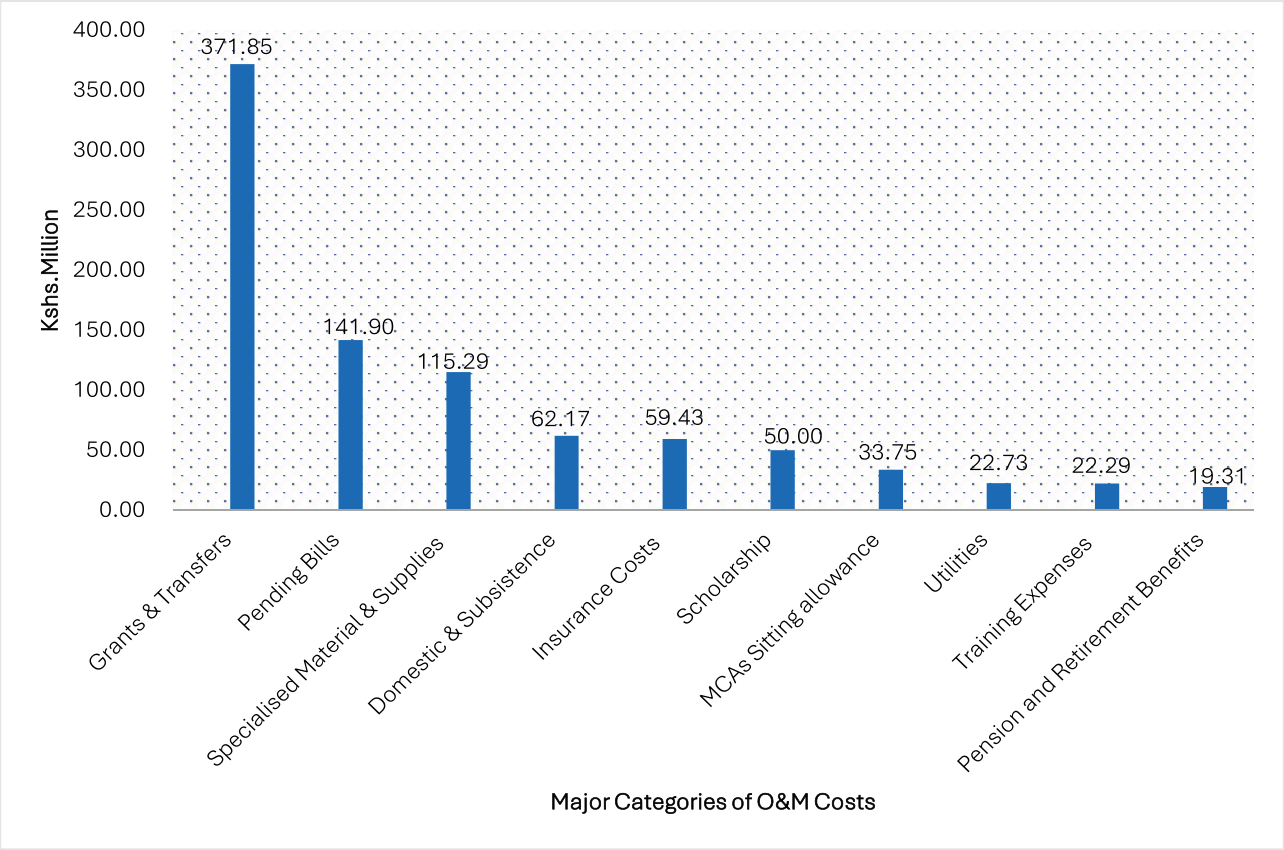
Source: Garissa County Treasury

The County Assembly spent Kshs.33.75 million on committee sitting allowances for the 48 MCAs against the annual budget allocation of Kshs.78.30 million. The average monthly sitting allowance was Kshs.78,136 per MCA. The County Assembly has 24 House Committees.

3.7.9 Expenditure on Operations and Maintenance

During the reporting period, the County spent Kshs.971.60 million on operations and maintenance, representing a decrease of 9 per cent compared to a similar period in FY 2024/25, when the County spent Kshs.1.05 billion. Figure 3.42 illustrates the distribution of Operations and Maintenance expenditures across the major spending categories.

Figure 3.42: Garissa County, Operations and Maintenance Expenditure by Major Categories



Source: *Garissa County Treasury*

Grants & Transfers of Kshs.371.85 million were the largest O&M category, representing 43 per cent of total O&M costs. Level 5 sub-programme under the health and sanitation department used Kshs.183.54 million, which was 49 per cent of the grants & Transfers. This money was mostly for the payment of medical supplies for the Garissa County Referral Hospital to KEMSA. The second largest O&M expenditure was trade payables at Kshs.141.90 million, indicating over-commitment relative to actual revenue or a systemic cash flow problem caused by unpaid bills to suppliers, contractors and service providers. These exceptions collectively indicate that Garissa County's O&M budget is not primarily funding day-to-day operations but rather is being used to service past debts, transfer funds to other entities, and sustain administrative overheads. This structural distortion represents a significant deviation from ideal O&M expenditure patterns, where direct service delivery costs (utilities, maintenance, supplies) should dominate.

3.7.10 County-Established Funds

Section 116 of the PFM Act 2012 allows County Governments to establish other public funds, subject to approval from the County Executive Committee and the County Assembly. The County allocated Kshs.90 million to County-Established funds in FY 2025/26, or 0.75 per cent of the County's overall budget. Further, the County allocated Kshs.40 million to the Emergency Fund (0.33 per cent of the total budget) in line with Section 110 of the PFM Act, 2012. Table 3.99 summarises each established Fund's budget allocation and performance during the reporting period.

Table 3.99: Performance of Garissa County Established Funds in the first nine months of FY 2025/26

S/No.	Name of the Fund	Year Established	Approved Budget Allocation in FY 2025/26 (Kshs.)	Exchequer Issues in the first nine months of FY 2025/26 (Kshs.)	Actual disbursements in the first nine months of FY 2025/26 (Kshs.)	Cumulative disbursements to the Fund (Kshs)	Submission of Financial Statements (Yes/No.)
		County Executive Established Funds					

S/No.	Name of the Fund	Year Established	Approved Budget Allocation in FY 2025/26 (Kshs.)	Exchequer Issues in the first nine months of FY 2025/26 (Kshs.)	Actual disbursements in the first nine months of FY 2025/26 (Kshs.)	Cumulative disbursements to the Fund (Kshs)	Submission of Financial Statements (Yes/No.)
1	Disaster Management Fund/ Emergency	March, 2013 Renewed in August, 2025	40,000,000	-	-	724, 969,431	YES
2	Bursary Fund	May, 2013 Renewed August 2024	50,000,000	50,000,000	50,000,000	675,000,000	YES
3	Micro and Small Enterprises Development Revolving Fund	August, 2018	-	-	-	40,000,000	NO
	Total		**90,000,000**	**50,000,000**	**50,000,000**	**1,409,969,431**	

Source: Garissa County Treasury

During the reporting period, the CoB did receive quarterly financial reports from the Bursary Fund and Disaster Management Fund/ Emergency Fund Administrators, but did not receive from the Micro and Small Enterprises Development Revolving Fund, as indicated in Table 3.6, contrary to the requirement of Section 168 of the PFM Act, 2012. The County disclosed that administration costs of the Bursary Fund were within the 3 per cent limit of the Fund budget set in Regulation 197(1)(d) of the Public Finance Management (County Governments) Regulations, 2015.

Regulation 197(1)(i) of the Public Finance Management (County Governments) Regulations, 2015, allows County Governments to establish public funds with a lifespan capped at 10 years unless extended by the County Assembly. In FY 2025/26, the CoB established that the lifespan of all the Funds had been extended.

3.7.11 County Corporations

The County has only one operational County Corporation, which was allocated Kshs.50 million in FY 2025/26. The second one is still in the final stages before it commences. The total expenditure for the review period was nil, as shown in Table 3.100.

Table 3.100: Performance of Garissa County Corporations in the first nine months of FY 2025/26

S/No.	Name of the Corporation	Approved Budget Allocation in FY 2025/26 (Kshs.)	Exchequer Issues (Kshs.)	Actual Transfers in the first nine months of FY 2025/26 (Kshs.)	Cumulative Transfers to the Corporation since its inception (Kshs.)
	Garissa Water and Sewerage Company	50,000,000	-	-	345,000,000
	Total	**50,000,000**	**-**	**-**	**345,000,000**

Source: *Garissa County Treasury*

3.7.12 Expenditure on Domestic and Foreign Travel

Expenditure on domestic travel amounted to Kshs.62.17 million and comprised Kshs.55.89 million spent by the County Assembly and Kshs.6.27 million by the County Executive. Expenditure on foreign travel amounted to Kshs.10.08 million and comprised all Kshs.10.08 million by the County Assembly alone. Expenditure on foreign travel is summarised in Table 3.101.

Table 3.101: Summary of Expenditure on Foreign Travel in the first nine months of FY 2025/26

Arm of County Government	Number of Officers Travelled	Date travelled	Purpose of the travel	Destination	Actual Payment on Travel (a) (Kshs.)	Accrued Expenditure on Travel (b) (Kshs.)	Total Expenditure on Travel (c=a+b) (Kshs.)
County Assembly	1	26TH September - 7th October 2025	Member travelled to Canada to represent the County organised by the Ministry of Labour and Social Protection	Canada	1,004,320	-	1,004,320
County Assembly	1	15/9/25 - 28/9/25	Leadership Development Skills by Strathmore Business School	Italy	990,690	-	990,690
County Assembly	6	17 - 21/11/2025	Leadership Development Skills for County Assembly Members by ESAMI	Istanbul, Turkey	4,629,360	-	4,629,360
County Assembly	8	16th to 24th Dec 2025	to attend a high-level study, visit and policy dialogue with key Rwandan Agencies and executives in local government systems, in Kigali, Rwanda, from	Rwanda Kigali	3,454,899	-	3,454,899
Total					10,079,269	-	10,079,269

Source: Garissa County Treasury and Garissa County Assembly

3.7.13 Facility Improvement Financing

During the review period, the County reported collections of Kshs.444.86 million as FIF, which was 191 per cent of the annual target of Kshs.349 million. The collected amount was retained and utilised at source in line with the Facility Improvement Financing Act, 2023. The County has developed regulations to operationalise the FIF Act of 2023.

The expenditure by the health facilities amounted to Kshs.353.34 million, as shown in Table 3.102.

Table 3.102: Garissa County Health Facilities Expenditure Performance in the first nine months of FY 2025/26

No.	Health Facility		Number of Facilities	Approved Budget (Kshs.)	Actual Expenditure (Kshs.)	Absorption rate (%)
1.	Level 5 Hospital		1	262,970,625.8	273,766,563	104
2.	Level 4 Hospital		7	86,029,374.16	79573935	92
	Total		**8**	**349,000,000**	**353,340,498**	**101**

Source: *Garissa County Treasury*

3.7.14 Development Expenditure

In the review period, the County reported spending Kshs.1.94 billion on development programmes, representing an increase of 13 per cent compared to FY 2024/25, when the County spent Kshs.1.72 billion. Table 3.103 summarises the development projects with the highest expenditure in the reporting period.

The increase in development expenditure was attributed to the maturation of Kenya's devolution framework, the strategic prioritisation of infrastructure in Arid and Semi-Arid Lands (ASALs), and a significant influx of conditional grants from international development partners. Historically, Northern Kenya suffered from systemic underinvestment; however, the implementation of the 2010 Constitution of Kenya mandat-

ed that at least 30 per cent of county budgets be allocated to development, a threshold that Garissa has consistently sought to exceed to address historical marginalisation.

Table 3.103: Garissa County, List of Development Projects with the Highest Expenditure

No	Sector	Project Name	Project Location	Project Commencement Date	Expected date of Completion of the Project	Contract sum (Kshs)	Total Funding in FY 2025/26 (Kshs.)	Expenditure (on an accrual basis) in the first nine months of FY 2025/26 (Kshs.)	Cumulative project expenditure (on an accrual basis) as of 31st March 2026 (Kshs.)	Percentage (%) of Completion
County Funded Projects										
1	Health and Sanitation	Proposed Construction of Mother and Child Hospital at Garissa County Referral Hospital	Garissa Township	6TH JUNE 2024	12TH JUNE 2026	663,678,404	180,000,000	72,000,000	270,000,000	50
2	Road Transport & Public Works	Construction Of Terminal Building at Garissa Airstrip	Garissa Township	7TH NOVEMBER 2024	30TH MARCH 2026	109,595,053	20,000,000	67,000,000	67,000,000	80
3	Youth And Sports	Construction of pavilion and perimeter fence	Garissa Township	5TH February 2025	5TH FEB 2027	187,800,000	70,000,000	62,000,000	96,500,000	80
4	Road Transport & Public Works	Upgrading to bitumen standards of Bula Madina Burbris Road	Garissa Township	30TH JUNE 2025	5TH FEB 2026	93,060,016	93,500,000	86,500,000	86,500,000	100
5	Trade, Investments and Enterprise Development	Construction Of County Aggregation and Industrial Park	Garissa Township	23RD OCT 2023	26TH FEBRUARY 2026	490,636,205	50,000,000	50,000,000	450,000,000	90
6	Education, Information and ICT	Supply & Delivery of ECD & Vocational Centres Learning Materials	Garissa Township	23RD JUNE 2025	15TH JULY 2025	24,950,000	25,000,000	24,950,000	24,950,000	100
7	Agriculture, Livestock, and Pastoral Economy	Proposed renovation & completion of FSRP office block	Garissa Township	15TH JUNE 2025	30TH SEPTEMBER 2025	21,284,360	22,000,000	21,284,360	21,284,360	80
8	Water, Environment and Natural Resources	Proposed Construction of Denka Water Pan	Lagdera	30TH JUNE 2025	30-Nov-25	16,814,060	18,000,000	16,814,060	16,814,060	100
9	Water, Environment and Natural Resources	Proposed Construction of Daad Bilan Water Pan	FAFI	23RD Jan 2026	30TH OCT 2025	14,695,057	15,000,000	14,695,057	14,695,057	100
10	Water, Environment and Natural Resources	Drilling and equipping of Arera Borehole	Lagdera	19TH Jan 2025	28-Sep-25	13,402,640	15,000,000	13,402,640	13,402,640	100

Source: Garissa County Treasury

The County reported 4 stalled development projects as of 31st March 2026, with an estimated value of Kshs.283.54 million, of which Kshs.64.00 million has already been paid. The stalled projects are shown in Table 3.104.

Table 3.104: Garissa County Stalled Projects as of 31st March 2026

No	Sector	Project Name	Project Location	Project Start Date	Expected Completion Date of the Project	Estimated Value of the Project (Kshs.)	Amount Paid on the stalled project (Kshs.)	Accrued Expenditure on the stalled project (Kshs.)	Outstanding Unpaid Balance As of 31st March 2026	Percentage of Completion before stalling of the Project
1	Health and Sanitation	Construction of Health Headquarters	Township	2018	2021	46,563,340	30,000,000			90
2	Health and Sanitation	Construction of Dispensary block at Gedilun Sangailu	Ijara	Jan, 2019	Dec, 2019	5,673,942	2,000,000			30
3	Health and Sanitation	Construction and Equipping of Cancer Centre	Township	2021	2022	222,289,475	30,000,000			5
4	Health and Sanitation	Construction of Maternity at Bura	Township	2020	2021	9,013,440	2,000,000			20
	Total					283,540,197	64,000,000			

Source: Garissa County Treasury

The County attributed the stalling of the projects to inadequate budgetary allocations.

3.7.15 Budget Performance by Department

Table 3.105 summarises the approved budget allocation, expenditure, and absorption rate by department for the period under review.

Table 3.105: Garissa County, Budget Allocation and Absorption Rate by Department in the first nine months of FY 2025/26

Department	Revised Budget Allocation (Kshs. Million)		Exchequer Received (Kshs. Million)		Expenditure (Kshs. Million)		Expenditure to Exchequer (%)		Absorption rate (%)	
	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev
Agriculture, Livestock and Pastoral	177.46	463.10	160	197.79	125.71	217.57	79	110	71	47
Culture, Gender, Youth and Sports	63.01	276.79	52.52	29.87	37.13	63.45	71	212	59	23
Roads, Transport and Public Works	101.99	956.82	91.25	387.90	72.33	337.20	79	87	71	35
Education, Information and ICT	447.16	118	320.77	100.43	318.66	79.99	99	80	71	68
Lands, Physical Planning and Urban Development	575.10	464.46	386.14	70.63	355.40	93.90	92	133	62	20
Finance and Economic Planning	991.22	166	553.77	27.60	516.65	113.58	93	412	52	68
Health and Sanitation	3,342.48	528	1,895.86	391.35	1,893.61	361.15	100	92	57	68
Trade, Investments and Enterprise Development	90.81	100	65.23	56.45	64.22	49.48	98	88	71	49
Water, Environment and Natural Resources	197.76	1,433.70	132.62	723.87	107.79	583.66	81	81	55	41
County Affairs, Public Service and Intergovernmental Relations	592.46	379.50	387.52	-	336.96	-	87	-	57	-

Department	Revised Budget Allocation (Kshs. Million)		Exchequer Received (Kshs. Million)		Expenditure (Kshs. Million)		Expen-diture to Exchequer (%)		Absorption rate (%)	
	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev
County Public Service Board	77.30	-	47.90	-	45.75	-	96	-	59	-
County Assembly	1,010.21	141.29	642.20	28.19	642.20	35.62	100	126	64	25
	7,666.96	**5,027.67**	**4,735.78**	**2,014.07**	**4,516.42**	**1,935.60**	**95**	**96**	**59**	**38**

Source: *Garissa County Treasury*

Any performance below 60 per cent and above 90 per cent should be explained.

Analysis of expenditure by departments shows that the three departments of Finance & Economic Planning, Health & Sanitation, and Education, Information and ICT recorded the highest absorption rate of the development budget at 68 per cent, followed by the Department of Trade, Investments & Enterprise Development at 49 per cent. The four departments of Agriculture, Livestock & Pastoral, Roads, Transport & Public Works, Education, Information & ICT and Trade, Investments & Enterprise Development had the highest percentage of recurrent expenditure to budget at 71 per cent, while the Department of Finance and Economic Planning had the lowest at 52 per cent.

3.7.16 Budget Execution by Programmes and Sub-Programmes

Budget execution was concentrated in selected performance bands. In the 1–10 per cent band, recurrent absorption was reported for ICT, information and libraries under the Department of Education, Information and ICT at 3 per cent, for the County Attorney and the delivery unit under the Department of County Executive Services at 5 per cent, and for sports and talent development under the Department of Culture, Gender, Youth and Sports at 7 per cent, while development absorption was reported for social protection and support services under the same department at 10 per cent.

In the 11–20 per cent band, recurrent absorption was reported for planning and monitoring and evaluation under the Department of Finance and Economic Planning at 12 per cent, while development absorption was recorded for urban administration and support services under the Department of Lands, Physical Planning and Urban Development at 20 per cent. In the 21–30 per cent band, development absorption was reported for water infrastructure development under the Department of Water, Environment and Natural Resources at 24 per cent, and for the Office of the Clerk under the County Assembly and sports and talent development under the Department of Culture, Gender, Youth and Sports, both at 25 per cent.

In the 61–70 per cent band, development absorption was reported for administration and support services under the Department of Education, Information and ICT at 69 per cent, for administration and support services under the Department of Finance and Economic Planning at 68 per cent, for administration and support services under the Department of Health and Sanitation at 68 per cent, and for livestock administration and support services under the Department of Agriculture, Livestock and Pastoral at 69 per cent.

In the 71–80 per cent band, development absorption reached 74 per cent for early childhood development under the Department of Education, Information and ICT, while recurrent absorption was recorded for co-operatives development at 78 per cent, agriculture administration and support services at 77 per cent, administration and support services under the Department of Roads, Transport and Public Works at 77 per cent, and administration and support services under the Department of Education, Information and ICT at 76 per cent. In the 81–90 per cent band, development absorption reached 89 per cent for administration and support services under the Department of Water, Environment and Natural Resources.

Low absorption in the lower performance bands, 0–40 per cent, was attributed to the stringent compliance and tendering requirements of the Public Procurement and Asset Disposal Act, which delayed urban administration projects requiring complex technical surveys and lengthy approval cycles; procurement bottlenecks in specialized sectors such as ICT; and a deficit in technical expertise and project management for social and talent-based initiatives. Conversely, performance in the higher bands reflected the prioritization of core operational sub-Programmes such as administration and support services, established procurement frameworks in early childhood development, strong technical capacity in agriculture and co-

operatives, and shovel-ready projects with community buy-in in the water and environment sector during the review period.

Table 3.106 summarises budget execution by programmes and sub-programmes in the period under review with the highest absorption rates.

Table 3.106: Budget Execution by Programmes and Sub-Programmes with Highest Absorption Rates

Programme	Sub-Programme	Gross Approved Estimates FY 2025/26 (Kshs.)	Expenditure (including accrued expenditure) as of 31st March 2026 (Kshs.)	Absorption Rate (%)
DEVELOPMENT				
DEPARTMENT Water, Environment and Natural Resources				
Programme 1. Water Services	Sub-programme 1.1 Administration & Support Services	572,116,944	507,157,186	89
DEPARTMENT Education, Information and ICT				
Programme 2: Education Development	Sub-programme 2.1 ECD	39,000,000	29,000,000	74
Programme 1. General Administration and support services	Sub-programme 1.1 Administration & Support Services	74,000,000	50,994,428	69
DEPARTMENT Finance and Economic Planning				
Programme 1. Administration and support services	Sub-programme 1.1 Administration & Support Services	166,000,000	113,579,840	68
DEPARTMENT Health and sanitation				
Programme 1. Governance, quality assurance and support services	Sub-programme 1.1 Administration & Support Services	528,000,000	361,146,663	68
RECURRENT				
DEPARTMENT Agriculture, Livestock & pastoral				
Programme 4: Cooperatives	Sub-programme 4.1 Cooperatives Development	1,600,000	1,250,000	78
Programme 1: Agriculture	Sub-programme 1.1 Agriculture Administration & Support Services	112,076,039	86,087,983	77
Department Roads, Transport and Public Works				
Programme 1. Administration and support services	Sub-programme 1.1 Administration & Support Services	94,321,484	72,334,192	77
Department Education, Information and ICT				
Programme 1. General Administration and support services	Sub-programme 1.1 Administration & Support Services	416,593,769	314,777,056	76
Department Agriculture, Livestock & pastoral				
Programme 2: Livestock pastoral Economy	Sub-programme 2.1 Livestock Administration and Support Service	55,980,760	38,370,584	69

Source: Garissa County Treasury

The development sub-programmes with the highest budget implementation rates were: Administration & Support Services in the Department of Water, Environment and Natural Resources at 89 per cent, ECD in the Department of Education, Information and ICT at 74 per cent, and Administration & Support Services at 69 per cent.

For recurrent sub-programmes, the top performers included: Cooperatives Development in the Department of Agriculture, Livestock & Pastoral at 78 per cent; Agriculture Administration & Support Services in the same Department at 77 per cent; and Administration & Support Services in the Department of Roads, Transport and Public Works at 77 per cent.

The higher performance of these programmes can be attributed to. Sub-programmes like Administration & Support Services often see higher implementation because they cover core operations (salaries, utilities, and logistics) that must be maintained for the department to function. While ECD (Early Childhood Development) frequently has well-established procurement frameworks for recurring needs (like learning materials or school feeding programmes), allowing for faster fund utilisation compared to complex infrastructure projects. The high performance in Agriculture and Cooperatives suggests a strong technical team capable of rolling out extension services and supporting local cooperatives without the long lead times often required for civil engineering works. In sectors like Water and Environment, high implementation often reflects projects that are already "shovel-ready" with community buy-in, reducing the delays caused by land disputes or environmental impact assessment hurdles.

Table 3.107 summarises the budget execution by programmes and sub-programmes in the period under review that had the lowest absorption rates.

Table 3.107: Budget Execution by Programmes and Sub-Programmes with Lowest Absorption Rates

Programme	Sub-Programme	Gross Approved Estimates FY 2025/26 (Kshs.)	Expenditure (including accrued expenditure) as of 31st March 2026 (Kshs.)	Absorption Rate (%)
DEVELOPMENT				
Department Culture, Gender, Youth and Sports				
Programme 2: Gender and social services	Sub-programme 2.1 Social Protection, Support Service	43,000,000	4,248,003	10
Department Lands, Physical Planning and Urban Development				
Programme 1. Administration and support services	Sub-programme 1.1 Urban Administration & Support Services	464,462,888	93,895,108	20
Department Water, Environment and Natural Resources				
Programme 1. Water Services	Sub-programme 1.2 Water Infrastructure Development	325,000,000	76,505,155	24
Department County Assembly				
Programme 1. Administration and support services	Sub-programme 1.1 Office of the Clerk	141,287,132	35,622,193	25
Department Culture, Gender, Youth and Sports				
Programme 3: Youth and sport Development	Sub-programme 3.2 Sports & talent development	233,790,000	59,200,645	25
RECURRENT				
Department Education, Information and ICT				
Programme 3: ICT, Information and Libraries	Sub-programme 3.1 ICT, Information and Libraries	4,834,356	152,640	3
Department County Executive services				
Programme 1. Executive services	Sub-programme 1.6 County Attorney	40,450,000	2,000,000	5
	Sub-programme 1.9 Delivery unit	2,450,000	132,288	5
Department Culture, Gender, Youth and Sports				

Programme	Sub-Programme	Gross Approved Estimates FY 2025/26 (Kshs.)	Expenditure (including accrued expenditure) as of 31st March 2026 (Kshs.)	Absorption Rate (%)
Programme 3: Youth and sport Development	Sub-programme 3.2 Sports & talent development	3,263,600	220,000	7
Department Finance and Economic Planning				
Programme 3: Economic planning	Sub-programme 3.1 Planning and M&E	8,130,000	1,000,000	12

Source: Garissa County Treasury

The development sub-programmes with the lowest budget implementation rates were as follows: Social Protection, Support Service in the Department of Culture, Gender, Youth and Sports at 10 per cent, Urban Administration & Support Services in the Department of Urban Administration & Support Services at 20 per cent, and Water Infrastructure Development in the Department of Water, Environment and Natural Resources at 24 per cent.

For recurrent sub-programmes, the poorest performers included: ICT, Information and Libraries in the Department of Education, Information and ICT at 3 per cent, County Attorney and Delivery unit both in the Department of County Executive Services at 5 per cent, and Sports & talent development in the Department of Culture, Gender, Youth and Sports at 7 per cent.

The observed performance gaps are primarily driven by three factors. First, the stringent compliance and tendering mandates of the Public Procurement and Asset Disposal Act create significant delays, particularly for Urban Administration projects that necessitate complex technical surveys and lengthy approval cycles. Second, procurement bottlenecks in specialised sectors such as ICT—specifically in equipment sourcing and vendor vetting—have hindered expenditure. Finally, low absorption rates in the Department of Culture, Gender, Youth, and Sports point toward a deficit in technical expertise and project management necessary to implement social and talent-based initiatives.

3.7.17 Settlement of Trade Payables

As of 1st July 2025, the County reported trade payables totalling Kshs.2.59 billion. This amount consisted of Kshs.2.42 billion from the County Executive and Kshs.161.26 million from the County Assembly. The trade payables from the County Executive comprised Kshs.747.21 million for recurrent expenditure and Kshs.1.68 billion for development expenditure.

During the reporting period, the County Executive settled trade payables amounting to Kshs.878.74 million, comprising Kshs.15.74 million (2 per cent) for recurrent programmes and Kshs.863 million (98 per cent) for development programmes. On the other hand, the County Assembly settled trade payables amounting to Kshs.92.09 million, comprising Kshs.61.37 million (67 per cent) for recurrent activities and Kshs.30.72 million (33 per cent) for development activities. The outstanding trade payables as of 31st March 2026 were Kshs.1.55 billion for County Executive and Kshs.69.17 million for County Assembly. Table 3.108 provides additional details of trade payables.

Table 3.108: Garissa County Trade Payables as of 31st March 2026

		County Entity	Development (Kshs.)	Recurrent (Kshs.)	Total (Kshs.)
As at 1 July 2025 (End of FY 2024/25)	a	County Executive	1,677,440,562	747,206,030	2,424,646,592
		County Assembly	45,001,334	116,262,839	161,264,173
		Total	1,722,441,896	863,468,869	2,585,910,765
Trade payables scheduled to be settled in the first nine months of FY 2025/26 per the action plan	b	County Executive	872,100,000	42,500,000	914,600,000
		County Assembly	28,226,334	85,963,287	114,189,621
		Total	900,326,334	128,463,287	1,028,789,621

		County Entity	Development (Kshs.)	Recurrent (Kshs.)	Total (Kshs.)
Amount paid in the first nine months of FY 2025/26	c	County Executive	862,999,802	15,736,346	878,736,148
		County Assembly	30,723,161	61,370,534	92,093,695
		Total	893,722,963	77,106,880	970,829,843
Trade Payables Incurred in the First Nine Months of FY 2025/26	d	County Executive	-	-	-
		County Assembly	-	-	-
		Total	-	-	-
Outstanding trade payables as of 31st March 2026	**e=a-c*b**	**County Executive**	**814,440,760**	**731,469,684**	**1,545,910,444**
		County Assembly	**14,278,173**	**54,892,305**	**69,170,478**
		Total	**828,718,933**	**786,361,989**	**1,615,080,922**

Source: Garissa County Treasury

The County Executive and the Assembly submitted a trade payables payment plan, committing to pay Kshs.128.46 million and Kshs.900.12 million on recurrent and development expenditure, respectively, in FY 2025/26. The County did not adhere to this payment plan, as it cleared Kshs.878.74 million for the Executive and Kshs.92.09 million for the Assembly.

Table 3.109 and Table 3.110 present the ageing of the total outstanding bills as of 31st March 2026 for the County Executive and Assembly, which were Kshs.1.62 billion.

Table 3.109: Garissa County Executive Trade Payables Ageing Analysis as of 31st March 2026

Category	Ageing analysis (Amount in Kshs.)				Total
	Under one year	1-2 years	2-3 years	Over 3 years	
Development Trade PayableS	-	292,315,511	238,000,000	284,125,249	814,440,760
Recurrent Trade Payables (Goods & Services)	145,624,771	-	72,621,067	513,223,846	731,469,684
Recurrent Trade Payables (Salary Arrears and Statutory Deductions)	-	-	-	-	-
Recurrent Trade Payables (Staff Claims)	-	-	-	-	-
Total Recurrent Trade Payables	145,624,771	-	72,621,067	513,223,846	731,469,684
Total Trade Payables	145,624,771	292,315,511	310,621,067	797,349,095	1,545,910,444
% of Total	**9**	**19**	**20**	**52**	**100**

Source: Garissa County Treasury

Table 3.110: Garissa County Assembly Trade Payables Ageing Analysis as of 31st March 2026

Category	Ageing analysis (Amount in Kshs.)				Total
	Under one year	1-2 years	2-3 years	Over 3 years	
Development Trade PayableS	6,911,951	7,366,222	-	-	14,278,173
Recurrent Trade Payables (Goods & Services)	5,091,337	7,750,000	-	-	12,841,337
Recurrent Trade Payables (Salary Arrears and Statutory Deductions)	26,055,126	15,995,842	-	-	42,050,968
Recurrent Trade Payables (Staff Claims)	-	-	-	-	-
Total Recurrent Trade Payables	31,146,463	23,745,842	-	-	54,892,305
Total Trade Payables	38,058,414	31,112,064	-	-	69,170,478
% of Total	**55**	**45**	**-**	**-**	**100**

Source: Garissa County Treasury

As shown in Table 3.109 and Table 3.110, the total salary arrears and statutory deductions for trade payables amounted to Kshs.42.05 million, which represented 3 per cent of the total trade payables of Kshs.1.62

billion as of March 31, 2026. The statutory deductions included tax arrears of Kshs.5.08 million and pension liabilities of Kshs.36.97 million.

Additionally, the two tables indicate that 49 per cent of total trade payables are aged between over 3 years. The ageing analysis shows that 52 per cent of the Executive's trade payables are more than 3 years old, while the County Assembly's debt is relatively recent. This significant accumulation of long-term debt stems from a massive Kshs.2.42 billion legacy balance brought forward at the start of the 2025/26 financial year. These "legacy" debts (inherited from previous financial years or administrations) have persisted without resolution for multiple budget cycles. A primary factor hindering payment is the county's high wage bill—consuming approximately 55% of the Executive's total spending—which severely restricts the liquidity needed to settle outstanding supplier invoices.

A FIFO policy recommends that these historical liabilities, which have been on the books the longest, be prioritised and cleared. Many creditors have waited for over three fiscal cycles for payment. Settling older debts first is a matter of fairness, especially for small-scale suppliers whose businesses may be suffering due to delayed cash flows. The longer a bill remains unpaid, the greater the likelihood that the creditor will seek legal redress, which can lead to additional costs for the county in the form of legal fees and interest penalties. Regulatory bodies and the Office of the Auditor General often flag aged trade payables as a sign of poor fiscal management. A systematic FIFO repayment plan provides a clear audit trail and demonstrates commitment to fiscal responsibility. We also recommend using the Trade Payables Action plan as planned.

3.7.18 General Observations and Recommendations

In the course of overseeing and reporting on the implementation of the Garissa County budget, the CoB identified the following challenges, which hampered effective budget implementation;

i. The County Treasury's late submission of financial reports to the Controller of Budget affected the timely preparation of the budget implementation report, which was received on 28th April, 2026.
ii. High Levels of Trade receivables, which stood at Kshs.1.14 billion as of 31st June 2026.
iii. Low development performance in the review period as the County incurred Kshs.1.94 billion on development activities, achieving a 38per cent absorption rate.
iv. High level of trade payables, which amounted to Kshs.1.62 billion as of 31st March 2026. Furthermore, the County Treasury did not adhere to the trade payables payment plan.
v. Use of manual payroll. Personnel emoluments amounting to Kshs.190.13 million for 195 staff not onboarded into HRIS and 508 casual staff were processed through manual payroll, accounting for 5 per cent of the total payroll cost. Manual payroll is prone to abuse and may result in the loss of public funds.

The County should implement the following recommendations to improve budget execution:

i. *The County Treasury should ensure the timely preparation and submission of financial reports to the Controller of Budget per the timelines prescribed in Section 166 of the PFM Act, 2012.*
ii. *The County should implement a revenue receivables recovery plan, including liaising with SHA to expedite settlement of outstanding claims.*
iii. *The County should implement strategies to increase development expenditures in FY 2025/26.*
iv. *The County Leadership should address the situation of trade payables to ensure that genuine bills are paid promptly in the remaining financial year. Further, compliance with the Trade Payables Action Plan should be enforced.*
v. *The Government requires that salaries be processed through the HRIS system, and the County is advised to fast-track the acquisition of Unified Personnel Numbers for their staff. The County Public Service Board should regulate staff engagement on contract and casual workers as provided under Section 74 of the County Governments Act 2012. Furthermore, strict adherence to the approved staff establishment should be maintained.*

3.8. County Government of Homa Bay

3.8.1 Overview of FY 2025/26 Budget

The Homa Bay County Approved Supplementary Budget for FY 2025/26 is Kshs.13.60 billion. It comprises Kshs.5.19 billion (38 per cent) and Kshs.8.41 billion (62 per cent) allocation for development and recurrent programmes, respectively. The budget estimates represent an increase of Kshs.470.88 million, equivalent to 4 per cent, from the FY 2024/25 budget of Kshs.13.13 billion, which comprised a development budget of Kshs.5.19 billion and a recurrent budget of Kshs.7.94 billion.

The budget is to be financed from various revenue sources, including the equitable share of revenue raised nationally of Kshs.8.65 billion (64 per cent), additional allocations of Kshs.2.74 billion (18 per cent), share of equalisation funds of Kshs.214.02 million (1.6 per cent), receipt for universal Health cre project of Kshs.315 million (2.3 per cent), a cash balance of Kshs.325.75 million (2.4per cent) brought forward from FY 2024/25, and Kshs.1.67 billion (12 per cent) to be generated as own-source revenue. Own-source revenue comprised Kshs.566.18 million to be deposited into the CRF and Kshs.1.1 billion as the Facility Improvement Fund (revenue from health facilities) to be spent at source. A breakdown of the additional allocations is shown in Table 3.111.

3.8.2 Revenue Performance

During the first nine months of FY 2025/26, the County reported total revenues of Kshs.7.26 billion. This amount represented an increase of 1 per cent compared to the amount received in a similar period in FY 2024/25 of Kshs.7.19 billion. The total revenue consisted of Kshs.5.67 billion from the equitable share of revenue raised nationally, additional allocations from the national government and development partners of Kshs.467.34 million, and own-source revenue (OSR) collection of Kshs.1.02 billion. Additionally, the County had a cash balance of Kshs.325.75 million from FY 2024/25. The balance brought forward from FY 2024/25 includes Kshs.102.34 million relating to additional allocations (conditional grants) for FY 2024/25.

The total OSR collection of Kshs.1.02 billion included Facilities Improvement Financing (FIF) of Kshs.714.57 million, and Kshs.304.04 million from other OSR sources. Table 3.111 summarises the total revenue available to the County Government during FY 2025/26.

Table 3.111: Homa Bay County, Revenue Performance in the first nine months of FY 2025/26

S/No.	Revenue Stream	Annual Targeted Revenue (Kshs)	Actual Receipts (Kshs.)	Total Revenues (in accrual basis) in the First Nine Months of FY 2025/26 (Kshs.)	Variance (Kshs.)
		A	B	D=B+C	E=A-D
A	**Unspent Balance from FY 2024/25**				
1	Balance at CRF	325,747,287	104,157,173	104,157,173	221,590,114
2	County Executive Refunds to CRF		1,622,323	1,622,323	1,622,323
3	County Assembly Refunds to CRF		219,437	219,437	219,437
Sub-Total		**325,747,287**	**105,998,933**	**105,998,933**	**219,748,354**
B	**Equitable Share of Revenue Raised Nationally**				
	Equitable Share	8,646,376,063	5,669,078,386	5,669,078,386	2,977,297,677
Sub-Total		**8,646,376,063**	**5,669,078,386**	**5,669,078,386**	**2,977,297,677**
C.	**Transfers from the Equalisation Fund**				
	Equalisation Fund	214,023,965	-	-	214,023,965
Sub-Total		**214,023,965**	**-**	**-**	**214,023,965**
D.	**Additional Allocations**				
	National Value Chain Development Project(NAVCDP)	317,776,329	66,944,053	66,944,053	250,832,276

S/No.	Revenue Stream	Annual Targeted Revenue (Kshs)	Actual Receipts (Kshs.)	Total Revenues (in accrual basis) in the First Nine Months of FY 2025/26 (Kshs.)	Variance (Kshs.)
		A	B	D=B+C	E=A-D
1	National Agriculture And Rural Inclusive Growth Project(NARIGP)	953,905	-	-	953,905
2	Aquaculture Business Development Programme (ABDP)	10,866,551	-	-	10,866,551
3	DANIDA	32,782,114	-	-	32,782,114
4	Doctors Arrears	26,419,251	-	-	26,419,251
5	Community Health Promoters (CHP)	88,620,000	-	-	88,620,000
6	Financing Locally-Led Climate Actions Programme -CCRI&CCRIG) IDA &KFW	286,324,165	247,146,480	247,146,480	39,177,685
7	Universal Health Care Project	315,000,000	-	-	315,000,000
8	Kenya Informal Settlements Improvement Programme(KISIP)II	933,950,162	68,000,000	68,000,000	865,950,162
9	Housing Levy Fund	1,987,622	-	-	1,987,622
10	Kenya Urban Support Programme (UIG)	35,002,000	-	-	35,002,000
11	Kenya Urban Support Programme (UDG)	59,000,000	-	-	59,000,000
12	Kenya Urban Support Programme (UDG)	32,307,300	-	-	32,307,300
13	Kenya Devolution Support Programme (KDSP II) - Institutional/Level 1 Grant	72,909,500	-	-	72,909,500
14	Kenya Devolution Support Programme(KDSPII)	352,000,000	85,253,471	85,253,471	266,746,529
15	County Industrial Parks Development	117,178,185	-	-	117,178,185
16	Road Maintenance Levy	61,139,242	-	-	61,139,242
Sub-Total		**2,744,216,326**	**467,344,004**	**467,344,004**	**2,276,872,322**
E.	**Own Source of Revenue**				
1	Single Business Permit	117,560,340	73,723,940	73,723,940	43,836,400
2	Bricks/Sand/Murram/Stones	69,400,300	46,364,656	46,364,656	23,035,644
3	Bus Park Fees	60,679,625	32,242,794	32,242,794	28,436,831
4	Market Dues	54,670,340	30,799,015	30,799,015	23,871,325
5	Taxi /Motorbike Fees	46,789,369	5,676,951	5,676,951	41,112,418
6	Land Rates/Plot Rents	36,560,500	6,566,223	6,566,223	29,994,277
7	Advertising /Billboard	32,450,290	12,363,910	12,363,910	20,086,380
8	Other Cess Income	27,400,560	17,879,384	17,879,384	9,521,176
9	Liquor Licencing	20,678,230	6,345,504	6,345,504	14,332,726
10	Fish Cess	18,580,790	5,063,567	5,063,567	13,517,223
11	Approval plans/Transfers/Certificates	16,568,000	5,607,970	5,607,970	10,960,030
12	Stall/Kiosk Rents	12,090,700	7,072,850	7,072,850	5,017,850
13	Miscellaneous Incomes	8,400,400	33,730,310	33,730,310	-25,329,910

S/No.	Revenue Stream	Annual Targeted Revenue (Kshs)	Actual Receipts (Kshs.)	Total Revenues (in accrual basis) in the First Nine Months of FY 2025/26 (Kshs.)	Variance (Kshs.)
		A	B	D=B+C	E=A-D
14	Stock Auction Fees(Cattle/Goat/ sheep)	7,289,400	1,584,650	1,584,650	5,704,750
15	Other Own Source revenue streams	37,061,914	19,021,132	19,021,132	18,040,782
Sub-Total		**566,180,758**	**304,042,856**	**304,042,856**	**262,137,902**
F.	**Health Facility Improvement Financing (FIF)**				
	SHIF	1,104,906,565	714,574,159	714,574,159	390,332,406
Sub-Total		**1,104,906,565**	**714,574,159**	**714,574,159**	**390,332,406**
Grand Total		**13,601,450,964**	**7,261,038,339**	**7,261,038,339**	**6,340,412,625**

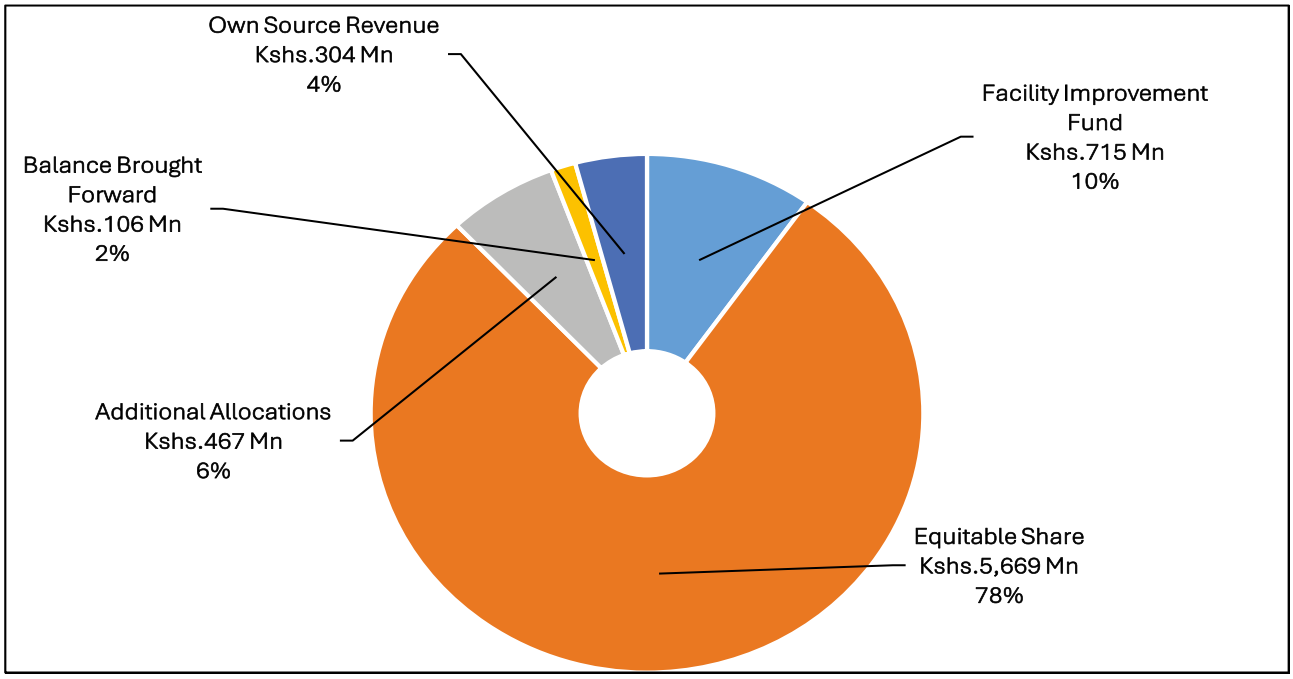
Source: *Homa Bay County Treasury*

Note: The balance brought forward from FY 2024/25 includes Kshs.102.34 million relating to additional allocations (conditional grants) from FY 2024/25.

It is worth noting that the County Assembly enacted the Homa Bay County Health Facility Improvement Financing Act, 2023, which enabled County health facilities to collect and retain user-fee revenue to offset operational, management, and capital costs.

Figure 3.43 provides a detailed breakdown of receipts, showing each shilling received.

Figure 3.43: Homa Bay County Composition of Revenue in the first nine months of FY 2025/26

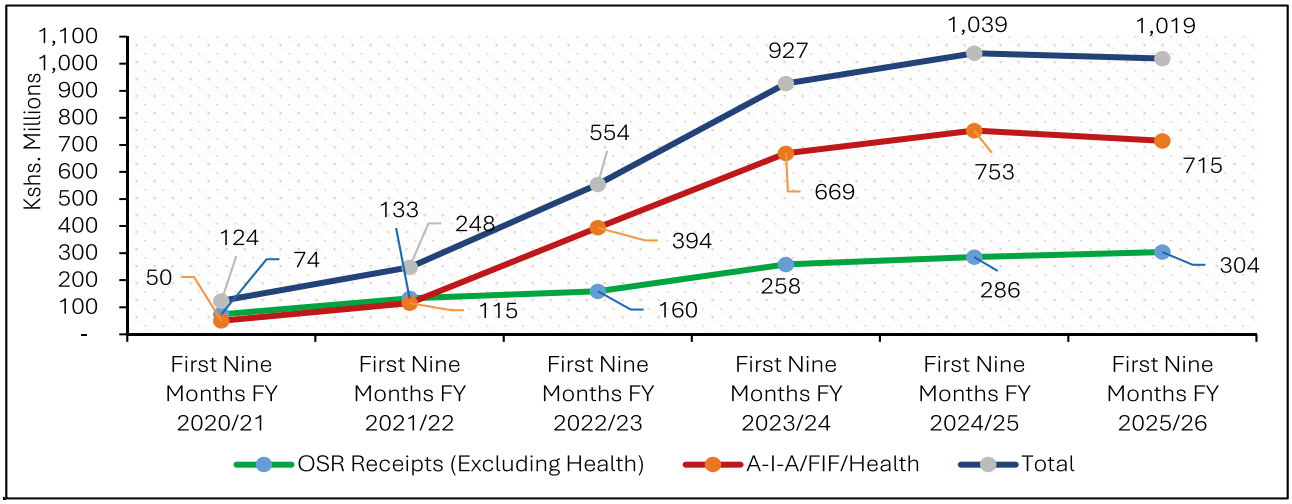


Source: *Homa Bay County Treasury*

.The equitable share of revenue raised nationally, the Health Facility Improvement Financing (FIF), and additional allocations contributed 78 per cent, 10 per cent, and 6 per cent, respectively, of the total receipts for the reporting period.

Figure 3.44 shows the collection trend in own-source revenue from the first nine months of FY 2020/21 to the first nine months of FY 2025/26.

Figure 3.44: Homa Bay County Trend in Own-Source Revenue Collection from the first nine months of FY 2020/21 to the first nine months of FY 2025/26

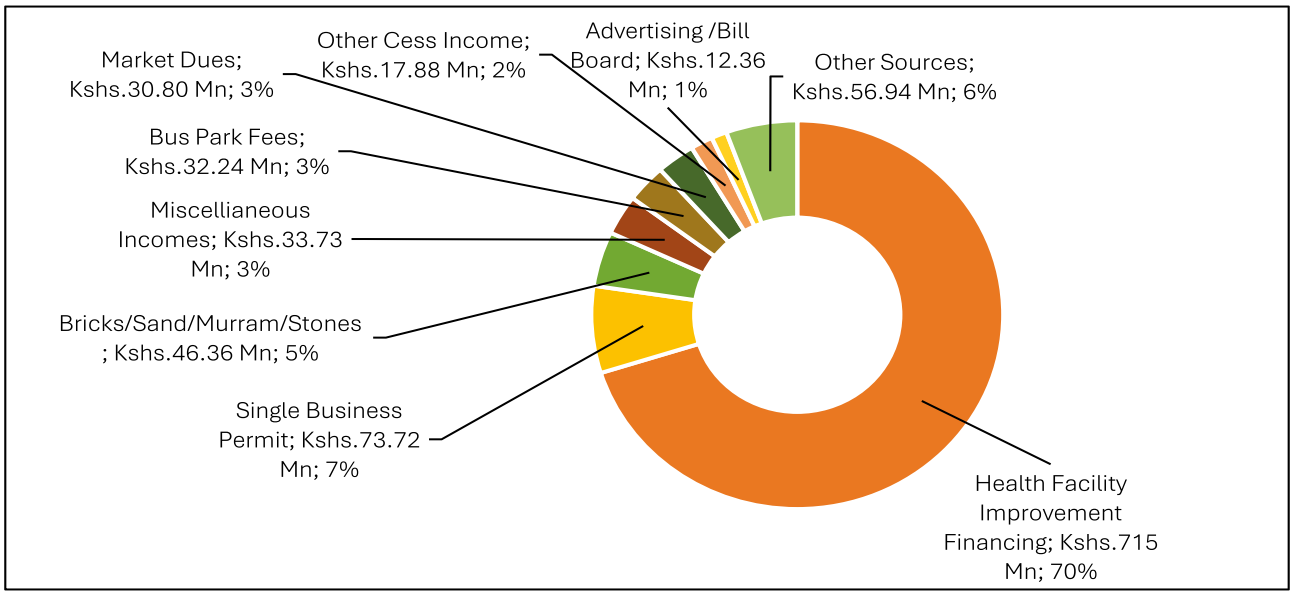


Source: *Homa Bay County Treasury*

During the first nine months of FY 2025/26, the County received Kshs.1.01 billion from its OSR, including FIF. This amount was a decrease of 2 per cent compared to Kshs.1.03 billion realised in the similar period in FY 2024/25, and was 61 per cent of the annual target and 18 per cent of the equitable revenue share disbursed.

The revenue streams that contributed the most to OSR receipts are shown in Figure 3.45.

Figure 3.45: Homa Bay County Top Own Source Revenue Streams in the first nine months of FY 2025/26



Source: *Homa Bay County Treasury*

As shown in Figure 3.45, the highest revenue stream, at Kshs.714.57 million, was from the Health Facility Improvement Financing (F.I.F.), accounting for 70 per cent of the total OSR receipts. The County Government has automated all the revenue streams.

3.8.3 Revenue Receivables

As of 1st July 2025, the County reported revenue receivables of Kshs.26.35 million, reduced to Kshs.23.27 million as of 31st March, 2026. Table 3.112 presents a breakdown of the County's receivables.

Table 3.112: Homa Bay County Receivables as of 31st March, 2026

No	Revenue Stream	Receivables as of 1 July 2025 (Kshs.)	Progress made in the first nine months of FY 2025/26			Receivables as of 31 st March, 2026 (Kshs.)
			Waivers (Kshs)	Receivables paid in the financial year (Kshs)	Receivables earned first nine months of FY 2025/26 (Kshs)	
		a	b	c	d	E=a-b-c+d
A	**Ordinary Own Sources of Revenue**					
	Cess	1,038,410	-	1,038,410		**-**
	Land rates	25,314,569		2,048,202		**23,266,367**
Total		**26,352,979**	**-**	**3,086,612**		**23,266,367**

Source: *Homa Bay County Treasury*

As of 31st March, 2026, the total receivables totalled to Kshs.23.27 million, all of which related to land rates. The County issued demand letters to defaulters as part of its efforts to collect the outstanding arrears in FY 2025/26.

3.8.4 Borrowing by the County

The County Executive has a payroll management overdraft facility with Equity Bank (K) Limited and KCB Limited for the advance payroll management overdraft facility, which is duly approved by the County Assembly. The agreement provided for the advance Payroll Management Overdraft facility at interest rates of 1.5 per cent and 0.5 per cent, and the excise duty of 20 per cent on interest and bank charges, for Equity and KCB banks, respectively. As of 31st March, 2026, the outstanding payroll management overdraft facility from Equity Bank (K) Limited amounted to Kshs.498 million.

We also note that the County Government of Homa Bay entered into a tenant purchase agreement on 6th May, 2024, with the County Pension Fund (CPF) for the construction of the Homa Bay County Headquarters and ancillary facilities, i.e., the Amphitheatre and the Ushuru Centre. The total project cost of Kshs.820 million, with a monthly repayment of Kshs.17,250,000 over a period of four years.

3.8.5 Withdrawals from the County Revenue Fund and County Assembly Fund

During the reporting period, the Controller of Budget approved exchequer withdrawal requests totalling Kshs.6.54 billion from the Homa Bay County Revenue Fund (CRF) account. This amount consisted of Kshs.1.34 billion (21 per cent) designated for development programmes and Kshs.5.20 billion (79 per cent) allocated for recurrent programmes.

Analysis of the released recurrent exchequers shows that Kshs.4.55 billion was allocated for employee compensation, and Kshs.641 million for operations and maintenance expenditures. Within the operations and maintenance category, 34 per cent was for domestic travel, accommodation and subsistence allowance. The domestic travel exchequer totalled to Kshs.219.82 million, all of which was requested by the County Assembly. The County entities did not submit any withdrawal requests for foreign travel, accommodation, or subsistence allowances.

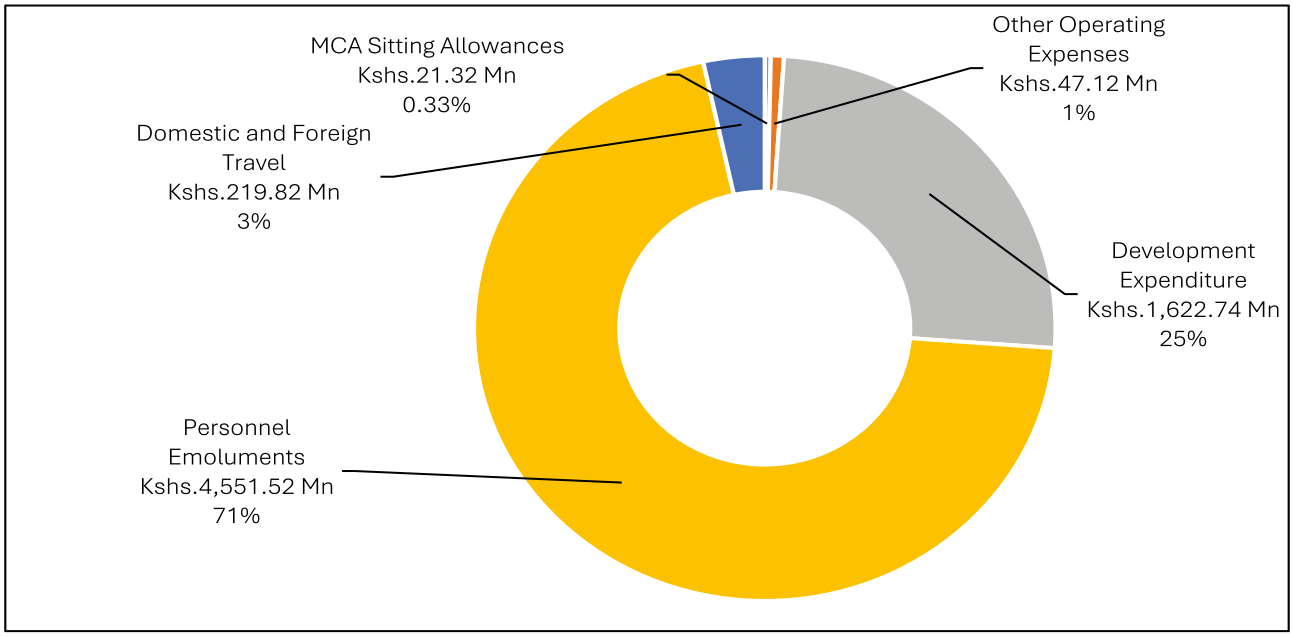
As of 31st March, 2026, the County Government's cash balance in the CRF account was Kshs.87.09 million.

3.8.6 Expenditure Review

The County spent Kshs.6.80 billion on development and recurrent programmes during the reporting period. The expenditure represented 104 per cent of the total funds released by the CoB. It comprised Kshs.1.62 billion for development programmes and Kshs.5.18 billion for recurrent programmes. Expenditure on development programmes accounted for 31 per cent of the annual development expenditure budget, while recurrent expenditure accounted for 62 per cent of the annual recurrent expenditure budget.

Figure 3.46 provides a detailed breakdown of total expenditure.

Figure 3.46: Homa Bay County Composition of expenditure in the first nine months of FY 2025/26



Source: *Homa Bay County Treasury*

As shown in Figure 3.46, the three highest expenditure categories were personnel emoluments. Development expenditure and domestic travel contributed 71, 25 and 3 per cent of total expenditure for the reporting period, respectively.

3.8.7 Expenditure by Economic Classification

The County Executive incurred Kshs.4.25 billion in employee compensation, Kshs.296.39 million in operations and maintenance, and Kshs.1.57 billion in development activities. Similarly, the County Assembly spent Kshs.305.08 million on employee compensation, Kshs.327.16 million on operations and maintenance, and Kshs.48.36 million on development activities, as shown in Table 3.113

Table 3.113: Homa Bay County Summary of Budget and Expenditure by Economic Classification

Expenditure Classification	Approved Budget (Kshs.) (a)		Amount Paid in the First nine months of FY 2025/26 (Kshs.) (b)		Total Expenditure in the First nine months of FY 2025/26 (Kshs.) (d=b+c)		Absorption (%) (d/a*100)	
	Executive	Assembly	Executive	Assembly	Executive	Assembly	Executive	Assembly
Total Recurrent Expenditure	7,376,782,217	1,032,574,503	4,542,832,657	632,247,230	4,542,832,657	632,247,230	**60.8**	**60.9**
Compensation of Employees	5,737,473,231	474,225,034	4,246,439,775	305,083,694	4,246,439,775	305,083,694	74	64
Operations and Maintenance	1,639,308,986	558,349,469	296,392,882	327,163,536	296,392,882	327,163,536	18	59
Development Expenditure	5,048,755,756	143,338,488	1,574,378,329	48,363,670	1,574,378,329	48,363,670	**31**	**34**
Total	**12,425,537,973**	**1,175,912,991**	**6,117,210,986**	**680,610,900**	**6,117,210,986**	**680,610,900**	**49**	**58**

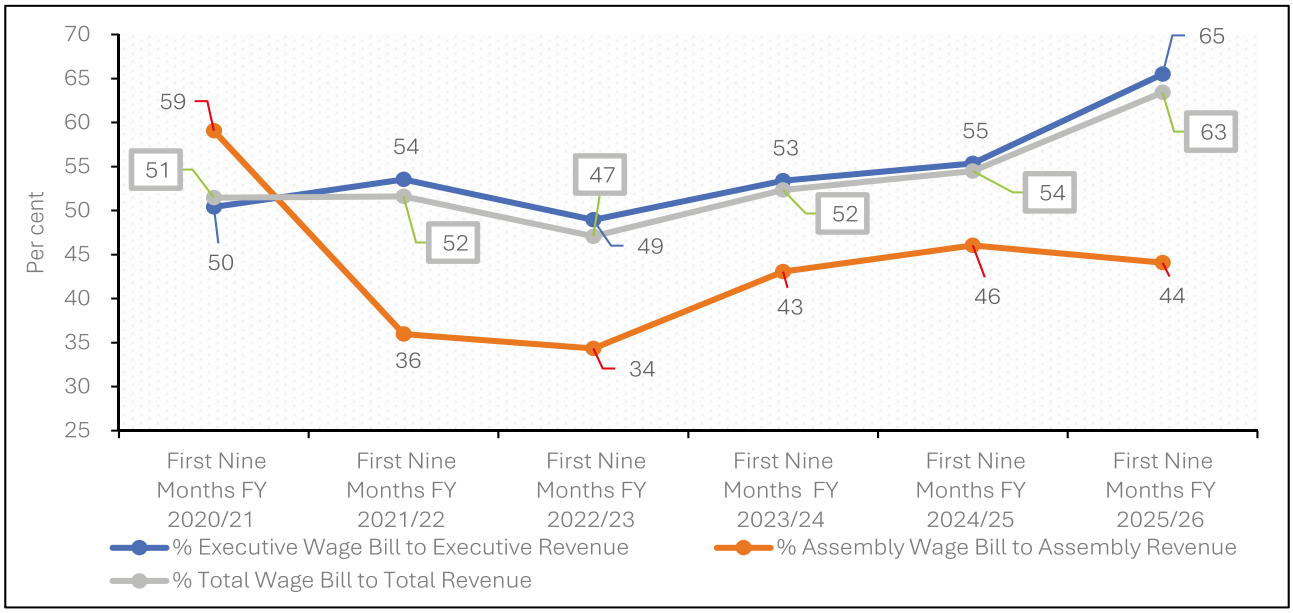
Source: *Homa Bay County Treasury*

3.8.8 Expenditure on Employee Compensation

The expenditure on employee compensation totalled Kshs.4.55 billion, representing 58 per cent of the available revenue. This expenditure on employee compensation increased by 16 per cent from Kshs.3.92 billion reported for a similar period in FY 2024/25. Of this total, Kshs.2.10 billion related to Health Sector employees, accounting for 46 per cent of the overall employees' compensation. The increase in PE expenditure during the reporting period, compared with the same period in FY 2024/25, is attributable to annual salary increments across various staff cadres.

Figure 3.47 shows the trend in employee compensation as a percentage of total revenue from the first nine months of FY 2020/21 to the first nine months of FY 2025/26.

Figure 3.47: Percentage of Employee Compensation to Total Revenue Received from the first nine months of FY 2020/21 to the first nine months of FY 2025/26



Source: *Homa Bay County Treasury*

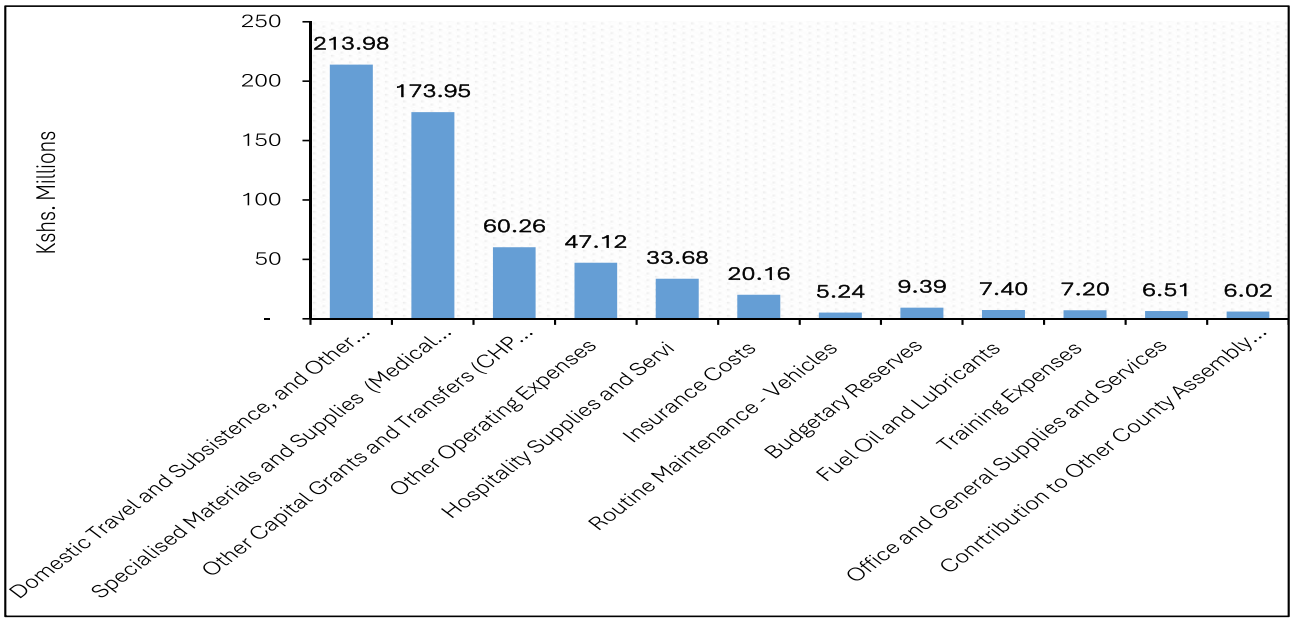
Further analysis indicated that PE costs totalling Kshs.4.48 billion were processed through the Human Resource Information System (HRIS). In contrast, Kshs.61.49 million was processed through manual payroll, accounting for 1 per cent of the total PE cost. The manual payroll relates to gratuity remittances to pension schemes for staff serving on contractual terms.

The County Assembly spent Kshs.21.32 million on committee sitting allowances for the 54 MCAs against the annual budget allocation of Kshs.45.68 million. The average monthly sitting allowance was Kshs.43,866 per MCA. The County Assembly has 22 House Committees.

3.8.9 Expenditure on Operations and Maintenance

During the reporting period, the County spent Kshs.623.56 million on operations and maintenance, representing a decrease of 31 per cent compared to the same period in FY 2024/25, when the County spent Kshs.900.15 million. Figure 3.48 illustrates the distribution of Operations and Maintenance expenditure across the major spending categories.

Figure 3.48: Homa Bay County, Operations and Maintenance Expenditure by Major Categories



Source: *Homa Bay County Treasury*

3.8.10 Unbundling "Other Operating Expenses- Other (IFMIS Code 2211399)" Under Operations and Maintenance Expenditures

The budget performance report for the first nine months of FY 2025/26 indicates that the County spent Kshs.12.53 million on "other operating expenses-Others (IFMIS Code 2211399)", which accounted for 2 per cent of the total operations and maintenance expenditure of Kshs.623.56 million. Neither the County Executive nor the County Assembly disaggregated items under the "*Other Operating Expenses-others*" category as shown in Table 3.114

Table 3.114: Breakdown of "Other Operating Expenses" under O&M Expenditures

Code	Item	Budget (Kshs)	Expenditure (Kshs.)
County Executive			
2211399	Other Operating Expenses	13,071,400	11,305,009
County Assembly			
2211399	Other Operating Expenses	3,100,000	1,220,000
Total		**69,177,418**	**12,525,009**

Source: *Homa Bay County Treasury*

3.8.11 County-Established Funds

Section 116 of the PFM Act 2012 allows County Governments to establish other public funds, subject to approval from the County Executive Committee and the County Assembly. The County allocated Kshs.281.88 million to County-Established funds in FY 2025/26, or 2 per cent of the County's overall budget. Further, the County allocated Kshs.17.23 million to the Emergency Fund (less than 1 per cent of the total budget) in line with Section 110 of the PFM Act, 2012. Table 3.115 summarises each established Fund's budget allocation and performance during the reporting period.

Table 3.115: Performance of Homa Bay County Established Funds in the First Nine Months of FY 2025/26

S/No.	Name of the Fund	Year Established	Approved Budget Allocation in FY 2025/26 (Kshs.)	Exchequer Issues in the first nine months of FY 2025/26 (Kshs.)	Actual Expenditure in the first nine months of FY 2025/26 (Kshs.)	Submission of Financial Statements (Yes/No.)
	County Executive Established Funds					
1	Homa Bay County Bursary Fund	2015	95,000,000	-	-	YES
2	Homa Bay Emergency Fund	2016	17,231,742	-	-	YES
3	Homa Bay County Car Loan and Mortgage Scheme Fund	2016	38,263,559	-	-	YES
4	Homa Bay County Alcoholic Drinks Control Fund	2015	-	-	-	YES
	County Assembly Established Funds					
5	Homa Bay County Assembly Car Loan and Mortgage Scheme Fund	2016	131,385,496	-	-	No
	Total		**281,880,797**	**-**	**-**	

Source: *Homa Bay County Treasury*

During the reporting period, the CoB did not receive a quarterly financial report from the Homa Bay County Assembly Car Loan and Mortgage Scheme Fund Administrators, as indicated in Table 3.6, contrary to the requirement of Section 168 of the PFM Act, 2012.

Regulation 197(1)(i) of the Public Finance Management (County Governments) Regulations, 2015, allows County Governments to establish public funds with a lifespan capped at 10 years unless extended by the County Assembly. In FY 2025/26, the CoB established that the lifespans of the Homa Bay County Bursary Fund and the Homa Bay County Alcoholic Drinks Control Fund expired on 31st March 2026; therefore, they should halt operations forthwith and return the funds since they are not operating within the law. Moreover, the County should initiate a review and extension of these public funds that are set to lapse in 2026 to prevent operational disruption.

3.8.12 County Corporations

The County Government of Homa Bay has one County Corporation, namely the Homa Bay County Water and Sanitation Company Limited (HOMAWASCO). We note that the County allocated Kshs.15 million as capital transfers to HOMAWASCO under the water supply and management services programme. However, the County did not make any capital transfers nor incur any expenditure on the Corporation.

3.8.13 Expenditure on Domestic and Foreign Travel

Expenditure on domestic travel amounted to Kshs.219.82 million, and comprised Kshs.213.98 million spent by the County Assembly and Kshs.5.84 million by the County Executive. The County Entities did not report any foreign travel expenditures during the reporting period.

3.8.14 Facility Improvement Financing (FIF)

During the review period, the County reported collections of Kshs.714.57 million as FIF, which was 65 per cent of the annual target of Kshs.1.10 billion. The collected amount was retained and utilised at source in line with the Facility Improvement Financing Act, 2023, as well as the Homa Bay County Health Facility Improvement Financing Act, 2023, which allowed the County's health facilities to collect and retain revenue paid as user fees to defray operational, management, and capital costs.

The expenditure by the health facilities amounted to Kshs.485.31 million, as shown in Table 3.116.

Table 3.116: Homa Bay County Health Facilities Expenditure Performance in the first nine months of FY 2025/26

N°.	Health facility	Number of Facilities	Approved Budget (Kshs.)	Actual Expenditure (Kshs.)	Absorption rate (%)
1	Level 5 Hospital	1	274,000,000	162,195,886	59
2	Level 4 Hospitals	23	757,000,000	216,131,830	29
3	Level 2 and Level 3 Health facilities	207	73,906,565	106,978,267	145
	Total	**231**	**1,104,906,565**	**485,305,983**	**44**

Source: *Homa Bay County Treasury*

3.8.15 Development Expenditure

In the review period, the County reported spending Kshs.1.62 billion on development programmes, compared to FY 2024/25, representing an increase of 40 per cent compared to FY 2024/25, when the County spent Kshs.1.16 billion.

Table 3.117 summarises the development projects with the highest expenditure in the reporting period.

Table 3.117: Homa Bay County, List of Development Projects with the Highest Expenditure

No	Sector	Project Name	Project Location	Budget allocation/ Contract sum (Kshs)	Expenditure in the First nine months of FY 2025/26 (Kshs.)	Percentage (%) of Completion
Donor Funded Projects						
1	Department of Water, Sanitation, Irrigation, Environment, Energy and Climate Change	Financing Locally-Led Climate Actions Programme -CCRI&CCRIG) IDA &KFW	All Sub Counties	212,806,459	212,806,459	100
2	Lands, Physical Planning, Housing and Urban Development	Kenya Informal Settlements Improvement Programme (KISIP) II	All Sub Counties	68,000,000	68,000,000	100
3	Office of the Deputy Governor and Department of Agriculture and Livestock	National Value Chain Development Project (NAVCDP)	All Sub Counties	66,944,053.50	66,944,053.50	100
4	Governance, Administration, Communication and Devolution	Kenya Devolution Support Programme (KDSP II) - Institutional/Level 1 Grant	All Sub Counties	50,000,000	50,000,000	100
5	Department of Water, Sanitation, Irrigation, Environment, Energy and Climate Change	Financing Locally-Led Climate Actions Programme -CCRI&CCRIG) IDA &KFW	All Sub Counties	34,340,021	34,340,021	100
County Funded projects						
1	Executive Office of the Governor	Construction of the County Headquarters	Homa Bay Town Sub-County	210,000,000	48,750,000	100

No	Sector	Project Name	Project Location	Budget allocation/ Contract sum (Kshs)	Expenditure in the First nine months of FY 2025/26 (Kshs.)	Percentage (%) of Completion
2	Public Health and Medical Services	Construction of multi-storied block for Accident & Emergency, Casualty and Outpatient at Homabay County Teaching and Referral Hospital	Homa Bay County Teaching and Referral Hospital	140,000,000	70,786,783	53
3	Public Health and Medical Services	Electrical installation for a multi-storied block for Accident & Emergency Casualty Hospital	Homa Bay County Teaching and Referral Hospital	18,732,681	18,732,681	57
4	Roads, Public Works, Transport and Infrastructure	Maintenance of the Kobama-Kiasa-Nyarongi Parish road	Homa Bay Town Sub-County	8,533,308	8,533,308	100
5	Roads, Public Works, Transport and Infrastructure	Opening of Kamolo -Ayuka-Dam-Dago Road	Suba South Sub-County	7,834,057.65	7,834,057.65	100
6	Public Health and Medical Services	Construction of the theatre at Omboga Health Facility	Rachuonyo North	6,719,680	6,719,680	100
7	Roads, Public Works, Transport and Infrastructure	Routine Maintenance of Koliech - Nyang'ira Road in Ruma Kaksingri Ward	Suba South Sub-County	6,545,000	6,545,000	100
8	Public Health and Medical Services	Routine maintenance of Kolunga-Masanga School- Orembe Road	Ndhiwa Sub-County	5,994,938	5,994,938	100
9	Roads, Public Works, Transport and Infrastructure	Oriri-Kapete & Completion Of Tala Culvert Works	Homa Bay Town Sub-County	5,894,267	5,894,267	100
10	Roads, Public Works, Transport and Infrastructure	ANJECH JNC-LWANDA Transformer Road	Suba North Sub-County	5,326,822	5,326,822	100
11	Roads, Public Works, Transport and Infrastructure	Routine Maintenance of Nyododa-Kogana- Nyandusi	Rachuonyo East Sub-County	5,201,828	5,201,828	100
12	Roads, Public Works, Transport and Infrastructure	Routine Maintenance of Sinema-Marera Jnc Road	Rangwe	5,006,283	5,006,283	100

***Source**: Homa Bay County Treasury*

***Note:** The expenditures for most of the project listed in the table above relate to trade payables from previous financial periods.*

The County did not report any stalled project as 31st March 2026.

3.8.16 Budget Performance by Department

Table 3.118 summarises the approved budget allocation, expenditure, and absorption rate by department for the period under review.

Table 3.118: Homa Bay County, Budget Allocation and Absorption Rate by Department

Department	Budget Allocation (Kshs.Million)		Exchequer Issues (Kshs.Million)		Expenditure (Kshs. Million)		Expenditure to Exchequer Issues (%)		Absorption rate (%)	
	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev
Finance and Economic Planning	577.92	341.23	370.22	35.26	370.22	35.26	100	100	64	10
County Public Service Board	69.83	5	28.72	-	28.72	-	100	-	41	-
County Assembly Service Board	1,032.73	152.34	641.64	48.36	641.64	48.36	100	100	62	32
Homa Bay Municipal Board	31.92	74.13	6.44	40.98	6.44	40.98	100	100	20	55
Office of the Deputy Governor and Department of Agriculture and Livestock	240.13	422.26	96.32	68.44	96.32	68.44	100	100	40	17
Gender Equality and Inclusivity, Youth, Sports, Talent Development, Cultural Heritage and Social Services	131.05	61.52	42.38	-	42.38	-	100	-	32	-
Roads, Public Works, Transport and Infrastructure	160.24	655.61	64.67	522.77	64.67	522.77	100	100	40	80
Blue Economy, Fisheries, Mining and Digital Economy	125.40	35.16	54.21	26.99	54.21	26.99	100	100	43	77
Education, Human Capital Development and Vocational Training	1,190.28	436.46	681.43	19.83	681.43	19.83	100	100	57	5
Public Health and Medical Services	3,203.50	446	2,350.10	95.98	2,341.10	376.12	100	**392**	73	84
Lands, Physical Planning, Housing and Urban Development	83.76	1,037.07	63.75	70.19	63.75	70.19	100	100	76	7
Trade, Industry, Tourism, Cooperative Development and Marketing	197.06	250	108.97	26.23	108.97	26.23	100	100	55	10
Water, Sanitation, Irrigation, Environment, Energy and Climate Change	265.15	552.27	87.85	259.37	87.85	259.37	100	100	33	47

Department	Budget Allocation (Kshs.Million)		Exchequer Issues (Kshs.Million)		Expenditure (Kshs. Million)		Expenditure to Exchequer Issues (%)		Absorption rate (%)	
	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev
Governance, Administration, Communication and Devolution	517.30	405.50	370.41	51.22	370.41	51.22	100	100	72	13
Executive Office of the Governor	538.41	221.25	207.90	57.36	207.90	57.36	100	100	39	26
Kendu Bay Municipal Board	10.42	15	3.38	-	3.38	-	100	-	32	-
Mbita Municipal Board	10.42	15	3.02	-	3.02	-	100	-	29	-
Ndhiwa Municipal Board	10.42	15	3.45	-	3.45	-	100	-	33	-
Oyugis Municipal Board	13.40	51.31	8.63	17.11	8.63	17.11	100	100	64	33
Total	**8,409.36**	**5,192.09**	**5,193.47**	**1,340.10**	**5,184.47**	**1,620.24**	**100**	**121**	**62**	**31**

Source: *Homa Bay County Treasury*

Analysis of expenditure by departments shows that the Department of Public Health and Medical Services had the highest absorption rate of its development budget at 84 per cent, followed by the Department of Roads, Public Works, Transport and Infrastructure at 80 per cent, the Department of Blue Economy, Fisheries, Mining and Digital Economy at 77 per cent, and the Homa Bay Municipal Board at 55 per cent.

The Department of Education, Human Capital Development and Vocational Training recorded the lowest absorption rate of development budget at 5 per cent, followed by the Department of Lands, Physical Planning, Housing and Urban Development at 7 per cent. On the other hand, Kendu Bay Municipal Board, Mbita Municipal Board, Ndhiwa Municipal Board, and Gender Equality and Inclusivity, Youth, Sports, Talent Development, Cultural Heritage, and Social Services did not incur any development expenditure during the review period. The poor performance is attributed to delays in finalising and approving the annual procurement plans, challenges encountered in implementing the electronic government procurement system, and delays in disbursing the additional allocations for the Kenya Informal Settlements Improvement Programme (KISIP) II under the Department of Lands, Physical Planning, Housing and Urban Development.

The Department of Lands, Physical Planning, Housing and Urban Development had the highest percentage of recurrent expenditure to its budget at 76 per cent, followed by the Department of Public Health and Medical Services at 73 per cent, while Mbita Municipal Board and Homa Bay Municipal Board had the lowest at 29 per cent and 20 per cent respectively.

It is worth noting that the development expenditure under the Department of Public and Medical Services exceeded the exchequer releases because some payments for development activities were settled using the receipts from the health facility improvement financing (FIF). This was in accordance with the Facility Improvement Financing Act, 2023, and the Homa Bay County Health Facility Improvement Financing Act, 2023.

3.8.17 Budget Execution by Programmes and Sub-Programmes

Budget execution was concentrated in selected performance bands. The county reported its programmes and sub-programmes in a single combined table rather than separate development and recurrent statements. A number of sub-programmes recorded nil absorption during the review period, including general logistics, coordination and asset management services under the Department of Finance and Economic Planning; public participation and education services and financial management services under the County Assembly Service Board; transport infrastructure improvement services under Homa Bay Municipal Board; sports infrastructure development and sports management and talent development under the Department of Gender Equality and Inclusivity, Youth, Sports, Talent Development, Cultural Heritage and Social Services; administration support and plant, equipment and vehicle support services under the Department of Roads, Transport, Public Works and Infrastructure; VTC infrastructure development ser-

vices under the Department of Education, Human Capital Development and Vocational Training; policy, planning and monitoring services and disease control services under the Department of Public Health and Medical Services; enterprise development and promotion services under the Department of Trade, Industry, Tourism, Cooperative Development and Marketing; and urban water supply, maintenance of water supply, pollution and waste management, and field coordination and administration services under the Department of Water, Sanitation, Irrigation, Environment, Energy and Climate Change.

In the 1–10 per cent band, absorption was reported for early years education infrastructure development services under the Department of Education, Human Capital Development and Vocational Training at 5 per cent, for settlements upgrading services under the Department of Lands, Housing, Urban Development and Physical Planning at 7 per cent, for rural water supply services at 8 per cent, and for farm input access services under food security enhancement at 10 per cent. In the 11–20 per cent band, absorption was reported for general administration services under education at 12 per cent, for value chain development services under trade at 11 per cent, for trade infrastructure and development services at 19 per cent, for assembly infrastructure development services under the County Assembly Service Board at 18 per cent, for devolution support services at 18 per cent, and for the national value chain project at 20 per cent.

In the 41–50 per cent band, absorption was reported for executive management and liaison services under the Executive Office of the Governor at 41 per cent, for members' welfare support services under the County Assembly Service Board at 44 per cent, and for general administration and support services under the Office of the Deputy Governor and Department of Agriculture, Livestock, Fisheries and Food Security at 40 per cent. In the 51–60 per cent band, absorption was reported for remuneration and welfare support services under the Department of Trade at 61 per cent.

In the 61–70 per cent band, absorption was reported for human resource management services under the Department of Education at 64 per cent, for routine medical health services at 68 per cent, for administrative support services under the County Assembly Service Board at 69 per cent, and for transport infrastructure improvement services under Homa Bay Municipal Board at 69 per cent. In the 71–80 per cent band, absorption was reported for administrative support services under the Department of Public Health and Medical Services at 79 per cent, for capture fisheries and development services at 78 per cent, for facility infrastructure improvement services at 76 per cent, and for road maintenance services at 74 per cent. In the 81–90 per cent band, absorption was reported for climate change mitigation, adaptation and resilience building at 82 per cent, for governance and administration at 86 per cent, for general administrative support services under lands at 91 per cent, and for personnel remuneration and development services under Kendu Bay and Ndhiwa Municipal Boards at 89 per cent.

In the 90–100 per cent band, absorption reached 100 per cent for facility infrastructure improvement services under the Department of Public Health and Medical Services, 99 per cent for blue economy development services and for legislative development and approval services, 96 per cent for road development services, and 94 per cent for staff remuneration and welfare support services.

Low absorption in the lower performance bands was attributed mainly to delays in finalising and approving annual procurement plans and to challenges with the electronic government procurement system. Conversely, performance in the higher bands reflected the prioritisation of the respective sub-programmes during the review period.

Table 3.119 summarises the budget execution by programmes and sub-programmes in the period under review that had the highest absorption rates.

Table 3.119: Homa Bay County, Budget Execution by Programmes and Sub-Programmes with Highest Absorption Rates

Programme	Sub-Programme	Approved Estimates (Kshs)	Actual Expenditure (Kshs)	Variance (Kshs)	Absorption rate (%)
Department of Finance and Economic Planning					
General administration and support services	Staff Remuneration and Welfare Support Services	375,893,111	354,533,277	21,359,834	94

Programme	Sub-Programme	Approved Estimates (Kshs)	Actual Expenditure (Kshs)	Variance (Kshs)	Absorption rate (%)
County Public Service Board					
General Policy, Planning and Administration Services	Administrative Support Services	58,945,686	28,720,432	30,225,254	49
County Assembly Service Board					
Legislative Services	Members' welfare Support services	270,225,000	167,906,217	132,126,748	44
	Legislative development and approval services	63,000,000	62,122,419	877,581	99
Policy, Planning, Administrative and Support Services	Administrative support services	350,616,075	240,714,680	109,901,395	69
Homa Bay Municipal Board					
Urban development services	Transport Infrastructure Improvement Services	59,000,000	40,978,835	18,021,165	69
Department of Roads, Transport, Public Works and Infrastructure					
Road Development and Rehabilitation Services	Road Development Services	256,139,242	246,674,955	9,464,287	96
	Road Maintenance Services	374,474,496	276,095,980	98,378,517	74
Department of Blue Economy, Fisheries, Mining and Digital Economy					
Blue Economy and Fisheries Resources Development Services	Capture Fisheries and Development Services	15,366,829	11,992,691	3,374,138	78
	Aquaculture Development Services	5,409,422	4,000,000	1,409,422	74
	Blue Economy Development Services	5,730,502	5,686,016	44,486	99
Department of Education, Human Capital Development and Vocational Training					
General Administration and Quality Assurance Service	Human Resources Management services	1,057,384,857	679,173,634	378,211,223	64
Office of The Deputy Governor and Department of Agriculture, Livestock, Fisheries and Food Security					
Policy Planning, General Administration and Support Services	General Administration and Support Services	240,128,649	96,321,425	143,807,225	40
Department of Public Health and Medical Services					
Policy planning and administrative support service	Administrative Support Services	2,651,951,799	2,100,352,193	551,599,606	79
Preventive and promotive health services	Facility infrastructure improvement services	158,000,000	158,000,000	0	100
Curative and rehabilitative health services	Routine medical health services	266,142,114	180,482,351	85,659,763	68
	Facility infrastructure improvement services	288,000,000	218,120,971	69,879,029	76
Department of Lands, Housing, Urban Development and Physical Planning					
General Administration Services	General administrative support services	69,308,719	62,823,891	6,484,828	91
Department of Trade, Industry, Tourism, Cooperative Development and Marketing					
Policy, Planning and Administrative Services	Remuneration and welfare support services	174,867,754	106,375,065	68,492,689	61
Department of Water, Sanitation, Irrigation, Environment, Energy and Climate Change					

Programme	Sub-Programme	Approved Estimates (Kshs)	Actual Expenditure (Kshs)	Variance (Kshs)	Absorption rate (%)
Climate Change Management Services	Climate Change Mitigation, Adaptation and Resilience Building	301,268,942	247,146,480	54,122,462	82
Governance and Administration, Communication and Devolution					
Governance, Administration and Devolution Services	Governance and Administration	391,255,656	335,158,262	56,097,394	86
Executive Office of the Governor					
Governance and coordination services	Executive management and liaison services	595,819,306	247,107,649	348,711,657	41
Kendu Bay Municipal Board					
Planning, Finance and Administrative Support Services	Personnel remuneration and development services	3,803,640	3,375,265	428,375	89
Mbita Municipal Board					
Planning, Finance and Administrative Support Services	Personnel remuneration and development services	3,803,640	3,017,345	786,295	79
Ndhiwa Municipal Board					
Planning, Finance and Administrative Support Services	Personnel remuneration and development services	3,886,440	3,449,342	437,098	89
Oyugis Municipal Board					
Planning, Finance and Administrative Support Services	Personnel remuneration and development services	6,556,056	5,368,709	1,187,347	82

Source: *Homa Bay County Treasury*

The sub-programmes with the highest levels of budget implementation based on absorption rates were Facility infrastructure improvement services in the Department of Public Health and Medical Services at 100 per cent; Blue Economy Development Services in the Department of Blue Economy, Fisheries, Mining and Digital Economy at 99 per cent; Legislative development and approval services under the County Assembly Service Board at 99 per cent; Road Development Services in the Department of Roads, Transport, Public Works and Infrastructure at 96 per cent and Staff Remuneration and Welfare Support Services in the Sub-Programme in the Department of Finance and Economic Planning at 94 per cent.

Table 3.120 summarises the budget execution by programmes and sub-programmes in the period under review that had the lowest absorption rates.

Table 3.120: Homa Bay County, Budget Execution by Programmes and Sub-Programmes with the lowest Absorption Rates

Programme	Sub-Programme	Approved Estimates (Kshs)	Actual Expenditure (Kshs)	Variance (Kshs)	Absorption rate (%)
Department of Finance and Economic Planning					
General administration and support services	General Logistics, Coordination and Asset Management Services	84,783,769	-	84,783,769	-
County Assembly Service Board					
Oversight and Control Services	Public Participation and Education Services	20,000,000	-	20,000,000	-
Policy, Planning and Administrative Support Services	Financial Management Services	217,591,253	-	217,591,253	-
	Assembly infrastructure development Services	143,338,488	26,438,661	116,899,827	18

Programme	Sub-Programme	Approved Estimates (Kshs)	Actual Expenditure (Kshs)	Variance (Kshs)	Absorption rate (%)
Homa Bay Municipal Board					
Public Works and Infrastructure Improvement Services	Transport Infrastructure Improvement Services	39,000,000	-	39,000,000	-
Office of The Deputy Governor and Department of Agriculture, Livestock, Fisheries and Food Security					
Food Security Enhancement Services	Farm Input Access Services	40,000,000	4,002,158	35,997,842	10
	National Value Chain Project	332,776,329	66,944,054	265,832,276	20
Department of Gender Equality and Inclusivity, Youth, Sports, Talent Development, Cultural Heritage and Social Services					
Management and Development of Sports and Sports Facilities	Sports Infrastructure Development Services	48,915,565	-	48,915,565	-
	Sports Management and Talent Development	22,713,190	-	22,713,190	-
Department of Roads, Transport, Public Works and Infrastructure					
General Administration, Planning and Support Services	Administration Support and Staff Capacity Development Services	26,397,667	-	26,397,667	-
Public works and maintenance services	Plants, equipment, and vehicle support services	20,000,000	-	20,000,000	-
Department of Education, Human Capital Development and Vocational Training					
General Administration and Quality Assurance Service	General Administration Services	18,800,747	2,260,700	16,540,047	12
Early Years Education (EYE) Services	EYE Infrastructure Development Services	391,500,000	19,830,741	371,669,259	5
Human Capital Development and Vocational Training	VTC Infrastructure Development Services	39,961,295	-	39,961,295	-
Department of Public Health and Medical Services					
Policy planning and administrative support service	Policy, Planning and Monitoring Services	27,640,000	-	27,640,000	-
Preventive and promotive health services	Disease control services	62,650,000	-	62,650,000	-
Department of Lands, Housing, Urban Development and Physical Planning					
Housing and Urban Development Services	Settlements Upgrading Services	973,937,784	68,000,000	905,937,784	7
Department of Trade, Industry, Tourism, Cooperative Development and Marketing					
Trade, Cooperative and Entrepreneurship Development Services	Enterprise development and promotion services	42,000,000	-	42,000,000	-
	Trade infrastructure and development services	66,000,000	12,431,322	53,568,678	19
Tourism, Industrial and Investment Promotion Services	Value Chain Development Services	130,496,759	13,794,212	116,702,547	11
Department of Water, Sanitation, Irrigation, Environment, Energy and Climate Change					
Water Supply and Management Services	Rural Water Supply Services	155,500,000	12,224,109	143,275,891	8
	Urban Water Supply Services	30,000,000	-	30,000,000	-
	Maintenance of Water Supply Services	15,000,000	-	15,000,000	-
Environmental Management and Forestry Development	Pollution and Waste Management Services	16,000,000	-	16,000,000	-
Governance and Administration, Communication and Devolution					

Programme	Sub-Programme	Approved Estimates (Kshs)	Actual Expenditure (Kshs)	Variance (Kshs)	Absorption rate (%)
Governance, Administration and Devolution Services	Devolution Support Services	475,409,500	86,478,026	388,931,474	18
	Field Coordination and Administration Services	19,400,000	-	19,400,000	-

Source: *Homa Bay County Treasury*

Table 3.120 above indicates some sub-programmes that were allocated substantial resources but had absorption rates below 20 per cent of their respective approved budgets, with some experiencing zero absorption. The low performance of the sub-programmes is mainly attributed to delays in finalising and approving the annual procurement plans, as well as challenges encountered in implementing the electronic government procurement system.

3.8.18 Settlement of Trade Payables

As of 1st July 2025, the County reported trade payables totalling Kshs.2.42 billion. This amount consisted of Kshs.2.11 billion from the County Executive and Kshs.312 million from the County Assembly. The trade payables from the County Executive comprised Kshs.857.91 million for recurrent expenditures and Kshs.1.25 billion for development expenditures, while the trade payables from the County Assembly comprised Kshs.111.30 million for recurrent expenditures and Kshs.200.70 million for development expenditures.

and, the County Assembly settled trade payables amounting to Kshs.70.96 million, comprising Kshs.27.43 million (39 per cent) for recurrent activities and Kshs.43.53 million (61 per cent) for development activities. The outstanding trade payables as of 31st March, 2026, were Kshs.703.06 million for the County Executive and Kshs.241.04 million for the County Assembly. Table 3.121 provides additional details of trade payables.

Table 3.121: Homa Bay County Trade payables as of 31st March, 2026

	County Entity	Development	Recurrent	Total
As at 1 July 2025 (End of FY 2024/25) (Kshs.)	County Executive	1,248,313,280	857,909,645	2,106,222,924
	County Assembly	200,703,178	111,298,988	312,002,166
	Total	**1,449,016,457**	**969,208,633**	**2,418,225,091**
Amount paid in FY 2025/26 (Kshs.)	County Executive	727,882,484	675,281,753	1,403,164,237
	County Assembly	43,528,213	27,429,300	70,957,513
	Total	**771,410,697**	**702,711,053**	**1,474,121,751**
Outstanding trade payables as of 31st March, 2026 (Kshs.)	County Executive	520,430,796	182,627,892	703,058,688
	County Assembly	157,174,965	83,869,688	241,044,653
	Total	**677,605,761**	**266,497,580**	**944,103,340**

Source: *Homa Bay County Treasury*

The County Executive submitted a trade payables payment plan. The County Executive noted that they will consistently settle trade payables of varying amounts with each tranche of the equitable share of nationally raised revenue, as per the plan. In contrast, the County Assembly did not submit its trade payables payment plan.

Table 3.122 and Table 3.123 present the ageing of the total outstanding bills as of 31st March, 2026, for the County Executive and County Assembly, which was Kshs.944.10 million.

Table 3.122: Homa Bay County Executive trade payables Ageing Analysis as of 31st March, 2026

Category	Ageing analysis (Amount in Kshs.)				Total
	Under one year	1-2 years	2-3 years	Over 3 years	
Development Trade Payables	**365,856,814**	**154,573,981**	**-**	**-**	**520,430,796**

Category	Ageing analysis (Amount in Kshs.)				Total
Recurrent Trade Payables (Goods & Services)	66,681,507	71,147,976	44,798,409	-	**182,627,892**
Recurrent Trade Payables (Salary Arrears and Statutory Deductions)	-	-	-	-	-
Recurrent Trade Payables (Staff Claims)	-	-	-	-	-
Total Recurrent Trade Payables	**66,681,507**	**71,147,976**	**44,798,409**	**-**	**182,627,892**
Total Trade Payables	**432,538,321**	**225,721,958**	**44,798,409**	**-**	**703,058,687**
% of Total	**62**	**32**	**6**	**-**	**100**

Source: *Homa Bay County Treasury*

Table 3.123: Homa Bay County Assembly trade payables Ageing Analysis as of 31st March, 2026

Category	Ageing analysis (Amount in Kshs.)				Total
	Under one year	1-2 years	2-3 years	Over 3 years	
Development Trade Payables	**35,837,598**	**112,113,213**	**-**	**9,224,154**	**157,174,964**
Recurrent Trade Payables (Goods & Services)	1,056,150	37,316,446	9,999,305	35,497,787	**83,869,688**
Total Recurrent Trade Payables	**1,056,150**	**37,316,446**	**9,999,305**	**35,497,787**	**83,869,688**
Total Trade Payables	**36,893,748**	**149,429,658**	**9,999,305**	**44,721,941**	**241,044,653**
% of Total	**15**	**62**	**4**	**19**	**100**

Source: *Homa Bay County Treasury*

3.8.19 Implementation of the Equalisation Fund by Homa Bay County

The County factored in Kshs.214.02 million for equalisation funds in the approved FY 2025/26 supplementary budget estimates; however, it did not receive support to implement the projects planned under the equalisation fund during the review period.

3.8.20 General Observations and Recommendations

In the course of overseeing and reporting on the implementation of the County budget, the CoB identified the following challenges, which hampered effective budget implementation;

i. Low development performance in the review period as the County incurred Kshs.1.62 billion on development activities, achieving a 31 per cent absorption rate. Furthermore, a substantial number of programmes had absorption rates for their approved budgets below 20 per cent, with some recording zero absorption.

ii. A high wage bill accounted for 63 per cent of the County's total revenue amounting to Kshs.7.26 billion, realised in the first nine months of FY 2025/26, which is above the ceiling provided in law.

iii. High level of trade payables, which amounted to Kshs.944.10 million as of 31st March, 2026. Furthermore, the County Assembly did not submit its trade payables payment plan.

iv. The Fund Administrator for the Homa Bay County Assembly Car Loan and Mortgage Scheme Funds failed to submit quarterly financial and non-financial reports to the COB within the timelines provided by law, which is against the requirement of Section 168 of the PFM Act, 2012.

v. The County government uses commercial bank accounts for operations contrary to Regulations 82(1)(b) of the PFM (County Governments) Regulations, 2015, which requires that County government bank accounts must be opened and maintained at the Central Bank of Kenya. The commercial bank accounts are for County-established funds, salary processing and operations.

vi. Non-submission of copies of authorisation letters for opening commercial bank accounts as per Regulation 82(5) of the Public Finance Management (County Governments) Regulations, 2015.

vii. Delayed disbursement of equalisation funds by the National Treasury, which resulted in delayed implementation of the planned activities.

The County should implement the following recommendations to improve budget execution:

i. *The County should implement strategies to increase development expenditures in FY 2025/26. The County should also conduct a thorough review of the programmes to identify the reasons behind the low absorption of funds. Additionally, it should consider reallocating more resources to effective programmes to ensure optimal utilisation of funds.*
ii. *The County Public Service Board should establish an optimal staffing structure to ensure expenditure on personnel emoluments complies with Regulation 25 (1) (b) of the Public Finance Management (County Governments) Regulations, 2015.*
iii. *The County Leadership should address the situation of trade payables to ensure that genuine bills are paid promptly within the financial year. Further, compliance with the Trade payables Action Plan should be enforced.*
iv. *The CECMF should follow up to ensure Fund Administrators prepare and submit statutory reports in line with the PFM Act, 2012.*
v. *The County Government should ensure that bank accounts are opened and operated at the Central Bank of Kenya as required by the law. However, imprest bank accounts for petty cash and own-source revenue collection accounts are exempted.*
vi. *The County Treasury should ensure it submits copies of authorisation letters to OCoB for opening commercial bank accounts to enhance accountability and oversight.*
vii. *The National Treasury should ensure the timely disbursement of the equalisation funds to facilitate the effective implementation of the planned activities.*

3.9. County Government of Isiolo

3.9.1 Overview of FY 2025/26 Budget

The Isiolo County Approved Budget for FY 2025/26 is Kshs.7.56 billion. It comprises Kshs.2.66 billion (35 per cent) and Kshs.4.90 billion (65 per cent) allocation for development and recurrent programmes, respectively. The budget estimates represent an increase of Kshs.750.79 million (11 per cent) from the FY 2024/25 budget, which comprised a development budget of Kshs.2.49 billion and a recurrent budget of Kshs.4.32 billion. The increase in the budget was primarily attributed to the rise in equitable share and conditional grants.

The budget is to be financed from various revenue sources. These include; the equitable share of revenue raised nationally of Kshs.5.63 billion (75 per cent), additional allocations of Kshs.910.01 million (12 per cent), a cash balance of Kshs.639.26 million (8 per cent) brought forward from FY 2024/25, and Kshs.375.21 million (5 per cent) generated as own-source revenue. A breakdown of the additional allocations is shown in Table 3.124

3.9.2 Revenue Performance

During the first nine months of FY 2025/26, the County reported total revenues amounting to Kshs.4.79 billion. This amount represented an increase of 38 per cent compared to the amount received in a similar period in FY 2024/25 of Kshs.3.46 billion. The total revenue consisted of Kshs.3.74 million from the equitable share of revenue raised nationally, additional allocations from the national government and development partners of Kshs.238.37 million, and own-source revenue (OSR) collection of Kshs.166.31 million. Additionally, the County had a cash balance of Kshs.639.54 million from FY 2024/25. The total OSR collection of Kshs.166.31 million included Facilities Improvement Financing (FIF) of Kshs.44.29 million, and Kshs.122.54 million from other OSR sources. Table 3.124 summarises the total revenue available to the County Government during FY 2025/26.

Table 3.124: Isiolo County, Revenue Performance in the first nine months of FY 2025/26

No	Revenue Stream	Annual Targeted Revenue (Kshs.)	Actual Receipts (Kshs.)	Receivables in the first nine months of FY 2025/26 (Kshs.)	Total Revenues (in accrual basis) in the first nine months of FY 2025/26 (Kshs.)	Revenue Performance
		A	B	C	D	F=D/A*100
A	**Unspent Balance from FY 2023/24**					
1	Balance at CRF	449,482,136	449,482,136	-	449,482,136	100
2	County Executive Refunds to CRF	2,989	2,989	-	2,989	100
3	County Assembly Refunds to CRF		283,235	-	283,235	#DIV/0!
4	Special Purposes bank a/c balances	189,781,107	189,781,107	-	189,781,107	100
	Sub-Total	**639,266,232**	**639,549,467**		**639,549,467**	**100**
B	**Equitable Share of Revenue Raised Nationally**					
1	Equitable Share	5,631,357,298	3,744,852,603	450,508,584	4,195,361,187	74
	Sub-Total	**5,631,357,298**	**3,744,852,603**	450,508,584	4,195,361,187	**74**
C	**Additional Allocations (Including Grants)**					
I	**Unconditional Additional Allocations to County Governments**					
A	Allocations for 20% Share of Mineral Royalties	348,837	348,837	-	348,837	100
II	**Conditional Additional Allocations from the National Government's**					
A	Settlement of Doctors' Salary Arrears	12,147,883	-	-	-	-
B	Community Health Promoters (CHPs) Programme	21,630,000	-	-	-	-
C	Supplement for Construction of County Headquarters	59,000,000	-	-	-	-
D	Allocations for 0.5 % of the Housing Levy Fund to the County Rural and Urban Affordable Housing Committees	1,987,622	-	-	-	-
3	**Conditional Allocations from Loans and Grants**					
1	Financing of FLLoCA County Climate Institutional Support (CCIS) Grant	136,000,000	92,704,049		92,704,049	68
2	Food Systems Resilience Project (FSRP)	246,153,846	110,059,820		110,059,820	45
3	Kenya Devolution Support Programme Phase Two (KDSP II) Level I Grant	72,909,500	35,253,471		35,253,471	48
4	Kenya Devolution Support Programme Phase Two (KDSP II) Level 2 Grant	353,000,000	-	-	-	-
5	Primary Health Care in Devolved Context (PHDC) Programme	6,834,000	-	-	-	-
	Sub-Total	**910,011,688**	**238,366,177**	-	**238,366,177**	**26**
D	**Ordinary Own Source Revenue (OSR)**					

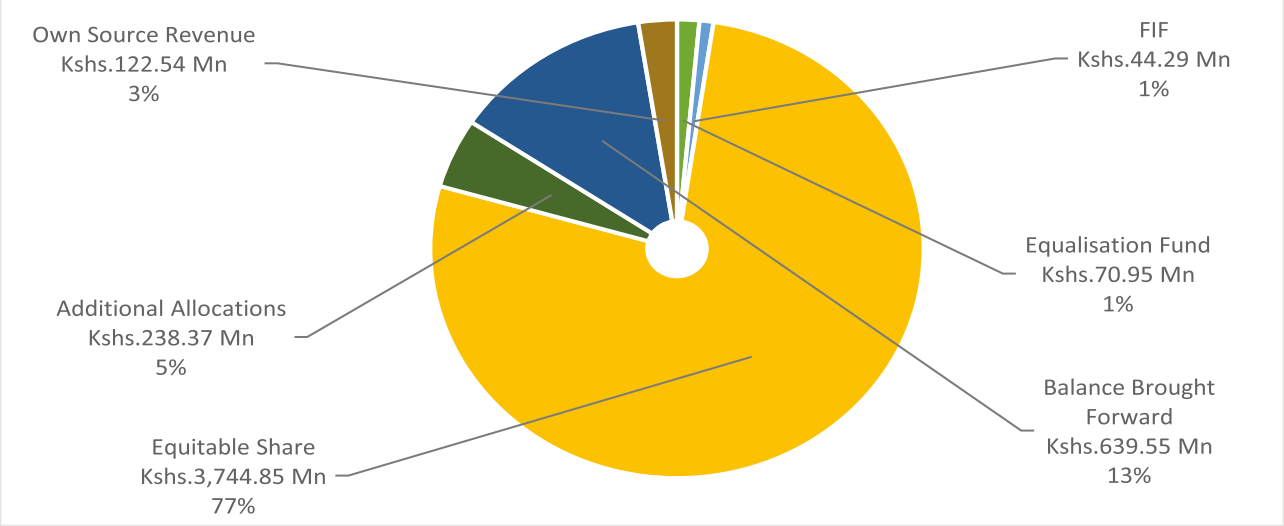
No	Revenue Stream	Annual Targeted Revenue (Kshs.)	Actual Receipts (Kshs.)	Receivables in the first nine months of FY 2025/26 (Kshs.)	Total Revenues (in accrual basis) in the first nine months of FY 2025/26 (Kshs.)	Revenue Performance
		A	B	C	D	F=D/A*100
1	Other Land Revenue (Plot application/Transfer/Sub Division	4,736,000	1,302,650	-	1,302,650	28
2	Land Rent/Rates - current	17,195,075	1,871,149	-	1,871,149	11
3	Penalties land Rent/Rates	1,500,000	81,543	-	81,543	5
4	Land Rent/Rates - Arrears	5,576,000	2,425,468	-	2,425,468	43
5	Livestock Auction Cess	10,188,993	1,285,840	-	1,285,840	13
6	Sand Cess	16,200,000	4,523,500	-	4,523,500	28
7	Barter/Murram/Audit/fire charge/ hide skin Cess	3,237,552	258,500	-	258,500	8
8	Miraa export/cess	4,018,156	3,617,500	-	3,617,500	90
9	Miscellaneous Charges-Public Health Inspection	950,000	401,200	-	401,200	42
10	S.B.P fees/Promotion/Advertisement/Branding	6,556,802	8,356,835	-	8,356,835	127
11	Liquor licence	4,800,000	-	-	-	-
12	Public works/other charges	1,200,000	290,290	-	290,290	24
13	Stand Premium	1,285,536	54,500	-	54,500	4
14	Consent and clearance	419,919	1,000,000	-	1,000,000	238
15	Plot Transfer Approval	3,886,076	49,000	-	49,000	1
16	Lease extension	300,000	-	-	-	-
17	Planning & Survey	954,000	-	-	-	-
18	Livestock Veterinary/ meat inspection	3,596,000	267,790	-	267,790	7
19	Weight and Measures	750,000	13,000	-	13,000	2
20	Tractor Hire/tourism bus/-KNLS	1,099,891	69,640	-	69,640	6
21	Agriculture Training Centre	880,000	-	-	-	-
22	Game entrance/Royalties	154,225,758	93,241,378	-	93,241,378	60
23	Market Stalks/Fee and Produce	10,430,446	688,686	-	688,686	7
24	Street parking fees - Vehicle parking	10,480,000	2,162,294	-	2,162,294	21
25	Slaughter fees	4,513,575	375,700	-	375,700	8
26	Building plan approval/bill and sign board	2,228,401	203,701	-	203,701	9
	Sub-Total	**271,208,180**	**122,540,164**	**-**	**122,540,164**	**45**
E	**Facility Improvement Financing (FIF)**					
1	SHIF - Isiolo County teaching & referral hospital	70,000,000	21,769,352	-	21,769,352	31
2	Cash Payments - Isiolo County teaching & referral hospital	31,000,000	22,272,014	-	22,272,014	72
3	Compassion remittance - Isiolo County teaching & referral hospital	3,000,000	250,319	-	250,319	8
	Sub-Total	**104,000,000**	**44,291,685**	**-**	**44,291,685**	**43**
	Total	**7,626,789,931**	**4,860,546,629**	**450,508,584**	**5,311,055,213**	**70**

Source: *Isiolo County Treasury*

The County does not have governing legislation on the operation of ordinary A-I-A and FIF.

Figure 3.49 provides a detailed breakdown of receipts.

Figure 3.49: Isiolo County Composition of Revenue in the first nine months of FY 2025/26

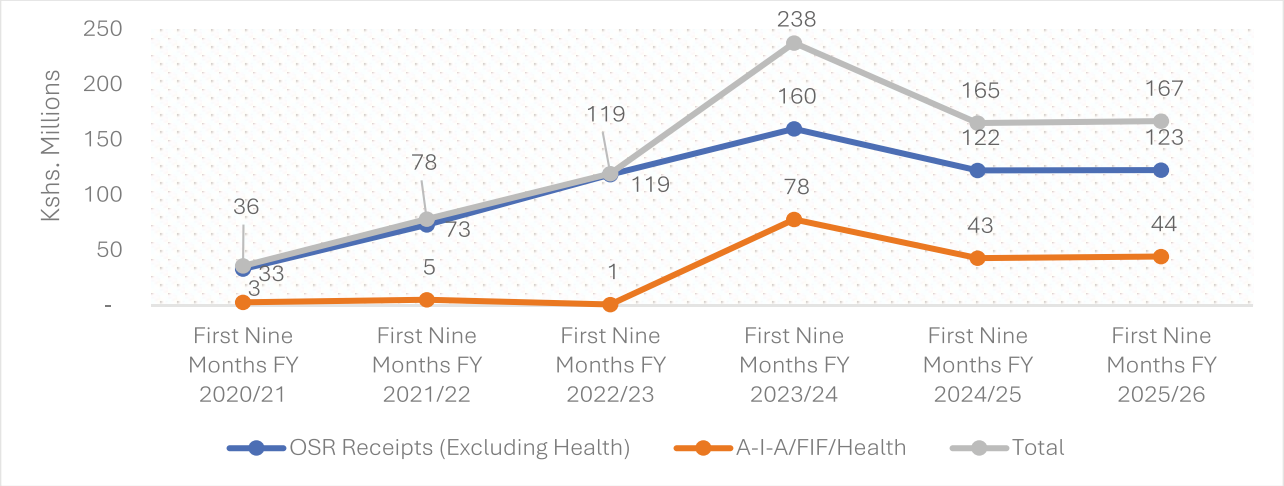


Source: *Isiolo County Treasury*

The equitable share of revenue raised nationally, Balance b/f from FY 2024/25, and Additional Allocation contributed 77 per cent, 13 per cent and 5 per cent, respectively, of the total receipts for the reporting period.

Figure 3.50 shows the collection trend in own-source revenue from the first nine months of FY 2020/21 to the first nine months of FY 2025/26.

Figure 3.50: Isiolo County Trend in Own-Source Revenue Collection from the first nine months of FY 2020/21 to the first nine months of FY 2025/26

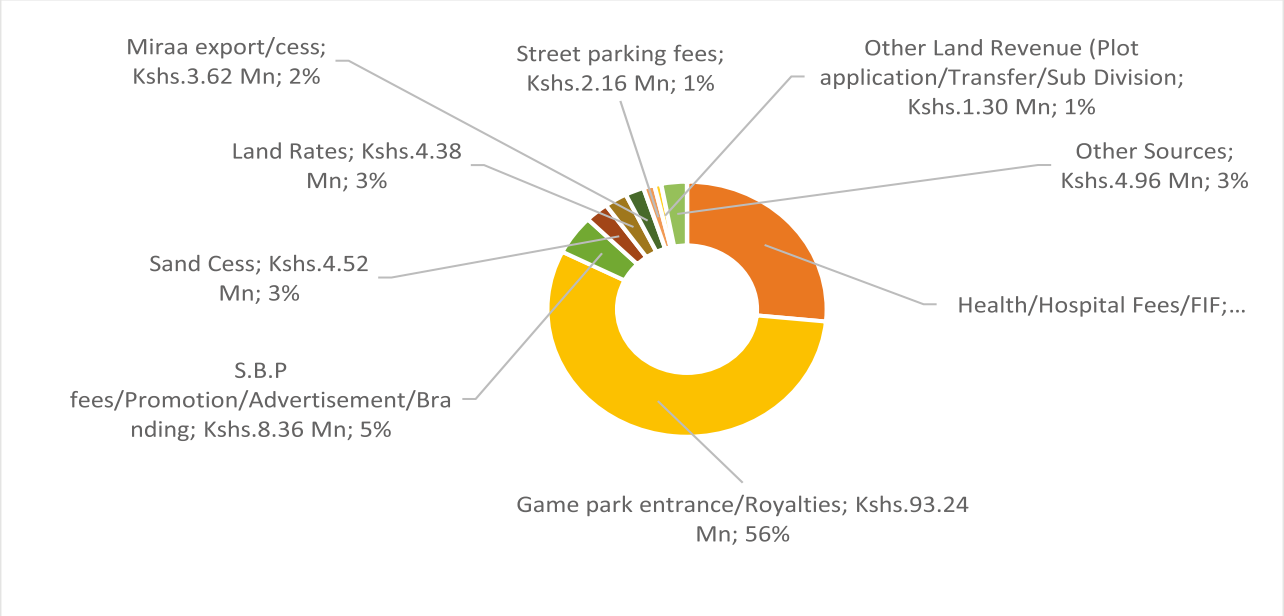


Source: *Isiolo County Treasury*

During the first nine months of FY 2025/26, the County received Kshs.166.83 million from OSR, including FIF. This amount was an increase of 1 per cent compared to Kshs.165.02 million realised in a similar period in FY 2024/25, and was 44 per cent of the annual target and 4 per cent of the equitable revenue share disbursed.

The revenue streams that contributed the most to OSR receipts are shown in Figure 3.51

Figure 3.51: Isiolo County Top Own Source Revenue Streams in the first nine months of FY 2025/26



Source: *Isiolo County Treasury*

As shown in Figure 3, the largest revenue stream, at Kshs.93.24 million, was Game park entrance / Royalties, accounting for 56 per cent of total OSR receipts. The County Government indicated that it has automated 3 revenue streams out of 26.

3.9.3 Revenue Receivables

As of 1st July 2025, the County reported receivables of Kshs.281.90 million, which decreased to Kshs.237.79 million as of 31st March 2026. The County manages its receivables using an automated system, with an accrual-basis option. Table 3.125 presents a breakdown of the County's receivables.

Table 3.125: Isiolo County Receivables as of 31st March 2026

No	Revenue Stream	Receivables as of 1 July 2025 (Kshs.)	Progress made in the first nine months of FY 2025/26			Receivables as of 31st March 2026 (Kshs.)
			Waivers (Kshs)	Receivables paid in the financial year (Kshs)	Receivables earned in the first nine months of FY 2025/26 (Kshs)	
		a	b	c	d	f=a-b-c+d
A	**Transfers from the Equalisation Fund**					
1	**FY 2024/26**	70,946,533	-	**70,946,533**	-	-
		-	-	-	-	-
	Sub-Total					
B	**Ordinary Own Sources of Revenue**					
1	**Property Rates**	**210,951,236**	-	611,190	27,451,337	237,791,383
	Sub-Total		-			
Total		**281,897,768.50**	-	**71,557,722.50**	**27,451,337**	**237,791,383**

Source: *Isiolo County Treasury*

As of 31st March 2026, the receivables totalled to Kshs.237,79 million, all on Property rates. The measures instituted by the County to collect the outstanding arrears in FY 2025/26 include a plan to grant waivers of interest and penalties on property rates to encourage payment of principal arrears.

3.9.4 Borrowing by the County

The two arms of the County Government did not report any credit facilities or short-term borrowing with commercial banks during the period under review.

3.9.5 Withdrawals from the County Revenue Fund and County Assembly Fund

During the reporting period, the Controller of Budget approved exchequer withdrawal requests totalling Kshs.4.32 billion from the Isiolo County Revenue Fund (CRF) account. This amount consisted of Kshs.894.96 million (21 per cent) designated for development programs and Kshs.3.42 billion (79 per cent) allocated for recurrent programs.

An analysis of the released recurrent exchequers shows that Kshs.2.25 billion was allocated to employee compensation and Kshs.1.17 billion to operations and maintenance expenditures. Within the operations and maintenance category, 6 per cent was for domestic travel and none for foreign travel. The domestic travel exchequers totalled Kshs.68.98 million, which included Kshs.16.27 million for the County Executive and Kshs.52.71 million for the County Assembly. There was no foreign travel exchequer request.

As of 31st March 2026, the County Government's cash balance in the Isiolo CRF account was Kshs.459.77 million.

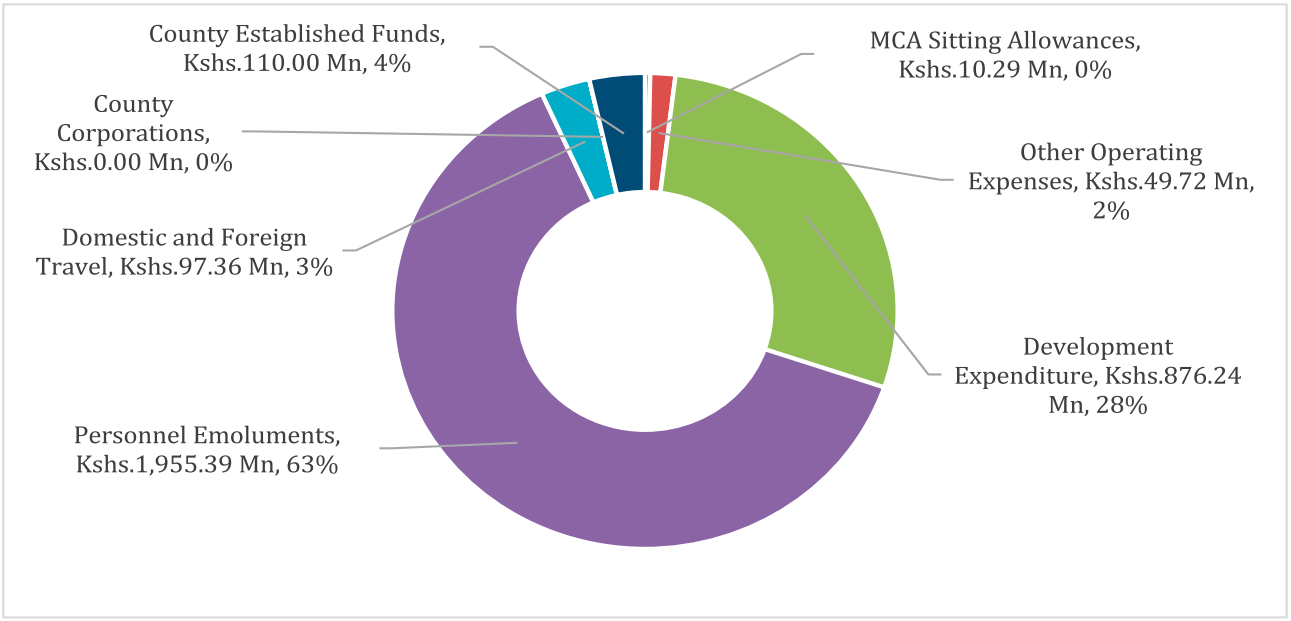
The County is yet to operationalise the Isiolo County Assembly Fund (CAF).

3.9.6 Expenditure Review

The County spent Kshs.3.54 billion on development and recurrent programmes during the reporting period. The expenditure represented 82 per cent of the total funds released by the CoB. It comprised Kshs.876.24 million for development programmes and Kshs.2.67 billion for recurrent programmes. Expenditure on development programmes accounted for 33 per cent of the annual development expenditure budget, while recurrent expenditure accounted for 54 per cent of the annual recurrent expenditure budget.

Figure 3.52 provides a detailed breakdown of total expenditure.

Figure 3.52: Isiolo County Composition of Expenditure in the first nine months of FY 2025/26



Source: Isiolo *County Treasury*

As shown in Figure 3.52 , the three highest expenditure categories were Personnel Emoluments, Development expenditure, and Travel costs, contributing 63, 28, and 4 per cent of total expenditure for the reporting period.

3.9.7 Expenditure by Economic Classification

The County Executive incurred Kshs.1.71 billion in employee compensation, Kshs.521.40 million in operations and maintenance, and Kshs.876.24 million in development activities. Similarly, the County Assembly spent Kshs.246.60 million on compensation of employees, and Kshs.190.76 million on operational activities, as shown in Table 3.126.

Table 3.126: Isiolo County Summary of Budget and Expenditure by Economic Classification

Expenditure Classification	Approved Budget (Kshs.Mn) (a)		Amount Paid in the first nine months of FY 2025/26 (Kshs. Mn) (b)		Expenditure Accrued in the first nine months of FY 2025/26 (Kshs. Mn) (c)		Total Expenditure in the first nine months of FY 2025/26 (Kshs.Mn) (d=b+c)		Absorption (%) (d/a*100)	
	Executive	Assembly	Executive	Assembly	Executive	Assembly	Executive	Assembly	Executive	Assembly
Total Recurrent Expenditure	**4,327.73**	**571.96**	**2,230.19**	**369.12**	**-**	**68.24**	**2,230.19**	**437.36**	**52**	**84**
Compensation of Employees	2,450.06	282.10	1,708.79	218.98	-	25.11	1708.79	244.09	**70**	**87**
Operations and Maintenance	1,877.67	289.86	521.40	149.75	-	43.13	521.40	192.88	**28**	**81**
Development Expenditure	**2,516.16**	**140.00**	**876.24**	-	-	-	876.24	-	**35**	**-**
Total	**6843.89**	**711.96**	**3106.42**	**369.12**	**-**	**68.24**	**3106.42**	**437.36**	**45**	**67**

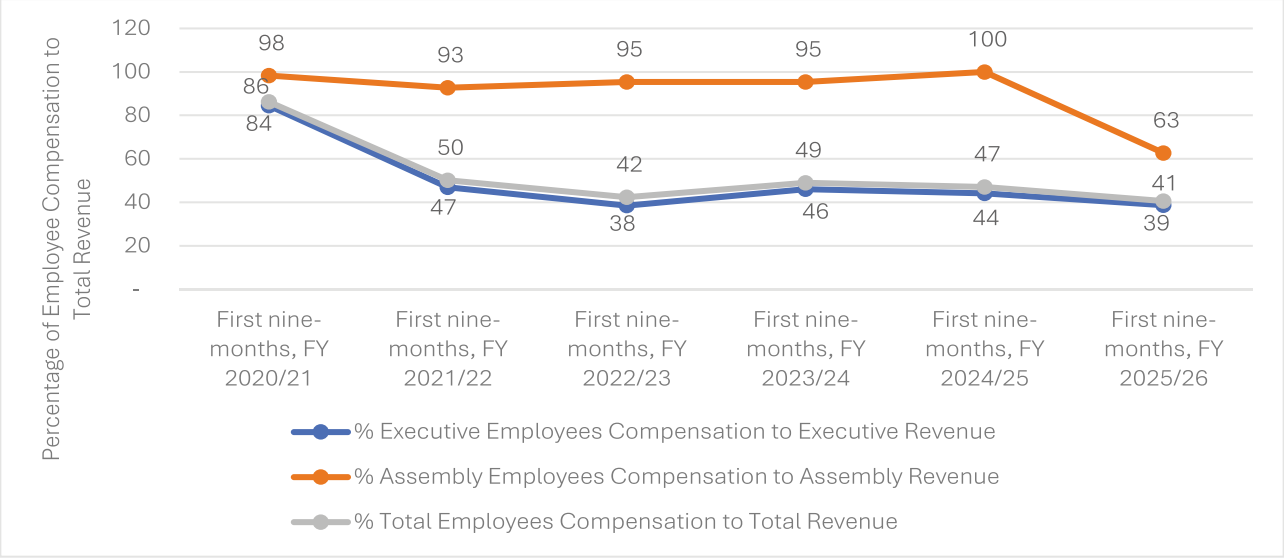
***Source**: Isiolo County Treasury*

3.9.8 Expenditure on Employee Compensation

The expenditure on employee compensation totalled Kshs.1.95 billion, representing 40 per cent of revenue. This expenditure on employee compensation has increased compared to the Kshs.1.86 billion reported in a similar period in FY 2024/25. Of this total, Kshs.710.02 million related to Health Sector employees, accounting for 36 per cent of the overall employees' compensation.

186 shows the trend in employee compensation as a percentage of total revenue from the first nine months of FY 2020/21 to the first nine months of FY 2025/26.

Figure 3.53: Percentage of Employee Compensation Expenditure to Total Revenue Received in the first nine months of FY 2020/21 to the first nine months of FY 2025/26



***Source:** Isiolo County Treasury*

The movement in PE/Revenue over time is attributable to higher revenue growth vis-à-vis moderate growth in PE expenses.

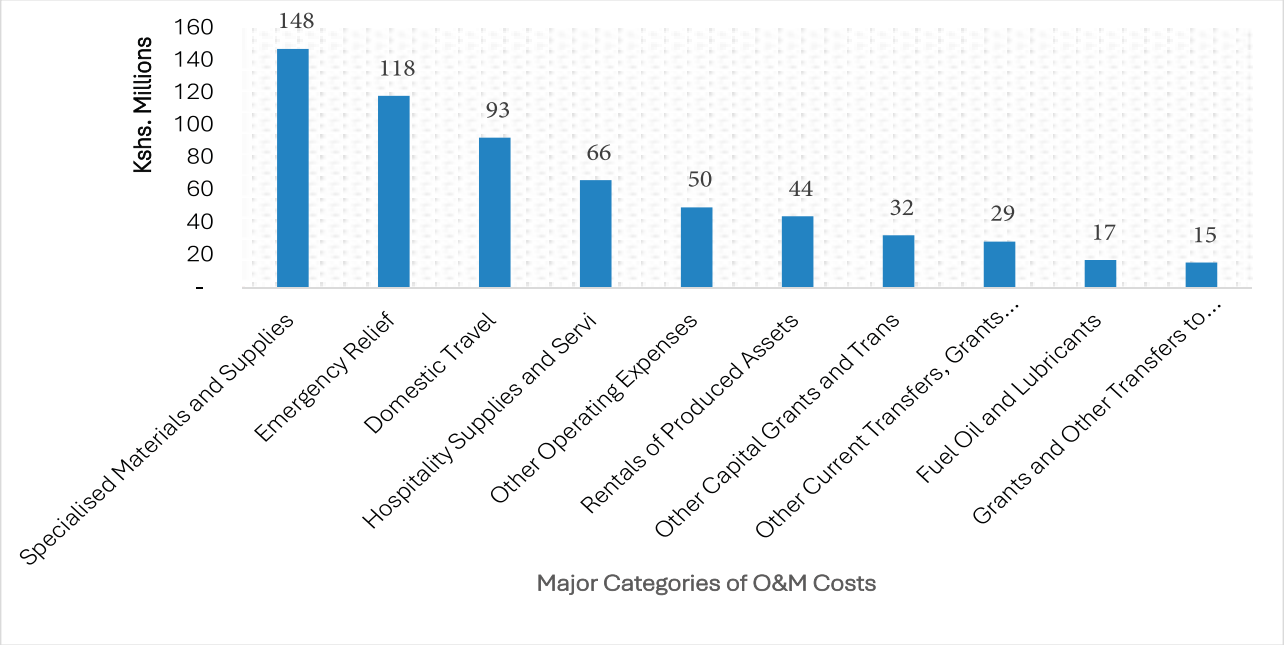
Further analysis indicated that PE costs totalling Kshs.2.03 billion were processed through the Human Resource Information System (HRIS). In contrast, Kshs.51.30 million was processed through manual payrolls, which accounted for 2 per cent of the total PE cost. This is lower than the Kshs.73.96 million was processed through manual payrolls by the county in the first nine months of FY 2024/25. The justification for the continued use of manual payroll was that the County Assembly was in the process of onboarding all employees to the HRIS.

The County Assembly spent Kshs.10.29 million on committee sitting allowances for the 18 MCAs against the annual budget allocation of Kshs.10.50 million. The average monthly sitting allowance was Kshs.63,544 per MCA. The County Assembly has 11 House Committees.

3.9.9 Expenditure on Operations and Maintenance

During the reporting period, the County spent Kshs.757.29 million on operations and maintenance, representing a 11 per cent decrease compared to the same period in FY 2024/25, when the County spent Kshs.799.80 million. Figure 3.54 illustrates the distribution of Operations and Maintenance expenditures across the major spending categories.

Figure 3.54: Isiolo County, Operations and Maintenance Expenditure by Major Categories



Source: *Isiolo County Treasury*

3.9.10 Unbundling "Other Operating Expenses-Other" Under Operations and Maintenance Expenditures

The county did not report any expenditure unde thr IFMIS code 2211399, that is "*Other Operating Expenses- other* ".

3.9.11 County-Established Funds

Section 116 of the PFM Act 2012 allows County Governments to establish other public funds, subject to approval from the County Executive Committee and the County Assembly. The County allocated Kshs.210 million to County-Established funds in FY 2025/26, representing 3 per cent of the County's overall budget. Of this amount, the County allocated Kshs.110 million to the Emergency Fund in line with Section 110 of the PFM Act, 2012, accounting for 1 per cent of the total budget. Table 3.127 summarises each established Fund's budget allocation and performance during the reporting period.

Table 3.127: Performance of Isiolo County Established Funds in the first nine months of FY 2025/26

S/No.	Name of the Fund	Year Established	Approved Budget Allocation in FY 2025/26 (Kshs.)	Exchequer Issues in the first nine months of FY 2025/26 (Kshs.)	Actual disbursements in the first nine months of FY 2025/26 (Kshs.)	Cumulative disbursements to the Fund (Kshs)	Submission of Financial Statements (Yes/No.)
	County Executive Established Funds						
1	Isiolo County Emergency Fund	16th April, 2021	110,000,000	110,000,000	110,000,000	596,418,164	Yes
2	Isiolo County Bursary Fund	21st December, 2015	70,000,000	-	-	380,000,000	Yes
	County Assembly Established Funds						
1	County Assembly Mortgage and Car Loan Fund	17th February 2021	30,000,000	-	-	64,500,000	No
	Total		**210,000,000**	**110,000,000**	**110,000,000**	**1,040,918,164**	

Source: *Isiolo County Treasury*

During the reporting period, the CoB did not receive the quarterly financial reports from the County Assembly Mortgage and Car Loan Fund Administrators, as indicated in Table 3.127, contrary to the requirement under Section 168 of the PFM Act, 2012. The County disclosed that the administration costs of the Isiolo County Emergency Fund were Kshs.7,425 (0.01 per cent of the fund), all relating to bank charges, while no administration costs were recorded for the bursary fund. The two Funds' administration cost is within the 3 per cent limit of the Fund budget set in Regulation 197(1)(d) of the Public Finance Management (County Governments) Regulations, 2015.

Regulation 197(1)(i) of the Public Finance Management (County Governments) Regulations, 2015, allows County Governments to establish public funds with a lifespan capped at 10 years unless extended by the County Assembly. In FY 2025/26, the CoB determined that the Isiolo County Bursary Fund's lifespan had lapsed. Consequently, the CoB did not approve any withdrawal requests to support the operations of the lapsed funds.

3.9.12 County Corporations

The County has one County Corporations that were not allocated any funds for FY 2025/26. Further, the county did not report any expenditure for the two County Corporations for the review period.

3.9.13 Expenditure on Domestic and Foreign Travel

Expenditure on domestic travel amounted to Kshs.92.56 million and comprised Kshs.66.58 million spent by the County Assembly and Kshs.35.98 million by the County Executive. Expenditure on foreign travel amounted to Kshs.4.80 million all by the County Assembly. The county treasury had not provided a summary of reported foreign travel by the time this report was finalised.

3.9.14 Facility Improvement Financing

During the review period, the County reported collections of Kshs.44.29 million as FIF, which was 43 per cent of the annual target of Kshs.104 million. The collected amount was retained and utilised at source in line with the Facility Improvement Financing Act, 2023. The County, however, has not developed regulations to operationalise the FIF Act of 2023.

The expenditure by the health facilities amounted to Kshs.40.71 million, as shown in Table 3.128

Table 3.128: Isiolo County Health Facilities Expenditure Performance in the first nine months of FY 2025/26

No.	Health Facility	Number of Facilities	Approved Budget (Kshs.)	Actual Expenditure (Kshs.)	Absorption rate (%)
1.	Level 5 Hospital	1	42,325,732.40	40,706,625.20	96
	Total	**1**	**42,325,732.40**	**40,706,625.20**	**96**

Source: *Isiolo County Treasury*

The county treasury provides information only for one facility, that is, Isiolo County Teaching and Referral hospital

3.9.15 Development Expenditure

In the review period, the County reported spending Kshs.876.24 million on development programmes, representing an increase of 13 per cent compared to FY 2024/25, when the County spent Kshs.775.53 million. Table 3.129 summarises the development projects with the highest expenditure in the reporting period. Some of the commencement dates of projects were not provided as observed in the table above.

The increase in development expenditure was attributed to settlement of trade payables.

Table 3.129: Isiolo County, List of Development Projects with the Highest Expenditure

No	Sector	Project Name	Project Location	Project Commencement Date	Expected date of Completion of the Project	Contract sum (Kshs)	Total Funding in FY 2025/26 (Kshs. Mn)	Expenditure (on an accrual basis) in the first nine months of FY 2025/26 (Kshs. Mn)	Cumulative project expenditure (on an accrual basis) as of 31st March 2026 (Kshs. Mn)	Percentage (%) of Completion
County Funded Projects										
1	Finance	Provision for Accrued Trade payables' Clearing Plan	Headquarters	-	30-06-2026	-	302.00	191.09	191.09	53
2	Special Programmes	Isiolo County Emergency Fund Act Implementation Programme	Wabera, Bullapesa, Burat, Oldonyiro, Ngaremara, Chari, Cherab, Garbatulla, Kinna, Sericho	-	30-06-2026	-	110.00	110.00	110.00	81
3	Roads & Public Works	Murraming and Gravelling of roads and bridges	Ngaramara	-	30-06-2026	-	100.00	100.00	100.00	40

No	Sector	Project Name	Project Location	Project Commencement Date	Expected date of Completion of the Project	Contract sum (Kshs)	Total Funding in FY 2025/26 (Kshs. Mn)	Expenditure (on an accrual basis) in the first nine months of FY 2025/26 (Kshs. Mn)	Cumulative project expenditure (on an accrual basis) as of 31st March 2026 (Kshs. Mn)	Percentage (%) of Completion
4	Roads & Public Works	Routine maintenance of existing roads	Wabera, Bullapesa, Burat, Oldonyiro, Ngaremara, Chari, Cherab, Garbatulla, Kinna, Sericho	-	30-06-2026	-	64.27	64.27	64.27	0
5	Roads & Public Works	Upgrading of isiolo town road to Bitumen standard 1.5 km phase one	Wabera and Bulapesa	-	30-06-2026		70.35	56.89	56.89	55
6	Roads & Public Works	Upgrading of town road to Bitumen standard 2km (Ongoing in Lower Bula Pesa)	Bulapesa	-	30-06-2026	-	90.00	30.93	30.93	52
7	Environment, Climate Change and Natural Resources	Financing Locally Led Climate Action (FLLoCA)-county contribution	Wabera, Bullapesa, Burat, Oldonyiro, Ngaremara, Chari, Cherab, Garbatulla, Kinna, Sericho	-	30-06-2026	-	33.00	17.19	17.19	0
8	Trade, MSME and Cooperatives	Construction of CAIP	Isiolo town prison	-	30-06-2026	-	50.00	15.00	15.00	15
9	Finance	Construction of Sand Revenue Access Points/ Roads	Ngaremara, Oldonyiro, Burat &Garbatulla	-	30-06-2026	-	30.00	14.96	14.96	85

No	Sector	Project Name	Project Location	Project Commencement Date	Expected date of Completion of the Project	Contract sum (Kshs)	Total Funding in FY 2025/26 (Kshs. Mn)	Expenditure (on an accrual basis) in the first nine months of FY 2025/26 (Kshs. Mn)	Cumulative project expenditure (on an accrual basis) as of 31st March 2026 (Kshs. Mn)	Percentage (%) of Completion
10	Water & Sanitation	Rehabilitation of broken-down boreholes at all wards	Wabera, Bula pesa, Burat, Oldonyiro, Ngaremara, Chari, Cherab, Garbatulla, Kinna, Sericho	-	30-06-2026	-	22.00	10.00	10.00	85
Donor Funded Projects										
1	Agriculture	Food Systems Resilience Project (FSRP)	Wabera, Bula pesa, Burat, Oldonyiro, Ngaremara, Chari, Cherab, Garbatulla, Kinna, Sericho	Jul-25	01/06/2026	-	246.15	110.06	110.06	0
2	Environment, Climate Change and Natural Resources	Financing Locally Led Climate Action (FLLoCA)-Nat. Govt. (climate change resilient project)	Wabera, Bula pesa, Burat, Oldonyiro, Ngaremara, Chari, Cherab, Garbatulla, Kinna, Sericho	Jul-25	01/06/2026	-	136.00	92.70	92.70	0
3	Public Service Management and Devolved Units	Kenya Devolution Support Programme-KDSP II	All wards	Mar-26	01/12/2026	-	353.00	.00	.00	0
4	Public Health	Current Capital Grants (Danida)	All health facilities	*01/07/2025*	01/06/2026	-	6.83	.00	.00	0

No	Sector	Project Name	Project Location	Project Commencement Date	Expected date of Completion of the Project	Contract sum (Kshs)	Total Funding in FY 2025/26 (Kshs. Mn)	Expenditure (on an accrual basis) in the first nine months of FY 2025/26 (Kshs. Mn)	Cumulative project expenditure (on an accrual basis) as of 31st March 2026 (Kshs. Mn)	Percentage (%) of Completion
5	Municipality	Kenya Urban Support Program (KUSP)-UDG-	Wabera	Jul-25	46,174	-	63.66	.00	.00	0

Source: *Isiolo County Treasury*

The County reported 8 stalled development projects as of 31st March 2026, with an estimated value of Kshs.1.47 billion, of which Kshs.1.05 billion has already been paid. The stalled projects are shown in Table 3.130 .

Table 3.130: Isiolo County Stalled Projects as of 31st March 2026

No	Sector	Project Name	Project Location	Project Start Date	Expected Completion Date of the Project	Estimated Value of the Project (Kshs.)	Amount Paid on the stalled project (Kshs.)	Accrued Expenditure on the stalled project (Kshs.)	Outstanding Unpaid Balance As of 31st March 2026	Percentage of Completion before stalling of the Project
1	Finance	Supplement Construction of County Headquarters	Wabera	03/04/2019	03/12/2026	556.91	328.08	228.82	228.82	59
2	Youth, Sports, Gender, Culture and Social Services	Construction of Isiolo stadium	Wabera	01-05-2019	01-12-2020	346.00	273.57	273.57	72.43	67
3	Municipality	Construction of Isiolo market	Bula Pesa	14-08-2018	30-12-2024	545.21	428.95	428.95	116.27	80
4	County Assembly	Ward office	Ngaramara	29 June 2015	N/A	5.00	4.40	.60	.60	88
5	County Assembly	Ward office	Sericho	29 June 2015	N/A	5.00	3.70	1.30	1.30	74

No	Sector	Project Name	Project Location	Project Start Date	Expected Completion Date of the Project	Estimated Value of the Project (Kshs.)	Amount Paid on the stalled project (Kshs.)	Accrued Expenditure on the stalled project (Kshs.)	Outstanding Unpaid Balance As of 31st March 2026	Percentage of Completion before stalling of the Project
6	County Assembly	Ward office	Oldo-nyiro	19 June 2018	N/A	5.00	3.21	1.78	1.78	64
7	County Assembly	Ward office	Burat	29 June 2018	N/A	5.00	3.93	1.07	1.07	78
8	County Assembly	Ward office	Wabera	29 June 2018	N/A	5.00	4.14	.86	.86	82
	Total					1473.11	1049.98	936.95	423.13	

Source: *Isiolo County Treasury*

Construction of the County headquarters stalled due to shortages in funding as the County is yet to receive allocated additional allocation from the National Government. Construction of Isiolo Stadium stalled following the takeover of the project by the National government. While construction of Isiolo Market stalled as a result of unresolved contract variation issues. On the other hand, construction of Ward offices stalled due to inadequate budgetary allocations.

3.9.16 Budget Performance by Department

Table 3.131 summarises the approved budget allocation, expenditure, and absorption rate by department for the period under review.

Table 3.131: Isiolo County, Budget Allocation and Absorption Rate by Department in the first nine months of FY 2025/26

Department	Revised Budget Allocation (Kshs.Million)		Exchequer Received (Kshs.Million)		Expenditure (Kshs. Million)		Expenditure to Exchequer (%)		Absorption rate (%)	
	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev
County Assembly	571.96	140	389.17	-	437.36	-	112	-	76	-
County Executive Sector	367.39	5	253.12	-	244.39	-	97	-	67	-
Finance, Economic Planning, Special Programs, Revenue and Cohesion	748.04	529.67	638.54	436.78	271.68	319.04	43	73	36	60
Lands & Physical Planning, Housing & Urban Planning and Roads & Infrastructure	54.79	379.42	38.61	179.60	0.69	272.09	2	151	1	72
Agriculture & Irrigation, Livestock & Veterinary Services and Fisheries Development	164.58	445.02	116.82	202.76	81.96	185.19	70	91	50	42

Department	Revised Budget Allocation (Kshs.Million)		Exchequer Received (Kshs.Million)		Expenditure (Kshs. Million)		Expenditure to Exchequer (%)		Absorption rate (%)	
	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev
Education, Vocational Youth, Sports Gender & Social Services	342.61	95.90	210.30	-	219.37	2.18	104	-	64	2
Tourism and Wildlife, Trade Cooperative and Enterprise Development	809.27	431.93	444.17	15	450.90	16.55	102	110	56	4
Water, Energy, Environment, And Natural Resources	79.43	303.53	58.29	49.79	9.64	61.73	17	124	12	20
Health Services	1,679.35	250.07	1,237.29	11.03	897.10	19.47	73	176	53	8
Municipal Administration	82.26	75.62	36.47	-	54.47	-	149	-	66	-
Total	**4,899.68**	**2,656.16**	**3,422.79**	**894.96**	**2,667.55**	**876.24**	**78**	**98**	**54**	**33**

***Source**: Isiolo County Treasury*

Analysis of expenditure by departments shows that the Department of Lands & Physical Planning, Housing & Urban Planning and Roads & Infrastructure recorded the highest absorption rate of development budget at 72 per cent, followed by the Department of Finance, Economic Planning, Special Programs, Revenue and Cohesion at 60 per cent. The County Assembly had the highest percentage of recurrent expenditure to budget at 76 per cent, while the Department of Lands & Physical Planning, Housing & Urban Planning and Roads & Infrastructure had the lowest at 1 per cent.

3.9.17 Budget Execution by Programmes and Sub-Program

Budget execution was concentrated in selected performance bands. In the 51–60 per cent band, development absorption was reported for preventive and promotive health services under the Department of Health Services at 54 per cent, and for crop development and management under the Department of Agriculture and Irrigation at 58 per cent.

In the 61–70 per cent band, development absorption was reported for accounting services under public financial management at 63 per cent, and for rural water supply and storage services under the Department of Water, Energy, Environment and Natural Resources at 64 per cent. In the 71–80 per cent band, development absorption was recorded for routine roads maintenance under the Department of Lands and Physical Planning, Housing and Urban Planning and Roads and Infrastructure at 78 per cent, while recurrent absorption was reported for administration and support services under culture and social services at 78 per cent.

In the 81–90 per cent band, recurrent absorption was reported for internet connectivity under ICT and e-government services at 83 per cent, for municipal disaster management under the Department of Town Administration at 83 per cent, for general administration, planning and support services under the Department of Agriculture and Irrigation at 86 per cent, and for tourism promotion and marketing under the Department of Tourism and Wildlife, Trade, Cooperative and Enterprise Development at 87 per cent. In the 90–100 per cent band, development absorption reached 100 per cent for disaster risk awareness, preparedness and management under the Department of Finance, Economic Planning, Special Programs, Revenue and Cohesion, while recurrent absorption reached 99 per cent for general administration, planning and support services under the Office of the Governor, 94 per cent for personnel services, 100 per cent for youth and women empowerment under the Department of Education, Vocational Youth, Sports, Gender and Social Services, 97 per cent for general administration and support services, and 99 per cent for municipality amenities under the Department of Town Administration.

All the sub-Programmes reported with the lowest absorption rates, both development and recurrent, recorded nil expenditure during the review period. These outcomes were attributed to the stalemate in the approval of the County's FY 2025/26 budget estimates, which was only operationalized in December 2025. Conversely, performance in the higher bands reflected the prioritization of the respective sub-Programmes during the review period.

Table 3.132 summarises budget execution by programmes and sub-programmes in the period under review with the highest absorption rates.

Table 3.132: Budget Execution by Programmes and Sub-Programmes with Highest Absorption Rates

Programme	Sub-Programme	Gross Approved Estimates FY 2025/26 (Kshs.)	Expenditure (including accrued expenditure) as of 31st March 2026 (Kshs.)	Absorption Rate (%)
		Dev	Dev	Dev
DEVELOPMENT				
Department of Finance, Economic Planning, Special Programs, Revenue and Cohesion				
Disaster Preparedness Prevention Response & Recovery	Disaster Risk Awareness Preparedness & Management	110,000,000	110,000,000	100
Public financial management	Accounting Services	302,000,000	191,088,920	63
Department of Lands & Physical Planning, Housing & Urban Planning and Roads & Infrastructure				
Public Works & Infrastructure	Routine Roads Maintenance	324,617,363	252,086,711	78
Land Survey and land use planning	Land Use Planning	40,000,000	20,000,000	50
Department of Agriculture & Irrigation, Livestock & Veterinary Services and Fisheries Development				
Sustainable Crop Development & Agricultural Land Use	Crop Development & Management	321,280,978	185,186,952	58
Department of Water, Energy, Environment, And Natural Resources				
Water Supply and Storage Services	Rural Water Supply & Storage Services	67,500,000	43,000,116	64
Department of Health Services				
Health Preventive and Promotive Services	Preventive and Promotive Health Services	25,366,739	13,768,500	54
RECURRENT				
County Executive Sector – Office of the Governor				
Human Resources Management & Deployment	General Administration Planning & Support Services	35,835,544	35,491,500	99
Management of County Affairs	Personnel Services	193,171,639	180,629,585	94
Department of Finance, Economic Planning, Special Programs, Revenue and Cohesion				
ICT and E-Government services	Internet Connectivity	3,000,000	2,500,000	83
Department of Agriculture & Irrigation, Livestock & Veterinary Services and Fisheries Development				
Sustainable Crop Development & Agricultural Land Use	General Administration Planning & Support Services	50,196,628	43,062,495	86
Department of Education, Vocational Youth, Sports Gender & Social ServiceS				

Programme	Sub-Programme	Gross Approved Estimates FY 2025/26 (Kshs.)	Expenditure (including accrued expenditure) as of 31st March 2026 (Kshs.)	Absorption Rate (%)
		Dev	Dev	Dev
Youth, Sports and Gender	Youth and Women Empowerment	7,000,000	6,984,000	100
Provision of education and training services	General Administration & Support Services	175,748,563	169,711,737	97
Culture and social services	Administration & Support Services	32,106,983	25,061,384	78
Department of Tourism and Wildlife, Trade Cooperative and Enterprise Development				
Tourism Promotion	Tourism Promotion and Marketing	100,254,041	87,331,832	87
Department of Town Administration				
Municipal Administration	Municipality Amenities	8,304,000	8,200,000	99
Municipal Administration	Municipal Disaster Management	2,808,000	2,320,000	83

Source: *Isiolo County Treasury*

The development sub-programmes with the highest budget implementation rates were: Disaster Preparedness Prevention Response & Recovery in the Department of Finance, Economic Planning, Special Programs, Revenue and Cohesion at 100 per cent, and, Routine Roads Maintenance in the department of Lands & Physical Planning, Housing & Urban Planning and Roads & Infrastructure at 78 per cent

Youth and Women Empowerment in the Department of Education, Vocational Youth, Sports Gender & Social Services also at 100 per cent.

For recurrent sub-programmes, the top performers included: Youth and Women Empowerment in the Department of Education, Vocational Youth, Sports Gender & Social Services also at 100 per cent, Municipality Amenities in the Department of Municipal Administration at 99 per cent, and General Administration & Support Services in the Department of Education, Vocational Youth, Sports Gender & Social Services at 97 per cent.

Table 3.133 summarises the budget execution by programmes and sub-programmes in the period under review that had the lowest absorption rates.

Table 3.133: Budget Execution by Programmes and Sub-Programmes with Lowest Absorption Rates

Programme	Sub-Programme	Gross Approved Estimates FY 2025/26 (Kshs.)	Expenditure (including accrued expenditure) as of 31st March 2026 (Kshs.)	Absorption Rate (%)
		Dev	Dev	Dev
DEVELOPMENT				
County Assembly				
Infrastructure Support	Sub-programme	53,000,000	-	-
Department of Finance, Economic Planning, Special Programs, Revenue and Cohesion				
Public financial management	Administrative services	59,000,000	-	-
Department of Lands & Physical Planning, Housing & Urban Planning and Roads & Infrastructure				

Programme	Sub-Programme	Gross Approved Estimates FY 2025/26 (Kshs.)	Expenditure (including accrued expenditure) as of 31st March 2026 (Kshs.)	Absorption Rate (%)
		Dev	Dev	Dev
Land Survey and land use planning	Land Survey & Mapping	14,800,000	-	-
Department of Agriculture & Irrigation, Livestock & Veterinary Services and Fisheries Development				
Livestock Production	Livestock Production	114,243,151	-	-
Fisheries Development	Aquaculture Technology Development & Innovation Transfer	2,000,000	-	-
Fisheries Development	Fish Safety Assurance Value Addition & Marketing	3,000,000	-	-
Department of Education, Vocational Youth, Sports Gender & Social Services				
Provision of education and training services	ECDE Access	40,100,000	-	-
Culture and social services	Administration & Support Services	5,000,000	-	-
Department of Tourism and Wildlife, Trade Cooperative and Enterprise Development				
Tourism Promotion	Tourism Promotion and Marketing	17,300,000	-	-
Tourism Promotion	Wildlife Protection	4,500,000	-	-
Department of Water, Energy, Environment, And Natural Resources				
Water Supply and Storage Services	Adaptive Capacity to Natural Disaster	38,500,000	-	-
Energy services	Green Energy Promotion	4,000,000	-	-
Department of Health Services				
Health Curative Services	Human Resource Management	10,000,000	-	-
Health Preventive and Promotive Services	Primary Health Care	74,700,000	-	-
Department Town Administration				
Municipal Administration	Infrastructural Development	65,621,034	-	-
RECURRENT				
Department County Executive Sector				
Management of County Affairs	Partnerships Intergovernmental& NGO Coordination	2,630,101	-	-
Department of Finance, Economic Planning, Special Programs, Revenue and Cohesion				
Cohesion and Peace Building	Violent Extremism Prevention	2,220,000	-	-
Department of Lands & Physical Planning, Housing & Urban Planning and Roads & Infrastructure				
Planning and Survey of Urban Areas	Administration and Planning Services	9,587,622	-	-
Public Works & Infrastructure	General Administration Planning & Support Services	10,731,660	-	-
Department of Agriculture & Irrigation, Livestock & Veterinary Services and Fisheries Development				

Programme	Sub-Programme	Gross Approved Estimates FY 2025/26 (Kshs.)	Expenditure (including accrued expenditure) as of 31st March 2026 (Kshs.)	Absorption Rate (%)
		Dev	Dev	Dev
Value Addition	Livestock Diseases & Pests Control	14,434,366	-	-
Department of Education, Vocational Youth, Sports Gender & Social Services				
Provision of education and training services	Education Support Services	70,000,000	-	-
Cultural and Arts Empowerment	TVET Access & Retention	2,177,300	-	-
Department of Health Services				
Health Curative Services	Administration Support Services	104,000,000	-	-
Health Preventive and Promotive Services	Human Resource Management	17,763,267	-	-
Health Preventive and Promotive Services	Communicable Diseases Control	3,287,000	-	-

***Source**: Isiolo County Treasury*

All the sub-programmes list in Table 3.133 both development and recurrent, did not report any expenditure in the period under review.

These lower performances can be attributed to the stalemate in the approval of county's FY 2025/26 budget estimates. The County's budget was operationalised in December 2025.

3.9.18 Settlement of Trade Payables

As of 1st July 2025, the County reported trade payables totalling Kshs.1.69 billion. This amount consisted of Kshs.1.48 billion from the County Executive and Kshs.216.8 million from the County Assembly. The trade payables from the County Executive comprised Kshs.1.48 billion for recurrent expenditure and Kshs.199.94 million for development expenditure.

During the reporting period, the County Executive settled trade payables amounting to Kshs.653.73 million, comprising Kshs.634.14 million (97 per cent) for recurrent programmes and Kshs.19.59 million (3 per cent) for development programmes. On the other hand, the County Assembly settled trade payables amounting to Kshs.17.54 million, comprising Kshs.17.04 million (97 per cent) for recurrent activities and Kshs.0.5 million (3 per cent) for development activities. The outstanding trade payables as of 31st March 2026 were Kshs.825.46 million for County Executive and Kshs.227.56 million for County Assembly. Table 3.134 provides additional details of trade payables.

Table 3.134: Isiolo County Trade Payables as of 31st March 2026

		County Entity	Development (Kshs.)	Recurrent (Kshs.)	Total (Kshs.)
As at 1 July 2025 (End of FY 2024/25)	a	County Executive	199,937,165	1,279,258,143	1,479,195,307
		County Assembly	106,860,755	110,004,562	216,865,317
		Total	**306,797,920**	**1,389,262,705**	**1,696,060,625**
Trade payables scheduled to be settled in the first nine months of FY 2025/26 per the action plan	b	County Executive		924,443,476	924,443,476
		County Assembly			
		Total		**924,443,476**	**924,443,476**

		County Entity	Development (Kshs.)	Recurrent (Kshs.)	Total (Kshs.)
Amount paid in the first nine months of FY 2025/26	c	County Executive	19,588,920	634,141,587	653,730,507
		County Assembly	500,000	17,040,000	17,540,000
		Total	**20,088,920**	**651,181,587**	**671,270,507**
Trade Payables Incurred in the First Nine Months of FY 2025/26	d	County Executive			-
		County Assembly		28,240,510	28,240,510
		Total	**-**	**28,240,510**	**28,240,510**
Outstanding trade payables as of 31st March 2026	**e = a - c*b**	**County Executive**	**180,348,245**	**645,116,556**	**825,464,801**
		County Assembly	**106,360,755**	**121,205,072**	**227,565,827**
		Total	**286,709,000**	**766,321,628**	**1,053,030,628**

Source: *Isiolo County Treasury*

The County Executive submitted a trade payables payment plan, committing to pay Kshs.924.44 million on recurrent expenditure in FY 2025/26. The County did not adhere to this payment plan, as it cleared Kshs.651.18 million for the Executive. On the other hand, the County Assembly is yet to submit trade payables payment plan.

Table 3.135 and Table 3.136 present the ageing of the total outstanding bills as of 31st March 2026 for the County Executive and Assembly, which were Kshs.1.05 billion.

Table 3.135: Isiolo County Executive Trade Payables Ageing Analysis as of 31st March 2026

Category	Ageing analysis (Amount in Kshs.)				Total
	Under one year	1-2 years	2-3 years	Over 3 years	
Development Trade Payables	**76,870,170**	**42,566,878**	**47,522,802**	**13,388,395**	**180,348,245**
Recurrent Trade Payables (Goods & Services)	55,414,813	290,818,607	274,985,500	23,897,636	645,116,556
Recurrent Trade Payables (Salary Arrears and Statutory Deductions)					-
Recurrent Trade Payables (Staff Claims)					-
Total Recurrent Trade Payables	**55,414,813**	**290,818,607**	**274,985,500**	**23,897,636**	**645,116,556**
Total Trade Payables	**132,284,983**	**333,385,485**	**322,508,302**	**37,286,031**	**825,464,801**
% of Total	**16**	**40**	**39**	**5**	**100**

Source: *Isiolo County Treasury*

Table 3.136: Isiolo County Assembly Trade Payables Ageing Analysis as of 31st March 2026

Category	Ageing analysis (Amount in Kshs.)				Total
	Under one year	1-2 years	2-3 years	Over 3 years	
Development Trade Payables	**3,296,473**	**73,191,832**	**-**	**33,016,257**	**109,504,562**
Recurrent Trade Payables (Goods & Services)	3,700,000	16,050,000		70,070,755	89,820,755
Recurrent Trade Payables (Salary Arrears and Statutory Deductions)	28,240,510				28,240,510
Recurrent Trade Payables (Staff Claims)					-
Total Recurrent Trade Payables	31,940,510	16,050,000	-	70,070,755	118,061,265
Total Trade Payables	35,236,983	89,241,832	-	103,087,012	227,565,827
% of Total	**15**	**39**	**-**	**45**	**100**

Source: *Isiolo County Treasury*

As shown in Table 3.135 and Table 3.136 , the total salary arrears and statutory deductions for trade paya-

bles amounted to Kshs.28.24 million, which represented 3 per cent of the total trade payables of Kshs.1.05 billion as of March 31, 2026. The statutory deductions included salary arrears of Kshs.14.57 million, tax arrears of Kshs.4.79 million, pension liabilities of Kshs.3.66 million, and third-party deductions of Kshs.5.22 million.

Additionally, the two tables indicate that 40 per cent of total trade payables are aged between 1 and 2 years, a trend attributed to a change in priorities and a delay in approval of the FY 2025/26 Budget Estimates. To address this situation, the county should prioritise settlement of trade payables.

3.9.19 General Observations and Recommendations

In the course of overseeing and reporting on the implementation of the Isiolo County budget, the CoB identified the following challenges, which hampered effective budget implementation;

i. The County Treasury's late submission of financial reports to the Controller of Budget affected the timely preparation of the budget implementation report, which was received on 18th April 2026 for county executive and 30th May 2026 for county assembly.
ii. The underperformance of own-source revenue at Kshs.166.83 million against an annual target of Kshs.375.21 million, representing 44 per cent of the financial year target.
iii. Low development performance in the review period as the County incurred Kshs.876.24 million on development activities, achieving a 33 per cent absorption rate.
iv. Regulation 197(1)(i) of the Public Finance Management (County Governments) Regulations, 2015, limits the lifespan of public funds to 10 years unless extended by the County Assembly. As of 31st March 2026, the lifespan of the Isiolo County Bursary Fund had lapsed, making it ineligible for further withdrawals.
v. Fund Administrators failed to submit quarterly financial and non-financial reports to the CoB within the timelines provided by law, which is against the requirement of Section 168 of the PFM Act, 2012. The reports for the County Assembly Mortgage and Car Loan Fund was not submitted to the CoB as of 15 April 2026.
vi. High level of trade payables, which amounted to Kshs.1.05 billion as of 31st March 2026. Furthermore, the County Treasury did not adhere to the trade payables payment plan.
vii. Non-submission of copies of authorisation letters for opening commercial bank accounts as per Regulation 82(5) of the Public Finance Management (County Governments) Regulations, 2015.
viii. High level of trade receivables of Kshs.237.79 million on own source revenues that remained uncollected as at 31st March 2026.

The County should implement the following recommendations to improve budget execution:

i. *The County Treasury should ensure the timely preparation and submission of financial reports to the Controller of Budget per the timelines prescribed in Section 166 of the PFM Act, 2012.*
ii. *The County should address its own-source revenue performance to ensure the approved budget is fully financed. Appropriate austerity measures should be implemented to ensure expenditure commitments are aligned with available revenue.*
iii. *The County should implement strategies to increase development expenditures in FY 2025/26.*
iv. *The County should ensure timely review and extension of public funds whose lifespans are nearing expiration or have lapsed to prevent operational disruptions. Additionally, any expenditure from lapsed funds should cease immediately, and legal mechanisms should be followed to re-establish or wind up such funds in compliance with the Public Finance Management Act.*
v. *The CECMF should follow up to ensure Fund Administrators prepare and submit statutory reports in line with the PFM Act, 2012.*
vi. *The County Leadership should address the situation of trade payables to ensure that genuine bills are paid promptly in the remaining financial year. Further, compliance with the Trade Payables Action Plan should be enforced.*
vii. *The County Treasury should ensure it submits copies of authorisation letters to the CoB for opening commercial bank accounts to enhance accountability and oversight.*
viii. *The Controller of Budget recommends that the County Government should institute measures of collecting the trade receivables in order to meet the set revenue targets and expenditures as per the budget*

3.10. County Government of Kajiado

3.10.1 Overview of FY 2025/26 Budget

The Kajiado County Approved Budget for FY 2025/26 is Kshs.13.78 billion. It comprises Kshs.4.89 billion (35.5 per cent) and Kshs.8.88 billion (64.5 per cent) allocation for development and recurrent programmes, respectively. The budget estimates represent an increase of Kshs.988.99 million (7.7 per cent) from the FY 2024/25 budget, which comprised a development budget of Kshs.3.84 billion and a recurrent budget of Kshs.8.95 billion. The increase in the budget was primarily attributed to the rise in budgeting of additional allocation brought forward from the previous financial year

The budget is to be financed from various revenue sources. These include the equitable share of revenue raised nationally of Kshs.8.89 billion (64.6 per cent), additional allocations of Kshs.3.20 million (23.2 per cent), Appropriation in Aid of Kshs.480 million (3.5 per cent) and Kshs.1.2 billion (8.7 per cent) generated as own-source revenue. A breakdown of the additional allocations is shown inTable 3.137.

3.10.2 Revenue Performance

During the first nine months of FY 2025/26, the County reported total revenues amounting to Kshs.7.68 billion. This amount represented an increase of 23.7 per cent compared to the amount received in a similar period in FY 2024/25 of Kshs.6.21 billion. The total revenue consisted of Kshs.5.91 billion from the equitable share of revenue raised nationally, additional allocations from the national government and development partners of Kshs.1.02 billion and own-source revenue (OSR) collection of Kshs.741.01 million. Additionally, the County had a cash balance of Kshs.2.62 million from FY 2024/25. The total OSR collection of Kshs.741.01 million included Facilities Improvement Financing (FIF) of Kshs.214.17 million, Kshs.12.60 million from other revenue (Liquor licenses) and Kshs.514.24 million from other OSR sources. Table 3.137 summarises the total revenue available to the County Government during FY 2025/26.

Table 3.137: Kajiado County, Revenue Performance in the first nine months of FY 2025/26

No	Revenue Stream	Annual Targeted Revenue (Kshs.)	Actual Receipts (Kshs.)	Receivables in the first nine months of FY 2025/26 (Kshs.)	Total Revenues (in accrual basis) in the first nine months of FY 2025/26 (Kshs.)	Revenue Performance (%)
		A	B	C	D	F=D/A*100
A	**Unspent Balance from FY 2023/24**					
1	Balance at CRF					
2	County Executive Refunds to CRF	-	**265,758**	-	**265,758**	-
3	County Assembly Refunds to CRF	-	**2,354,973**	-	**2,354,973**	-
	Sub-Total	-	**2,620,730**		**2,620,730**	
B	**Equitable Share of Revenue Raised Nationally**					
1	Equitable share	**8,894,254,886**	**5,914,680,229**	-	**5,914,680,229**	66.5
	Sub-Total	**8,894,254,886**	**5,914,680,229**		**5,914,680,229**	**66.5**
C	**Transfers from the Equalisation Fund**	-				
1						
	Sub-Total					
D	**Additional Allocations (Including Grants)**					

No	Revenue Stream	Annual Targeted Revenue (Kshs.)	Actual Receipts (Kshs.)	Receivables in the first nine months of FY 2025/26 (Kshs.)	Total Revenues (in accrual basis) in the first nine months of FY 2025/26 (Kshs.)	Revenue Performance (%)
		A	B	C	D	F=D/A*100
1	**Unconditional Additional Allocations to County Governments**					
a	Allocations for Court Fines	-	-	-	-	
b	Allocations for 20% Share of Mineral Royalties	660,242,992	660,242,992	-	**660,242,992**	100
2	**Conditional Additional Allocations from the National Government's**					
a	Settlement of Doctors' Salary Arrears	86,990,236	-	-	-	-
d	County Aggregation and Industrial Parks (CAIPs) Programme	250,000,000	250,000,000	-	**250,000,000**	100
f	Road Maintenance Levy Fund	307,376,319	-	-	-	-
3	**Conditional Allocations from Loans and Grants**					
1	(IFAD) Loan for the Aquaculture Business Development Project (ABDP)	19,115,642	-	-	-	-
2	Financing of FLLoCA County Climate Institutional Support (CCIS) Grant	275,022,912	13,671,000	-	**13,671,000**	5
4	Kenya Agricultural Business Development Project	21,837,838	-	-	-	-
5	Kenya Agricultural Business Development Business Project-National Government	1,000,000	-	-	-	-
6	Kenya Devolution Support Programme Phase Two (KDSP II) Level I Grant	75,000,000	-	-	-	-
7	Kenya Devolution Support Programme Phase Two (KDSP II) Level 2 Grant	352,500,000	-	-	-	-
9	Kenya Urban Project (KUSP)-Urban Institutional Grant (IUG)	61,500,000	-	-	-	-

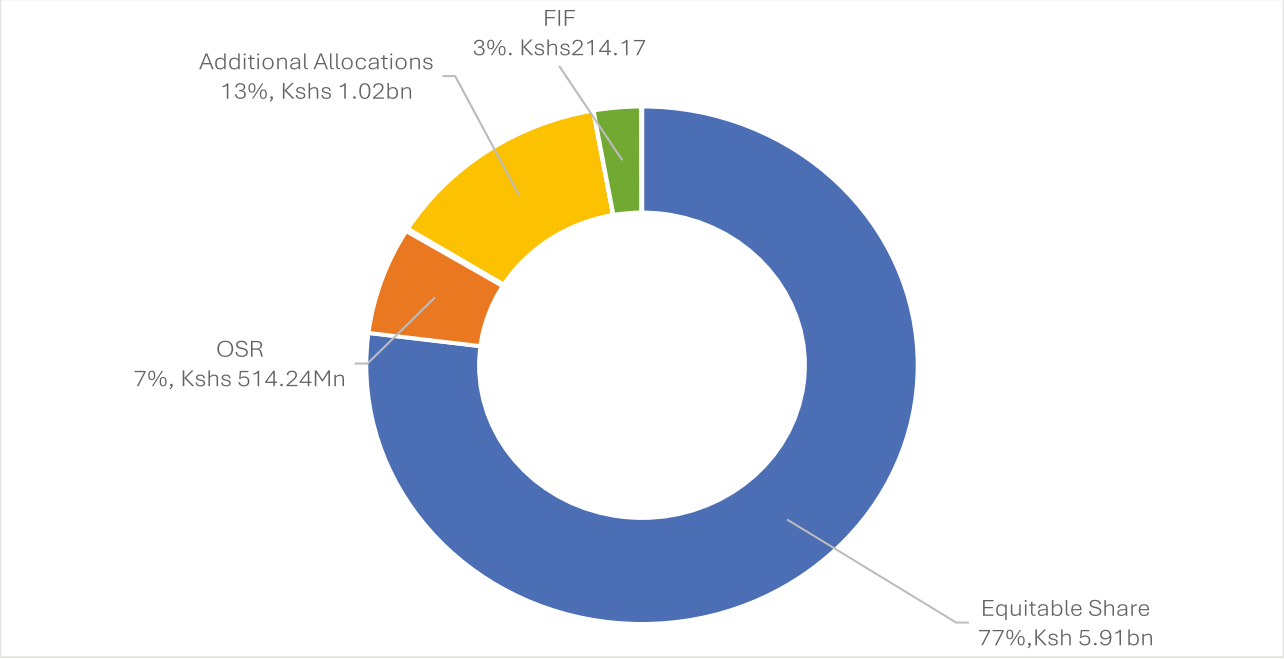
No	Revenue Stream	Annual Targeted Revenue (Kshs.)	Actual Receipts (Kshs.)	Receivables in the first nine months of FY 2025/26 (Kshs.)	Total Revenues (in accrual basis) in the first nine months of FY 2025/26 (Kshs.)	Revenue Performance (%)
		A	B	C	D	F=D/A*100
10	Kenya Urban Project (KUSP)-Urban Development Grant (UDG)	455,603,724	-	-	-	-
12	National Agricultural Value Chain Development Project (NAVCDP)	382,765,152	-	-	-	-
13	Primary Health Care in Devolved Context (PHDC) Programme	10,353,000	-	-	-	-
15	Kenya Informal Settlement Improvement Project (KISIP II)	220,626,011	90,000,000	-	90,000,000	40.8
16	Nutrition International	422,308	-	-	-	-
17	Danida(Capital Grants from Foreign Grants)	14,616,000	9,896,250	-	9,896,250	67.7
18	Danida level 1 grants	6,242,250	-	-	-	-
	Sub-Total	**3,201,214,384**	**1,023,810,242**	**-**	**1,023,810,242**	**31.9**
E	**Ordinary Own Source Revenue (OSR)**					
1	Agricultural Produce	38,764,158	14,288,900	-	14,288,900	36.9
2	Ballast Cess	51,180,556.00	17,609,250	-	17,609,250	34.4
3	Barter Market	21,730,658.00	12,670,300	-	12,670,300	58.3
4	Bed Occupancy	73,204,528.00	20,670,642	-	20,670,642	28.2
5	Building Plan Approval	219,866,002	107,594,001	-	107,594,001	48.9
6	Bus Park fee	30,240,000	16,607,800	-	16,607,800	54.9
7	Quarry and Mineral extraction	58,277,232.00	20,680,280	-	20,680,280	35.5
8	Impounding Fee	1,039,995	640,000	-	640,000	61.5
9	Land Rates	167,635,457	24,141,500	-	24,141,500	14.4
10	Livestock Cess	14,505,050	8,140,200	-	8,140,200	56.1
11	Market Stall	3,020,000	1,000,300	-	1,000,300	33.1
12	Parking fee	23,128,814	12,725,300	-	12,725,300	55.0
13	Plot rent	52,001,242	10,560,790	-	10,560,790	20.3
14	Trade Licenses	233,443,701.00	158,640,900	-	158,640,900	67.9
15	Sand Fees	90,000,000.00	35,500,000	-	35,500,000	39.4
16	Sign Post Fee & Advert fee	68,927,756	30,300,290	-	30,300,290	44.0
17	Slaughter Fee	17,500,650	5,656,000	-	5,656,000	32.3
18	Transit Fee	35,534,201	16,809,350	-	16,809,350	47.3
	Sub-Total	**1,200,000,000**	**514,235,803**		**514,235,803**	**42.5**
F	**Facility Improvement Fund/Financing (FIF)**					

No	Revenue Stream	Annual Targeted Revenue (Kshs.)	Actual Receipts (Kshs.)	Receivables in the first nine months of FY 2025/26 (Kshs.)	Total Revenues (in accrual basis) in the first nine months of FY 2025/26 (Kshs.)	Revenue Performance (%)
		A	B	C	D	F=D/A*100
1	Facility Improvement Financin	**440,000,000**	**214,171,561**	-	**214,171,561**	48.7
	Sub-Total	**440,000,000**	**214,171,561**	-	**214,171,561**	**48.7**
G	**Other Revenues**					
1	Liquor License	40,000,000	12,601,220	-	12,601,220	31.5
	Sub-Total	**40,000,000**	**12,601,220**	-	**12,601,220**	**31.5**
Total		**13,775,469,270**	**7,682,119,028**	-	**7,682,119,028**	**55.7**

Source: *Kajiado County Treasury*

The County has governing legislation on the operation of ordinary A-I-A and FIF. Figure 3.55 provides a detailed breakdown of receipts.

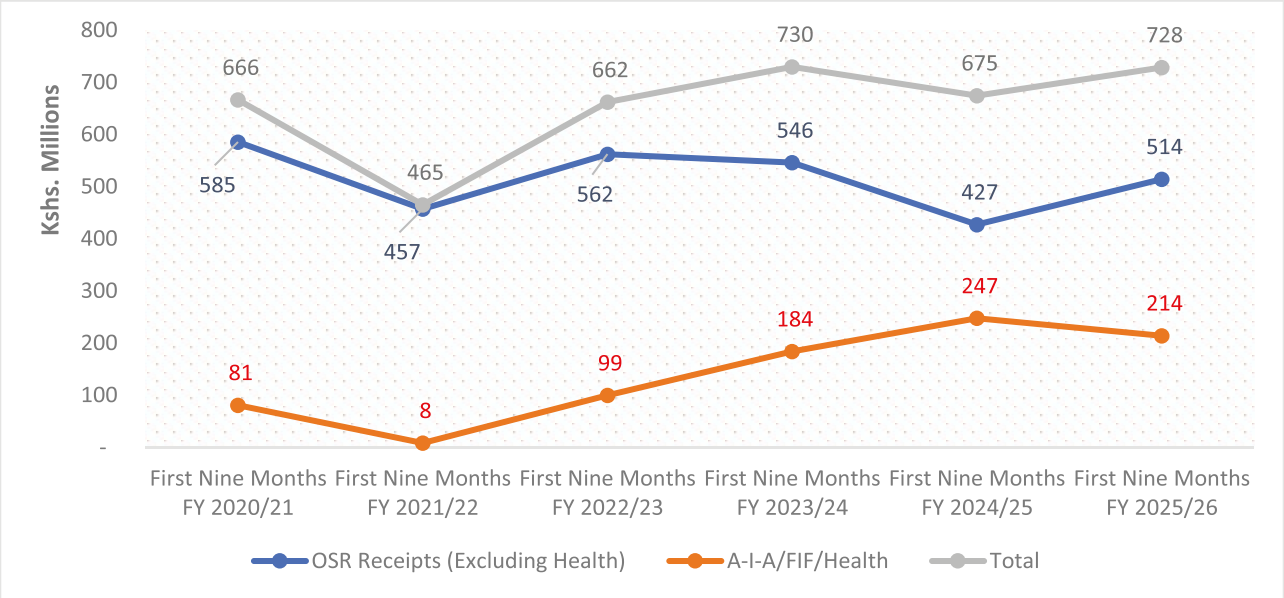
Figure 3.55: Kajiado County Composition of Revenue in the first nine months of FY 2025/26



Source: *Kajiado County Treasury*

The equitable share of revenue raised nationally, Own Source revenue and Facility Improvement Financing contributed 77 per cent, 7 per cent and 3 per cent, respectively, of the total receipts for the reporting period. Figure 3.56 shows the collection trend in own-source revenue from the first nine months of FY 2020/21 to the first nine months of FY 2025/26.

Figure 3.56: Kajiado County Trend in Own-Source Revenue Collection from the first nine months of FY 2020/21 to the first nine months of FY 2025/26

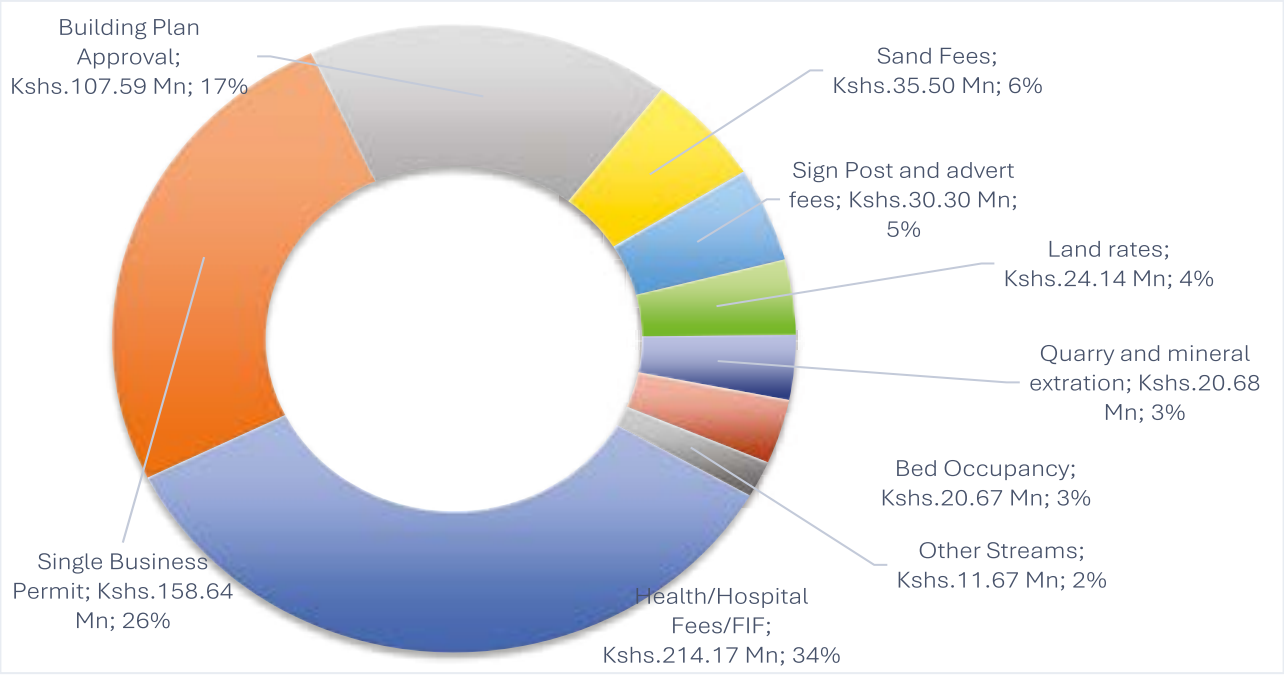


Source: *Kajiado County Treasury*

During the first nine months of FY 2025/26, the County received Kshs.728.40 million from OSR, including FIF. This amount was an increase of 8.0 per cent compared to Kshs.674.53 million realised in a similar period in FY 2024/25, and was 44.4 per cent of the annual target and 12.3 per cent of the equitable revenue share disbursed.

The increase in OSR was attributed to the automation of the main revenue stream and the reduction of leakages. The revenue streams that contributed the most to OSR receipts are shown in Figure 3.57.

Figure 3.57: Kajiado County Top Own Source Revenue Streams in the first nine months of FY 2025/26



Source: Kajiado County Treasury

As shown in Figure 3.57, the largest revenue stream, at Kshs.214.17 million, was Health/Hospital Fees/FIF, accounting for 29.4 per cent of total OSR receipts. The County Government indicated that it has automated 20 of 21 revenue streams. The system utilised for FIF revenue collection is Pay Bill and Craft Silicon for FIF and Public Health, respectively, which has been in use since July, 2025.

3.10.3 Revenue Receivables

As of 1st July 2025, the County reported receivables of Kshs.577.83 million, which increased to Kshs.1.48 billion as of 31st March 2026. The County manages its receivables using a twenty-one automated system on an accrual basis. Table 3.138 presents a breakdown of the County's receivables.

Table 3.138: Kajiado County Receivables as of 31st March 2026

No	Revenue Stream	Revenue Receivables as of 1 July 2025 (Kshs.)	Progress made in the first nine months of FY 2025/26			Additional Receivables Receivables as of 31st March 2026 (Kshs.)
			Waivers (Kshs)	Arrears paid in the financial year (Kshs)	Arrears Receivables earned in the first nine months of FY 2025/26 (Kshs)	
		a	b	c	d	f=a-b-c+d
A	**Equitable Share of Revenue Raised Nationally**					
1	Month of March, 2026	-			**711,540,391**	**711,540,391**
	Sub-Total				**711,540,391**	**711,540,391**
	Sub-Total					
B	**Ordinary Own Sources of Revenue**					
1	East African Portland Company Limited	152,251,211	-	48,004,145	12,000,000	116,247,066
2	Kenchic Limited and others	19,100,000	-	-	-	19,100,000
3	Wilderness Lodges and others	78,350,000	-	-	-	78,350,000
4.	Universities	120,000,000	-	-	-	120,000,000
5.	Sona Hydro, China Civil Works and other Contractors	11,200,000	-	-	-	11,200,000
6.	Land Rates of Upcoming Estates and Factories	32,000,000	-	-	-	32,000,000
7.	Flowers Farmers	35,000,000	-	-		35,000,000
	Sub-Total	**447,901,211**	**-**	**48,004,145**	**12,000,000**	**411,897,066**
C	**Facility Improvement Fund (FIF)**					
1	SHIF	**24,481,570**		**-**	**-**	**24,481,570**
2	SHA	**105,445,433**		**468,124,093**	**682,090,057**	**319,411,397**
	Sub-Total	**129,927,003**		**468,124,093**	**516,128,238**	**343,892,967**
Total		**577,828,214**		**516,128,238**	**1,405,630,448**	1,467,330,424

Source: Kajiado *County Treasury*

As of 31st March 2026, the receivables totalled to Kshs.1.47 billion, comprising Kshs.711.54 million (48.4 per cent) for March disbursement, Kshs.411.90 million for Own Source Revenue (27.9 per cent). The measures instituted by the County to collect the outstanding arrears in FY 2025/26 include the appointment of a new receiver of debts and the engagement of new debt recovery agents, called the regional business connection.

3.10.4 Borrowing by the County

There was no short-term borrowing by the County Government during the period under review.

3.10.5 Withdrawals from the County Revenue Fund and County Assembly Fund

During the reporting period, the Controller of Budget approved exchequer withdrawal requests total-

ling Kshs.5.79 billion from the Kajiado County Revenue Fund (CRF) account. This amount consisted of Kshs.696.33 million (12.1 per cent) designated for development programs and Kshs.5.09 billion (87.9 per cent) allocated for recurrent programs.

An analysis of the released recurrent exchequers shows that Kshs.3.70 billion was allocated to employee compensation and Kshs.1.40 billion to operations and maintenance expenditures. Within the operations and maintenance category, 27.2 per cent was for domestic travel and 1.3 per cent for foreign travel. The domestic travel exchequers totalled Kshs.380.73 million, which included Kshs.197.83 million for the County Executive and Kshs.182.90 million for the County Assembly. Meanwhile, the foreign travel exchequers amounted to Kshs.17.96 million, with Kshs.586,660 for the County Executive and Kshs.17.37 million for the County Assembly.

As of 31st March 2026, the County Government's cash balance in the Kajiado CRF account was Kshs.1.70 billion.

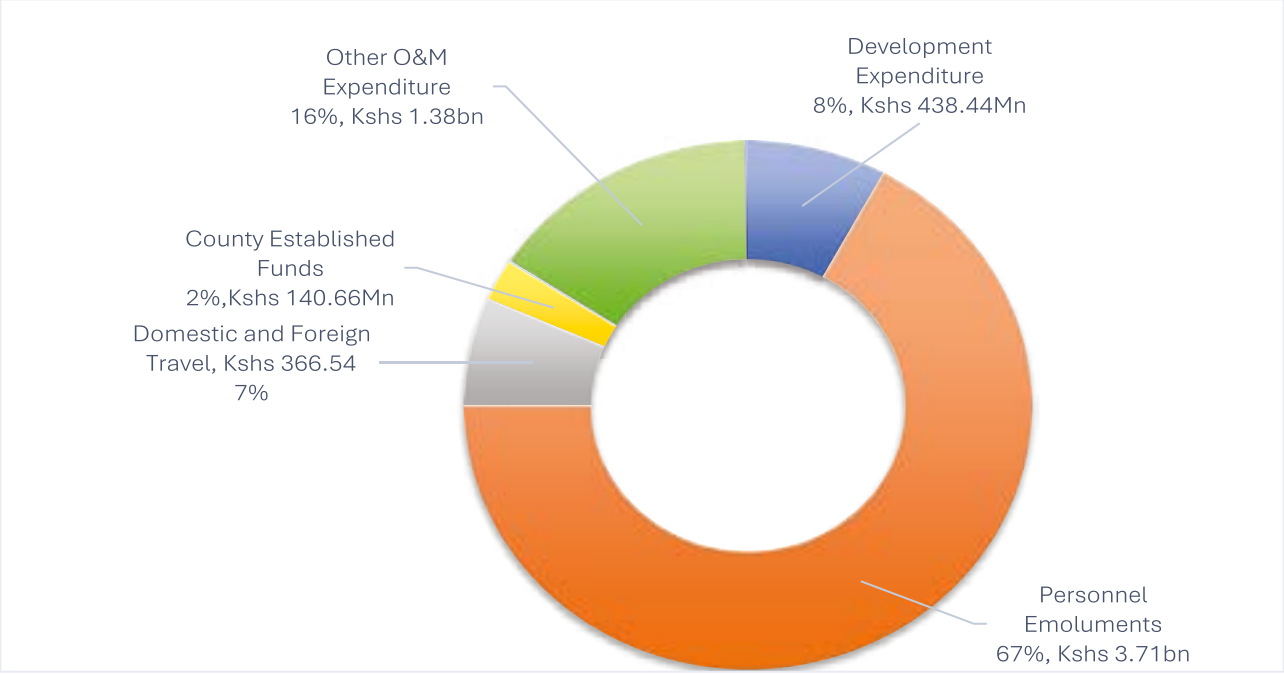
The County had not operationalised the County Assembly Fund as at 31st March, 2026.

3.10.6 Expenditure review

The County spent Kshs.5.53 billion on development and recurrent programmes during the reporting period. The expenditure represented 95.5 per cent of the total funds released by the CoB. It comprised Kshs.438.44 million for development programmes and Kshs.5.09 billion for recurrent programmes. Expenditure on development programmes accounted for 9 per cent of the annual development expenditure budget, while recurrent expenditure accounted for 57.3 per cent of the annual recurrent expenditure budget.

Figure 3.58 provides a detailed breakdown of total expenditure.

Figure 3.58: Kajiado County Composition of Expenditure in the first nine months of FY 2025/26



Source: Kajiado *County Treasury*

As shown in Figure 3.58, the three highest expenditure categories were Personnel Emolument, Other operation and Maintenance Expenditure, and Development Expenditure, contributing 67, 16, and 8 per cent of the total expenditure for the reporting period.

3.10.7 Expenditure by Economic Classification

The County Executive incurred Kshs.3.51 billion in employee compensation, Kshs.1.07 billion in operations and maintenance, and Kshs.374 million in development activities. Similarly, the County Assembly spent

Kshs.197.56 million on compensation of employees, Kshs.315.25 million on operations and maintenance, and Kshs.64.43 million on development activities, as shown in Table 3.139

Table 3.139: Kajiado County Summary of Budget and Expenditure by Economic Classification

Expenditure Classification		Total Recurrent Expenditure	Compen-sation of Employees	Operations and Maintenance	Development Expenditure	Total
Approved Budget (Kshs.) (a)	Executive	**8,009,571,506**	4,910,976,814	3,098,594,692	**4,771,403,886**	**12,780,975,392**
	Assembly	**872,493,878**	361,620,000	510,873,878	**122,000,000**	**994,493,878**
Amount Paid in the first nine months of FY 2025/26 (Kshs.) (b)	Executive	**4,579,263,805**	3,513,325,805	1,065,938,644	**374,004,516**	**4,953,268,321**
	Assembly	**512,827,722**	197,577,368	315,250,354	**64,432,597**	**577,260,319**
Expenditure Accrued in the first nine months of FY 2025/26 (Kshs.) (c)	Executive	**145,808,384**	-	145,808,384	**-**	**145,808,384**
	Assembly	**65,894,517**	63,394,517	2,500,000	**-**	**65,894,517**
Total Expenditure in the first nine months of FY 2025/26 (Kshs.) (d=b+c)	Executive	**4,725,072,189**	3,513,325,161	1,211,747,028	**374,004,516**	**5,099,076,705**
	Assembly	**578,722,239**	260,971,885	317,750,354	**64,432,597**	**643,154,836**
Absorption (%) (d/a*100)	Executive	**59**	72	39	**8**	**40**
	Assembly	**66**	72	62	**53**	**58**

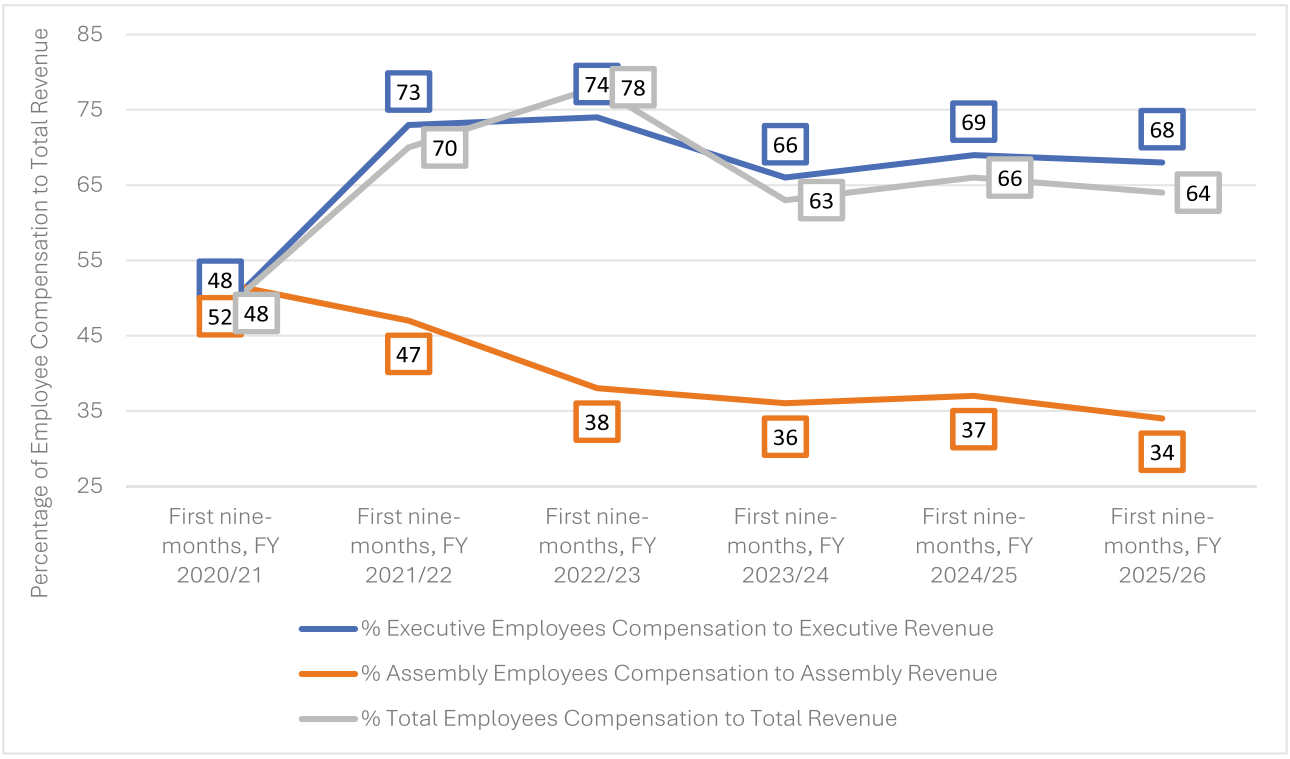
Source: *Kajiado County Treasury*

3.10.8 Expenditure on Employee Compensation

The expenditure on employee compensation totalled Kshs.3.71 billion, representing 48.3 per cent of revenue. This expenditure on employee compensation shows. an increase compared to the Kshs.3.31 billion reported in a similar period in FY 2024/25. Of this total, Kshs.1.94 billion related to Health Sector employees, accounting for 52.3 per cent of the overall employees' compensation. The increase in the personnel emolument was attributed to an increase in the number of staff in the County.

Figure 3.59 shows the trend in employee compensation as a percentage of total revenue from the first nine months of FY 2020/21 to the first nine months of FY 2025/26.

Figure 3.59: Percentage of Employee Compensation Expenditure to Total Revenue Received in the first nine months of FY 2020/21 to the first nine months of FY 2025/26



Source: Kajiado County Treasury

Further analysis indicated that PE costs totalling Kshs.3.62 billion were processed through the Human Resource Information System (HRIS). In contrast, Kshs.87.49 million was processed through manual payrolls, which accounted for 2.4 per cent of the total PE cost. The justification for the continued use of manual payroll was the delay in the State Department for Public Service in issuing personal numbers.

The manual payroll comprised salaries for 13 staff not onboarded into the Human Resource Information System (HRIS), salaries for 307 casual staff, top-up allowances for security personnel, gratuity remittances to pension schemes for staff on contract, and LAPTRUST/LAPFUND Pension Contributions, as shown in Table 3.140.

Table 3.140: Breakdown of Kajiado County Manual Payroll

Sno.	Description of Manual Payroll	Amount (Kshs.)
1	Salaries for staff yet to be onboarded into HRIS	2,363,428
2	Salaries for casual staff	14,109,400
3	Salaries for MCA's Partisan Staff	883,272
4	LAPTRUST/LAPFUND Pension Contributions	9,844,833
5	Gratuity for contract staff	34,882,294
6	Community Health Promoters	25,000,000
7	Salaries for Interns	300,000
8	Nita Contribution	109,650
	Total	**87,492,877**

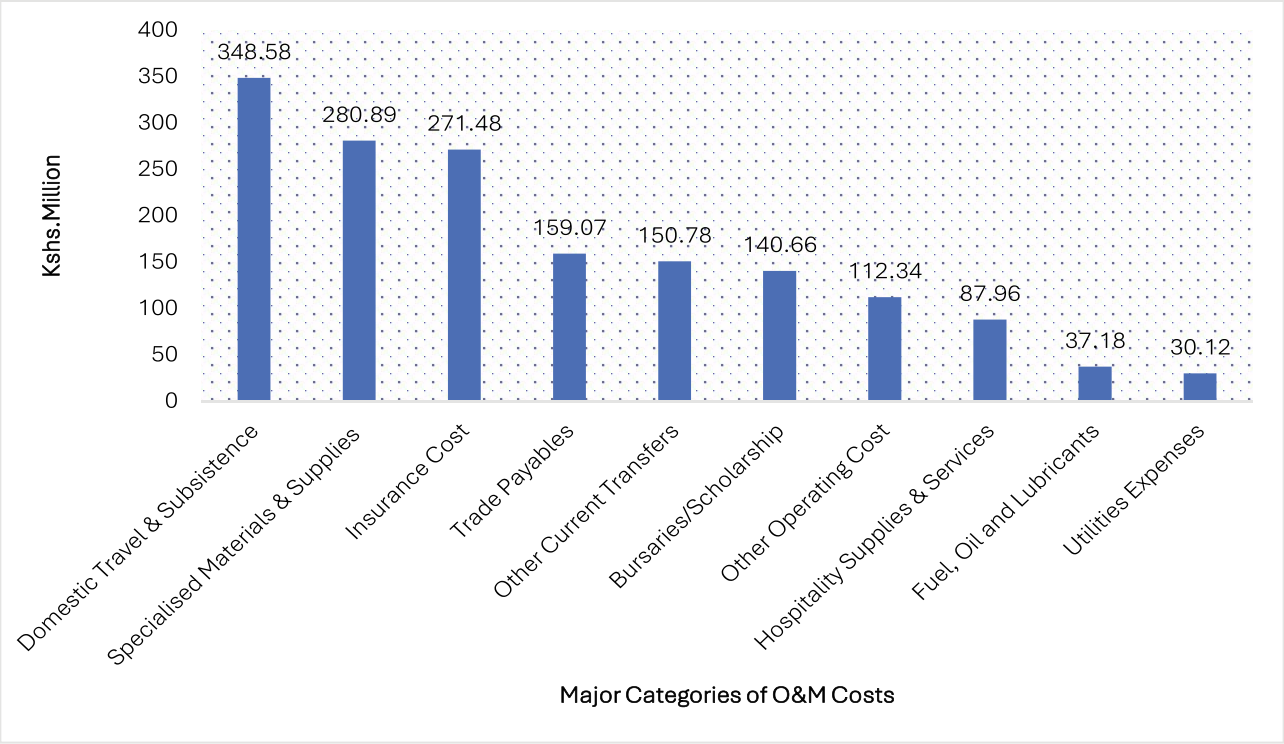
Source: Kajiado County Treasury

The County Assembly spent Kshs.9.94 million on committee sitting allowances for the 42 MCAs against the annual budget allocation of Kshs.32 million. The average monthly sitting allowance was Kshs.26,291 per MCA. The County Assembly has 20 House Committees.

3.10.9 Expenditure on Operations and Maintenance

During the reporting period, the County spent Kshs.1.38 billion on operations and maintenance, representing a decrease of 8.1 per cent compared to a similar period in FY 2024/25, when the County spent Kshs.1.59 billionFigure 3.60 illustrates the distribution of Operations and Maintenance expenditures across the major spending categories.

Figure 3.60: Kajiado County, Operations and Maintenance Expenditure by Major Categories



Source: *Kajiado County Treasury*

3.10.10 Unbundling "Other Operating Expenses" Under Operations and Maintenance Expenditures

The budget performance report for the first nine months of FY 2025/26 indicates that the County spent Kshs.7.96 million on "*other operating expenses*," which were 0.6 per cent of the total operations and maintenance expenditure of Kshs.1.38 billion. This category of expenditure includes Kshs.4.0 million for the Ward office operation and Kshs.3.96 million for a subscription to a professional. The disaggregated items under the "*Other Operating Expenses*" category are shown in Table 3.141.

Table 3.141: Breakdown of "Other Operating Expenses" under O&M Expenditures

Code	Item	Budget (Kshs)	Expenditure (Kshs.)
2210399	Ward Office Operation	9,600,000	4,000,000
2210399	Subscription to professional bodies	4,217,200	3,960,420
	Total	**13,817,200**	**7,960,000**

Source: *Kajiado County Treasury*

A review of the other expense items listed in the table revealed the following inconsistencies: *The County executive reported the expenditure of Kshs.102 million as other operating expenditure and failed to provide the breakdown of the figure.*

3.10.11 County-Established Funds

Section 116 of the PFM Act 2012 allows County Governments to establish other public funds, subject to approval from the County Executive Committee and the County Assembly. The County allocated Kshs.370 million to County-Established funds in FY 2025/26, representing 2 per cent of the County's overall budget. Of this amount, the County allocated Kshs.100 million to the Emergency Fund in line with Section 110 of the PFM Act, 2012, accounting for 0.7 per cent of the total budget. Table 3.142 summarises each established Fund's budget allocation and performance during the reporting period.

Table 3.142: Performance of Kajiado County Established Funds in the first nine months of FY 2025/26

S/ No.	Name of the Fund	Year Established	Approved Budget Allocation in FY 2025/26 (Kshs.)	Exchequer Issues in the first nine months of FY 2025/26 (Kshs.)	Actual disbursements in the first nine months of FY 2025/26 (Kshs.)	Cumulative disbursements to the Fund (Kshs)	Submission of Financial Statements (Yes/No.)
		County Executive Established Funds					
1	Educational Benefits-Scholarship	2016	200,000,000	150,000,000	140,659,600	1,230,000,000	Yes
2	Executive Car Loan and Mortgage	2016	20,000,000	-	-	280,247,500	No
3	Kajiado Youth and Sport Funds	2016	15,000,000	-	-	97,500,000	No
4	Disability Fund	2023	20,000,000	-	-	98,000,000	Yes
5	Liquor Fund	2014	40,000,000	-	-	-	
6	Kajiado County Women Empowerment Fund	2021	20,000,000	10,000,000	-	10,000,000	No
7	Kajiado County Veterinary Service Development Fund	2025	30,000,000	-	-	-	No
		County Assembly Established Funds					
1	MCA's Car loan and Mortgage	2021	25,000,000	15,000,000		389,000,000	No
	Total		**370,000,000**	**175,000,000**		**2,314,747,500**	

Source: *Kajiado County Treasury*

During the reporting period, the CoB did not receive quarterly financial reports from Executive car loan and Mortgage, Kajiado County Youth and Sport, Kajiado County Women Empowerment, Liquor and Kajiado County Veterinary Service Development and MCA's Car loan and Mortgage Fund Administrators, as indicated in Table 3.6, contrary to the requirement of Section 168 of the PFM Act, 2012. The County disclosed that administration costs of the liquor Funds were above the 3 per cent limit of the Fund budget set in Regulation 197(1)(d) of the Public Finance Management (County Governments) Regulations, 2015.

Regulation 197(1)(i) of the Public Finance Management (County Governments) Regulations, 2015, allows County Governments to establish public funds with a lifespan capped at 10 years unless extended by the County Assembly. In FY 2025/26, the CoB determined that the liquor and Executive Car loan and Mortgage Fund's lifespan had lapsed. Consequently, the CoB did not approve any withdrawal requests to support the operations of the lapsed funds.

3.10.12 County Corporations, Water Companies and Other Agencies

The County has seven County Corporations, which were allocated Kshs.20 million in FY 2025/26. Their total expenditure for the review period amounted to Kshs.4.98 million, as shown in Table 3.143.

Table 3.143: Performance of Kajiado County Corporations in the first nine months of FY 2025/26

S/No.	Name of the Corporation	Approved Budget Allocation in FY 2025/26 (Kshs.)	Exchequer Issues (Kshs.)	Actual Transfers in the first nine months of FY 2025/26 (Kshs.)	Cumulative Transfers to the Corporation since its inception (Kshs.)
1	Kajiado County Investment Authority	20,000,000	10,000,000	4,975,316	45,000,000
2	Oloolaiser Water and Sewerage Company Limited	0.00	0.00	0.00	0.00
3	Nolturesh Loitoktok Water and Sanitation Company Limited	0.00	0.00	0.00	0.00
4	Olkejuado Water and Sewerage Company Limited	0.00	0.00	0.00	0.00
5	Oldonyio Orok Water and Sewerage Company Limited	0.00	0.00	0.00	0.00
6	Oloolaiser Water and Sewerage Company Limited	0.00	0.00	0.00	0.00
7	Nolturesh Loitoktok Water and Sanitation Company Limited	0.00	0.00	0.00	0.00
	Total	**20,000,000**	**10,000,000**	**4,975,316**	**45,000,000**

Source: *Kajiado County Treasury*

3.10.13 Expenditure on Domestic and Foreign Travel

Expenditure on domestic travel amounted to Kshs.348.58 million and comprised Kshs.150.43 million spent by the County Assembly and Kshs.198.14 million by the County Executive. Expenditure on foreign travel amounted to Kshs.17.96 million and comprised Kshs.17.37 million by the County Assembly and Kshs.586,660 by the County Executive. Expenditure on foreign travel is summarised in Table 3.144

Table 3.144: Summary of Expenditure on Foreign Travel in the first nine months of FY 2025/26

Arm of County Government	Number of Officers Travelled	Date travelled	Purpose of the travel	Destination	Actual Payment on Travel (a) (Kshs.)	Accrued Expenditure on Travel (b) (Kshs.)	Total Expenditure on Travel (c=a+b) (Kshs.)
County Assembly	6	11th to 16th August, 2025	A Workshop on the Hansard Association Conference	Ghana	1,697,381	-	1,697,381
County Assembly	2	13th to 21st July, 2025	A workshop on financial management and oversight training	Singapore	1,257,560	-	1,257,560
County Assembly	1	13th to 21st July, 2025	A workshop on the Kenya legislative Caucus Mission	Russia	532,068	-	532,068
County Assembly	2	1st to 6th July, 2025	Invitation for training	Norway	701,802	-	701,802
County Assembly	2	15th to 20th September, 2025	Invitation for training	Dubai	1,098,718	-	1,098,718
County Assembly	8	5th to 12th October,2025	A workshop on Training of strategic management and leadership	Turkey	4,509,640	-	4,509,640
County Assembly	3	22nd to 26 September, 2025	Invitation for training	Tanzania	650,676	-	650,676
County Assembly	8	22nd to 27th October, 2025	A workshop on training in strategic management and leadership	Turkey	4,509,640	-	4,509,640
County Assembly	3	16th to 20th November, 2025	A Workshop on Business Symposium Messe Düsseldorf, Germany	Germany	1,709,860	-	1,709,860

Arm of County Government	Number of Officers Travelled	Date travelled	Purpose of the travel	Destination	Actual Payment on Travel (a) (Kshs.)	Accrued Expenditure on Travel (b) (Kshs.)	Total Expenditure on Travel (c=a+b) (Kshs.)
County Assembly	2	22nd to 29th October, 2025	Benchmarking on mobility and renewable energy in the Oslo Congress Centre	Norway	704,280	-	704,280
County Executive	1	20th to 31st October, 2025	A workshop and benchmarking on Green Energy	Norway	586,660	-	586,660
Total					17,958,185	-	17,958,185

Source: *Kajiado County Treasury and Kajiado County Assembly*

3.10.14 Facility Improvement Financing

During the review period, the County reported collections of Kshs.214.17 million as FIF, which was 48.7 per cent of the annual target of Kshs.440 million. The collected amount was retained and utilised at source in line with the Facility Improvement Financing Act, 2023. The County has developed regulations to operationalise the FIF Act of 2023.

The expenditure by the health facilities amounted to Kshs.175.72 million, as shown in Table 3.145.

Table 3.145: Kajiado County Health Facilities Expenditure Performance in the first nine months of FY 2025/26

No.	Health Facility	Number of Facilities	Approved Budget (Kshs.)	Actual Expenditure (Kshs.)	Absorption rate (%)
1.	Kajiado County Referral Hospital (Level 1)	1	82,841,967	41,700,833	50.3
2.	Kitengela Sub-County Hospital (Level 4)	1	89,845,357	50,560,421	56,3
3.	Ngong Sub-County Hospital (Level 4)	1	55,265,185	29,189,442	52.8
4.	Ongata Rongai Sub-County Hospital (Level 4)	1	53,703,958	29,558,158	55.0
5.	Loitoktok Sub-County Hospital (Level 4)	1	75,564,719	15,938,173	21.1
6.	Imbirikani Sub-County Hospital (Level 4)	1	6,637,210	1,369,507	20.6
7.	Mashuuru Sub-County Hospital (Level 4)	1	6,141,604	2,090,887	34.0
8.	Public Health		70,000,000	5,309,535	7.6
	Total		**440,000,000**	**175,716,956**	**39.9**

Source: *Kajiado County Treasury*

3.10.15 Development Expenditure

In the review period, the County reported spending Kshs.438.44 million on development programmes, representing. a decrease of 42.1 per cent compared to FY 2024/25, when the County spent Kshs.756.59 million. Table 3.146 summarises the development projects with the highest expenditure in the reporting period.

The decline in development expenditure was attributed to the national government's introduction of a new procurement system.

Table 3.146: Kajiado County, List of Development Projects with the Highest Expenditure

No	Sector	Project Name	Project Location	Project Commencement Date	Expected date of Completion of the Project	Contract sum (Kshs)	Total Funding in FY 2025/26 (Kshs.)	Expenditure (on an accrual basis) in the first nine months of FY 2025/26 (Kshs.)	Cumulative project expenditure (on an accrual basis) as of 31st March 2026 (Kshs.)	Percentage (%) of Completion
County Funded Projects										
1	Finance	Being Payment for 4% deduction for revenue collection	Headquarter	2024/25	2025/26	29,669,552	29,669,552	29,669,552	29,669,552	100
2	County Assembly	Proposed Construction of Ward Offices	Countywide	Feb 2025	June-2025	22,088,175	22,088,175	22,088,175	22088,175	100
3	Water	Proposed Osewan stormwater management project	Entonet/Lenkism	2024/25	2025/26	14,836,400	14,836,400	14,836,400	14,836,400	100
4	Health	Construction of the male ward at Kajiado Referral Hospital	Ildamat	2024/25	2025/26	32,499,371	18,333,444	14,108,208	14,108,208	100
5	County Assembly	Proposed supply and installation of the visual and hazard system	County Assembly Headquarter	2018	2022	18,000,000	12,791,379	12,791,379	12,791,379	100
6	Road	Grading and Gravelling of Oloika Valley Councillor Memusi road	Olkeri	2024/2025	202526	12,217,062	12,217,062	12,217,062	12,217,208	100
7	Road	Proposed Construction of a motorcycle shade	Countywide	2024/25	2025/26	11,984,006	11,984,006	11,984,006	11,984,006	100
8	Road	Grading, gravelling, culvert, and other works on Chui Lane-Simba Drive road	Ongata Rongai	2024/25	2025/26	8,991,194	8,991,194	8,991,194	8,991,194	100
9	Road	Proposed grading and gravelling of Birika Matali Menkel road	Kitengela	2024/2025	2025/26	6,607,824	6,607,824	6,607,824	6,607,824	100
10	Health	Proposed completion of the Loolepo dispensary	Kuku	2023/24	2024/25	6,817,035	6,817,035	6,817,035	6,817,035	

Source: *Kajiado County Treasury*

Table 3.147 summarises the approved budget allocation, expenditure, and absorption rate by department for the period under review.

Table 3.147: Kajiado County, Budget Allocation and Absorption Rate by Department in the first nine months of FY 2025/26

Department	Revised Budget Allocation (Kshs.Million)		Exchequer Received (Kshs.Million)		Expenditure (Kshs. Million)		Expenditure to Exchequer (%)		Absorption rate (%)	
	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev
Office of the Governor and Deputy Governor	228.30	-	97.70	-	97.7	-	100.0	-	42.8	-
County Public Service Board	120.79	-	63.00	-	63.0	-	100.0	-	52.2	-
Medical Service and Public Health	3,436.43	65.00	2,130.57	-	2,130.57	-	100.0	-	62.0	-
Water, Irrigation, Environment and Natural Resources	175.21	406.12	93.54	43.67	93.54	43.67	100.0	100.0	53.4	10.8
Roads, Transport, Public Works and Energy	192.98	713.88	127.59	13.42	127.59	13.42	100.0	100.0	66.1	1.9
Public Service, Administration and Citizen Participation	866.61	352.50	411.79	-	411.79	-	100.0	-	47.5	-
County Treasury	847.10	1,098.24	432.12	226.91	432.12	266.91	100.0	100.0	51.0	20.7
Lands, Physical Planning and Urban Development	189.11	721.23	92.37	90.00	92.37	90.00	100.0	100.0	48.8	12.5
County Assembly	872.49	122.00	515.44	72.33	512.93	64.43	99.5	89.1	58.8	52.8
Education, Youth and Sport	912.47	181.40	580.21	-	580.20	-	100.0	-	63.6	-
Gender, Cooperative, Culture, Tourism and Wildlife	204.93	-	151.61	-	151.61	-	100.0	-	74.0	-
Agriculture, Livestock, Veterinary Service and Fisheries	254.75	504.53	142.10	-	142.10	-	100.0	-	55.8	-
Trade, Investments and Enterprise Development	224.18	423.50	125.74	250.00	125.74	-	100.0	-	56.1	-
Kajiado Municipality	68.68	60.00	34.28	-	34.28	-	100.0	-	49.9	-
Ngong Municipality	98.82	155.00	52.77	-	52.77	-	100.0	-	53.4	-
Office of the County Attorney	142.22	-	18.13	-	18.13	-	100.0	-	12.8	-
Kitengela Municipality	47.00	90.00	25.76	-	25.76	-	100.0	-	54.8	-
	8,882.07	**4,893.40**	**5,094.71**	**696.33**	**5,092.19**	**438.44**	**100**	**63**	**57.3**	**9**

***Source**: Kajiado County Treasury*

Analysis of expenditure by departments shows that the Department of County Assembly recorded the highest absorption rate of development budget at 52.8 per cent, followed by the Department of County Treasury at 20.7 per cent. The Department of Gender, Cooperative, Culture, Tourism and Wildlife had the highest percentage of recurrent expenditure to budget at 74 per cent, while the Department of Office of the County Attorney had the lowest at 12.8 per cent.

3.10.16 Budget Execution by Programmes and Sub-Programmes

Budget execution was concentrated in selected performance bands. In the 1–10 per cent band, development absorption was reported at 0.0 per cent for trade development under the Department of Trade, Investment and Enterprise Development, for crop development and management under the Department of Agriculture, Livestock, Veterinary Service and Fisheries, for general administration, planning and support service under the Department of Public Service Administration and Citizen Participation, for early childhood development and education under the Department of Education, Youth and Sport, and for urban infrastructure development under Ngong Municipality, while recurrent absorption was reported at 0.0 per

cent for animal disease control and at 9.5 per cent for information, communication and technology under the Office of the Governor and Deputy Governor.

In the 11–20 per cent band, recurrent absorption was reported for general administration, planning and support service under the Office of the County Attorney at 12.8 per cent, for county administration under the Department of Public Service Administration and Citizen Participation at 19.5 per cent, while development absorption was recorded for urban development under the Department of Lands, Physical Planning and Urban Development at 13.3 per cent and for climate change mitigation and adaptation under the Department of Water, Irrigation and Natural Resources at 13 per cent. In the 21–30 per cent band, recurrent absorption was reported for climate change mitigation and adaptation under the Department of Water, Irrigation and Natural Resources at 21.2 per cent.

In the 51–60 per cent band, development absorption was reported for general administration, planning and support service under the County Assembly at 52.8 per cent. In the 81–90 per cent band, recurrent absorption was reported for road under public works and infrastructure at 81.2 per cent and for cooperative development at 88.9 per cent.

In the 90–100 per cent band, development absorption reached 98.9 per cent for revenue collection under the Department of County Treasury, while recurrent absorption reached 92.7 per cent for technical and vocational training. In the band above 100 per cent, recurrent absorption reached 116.1 per cent for emergency responses under the Department of Medical Service and Public Health and 839.7 per cent for veterinary service under the Department of Agriculture, Livestock, Veterinary Service and Fisheries.

Low absorption in the lower performance bands was attributed to the introduction of a new electronic procurement system. Conversely, performance in the higher bands reflected the priorities and needs at hand and the prioritisation of the respective sub-programmes during the review period.

Table 3.148 summarises budget execution by programmes and sub-programmes in the period under review with the highest absorption rates.

Table 3.148: Budget Execution by Programmes and Sub-Programmes with Highest Absorption Rates

Programme	Sub-Programme	Gross Approved Estimates FY 2025/26 (Kshs.)	Expenditure (including accrued expenditure) as of 31st March 2026 (Kshs.)	Absorption Rate (%)
		Dev	Dev	Dev
DEVELOPMENT				
DEPARTMENT OF COUNTY TREASURY				
Public Finance Management	Revenue Collection	30,000,000	29,669,552	98.9
DEPARTMENT OF COUNTY ASSEMBLY				
General Administration, Planning and Support Service	General Administration, Planning and Support Service	122,000,000	64,432,597	52.8
DEPARTMENT OF COUNTY TREASURY				
General Administration, Planning and Support Service	General Administration, Planning and Support Service	1,060,242,992	197,239,709	18.6
DEPARTMENT OF LANDS, PHYSICAL PLANNING AND URBAN DEVELOPMENT				
Urban Development and Management	Urban Development	676,229,735	90,000,000	13.3
DEPARTMENT OF WATER, IRRIGATION AND NATURAL RESOURCES				
Environment and Natural Resource	Climate Change mitigation and adaptation	335,022,912	43,671,000	13
RECURRENT				
DEPARTMENT OF AGRICULTURE, LIVESTOCK, VETERINARY SERVICE AND FISHERIES				
Livestock Resource Management and Development	Veterinary Service	262,657	2,205,401	839.7
DEPARTMENT OF MEDICAL SERVICE AND PUBLIC HEALTH				

Programme	Sub-Programme	Gross Approved Estimates FY 2025/26 (Kshs.)	Expenditure (including accrued expenditure) as of 31st March 2026 (Kshs.)	Absorption Rate (%)
		Dev	Dev	Dev
Curative and Rehabilitation	Emergency responses	3,773,500	4,380,904	116.1
DEPARTMENT OF EDUCATION, YOUTH AND SPORT				
Technical and Vocational Training	Technical and Vocational Training	24,703,524	22,900,507	92.7
DEPARTMENT OF GENDER, COOPERATIVE, CULTURE, TOURISM AND WILDLIFE				
Cooperative Development	Cooperative Development	13,849,111	12,314,100	88.9
DEPARTMENT OF ROAD, TRANSPORT, PUBLIC WORKS ANDENERGY				
Public Works and Infrastructure	Road	5,000,000	4,059,400	81.2

Source: *Kajiado County Treasury*

The development sub-programmes with the highest budget implementation rates were: Revenue Collection in the Department of County Treasury at 98.9 per cent, General Administration, Planning and Supporting Service in the Department of County Assembly at 52.8 per cent, and General Administration, Planning and Supporting Service at 18.6 per cent.

For recurrent sub-programmes, the top performers included: Veterinary Service in the Department of Agriculture, Livestock, Veterinary Service and Fisheries at 839.7 per cent, Emergency Response in the Department of Medical Service and Public Health at 116.1 per cent, and Technical and Vocational Training in the Department of Education, Youth and Sport at 92.7 per cent.

The higher performance of these programmes can be attributed to priorities and needs at hand during the period under review.

Table 3.149 summarises the budget execution by programmes and sub-programmes in the period under review that had the lowest absorption rates.

Table 3.149: Budget Execution by Programmes and Sub-Programmes with Lowest Absorption Rates

Programme	Sub-Programme	Gross Approved Estimates FY 2025/26 (Kshs.)	Expenditure (including accrued expenditure) as of 31st March 2026 (Kshs.)	Absorption Rate (%)
		Dev	Dev	Dev
DEVELOPMENT				
DEPARTMENT OF TRADE, INVESTMENT AND ENTERPRISE DEVELOPMENT				
Trade development	Trade Development	419,500,000	-	-
DEPARTMENT OF AGRICULTURE, LIVESTOCK, VETERINARY SERVICE ANDFISHERIES				
Crop Development and Management	Crop Development and Management	387,765,152	-	-
DEPARTMENT OF PUBLIC SERVICE ADMINISTRATION AND CITIZEN PARTICIPATION				
General Administration, Planning and Support Service	General Administration, Planning and Support Service	352,500,000	-	-
DEPARTMENT OF EDUCATION, YOUTH AND SPORT				
Early Childhood Development and Education	Early Childhood Development and Education	181,400,000	-	-
DEPARTMENT OF NGONG MUNICIPALITY				
Urban Development	Urban Infrastructure Development	146,000,000	-	-

Programme	Sub-Programme	Gross Approved Estimates FY 2025/26 (Kshs.)	Expenditure (including accrued expenditure) as of 31st March 2026 (Kshs.)	Absorption Rate (%)
		Dev	Dev	Dev
RECURRENT				
DEPARTMENT OF AGRICULTURE, LIVESTOCK, VETERINARY SERVICE AND FISHERIES				
Livestock resource management and development	Animal Disease Control	30,254,764	-	-
DEPARTMENT OF THE OFFICE OF THE GOVERNOR AND DEPUTY GOVERNOR				
Information, Communication and Technology	Information, Communication and Technology	21,782,100	2,073,100	9.5
DEPARTMENT OF THE OFFICE OF THE COUNTY ATTORNEY				
General Administration, Planning and Supporting Service	General Administration, Planning and Supporting Service	142,215,988	18,132,732	12.8
DEPARTMENT OF PUBLIC SERVICE ADMINISTRATION AND CITIZEN PARTICIPATION				
Public Service and Administration	County Administration	16,752,545	3,271,333	19.5
DEPARTMENT OF WATER, IRRIGATION AND NATURAL RESOURCE				
Environmental and Natural resource	Climate change mitigation and adaptation	8,585,110	1,820,900	21.2

Source: *Kajiado County Treasury*

The development sub-programmes with the lowest budget implementation rates were as follows: Trade development in the Department of Trade, Investment and Enterprise Development at 0.0 per cent, Crop development and management in the Department of Agriculture, Livestock, Veterinary Service and Fisheries at 0.0 per cent, and General Administration, Planning and Supporting Service at 0.0 per cent.

For recurrent sub-programmes, the poorest performers included: Animal disease control in the Department of Agriculture, Livestock, Veterinary Service and Fisheries at 0.0 per cent, Information, Communication Technology in the Department of the Office of the Governor and Deputy Governor at 9.5 per cent, and General Administration, Planning and Supporting Service at 12.8 per cent.

These lower performances can be attributed to the introduction of a new electronic procurement system.

3.10.17 Settlement of Trade Payables

As of 1st July 2025, the County reported trade payables totalling Kshs.2.78 billion. This amount consisted of Kshs.2.65 billion from the County Executive and Kshs.130.44 million from the County Assembly. The trade payables from the County Executive comprised Kshs.1.21 billion for recurrent expenditure and Kshs.1.44 billion for development expenditure.

During the reporting period, the County Executive settled trade payables amounting to Kshs.301.36 million, comprising Kshs.104.12 million (34.6 per cent) for recurrent programmes and Kshs.197.24 million (65.4 per cent) for development programmes. On the other hand, the County Assembly settled trade payables amounting to Kshs.88.10 million, comprising Kshs.27.21 million (30.8 per cent) for recurrent activities and Kshs.60.89 million (69.2 per cent) for development activities. The outstanding trade payables as of 31st March 2026 were Kshs.2.35 billion for the County Executive and Kshs.42.34 million for the County Assembly. Table 3.150 provides additional details of trade payables.

Table 3.150: Kajiado County Trade Payables as of 31st March 2026

		County Entity	Development (Kshs.)	Recurrent (Kshs.)	Total (Kshs.)
As at 1 July 2025 (End of FY 2024/25)	a	County Executive	1,443,770,475	1,205,746,901	**2,649,517,376**
		County Assembly	69,577,781	60,858,932	**130,436,713**
		Total	1,513,348,256	1,266,605,833	**2,779,954,089**
Trade payables scheduled to be settled in the first nine months of FY 2025/26 per the action plan	b	County Executive	300,000,000	100,000,000	**400,000,000**
		County Assembly	70,000,000	30,000,000	**100,000,000**
		Total	370,000,000	130,000,000	**500,000,000**
Amount paid in the first nine months of FY 2025/26	c	County Executive	197,239,709	104,122,240	**301,361,949**
		County Assembly	60,890,111	27,209,593	**88,099,704**
		Total	258,129,820	131,331,833	**389,461,653**
Trade Payables Incurred in the First Nine Months of FY 2025/26	d	County Executive	-	-	-
		County Assembly	-	-	-
		Total	-	-	-
Outstanding trade payables as of 31st March 2026	**e=a-c*b**	**County Executive**	**1,246,530,766**	**1,101,624,661**	**2,348,155,427**
		County Assembly	**8,687,670**	**33,649,339**	**42,337,009**
		Total	**1,255,218,436**	**1,135,274,000**	**2,390,492,436**

Source: *Kajiado County Treasury*

The County Executive and the Assembly submitted a trade payables payment plan, committing to pay Kshs.178 million and Kshs.469 million on recurrent and development expenditure, respectively, in FY 2025/26. The County did not adhere to this payment plan, as it cleared Kshs.301.36 million for the Executive and Kshs.88.10 million for the Assembly.

Table 3.151 and Table 3.152 present the ageing of the total outstanding bills as of 31st March 2026 for the County Executive and Assembly, which were Kshs.2.39 billion.

Table 3.151: Kajiado County Executive Trade Payables Ageing Analysis as of 31st March 2026

Category	Ageing analysis (Amount in Kshs.)				Total
	Under one year	1-2 years	2-3 years	Over 3 years	
Development Trade Payables	391,830,105	456,450,313	69,009,119	320,192,579	**1,237,482,116**
Recurrent Trade Payables (Goods & Services)	150,048,694	346,770,851	121,882,593	491,971,477	**1,110,673,615**
Recurrent Trade Payables (Salary Arrears and Statutory Deductions)					**-**
Recurrent Trade Payables (Staff Claims)					**-**
Total Recurrent Trade Payables	**150,048,694**	**346,770,851**	**121,882,593**	**491,971,477**	**1,110,673,615**
Total Trade Payables	**541,878,799**	**803,221,164**	**190,891,712**	**812,164,056**	**2,348,155,731**
% of Total	**23%**	**34%**	**8%**	**35%**	**100**

Source: *Kajiado County Treasury*

Table 3.152: Kajiado County Assembly Trade Payables Ageing Analysis as of 31st March 2026

Category	Ageing analysis (Amount in Kshs.)				Total
	Under one year	1-2 years	2-3 years	Over 3 years	
Development Trade Payables	**-**	**8,687,670**	**-**	**-**	**8,687,670**
Recurrent Trade Payables (Goods & Services)	-	17,112,902.30	-	-	**17,112,902.30**
Recurrent Trade Payables (Salary Arrears and Statutory Deductions)	-	16,536,437.03	-	-	**16,536,437.03**
Recurrent Trade Payables (Staff Claims)	-	-	-	-	**-**

Category	Ageing analysis (Amount in Kshs.)				Total
	Under one year	1-2 years	2-3 years	Over 3 years	
Total Recurrent Trade Payables	-	33,649,339.33	-	-	**33,649,339.30**
Total Trade Payables	**-**	**42,337,009.33**	**-**	**-**	**42,337,009.30**
% of Total	**-**	**100**	**-**	**-**	**100**

Source: *Kajiado County Assembly*

As shown in Table 3.151 and Table 3.152, the total salary arrears and statutory deductions for trade payables amounted to Kshs.16.54 million, representing 0.7 per cent of the total trade payables of Kshs.2.39 billion as of March 31, 2026.

Additionally, the two tables indicate that 35 per cent of total trade payables are aged between three and five years. To address this situation, the county should follow the FIFO method when budgeting for trade payables and when making payments.

3.10.18 General Observations and Recommendations

In the course of overseeing and reporting on the implementation of the Kajiado County budget, the CoB identified the following challenges, which hampered effective budget implementation;

i. The County Treasury's late submission of financial reports to the Controller of Budget affected the timely preparation of the budget implementation report, which was received on 22nd of April, 2026.
ii. The underperformance of own-source revenue at Kshs.728.4 million against an annual target of Kshs.1.64 billion, representing 44.4 per cent of the financial year target.
iii. High levels of revenue receivables, which amounted to Kshs.1.47 billion as of 31st March 2026.
iv. Low development performance in the review period as the County incurred Kshs.438.4 million on development activities, achieving a 9.0 per cent absorption rate.
v. Regulation 197(1)(i) of the Public Finance Management (County Governments) Regulations, 2015, limits the lifespan of public funds to 10 years unless extended by the County Assembly. As of 31st March 2026, the lifespan of the Liquor Fund and the Kajiado County Executive car loan and Mortgage Fund had lapsed, making them ineligible for further withdrawals.
vi. Fund Administrators failed to submit quarterly financial and non-financial reports to the CoB within the timelines provided by law, which is against the requirement of Section 168 of the PFM Act, 2012. The reports for the Executive car loan and Mortgage, Kajiado County Youth and Sport, Kajiado County Women Empowerment, Liquor and Kajiado County Veterinary Service Development and MCA's Car loan and Mortgage Fund were not submitted to the CoB as of 15 April 2026.
vii. High level of trade payables, which amounted to Kshs.2.39 billion as of 31st March 2026. Furthermore, the County Treasury did not adhere to the trade payables payment plan.
viii. Use of manual payroll. Personnel emoluments amounting to Kshs.87.49 million for 13 staff not onboarded into HRIS and 307 casual staff were processed through manual payroll, accounting for 2.4 per cent of the total payroll cost. Manual payroll is prone to abuse and may result in the loss of public funds.
ix. Non-submission of copies of authorisation letters for opening commercial bank accounts as per Regulation 82(5) of the Public Finance Management (County Governments) Regulations, 2015.

The County should implement the following recommendations to improve budget execution:

i. *The County Treasury should ensure the timely preparation and submission of financial reports to the Controller of Budget per the timelines prescribed in Section 166 of the PFM Act, 2012.*
ii. *The County should address its own-source revenue performance to ensure the approved budget is fully financed. Appropriate austerity measures should be implemented to ensure expenditure commitments are aligned with available revenue.*
iii. *The County Treasury should ensure there are mechanisms for recovering outstanding receivables to enhance its cash flow.*
iv. *The County should implement strategies to increase development expenditures in FY 2025/26.*
v. *The County should ensure timely review and extension of public funds whose lifespans are near-*

ing expiration or have lapsed to prevent operational disruptions. Additionally, any expenditure from lapsed funds should cease immediately, and legal mechanisms should be followed to re-establish or wind up such funds in compliance with the Public Finance Management Act.

vi. *The CECMF should follow up to ensure Fund Administrators prepare and submit statutory reports in line with the PFM Act, 2012.*

vii. *The County Leadership should address the situation of trade payables to ensure that genuine bills are paid promptly in the remaining financial year. Further, compliance with the Trade Payables Action Plan should be enforced.*

viii. *The Government requires that salaries be processed through the HRIS system, and the County is advised to fast-track the acquisition of Unified Personnel Numbers for their staff. The County Public Service Board should regulate staff engagement on contract and casual workers as provided under Section 74 of the County Governments Act 2012. Furthermore, strict adherence to the approved staff establishment should be maintained.*

ix. *The County Treasury should ensure it submits copies of authorisation letters to the CoB for opening commercial bank accounts to enhance accountability and oversight.*

3.11. County Government of Kakamega

3.11.1 Overview of FY 2025/26 Budget

The Kakamega County Approved Supplementary Budget for FY 2025/26 is Kshs.17.05 billion. It comprises Kshs.5.12 billion (30 per cent) and Kshs.11.93 billion (70 per cent) for development and recurrent programmes, respectively. The budget estimates represent a decrease of Kshs.886.57 million (5 per cent) from the FY 2024/25 budget, which comprised a development budget of Kshs.5.93 billion and a recurrent budget of Kshs.12 billion. The decrease in the budget was primarily attributed to a significant reduction in additional allocations for conditional and unconditional grants from both the National Government and development partners/Donors.

The budget is to be financed from various revenue sources. These include the equitable share of revenue raised nationally of Kshs.1.37 billion (80 per cent), additional allocations of Kshs.656.44 million (4 per cent), a cash balance brought forward from FY 24/25 of Kshs.516.57 million (3 per cent) and Kshs.2.2 million (13 per cent) generated as own-source revenue. A breakdown of the additional allocations is shown in Table 3.153.

3.11.2 Revenue Performance

During the first nine months of FY 2025/26, the County reported total revenues of Kshs.10.53 billion. This amount represented a decrease of 7 per cent compared to the amount received in a similar period in FY 2024/25 of Kshs.11.35 billion. The total revenue consisted of Kshs.8 billion from the equitable share of revenue raised nationally, additional allocations from the national government and development partners of Kshs.775.65 million, own-source revenue (OSR) collection of Kshs.1.24 billion. Additionally, the County had a cash balance of Kshs.516.57 million from FY 2024/25. The total OSR collection of Kshs.1.24 billion included Facilities Improvement Financing (FIF) of Kshs.806.13 million, and Kshs.431.57 million from other OSR sources. Table 3.153 summarises the total revenue available to the County Government during FY 2025/26.

Table 3.153: Kakamega County, Revenue Performance in the first nine months of FY 2025/26

No	Revenue Stream	Annual Targeted Revenue (Kshs.)	Actual Receipts (Kshs.)	Receivables in the first nine months of FY 2025/26 (Kshs.)	Total Revenues (in accrual basis) in the first nine months of FY 2025/26 (Kshs.)	Revenue Performance
		A	B	C	D=(b+c)	F=D/A*100
A	**Unspent Balance from FY 2024/25**					
1	Balances at CRF	140,740,236	140,740,236	-	140,740,236	100
2	Unspent Balances from Special Purpose Operational Accounts	375,830,996	375,830,996	-	375,830,996	100
3	County Executive Refunds to CRF	-	-	-	-	-

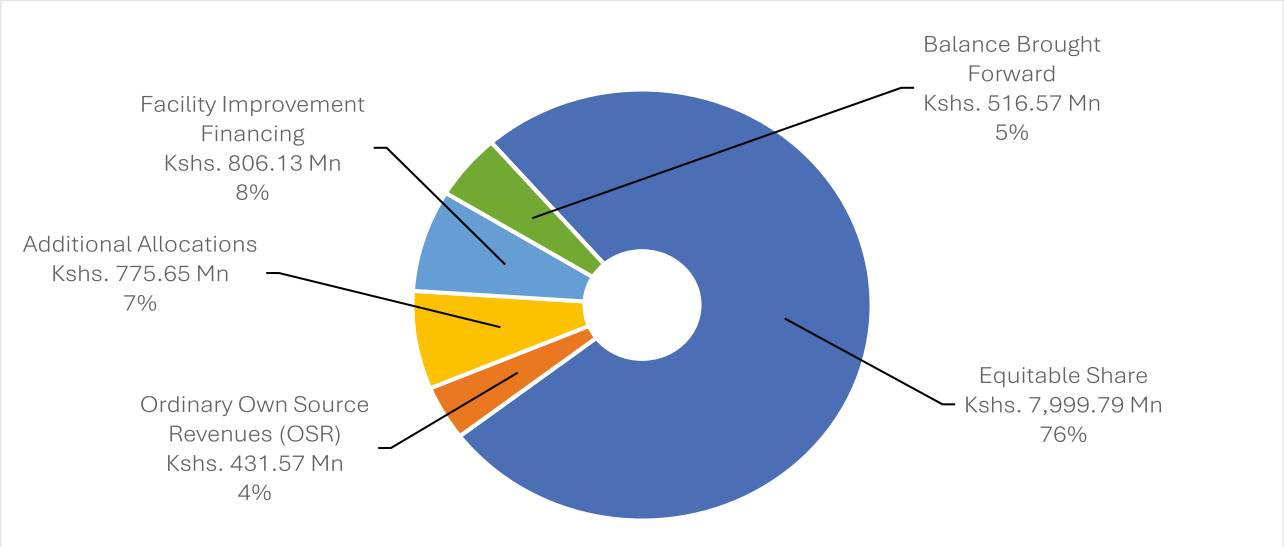
No	Revenue Stream	Annual Targeted Revenue (Kshs.)	Actual Receipts (Kshs.)	Receivables in the first nine months of FY 2025/26 (Kshs.)	Total Revenues (in accrual basis) in the first nine months of FY 2025/26 (Kshs.)	Revenue Performance
		A	B	C	D=(b+c)	F=D/A*100
4	County Assembly Refunds to CRF	-	-	-	-	-
	Sub-Total	**516,571,232**	**516,571,232**	**-**	**516,571,232**	**100**
B	**Equitable Share of Revenue Raised Nationally**					
1	Equitable Share of Revenue Transfers	13,674,848,566	7,999,786,412	**1,093,987,885**	9,093,774,297	67
	Sub-Total	**13,674,848,566**	**7,999,786,412**	**1,093,987,885**	**9,093,774,297**	**67**
C	**Transfers from the Equalisation Fund**					
1	Equalisation Fund Releases	-	-	-	-	-
	Sub-Total	**-**	**-**	**-**	**-**	**-**
D	**Additional Allocations (Including Grants)**					
I	**Unconditional & Conditional Additional Allocations to County Governments**					
a	County Aggregation and Industrial Park Programme	50,000,000	50,000,000	-	50,000,000	100
b	Community Health Promoters Project	127,500,000	-	-	-	-
c	Doctor's Salary Arrears	44,529,977	-	-	-	-
d	Roads Maintenance Levy Fund	-	-	-	-	-
f	Allocations for 0.5 % of the Housing Levy Fund to the County Rural and Urban Affordable Housing Committees	1,987,622	-	-	-	-
g	Unconditional Grant- Mineral Royalties	16,555	16,555	-	16,555	-
II	**Conditional Allocations from Loans and Grants**					
1	DANIDA Grant - Primary Health Care -L2&L3	16,779,000	-	-	-	-
2	DANIDA Grant - Primary Health Care -L1	-	-	-	-	-
3	Kenya Devolution Support Programme (KDSP II)	72,909,500	35,253,471	-	35,253,471	48
4	Kenya Urban Support Programme (KUSP) UIG	-	144,412,390	-	144,412,390	-
5	Aquaculture Business Development Project (ABDP)	19,994,377	-	-	-	-
6	Kenya Agricultural Business Development (KABDP)	10,918,919	-	-	-	-
7	National Agricultural Value Chain Development Project (NVCDP)	231,250,000	179,448,673	-	179,448,673	78
8	Kenya Livestock Commercialization Project (KELCLOP)	60,550,000	40,300,341	-	40,300,341	67
9	Kenya Informal Settlement Improvement Project (KISIP II)	20,000,000	-	-	-	-
10	Financing of FLLoCA County Climate Resilience Investment (CCRI) Grant	-	218,035,682	-	218,035,682	-
11	County Climate Resilience Investment Grant -KfW	-	108,185,394	-	108,185,394	-
	Sub-Total	**656,435,950**	**775,652,506**	**-**	**775,652,506**	**118**
E	**Ordinary Own Source Revenue (OSR)**					

No	Revenue Stream	Annual Targeted Revenue (Kshs.)	Actual Receipts (Kshs.)	Receivables in the first nine months of FY 2025/26 (Kshs.)	Total Revenues (in accrual basis) in the first nine months of FY 2025/26 (Kshs.)	Revenue Performance
		A	B	C	D=(b+c)	F=D/A*100
1	Single Business Permit (SBP)	214,753,243	118,420,160	-	118,420,160	55
2	Advertising	84,309,604	64,309,604	-	64,309,604	76
3	Cess Produce	120,391,111	61,585,647	-	61,585,647	51
4	Land Rates	28,732,631	57,118,776	-	57,118,776	199
5	Car Parking Fees	57,080,909	50,267,802	-	50,267,802	88
6	Physical Planning & Development	40,799,951	26,047,197		26,047,197	64
7	Property Rent	17,931,610	22,018,463	-	22,018,463	123
8	Public Health Service Fees	26,487,710	20,236,173	-	20,236,173	76
9	Other Ordinary Sources	366,880,676	11,567,870	-	11,567,870	3
	Sub-Total	**957,367,445**	**431,571,692**	**-**	**431,571,692**	**45**
F	**Facility Improvement Financing (FIF)**					
1	Facility Improvement Financing (FIF)	1,242,632,555	806,129,631	-	806,129,631	65
	Sub-Total	**1,242,632,555**	**806,129,631**	**-**	**806,129,631**	**65**
	Total	**17,047,855,748**	**10,529,711,473**	**1,093,987,885**	**11,623,699,358**	**68**

Source: *Kakamega County Treasury*

Figure 3.61 provides a detailed breakdown of receipts.

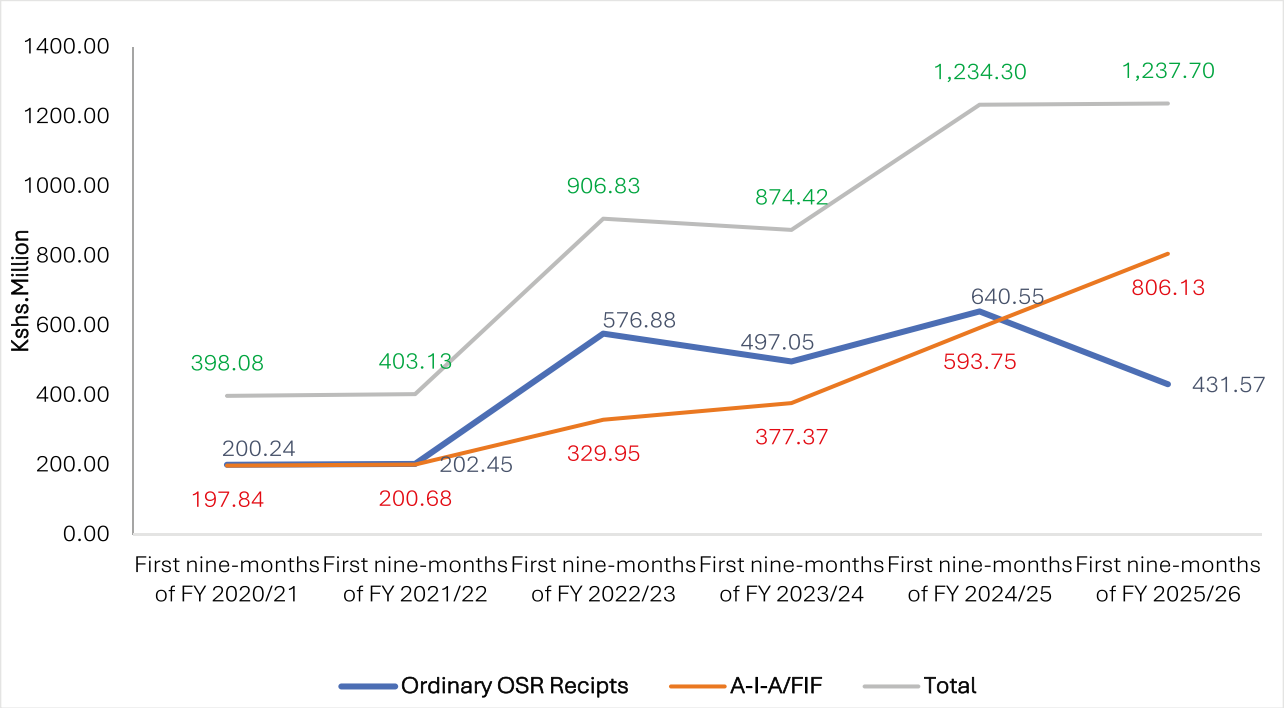
Figure 3.61: Kakamega County Composition of Revenue in the first nine months of FY 2025/26



Source: *Kakamega County Treasury*

The equitable share of revenue raised nationally, Facility Improvement Financing, and Additional allocations contributed 76 per cent, 8 per cent and 7 per cent, respectively, of the total receipts for Figure 3.62 shows the collection trend in own-source revenue from the first nine months of FY 2020/21 to the first nine months of FY 2025/26.

Figure 3.62: Kakamega County Trend in Own-Source Revenue Collection from the first nine months of FY 2020/21 to the first nine months of FY 2025/26

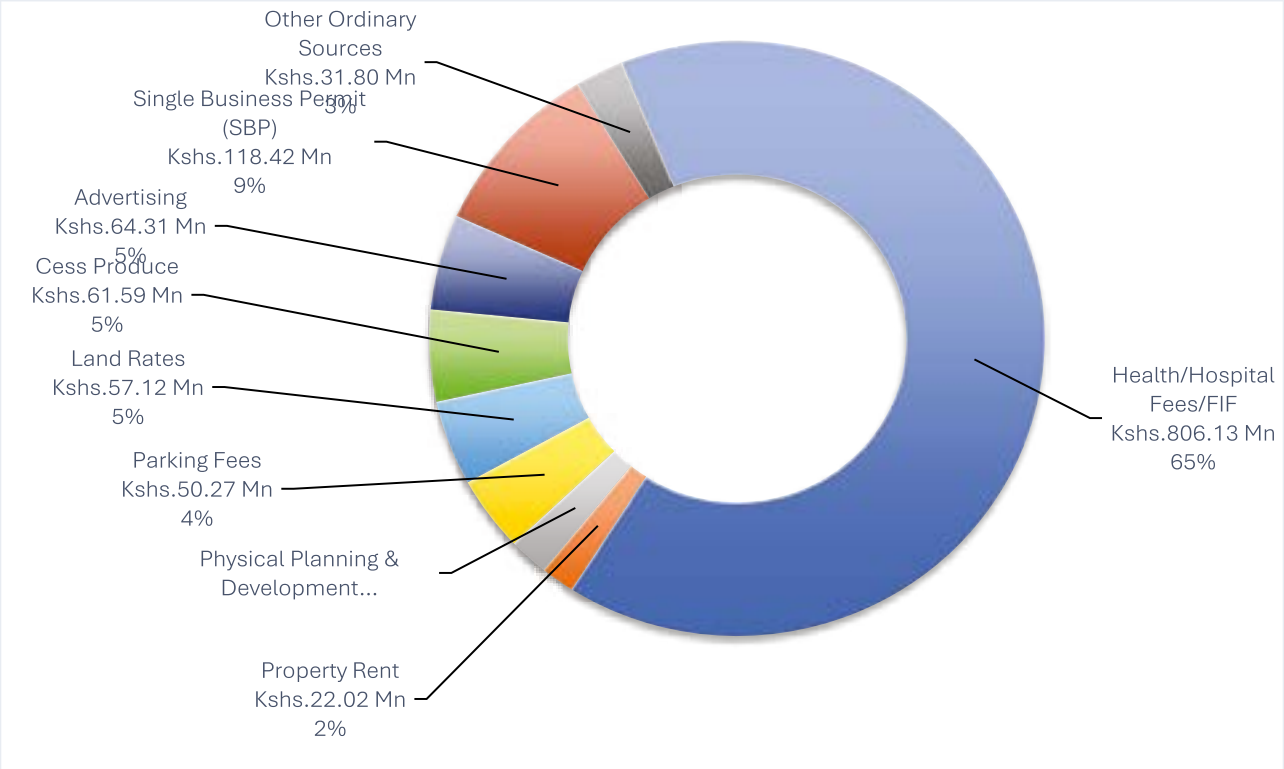


Source: *Kakamega County Treasury*

During the first nine months of FY 2025/26, the County received Kshs.1.24 billion from OSR, including FIF. This amount was an increase of less than 1 per cent compared to Kshs.1.23 million realised in a similar period in FY 2024/25, and was 56 per cent of the annual target and 15 per cent of the equitable revenue share disbursed.

The revenue streams that contributed the most to OSR receipts are shown in Figure 3.63

Figure 3.63: Kakamega County Top Own Source Revenue Streams in the first nine months of FY 2025/26



Source: *Kakamega County Treasury*

As shown in Figure 3.63 the largest revenue stream, at Kshs.806.13 million, was Health/Hospital Fees/FIF accounting for 65 per cent of total OSR receipts. The County Government indicated that it has automated 6 of 17 revenue streams. The system utilised for FIF revenue collection comprises both CHIS and the Taifa Care System, which have been in use since August,2016.

3.11.3 Revenue Receivables

As of 1st July 2025, the County reported receivables of Kshs.2.37 billion, which increased significantly to Kshs.4.60 billion as of 31st March 2026. The County manages its receivables using the CHIS automated system with a cash- or accrual-basis option. Table 3.154 presents a breakdown of the County's receivables.

Table 3.154: Kakamega County Revenue Receivables as of 31st March 2026

No	Revenue Stream	Revenue Receivables as of 1st July 2025 (Kshs.)	Progress made in First Nine Months of FY 2025/26			
			Waivers (Kshs)	Receivables Received in the financial year (Kshs)	Additional receivables earned in First Nine Months of FY 2025/26 (Kshs)	Receivables as of 31st March 2026 (Kshs.)
		a	b	c	d	f=a-b-c+d
A	**Equitable Share of Revenue Raised Nationally**					
1	Disbursement for March,2026	-		-	1,093,987,885	1,093,987,885
	Sub-Total	**-**	**-**	**-**	**1,093,987,885**	**1,093,987,885**
B	**Ordinary Own Sources of Revenue**					
1	Land rate	1,012,652,845		26,336,055	57,118,776	1,043,435,566
2	Single/Business Permits	45,026,620		9,378,169	-	35,648,451
3	Property Rent	8,461,634		2,643,100	14,997,025	20,815,559
	Sub-Total	**1,066,141,099**	**-**	**38,357,324**	**72,115,801**	**2,199,799,152**
D	**Facility Improvement Fund (FIF)**					
1	SHIF	813,778,264	-	-	-	813,778,264
2	Defunct NHIF	241,440,288	-	-	-	241,440,288
3	SHA	248,573,018	-	-	-	248,573,018
	Sub-Total	**1,303,791,570**	**-**	**-**	**-**	**1,303,791,570**
	Grand Total	**2,369,932,669**	**-**	**38,357,324**	**1,166,103,686**	**4,597,578,607**

Source: *Kakamega County Treasury*

As of 31st March 2026, the receivables totalled Kshs.4.60 billion, comprising Kshs.1.09 billion (24 per cent) for National shareable revenue for March 2026, and Ordinary own source revenues of Kshs.2.20 billion (48 per cent), and the Facility Improvement Fund (FIF) of Kshs.1.30 billion (28 per cent) consecutively, as shown in Table 3.154. The measures instituted by the County to recover the outstanding arrears in FY 2025/26 include close liaison with the Ministry of National Treasury and the SHA Authority, and imposing stiffer penalties on defaulters of land rates and property rents.

Further, the County may consider introducing a window period to waive interest and penalties on land rates and property rent dues, as an incentive to clear their dues before the current financial year ends.

3.11.4 Borrowing by the County

The two arms of the County Government did not report any credit facilities or short-term borrowing with commercial banks during the period under review.

3.11.5 Withdrawals from the County Revenue Fund and County Assembly Fund

During the reporting period, the Controller of Budget approved exchequer withdrawal requests totalling Kshs.10.02 billion from the Kakamega County Revenue Fund (CRF) account. This amount consisted of

Kshs.2.26 billion (23 per cent) designated for development programs and Kshs.7.76 billion (77 per cent) allocated to recurrent programs.

An analysis of the released recurrent exchequers shows that Kshs.5.25 billion was allocated to employee compensation and Kshs.2.51 billion to operations and maintenance expenditures. Within the operations and maintenance category, 11 per cent was for domestic travel and less than 1 per cent for foreign travel. The domestic travel exchequers totalled Kshs.285.17 million, which included Kshs.56.21 million for the County Executive and Kshs.228.96 million for the County Assembly. Meanwhile, the foreign travel exchequers amounted to Kshs.13.28 million, with Kshs.0.30 million for the County Executive and Kshs.12.98 million for the County Assembly.

As of 31st March 2026, the County Government's cash balance in the Kakamega CRF account was Kshs.330.12 million.

The County had not operationalised the County Assembly Fund as of 31st March 2026.

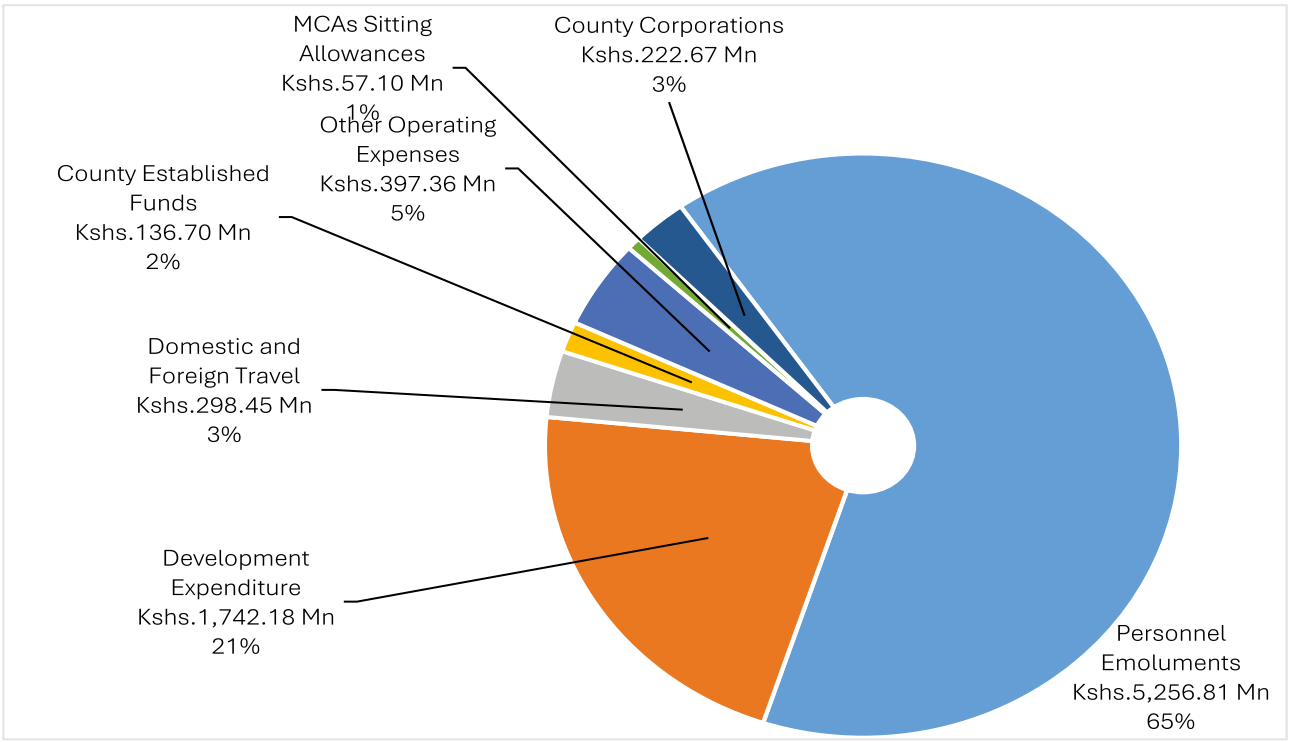
3.11.6 Expenditure Review

The County spent Kshs.9.80 billion on development and recurrent programmes during the reporting period. The expenditure represented 117 per cent of the total funds released by the CoB. It comprised Kshs.1.74 billion for development programmes and Kshs.8.05 billion for recurrent programmes. Expenditure on development programmes accounted for 34 per cent of the annual development expenditure budget, while recurrent expenditure accounted for 68 per cent of the annual recurrent expenditure budget.

The over absorption achieved on expenditure over exchequer issues was occasioned by unspent additional allocations of conditional grants spent from the FY 2024/25 and FIF collections retained and utilized at source in the reporting period

Figure 3.64 provides a detailed breakdown of total expenditure.

Figure 3.64: Kakamega County Composition of Expenditure in the first nine months of FY 2025/26



***Source**: Kakamega County Treasury*

As shown in Figure 3.64, the three highest expenditure categories were Personnel Emoluments, Development Expenditure, Other Operating Expenses, and Domestic & Foreign Travels, contributing 65, 21, 5 and 3 per cent respectively of total expenditure for the reporting period

3.11.7 Expenditure by Economic Classification

The County Executive incurred Kshs.4.74 billion in employee compensation, Kshs.2.30 billion in operations and maintenance, and Kshs.1.74 billion in development activities. Similarly, the County Assembly spent Kshs.518.25 million on compensation of employees, Kshs.491.77 million on operations and maintenance, and nil on development activities, as shown in Table 3.155

Table 3.155: Kakamega County Summary of Budget and Expenditure by Economic Classification

Expenditure Classification	Approved Budget (Kshs. Million) (a)		Amount Paid in the First Nine Months of FY 2025/26 (Kshs.Million) (b)		Total Expenditure in the First Nine Months of FY 2025/26 (Kshs.Million) (d=b+c)		Absorption (%) (d/a*100)	
	Executive	Assembly	Executive	Assembly	Executive	Assembly	Executive	Assembly
Total Recurrent Expenditure	**10,489.82**	**1,440.15**	**7,043.01**	**1,010.01**	**7,043.01**	**1,010.01**	**67**	**70**
Compensation of Employees	6,194.53	693.07	4,738.56	518.25	4,738.56	518.25	76	75
Operations and Maintenance	4,295.29	747.08	2,304.45	491.77	2,304.45	491.77	54	66
Development Expenditure	**5,117.88**	**-**	**1,742.18**	**-**	**1,742.18**	**-**	**34**	**-**
Total	**15,607.70**	**1,440.15**	**8,785.19**	**1,010.01**	**8,785.19**	**1,010.01**	**56**	**70**

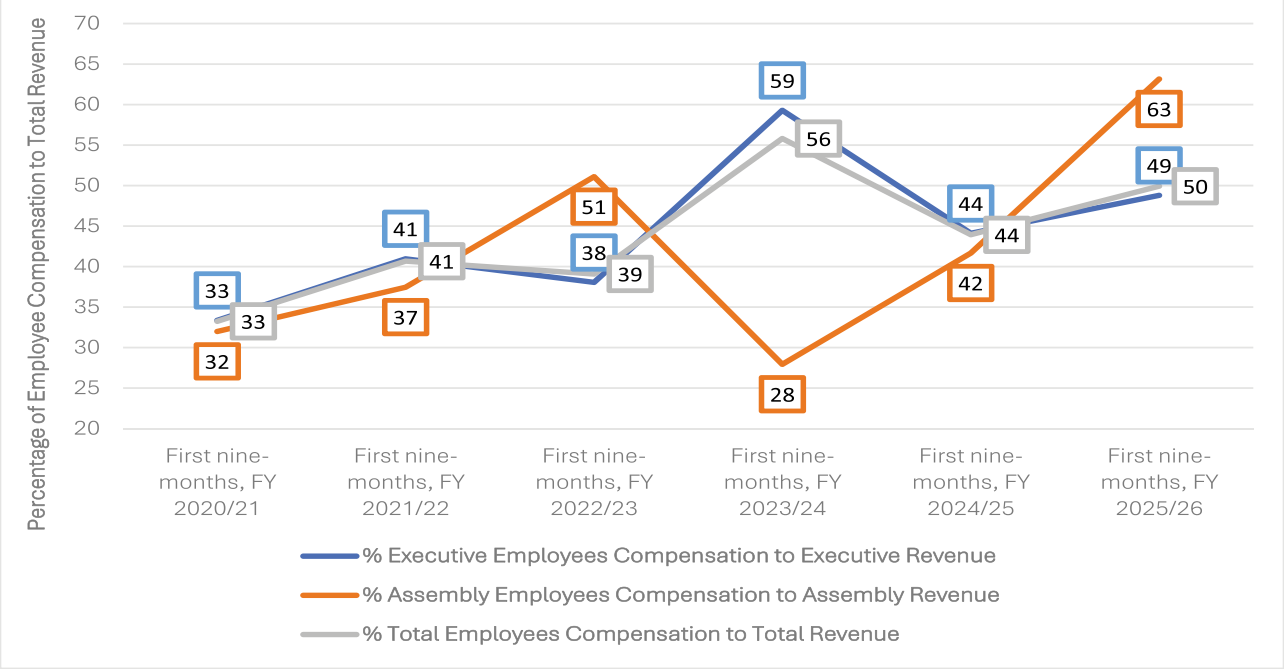
Source: *Kakamega County Treasury*

3.11.8 Expenditure on Employee Compensation

The expenditure on employee compensation totalled Kshs.5.26 billion, representing 50 per cent of revenue. This expenditure on employee compensation shows an increase of 5 per cent compared to the Kshs.5.07 billion reported in a similar period in FY 2024/25. Of this total, Kshs.2.52 billion related to Health Sector employees, accounting for 48 per cent of the overall employees' compensation

Figure 3.65 shows the trend in employee compensation as a percentage of total revenue from the first nine months of FY 2020/21 to the first nine months of FY 2025/26.

Figure 3.65: Percentage of Employee Compensation Expenditure to Total Revenue Received in the first nine months of FY 2020/21 to the first nine months of FY 2025/26



Source: *Kakamega County Treasury*

Further analysis indicated that PE costs amounting to Kshs.5.23 billion were processed through the Human Resource Information System (HRIS). In contrast, Kshs.7.79 million was processed through manual payroll by the County Assembly, accounting for less than 1 per cent of the total PE cost.

The County Assembly is in the advanced stage of procuring personal numbers for the staff who are outside the HRIS System and formalising terms for casuals to be given contracts.

The manual payroll comprised salaries for 30 County Assembly staff not onboarded into the Human Resource Information System (HRIS), salaries for 8 casual staff and top-up allowances for 2 security personnel, as shown in Table 3.156

Table 3.156: Breakdown of Kakamega County Assembly Manual Payroll

Sno.	Description of Manual Payroll	Amount Kshs.
1.	Salaries for 30 staff are yet to be onboarded into HRIS	7,311,552
2.	Salaries for 8 casual staff	188,500
3.	Top-up Allowances for 2 security officers	288,000
	Total	**7,788,052**

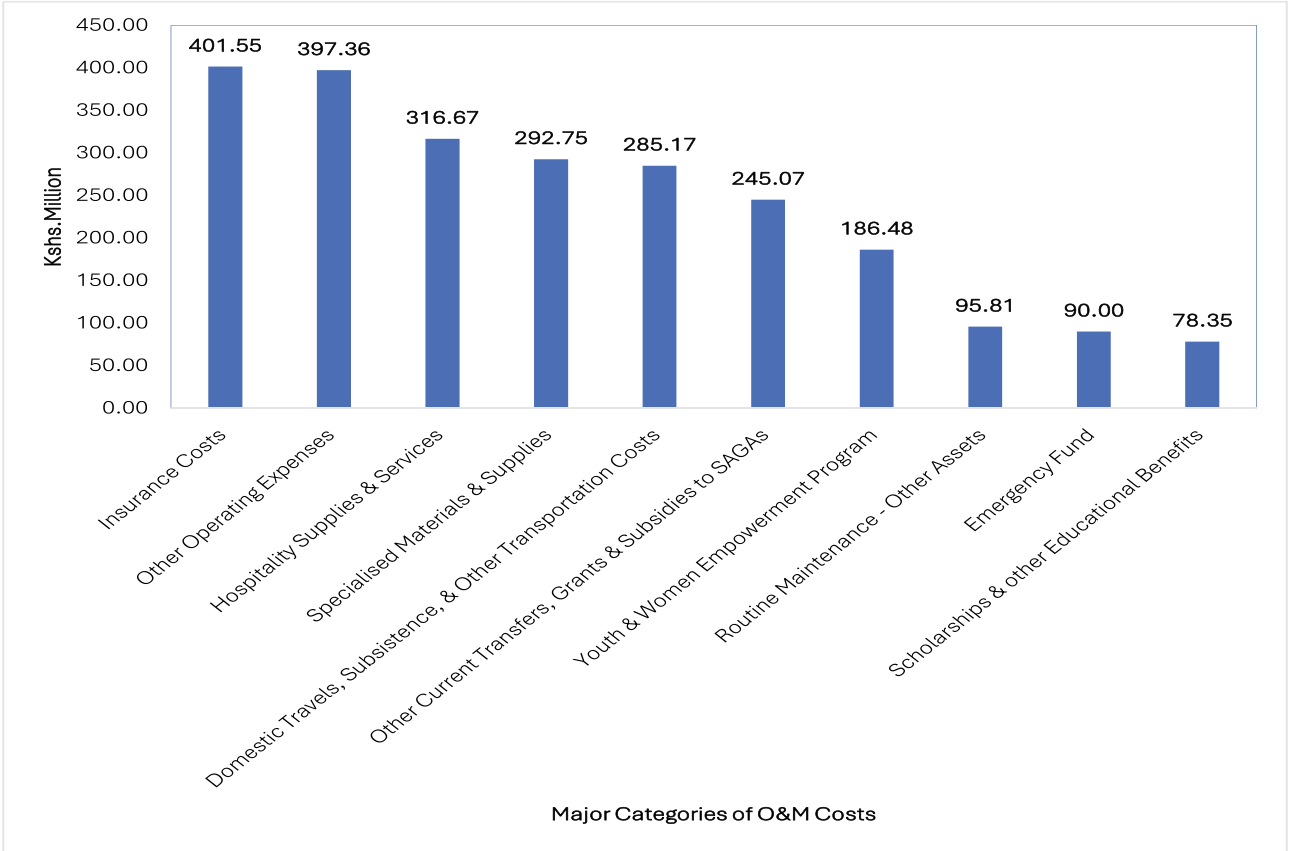
Source: *Kakamega County Treasury*

The County Assembly spent Kshs.57.10 million on committee sitting allowances for the 91 MCAs against the annual budget allocation of Kshs.128.15 million. The average monthly sitting allowance was Kshs.69,913 per MCA. The County Assembly has 26 House Committees.

3.11.9 Expenditure on Operations and Maintenance

During the reporting period, the County spent Kshs.2.80 billion on operations and maintenance, representing a decrease of 44 per cent compared to a similar period in FY 2024/25, when the County spent Kshs.4.98 million. Figure 3.66 illustrates the distribution of Operations and Maintenance expenditures across the major spending categories.

Figure 3.66: Kakamega County, Operations and Maintenance Expenditure by Major Categories



Source*: Kakamega County Treasury*

3.11.10 Unbundling "Other Operating Expenses – Other (IFMIS Code 2211399)" Under Operations and Maintenance Expenditures

The budget performance report for the first nine months of FY 2025/26 indicates that the County spent Kshs.40.07 million on "*other operating expenses* - which was 1 per cent of the total operations and maintenance expenditure of Kshs.2.80 billion. The description of item under the "*Other Operating Expenses "category* is shown in Table 3.157.

Table 3.157: Breakdown of "Other Operating Expenses - Other" under O&M Expenditures

Code	Item	Budget (Kshs)	Expenditure (Kshs.)
2211399	Purchase of Extension Kits for Irrigation	119,374,643	40,069,442
	Total	**119,374,643**	**40,069,442**

Source: *Kakamega County Treasury*

A review of the other expense items listed in the table revealed that the purchase of irrigation extension kits was budgeted under the "Other Operating Expenses-Other" category. This expenditure item in the budget is vague or generic, thus making it difficult to determine its nature and should be mapped to the correct budget codes.

3.11.11 County-Established Funds

Section 116 of the PFM Act 2012 allows County Governments to establish other public funds, subject to approval from the County Executive Committee and the County Assembly. The County allocated Kshs.1.96 billion to County-Established funds in FY 2025/26, representing 12 per cent of the County's overall budget. Of this amount, the County allocated Kshs.100.14 million to the Emergency Fund in line with Section 110 of the PFM Act, 2012, accounting for 1 per cent of the total budget. Table 3.158 summarises each established Fund's budget allocation and performance during the reporting period.

Table 3.158: Performance of Kakamega County Established Funds in the first nine months of FY 2025/26

S/No.	Name of the Fund	Year Established	Approved Budget Allocation in FY 2025/26 (Kshs.)	Exchequer Issues in the first nine months of FY 2025/26 (Kshs.)	Actual Disbursements in the first nine months of FY 2025/26 (Kshs.)	Cumulative Disbursements to the Fund (Kshs)	Submission of Financial Statements (Yes/No.)
County Executive Established Funds							
1.	Emergency Fund	2018	100,143,000	50,000,000	44,400,000	-	Yes
2.	Kakamega County Facility Improvement Fund	2022	952,294,392	-	-	488,418,698	Yes
3.	Kakamega County Climate Change Fund	2020	503,132,837	60,000,000	59,087,252	386,221,076	Yes
4.	County Executive Car Loan & Mortgage	2016	2,846,632	-	546,086	89,235,730	Yes
5.	Bursary & Scholarship Fund	2017	190,000,000	30,669,500	27,953,825	27,953,825	Yes
6.	The Kakamega County Alcoholic Drinks Control Fund	2014	162,308,350	-	4,715,645	-	Yes
County Assembly Established Funds							
7.	County Assembly Car Loan & Mortgage	2014	51,780,000	-	-	872,422,609	Yes
	Total		**1,962,505,211**	**140,669,500**	**136,702,808**	**1,864,251,938**	

Source: *Kakamega County Treasury*

During the reporting period, the CoB received quarterly financial reports from all the Fund Administrators, as indicated in Table 3.158, in line with the requirement of Section 168 of the PFM Act, 2012. The County disclosed that the administration costs of all the Funds were within the 3 per cent limit of the Fund budget set in Regulation 197(1)(d) of the Public Finance Management (County Governments) Regulations, 2015.

Regulation 197(1)(i) of the Public Finance Management (County Governments) Regulations, 2015, allows County Governments to establish public funds with a lifespan capped at 10 years unless extended by the County Assembly. In FY 2025/26, the CoB established that the lifespan of the Kakamega County Alcoholic Drinks Control Fund and County Assembly Car Loan & Mortgage Fund had lapsed. Consequently, the CoB cannot approve any withdrawal requests to support the operations of the lapsed funds.

3.11.12 County Municipalities, Corporations, and Other Agencies

The County has two County Corporations, 5 Semi-Autonomous municipalities, two County Agencies & one Water & Sanitation Company, which were allocated Kshs.475.60 million in FY 2025/26. Their total expenditure for the review period amounted to Kshs.222.67 million as shown in Table 3.159

Table 3.159: Performance of Kakamega County Municipalities, Corporations, and Other Agencies in the first nine months of FY 2025/2

S/No.	Name of the Corporation	Approved Budget Allocation in FY 2025/26 (Kshs.)	Exchequer Issues (Kshs)	Reported Expenditures in the first nine months of FY 2025/26 (Kshs.)	Financial Statements Submitted
1	Kakamega Municipality	105,802,460	49,105,923	76,810,508	Yes
2	Mumias Municipality	73,695,018	31,670,075	44,471,069	Yes
3	Butere Municipality	18,454,154	-	-	Yes
4	Matunda Municipality	18,454,154	-	-	Yes
5	Malava Municipality	18,454,154	-	-	Yes
6	Kakamega County Rural Water & Sanitation Company	10,000,000	-	16,893,223	Yes
7	Kakamega County Investment Development Agency	20,000,000	5,000,000	2,645,800	Yes
8	Kakamega County Microfinance Corporation	92,195,256	1,587,500	10,199,123	Yes
9	Kakamega Dairy Development Corporation	58,539,849	13,000,000	16,943,582	Yes
10	Kakamega Revenue Agency	60,000,000	54,988,884	54,705,466	Yes
Sub-total		**475,595,045**	**155,352,382**	**222,668,771**	

Source: *Kakamega County Treasury*

The three municipalities reported zero expenditure over a nine-month period, as they were yet to be operationalised by the County and are currently dormant.

3.11.13 Expenditure on Domestic and Foreign Travel

Expenditure on domestic travel amounted to Kshs.285.17 million and comprised Kshs.228.96 million spent by the County Assembly and Kshs.56.21 million by the County Executive. Expenditure on foreign travel amounted to Kshs.13.28 million and comprised Kshs.12.98 million by the County Assembly and Kshs.0.30 million by the County Executive. Expenditure on foreign travel is summarised in Table 3.160

Table 3.160: Summary of Expenditure on Foreign Travel in the first nine months of FY 2025/26

Arm of County Government	No. of Officers Travelled	Dates travelled	Purpose of the travel	Destination	Total Costs of the Travel (Kshs.)
County Executive	1	14th-17th August, 2025	Drama & Music Festival	Uganda	298,664
County Assembly	4	27th-28th February 2025	To attend Lake Victoria Region Local Authorities & Counties Cooperation (LVRLAC) Consultative Meeting	Entebbe Uganda	524,600
	1	2nd-6th, November,2025	To Attend the International Dialogue Programme	Berlin, Germany	548,128
	1	24th-27th September,2025	To Attend the 12th International Youth Conference	New York, USA	853,610
	2	21st-27th, September,2025	To attend the annual Conference of the African Network of Parliamentary Budget Offices	Abuja, Nigeria	865,800
	1	27th-30th, August,2025	To Attend the 5th GACOPA International Delegates Conference	Birmingham, United Kingdom	895,131
	7	26th-28th August,2025	To Attend the Commemoration of the LVRLACC Environmental Week	Kampala, Uganda	1,758,750
	4	21st-25th July 2025	To attend the Mining and Agriculture Economy Expo	Perth, Australia	2,134,080
	22	22nd February -1st March,2026	To take Part in East Africa Local Authorities Sports & Cultural Associations (EALASCA) Games	Kampala, Uganda	5,399,600
Total	**43**				**13,278,363**

***Source**: Kakamega County Treasury and County Assembly*

3.11.14 Facility Improvement Financing

During the review period, the County generated Kshs.806.13 million as FIF, which was 65 per cent of the annual target of Kshs.1.24 billion. The amount was retained and utilised at source in line with the Facility Improvement Financing Act, 2023.

The expenditure by the health facilities amounted to Kshs.623.33 million, as shown in Table 3.161.

Table 3.161: Kakamega County Health Facilities Expenditure Performance in the first nine months of FY 2025/26

No.	Health Facility	Number of Facilities	Approved Budget (Kshs.)	Actual Expenditure (Kshs.)	Absorption rate (%)
1	Level 5 Hospitals	1	502,723,346	186,515,490	37
2	Level 4 Hospitals	15	449,571,046	302,013,571	67
3	Level 3 Facilities	59	183,689,414	60,889,677	33
4	Level 2 Facilities	122	239,405,693	73,915,104	31
	Total	**197**	**1,375,389,499**	**623,333,842**	**45**

***Source:** Kakamega County Treasury*

3.11.15 Development Expenditure

In the review period, the County reported spending Kshs.1.74 billion on development programmes, an increase of 45 per cent compared to FY 2024/25 when the County spent Kshs.1.20 billion. Table 3.162 summarises the development projects with the highest expenditure in the reporting period.

Table 3.162: Kakamega County, List of Development Projects with the Highest Expenditure

NO	Sector	Project Name	Project Location	Project Commencement Date	Expected date of Completion of the Project	Contract sum (Kshs)	Total Funding in FY 2025/26 (Kshs.)	Expenditure (on an accrual basis) in the first nine months of FY 2025/26 (Kshs.)	Cumulative project expenditure (on an accrual basis) as of 31st March 2026 (Kshs.)	Percentage (%) of Completion
County Funded Projects										
1	Social Services, Youth & Sports	Bukhungu Stadium Construction Phase II	Lurambi	-	-	3,240,001,303	150,000,000	1,726,408,840	1,726,408,840	53
2	Water & Environment	Borehole rehabilitation, Last Mile Connectivity, Spring protection, Rain Water Harvesting	All Wards	-	-	169,850,000	169,850,000	75,220,581	75,220,581	44
3	Education, Science & Technology	Mabole Secondary School	Marenyo Shianda	06/10/2020	30/11/2022	24,762,770	24,762,770	17,439,942	17,439,942	80
4	Water & Environment	Water Project Last Mile Connectivity, Purchase of pipes, fittings & meters	Yala Butwehe	-	-	20,000,000	20,000,000	10,379,892	10,379,892	52
5	Water and Environment	Maloha/Firatsi Water Supply Project	Maloha/Firatsi	-	-	35,000,000	35,000,000	10,091,577	10,091,577	29
6	Education, Science & Technology	Maola Polytechnic Classroom	East Wanga	16/05/2023	16/11/2023	8,250,640	8,250,640	7,662,648	7,662,648	100
7	Education, Science & Technology	Butali Chegulo Polytechnic Classroom	Butali Chegulo	22/01/2021	23/07/2022	7,299,580	7,299,580	7,299,580	7,299,580	100
8	Public Service & Administration	Construction of Sub-County offices	Khwisero Sub-County	9/23/2020	10/13/2025	18,850,011	18,850,011	6,537,922	12,312,089	90
9	Public Service & Administration	Construction of Disaster Operation Centre	Lurambi Sub-County	3/24/2020	9/25/2020	5,925,419	5,925,419	5,925,419	5,925,419	90
10	Education, Science & Technology	Eshikulusi Polytechnic Classroom	Marama South	15/12/2021	16/04/2022	7,162,292	7,162,292	5,905,130	5,905,130	100
Donor Funded Projects										
1	Water & Environment	FLLoCA - County Climate Resilience Investment Grant	County wide	-	-	292,132,837	292,132,837	38,164,215	38,164,215	13

***Source**: Kakamega County Treasury*

The County reported six (6) stalled development projects as of 31st March 2026, with an estimated value of Kshs.45.90 million, of which Kshs.12.46 million had already been paid. The stalled projects are shown in Table 3.163.

Table 3.163: Kakemega County Stalled Projects as of 31st March 2026

NO	Sector	Project Name	Project Location	Project Start Date	Expected Completion Date of the Project	Estimated Value of the Project (Kshs.)	Amount Paid on the stalled project (Kshs.)	Accrued Expenditure on the stalled project (Kshs.)	Outstanding Unpaid Balance As of 31st March 2026	Percentage of Completion before stalling of the Project
1	Education, Science & Technology	Proposed installation of a gate and fence at Musamba County Polytechnic.	Khalaba	04/04/2024	-	1,200,000	-	-	1,200,000	0
2	Education, Science & Technology	Proposed Installation of Gate and Fence at Kisa West County Polytechnic.	Kisa West	04/04/2024	-	1,200,000	-	-	1,200,000	0
3	Public Service & Administration	Construction of Disaster Operation Centre	Lurambi Sub -County	3/24/2020	9/25/2020	6,583,799	5,925,419	-	658,380	90
4	Education, Science & Technology	Proposed Installation of Perimeter Wall at Kakamega County Polytechnic.	Shieywe	04/04/2024	-	8,099,999	-	-	8,099,999	40
5	Education, Science & Technology	Shinoyi/Shikomari County Polytechnic	Shinoyi Shikomari	16/05/2023	16/11/2023	9,963,090	-	-	9,963,090	15
6	Public Service & Administration	Construction of Khwisero Sub-County offices	Khwisero Sub-County	9/23/2020	10/13/2025	18,850,011	6,537,922	-	12,312,089	90

Source: *Kakamega County Treasury*

The stalled projects were mainly attributed to lack of additional funding for completion due to budget constraints, abandonment and undercosting of the project costs

3.11.16 Budget Performance by Department

Table 3.164 summarises the approved budget allocation, expenditure, and absorption rate by department for the period under review.

Table 3.164: Kakamega County, Budget Allocation and Absorption Rate by Department in the first nine months of FY 2025/26

Department	Revised Budget Allocation (Kshs. Millions)		Exchequer Issues (Kshs.Millions)		Expenditure (Kshs. Millions)		Expenditure to Exchequer Issues (%)		Absorption rate (%)	
	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev
County Assembly	1,440.15	-	947.28	-	1,010.01	-	107	-	70	-
Agriculture, Livestock, Fisheries & Cooperatives	63.87	877.32	22.59	660.43	14.72	379.84	65	58	23	43

Department	Revised Budget Allocation (Kshs. Millions)		Exchequer Issues (Kshs.Millions)		Expenditure (Kshs. Millions)		Expenditure to Exchequer Issues (%)		Absorption rate (%)	
	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev
Health Services	1,145.58	702.06	426.95	163.96	409.05	267.89	96	163	36	38
Education, Science & Technology	375.24	221.50	306.45	36.56	167.00	72.66	54	199	45	33
Roads, Public Works & Energy	45.31	1,374.35	4.54	550.20	13.67	585.91	301	106	30	43
Lands, Housing, Urban Areas & Physical Planning	242.34	99.02	187.19	21.05	189.89	60.50	101	287	78	61
Social Services, Youth & Sports	499.87	249.00	241.13	72.35	258.94	2.06	107	3	52	1
Trade, Industrialisation & Tourism	40.11	363.40	3.68	134.41	20.01	86.39	543	64	50	24
Water, Environment & Natural Resources	51.42	705.83	1.09	514.92	6.52	223.49	601	43	13	32
Public Service & Administration	7,092.14	192.91	5,176.94	45.29	5,394.87	4.87	104	11	76	3
Office of the Governor	293.97	-	44.12	-	120.09	-	272	-	41	-
Finance and Economic Planning	563.85	178.00	382.91	45.62	414.97	50.65	108	111	74	28
County Public Service Board	26.36	-	11.50	-	12.53	-	109	-	48	-
ICT, E-Government & Communication	49.77	154.50	10.10	10.86	21.28	7.41	211	68	43	5
Total	**11,930**	**5,118**	**7,766**	**2,256**	**8,054**	**1,742**	**104**	**77**	**68**	**34**

Source: *Kakamega County Treasury*

Analysis of expenditure by departments shows that the Department of Lands, Housing, Urban Areas & Physical Planning recorded the highest absorption rate of development budget at 61 per cent, followed by two departments, namely Agriculture, Livestock, Fisheries and Cooperatives and Roads, Public Works & Energy, both netting off at 43 per cent each. Similarly, the Department of Lands, Housing, Urban Areas & Physical Planning had the highest recurrent expenditure-to-budget ratio at 78 per cent, while the Department of Water, Environment & Natural Resources had the lowest at 13 per cent.

The three departments whose absorption rates is less than 10 per cent on development expenditure did not get exchequer withdrawal during the period under review while those departments with more than 100 per cent absorption were as a result of unspent cash balances brought forward from additional allocations in SPAs accounts utilized in the period, FIF collections spent at source and non-compliance to strict payment to only exchequered departments in line with EFT submitted at requisition level

3.11.17 Budget Execution by Programmes and Sub-Programmes

Budget execution was concentrated in selected performance bands. A number of development and recurrent sub-programmes recorded nil absorption during the review period. Under development, these were purchase of certified crop seeds under the Department of Agriculture, Livestock, Fisheries and Cooperatives; support to local teams in talent development, issuance of assistive devices, and Bukhungu Stadium Phase II under the Department of Social Services, Youth and Sports; and the Lumukanda–Manyonyi road under the Department of Roads, Public Works and Energy. Under recurrent, these were the Governor's gala under the Department of Social Services, Youth and Sports, other capital grants and transfers under Mumias Municipality, promotion of heritage tourism under the Department of Trade, Industrialisation and

Tourism, and identifying and securing naturally resourced areas under the Department of Water, Environment and Natural Resources.

In the 41–50 per cent band, recurrent absorption was reported for social services operations under the Department of Social Services, Youth and Sports at 42 per cent and for the county youth service and women empowerment programme at 48 per cent.

In the 51–60 per cent band, recurrent absorption was reported for the valuation roll under the Department of Lands, Housing, Urban Areas and Physical Planning at 57 per cent and for preventive and promotive health services under the Department of Health at 57 per cent. In the 71–80 per cent band, development absorption was reported for construction of buildings under the Department of Health at 78 per cent, while recurrent absorption was recorded for other capital grants and transfers under Kakamega Town at 74 per cent.

In the 81–90 per cent band, development absorption was reported for engineering and design plans under the Department of Lands, Housing, Urban Areas and Physical Planning at 87 per cent. In the 90–100 per cent band, development absorption reached 97 per cent for slum upgrading and for other capital grants and transfers under Mumias Town. In the band above 100 per cent, development absorption reached 113 per cent for other infrastructure and civil works under the Department of Health, reflecting Appropriation in Aid and facility improvement financing over and above the exchequer withdrawal.

Low absorption in the lower performance bands was attributed to insufficient funding occasioned by under-performance in own-source revenue collection and to non-prioritised activities taking precedence given the inadequate resources available. Conversely, performance in the higher bands was attributed to prioritising the payment of trade payables and to the timely disbursement of the national equitable shareable revenue during the review period.

Table 3.165 summarises budget execution by programmes and sub-programmes in the period under review with the highest absorption rates.

Table 3.165: Budget Execution by Programmes and Sub-Programmes with Highest Absorption Rates

Programme	Sub-Programme	Gross Approved Estimates FY 2025/26 (Kshs.)	Expenditure (including accrued expenditure) as of 31st March 2026 (Kshs.)	Absorption Rate
		Kshs	Kshs	%
DEVELOPMENT EXPENDITURE				
Health Services				
Programme 2	Other Infrastructure and Civil Works	20,680,000	23,321,899	113
Lands, Housing, Urban Areas & Physical Planning				
Physical Planning	Slum Upgrading	10,000,000	9,700,423	97
Lands, Housing, Urban Areas & Physical Planning				
Mumias Town	Other Capital grants and transfers	13,216,791	12,060,330	97
Lands, Housing, Urban Areas & Physical Planning				
Physical Planning	Engineering and design plans	25,000,000	21,710,482	87
Health Services				
Programme 2	Construction of Buildings – Others	110,000,000	86,100,000	78
RECURRENT EXPENDITURE				
Lands, Housing, Urban Areas & Physical Planning				
Kakamega town	Other Capital grants and transfers	90,802,460	67,147,358	74
Lands, Housing, Urban Areas & Physical Planning				

Programme	Sub-Programme	Gross Approved Estimates FY 2025/26 (Kshs.)	Expenditure (including accrued expenditure) as of 31st March 2026 (Kshs.)	Absorption Rate
		Kshs	Kshs	%
Physical Planning	Valuation Roll	115,105,032	65,157,996	57
Health Services				
Planning & Administrative Support Services	Preventive & Promotive Health Services	574,437,569	329,505,113	57
Social Services, Youth & Sports				
County Youth Service and Women Empowerment Program	County Youth Service and Women Empowerment Program	387,582,025	186,481,386	48
Social Services, Youth & Sports				
Social Services Operations	Social Services Operations	6,371,000	2,646,800	42

***Source**: Kakamega County Treasury*

The development sub-programmes with the highest budget implementation rates were: Other Infrastructure and Civil Works in the Department of Health at 113 per cent, Slum upgrading and Other Capital grants and transfer at 97 percent each, both in the Department of Lands, Housing, Urban Areas & Physical Planning, Engineering and Design Plans at 87 per cent in the Department of Department of Lands, Housing, Urban Areas & Physical Planning.

The Department of Health operates an Appropriation in Aid (AIA), in addition to Facility Improvement Financing (FIF), which is a source of funding over and above exchequer withdrawal.

For recurrent sub-programmes, the top performers included: Other Capital Grants and Transfer in the Department of Lands, Housing, Urban Areas & Physical Planning at 74 per cent, Valuation Roll in the Department of Lands, Housing, Urban Areas at 57 perc cent, Preventive & Promotive Health Services in the Department of Health services and County Youth Service and Women Empowerment Program in the Social Services, Youth & Sports at 48 per cent of their allocation.

The higher performance of these programmes can be attributed to prioritising the payment of trade payables for contracted works, goods, and services in accordance with repayment planning, and to the timely disbursement of National equitable shareable revenues.

Table 3.166 summarises the budget execution by programmes and sub-programmes in the period under review that had the lowest absorption rates.

Table 3.166: Budget Execution by Programmes and Sub-Programmes with Nil Absorption Rates

Programme	Sub-Programme	Gross Approved Estimates FY 2025/26 (Kshs.)	Expenditure (including accrued expenditure) as of 31st March 2026 (Kshs.)	Absorption Rate (%)
		a	b	c=b/a*100
DEVELOPMENT				
Agriculture, Livestock, Fisheries and Cooperatives				
Crop Production	Purchase of Certified Crop Seeds	5,000,000	-	-
Social Services, Youth & Sports				
Sports Support Programmes	Support to local teams in talent development	10,000,000	-	-
Social Services, Youth & Sports				
People with disabilities support programme-	Issuance of assistive devices	11,000,000	-	-
Social Services, Youth & Sports				
Bukhungu Stadium	Bukhungu Stadium Phase II	150,000,000	-	-

Programme	Sub-Programme	Gross Approved Estimates FY 2025/26 (Kshs.)	Expenditure (including accrued expenditure) as of 31st March 2026 (Kshs.)	Absorption Rate (%)
		a	b	c=b/a*100
Roads, Public Works and Energy				
Construction of major roads to Bitumen Standards	Lumukanda- Manyonyi Road	100,000,000	-	-
RECURRENT				
Social Services, Youth & Sports				
Cultural Heritage	Governors Gala	5,000,000	-	-
Lands, Housing, Urban Areas & Physical Planning				
Mumias Municipality	Other Capital grants and transfers	60,478,227	-	-
Trade, Industrialisation & Tourism				
Tourism Development	Promotion of Heritage Tourism	7,000,000	-	-
Water, Environment & Natural Resources				
Conservation of Natural Resources	Identifying & Securing the naturally resourced areas	2,526,516	-	-

Source: *Kakamega County Treasury*

The development sub-programmes with the lowest or zero budget implementation rates were as follows: Purchase of Certified Crop Seeds in the Department of Agriculture, Livestock, Fisheries and Cooperatives, Support to local team's talent development in the Department of Social Services, Youth & Sports, Issuance of assistive devices the Department of Social Services, Youth & Sports, Construction of Bukhungu stadium Phase II Department of Social Services, Youth & Sports, and Construction Lumukanda- Manyonyi Road in the Department of Roads, Public Works and Energy all reporting zero absorption rates despite receiving significantly high portion of budget allocation.

For recurrent sub-programmes, the poorest or zero performers included: Governors Gala in the Department of Social Services, Youth & Sports, Other Capital grants and transfer in the Department of Lands, Housing, Urban Areas & Physical Planning, Promotion of Heritage Tourism in the Department of Trade, Industrialization & Tourism, and Identifying & Securing the naturally resourced areas in the Department of Water, Environment & Natural Resource

These lower performances can be attributed to insufficient funding occasioned by under- performance in the collection of own-source revenues and non-prioritised activities over prioritised ones taking precedence due to the inadequate resources at disposal.

3.11.18 Settlement of Trade Payables

As of 1st July 2025, the County reported trade payables totalling Kshs.3.59 billion. This amount consisted of Kshs.2.87 billion from the County Executive and Kshs.716.88 million from the County Assembly. The trade payables from the County Executive comprised Kshs.1.78 billion for recurrent expenditure and Kshs.1.09 billion for development expenditure.

During the reporting period, the County Executive settled trade payables amounting to Kshs.307.80 million, comprising Kshs.41.04 million (13 per cent) for recurrent programmes and Kshs.266.76 million (87 per cent) for development programmes. On the other hand, the County Assembly settled trade payables amounting to Kshs.49.26 million, all for recurrent activities and none for development activities. The outstanding trade payables as of 31st March 2026 were Kshs.2.56 billion for the County Executive and Kshs.667.62 million for the County Assembly. Table 3.167 provides additional details of trade payables.

Table 3.167: Kakamega County Trade Payables as of 31st March 2026

		County Entity	Development (Kshs.)	Recurrent (Kshs.)	Total (Kshs.)
As at 1st July 2025 (End of FY 2024/25)	a	County Executive	1,093,701,573	1,780,124,965	2,873,826,539
		County Assembly	163,839,515	553,042,402	716,881,917
		Total	**1,257,541,088**	**2,333,167,367**	**3,590,708,456**
Trade payables scheduled to be settled in the first nine months of FY 2025/26 per the action plan	b	County Executive	315,000,000	245,000,000	560,000,000
		County Assembly	-	49,258,187	49,258,187
		Total	**315,000,000**	**294,258,187**	**609,258,187**
Amount paid in the First Nine Months of FY 2025/26	c	County Executive	266,761,635	41,035,862	307,797,497
		County Assembly	-	49,258,187	49,258,187
		Total	**266,761,635**	**90,294,049**	**357,055,684**
Trade Payables Incurred in First Nine Months of FY 2025/26	d	County Executive	-	-	-
		County Assembly	-	-	-
		Total	**-**	**-**	**-**
Outstanding trade payables as of 31st March,2026	**e=a-c*b**	**County Executive**	**826,939,938**	**1,739,089,103**	**2,566,029,041**
		County Assembly	**163,839,515**	**503,784,215**	**667,623,730**
		Total	**990,779,453**	**2,242,873,318**	**3,233,652,771**

Source: *Kakamega County Treasury*

The County Executive and the Assembly submitted a trade payables payment plan, committing to pay Kshs.560 million and Kshs.49.26 million on recurrent and development expenditure respectively, in the first nine months FY 2025/26. However, the County Executive did not adhere to this payment plan, as it cleared Kshs.307.80 million for the Executive. The County Assembly adhered to the payment plan and has since paid Kshs.49.26 million.

Table 3.168 and Table 3.169 present the ageing of the total outstanding bills as of 31st March 2026 for the County Executive and Assembly, which were Kshs.3.23 billion.

Table 3.168: Kakamega County Executive Trade Payables Ageing Analysis as of 31st March 2026

Category	Ageing analysis (Amount in Kshs.)				Total
	Under one year	1-2 years	2-3 years	Over 3 years	
Development Trade Payables	**-**	**-**	**-**	**-**	**826,939,938**
Recurrent Trade Payables (Goods & Services)	-	-	-	-	594,091,360
Recurrent Trade Payables (Salary Arrears and Statutory Deductions)	-	-	-	-	1,091,721,947
Recurrent Trade Payables (Staff Claims)	-	-	-	-	53,275,797
Total Recurrent Trade Payables	**-**	**-**	**-**	**-**	**1,739,089,103**
Total Trade Payables	**-**	**-**	**-**	**-**	**2,566,029,041**
% of Total	**-**	**-**	**-**	**-**	**100**

Source: *Kakamega County Treasury*

The County Executive did not provide an ageing analysis report for their trade payables due to technicalities in obtaining source documents and lack of proper tracking records for trade payables.

Table 3.169: Kakamega County Assembly Trade Payables Ageing Analysis as of 31st March 2026

Category	Ageing analysis (Amount in Kshs.)				Total
	Under one year	1-2 years	2-3 years	Over 3 years	
Development Trade Payables	-			**163,839,515**	**163,839,515**
Recurrent Trade Payables (Goods & Services)	16,443,076	77,489,018	87,134,083	66,586,042	**247,652,219**
Recurrent Trade Payables (Salary Arrears and Statutory Deductions)	22,372,794	67,962,602	49,649,280	12,706,511	**152,691,187**
Recurrent Trade Payables (Staff Claims)	38,783,510	17,656,300	47,000,999	-	**103,440,809**
Total Recurrent Trade Payables	**77,599,380**	**163,107,920**	**183,784,362**	**79,292,553**	**503,784,215**
Total Trade Payables	**77,599,380**	**163,107,920**	**183,784,362**	**243,132,068**	**667,623,730**
% of Total	**12**	**24**	**28**	**36**	**100**

***Source**: Kakamega County Treasury*

As shown in Table 3.168 and Table 3.169, the total salary arrears and statutory deductions amounted to Kshs.1.30 billion, representing 40 per cent of the total trade payables of Kshs.3.23 billion as of 31st March, 2026. The statutory deductions included salary arrears of Kshs.94.67 million, tax arrears of Kshs.183.86 million, and third-party deductions of Kshs.1.02 billion.

Additionally, Table 3.169 County Assembly trade payables indicates that 36 per cent of total trade payables are aged over 3 years, 28 per cent between 2 and 3 years, 24 per cent between 1 and 2 years, while 12 per cent are under 1 year. This trend is attributed to a lack of funds and a failure to budget for the full amount of trade payables. The County needs to fully implement the IBEC-approved, KDSP II-sponsored trade payables action plan tracker templates for managing, tracking the status, reporting, and settlement of trade payables.

3.11.19 General Observations and Recommendations

In the course of overseeing and reporting on the implementation of the Kakamega County budget, the CoB identified the following challenges, which hampered effective budget implementation;

i. The County Treasury's late submission of financial reports to the Controller of Budget affected the timely preparation of the budget implementation report, which was received on 30th April,2026.
ii. High level of trade receivables of Kshs.71.12 million on own source revenues that remained uncollected as at 31st March 2026.
iii. The underperformance of own-source revenue at Kshs.1.24 billion against an annual target of Kshs.2.2 billion, representing 56 per cent of the financial year target.
iv. Low development performance in the review period, as the County incurred Kshs.1.74 billion on development activities, achieving a 34 per cent absorption rate
v. Regulation 197(1)(i) of the Public Finance Management (County Governments) Regulations, 2015, limits the lifespan of public funds to 10 years unless extended by the County Assembly. As of 31st March 2026, the lifespan of the Kakamega County Alcoholic Drinks Control Fund and County Assembly Car Loan & Mortgage Fund had lapsed, making them ineligible for further withdrawals.
vi. High level of trade payables, amounting to Kshs.3.23 billion as of 31st March 2026. Furthermore, the County Treasury did not adhere to the trade payables payment plan.
vii. Use of manual payroll in the County Assembly. Personnel emoluments amounting to Kshs.7.79 million for 30 staff not onboarded into the HRIS, and 8 casual staff were processed through manual payroll, accounting for less than 1 per cent of the total payroll cost. Manual payroll is prone to abuse and may result in the loss of public funds.
viii. Non-submission of copies of authorisation letters for opening commercial bank accounts as per Regulation 82(5) of the Public Finance Management (County Governments) Regulations, 2015.

The County should implement the following recommendations to improve budget execution:

i. *The County Treasury should ensure the timely preparation and submission of financial reports to the Controller of Budget per the timelines prescribed in Section 166 of the PFM Act, 2012.*
ii. *The County Treasury should institute measures of collecting the trade receivables in order to meet the set revenue targets*
iii. *The County should address its own-source revenue performance to ensure the approved budget is fully financed. Appropriate austerity measures should be implemented to ensure expenditure commitments are aligned with available revenue.*
iv. *The County should implement strategies to increase development expenditures in FY 2025/26.*
v. *The County should ensure timely review and extension of public funds whose lifespans are nearing expiration or have lapsed to prevent operational disruptions. Additionally, any expenditure from lapsed funds should cease immediately, and legal mechanisms should be followed to re-establish or wind up such funds in compliance with the Public Finance Management Act.*
vi. *The County Leadership should address the situation of trade payables to ensure that genuine bills are paid promptly in the remaining financial year. Further, compliance with the Trade Payables Action Plan should be enforced.*
vii. *The Government requires that salaries be processed through the HRIS system, and the County is advised to fast-track the acquisition of Unified Personnel Numbers for their staff. The County Public Service Board should regulate staff engagement on contract and casual workers as provided under Section 74 of the County Governments Act 2012. Furthermore, strict adherence to the approved staff establishment should be maintained.*
viii. *The County Treasury should ensure it submits copies of authorisation letters to the CoB for opening commercial bank accounts to enhance accountability and oversight.*

3.12. County Government of Kericho

3.12.1 Overview of FY 2025/26 Budget

The Kericho County Approved Budget for FY 2025/26 is Kshs.10.03 billion. It comprises Kshs.3.53 billion (35 per cent) and Kshs.6.50 billion (65 per cent) in allocations for development and recurrent programmes, respectively. The budget estimates represent an increase of Kshs 278 million (3 per cent) from the FY 2024/25 budget, which comprised a development budget of Kshs 3.56 billion and a recurrent budget of Kshs 6.20 billion. The increase in the budget was primarily attributed to higher own-source revenue and an unspent balance from the previous FY 24/25.

The budget is to be financed from various revenue sources. These include the equitable share of revenue raised nationally of Kshs.7.18 billion (72 per cent), additional allocations of Kshs.1.26 billion (13 per cent), a cash balance brought forward from FY 24/25 of Kshs.269,651.90 (02 per cent) and Kshs.1.59 billion (16 per cent) generated as own-source revenue. A breakdown of the additional allocations is shown in Table 3.170

3.12.2 Revenue Performance

During the first nine months of FY 2025/26, the County reported total revenues of Kshs.6.04 billion. This amount represented an increase of 5 per cent compared to the amount received in a similar period in FY 2024/25 of Kshs.5.74 billion. The total revenue consisted of Kshs.4.77 billion from the equitable share of revenue raised nationally, additional allocations from the national government and development partners of Kshs.631.19 million, and own-source revenue (OSR) collection of Kshs.637.88 million. Additionally, the County had a cash balance of Kshs.269,651.90 from FY 2024/25. The total OSR collection of Kshs.637.88 million included Facilities Improvement Financing (FIF) of Kshs.392.32 million, and Kshs.245.56 million from other OSR sources. Table 3.170 summarises the total revenue available to the County Government during FY 2025/26.

Table 3.170: Kericho County, Revenue Performance in the first nine months of FY 2025/26

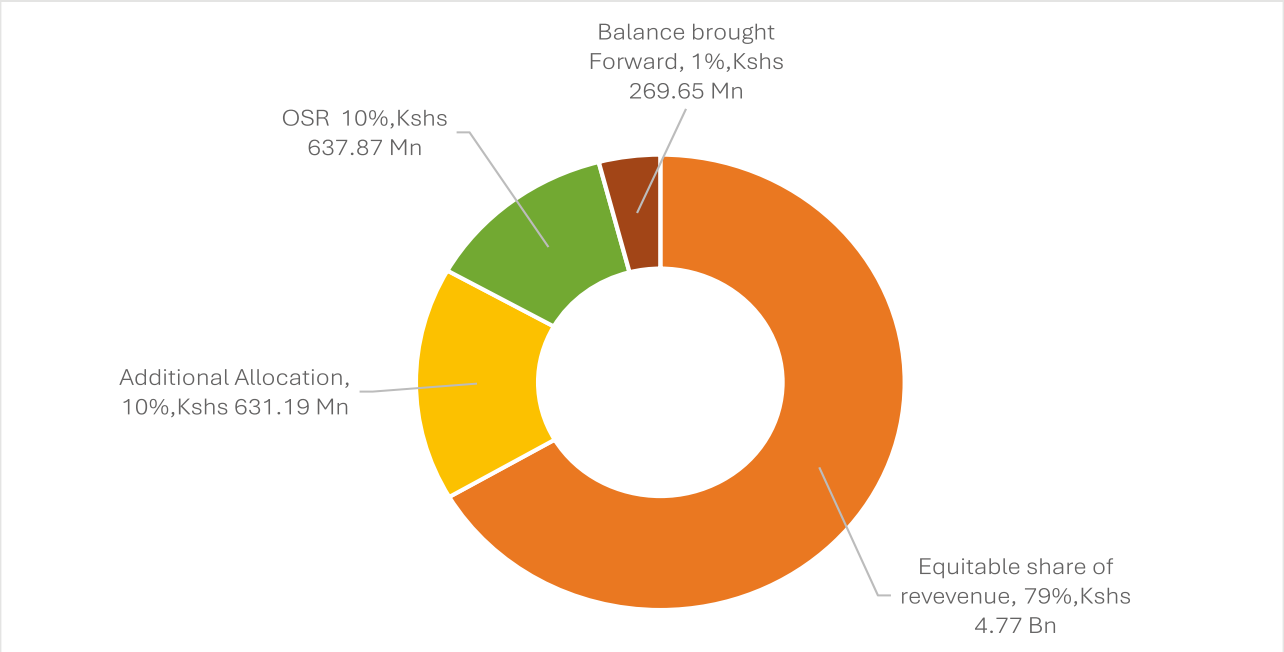
No	Revenue Stream	Annual Targeted Revenue (Kshs.)	Actual Receipts (Kshs.)	Receivables in the first nine months of FY 2025/26 (Kshs.)	Total Revenues (in accrual basis) in the first nine months of FY 2025/26 (Kshs.)	Revenue Performance
		A	B	C	D	F=D/A*100
A	**Unspent Balance from FY 2023/24**					
1	Balance at CRF	-	245,675.70	**245,675.70**	**245,675.70**	-
2	County Executive Refunds to CRF	-	**23,788.45**	**23,788.45**	**23,788.45**	-
3	County Assembly Refunds to CRF	-	**187.75**	**187.75**	**187.75**	-
	Sub-Total		**269,651.90**	**269,651.90**	**269,651.90**	-
B	**Equitable Share of Revenue Raised Nationally**	**7,178,668,356**	**4,773,814,458**			-
1						
	Sub-Total	**7,178,668,356**	**4,773,814,458**			
D	**Additional Allocations (Including Grants)**					
1	**Unconditional Additional Allocations to County Governments**					
a	County health promoters	45,690,000	-	-	-	-
b	DANIDA FUND	8,670,000	-	-	-	-
a	Settlement of Doctors' Salary Arrears	43,439,856	-	-	-	-
b	County Aggregated Industrial Parks	250,000,000	**250,000,000**	-	-	100
c	Kenya Devolution Support Project 11 (World Bank)	**37,500,000**	**35,253,471.15**	-	-	94
d	Kenya Devolution Support Project 11 (World Bank) UDG	352,500,000	-	-	-	-
e	Kenya Urban Support Program UDG (SIDA)	43,550,249	**51,852,992**	-	-	119
f	**Conditional Allocations from Loans and Grants**		-	-	-	-
g	Kenya Urban Support Program UIG (SIDA)	**35,000,000**	-	-	-	-
h	FLOCCA Grants to support climate change CCIR	**203,392,898**	**159,156,796**	-	-	78
i	IDA National Agricultural Value Chain Devt Project (NAVCDP)	231,250,000	**134,923,513.3**	-	-	58
j	SWEDEN Kenya Agricultural Business Dev't Project (KABDP)	10,918,919	-	-	-	-
	Sub-Total	**1,261,911,922**	**631,186,772.45**			

No	Revenue Stream	Annual Targeted Revenue (Kshs.)	Actual Receipts (Kshs.)	Receivables in the first nine months of FY 2025/26 (Kshs.)	Total Revenues (in accrual basis) in the first nine months of FY 2025/26 (Kshs.)	Revenue Performance
		A	B	C	D	F=D/A*100
E	Ordinary Own Source Revenue (OSR)					
1	Cess	117,758,971	23,889,509	-	23,889,509	20
2	Land Rate	357,303,382	75,294,444	187,893,140	75,294,444	74
3	Single/Business Permits	195,906,623	97,582,758	-	97,582,758	50
4	Property Rent	40,882,830	10,093,580	-	10,093,580	36
5	Parking Fees	46,298,197	20,728,706	-	20,728,706	7
6	Market Fees	40,407,195	9,916,682	-	9,916,682	7
7	Advertising	41,406,168	1,699,275.00	-	1,699,275.00	50
8	Public Health Service Fees	5,771,985	3,398,016	-	3,398,016	172
9	Physical Planning and Development	23,848,460	2,738,100	11,158,864	2,738,100	89
10	Hire of County Assets	300,000	42,500	-	42,500	566
11	Library Services	250,000	177,582	177,582	177,582	71
	Sub-Total	870,133,811	**245,561,152**	**334,257,508**	**986,494,309**	**62**
F	**Facility Improvement Financing (FIF)**					
1	SHIF	724,245,582	392,317,322	**-**		-
2	Defunct NHIF	**-**	**-**	**-**	**-**	-
	Sub-Total	724,245,582	637,878,474	**-**	**-**	-
...						
	Sub-Total					
Total		**10,034,959,671**	**6,043,149,356**	**334,257,508**	**986,763,961**	**60**

Source: *Kericho County Treasury*

Figure 3.67 provides a detailed breakdown of receipts. The advertising revenue stream performance of 50 per cent is attributed to the employment of reinforcement officers and the removal of non-compliant merchants.

Figure 3.67: Kericho County Composition of Revenue in the first nine months of FY 2025/26

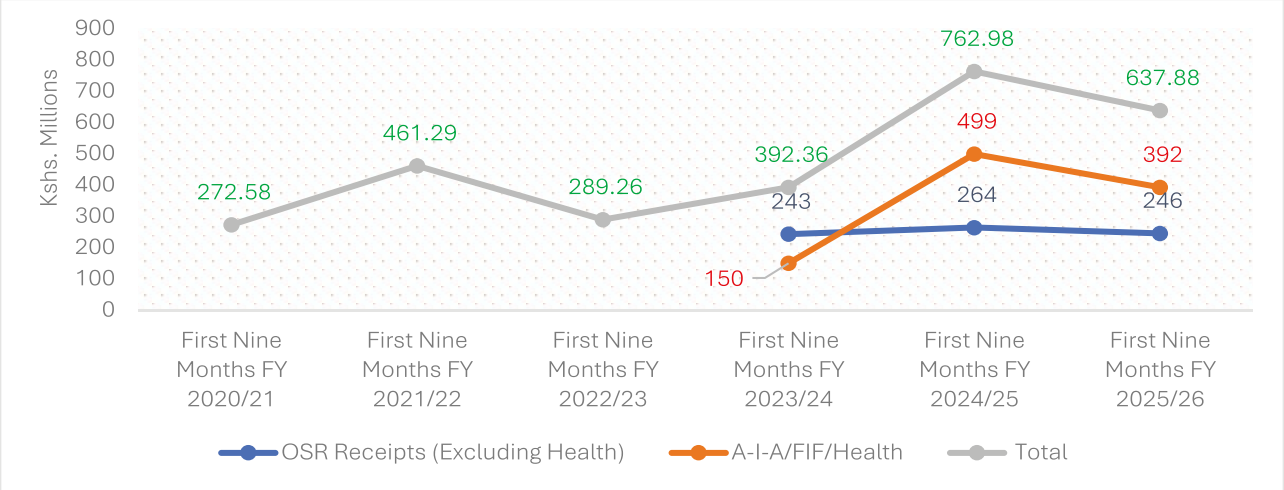


Source: *Kericho County Treasury*

The equitable share of revenue raised nationally, Additional allocation, and OSR contributed 79 per cent, 10 per cent and 10 per cent, respectively, of the total receipts for the reporting period.

Figure 3.68 shows the collection trend in own-source revenue from the first nine months of FY 2020/21 to the first nine months of FY 2025/26.

Figure 3.68: Kericho County Trend in Own-Source Revenue Collection from the first nine months of FY 2020/21 to the first nine months of FY 2025/26

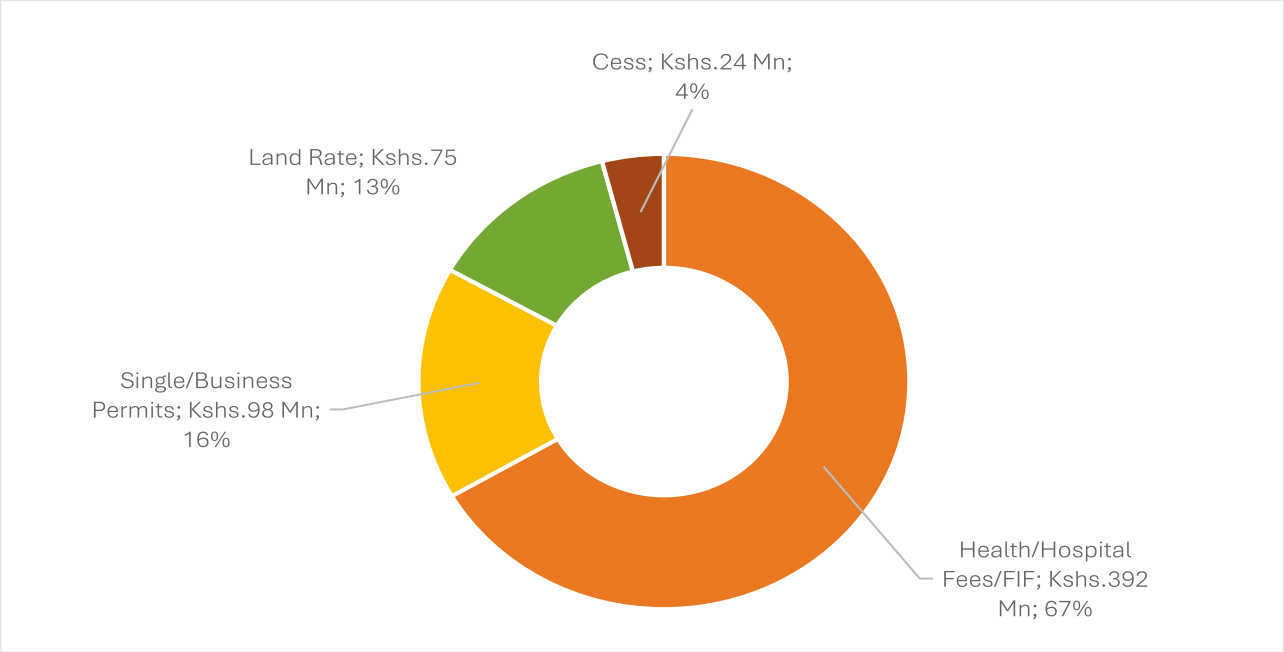


Source: *Kericho County Treasury*

During the first nine months of FY 2025/26, the County received Kshs.637.88 million from OSR, including FIF. This amount was a decrease of 16 per cent compared to Kshs.762.98 million realised in a similar period in FY 2024/25, and was 40 per cent of the annual target and 100 per cent of the equitable revenue share disbursed.

The revenue streams that contributed the most to OSR receipts are shown in Figure 3.69.

Figure 3.69: Kericho County Top Own Source Revenue Streams in the first nine months of FY 2025/26



Source: Kericho County Treasury

As shown in Figure 3.69, the largest revenue stream at Kshs.392 million was Health/Hospital Fees/FIF, accounting for 67 per cent of total OSR receipts. The County Government indicated that it has automated all revenue streams.

3.12.3 Revenue Receivables

As of 1st July 2025, the County reported receivables of Kshs.421.39 million, which decreased to Kshs.327.47 million as of 31st March 2026. The County manages its receivables using a manual system maintained on Excel, with a cash-basis option. Table 3.171 presents a breakdown of the County's receivables.

Table 3.171: Kericho County Receivables as of 31st March 2026

No	Revenue Stream	Receivables as of 1 July 2025 (Kshs.)	Progress made in the first nine months of FY 2025/26			Receivables as of 31st March 2026 (Kshs.)
			Waivers (Kshs)	Arrears paid in the financial year (Kshs)	Arrears earned in the first nine months of FY 2025/26 (Kshs)	
		a	b	c	d	f=a-b-c+d
D	**Ordinary Own Sources of Revenue**					
1	Land rates	187,893,140	-	33,436,134	-	154,457,006
2	Property rent	11,158,864	-	3,895,411	-	7,263,453
	Sub-Total					
E	**Facility Improvement Fund (FIF)**					
1	SHIF	135,205,504	-	102,283,636	45,687,103	78,608,971
2	Defunct NHIF	87,135,698.50	-	-	-	87,135,698.50
	Sub-Total	**222,341,203**	**-**	**102,283,636**	**45,687,103**	**165,744,670**
	Sub-Total	**421,393,207**	**-**	**139,615,181**	**45,687,103**	**327,465,129**
Total						

Source: Kericho *County Treasury*

As of 31st March 2026, the receivables totalled to Kshs.327.47 million, comprising Kshs.165.74 million for SHIF and NHIF (50 per cent). The measures instituted by the County to collect the outstanding arrears in FY 2025/26 include writing to landowners, granting waivers to encourage payments, and issuing demand notices.

3.12.4 Borrowing by the County

The County did not report any borrowing of funds during the period under review.

3.12.5 Withdrawals from the County Revenue Fund and County Assembly Fund

During the reporting period, the Controller of Budget approved exchequer withdrawal requests totalling Kshs.4.22 billion from the Kericho County Revenue Fund (CRF) account. This amount consisted of Kshs.725.34 million (17 per cent) designated for development programs and Kshs.3.50 billion (54 per cent) allocated for recurrent programs.

An analysis of the released recurrent exchequers shows that Kshs.2.6 billion was allocated to employee compensation and Kshs.870.51 million to operations and maintenance expenditures. Within the operations and maintenance category, 30.24 per cent was for domestic travel and 3.52 per cent for foreign travel. The domestic travel exchequers totalled Kshs.263.28 million, which included Kshs.141.6 million for the County Executive and Kshs.121.68 million for the County Assembly. Meanwhile, the foreign travel exchequers amounted to Kshs.30.66 million, with Kshs.17.3 million for the County Executive and Kshs.13.36 million for the County Assembly.

As of 31st March 2026, the County Government's cash balance in the Kericho County CRF account was Kshs.951.33 million.

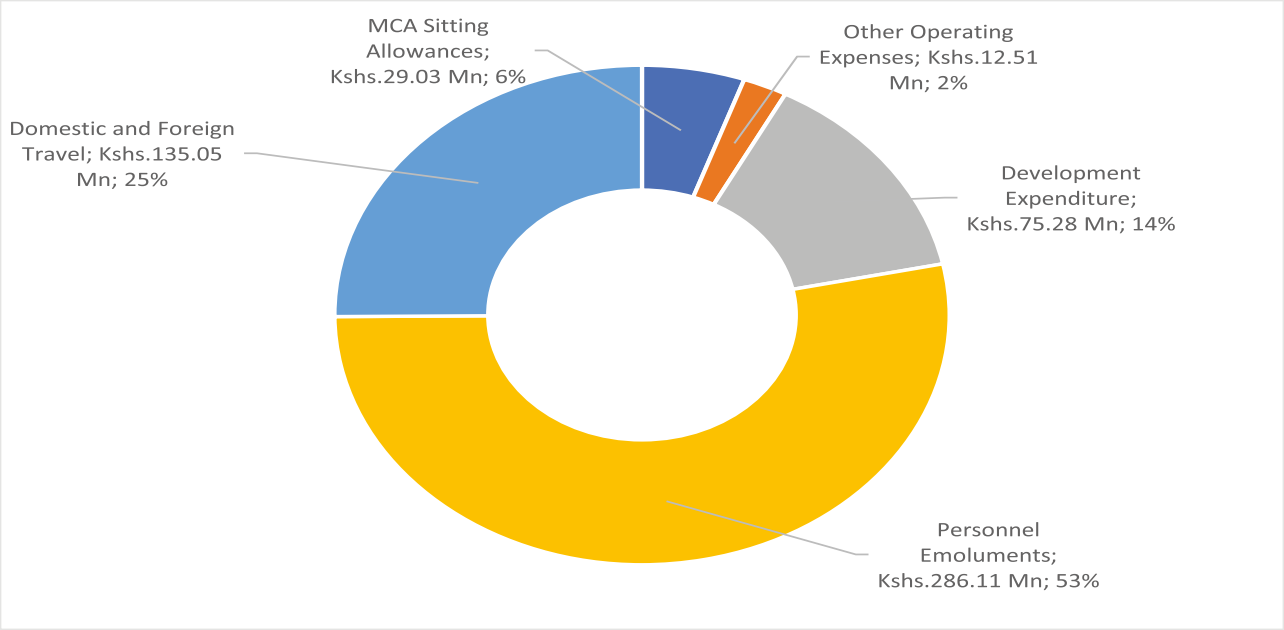
The County has not operationalised the County Assembly Fund as at 31st March,2026.

3.12.6 Expenditure Review

The County spent Kshs.4.22 billion on development and recurrent programmes during the reporting period. The expenditure represented 96 per cent of the total funds released by the CoB. It comprised Kshs.725.34 million for development programmes and Kshs.3.4 billion for recurrent programmes. Expenditure on development programmes accounted for 21 per cent of the annual development expenditure budget, while recurrent expenditure accounted for 54 per cent of the annual recurrent expenditure budget.

Figure 3.70 provides a detailed breakdown of total expenditure.

Figure 3.70: Kericho County Composition of Expenditure in the first nine months of FY 2025/26



Source: *Kericho County Treasury*

As shown in Figure 3.70, the three highest expenditure categories were Personal Emoluments, Development Expenditure, and Other Operating Expenses, which accounted for 67, 16, and 14 per cent of the total expenditure for the reporting period.

3.12.7 Expenditure by Economic Classification

The County Executive incurred Kshs.2.3 billion in employee compensation, Kshs.638.32 million in operations and maintenance, and Kshs.650.05 million in development activities. Similarly, the County Assembly spent Kshs.268 million on employee compensation, Kshs.232 million on operations and maintenance, and Kshs.75.28 million on development activities, as shown in Table 3.172

Table 3.172: Kericho County Summary of Budget and Expenditure by Economic Classification

Sector / Category	Budget (Kshs) (Mn)	Exchequer Issues (Kshs) (Mn)	Amount Paid in the First Nine Months of FY 2025/26 (Kshs.) (b) (Mn)	Expenditure Accrued in the First Nine Months of FY 2025/26 (Kshs.) (c) (Mn)	Total Expenditure in the First Nine Months of FY 2025/26 (Kshs.) (d=b+c) (Mn)	Absorption (%) (d/a*100) (Mn)
County Executive						
Recurrent	**5,694.82**	**2,998.26**	**2,998.26**	**-**	**2,998.26**	**53**
Compensation to Employees	3,702.88	2,359.94	2,359.94	-	2,359.94	64
Operations & Maintenance	1,991.94	638.32	638.32	-	638.32	32
Development	**3,423.52**	**650.05**	**650.06**	**-**	**-**	**-**
Executive Sub-total	**9,118.35**	**3,648**	**3,648,318,996**	**-**	**2,998,260,909**	**33**
County Assembly						
Recurrent	**811,439,308**	**501,173,759**	**501,173,759**	**-**	**501,173,759**	**62**
Compensation to Employees	441,812,897	268,981,385	268,981,385		268,981,385	61
Operations & Maintenance	369,626,411	232,192,374	232,192,374		232,192,374	63
Development	**105,170,894**	**75,280,280**	**75,280,280**	**-**	**-**	**-**
Assembly Sub-total	**916,610,202**	**576,454,039**	**576,454,039**	**-**	**501,173,759**	**55**
Combined County Totals						
Total Recurrent	**6,506,266,163**	**3,499,434,668**	**3,499,434,668**	**-**	**3,499,434,668**	**54**
Compensation to Employees	4,144,696,921	2,628,920,880	2,628,920,880	-	2,628,920,880	63
Operations & Maintenance	2,361,569,242	870,513,788	870,513,788	-	870,513,788	37
Total Development	**3,528,693,508**	**725,338,367**	**725,338,367**	**-**	**-**	21
Grand Total	**10,034,959,671**	**4,224,773,035**	**4,224,773,035**	**-**	**3,499,434,668**	**35**

***Source**: Kericho County Treasury*

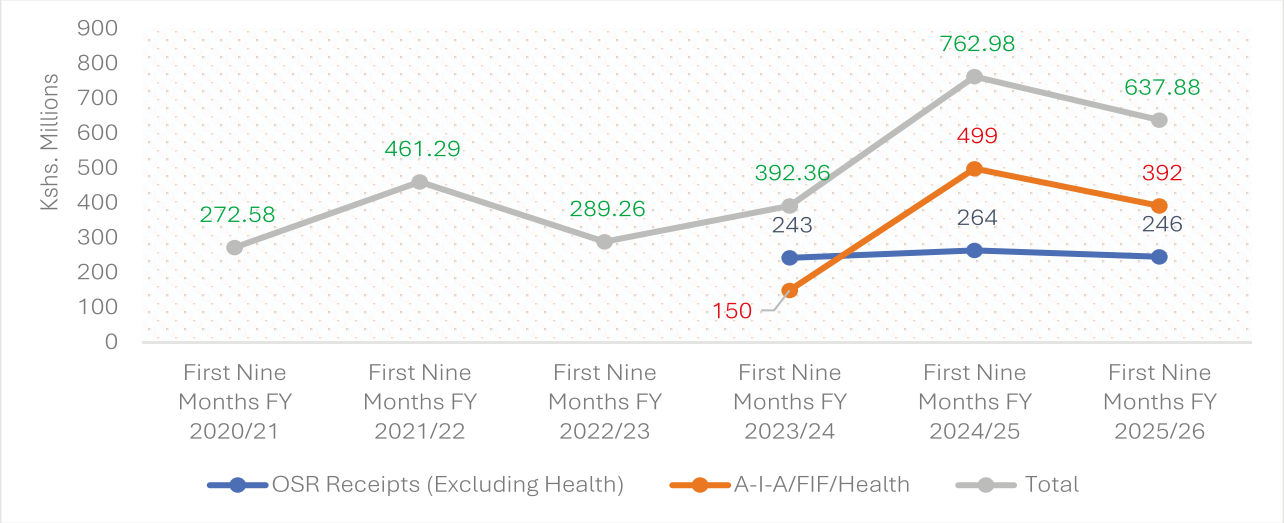
3.12.8 Expenditure on Employee Compensation

The expenditure on employee compensation totalled Kshs.2.628 billion, representing 62 per cent of revenue. This expenditure on employee compensation shows an increase compared to the Kshs.2.429 billion reported in a similar period in FY 2024/25. Of this total, Kshs.1.48 billion related to Health Sector employees, accounting for 56 per cent of the overall employees' compensation.

The increase is due to

- Payment of salary arrears, review of salaries by SRC for the year 2024/2025.
- Review of salaries for the county secretary and legal officers.
- Confirmation of ECDE teachers and health workers
- Recruitment of health workers on contract.
- Promotion of county officers by the County Public Service Board.

Figure 3.71: Percentage of Employee Compensation Expenditure to Total Revenue Received in the first nine months of FY 2020/21 to the first nine months of FY 2025/26



Source: *Kericho County Treasury*

Further analysis indicated that PE costs amount to Kshs.2.50 billion were processed through the Human Resource Information System (HRIS). In contrast, Kshs.65.09 million was processed through manual payrolls, which accounted for 3.23 per cent of the total PE cost. The justification for the continued use of manual payroll was the payment of salaries for staff outside the HRIS.

The manual payroll comprised salaries for 186 staff not onboarded into the Human Resource Information System (HRIS), salaries for casual staff, top-up allowances for security personnel, as shown in Table 3.173

Table 3.173: Breakdown of Kericho County Manual Payroll

Category	County Executive	County Assembly	Total
Salaries for staff paid outside the Human Resource Information System (HRIS)	-	50,069,983	50,069,983
Salaries for casual staff	-	5,006,998	5,006,998
Top-up Allowances for security officers	-	10,013,996	10,013,996
Total		**65,090,977**	**65,090,977**

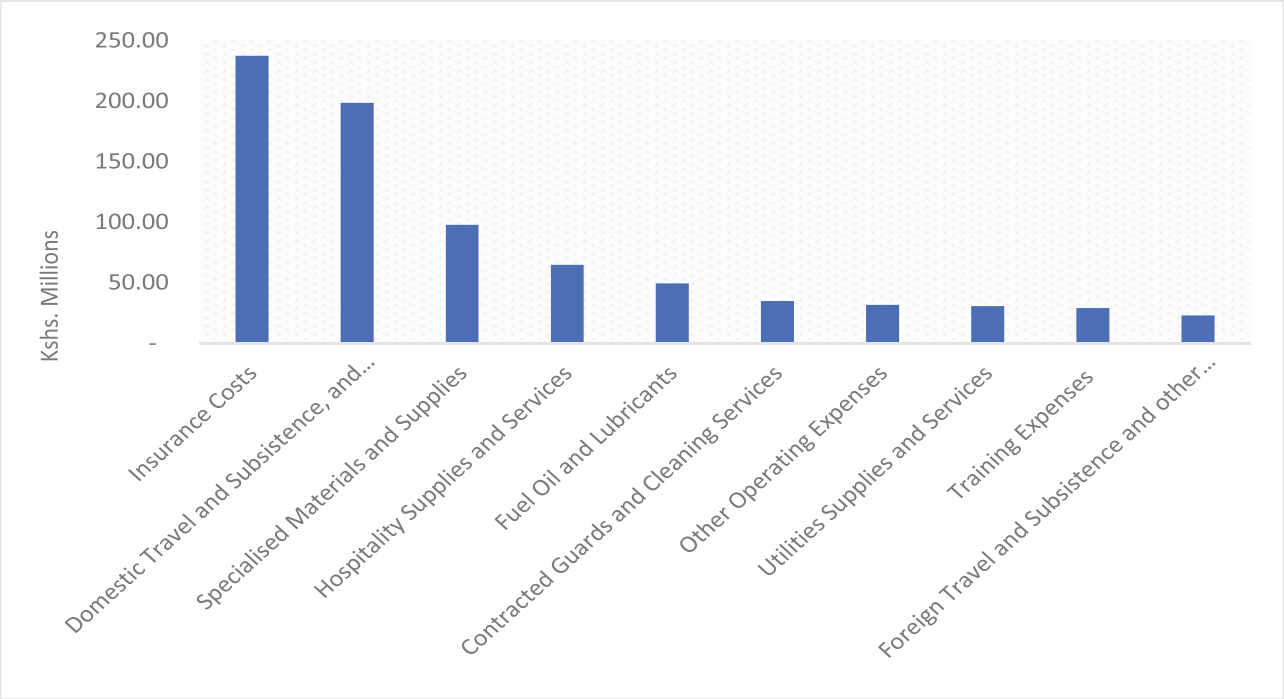
Source: *Kericho County Treasury*

The County Assembly spent Kshs.29.03 million on committee sitting allowances for the 48 MCAs against the annual budget allocation of Kshs.48.41 million. The average monthly sitting allowance was Kshs.67,201 per MCA. The County Assembly has 12 House Committees.

3.12.9 Expenditure on Operations and Maintenance

During the reporting period, the County spent Kshs.870.51 million on operations and maintenance, representing a decrease of 13 per cent compared to a similar period in FY 2024/25, when the County spent Kshs.1.00 billion. Figure 3.72 illustrates the distribution of Operations and Maintenance expenditures across the major spending categories.

Figure 3.72: Kericho County, Operations and Maintenance Expenditure by Major Categories.



Source: *Kericho County Treasury*

3.12.10 Unbundling "Other Operating Expenses – Other Expenses" Under Operations and Maintenance Expenditures

The budget performance report for the first nine months of FY 2025/26 indicates that the County spent Kshs.18.7 million on "*other operating expenses*," which was 2 per cent of the total operations and maintenance expenditure of Kshs.870.51 million. This category of expenditure includes Kshs Kshs.4.38 million for debt resolution. The disaggregated items under the "*Other Operating Expenses*" category are shown in Table 3.174.

Table 3.174: Breakdown of "Other Operating Expenses (IFMIS Code – 2211399)" under O&M Expenditures

Code	Item	Budget (Kshs)	Expenditure (Kshs.)
2211399	Debt Resolution	5,500,000	4,377,896
	TOTAL	**5,500,000**	**4,377,896**

Source: *Kericho County Treasury*

3.12.11 County-Established Funds

Section 116 of the PFM Act 2012 allows County Governments to establish other public funds, subject to approval from the County Executive Committee and the County Assembly. The County allocated Kshs.40 million to County-Established funds in FY 2025/26, representing 0.4 per cent of the County's overall budget. Of this amount, the County allocated Kshs.10 million to the Emergency Fund in line with Section 110 of the PFM Act, 2012, accounting for 0.1 per cent of the total budget. Table 3.175 summarises each established Fund's budget allocation and performance during the reporting period.

Table 3.175: Performance of Karachi County Established Funds in the first nine months of FY 2025/26

S/No.	Name of the Fund	Year Established	Approved Budget Allocation in FY 2025/26 (Kshs.)	Exchequer Issues in the first nine months of FY 2025/26 (Kshs.)	Actual disbursements in the first nine months of FY 2025/26 (Kshs.)	Cumulative disbursements to the Fund (Kshs)	Submission of Financial Statements (Yes/No.)
		County Executive Established Funds					
1	Kericho County Staff Car Loan	2015	10,000,000	-	-	44,780,000	No
2	Kericho County Emergency Fund	2014	10000000	-	-	346,200,113	No
3	Kericho County Staff Mortgage Fund	2015	20,000,000	-	-	236,318,000	No
4	Kericho County Climate Change Fund	2021	303,142,898	224,839,313	-	609,230,333	No
	Total		**343,142,898**			**1,236,528,446**	

Source: *Kericho County Treasury*

During the reporting period, the CoB did not receive quarterly financial reports from the Fund Administrators, as indicated in Table 3.175, contrary to the requirement of Section 168 of the PFM Act, 2012. The County disclosed that the administration costs were within the 3 per cent limit of the Fund budget set in Regulation 197(1)(d) of the Public Finance Management (County Governments) Regulations, 2015.

Regulation 197(1)(i) of the Public Finance Management (County Governments) Regulations, 2015, allows County Governments to establish public funds with a lifespan capped at 10 years unless extended by the County Assembly. In FY 2025/26, the CoB determined that the 3 Fund's lifespans had lapsed. Consequently, the CoB did not approve any withdrawal requests to support the operations of the lapsed funds.

3.12.12 County Corporations

The County has two County Corporations: Kabianga Tea Farm and Kericho Water and Sewerage Company, which were not allocated any funds in FY 2025/26.

3.12.13 Expenditure on Domestic and Foreign Travel

Expenditure on domestic travel amounted to Kshs.233.94 million and comprised Kshs.121.7 million spent by the County Assembly and Kshs.112.24 million by the County Executive. Expenditure on foreign travel amounted to Kshs.22.2 million and comprised Kshs.13.4 million by the County Assembly and Kshs.8.16 million by the County Executive. Expenditure on foreign travel is summarised in Table 3.176.

Table 3.176: Summary of Expenditure on Foreign Travel in the first nine months of FY 2025/26

Arm of County Government	Number of Officers Travelled	Date travelled	Purpose of the travel	Destination	Actual Payment on Travel (a) (Kshs.)	Accrued Expenditure on Travel (b) (Kshs.)	Total Expenditure on Travel (c=a+b) (Kshs.)
County Executive	8	24th to 28 February 2025	ELASCA Games	Uganda	1,861,340	-	1,861,340
County Executive	2	21st to 28th October 2925	Solar Power energy partnership engagement	SWEDEN	437,332	-	2,437,332

Arm of County Government	Number of Officers Travelled	Date travelled	Purpose of the travel	Destination	Actual Payment on Travel (a) (Kshs.)	Accrued Expenditure on Travel (b) (Kshs.)	Total Expenditure on Travel (c=a+b) (Kshs.)
County Executive	2	24th to 28 February 2025	ELASCA Games	Uganda	632,530	-	1,181,702
County Executive	11	21st to 28th October 2925	Solar Power energy partnership engagement	SWEDEN	3,431,810	-	3,431,810
County Assembly							13,358,187
Total							**22,270,371**

Source: *Kericho County Treasury and Kericho County Assembly*

3.12.14 Facility Improvement Financing

During the review period, the County reported collections of Kshs.392.32 million as FIF, which was 54 per cent of the annual target of Kshs.725.86 million. The collected amount was retained and utilised at source in line with the Facility Improvement Financing Act, 2023. The County has developed regulations to operationalise the FIF Act of 2023.

The expenditure by the health facilities amounted to Kshs.370.79 million, as shown in Table 3.177.

Table 3.177: Kericho County Health Facilities Expenditure Performance in the first nine months of FY 2025/26

No.	Health Facility 4/5	Number of Facilities	Approved Budget (Kshs.)	Actual Expenditure (Kshs.)	Absorption rate (%)
1.	Kericho County Referral Hospital (Level 5)	1	322,046,494	87,019,567	27
2.	Kapkatet Sub-County Hospital	1	216,863,017	160,545,095	74
3.	Sigowet Sub-County Hospital	1	66,589,647	49,094,631	74
4	Londiani Sub-County Hospital	1	62,044,201	37,800,056	61
5	Fortenan Sub-County Hospital	1	16,158,876	11,846,056	73
6	Roret Sub-County Hospital	1	32,491,107	15,569,816	48
7	Kipkelion Sub-County Hospital	1	9,670,000	8,914,200	92
	Total	**7**	**725,863,342**	**370,789,421**	

Source: *Kericho County Treasury*

3.12.15 Development Expenditure

In the review period, the County reported spending Kshs.725.33 million on development programmes, representing a decrease of 29 per cent compared to FY 2024/25, when the County spent Kshs.1.02 billion. Table 3.178 summarises the development projects with the highest expenditure in the reporting period.

The decline in development expenditure was attributed to the equitable share not being received on time.

Table 3.178: Kericho County, List of Development Projects with the Highest Expenditure

No	Sector	Project Name	Project Location	Project Commencement Date	Expected date of Completion of the Project	Contract sum (Kshs)	Total Funding in FY 2025/26 (Kshs.)	Expenditure (on an accrual basis) in the first nine months of FY 2025/26 (Kshs.)	Cumulative project expenditure (on an accrual basis) as of 31st March 2026 (Kshs.)	Percentage (%) of Completion
1	**Water**	Construction of Kapkures Water Supply Project, Phase 11	kipkelion		COMPLETED	14,600,304	14,600,304		14,600,304	100
2	**Finance**	Construction of supporting infrastructure at Kedowa Maize Milling Plant	Kedowa		ON GOING	9,944,016	9,944,016		9,944,016	91
3		Soliat Water Project	soliat			9,457,411	9,457,411		9,457,411.40	100
4	**Education**	Supply and Delivery of Text Books for ECDE county-wide	county wide		COMPLETED	8,969,002	8,969,002		8,969,002	-
5	**Lands**	Consultancy Services for GIS Mapping	Kipchebor		COMPLETED	7,342,913	7,342,913		7,342,913	100
6	**Lands**	Survey of Public Land and Towns	Kapkatet Ward		COMPLETED	6,812,750	6,812,750		6,812,750	100
7	**Environment**	Construction of Seguton Primary Lemeiywet Nursery Road	Kipkelion		COMPLETED	4,993,293	4,993,293		4,993,293.08	100
8	**Water**	Lonbom Company Ltd	soliat			4,979,996	4,979,996		4,979,996	100
9	**Trade**	Design, Development, Supply and installation of Network Infrastructure for the Department of Lands, Housing and Physical Planning and the Department of Trade	Department of Trade			4,972,300	4,972,300		4,972,300	100
10	**PSM**	CONSTRUCTION OF KAPSUSER WARD OFFICE	KAPSUSER WARD		COMPLETED	4,950,340	4,950,340		4,950,340	100

Source: *Kericho County Treasury*

The County reported 5 stalled development projects as of 31st March 2026, with an estimated value of Kshs.131.8 million, of which Kshs.57.8 million has already been paid. The stalled projects are shown in Table 3.179.

Table 3.179: Kericho County Stalled Projects as of 31st March 2026

s/ no	Sector	Project name	Project location (Ward)	Start date	Expected Completion Date	Initial Implementing Agency	Scope of works and pending works	Estimated Value of the Project (Kshs.)	Payment status as of 30th June 2025	Outstanding Unpaid Balance As of 31st March 2026	Percentage of Completion before stalling of the Project
1	Finance	Ainamoi Modern Theatre Health Centre	Ainamoi Ward in Ainamoi Health Centre	2018/19	2021	County government -Strategic Intervention phase one - (Finance and Health Service Department)	Construction and equipping of a health theatre	14,136,359	11,926,128	2,210,231	84
2	Water	Kaboloin water project, lower part of Kapsao	kapsao	2018/19	2021	County government -Strategic Intervention phase one - (finance and water department	Distribution lines and construction of masonry tanks	15,255,327.90	12,036,825.40	3,218,503	79
3	Water	Kipkobob Water Project	Chemosot	2019	2020	CGoK	Construction of 2 No.100m3 Masonry tanks, Construction of 200m3 RC storage tank. Intake works and pump house rehabilitation of 3 existing masonry tanks	102,407,437.61	50,034,908.82	52,372,529	49
4	Lands	Acquisition of land for Chebulu Conservancy	Kaplelartet	2015	2016	Purchase of land	5M	No payment	Valuation costs conflict	-	-
5	PSM	Fabrication of a fire engine	HQ	2018/19	2021	Tealand engineering works	Fabrication	9,272,671S	-	9,272,671S	-

Source: Kericho County Treasury

3.12.16 Budget Performance by Department

Table 3.180 summarises the approved budget allocation, expenditure, and absorption rate by department for the period under review.

Table 3.180: Kericho County, Budget Allocation and Absorption Rate by Department in the first nine months of FY 2025/26

Vote/Department	FY 2025/26 Approved Budget (Kshs.)		Total Exchequer Release to date (Kshs.)		Expenditure (Kshs.)		% Total Expenditure to the Exchequer Issued		% Total Expenditure to the Approved Budget	
	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev
County Assembly	811.44	105.17	501.17	75.28	501.17	75.28	100	100	62	72
Public Service Administration	511.66	388.45	277.14	5.22	277.14	5.22	100	100	54	1
Office Of The Governor & Deputy Governor	147.33		98.91	-	98.91	-	100		67	
County Public Service Board	61.34		17.26	-	17.26	-	100		28	
Finance & Economic Planning	364.65	118.07	195.37	24.54	195.37	24.54	100	100	54	21
Health Services	3,202.17	422.36	1,634.09	73.53	1,634.09	73.53	100	100	51	17
Agriculture, Livestock & Cooperative Development	168.12	555.15	104.40	216.20	104.40	216.20	100	100	62	39
Education, Libraries, Culture & Social Services	671.97	282.06	426.21	34.37	426.21	34.37	100	100	63	12
Public Works, Roads & Transport	95.69	657.60	51.68	294.85	51.68	294.85	100	100	54	45
Trade, Industrialization, Innovation, Tourism &Wildlife	64.66	334.58	27.94	10.69	27.94	10.69	100	100	43	3
Water, Energy, Natural Resources & Environment	178.63	472.95	105.95	330.62	105.95	330.62	100	100	59	70
Land, Housing & Physical Planning	148.46	89.81	87.93	18.16	87.93	18.16	100	100	59	20
Information, Communication & E-Government, Youth Affairs, Gender & Sports	80.14	102.50	43.15	7.97	43.15	7.97	100	100	54	8
Sub-Total Recurrent	**6,506.27**	**3,528.69**	**3,571.21**	**1,091.42**	**3,571.21**	**1,091.42**	**100**	**100**	**55**	**31**

Source: *Kericho County Treasury*

Analysis of expenditure by departments shows that the Department of Water recorded the highest absorption rate of development budget at 69 per cent, followed by the Department of Public Works, Roads and Transport at 44 per cent. The Department of Education had the highest percentage of recurrent expenditure to budget at 63 per cent, while the Department of County Public Service Board had the lowest at 28 per cent.

3.12.17 Budget Execution by Programmes and Sub-Programmes

Budget execution was concentrated within selected performance bands, with the County reporting varying levels of programme absorption. Under development expenditure, programmes in the 1–10 per cent absorption band included Public Service and Administration, which recorded 1 per cent, and Trade, Industrialization, Innovation, Tourism and Wildlife, which recorded 8 per cent absorption. In the 11–20 per cent absorption band, Education, Libraries, Culture and Social Services recorded 12 per cent, while Health Services reported 17 per cent absorption.

Within the 31–40 per cent absorption band, under recurrent expenditure, the Office of the Governor and

Deputy Governor recorded 33 per cent absorption, Education, Libraries, Culture and Social Services recorded 37 per cent, while both the County Assembly and Agriculture, Livestock and Cooperative Development recorded 38 per cent absorption.

In the 41–50 per cent absorption band, under recurrent expenditure, Water, Energy, Natural Resources and Environment recorded 41 per cent absorption. Under development expenditure, Public Works, Roads and Transport recorded 44 per cent, Information, Communication and e-Government, Youth Affairs, Gender and Sports recorded 46 per cent, Finance and Economic Planning recorded 46 per cent, and Health Services recorded 49 per cent absorption.

In the 71–80 per cent absorption band, under development expenditure, Water, Energy, Natural Resources and Environment recorded 70 per cent absorption, while both the County Assembly and the County Public Service Board recorded 72 per cent absorption.

The relatively high absorption levels reported by these programmes were mainly attributed to the timely processing of exchequer releases and prompt payment for goods and services.

Table 3.181 summarises budget execution by programmes and sub-programmes in the period under review with the highest absorption rates.

Table 3.181: Budget Execution by Programmes and Sub-Programmes with Highest Absorption Rates

Vote/Department	FY 2025/26 Approved Budget	Total Exchequer Release to date	Balance of Exchequer Releases to Approved Budget	% Total Exchequer Releases to the Approved Budget
Development				
County Assembly	105,170,894	75,280,280	29,890,614	72
Water, Energy, Natural Resources & Environment	472,953,143	330,617,248.77	142,335,894.23	70
Public Works, Roads & Transport	657,595,218	294,849,952.98	362,745,265.02	44
Agriculture, Livestock & Cooperative Development	555,148,935	216,199,875	338,949,060	39
Finance & Economic Planning	118,070,125	24,544,321	93,525,804	21
Recurrent				
County Public Service Board	61,343,700	17,262,719	44,080,981	72
Trade, Industrialisation, Innovation, Tourism &Wildlife	64,659,088	27,940,724	36,718,364	57
Health Services	3,202,165,506	1,634,087,097	1,568,078,409	49
Finance & Economic Planning	364,650,022	195,369,668	169,280,354	46
Information, Communication & E-Government, Youth Affairs, Gender & Sports	80,140,719	43,149,936	36,990,783	46

Source: *Kericho County Treasury*

The development sub-programmes with the highest budget implementation rates were: the Department of County Assembly at 71.58 per cent, the Department of Water, Energy, Environment, and Natural Resources at 69.9 per cent, and Public Works, Roads and Transport at 44.84 per cent.

For recurrent sub-programmes, the top performers included: the Department of County Public Service Board at 71.8 per cent, the Department of Trade, Industrialisation, Innovation, Tourism, and Wildlife at 57 per cent, and the Department of Health Services at 49 per cent.

The higher performance of these programmes can be attributed to the timely processing and payment of goods and services.

Table 3.182 summarises the budget execution by programmes and sub-programmes in the period under review that had the lowest absorption rates.

Table 3.182: Budget Execution by Programmes and Sub-Programmes with Lowest Absorption Rates

Vote/Department	FY 2025/26 Approved Budget	Total Exchequer Release to date	Balance of Exchequer Releases to Approved Budget	% Total Exchequer Releases to the Approved Budget
Recurrent				
Office of The Governor & Deputy Governor	147,329,508	98,907,392	48,422,116	**33**
Education, Libraries, Culture & Social Services	671,973,198	426,213,007	245,760,191	**37**
Agriculture, Livestock & Cooperative Development	168,124,734	104,398,487	63,726,247	**38**
County Assembly	811,439,307	501,173,759	310,265,548	**38**
Water, Energy, Natural Resources & Environment	178,633,093	105,949,956	72,683,137	**41**

Development	FY 2025/26 Approved Budget	Total Exchequer Release to date	Balance of Exchequer Releases to Approved Budget	% Total Exchequer Releases to the Approved Budget
Development				
Public Service & Administration	388,450,340	5,216,045	383,234,295	1
Trade, Industrialisation, Innovation, Tourism &Wildlife	334,575,084	10,687,985	323,887,099	3
Information, Communication & E-Government, Youth Affairs, Gender & Sports	102,500,000	7,969,200	94,530,800	8
Education, Libraries, Culture & Social Services	282,062,277	34,367,839	247,694,438	12
Health Services	422,360,154	73,526,782	348,833,372	17

Source: *Kericho County Treasury*

3.12.18 Settlement of Trade Payables

As of 1st July 2025, the County reported trade payables totalling Kshs.2.04 billion. This amount consisted of Kshs.2.03 billion from the County Executive and Kshs.13.2 million from the County Assembly. The trade payables from the County Executive comprised Kshs.661.29 million for recurrent expenditure and Kshs.1.38 billion for development expenditure.

During the reporting period, the County Executive settled trade payables amounting to Kshs.708.37 million, comprising Kshs.117.5 million (17 per cent) for recurrent programmes and Kshs.590.87 million (83 per cent) for development programmes. On the other hand, the County Assembly did not settle any trade payable activities. The outstanding trade payables as of 31st March 2026 were Kshs.1.03 billion comprising Kshs.1.02 billion for the County Executive, and Kshs. 13.26 million for the County Assembly. Table 3.183 provides additional details of trade payables.

Table 3.183: Kericho County Trade Payables as of 31st March 2026

		County Entity	Development (Kshs.)	Recurrent (Kshs.)	Total (Kshs.)
As at 1 July 2025 (End of FY 2024/25)	a	County Executive	1,367,004,160	661,291,275	2,028,295,435
		County Assembly	13,206,900	-	13,206,900
		Total	1,380,211,060	661,291,275	2,041,502,335
Trade payables scheduled to be settled in the first nine months of FY 2025/26 per the action plan	b	County Executive	590,869,038	117,503,539.22	708,372,577
		County Assembly	13,206,900	-	-
		Total	**590,869,038**	**117,503,539.22**	**708,372,577**
Amount paid in the first nine months of FY 2025/26	c	County Executive	590,869,038	117,503,539.22	708,372,577
		County Assembly	13,206,900	-	-
		Total	**590,869,038**	**117,503,539.22**	**708,372,577**
Trade Payables Incurred in the First Nine Months of FY 2025/26	d	County Executive	952,332,963	690,783,563	1,643,116,526
		County Assembly	13,206,900	-	13,206,900
		Total	965,539,863	690,783,563	1,656,323,426
Outstanding trade payables as of 31st March 2026	**e=a-c*b**	**County Executive**	**776,135,122**	**247,833,764.83**	**1,023,968,887**
		County Assembly	**13,206,900**		**13,206,900**
		Total	**789,342,022**	**247,833,764.83**	**1,037,175,787**

Source: *Kericho County Treasury*

The County Executive and the Assembly submitted a trade payables payment plan, committing to pay Kshs.1 billion and Kshs.10 million on recurrent and development expenditure, respectively, in FY 2025/26. The County did not adhere to this payment plan, as it cleared Kshs.414.67 million for the Executive and nil million for the Assembly.

Table 3.184 and Table 3.185 present the ageing of the total outstanding bills as of 31st March 2026 for the County Executive and Assembly, which were Kshs.13 million.

Table 3.184: Kericho County Executive Trade Payables Ageing Analysis as of 31st March 2026

Category	Ageing analysis (Amount in Kshs.)				Total
	Under one year	1-2 years	2-3 years	Over 3 years	
Development Trade payables	-	722,734,552.92	-	-	722,734,552.92
Recurrent Trade payables (Goods & Services)	-	159,582,311	72,867,237	-	232,449,548
Recurrent Trade payables (Salary Arrears and Statutory Deductions)	29,492,288	-	-	-	29,492,288
Recurrent Trade payables (Staff Claims)	-	39,292,498	-	-	39,292,498
Total Recurrent Trade payables	**29,492,288**	**198,874,809**	**72,867,237.12**	**-**	**301,234,334**
Total Trade payables		921,609,362	72,867,237.12	-	1,023,968,887
% of Total	**0**	**90**	**7.12**	**0**	**100**

Source: *Kericho County Treasury*

Table 3.185: Kericho County Assembly Trade Payables Ageing Analysis as of 31st March 2026

Category	Ageing analysis (Amount in Kshs.)				Total
	Under one year	1-2 years	2-3 years	Over 3 years	
Development Trade Payables	13,206,900	-	-	-	**13,206,900**
Recurrent Trade Payables (Goods & Services)	-	-	-	-	-
Recurrent Trade Payables (Salary Arrears and Statutory Deductions)	-	-	-	-	-
Recurrent Trade Payables (Staff Claims)					-
Total Recurrent Trade Payables	-	-	-	-	-
Total Trade Payables	-	-	-	-	**13,206,900**
% of Total	%	%	%	%	**100%**

Source: *Kericho County Treasury*

As shown in Table 3.184 and Table 3.185, the total salary arrears and statutory deductions for trade payables amounted to Kshs 29.49Mn, which represented 0.7 per cent of the total trade payables of Kshs 1.04Bn as of March 31, 2026. The statutory deductions included salary. Implementation of the Equalisation Fund by Kericho County. During the review period, the County did not receive support towards the Equalization funds.

3.12.19 General Observations and Recommendations

In the course of overseeing and reporting on the implementation of the Kericho County budget, the CoB identified the following challenges, which hampered effective budget implementation;

i. The County Treasury's late submission of financial reports to the Controller of Budget affected the timely preparation of the budget implementation report, which was received on 8th May 2026.
ii. The underperformance of own-source revenue at Kshs.322 million against an annual target of Kshs.870 million, representing 32 per cent of the financial year target.
iii. Low development performance in the review period as the County incurred Kshs.725.33 million on development activities, achieving a 21 per cent absorption rate.
iv. Unspent funds from FY 2024/25 were not refunded into the CRF account, resulting in actual expenditures exceeding the approved exchequer in several departments, as shown in Table 3.12.
v. Regulation 197(1)(i) of the Public Finance Management (County Governments) Regulations, 2015, limits the lifespan of public funds to 10 years unless extended by the County Assembly. As of 31st March 2026, the lifespan of the Kericho County Staff Loan Fund, Kericho County Emergency Fund, Mortgage Staff Fund, and the Kericho County Climate Change Fund had lapsed, making them ineligible for further withdrawals.
vi. Fund Administrators failed to submit quarterly financial and non-financial reports to the CoB within the timelines provided by law, which is against the requirement of Section 168 of the PFM Act, 2012. The reports for the Kericho County Fund, Kericho County Climate Change Fund, and Mortgage Staff Fund were not submitted to the CoB as of 15 April 2026.
vii. High level of trade payables, which amounted to Kshs.1.03 billion as of 31st March 2026. Furthermore, the County Treasury did not adhere to the trade payables payment plan.
viii. Use of manual payroll. Personnel emoluments amounting to Kshs.128.5 million for 7 staff not onboarded into HRIS, and 126 casual staff were processed through manual payroll, accounting for 7 per cent of the total payroll cost. Manual payroll is prone to abuse and may result in the loss of public funds.
ix. Non-submission of copies of authorisation letters for opening commercial bank accounts as per Regulation 82(5) of the Public Finance Management (County Governments) Regulations, 2015.

The County should implement the following recommendations to improve budget execution:

i. *The County Treasury should ensure the timely preparation and submission of financial reports to the Controller of Budget per the timelines prescribed in Section 166 of the PFM Act, 2012.*

ii. *The County should address its own-source revenue performance to ensure the approved budget is fully financed. Appropriate austerity measures should be implemented to ensure expenditure commitments are aligned with available revenue.*
iii. *The County should implement strategies to increase development expenditures in FY 2025/26.*
iv. *The County Treasury should ensure unspent funds from the previous financial year are deposited into the CRF Account in line with Section 136 of the PFM Act 2012.*
v. *The County should ensure timely review and extension of public funds whose lifespans are nearing expiration or have lapsed to prevent operational disruptions. Additionally, any expenditure from lapsed funds should cease immediately, and legal mechanisms should be followed to re-establish or wind up such funds in compliance with the Public Finance Management Act.*
vi. *The CECMF should follow up to ensure Fund Administrators prepare and submit statutory reports in line with the PFM Act, 2012.*
vii. *The County Leadership should address the situation of trade payables to ensure that genuine bills are paid promptly in the remaining financial year. Further, compliance with the Trade Payables Action Plan should be enforced.*
viii. *The Government requires that salaries be processed through the HRIS system, and the County is advised to fast-track the acquisition of Unified Personnel Numbers for their staff. The County Public Service Board should regulate staff engagement on contract and casual workers as provided under Section 74 of the County Governments Act 2012. Furthermore, strict adherence to the approved staff establishment should be maintained.*
ix. *The County Treasury should ensure it submits copies of authorisation letters to the CoB for opening commercial bank accounts to enhance accountability and oversight.*

3.13. County Government of Kiambu

3.13.1 Overview of FY 2025/26 Budget

The Kiambu County Approved Supplementary Budget for FY 2025/26 is Kshs.26.83 billion. It comprises Kshs.10.31 billion (38 per cent) and Kshs.16.52 billion (62 per cent) allocation for development and recurrent programmes, respectively. The budget estimates represent an increase of Kshs.3.35 billion (14 per cent) from the FY 2024/25 budget, which comprised a development budget of Kshs.7.96 billion and a recurrent budget of Kshs.15.52 billion. The increase in the budget was primarily attributed to increases in conditional grant allocations, the equitable share, and own-source revenue collection.

The budget is to be financed from various revenue sources. These include: the equitable share of revenue raised nationally of Kshs.13.07 billion (49 per cent), additional allocations of Kshs.3.14 billion (12 per cent), a cash balance of Kshs.682.09 million (2 per cent) brought forward from FY 2024/25, and Kshs.9.93 billion (37 per cent) generated as own-source revenue. A breakdown of the additional allocations is shown in Table 3.186

3.13.2 Revenue Performance

During the first nine months of FY 2025/26, the County reported total revenues of Kshs.15.09 billion. This amount represented an increase of 30 per cent compared to the amount received in a similar period in FY 2024/25 of Kshs.11.65 billion. The total revenue consisted of Kshs.8.69 billion from the equitable share of revenue raised nationally, additional allocations from the national government and development partners of Kshs.1.94 billion, and the own-source revenue (OSR) collection of Kshs.3.90 billion. Additionally, the County had a cash balance of Kshs.556.70 million from FY 2024/25. The total OSR collection of Kshs.3.90 billion included Facilities Improvement Financing (FIF) of Kshs.1.41 billion, and Kshs.2.49 billion from other OSR sources. Table 3.186 summarises the total revenue available to the County Government during FY 2025/26.

Table 3.186: Kiambu County, Revenue Performance in the first nine months of FY 2025/26

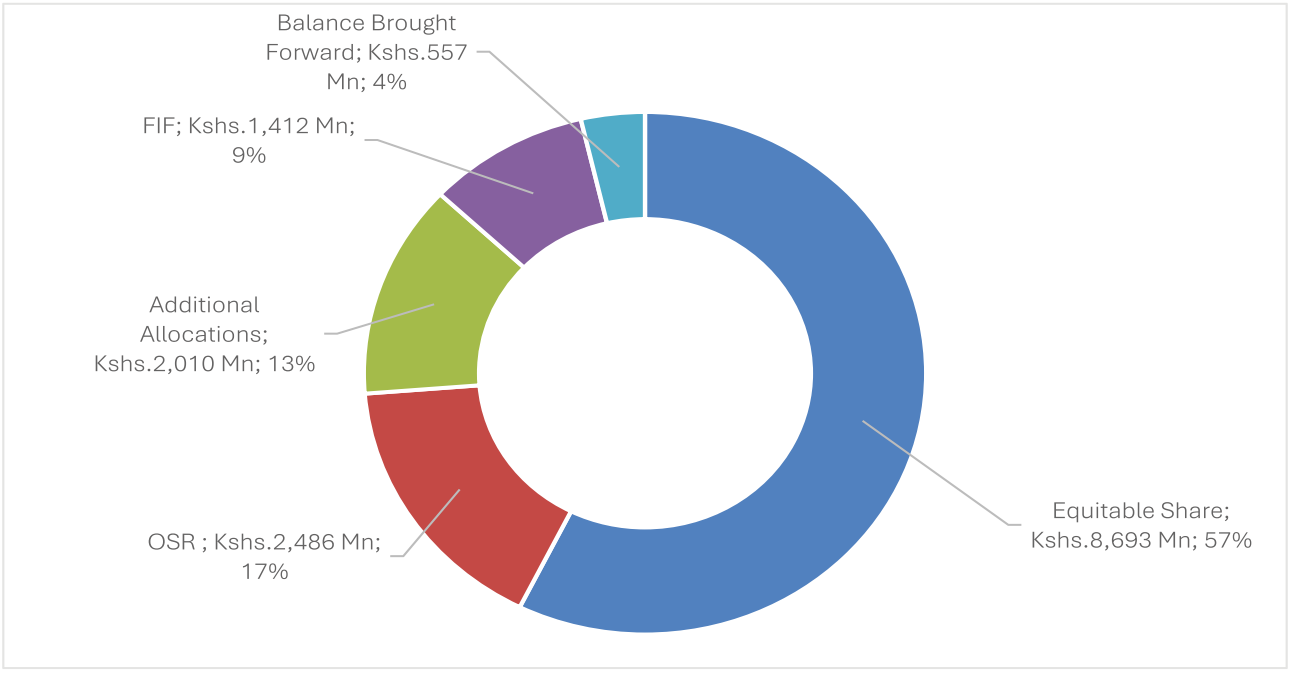
Revenue Stream	Annual Targeted Revenue (Kshs.)	Actual Receipts (Kshs.)	Receivables in the First Nine Months of FY 2025/26 (Kshs.)	Total Revenues (in accrual basis) in the First Nine Months of FY 2025/26 (Kshs.)	Variance (Kshs.)
	A	B	C	D=B+C	E=A-D
Unspent Balance from FY 2024/25					
Balance at CRF	682,091,928	556,697,817	-	556,697,817	125,394,111
Sub-Total	**682,091,928**	**556,697,817**	**-**	**556,697,817**	125,394,111
Equitable Share of Revenue Raised Nationally					
Equitable Share	13,071,817,986	8,692,758,960	1,045,745,439	9,738,504,399	3,333,313,587
Sub-Total	**13,071,817,986**	**8,692,758,960**	**1,045,745,439**	**9,738,504,399**	**3,333,313,587**
Additional Allocations (Including Grants)					
Unconditional Additional allocations from Court Fines	4,105,101	-	-	-	4,105,101
Unconditional Additional allocations from Mineral Royalties	10,139,863	10,139,863	-	10,139,863	-
Conditional Grant for Road Maintenance Fuel Levy Fund	418,101,234	-	-	-	418,101,234
Conditional Grant for Industrial Park & Aggregation Centres Grant	133,368,422	133,368,421	-	133,368,421	1
Conditional Grant for Community Health Promoters (CHPs)	94,680,000	-	--	-	94,680,000
Basic Salary Arrears for County Government Health workers	119,957,202	-	-	-	119,957,202
IFAD- Aquaculture business development project ABDP	-	-	-	-	-
IDA (World Bank) Financing Locally-Led Climate Action Program-County climate institutional support (FLLoCA-CCIS) Grant	11,000,000	11,000,000	-	11,000,000	-
IDA (World bank) Financing Locally-Led Climate Action Program-County climate Resilient Investment (FLLoCA-CCRI) Grant	125,000,000	-	-	-	125,000,000
IDA (World Bank) Second Kenya Devolution Support Program- Institutional Grant (Level 1 Grant) (KDSP)	37,500,000	-	-	-	37,500,000
IDA (World Bank) Second Kenya Devolution Support Program- Service Delivery & Investment grant (Level 2 Grant) (KDSP)	352,500,000	-	70,503,589	70,503,589	281,996,411
IDA (World Bank) credit - Kenya Urban Support Project (KUSP)-Urban institutional Grant (UIG)	35,000,000	-	-	-	35,000,000
IDA (World Bank) Second Kenya Urban Support Project (KUSP)-Urban Development Grant (UDG)	1,331,482,863	1,605,249,643	-	1,605,249,643	- 273,766,780
IDA (World Bank) National Agricultural Value Chain Development Project (NAVCDP)	231,250,000	179,448,674	-	179,448,674	51,801,326
DANIDA - Primary Health Care in Devolved Context (PHDC)	21,232,500	-	-	-	21,232,500
World Bank credit: Kenya Informal Settlement Improvement Project (KISIP II)	200,000,000	-	-	-	200,000,000

Revenue Stream	Annual Targeted Revenue (Kshs.)	Actual Receipts (Kshs.)	Receivables in the First Nine Months of FY 2025/26 (Kshs.)	Total Revenues (in accrual basis) in the First Nine Months of FY 2025/26 (Kshs.)	Variance (Kshs.)
	A	B	C	D=B+C	E=A-D
Sweden- Kenya Agricultural Business Development Project (KABDP)	15,882,359	-	-	-	15,882,359
0.5% Housing Levy Fund to the County Rural and Urban Affordable Housing committees	1,987,622	-	-	-	1,987,622
Sub-Total	**3,143,187,166**	**1,939,206,601**	**70,503,589**	**2,009,710,190**	**1,133,476,976**
Ordinary Own Source Revenue (OSR)					
Ordinary Own Source Revenue (OSR)	7,322,372,862	2,486,443,943		2,486,443,943	4,835,928,919
Sub-Total	**7,322,372,862**	**2,486,443,943**	**-**	2,486,443,943	**4,835,928,919**
Facility Improvement Fund/Financing (FIF)					
Hospital Collections (FIF)	1,300,000,000	445,609,178	-	445,609,178	854,390,822
NHIF/SHA Rebates	800,000,000	754,941,883	-	754,941,883	45,058,117
Public Health	511,849,818	211,066,950	-	211,066,950	300,782,868
Sub-Total	**2,611,849,818**	**1,411,618,011**	**-**	**1,411,618,011**	**1,200,231,807**
Grand Total	**26,831,319,760**	**15,086,725,332**	**1,116,249,028**	**16,202,974,360**	**10,628,345,400**

Source: *Kiambu County Treasury*

The County has governing legislation for the operation of ordinary A-I-A and FIF, namely the Kiambu County Health Services Act of 2019. Figure 3.73 provides a detailed breakdown of receipts.

Figure 3.73: Kiambu County Composition of Revenue in the first nine months of FY 2025/26

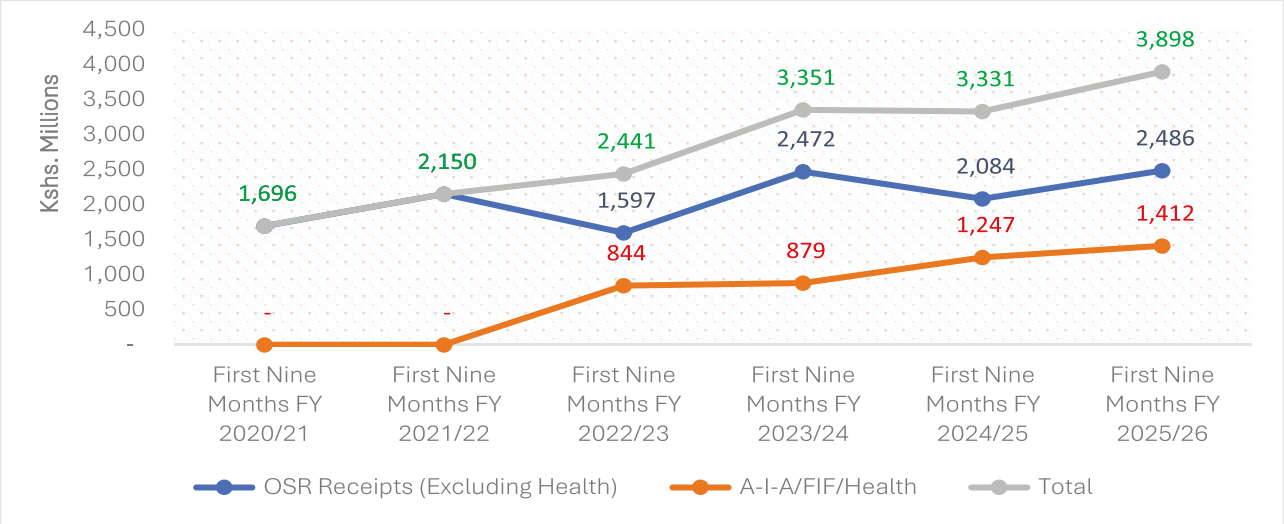


Source: *Kiambu County Treasury*

The Equitable Share, OSR, and FIF contributed 57 per cent, 17 per cent and 9 per cent, respectively, of the total receipts for the reporting period.

Figure 3.74 shows the collection trend in own-source revenue from the first nine months of FY 2020/21 to the first nine months of FY 2025/26.

Figure 3.74: Kiambu County Trend in Own-Source Revenue Collection from the first nine months of FY 2020/21 to the first nine months of FY 2025/26

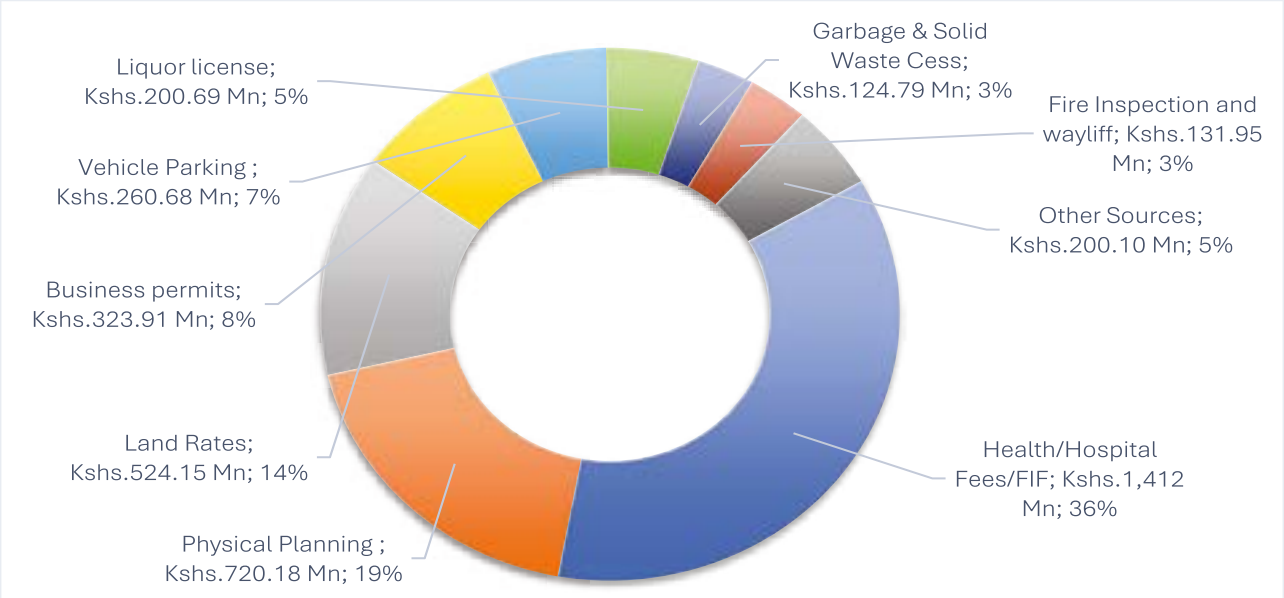


Source: *Kiambu County Treasury*

During the first nine months of FY 2025/26, the County received Kshs.3.90 billion from OSR, including FIF. This amount was an increase of 17 per cent compared to Kshs.3.33 billion realised in a similar period in FY 2024/25, and was 39 per cent of the annual target and 45 per cent of the equitable revenue share disbursed.

The increase in OSR was attributed to the implementation of Huduma Mashinani initiatives; bringing government services closer to the people, upgrading medical services by equipping and modernising hospitals, and enhancing the revenue module in the ERP system, among others. The revenue streams that contributed the most to OSR receipts are shown in Figure 3.75

Figure 3.75: Kiambu County Top Own Source Revenue Streams in the first nine months of FY 2025/26



Source: Kiambu County Treasury

As shown in Figure 3.75, the largest revenue stream, at Kshs.1.41 billion, was FIF, accounting for 36 per cent of total OSR receipts. The County Government indicated that it has automated all revenue streams. The system utilised for FIF revenue collection is the Kiambu ERP system, which has been in use since 2023.

3.13.3 Revenue Receivables

As of 1st July 2025, the County reported revenue receivable of Kshs.5.66 billion, which decreased to

Kshs.5.53 billion as of 31st March 2026. The County manages its revenue receivables using the automated system, with a cash or accrual basis option. Table 3.187 presents a breakdown of the County's revenue receivable.

Table 3.187: Kiambu County Revenue Receivables as of 31st March 2026

No	Revenue Stream	Revenue Receivables as of 1 July 2025 (Kshs.)	Waivers (Kshs)	Progress made in First Nine Months of FY 2025/26		OSR Receivables as of 31st March 2026 (Kshs.)
				Receivables paid in the financial year (Kshs)	Receivables earned in First Nine Months of FY 2025/26 (Kshs)	
		a	b	c	d	f=a-b-c+d
A	**Ordinary Own Sources of Revenue**					
	Land rates	**4,996,424,682**	**2,514,540**	**131,481,422**	-	**4,867,457,800**
	Property rent	**183,772,924**	**-**	-	-	**183,772,924**
	SBP	-	1,008,570	-	-	**1,008,570**
	Sub-Total	**5,180,197,606**	**3,523,110**	**131,481,422**	**-**	**5,052,239,294**
B	**Facility Improvement Fund (FIF)**					**-**
	SHIF	474,858,767	-	-	-	**474,858,767**
	Sub-Total	**474,858,767**	**-**	**-**	**-**	**474,858,767**
	Grand Total	**5,655,056,373**	**3,523,110**	**131,481,422**	**-**	**5,527,098,061**

Source: *Kiambu County Treasury*

As of 31st March 2026, the revenue receivables totalled to Kshs.5.53 billion, comprising Kshs.4.87 billion (88 per cent) for Land Rates, Kshs.474.86 billion (9 per cent) owed by the SHIF and Kshs.183.77 million (3 per cent) in Property Rent. The measures instituted by the County to collect the outstanding receivables in FY 2025/26 include: regular revenue collection meetings to monitor collections, completion of the physical planning module and operationalisation of the Kiambu County Revenue Authority (KCRA).

3.13.4 Borrowing by the County

The County did not report on any borrowing during the review period.

3.13.5 Withdrawals from the County Revenue Fund and County Assembly Fund

During the reporting period, the Controller of Budget approved exchequer withdrawal requests totalling Kshs.11.46 billion from the Kiambu County Revenue Fund (CRF) account. This amount consisted of Kshs.2.11 billion (18 per cent) designated for development programs and Kshs.9.36 billion (82 per cent) allocated for recurrent programs.

An analysis of the released recurrent exchequers shows that Kshs.5.71 billion was allocated to employee compensation and Kshs.3.65 billion to operations and maintenance expenditures. Within the operations and maintenance category, 6 per cent was for domestic travel and 1 per cent for foreign travel. The domestic travel exchequers totalled Kshs.215.56 million, which included Kshs.44.70 million for the County Executive and Kshs.170.86 million for the County Assembly. Meanwhile, the foreign travel exchequers amounted to Kshs.37.45 million, all of which were incurred by the County Assembly. Further, the County had not operationalised the County Assembly Fund as of 31st March 2026.

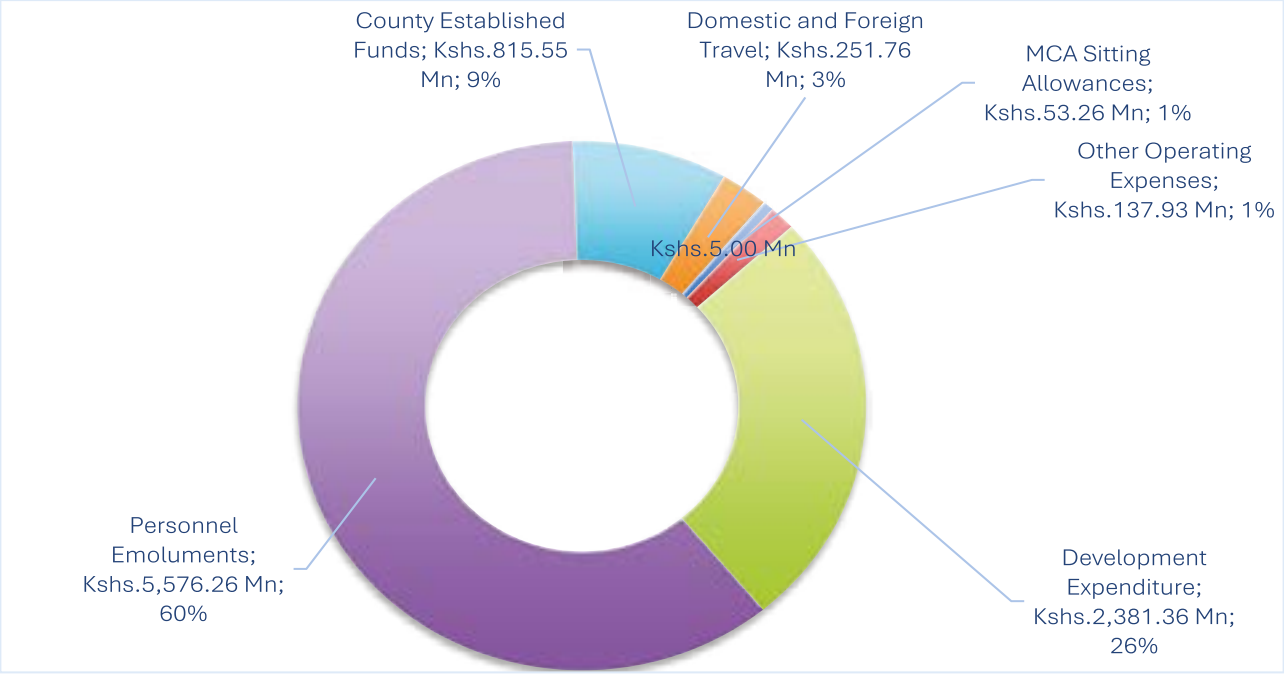
As of 31st March 2026, the County Government's cash balance in the Kiambu CRF account was Kshs.403.20 million.

3.13.6 Expenditure Review

The County spent Kshs.11.04 billion on development and recurrent programmes during the reporting period. The expenditure represented 96 per cent of the total funds released by the CoB. It comprised Kshs.2.38

billion for development programmes and Kshs.8.66 billion for recurrent programmes. Expenditure on development programmes accounted for 31 per cent of the annual development expenditure budget, while recurrent expenditure accounted for 57 per cent of the annual recurrent expenditure budget. Figure 3.76 provides a detailed breakdown of total expenditure.

Figure 3.76: Kiambu County Composition of Expenditure in the first nine months of FY 2025/26



Source: *Kiambu County Treasury*

As shown in Figure 3.76, the three highest expenditure categories were Personnel Emoluments, Development Expenditure, and County Established Funds, contributing 60, 26 and 9 per cent of total expenditure for the reporting period.

3.13.7 Expenditure by Economic Classification

The County Executive incurred Kshs.5.20 billion in employee compensation, Kshs.2.74 billion in operations and maintenance, and Kshs.2.38 billion in development activities. Similarly, the County Assembly spent Kshs.381.09 million on employee compensation, Kshs.342.96 million on operations and maintenance, and nil on development activities, as shown in Table 3.188

Table 3.188: Kiambu County Summary of Budget and Expenditure by Economic Classification

Sector / Category	Budget (Kshs. Million)	Exchequer Issues (Kshs. Million)	Amount Paid in the First Nine Months of FY 2025/26 (Kshs. Million) (b)	Expenditure Accrued in the First Nine Months of FY 2025/26 (Kshs.Million) (c)	Total Expenditure in the First Nine Months of FY 2025/26 (Kshs.Million) (d=b+c)	Absorption (%) (d/a*100)
Total Recurrent	**16,517.87**	**9,357.28**	**8,656.12**	**830.38**	**9,486.49**	**57**
Compensation to Employees	9,667.92	5,706.88	5,576.26	150.43	5,726.68	59
Operations & Maintenance	6,849.95	3,650.40	3,079.86	679.95	3,759.81	55
Total Development	**10,313.45**	**2,107.11**	**2,381.36**	**785.26**	**3,166.61**	**31**
Grand Total	**26,831.32**	**11,464.38**	**11,037.47**	**1,615.63**	**12,653.11**	**47**

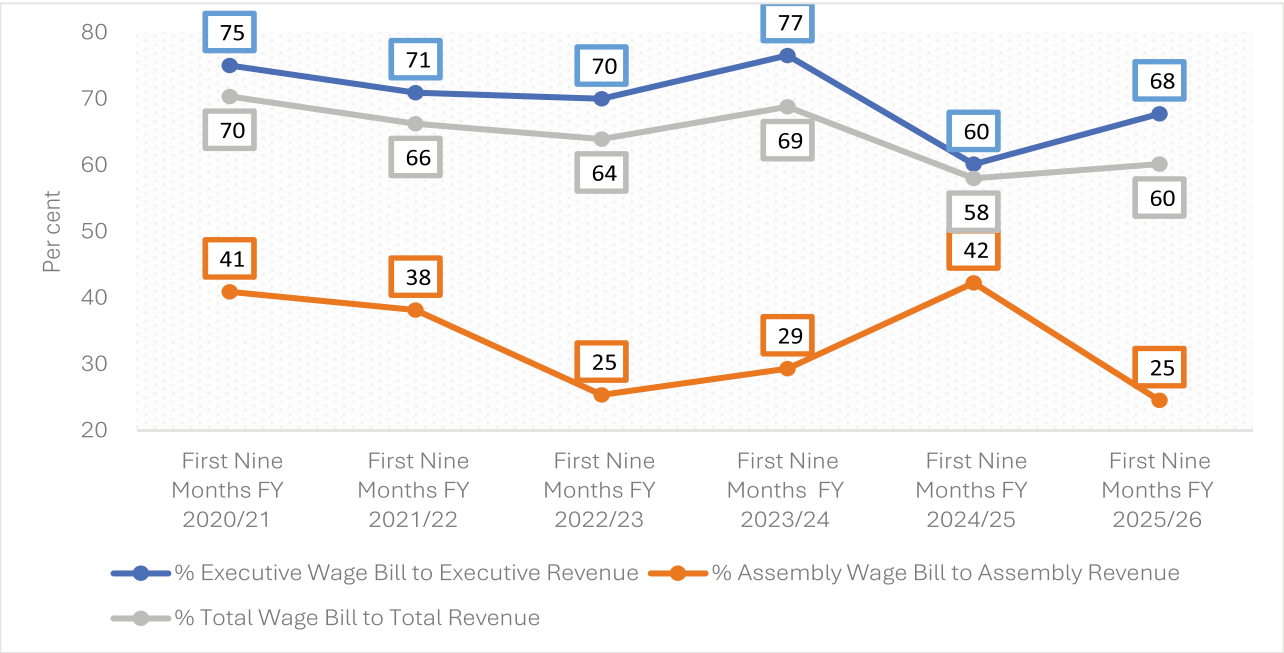
Source*: Kiambu County Treasury*

3.13.8 Expenditure on Employee Compensation

The expenditure on employee compensation totalled Kshs.5.58 billion, representing 37 per cent of revenue. This expenditure on employee compensation shows a decrease compared to the Kshs.6.38 billion reported in a similar period in FY 2024/25.

Figure 3.77 shows the trend in employee compensation as a percentage of total revenue from the first nine months of FY 2020/21 to the first nine months of FY 2025/26.

Figure 3.77: Percentage of Employee Compensation Expenditure to Total Revenue Received in the first nine months of FY 2020/21 to the first nine months of FY 2025/26



Source: *Kiambu County Treasury*

Further analysis indicated that PE costs amounting to Kshs.5.47 billion were processed through the Human Resource Information System (HRIS). In contrast, Kshs.136.13 million was processed through manual payrolls, which accounted for 2 per cent of the total PE cost. The manual payroll costs relate to salaries for staff who had not been onboarded into the Human Resource Information System (HRIS), salaries for 4,220 casual staff, and top-up allowances for security personnel, as shown in Table 3.189 .

Table 3.189: Breakdown of Kiambu County Manual Payroll

Category	County Executive	County Assembly	Total
Salaries for staff yet to be onboarded into UHR	67,020,547	-	67,020,547
Salaries for 4,220 casual staff	55,731,341	-	55,731,341
Top-up Allowances for 346 security officers	13,375,694	-	13,375,694
Total	**136,127,582**	**-**	**136,127,582**

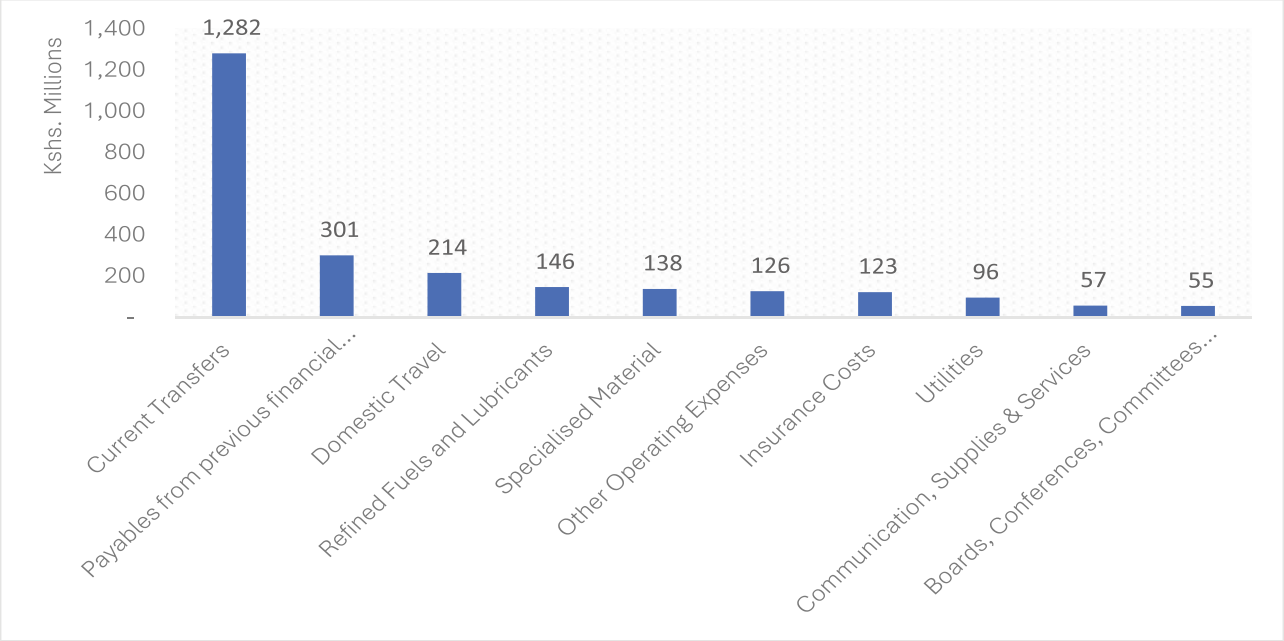
Source: *Kiambu County Treasury*

The County Assembly spent Kshs.53.26 million on committee sitting allowances for the 89 MCAs against the annual budget allocation of Kshs.75 million. The average monthly sitting allowance was Kshs.66,487 per MCA. The County Assembly has 23 House committees.

3.13.9 Expenditure on Operations and Maintenance

During the reporting period, the County spent Kshs.3.08 billion on operations and maintenance, representing an increase of 49 per cent compared to a similar period in FY 2024/25, when the County spent Kshs.2.07 billion. Figure 3.78 illustrates the distribution of operations and maintenance expenditures across the major spending categories.

Figure 3.78: Kiambu County, Operations and Maintenance Expenditure by Major Categories



Source: *Kiambu County Treasury*

3.13.10 Unbundling "Other Operating Expenses - Other" (IFMIS Code 2211399) Under Operations and Maintenance Expenditures

The budget performance report for the first nine months of FY 2025/26 indicates that the County spent Kshs.50.72 million on "other operating expenses - other," which was 1 per cent of the total operations and maintenance expenditure of Kshs.3.76 billion. This category of expenditure includes Kshs.50.72 million for ''other operating expenses-others''. The disaggregated items under the "Other Operating Expenses - Other" category are shown in Table 3.190 .

Table 3.190: Breakdown of "Other Operating Expenses" under O&M Expenditures

Code	Item	Budget (Kshs)	Expenditure (Kshs.)
2211399	Other Operating Expenses-Others	165,612,188	50,720,301
Total		**165,612,188**	**50,720,301**

Source: *Kiambu County Treasury*

A review of the expense listed in the table reveals that the expenditure item Other Operating Expenses - Other was recorded with vague or generic descriptions, making it difficult to determine its nature and map it to the correct budget codes.

3.13.11 County-Established Funds

Section 116 of the PFM Act 2012 allows County Governments to establish other public funds, subject to approval from the County Executive Committee and the County Assembly. The County allocated Kshs.2.45 billion to County-Established funds in FY 2025/26, representing 9 per cent of the County's overall budget. Of this amount, the County allocated Kshs.50 million to the Emergency Fund in line with Section 110 of the PFM Act, 2012, accounting for less than one per cent of the total budget. Table 3.191 summarises each Established Fund's budget allocation and performance during the reporting period.

Table 3.191: Performance of Kiambu County Established Funds in the first nine months of FY 2025/26

Name of the Fund	Date Established	Approved Budget Allocation in FY 2025/26 (Kshs. Million)	Exchequer Issues in First Nine Months of FY 2025/26 (Kshs.Million)	Actual disbursements in the First Nine Months of FY 2025/26 (Kshs. Million)	Submission of Financial Statements (Yes/No.)
County Executive Established Funds					
Kiambu County Facility Improvement Fund	19th February, 2019	1,300.00		984.16	Yes
Kiambu County Bursary Fund	19th May 2014	200.00	-	95.58	Yes
Kiambu County Emergency Fund	20th December, 2013	50.00	-	4.84	Yes
Climate Change Fund	02nd November, 2021	516.87		30.15	Yes
Kiambu County Jiinue Fund	19th October 2021	-	-	-	Yes
Kiambu County Alcoholic Drinks Control Fund	09th March, 2018	380.00	-	191.87	Yes
Kiambu County Executive Staff Mortgage Scheme Fund	04th February, 2016	-	-	25.53	Yes
County Assembly Established Funds					
Kiambu County Assembly Staff Mortgage Scheme Fund	31st December, 2018	-	-	-	Yes
Kiambu County Assembly Car Loan & Mortgage Scheme Fund	14th May 2014	-	-	-	Yes
Total		**2,446.87**	-	**1,332.12**	-

Source: *Kiambu County Treasury*

During the reporting period, the CoB received quarterly financial reports from all the Fund Administrators, as indicated in Table 3.191 in line with Section 168 of the PFM Act, 2012.

Regulation 197(1)(i) of the Public Finance Management (County Governments) Regulations, 2015, allows County Governments to establish public funds with a lifespan capped at 10 years unless extended by the County Assembly. In FY 2025/26, the CoB established that the lifespan of the Kisumu Bursary Fund, the Kiambu County Assembly Car Loan & Mortgage Scheme Fund and the Kiambu County Executive Car Loan & Mortgage Scheme Fund had lapsed. Consequently, the CoB did not approve any withdrawal requests to support the operations of the lapsed funds.

3.13.12 County Corporations

The County has eight County Corporations, six of which were allocated Kshs.55 million in FY 2025/26. Their total disbursements for the review period amounted to Kshs.5 million, as shown in Table 3.192.

Table 3.192: Performance of Kiambu County Corporations in the first nine months of FY 2025/26

S/No.	Name of the Corporation	Approved Budget Allocation in FY 2025/26 (Kshs.)	Exchequer Issues (Kshs.)	Actual Transfers in FY 2025/26 (Kshs.)	Cumulative Transfers since its inception (Kshs.)
Development Expenditure					
	Cumulative Total for Previous Financial Years				**80,454,739**
1	Ruiru Juja Water and Sewerage Company (RUJWASCO)	15,000,000	-	-	-

S/No.	Name of the Corporation	Approved Budget Allocation in FY 2025/26 (Kshs.)	Exchequer Issues (Kshs.)	Actual Transfers in FY 2025/26 (Kshs.)	Cumulative Transfers since its inception (Kshs.)
2	Thika Water and Sewerage Company (Thiwasco)	15,000,000	-	-	-
3	Githunguri Water and Sanitation Company	5,000,000	5,000,000	5,000,000	5,000,000
	Subtotal	**35,000,000**	**5,000,000**	**5,000,000**	**5,000,000**
	Total Dev	**-**	**-**	**-**	**85,454,739**
Recurrent Expenditure					
	Cumulative Total for Previous Financial Years				**14,175,140**
1	Githunguri Water and Sanitation Company	5,000,000	-	-	-
2	Limuru Water & Sewerage Company	5,000,000	-	-	-
3	Karuri Water and Sanitation Company	5,000,000	-	-	-
4	Kikuyu Water Company Limited	5,000,000	-	-	-
	Subtotal	**20,000,000**	-	-	-
	Total Recurrent	**-**	**-**	**-**	**14,175,140**
	Grand Total	**55,000,000**	**5,000,000**	**5,000,000**	**99,629,879**

Source: *Kiambu County Treasury*

3.13.13 Expenditure on Domestic and Foreign Travel

Expenditure on domestic travel amounted to Kshs.266.55 million and comprised Kshs.205.07 million spent by the County Assembly and Kshs.61.48 million by the County Executive. Expenditure on foreign travel amounted to Kshs.210.99 million, all of which was incurred by the County Assembly. Expenditure on foreign travel is summarised inTable 3.193.

Table 3.193: Summary of Expenditure on Foreign Travel in the first nine months of FY 2025/26

Arm of County Government	No. of Officers Travelled	Dates travelled	Purpose of the travel	Destination	Total Costs of the Travel (Kshs.)
County Assembly of Kiambu	7	17th - 23rd Aug 2025	Benchmarking Study Visit to East African Legislative Assembly	Tanzania	1,845,300
County Assembly of Kiambu	16	24th - 30th Aug 2025	Benchmarking Study Visit to East African Legislative Assembly	Tanzania	5,737,487
County Assembly of Kiambu	14	31st Aug - 6th Sept 2025	Benchmarking Study Visit to East African Legislative Assembly	Tanzania	5,184,953
County Assembly of Kiambu	1	4th - 10th August 2025	National Conference of State Legislatures Legislative Summit	Boston, Usa	626,250
County Assembly of Kiambu	12	27th July - 2nd August 2025	Benchmarking Study Visit to Kampala Capital City Authority	Uganda	5,015,630
County Assembly of Kiambu	1	18th - 24th August 2025	The People's Choice - Governor's Excellence Award 2025	France	567,574.80
County Assembly of Kiambu	14	19th -26th October 2025	Benchmarking Study Visit to East African Legislative Assembly	Tanzania	5,184,956
County Assembly of Kiambu	7	9th - 16th September 2025	Benchmarking Study Visit to East African Legislative Assembly	Tanzania	2,978,840
County Assembly of Kiambu	6	16th - 23rd November 2025	Benchmarking Study Visit to East African Legislative Assembly	Tanzania	2,222,124
County Assembly of Kiambu	9	02nd - 09th November 2025	Benchmarking Study Visit to East African Legislative Assembly	Tanzania	3,333,186

Arm of County Government	No. of Officers Travelled	Dates travelled	Purpose of the travel	Destination	Total Costs of the Travel (Kshs.)
County Assembly of Kiambu	12	30th November - 07th December 2025	Benchmarking Study Visit to East African Legislative Assembly	Tanzania	4,444,248
				TOTAL	**36,572,973**

Source: *Kiambu County Assembly*

3.13.14 Facility Improvement Financing

During the review period, the County reported collections of Kshs.1.41 billion as FIF, which was 54 per cent of the annual target of Kshs.2.61 billion. The collected amount was retained and utilised at source in line with the Facility Improvement Financing Act, 2023. The County has a governing legislation on the operation of FIF, known as the Kiambu County Health Services Act of 2019.

The expenditure by the health facilities amounted to Kshs.626.53 million, as shown in Table 3.194

Table 3.194: Kiambu County Health Facilities Expenditure Performance in the first nine months of FY 2025/26

No.	Health Facility	Number of Facilities	Approved Budget (Kshs.)	Actual Expenditure (Kshs.)	Absorption rate (%)
1.	Level 5 Hospital	3	1,258.17	426.93	34
2.	Level 4 Hospital	11	466.46	115.84	25
3.	Level 2 and 3 Hospitals	93	375.38	83.76	22
	Total	**107**	**2,100.00**	**626.53**	**30**

Source: *Kiambu County Treasury*

3.13.15 Development Expenditure

In the review period, the County reported spending Kshs.2.38 billion on development programmes, representing an increase of 31 per cent compared to FY 2024/25, when the County spent Kshs.1.82 billion. Table 3.195 summarises the development projects with the highest expenditure in the reporting period.

Table 3.195: Kiambu County, List of Development Projects with the Highest Expenditure

No	Sector	Project Name	Project Location	Project Commencement Date	Expected date of Completion of the Project	Contract sum (Kshs)	Total Funding in FY 2025/26 (Kshs.)	Expenditure (on an accrual basis) in the first nine months of FY 2025/26 (Kshs.)	Cumulative project expenditure (on an accrual basis) as of 31st March 2026 (Kshs.)	Percentage (%) of Completion
County Funded Projects										
1	Roads, Transport, Public Works & Utilities	Payables from previous financial years	All Wards	7/1/2024	30/6/2025	564,175,588	467,612,829	450,128,223	-	96
2	Health	Construction of Bibirioni level 4 hospital	Bibirioni	1/4/2025	12/1 /2027	224,603,050	150,000,000	222,342,197	222,342,197	90
3	Agriculture, Livestock and Cooperative Development	Procurement & distribution of certified seeds/ seedlings	County-wide	1st July 2025	30th June 2026	128,405,302	128,405,302	114,871,432	114,871,432	89
4	Sports	Rehabilitation of Thika Stadium Phase II	Township Ward	9/1/2024	multi year	165,669,432	65,000,000	75,156,219	82,689,237	70

No	Sector	Project Name	Project Location	Project Commencement Date	Expected date of Completion of the Project	Contract sum (Kshs)	Total Funding in FY 2025/26 (Kshs.)	Expenditure (on an accrual basis) in the first nine months of FY 2025/26 (Kshs.)	Cumulative project expenditure (on an accrual basis) as of 31st March 2026 (Kshs.)	Percentage (%) of Completion
5	Health	Construction Of Level 3 Health Facility at Mutonya Ruiru	Murera	3/1/2025	3/1/2027	62,200,587	50,000,000	42,244,908	42,244,908	30
6	Health	Added Inpatient Wing at Nge'nda Health Centre	Ng'enda	3/1/2025	3/1/2027	51,000,000	45,000,000	40,692,970	40,692,970	90
7	Agriculture, Livestock and Cooperative Development	Procurement of food crop fertilizer, and coffee fertilizer	County-wide	1st July 2025	30th June 2026	120,903,767	120,903,767	40,000,000	40,000,000	33
Donor Funded Projects										
8	Housing & Community Development	Kenya Informal Settlement Improvement Programme 2 (KISIP 2) Grant	All wards	2nd July 2025	31st June 2026	510,997,401	510,997,401	264,543,092	264,543,092	52
9	Agriculture, Livestock and Cooperative Development	NAVCDP	County-wide	1st July 2025	30th June 2026	337,553,899	337,553,899	101,303,899	101,303,899	30
10	Industrialization	CAIP	Ngewa	31/10/23	30/6/26	498,828,815	133,368,422	94,499,999	324,466,006	80

Source: *Kiambu County Treasury*

The County reported 5 stalled development projects as of 31st March 2026, with an estimated value of Kshs.597.16 million, of which Kshs.395.74 million has already been paid. The stalled projects are shown inTable 3.196 .

Table 3.196: Kiambu County Stalled Projects as of 31st March 2026

No	Sector	Project Name	Project Location	Project Start Date	Expected Completion Date of the Project	Estimated Value of the Project (Kshs.)	Amount Paid on the stalled project (Kshs.)	Accrued Expenditure on the stalled project (Kshs.)	Outstanding Unpaid Balance As of 31st March 2026	Percentage of Completion before stalling of the Project	Reason for Stalling
1	County Assembly of Kiambu	Construction of the County Assembly archives and Members' welfare facility	Kiambu	15th April 2021	12th January 2022	40,000,000	0	9,661,241	9,661,241	20	Lack of funding from exchequer
2	Roads, Transport, Public Works & Utilities	Completion of Thogoto Ndaire, Gatitu Junction-Kenyatta Avenue, and Kimende Town roads	Kikuyu/ Thika Township/Kijabe	03rd January 2017	09th January 2018	181,452,502	112,937,510	0	0	90	Lack of funding

No	Sector	Project Name	Project Location	Project Start Date	Expected Completion Date of the Project	Estimated Value of the Project (Kshs.)	Amount Paid on the stalled project (Kshs.)	Accrued Expenditure on the stalled project (Kshs.)	Outstanding Unpaid Balance As of 31st March 2026	Percentage of Completion before stalling of the Project	Reason for Stalling
3	Roads, Transport, Public Works & Utilities	Spot improvement of Thika town Entrance, Garissa junction	Thika	01st July 2015	01st June 2022	221,005,870	184,728,399	0	0	90	Lack of funding
4	Roads, Transport, Public Works & Utilities	Upgrading of Kimende town roads	Lari	01st July 2017	30th June 2018	145,000,000	98,078,073	0	0	80	Lack of funding
5	Roads, Transport, Public Works & Utilities	Construction of Kawaida Drainage	Cianda	01st November 2023	30th December 2024	9,700,000	0	0	0	30	Termination of contract

Source: Kiambu County Treasury

3.13.16 Budget Performance by Department

Table 3.197 summarises the approved budget allocation, expenditure, and absorption rate by department for the period under review.

Table 3.197: Kiambu County, Budget Allocation and Absorption Rate by Department in the first nine months of FY 2025/26

Department	Budget Allocation (Kshs.Millions)		Exchequer Issues (Kshs.Millions)		Expenditure (Kshs. Millions)		Expenditure to Exchequer Issues (%)		Absorption rate (%)	
	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev
County Assembly	1,507.97	131.21	751.01	-	724.05	-	96	-	48	-
County Executive	582.10	-	158.90	-	219.20	-	138	-	38	-
Public Service Board	90.74	-	41.85	-	47.00	-	112	-	52	-
Finance, Economic Planning and ICT	1,596.70	240.00	650.85	-	776.32	-	119	-	49	-
Water, Environment and Natural resource	663.76	809.59	279.95	30.22	265.57	58.73	95	194	40	7
Health Services	7,224.08	1,268.96	5,219.04	555.49	4,482.50	611.81	86	110	62	48
Roads, Transport and Public Works	802.32	2,489.82	443.36	510.16	300.87	471.82	68	92	37	19
Administration and Public Service	1,031.57	457.00	554.18	7.96	529.68	7.96	96	100	51	2
Agriculture, Livestock and Fisheries	535.69	890.03	274.26	219.83	252.63	210.71	92	96	47	24
Education, culture and Social Services	1,552.79	1,085.66	688.23	289.02	701.55	345.71	102	120	45	32
Youth and Sports	195.40	226.00	48.19	46.00	75.56	43.20	157	94	39	19
Lands, Physical Planning, and Housing	521.88	1,970.73	170.86	100.00	200.70	264.54	117	265	38	13
Trade Tourism Industry and Cooperative	212.86	744.45	76.59	348.42	80.52	366.87	105	105	38	49
Total	**16,517.87**	**10,313.45**	**9,357.28**	**2,107.11**	**8,656.12**	**2,381.36**	**93**	**113**	**52**	**23**

***Source**: Kiambu County Treasury*

Analysis of expenditure by departments shows that the Department of Trade, Tourism, Industry, and Co-operatives recorded the highest absorption rate of development budget at 49 per cent, followed by the Department of Health Services at 48 per cent. The Department of Health Services had the highest percentage of recurrent expenditure to budget at 62 per cent, while the Department of Roads, Transport and Public Works had the lowest at 37 per cent.

3.13.17 Budget Execution by Programmes and Sub-Programmes

Budget execution was concentrated in selected performance bands. In the 1–10 per cent band, development absorption was reported at 0 per cent for urban areas administration and management under the Department of Lands, Housing, Physical Planning, Municipal Administration and Urban Development, for the KDSP II Level 1 and 2 grant and rehabilitation and intervention on alcohol and substance abuse under the Department of Administration and Public Service, for ICT services under the Department of Finance and Economic Planning, and for cooperative development and management under the Department of Agriculture, Livestock and Cooperative Development. Recurrent absorption was reported at 0 per cent for the KDSP II Level 1 and 2 grant, rehabilitation and intervention on alcohol and substance abuse, land administration services, and crop development, irrigation and marketing services, and at 1 per cent for natural resources, forest conservation and management under the Department of Water, Environment, Natural Resources, Energy and Climate Change.

No sub-programmes were reported in the 11–20 per cent, 21–30 per cent, or 31–40 per cent bands. In the 41–50 per cent band, development absorption was reported for housing development under the Department of Lands, Housing, Physical Planning, Municipal Administration and Urban Development at 47 per cent and for crop development, irrigation and marketing services under the Department of Agriculture, Livestock and Cooperative Development at 41 per cent.

In the 51–60 per cent band, development absorption was reported for pre-primary education, promotion of culture and social services and for improvement of sports infrastructure and other payables under the Department of Education, Gender, Culture and Social Services, both at 58 per cent, and for curative services under the Department of Health Services at 57 per cent.

In the 61–70 per cent band, recurrent absorption was reported for ward offices under the County Assembly at 69 per cent and for administration and support under the Department of Health at 67 per cent. In the 71–80 per cent band, recurrent absorption was reported for county legislature under the County Assembly at 77 per cent. In the 81–90 per cent band, recurrent absorption was reported for the County Assembly Service Board at 86 per cent and for county assembly committee services at 90 per cent. No sub-programmes were reported above 100 per cent.

Low absorption in the lower performance bands reflected the nil implementation of urban administration, KDSP II grants, rehabilitation, ICT and cooperative sub-programmes. Conversely, performance in the higher bands reflected the prioritisation of the respective sub-programmes during the review period.

Table 3.198 summarises budget execution by programmes and sub-programmes in the period under review with the highest absorption rates.

Table 3.198: Budget Execution by Programmes and Sub-Programmes with Highest Absorption Rates

Programme	Sub-Programme	Gross Approved Estimates FY 2025/26 (Kshs.)	Expenditure (including accrued expenditure) as of 31st March 2026 (Kshs.)	Absorption Rate (%)
		Dev	Dev	Dev
Development				
Department of Education, Gender, Culture & Social Services				
Pre-primary education, Promotion of Culture and Social Services	Pre-primary Education, Promotion of Culture and Social Services	1,060,659,570	616,700,627	58
	Improvement of Sports Infrastructure and Other Payables	226,000,000	130,883,153	58
Department of Health Services				
Health Services	Curative	1,268,958,595	717,709,261	57
Department Of Lands, Housing, Physical Planning, Municipal Administration & Urban Development				
Housing and Community Development	Housing Development	562,397,401	264,543,092	47
Department Of Agriculture, Livestock & Cooperative Development				
Agriculture	Crop Development, Irrigation and Marketing Services	628,463,893	257,054,931	41
Recurrent				
County Assembly				
Legislation and Oversight	County Assembly Committee Services	55,000,000	49,420,927	90
	County Assembly Service Board	9,500,000	8,151,330	86
	County Legislature	613,216,945	472,958,620	77
	Ward Offices	136,671,000	93,736,527	69
Department Of Health				
	Administration and Support	4,809,466,418	3,218,571,349	67

***Source**: Kiambu County Treasury*

The development sub-programmes with the highest budget implementation rates were: Pre-primary Education and Promotion of Culture and Social Services, and Improvement of Sports Infrastructure and Other payables in the Department of Education, Gender, Culture & Social Services, both at 58 per cent and Curative Services in the Department of Health Services at 57 per cent.

For recurrent sub-programmes, the top performers included: County Assembly Committee Services at 90 per cent, County Assembly Service Board at 86 per cent and County Legislature under the County Assembly at 77 per cent. Table 3.199 summarises the budget execution by programmes and sub-programmes in the period under review that had the lowest absorption rates.

Table 3.199: Budget Execution by Programmes and Sub-Programmes with Lowest Absorption Rates

Programme	Sub-Programme	Gross Approved Estimates FY 2025/26 (Kshs.)	Expenditure (including accrued expenditure) as of 31st March 2026 (Kshs.)	Absorption Rate (%)
		Dev	Dev	Dev
Development				
Department of Lands, Housing, Physical Planning, Municipal Administration & Urban Development				
Urban Areas Development & Administration	Urban Areas Administration and Management	1,383,335,580	-	-
Department: Administration and Public Service				
KDSP II Level 1 & 2 Grant	KDSP II Level 1 & 2 Grant	352,500,000	-	-
Alcoholic Drinks Control and Rehabilitation	Rehabilitation and Intervention on alcohol and substance abuse	30,000,000	-	-
Department of Finance & Economic Planning				
	ICT services	200,000,000	-	-
Department: Agriculture, Livestock, and Co-Operative Development				
Agriculture, Livestock and Co-operatives	Co-operative Development and Management	58,500,000	-	-
Recurrent				
Department: Administration and Public Service				
KDSP II Level 1 & 2 Grant	KDSP II Level 1 & 2 Grant	37,500,000	-	-
Alcoholic Drinks Control and Rehabilitation	Rehabilitation and Intervention on alcohol and substance abuse	30,000,000	-	-
Department of Lands, Housing, Physical Planning, Municipal Administration & Urban Development				
Land Use Management, Valuation & Rating and Physical Planning	Land Administration Services	16,987,622	-	-
Department: Agriculture, Livestock, and Co-Operative Development				
	Crop Development, Irrigation and Marketing Services	800,000	-	-
Department: Water, Environment, Natural Resources, Energy & Climate Change				
Natural Resources	Natural Resources, Forest Conservation and Management	1,200,000	9,500	1

Source: *Kiambu County Treasury*

The development sub-programmes with nil absorption rate in budget implementation were as follows: Urban Areas Administration and Management, KDSP II Level 1 & 2 Grant, Rehabilitation and Intervention on alcohol and substance abuse, ICT Services and Co-operative Development and Management.

For recurrent sub-programmes, the poorest performers included: KDSP II Level 1 & 2 Grant, Rehabilitation and Intervention on alcohol and substance abuse and Land Administration Services and Crop Development, Irrigation and Marketing Services.

3.13.18 Settlement of Trade Payables

As of 1st July 2025, the County reported trade payables totalling Kshs.6.21 billion. This amount consisted of Kshs.6 billion from the County Executive and Kshs.215.88 million from the County Assembly. The trade payables from the County Executive comprised Kshs.3.06 billion for recurrent expenditure and Kshs.2.94 billion for development expenditure.

During the reporting period, the County Executive settled trade payables amounting to Kshs.664.64 million, entirely on development programmes. On the other hand, the County Assembly settled trade payables amounting to Kshs.9.37 million for recurrent activities. The outstanding trade payables as of 31st March 2026 were Kshs.5.34 billion for the County Executive and Kshs.206.51 million for the County Assembly.

Table 3.200 provides additional details of trade payables.

Table 3.200: Kiambu County Trade Payables as of 31st March 2026

Outstanding Trade Payables	County Entity	Development (Kshs.)	Recurrent (Kshs.)	Total (Kshs.)
As at 1 July 2025 (End of FY 2024/25)	County Executive	2,939,091,025	3,059,846,711	5,998,937,737
	County Assembly	31,208,201	184,675,237	215,883,438
	Total	2,970,299,226	3,244,521,949	6,214,821,175
Amount paid in FY 2025/26	County Executive	655,263,287	-	655,263,287
	County Assembly	-	9,372,976	9,372,976
	Total	655,263,287	9,372,976	664,636,263
Trade Payables Incurred in FY 2025/26	County Executive	-	-	-
	County Assembly	-	-	-
	Total	-	-	-
Outstanding Trade Payables as of 31st March 2026 (Kshs.)	County Executive	2,283,827,738	3,059,846,711	5,343,674,449
	County Assembly	31,208,201	175,302,262	206,510,462
	Total	2,315,035,939	3,235,148,973	5,550,184,912

Source: *Kiambu County Treasury*

The County Executive and the Assembly submitted a trade payables payment plan, committing to pay Kshs.600 million and Kshs.88.22 million, respectively, in FY 2025/26, The executive adhered to the payment plan by clearing Kshs.955.17 million, exceeding their commitment, while the Assembly did not adhere to the plan as it settled only Kshs.9.37 million.

Table 3.201 and Table 3.202 present the ageing of the total outstanding bills as of 31st March 2026 for the County Executive and Assembly, which were Kshs.5.50 billion.

Table 3.201: Kiambu County Executive Trade Payables Ageing Analysis as of 31st March 2026

Category	Ageing analysis (Amount in Kshs.)				Total
	Under one year	1-2 years	2-3 years	Over 3 years	
County Executive					
Development Trade Payables	**721,287,324**	**251,928,394**	**9,370,873**	**1,301,241,148**	**2,283,827,738**
Recurrent Trade Payables (Goods & Services)	190,149,585	448,859,540	635,860	2,259,262,119	2,898,907,104
Recurrent Trade Payables (Salary Arrears and Statutory Deductions)	33,881,319	45,977,971	-	1,133,860	80,993,150
Recurrent Trade Payables (Staff Claims)	60,155,736	17,565,761	-	2,224,960	79,946,457
Total Recurrent Trade Payables	284,186,640	512,403,272	635,860	2,262,620,939	3,059,846,711
Total Trade Payables	**1,005,473,963**	**764,331,666**	**10,006,733**	**3,563,862,087**	**5,343,674,449**
% of Total	**19**	**14**	**0.2**	**67**	**100**

Source: *Kiambu County Treasury*

Table 3.202: Kiambu County Assembly Trade Payables Ageing Analysis as of 31st March 2026

Category	Ageing analysis (Amount in Kshs.)				Total
	Under one year	1-2 years	2-3 years	Over 3 years	
County Assembly					
Development Trade Payables	**644,069**	**20,902,891**	**-**	**9,661,241**	**31,208,201**
Recurrent Trade Payables (Goods & Services)	56,557,418	61,167,286	30,013,272	27,564,286	175,302,261
Recurrent Trade Payables (Salary Arrears and Statutory Deductions)	-	-	-	-	-
Recurrent Trade Payables (Staff Claims)	-	-	-	-	-
Total Recurrent Trade Payables	**56,557,418**	**61,167,286**	**30,013,272**	**27,564,286**	**175,302,261**
Total Trade Payables	57,201,487	82,070,177	30,013,272	37,225,527	206,510,462
% of Total	**28**	**40**	**15**	**18**	**100**

Source: *Kiambu County Treasury*

As shown in Table 3.201 and Table 3.202 , the total goods and services trade payables were Kshs.175.30 million, which represented 85 per cent of the total trade payables of Kshs.206.51 million as of March 31, 2026.

Additionally, the two tables indicate that 40 per cent of total trade payables are aged between one and two years, a trend attributed to non-compliance with the payment plan for trade payables. To address this situation, the county should allocate sufficient resources in the estimates and ensure compliance with the action plan for the trade payables as developed.

3.13.19 General Observations and Recommendations

In the course of overseeing and reporting on the implementation of the Kiambu County budget, the CoB identified the following challenges, which hampered effective budget implementation;

i. The underperformance of own-source revenue at Kshs.3.90 billion against an annual target of Kshs.9.93 billion, representing 39 per cent of the financial year target.
ii. High level of revenue receivables, which amounted to Kshs.5.53 billion as of 31st March 2026.
iii. Low development performance in the review period as the County incurred Kshs.3.17 billion on development activities, achieving a 31 per cent absorption rate.
iv. Regulation 197(1)(i) of the Public Finance Management (County Governments) Regulations, 2015, limits the lifespan of public funds to 10 years unless extended by the County Assembly. As of 31st March 2026, the lifespans of the Bursary Fund, the Kiambu County Assembly Car Loan & Mortgage Scheme Fund, and the Kiambu County Executive Car Loan & Mortgage Scheme Fund had lapsed, rendering them ineligible for further withdrawals.
v. High level of trade payables, which amounted to Kshs.5.55 billion as of 31st March 2026. Furthermore, the County Assembly did not adhere to the payment plan for trade payables.
vi. Non-submission of copies of authorisation letters for opening commercial bank accounts as per Regulation 82(5) of the Public Finance Management (County Governments) Regulations, 2015.
vii. The County reported Kshs.50.72 million under "other operating expenses - other," accounting for 1 per cent of total operation and maintenance costs. The review revealed that this category was misused to record items with specific budget codes, distorting the cost structure, reducing financial transparency, and weakening accountability in public fund management.
viii. High levels of trade receivables, which amounted to Kshs.5.53 billion as of 31st March, 2026

The County should implement the following recommendations to improve budget execution:

i. *The County should address its own-source revenue performance to ensure the approved budget is fully financed. Appropriate austerity measures should be implemented to ensure expenditure commitments are aligned with available revenue.*
ii. *The County should institute measures to ensure that the revenue receivables due are recovered to increase the County's cash flow.*
iii. *The County should implement strategies to increase development expenditures in FY 2025/26.*
iv. *The County should ensure timely review and extension of public funds whose lifespans are nearing expiration or have lapsed to prevent operational disruptions. Additionally, any expenditure from lapsed funds should cease immediately, and legal mechanisms should be followed to re-establish or wind up such funds in compliance with the Public Finance Management Act.*
v. *The County Leadership should address the situation of trade payables to ensure that genuine bills are paid promptly in the remaining financial year. Further, compliance with the Trade Payables Action Plan should be enforced.*
vi. *The County Treasury should ensure it submits copies of authorisation letters to the CoB for opening commercial bank accounts to enhance accountability and oversight.*
vii. *The County Treasury should adhere to the approved budget classification framework by ensuring that all expenditures are recorded under their specific budget codes rather than being aggregated under the "Other Operating Expenses - Other" category.*
viii. *The County Treasury should institute measures to ensure that the trade receivables due are recovered in order to increase the cashflow to the County.*

3.14. County Government of Kilifi

3.14.1 Overview of FY 2025/26 Budget

The Kilifi County Approved Budget for FY 2025/26 is Kshs.19.88 billion. It comprises Kshs.9.39 billion (47 per cent) and Kshs.10.48 billion (53 per cent) allocation for development and recurrent programmes, respectively. The budget estimates represent a decrease of Kshs.1.53 billion (7 per cent) from the FY 2024/25 budget, which comprised a development budget of Kshs.11.44 billion and a recurrent budget of Kshs.9.97 billion. The decrease in the budget was primarily attributed to failure to include the balance brought forward from the previous finacial year 2024/2025.

The budget is to be financed from various revenue sources. These include: the equitable share of revenue raised nationally of Kshs.12.70 billion (64 per cent), additional allocations of Kshs.4.80 billion (24 per cent) and Kshs.2.38 billion (12 per cent) generated as own-source revenue. A breakdown of the additional allocations is shown in Table 3.203.

3.14.2 Revenue Performance

During the first nine months of FY 2025/26, the County reported total revenues amounting to Kshs.12.74 billion. This amount represented an increase of 12 per cent compared to the amount received in a similar period in FY 2024/25 of Kshs.11.34 billion. The total revenue consisted of Kshs.9.55 billion from the equitable share of revenue raised nationally, additional allocations from the national government and development partners of Kshs.1.97 billion, and own-source revenue (OSR) collection of Kshs.1.22 billion. Additionally, the County had a cash balance of Kshs.0.68 million from FY 2024/25. The total OSR collection of Kshs.1.22 billion included Facilities Improvement Financing (FIF) of Kshs.691.78 million, and Kshs.524.62 million from other OSR sources. Table 3.203 summarises the total revenue available to the County Government during FY 2025/26.

Table 3.203: Kilifi County, Revenue Performance in the first nine months of FY 2025/26

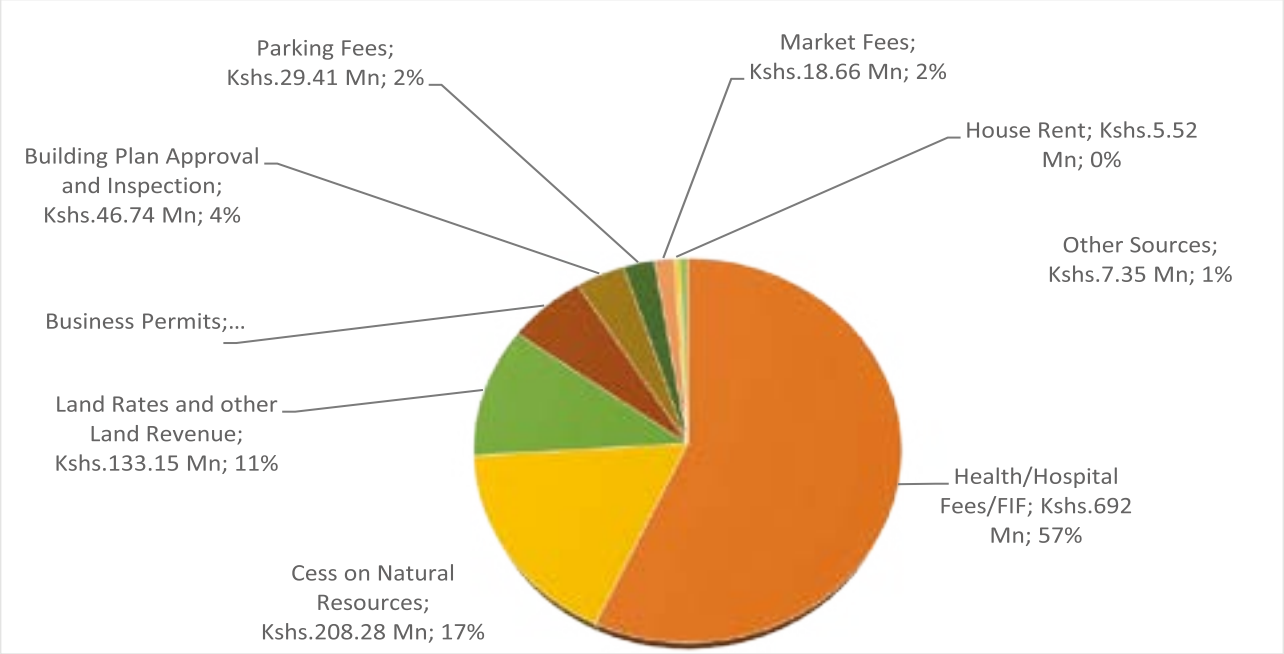
No	Revenue Stream	Annual Targeted Revenue (Kshs.)	Actual Receipts (Kshs.)	Receivables in the First Nine Months of FY 2025/26 (Kshs.)	Total Revenues (in accrual basis) in the First Nine Months of FY 2025/26 (Kshs.)	Variance (Kshs.)
		A	B	C	D=B+C	E=A-D
1	Balance at CRF				-	-
2	County Executive Refunds to CRF		654,433		654,433	- 654,433
3	County Assembly Refunds to CRF		25,826		25,826	- 25,826
	Sub-Total	**-**	**680,260**	**-**	**680,260**	**- 680,260**
B	**Equitable Share of Revenue Raised Nationally**					
1	Equitable Share	**12,704,746,017**	**8,520,908,852**	**1,025,071,742**	**9,545,980,594**	**3,158,765,423**
	Sub-Total	**12,704,746,017**	**8,520,908,852**	**1,025,071,742**	**9,545,980,594**	**3,158,765,423**
C	**Additional Allocations (Including Grants)**					
1	Community Health Promoters	90,953,531	-	-		90,953,531
2	Primary Healthcare in Devolved Context	16,087,500	-	-		16,087,500
3	Kenya Informal Settlement Improvement Project (KISIP)II	750,000,000	-	-		750,000,000
4	National Agricultural Value Chain Development Project (NAVCDP)	151,515,152	88,672,036		88,672,036	62,843,116
5	St. Luke's Grant	300,000,000				300,000,000
6	Water and Sanitation Development Project (WSDP)	1,700,000,000	300,866,942		300,866,942	1,399,133,058
7	FLOCCA	250,000,000	164,936,515		164,936,515	85,063,485
8	Kenya Devolution Support Programme (KDSP)- LEVEL II	352,500,000	224,849,458		224,849,458	127,650,542
9	Kenya Urban Support Programme (KUSP-UIG)	35,000,000				35,000,000
10	Mineral Royalties	1,150,000,000	950,062,290		950,062,290	199,937,710
11	County Aggregation & Industrial Parks(CAIP)		250,000,000		250,000,000	- 250,000,000
	Sub-Total	**4,796,056,183**	**1,979,387,241**		**1,979,387,241**	**2,816,668,942**
D	**Ordinary Own Source Revenue (OSR)**					
1	Land rates and other Land Revenue	510,707,511	133,150,641		133,150,641	377,556,870
2	Cess on natural resources	615,065,148	208,277,460		208,277,460	406,787,688
3	Business Permits	182,576,980	75,524,024		75,524,024	107,052,956
4	Parking Fees	148,773,539	29,405,097		29,405,097	119,368,442
5	Market Fees	71,360,820	18,658,896		18,658,896	52,701,924
6	Bill Boards and signage	21,857,780	130,000		130,000	21,727,780
7	Building Plan approval and Inspection	75,389,928	46,736,622		46,736,622	28,653,305
8	Rent/Stall rents	16,031,334	2,936,656		2,936,656	13,094,678
9	Survey fees and plot rents	4,004,113	28,000		28,000	3,976,113
10	Plot ground rent	45,630,309				45,630,309
11	House rent	42,198,366	5,518,593		5,518,593	36,679,774
12	Refuse Collection	2,664,722	16,000		16,000	2,648,722

No	Revenue Stream	Annual Targeted Revenue (Kshs.)	Actual Receipts (Kshs.)	Receivables in the First Nine Months of FY 2025/26 (Kshs.)	Total Revenues (in accrual basis) in the First Nine Months of FY 2025/26 (Kshs.)	Variance (Kshs.)
		A	B	C	D=B+C	E=A-D
13	Food Hygiene Fees	6,625,555	1,000		1,000	6,624,555
14	Liquor Licence	16,717,073	100,000		100,000	16,617,073
15	AMS&ATCs	11,679,112				11,679,112
16	Leasing of Plants and Equipment	22,605,645				22,605,645
17	Slaughter House and Livestock sale Yards	2,561,029	1,100		1,100	2,559,929
18	Others	79,261,784	4,137,173		4,137,173	75,124,611
	Sub-Total	**1,875,710,748**	**524,621,263**	**-**	**524,621,263**	**377,556,870**
E	**Facility Improvement Fund/Financing (FIF)**					
1	SHIF	500,000,000	691,778,305		691,778,305	- 191,778,305
2	Defunct NHIF					
3	Other					
	Sub-Total	**500,000,000**	**691,778,305**	**-**	**691,778,305**	**- 191,778,305**
	Grand Total	**19,876,512,948**	**11,717,375,920**	**1,025,071,742**	**12,742,447,662**	**6,160,532,671**

Source: *Taita Taveta County Treasury*

Kilifi County has a governing legislation on the operationalisation of FIF. Figure 3.79 provides a detailed breakdown of receipts.

Figure 3.79: Kilifi County Composition of Revenue in the first nine months of FY 2025/26

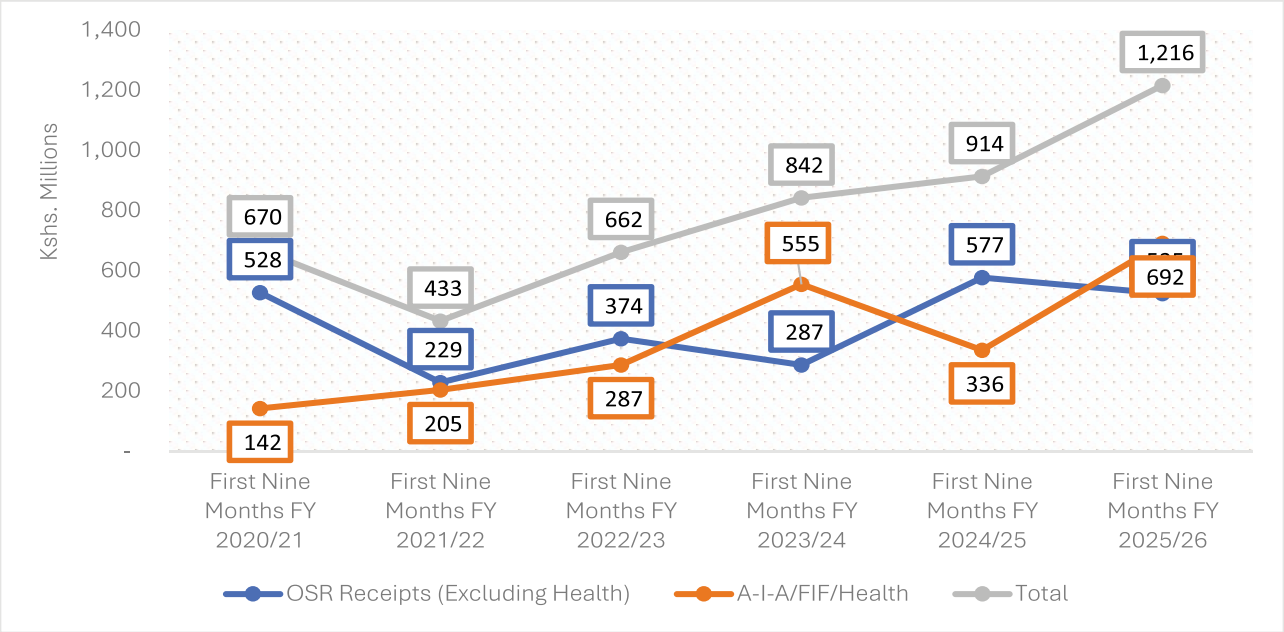


Source: *Kilifi County Treasury*

The equitable share of revenue raised nationally, OSR, and FIF contributed 75 per cent, 4 per cent and 5 per cent, respectively, of the total receipts for the reporting period.

Figure 3.80 shows the collection trend in own-source revenue from the first nine months of FY 2020/21 to the first nine months of FY 2025/26.

Figure 3.80: Kilifi County Trend in Own-Source Revenue Collection from the first nine months of FY 2020/21 to the first nine months of FY 2025/26



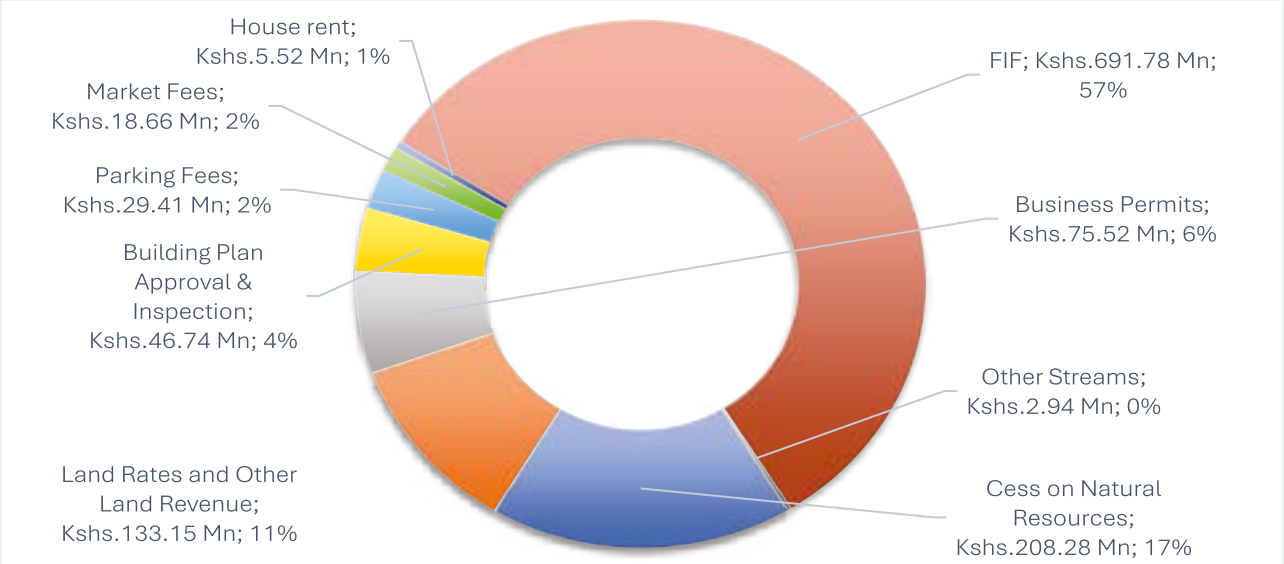
Source: *Kilifi County Treasury*

During the first nine months of FY 2025/26, the County received Kshs.1.22 billion from OSR, including FIF. This amount was an increase of 33 per cent compared to Kshs.302.62 million realised in a similar period in FY 2024/25, and was 51 per cent of the annual target and 13 per cent of the equitable revenue share disbursed.

The increase in FIF and own-source revenue overall is attributed to the timely restocking of essential medical drugs across all FIF collection centres.

The revenue streams that contributed the most to OSR receipts are shown in Figure 3.81.

Figure 3.81: Kilifi County Top Own Source Revenue Streams in the first nine months of FY 2025/26



Source: Kilifi County Treasury

As shown in Figure 3.81, the largest revenue stream, at Kshs.691.78 million, was from FIF, accounting for 57 per cent of total OSR receipts.

3.14.3 Revenue Receivables

The County reported revenue receivables of Kshs.1.03 billion as of 31st March 2026. The County manages its receivables using a manual system, with a cash- or accrual-basis option. Table 3.204 presents a breakdown of the County's receivables.

Table 3.204: Kilifi County Revenue Receivables as of 31st March 2026

No	Revenue Stream	Revenue Receivables as of 1 July 2025 (Kshs.)	Progress made in the first nine months of FY 2025/26			OSR Receivables as of 31st March 2026 (Kshs.)
			Waivers (Kshs)	Receivables paid in the financial year (Kshs)	Receivables earned in the first nine months of FY 2025/26 (Kshs)	
		a	b	c	d	f=a-b-c+d
A	**Equitable Share of Revenue Raised Nationally**					
1	Month of March				**1,025,071,742**	
	Sub-Total					
Total					**1,025,071,742**	

Source: Kilifi *County Treasury*

As of 31st March 2026, the receivables totalled to Kshs.1.03 billion (8 per cent)of the total revenues received. The measures instituted by the County to collect the outstanding arrears in FY 2025/26 include liaising with the National Treasury to ensure the timely disbursement of the national shareable revenues.

3.14.4 Borrowing by the County

Kilifi County Executive/ Assembly did not engage in any form of borrowing from commercial banks during the reporting period.

3.14.5 Withdrawals from the County Revenue Fund and County Assembly Fund

During the reporting period, the Controller of Budget approved exchequer withdrawal requests totalling Kshs.9.13 billion from the Kilifi County Revenue Fund (CRF) account. This amount consisted of Kshs.3.08 billion (34 per cent) designated for development programs and Kshs.6.05 billion (66 per cent) allocated for recurrent programs.

An analysis of the released recurrent exchequers shows that Kshs.3.47 billion was allocated to employee compensation and Kshs.2.58 billion to operations and maintenance expenditures. Within the operations and maintenance category, Kshs.180.73 million as for domestic travel and Kshs.6.60 million for foreign travel. The domestic travel exchequers totalled Kshs.180.73 million, which included Kshs.102.52 million for the County Executive and Kshs.78.21 million for the County Assembly. Meanwhile, the foreign travel exchequers amounted to Kshs.6,60 million which was all incurred by the county executive.

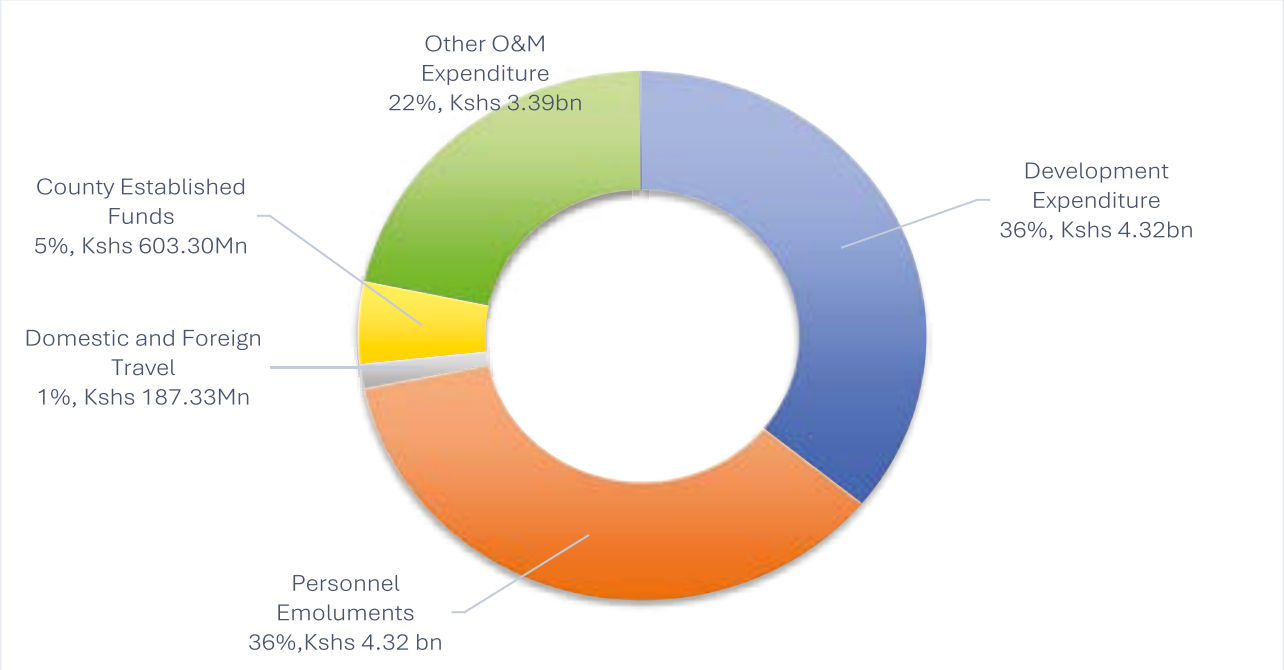
As of 31st March 2026, the County Government's cash balance in the Kilifi County CRF account was Kshs.1.75 billion.

3.14.6 Expenditure Review

The County spent Kshs.12.03 billion on development and recurrent programmes during the reporting period. The expenditure represented 132 per cent of the total funds released by the CoB. It comprised Kshs.4.32 billion for development programmes and Kshs.7.71 billion for recurrent programmes. Expenditure on development programmes accounted for 46 per cent of the annual development expenditure budget, while recurrent expenditure accounted for 74 per cent of the annual recurrent expenditure budget.

Figure 3.82 provides a detailed breakdown of total expenditure.

Figure 3.82: Kilifi County Composition of Expenditure in the first nine months of FY 2025/26



Source: *Kilifi County Treasury*

As shown in Figure 3.82, the three highest expenditure categories were Personnel emoluments, development expenditure, and other operating expenses, contributing 36, 36 and 22 per cent of total expenditure for the reporting period.

3.14.7 Expenditure by Economic Classification

The County Executive incurred Kshs.3.93 billion in employee compensation, Kshs.3.21 billion in operations and maintenance, and Kshs.4.11 billion in development activities. Similarly, the County Assembly spent Kshs.385.37 million on compensation of employees, Kshs.178.96 million on operations and maintenance, and Kshs.204.74 million on development activities, as shown in Table 3.205.

Table 3.205: Kilifi County Summary of Budget and Expenditure by Economic Classification

Expenditure Classification	Approved Budget (Kshs.Mn) (a)		Amount Paid in the first nine months of FY 2025/26 (Kshs.Mn) (b)		Expenditure Accrued in the first nine months of FY 2025/26 (Kshs.Mn) (c)		Total Expenditure in the first nine months of FY 2025/26 (Kshs. Mn) (d=b+c)		Absorption (%) (d/a*100)	
	Executive	Assembly	Executive	Assembly	Executive	Assembly	Executive	Assembly	Executive	Assembly
Total Recurrent Expenditure	**9,577.37**	**901.66**	**6,712.97**	**521.63**	**429.34**	**42.70**	**7,142.31**	**564.33**	**75**	**63**
Compensation of Employees	5,004.59	498.57	3,500.71	342.67	429.34	42.70	3,930.05	385.37	79	77
Operations and Maintenance	4,572.79	403.09	3,212.27	178.96	-	-	3,212.27	178.96	70	44
Development Expenditure	**8,955.53**	**441.95**	**4,115.66**	**204.74**	**429.34**	**42.70**	**4,115.66**	**204.74**	**46**	**46**

***Source**: Kilifi County Treasury*

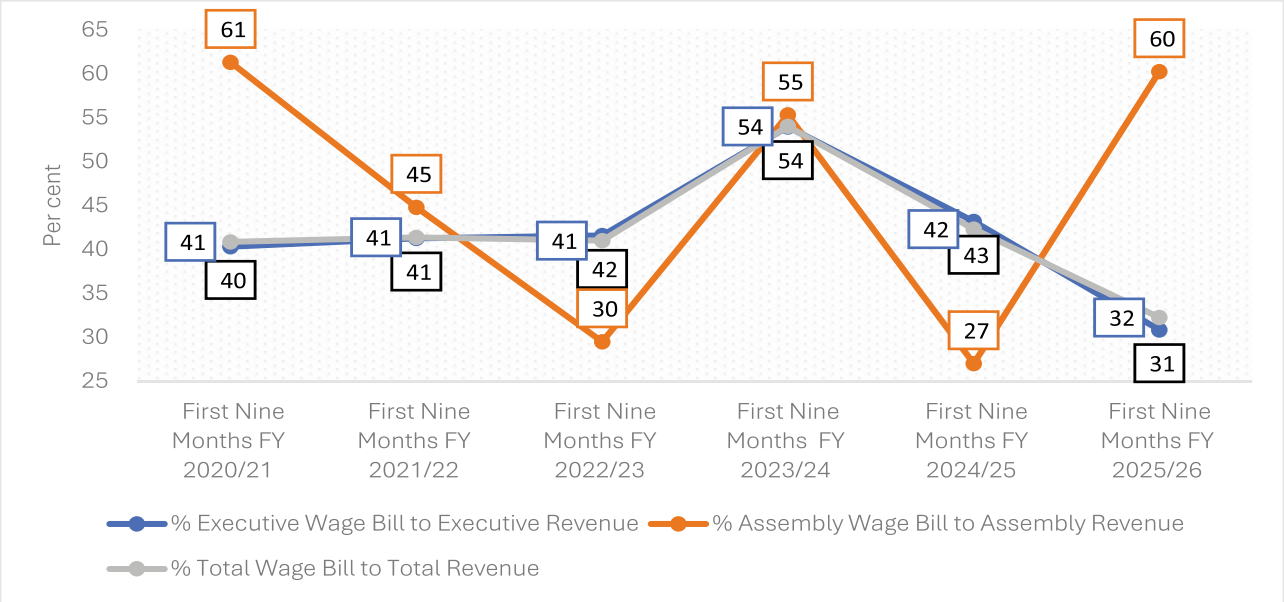
3.14.8 Expenditure on Employee Compensation

The expenditure on employee compensation totalled Kshs.4.32 billion, representing 33 per cent of revenue. This expenditure on employee compensation shows an increase compared to the Kshs.3.48 billion reported in a similar period in FY 2024/25. Of this total, Kshs.1.83 billion related to Health Sector employees, accounting for 42 per cent of the overall employees' compensation. The 24 per cent increase in personnel

emoluments cost, compared with a similar reporting period in the previous financial year, was attributed to the accrual accounting system, which was not applied in that period.

Figure 3.83 shows the trend in employee compensation as a percentage of total revenue from the first nine months of FY 2020/21 to the first nine months of FY 2025/26.

Figure 3.83: Percentage of Employee Compensation Expenditure to Total Revenue Received in the first nine months of FY 2020/21 to the first nine months of FY 2025/26



Source: Kilifi County Treasury

Further analysis indicated that PE costs totalling Kshs.4.23 billion were processed through the Human Resource Information System (HRIS). In contrast, Kshs.84.17 million was processed through manual payroll, which accounted for 2 per cent of the total PE cost. The justification for the continued use of manual payroll was that ward office employees are employed on a contract basis and hence cannot be onboarded to the HRIS. Similarly, Top-up allowances are for national government security staff who are temporarily seconded to the county.

The manual payroll comprised salaries for staff not onboarded into the Human Resource Information System (HRIS), salaries for casual staff, top-up allowances for security personnel, gratuity remittances to pension schemes for staff on contract, and LAPTRUST/LAPFUND Pension Contributions, as shown in Table 3.206.

Table 3.206: Breakdown of Kilifi County Manual Payroll

Category	County Executive (Kshs.)	County Assembly (Kshs.)	Total (Kshs.)
Salaries for staff paid outside the Human Resource Information System (HRIS)		977,400	977,400
Salaries for casual staff			-
Top-up Allowances for security officers		89,600	89,600
LAPTRUST/LAPFUND Pension Contributions		9,177,273	9,177,273
Gratuity for contract staff		12,856,427	12,856,427
Youth			-
Community Health Workers	61,068,268		61,068,268
Total	61,068,268	23,100,700	84,168,968

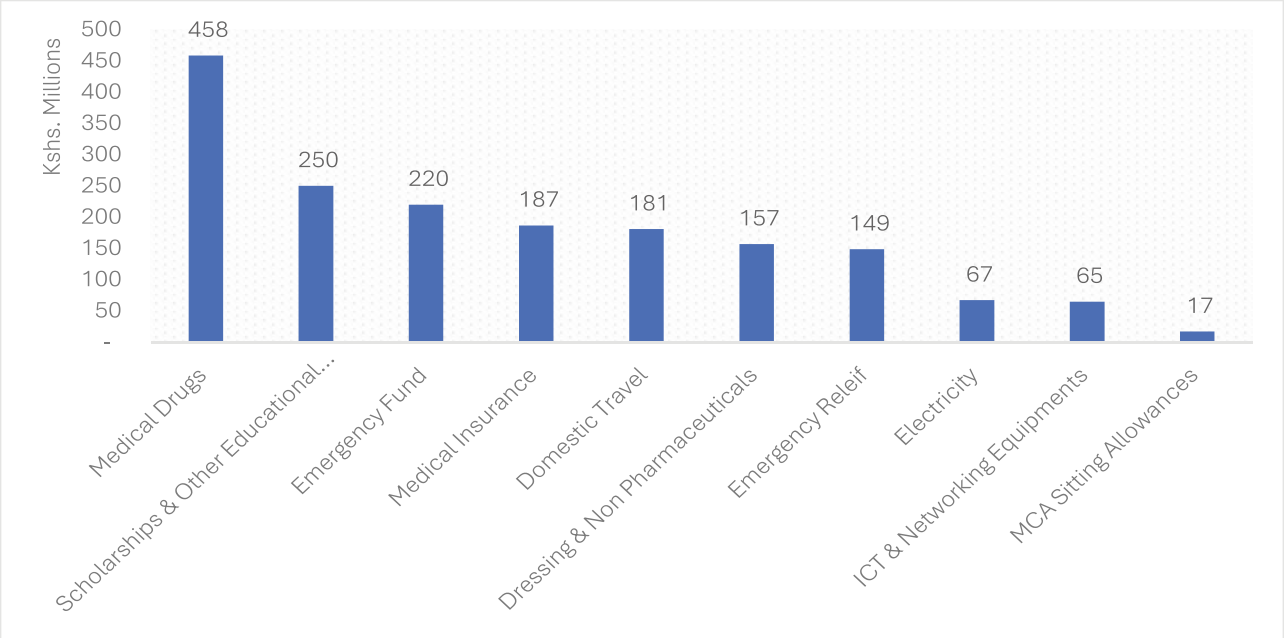
Source: Kilifi County Treasury

The County Assembly spent Kshs.16.78 million on committee sitting allowances for the 56 MCAs against the annual budget allocation of Kshs.28 million. The average monthly sitting allowance was Kshs.33,301 per MCA. The County Assembly has 23 House Committees.

3.14.9 Expenditure on Operations and Maintenance

During the reporting period, the County spent Kshs.3.39 billion on operations and maintenance, representing an increase of 76 per cent compared to a similar period in FY 2024/25, when the County spent Kshs.1.93 billion. Figure 3.84 illustrates the distribution of Operations and Maintenance expenditures across the major spending categories.

Figure 3.84: Kilifi County, Operations and Maintenance Expenditure by Major Categories



Source: *Kilifi County Treasury*

3.14.10 Unbundling "Other Operating Expenses" Under Operations and Maintenance Expenditures

The budget performance report for the first nine months of FY 2025/26 indicates that the County spent Kshs.50.24 million on "other operating expenses," which accounted for 1 per cent of the total operations and maintenance expenditure of Kshs.3.21 billion. This category of expenditure includes Kshs.10 million for contracted technical and Kshs.39.68 million for contracted guards and cleaning services. The disaggregated items under the "*Other Operating Expenses*" category are shown in Table 3.207.

Table 3.207: Breakdown of "Other Operating Expenses" under O&M Expenditures

Code	Item	Budget (Kshs)	Expenditure (Kshs.)
2211399	Other Operating Expenses - Other	3,300,000	564,000
	Total	**3,300,000**	**564,000**

Source: *Kilifi County Treasury*

3.14.11 County-Established Funds

Section 116 of the PFM Act 2012 allows County Governments to establish other public funds, subject to approval from the County Executive Committee and the County Assembly. The County allocated Kshs.1.65 billion to County-Established funds in FY 2025/26, representing 8 per cent of the County's overall budget. Further, the County allocated Kshs.250 million to the Emergency Fund (1 per cent of the total budget) in line with Section 110 of the PFM Act, 2012. Table 3.208 summarises each established Fund's budget allocation and performance during the reporting period.

Table 3.208: Performance of Kilifi County Established Funds in the first nine months of FY 2025/26

S/No.	Name of the Fund	Year Established	Approved Budget Allocation in FY 2025/26 (Kshs.)	Exchequer Issues in First Nine Months of FY 2025/26 (Kshs.)	Actual Expenditure in the First Nine Months of FY 2025/26 (Kshs.)	Cumulative disbursements to the Fund (Kshs.)	Submission of Financial Statements (Yes/No)
		County Executive Established Funds					
1.	Kilifi Health Service Improvement Fund	2016	597,811,932	133,303,210	133,303,210		Yes
2.	Kilifi County Climate Change Fund	2021	250,392,926				Yes
3.	Kilifi Emergency Fund	2020	250,000,000.	220,000,000	220,000,000		Yes
4	Kilifi County Ward Scholarship Fund	2013	500,000,000	250,000,000	250,000,000		Yes
		County Assembly Established Funds					
1	County Assembly Car Loan & Mortgage Fund	2014	50,000,000				Yes
	Total		**1,648,204,857**	**603,303,210**	**603,303,210**		**-**

Source: *Kilifi County Treasury*

Regulation 197(1)(i) of the Public Finance Management (County Governments) Regulations, 2015, allows County Governments to establish public funds with a lifespan capped at 10 years unless extended by the County Assembly. In FY 2025/26, the CoB established that the lifespan of the Kilifi County Ward Scholarship Fund and the Kilifi County Assembly Car Loan & Mortgage Fund had lapsed. However, the County Assembly extended its lifespan.

3.14.12 County Corporations

The County has 2 County Corporations, which were allocated Kshs.1.5 billion in FY 2025/26. The County Corporations did not submit their expenditure returns to CoB in the reporting period, as shown in Table 3.209.

Table 3.209: Performance of Kilifi County Corporations in the first nine months of FY 2025/26

S/No.	Name of the Corporation	Approved Budget Allocation in FY 2025/26 (Kshs.)	Exchequer Issues (Kshs.)	Actual Transfers in FY 2025/26 (Kshs.)	Cumulative Transfers to the Corporation since its inception (Kshs.)
1.	Kilifi Mariakani Water Sanitation Company	750,000,000	-	-	-
2	Malindi Water and Sanitation Company	750,000,000	-	-	-
	Total	**1,500,000,000**	**-**	**-**	**-**

Source: *Kilifi County Treasury*

During the reporting period, the Office did not receive any financial returns from the two County Corporations

3.14.13 Expenditure on Domestic and Foreign Travel

Expenditure on domestic travel amounted to Kshs.180.73 million and comprised Kshs.78.21 million spent by the County Assembly and Kshs.102.52 million by the County Executive. Expenditure on foreign travel amounted to Kshs.6.60 million, all of which was incurred by the County Executive. Expenditure on foreign travel is summarised in Table 3.210.

Table 3.210: Summary of Expenditure on Foreign Travel in the first nine months of FY 2025/26

Arm of County Government	Number of Officers Travelled	Date travelled	Purpose of the travel	Destination	Actual Payment on Travel (a) (Kshs.)	Accrued Expenditure on Travel (b) (Kshs.)	Total Expenditure on Travel (c=a+b) (Kshs.)
County Executive	4	24th April 2024	Benchmarking at East Africa Legislative Assembly -EALA	Arusha		823,935	823,935
County Executive	1	11th June 2024	Public-Private Partnership seminar in Abu Dhabi	Abudhabi		1,115,229	1,115,229
County Executive	2	Aug-24	To engage with key institutions within Morocco's accountability ecosystem.	Morroco		2,668,900	2,668,900
County Executive	1	Sep-24	World forum on the future of democracy	Germany		1,995,868	1,995,868
Total						6,603,932	6,603,932

Source: Kilifi County Treasury

3.14.14 Facility Improvement Financing

During the review period, the County reported collections of Kshs.691.78 million as FIF, which was 138 per cent of the annual target of Kshs.500 million. The collected amount was retained and utilised at source in line with the Facility Improvement Financing Act, 2023. The County has developed regulations to operationalise the FIF Act of 2023.

The expenditure by the health facilities amounted to Kshs.234.05 million, as shown in Table 3.211.

Table 3.211: Kilifi County Health Facilities Expenditure Performance in the first nine months of FY 2025/26

No.	Health Facility	Number of Facilities	Approved Budget (Kshs.)	Actual Expenditure (Kshs.)	Absorption rate (%)
1.	Level 5 Hospital	-			
2.	Level 4 Hospital	8	500,000,000	234,045,999.00	47
3.	Level 3 Facility	10			
4.	Level 2 Facility	124			
	Total		**692,892,475.00**	**234,045,999.00**	**47**

Source: *Kilifi County Treasury*

3.14.15 Development Expenditure

In the review period, the County reported spending Kshs.4.32 billion on development programmes, representing an increase of 52 per cent compared to FY 2024/25, when the County spent Kshs.2.85 billion. Table 3.212 summarises the development projects with the highest expenditure in the reporting period.

The increase in development expenditure was attributed to the timely payment of trade payables.

Table 3.212: Kilifi County, List of Development Projects with the Highest Expenditure

No	Sector	Project Name	Project Location	Project Commencement Date	Expected date of Completion of the Project	Contract sum (Kshs.)	Total Funding in FY 2025/26 (Kshs.)	Expenditure (on an accrual basis) in the First Nine Months of FY 2025/26 (Kshs.)	Cumulative project expenditure (on an accrual basis) as of 31st March 2026 (Kshs.)	Percentage (%) of Completion
County Funded Projects										
1	Public Service Management	Construction of Kilifi County Office Complex	Sokoni Ward	2024-2025	2025-2026	499.99	225.00	120.41	345.41	70
2	County Assembly	Proposed Completion of the Assembly Office Block for the County Assembly of Kilifi	Malindi Shela Ward	15th December 2023	05th February 2026	387.41			318.66	85
3	County Assembly	Proposed Completion of Electrical Installation Works for the Completion of the Assembly Office Block for the County Assembly of Kilifi	Malindi Shela Ward	15th December 2023	05th February 2026	42.26			31.27	80
4	Finance	Refurbishment of County Government Treasury	County Treasury - Kilifi	2023-2024	2025-2026	34.04	8.00	7.04	15.04	61
5	Agriculture	Development of Kazikazi Earth Dam Irrigation Project - Jaribuni	Jaribuni			10	10.00		10.00	100
6	Education	Proposed completion of 2no. Ecde classrooms and 2no. Cubicle pit latrine at Muryachakwe ECDE centre in Sokoke ward	Sokoke				5.60		5.60	100
7	Education	Shariani ECDE	Junju				5		5.00	100
Equalisation Funded Projects										

No	Sector	Project Name	Project Location	Project Commencement Date	Expected date of Completion of the Project	Contract sum (Kshs.)	Total Funding in FY 2025/26 (Kshs.)	Expenditure (on an accrual basis) in the First Nine Months of FY 2025/26 (Kshs.)	Cumulative project expenditure (on an accrual basis) as of 31st March 2026 (Kshs.)	Percentage (%) of Completion
1	Health & Sanitation	Construction of 4 no.One Bedroom Staff House At Garashi Health Centre.	Garashi	2024	2025	22.87	23		23.00	50
2	Health & Sanitation	Construction of 4 no. One-Bedroom Staff House at Vitengeni.	Sokoke	2026	2026	22.87	22.87		22.87	100
3	Health & Sanitation	Construction Of Dispensary 6 Bed Maternity Wing At Chamari	Mafafa	2025	2025	12.84	11		11.00	40

Source: *Kilifi County Treasury*

The County reported 68 stalled development projects as of 31st March 2026, with an estimated value of Kshs.542.44 million, of which Kshs.473.06 million has already been paid. A sample of ten stalled projects is shown in Table 3.213.

Table 3.213: Kilifi County Stalled Projects as of 31st March 2026

No	Sector	Project Name	Project Location	Project Start Date	Expected Completion Date of the Project	Estimated Value of the Project (Kshs.)	Amount Paid on the stalled project (Kshs.)	Accrued Expenditure on the stalled project (Kshs.)	Outstanding Unpaid Balance As of 31st March 2026	Percentage of Completion before stalling of the Project
1	Health & Sanitation	Renovation/ Completion of Muyuni Dispensary	Muyuni	2024	2025	10,318,163		-		30
2	Health & Sanitation	Construction of Kaya Dispensary	Kaya	2024	2026	2,811,809		2,811,809		20
3	Health & Sanitation	Construction of twin staff house at Kaoyeni dispensary	Kaoyeni	2024	2026	10,587,522	10,587,522	2,493,142		40
5	Health & Sanitation	Construction Of Chiferi Dispensary	Chiferi			48,000,000	13,000,000	5,000,000		70
6	Health & Sanitation	Completion Of Mwatsama Dispensary	Mwatsama			7,000,000	1,568,000	-		50

No	Sector	Project Name	Project Location	Project Start Date	Expected Completion Date of the Project	Estimated Value of the Project (Kshs.)	Amount Paid on the stalled project (Kshs.)	Accrued Expenditure on the stalled project (Kshs.)	Outstanding Unpaid Balance As of 31st March 2026	Percentage of Completion before stalling of the Project
7	County Artoney	Construction and Equipping of Mtwapa Court House	Shimo la Tewa			56,528,758	10,000,000	-		23
8	Education	Proposed Completion of 2nd Generation ECDE at Tezo	Tezo			1,800,000	1,800,000			
9	Education	Proposed renovation of Tangini kwa kagumba ECDE and completion of toilets	Gongoni			4,000,000	4,000,000			
10	Education	Construction of 2no and 4no. cubicle pit latrine at Zowerani VDC pre-school in Tezo ward	Tezo			2,300,000	2,300,000			

Source: Kilifi County Treasury

3.14.16 Budget Performance by Department

Table 3.214 summarises the approved budget allocation, expenditure, and absorption rate by department for the period under review.

Table 3.214: Kilifi County, Budget Allocation and Absorption Rate by Department in the first nine months of FY 2025/26

Department	Budget Allocation (Kshs.Millions)		Exchequer Issues (Kshs.Millions)		Expenditure (Kshs. Millions)		Expenditure to Exchequer Issues (%)		Absorption rate (%)	
	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev
County Assembly	901.66	441.95	458.26	181.25	564.33	204.74	123.1	113.0	63	46
County Division for Office of the Governor	498.15	-	225.01	-	376.04	-	167.1	-	76	-
County Division for Finance	819.51	702.19	441.75	88.47	759.08	510.56	171.8	577.1	93	73
County Division for Agriculture	282.23	347.84	191.31	128.68	202.39	358.23	105.8	278.4	72	103
County Public Service Boards	85.36	-	29.86	-	64.47	-	215.9	-	76	-

Department	Budget Allocation (Kshs.Millions)		Exchequer Issues (Kshs.Millions)		Expenditure (Kshs. Millions)		Expenditure to Exchequer Issues (%)		Absorption rate (%)	
	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev
County Division for Public Service Management	671.23	150.00	384.65	137.82	422.16	80.62	109.8	58.5	63	54
County Division for County Attorney	96.80	10.00	11.07	-	75.80	2.96	684.6	-	78	30
County Division for Economic Planning	103.46	-	25.53	-	77.99	-	305.5	-	75	-
County Division for Livestock	15.43	41.57	0.88	-	7.76	32.66	884.6	-	50	79
County Division for Information Communication Technology	91.81	-	2.88	-	20.75	-	719.4	-	23	-
County Division for Cooperative Development	31.37	-	-	-	1.60	-	-	-	5	-
County Division for Resource Mobilisation	154.20	-	2.17	-	117.93	-	5,424.4	-	77	-
County Division for Blue Economy	10.05	77.50	3.10	-	3.52	62.26	113.7	-	35	80
County Division for Water Services	143.10	2,540.33	58.85	475.40	70.17	240.88	119.2	50.7	49	10
County Division for Environment and Natural Resources	405.31	-	91.50	-	66.76	-	73.0	-	17	-
County Division for Early Childhood Education and Vocational Training	1,208.17	428.64	729.92	130.15	785.57	168.53	107.6	129.5	65	39
County Division for Health and Sanitation Services	3,498.31	786.84	2,641.34	260.06	3,301.14	147.78	125.0	56.8	94	19

Department	Budget Allocation (Kshs.Millions)		Exchequer Issues (Kshs.Millions)		Expenditure (Kshs. Millions)		Expenditure to Exchequer Issues (%)		Absorption rate (%)	
	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev
County Division for Roads and Transport Services	296.42	1,465.59	258.53	1,195.45	245.70	1,406.53	95.0	117.7	83	96
County Division for Public Works	35.88	-	3.93	-	-	-	-	-	-	-
County Division for Gender and Social Services	80.31	112.70	54.94	21.55	59.32	227.80	108.0	1,057.1	74	202
Youth Affairs & Sports	27.29	284.50	0.95	-	15.80	196.24	1,664.4	-	58	69
County Division for Trade Development	114.51	504.30	64.20	59.08	89.58	20.82	139.5	35.2	78	4
County Division for Tourism Promotion	47.40	-	-	-	16.66	-	-	-	35	-
County Division for Devolution & Civic Education	400.68	43.33	72.75	8.94	8.67	-	11.9	-	2	-
County Division for Special Programs & Disaster Management	196.24	-	197.19	-	178.86	-	90.7	-	91	-
County Division for the County Secretary	48.14	-	1.98	-	22.72	-	1,146.9	-	47	-
County Division for lands	118.02	86.50	57.36	-	102.86	54.85	179.3	-	87	63
County Division for Energy	36.30	200.00	23.12	-	36.30	180.45	157.0	-	100	90
County Division for Physical Planning, Urban Development & Housing	50.46	923.72	13.00	245.53	11.08	387.72	85.3	157.9	22	42
County Division for Forestry and Climate Change	11.25	250.00	-	153.94	1.61	36.77	-	23.9	14	15
Total	10,479.03	9,397.48	6,046.03	3,086.32	7,706.65	4,320.40	127.5	140.0	74	46

Source: *Kilifi County Treasury*

Analysis of expenditure by departments shows that the Department of Gender & Social Services recorded the highest absorption rate of development budget at 202 per cent, followed by the Department of Agriculture at 103 per cent. The Department of Finance had the highest percentage of recurrent expenditure to budget at 93 per cent, while the Department of Devolution & Civic Education had the lowest at 2 per cent.

3.14.17 Budget Execution by Programmes and Sub-Programmes

Budget execution was concentrated in selected performance bands. In the 1–10 per cent band, development absorption was reported for water resources management under the Department of Water Services and Natural Resources at 7 per cent, while recurrent absorption was recorded for cultural heritage conservation under tourism at 8.9 per cent, for development of the Betting, Gaming and Lotteries Act under trade at 6 per cent, for tourism promotion and marketing under tourism at 1 per cent, and for general administration, planning and support services under trade at 1 per cent.

In the 11–20 per cent band, recurrent absorption was reported for statistical information services under economic planning at 12 per cent. In the 21–30 per cent band, development absorption was reported for administration, planning and support services under the Department of Finance at 36 per cent and for urban development and management under the Department of Energy at 37 per cent.

In the 41–50 per cent band, recurrent absorption was reported for county fiscal planning under the Department of Economic Planning at 46 per cent. In the 51–60 per cent band, recurrent absorption was reported for administration, planning and support services under the Department of Finance at 59 per cent, under the Department of Lands and Physical Planning at 56 per cent, and under the Department of Energy at 52 per cent.

In the 61–70 per cent band, development absorption was reported for maintenance and rehabilitation of roads and bridges under the Department of Roads and Public Works at 69 per cent and for alternative energy technologies under the Department of Energy at 63 per cent, while recurrent absorption was recorded for administration, planning and support services under the Department of Special Programmes and Disaster Management at 69 per cent. In the 71–80 per cent band, development absorption reached 80 per cent for fisheries management and development under the Department of Blue Economy.

Low absorption in the lower performance bands was attributed to the slow implementation of the e-procurement system. Conversely, performance in the higher bands was attributed to the timely payment of trade payables and the prioritisation of the respective sub-programmes during the review period.

Table 3.215 summarises budget execution by programmes and sub-programmes in the period under review with the highest absorption rates.

Table 3.215: Budget Execution by Programmes and Sub-Programmes with Highest Absorption Rates

Programme	Sub-Programme	Gross Approved Estimates FY 2025/26 (Kshs.)	Expenditure (including accrued expenditure) as of 31st March 2026 (Kshs.)	Absorption Rate (%)
DEVELOPMENT				
Blue Economy				
	Fisheries Management & Development	77,500,000	62,258,226	80
Roads & Public Works				
	Maintenance & Rehabilitation of Roads & Bridges	1,335,594,782	924,394,163	69
Energy				
	Alternative Energy Technologies	200,000,000	125,569,097	63
Department of Energy				

Programme	Sub-Programme	Gross Approved Estimates FY 2025/26 (Kshs.)	Expenditure (including accrued expenditure) as of 31st March 2026 (Kshs.)	Absorption Rate (%)
	Urban Development and Management	904,499,992	337,346,950	37
RECURRENT				
Department of Special Programme & Disaster Management				
	Administration Planning and Support Services	184,000,000	126,238,716	69
Department of Finance				
	Administration Planning and Support Services	643,266,886	377,364,636	59
lands & Physical Planning				
	Sub-programme 1.1 Administration, Planning and Support Services	114,524,204	63,889,235	56
Department of Energy				
	Sub-programme 1.1 Administration, Planning and Support Services	34,299,548	18,000,000	52
Department of Economic Planning				
	2.0 County Fiscal Planning	38,209,950	17,518,190	46

***Source**: Kilifi County Treasury*

The development sub-programmes with the highest budget implementation rates were: Fisheries Management & Development in the Department of Blue Economy at 80 per cent, Maintenance & Rehabilitation of Roads & Bridges in the Department of Roads & Public Works at 69 per cent, and Alternative Energy Technologies in the Department of Energy at 63 per cent.

For recurrent sub-programmes, the top performers included: Administration, Planning & Support Services in the Department of Special Programmes and Disaster Management at 69 per cent, Administration, Planning & Support Services in the Department of Finance at 59 per cent, and Administration, Planning & Support Services in the Department of Lands & Physical Planning at 56 per cent.

The higher performance of these programmes can be attributed to the timely payment of trade payables.

Table 3.216 summarises the budget execution by programmes and sub-programmes in the period under review that had the lowest absorption rates.

Table 3.216: Budget Execution by Programmes and Sub-Programmes with Lowest Absorption Rates

Programme	Sub-Programme	Gross Approved Estimates FY 2025/26 (Kshs.)	Expenditure (including accrued expenditure) as of 31st March 2026 (Kshs.)	Absorption Rate (%)
DEVELOPMENT				
Finance				
	Administration, planning and support services	1,404,370,000	510,561,229	36
Department of Water Services and Natural Resources				
	Water Resources Management	2,540,325,001	190,482,684	7
RECURRENT				

Programme	Sub-Programme	Gross Approved Estimates FY 2025/26 (Kshs.)	Expenditure (including accrued expenditure) as of 31st March 2026 (Kshs.)	Absorption Rate (%)
Economic Planning				
	Statistical Information Services	7,000,000	820,990	12
Tourism				
	Cultural Heritage conservation	5,600,000	500,000	8.9
Trade				
	Development of Betting, Gaming and Lotteries Act	3,000,000	172,421	6
Tourism				
	Tourism Promotion and Marketing	14,500,000	8,430,049	1
Trade				
	General Administration, Planning and Support Services	13,300,000.00	6,912,364.00	1

Source: *Kilifi County Treasury*

The development sub-programmes with the lowest budget implementation rates were as follows: Administration, Planning & Support Services in the Department of Finance at 36 per cent and Water Resources Management in the Department of Water Services & Natural Resources at 7 per cent.

For recurrent sub-programmes, the poorest performers included: Development of Betting & Gaming in the Department of Trade at 6 per cent, Tourism Promotion & Marketing in the Department of Tourism at 1 per cent, and General Administration, Planning & Support Services in the Department of Trade at 1 per cent.

These lower performance levels can be attributed to the slow implementation of the E-Procurement system.

3.14.18 Settlement of Trade Payables

As of 1st July 2025, the County reported trade payables totalling Kshs.9.54 billion. This amount included Kshs.9.19 billion from the County Executive and Kshs.358.02 million from the County Assembly. The trade payables from the County Executive consisted of Kshs.3.82 billion for recurrent expenditures and Kshs.5.36 billion for development expenditures.

During the reporting period, the County Executive settled trade payables amounting to Kshs.2.16 billion, comprising Kshs.747.48 million (34 per cent) for recurrent programmes and Kshs.1.42 billion (65 per cent) for development programmes. On the other hand, the County Assembly settled trade payables amounting to Kshs.724.57 million, comprising Kshs.519.83 million (72 per cent) for recurrent activities and Kshs.207.74 million (28 per cent) for development activities. The outstanding trade payables as of 31st March 2026 were Kshs.6.10 billion for the County Executive and Kshs.291.53 million for the County Assembly. Table 3.217 provides additional details of trade payables.

Table 3.217: Kilifi County Trade Payables as of 31st March 2026

	County Entity	Development (Kshs.)	Recurrent (Kshs.)	Total (Kshs.)
As at 1 July 2025 (End of FY 2024/25)	County Executive	5,362,385,530	3,820,060,280	9,182,445,810
	County Assembly	78,576,324	279,441,260	358,017,584
	Total	5,440,961,854	4,099,501,540	9,540,463,394
Amount paid in FY 2025/26	County Executive	1,102,246,916	983,285,836	2,085,532,752
	County Assembly	204,743,684	519,830,120	724,573,804
	Total	1,306,990,600		2,810,106,556

	County Entity	Development (Kshs.)	Recurrent (Kshs.)	Total (Kshs.)
Trade Payables Incurred in FY 2025/26	County Executive	1,415,019,277	747,489,864	2,162,509,141
	County Assembly	185,546,264	166,006,798	351,553,062
	Total	1,600,565,541	913,496,662	2,514,062,203
Outstanding Trade Payables as of 31 December 2025 (Kshs.)	County Executive	3,317,426,785	2,786,359,475	6,103,786,260
	County Assembly	4,293,067	287,239,091	291,532,158
Total		**3,321,719,852**	**3,073,598,566**	**6,395,318,418**

Source: *Kilifi County Treasury*

Table 3.218 and Table 3.219 present the ageing of the total outstanding bills as of 31st March 2026 for the County Executive and Assembly.

Table 3.218: Kilifi County Executive Trade Payables Ageing Analysis as of 31st March 2026

Category	Ageing analysis (Amount in Kshs.)				Total
	Under one year	1-2 years	2-3 years	Over 3 years	
Development Trade Payables	**1,170,074,177.12**	835,670,526	**779,522,464.60**	**532,159,617.68**	**3,317,426,785.00**
Recurrent Trade Payables (Goods & Services)	305,277,582.10	936,863,020.80	595,248,486.49	713,428,079.44	**2,550,817,168.83**
Recurrent Trade Payables (Salary Arrears and Statutory Deductions)	95,636,603.80	6,255,420.23	821,864.60	5,223,663.85	**107,937,552.48**
Recurrent Trade Payables (Staff Claims)	21,824,354.00	39,488,695.60	35,336,753.50	30,954,950.61	**127,604,753.71**
Total Recurrent Trade Payables	422,738,539.90	982,607,136.63	631,407,104.59	749,606,693.90	**2,786,359,475.02**
Total Trade Payables	**1,592,812,717.02**	**1,818,277,662.23**	**1,410,929,569.19**	**1,281,766,311.58**	**6,103,786,260.02**
% of Total	**26%**	**30%**	**23%**	**21%**	**100%**

Source: *Kilifi County Treasury*

Table 3.219: Kilifi County Assembly Trade Payables Ageing Analysis as of 31st March 2026

Category	Ageing analysis (Amount in Kshs.)				Total
	Under one year	1-2 years	2-3 years	Over 3 years	
Development Trade Payables	**4,293,067**		**-**	**-**	**4,293,067**
Recurrent Trade Payables (Goods & Services)	22,113,992	175,212,270	50,905,376	10,709,070	**258,940,708**
Recurrent Trade Payables (Salary Arrears and Statutory Deductions)	-	-	-		**-**
Recurrent Trade Payables (Staff Claims)	12,182,887	12,534,505	2,557,756	1,023,235	**28,298,383**
Total Recurrent Trade Payables	**34,296,879**	**187,746,775**	**53,463,132**	**11,732,305**	**287,239,091**
Total Trade Payables	**38,589,946**	**187,746,775**	**53,463,132**	**11,732,305**	**291,532,158**
% of Total	**13%**	**64%**	**18%**	**4%**	**100%**

Source: *Kilifi County Treasury*

3.14.19 General Observations and Recommendations

In the course of overseeing and reporting on the implementation of the Kilifi County budget, the CoB identified the following challenges, which hampered effective budget implementation;

i. The County Treasury's late submission of financial reports to the Controller of Budget affected the timely preparation of the budget implementation report, which was received on 28th April 2026
ii. The underperformance of own-source revenue at Kshs.1.22 billion against an annual target of Kshs.2.38 billion, representing 51 per cent of the financial year target.
iii. Low development performance in the review period as the County incurred Kshs.4.32 billion on development activities, achieving a 46 per cent absorption rate.
iv. Unspent funds from FY 2024/25 were not refunded into the CRF account, resulting in actual expenditures exceeding the approved exchequer in several departments, as shown in Table 3.12.
v. High level of trade payables, which amounted to Kshs.6.39 billion as of 31st March 2026. Furthermore, the County Treasury did not adhere to the trade payables payment plan.
vi. Use of manual payroll. Personnel emoluments amounting to Kshs.86.76 million for staff not onboarded into the HRIS and casual staff were processed through a manual payroll, accounting for 2 per cent of the total payroll cost. Manual payroll is prone to abuse and may result in the loss of public funds.
vii. Non-submission of copies of authorisation letters for opening commercial bank accounts as per Regulation 82(5) of the Public Finance Management (County Governments) Regulations, 2015.

The County should implement the following recommendations to improve budget execution:

i. *The County Treasury should ensure the timely preparation and submission of financial reports to the Controller of Budget per the timelines prescribed in Section 166 of the PFM Act, 2012.*
ii. *The County should address its own-source revenue performance to ensure the approved budget is fully financed. Appropriate austerity measures should be implemented to ensure expenditure commitments are aligned with available revenue.*
iii. *The County should implement strategies to increase development expenditures in FY 2025/26.*
iv. *The County Treasury should ensure unspent funds from the previous financial year are deposited into the CRF Account in line with Section 136 of the PFM Act 2012.*
v. *The CECMF should follow up to ensure Fund Administrators prepare and submit statutory reports in line with the PFM Act, 2012.*
vi. *The County Leadership should address the situation of trade payables to ensure that genuine bills are paid promptly in the remaining financial year. Further, compliance with the Trade Payables Action Plan should be enforced.*
vii. *The Government requires that salaries be processed through the HRIS system, and the County is advised to fast-track the acquisition of Unified Personnel Numbers for their staff. The County Public Service Board should regulate staff engagement on contract and casual workers as provided under Section 74 of the County Governments Act 2012. Furthermore, strict adherence to the approved staff establishment should be maintained.*
viii. *The County Treasury should ensure it submits copies of authorisation letters to the CoB for opening commercial bank accounts to enhance accountability and oversight.*

3.15. County Government of Kirinyaga

3.15.1 Overview of FY 2025/26 Budget

The Kirinyaga County Approved Supplementary Budget for FY 2025/26 is Kshs.8.54 billion. It comprises Kshs.3.25 billion (38 per cent) and Kshs.5.29 billion (62 per cent) allocation for development and recurrent programmes, respectively. The budget estimates represent an increase of Kshs.615.66 million (8 per cent) from the FY 2024/25 budget, which comprised a development budget of Kshs.2.99 billion and a recurrent budget of Kshs.4.93 billion. The increase in the budget was primarily attributed to the rise in Equitable Share and Own Source Revenue.

The budget is to be financed from various revenue sources. These include the equitable share of revenue raised nationally of Kshs.6.15 billion (72 per cent), additional allocations of Kshs.1.59 billion (19 per cent), a cash balance brought forward from FY 24/25 of Kshs.34.61 million (0.4 per cent) and Kshs.764 million (9 per cent) generated as own-source revenue. A breakdown of the additional allocations is shown in Table 3.220.

3.15.2 Revenue Performance

During the first nine months of FY 2025/26, the County reported total revenues amounting to Kshs.5.92 billion. This amount represented an increase of 29 per cent compared to the amount received in a similar period in FY 2024/25 of Kshs.4.2 billion. The total revenue consisted of Kshs.4.61 billion from the equitable share of revenue raised nationally, additional allocations from the national government and development partners of Kshs.490.65 mmillion, and own-source revenue (OSR) collection of Kshs.779.54 million. Additionally, the County had a cash balance of Kshs.34.61 million from FY 2024/25. The total OSR collection of Kshs.779.54 million included Facilities Improvement Financing (FIF) of Kshs.454.80 million, and Kshs.324.74 million from other OSR sources. Table 3.220 summarises the total revenue available to the County Government during FY 2025/26.

Table 3.220: Kirinyaga County, Revenue Performance in the first nine months of FY 2025/26

No	Revenue Stream	Annual Targeted Revenue (Kshs.)	Actual Receipts (Kshs.)	Receivables in the First Nine Months of FY 2025/26 (Kshs.)	Total Revenues (in accrual basis) in the First Nine Months of FY 2025/26 (Kshs.)	Variance (Kshs.)
		A	B	C	D=B+C	E=A-D
A	**Unspent Balance from FY 2024/25**					
1	Balance at CRF	34,608,606	34,608,606	-	34,608,606	-
	Sub-Total	**34,608,753**	**34,608,753**	**-**	**34,608,753**	**-**
B	**Equitable Share of Revenue Raised Nationally**					
1	Equitable Share	6,151,661,892	4,090,855,159	522,891,260	4,613,746,419	1,537,915,473
	Sub-Total	**6,151,661,892**	**4,090,855,159**	**522,891,260**	**4,613,746,419**	**1,537,915,473**
C	**Additional Allocations (Including Grants)**					
1	Community Health Promoters (CHPs) Programme	56,049,816	-	-	-	56,049,816
2	Allocations for 0.5 % of the Housing Levy Fund to the County Rural and Urban Affordable Housing Committees	194,894,333	67,262,744	-	67,262,744	127,631,589
3	Financing of FLLoCA County Climate Institutional Support (CCIS) Grant	78,963,839	78,963,839	-	78,963,839	-
4	Financing of FLLoCA County Climate Resilience Investment (CCRI) Grant	84,278,594	84,278,594	-	84,278,594	-
5	Kenya Devolution Support Programme Phase Two (KDSP II) Level I Grant	72,909,500	70,503,590	-	70,503,590	2,405,910
6	Kenya Devolution Support Programme Phase Two (KDSP II) Level 2 Grant	352,500,000	-	-	-	352,500,000
7	Kenya Urban Project (KUSP)-Urban Development Grant (UDG)	38,300,000	37,537,532	-	37,537,532	762,468
8	Kenya Water, Sanitation and Hygiene (K-WASH) Programme	366,729,808	-	-	-	366,729,808
9	National Agricultural Value Chain Development Project (NAVCDP)	339,639,410	152,101,534	-	152,101,534	187,537,876
10	Allocation from DANIDA to finance Universal Healthcare in Devolved System	6,834,000	-	-	-	6,834,000
	Sub-Total	**1,591,099,300**	**490,647,833**	**-**	**490,647,833**	**1,100,451,467**

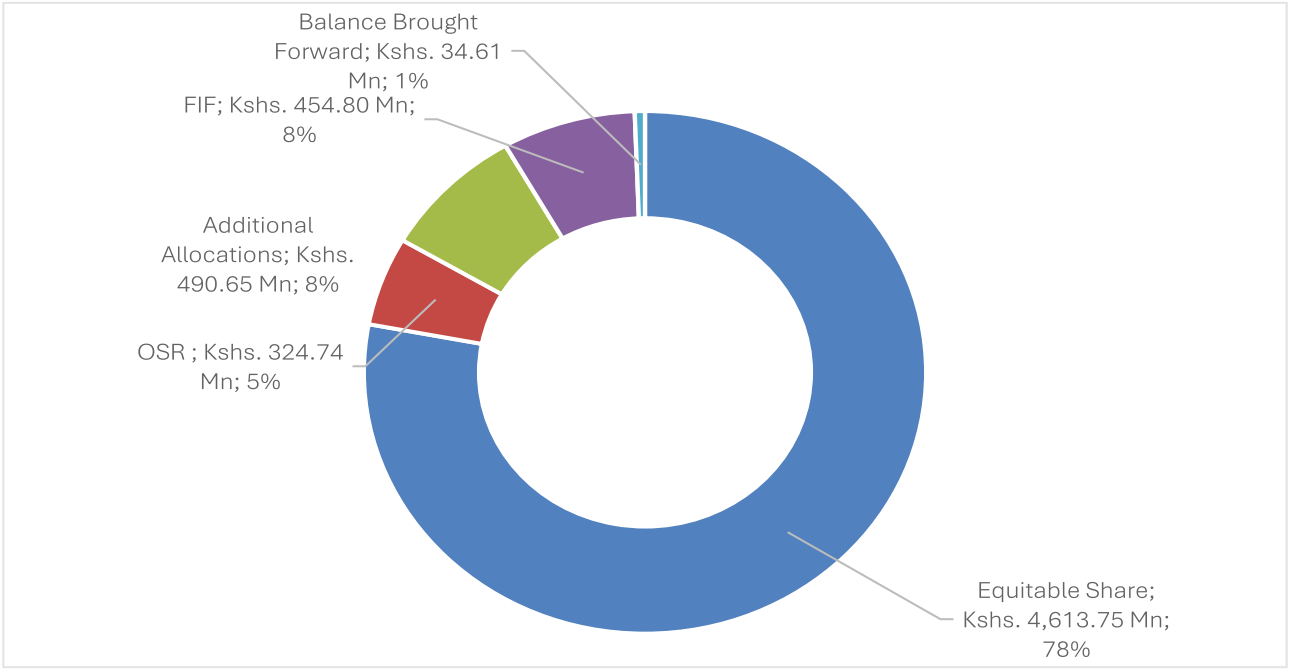
No	Revenue Stream	Annual Targeted Revenue (Kshs.)	Actual Receipts (Kshs.)	Receivables in the First Nine Months of FY 2025/26 (Kshs.)	Total Revenues (in accrual basis) in the First Nine Months of FY 2025/26 (Kshs.)	Variance (Kshs.)
		A	B	C	D=B+C	E=A-D
D	**Ordinary Own Source Revenue (OSR)**					
1	Ordinary Own Source Revenue (OSR)	459,000,000	324,744,171		324,744,171	134,255,829
	Sub-Total	**459,000,000**	**324,744,171**	**-**	**324,744,171**	**134,255,829**
E	**Facility Improvement Financing (FIF)**					
1	Facility Improvement Financing (FIF)	305,000,000	454,800,232		454,800,232	- 149,800,232
	Sub-Total	**305,000,000**	**454,800,232**	**-**	**454,800,232**	**- 149,800,232**
	Grand Total	**8,541,369,945**	**5,395,656,148**	**522,891,260**	**5,918,547,408**	**2,622,822,537**

Source: *Kirinyaga County Treasury*

The County does not have any legislation governing operation of ordinary Appropriation in aid and FIF. However, the County uses the National FIF Act of 2013 to operationalise FIF in its health centres.

Figure 3.85 provides a detailed breakdown of receipts.

Figure 3.85: Kirinyaga County Composition of Revenue in the first nine months of FY 2025/26

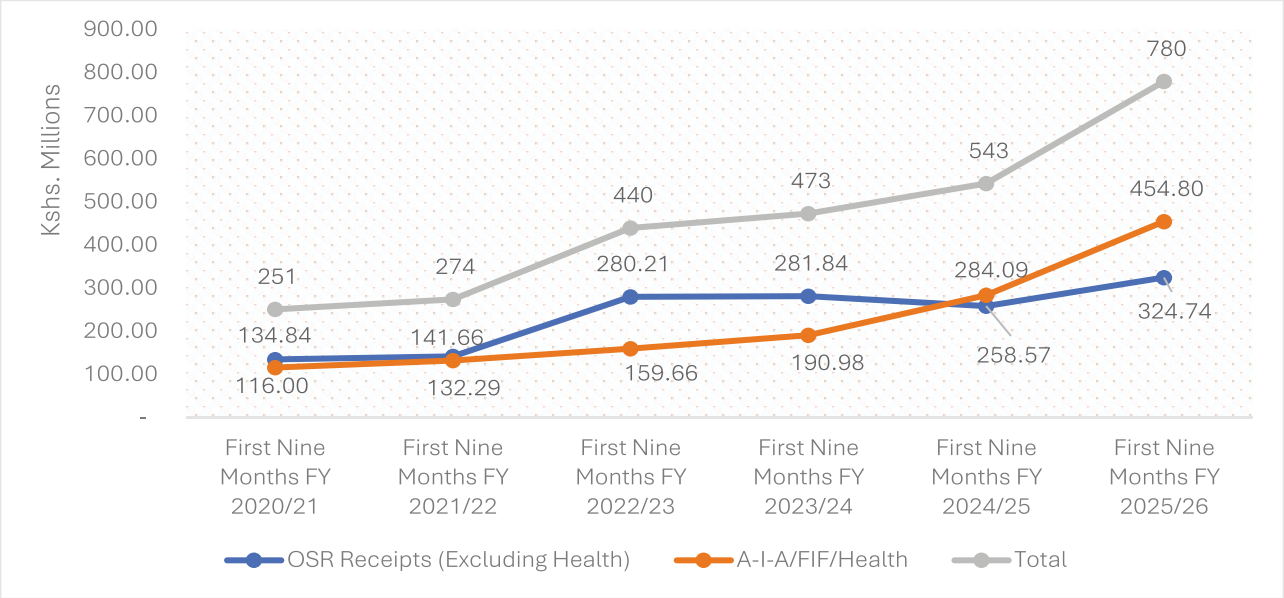


Source: *Kirinyaga County Treasury*

The equitable share of revenue raised nationally, FIF, and OSR contributed 78 per cent, 8 per cent and 5 per cent, respectively, of the total receipts for the reporting period.

Figure 3.86 shows the collection trend in own-source revenue from the first nine months of FY 2020/21 to the first nine months of FY 2025/26.

Figure 3.86: Kirinyaga County Trend in Own-Source Revenue Collection from the first nine months of FY 2020/21 to the first nine months of FY 2025/26



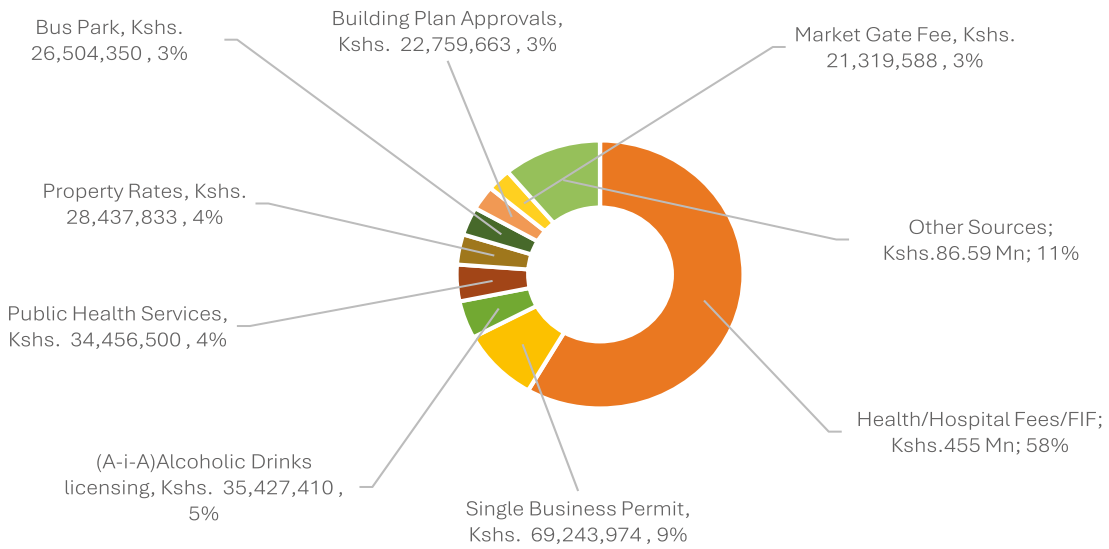
Source: *Kirinyaga County Treasury*

During the first nine months of FY 2025/26, the County received Kshs.779.54 million from OSR, including FIF. This amount was an increase of 44 per cent compared to Kshs.542.66 million realised in a similar period in FY 2024/25, and was 102 per cent of the annual target and 13 per cent of the equitable revenue share disbursed.

The increase in OSR was attributed to the County's continued enhancement of health services in it's facilities which has led to an increase in number of patients thus increased revenue.

The revenue streams that contributed the most to OSR receipts are shown in Figure 3.87.

Figure 3.87: Kirinyaga County Top Own Source Revenue Streams in the first nine months of FY 2025/26



Source: Kirinyaga County Treasury

As shown in Figure 3.87, the largest revenue stream, at Kshs.445.80 million, was Health/Hospital Fees/FIF, accounting for 58 per cent of total OSR receipts. The County Government indicated that it has automated all the revenue streams.

3.15.3 Borrowing by the County

The County did not disclose that it had any short-term borrowings as of 31st March 2026.

3.15.4 Withdrawals from the County Revenue Fund and County Assembly Fund

During the reporting period, the Controller of Budget approved exchequer withdrawal requests totalling Kshs.4.43 billion from the Kirinyaga County Revenue Fund (CRF) account. This amount consisted of Kshs.1.27 billion (29 per cent) designated for development programs and Kshs.3.16 billion (71 per cent) allocated for recurrent programs.

An analysis of the released recurrent exchequers shows that Kshs.1.91 billion was allocated to employee compensation and Kshs.1.26 billion to operations and maintenance expenditures. Within the operations and maintenance category, 18 per cent was for domestic travel and nil per cent for foreign travel. The domestic travel exchequers totalled Kshs.235.37 million, which included Kshs.190.50 million for the County Executive and Kshs.44.87 million for the County Assembly. Meanwhile, the foreign travel exchequers amounted to nil for both the County Executive and County Assembly. Further, the County had not operationalised the County Assembly Fund as of 31st March 2026.

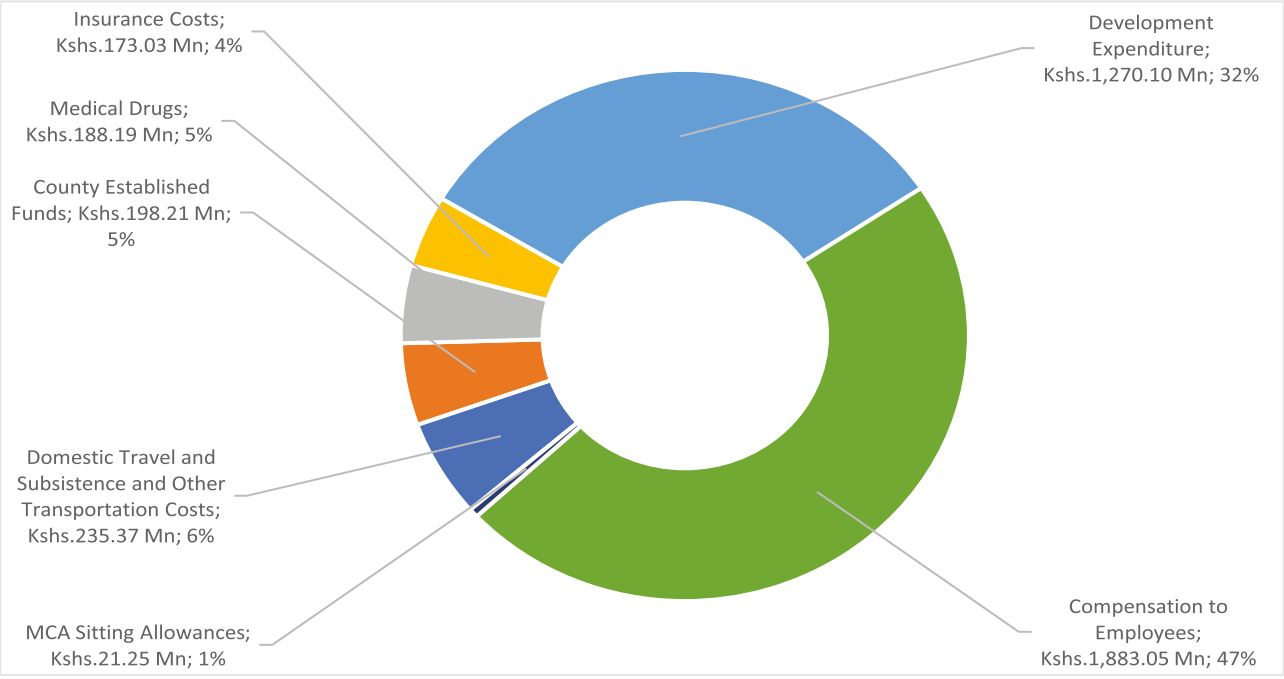
As of 31st March 2026, the County Government's cash balance in the Kirinyaga CRF account was Kshs.635 million.

3.15.5 Expenditure Review

The County spent Kshs.4.43 billion on development and recurrent programmes during the reporting period. The expenditure represented 100 per cent of the total funds released by the CoB. It comprised Kshs.1.27 billion for development programmes and Kshs.3.16 billion for recurrent programmes. Expenditure on development programmes accounted for 39 per cent of the annual development expenditure budget, while recurrent expenditure accounted for 60 per cent of the annual recurrent expenditure budget.

Figure 3.88 provides a detailed breakdown of total expenditure.

Figure 3.88: Kirinyaga County Composition of Expenditure in the first nine months of FY 2025/26



Source: Kirinyaga *County Treasury*

As shown in Figure 3.88, the three highest expenditure categories were Personnel Emoluments, Development Expenditure and County Established Funds contributing 43, 29 and 9 per cent of total expenditure for the reporting period.

3.15.6 Expenditure by Economic Classification

The County Executive incurred Kshs.1.65 billion in employee compensation, Kshs.921.62 million in operations and maintenance, and Kshs.1.24 million in development activities. Similarly, the County Assembly spent Kshs.258.59 million on compensation of employees, Kshs.334.41 million on operations and maintenance, and Kshs.25.24 million on development activities, as shown in Table 3.221.

Table 3.221: Kirinyaga County Summary of Budget and Expenditure by Economic Classification

Sector / Category	Budget (Kshs)	Exchequer Issues (Kshs)	Amount Paid in the First Nine Months of FY 2025/26 (Kshs.) (b)	Expenditure Accrued in the First Nine Months of FY 2025/26 (Kshs.) (c)	Total Expenditure in the First Nine Months of FY 2025/26 (Kshs.) (d=b+c)	Absorption (%) (d/a*100)
County Executive						
Recurrent	**4,512,564,901**	**2,570,510,332**	**2,570,510,332**	**-**	**2,570,510,332**	**57**
Compensation to Employees	2,679,119,274	1,648,885,852	1,648,885,852	-	1,648,885,852	62
Operations & Maintenance	1,833,445,627	921,624,480	921,624,480	-	921,624,480	50
Development	**3,117,878,648**	**1,244,865,921**	**1,244,865,921**	**-**	**1,244,865,921**	**40**
Executive Sub-total	**7,630,443,549**	**3,815,376,253**	**3,815,376,253**	**-**	**3,815,376,253**	**50**
County Assembly						
Recurrent	**780,134,062**	**592,997,056**	**592,997,056**	**-**	**592,997,056**	**76**
Compensation to Employees	341,974,824	258,586,172	258,586,172	-	258,586,172	76
Operations & Maintenance	438,159,238	334,410,883	334,410,883	-	334,410,884	76
Development	**130,792,334**	**25,237,191**	**25,237,191**	**-**	**25,237,191**	**19**
Assembly Sub-total	**910,926,396**	**618,234,247**	**618,234,247**	**-**	**618,234,247**	**68**
Combined County Totals						
Total Recurrent	**5,292,698,963**	**3,163,507,388**	**3,163,507,388**	**-**	**3,163,507,388**	**60**
Compensation to Employees	3,021,094,098	1,907,472,024	1,907,472,024	-	1,907,472,024	63
Operations & Maintenance	2,271,604,865	1,256,035,364	1,256,035,364	-	1,256,035,364	55
Total Development	**3,248,670,982**	**1,270,103,112**	**1,270,103,112**	**-**	**1,270,103,112**	**39**
Grand Total	**8,541,369,945**	**4,433,610,500**	**4,433,610,500**	**-**	**4,433,610,500**	**52**

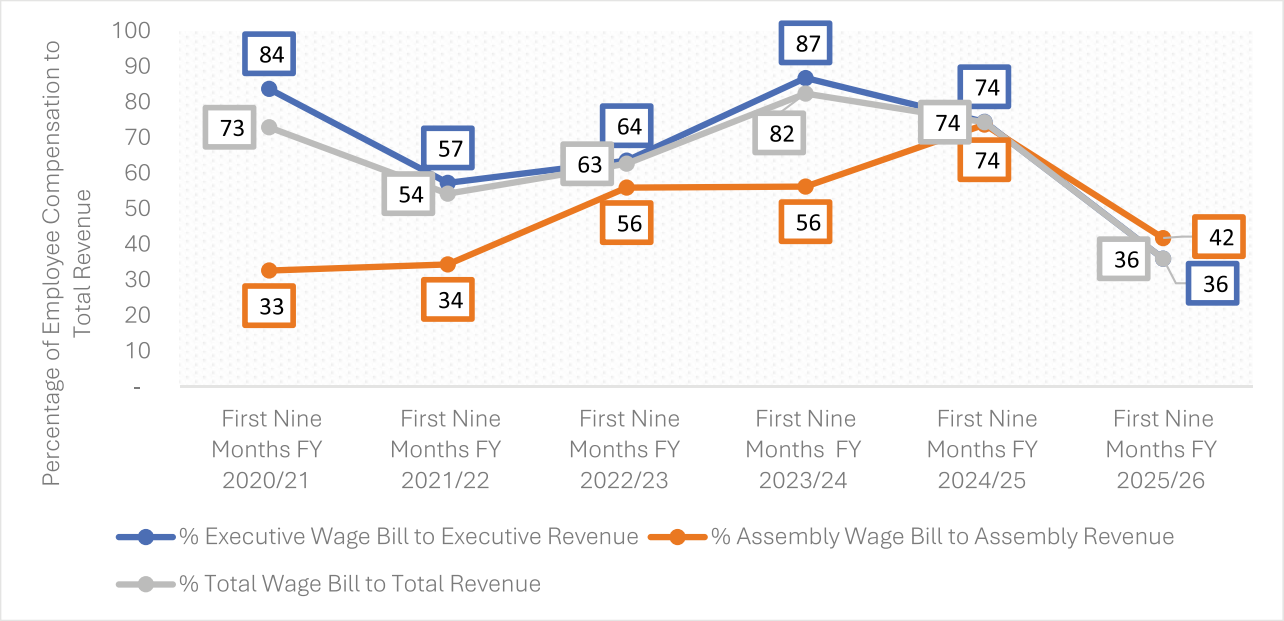
Source: *Kirinyaga County Treasury*

3.15.7 Expenditure on Employee Compensation

The expenditure on employee compensation totalled Kshs.1.91 billion, representing 32 per cent of the total revenue. This expenditure on employee compensation shows a decrease of 1 per cent compared to the Kshs.1.93 billion reported in a similar period in FY 2024/25. Of this total, Kshs.923.21 million related to Health sector employees, accounting for 48 per cent of the overall employees' compensation.

Figure 3.89 shows the trend in employee compensation as a percentage of total revenue from the first nine months of FY 2020/21 to the first nine months of FY 2025/26.

Figure 3.89: Percentage of Employee Compensation Expenditure to Total Revenue Received in the first nine months of FY 2020/21 to the first nine months of FY 2025/26



Source: *Kirinyaga County Treasury*

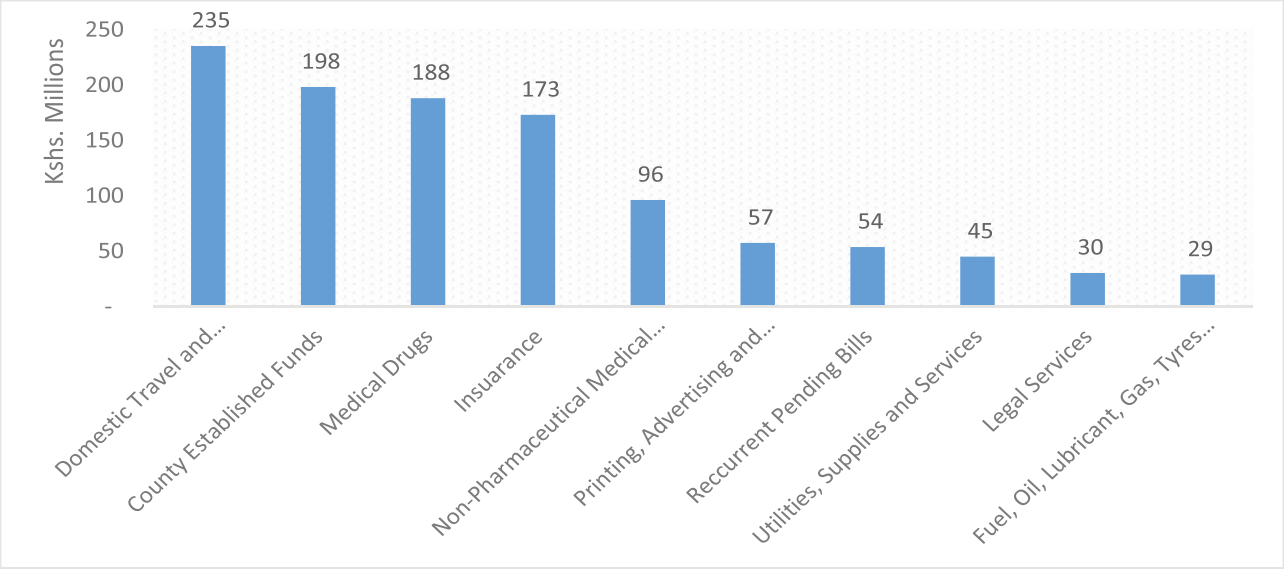
Further analysis indicated that PE costs amounting to Kshs.1.77 billion were processed through the Human Resource Information System (HRIS). In contrast, Kshs.133.67 million was processed through manual payrolls, which accounted for 7 per cent of the total PE cost. The justification for the continued use of manual payroll was casuals yet to be issued with personal numbers. The CPSB has however started onboarding casuals into HRIS.

The County Assembly spent Kshs.21.25 million on committee sitting allowances for the 34 MCAs against the annual budget allocation of Kshs.52.83 million. The average monthly sitting allowance was Kshs.69,442 per MCA. The County Assembly has 23 House Committees.

3.15.8 Expenditure on Operations and Maintenance

During the reporting period, the County spent Kshs.1.26 billion on operations and maintenance, representing an increase of 28 per cent compared to a similar period in FY 2024/25, when the County spent Kshs.905.52 million. Figure 3.90 illustrates the distribution of Operations and Maintenance expenditures across the major spending categories.

Figure 3.90: Kirinyaga County, Operations and Maintenance Expenditure by Major Categories



Source: *Kirinyaga County Treasury*

3.15.9 County-Established Funds

Section 116 of the PFM Act 2012 allows County Governments to establish other public funds, subject to approval from the County Executive Committee and the County Assembly. The County allocated Kshs.561.35 million to County-Established funds in FY 2025/26, representing 7 per cent of the County's overall budget. Of this amount, the County allocated Kshs.26 million to the Emergency Fund in line with Section 110 of the PFM Act, 2012, accounting for 0.3 per cent of the total budget. Table 3.222 summarises each established Fund's budget allocation and performance during the reporting period.

Table 3.222: Performance of Kirinyaga County Established Funds in the first nine months of FY 2025/26

S/No.	Name of the Fund	Year Established	Approved Budget Allocation in FY 2025/26 (Kshs.)	Exchequer Issues in First Nine Months of FY 2025/26 (Kshs.)	Actual Expenditure in the First Nine of FY 2025/26 (Kshs.)	Cumulative disbursements to the Fund (Kshs)	Submission of Financial Statements (Yes/No.)
County Executive Established Funds							
1.	Kirinyaga County Emergency Fund	2015	26,000,000	15,000,000	-	51,561,710	Yes
2.	Kirinyaga County Executive Staff Mortgage & Car Loan Scheme Fund	2016	31,300,000	-	-	288,800,000	Yes
3.	Kirinyaga County Education Bursary Fund	2016	129,500,000	129,500,000	1,113,616	462,750,000	Yes
4.	Kirinyaga County Agricultural Institutions	2024	5,000,000	5,000,000	1,490,578	5,000,000	Yes
5.	Kirinyaga County	2025	14,549,000	3,500,000	2,188,300	21,029,000	Yes
6.	Kirinyaga County Health Facilities Improvement Fund	2024	305,000,000	91,757,824	34,907,731	309,757,824	Yes
County Assembly Established Funds							
7.	County Assembly Staff Car Loans and Mortgage Fund	2014	50,000,000	52,500,000	15,000,000	-	Yes
Total			**561,349,000**	**297,257,824**	**54,700,225**	**1,138,898,534**	

Source: *Kirinyaga County Treasury*

During the reporting period, the CoB did receive quarterly financial reports from all Fund Administrators, as indicated in Table 3.222.

3.15.10 Expenditure on Domestic and Foreign Travel

Expenditure on domestic travel amounted to Kshs.235.37 million and comprised Kshs.190.50 million spent by the County Assembly and Kshs.44.87 million by the County Executive. Expenditure on foreign travel was nil during the reporting period.

3.15.11 Facility Improvement Financing

During the review period, the County reported collections of Kshs.454.80 million as FIF, which was 149 per cent of the annual target of Kshs.305 million. The collected amount was retained and utilised at source in line with the Facility Improvement Financing Act, 2023. The County has however, not developed regulations to operationalise the FIF Act of 2023.

The expenditure by the health facilities amounted to Kshs.45.34 million, as shown in Table 3.223.

Table 3.223: Kirinyaga County Health Facilities Expenditure Performance in the first nine months of FY 2025/26

No.	Health Facility	Number of Facilities	Approved Budget (Kshs.)	Actual Expenditure (Kshs.)	Absorption rate (%)
1.	Kerugoya Referral Hospital	1	87,562,491.00	31,467,680.00	36
2.	Kimbimbi Hospital	1	23,881,190.00	6,903,891.50	29
3.	Kianyaga Hospital	1	10,435,040.00	3,873,935.50	37
4.	Sagana Hospital	1	8,082,120.00	3,097,352.50	38
	Total		**129,960,841.00**	**45,342,859.50**	**35**

Source: *Kirinyaga County Treasury*

3.15.12 Development Expenditure

In the review period, the County reported spending Kshs.1.27 billion on development programmes, representing an increase of 22 per cent compared to FY 2024/25, when the County spent Kshs.992.23 million. Table 3.224 summarises the development projects with the highest expenditure in the reporting period.

Table 3.224: Kirinyaga County, List of Development Projects with the Highest Expenditure

No	Sector	Project Name	Project Location	Total Funding in FY 2025/26 (Kshs.)	Expenditure (on an accrual basis) in the first nine months of FY 2025/26 (Kshs.)	Percentage (%) of Completion
County Funded Projects						
1	Medical Services and Public Health	Upgrading of Kimbimbi Hospital	County Hqs	240,000,000	152,130,135	63
2	Transport and Infrastructure	Flagship project Mwea West	County Hqs	100,000,000	100,000,000	100
3	Lands, Housing and Urban Development	Purchase of (1) Fire engine and equipping of the newly constructed fire station offices at Kutus Town	County Hqs	50,000,000	50,000,000	100
4	Cooperative Development Trade &Tourism	Completion of Sagana Industrial City incorporating CAIPs	County Hqs	46,000,000	46,000,000	100
5	Medical Services and Public Health	Upgrading of Kianyaga Hospital	County Hqs	180,000,000	45,357,315	25
6	Environment and Natural Resources	County Co-financing for FLLOCA	County Hqs	40,000,000	40,000,000	100
7	Medical Services and Public Health	Final accounts for Kerugoya Medical Complex	County Hqs	57,000,000	32,279,893	57
8	Agriculture, Livestock and Fisheries	County co-financing for NAVCDP projects	County Hqs	30,000,000	30,000,000	100
9	Gender and Youth	Allocation for Women's Assembly Caucus	County Hqs	22,000,000	21,995,313	100
10	Transport and Infrastructure	Leasing of Murram	County Hqs	20,500,000	20,500,000	100
11	Education	Grants to County VTCs	County Hqs	20,000,000	20,000,000	100
Donor Funded Projects						
1	Agriculture, Livestock and Fisheries	National Agricultural Value Chain Development Project (NAVCDP) (FY 2024/2025	County Hqs	108,389,410	108,389,410	100
2	Environment and Natural Resources	World Bank (Finance Locally-Led Climate Program (FLLoCA) for County Climate Resilience Investment	County Hqs	78,963,839	78,963,839	100

No	Sector	Project Name	Project Location	Total Funding in FY 2025/26 (Kshs.)	Expenditure (on an accrual basis) in the first nine months of FY 2025/26 (Kshs.)	Percentage (%) of Completion
3	Environment and Natural Resources	Financing Locally- Led Climate Action (FLLoCA) Program – County Climate Resilience Investment Grant	County Hqs	84,278,594	75,850,736	90
4	Transport and Infrastructure	Allocation of Roads Maintenance Fuel Levy Fund (RMLF)	County Hqs	194,894,333	67,262,744	35
5	Agriculture, Livestock and Fisheries	National Agricultural Value Chain Development Project (NAVCDP)	County Hqs	231,250,000	43,712,124	19
6	Finance and Economic Planning	Kenya Devolution Support Programme Grant (KDSP II) Level 1 Grant	County Hqs	72,909,500	35,253,472	48

Source: *Kirinyaga County Treasury*

3.15.13 Budget Performance by Department

Table 3.225 summarises the approved budget allocation, expenditure, and absorption rate by department for the period under review.

Table 3.225: Kirinyaga County, Budget Allocation and Absorption Rate by Department in the first nine months of FY 2025/26

Department	Budget Allocation (Kshs.Millions)		Exchequer Issues (Kshs.Millions)		Expenditure (Kshs. Millions)		Expenditure to Exchequer Issues (%)		Absorption rate (%)	
	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev
County Executive	443.55	7.50	290.01	6.39	290.01	6.39	100.0	100.0	65	85
Finance and Economic Planning	737.34	535.41	451.23	42.34	451.23	42.34	100.0	100.0	61	8
Medical Services and Public Health	2,338.38	560.38	1,209.69	246.14	1,209.69	246.14	100.0	100.0	52	44
Education	323.60	36.34	263.71	25.97	263.71	25.97	100.0	100.0	81	71
Agriculture, Livestock and Fisheries	210.82	398.54	135.28	192.20	135.28	192.20	100.0	100.0	64	48
Gender and Youth	42.32	103.60	20.77	86.93	20.77	86.93	100.0	100.0	49	84
Sports Culture and Social Services	35.41	14.02	16.59	3.50	16.59	3.50	100.0	100.0	47	25
Cooperative Development Trade and Tourism	43.79	59.37	11.28	46.00	11.28	46.00	100.0	100.0	26	77
Environment and Natural Resources	142.77	649.98	80.14	207.20	80.14	207.20	100.0	100.0	56	32
Lands, Housing and Urban Development	72.44	62.70	7.21	50.00	7.21	50.00	100.0	100.0	10	80
Transport and Infrastructure	122.14	690.04	84.59	338.21	84.59	338.21	100.0	100.0	69	49
County Assembly	780.13	130.79	593.00	25.24	593.00	25.24	100.0	100.0	76	19
Total	**5,292.70**	**3,248.67**	**3,163.51**	**1,270.10**	**3,163.51**	**1,270.10**	**100.0**	**100.0**	**60**	**39**

Source*: Kirinyaga County Treasury*

Analysis of expenditure by departments shows that the County Executive recorded the highest absorption rate of development budget at 85 per cent, followed by the Department of Gender and Youth at 84 per cent. The Department of Education had the highest percentage of recurrent expenditure to budget at 81 per cent, while the Department of Lands, Housing and Urban Development had the lowest at 10 per cent.

3.15.14 Budget Execution by Programmes and Sub-Programmes

Budget execution was concentrated in selected performance bands. In the 1–10 per cent band, development absorption was reported for finance services under the Department of Finance and Economic Planning at 8 per cent and for water and irrigation under the Department of Environment and Natural Resources at 3 per cent, while recurrent absorption was recorded for county spatial planning under the Department of Lands, Housing and Urban Development at 1 per cent, for construction and maintenance of roads and bridges under the Department of Transport and Infrastructure at 8 per cent, and for general administration and planning, child community support services, and environment management and protection, each at 10 per cent.

In the 11–20 per cent band, development absorption was reported for legislation and oversight under the County Assembly at 19 per cent. In the 21–30 per cent band, development absorption was reported for development of sports and sports facilities under the Department of Sports, Culture and Social Services at 25 per cent. In the 31–40 per cent band, development absorption was reported for pre-primary and child care services under the Department of Education at 37 per cent.

No sub-programmes were reported in the 41–50 per cent or 51–60 per cent bands. In the 61–70 per cent band, no further sub-programmes were reported. In the 71–80 per cent band, development absorption was reported for town zoning and mapping under the Department of Lands, Housing and Urban Development at 80 per cent and for general administration and planning under the Department of Cooperative Development, Trade and Tourism at 77 per cent.

In the 81–90 per cent band, development absorption was reported for gender and social development under the Department of Gender and Youth at 84 per cent and for county executive services under the County Executive at 85 per cent, while recurrent absorption was recorded for free pre-primary education under the Department of Education at 90 per cent. In the 90–100 per cent band, development absorption reached 100 per cent for tertiary education under the Department of Education, while recurrent absorption reached 100 per cent for extension and training under Kamweti Agricultural Training Centre and for inspections and investigations for cooperatives, and 97 per cent for infrastructure development services under the Department of Transport and Infrastructure. No sub-programmes were reported above 100 per cent.

Low absorption in the lower performance bands reflected slow implementation across finance, water, spatial planning, road construction and lands administration sub-programmes. Conversely, performance in the higher bands reflected the prioritisation of the respective sub-programmes during the review period.

Table 3.226 summarises budget execution by programmes and sub-programmes in the period under review with the highest absorption rates.

Table 3.226: Budget Execution by Programmes and Sub-Programmes with Highest Absorption Rates

Development						
Programme	Sub-Programme	Revised Approved Estimates		Actual Expenditure		Absorption Rate %
		Rec	Dev	Rec	Dev	Dev
Education						
State Education Function Support	Tertiary Education	-	20,000,000	-	20,000,000	100
County Executive						
County Executive Administration	County Executive Services	-	7,500,000	-	6,385,890	85
Gender and Youth						
Culture	Gender and Social Development	3,340,000	103,599,700	2,060,550	86,930,316	84
Lands, Housing and Urban Development						
Lands and Physical Planning	Town Zoning and Mapping	-	62,700,000	-	50,000,000	80
Cooperative Development Trade and Tourism						

Development						
Programme	Sub-Programme	Revised Approved Estimates		Actual Expenditure		Absorption Rate %
		Rec	Dev	Rec	Dev	Dev
Cooperative Development and Marketing	General Administration & Planning	36,867,741	59,370,000	7,371,858	46,000,000	77
Recurrent						
Programme	**Sub-Programme**	**Revised Approved Estimates**		**Actual Expenditure**		**Absorption Rate %**
		Rec	**Dev**	**Rec**	**Dev**	**Rec**
Agriculture, Livestock and Fisheries						
Kamweti Agricultural Training Centre	Extension and Training	5,000,000	-	5,000,000	-	100
Cooperative Development Trade and Tourism						
Cooperative Audit Services	Inspections and Investigations for Cooperatives	35,000	-	35,000	-	100
Transport and Infrastructure						
Infrastructure Development, Maintenance & Management	Infrastructure Development Services	11,650,000	-	11,310,094	-	97
Cooperative Development Trade and Tourism						
Tourism Development and Marketing	Promotion of Industrial Development	2,718,500	-	2,536,200	-	93
Education						
Basic Education	Free Pre- Primary Education	6,230,000	-	5,634,383	-	90

Source: *Kirinyaga County Treasury*

The development sub-programmes with the highest budget implementation rates were: Tertiary Education in the Department of Education at 100 per cent; County Executive Services in the Department of County Executive at 85 per cent; and Gender and Social Development in the Department of Gender and Youth at 84per cent.

For recurrent sub-programmes, the top performers included: Extension and Training in the Department of Agriculture, Livestock and Fisheries at 100 per cent; Inspections and Investigations for Cooperatives in the Department of Cooperative Development Trade and Tourism at 100 per cent; and Infrastructure Development Services in the Department of Transport and Infrastructure at 97 per cent.

Table 3.227 summarises the budget execution by programmes and sub-programmes in the period under review that had the lowest absorption rates.

Table 3.227: Budget Execution by Programmes and Sub-Programmes with Lowest Absorption Rates

Development						
Programme	Sub-Programme	Revised Approved Estimates		Actual Expenditure		Absorption Rate %
		Rec	Dev	Rec	Dev	Dev
Finance and Economic Planning						
Public Finance Management	Finance Services	665,041,281	535,409,500	407,430,274	42,339,869	8
County Assembly						

Development						
Programme	Sub-Programme	Revised Approved Estimates		Actual Expenditure		Absorption Rate %
		Rec	Dev	Rec	Dev	Dev
Legislation and Oversight	Legislation and Oversight	780,134,062	130,792,334	592,997,056	25,237,191	19
Sports Culture and Social Services						
Sports	Development of Sports and Sports FacilitieS	-	14,019,485	-	3,496,285	25
Environment and Natural Resources						
Water Supply Services	Water and Irrigation	1,850,000	649,980,621	875,000	207,200,955	3
Education						
State Education Function Support	Pre-Primary and Child Care Services	-	16,343,165	-	5,971,014	37
Recurrent						
Programme	**Sub-Programme**	**Revised Approved Estimates**		**Actual Expenditure**		**Absorption Rate %**
		Rec	Dev	Rec	Dev	Rec
Lands, Housing and Urban Development						
Lands and Physical Planning	County Spatial Planning	3,065,000	-	29,800	-	1
Transport and Infrastructure						
Roads Development Maintenance and Management	Construction and Maintenance of Roads and Bridges	1,200,000	690,040,295	100,000	338,205,913	8
Lands, Housing and Urban Development						
Lands and Physical Planning	General Administration and Planning	68,973,028	-	6,992,182	-	10
Sports Culture and Social Services						
Children Services	Child Community Support Services	4,659,000	-	447,250	-	10
Environment and Natural Resources						
Cleaning and Waste Management	Environment Management and Protection	100,800	-	10,000	-	10

Source: *Kirinyaga County Treasury*

The development sub-programmes with the lowest budget implementation rates were as follows: Finance Services in the Department of Finance and Economic Planning at 8 per cent; Legislation and Oversight in the County Assembly at 19 per cent; and Development of Sports and Sports Facilities in the Department of Sports Culture and Social Services at 25 per cent.

For recurrent sub-programmes, the poorest performers included: County Spatial Planning in the Department of Lands, Housing and Urban Development at 1 per cent; Construction and Maintenance of Roads and Bridges in the Department of Transport and Infrastructure at 8 per cent; and General Administration and Planning in the Department of Lands, Housing and Urban Development at 10 per cent.

3.15.15 Settlement of Trade Payables

As of 1st July 2025, the County reported trade payables totalling Kshs.794.80 million. This amount consisted of Kshs.794.80 billion from the County Executive and nil for the County Assembly. The trade payables from the County Executive comprised Kshs.417.62 million for recurrent expenditure and Kshs.377.18 million for development expenditure.

During the reporting period, the County Executive settled trade payables amounting to Kshs.56.97 million, comprising Kshs.53.77 million (94 per cent) for recurrent programmes and Kshs.3.20 million (6 per cent) for development programmes. The outstanding trade payables as of 31st March 2026 were Kshs.737.83 million for County Executive and nil for County Assembly. Table 3.228 provides additional details of trade payables.

Table 3.228: Kirinyaga County Trade Payables as of 31st March 2026

	County Entity	Development	Recurrent	Total
As at 1 July 2025 (End of FY 2024/25)	County Executive	377,177,533	417,623,727	794,801,261
	County Assembly	-	-	-
	Total	**377,177,533**	**417,623,727**	**794,801,261**
Amount paid in FY 2025/26	County Executive	3,198,930	53,773,352	56,972,282
	County Assembly	-	-	-
	Total	**3,198,930**	**53,773,352**	**56,972,282**
Trade Payables Incurred in FY 2025/26	County Executive	-	-	-
	County Assembly	-	-	-
	Total	**-**	**-**	**-**
Outstanding Trade Payables as of 31 March 2026 (Kshs.)	County Executive	373,978,603	363,850,375	737,828,978
	County Assembly	-		-
	Total	**373,978,603**	**363,850,375**	**737,828,978**

Source: *Kirinyaga County Treasury*

The County Executive and the Assembly submitted a trade payables payment plan, committing to pay Kshs.100 million, respectively, in FY 2025/26. The County did not adhere to this payment plan, as it cleared Kshs.56.97 million on development only.

Table 3.229 presents the ageing of the total outstanding bills as of 31st March 2026 for the County Executive and Assembly, which were Kshs.737.83 million.

Table 3.229: Kirinyaga County Executive Trade Payables Ageing Analysis as of 31st March 2026

Category	Ageing analysis (Amount in Kshs.)				Total
	Under one year	1-2 years	2-3 years	Over 3 years	
County Executive					
Development Trade Payables	179,326,322	9,594,735	185,057,546	-	373,978,603
Recurrent Trade Payables (Goods & Services)	148,896,837	21,571,698	187,984,939	-	358,453,475
Recurrent Trade Payables (Salary Arrears and Statutory Deductions)	-	-	-	-	-
Recurrent Trade Payables (Staff Claims)	2,441,824	2,955,076	-		5,396,900
Total Recurrent Trade Payables	**151,338,661**	**24,526,774**	**187,984,939**	**-**	**363,850,375**
Total Trade Payables	**330,664,983**	**34,121,509**	**373,042,485**	**-**	**737,828,978**
% of Total	**45**	**5**	**51**	**0**	**100**

Source: *Kirinyaga County Treasury*

3.15.16 General Observations and Recommendations

In the course of overseeing and reporting on the implementation of the Kirinyaga County budget, the CoB identified the following challenges, which hampered effective budget implementation;

i. The County Treasury's late submission of financial reports to the Controller of Budget affected the timely preparation of the budget implementation report. The reports were submitted on 05th May 2026.

ii. Low development performance in the review period as the County incurred Kshs.1.27 million on development activities, achieving a 39 per cent absorption rate.
iii. Regulation 197(1)(i) of the Public Finance Management (County Governments) Regulations, 2015, limits the lifespan of public funds to 10 years unless extended by the County Assembly. The County Assembly Staff Car Loans and Mortgage Fund, and the Kirinyaga County Emergency Fund had lapsed
iv. High level of trade payables, which amounted to Kshs.737.83 billion as of 31st March 2026. Furthermore, the County Treasury did not adhere to the trade payables payment plan.
v. Use of manual payroll. Personnel emoluments amounting to Kshs.133.67 million. Manual payroll is prone to abuse and may result in the loss of public funds.
vi. Non-submission of copies of authorisation letters for opening commercial bank accounts as per Regulation 82(5) of the Public Finance Management (County Governments) Regulations, 2015.

The County should implement the following recommendations to improve budget execution:

i. *The County Treasury should ensure the timely preparation and submission of financial reports to the Controller of Budget per the timelines prescribed in Section 166 of the PFM Act, 2012.*
ii. *The County should implement strategies to increase development expenditures in FY 2025/26.*
iii. *The County should eensure timely review and extension of public funds whose lifespans are nearing expiration or have lapsed to prevent operational disruptions. Additionally, any expenditure from lapsed funds should cease immediately, and legal mechanisms should be followed to re-establish or wind up such funds in compliance with the Public Finance Management Act.*
iv. *The County Leadership should address the situation of trade payables to ensure that genuine bills are paid promptly in the remaining financial year. Further, compliance with the Trade Payables Action Plan should be enforced.*
v. *The Government requires that salaries be processed through the HRIS system, and the County is advised to fast-track the acquisition of Unified Personnel Numbers for their staff. The County Public Service Board should regulate staff engagement on contract and casual workers as provided under Section 74 of the County Governments Act 2012. Furthermore, strict adherence to the approved staff establishment should be maintained.*
vi. *The County Treasury should ensure it submits copies of authorisation letters to the CoB for opening commercial bank accounts to enhance accountability and oversight.*

3.16. County Government of Kisii

3.16.1 Overview of FY 2025/26 Supplementary 1 Budget

The Kisii County Approved Supplementary Budget for FY 2025/26 is Kshs.20.05 billion. It comprises Kshs.8.81 billion (44 per cent) and Kshs.11.23 billion (56 per cent) allocation for development and recurrent programmes, respectively. The budget estimates represent an increase of Kshs.4.89 billion (32 per cent) from the FY 2024/25 budget, which comprised a development budget of Kshs.6.16 billion and a recurrent budget of Kshs.9 billion. The increase in the budget was primarily attributed to rising local revenue targets.

The budget is to be financed from various revenue sources. These include the equitable share of revenue raised nationally of Kshs.9.82 billion (49 per cent), additional allocations of Kshs.1.60 billion (8 per cent), a cash balance brought forward from FY 2024/25 of Kshs.5.41 billion (27 per cent) and Kshs.3.22 billion (16 per cent) generated as own-source revenue. A breakdown of the additional allocations is shown in Table 3.230.

3.16.2 Revenue Performance

During the first nine months of FY 2025/26, the County reported total revenues amounting to Kshs.11.13 billion. This amount represented an increase of 19 per cent compared to the amount received in a similar period in FY 2024/25 of Kshs.9.36 million. The total revenue consisted of Kshs.6.53 billion from the equitable share of revenue raised nationally, additional allocations from the national government and development partners of Kshs.273.09 million, and own-source revenue (OSR) collection of Kshs.1.17 billion. Additionally, the County had a cash balance of Kshs.3.15 billion from FY 2024/25. The total OSR collection

of Kshs.1.17 billion included Facilities Improvement Financing (FIF) of Kshs.809.14 million, Kshs.352.49 from ordinary own source revenue and Kshs.12.1 million from other OSR sources. Table 3.230 summarises the total revenue available to the County Government during FY 2025/26.

Table 3.230: Kisii County, Revenue Performance in the first nine months of FY 2025/26

No	Revenue Stream	Annual Targeted Revenue (Kshs.)	Actual Receipts (Kshs.)	Receivables in the first nine months of FY 2025/26 (Kshs.)	Total Revenues (in accrual basis) in the first nine months of FY 2025/26 (Kshs.)	Revenue Performance (%)
		A	B	C	D	F=D/A*100
A	**Unspent Balance from FY 2023/24**					
1	Balance at CRF	5,382,024,079	3,124,208,252	-	3,122,169,591	58
2	County Executive Refunds to CRF	28,235,082	28,235,082	-	28,235,082	100
3	County Assembly Refunds to CRF	921,455	921,455	-	921,455	100
	Sub-Total	5,411,180,616	3,153,364,789	-	3,151,326,128	58
B	**Equitable Share of Revenue Raised Nationally**			-		
1	Equitable share	9,819,721,768	6,530,114,976	-	6,530,114,976	67
	Sub-Total	9,819,721,768	6,530,114,976	-	6,530,114,976	67
c	**Additional Allocations (Including Grants)**					
1	**Unconditional Additional Allocations to County Governments**					
b	Allocation for Mineral Royalties	682,562	682,562	-	682,562	100
2	**Conditional Additional Allocations from the National Government's**					
a	Outstanding basic salaries for Health workers	72,428,277	-	-	-	-
b	Community Health Promoters (CHPs) Programme	88,200,000	-	-	-	-
c	Road Maintenance Levy Fund (RMLF)	403,033,155	-	-	-	-
d	County Aggregation and Industrial Parks (CAIPs) Programme	250,000,000	127,894,740	-	127,894,740	51
e	Allocations for 0.5 of the Housing Levy Fund to the County Rural and Urban Affordable Housing Committees	1,987,622	-	-	-	-
3	**Conditional Allocations from Loans and Grants**					
1	(IFAD) Loan for the Aquaculture Business Development Project (ABDP)	15,547,000	-	-	-	-
2	Kenya Devolution Support Programme Phase Two (KDSP II) Level I Grant	37,500,000	35,253,471	-	35,253,471	94
3	Kenya Devolution Support Programme Phase Two (KDSP II) Level 2 Grant	352,000,000	-	-	-	-

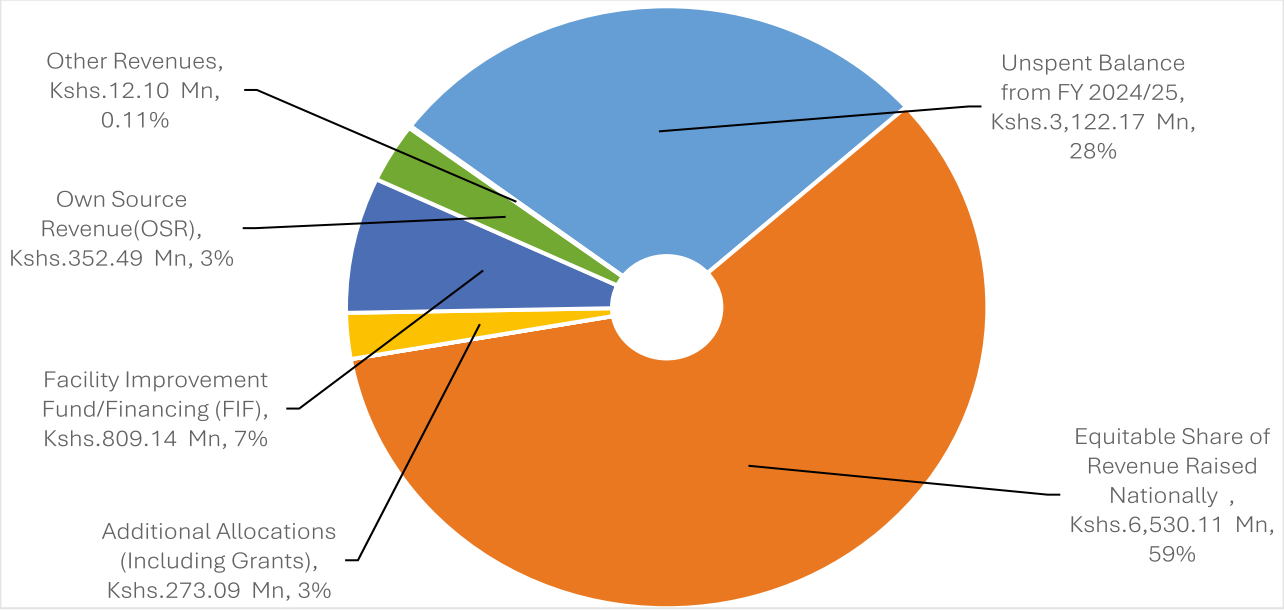
No	Revenue Stream	Annual Targeted Revenue (Kshs.)	Actual Receipts (Kshs.)	Receivables in the first nine months of FY 2025/26 (Kshs.)	Total Revenues (in accrual basis) in the first nine months of FY 2025/26 (Kshs.)	Revenue Performance (%)
		A	B	C	D	F=D/A*100
4	Kenya Urban Project (KUSP)-Urban Institutional Grant (IUG)	35,000,000	-	-	-	-
5	Kenya Urban Project (KUSP)-Urban Development Grant (UDG)	90,993,018	109,260,768	-	109,260,768	120
6	National Agricultural Value Chain Development Project (NAVCDP)	231,250,000	-	-	-	-
7	Primary Health Care in Devolved Context (PHDC) Programme	12,546,000	-	-	-	-
8	DANIDA	8,856,000	-	-	-	-
	Sub-Total	**1,600,023,634**	**273,091,541**	**-**	**273,091,541**	**17**
E	**Own Source Revenues**					
1	1-2101 Property rates	230,000,000	26,334,456	-	26,334,456	11
2	1-2201 Business Permits Current Year	300,000,000	72,376,890	-	72,376,890	24
3	1-2311 Fruits & Vegetables / Agricultural Produce Cess	55,000,000	9,546,120	-	9,546,120	17
4	1-3105 Miscellaneous income	10,000,000	-	-	-	0
5	1-3501 County Premises Monthly Rent	65,000,000	7,193,719	-	7,193,719	11
6	1-5101 Market Entrance / Gate Fee	100,000,000	27,855,090	-	27,855,090	28
7	1-5102 Market Plots Rent	45,000,000	-	-	-	0
8	1-5201 Enclosed Bus Park Fee (Matatu monthly stickers)	86,000,000	38,481,320	-	38,481,320	45
9	Motorcycle parking stickers	60,000,000	12,976,400	-	12,976,400	22
10	1-5221 Street Parking Fee	86,000,000	23,438,833	-	23,438,833	27
11	1-6301 Social Hall Hire	10,000,000	95,200	-	95,200	1
12	1-6311 Stadium Hire	40,000,000	211,201	-	211,201	1
13	1-8401 Slaughter House Fee	5,000,000	1,370,500	-	1,370,500	27
14	1-9112 Buildings Plan Approval Fee	110,000,000	39,769,281	-	39,769,281	36
15	1-9132 Sign Boards & Advertisement Fee	95,000,000	43,140,844	-	43,140,844	45
16	1-9201 Fire-Compliance Fee	20,000,000	15,822,600	-	15,822,600	79
17	Administrative fees and charges	19,000,000	9,234,694.81	-	9,234,694.81	49
18	Disposal of Assets	12,000,000	-	-	-	0
19	Environmental fees and charges	50,000,000	22,913,201	-	22,913,201	46

No	Revenue Stream	Annual Targeted Revenue (Kshs.)	Actual Receipts (Kshs.)	Receivables in the first nine months of FY 2025/26 (Kshs.)	Total Revenues (in accrual basis) in the first nine months of FY 2025/26 (Kshs.)	Revenue Performance (%)
		A	B	C	D	F=D/A*100
20	Weights and measures	16,000,000	1,479,180	-	1,479,180	9
21	Sale of fingerlings	11,000,000	248,470	-	248,470	2
22	Revenue from Kisii Agricultural Training Centre	42,000,000	-	-	-	0
	Sub-Total	1,467,000,000	352,488,000	-	352,488,000	24
F	**Facility Improvement Financing (FIF)**					
1	Revenue from KTRH	1,300,000,000	637,373,076	-	637,373,076	49
2	Sub-county hospitals	400,000,000	171,762,061	-	171,762,061	43
	Sub-Total	1,700,000,000	809,135,138	-	809,135,138	48
H	**Other Revenues**					
1	Liquor licensing Fund	50,000,000	3,510,603	-	3,510,603	7
2	Veterinary fund	-	8,590,020	-	8,590,020	-
	Sub-Total	50,000,000	12,100,623	-	12,100,623	24
Total		20,047,926,018	11,130,295,066	-	11,128,256,405	56

Source: Kisii *County Treasury*

The County has a governing legislation on the operation of its own ordinary source revenue and FIF. Figure 3.91 provides a detailed breakdown of receipts.

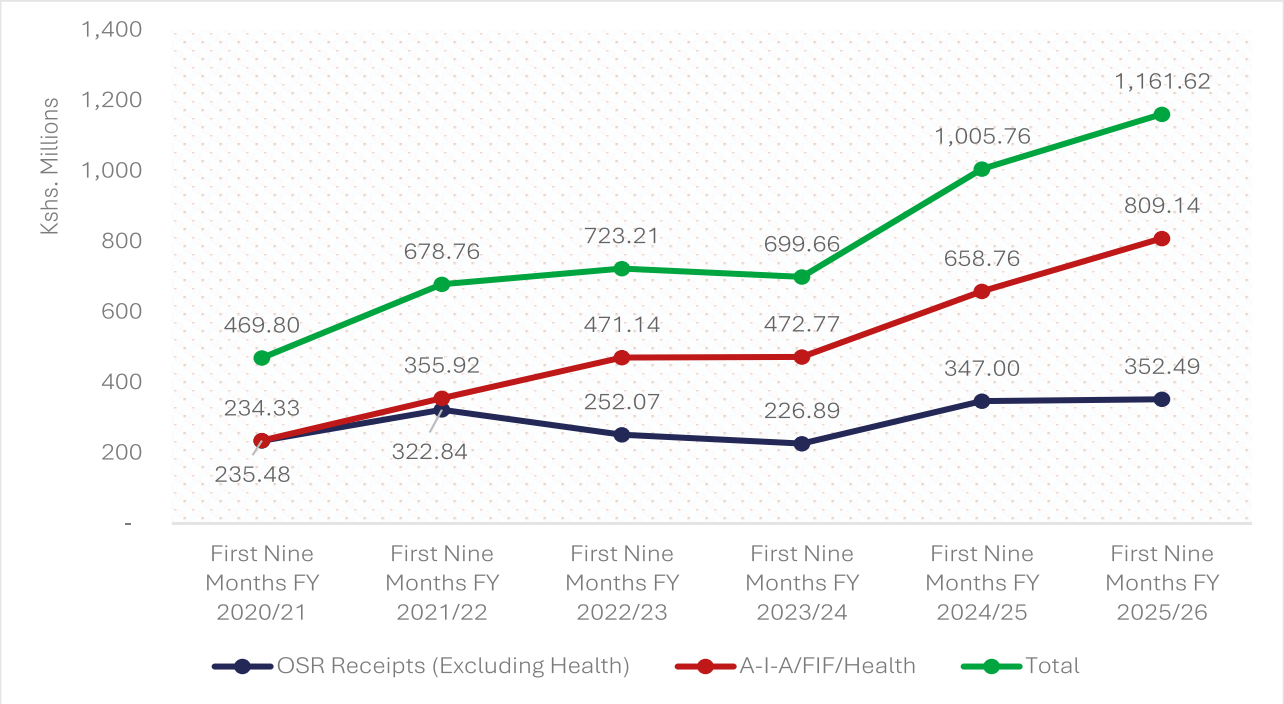
Figure 3.91: Kisii County Composition of Revenue in the first nine months of FY 2025/26



Source: *Kisii County Treasury*

The equitable share of revenue raised nationally, OSR, and FIF contributed 59 per cent, 3 per cent and 7 per cent, respectively, of the total receipts for the reporting period. Figure 3.92 shows the collection trend in own-source revenue from the first nine months of FY 2020/21 to the first nine months of FY 2025/26.

Figure 3.92: Kisii County Trend in Own-Source Revenue Collection from the first nine months of FY 2020/21 to the first nine months of FY 2025/26



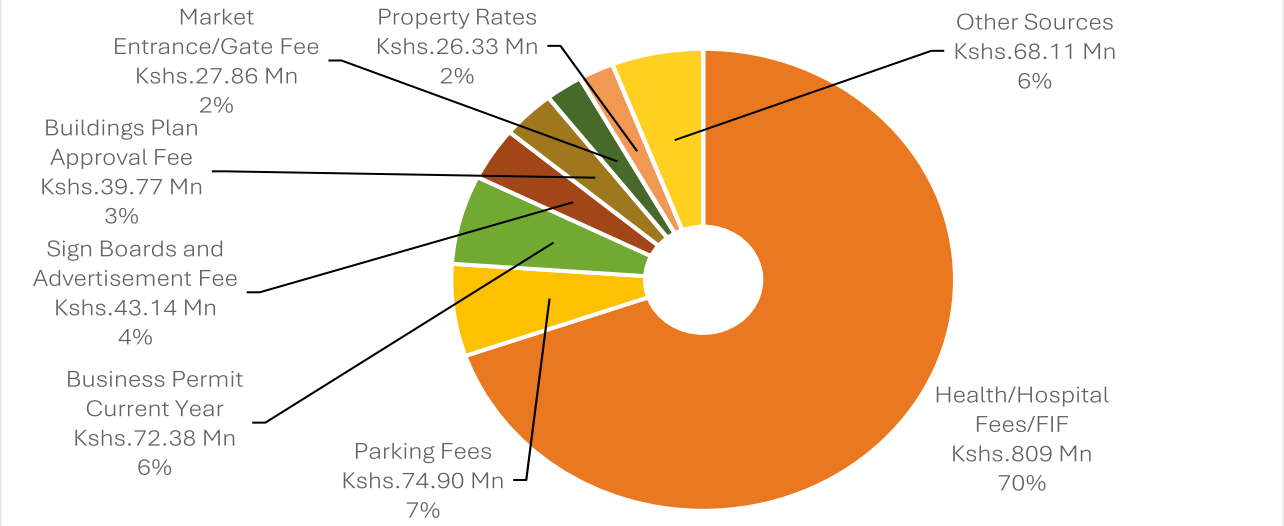
Source: *Kisii County Treasury*

During the first nine months of FY 2025/26, the County received Kshs.1.16 billion from OSR, including FIF. This amount was an increase of 16 per cent compared to Kshs.1.01 billion realised in a similar period in FY 2024/25, and was 36 per cent of the annual target and 18 per cent of the equitable revenue share disbursed.

The increase in OSR was attributed to the deployment of additional enforcement personnel at revenue collection outlets and the introduction of penalties for vendors/clients operating without licenses and for late payments.

The revenue streams that contributed the most to OSR receipts are shown in Figure 3.93.

Figure 3.93: Kisii County Top Own Source Revenue Streams in the first nine months of FY 2025/26



Source: *Kisii County Treasury*

As shown in Figure 3, the largest revenue stream, at Kshs.809 million, was Health/Hospital Fees /FIF accounting for 70 per cent of total OSR receipts. The County Government indicated that it has automated all

22 revenue streams. The system utilised for FIF revenue collection is Fun Soft, which has been in use since 2011.

3.16.3 Revenue Receivables

As of 1st July 2025, the County reported revenue receivables of Kshs.632.13 million, which increased to Kshs.702.60 million as of 31st March 2026. The County manages its revenue receivables using the Jambo Pay automated system, with an accrual-basis option. Table 3.231 presents a breakdown of the County's revenue receivables.

Table 3.231: Kisii County Receivables as of 31st March 2026

No	Revenue Stream	Receivables as of 1 July 2025 (Kshs.)	Progress made in the first nine months of FY 2025/26			Receivables as of 31st March 2026 (Kshs.)
			Waivers (Kshs)	Receivables paid in the financial year (Kshs)	Receivables earned in the first nine months of FY 2025/26 (Kshs)	
		a	b	c	d	f=a-b-c+d
A	**Equitable Share of Revenue Raised Nationally**					
1	Month of March			834,676,350	834,676,350	-
	Sub-Total			**834,676,350**	**834,676,350**	-
B	**Ordinary Own Sources of Revenue**					
1	Land Rate	546,132,152		5,405,475	79,771,443	620,498,120
2	County housing Rent	9,500,412		8,217,562	-	1,282,850
	Sub-Total	**555,632,564**		**13,623,037**	**79,771,443**	**621,780,970**
C	**Facility Improvement Financing (FIF)**					
1	SHIF	76,493,436	-	69,427,995	73,748,918	80,814,359
2	Defunct NHIF	-	-	-	-	-
	Sub-Total	**76,493,436**		**69,427,995**	**73,748,918**	**80,814,359**
Total		**632,126,000**		**917,727,382**	**988,196,711**	**702,595,329**

Source: Kisii *County Treasury*

As of 31st March 2026, the revenue receivables totalled to Kshs.702.60 million, comprising Kshs.80.81 million for Facility Improvement Financing (FIF) (12 per cent) and Kshs.621.78 million for Ordinary Own Source Revenue (88 per cent). The measures instituted by the County to collect the outstanding arrears in FY 2025/26 include enhanced enforcement through the issuance of demand notices. A task force has been formed to examine uncollectible arrears and issue a report on the matter.

3.16.4 Borrowing by the County

The County did not report any borrowing during the reporting period.

3.16.5 Withdrawals from the County Revenue Fund and County Assembly Fund

During the reporting period, the Controller of Budget approved exchequer withdrawal requests totalling Kshs.9.03 billion from the Kisii County Revenue Fund (CRF) account. This amount consisted of Kshs.2.58 billion (29 per cent) designated for development programs and Kshs.6.45 billion (71 per cent) allocated for recurrent programs.

An analysis of the released recurrent exchequers shows that Kshs.4.84 billion was allocated to employee compensation and Kshs.1.59 billion to operations and maintenance expenditures. Within the operations and maintenance category, 11 per cent was for domestic travel and 1 per cent for foreign travel. The domestic travel exchequers totalled Kshs.174.73 million, which included Kshs.54.29 million for the County Executive and Kshs.120.45 million for the County Assembly. Meanwhile, the foreign travel exchequers amounted to Kshs.29.26 million, with Kshs.5.01 million for the County Executive and Kshs.24.25 million for the County Assembly as per OCoB records.

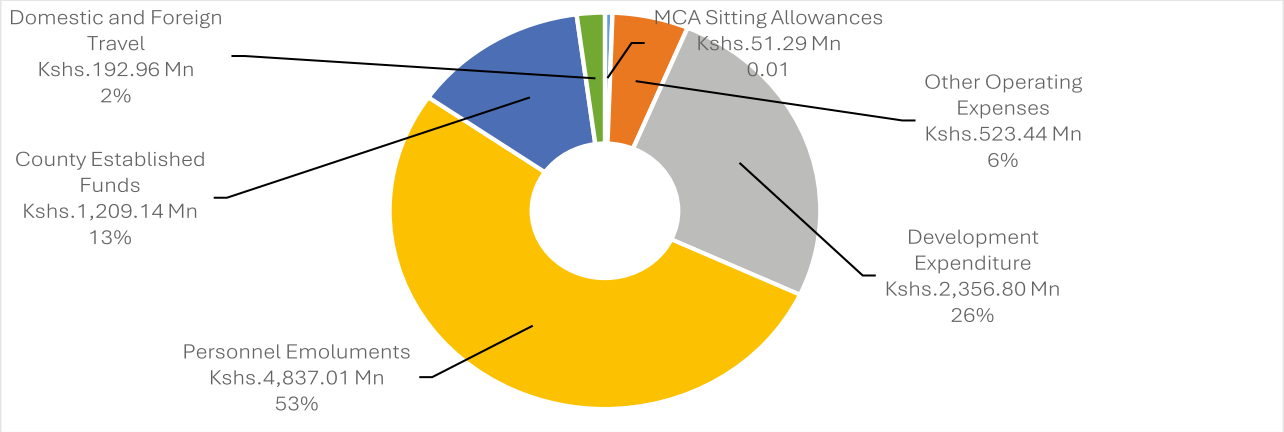
As of 31st March 2026, the County Government's cash balance in the Kisii CRF account was Kshs.1.28 billion.

3.16.6 Expenditure Review

The County spent Kshs.8.84 billion on development and recurrent programmes during the reporting period. The expenditure represented 98 per cent of the total funds released by the CoB. It comprised Kshs.2.36 billion for development programmes and Kshs.6.48 billion for recurrent programmes. Expenditure on development programmes accounted for 27 per cent of the annual development expenditure budget, while recurrent expenditure accounted for 58 per cent of the annual recurrent expenditure budget.

Figure 3.94 provides a detailed breakdown of total expenditure.

Figure 3.94: Kisii County Composition of Expenditure in the first nine months of FY 2025/26 (in Millions)



Source: Kisii *County Treasury*

As shown in Figure 4, the three highest expenditure categories were Personnel Emoluments, Development expenditure, and County Established Funds, contributing 53, 26 and 13 per cent of total expenditure for the reporting period.

3.16.7 Expenditure by Economic Classification

The County Executive incurred Kshs.4.34 billion in employee compensation, Kshs.1.44 billion in operations and maintenance, and Kshs.2.35 billion in development activities. Similarly, the County Assembly spent Kshs.501.46 million on compensation of employees, Kshs.153.84 million on operations and maintenance, and Kshs.7.26 million on development activities, as shown in Table 3.232.

Table 3.232: Kisii County Summary of Budget and Expenditure by Economic Classification

Expenditure Classification	Approved Budget (Kshs.) (a)		Amount Paid in the First nine months of FY 2025/26 (Kshs.) (b)		Total Expenditure in the First nine months of FY 2025/26 (Kshs.) (d=b+c)		Absorption (%) (d/a*100)	
	Executive	Assembly	Executive	Assembly	Executive	Assembly	Executive	Assembly
Total Recurrent Expenditure	**10,182,732,398**	**1,051,143,180**	**5,772,127,838**	**655,296,733**	**5,772,127,838**	**655,296,734**	**57**	**62**
Compensation of Employees	5,787,960,629	652,341,142	4,335,544,993	501,460,945	4,335,544,993	501,460,945	75	77
Operations and Maintenance	4,394,771,769	398,802,038	1,436,582,845	153,835,789	1,436,582,845	153,835,789	33	39
Development Expenditure	**8,796,050,440**	**18,000,000**	**2,349,541,808**	**7,262,308**	**2,349,541,808**	**7,262,308**	**27**	**40**
Total	**18,978,782,838**	**1,069,143,180**	**8,121,669,647**	**662,559,041**	**8,121,669,647**	**662,559,042**	**43**	**62**

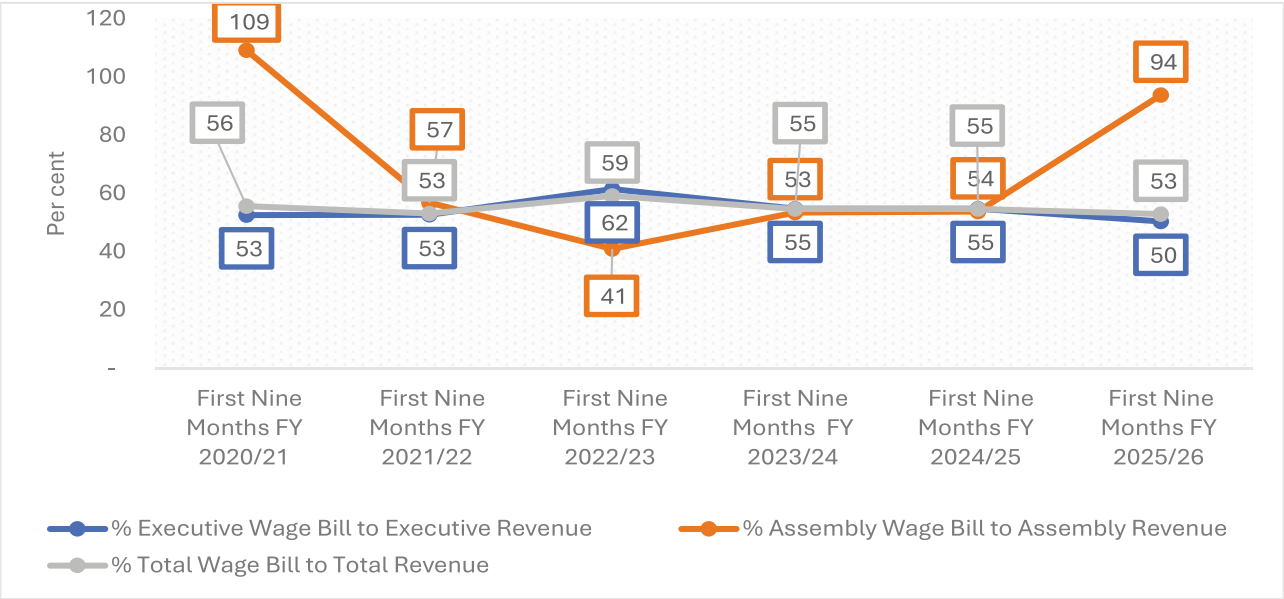
***Source**: Kisii County Treasury*

3.16.8 Expenditure on Employee Compensation

The expenditure on employee compensation totalled Kshs.4.84 billion, representing 43 per cent of revenue. This expenditure on employee compensation has increased compared to the Kshs.3.84 billion reported in a similar period in FY 2024/25. Of this total, Kshs.2.41 billion related to Health Sector employees, accounting for 50 per cent of the overall employees' compensation.

Figure 3.95 shows the trend in employee compensation as a percentage of total revenue from the first nine months of FY 2020/21 to the first nine months of FY 2025/26.

Figure 3.95: Percentage of Employee Compensation Expenditure to Total Revenue Received in the first nine months of FY 2020/21 to the first nine months of FY 2025/26



Source: *Kisii County Treasury*

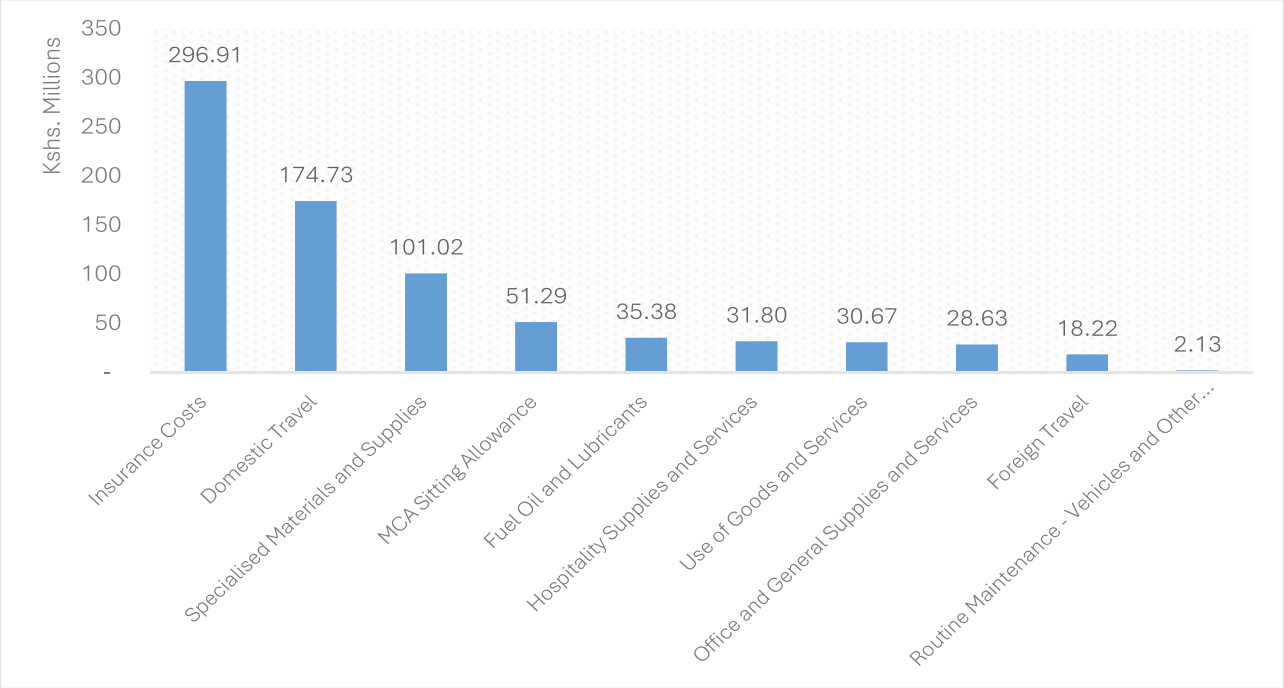
Further analysis indicated that PE costs amounting to Kshs.4.63 billion were processed through the Human Resource Information System (HRIS). In contrast, Kshs.14.79 million was processed through manual payrolls, which accounted for 0.3 per cent of the total PE cost. The continued use of manual payroll was justified as being the basic salary to newly employed staff in the County Assembly.

Including their salary arrear. The County Assembly spent Kshs.51.29 million on committee sitting allowances for the 71 MCAs against the annual budget allocation of Kshs.65 million. The average monthly sitting allowance was Kshs.80,262 per MCA. The County Assembly has 20 House Committees.

3.16.9 Expenditure on Operations and Maintenance

During the reporting period, the County spent Kshs.1.59 billion on operations and maintenance, representing an increase of 74 per cent compared to a similar period in FY 2024/25, when the County spent Kshs.912.60 million. Figure 3.96 illustrates the distribution of Operations and Maintenance expenditures across the major spending categories.

Figure 3.96: Kisii County, Operations and Maintenance Expenditure by Major Categories



Source: *Kisii County Treasury*

3.16.10 County-Established Funds

Section 116 of the PFM Act 2012 allows County Governments to establish other public funds, subject to approval from the County Executive Committee and the County Assembly. The County allocated Kshs.2.15 billion to County-Established funds in FY 2025/26, representing 9 per cent of the County's overall budget. Of this amount, the County allocated Kshs.100 million to the Emergency Fund in line with Section 110 of the PFM Act, 2012, accounting for less than 1 per cent of the total budget. Table 3.233 summarises each established Fund's budget allocation and performance during the reporting period.

Table 3.233: Performance of Kisii County Established Funds in the first nine months of FY 2025/26

S/No.	Name of the Fund	Year Established	Approved Budget Allocation in FY 2025/26 (Kshs.)	Exchequer Issues in Nine Months of FY 2025/26 (Kshs.)	Actual disbursements in the Nine Months of FY 2025/26 (Kshs.)	Cumulative disbursements to the Fund (Kshs)	Submission of Financial Statements (Yes/No.)
		County Executive Established Funds					
1	County Emergency Fund	2015	100,000,000	-	100,000,000	231,601,911	Yes
2	Health Fund (KTRH)	2024 (Revised)	1,300,000,000	-	637,373,076	-	Yes
3	Health Fund (FIF)	2020	400,000,000	-	171,762,062	-	Yes
4	Liquor Licensing Fund	2015	50,000,000	-	-	-	Yes
5	Bursary Fund	2014	300,000,000	-	300,000,000	481,601,911	Yes
	Total		**2,150,000,000**	**-**	**1,209,135,138**	**713,203,822**	

Source: *Kisii County Treasury*

Regulation 197(1)(i) of the Public Finance Management (County Governments) Regulations, 2015, allows County Governments to establish public funds with a lifespan capped at 10 years unless extended by the County Assembly. In FY 2025/26, the CoB established that the lifespans of the County Emergency, Liquor Licensing and Bursary Funds have lapsed, therefore should halt operations forthwith and would up the funds since there not operating within he law.

3.16.11 County Municipalities, Corporations and Agencies

The County has two County Corporations, of these two, Kisii Teaching and referral hospital was allocated Kshs.1.3 billion in FY 2025/26, while Gusii Water and Sanitation Company (GWASCO) had no allocation. There was no expenditure on the two corporations.

3.16.12 Expenditure on Domestic and Foreign Travel

Expenditure on domestic travel amounted to Kshs.174.73 million and comprised Kshs.120.45 million spent by the County Assembly and Kshs.54.29 million by the County Executive. Expenditure on foreign travel amounted to Kshs.18.22 million and comprised Kshs.5.41 million by the County Assembly and Kshs.12.82 million by the County Executive. Expenditure on foreign travel is summarised in Table 3.234.

Table 3.234: Summary of Expenditure on Foreign Travel in the first nine months of FY 2025/26

Arm of County Government	Number of Officers Travelled	Date travelled	Purpose of the travel	Destination	Actual Payment on Travel (a) (Kshs.)	Total Expenditure on Travel (c=a+b) (Kshs.)
County Executive	1	5-8th Sep 2025	Attending the 2nd Africa Climate Summit in Ethiopia	Addis-Ababa	571,320	571,320
County Executive	1	5-8th Sep 2025	Attending the 2nd Africa Climate Summit in Ethiopia	Addis-Ababa	533,720	533,720
County Executive	17	29th Oct -5th Nov 2025	Facilitation to Attend the 2025 China-Africa Friendly Exchange Career Education Program	China	11,710,710	11,710,710
County Assembly	1	2nd to 12th Nov 2025	Being paid to attend the International Knowledge Exchange Program for Clerks held from 2nd to 12th Nov 2025 in Spain and France.	Spain and France	722,020	722,020
County Assembly	1	27th to 30th Aug 2025	Being paid to attend the 5th Gacopa International Delegates Conference in the U.K. from 27-30 August 2025	Uk	310,245	310,245
County Assembly	7	17th to 22nd Nov 2025	Being paid to participate in the Liugong Global Dealer Conference in Liuzhou.	China	3,229,630	3,229,630
County Assembly	4	5th to 10th Dec 2025	Being paid to attend the Professional and Legislative Committee in Kampala, Uganda from 5 - 10 Dec 2025	Uganda	1,145,200	1,145,200
Total						**18,222,845**

Source: Kisii County Treasury and Kisii County Assembly

3.16.13 Facility Improvement Financing (FIF)

During the review period, the County reported collections of Kshs.851.14 million as FIF, which was 48 per cent of the annual target of Kshs.1.79 billion. The collected amount was retained and utilised at source in line with the Facility Improvement Financing Act, 2023. The County has developed regulations to operationalise the FIF Act of 2023. The expenditure by the health facilities amounted to Kshs.851.14 million, as shown in Table 3.235.

Table 3.235: Kisii County Health Facilities Expenditure Performance in the first nine months of FY 2025/26

No.	Health Facility	Number of Facilities	Approved Budget (Kshs.)	Actual Expenditure (Kshs.)	Absorption rate (%)
1	Level 6 Hospital	1	1,300,000,000	637,373,076	49
2	Level 4 Hospital	20	400,000,000	171,762,062	43
3	Level 3 Facility	32	58,500,000	27,300,000	47

No.	Health Facility	Number of Facilities	Approved Budget (Kshs.)	Actual Expenditure (Kshs.)	Absorption rate (%)
4	Level 2 Facility	99	31,500,000	14,700,000	47
	Total	**152**	**1,790,000,000**	**851,135,138**	**48**

Source: *Kisii County Treasury*

3.16.14 Development Expenditure

In the review period, the County reported spending Kshs.2.36 billion on development programmes, representing an increase of 103 per cent compared to FY 2024/25, when the County spent Kshs.1.16 billion. Table 3.236 summarises the development projects with the highest expenditure in the reporting period.

The increase in development expenditure was attributed to the availability of funds at the CRF.

Table 3.236: Kisii County, List of Development Projects with the Highest Expenditure

No	Sector	Project Name	Project Location	Project Commencement Date	Expected date of Completion of the Project	Contract sum (Kshs)	Total Funding in FY 2025.26 (Kshs.)	Expenditure (in accrual basis) in the First nine months of FY 2025.26 (Kshs.)	Cumulative project expenditure (in accrual basis) as of 31st March 2026 (Kshs.)	Percentage (%) of Completion
County Funded Projects										
1.	Roads and Public Works	Purchase of Machinery- Graders, Excavators, Rollers, etc	All Wards	-	-	1,200,000,000	1,200,000,000	1,176,442,827	1,176,442,827	100
2.	Trade, Tourism, Industry and Marketing	Construction of Industrial Park	Bokimonge	18.09.2023	18.09.2025	173,076,924	173,076,924	49,712,151	49,712,151	29
3.	Kisii Municipality	Cabro works at Kisii CBD	Kisii Town	14.06.2025	28.02.2026	46,633,460	46,633,460	46,628,242	46,628,242	100
4.	County Executive	Construction of County Headquarters	Headquarters	9.07.2024	9.07.2026	408,000,000	158,000,000	36,433,344	36,433,344	23
5.	Kisii County Assembly	Proposed Construction of the Kisii County Speaker's Official Residence	Bobaracho	29.02.2023	15.05.25	32,970,110	-	-	24,490,880	74
6.	Roads and Public Works	Road Maintenance across the county	All wards	-	-	130,000,000	130,000,000	13,944,103	13,944,103	11
7.	Agriculture, Livestock, Fisheries and Co-operative Development	Erection of stone wall fence 600M Phase II	ATC	-	-	15,000,000	15,000,000	13,408,340	13,408,340	89
8.	Lands, Physical Planning, Housing and Urban Development	Suneka Backstreet	Bomorenda	15.05.2025	12.06.2025	19,786,896	9,786,896	9,786,896	9,786,896	100
9.	Lands, Physical Planning, Housing and Urban Development	Nyamache Backstreet	-	-	-	10,000,000	10,000,000	9,440,706	9,440,706	94

No	Sector	Project Name	Project Location	Project Commencement Date	Expected date of Completion of the Project	Contract sum (Kshs)	Total Funding in FY 2025.26 (Kshs.)	Expenditure (in accrual basis) in the First nine months of FY 2025.26 (Kshs.)	Cumulative project expenditure (in accrual basis) as of 31st March 2026 (Kshs.)	Percentage (%) of Completion
10.	Kisii Municipality	Construction of Guardian-Nyankongo-Makutano Bridge.	Kisii Town	20.09.2024	02.06.2025	7,890,176	7,890,176	7,862,016	7,862,016	100
Donor Funded Projects										
1	Agriculture, Livestock, Fisheries and Co-operative Development	National Agricultural Value Chain Development Project (WB Contribution)	All wards	01.07.2025	30.06.2026	382,765,512	231,250,000	71,253,967	71,253,967	31
2	Water, Environment, Natural Resources, Energy and Climate change	Finance for Locally-Led Climate Action Program (FLLoCA) County Climate Resilient Investment Grant (KfW)	-	01.07.2025	30.06.2025	168,000,000	84,000,000	34,805,020	34,805,020	41

Source: *Kisii County Treasury*

The County did not indicate the project commencement date and the expected date of completion of the following projects namely; purchase of machinery, road maintenance across the county, erection of stone wall fence 600m phase ii and Nyamache Backstreet despite being heavy spenders.

The County reported 2 stalled development projects as of 31st March 2026, with an estimated value of Kshs.29.40 million, of which Kshs.11.28 million has already been paid. The stalled projects are shown in Table 3.237.

Table 3.237: Kisii County Stalled Projects as of 31st March 2026

No	Sector	Project Name	Project Location	Project Start Date	Expected Completion date of the Project	Estimated Value of the Project (Kshs.)	Amount Paid on the stalled project (Kshs.)	Accrued Expenditure on the stalled project (Kshs.)	Percentage of Completion before stalling of the Project
1.	Kisii County Assembly	Proposed Construction of Ward Offices	Bogiakumu	02.04.2023	30.5.25	7,350,466	6,004,289.50	6,004,289.50	82%
2	Kisii County Assembly	Proposed Construction of Ward Offices	Ibeno, Boikanga and Boochi	29.02.2023	20.6.25	22,051,395	5,274,927	5,274,927	24%
	Total					**29,401,861**	**11,279,216.5**	**11,279,216.5**	

Source: Kisii County Treasury

The two projects stalled becasue they were implemented by a single contractor. A dispute arose between the Assembly and the contractor around slow pace of work and non payment. The contractor took the Assembly to court. The court referred the parties to an arbitrator where the Assembly agreed and paid the contractor for work done and the contractor vacated the site.

3.16.15 Budget Performance by Department

Table 3.238 summarises the approved budget allocation, expenditure, and absorption rate by department for the period under review.

Table 3.238: Kisii County, Budget Allocation and Absorption Rate by Department in the first nine months of FY 2025.26

Department	Revised Budget Allocation (Kshs.Million)		Exchequer Received (Kshs.Million)		Expenditure (Kshs. Million)		Expenditure to Exchequer (%)		Absorption rate (%)	
	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev
County Executive and Public Service Board	453.11	200	187.13	36.43	183.75	36.43	98	100	41	18
Administration and Stakeholder Management	583.88	447.19	366.96	1.80	363.02	1,80	99	100	62	_
Finance and Economic Planning	1,307.64	37.15	937.55	-	934.14	-	100	-	71	_
Agriculture and Co-operative Development	287.25	822.50	185.56	8745	184.44	87.45	99	100	64	11
Energy, Water, Environment and Natural Resources	127.79	1,434.55	63.60	391.99	62.03	122.42	98	31	49	9
Education, Youth Affairs and Social Development	850.11	557.56	844.75	103.27	844.28	103.27	100	100	99	19
County Health Services	5,541.27	923.30	2,689.07	95.45	2,688.48	95.45	100	100	49	10
Lands, Physical Planning and Urban Development	361.47	420.69	158.26	35.39	155.57	35.39	98	100	43	8
Roads, Public Works and Transport	214.30	2,777.89	143.27	1,732.46	139.58	1,732.46	97	100	65	62
Trade Development, Industry and Tourism	75.87	527.92	61.24	13.97	59.91	63.68	98	456	79	12
Culture and Social Services	184.42	147.90	55.89	3.78	58.51	3.78	105	100	32	3
Kisii Municipality	116.64	451.54	72.08	68.73	69.81	67.41	97	98	60	15
Ogembo Municipality	11.99	47.88	4.65	-	3.53	-	76	-	29	-
Office of the County Attorney	67	-	25.80	-	25.08	-	97	-	37	-
County Assembly	1,051.14	18	655.30	7.26	710.95	7.26	109	100	68	40
	11,233.88	**8,814.05**	**6,451.10**	**2,577.99**	**6,483.07**	**2,356.80**	**100**	**91**	**58**	**27**

Source: *Kisii County Treasury*

Analysis of expenditure by departments shows that the Department of Roads, Public Works and Transport recorded the highest absorption rate of development budget at 62 per cent, followed by the County Assembly at 40 per cent. The Department of Education, Youth Affairs and Social Development had the highest percentage of recurrent expenditure to budget at 99 per cent, while the Department of Ogembo Municipality had the lowest at 37 per cent.

3.16.16 Budget Execution by Programmes and Sub-Programmes

Budget execution was concentrated in selected performance bands. A number of development and recurrent sub-programmes recorded nil absorption during the review period. Under development, these were veterinary services and fisheries under the Department of Agriculture and Cooperative Development, housing management under the Department of Lands, Physical Planning and Urban Development, library services under cultural services, and development and management of sporting facilities under sports management. Under recurrent, these were housing management under the Department of Lands, Physical Planning and Urban Development, trade and investment promotion under the Department of Trade Development, Industry and Tourism, devolved services under the Department of Administration and Stakeholder Management, talent development under sports management, and maintenance and enhancement of vegetation cover under natural resources management.

In the 21–30 per cent band, development absorption was reported for crop development under the Department of Agriculture and Cooperative Development at 23 per cent and for county roads services under the Department of Roads and Public Works at 26 per cent.

In the 31–40 per cent band, development absorption was reported for the County Assembly headquarters

at 40 per cent. In the 71–80 per cent band, recurrent absorption was reported for physical planning services under the Department of Lands, Physical Planning and Urban Development at 72 per cent, for audit and accounting services under the Department of Finance and Economic Planning at 73 per cent, for administration and support services under the Department of County Executive and Public Service Board at 78 per cent, and for human resource management under the Department of Finance and Economic Planning at 79 per cent.

In the 90–100 per cent band, development absorption reached 100 per cent for village roads services and 94 per cent for purchase of machinery under the Department of Roads and Public Works, while recurrent absorption reached 100 per cent for ECDE services under the Department of Education, Youth Affairs and Social Development.

Low absorption in the lower performance bands was attributed to confusion between IFMIS and the electronic government procurement system, which delayed budget implementation. Conversely, performance in the higher bands was attributed to the availability of funds at the County Revenue Fund during the review period.

Table 3.239 summarises budget execution by programmes and sub-programmes in the period under review with the highest absorption rates.

Table 3.239: Budget Execution by Programmes and Sub-Programmes with Highest Absorption Rates

Programme	Sub-Programme	Gross Approved Estimates FY 2025.26 (Kshs.)	Expenditure (including accrued expenditure) as of 31st March 2026 (Kshs.)	Absorption Rate (%)
		Dev	Dev	Dev
DEVELOPMENT				
Roads and Public Works				
Road Development, Maintenance & Management 202005210	Village Roads Services	9,515,840	9,515,840	100
Roads and Public Works				
Transport Infrastructure Development 203005210	Purchase of Machinery 203015210	1,250,000,000	1,176,442,827	94
County Assembly				
County Assembly 101005210	County Assembly hq702015210	18,000,000	7,262,308	40
Roads and Public Works				
Road Development, Maintenance and Management 202005210	County Roads Services	1,488,132,309	387,752,120	26
Agriculture and Co-operative Development				
Agricultural Management and Value Addition 102005210	Crop Development 102015210	271,030,338	61,997,667	23
RECURRENT				
Education, Youth Affairs and Social Development				
Early Childhood Development Education 502005210	ECDE Services 502015210	126,000,000	126,000,000	100
Finance and Economic Planning				
Administrative and support services 701005210	Human Resource Management 701015210	1,255,740,843	993,688,572	79
County Executive and Public Service Board				
Management of County Affairs 703005210	Administration and support services 703015210	557,768,950	432,670,371	78
Finance and Economic Planning				

Programme	Sub-Programme	Gross Approved Estimates FY 2025.26 (Kshs.)	Expenditure (including accrued expenditure) as of 31st March 2026 (Kshs.)	Absorption Rate (%)
		Dev	Dev	Dev
Public Financial Management 707005210	Audit and Accounting services	35,950,000	26,379,430	73
Lands, Physical Planning and Urban Development				
Land use and Physical planning 103005210	Physical planning services 103015210	323,470,006	233,530,716	72

Source: *Kisii County Treasury*

The development sub-programmes with the highest budget implementation rates were: village roads in the Department of Roads and Public Works at 105 per cent, purchase of machinery in the Department of Roads and Public Works at 94 per cent, and the County Assembly Headquarters at 40 per cent.

For recurrent sub-programmes, the top performers included: ECDE Services in the Department of Education, Youth Affairs and Social Development at 100 per cent, Human Resource Management in the Department of Finance and Economic Planning at 79 per cent, and Administration and support services in the Department of County Executive and Public Service Board at 78 per cent.

The higher performance of these programmes can be attributed to the availability of funds at CRF.

Table 3.240 summarises the budget execution by programmes and sub-programmes in the period under review that had the nil absorption rates**.**

Table 3.240: Budget Execution by Programmes and Sub-Programmes with Nil Absorption Rates

Programme	Sub-Programme	Gross Approved Estimates FY 2025.26 (Kshs.)	Expenditure (including accrued expenditure) as of 31st March 2026 (Kshs.)	Absorption Rate (%)
		Dev	Dev	Dev
DEVELOPMENT				
Agriculture and Co-operative Development				
Agricultural Management and Value Addition 102005210	Veterinary Services 102035210	1,190,141	-	0
Agriculture and Co-operative Development				
Agricultural Management and Value Addition 102005210	Fisheries 102055210	41,520,975	-	0
Lands, Physical Planning and Urban Development				
Land use and Physical planning 103005210	Housing Management	20,000,000	-	0
Culture and Social Services				
Cultural Services	Library Services 904015210	500,000	-	0
Culture and Social Services				
Sports Management 906005210	Development and Management of Sporting facilities	108,901,748	-	0
RECURRENT				
Lands, Physical Planning and Urban Development				
Land use and Physical planning 103005210	Housing Management	–	–	0
Trade Development, Industry and Tourism				
Trade, Investment and Tourism Development 302005210	Trade and Investment promotion 302015210	200,000	–	0

Programme	Sub-Programme	Gross Approved Estimates FY 2025.26 (Kshs.)	Expenditure (including accrued expenditure) as of 31st March 2026 (Kshs.)	Absorption Rate (%)
		Dev	Dev	Dev
Administration and Stakeholder Management				
County administration services 706005210	Devolved services 706015210	563,139	_	0
Culture and Social Services				
Sports Management 906005210	Talent Development	2,000,000	_	0
Natural Resources Management 1005005210	Maintenance and Enhancement of Vegetation Cover	-	-	0

***Source**: Kisii County Treasury*

The development sub-programmes with the lowest budget implementation rates were as follows: Veterinary Services in the Department of Agriculture and Co-operative Development at less than 1 per cent, Fisheries in the Department of Agriculture and Co-operative Development at less than 1 per cent, and Housing Management at less than 1 per cent.

For recurrent sub-programmes, the poorest performers included: Housing Management in the Department of Lands, Physical Planning and Urban Development at less than 1 per cent, Trade and Investment promotion in the Department of Trade Development, Industry and Tourism at less than 1 per cent, and Devolved services in the Department of Administration and Stakeholder Management at less than 1 per cent.

These lower performances can be attributed to confusion between IFMIS and EGP, which delayed the process of implementation of the budget.

3.16.17 Settlement of Trade Payables

As of 1st July 2025, the County reported trade payables totalling Kshs.1.62 billion. This amount consisted of Kshs.1.58 billion from the County Executive and Kshs.44.13 million from the County Assembly. The trade payables from the County Executive comprised Kshs.1.19 billion for recurrent expenditure and Kshs.430.32 million for development expenditure.

During the reporting period, the County Executive settled trade payables amounting to Kshs.1.01 billion, comprising Kshs.736.20 million (73 per cent) for recurrent programmes and Kshs.278.18 million (27 per cent) for development programmes. On the other hand, the County Assembly settled trade payables amounting to Kshs.13.85 million, comprising Kshs.6.58 million (48 per cent) for recurrent activities and Kshs.7.26 million (52 per cent) for development activities. The outstanding trade payables as of 31st March 2026 were Kshs.560.77 million for the County Executive and Kshs.30.28 million for the County Assembly. Table 3.241 provides additional details of trade payables.

Table 3.241: Kisii County Trade Payables as of 31st March 2026

		County Entity	Development (Kshs.)	Recurrent (Kshs.)	Total (Kshs.)
As at 1 July 2025 (End of FY 2024.25)	a	County Executive	394,625,524	1,180,524,694	1,575,150,218
		County Assembly	35,693,891	8,435,944	44,129,835
		Total	**430,319,415**	**1,188,960,638**	**1,619,280,053**
Trade payables scheduled to be settled in the first nine months of FY 2025.26 per the action plan	b	County Executive	333,134,741	923,490,909	1,256,625,650
		County Assembly	7,262,308	-	7,262,308
		Total	**340,397,049**	**923,490,909**	**1,263,887,958**
Amount paid in the first nine months of FY 2025.26	c	County Executive	278,184,579	736,198,710	1,014,383,289
		County Assembly	7,262,308	6,582,866	13,845,174
		Total	**285,446,887**	**742,781,576**	**1,028,228,463**

		County Entity	Development (Kshs.)	Recurrent (Kshs.)	Total (Kshs.)
Trade Payables Incurred in the First Nine Months of FY 2025.26	d	County Executive	-	-	-
		County Assembly	-	-	-
		Total	-	-	-
Outstanding trade payables as of 31st March 2026	**e=a-c*b**	**County Executive**	116,440,945	444,325,984	560,766,929
		County Assembly	28,431,583	1,853,078	30,284,661
		Total	**144,872,528**	**446,179,062**	**591,051,590**

Source: *Kisii County Treasury*

The County Executive and the Assembly submitted a trade payables payment plan, committing to pay Kshs.923.49 million and Kshs.340.40 million on recurrent and development expenditure, respectively, in FY 2025.26. The County did not adhere to this payment plan, as it cleared Kshs.1.01 billion for the Executive and Kshs.13.85 million for the Assembly.

Table 3.242 and Table 3.243 present the ageing of the total outstanding bills as of 31st March 2026 for the County Executive and Assembly, which were Kshs.591.05 million.

Table 3.242: Kisii County Executive Trade Payables Ageing Analysis as of 31st March 2026

Category	Ageing analysis (Amount in Kshs.)				Total
	Under one year	1-2 years	2-3 years	Over 3 years	
Development Trade Payables	**87,732,488**	**18,845,953**	**9,862,503**		**116,440,944**
Recurrent Trade Payables (Goods & Services)	163,181,770	72,368,505	39,770,053	48,774,892	324,095,219
Recurrent Trade Payables (Salary Arrears and Statutory Deductions)	37,264,749	30,938,075	580,410	33,533,658	102,316,892
Recurrent Trade Payables (Staff Claims)	5,280,100	5,798,500	6,326,923	508,350	17,913,873
Total Recurrent Trade Payables	**205,726,618**	**109,105,080**	**46,677,386**	**82,816,899**	**444,325,984**
Total Trade Payables	**293,459,107**	**127,951,034**	**56,539,889**	**82,816,899**	**560,766,928**
% of Total	**52**	**23**	**10**	**15**	**100**

Source: *Kisii County Treasury*

Table 3.243: Kisii County Assembly Trade Payables Ageing Analysis as of 31st March 2026

Category	Ageing analysis (Amount in Kshs.)				Total
	Under one year	1-2 years	2-3 years	Over 3 years	
Development Trade Payables	**35,693,891**	-	**-**	**-**	35,693,891
Recurrent Trade Payables (Goods & Services)	1,773,078	400,000	-	-	2,173,078
Recurrent Trade Payables (Salary Arrears and Statutory Deductions)	6,262,866	-	-	-	6,262,866
Total Recurrent Trade Payables	**8,035,944**	**400,000**	-	-	**8,435,944**
Total Trade Payables	**43,729,835**	**400,000**	**-**	**-**	**44,129,835**
% of Total	**99**	**1**	**-**	**-**	**100**

Source: *Kisii County Treasury*

As shown in Table 3.242 and Table 3.243, the total salary arrears and statutory deductions for trade payables amounted to Kshs.108.58 million, which represented 18 per cent of the total trade payables of Kshs.591.05 million as of March 31, 2026. The statutory deductions included salary arrears of Kshs 42.27 million, pension liabilities of Kshs.34 million, and third-party deductions of Kshs.32.3 million.

Additionally, the two tables indicate that 23 per cent of total trade payables are aged between 1 and 2 years, a trend attributed to failure to follow the trade payables payment plan. To address this situation, the county should adhere to the trade payables payment plan.

The County Executive Trade Payables as at 31st March 2026 show that 23 per cent are between 1 and 2 years, 10 per cent are between 2 and 3 years, and 15 per cent are over 3 years. The County Treasury is expected to pay trade payables on a FIFO basis and ensure compliance with the trade payables Action Plan. The county should adhere to the trade payables payment plan.

3.16.18 General Observations and Recommendations

In the course of overseeing and reporting on the implementation of the Kisii County budget, the CoB identified the following challenges, which hampered effective budget implementation;

i. The underperformance of own-source revenue at Kshs.352.49 million against an annual target of Kshs.1.47 billion, representing 24 per cent of the financial year target.
ii. Low development performance in the review period as the County incurred Kshs.2.36 billion on development activities, achieving a 27 per cent absorption rate.
iii. High level of trade payables, which amounted to Kshs.591.05 million as of 31st March 2026. Furthermore, the County Treasury did not adhere to the trade payables payment plan.
iv. Use of manual payroll. Personnel emoluments amounting to Kshs.14.79 million for County Assembly basic salary to new employees, including their salary arrears.
v. Regulation 197(1)(i) of the Public Finance Management (County Governments) Regulations, 2015, limits the lifespan of public funds to 10 years unless extended by the County Assembly. As of 31st March 2026, the Bursary Fund's lifespan had lapsed, making it ineligible for further withdrawals. However, the county is in the process of revising the bursary fund awaiting gazettement.
vi. High expenditure on compensation of employees. Regulation 25(1) (b) of the PFM (County Governments) Regulations, 2015, limits county government expenditures on wages and benefits to 35 per cent of the county's total revenue. As of 31st March, the expenditure on employee compensation totalled Kshs.4.84 billion, representing 43 per cent of revenue.
vii. High level of trade receivables of Kshs.621.78 million on own source revenues that remained uncollected as at 31st March 2026.

The County should implement the following recommendations to improve budget execution:

i. *The County should address its own-source revenue performance to ensure the approved budget is fully financed. Appropriate austerity measures should be implemented to ensure expenditure commitments are aligned with available revenue.*
ii. *The County should implement strategies to increase development expenditures in FY 2025.26.*
iii. *The County Leadership should address the situation of trade payables to ensure that genuine bills are paid promptly in the remaining financial year. Further, compliance with the Trade Payables Action Plan should be enforced.*
iv. *The Government requires that salaries be processed through the HRIS system, and the County is advised to fast-track the acquisition of Unified Personnel Numbers for their staff. The County Public Service Board should regulate staff engagement on contract and casual workers as provided under Section 74 of the County Governments Act 2012. Furthermore, strict adherence to the approved staff establishment should be maintained.*
v. *The County should ensure timely review and extension of public funds whose lifespans are nearing expiration or have lapsed to prevent operational disruptions. Additionally, any expenditure from lapsed funds should cease immediately, and legal mechanisms should be followed to re-establish or wind up such funds in compliance with the Public Finance Management Act.*
vi. *The Controller of Budget recommends that County Governments maintain their employee compensation expenditure at sustainable levels and comply with Regulation 25(1)(b) of the Public Finance Management (County Governments) Regulations, 2015.*
vii. *The Controller of Budget recommends that the County Government should institute measures of collecting the trade receivables in order to meet the set revenue targets and expenditures as per the budget*

3.17. County Government of Kisumu

3.17.1 Overview of FY 2025/26 Budget

The Kisumu County Approved Budget for FY 2025/26 is Kshs.16.33 billion. It comprises Kshs.5.97 billion (37 per cent) and Kshs.10.37 billion (63 per cent) allocation for development and recurrent programmes, respectively. The budget estimates represent an increase of Kshs.1.03 billion (7 per cent) from the FY 2024/25 budget, which comprised a development budget of Kshs.5.03 billion and a recurrent budget of Kshs.10.27 billion. The increase in the budget was primarily attributed to the rise in the equitable share of revenue and conditional grants.

The budget is to be financed from various revenue sources. These include the equitable share of revenue raised nationally of Kshs.8.90 billion (55 per cent), additional allocations of Kshs.2.24 billion (14 per cent), a cash balance brought forward from FY 2024/25 of Kshs.1.56 billion (10 per cent) and Kshs.3.63 billion (21 per cent) generated as own-source revenue. A breakdown of the additional allocations is shown in Table 3.244.

3.17.2 Revenue Performance

During the first nine months of FY 2025/26, the County reported total revenues amounting to Kshs.9.55 billion. This amount represented an increase of 26 per cent compared to the amount received in a similar period in FY 2024/25 of Kshs.7.59 billion. The total revenue consisted of Kshs.6.63 billion from the equitable share of revenue raised nationally, additional allocations from the national government and development partners of Kshs.205.46 million, and own-source revenue (OSR) collection of Kshs.1.15 billion. Additionally, the County had a cash balance of Kshs.1.56 billion from FY 2024/25. The total OSR collection of Kshs.1.15 billion included Facilities Improvement Financing (FIF) of Kshs.505.57 million, and Kshs.642.31 million from other OSR sources.Table 3.244 summarises the total revenue available to the County Government during FY 2025/26.

Table 3.244: Kisumu County, Revenue Performance in the first nine months of FY 2025/26

No	Revenue Stream	Annual Targeted Revenue (Kshs.)	Actual Receipts (Kshs.)	Receivables in the first nine months of FY 2025/26 (Kshs.)	Total Revenues (in accrual basis) in the first nine months of FY 2025/26 (Kshs.)	Revenue Performance
		A	B	C	D	F=D/A*100
A	**Unspent Balance from FY 2023/24**					
1	Balance at CRF	**1,559,835,059**	**1,559,835,059**		**1,559,835,050**	100
	Sub-Total	**1,559,835,059**	**1,559,835,059**		**1,559,835,059**	**100**
B	**Equitable Share of Revenue Raised Nationally**					
1	Equitable Share	**8,902,026,938**	**5,919,847,914**	**712,162,155**	**6,632,010,069**	75
	Sub-Total	**8,902,026,938**	**5,,919,847,914**	**712,162,155**	**6,632,010,069**	**75**
C	**Additional Allocations (Including Grants)**					
1	**Unconditional Additional Allocations to County Governments**					
a	Allocations for Court Fines	**66,912**	-	-	-	-
2	**Conditional Additional Allocations from the National Government's**					
a	Kenya Dairy Enterprise Development	**400,391**	-	-	-	-
b	Community Health Promoters (CHPs) Programme	**165,339,627**	-	-	-	-
c	Road Maintenance Levy Fund (RMLF)	**68,301,577**	-	-	-	-
d.	Transforming Health Centre	**544,976**	-	-	-	-
3	**Conditional Allocations from Loans and Grants**					-
a.	DANIDA Grant	23,123,790	-	-	-	-

No	Revenue Stream	Annual Targeted Revenue (Kshs.)	Actual Receipts (Kshs.)	Receivables in the first nine months of FY 2025/26 (Kshs.)	Total Revenues (in accrual basis) in the first nine months of FY 2025/26 (Kshs.)	Revenue Performance
		A	B	C	D	F=D/A*100
b.	Financing Locally – Led Climate Action Plan (FLOCCA)	137,500,000	155,418,742	-	155,418,742	113
c.	Kenya Informal Settlement Project (KISIP II)	845,000,000	-	-	-	-
d.	IDA- World Bank Credit: Finance National Agricultural Value Chain Development Project (NAVCDP)	157,535,352	-	-	-	-
e.	Potential of Agroecological Practices in East Africa with a focus on Circular Water Energy Nutrient System (PRAeCTICE)	20,000,000	-	-	-	-
f.	(IFAD) Loan for the Aquaculture Business Development Project (ABDP)	**37,326,163**	-	-	-	-
g.	Kenya Devolution Support Programme Phase Two (KDSP II) Level I Grant	**37,500,000**	-	-	-	-
h.	Kenya Devolution Support Programme Phase Two (KDSP II) Level 2 Grant	**352,500,000**	**35,253,471.15**	-	**35,253,471.15**	10
i.	Change - Maker	**15,000,000**	**14,795,534.66**	-	**14,795,534.66**	99
j.	Kenya Urban Project (KUSP)-Urban Development Grant (UDG)	**36,634,916**	-	-	-	-
k.	Kenya Urban Project (KUSP)-Urban Institutional Grant (IUG)	**340,394,236**	-	-	-	-
	Sub-Total	**2,237,167,940**	**205,467,747.81**		**205,467,747.81**	**9**
D	**Ordinary Own Source Revenue (OSR)**					
1	Receivables	1,866,952,862	-	-	-	-
2	Land Rates	**199,897,898**	**104,846,806**	-	**104,846,806**	52
3	Rents	20,447,447	**19,274,463**	-	**19,274,463**	94
4	Trade Licence Fees	192,900,477	**161,313,942**	-	**161,313,942**	84
5	Building Plans	29,074,445	20,599,871	-	20,599,871	71
6	Single Board Promotion	170,957,831	111,623,086	-	111,623,086	65
7	Bus Park Fees	51,504,963	50,978,580	-	50,978,580	99
8	Parking Fees	34,932,941	41,541,150	-	41,541,150	119
9	Reserved Slot	5,851,300	6,978,100	-	6,978,100	119
10	Monthly Stickers	20,645,100	20,500	-	20,500	0.1
11	Clamping Fees	59,730	182,150	-	182,150	305
12	Market Fees	58,743,935	44,861,446	-	44,861,446	76
13	Stock Ring	2,681,910	1,577,181	-	1,577,181	59
14	Cess	**51,280,480**	**10,117,140**	-	**10,117,140**	20
15	Livestock Movement Permit	**7,110**	**4,000**	-	4,000	56
16	Sundry Revenue	**26,764,620**	293,057	-	293,057	1
	Sub-Total	**2,741,314,181**	**574,211,472**	-	**574,211,472**	**21**
F	**Facility Improvement Fund/Financing (FIF)**					
1	SHIF	**800,000,000**	**505,572,709**	-	**505,572,709**	63

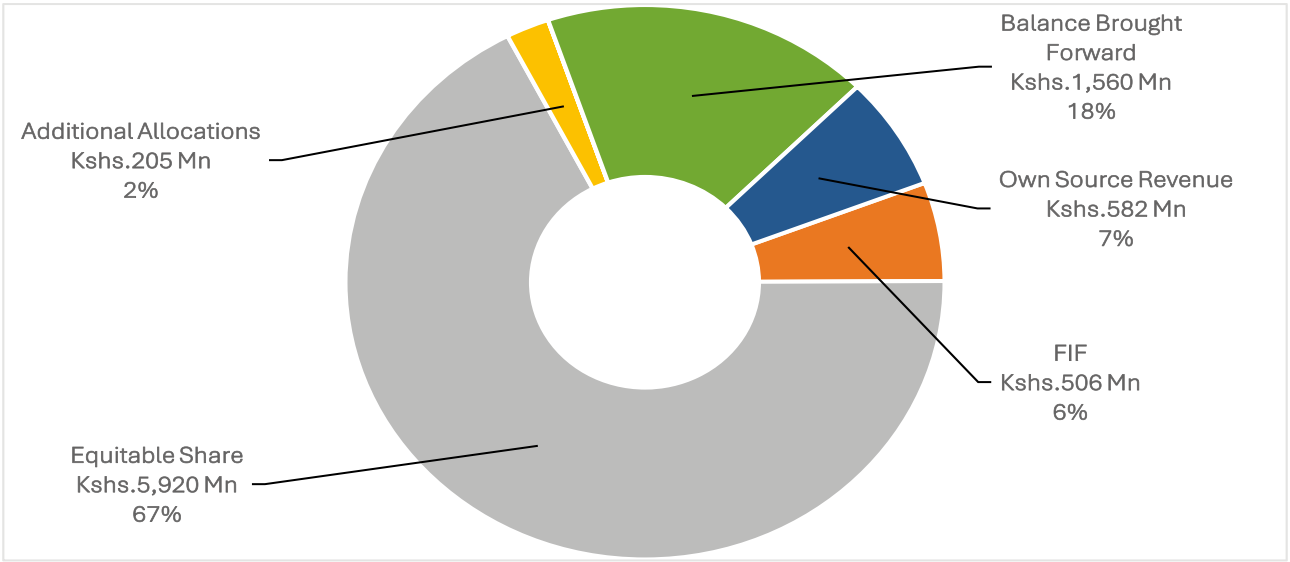
No	Revenue Stream	Annual Targeted Revenue (Kshs.)	Actual Receipts (Kshs.)	Receivables in the first nine months of FY 2025/26 (Kshs.)	Total Revenues (in accrual basis) in the first nine months of FY 2025/26 (Kshs.)	Revenue Perfor-mance
		A	B	C	D	F=D/A*100
	Sub-Total	**800,000,000**	**505,572,709**	**-**	**505,572,709**	**63**
H	**Other Revenues**					
1	Public Health	8,611,102	7,445,826	-	7,445,826	87
2	Agriculture, Livestock and Fisheries	4,690,648	8,028,104	-	8,028,104	171
3	Sports, Culture, Gender and Youth Affairs	1,831,930	7,918,880	-	7,918,880	432
4	Water, Environment, Natural Resources and Climate Change	7,583,106	14,723,350	-	14,723,350	194
5	Trade, Tourism, Industry and Marketing	1,782,940	1,502,280	-	1,502,280	84
6	Lands, Housing and Physical Planning	30,935,996	776,450	-	776,450	3
7	Education, Technical Training, Innovation and Social Services		54,700	-	54,700	-
8	Liquor Licence	20,689,028	17,677,793	-	17,677,793	85
9	Public Service, County Administration and Participatory Development	23,666,397	9,966,606	-	9,966,606	42
	Sub-Total	**91,180,045**	**60,648,163**	**-**	**60,648,163**	**67**
Total		**16,331,524,163**	**8,833,028,891**	**712,162,155**	**9,545,191,046**	**58**

Source: *Kisumu County Treasury*

The County does not have governing legislation on the operation of the ordinary A-I-A and FIF.

Figure 3.97 provides a detailed breakdown of receipts.

Figure 3.97: Kisumu County Composition of Revenue in the first nine months of FY 2025/26

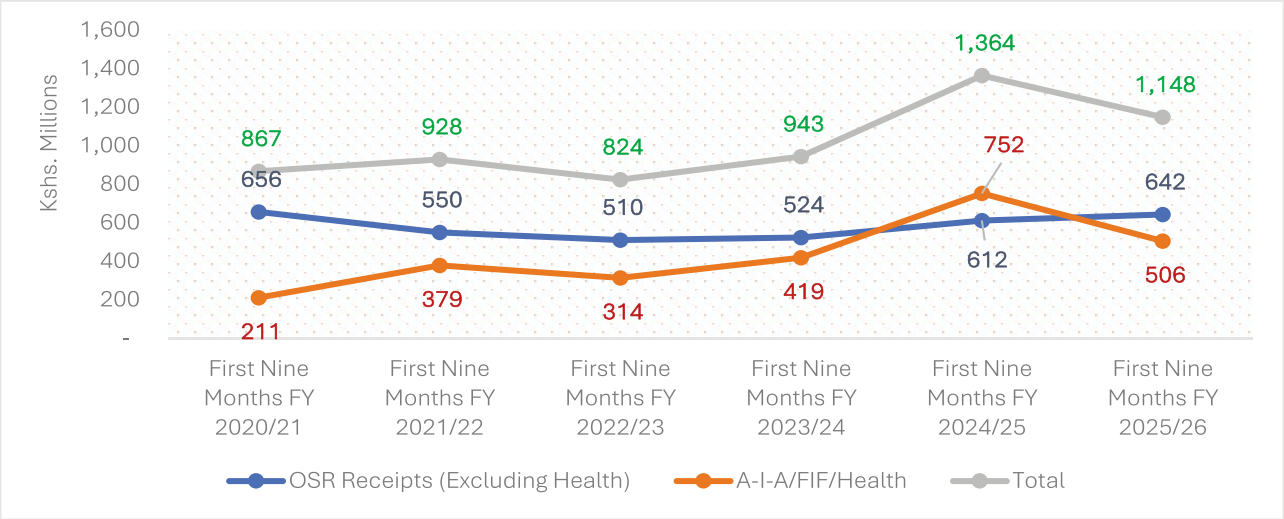


Source: *Kisumu County Treasury*

The equitable share of revenue raised nationally, OSR, and FIF contributed 67 per cent, 7 per cent and 6 per cent, respectively, of the total receipts for the reporting period.

Figure 3.98 shows the collection trend in own-source revenue from the first nine months of FY 2020/21 to the first nine months of FY 2025/26.

Figure 3.98: Kisumu County Trend in Own-Source Revenue Collection from the first nine months of FY 2020/21 to the first nine months of FY 2025/26



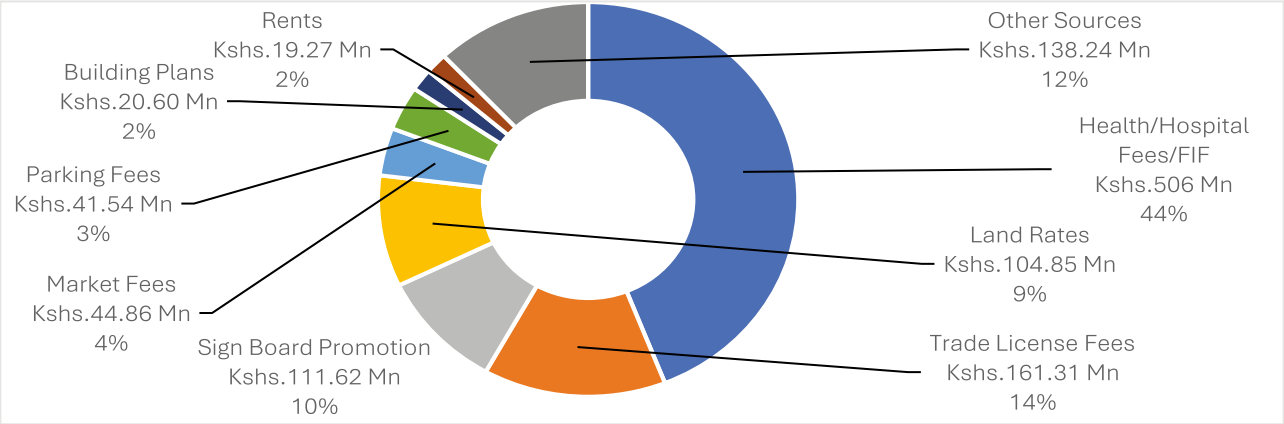
Source: *Kisumu County Treasury*

During the first nine months of FY 2025/26, the County received Kshs.1.15 billion from OSR, including FIF. This amount was a decrease of 15 per cent compared to Kshs.1.36 billion realised in a similar period in FY 2024/25, and was 32 per cent of the annual target and 19 per cent of the equitable revenue share disbursed.

The decrease in OSR was attributed to: a temporary shutdown of the automated revenue management system by the service provider; delayed disbursement of funds to ensure smooth revenue collection operations; transition challenges; internal interference due to political affiliations; litigation over the new county valuation roll; and a lack of a county debt management policy.

The revenue streams that contributed the most to OSR receipts are shown in Figure 3.99.

Figure 3.99: Kisumu County Top Own Source Revenue Streams in the first nine months of FY 2025/26



Source: *Kisumu County Treasury*

As shown in Figure 3.99 , the largest revenue stream, at Kshs.506 million, was Health/Hospital/FIF, accounting for 44 per cent of total OSR receipts. The County Government indicated that it has automated 24 of 27 revenue streams. The systems utilised for FIF revenue collection are PHANSOFT system which has been in use long before devolution and KENYA EMR which has been in use since 2025.

3.17.3 Revenue Receivables

As of 1st July 2025, the County reported receivables of Kshs.2.32 billion, which decreased to Kshs.732.75 million as of 31st March 2026. The County manages its receivables using a both manual system and an

integrated revenue management automated system, with a cash- or accrual-basis option. Table 3.245 presents a breakdown of the County's revenue receivables.

Table 3.245: Kisumu County Receivables as of 31st March 2026

No	Revenue Stream	Receivables as of 1 July 2025 (Kshs.)	Progress made in the first nine months of FY 2025/26			Receivables as of 31st March 2026 (Kshs.)
			Waivers (Kshs)	Receivables paid in the financial year (Kshs)	Receivables earned in the first nine months of FY 2025/26 (Kshs)	
		a	b	c	D	f=a-b-c+d
A	**Facility Improvement Fund (FIF)**					
1	SHIF	**1,866,952,662**		**1,695,645,665**		**171,306,997**
2	Defunct NHIF				**111,087,876**	**111,087,876**
	Sub-Total	**1,866,952,662**		**1,695,645,665**	**111,087,876**	**282,394,873**
B						**Other Revenues**
1	Hospital Fees	**427,393,843**				427,393,843
2	Environment	**22,962,535**				22,962,535
	Sub-Total	**450,356,376**				**450,356,376**
Total		**2,317,309,040**		**1,695,645,665**	**111,087,876**	**732,751,251**

Source: *Kisumu County Treasury*

As of 31st March 2026, the receivables totalled to Kshs.732.75 million, comprising Kshs.171.31 million for SHIF (22 per cent), Kshs.111.09 million for Defunct NHIF (15 per cent), Kshs.427.39 million for Hospital Fees (58 per cent) and Kshs.22.96 million for Environment (3 per cent). The measures instituted by the County to collect the outstanding arrears in FY 2025/26 include enhanced revenue enforcement measures and automation of revenue streams.

3.17.4 Borrowing by the County

Kisumu County Executive has a credit facility with Kenya Commercial Bank (KCB) totalling Kshs.1.45 billion. The credit facility was procured on various dates and used to pay salaries during the review period, attributable to delay in disbursement of funds to counties by the National Treasury. A summary of borrowing by the County is shown below:

Table 3.246: Summary of Borrowings by Kisumu County Government as of 31st March 2026

No	Purpose of Loan	Loan Duration Period	Date Loan was Granted by Lender	Date the Loan was approved by the County Assembly	Debt stock as of 30th June, 2025 Kshs.	First Nine Months of FY2025/26			
						Additional Loan Disbursements Kshs.	Loans paid (Principal amount) Kshs.	Loan Interest and other Charges paid Kshs.	Loan portfolio as of 31st March, 2026 Kshs.
					a	b	c	d	e=a+b-c (exclude d)
KCB Bank									
1	Payment of Staff Salary	1 Month	24/6/2025	9/7/2020	471,680,189	-	-	-	471,680,189
2	Payment of staff salary	1 Month	4/8/2025	9/7/2020		157,871,533	-		157,871,533
3	Payment of staff salary	1 Month	3/9/2025	9/7/2020		136,680,009	441,641,319	2,830,081	(304,961,310)
4	Payment of staff salary	1 Month	29/10/2025	9/7/2020		131,199,698	157,871,538	300,000	(26,671,840)

No	Purpose of Loan	Loan Duration Period	Date Loan was Granted by Lender	Date the Loan was approved by the County Assembly	Debt stock as of 30th June, 2025 Kshs.	First Nine Months of FY2025/26			Loan portfolio as of 31st March, 2026 Kshs.
						Additional Loan Disbursements Kshs.	Loans paid (Principal amount) Kshs.	Loan Interest and other Charges paid Kshs.	
					a	b	c	d	e=a+b-c (exclude d)
KCB Bank									
5	Payment of staff salary	1 Month	22/12/2025	9/7/2020		136,246,009	131,199,698	300,000	5,046,311
6	Payment of staff salary	1 Month	12/1/2026	9/7/2020		134,059,646	136,680,009	300,000	(2,620,363)
7	Payment of staff salary	1 Month	3/2/2026	9/7/2020		128,792,686	136,246,009	250,000	(7,453,323)
8	Payment of staff salary	1 Month	23/1/2026	9/7/2020		151,850,532	134,059,646	300,000	17,790,886
9	Payment of Staff salary	1 month	-	9/7/2020			128,792,691		(128,792,691)
	Total				**471,680,189**	**976,700,113**	**1,266,490,910**	**4,280,081**	**181,889,392**

Source: *Kisumu County Treasury*

Kisumu County Executive has a credit facility with Kenya Commercial Bank totalling Kshs.1.45 billion which was used to pay salaries in the review period attributed to delay in cash disbursements to Counties by the National Treasury. The outstanding amount as at 31st March, 2026 was Kshs.181.89 million.

Conversely, the County Assembly had a credit facility with Family bank totalling Kshs.36.66 million. The credit facility was also to pay salaries due to delay in cash disbursements to counties by the National Treasury. As at 31st March, 2026, the County Assembly had settled all the borrowing and therefore had no outstanding balance.

3.17.5 Withdrawals from the County Revenue Fund and County Assembly Fund

During the reporting period, the Controller of Budget approved exchequer withdrawal requests totalling Kshs.6.51 billion from the Kisumu County Revenue Fund (CRF) account. This amount consisted of Kshs.1.26 billion (19 per cent) designated for development programs and Kshs.5.23 billion (89 per cent) allocated for recurrent programs.

An analysis of the released recurrent exchequers shows that Kshs.3.52 billion was allocated to employee compensation and Kshs.1.73 billion to operations and maintenance expenditures. Within the operations and maintenance category, 16 per cent was for domestic travel and 3 per cent for foreign travel. The domestic travel exchequers totalled Kshs.269.86 million, which included Kshs.131.25 million for the County Executive and Kshs.138.60 million for the County Assembly. Meanwhile, the foreign travel exchequers amounted to Kshs.49.31 million, with Kshs.30.94 million for the County Executive and Kshs.18.37 million for the County Assembly.

As of 31st March 2026, the County Government's cash balance in the Kisumu County Revenue Fund account was Kshs.1.34 billion.

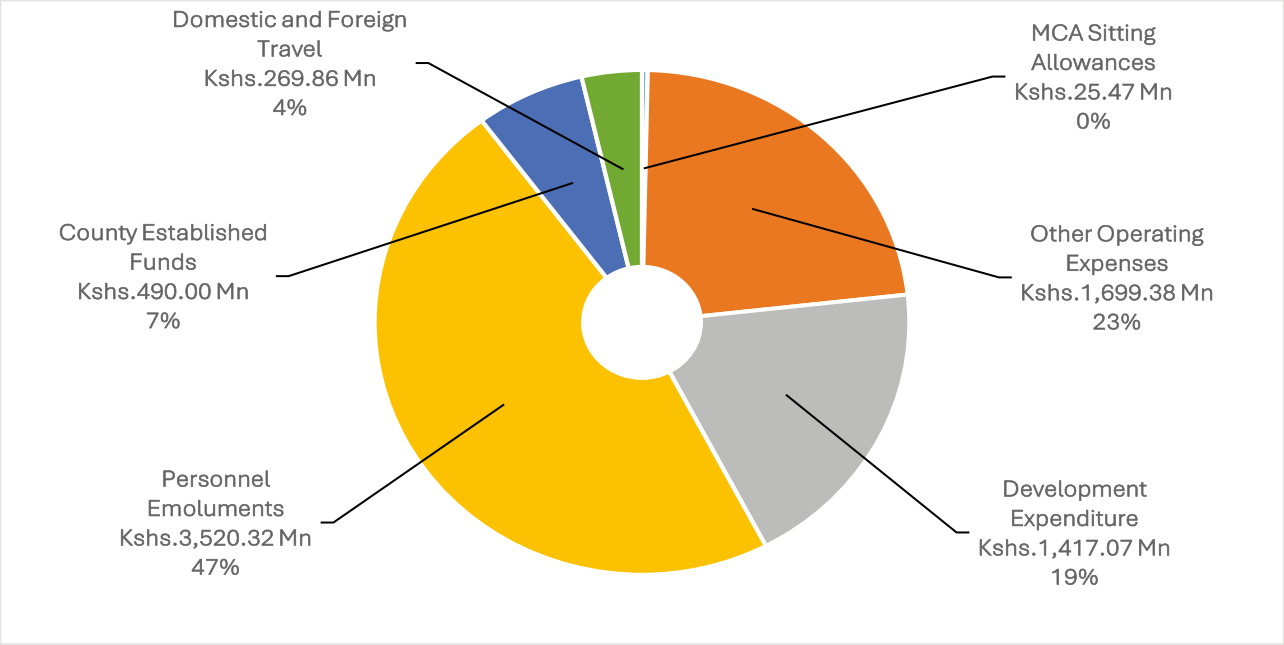
In addition, the Controller of Budget did not approve any exchequer withdrawal requests from the Kisumu County Assembly Fund (CAF) account during the review period as it was yet to be operationalized.

3.17.6 Expenditure Review

The County spent Kshs.6.51 billion on development and recurrent programmes during the reporting period. The expenditure represented 100 per cent of the total funds released by the CoB. It comprised Kshs.1.26 billion for development programmes and Kshs.5.25 billion for recurrent programmes. Expenditure on development programmes accounted for 21 per cent of the annual development expenditure budget, while recurrent expenditure accounted for 51 per cent of the annual recurrent expenditure budget.

Figure 3.100 provides a detailed breakdown of total expenditure.

Figure 3.100: Kisumu County Composition of Expenditure in the first nine months of FY 2025/26



Source: *Kisumu County Treasury*

As shown in Figure 3.100 , the three highest expenditure categories were Personnel Emoluments, Operation and Maintenance, and Development, contributing 47, 23, and 19 per cent of the total expenditure for the reporting period.

3.17.7 Expenditure by Economic Classification

The County Executive incurred Kshs.3.24 billion in employee compensation, Kshs.1.51 billion in operations and maintenance, and Kshs.1.20 billion in development activities. Similarly, the County Assembly spent Kshs.282.01 million on compensation of employees, Kshs.222.49 million on operations and maintenance, and Kshs.65.73 million on development activities, as shown in Table 3.247 .

Table 3.247: Kisumu County Summary of Budget and Expenditure by Economic Classification

Expenditure Classification	Approved Budget (Kshs.) (a)		Amount Paid in the first nine months of FY 2025/26 (Kshs.) (b)		Total Expenditure in the first nine months of FY 2025/26 (Kshs.) (d=b+c)		Absorption (%) (d/a*100)	
	Executive	Assembly	Executive	Assembly	Executive	Assembly	Executive	Assembly
Total Recurrent Expenditure	**9,504,249,249**	**862,083,652**	**4,743,737,511**	**504,500,687**	**5,248,238,198**	**504,500,687**	**50**	**59**
Compensation of Employees	5,201,915,537	352,864,077	3,238,318,159	282,006,022	3,520,322,181	282,006,022	62	80
Operations and Maintenance	4,302,333,712	509,219,575	1,202,421,352	222,494,665	1,727,916,017	222,494,665	35	44
Development Expenditure	**5,865,191,262**	**100,000,000**	**1,196,097,878**	**65,729,295**	**1,261,827,173**	**65,729,295**	**20**	**66**
Total	**15,369,440,511**	**962,083,652**	**5,939,835,389**	**570,229,982**	**6,510,065,371**	**570,229,982**	**39**	**59**

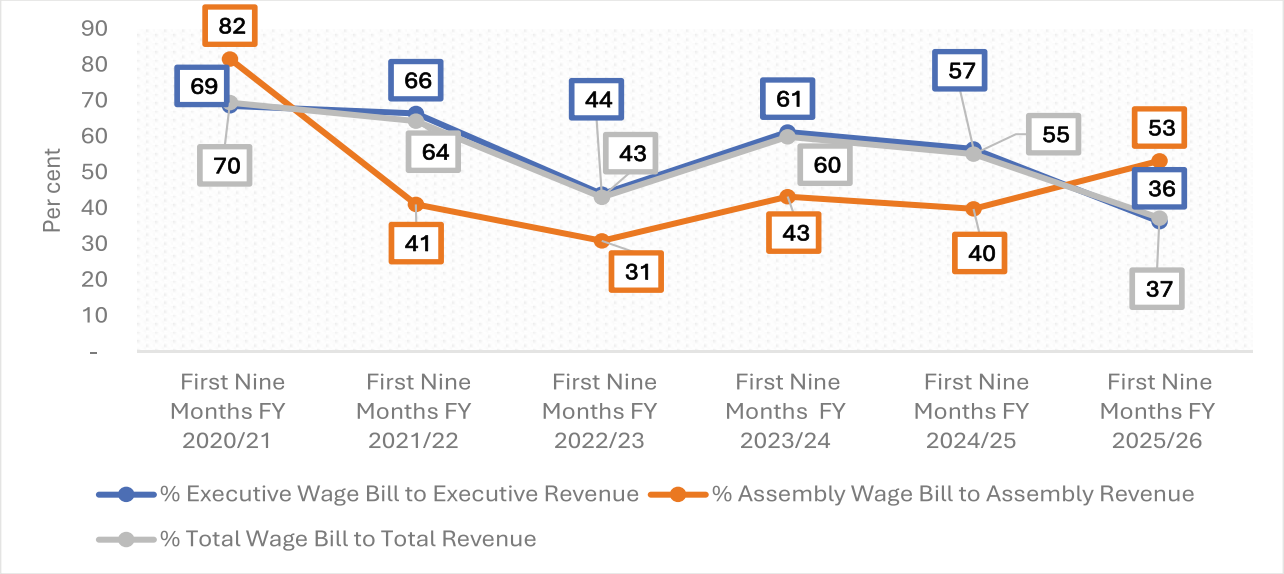
Source: *Kisumu County Treasury*

3.17.8 Expenditure on Employee Compensation

The expenditure on employee compensation totalled Kshs.3.52 billion, representing 37 per cent of revenue. This expenditure on employee compensation shows a decrease compared to the Kshs.4.19 billion reported in a similar period in FY 2024/25. Of this total, Kshs.2.73 billion related to Health Sector employees, accounting for 78 per cent of the overall employees' compensation.

Figure 3.101 shows the trend in employee compensation as a percentage of total revenue from the first nine months of FY 2020/21 to the first nine months of FY 2025/26.

Figure 3.101: Percentage of Employee Compensation Expenditure to Total Revenue Received in the first nine months of FY 2020/21 to the first nine months of FY 2025/26



***Source**: Kisumu County Treasury*

Further analysis indicated that PE costs amounting to Kshs.3.51 billion were processed through the Human Resource Information System (HRIS). In contrast, Kshs.32.89 million was processed through manual payrolls, which accounted for 1 per cent of the total PE cost. The justification for the continued use of manual payroll was payment for contract staff gratuity and top up allowances for security officers.

The manual payroll comprised salaries arrears for underpaid County Executive staff and Gratuity for MCA's and respective ward staff whose gratuity are paid to a scheme, as shown Table 3.248

Table 3.248: Breakdown of Kisumu County Manual Payroll

Sno.	Description of Manual Payroll	Amount (Kshs.)
1	Underpaid Salary Arrears	11,104,164
2	Gratuity for MCA's and Ward Staff (NB. Their gratuity is paid to a scheme not pension)	21,786,345
	Total	**32,890,509**

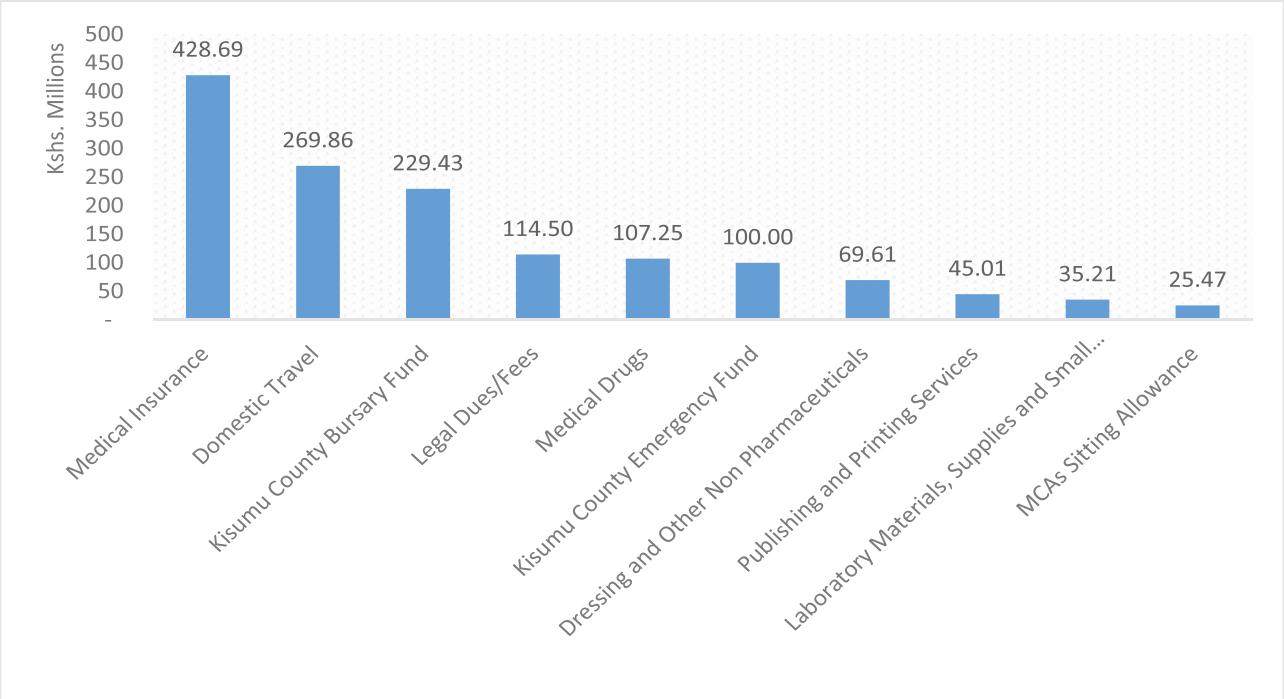
***Source:** Kisumu County Treasury*

The County Assembly spent Kshs.25.47 million on committee sitting allowances for the 48 MCAs against the annual budget allocation of Kshs.45.91 million. The average monthly sitting allowance was Kshs.58,948 per MCA. The County Assembly has 24 House Committees.

3.17.9 Expenditure on Operations and Maintenance

During the reporting period, the County spent Kshs.1.73 billion on operations and maintenance, representing an increase of 59 per cent compared to a similar period in FY 2024/25, when the County spent Kshs.1.09 billion. Figure 3.102 illustrates the distribution of Operations and Maintenance expenditures across the major spending categories.

Figure 3.102: Kisumu County, Operations and Maintenance Expenditure by Major Categories



Source: *Kisumu County Treasury*

3.17.10 Unbundling "Other Operating Expenses- Other IFMIS Code 2211399" Under Operations and Maintenance Expenditures

The budget performance report for the first nine months of FY 2025/26 indicates that the County did not spend on "*other operating expenses-Other", which is commendable.*

3.17.11 County-Established Funds

Section 116 of the PFM Act 2012 allows County Governments to establish other public funds, subject to approval from the County Executive Committee and the County Assembly. The County allocated Kshs.512.50 million to County-Established funds in FY 2025/26, representing 3 per cent of the County's overall budget. Of this amount, the County allocated Kshs.200 million to the Emergency Fund in line with Section 110 of the PFM Act, 2012, accounting for 1 per cent of the total budget. Table 3.249 summarises each established Fund's budget allocation and performance during the reporting period.

Table 3.249: Performance of Kisumu County Established Funds in the first nine months of FY 2025/26

S/ No.	Name of the Fund	Year Established	Approved Budget Allocation in FY 2025/26 (Kshs.)	Exchequer Issues in the first nine months of FY 2025/26 (Kshs.)	Actual disbursements in the first nine months of FY 2025/26 (Kshs.)	Cumulative disbursements to the Fund (Kshs)	Submission of Financial Statements (Yes/No.)
County Executive Established Funds							
1	Kisumu County Education and Social Protection Fund	2014	305,000,000	150,000,000	150,000,000	1,592,397,862	No
2	Kisumu County Emergency Fund	Dec 2018	200,000,000	165,000,000	65,000,000	544,989,860	No
County Assembly Established Funds							

S/ No.	Name of the Fund	Year Established	Approved Budget Allocation in FY 2025/26 (Kshs.)	Exchequer Issues in the first nine months of FY 2025/26 (Kshs.)	Actual disbursements in the first nine months of FY 2025/26 (Kshs.)	Cumulative disbursements to the Fund (Kshs)	Submission of Financial Statements (Yes/No.)
1	Kisumu County Assembly Car Loan and Mortgage Fund	Apr 2020	7,500,000	-	-	410,464,000	No
	Total		**512,500,000**	**315,000,000**	**215,000,000**		

Source: *Kisumu County Treasury*

During the reporting period, the CoB did not receive quarterly financial reports from Kisumu County Education and Social Protection Fund, Kisumu County Emergency Fund and Kisumu County Assembly Car Loan and Mortgage Fund Administrators, as indicated in Table 3.6, contrary to the requirement of Section 168 of the PFM Act, 2012. Since the quarterly financial reports was not submitted by the County during the review period, it was not possible to establish the administration costs of the Kisumu County Education and Social Protection Fund, Kisumu County Emergency Fund and Kisumu County Assembly Car Loan and Mortgage Funds if they were above or within the 3 per cent limit of the Fund budget set in Regulation 197(1)(d) of the Public Finance Management (County Governments) Regulations, 2015.

Regulation 197(1)(i) of the Public Finance Management (County Governments) Regulations, 2015, allows County Governments to establish public funds with a lifespan capped at 10 years unless extended by the County Assembly. In FY 2025/26, the CoB determined that the Kisumu County Education and Social Protection Fund's lifespan had lapsed, and the County sought an extension until June 2026 to come up with a new Act for the fund. Consequently, the CoB approved withdrawal requests to support the operations of the lapsed fund based on the period extension request.

3.17.12 County Municipalities, Corporations and other Agencies

The County has one County Corporation, which was allocated Kshs.85.08 million in FY 2025/26. There was no expenditure for the review period, as shown in Table 3.250 .

Table 3.250: Performance of Kisumu County Corporations in the first nine months of FY 2025/26

S/No.	Name of the Corporation	Approved Budget Allocation in FY 2025/26 (Kshs.)	Exchequer Issues (Kshs.)	Actual Transfers in the first nine months of FY 2025/26 (Kshs.)	Cumulative Transfers to the Corporation since its inception (Kshs.)
1	Lakefront Development Corporation	85,076,880	-	-	-
	Total	**85,076,880**	**-**	**-**	**-**

Source: *Kisumu County Treasury*

3.17.13 Expenditure on Domestic and Foreign Travel

Expenditure on domestic travel amounted to Kshs.269.86 million and comprised Kshs.138.60 million spent by the County Assembly and Kshs.131.25 million by the County Executive. Expenditure on foreign travel amounted to Kshs.49.31 million and comprised Kshs.18.37 million by the County Assembly and Kshs.30.94 million by the County Executive. Expenditure on foreign travel is summarised inTable 3.251 .

Table 3.251: Summary of Expenditure on Foreign Travel in the first nine months of FY 2025/26

Arm of County Government	Number of Officers Travelled	Date travelled	Purpose of the travel	Destination	Actual Payment on Travel (a) (Kshs.)	Accrued Expenditure on Travel (b) (Kshs.)	Total Expenditure on Travel (c=a+b) (Kshs.)
County Executive	2	21st Oct to 20th November, 2025	Not Provided	USA, South America and France	8,250,000		8,250,000

Arm of County Government	Number of Officers Travelled	Date travelled	Purpose of the travel	Destination	Actual Payment on Travel (a) (Kshs.)	Accrued Expenditure on Travel (b) (Kshs.)	Total Expenditure on Travel (c=a+b) (Kshs.)
County Executive	1	1st June to 25th August, 2025	Attending UCLG Africa	Morocco	1,135,680		1,135,680
County Executive	2	2nd July to 4th July	Attending the unpacking of the Pact for the future workshop	Accra, Ghana	1,200,000		1,200,000
County Executive	2	18th to 30th August, 2025	Investment and Academic Engagements	New York	3,500,000		3,500,000
County Executive	1	5th to 10th September, 2025	Attending Intra – Africa Trade Fair 2025	Algeria	850,000		850,000
County Executive	1	4th to 10th September, 2025	Attending ESAMI Procurement Fraud Audit and Investigation Training	Zambia	267,500		267,500
County Executive	1	21st to 27th September 2025	Attending FESTA Africa Festival	Accra, Ghana	1,189,500		1,189,500
County Executive	1	21st to 27th September, 2025	Attending VIP Delegate FESTAC Africa Renaissance Festival 2025	Accra, Ghana	596,700		596,700
County Executive	1	5th to 10th October, 2025	Attending 5th Edition of Africa Sub Sovereign Government Network	Spain	404,396		404,396
County Executive	2	22nd Apr to 3rd May, 2025	World Bank and IFMIS Spring Meeting	Washington DC	3,182,520		3,182,520
County Executive	3	30th Mar to 6th April, 2025	Global Disability Summit 2025	Berlin, Germany	3,087,790		3,087,790
County Executive	2	5th June to 9th June, 2025	Global Parliament of Mayor's Annual Summit, 2025	Portugal	1,375,600		1,375,600
County Assembly	6	1st to 7th October, 2025	Attending Agricultural Exchange Programme	Washington DC, USA	1,808,352		1,808,352
County Executive	2	10th to 13th March, 2025	Not Provided	Dubai	1,100,530		1,100,530
County Assembly	3	21st to 30th July, 2025	Attending Youth International Exchange Camp	Asan City, South Korea	1,058,367		1,058,367
County Executive	1	29th June to 3rd July, 2025	World Assembly of Local and Regional Governments	Doha, Qatar	445,638		445,638
County Assembly	1	25th Sep, to 7th October, 2025	Attending meetings, Presentations and Community engagement activities	Washington DC, USA	442,186		442,186
County Assembly	7	4th to 10th November, 2026	Attending Leadership Strategies for Organizational Growth in dynamic world conference	Dubai, UAE	2,965,794		2,965,794
County Assembly	2	1st to 12th November, 2025	Attending meetings, presentation and Community engagement activities	Washington DC, USA	933,044		933,044

Arm of County Government	Number of Officers Travelled	Date travelled	Purpose of the travel	Destination	Actual Payment on Travel (a) (Kshs.)	Accrued Expenditure on Travel (b) (Kshs.)	Total Expenditure on Travel (c=a+b) (Kshs.)
County Assembly	4	16th to 22nd November, 2025	Attending Leadership Strategies for organizational growth in dynamic world Conference	Dubai, UAE	1,685,945		1,685,945
County Assembly	5	1st to 7th December, 2025	Attending an educational exchange programme	Mukono, Uganda	1,392,054		1,392,054
County Assembly	7	5th to 13th December, 2025	Attending an educational exchange Programme	Soroti, Uganda	2,210,579		2,210,579
County Assembly	1	14th to 22nd December, 2025	Attending Leadership Strategies for organizational growth in dynamic world conference	Singapore	529,528		529,528
County Assembly	7	15th to 23rd December, 2025	Attending an educational exchange programme	Soroti, Uganda	1,989,577		1,989,577
County Assembly	1	18th to 23rd December, 2025	Attending Leadership and Governance Training Programme	Dubai, UAE	512,263		512,263
County Assembly	2	2nd January to 8th January, 2026	Attending Leadership Strategies for organizational growth in dynamic world conference	Singapore	1,185,396		1,185,396
County Assembly	6	20th January to 26th January, 2026	Attending Transformation Workshop on the Strategic Engagement of the social economy approach	Musoma, Tanzania	1,661,808		1,661,808
County Executive	1	18th to 30th August, 2025	Investment and Academic Engagements	New York	1,026,480		1,026,480
County Assembly	1	16th t0 27th August, 2025	Attend the 25th National Business League conference presented by the National Alliance for Black Business	Georgia, USA	338,762		338,762
County Executive	1	21st to 27th September, 2025	Attend FESTAC Africa Renaissance Festival, 2025	Doha, Qatar	596,700		596,700
Total					**49,310,027**		**49,310,027**

Source: *Kisumu County Treasury and Kisumu County Assembly*

3.17.14 Facility Improvement Financing (FIF)

During the review period, the County reported collections of Kshs.505.57 million as FIF, which was 63 per cent of the annual target of Kshs.800 million. The collected amount was retained and utilised at source in line with the Facility Improvement Financing Act, 2023. The County, however, has not developed regulations to operationalise the FIF Act of 2023.

The expenditure by the health facilities amounted to Kshs.422.30 million, as shown in Table 3.252

Table 3.252: Kisumu County Health Facilities Expenditure Performance in the first nine months of FY 2025/26

No.	Health Facility	Number of Facilities	Approved Budget (Kshs.)	Actual Expenditure (Kshs.)	Absorption rate (%)
1.	Level 5 Hospital	-	-	-	-
2.	Level 4 Hospital	17	584,666,831	308,724,218	53
3.	Level 3 Facility	25	117,065,997	61,744,798	53
4.	Level 2 Facility	109	98,267,172	51,829,624	53
	Total	**151**	**800,000,000**	**422,298,640**	**53**

Source: *Kisumu County Treasury*

3.17.15 Development Expenditure

In the review period, the County reported spending Kshs.1.26 billion on development programmes, representing an increase of 156 per cent compared to FY 2024/25, when the County spent Kshs.491.86 million. Table 3.253 summarises the development projects with the highest expenditure in the reporting period.

The increase in development expenditure was attributed to enhanced payment of trade payables during the review period.

Table 3.253: Kisumu County, List of Development Projects with the Highest Expenditure

No	Sector	Project Name	Project Location	Project Commencement Date	Expected date of Completion of the Project	Contract sum (Kshs)	Total Funding in FY 2025/26 (Kshs.)	Expenditure (in accrual basis) in the First Nine Months of FY 2025/26 (Kshs.)	Cumulative project expenditure (in accrual basis) as of 31st March 2026 (Kshs.)	Percentage (%) of Completion
County Funded Projects										
1.	County Assembly	Construction of Ultra-Modern County Assembly	Kisumu Milimani	19th January, 2022	31st December, 2026	478,356,348	100,000,000	65,729,295	544,085,643	114
2.	Lands, Physical Planning, Housing and Urban Development	Local Physical Development Plan for Ahero/ Awasi	Ahero	07/06/2019	28/06/2019	51,268,520	10,000,000	-	10,000,000	20
3.	Lands, Physical Planning, Housing and Urban development	Supply, Installation and commissioning of Energy	Maseno and Kombewa	20/02/2024	10/03/2025	7,697,915	-	-	7,688,065	100
4.	Medical Services, Public Health and Sanitation	Completion of Nyadado Dispensary	East Seme	15/06/2023	30/06/2023	4,998,382	4,998,382	-	4,948,382	100
5.	City of Kisumu	Construction of a Box Culvert at Usare - Kadiaga	South West Kisumu	-	-		5,000,000	-	4,928,060	99
6.	Infrastructure, Energy and Public Works	Maitenance of Ragen – Bolo Junction road	Nyakach Central	05/06/2025	14/11/2025	4,910,678	5,000,000	-	4,910,530	98
7.	Medical Services, Public Health and Sanitation	Construction of Kosawo Dispensary	Kisumu Central	11/06/2021	30/08/2023	37,138,510	4,947,819	-	4,947,819	13

No	Sector	Project Name	Project Location	Project Commencement Date	Expected date of Completion of the Project	Contract sum (Kshs)	Total Funding in FY 2025/26 (Kshs.)	Expenditure (in accrual basis) in the First Nine Months of FY 2025/26 (Kshs.)	Cumulative project expenditure (in accrual basis) as of 31st March 2026 (Kshs.)	Percentage (%) of Completion
8.	Infrastructure, Energy and Public Works	Maintenance of Rae – Kanyaika junction – Rae Primary School Corner Labour – Ouko Bridge	Kolwa Central	20/03/2025	14/11/2025	4,499,750	4,499,707	-	4,499,707	100
9.	Infrastructure, Energy and Public Works	Improvement of Namba – Kosea- Akonya -Korumba Access Road	Central Seme	19/03/2025	17/11/2025	3,999,999	4,000,000	-	3,999,998.93	100
10.	Infrastructure, Energy and Public Works	Tok – Teko Kanyagoro Access Road	Kanyagoro			3,999,999	3,999,420	-	3,999,420	100
Donor Funded Projects										
1	Infrastructure, Energy and Public Works	Construction of Climate Change Resource Centre Phase II	Railways	06/12/2024	08/12/2025	29,064,786	30,000,000	16,922,680	22,735,637	78
2	Water, Environment, Natural Resources and Climate Change	Drilling and Equipping of Climate Change Resilience Borehole at Holo	Holo	10/09/2024	30/06/2025	15,579,500	16,000,000	15,579,188	15,579,188	100
3	Water, Environment, Natural Resources and Climate Change	Desilting of Koyombe Water Pan	North Nyakach	20/05/2024	10/12/2025	9,286,500	10,000,000	9,239,400	9,239,400	99
4	Infrastructure, Energy and Public Works	Construction of Ugenya Evacuation Centre	Kabonyo Kanyagwal	10/10/2024	24/11/2025	17,932,170	18,000,000	9,159,010	9,159,010	51
5	Agriculture, Livestock Development, Fisheries and Irrigation	Establishment of Community forest at Siany and Construction of Biogas at Maseno and Muhoroni	County-wide	13/12/2024	04/08/2025	9,962,200	13,000,000	6,979,500	9,742,000	98

Source: *Kisumu County Treasury*

The County did not indicate the project commencement date and the expected date of completion of the following projects, namely: Construction of a Box Culvert at Usare – Kadiaga and Tok – Teko Kanyagoro Access Road.

The County did not report on stalled development projects as of 31st March, 2026.

3.17.16 Budget Performance by Department

Table 3.254 summarises the approved budget allocation, expenditure, and absorption rate by department for the period under review.

Table 3.254: Kisumu County, Budget Allocation and Absorption Rate by Department in the first nine months of FY 2025/26

Department	Revised Budget Allocation (Kshs. Million)		Exchequer Received (Kshs.Million)		Expenditure (Kshs. Million)		Expenditure to Exchequer (%)		Absorption rate (%)	
	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev
Lands, Physical Planning, housing and Urban Development	149.72	1,085.80	41.84	66.51	41.84	66.51	100	100	28	6
Agriculture, Livestock Development, Fisheries and Irrigation	224.83	426.57	100.74	180.74	100.74	180.74	100	100	41	42
City of Kisumu	394.56	1,267.76	198.32	323.15	198.32	323.15	100	100	50	26
County Assembly of Kisumu	862.08	100.00	504.50	65.73	499.64	65.73	99	100	58	66
County Public Service Board	43.12	-	2.37	-	2.37	-	100	-	6	-
Education, Technical Training, innovation and Social Service	950.97	335.27	339.56	154.30	339.56	154.30	100	100	36	46
Infrastructure, Energy and Public Works	171.88	1,236.60	86.14	213.67	86.14	213.67	100	100	50	17
Finance, Economic Planning and ICT Services	1,8145	75.08	800.94	19.80	800.94	19.80	100	100	44	26
Trade, Tourism, Industry and Marketing	112.11	69.38	17.28	30.57	17.28	30.57	100	100	15	44
Medical Services, Public Health and Sanitation	3,687	282.13	2,311.38	73.73	2,311.38	73.73	100	100	62	26
Sports, Culture, Gender and Youth Affairs	114.40	86.24	59.12	12.27	59.12	12.27	100	100	51	14
Water, Environment, Natural Resources and Climate Change	129.50	595.67	45.09	91.13	45.09	91.13	100	100	35	15
Public Service, County Administration, Participatory Development and Office of the Governor	1,408	387.69	668.62	30.24	668.62	30.24	100	100	48	8
County Attorney	221.15	-	70.41	-	70.41	-	100	-	32	-
Ahero/Awasi Municipality	16.00	-	0.73	-	0.73	-	100	-	5	-
Maseno/Holo Municipality	11.50	4.50	0.19	-	0.19	-	100	-	2	-
Kombewa/Bodi Municipality	12.00	4.00	0.19	-	0.19	-	100	-	2	-
Kaito/Pap Onditi Municipality	11.50	4.50	0.48	-	0.48	-	100	-	4	-

Department	Revised Budget Allocation (Kshs. Million)		Exchequer Received (Kshs.Million)		Expenditure (Kshs. Million)		Expenditure to Exchequer (%)		Absorption rate (%)	
	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev
Muhoroni/Chemilil Municipality	12.00	4.00	0.36	-	0.36	-	100	-	3	-
	10,366	**5,965**	**5,248**	**1,262**	**5,243**	**1,262**	**100**	**100**	**51**	**21**

Source: *Kisumu County Treasury*

Analysis of expenditure by departments shows that the Department of County Assembly of Kisumu recorded the highest absorption rate of development budget at 66 per cent, followed by the Department of Education, Technical Training, Innovation and Social Service at 46 per cent. The Department of Medical Services, Public Health and Sanitation had the highest percentage of recurrent expenditure to budget at 62 per cent, while the Departments of Maseno/Holo Municipality and Kombewa/Bodi Municipality had the lowest at 2 per cent each. The low absorption in some department

		County Entity	Development (Kshs.)	Recurrent (Kshs.)	Total (Kshs.)
As at 1 July 2025 (End of FY 2024/25)	a	County Executive	1,323,943,570	2,750,257,810	4,074,201,380
		County Assembly	-	14,094,655	14,094,655
		Total	**1,323,943,570**	**2,764,352,465**	**4,088,296,035**
Trade payables scheduled to be settled in the first nine months of FY 2025/26 per the action plan	b	County Executive	704,727,015	1,740,830,437	2,445,557,452
		County Assembly	-	14,094,655	14,094,655
		Total	704,727,015	1,754,925,092	2,459,652,107
Amount paid in the first nine months of FY 2025/26	c	County Executive	203,864,042	1,251,201,936	1,455,065,978
		County Assembly	-	2,011,795	2,011,795
		Total	203,864,042	1,253,213,731	1,457,077,773
Trade Payables Incurred in the First Nine Months of FY 2025/26	d	County Executive	-	-	-
		County Assembly	-	-	-
		Total	-	-	-
Outstanding trade payables as of 31st March 2026	**e=a-c*b**	**County Executive**	**1,120,079,528**	**1,499,055,874**	**2,619,135,402**
		County Assembly	**-**	**12,082,860**	**12,082,860**
		Total	**1,120,079,528**	**1,511,138,734**	**2,631,218,262**

Source: *Kisumu County Treasury*

The County Executive and the Assembly submitted a trade payables payment plan, committing to pay Kshs.2.76 billion and Kshs.1.32 billion on recurrent and development expenditure, respectively, in FY 2025/26. The County did not adhere to this payment plan, as it cleared Kshs.1.46 billion for the Executive and Kshs.2.01 million for the Assembly.

Table 3.255 and Table 3.256 present the ageing of the total outstanding bills as of 31st March 2026 for the County Executive and Assembly, which were Kshs.2.63 billion.

Table 3.255: Kisumu County Executive Trade Payables Ageing Analysis as of 31st March 2026

Category	Ageing analysis (Amount in Kshs.)				Total
	Under one year	1-2 years	2-3 years	Over 3 years	
Development Trade Payables	**319,434,737**	**349,466,091**	**43,133,286**	**408,045,414**	**1,120,079,528**
Recurrent Trade Payables (Goods & Services)	206,458,433	281,622,999	113,879,620	254,061,586	**856,022,638**
Recurrent Trade Payables (Salary Arrears and Statutory Deductions)	-	-	-	618,695,132	**618,695,132**

Category	Ageing analysis (Amount in Kshs.)				Total
	Under one year	1-2 years	2-3 years	Over 3 years	
Recurrent Trade Payables (Staff Claims)	17,412,689	6,218,004	262,015	445,395	**24,338,103**
Total Recurrent Trade Payables	223,871,122	287,841,004	114,141,635	873,202,114	**1,499,055,874**
Total Trade Payables	**543,305,859**	**637,307,095**	**157,274,921**	**1,281,247,528**	**2,619,135,402**
% of Total	**21%**	**24%**	**6%**	**49%**	**100%**

Source: *Kisumu County Treasury*

Table 3.256: Kisumu County Assembly Trade Payables Ageing Analysis as of 31st March 2026

Category	Ageing analysis (Amount in Kshs.)				Total
	Under one year	1-2 years	2-3 years	Over 3 years	
Development Trade Payables	**-**	**-**	**-**	**-**	**-**
Recurrent Trade Payables (Goods & Services)	5,513,451	-	-	-	**5,513,451**
Recurrent Trade Payables (Salary Arrears and Statutory Deductions)	-	-	-	-	**-**
Recurrent Trade Payables (Staff Claims)	6,569,409	-	-	-	**6,569,409**
Total Recurrent Trade Payables	12,082,860	-	-	-	**12,082,860**
Total Trade Payables	**12,082,860**	**-**	**-**	**-**	**12,082,860**
% of Total	**100%**	**%**	**%**	**%**	**100%**

Source: *Kisumu County Treasury*

As shown in Table 3.255 and Table 3.256, the total salary arrears and statutory deductions for trade payables amounted to Kshs.618.70 million, which represented 24 per cent of the total trade payables of Kshs.2.63 billion as of March 31, 2026. The statutory deductions included salary arrears of Kshs.618.70 million.

Additionally, the two tables indicate that 49 per cent of total trade payables are aged over 3 years, a trend attributed to inadequate funds to settle trade payables and a slow verification process for eligible trade payables. To address this situation, the county should fast-track and conclude the trade payables verification process on time, and settle them in accordance with the trade payables action plan.

3.17.17 Budget Execution by Programmes and Sub-Programmes

Budget execution was concentrated in selected performance bands. A number of development and recurrent sub-programmes recorded nil absorption during the review period. Under development, these were the management of public finance resources under the Department of Public Service, County Administration, Participatory Development, and the Office of the Governor, and general administration and support services under the Maseno/Holo, Kombewa/Bodi, Katito/Pap Onditi, and Muhoroni/Chemilil municipalities. Under recurrent, these were county and sub-county hospital services, the Kisumu County Referral Hospital, and reproductive health under the Department of Medical Services, Public Health and Sanitation; road construction and maintenance services under the Department of Infrastructure, Energy and Public Works; and management of public finance resources under the Department of the City of Kisumu.

In the 61–70 per cent band, development absorption was reported at 66 per cent for general administration under the Department of the County Assembly of Kisumu. In the 71–80 per cent band, development absorption was reported for general administration and support services under the Department of Trade, Tourism, Industry and Marketing at 79 per cent, for youth training and legislation under the Department of Sports, Culture, Gender and Youth Affairs at 79 per cent, and for planning and coordination services under the Department of Education, Technical Training, Innovation and Social Service at 74 per cent.

In the 81–90 per cent band, recurrent absorption was reported for road construction and maintenance services under the Department of Infrastructure, Energy and Public Works at 84 per cent and for promotion

of values and principles under the Department of County Public Service Board at 84 per cent. In the 90–100 per cent band, development absorption reached 100 per cent for planning and coordination services under the Department of Sports, Culture, Gender and Youth Affairs, while recurrent absorption reached 98 per cent for human resource for health under the Department of Medical Services, Public Health and Sanitation, 95 per cent for youth training facilities under the Department of Sports, Culture, Gender and Youth Affairs, and 92 per cent for primary policy and legislation under the Department of the City of Kisumu.

The development and recurrent sub-programmes with the lowest absorption rates remained at zero per cent. These lower performance levels were attributed to the challenges the County faced in adopting the electronic government procurement system. Conversely, performance in the higher bands was attributed to the improved settlement of trade payables within the respective departments during the review period.

3.17.18 General Observations and Recommendations

In the course of overseeing and reporting on the implementation of the Kisumu County budget, the CoB identified the following challenges, which hampered effective budget implementation;

i. The underperformance of own-source revenue at Kshs.1.15 billion against an annual target of Kshs.3.63 billion, representing 32 per cent of the financial year target.
ii. Low development performance in the review period as the County incurred Kshs.1.26 billion on development activities, achieving a 21 per cent absorption rate.
iii. Regulation 197(1)(i) of the Public Finance Management (County Governments) Regulations, 2015, limits the lifespan of public funds to 10 years unless extended by the County Assembly. As of 31st March 2026, the lifespan of the Kisumu County Assembly Car Loan and Mortgage Fund had lapsed, making them ineligible for further withdrawals.
iv. Fund Administrators failed to submit quarterly financial and non-financial reports to the CoB within the timelines provided by law, which is against the requirement of Section 168 of the PFM Act, 2012. The reports for the Kisumu County Assembly Car Loan and Mortgage Fund were not submitted to the CoB as of 15 April 2026.
v. High level of trade payables, which amounted to Kshs.2.63 billion as of 31st March 2026. Furthermore, the County Treasury did not adhere to the trade payables payment plan.
vi. Non-submission of copies of authorisation letters for opening commercial bank accounts as per Regulation 82(5) of the Public Finance Management (County Governments) Regulations, 2015.
vii. High level of trade receivables of Kshs.450.36 million on own source revenues that remained uncollected as at 31st March 2026

The County should implement the following recommendations to improve budget execution:

i. *The County should address its own-source revenue performance to ensure the approved budget is fully financed. Appropriate austerity measures should be implemented to ensure expenditure commitments are aligned with available revenue.*
ii. *The County should implement strategies to increase development expenditures in FY 2025/26.*
iii. *The County should ensure timely review and extension of public funds whose lifespans are nearing expiration or have lapsed to prevent operational disruptions. Additionally, any expenditure from lapsed funds should cease immediately, and legal mechanisms should be followed to re-establish or wind up such funds in compliance with the Public Finance Management Act.*
iv. *The CECMF should follow up to ensure Fund Administrators prepare and submit statutory reports in line with the PFM Act, 2012.*
v. *The County Leadership should address the situation of trade payables to ensure that genuine bills are paid promptly in the remaining financial year. Further, compliance with the Trade Payables Action Plan should be enforced.*
vi. *The County Treasury should ensure it submits copies of authorisation letters to the CoB for opening commercial bank accounts to enhance accountability and oversight.*
vii. *The Controller of Budget recommends that the County Governments should institute measures of collecting the trade receivables in order to meet the set revenue targets and expenditures as per the budget*

3.18. County Government of Kitui

3.18.1 Overview of FY 2025/26 Budget

The Kitui County Approved Supplementary I Budget for FY 2025/26 is Kshs.14.75 billion. It comprises Kshs.5.23 billion (35 per cent) and Kshs.9.52 billion (65 per cent) allocation for development and recurrent programmes, respectively. The budget estimates represent an increase of Kshs.440 million (3 per cent) from the FY 2024/25 budget, which comprised a development budget of Kshs.4.75 billion and a recurrent budget of Kshs.9.55 billion.

The budget is to be financed from various revenue sources. These include the equitable share of revenue raised nationally of Kshs.11.38 billion (78 per cent), additional allocations of Kshs.1.66 billion (11 per cent), a cash balance brought forward from FY 24/25 of Kshs.50.99 million (less than one per cent) and Kshs.1.47 billion (10 per cent) generated as own-source revenue. A breakdown of the additional allocations is shown in Table 3.257

3.18.2 Revenue Performance

During the first nine months of FY 2025/26, the County reported total revenues of Kshs.9.14 billion. This amount represented an increase of 9 per cent compared to the amount received in a similar period in FY 2024/25 of Kshs.8.34 million. The total revenue consisted of Kshs.7.65 billion from the equitable share of revenue raised nationally, additional allocations from the national government and development partners of Kshs.668.23 billion, and own-source revenue (OSR) collection of Kshs.648.46 million. Additionally, the County had a cash balance of Kshs.50.99 million from FY 2024/25. The total OSR collection of Kshs.648.46 million included Facilities Improvement Financing (FIF) of Kshs.452.22 million, and Kshs.196.24 million from other OSR sources Table 3.257 summarises the total revenue available to the County Government during FY 2025/26.

Table 3.257: Kitui County, Revenue Performance in the first nine months of FY 2025/26

No	Revenue Stream	Annual Targeted Revenue (Kshs.)	Actual Receipts (Kshs.)	Receivables in the First 9 months of FY 2025/26 (Kshs.)	Total Revenues (in accrual basis) in the First 9 months of FY 2025/26 (Kshs.)	Variance (Kshs.)
		A	B	C	D=B+C	E=A-D
A	**Unspent Balance from FY 2024/25**					
1	Balance at CRF	50,990,623	50,990,623		50,990,623	-
2	County Executive Refunds to CRF				-	-
3	County Assembly Refunds to CRF				-	-
	Sub-Total	**50,990,623**	**50,990,623**	**-**	**50,990,623**	**-**
B	**Equitable Share of Revenue Raised Nationally**					
1	Equitable Share	11,503,907,837	7,650,098,712	-	7,650,098,712	3,734,062,039
	Sub-Total	**11,503,907,837**	**7,650,098,712**	**-**	**7,650,098,712**	**3,734,062,039**
C	**Additional Allocations (Including Grants)**					
1	Road Maintenance Fuel Levy	597,554,452	-		-	597,554,452
2	Grants from World Bank (KDSP)	397,136,137	35,253,471		35,253,471	361,882,666
3	HSSP/HSPS - (DANIDA/IDA)	14,089,326	-		-	14,089,326

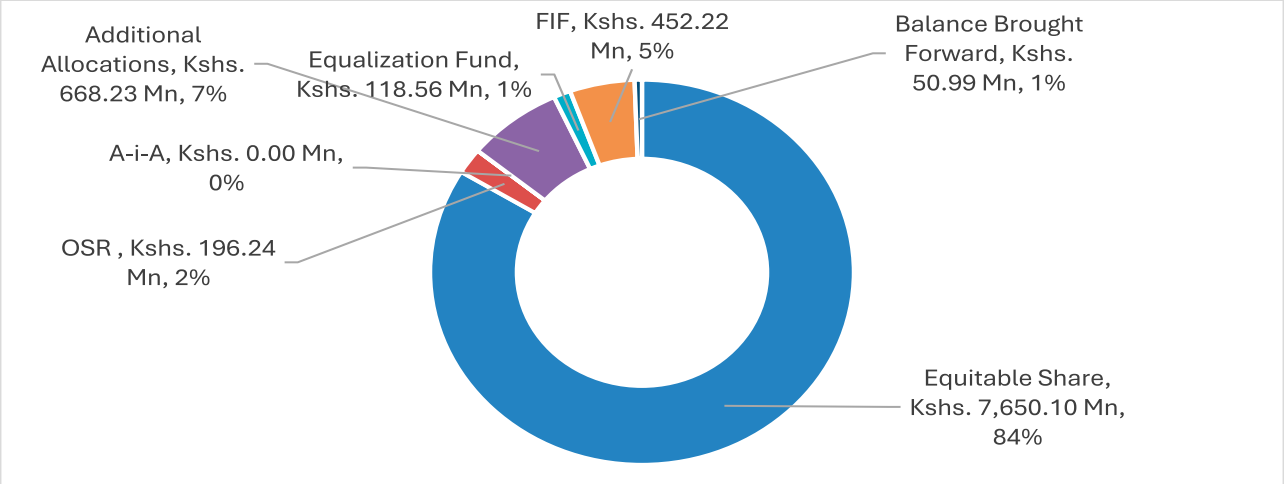
No	Revenue Stream	Annual Targeted Revenue (Kshs.)	Actual Receipts (Kshs.)	Receivables in the First 9 months of FY 2025/26 (Kshs.)	Total Revenues (in accrual basis) in the First 9 months of FY 2025/26 (Kshs.)	Variance (Kshs.)
		A	B	C	D=B+C	E=A-D
4	IDA (World Bank) credit (National Agricultural Value Chain Development Project (NAVCDP)	248,194,645	152,309,555		152,309,555	95,885,091
5	Covid - 19 - Ministry of Health and Sanitation	16,326,684	-		-	16,326,684
6	World Bank programme to Finance locally -Led Climate Action Program(FLLoCA)	377,089,490	181,685,930		181,685,930	195,403,560
7	Development of Youth Polytechnics	362,908	-		48,540,358	48,177,450
8	Kenya Urban Support Project-(UIG)world bank	60,714,592	48,540,358		48,540,358	12,174,234
9	Allocation for 20% Share of Mineral Royalties	114,279	435,841		435,841	321,562
10	Allocation for Court Fines	50,000	-		-	50,000
11	Community Health Promoters	58,050,445	-		-	58,050,445
12	County Aggregation and Industrial Parks Programme	301,525,750	250,000,000		250,000,000	51,525,750
	Sub-Total	**2,071,208,708**	**668,225,155**	**-**	**716,765,513**	**1,354,443,196**
D	**Ordinary Own Source Revenue (OSR)**					
1	Receipts from Sale of Agricultural Goods	674,665	422,335	-	422,335	252,330
2	Borehole Drilling	2,951,000	2,727,000	-	2,727,000	224,000
3	Engineering and Works Levy			-	-	-
4	Ploughing	2,166,366	-	-	-	2,166,366
5	Training/Learning Centre Fee	3,718,896	4,396,767	-	4,396,767	(677,871)
6	Agricultural show	6,442,784	-	-	-	6,442,784
7	Slaughter Houses Inspection Fee	29,769	4,000	-	4,000	25,769
8	Meat Inspection/Veterinary Services	2,541,422	464,343	-	464,343	2,077,079
9	Certificate to Transport/Movement permits	375,260	163,680	-	163,680	211,580
10	Dispatch note& Flayer License	9,210	1,000	-	1,000	8,210
11	Sand approval fee, pollution &penalties	18,972,072	252,600	-	252,600	18,719,472
12	Ministry of Health and public health	-	-	-	-	-
13	Ministry of Tourism, Sports and culture	452,256	126,880	-	126,880	325,376
14	Land rates	20,371,343	9,758,876	-	9,758,876	10,612,467
15	Penalties &penalties	173,730	147,340	-	147,340	26,390
16	Land Administration Fees	24,220,735	9,059,618	-	9,059,618	15,161,117

No	Revenue Stream	Annual Targeted Revenue (Kshs.)	Actual Receipts (Kshs.)	Receivables in the First 9 months of FY 2025/26 (Kshs.)	Total Revenues (in accrual basis) in the First 9 months of FY 2025/26 (Kshs.)	Variance (Kshs.)
		A	B	C	D=B+C	E=A-D
17	Alcoholic Drinks License	30,171,748	21,024,000	-	21,024,000	9,147,748
18	Inspection of Schools and ECD centers	-	-	-	-	-
19	Weights and measures	1,536,011	184,600	-	184,600	1,351,411
20	Cooperative Audit	712,614	124,432	-	124,432	588,182
21	Game reserves and park fees	-	-	-	-	-
22	Single Business Permits	102,649,433	74,582,878	-	74,582,878	28,066,555
23	House and Stalls Rents	2,520,656	1,612,544	-	1,612,544	908,112
24	Market Fees	16,108,700	14,007,890	-	14,007,890	2,100,810
25	Cess	12,152,256	10,442,925	-	10,442,925	1,709,331
26	Sign Board & Advertising	24,354,682	14,889,740	-	14,889,740	9,464,942
27	Transportation Fees	16,161,227	13,496,450	-	13,496,450	2,664,777
28	Slaughter Fees	2,738,913	1,810,915	-	1,810,915	927,998
29	Burial Fees	28,609	19,500	-	19,500	9,109
30	Parking fees	20,096,257	16,519,630	-	16,519,630	3,576,627
31	Sale & search of assets	17,690	1,400	-	1,400	16,290
	Sub-Total	**312,348,304**	**196,241,343**	**-**	**196,241,343**	**312,348,304**
E	**Facility Improvement Financing (FIF)**					
1	SHIF	806,901,696	452,223,814	203,808,253	656,032,067	150,869,629
2	Defunct NHIF		-	-		-
3	Other		-	-		-
	Sub-Total	**806,901,696**	**452,223,814**	**203,808,253**	**656,032,067**	**150,869,629**
	Grand Total	**14,745,357,168**	**9,136,342,151**	**203,808,253**	**9,388,690,762**	**5,702,853,131**

Source: *Kitui County Treasury*

Figure 3.103 provides a detailed breakdown of receipts.

Figure 3.103: Kitui County Composition of Revenue in the first nine months of FY 2025/26

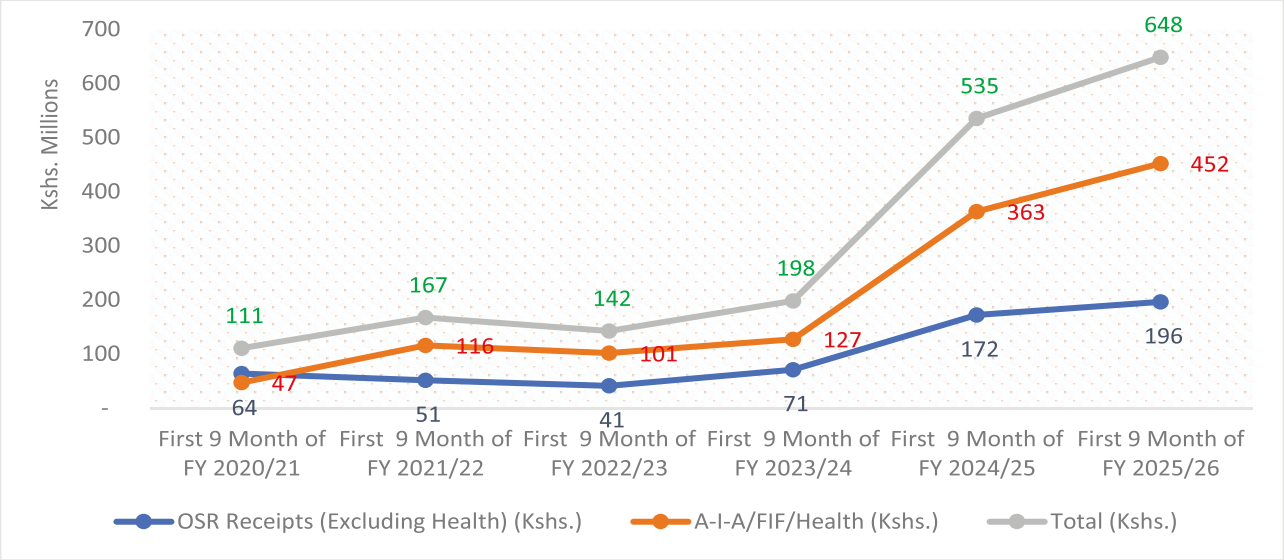


Source: *Kitui County Treasury*

The equitable share of revenue raised nationally, OSR, and FIF contributed 84 per cent, 2 per cent and 5 per cent, respectively, of the total receipts for the reporting period.

Figure 3.104 shows the collection trend in own-source revenue from the first nine months of FY 2020/21 to the first nine months of FY 2025/26.

Figure 3.104: Kitui County Trend in Own-Source Revenue Collection from the first nine months of FY 2020/21 to the first nine months of FY 2025/26

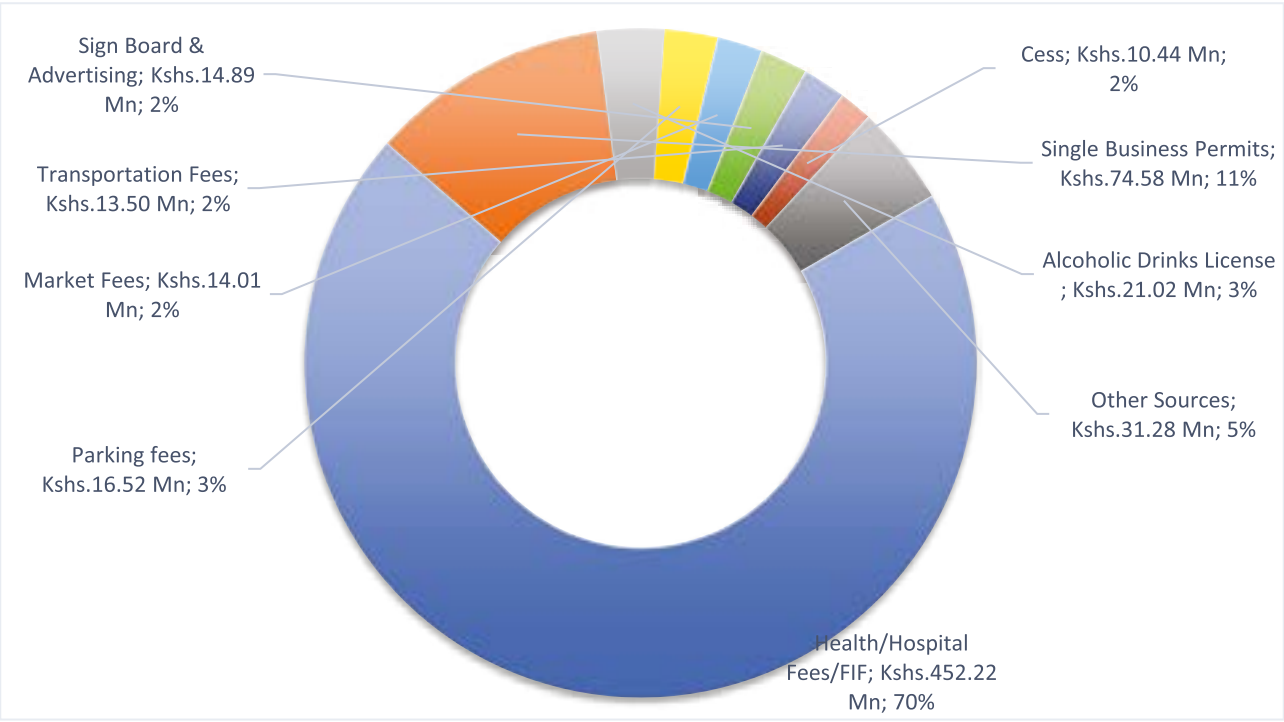


Source: *Kitui County Treasury*

During the first nine months of FY 2025/26, the County received Kshs.648.46 million from OSR, including FIF. This amount was an increase of 17 per cent compared to Kshs.535.31 million realised in a similar period in FY 2024/25, and was 58 per cent of the annual target and 8 per cent of the equitable revenue share disbursed.

The revenue streams that contributed the most to OSR receipts are shown in Figure 3.105

Figure 3.105: Kitui County Top Own Source Revenue Streams in the first nine months of FY 2025/26



Source: *Kitui County Treasury*

As shown in Figure 3.105 the largest revenue stream, at Kshs.452.22 million, was FIF/ Hospital Fees, accounting for 70 per cent of total OSR receipts.

3.18.3 Revenue Receivables

As of 1st July 2025, the County reported revenue receivables of Kshs.1.88 billion, which increased to Kshs.2.47 billion as of 31st March 2026. The County manages its revenue receivables using a manual system, with an accrual-basis option. Table 3.258 presents a breakdown of the County's receivables.

Table 3.258: Kitui County Revenue Receivables as of 31st March 2026

No	Revenue Stream	Receivables as of 1 July 2025 (Kshs.)	Progress made in First Nine months of FY 2025/26 (Kshs.)			Receivables as of 31st March 2026 (Kshs.)
			Waivers	Arrears paid in the financial year	Arrears earned in the first nine months of FY 2025/26	
		a	b	c	d	f=a-b-c+d
A	**Ordinary Own Sources of Revenue**					
1	Land/Poll Rate	1,282,533,263		2,619,911	285,624,834	1,565,538,186
2	Hospital FIF	300,928,094			266,079,918	567,008,012
	Sub-Total	**1,583,461,357**	**-**	**2,619,911**	**551,704,752**	**2,132,546,198**
B	**Facility Improvement Fund (FIF)**					
1	SHIF	211,756,716		110,010,500	142,105,196	243,851,412
2	Defunct NHIF	89,171,278				89,171,378
	Sub-Total	**300,927,994**	**-**	**110,010,500**	**142,105,196**	**333,022,790**
	Grand Total	**1,884,389,351**	**-**	**107,390,589**	**693,809,948**	**2,465,568,988**

Source: *Kitui County Treasury*

As of 31st March 2026, the revenue receivables totalled to Kshs.2.47 Billion, comprising Kshs.2.13 billion for OSR and Kshs.333.02 million for the FIF, as shown in Table 3.258. The measures instituted by the County to recover the outstanding arrears in FY 2025/26 include close liaison with the Ministry of National Treasury and the SHA Authority, and imposing stiffer penalties on defaulters of land rates and property rents.

3.18.4 Withdrawals from the County Revenue Fund and County Assembly Fund

During the reporting period, the Controller of Budget approved exchequer withdrawal requests totalling Kshs.11.31 billion from the Kitui County Revenue Fund (CRF) account. This amount consisted of Kshs.2.012 billion (18 per cent) designated for development programs, and Kshs.9.29 billion (82 per cent) allocated for recurrent programs.

An analysis of the released recurrent exchequers shows that Kshs.4.95 billion was allocated to employee compensation and Kshs.4.34 million to operations and maintenance expenditures. Within the operations and maintenance category, 11 per cent was for domestic travel and 1 per cent for foreign travel. The domestic travel exchequers totalled Kshs.482.77 million, which included Kshs.350.38 million for the County Executive and Kshs.132.39 million for the County Assembly. Meanwhile, the foreign travel exchequers amounted to Kshs.40.64 million, with Kshs.21.10 million for the County Executive and Kshs.19.54 million for the County Assembly.

As of 31st March 2026, the County Government's cash balance in the Kitui CRF account was Kshs.1.04 billion.

The County had not operationalised the County Assembly Fund as of 31st March 2026.

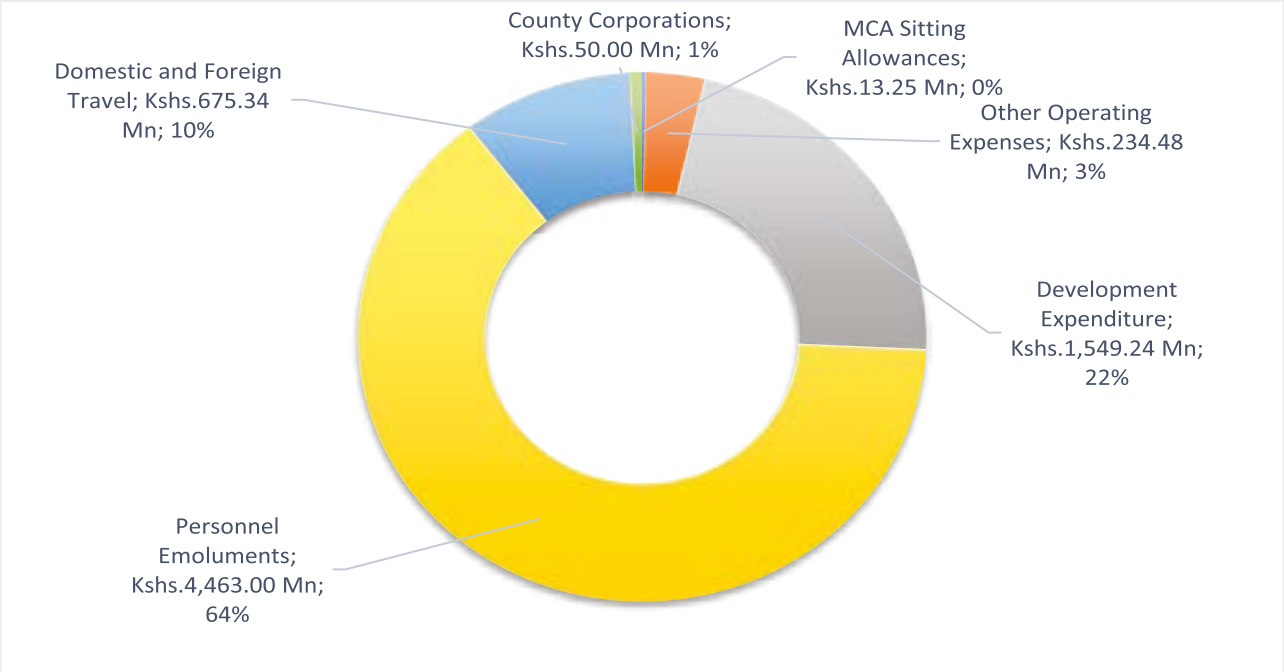
3.18.5 Expenditure Review

The County spent Kshs.8.09 billion on development and recurrent programmes during the reporting period. The expenditure represented 75 per cent of the total funds released by the CoB. It comprised Kshs.1.55

billion for development programmes and Kshs.6.54 billion for recurrent programmes. Expenditure on development programmes accounted for 30 per cent of the annual development expenditure budget, while recurrent expenditure accounted for 69 per cent of the annual recurrent expenditure budget.

Figure 3.106 provides a detailed breakdown of total expenditure.

Figure 3.106: Kitui County Composition of Expenditure in the first nine months of FY 2025/26



Source: *Kitui County Treasury*

As shown in Figure 3.106 , the three highest expenditure categories were Personnel Emoluments, Development expenditure, and Other Operating Expenses, contributing 71, 23 and 3 per cent of total expenditure for the reporting period.

3.18.6 Expenditure by Economic Classification

The County Executive incurred Kshs.4.16 billion in employee compensation, Kshs.1.70 billion in operations and maintenance, and Kshs.1,55 billion in development activities. Similarly, the County Assembly spent Kshs.296.67 billion on compensation of employees, and Kshs.377.73 million on operations and maintenance, as shown in Table 3.259

Table 3.259: Kitui County Summary of Budget and Expenditure by Economic Classification

Expenditure Classification	Approved Budget (Kshs.In Million)		Amount Paid in the first nine months of FY 2025/26 (Kshs.In Million) (b)		Expenditure Accrued in the first nine months of FY 2025/26 (Kshs. In Million) (c)		Total Expenditure in the first nine months of FY 2025/26 (Kshs.In Million) (d=b+c)		Absorption (%) (d/a*100)	
	Executive	Assembly	Executive	Assembly	Executive	Assembly	Executive	Assembly	Executive	Assembly
Total Recurrent Expenditure	**8,473.91**	**1,044.68**	**5,867.92**	**674.39**	**-**	**-**	**5,867.92**	**674.39**	**74**	**63**
Compensation of Employees	5,591.14	437.89	4,166.34	296.67	-	-	4,166.34	296.67	82	68
Operations and Maintenance	2,882.77	606.79	1,701.59	377.73	-	-	1,701.59	377.73	59	62
Development Expenditure	**5,023.60**	**203.17**	**1,549.24**		**-**	**-**	**1,549.24**		**31**	**-**
Total	**13,497.51**	**1,247.85**	**7,417.16**	**674.39**	**-**	**-**	**7,417.16**	**674.39**	**58**	**54**

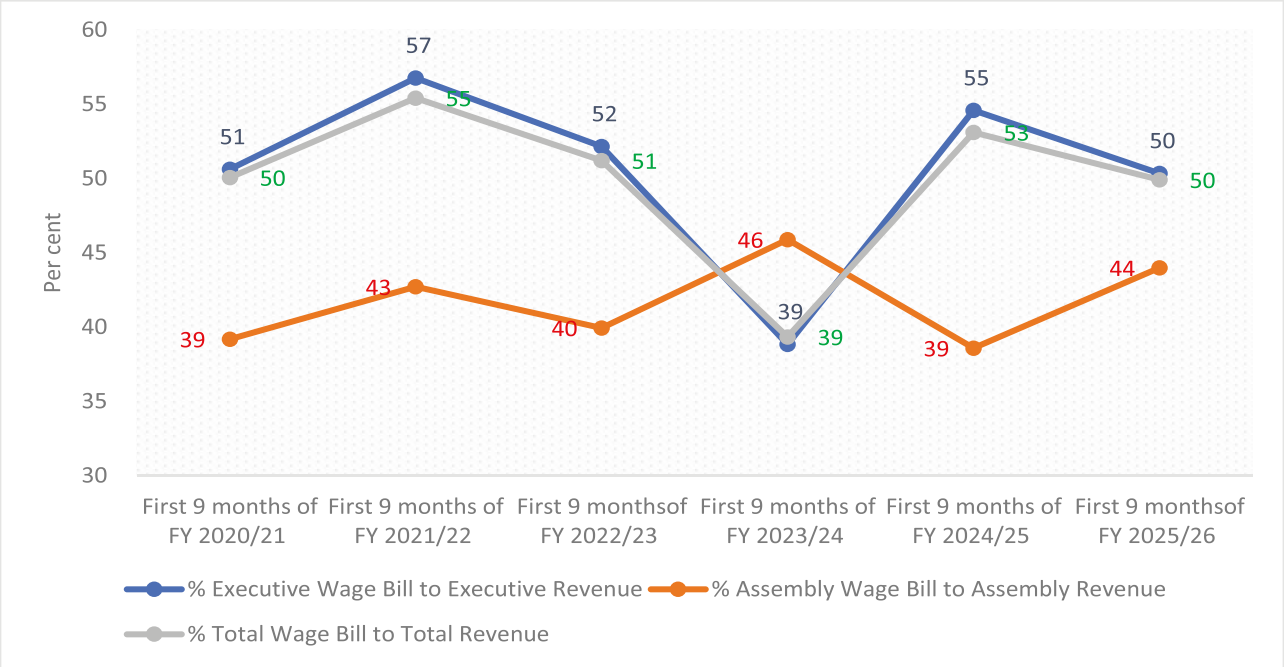
Source: *Kitui County Treasury*

3.18.7 Expenditure on Employee Compensation

The expenditure on employee compensation totalled Kshs.4.46 billion, representing 53 per cent of revenue. This expenditure on employee compensation shows an increase compared to the Kshs.4.43 billion reported in a similar period in FY 2024/25. Of this total, Kshs.1.80 billion related to Health Sector employees.

Figure 3.107 shows the trend in employee compensation as a percentage of total revenue from the first nine months of FY 2020/21 to the first nine months of FY 2025/26.

Figure 3.107: Percentage of Employee Compensation Expenditure to Total Revenue Received in the first nine months of FY 2020/21 to the first nine months of FY 2025/26



Source: *Kitui County Treasury*

Further analysis indicated that PE costs totalling Kshs.4.17 billion were processed through the Human Resource Information System (HRIS). In contrast, Kshs.202.08 million was processed through manual payrolls, accounting for 5 per cent of the total PE cost. The cost represents a decline of Kshs.144.37 million compared to Kshs.346.45 million which was recorded under the same period in the last FY 2024/25.

The manual payroll comprised salaries for casual staff, top-up allowances for security personnel, gratuity remittances to pension schemes for staff on contract, and LAPTRUST/LAPFUND Pension Contributions, as shown in Table 3.260 .

Table 3.260: Breakdown of Kitui County Manual Payroll

Sno.	Description of Manual Payroll	Amount (Kshs.)
1	Salaries for casual staff	72,828,307
2	Top-up Allowances for Security Officers	126,000
3	Gratuity for contract staff	56,970,425
4	Community Health Workers	66,357,000
5	Payment via Vouchers	5,795,198
	Total	**202,076,930**

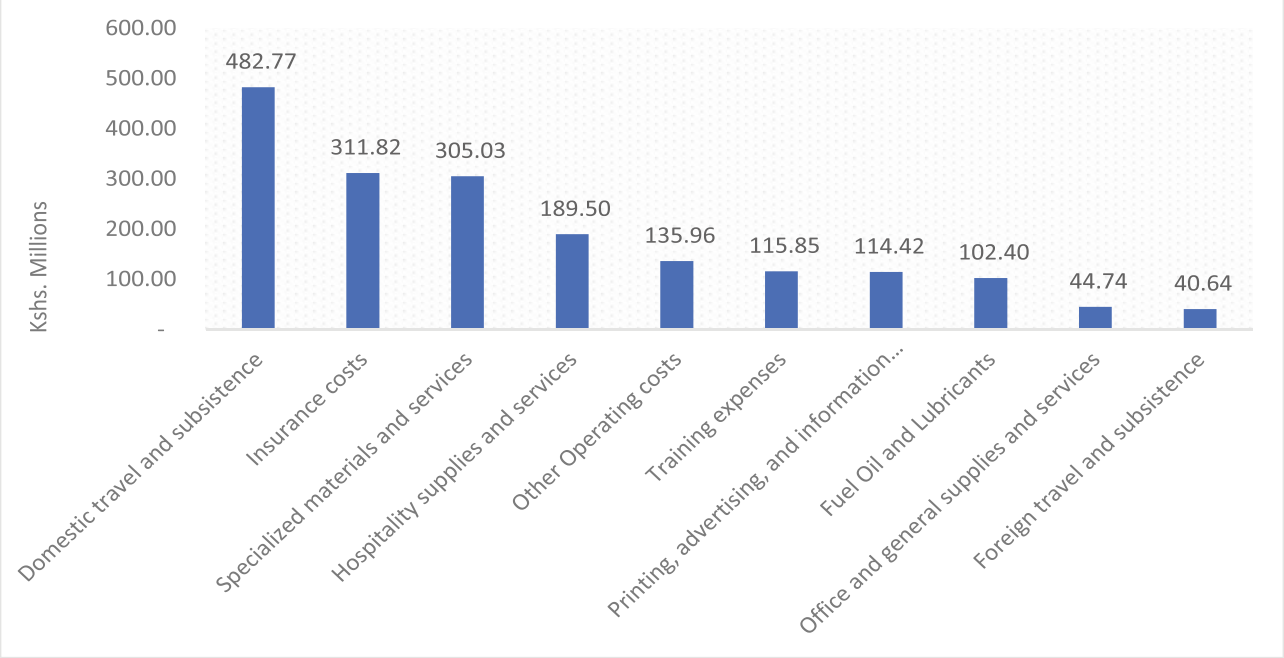
Source: Kitui County Treasury

The County Assembly spent Kshs.13.25 million on committee sitting allowances for the 61 MCAs against the annual budget allocation of Kshs.24.29 million. The average monthly sitting allowance was Kshs.36,191 per MCA. The County Assembly has 22 House Committees.

3.18.8 Expenditure on Operations and Maintenance

During the reporting period, the County spent Kshs.2.08 billion on operations and maintenance, representing a decrease of 20 per cent compared to a similar period in FY 2024/25, when the County spent Kshs.2.50 million. Figure 3.108 illustrates the distribution of Operations and Maintenance expenditures across the major spending categories.

Figure 3.108: Kitui County, Operations and Maintenance Expenditure by Major Categories



Source: *Kitui County Treasury*

3.18.9 Unbundling "Other Operating Expenses-other" Under Operations and Maintenance Expenditures

The budget performance report for the first nine months of FY 2025/26 indicates that the County spent Kshs.192.53 million on "other operating expenses," which accounted for 9 per cent of the total operations and maintenance expenditure of Kshs.2.07 million. This category of expenditure includes Kshs.11.45 million for Membership Fees, Subscription to Professional Bodies and Kshs.39.90 million for legal fees and compensation payments. The disaggregated items under the "*Other Operating Expenses*" category are shown in Table 3.261

Table 3.261: Breakdown of "Other Operating Expenses- Other" under O&M Expenditures

Code	Item	Budget (Kshs)	Expenditure (Kshs.)
2211399	Bank Service charge and commission	113,800	
2211399	Contracted Guards/Cleaning Services	6,092,927	4,331,974
2211399	Membership Fees, Subscriptions to Professional Bodies	16,169,205	11,448,816
2211399	Legal Dues/fees, Arbitration and Compensation Payments	34,020,149	39,901,228
2211399	Management Fees	1,500,000	856,755
2211399	Contracted Professional Services	7,317,492	551,000
2211399	Security Operations	3,600,000	2,266,952
2211399	Temporary Committee Expenses	23,516,338	12,038,460
2211399	Registration of Land	150,000	-
2211399	Constituency Office Expenses	19,698,657	9,554,741

Code	Item	Budget (Kshs)	Expenditure (Kshs.)
2211399	Other Operating Expenses - Other	159,848,350	111,578,587
	Total	**272,026,918**	**192,528,513**

Source: *Kitui County Treasury*

3.18.10 County-Established Funds

Section 116 of the PFM Act 2012 allows County Governments to establish other public funds, subject to approval from the County Executive Committee and the County Assembly. The County allocated Kshs.80 million to County-Established funds in FY 2025/26, or 1 per cent of the County's overall budget. Further, the County allocated Kshs.40 million to the Emergency Fund (0.4 per cent of the total budget) in line with Section 110 of the PFM Act, 2012. Table 3.262 summarises each established Fund's budget allocation and performance during the reporting period.

Table 3.262: Performance of Kitui County Established Funds in the first nine months of FY 2025/26

S/No.	Name of the Fund	Year Established	Approved Budget Allocation in FY 2025/26 (Kshs.)	Exchequer Issues in First Nine Months of FY 2025/26 (Kshs.)	Actual disbursements in the First Nine Months of FY 2025/26 (Kshs.)	Cumulative disbursements to the Fund (Kshs)	Submission of Financial Statements (Yes/No.)
		County Executive Established Funds					
1	Kitui County Executive Mortgage (Staff) Scheme Fund	2015	-	-	-	96,000,000	No
2	Empowerment funds	2021				160,000,000	No
3	Kitui County Education Bursary (Pro-poor)	2014	-	-	-	928,464,985	Returns are submitted on request, as it is a line item, not a fund.
		County Assembly Established Funds					
1	Kitui County Assembly Service Board Employees Car Loan and Mortgage Fund	2015	-	-	-	196,207,234	Yes
2	Kitui County Assembly Car Loan and Mortgage (Members) scheme Fund	2015	-	-	-	175,410,337	Yes
	Total		**-**	**-**	**-**	**1,556,082,556**	

Source: *Kitui County Treasury*

During the reporting period, the CoB did not receive quarterly financial reports from Kitui County Executive Mortgage (Staff) Scheme Fund, Empowerment funds, as indicated in Table 3.6, contrary to the requirement of Section 168 of the PFM Act, 2012. The County disclosed that the administration costs of the Kitui County Assembly Service Board Employees Car Loan and Mortgage fund and Kitui County Assembly Car Loan and Mortgage (Members) scheme Funds were within the 3 per cent limit of the Fund budget set in Regulation 197(1)(d) of the Public Finance Management (County Governments) Regulations, 2015.

Regulation 197(1)(i) of the Public Finance Management (County Governments) Regulations, 2015, allows County Governments to establish public funds with a lifespan capped at 10 years unless extended by the County Assembly. In FY 2025/26, the CoB established that the lifespan of the Kitui County Executive Mortgage (Staff) Scheme Fund, the Kitui County Assembly Service Board Employees Car Loan and Mortgage fund and the Kitui County Assembly Car Loan and Mortgage (Members) scheme Fund had lapsed. Consequently, the CoB did not approve any withdrawal requests to support the operations of the lapsed funds.

3.18.11 County Corporations

The County has 2 County Corporations, which were allocated Kshs.50 million in FY 2025/26. Their total expenditure for the review period amounted to Kshs.50 million, as shown in Table 3.263

Table 3.263: Performance of Kitui County Corporations in the first nine months of FY 2025/26

S/No.	Name of the Corporation	Approved Budget Allocation in FY 2025/26 (Kshs.)	Exchequer Issues (Kshs.)	Actual Transfers in the first nine months of FY 2025/26 (Kshs.)	Cumulative Transfers to the Corporation since its inception (Kshs.)
1	Kiambere-Mwingi water and Sanitation company.	25,000,000	25,000,000	25,000,000	206,149,181
2	Kitui water and sanitation company	25,000,000	25,000,000	25,000,000	211,564,221
	Total	**50,000,000**	**25,000,000**	**50,000,000**	**417,713,402**

Source: *Kitui County Treasury*

3.18.12 Expenditure on Domestic and Foreign Travel

Expenditure on domestic travel amounted to Kshs.482.77 million and comprised Kshs.132.39 million spent by the County Assembly and Kshs.350.39 million by the County Executive. Expenditure on foreign travel amounted to Kshs.40.64 million and comprised Kshs.19.54 million by the County Assembly and Kshs.21.10 million by the County Executive. Expenditure on foreign travel is summarised in Table 3.264

Table 3.264: Summary of Expenditure on Foreign Travel in the first nine months of FY 2025/26

Arm of County Government	Number of Officers Travelled	Date travelled	Purpose of the travel	Destination	Actual Payment on Travel (a) (Kshs.)	Accrued Expenditure on Travel (b) (Kshs.)	Total Expenditure on Travel (c=a+b) (Kshs.)
County Assembly	21	20th-24th October, 2025	Training and Benchmarking visit to the East African Legislative Assembly (EALA)	Arusha, Tanzania	8,511,880		8,511,880
County Assembly	14	27th-31st October, 2025	Training and Benchmarking visit to the East African Legislative Assembly (EALA)	Arusha, Tanzania	4,023,630		4,023,630
County Assembly	14	3rd-7th November, 2025	Training and Benchmarking visit to the East African Legislative Assembly (EALA)	Arusha, Tanzania	4,319,250		4,319,250.
County Assembly	3	25th-29th, November, 2025	Attending the 30th East Africa Law Society Annual Conference and General Meeting	Addis Ababa, Ethiopia	1,045,320		1,045,320
Total							**17,900,080**

Source: Kitui County Assembly

The County Executive did not disclose foreign travel undertaken during the review period despite having received exchequer withdrawals for the same.

3.18.13 Facility Improvement Financing

During the review period, the County reported collections of Kshs.452.22 million as FIF, which was 56 per cent of the annual target of Kshs.806.90 million. The collected amount was retained and utilised at source in line with the Facility Improvement Financing Act, 2023. The County has developed regulations to operationalise the FIF Act of 2023.

Table 3.265: Kitui County Health Facilities Expenditure Performance in the first nine months of FY 2025/26

No.	Health Facility	Number of Facilities	Approved Budget (Kshs.)	Actual Expenditure (Kshs.)	Absorption rate (%)
1.	Level 4 Hospital	14	311,688,637	310,169,280	99
2.	Level 3 Facility	56	14,160,126	6,193,549	44
3.	Level 2 Facility	256	45,540,124	21,324,271	47
	Total	**326**	**371,388,887**	**337,687,100**	**91**

Source: *Kitui County Treasury*

3.18.14 Development Expenditure

In the review period, the County reported spending Kshs.1.55 billion on development programmes, representing a 5 per cent increase over FY 2024/25, when the County spent Kshs.1.47 billionTable 3.266 summarises the development projects with the highest expenditure in the reporting period.

Table 3.266: Kitui County, List of Development Projects with the Highest Expenditure

No	Sector	Project Name	Project Location	Project Commencement Date	Expected date of Completion of the Project	Contract sum (Kshs in Millions)	Total Funding in FY 2025/26 (Kshs.In Millions)	Expenditure (on an accrual basis) in the first nine months of FY 2025/26 (Kshs.In Millions)	Cumulative project expenditure (on an accrual basis) as of 31st March 2026 (Kshs.In Millions)	Percentage (%) of Completion
County Funded Projects										
1.	Roads and Public Works	Road Improvement Ithimani river Kalimenza Kwa Mutwee kwa Kimuli with a Drift across Ithimani river	Mwingi North	1-Jul-25	30-Jun-27	12.72	12.72	12.72	12.72	100
2.	Roads and Public Works	construction of Mukuka Drift along the Twaa River	kitui east	1-Jul-25	30-Jun-27	11.63	11.63	11.63	11.63	100
3.	Roads and Public Works	Drift repair on the Ivovoa River drift along (Kathungi-Makuti)	kitui east	1-Jul-25	30-Jun-27	12.72	12.72	12.72	12.72	100
4.	Health care	construction of 2 Sets of body mortuary freezers, with a capacity of 12 bodies	kitui east	1-Jul-25	30-Jun-27	12.95	12.95	12.95	12.95	100
5.	Roads and Public Works	Construction of Kitui County Referral Hospital perimeter wall phase II	kitui east	1-Jul-25	30-Jun-27	7.42	7.42	7.42	7.42	100
6.	Roads and Public Works	Completion of the ward administration office	kitui east	1-Jul-25	30-Jun-27	4.69	4.69	4.69	4.69	100
7.	Roads and Public Works	Improvoment of kwa awour road	kitui rural	1-Jul-25	30-Jun-27	4.85	4.85	4.85	4.85	100
8.	Roads and Public Works	Construction of a drift across the Ngengekani stream	kitui east	1-Jul-25	30-Jun-27	4.93	4.93	4.93	4.93	100

No	Sector	Project Name	Project Location	Project Commencement Date	Expected date of Completion of the Project	Contract sum (Kshs in Millions)	Total Funding in FY 2025/26 (Kshs.In Millions)	Expenditure (on an accrual basis) in the first nine months of FY 2025/26 (Kshs.In Millions)	Cumulative project expenditure (on an accrual basis) as of 31st March 2026 (Kshs.In Millions)	Percentage (%) of Completion
9.	Roads and Public Works	Being payment of spot improvement works along Mutulotya- Nzune- kwa katuli nzaaya road in Miambani	kitui east	1-Jul-25	30-Jun-27	4.85	4.85	4.85	4.85	100
10.	Roads and Public Works	Maintenance of Kalundu off Ngiini road - Vindizel Hotel - Edly - Airbnb Tarmac at Musuuni Restaurant	kitui east	1-Jul-25	30-Jun-27	4.83	4.83	4.83	4.83	100

Source: *Kitui County Treasury*

The County reported one stalled development project as of 31st March, 2026, with an estimated value of Kshs.923.78 million, of which Kshs.406.91 million has already been paid. The stalled projects are shown in Table 3.267

Table 3.267: Kitui County Stalled Projects as of 31st March 2026

No	Sector	Project Name	Project Location	Project Start Date	Expected Completion Date of the Project	Estimated Value of the Project (Kshs.In Millions)	Amount Paid on the stalled project (Kshs.In Millions)	Accrued Expenditure on the stalled project (Kshs.In Millions)	Outstanding Unpaid Balance As of 31st March, 2026 (Kshs. In Millions)	Percentage of Completion before stalling of the Project
1	Health and Sanitation	Proposed construction of a Medical Ward at Mwingi level IV hospital	Mwingi	02.03.2019	30.6.2026	65.53	9.70	9.70	55.83	15
2	Health and Sanitation	Construction of 7 classrooms at KMTC Mwingi	Mwingi	04.01.2019	30.6.2026	17.03	0.85	0.85	16.18	5
3	Health and Sanitation	Proposed construction of perimeter wall at Mwingi Level IV Hosp.	Mwingi	21.5.2019	30.6.2026	30.00	17.48	17.48	12.52	58
4	Health and Sanitation	Construction of storeyed maternity ward at KCRH	Kitui town	25.8.2017	30.6.2026	242.78	104.98	104.98	137.80	43

No	Sector	Project Name	Project Location	Project Start Date	Expected Completion Date of the Project	Estimated Value of the Project (Kshs.In Millions)	Amount Paid on the stalled project (Kshs.In Millions)	Accrued Expenditure on the stalled project (Kshs.In Millions)	Outstanding Unpaid Balance As of 31st March, 2026 (Kshs. In Millions)	Percentage of Completion before stalling of the Project
5	Health and Sanitation	Construction of the surgical and amenity block at KCRH	Kitui town	23.5.2017	30.6.2026	144.75	30.13	30.13	114.64	21
6	Health and Sanitation	Construction and equipping of the mortuary at Mwingi Level IV Hospital	Mwingi	23.3.2017	30.6.2026	20.51	14.26	14.26	6.25	70
7	Water and irrigation	Mukameni Water Project	Kisasi ward	01.01.2022	30.6.2026	11.04	5.08	5.08	5.96	54
8	Water and irrigation	Construction of an elevated Steel Water tank and pipeline extension at Muaani	Nguuni ward		30.6.2026	5.64	4.81	4.81	0.83	85
9	Kitui Municipality	Kithomboani Modern Market	Kitui Municipality	27.05.2019	30.6.2026	351.85	243.91	243.91	107.67	85
10	Roads and Public Works	Land Infrastructure and Urban Development (LIUD) Headquarters	Kitui Town	02.12.2016	30.6.2026	64.88	5.70	5.70	59.18	9

Source: Kitui County Treasury

3.18.15 Budget Performance by Department

Table 3.268 summarises the approved budget allocation, expenditure, and absorption rate by department for the period under review.

Table 3.268: Kitui County, Budget Allocation and Absorption Rate by Department in the first nine months of FY 2025/26

Department	Budget Allocation (Kshs. Millions)		Exchequer Issues (Kshs.Millions)		Expenditure (Kshs. Millions)		Expenditure to Exchequer Issues (%)		Absorption rate (%)	
	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev
Kitui - Office of The Governor	1,349.70	992.10	1,139.89	408.53	1,137.10	327.59	100	80	84	33
Kitui - Health and Sanitation	3,847.49	259.58	2,934.14	79.46	3,277.10	103.11	73	65	85	40
Kitui - County Public Service Board	75.47	10.00	54.00	10.00	38.26	9.75	71		51	97

Department	Budget Allocation (Kshs. Millions)		Exchequer Issues (Kshs.Millions)		Expenditure (Kshs. Millions)		Expenditure to Exchequer Issues (%)		Absorption rate (%)	
	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev
Kitui - County Assembly Service Board	1,044.68	203.17	643.22	-	643.22	-	99	-	62	-
Kitui - Office of the Deputy Governor	172.48	23.23	109.10	3.33	112.12	14.22	88	87	65	98
Kitui - Ministry of Water and Irrigation	166.26	509.29	137.67	123.96	81.58	240.66	59	99	49	47
Kitui - Education, Training, and Skills Development	919.18	118.96	711.67	25.15	528.95	35.40	99	77	58	30
Kitui - Ministry Of Roads, Public Works and Transport	246.68	831.75	213.93	362.26	122.96	156.58	57	43	50	19
Kitui - Trade Industry MSMs Innovation & Cooperatives	212.99	442.32	166.91	275.72	121.62	82.22	73		57	19
Kitui - Ministry Of Energy, Environment, Forestry & Natural Resources	132.22	581.22	76.78	322.90	77.12	167.38	100	88	58	29
Kitui - Ministry Of Culture, Gender, Youth, ICT, Sports, and Social Services	192.51	60.93	158.66	14.35	105.23	19.18	66	89	55	31
Kitui - Ministry of Finance, Economic Planning, and Revenue Management	456.43	491.76	383.59	87.88	325.73	24.90	99	97	71	5
Kitui - Ministry of Agriculture and Livestock	426.80	373.63	374.73	161.47	258.52	206.52	69	128	61	55
Kitui - Ministry of Lands, Housing and Urban Development	275.68	328.82	177.93	143.78	115.34	161.73	65	89	42	49
Total	**9,518.59**	**5,226.77**	**6,639.01**	**2,018.77**	**6,944.84**	**1,549.24**	**78**	**98**	**73**	**30**

Source: *Kitui County Treasury*

Analysis of expenditure by departments shows that the Office of the Deputy Governor recorded the highest absorption rate of development budget at 98 per cent, followed by the County Public Service Board at 97 per cent. The Department of Health had the highest percentage of recurrent expenditure to budget at 85 per cent, while the Department of Lands, Housing and Urban Development had the lowest at 42 per cent.

3.18.16 Budget Execution by Programmes and Sub-Programmes

Budget execution was concentrated in selected performance bands. In the 1–10 per cent band, development absorption was reported for economic planning coordination services under the Department of Finance, Economic Planning and Revenue at 5 per cent, and for land survey under the Department of Lands, Housing and Urban Development at 8 per cent. In the 11–20 per cent band, development absorption was

recorded for agribusiness and market development under the Department of Agriculture and Livestock at 12 per cent, for fair trade and consumer protection under the Department of Trade, Industry and MSMEs at 14 per cent, and for construction of roads and bridges under the Department of Roads, Public Works and Transport at 17 per cent.

In the 31–40 per cent band, recurrent absorption was reported for administration, planning and support services under the Department of Lands, Housing and Urban Development at 33 per cent. In the 41–50 per cent band, recurrent absorption was reported for administrative support services under the Department of Energy at 41 per cent, for youth development services under the Department of Culture, Gender, Youth, ICT and Social Services at 47 per cent, and for land information and management and land survey under the Department of Lands, Housing and Urban Development, both at 48 per cent.

In the 90–100 per cent band, development absorption reached 100 per cent for stalled and new government buildings under the Department of Roads, Public Works and Transport, 99 per cent for water supply and flood control under the Department of Water and Irrigation, 94 per cent for tourism promotion and marketing under the Office of the Deputy Governor, 97 per cent for administrative support services under the County Public Service Board, and 95 per cent for administrative support services under the Department of Energy. Recurrent absorption reached 98 per cent for the manifesto implementation unit and the related sub-programme under the Office of the Governor, 95 per cent for health promotion and free primary healthcare, and 91 per cent for non-communicable disease prevention and control under the Department of Health and Sanitation.

Low absorption in the lower performance bands, 0–50 per cent, reflected slow implementation of development sub-Programmes in economic planning, land survey, agribusiness, trade and road construction, and of recurrent sub-Programmes in lands, energy and youth development. Conversely, performance in the 90–100 per cent band reflected prudent budget implementation and the prioritization of the respective sub-Programmes during the review period.

Table 3.269 summarises budget execution by programmes and sub-programmes in the period under review with the highest absorption rates.

Table 3.269: Budget Execution by Programmes and Sub-Programmes with Highest Absorption Rates

Programme	Sub-Programme	Gross Approved Estimates FY 2025/26 (Kshs.)	Expenditure (including accrued expenditure) as of 31st March 2026 (Kshs.)	Absorption Rate (%)
		Dev	Dev	Dev
DEVELOPMENT				
Department Of Water and Irrigation				
111003729	Water Supply and Flood Control	97,907,301	96,731,906	99
Office of The Deputy Governor				
305003728	Tourism Promotion and Marketing	900,000	849,920	94
Department of Roads, Public Works and Transport				
109003731	Stalled and New Government Building	5,300,000	5,297,400	100
County Public Service Board				
701003722	Administrative Support Services	10,000,000	9,748,770	97
Department of Energy				
701003733	Administrative Support Services	8,500,000	8,046,350	95
RECURRENT				
Office of The Governor				

Programme	Sub-Programme	Gross Approved Estimates FY 2025/26 (Kshs.)	Expenditure (including accrued expenditure) as of 31st March 2026 (Kshs.)	Absorption Rate (%)
		Dev	Dev	Dev
704003711	Manifesto Implementation Unit	6,207,054	6,063,368	98
Office of the Governor				
703003711	703023710	13,679,000	12,413,985	98
Department of Health and Sanitation				
403003716	Health Promotion (HIV/AIDS)	2,659,869	2,529,679	95
Department of Health and Sanitation				
404003716	Free Primary Healthcare	1,500,000	1,421,782	95
Department of Health and Sanitation				
403003716	Non-communicable Disease Prevention and Control	1,124,629,528	1,021,561,126	91

Source: *Kitui County Treasury*

The development sub-programmes with the highest budget implementation rates were: Stalled and New Government Building in the Department of Roads, Public Works and Transport at 100 per cent, Water Supply and Flood Control in the Department of Water and Irrigation at 99 per cent, and Administrative Support Services in the Department of County Public Service Board at 97 per cent.

For recurrent sub-programmes, the top performers included: Manifesto Implementation Unit in the Office of the Governor at 98 per cent; 703023710 in the Office of the Governor at 98 per cent; and Health Promotion (HIV/AIS) in the Department of Health at 95 per cent.

Table 3.270 summarises the budget execution by programmes and sub-programmes in the period under review that had the lowest absorption rates.

Table 3.270: Budget Execution by Programmes and Sub-Programmes with Lowest Absorption Rates

Programme		Sub-Programme	Gross Approved Estimates FY 2025/26 (Kshs.)	Expenditure (including accrued expenditure) as of 31st March 2026 (Kshs.)	Absorption Rate (%)
			Dev	Dev	Dev
	DEVELOPMENT				
	Department of Roads, Public Works and Transport				
110003731		Construction of Roads and Bridges	727,554,452	122,801,132	17
	Department of Trade, Industry and MSME's				
303003732		Fair Trade and Consumer Protection	344,525,750	46,727,303	14
	Department of Agriculture and Livestock				
103003736		Agribusiness and Market Development	17,940,000	2,090,250	12
	Department of Lands, Housing and Urban Development				
108003737		Land Survey	24,912,127	1,999,617	8
	Department of Finance, Economic Planning and Revenue				
710003735		Economic Planning Coordination Services	486,761,137	26,566,391	5
	RECURRENT				

Programme		Sub-Programme	Gross Approved Estimates FY 2025/26 (Kshs.)	Expenditure (including accrued expenditure) as of 31st March 2026 (Kshs.)	Absorption Rate (%)
			Dev	Dev	Dev
	Department of Lands, Housing and Urban Development				
107003737		Land Information and Management	9,922,600	4,803,962	48
	Department of Lands, Housing and Urban Development				
107003737		Land Survey	16,177,527	7,735,321	48
	Department of Culture, Gender, Youth, ICT and Social Services				
506003734		Youth Development Services	9,043,505	4,279,642	47
	Department of Energy				
701003733		Administrative Support Services	1,748,179	708,970	41
	Department of Lands, Housing and Urban Development				
101003737		Administration Planning Support Services	79,695,284	26,130,103	33

Source: *Kitui County Treasury*

The development sub-programmes with the lowest budget implementation rates were as follows: Economic Planning Coordination Services in the Department of Finance, Economic Planning and Revenue at 5 per cent, Land Survey in the Department of Lands, Housing and Urban Development at 8 per cent, and Agribusiness and Market Development in the Department of Agriculture and Livestock at 12 per cent.

For recurrent sub-programmes, the poorest performers included: Administration, Planning and Support Services in the Department of Lands, Housing and Urban Development at 33 per cent, Administrative Support Services in the Department of Energy at 41 per cent, and Youth Development Services in the Department of Culture, Gender, Youths, ICT and Social Services at 47 per cent.

3.18.17 Settlement of Trade Payables

As of 1st July 2025, the County reported trade payables totalling Kshs.721.06 million. This amount consisted of Kshs.703.10 billion from the County Executive and Kshs.17.96 million from the County Assembly.

During the reporting period, the County Executive settled trade payables amounting to Kshs.579.29 million, comprising Kshs.86.21 million (15 per cent) for recurrent programmes and Kshs.493.08 million (85 per cent) for development programmes. On the other hand, the County Assembly settled trade payables amounting to Kshs.8.74 million, all for recurrent activities. The outstanding trade payables as of 31st March 2026 were Kshs.115.06 million for County Executive and Kshs.9.22 million for County Assembly. Table 3.271 provides additional details of trade payables.

Table 3.271: Kitui County Trade Payables as of 31st March 2026

		County Entity	Development (Kshs.)	Recurrent (Kshs.)	Total (Kshs.)
As at 1 July 2025 (End of FY 2024/25)	a	County Executive	596,415,752	106,680,180	703,095,932
		County Assembly	-	17,961,455	17,961,455
		Total	**596,415,752**	**124,641,635**	**721,057,387**
Trade payables scheduled to be settled in the first nine months of FY 2025/26 per the action plan	b	County Executive			-
		County Assembly			-
		Total	-	-	-

		County Entity	Development (Kshs.)	Recurrent (Kshs.)	Total (Kshs.)
Amount paid in the first nine months of FY 2025/26	c	County Executive	493,081,121	86,212,176	579,293,297
		County Assembly		8,739,241	8,739,241
		Total	**493,081,121**	**94,951,417**	**588,032,538**
Trade Payables Incurred in the First Nine Months of FY 2025/26	d	County Executive			-
		County Assembly		-	-
		Total	**-**	**-**	**-**
Outstanding trade payables as of 31st March 2026	e=a-c*b	**County Executive**	**103,334,631**	**11,728,763**	**115,063,395**
		County Assembly		**9,222,214**	**9,222,214**
		Total	**103,334,631**	**20,950,977**	**124,285,608**

Source: *Kitui County Treasury*

Table 3.272, Table 3.273 and present the ageing of the total outstanding bills as of 31st March 2026 for the County Executive and Assembly, which were Kshs.124.29 million.

Table 3.272: Kitui County Executive Trade Payables Ageing Analysis as of 31st March 2026

Category	Ageing analysis (Amount in Kshs.)				Total
	Under one year	1-2 years	2-3 years	Over 3 years	
Development Trade Payables		103,334,631			103,334,631
Recurrent Trade Payables (Goods & Services)		20,950,977			20,950,977
Recurrent Trade Payables (Salary Arrears and Statutory Deductions)					-
Recurrent Trade Payables (Staff Claims)					-
Total Recurrent Trade Payables		20,950,977	-	-	20,950,977
Total Trade Payables		**124,285,608**			**124,285,608**
% of Total		100	-	-	100

Source: *Kitui County Treasury*

Table 3.273: Kitui County Assembly Trade Payables Ageing Analysis as of 31st March 2026

Category	Ageing analysis (Amount in Kshs.)				Total
	Under one year	**1-2 years**	**2-3 years**	**Over 3 years**	
Development Trade Payables	**-**	**-**	**-**	**-**	**-**
Recurrent Trade Payables (Goods & Services)	-	**9,222,214**	-	-	**9,222,214**
Recurrent Trade Payables (Salary Arrears and Statutory Deductions)	-	**-**	-	-	**-**
Recurrent Trade Payables (Staff Claims)	-	-	-	-	-
Total Recurrent Trade Payables	-	**9,222,214**	-	-	**9,222,214**
Total Trade Payables	**-**	**9,222,214**	-	-	**9,222,214**
% of Total	**-**	**100**	**-**	**-**	**100**

Source: *Kitui County Treasury*

As shown in Table 3.272 and Table 3.273, 100 per cent of total trade payables are aged between 1 year and over 3 years, a trend attributed to Goods and Services, Development, and Staff Claims. To address this situation, the county should consider clearing the outstanding trade payables by 30th June, 2026.

3.18.18 General Observations and Recommendations

In the course of overseeing and reporting on the implementation of the Kitui County budget, the CoB identified the following challenges, which hampered effective budget implementation;

i. The County Treasury's late submission of financial reports to the Controller of Budget affected the timely preparation of the budget implementation report, which was received on 30th April.
ii. The underperformance of own-source revenue at Kshs.648.47 million against an annual target of Kshs.1.12 billion, representing 58 per cent of the financial year target.
iii. Low development performance in the review period as the County incurred Kshs.1.55 billion on development activities, achieving a 30 per cent absorption rate.
iv. Regulation 197(1)(i) of the Public Finance Management (County Governments) Regulations, 2015, limits the lifespan of public funds to 10 years unless extended by the County Assembly. As of 31st March 2026, the lifespan of Kitui County Executive Mortgage (Staff) Scheme Fund, Kitui County Assembly Service Board Employees Car Loan and Mortgage fund and Kitui County Assembly Car Loan and Mortgage (Members) scheme Fund had lapsed, making them ineligible for further withdrawals.
v. Fund Administrators failed to submit quarterly financial and non-financial reports to the CoB within the timelines provided by law, which is against the requirement of Section 168 of the PFM Act, 2012. The reports from Kitui County Executive Mortgage (Staff) Scheme Fund, and the Empowerment funds were not submitted to the CoB as of 15 April 2026.
vi. High level of trade payables, which amounted to Kshs.124.29 billion as of 31st March 2026. Furthermore, the County Treasury did not adhere to the trade payables payment plan.
vii. Use of manual payroll. Personnel emoluments amounting to Kshs.202.08 million for casual staff were processed through the manual payroll, accounting for 5 per cent of the total payroll cost. Manual payroll is prone to abuse and may result in the loss of public funds.
viii. High levels of receivables. As of 31st March 2026, the receivables totalled to Kshs. 2.47 billion, comprising Kshs.2.13 billion for OSR and Kshs.333.02 million for FIF.

The County should implement the following recommendations to improve budget execution:

i. *The County Treasury should ensure the timely preparation and submission of financial reports to the Controller of Budget per the timelines prescribed in Section 166 of the PFM Act, 2012.*
ii. *The County should address its own-source revenue performance to ensure the approved budget is fully financed. Appropriate austerity measures should be implemented to ensure expenditure commitments are aligned with available revenue.*
iii. *The County should implement strategies to increase development expenditures in FY 2025/26.*
iv. *The County should ensure timely review and extension of public funds whose lifespans are nearing expiration or have lapsed to prevent operational disruptions. Additionally, any expenditure from lapsed funds should cease immediately, and legal mechanisms should be followed to re-establish or wind up such funds in compliance with the Public Finance Management Act.*
v. *The CECMF should follow up to ensure Fund Administrators prepare and submit statutory reports in line with the PFM Act, 2012.*
vi. *The County Leadership should address the situation of trade payables to ensure that genuine bills are paid promptly in the remaining financial year. Further, compliance with the Trade Payables Action Plan should be enforced.*
vii. *The Government requires that salaries be processed through the HRIS system, and the County is advised to fast-track the acquisition of Unified Personnel Numbers for their staff. The County Public Service Board should regulate staff engagement on contract and casual workers as provided under Section 74 of the County Governments Act 2012. Furthermore, strict adherence to the approved staff establishment should be maintained.*
viii. *The County should sustain its engagement with the National Treasury and SHA to recover outstanding receivables and develop and implement an OSR receivables action plan.*

3.19. County Government of Kwale

3.19.1 Overview of FY 2025/26 Budget

The Kwale County Approved Budget for FY 2025/26 is Kshs.15.83 billion. It comprises Kshs.7.87 billion (50 per cent) and Kshs.7.96 billion (50 per cent) allocation for development and recurrent programs respectively. The budget estimates represent an increase of Kshs.951.50 million (6 per cent) from the FY 2024/25 budget, which comprised a development budget of Kshs.6.95 billion and a recurrent budget of Kshs.7.92

billion. The increase in the budget was primarily attributed to increases in the equitable share and own-resource revenue.

The budget is to be financed from various revenue sources. These include: the equitable share of revenue raised nationally of Kshs.9.08 billion (57 per cent), additional allocations of Kshs.920.80 million (6 per cent), Trade Payables and Commitments B/F of Kshs.4.94 billion (31 per cent) and Kshs.886 million (6 per cent) to be received as own-source revenue. A breakdown of the additional allocations is shown in Table 3.274

3.19.2 Revenue Performance

During the first nine months of FY 2025/26, the County reported total revenues of Kshs.9.93 billion. This amount represented an increase of 57 per cent compared to the amount received in a similar period in FY 2024/25 of Kshs.6.32 billion. The total revenue consisted of Kshs.6.04 billion from the equitable share of revenue raised nationally, and additional allocations from the national government revenue of Kshs.1.28 billion. Additional allocation from development partners of Kshs.1.61 billion, and own-source revenue (OSR) collection of Kshs.552.30 million. Additionally, the County had a cash balance of Kshs.451.55 million from FY 2024/25. The total OSR collection of Kshs.552.30 million included Facilities Improvement Financing (FIF) of Kshs.292.38 million, and Kshs.259.91 million from other OSR sources.Table 3.274 summaries the total revenue available to the County Government during FY 2025/26.

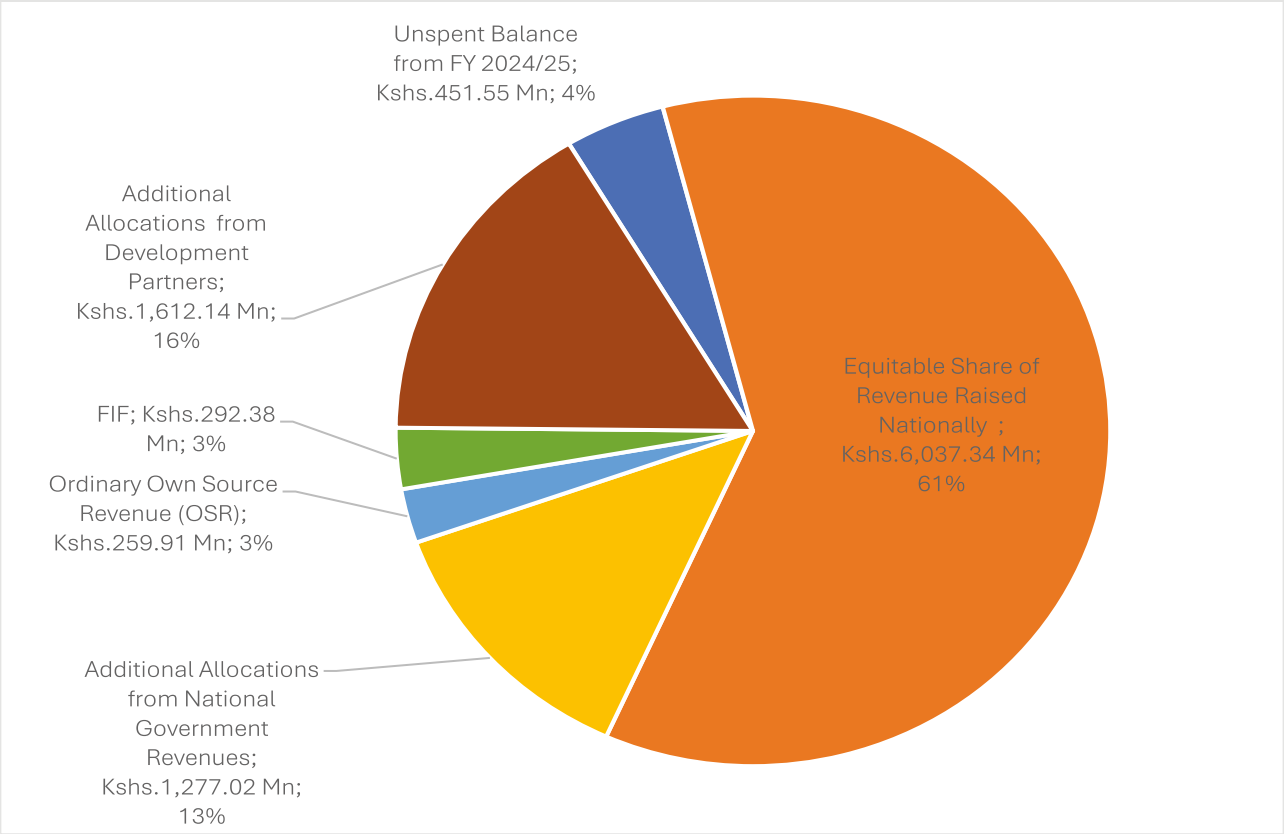
Table 3.274: Kwale County, Revenue Performance in the first nine months of FY 2025/26

No	Revenue Stream	Annual Targeted Revenue (Kshs.)	Actual Receipts (Kshs.)	Receivables in the First Nine Months of FY 2025/26 (Kshs.)	Total Revenues (in accrual basis) in the First Nine Months of FY 2025/26 (Kshs.)	Revenue Performance (%)
		A	B	C	D=B+C	E=A-D
A	**Unspent Balance from FY 2024/25**					
1	Balance at CRF		447,826,615		447,826,615	
2	County Executive Refunds to CRF		1,728,881		1,728,881	
3	County Assembly Refunds to CRF		1,998,118		1,998,118	
	Sub-Total	**-**	**451,553,614**	**-**	**451,553,614**	**-**
B	**Equitable Share of Revenue Raised Nationally**					
1	Equitable Share	9,078,699,643	6,037,335,263		6,037,335,263	67
	Sub-Total	**9,078,699,643**	**6,037,335,263**	**-**	**6,037,335,263**	67
C	**Additional Allocations from National Government Revenues**					
1	Basic Salary Arrears for Health Workers	-				
2	Community Health Promoters (CHPs) Project	59,140,000	-			
3	Kenya Devolution Support Programme (KDSP)-Level II Institutional Grant	37,500,000	35,253,471			94
4	Kenya Devolution Support Programme (KDSP) Level II Development Grant	352,500,000	-			
5	Aggregated Industrial Park Programme Grant	-	75,263,158			
6	Road Maintenance Levy Fund	206,900,399	-			
7	Mineral Royalties	-	1,166,507,886			
	Subtotal	656,040,399	1,277,024,515			195
	Additional Allocations from Development Partners					
1	Primary Healthcare in Devolved Context (DANIDA)	14,206,500	8,994,375			63
2	National Agricultural Value Chain Development Project (NAVCDP)	-	196,108,874			

No	Revenue Stream	Annual Targeted Revenue (Kshs.)	Actual Receipts (Kshs.)	Receivables in the First Nine Months of FY 2025/26 (Kshs.)	Total Revenues (in accrual basis) in the First Nine Months of FY 2025/26 (Kshs.)	Revenue Performance (%)
		A	B	C	D=B+C	E=A-D
3	Kenya Agricultural Business Development Project (KABDP)-SIDA Grant	-				
4	Water and Sanitation Development Project (WSDP)	-	1,059,436,049			
5	Kenya Informal Settlement Improvement Project KISIP II	30,892,000	80,188,971			260
6	Financing Locally-Led Climate Action (FLLoCA)-Institutional Grant	11,000,000	126,753,746			1,152
7	Kenya Urban Support Program-Urban Institutional Grant UIG	35,000,000	126,571,610			362
8	Kenya Urban Support Program-Urban Development Grant UDG	-				
9	United Nations Fund for Population Activities (UNFPA)	6,660,000	-			
10	County Climate Change Resilience Investment (CCCRI)	167,000,000	14,083,749			8
	Sub-Total	**264,758,500**	**1,612,137,374**	**-**	**-**	609
E	**Ordinary Own Source Revenue (OSR)**					
1	OSR	486,044,840	259,914,825			53
	Sub-Total	**486,044,840**	**259,914,825**	**-**	**-**	53
F	**Facility Improvement Financing**					
1	SHIF	400,000,000	292,382,921			73
	Sub-Total	**400,000,000**	**292,382,921**	**-**	**-**	73
G	**Trade payables and commitment**					
1	Trade payables and commitment	4,942,019,024				-
	Sub-Total	**4,942,019,024**	**-**	**-**	**-**	
Grand Total		**15,827,562,406**	**9,930,348,513**	**-**	**-**	**63**

Source: *Kwale County Treasury*

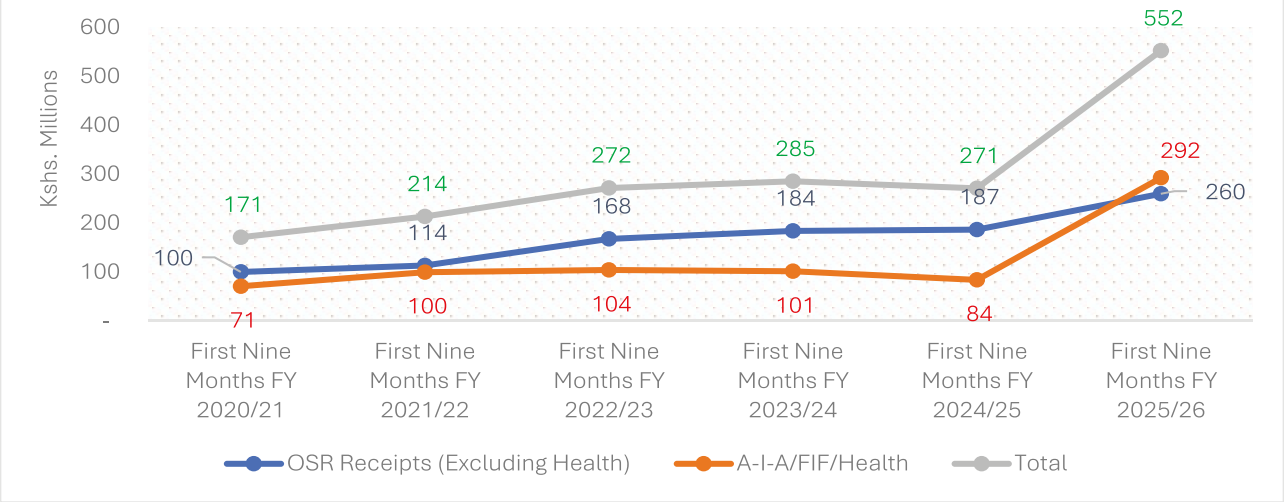
Figure 3.109: Kwale County Composition of Revenue in the first nine months of FY 2025/26



Source: *Kwale County Treasury*

The equitable share of revenue raised nationally, OSR, and FIF contributed 54 per cent, 2 per cent and 3 per cent, respectively, of the total receipts for the reporting period. Figure 3.110 shows the collection trend in own-source revenue from the first nine months of FY 2020/21 to the first nine months of FY 2025/26.

Figure 3.110: Kwale County Trend in Own-Source Revenue Collection from the first nine months of FY 2020/21 to the first nine months of FY 2025/26

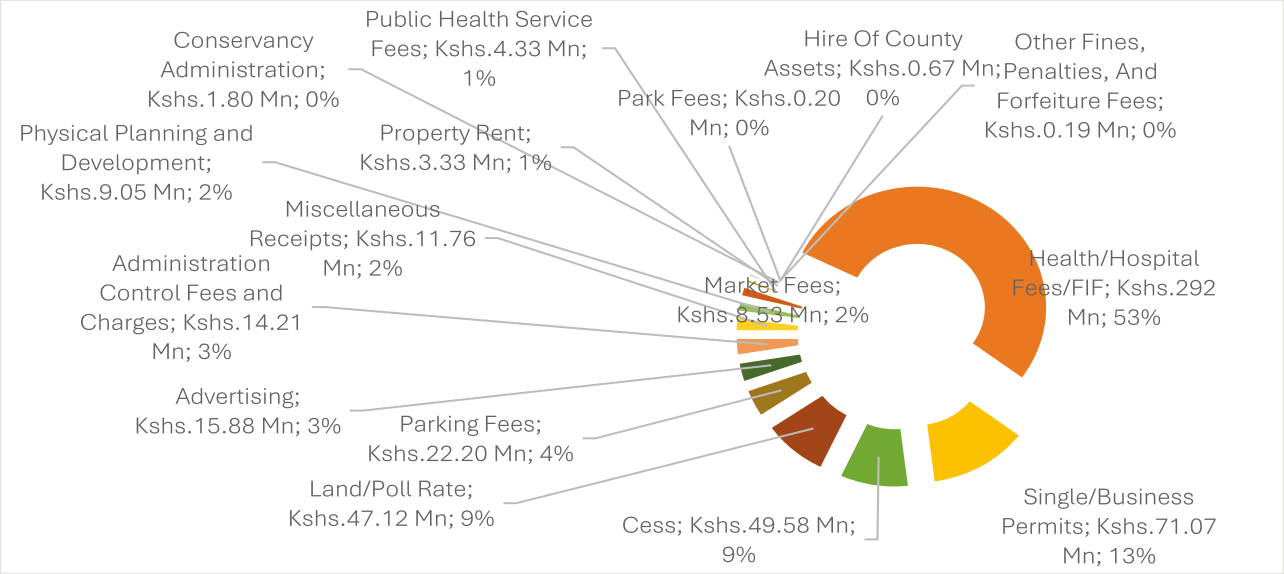


Source: *Kwale County Treasury*

During the first nine months of FY 2025/26, the County received Kshs.552.30 million from OSR, including FIF. This amount was an increase of 103 per cent compared to Kshs.271 million realised in a similar period in FY 2024/25, and was 62 per cent of the annual target and 9 per cent of the equitable revenue share disbursed.

The increase in OSR was attributed to an increase in FIF, which resulted from an increase in SHIF payments. The revenue streams that contributed the most to OSR receipts are shown in Figure 3.111.

Figure 3.111: Kwale County Top Own Source Revenue Streams in the first nine months of FY 2025/26



Source: Kwale County Treasury

As shown in Figure 3.111, the largest revenue stream, at Kshs 1.17 billion, was FIF, accounting for 53 per cent of total OSR receipts. The County Government indicated that it has automated all revenue streams. The system utilised for FIF revenue collection is Kwale E-pay, which has been in use since 2021. This system has several advantages and disadvantages that are worth noting:

3.19.3 Revenue Receivables

As of 1st July 2025, the County reported revenue receivable of Kshs.285 million, which increased to Kshs.1.19 billion as of 31st March 2026. Table 3.275 presents a breakdown of the County's revenue receivable.

Table 3.275: Kwale County Revenue Receivable as of 31st March 2026

No	Revenue Stream	Revenue Receivable as of 1 July 2025 (Kshs.)	Progress made in First Nine Months of FY 2025/26			OSR Receivable as of 31st March 2026 (Kshs.)
			Waivers (Kshs)	Receivable paid in the financial year (Kshs)	Receivable earned in First Nine Months of FY 2025/26 (Kshs)	
		a	b	c	d	f=a-b-c+d
A	**Equitable Share of Revenue Raised Nationally**				771,689,469	771,689,469
	Sub-Total	**-**	**-**	**-**	**771,689,469**	**771,689,469**
B	**Ordinary Own Sources of Revenue**	159,453,029	-	7,592,130	135,685,140	287,546,039
	Sub-Total	**159,453,029**	**-**	**7,592,130**	**135,685,140**	**287,546,039**
C	**Facility Improvement Fund (FIF)**					
	SHIF	125,648,792	1,292,550	135,900,521	138,850,504	127,306,225
	Sub-Total	**125,648,792**	**1,292,550**	**135,900,521**	**138,850,504**	**127,306,225**
	Grand Total	**285,101,821**	**1,292,550**	**143,492,650**	**1,046,225,112**	**1,186,541,734**

Source: Kwale County Treasury

As of 31st March 2026, the receivables totalled to Kshs.1.19 billion, comprising Kshs.771.69 Exchequer for March (65 per cent), own source revenue of Kshs.287.55 million and FIF of Kshs.127.31 million. Borrowing by the County

3.19.4 Withdrawals from the County Revenue Fund and County Assembly Fund

During the reporting period, the Controller of Budget approved exchequer withdrawal requests totalling Kshs.6.97 billion from the Kwale County Revenue Fund (CRF) account. This amount consisted of Kshs.1.95 billion (28 per cent) designated for development programs and Kshs.5.01 billion (72 per cent) allocated for recurrent programs.

An analysis of the released recurrent exchequers shows that Kshs.2.98 billion was allocated to employee compensation and Kshs.2.03 million to operations and maintenance expenditures. Within the operations and maintenance category, 13 per cent was for domestic travel and 1 per cent for foreign travel. The domestic travel exchequers totalled Kshs.280.21 million, which included Kshs.163.21 million for the County Executive and Kshs.117 million for the County Assembly. Meanwhile, the foreign travel exchequers amounted to Kshs.23.22 million, with Kshs.1.56 million for the County Executive and Kshs.21.66 million for the County Assembly.

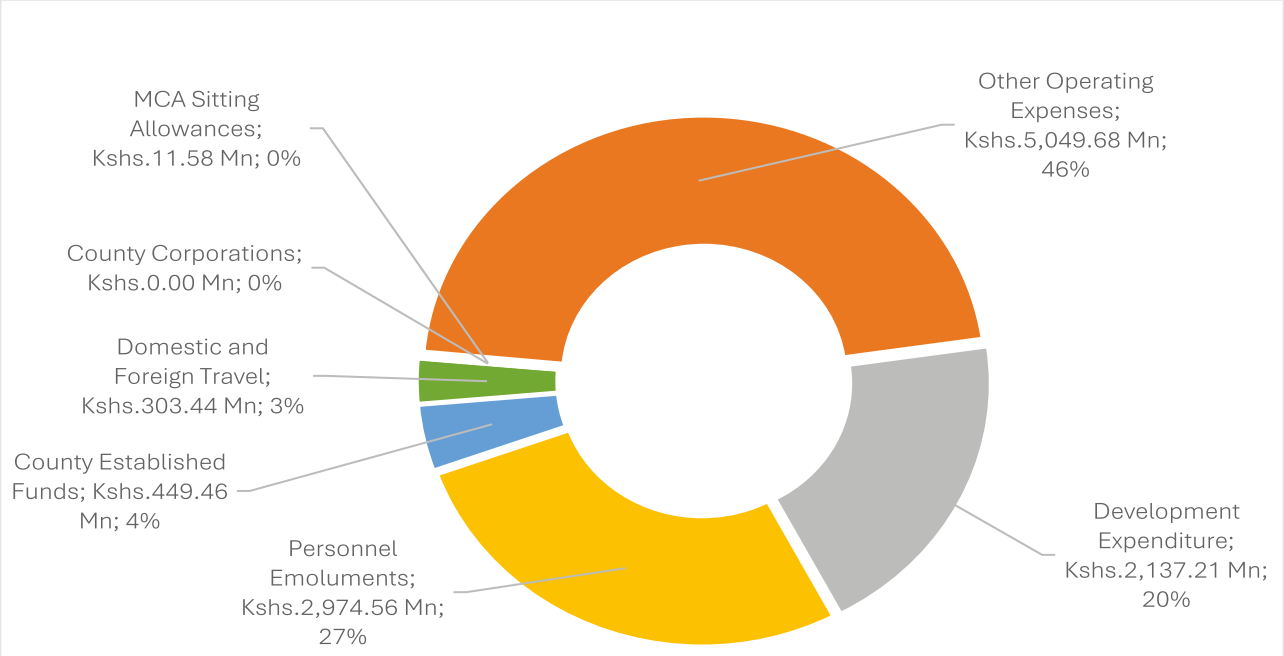
As of 31st March 2026, the County Government's cash balance in the Kwale County CRF account was Kshs.1.87 billion.

County has not operationalised the CAF as of 31st March 2026

3.19.5 Expenditure Review

The County spent Kshs.7.19 billion on development and recurrent programmes during the reporting period. The expenditure represented 103 per cent of the total funds released by the CoB. It comprised Kshs.2.14 billion for development programmes and Kshs.5.05 billion for recurrent programmes. Expenditure on development programmes accounted for 27 per cent of the annual development expenditure budget, while recurrent expenditure accounted for 63 per cent of the annual recurrent expenditure budget. Figure 3.112 provides a detailed breakdown of total expenditure.

Figure 3.112: Kwale County Composition of Expenditure in the first nine months of FY 2025/26



Source: Kwale County Treasury

As shown in Figure 3.112, the three highest expenditure categories were operating expenses, personal emoluments, and development expenditure, contributing 46, 27, and 20 per cent of total expenditure for the reporting period.

3.19.6 Expenditure by Economic Classification

The County Executive incurred Kshs.2.77 billion in employee compensation, Kshs.1.88 billion in operations and maintenance, and Kshs.1.99 billion in development activities. Similarly, the County Assembly spent

Kshs.204.62 million on compensation of employees, Kshs.197.75 million on operations and maintenance, and Kshs.153.46 million on development activities, as shown in Table 3.276.

Table 3.276: Kwale County Summary of Budget and Expenditure by Economic Classification

Expenditure Classification	Approved Budget (Kshs.) (a)		Amount Paid in the first nine months of FY 2025/26 (Kshs.) (b)		Expenditure Accrued in the first nine months of FY 2025/26 (Kshs.) (c)		Total Expenditure in the first nine months of FY 2025/26 (Kshs.) (d=b+c)		Absorption (%) (d/a*100)	
	Executive	Assembly	Executive	Assembly	Executive	Assembly	Executive	Assembly	Executive	Assembly
Total Recurrent Expenditure	**7,300,487,764**	**659,893,327**	**4,184,817,747**	**340,062,881**	**462,488,128**	**62,314,644**	**4,647,305,876**	**402,377,525**	**64**	**61**
Compensation of Employees	3,358,665,748	293,662,459	2,458,463,218	204,622,721	311,471,421	-	2,769,934,639	204,622,721	82	70
Operations and Maintenance	3,941,822,016	366,230,868	1,726,354,529	135,440,160	151,016,708	62,314,644	1,877,371,237	197,754,804	48	54
Development Expenditure	**7,305,767,345**	**561,413,970**	**1,502,930,989**	**153,461,194**	**480,817,508**	**-**	**1,983,748,497**	**153,461,194**	**27**	**27**
Total	**14,606,255,109**	**1,221,307,297**	**5,687,748,736**	**493,524,075**	**943,305,637**	**62,314,644**	**6,631,054,372**	**555,838,719**	**45**	**46**

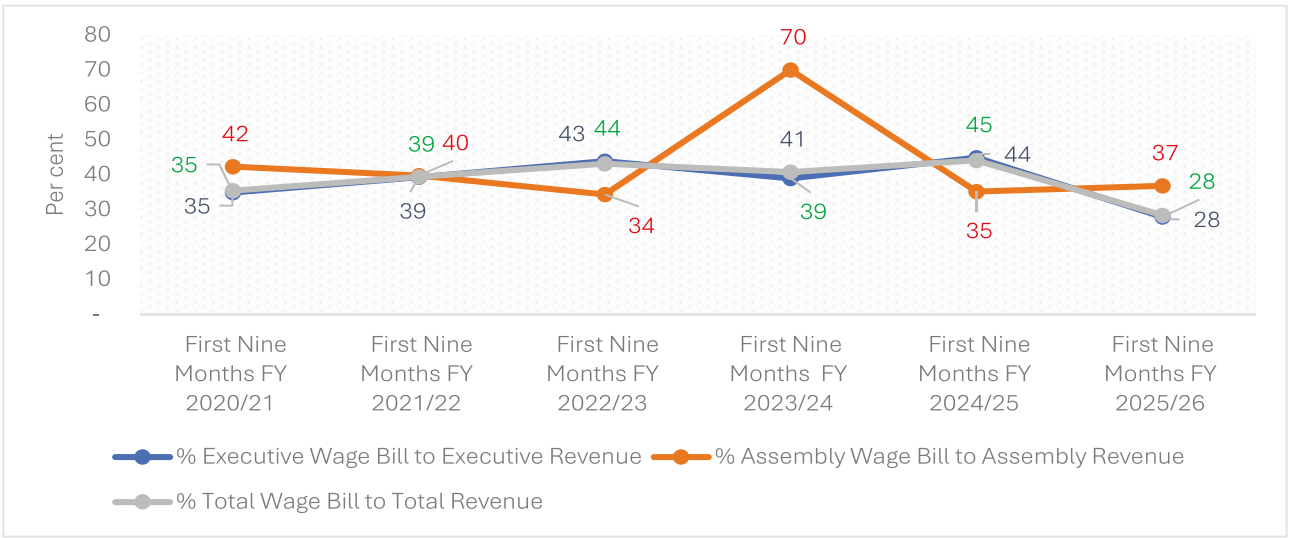
***Source**: Kwale County Treasury*

3.19.7 Expenditure on Employee Compensation

The expenditure on employee compensation totalled Kshs.2.97 billion, representing 41 per cent of revenue. This expenditure on employee compensation shows. an increase compared to the Kshs.2.78 billion reported in a similar period in FY 2024/25. Of this total, Kshs.1.59 billion related to Health Sector employees, accounting for 53 per cent of the overall employees' compensation.

Figure 3.113 shows the trend in employee compensation as a percentage of total revenue from the first nine months of FY 2020/21 to the first nine months of FY 2025/26.

Figure 3.113: Percentage of Employee Compensation Expenditure to Total Revenue Received in the first nine months of FY 2020/21 to the first nine months of FY 2025/26



Source: Kwale County Treasury

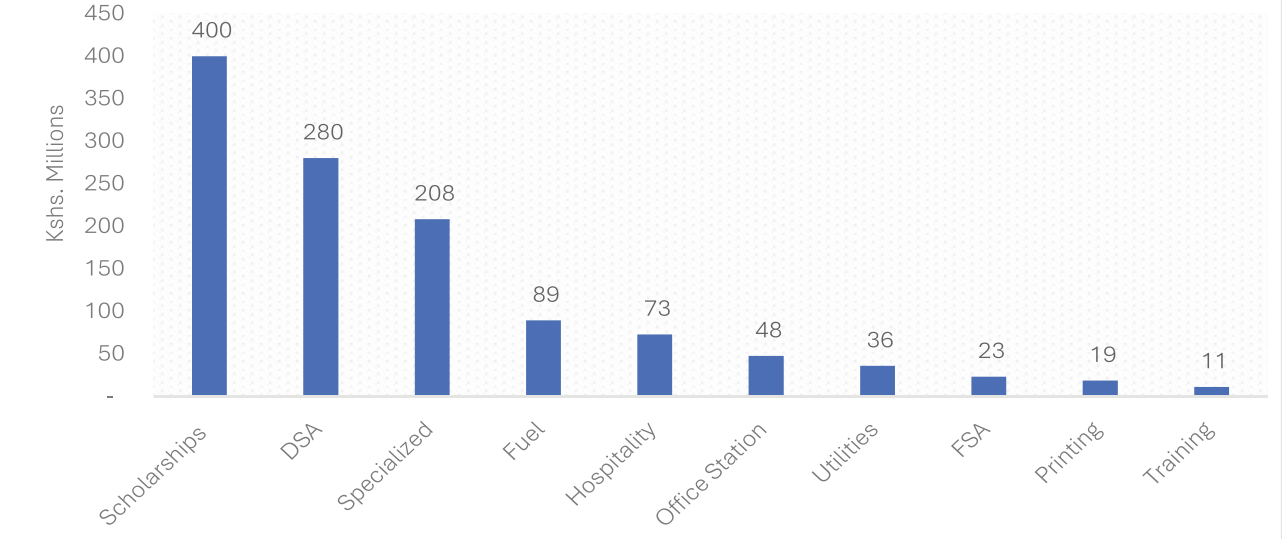
Further analysis indicated that PE costs totalling Kshs.2.96 billion were processed through the Human Resource Information System (HRIS). In contrast, Kshs.14 million was processed through manual payroll, accounting for less than 1 per cent of the total PE cost. Manual payroll was a gratuity payment by the County Assembly.

The County Assembly spent Kshs.11.58 million on committee sitting allowances for the 31 MCAs, against the annual budget allocation of Kshs.24.81 million. The average monthly sitting allowance was Kshs.41,517 per MCA. The County Assembly has 21 House Committees.

3.19.8 Expenditure on Operations and Maintenance

During the reporting period, the County spent Kshs.2.08 billion on operations and maintenance, representing an increase of 13 per cent compared to a similar period in FY 2024/25, when the County spent Kshs.1.84 billion. Figure 3.114 illustrates the distribution of Operations and Maintenance expenditures across the major spending categories.

Figure 3.114: Kwale County, Operations and Maintenance Expenditure by Major Categories



Source: *Kwale County Treasury*

3.19.9 Unbundling "Other Operating Expenses" Under Operations and Maintenance Expenditures

The budget performance report for the first nine months of FY 2025/26 indicates that the County assembly spent Kshs.6.38 million on "*other operating expenses*," which was less than 1 per cent of the total operations and maintenance expenditure of Kshs.2.08 billion. This category of expenditure is to cater for the MCA's ward maintenance expenses as per the SRC. The disaggregated items under the "*Other Operating Expenses*" category are shown in Table 3.277

Table 3.277: Breakdown of "Other Operating Expenses" under O&M Expenditures

Code	Item	Budget (Kshs)	Expenditure (Kshs.)
2211399	Other Operating Expenses - Other	13,288,000	6,376,000
Total		**13,288,000**	**6,376,000**

Source: *Kwale County Treasury*

3.19.10 County-Established Funds

Section 116 of the PFM Act 2012 allows County Governments to establish other public funds, subject to approval from the County Executive Committee and the County Assembly. The County allocated Kshs.660.36 million to County-Established funds in FY 2025/26, representing 4 per cent of the County's overall budget. Of this amount, the County allocated Kshs.5 million to the Emergency Fund in line with Section 110 of the PFM Act, 2012, accounting for 0.03 per cent of the total budget. Table 3.278 summarises each established Fund's budget allocation and performance during the reporting period.

Table 3.278: Performance of Kwale County Established Funds in the first nine months of FY 2025/26

S/No.	Name of the Fund	Year established	Approved Budget Allocation in FY 2025/26 (Kshs.)	Exchequer Issues (Kshs.)	Actual Transfers in FY 2025/26 (Kshs.)	Cumulative Transfers to the Corporation since its inception (Kshs.)	Submission of financial statement
1	Kwale County Emergency Fund	2016	5,000,000	-	-	70,000,000	YES

S/No.	Name of the Fund	Year established	Approved Budget Allocation in FY 2025/26 (Kshs.)	Exchequer Issues (Kshs.)	Actual Transfers in FY 2025/26 (Kshs.)	Cumulative Transfers to the Corporation since its inception (Kshs.)	Submission of financial statement
2	Equalization Fund	2024	255,357,122	49,460,239	49,460,239	49,460,239	YES
3	Kwale County Bursary Fund	2024	400,000 ,000	400,000,000	400,000,000	4,791,000,000	YES
KWALE COUNTY ASSEMBLY							**YES**
1	Kwale County Assembly Members and staff loan Scheme fund	Established in 2016, amended in 2020 and 2021	-	-	-	381,430,000	YES
	Total		**660,357,122**	**449,460,239**	**449,460,239**	**5,291,890,239**	

Source: *Kwale County Treasury*

During the reporting period, the CoB received quarterly financial reports from all Fund Administrators, contrary to the requirement under Section 168 of the PFM Act, 2012, as indicated in Table 3.278

Regulation 197(1)(i) of the Public Finance Management (County Governments) Regulations, 2015, allows County Governments to establish public funds with a lifespan capped at 10 years unless extended by the County Assembly. In FY 2025/26, the CoB determined that none of the fund's life span has lapsed.

3.19.11 County Corporations

The County has only one county corporation, which is Kwale Water Company & Sewerage Company Limited, which was allocated Kshs.1,020,100,080 in FY 2025/26. Their total expenditure for the review period amounted to Kshs.1.06 billion, as shown in Table 3.279.

Table 3.279: Performance of Kwale County Corporations in the first nine months of FY 2025/26

S/No.	Name of the Corporation	Approved Budget Allocation in FY 2025/26 (Kshs.)	Exchequer Issues (Kshs.)	Actual Transfers in the first nine months of FY 2025/26 (Kshs.)	Cumulative Transfers to the Corporation since its inception (Kshs.)
1	Kwale Water Company & Sewerage Company Limited	1,020,100,080.00	1,059,436,049.06	1,059,436,049.06	2,658,839,989.25
	Total	**1,020,100,080.00**	**1,059,436,049.06**	**1,059,436,049.06**	**2,658,839,989.25**

Source: *Kwale County Treasury*

3.19.12 Expenditure on Domestic and Foreign Travel

Expenditure on domestic travel amounted to Kshs.280.21 million and comprised Kshs.117 million spent by the County Assembly and Kshs.163.21 million by the County Executive. Expenditure on foreign travel amounted to Kshs.23.22 million and comprised Kshs.21.66 million by the County Assembly and Kshs.1.56 million by the County Executive. Expenditure on foreign travel is summarised in Table 3.280

Table 3.280: Summary of Expenditure on Foreign Travel in the first nine months of FY 2025/26

Arm of County Government	Number of Officers Travelled	Date travelled	Purpose of the travel	Destination	Actual Payment on Travel (a) (Kshs.)	Accrued Expenditure on Travel (b) (Kshs.)	Total Expenditure on Travel (c=a+b) (Kshs.)
Executive	1	1-7March 2026	To participate in the International Tourism Bourse ITB Berlin 2026	Berlin	800,000	-	800,000
Executive	6	9-15 October 2025	To participate in the World Conservation Congress	Switzland	762,890	-	762,890
County Assembly of Kwale	36	Nov 2025-Feb 2026	Being paid for air travel costs for various trips	Various	9,844,300	-	9,844,300

Arm of County Government	Number of Officers Travelled	Date travelled	Purpose of the travel	Destination	Actual Payment on Travel (a) (Kshs.)	Accrued Expenditure on Travel (b) (Kshs.)	Total Expenditure on Travel (c=a+b) (Kshs.)
County Assembly of Kwale	7	14th -20th November 2025	Invitation for the Assembly on transformative Leadership implementing Public Sector Reforms in Africa	Kampala -Uganda	2,836,167	-	2,836,167
County Assembly of Kwale	7	18th - 26th December 2025	Benchmarking on Legislative Processes at Arusha, Tanzania	East Africa Legislative Assembly	2,265,797	-	2,265,797
County Assembly of Kwale	16	25th January - 4th Feb 2026	Participating in Legisnext 2030 High-Level Executive Capacity Development Program Summit	Zanzibar	4,744,796	-	4,744,796
County Assembly of Kwale	6	6th - 15th February 2026	Participating in the 2026 Mining Indaba Conference in Cape Town	South Africa	1,973,184	-	1,973,184
TOTAL					**23,227,133**	**0**	**23,227,133**

Source: Kwale County Treasury and Kwale County Assembly

3.19.13 Facility Improvement Financing

During the review period, the County reported collections of Kshs.292.38 million as FIF, which was 73 per cent of the annual target of Kshs.400 million. The collected amount was retained and utilised at source in line with the Facility Improvement Financing Act, 2023. The County, however, has not developed regulations to operationalise the FIF Act of 2023.

The expenditure by the health facilities amounted to Kshs.102.27 million, as shown in Table 3.281.

Table 3.281: Kwale County Health Facilities Expenditure Performance in the first nine months of FY 2025/26

No.	Health Facility	Number of Facilities	Approved Budget (Kshs.)	Actual Expenditure (Kshs.)	Absorption rate (%)
1.	Level 5 Hospital	1	244,222,701	54,661,472	22
2.	Level 4 Hospital	3	230,369,400	37,847,543	16
3.	Level 3 Facility	4	27,525,000	597,000	2
4.	Level 2 Facility	170	48,530,600	9,168,392	19
	Total	**178**	**550,647,701**	**102,274,407**	**60**

Source: *Kwale County Treasury*

3.19.14 Development Expenditure

In the review period, the County reported spending Kshs.2.14 billion on development programmes, representing a decrease of 3 per cent compared to FY 2024/25, when the County spent Kshs.2.12 billion. Table 3.282 summarises the development projects with the highest expenditure in the reporting period.

The increase/decline in development expenditure was attributed to delays in exchequer disbursements.

Table 3.282: Kwale County, List of Development Projects with the Highest Expenditure

No	Sector	Project Name	Project Location	Project Commencement Date	Expected date of Completion of the Project	Contract sum (Kshs)	Total Funding in FY 2025/26 (Kshs.)	Expenditure (on an accrual basis) in the Third Quarter of FY 2025/26 (Kshs.)	Cumulative project expenditure (on an accrual basis) as of 31st March 2026 (Kshs.)	Percentage (%) of Completion
COUNTY FUNDED PROJECT										

No	Sector	Project Name	Project Location	Project Commencement Date	Expected date of Completion of the Project	Contract sum (Kshs)	Total Funding in FY 2025/26 (Kshs.)	Expenditure (on an accrual basis) in the Third Quarter of FY 2025/26 (Kshs.)	Cumulative project expenditure (on an accrual basis) as of 31st March 2026 (Kshs.)	Percentage (%) of Completion
1	Water Services	Water and Sanitation Project	HQ	1-Nov-25	28-Feb-26	785,170,000	785,170,000	785,170,000	785,170,000	1
2	Water Services	Water and Sanitation Project	HQ	1-Nov-25	28-Feb-26	234,930,080	234,930,080	234,930,080	234,930,080	100
3	Community Development	Construction of the Kwale Stadium	Tsimba/ Golini	06/02/2024	30/06/2026	218,494,051			214,088,727	98
4	Trade and Enterprise Development	3110504 Construction of County Aggregated Industrial Park at Mwananyamala, Dzombo ward	Mwananyamala	24/12/2023	24/12/2025	497,431,884	40,145,464	-	202,481,617.42	60
5	Kwale Municipality	Tarmacking of National Cereals and Produce Board-Godoni-Chitsanze Road Phase 3.	Kwale	27/10/2022		147,441,525	49,623,364	49,623,364	144,391,302	100
6	Trade and Enterprise Development	3111504 Completion of Fruit processing plant phase III in Shimba Hills, Kubo South ward	Shimba hills	13/12/2025	13/01/2026	124,450,353	70,236,681	70,236,681	124,450,353	100
7	Executive Services	Construction of the Governor's Residence	Tsimba/ Golini	24th April 2018	24th September 2026	183,403,077	-	-	124,239,639	68
8	Water Services	Construction of Kilibasi Dam Phase I in Mackinon Road Ward	Mackinnon Ward	1-Nov-25	28-Feb-26	38,224,380	34,532,921	34,532,921	34,532,921	90
9	Community Development	Construction of Dzirephe stadium in Vanga ward	Vanga	06/02/2024	06/05/2024	36,977,030			33,371,241	90
10	Trade and Enterprise Development	3110504 Completion of Diani Market - Phase III (market stalls, boundary wall completion and civil works)	Diani	30/11/2023	30/11/2024	41,808,678	-	-	26,444,490	65
CLIMATE CHANGE FUNDED PROJECTS-FLOCCA										
1	Enviroment	Construction of storm ater dralnage system-Flloca	Gombato bongwe	45862	46046	20847726.5	20847726.5	12864645.7	12864645.7	70

No	Sector	Project Name	Project Location	Project Commencement Date	Expected date of Completion of the Project	Contract sum (Kshs)	Total Funding in FY 2025/26 (Kshs.)	Expenditure (on an accrual basis) in the Third Quarter of FY 2025/26 (Kshs.)	Cumulative project expenditure (on an accrual basis) as of 31st March 2026 (Kshs.)	Percentage (%) of Completion
2	Enviroment	Rehabilitation of Mzinzi dam 7 micro-Irrigation project at Mwangoloto -Flloca	Sambu-ru-chen-goni	45764	45855	9130810.08	9130810.08	8920185.4	8920185.4	100
3	Enviroment	Proposed desilting of Ziya Kulu water pan -Flloca	Tiwi	25/02/2025	25/02/2025	6892203.8	7000000	6892203.8	6892203.8	100
4	Enviroment	Restoration of degraded water catchment conservation in Kundutsi - Flloca	Tsimba Golini	45800	45892	6903049.1	6903049.1	6844197.5	6844197.5	100
5	Enviroment	Supply & delivery & installation of micro-irrigation materials & construction of Tingani -Flloca	Mwereni	45800	45892	6359040	6359040	5841308	5841308	100
6	Enviroment	Development of Kwale County energy plan & investment prospectus-Flloca	HQ	45744	45866	13920000	13920000	4176000	4176000	45
KENYA INFORMAL SETTLEMENT PROJECTS(KISIP)										
1	Enviroment	Construction of Roads, Foothpaths and Drainage in Kombani Informal Settlement - KISIP Grant	Waa Ngombeni	1/31/2025	4/18/2025	179,235,791	50,633,521	33,846,084	93,324,944	80
2	Enviroment	Installation of 70 No. street lights and 5 No. High mast flood lights work in Kombani Informal Settlement - KISIP Grant.	Waa Ngombeni	5/15/2024	9/15/2025	29,999;820.4	13,749,120	6,907,686	24,058,840	90

Source: *Kwale County Treasury*

The County reported 3 stalled development projects as of 31st March 2026, with an estimated value of Kshs.464.68 million, of which Kshs.240.53 has already been paid. The stalled projects are shown in Table 3.283

Table 3.283: Kwale County Stalled Projects as of 31st March 2026

Project Name	Project Location	Project Commencement Date	Expected Completion Date of the Project	Estimated Value of the Project (Kshs.)	Amount Paid on the stalled project (Kshs.)	Accrued Expenditure on the stalled project (Kshs.)	Outstanding Unpaid Balance As of 31st March 2026	Percentage of Completion before stalling of the Project
Construction of Market Stalls at Kigato Trading Centre in Waa Ng'ombeni	Waa Ng'ombani	3/17/2021	6/17/2021	3,295,341	1,571,048	-	1,724,293	48
Construction of the Governor's Residence	Tsimba/ Golini	24th April 2018	24th September 2026	183,403,076.96	124,239,638.63	-	59,163,438	68
County Flagship Project 2 -Tarmacking of Kona Ya Musa – Mabokoni – Kona Ya Masai Road in Ukunda, Gombato/ Bongwe wards	Ukunda	15.04.20	15.04.2021	277,977,685	114,720,884	-	163,256,801	41
				464,676,102.56	**240,531,570.24**	**-**	**224,144,532.3**	

Source: Kwale County Treasury

The projects stalled because of the court cases.

3.19.15 Budget Performance by Department

Table 3.284 summarises the approved budget allocation, expenditure, and absorption rate by department for the period under review.

Table 3.284: Kwale County, Budget Allocation and Absorption Rate by Department in the first nine months of FY 2025/26

Department	Budget Allocation (Kshs.Millions)		Exchequer Issues (Kshs.Millions)		Expenditure (Kshs. Millions)		Expenditure to Exchequer Issues (%)		Absorption rate (%)	
	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev
Finance And Economic Planning	749.22	48.36	280.57	6.75	248.51	6.75	88.6	100	33.2	14
Agriculture, Livestock, and Fisheries	93.42	212.45	31.57	94.61	27.64	132.23	87.6	139.8	29.6	62.2
Land, Environment, Mining, and Natural Resources	116.29	494.48	14.97	239.92	15.74	106.57	105.1	44.4	13.5	21.6
Health Services	1,094.29	502.05	375.28	122.85	469.03	190.53	125	155.1	42.9	38
County Assembly	659.89	561.41	519.25	153.46	402.38		77.5	-	61	-
Industry, Trade, and Investments	71.81	691.44	31.89	143.29	26.65	136.27	83.6	95.1	37.1	19.7
Community Development, Youth And Women Empowerment, and Social Services	136.24	207.26	67.02	1.71	72.02	1.71	107.5	100	52.9	0.8
Office Of The Governor And The Deputy Governor	119.52	50.00	41.33	-	74.50	-	180.3	-	62.3	-
Education	608.64	623.86	457.50	135.39	461.61	187.49	100.9	138.5	75.8	30.1
Water And Urban Planning And Decentralized Units	81.15	1,654.29	50.93	512.45	54.04	561.74	106.1	109.6	66.6	34

Department	Budget Allocation (Kshs.Millions)		Exchequer Issues (Kshs.Millions)		Expenditure (Kshs. Millions)		Expenditure to Exchequer Issues (%)		Absorption rate (%)	
	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev
Infrastructure And Public Works	119.05	1,692.50	72.41	320.18	80.63	405.71	111.4	126.7	67.7	24
ICT and Tourism	65.19	46.79	27.00	-	32.16	-	119.1	-	49.3	-
County Public Service Board	92.55	19.98	24.17	11.35	16.34	11.35	67.6	100	17.7	56.8
Public Service And Administration	3,515.05	383.45	2,842.32	-	2,847.35	-	100.2	-	81	-
Municipality Of Kwale	18.08	73.42	7.37	9.37	7.52	1.34	102.2	14.3	41.6	1.8
Municipality Of Diani	35.79	104.83	23.48	76.28	23.97	76.28	102.1	100	67	72.8
County Attorney	172.18	0.00	66.31	-	94.95	-	143.2	-	55.1	-
Municipality Of Lunga Lunga	18.91	29.12	10.66	5.30	10.90	5.30	102.3	100	57.7	18.2
Municipality Of Kinango	15.62	42.81	12.50	3.87	12.60	15.35	100.8	396.8	80.7	35.9
Preventive Health Services	177.48	428.69	56.12	118.12	71.14	136.18	126.8	115.3	40.1	31.8
Total	**7,960.38**	**7,867.18**	**5,012.67**	**1,954.90**	**5,049.68**	**1,974.80**	**100.7**	**101**	**63.4**	**25.1**

Source: *Kwale County Treasury*

Analysis of expenditure by departments shows that the Department of Municipality of Diani recorded the highest absorption rate of development budget at 72 per cent, followed by the Department of Agriculture, Livestock and Fisheries at 62 per cent. The Department of Public Service and Administration had the highest percentage of recurrent expenditure to budget at 81 per cent, while the Department of Land, Environment, Mining and Natural Resources had the lowest at 13 per cent.

3.19.16 Budget Execution by Programmes and Sub-Programmes

Budget execution was concentrated in selected performance bands. In the 1–10 per cent band, development absorption was reported for Kinango Hospital under the Department of Health Services at 7 per cent, for the establishment of squatter settlement schemes at 7 per cent, for administration under the Department of Social Services at 3.2 per cent, for infrastructure development under the Department of Education at 3 per cent, and for rural health facilities under the Department of Preventive Health and general administration and support under Kwale Municipality, both at 2 per cent. Recurrent absorption was reported for livestock disease control at 1 per cent and agricultural extension, research and training at 3 per cent under the Department of Agriculture, Livestock and Fisheries.

In the 11–20 per cent band, recurrent absorption was reported for building capacity for traders under the Department of Trade at 12 per cent, for dairy and meat production under the Department of Agriculture, Livestock and Fisheries at 11 per cent, and for Kinango Hospital under the Department of Health Services at 11 per cent.

In the 51–60 per cent band, development absorption was reported for livestock disease control under the Department of Agriculture, Livestock and Fisheries at 53 per cent and for general administration under the Department of Health Services at 55.8 per cent. In the 61–70 per cent band, development absorption was reported for Samburu Hospital under the Department of Health Services at 65 per cent. In the 71–80 per cent band, development absorption was reported for Diani Municipality at 73 per cent, while recurrent absorption was recorded for general administration and support under Kinango Municipality at 81 per cent and for medical health drugs under preventive health at 80 per cent.

In the 81–90 per cent band, development absorption reached 93 per cent for administration services under the Department of Water Services, while recurrent absorption reached 83 per cent for audit services under the Department of Public Service and Administration. In the 90–100 per cent band, development absorption reached 100 per cent for general administration under the Department of Finance and Economic Plan-

ning and 98 per cent for medical health drugs, while recurrent absorption reached 98 per cent for medical health drugs and 95 per cent for scholarship under the Department of Education. In the band above 100 per cent, development absorption reached 169 per cent for general administration and support services under the Department of Agriculture, Livestock and Fisheries.

Low absorption in the lower performance bands reflected single-digit implementation across health facilities, settlement schemes, social services, education infrastructure and agricultural sub-programmes. Conversely, performance in the higher bands reflected the prioritisation of the respective sub-programmes during the review period.

Budget Execution by Programmes and Sub-Programmes Table 3.285 summarises budget execution by programmes and sub-programmes in the period under review with the highest absorption rates.

Table 3.285: Budget Execution by Programmes and Sub-Programmes with Highest Absorption Rates

Programme	Sub-Programme	Gross Approved Estimates FY 2025/26 (Kshs.)	Expenditure (including accrued expenditure) as of 31st March 2026 (Kshs.)	Absorption %
		Development	Development	Development
3062-Agriculture,Livestock & fisheries				
102003062	102053060-General administration and support services	37,210,401	62,819,189	169%
3061-Finance and Economic Planning				
	704043060-General Administration	4,028,001	4,028,001	100%
3070-Water Services				
	Administration Services (1002023060)	1,336,455,884	1,239,839,263	93%
3076-Diani Municipality				
0102003076	0102053060-Diani Municipality	104,831,786	76,283,962	73%
3064-Health Services				
409003064	409013060-Samburu Hospital	38,000,000	24,618,692	65%
	403013060-General Administration	255,348,912	142,533,590	55.8
3062-Agriculture,Livestock & fisheries				
	108033060-Livestock Disease Control	36,297,514	19,297,250	53%
3064-Health Services				
	402043060-Medical Health Drugs	-	-	98%

Programme	Sub-Programme	Gross Approved Estimates FY 2025/26 (Kshs.)	Expenditure (including accrued expenditure) as of 31st March 2026 (Kshs.)	Absorption Rate (%)
		Recurrent	Recurrent	Recurrent
3064-Health Services				
	402043060-Medical Health Drugs	148,000,000	145,000,000	98%
3069-Education				
504003069	504013060-Scholarship	400,000,000	380,000,000	95%
3074-Public Service & Administration				
	Audit Services (704013060)	3,335,974,626	2,769,934,639	83%
3079-Kinango Municipality				
102003079	102053060- General Administration and Support	15,618,510	12,597,372	81%
3080-Preventive Health				
402003080	402043060 Medical Health drugs	54,000,000	43,367,075	80%

Source: *Kwale County Treasury*

The development sub-programmes with the highest budget implementation rates were: general administration in the Department of Agriculture at 169 per cent, finance at 100 per cent, and Samburu Hospital in the Department of Health Services at 65 per cent.

For recurrent sub-programmes, the top performers included: Medical health drugs in the Department of Health service at 98 per cent, Bursary and Scholarships in the Department of Education at 95 per cent, and audit service in the Department of Public Service and Administration at 83 per cent. **Table** 3.286 summarises the budget execution by programmes and sub-programmes in the period under review that had the lowest absorption rates.

Table 3.286: Budget Execution by Programmes and Sub-Programmes with Lowest Absorption Rates

Programme	Sub-Programme	Gross Approved Estimates FY 2025/26 (Kshs.)	Expenditure (including accrued expenditure) as of 31st March 2026 (Kshs.)	Absorption Rate (%)
		Development	Development	Development
3064-Health Services				
406003064	406013060-Kinango Hospital	36,700,000	2,398,572	7
3064-Health Services				
	105013060 - Establishment of squatter settlement schemes	94,499,960	6,194,400	**7**
3067-Social Services				
906003067	906023060-Administration	69,563,602	**1,708,576**	3
3069-Education				
	503023060-Infrastructure Development	156,900,000	4,226,547	3
3080-Preventive Health				
412003080	412013060 Rural Health Facilities	202,115,889	3,995,759	2
3075-Kwale Municipality				
102003075	102053060- General Administration and Support	73,417,017	1,342,585	2
Programme	**Sub-Programme**	**Gross Approved Estimates FY 2025/26 (Kshs.)**	**Expenditure (including accrued expenditure) as of 31st March 2026 (Kshs.)**	**Absorption Rate (%)**
		Recurrent	**Recurrent**	**Recurrent**
3066-Trade				
301003066	301013060-Building capacity for traders	10,409,977	1,271,110	12
3062-Agriculture, Livestock & fisheries				
108003062	108023060-Dairy and Meat Production	5,660,000	620,000	11
3064-Health Services				
406003064	406013060-Kinango Hospital	56,380,000	6,126,869	11
3062-Agriculture,Livestock & fisheries				
	107023060-Agricultural extension, Research and Training	4,540,000	120,000	3

Programme	Sub-Programme	Gross Approved Estimates FY 2025/26 (Kshs.)	Expenditure (including accrued expenditure) as of 31st March 2026 (Kshs.)	Absorption Rate (%)
		Development	Development	Development
	108033060-Livestock Disease Control	5,870,000	30,000	1

Source: *Kwale County Treasury*

The development sub-programmes with the lowest budget implementation rates were as follows: general administration in the Department of Kwale municipality at 2 per cent, rural health facilities in the Department of Preventive Health at 2 per cent, and infrastructure under education at 3 per cent.

For recurrent sub-programmes, the poorest performers included: livestock disease control in the Department of Agriculture, Livestock and Fisheries at 1 per cent, Agricultural extension, Research and Training in the Department of Agriculture, Livestock and Fisheries at 3 per cent, and Kinango Hospital in the Department of Health Services at 11 per cent.

3.19.17 Settlement of Trade Payables

As of 1st July 2025, the County reported trade payables totalling Kshs.1.69 billion. This amount consisted of Kshs.1.33 billion from the County Executive and Kshs.364 million from the County Assembly. The trade payables from the County Executive comprised Kshs 636.59 million for recurrent expenditure and Kshs.689.86 million for development expenditure.

During the reporting period, the County Executive settled trade payables amounting to Kshs.985.22 million, comprising Kshs.457.21 million 34 per cent for recurrent programmes and Kshs.528 million 40 per cent for development programmes. On the other hand, the County Assembly settled trade payables amounting to Kshs.156.01 million, comprising Kshs.3 million 1 per cent for recurrent activities and Kshs.153 million 42 per cent for development activities. The outstanding trade payables as of 31st March 2026 were Kshs.341.23 million for the County Executive and Kshs.207.95 million for the County Assembly. Table 3.287 provides additional details of trade payables.

Table 3.287: Kwale County Trade Payables as of 31st March 2026

	County Entity	Development (Kshs.)	Recurrent (Kshs.)	Total (Kshs.)
As at 1 July 2025 (End of FY 2024/25)	County Executive	689,860,025	636,590,674	1,326,450,699
	County Assembly	361,413,970	2,625,517	364,039,487
	Total	1,051,273,995	639,216,191	1,690,490,185
Amount paid in FY 2025/26	County Executive	528,004,601	457,210,699	985,215,300
	County Assembly	153,461,194	2,625,517	156,086,711
	Total	681,465,795	459,836,216	1,141,302,012
Trade Payables Incurred in FY 2025/26	County Executive	-	-	-
	County Assembly	-	-	-
	Total	-	-	-
Outstanding Trade Payables as of 31 December 2025 (Kshs.)	County Executive	161,855,424	179,379,974	341,235,398
	County Assembly	207,952,776	-	207,952,776
	Total	**369,808,199**	**179,379,974**	**549,188,174**

Source: *Kwale County Treasury*

The County Executive and the Assembly submitted a trade payables payment plan, committing to pay all the trade payables by 31st March 2026. The County did not adhere to this payment plan, as it cleared Kshs.985.22 million for the Executive and Kshs.156.09 million for the Assembly.

Table 3.288 and Table 3.289 present the ageing of the total outstanding bills as of 31st March 2026 for the County Executive and Assembly, which were Kshs.549.19 million

Table 3.288: Kwale County Executive Trade Payables Ageing Analysis as of 31st March 2026

Category	Ageing analysis (Amount in Kshs.)				Total
	Under one year	1-2 years	2-3 years	Over 3 years	
County Executive					
Development Trade Payables	126,096,429	35,758,995			161,855,424
Recurrent Trade Payables (Goods & Services)	18,608,941	151,493,291	-	-	170,102,232
Recurrent Trade Payables (Salary Arrears and Statutory Deductions)	-	-	-	-	-
Recurrent Trade Payables (Staff Claims)	9,277,742	-	-	-	9,277,742
Total Recurrent Trade Payables	27,886,683	151,493,291	-	-	179,379,974
Total Trade Payables	153,983,112	187,252,286	-	-	341,235,398
% of Total	**45**	**55**	**0**	**0**	**100**

Source: *Kwale County Treasury*

Table 3.289: Kwale County Assembly Trade Payables Ageing Analysis as of 31st March 2026

County Assembly					
Development Trade Payables	182,834,961	25,117,814			207,952,776
Recurrent Trade Payables (Goods & Services)					-
Recurrent Trade Payables (Salary Arrears and Statutory Deductions)					-
Recurrent Trade Payables (Staff Claims)					-
Total Recurrent Trade Payables	-	-	-	-	-
Total Trade Payables	182,834,961	25,117,814	-	-	207,952,776
% of Total	**88**	**12**	**-**	**-**	**100**

Source: *Kwale County Treasury*

The two tables indicate that 100 per cent of total trade payables are aged between 1 and 2 years, a trend attributed to the late disbursement of the national exchequer/equitable share disbursement.

3.19.18 Implementation of the Equalisation Fund by Kwale County

During the review period, the County received support for equalisation funds, amounting to Kshs.49.46 million, against an allocation of Kshs.255.36 million. The projects implemented under the equalisation fund within Kwale County are as follows: Table 3.290:

Table 3.290: Projects Implemented Under Equalisation Fund within Kwale County

No	Sector	Project Name	Project Location	Project Commencement Date	Expected date of Completion of the Project	Contract sum (Kshs)	Expenditure (on an accrual basis) in the Third Quarter of FY 2025/26 (Kshs.)	Cumulative project expenditure (on an accrual basis) as of 31st March 2026 (Kshs.)	Percentage (%) of Completion
1	Water	Proposed Construction Of Boyani Water Pipeline In Mtaa, Kasemeni Ward, Kinango Constituency, Kwale County	Kasemeni Ward	17th July 2025	17th November 2025	3,131,141	3,047,760.80	3,047,760.80	97%

No	Sector	Project Name	Project Location	Project Commencement Date	Expected date of Completion of the Project	Contract sum (Kshs)	Expenditure (on an accrual basis) in the Third Quarter of FY 2025/26 (Kshs.)	Cumulative project expenditure (on an accrual basis) as of 31st March 2026 (Kshs.)	Percentage (%) of Completion
2	Electricity	Proposed Electricity Connection To Tumbula Kiteje Secondary School In Kiteje Waa/Ng'ombeni Ward, Matuga Constituency, Kwale County	Waa/Ng'Ombeni Ward	17th July 2025	17th November 2025	5,809,675			0%
3	Electricity	Proposed Electricity Connection In Mwarutswa Area, Pongwe Kikoneni Ward, Lungalunga Constituency, Kwale County	Pongwe Kikoneni Ward	17th July 2025	17th November 2025	3,621,865			0%
4	Water	Proposed Construction Of Mbujani Water Pan In Mtaa, Kasemeni Ward, Kinango Constituency, Kwale County	Kasemeni Ward,	17th July 2025	17th November 2025	3,500,000			0%
5	Electricity	Proposed Electricity Connection In Mivumoni Area, Ramisi Ward, Msambweni Constituency, Kwale County	Ramisi Ward	17th July 2025	17th November 2025	7,321,414			0%
6	Water	Proposed Construction Of Miyani Katundani Water Pipeline In Kasemeni Ward, Kinango Constituency, Kwale County	Kasemeni Ward	17th July 2025	17th November 2025	2,631,547	2,630,897.40	2,630,897.40	100%
7	Water	Proposed Water Pipeline Connection In Mkomba Mkonngani Ward, Matuga Constituency, Kwale County	Mkonngani Ward,	17th July 2025	17th November 2025	5,939,413	5,937,303.40	5,937,303.40	100%
8	Water	Proposed Water Pipeline Connection In Mtsavyani Mkonngani Ward, Matuga Constituency, Kwale County	Mkonngani Ward,	17th July 2025	17th November 2025	6,794,552	6,625,282.00	6,625,282.00	98%

No	Sector	Project Name	Project Location	Project Commencement Date	Expected date of Completion of the Project	Contract sum (Kshs)	Expenditure (on an accrual basis) in the Third Quarter of FY 2025/26 (Kshs.)	Cumulative project expenditure (on an accrual basis) as of 31st March 2026 (Kshs.)	Percentage (%) of Completion
9	Water	Proposed Construction Of Water Pipeline In Murungurunguni- Bishop Kalu- Mabamani Puma Ward, Kinango Constituency, Kwale County	Puma Ward	17th July 2025	17th November 2025	6,447,380	6,267,980.05	6,267,980.05	97%
10	Electricity	Proposed Electricity Connection In Mwarutswa Area, Pongwe Kikoneni Ward, Lungalunga Constituency, Kwale County	Pongwe Kikoneni Ward	17th July 2025	17th November 2025	3,621,865			0%
11	Roads	Proposed Road Opening From Nyalani –Dzimanya In Vigurungani Puma Ward, Kinango Constituency, Kwale County	Puma Ward	17th July 2025	17th November 2025	6,817,320	6,810,360.00	6,810,360.00	100%
12	Roads	Proposed Gravelling And Murramming Of Chengoni-Silaloni Road In Samburu/ Chengoni Ward Kinango Constituency, Kwale County	Samburu/ Chengoni Ward	17th July 2025	17th November 2025	6,659,792	6,620,642.00	6,620,642.00	99%
13	Water	Proposed Water Pipeline Connection In Tiribe Mkonngani Ward, Matuga Constituency, Kwale County	Mkonngani Ward	17th July 2025	17th November 2025	7,049,081	6,964,449.80	6,964,449.80	99%
14	Education	Proposed construction of 2 classrooms at Marenje Primary School in Dzombo Ward	Dzombo Ward	17th July 2025	17th November 2025	2,280,961	2,280,188.80	2,280,188.80	100%
15	Education	Proposed construction of 2 classrooms at Mkuduru Primary School in Dzombo Ward	Dzombo Ward	17th July 2025	17th November 2025	2,275,550	2,275,374.95	2,275,374.95	100%
	TOTAL					**73,901,555**	**49,460,239**	**49,460,239**	

Source: Kwale County Treasury.

3.19.19 General Observations and Recommendations

In the course of overseeing and reporting on the implementation of the Kwale County budget, the CoB identified the following challenges, which hampered effective budget implementation;

i. The County Treasury's late submission of financial reports to the Controller of Budget affected the timely preparation of the budget implementation report, which was received on 29th April 2026.
ii. High levels of revenue receivables, which stood at Kshs.1.19 billion as of 31st March 2026.
iii. High level of trade payables, which amounted to Kshs.549 billion as of 31st March 2026. Furthermore, the County Treasury did not adhere to the trade payables payment plan.
iv. Non-submission of copies of authorisation letters for opening commercial bank accounts as per Regulation 82(5) of the Public Finance Management (County Governments) Regulations, 2015.

The County should implement the following recommendations to improve budget execution:

i. *The County Treasury should ensure the timely preparation and submission of financial reports to the Controller of Budget per the timelines prescribed in Section 166 of the PFM Act, 2012.*
ii. *The County Treasury should institute measures to ensure that trade receivables are recovered to enable proper utilisation of the budget.*
iii. *The County Leadership should address the situation of trade payables to ensure that genuine bills are paid promptly in the remaining financial year. Further, compliance with the Trade Payables Action Plan should be enforced.*
iv. *The County Treasury should ensure it submits copies of authorisation letters to the CoB for opening commercial bank accounts to enhance accountability and oversight.*

3.20. County Government of Laikipia

3.20.1 Overview of FY 2025/26 Budget

The Laikipia County Approved Budget for FY 2025/26 is Kshs.9.22 billion. It comprises Kshs.4.27 billion (46.0 per cent) and Kshs.4.95 billion (54.0 per cent) in allocations for development and recurrent programmes, respectively. The budget estimates represent an increase of Kshs.737.60 million (9.0 per cent) from the FY 2024/25 budget, which comprised a development budget of Kshs.3.48 billion and a recurrent budget of Kshs.5.0 billion. The increase in the budget was primarily attributed to the rise in the allocation of the equitable share and own-source revenue.

The budget is to be financed from various revenue sources. These include the equitable share of revenue raised nationally, amounting to Kshs.5.64. billion (61.0 per cent), additional allocations of Kshs.1.08 billion (12.0per cent), a cash balance of Kshs.1.15 billion (12.5 per cent) brought forward from FY 2024/25, and Kshs.1.35 billion (14.67 per cent) earned as own-source revenue. A breakdown of the additional allocations is shown in Table 3.291

3.20.2 Revenue Performance

During the first nine months of FY 2025/26, the County reported total revenues of Kshs.6.13 billion. This amount represented an increase of 33 per cent compared to the amount received in a similar period in FY 2024/25 of Kshs.4.59 billion. The total revenue consisted of Kshs.4.06 billion from the equitable share of revenue raised nationally, additional allocations from the national government and development partners of Kshs.378.0 million, and own-source revenue (OSR) collection of Kshs.883.0 million. Additionally, the County had a cash balance of Kshs.808.76 million from FY 2024/25. The total OSR collection of Kshs.883.02 million included Facilities Improvement Financing (FIF) of Kshs.508.38 million, and Kshs.375.0 million from other OSR sources.

Table 3.291 summarises the total revenue available to the County Government during FY 2025/26.

Table 3.291: Laikipia County, Revenue Performance in the first nine months of FY 2025/26

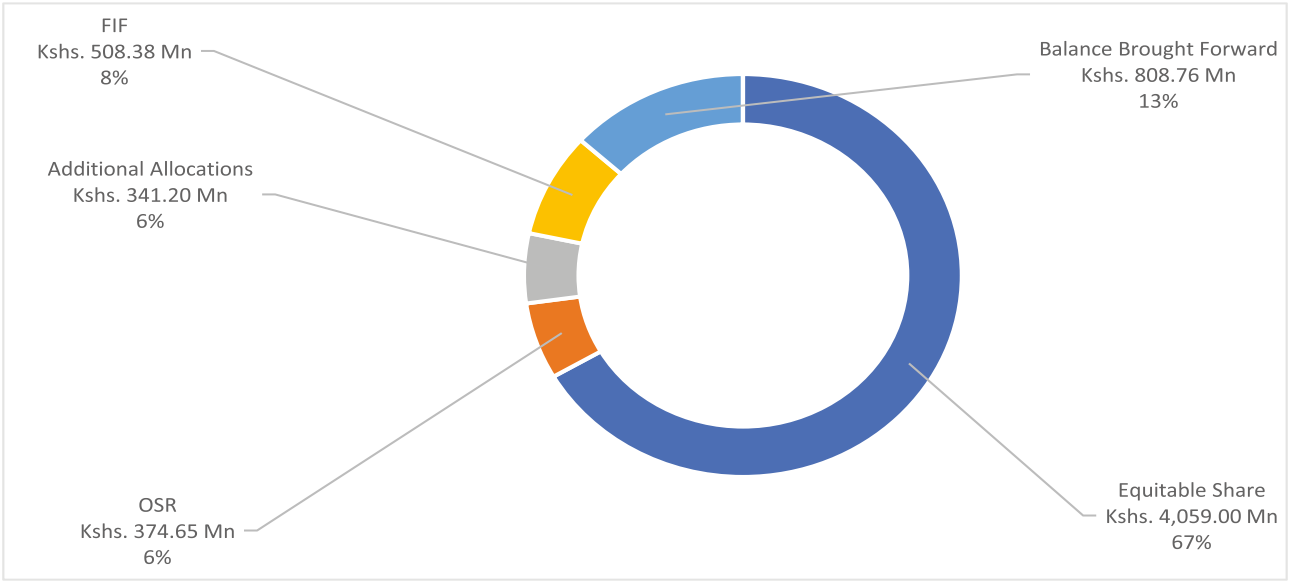
No	Revenue Stream	Annual Targeted Revenue (Kshs.)	Actual Receipts (Kshs.)	Receivables in the First Nine Months of FY 2025/26 (Kshs.)	Total Revenues (in accrual basis) in the First Nine Months of FY 2025/26 (Kshs.)	Variance (Kshs.)
		A	B	C	D=B+C	E=A-D
A	**Unspent Balance from FY 2024/25**					
1	Balance at CRF	1,147,855,864	801,640,812	-	801,640,812	346,215,053
2	County Executive Refunds to CRF	-	7,113,951	-	7,113,951	- 7,113,951
3	County Assembly Refunds to CRF	-	7,128	-	7,128	- 7,128
	Sub-Total	**1,147,855,864**	**808,761,891**	**-**	**808,761,891**	**339,093,974**
B	**Equitable Share of Revenue Raised Nationally**					
1	Equitable Share	5,640,962,159	4,059,214,534	-	4,059,214,534	1,581,747,625
	Sub-Total	**5,640,962,159**	**4,059,214,534**	**-**	**4,059,214,534**	**1,581,747,625**
C	**Transfers from the Equalisation Fund**					
1	Laikipia Equalisation Fund	119,302,786	36,817,307	-	36,817,307	82,485,479
	Sub-Total	**119,302,786**	**36,817,307**	**-**	**36,817,307**	**82,485,479**
D	**Additional Allocations (Including Grants)**					
1	DANIDA Grant	15,840,000	-	-	-	15,840,000
2	Community Health Promoters	25,230,000	-	-	-	25,230,000
3	Kenya Devolution Support Project Level II	37,500,000	35,253,471	-	35,253,471	2,246,529
4	Headquarters- KDSP II programme	233,197,214	-	-	-	233,197,214
5	Road Maintenance Levy Fund - Fuel Levy	154,389,725	-	-	-	154,389,725
6	Public Works- Urban Development grant (UDG)	152,635,998	-	-	-	152,635,998
7	FLOCCA	110,000,000	104,466,831	-	104,466,831	5,533,169
8	Urban Development grant (UDG)	46,583,850	91,391,732	-	91,391,732	- 44,807,882
9	Kenya Food Systems Resilience Program (KFSRP)	171,720,811	110,059,820	-	110,059,820	61,660,991
10	Kenya Agriculture Business Development Program (KABDP)	10,918,919	-	-	-	10,918,919
11	Rec the national Treasury	-	27,334	-	27,334	- 27,334
	Sub-Total	**958,016,517**	**341,199,188**	**-**	**341,199,188**	**616,817,329**
E	**Ordinary Own Source Revenue (OSR)**					
1	Land Rate	113,918,104	79,802,043	-	79,802,043	34,116,061
2	Single/Business Permits	101,004,746	100,981,522	-	100,981,522	23,224
3	Cess	92,451,872	41,568,188	-	41,568,188	50,883,684
4	Property Rent	26,828,465	19,017,723	-	19,017,723	7,810,742
5	Parking Fees	77,993,036	39,559,993	-	39,559,993	38,433,043
6	Market Fees	16,465,116	16,682,581	-	16,682,581	- 217,465

No	Revenue Stream	Annual Targeted Revenue (Kshs.)	Actual Receipts (Kshs.)	Receivables in the First Nine Months of FY 2025/26 (Kshs.)	Total Revenues (in accrual basis) in the First Nine Months of FY 2025/26 (Kshs.)	Variance (Kshs.)
		A	B	C	D=B+C	E=A-D
7	Advertising	30,100,340	14,155,207	-	14,155,207	15,945,133
8	Public Health Service Fees	95,956,741	3,529,337	-	3,529,337	92,427,404
9	Physical Planning and Development	40,019,656	16,401,305	-	16,401,305	23,618,351
10	Hire of County Assets	1,030,578	326,000	-	326,000	704,578
11	Conservancy Administration	18,864,044	2,449,676	-	2,449,676	16,414,368
12	Administration Control Fees and Charges	67,445,516	16,198,465	-	16,198,465	51,247,051
13	Proceeds from the sale of assets	5,000,000	-	-	-	5,000,000
14	Park Fees	16,921,786	12,095,468	-	12,095,468	4,826,318
15	Other Fines, Penalties, and Forfeiture Fees	-	18,000	-	18,000	- 18,000
16	Education Fees	21,000,000	11,859,506	-	11,859,506	9,140,494
	Sub-Total	**725,000,000**	**374,645,013**	**-**	**374,645,013**	**350,354,987**
F	**Facility Improvement Fund/ Financing (FIF)**					
1	Hospital Fees	626,000,000	508,378,122	-	508,378,122	117,621,878
	Sub-Total	**626,000,000**	**508,378,122**	**-**	**508,378,122**	**117,621,878**
	Grand Total	**9,217,137,326**	**6,129,016,054**	**-**	**6,129,016,054**	**3,088,121,273**

Source: *Laikipia County Treasury*

Figure 3.115 provides a detailed breakdown of receipts.

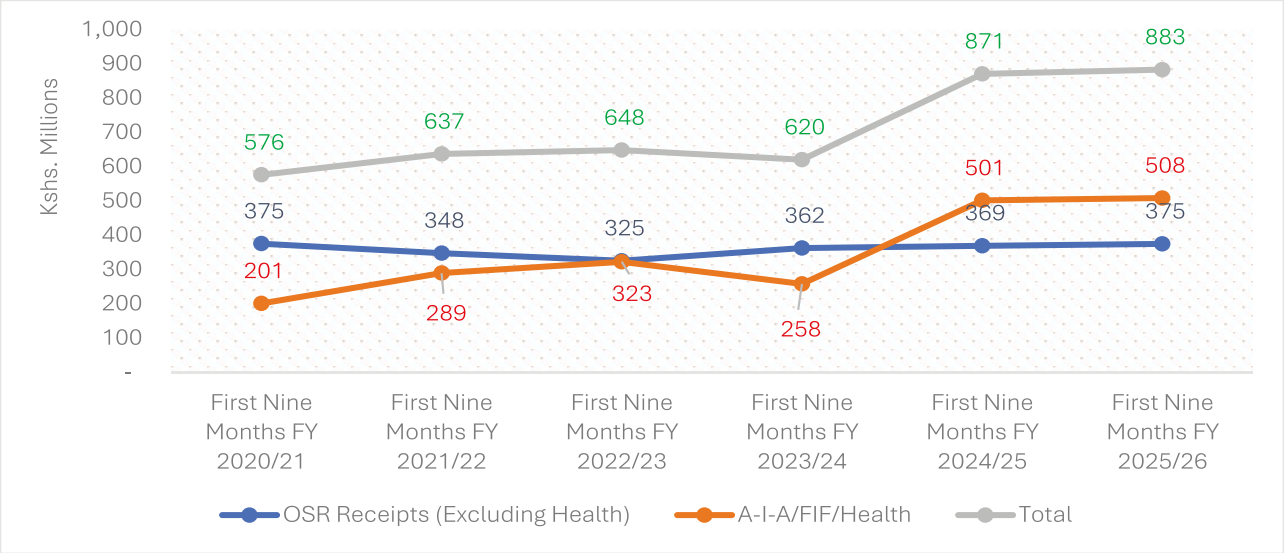
Figure 3.115: Laikipia County Composition of Revenue in the first nine months of FY 2025/26



Source: *Laikipia County Treasury*

The equitable share of revenue raised nationally, OSR, and FIF contributed 67 per cent, 6 per cent and 8 per cent, respectively, of the total receipts for the reporting period. Figure 3.116 shows the collection trend in own-source revenue from the first nine months of FY 2020/21 to the first nine months of FY 2025/26.

Figure 3.116: Laikipia County Trend in Own-Source Revenue Collection from the first nine months of FY 2020/21 to the first nine months of FY 2025/26

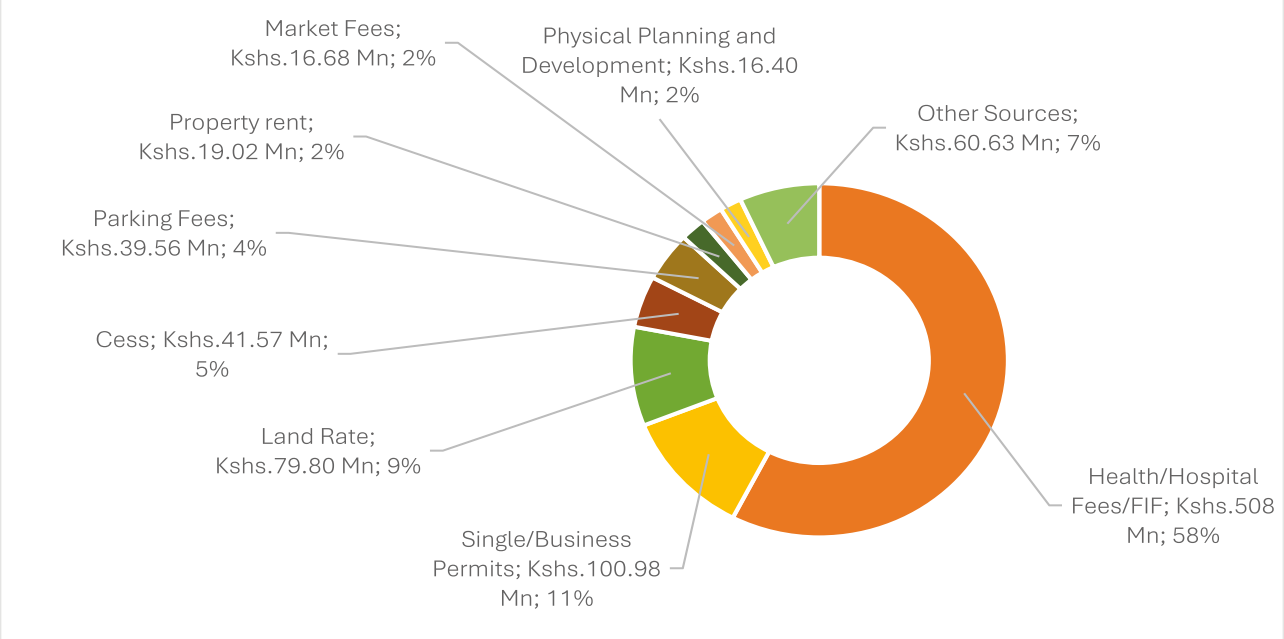


Source: *Laikipia County Treasury*

During the first nine months of FY 2025/26, the County received Kshs.883.0 million from OSR, including FIF. This amount was an increase of 1 per cent compared to Kshs.871 million realised in a similar period in FY 2024/25, and was 65 per cent of the annual target and 14 per cent of the equitable revenue share disbursed.

The revenue streams that contributed the most to OSR receipts are shown in Figure 3.117

Figure 3.117: Laikipia County Top Own Source Revenue Streams in the first nine months of FY 2025/26



Source: *Laikipia County Treasury*

As shown in Figure 3.117, the largest revenue stream, at Kshs.508 million, was Health/Hospital/FIF, accounting for 58 per cent of total OSR receipts. The County Government indicated that it has automated all revenue streams.

3.20.3 Revenue Receivables

As of 1st July 2025, the County reported revenue receivables of Kshs.1.38 billion, which decreased to

Kshs.1.37 billion as of 31st March 2026. The County manages its revenue receivables using an automated system.

Table 3.292presents a breakdown of the County's revenue receivables.

Table 3.292: Laikipia County Revenue Receivables as of 31st March 2026

No	Revenue Stream	Revenue Receivables as of 1 July 2025 (Kshs.)	Progress made in First Nine Months of FY 2025/26			OSR Receivables as of 31st March 2026 (Kshs.)
			Waivers (Kshs)	Receivables paid in the financial year (Kshs)	Receivables earned in First Nine Months of FY 2025/26 (Kshs)	
		a	b	c	d	f=a-b-c+d
1	**Land rate**	1,376,323,044	-	7,002,523	7,002,523	1,369,320,521
2	**Property Rent**	7,240,129	-	7,796,789	7,796,789	556,660
	Totals	**1,383,563,173**	**-**	**14,799,312**	**14,799,312**	**1,368,763,861**

Source: Laikipia *County Treasury*

As of 31st March 2026, the revenue receivables totalled to Kshs.1.37 billion, comprising Kshs.1.37 billion for land rates (100 per cent). The measures instituted by the County to collect outstanding arrears in FY 2025/26 include strengthening the revenue department to improve its effectiveness.

3.20.4 Borrowing by the County

The County Executive and Assembly did not report any credit facilities or short-term borrowing with commercial banks during the period under review.

3.20.5 Withdrawals from the County Revenue Fund and County Assembly Fund

During the reporting period, the Controller of Budget approved exchequer withdrawal requests totalling Kshs.4.58 billion from the Laikipia County Revenue Fund (CRF) account. This amount consisted of Kshs.1.27 billion (28.0 per cent) designated for development programs and Kshs.3.31 billion (72.0 per cent) allocated for recurrent programs.

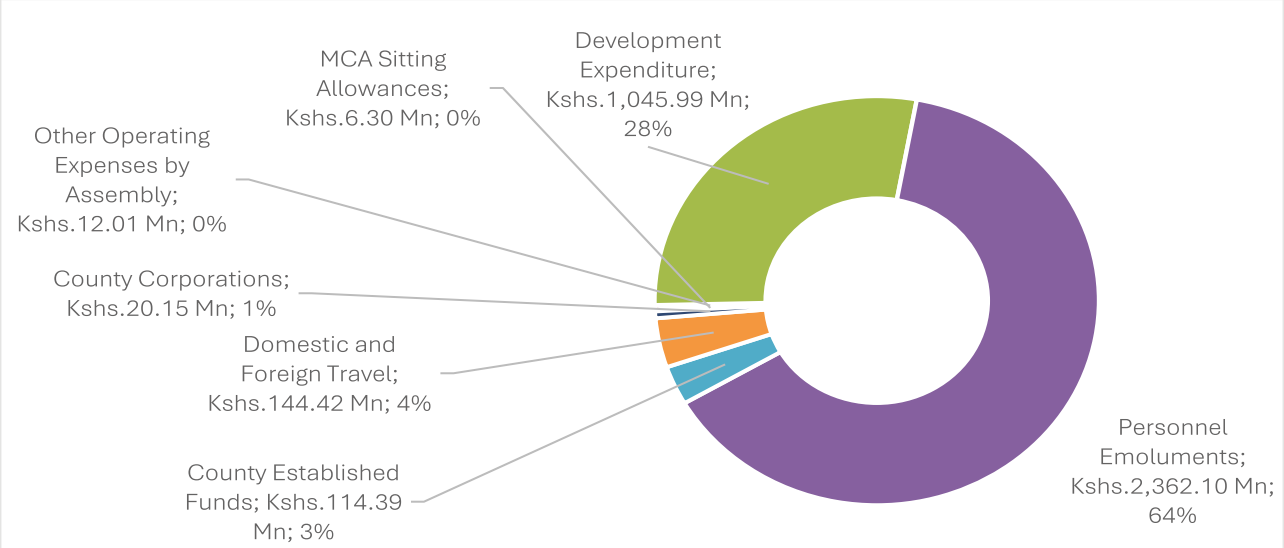
An analysis of the released recurrent exchequers shows that Kshs.2.36 billion was allocated to employee compensation and Kshs.946.86 million to operations and maintenance expenditures. Within the operations and maintenance category, 9.6 per cent was for domestic travel and 5.6 per cent for foreign travel. The domestic travel exchequers totalled Kshs.91.1 million, including Kshs.47.5 million for the County Executive and Kshs.43.6 million for the County Assembly. Equally, the foreign travel exchequers amounted to Kshs.53.32 million, with Kshs.5.12 million for the County Executive and Kshs.48.20 million for the County Assembly. As of 31st March 2026, the County Government's cash balance in the Laikipia CRF account was Kshs.928.30 million.

In addition, the Controller of Budget approved exchequer withdrawal requests totalling Kshs.419.75 million from the Laikipia County Assembly Fund (CAF) account during the review period. This amount comprised Kshs.1.99 million for development activities and Kshs.417.75 million for recurrent activities. As of 31st March 2026, the County Government's cash balance in the Laikipia CAF account was Kshs.502.58 million.

3.20.6 Expenditure Review

The County spent Kshs.4.43 billion on development and recurrent programmes during the reporting period. The expenditure represented 97 per cent of the total funds released by the CoB. It comprised Kshs.1.05 billion for development programmes and Kshs.3.38 billion for recurrent programmes. Expenditure on development programmes accounted for 24 per cent of the annual development expenditure budget, while recurrent expenditure accounted for 68 per cent of the annual recurrent expenditure budget. Figure 3.118 provides a detailed breakdown of total expenditure.

Figure 3.118: Laikipia County Composition of Expenditure in the first nine months of FY 2025/26



Source: Laikipia *County Treasury*

As shown in Figure 3.118, the three highest expenditure categories were Personnel Emolument, Development Expenditure, and County Established Fund, contributing 64, 28 and 3 per cent of total expenditure for the reporting period.

3.20.7 Expenditure by Economic Classification

The County Executive incurred Kshs.2.13 billion in employee compensation, Kshs.832.7 million in operations and maintenance, and Kshs.1.04 billion in development activities. Similarly, the County Assembly spent Kshs.229.04 million on compensation of employees, Kshs.188.71 million on operations and maintenance, and Kshs.1.99 million on development activities, as shown in Table 3.293.

Table 3.293: Laikipia County Summary of Budget and Expenditure by Economic Classification

Sector / Category	Budget (Kshs)	Exchequer Issues (Kshs)	Amount Paid in the First Nine Months of FY 2025/26 (Kshs.) (b)	Expenditure Accrued in the First Nine Months of FY 2025/26 (Kshs.) (c)	Total Expenditure in the First Nine Months of FY 2025/26 (Kshs.) (d=b+c)	Absorption (%) (d/a*100)
County Executive						
Recurrent	**4,415,164,035**	**2,891,196,490**	**2,965,739,244**	**2,965,739,244**	**2,965,739,244**	**67**
Compensation to Employees	3,089,185,733	2,133,052,028	2,133,052,028	2,133,052,028	2,133,052,028	69
Operations & Maintenance	1,325,978,302	758,144,462	832,687,216	832,687,216	832,687,216	63
Development	**4,260,472,209**	**1,268,434,293**	**1,043,996,168**	**1,043,996,168**	1,043,996,168	**25**
Executive Sub-total	**8,675,636,244**	**4,159,630,783**	**4,009,735,412**	**4,009,735,412**	**4,009,735,412**	**46**
County Assembly						
Recurrent	**531,501,082**	**417,754,245**	**417,754,245**	**417,754,245**	**417,754,245**	**79**
Compensation to Employees	260,814,267	229,043,230	229,043,230	229,043,230	**229,043,230**	88
Operations & Maintenance	270,686,815	188,711,015	188,711,015	188,711,015	**188,711,015**	70
Development	**10,000,000**	**1,992,000**	**1,992,000**	**1,992,000**	**1,992,000**	**20**
Assembly Sub-total	**541,501,082**	**419,746,245**	**419,746,245**	**419,746,245**	**419,746,245**	**78**
Combined County Totals						
Total Recurrent	**4,946,665,117**	**3,308,950,735**	**3,383,493,489**	**3,383,493,489**	**3,383,493,489**	**68**

Sector / Category	Budget (Kshs)	Exchequer Issues (Kshs)	Amount Paid in the First Nine Months of FY 2025/26 (Kshs.) (b)	Expenditure Accrued in the First Nine Months of FY 2025/26 (Kshs.) (c)	Total Expenditure in the First Nine Months of FY 2025/26 (Kshs.) (d=b+c)	Absorption (%) (d/a*100)
Compensation to Employees	3,350,000,000	2,362,095,258	2,362,095,258	2,362,095,258	2,362,095,258	71
Operations & Maintenance	1,596,665,117	946,855,477	1,021,398,231	1,021,398,231	1,021,398,231	64
Total Development	**4,270,472,209**	**1,270,426,293**	**1,045,988,168**	**1,045,988,168**	**1,045,988,168**	**24**
Grand Total	**9,217,137,326**	**4,579,377,028**	**4,429,481,656**	**4,429,481,656**	**4,429,481,656**	**48**

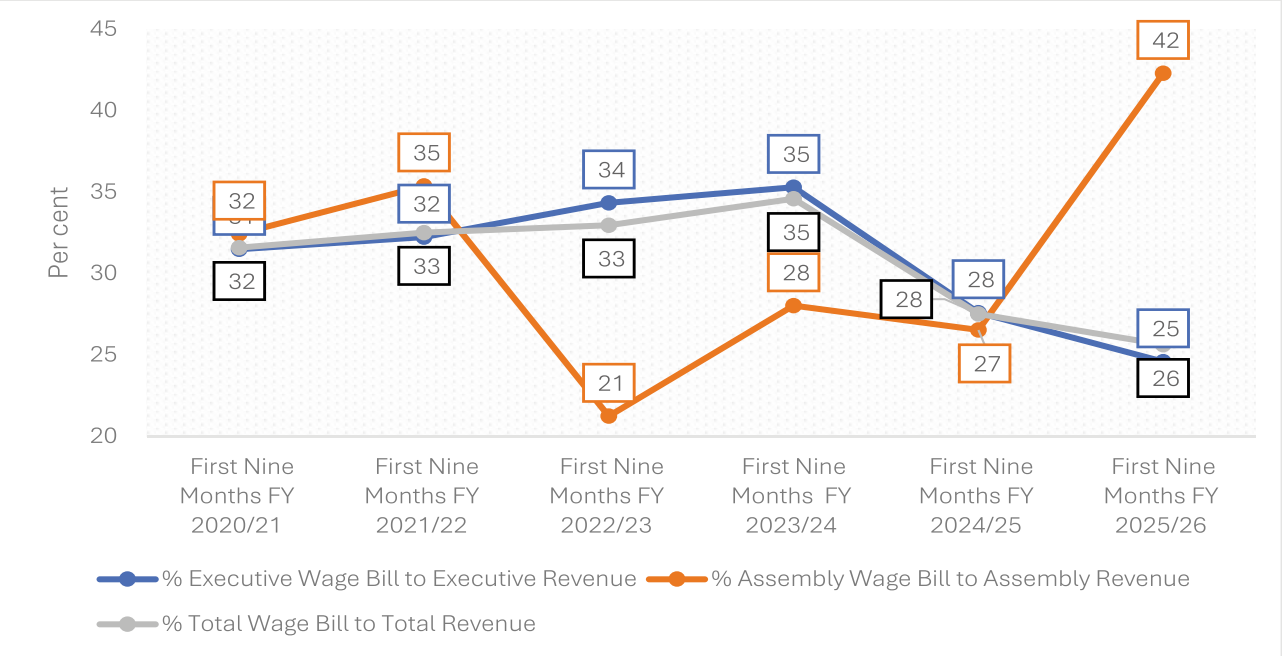
Source: *Laikipia County Treasury*

3.20.8 Expenditure on Employee Compensation

The expenditure on employee compensation totalled Kshs.2.36 billion, representing 71.0 per cent of revenue. This expenditure on employee compensation shows an increase compared to the Kshs.2.33 billion reported in a similar period in FY 2024/25. Of this total, Kshs.1.07 billion related to health sector employees, accounting for 45 per cent of the overall employees' compensation.

Figure 3.119 shows the trend in employee compensation as a percentage of total revenue from the first nine months of FY 2020/21 to the first nine months of FY 2025/26.

Figure 3.119: Percentage of Employee Compensation Expenditure to Total Revenue Received in the first nine months of FY 2020/21 to the first nine months of FY 2025/26



Source: *Laikipia County Treasury*

Further analysis indicated that PE costs totalling Kshs.2.21 billion were processed through the Human Resource Information System (HRIS). In contrast, Kshs.153.76 million was processed through manual payrolls, which accounted for 7.0 per cent of the total PE cost. The justification for the continued use of manual payroll was not provided.

The manual payroll comprised salaries for 14 staff not onboarded into the Human Resource Information System (HRIS), salaries for 85 casual staff, top-up allowances for security personnel, gratuity remittances to pension schemes for staff on contract, and LAPTRUST/LAPFUND Pension Contributions, as shown in Table 3.294

Table 3.294: Breakdown of Laikipia County Manual Payroll

Category	County Executive	County Assembly	Total
Salaries for staff paid outside the Human Resource Information System (HRIS)	17,426,530	10,331,799	27,758,329
Salaries for casual staff	89,830,331	-	89,830,331
LAPTRUST/LAPFUND Pension Contributions	-	14,758,113	14,758,113
Gratuity for contract staff	1,979,336	12,758,470	14,737,806
Final Dues	6,676,998	-	6,676,998
Total	**115,913,195**	**37,848,383**	**153,761,577**

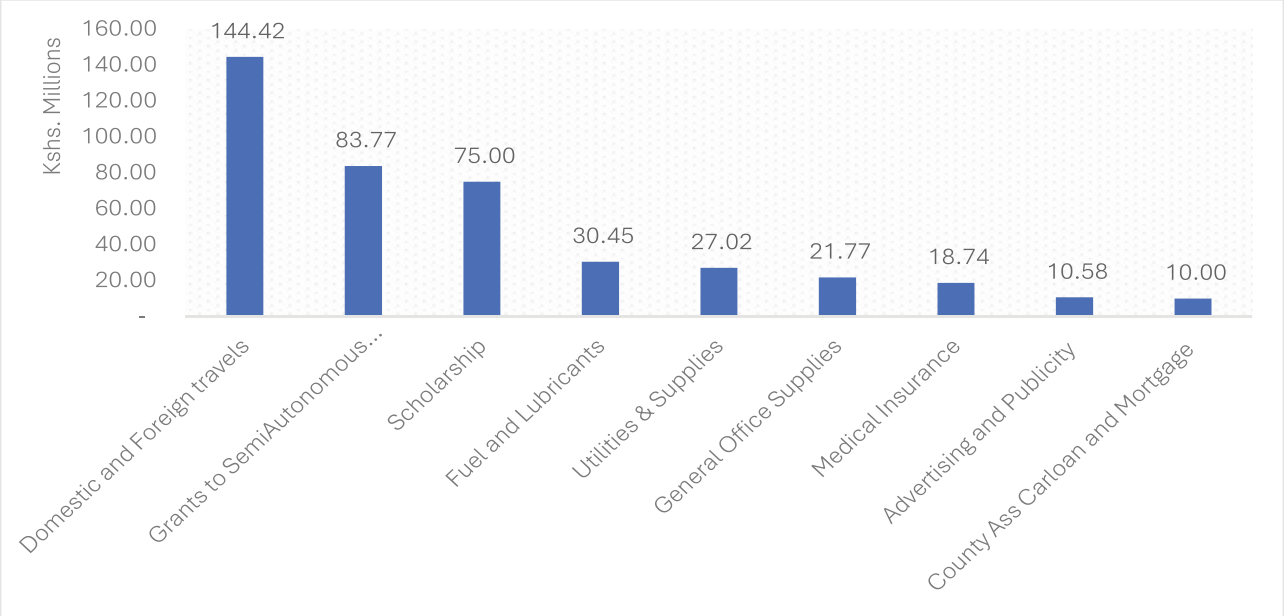
Source: *Laikipia County Treasury*

The County Assembly spent Kshs.6.30 million on committee sitting allowances for the 22 MCAs against the annual budget allocation of Kshs.20.97 million. The average monthly sitting allowance was Kshs.31,823 per MCA. The County Assembly has 18 House committees.

3.20.9 Expenditure on Operations and Maintenance

During the reporting period, the County spent Kshs.1.05 billion on operations and maintenance, representing an increase of 59 per cent compared to a similar period in FY 2024/25, when the County spent Kshs.629.12 million. Figure 3.120 illustrates the distribution of operations and maintenance expenditures across the major spending categories.

Figure 3.120: Laikipia County, Operations and Maintenance Expenditure by Major Categories



Source: *Laikipia County Treasury*

3.20.10 Unbundling "Other Operating Expenses - Other" (IFIMI Code 2211399) Under Operations and Maintenance Expenditures

The budget performance report for the first nine months of FY 2025/26 indicates that the County did not spend on "*other operating expenses - Other*," which accounted for nil per cent of total operations and maintenance expenditure.

3.20.11 County-Established Funds

Section 116 of the PFM Act 2012 allows County Governments to establish other public funds, subject to approval from the County Executive Committee and the County Assembly. The County allocated Kshs.382.3 million to County-Established funds in FY 2025/26, representing 0.03 per cent of the County's overall budget. Of this amount, the County allocated Kshs.82.17 million to the Emergency Fund in line with

Section 110 of the PFM Act, 2012, accounting for 0.01 per cent of the total budget. Table 3.295 summarises the budgets and performance of each established Fund during the reporting period.

Table 3.295: Performance of Laikipia County Established Funds in the first nine months of FY 2025/26

S/No.	Name of the Fund	Year Established	Approved Budget Allocation in FY 2025/26 (Kshs.)	Exchequer Issues in the first nine months of FY 2025/26 (Kshs.)	Actual disbursements in the first nine months of FY 2025/26 (Kshs.)	Cumulative disbursements to the Fund (Kshs)	Submission of Financial Statements (Yes/No.)
County Executive Established Funds							
1	County Executive Emergency Fund	2020	82,174,310	72,174,310	14,817,722	-	Yes
2	Laikipia County Leasing Fund	2020	210,150,000	96,465,839	98,695,313	-	Yes
3	Car Loan & Mortgage Scheme fund	2014	15,000,000	15,000,000	875,117	-	Yes
4.	Laikipia County Education Bursary Fund	2014	75,000,000	75,000,000	-	-	Yes
	Sub-Total		**382,324,310**	**258,640,149**	**114,388,152**		
County Assembly Established Funds							
1	Staff Loans and Mortgage	2021	15,000,000	10,000,000	-	-	Yes
2	Staff Housing Loans Fund	2023	33,058,015	-	-		Yes
	Sub-Total		**48,058,015**	**124,388,152**	**-**		**-**
	Total		**430,382,325**	**383,028,301**	**11,388,152**		

Source: *Laikipia County Treasury*

During the reporting period, the CoB received quarterly financial reports from six Fund Administrators, in line with the requirement under Section 168 of the PFM Act, 2012, as indicated in Table 3.295

Regulation 197(1)(i) of the Public Finance Management (County Governments) Regulations, 2015, allows County Governments to establish public funds with a lifespan capped at 10 years unless extended by the County Assembly. In FY 2025/26, the CoB determined that the two funds' lifespan, the Laikipia Executive Car Loan and Mortgage Scheme Fund and the Laikipia County Education Bursary Fund, had lapsed. Consequently, the CoB did not approve withdrawal requests to support the operations of the lapsed funds.

3.20.12 County Corporations

The County has five County Corporations, which were allocated Kshs.280.16 million in FY 2025/26. Their total expenditure for the review period amounted to Kshs 20.15 million, as shown in Table 3.296.

Table 3.296: Performance of Laikipia County Corporations in the first nine months of FY 2025/26

S/No.	Name of the Corporation	Approved Budget Allocation in FY 2025/26 (Kshs.)	Exchequer Issues (Kshs.)	Actual Transfers in the first nine months of FY 2025/26 (Kshs.)	Cumulative Transfers to the Corporation since its inception (Kshs.)
1	Revenue Board	45,000,000	-	7,125,459	364,998,064
2	LCDA	7,000,000		2,500,000	77,363,022
3	Nanyuki Municipality	166,135,998	-	7,300,000	11,600,000

S/No.	Name of the Corporation	Approved Budget Allocation in FY 2025/26 (Kshs.)	Exchequer Issues (Kshs.)	Actual Transfers in the first nine months of FY 2025/26 (Kshs.)	Cumulative Transfers to the Corporation since its inception (Kshs.)
4	Rumuruti Municipality	56,028,938	-	3,222,544	168,086,892
5	Nyahururu Municipality	6,000,000	-	-	-
	Total	**280,164,936**	-	**20,148,003**	**622,047,978**

Source: *Laikipia County Treasury*

3.20.13 Expenditure on Domestic and Foreign Travel

Expenditure on domestic travel amounted to Kshs.91.1 million and comprised Kshs.43.6 million spent by the County Assembly and Kshs.47.5 million by the County Executive. Expenditure on foreign travel amounted to Kshs.53.32 million and comprised Kshs.48.2 million by the County Assembly and Kshs.5.17 million by the County Executive. Expenditure on foreign travel is summarised in Table 3.297.

Table 3.297: Summary of Expenditure on Foreign Travel in the first nine months of FY 2025/26

Arm of County Government	Number of Officers Travelled	Date travelled	Purpose of the travel	Destination	Actual Payment on Travel (a) (Kshs.)	Accrued Expenditure on Travel (b) (Kshs.)	Total Expenditure on Travel (c=a+b) (Kshs.)
Executive	4	2nd August 2025	Courtesy Visit to Mondul Estate	Tanzania	452,530	-	452,530
Executive	2	14th – 22nd february2026	Benchmarking Tour On Coffee Production	Colombia	2,142,532	-	2,142,532
Executive	2	25th to 29th august 2025	The 2025 ATUPA International Conference and the 7th Pan-African Youth Forum	South Africa	1,224,845	-	1,224,845
County Executive	2	14th – 22nd february2026	Benchmarking tour on coffee production in Colombia	Colombia	1,297,764	-	1,297,764
County Assembly	29	7-13th September 2025	Training	Tanzania	12,104,026		12,104,026
County Assembly	30	19-25th October 2025	Training	Tanzania	12,561,745.	-	12,561,745.
County Assembly	30	15-19th December 2025	Training	Uganda	12,086,450	-	12,086,450
County Assembly	30	2-6th Feb 2026	Training	Tanzania	11,447,779	-	11,447,779
Total					**53,200,000**	**-**	**53,200,000**

Source: *Laikipia County Treasury and Laikipia County Assembly*

3.20.14 Facility Improvement Financing

During the review period, the County reported collections of Kshs.508.0 million as FIF, which was 81 per cent of the annual target of Kshs.626 million. The collected amount was retained and utilised at source in line with the Facility Improvement Financing Act, 2023. The County has developed regulations to operationalise the FIF Act of 2023.

The expenditure by the health facilities amounted to Kshs.449.0 million, as shown in Table 3.298.

Table 3.298: Laikipia County Health Facilities Expenditure Performance in the first nine months of FY 2025/26

No.	Health Facility	Number of Facilities	Approved Budget (Kshs. million)	Actual Expenditure (Kshs.million)	Absorption rate (%)
2.	Level 4 Hospital	5	748.10	445.56	60
3.	Level 3 Facility	2	7.97	3.58	45
	Total	**7**	**756.07**	**449.14**	**59**

Source: *Laikipia County Treasury*

3.20.15 Development Expenditure

In the review period, the County reported spending Kshs.1.05 billion on development programmes, representing an increase of 40 per cent compared to FY 2024/25, when the County spent Kshs.745 million. The increase in development expenditure was attributed to higher project execution and the availability of exchequer issues. Table 3.299 summarises the development projects with the highest expenditure in the reporting period.

Table 3.299: Laikipia County, List of Development Projects with the Highest Expenditure

No	Sector	Project Name	Project Location	Project Commencement Date	Expected date of Completion of the Project	Contract sum (Kshs)	Total Funding in FY 2025/26 (Kshs.)	Expenditure (on an accrual basis) in the first nine months of FY 2025/26 (Kshs.)	Cumulative project expenditure (on an accrual basis) as of 31st March 2026 (Kshs.)	Percentage (%) of Completion
County Funded Projects										
1	Water	Rehabilitation of Nkirolit Dam In Salama Ward	Salama Ward	30/4/2025	23/5/2025	2.96	2.96	2.96	2.96	100
2	Finance	Proposed Improvement of Ainapmoi-Keben Road Opening, Grading, Gravelling & Installation of Bridge & Culverts	Ainapmoi-Keben	15/5/2025	27/8/2025	5.20	5.20	5.20	5.20	100
3	Water Pending Bill	Construction of Kinamba Water Project	Kinamba	09/06/2021	03/01/2023	14.00	14.00	14.00	14.00	100
4	Finance Pending Bill	Improvement of County Roads in Towns & Small Urban Centres	Karuga Town	25 /4/ 2022	23/8/ 2022	10.00	10.00	10.00	10.00	100
Donor Funded Projects										
5	Climate Change Unit	Equipping Of Gituamba Borehole	Marmanet	5/13/2025	9/10/2025	3.50	3.50	3.50	3.50	100
6	Climate Change Unit	Equipping Of Kijabe Borehole	Ngobit	4/12/2025	8/10/2025	3.50	3.50	3.50	3.50	100

No	Sector	Project Name	Project Location	Project Commencement Date	Expected date of Completion of the Project	Contract sum (Kshs)	Total Funding in FY 2025/26 (Kshs.)	Expenditure (on an accrual basis) in the first nine months of FY 2025/26 (Kshs.)	Cumulative project expenditure (on an accrual basis) as of 31st March 2026 (Kshs.)	Percentage (%) of Completion
7	Climate Change Unit	Pipeline Extension of the Kimanjo Water Project	Mukogodo West	4/14/2025	7/13/2025	3.50	3.50	3.50	3.50	100
8	Climate Change Unit	Equipping of Gituamba Borehole	Marmanet	5/13/2025	9/10/2025	3,499,250	3,499,250	3,499,250	3,499,250	100

Source: *Laikipia County Treasury*

3.20.16 Budget Performance by Department

Table 3.300 summarises the approved budget allocation, expenditure, and absorption rate by department for the period under review.

Table 3.300: Laikipia County, Budget Allocation and Absorption Rate by Department in the first nine months of FY 2025/26

Department	Revised Budget Allocation (Kshs.Million)		Exchequer Received (Kshs.Million)		Expenditure (Kshs. Million)		Expenditure to Exchequer (%)		Absorption rate (%)	
	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev
County Administration, Public Service and Office of The Governor	3,739.80	387.94	2,492.20	6.43	2,617.86	10.43	105	162	70	3
Finance, Economic Planning and The County Treasury	220.95	499.27	129.11	280.92	119.05	233.92	92	83	54	47
Health and Sanitation	228.39	1,237.62	74.95	228.24	56.61	204.24	76	90	25	1.5
Agriculture, Livestock and Fisheries	17.50	342.55	8.77	144.62	9.58	212.10	109	147	55	76
Infrastructure and Public Works	55.51	967.91	29.80	280.90	29.27	250.28	98	89	53	26
Education	103.50	112.83	96.47	32.16	100.35	28.16	104	88	97	25
Youth and Sports	11.50	7.99	9.05	4.76	9.70	1.80	107	38	84	23
Trade, Tourism and Enterprise Development	15.91	132.30	13.60	87.97	11.69	9.91	86.0	11	74	78
Water	14.60	358.89	8.75	108.55	5.63	83.75	64	77	39	23
Rumuruti Municipality	3.00	53.03	2,50	20.92	2,50	4.42	100	21	83	8
Nyahururu Municipality	1.00	5.00	-	-	-	-	-	-	-	-
Nanyuki Municipality	3.50	162.64	3,50	72.97	3.50	5.00	100	7	100	3
County Assembly	531.50	2.50	437.02	1.99	417.75	1.99	96	100	79	80
Total	**4,946.66**	**4,270.47**	**3,308.95**	**1,270.43**	**3,383.49**	**1,045.98**	**102**	**82.**	**68**	**25**

Source*: Laikipia County Treasury*

Analysis of expenditure by departments shows that the County Assembly recorded the highest absorption rate of development budget at 80 per cent, followed by the Department of Agriculture at 62 per cent. The Nanyuki Municipality had the highest percentage of recurrent expenditure to budget at 100 per cent, while the Department of Health had the lowest at 25 per cent.

3.20.17 Budget Execution by Programmes and Sub-Programmes

Budget execution was concentrated in selected performance bands. A number of development and recur-

rent sub-programmes recorded nil absorption during the review period. Under development, these were road network improvement under Nyahururu Municipality, emergency referral and rehabilitative services under the Department of Health, and vocational education and training under the Department of Education. Under recurrent, emergency referral and rehabilitative services under the Department of Health also recorded nil absorption.

In the 1–10 per cent band, development absorption was reported for climate change adaptation and mitigation under the Department of Water at 2 per cent, while recurrent absorption was recorded for financial automation services under the Department of Finance at 7 per cent. In the 11–20 per cent band, recurrent absorption was reported for climate change adaptation and mitigation under the Department of Water at 15 per cent and for administration services under infrastructure administration at 16 per cent.

In the 21–30 per cent band, development absorption was reported for disaster mitigation and management under the Department of County Administration at 28 per cent. No sub-programmes were reported in the 31–40 per cent band.

In the 41–50 per cent band, development absorption was reported for administrative and planning services under the Department of Water at 48 per cent. In the 51–60 per cent band, development absorption was reported for general administration and support services under the Department of Finance at 51 per cent. In the 71–80 per cent band, development absorption was reported for refurbishment of non-residential buildings under the County Assembly at 80 per cent. In the 90–100 per cent band, development absorption reached 100 per cent for promotion of drought-escaping fruits and vegetables under the Department of Agriculture and 100 per cent for the cooperative revolving fund under the Department of Trade, while recurrent absorption reached 100 per cent for strategic partnership and collaboration under the Department of Finance, for public health promotion and nutrition services under the Department of Health, and for education empowerment under the Department of Education. No sub-programmes were reported above 100 per cent.

Low absorption in the lower performance bands reflected the development and recurrent sub-programmes that recorded no expenditure, particularly in municipality roads, emergency health services and vocational training. Conversely, performance in the higher bands reflected the prioritisation of the respective sub-programmes during the review period.

Table 3.301 summarises budget execution by programmes and sub-programmes in the period under review with the highest absorption rates.

Table 3.301: Budget Execution by Programmes and Sub-Programmes with Highest Absorption Rates

Programme	Sub-Programme	Gross Approved Estimates FY 2025/26 (Kshs.)	Expenditure (including accrued expenditure) as of 31st March 2026 (Kshs.)	Absorption Rate (%)
		Dev	Dev	Dev
Development				
Agriculture Department				
Crop Production & Horticulture	Promotion of drought Escaping, Fruits and Vegetables	2,500,000	2,499,840	100
Livestock Production	Grants and Transfers to Government entities	193,540,723	181,072,060	94
Trade Department				
Co-operative Development	Co-operative Revolving Fund	8,000,000	8,000,000	100
Finance Department				
Administration and Support Services	Generation administration and support services	432,100,270	220,455,767	51

Programme	Sub-Programme	Gross Approved Estimates FY 2025/26 (Kshs.)	Expenditure (including accrued expenditure) as of 31st March 2026 (Kshs.)	Absorption Rate (%)
		Dev	Dev	Dev
Water Department				
Water Development	Administrative and Planning Services	12,400,000	5,948,276	48
Assembly				
County Assembly Infrastructure Services	Refurbishment Of Non -Residential Building-	2,498,918	1,992,000	80
Recurrent				
Finance				
Development Planning Services	Strategic Partnership and Collaboration	7,000,000	7,000,000	100
Health				
Curative And Rehability Health	Public Health Promotion And Nutrition Services-	7,128,000	7,128,000	100
Education Early childhood development (ECD) and childcare facilities.	Education Empowerment	75,000,000	75,000,000	100

Source: *Laikipia County Treasury*

The development sub-programmes with the highest budget implementation rates were: Crop Production in the Department of Agriculture at 100 per cent, Cooperative Development in the Department of Trade at 100 per cent, and Livestock Production at 94 per cent.

For recurrent sub-programmes, the top performers included: in the Department of Curative Health at 100 per cent, the Development of Planning Service in the Department of Finance at 100 per cent, and Education Empowerment in the Department of Education at 100 per cent. Table 3.302 summarises the budget execution by programmes and sub-programmes in the period under review that had the lowest absorption rates.

Table 3.302: Budget Execution by Programmes and Sub-Programmes with Lowest Absorption Rates

Programme	Sub-Programme	Gross Approved Estimates FY 2025/26 (Kshs.)	Expenditure (including accrued expenditure) as of 31st March 2026 (Kshs.)	Absorption Rate (%)
Development				
Department of Nyahururu Municipality				
Road Network Improvement	Road Network Improvement	5,000,000	-	-
Department of County Administration				
	Disaster Mitigation and Management	17,709,924	4,895,424	28
Department of Health				
Curative And Rehabilitative Health	Emergency Referral And Rehabilitative Service-	497,250,000	-	-
Department of Education				
Vocational Training	Vocational Education and Training	32,500,000	-	-

Programme	Sub-Programme	Gross Approved Estimates FY 2025/26 (Kshs.)	Expenditure (including accrued expenditure) as of 31st March 2026 (Kshs.)	Absorption Rate (%)
Department of Water				
Climate Change Locally Led Climate Action Program (FLLOCA)	Climate Change Adaptation & Mitigation	78,089,440	1,499,224	2
Recurrent				
Financial Services	Financial Automation Services	3,000,000	215,280	7
Curative and Rehabilitative Health	Emergency Referral and Rehabilitative Service-	87,750,000	-	-
Infrastructure Administration	Administration Services-	25,513,054	4,034,326	16
Water , FLoCCA	Climate Change Adaptation & Mitigation	6,000,000	916,900	15

Source: *Laikipia County Treasury*

The development sub-programmes with the lowest budget implementation rates were as follows: Road Network in Nyahururu Municipality at nil per cent, Emergency Referral Service in the Department of Health at nil per cent, and Vocational at nil per cent.

For recurrent sub-programmes, the poorest performers included: Financial automation Services in the Department of Finance at 7 per cent, Emergency Referral services in the Department of Health at nil per cent, and Administration Services in the Department of Infrastructure at 16 per cent.

3.20.18 Settlement of Trade Payables

As of 1st July 2025, the County reported trade payables totalling Kshs.1.71 billion. This amount consisted of Kshs.1.67 billion from the County Executive and Kshs.49.68 million from the County Assembly. The trade payables from the County Executive comprised Kshs.591.9 million for recurrent expenditure and Kshs.1.07 billion for development expenditure.

During the reporting period, the County Executive settled trade payables amounting to Kshs.355.47 million, comprising 207.75 million (58 per cent) for recurrent programmes and Kshs.147.72 million (42 per cent) for development programmes. On the other hand, the County Assembly settled trade payables amounting to Kshs.24.92 million, all for recurrent activities. The outstanding trade payables as of 31st March, 2026, were Kshs.1.56 billion for the County Executive and Kshs.5.6 million for the County Assembly. Table 3.303 provides additional details of trade payables.

Table 3.303: Laikipia County Trade Payables as of 31st March 2026

		County Entity	Development (Kshs.)	Recurrent (Kshs.)	Total (Kshs.)
As at 1 July 2025 (End of FY 2024/25)	a	County Executive	1,070,703,281	591,914,587	1,662,617,868
		County Assembly	3,987,000	45,695,281	49,682,281
		Total	1,074,690,281	637,609,867	1,712,300,149
Trade payables scheduled to be settled in the first nine months of FY 2025/26 per the action plan	b	County Executive	922,980,096	384,163,982	1,307,144,078
		County Assembly	3,987,000	20,770,628	24,757,628
		Total	926,967,097	404,934,610	1,331,901,707

		County Entity	Development (Kshs.)	Recurrent (Kshs.)	Total (Kshs.)
Amount paid in the first nine months of FY 2025/26	c	County Executive	147,723,184	207,750,605	355,473,789
		County Assembly	-	24,924,653	24,924,653
		Total	147,723,184	232,675,258	380,398,442
Trade Payables Incurred in the First Nine Months of FY 2025/26	d	County Executive	922,980,096	384,163,982	1,307,144,078
		County Assembly	3,987,000	20,770,628	24,757,628
		Total	926,967,097	404,934,610	1,331,901,707
Outstanding trade payables as of 31st March 2026	**e=a-c*b**	**County Executive**	**922,980,096**	**384,163,982**	**1,307,144,078**
		County Assembly	**3,987,000**	**20,770,628**	**24,757,628**
		Total	**926,967,097**	**404,934,610**	**1,331,901,707**

Source: *Laikipia County Treasury*

The County Executive and the Assembly submitted a trade payables payment plan, committing to pay Kshs.49.7 million and Kshs.1.66 billion, respectively, in FY 2025/26. The County adhered to this payment plan, as it cleared 355.5 million for the Executive and Kshs.24.9 million for the Assembly.

Table 3.304 and Table 3.305 present the ageing of the total outstanding bills as of 31st March 2026 for the County Executive and Assembly, which were Kshs.1.33 billion.

Table 3.304: Laikipia County Executive Trade Payables Ageing Analysis as of 31st March 2026

Category	Ageing analysis (Amount in Kshs.)				Total
	Under one year	1-2 years	2-3 years	Over 3 years	
Development Trade Payables	-	**-**	153,581,272	550,819,039	704,400,311
Recurrent Trade Payables (Goods & Services)	-	-	301,451,304	301,292,463	602,743,767
Recurrent Trade Payables (Salary Arrears and Statutory Deductions)	-	-	-	-	-
Recurrent Trade Payables (Staff Claims)	-	-	-	-	-
Total Recurrent Trade Payables	-	-	301,451,304	301,292,463	602,743,767
Total Trade Payables	-	**-**	**455,032,576**	**852,111,502**	**1,307,144,078**
% of Total	-	**-**	**34.8**	**65.2**	100

Source: *Laikipia County Treasury*

Table 3.305: Laikipia County Assembly Trade Payables Ageing Analysis as of 31st March 2026

Category	Ageing analysis (Amount in Kshs.)				Total
	Under one year	1-2 years	2-3 years	Over 3 years	
Development Trade Payables	-	-	-	3,987,000	3,987,000
Recurrent Trade Payables (Goods & Services)	-	-	-	20,770,628	20,770,628
Recurrent Trade Payables (Salary Arrears and Statutory Deductions)	-	-	-	-	-
Recurrent Trade Payables (Staff Claims)	-	-	-	20,770,628	20,770,628
Total Recurrent Trade Payables	-	-	-	20,770,628	20,770,628
Total Trade Payables	**-**	**-**	**-**	24,757,628	24,757,628
% of Total		-	-	**100**	**100**

Source: *Laikipia County Treasury*

As shown in Table 3.304 and Table 3.305 the total salary arrears and statutory deductions for trade payables amounted to Kshs 0.0, which represented 0.0 per cent of the total trade payables of Kshs 0.0 as of March 31, 2026. The statutory deductions included salary arrears of Kshs 1.64 million, tax arrears of Kshs

0.0 million, pension liabilities of Kshs 1.6million, and third-party deductions of Kshs 0.0 million.

3.20.19 General Observations and Recommendations

In the course of overseeing and reporting on the implementation of the Laikipia County budget, the CoB identified the following challenges, which hampered effective budget implementation;

i. Low development performance in the review period as the County incurred Kshs.1.05 billion on development activities, achieving a 24 per cent absorption rate.
ii. High levels of trade receivables, which amounted to Kshs.1.37 billion as of 31st March, 2026.
iii. Unspent funds from FY 2024/25 were not refunded into the CRF account, resulting in actual expenditures exceeding the approved exchequer in several departments.
iv. High level of trade payables, which amounted to Kshs.1.5 billion as of 31st March, 2026. Furthermore, the County Treasury did not adhere to the payment plan for trade payables.
v. Use of manual payroll. Personnel emoluments amounting to Kshs.153.8 million for 85 staff not onboarded into HRIS, and 45 casual staff were processed through manual payroll, accounting for 9.0 per cent of the total payroll cost. Manual payroll is prone to abuse and may result in the loss of public funds.

The County should implement the following recommendations to improve budget execution:

i. *The County should implement strategies to increase development expenditures in the remaining period of FY 2025/26.*
ii. *The County Treasury should institute measures to ensure that the trade receivables due are recovered in order to increase the cashflow to the County.*
iii. *The County Treasury should ensure unspent funds from the previous financial year are deposited into the CRF Account in line with Section 136 of the PFM Act 2012.*
iv. *The County leadership should address the situation of trade payables to ensure that genuine bills are paid promptly in the remaining financial year. Further, compliance with the Trade Payables Action Plan should be enforced.*
v. *The Government requires that salaries be processed through the HRIS system, and the County is advised to fast-track the acquisition of Unified Personnel Numbers for their staff. The County Public Service Board should regulate staff engagement on contract and casual workers as provided under Section 74 of the County Governments Act 2012. Furthermore, strict adherence to the approved staff establishment should be maintained.*

3.21. County Government of Lamu

3.21.1 Overview of FY 2025/26 Budget

The Lamu County Approved Supplementary Budget Estimates I for FY 2025/26 is Kshs.5.59 billion. It comprises Kshs.2.24 billion (40 per cent) and Kshs.3.36 billion (60 per cent) in allocations for development and recurrent programmes, respectively. The budget estimates represent an increase of Kshs.603.91 million (12 per cent) from the FY 2024/25 budget, which comprised a development budget of Kshs.1.9 billion and a recurrent budget of Kshs.3.08 billion. The increase in the budget was primarily attributable to a higher equitable share of revenue raised nationally, balances brought forward from FY 2024/2025, and additional grants from the national government and donors.

The budget is to be financed from various revenue sources. These include the equitable share of revenue raised nationally of Kshs.3.86 billion (69 per cent), additional allocations of Kshs.1.06 billion (19 per cent), a cash balance brought forward from FY 24/25 of Kshs.393.9 million (7 per cent) and Kshs.200.8 million (4 per cent) generated as own-source revenue. A breakdown of the additional allocations is shown Table 3.306.

3.21.2 Revenue Performance

During the first nine months of FY 2025/26, the County reported total revenues of Kshs.3.37 billion. This amount represented an increase of 48 per cent compared to the amount received in a similar period in FY

2024/25 of Kshs.2.27 billion. The total revenue consisted of Kshs.2.57 billion from the equitable share of revenue raised nationally, additional allocations from the national government and development partners of Kshs.206.79 million and own-source revenue (OSR) collection of Kshs.200.8 million. Additionally, the County had a cash balance of Kshs.393.92 million from FY 2024/25. The total OSR collection of Kshs.71.17 million included Facilities Improvement Financing (FIF) of Kshs.129.63 million.

Table 3.306 summarises the total revenue available to the County Government during FY 2025/26.

Table 3.306: Lamu County, Revenue Performance in the first nine months of FY 2025/26

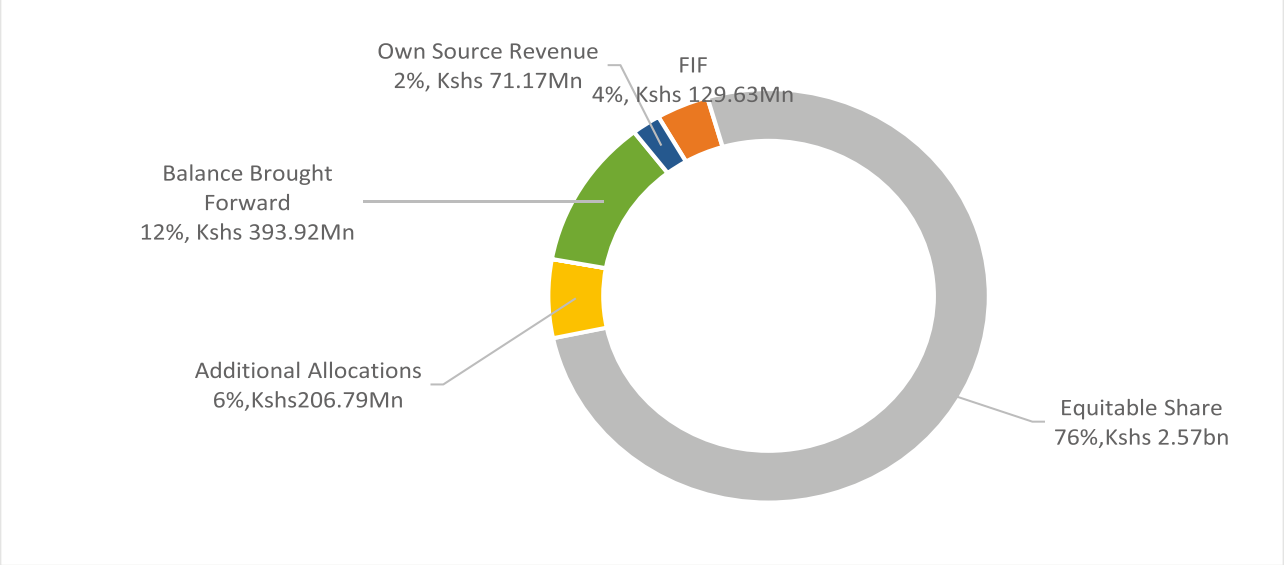
No	Revenue Stream	Annual Targeted Revenue (Kshs.)	Actual Receipts (Kshs.)	Receivables in the first nine months of FY 2025/26 (Kshs.)	Total Revenues (in accrual basis) in the first nine months of FY 2025/26 (Kshs.)	Revenue Performance
		A	B	C	D	F=D/A*100
A	**Unspent Balance from FY 2024/25**					
1	Balance at CRF	393,919,080	393,919,080	-	393,919,080	100
2	County Executive Refunds to CRF	-	-	-		
3	County Assembly Refunds to CRF					
	Sub-Total	393,919,080	393,919,080	-	**393,919,080**	**100**
B	**Equitable Share of Revenue Raised Nationally**					
1	Equitable Share of Revenue Transfers	**3,857,621,205**	**2,565,318,102**		**2,565,318,102**	67
	Sub-Total	**3,857,621,205**	**2,565,318,102**		**2,565,318,102**	**67**
C	**Additional Allocations (Including Grants)**					
I	**Unconditional Additional Allocations from the National Government's**					
a	Supplement for Construction of County Headquarters	**120,000,000**	-	-	-	-
II	**Conditional Allocations from Loans and Grants**					
1	Financing of FLLoCA County Climate Institutional Support (CCIS) Grant	**66,859,566**	**61,475,536**	-	61,475,536	92
2	Financing of FLLoCA County Climate Resilience Investment (CCRI) Grant	**148,306,151**	-	-	-	-
3	Food Systems Resilience Project (FSRP)	**246,153,846**	**110,059,820**		110,059.820	45
5	Kenya Devolution Support Programme Phase Two (KDSP II) Level I Grant	**352,500,000**	**35,253,471**	-	35,253,471	10
6	Kenya Devolution Support Programme Phase Two (KDSP II) Level 2 Grant	**72,909,500**	-	-	-	-
7	Primary Health Care in Devolved Context (PHDC) Programme	6,888,000	-	-	-	-
8	Road Maintenance Levy Fund(RMLF)	**47,403,262**	-	-	-	-
	Sub-Total	**1,061,020,325**	**206,788,827**		**206,788,827**	**20**

No	Revenue Stream	Annual Targeted Revenue (Kshs.)	Actual Receipts (Kshs.)	Receivables in the first nine months of FY 2025/26 (Kshs.)	Total Revenues (in accrual basis) in the first nine months of FY 2025/26 (Kshs.)	Revenue Performance
		A	B	C	D	F=D/A*100
D	**Ordinary Own Source Revenue (OSR)**					
	Ordinary Own Source Revenue	**150,000,000**	**71,169,108**	**-**	-	
	Sub-Total	**150,000,000**	71,169,108		**71,169,108**	
E...	**Facility Improvement Fund/Financing (FIF)**					
	SHIF	**130,000,000**	129,628,944	**-**	129,628,944	100
...	**Sub-Total**	**130,000,000**	**129,628,944**	**-**	**129,628,944**	**100**
Grand Total		**5,592,560,610**	**3,366,824,061**	-	**3,366,824,061**	60

Source: *Lamu County Treasury*

Indicate whether the County has a governing legislation on the operation of ordinary A-I-A and FIF. Figure 3.121 provides a detailed breakdown of receipts.

Figure 3.121: Lamu County Composition of Revenue in the first nine months of FY 2025/26

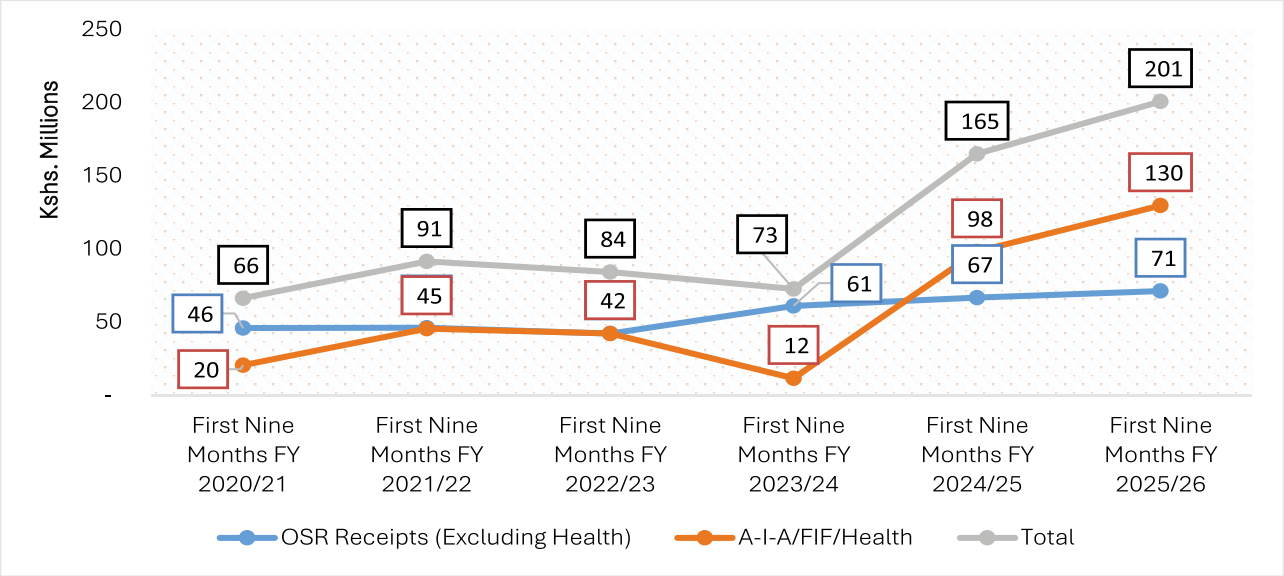


Source: *Lamu County Treasury*

The equitable share of revenue raised nationally, Balance brought forward, and additional allocation contributed 76 per cent, 12 per cent and 6 per cent, respectively, of the total receipts for the reporting period.

Figure 3.122 shows the collection trend in own-source revenue from the first nine months of FY 2020/21 to the first nine months of FY 2025/26.

Figure 3.122: Lamu County Trend in Own-Source Revenue Collection from the first nine months of FY 2020/21 to the first nine months of FY 2025/26



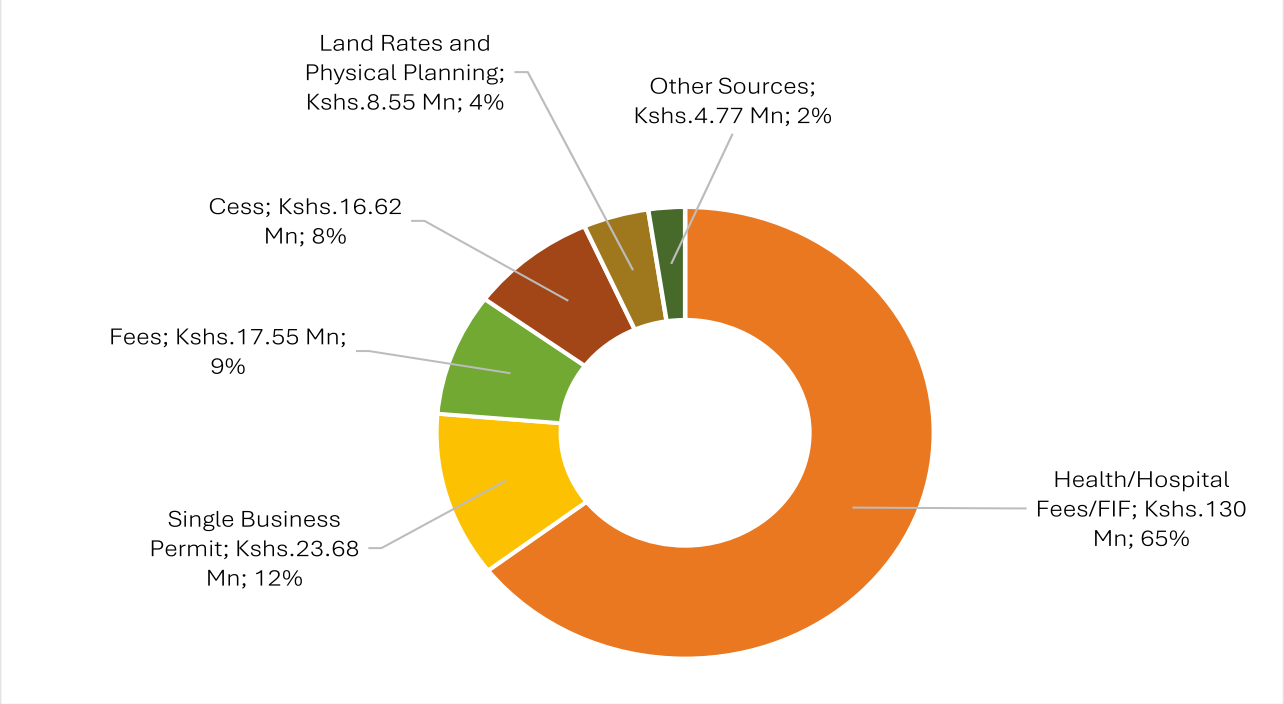
Source: *Lamu County Treasury.*

During the first nine months of FY 2025/26, the County received Kshs.200.8 million from OSR, including FIF. This amount was an increase of 22 per cent compared to Kshs.164.88 million realised in a similar period in FY 2024/25, and was 72 per cent of the annual target and 4 per cent of the equitable revenue share disbursed.

The increase in OSR can be attributed to good governance within the revenue department, enhanced internal control measures, expanded services, and the automation of all revenue streams.

The revenue streams that contributed the most to OSR receipts are shown in Figure 3.123.

Figure 3.123: Lamu County Top Own Source Revenue Streams in the first nine months of FY 2025/26



Source: *Lamu County Treasury*

As shown in Figure 3.123, the largest revenue stream, at Kshs.130 million, was FIF accounting for 65 per

cent of total OSR receipts. The County Government indicated that it has automated all of its revenue streams.

3.21.3 Revenue Receivables

As of 1st July 2025, the County reported revenue receivables of Kshs.218.71 million, which increased to Kshs.228.09 million as of 31st March 2026. The County manages its revenue receivables using the Lamu pay system, with an accrual-basis option. Table 3.307 presents a breakdown of the County's revenue receivables.

Table 3.307: County Receivables as of 31st March 2026

No	Revenue Stream	Revenue receivables as of 1 July 2025 (Kshs.) Waivers (Kshs)	Progress made in the first nine months of FY 2025/26			OSR receivables as of 31st March 2026 (Kshs.)
			Receivables paid in the financial year (Kshs)	Receivables Arrears earned in the first nine months of FY 2025/26 (Kshs)		
		A	b	c	D	f=a-b-c+d
	Sub-Total					
A	**Ordinary Own Sources of Revenue**					
1	Ordinary Own Source Revenue	**218,710,283**			**9,378,808**	228,089,091
	Sub-Total					**228,089,091**
Total		**218,710,283**			**9,378,808**	**228,089,091**

Source: Lamu *County Treasury*

As of 31st March 2026, the receivables totalled Kshs.228.09 million, all for ordinary Own Source of revenue (100 per cent). The measures instituted by the County to collect outstanding arrears in FY 2025/26 include sensitisation on receivables payment, a waiver to encourage payment, and enforcement of compliance with payment.

3.21.4 Borrowing by the County

The two arms of the County Government did not report any credit facilities or short-term borrowing with commercial banks during the period under review.

3.21.5 Withdrawals from the County Revenue Fund and County Assembly Fund

During the reporting period, the Controller of Budget approved exchequer withdrawal requests totalling Kshs.2.15 billion from the Lamu County Revenue Fund (CRF) account. This amount consisted of Kshs.251.51 million (12 per cent) designated for development programs and Kshs.1.9 billion (88 per cent) allocated for recurrent programs.

An analysis of the released recurrent exchequers shows that Kshs.1.36 billion was allocated to employee compensation and Kshs.539.87 million to operations and maintenance expenditures. Within the operations and maintenance category, 20 per cent was allocated to domestic travel and 16 per cent to foreign travel. The domestic travel exchequers totalled Kshs.108.21 million, which included Kshs.53.57 million for the County Executive and Kshs.54.64 million for the County Assembly. Meanwhile, the foreign travel exchequers amounted to Kshs.88.27 million, all for the County Assembly.

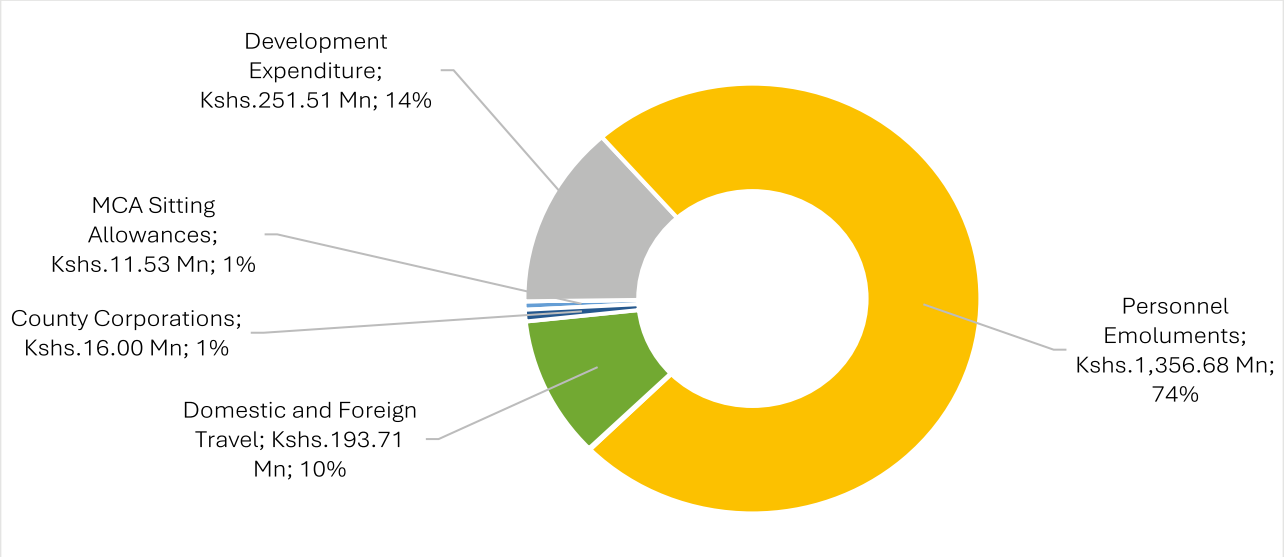
As of 31st March 2026, the County Government's cash balance in the CRF account was Kshs.1.16 billion. Additionally, the County had not operationalised the County Assembly Fund as of 31st March 2026.

3.21.6 Expenditure Review

The County spent Kshs.2.15 billion on development and recurrent programmes during the reporting period. The expenditure represented 100 per cent of the total funds released by the CoB. It comprised Kshs.251.51 million for development programmes and Kshs.1.90 million for recurrent programmes. Expenditure on development programmes accounted for 11 per cent of the annual development expenditure budget, while recurrent expenditure accounted for 57 per cent of the annual recurrent expenditure budget.

Figure 3.124 provides a detailed breakdown of total expenditure.

Figure 3.124: Lamu County Composition of Expenditure in the first nine months of FY 2025/26



Source: Lamu *County Treasury*

As shown in Figure 3.124, the three highest expenditure categories were personnel emoluments, development expenditure, and domestic and foreign travel, contributing 74, 14, and 10 per cent of the total expenditure for the reporting period.

3.21.7 Expenditure by Economic Classification

The County Executive incurred Kshs.1.36 billion in employee compensation, Kshs.540.06 million in operations and maintenance, and Kshs.251.51 million in development activities. Similarly, the County Assembly spent Kshs.127.82 million on employee compensation and Kshs.204.69 million on operations and maintenance, while incurring no expenditures on development activities, as shown in Table 3.308.

Table 3.308: Lamu County Summary of Budget and Expenditure by Economic Classification

Expenditure Classification	Approved Budget (Kshs.) (a)		Amount Paid in the first nine months of FY 2025/26 (Kshs.) (b)		Total Expenditure in the first nine months of FY 2025/26 (Kshs.) (d=b+c)		Absorption (%) (d/a*100)	
	Executive	Assembly	Executive	Assembly	Executive	Assembly	Executive	Assembly
Total Recurrent Expenditure	**2,852,599,874**	**502,735,064**	**1,564,237,347**	**332,503,378**	**1,564,237,347**	**332,503,378**	**55**	**66**
Compensation of Employees	1,899,414,995	200,535,064	1,228,866,414	127,817,225	1,228,866,414	127,817,225	65	64
Operations and Maintenance	953,184,879	302,200,000	335,370,933	204,686,153	335,370,933	204,686,153	35	68
Development Expenditure	**2,112,225,672**	**125,000,000**	**251,512,563**	**-**	**251,512,563**	**-**	**12**	**-**
Total	**4,964,825,546**	**627,735,064**	**1,815,749,910**	**332,503,378**	**1,815,749,910**	**332,503,378**	**37**	**53**

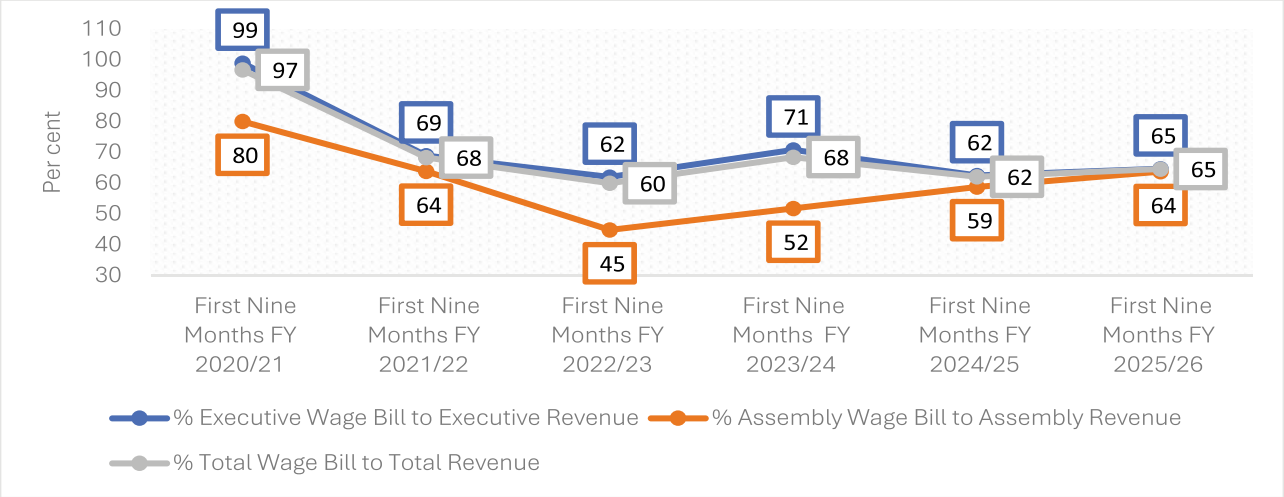
***Source**: Lamu County Treasury*

3.21.8 Expenditure on Employee Compensation

The expenditure on employee compensation totalled Kshs.1.48 billion, representing 69 per cent of revenue. This expenditure on employee compensation has increased compared to the Kshs.1.44 billion reported in a similar period in FY 2024/25. Of this total, Kshs.815.79 billion is related to Health Sector employees, accounting for 60 per cent of the overall employees' compensation.

Figure 3.125 shows the trend in employee compensation as a percentage of total revenue from the first nine months of FY 2020/21 to the first nine months of FY 2025/26.

Figure 3.125: Percentage of Employee Compensation Expenditure to Total Revenue Received in the first nine months of FY 2020/21 to the first nine months of FY 2025/26



Source: *Lamu County Treasury*

Further analysis indicated that PE costs totalling Kshs.1.15 billion were processed through the Human Resource Information System (HRIS). In contrast, Kshs.129.40 million was processed through manual payroll, accounting for 11 per cent of the total PE cost. The justification for the continued use of manual payroll is the County's ongoing recruitment, and it also takes some time for new staff to be onboarded to the HRIS.

The manual payroll comprised salaries for 37 staff not onboarded into the Human Resource Information System (HRIS), salaries for 534 casual staff, top-up allowances for security personnel as shown in Table 3.309.

Table 3.309: Breakdown of Lamu County Manual Payroll

Sno.	Description of Manual Payroll	Amount (Kshs.)
1	Salaries for staff yet to be onboarded into HRIS	47,371,888
2	Salaries for casual staff	81,467,178
3	Top-up Allowances for Security Officers	558,828
	Total	**129,397,894**

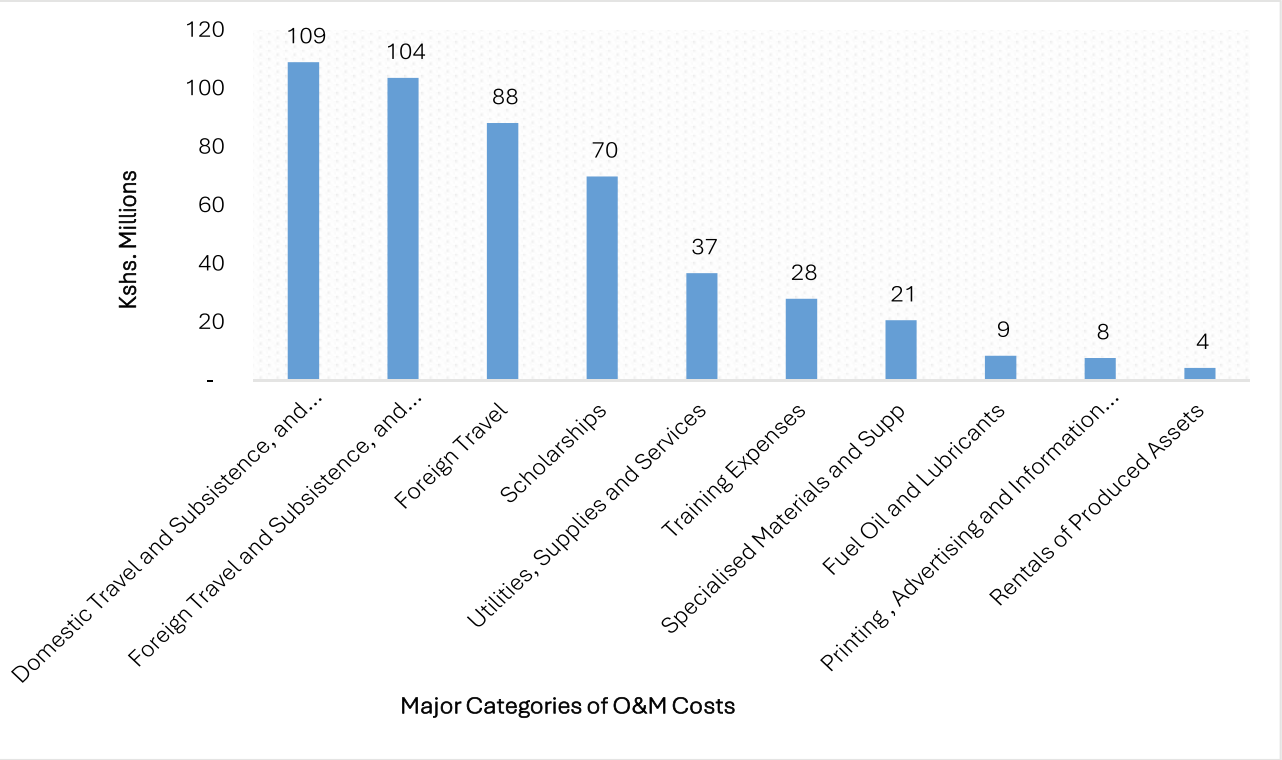
Source: Lamu County Treasury

The County Assembly spent Kshs.11.53 million on committee sitting allowances for the 20 MCAs against the annual budget allocation of Kshs.15.73 million. The average monthly sitting allowance was Kshs.64,039 per MCA. The County Assembly has 17 House Committees.

3.21.9 Expenditure on Operations and Maintenance

During the reporting period, the County spent Kshs.540.06 million on operations and maintenance, representing an increase of 78.4 per cent compared to a similar period in FY 2024/25, when the County spent Kshs.302.66 million. Figure 3.126 illustrates the distribution of Operations and Maintenance expenditures across the major spending categories.

Figure 3.126: Lamu County, Operations and Maintenance Expenditure by Major Categories



Source: *Lamu County Treasury*

3.21.10 County-Established Funds

Section 116 of the PFM Act 2012 allows County Governments to establish other public funds, subject to approval from the County Executive Committee and the County Assembly. The County allocated Kshs.72 million to County-Established funds in FY 2025/26, representing 1 per cent of the County's overall budget. Of this amount, the County allocated Kshs.2 million to the Emergency Fund in line with Section 110 of the PFM Act, 2012, accounting for less than 1 per cent of the total budget. Table 3.310 summarises each established Fund's budget allocation and performance during the reporting period.

Table 3.310: Performance of Lamu County Established Funds in the first nine months of FY 2025/26

S/No.	Name of the Fund	Year Established	Approved Budget Allocation in FY 2025/26 (Kshs.)	Exchequer Issues in the first nine months of FY 2025/26 (Kshs.)	Actual disbursements in the first nine months of FY 2025/26 (Kshs.)	Cumulative disbursements to the Fund (Kshs)	Submission of Financial Statements (Yes/No.)
		County Executive Established Funds					
1	Emergency Fund		2,000,000	2,000,000	2,000,000	83,720,000	Yes
2	Bursary Fund		70,000,000			1,264,697,022	Yes
	Total		**72,000,000**	**2,000,000**	**2,000,000**	**1,348,417,022**	

Source: *Lamu County Treasury*

During the reporting period, the CoB received quarterly financial reports from 7 Fund Administrators.

3.21.11 County Corporations, Water Companies, Municipalities and Other Agencies

The County has one County corporation, which was allocated Kshs.16 million in FY 2025/26. Their total expenditure for the review period amounted to Kshs.16 million, as shown in Table 3.311.

Table 3.311: Performance of Lamu County Corporations in the first nine months of FY 2025/26

S/ No.	Name of the Corporation	Approved Budget Allocation in FY 2025/26 (Kshs.)	Exchequer Issues (Kshs.)	Actual Transfers in the first nine months of FY 2025/26 (Kshs.)	Cumulative Transfers to the Corporation since its inception (Kshs.)
1	Lamu Water and Sewerage Company (LAWASCO)	16,000,000	16,000,000	16,000,000	122,000,000

Source: *Lamu County Treasury*

3.21.12 Expenditure on Domestic and Foreign Travel

Expenditure on domestic travel amounted to Kshs.108.21 million and comprised Kshs.54.64 million spent by the County Assembly and Kshs.53.57 million by the County Executive. Expenditure on foreign travel amounted to Kshs.88.27 million for the County Assembly. Expenditure on foreign travel is summarised in Table 3.312.

Table 3.312: Summary of Expenditure on Foreign Travel in the first nine months of FY 2025/26

Arm of County Government	Number of Officers Travelled	Date travelled	Purpose of the travel	Destination	Actual Payment on Travel (a) (Kshs.)	Accrued Expenditure on Travel (b) (Kshs.)	Total Expenditure on Travel (c=a+b) (Kshs.)
County Assembly	19	16th -29th August, 2025	Training on Effective Oversight and Accountability for the Legislature	Tanzania	11,606,660	-	11,606,660
County Assembly	21	1st-14th November,2025	Facilitation for the County Assembly members to attend the Capacity Building training on the Leadership Development Skills Program	Tanzania	11,371,360	-	11,371,360
County Assembly	10	15th-28th November,2025	Facilitation to attend Leadership Development Skills and Public Sector Performance Training	Tanzania	5,996,300	-	5,996,300
County Assembly	9	2nd- 15th August 2025	Attend Gender Mainstreaming And Institutional Effectiveness	Tanzania	5,204,360	-	5,204,360
County Assembly	2	16th-29th August,2025	Facilitation to attend Leadership Development Skills and Public Sector Performance Training	Tanzania	1,036,880	-	1,036,880
County Assembly	19	17th-31st January,2026	Facilitation for the County Assembly members to attend the Training on Strategic Organisational Change in the Public Sector Program	Dubai	19,235,580	-	19,235,580

Source: Lamu County Assembly

3.21.13 Facility Improvement Financing

During the review period, the County reported collections of Kshs.103.53 million as FIF, which was 89 per cent of the annual target of Kshs.115.81 million. The collected amount was retained and utilised at source

in line with the Facility Improvement Financing Act, 2023. The County has developed regulations to operationalise the FIF Act of 2023.

The expenditure by the health facilities amounted to Kshs.103.53 million, as shown in Table 3.313.

Table 3.313: Lamu County Health Facilities Expenditure Performance in the first nine months of FY 2025/26

No.	Health Facility	Number of Facilities	Approved Budget (Kshs.)	Actual Expenditure (Kshs.)	Absorption rate (%)
1.	Level 4 Hospital	5	115,814,725	103,531,833	89
	Total	**5**	**115,814,725**	**103,531,833**	

Source: *Lamu County Treasury*

3.21.14 Development Expenditure

In the review period, the County reported spending Kshs.251.51 million on development programmes, representing a decrease of 14 per cent compared to FY 2024/25, when the County spent Kshs.291.1 million. summarises the development projects with the highest expenditure in the reporting period Table 3.314

The decline in development expenditure was attributed to the transition to the electronic government procurement system, which has delayed procurement.

Table 3.314: Lamu County, List of Development Projects with the Highest Expenditure

No	Sector	Project Name	Project Location	Project Commencement Date	Expected date of Completion of the Project	Contract sum (Kshs)	Total Funding in FY 2025/26 (Kshs.)	Expenditure (on an accrual basis) in the first nine months of FY 2025/26 (Kshs.)	Cumulative project expenditure (on an accrual basis) as of 31st March 2026 (Kshs.)	Percentage (%) of Completion
County Funded Projects										
1.	Agriculture And Food Security	FSRP Counterpart Contributions	County Wide	30-Jun-26		5,000,000	5,000,000	5,000,000	5,000,000	100
2.	Agriculture And Food Security	Irrigation Of Farms (Contribution to FLOCCA)	County Wide	Jan-26	30-Jun-26	5,000,000	5,000,000	5,000,000	5,000,000	100
3.	Lands And Physical Planning	Planning and Surveying of Hindi Plot 415	Hindi	Jan-26	30-Jun-26	966,000	966,000	966,000	966,000	100
4.	Education	VTC Learning And Teaching Materials	County Wide	Jan-26	30-Jun-26	27,000,000	27,000,000	27,000,000	27,000,000	100
5.	Education	Purchase Of Sports Equipment	County Wide	Jan-26	30-Jun-26	4,500,000	4,500,000	4,500,000	4,500,000	100
6.	Education	Construction of the Koreni ECDE Classroom	Mkunumbi	Jan-26	30-Jun-26	2,500,000	2,500,000	2,492,106	2,492,106	100
7.	Fisheries, Blue Economy, Livestock, and Cooperatives Development	Rehabilitation Of Chalaluma Cattle Dip (Contribution To FLOCCA)	Witu	Feb-26	30-Jun-26	1,500,000	1,500,000	1,500,000	1,500,000	100
8.	Fisheries, Blue Economy, Livestock, and Cooperatives Development	Livestock Health Improvement Programme (Contribution to FLOCCA)	Countywide	Feb-26	30-Jun-26	1,500,000	1,500,000	1,500,000	1,500,000	100

No	Sector	Project Name	Project Location	Project Commencement Date	Expected date of Completion of the Project	Contract sum (Kshs)	Total Funding in FY 2025/26 (Kshs.)	Expenditure (on an accrual basis) in the first nine months of FY 2025/26 (Kshs.)	Cumulative project expenditure (on an accrual basis) as of 31st March 2026 (Kshs.)	Percentage (%) of Completion
9.	Water And Energy	Construction of the Siyu-Shanga Pipeline	Faza	Feb-26	30-Jun-26	8,861,671	8,861,671	8,861,671	8,861,671	100
10.	Water And Energy	Rehabilitation of Lawasco wells grant	Shella/ Mkomani	Feb-26	30-Jun-26	6,000,000	6,000,000	6,000,000	6,000,000	100

Source: *Lamu County Treasury*

The County reported 3 stalled development projects as of 31st March 2026, with an estimated value of Kshs.366.13 million, of which Kshs.183.73 has already been paid. The stalled projects are shown in Table 3.315.

Table 3.315: Lamu County Stalled Projects as of 31st March 2026

Project Name	Project Location	Estimated Value of the Project (Kshs.)	Amount Paid on the stalled project	Outstanding Balance as of 31st March, 2026	Percentage of Completion Before Stalling of the Project	Reason for Project Stalling
Lamu County Headquarters	Headquarters	126,823,550	55,226,562	71,596,987	75 per cent	Delay of payment by the state department of public works
Faza Sub-County Headquarters	Faza	195,219,070	106,307,170	88,911,899	70 per cent	Delay by the state Department of Public Works
Construction of the Governor's Residence	Lamu Island	44,090,374	22,197,479	21,892,894	50 per cent	Delay by the Contractor. Another contractor is being sought.
Total		**366,132,994**	**183,731,211**	182,401,780		

Source: Lamu County Treasury

3.21.15 Budget Performance by Department

Table 3.316 summarises the approved budget allocation, expenditure, and absorption rate by department for the period under review.

Table 3.316: Lamu County, Budget Allocation and Absorption Rate by Department in the first nine months of FY 2025/26

Expenditure Classification	Approved Budget (Kshs.) (a)		Amount Paid in the first nine months of FY 2025/26 (Kshs.) (b)		Total Expenditure in the first nine months of FY 2025/26 (Kshs.) (d=b+c)		Absorption (%) (d/a*100)	
	Executive	Assembly	Executive	Assembly	Executive	Assembly	Executive	Assembly
Total Recurrent Expenditure	**2,852,599,874**	**502,735,064**	**1,564,237,347**	**332,503,378**	**1,564,237,347**	**332,503,378**	**55**	**66**
Compensation of Employees	1,899,414,995	200,535,064	1,228,866,414	127,817,225	1,228,866,414	127,817,225	65	64
Operations and Maintenance	953,184,879	302,200,000	335,370,933	204,686,153	335,370,933	204,686,153	35	68
Development Expenditure	**2,112,225,672**	**125,000,000**	**251,512,563**	-	**251,512,563**	-	**12**	-
Total	**4,964,825,546**	**627,735,064**	**1,815,749,910**	**332,503,378**	**1,815,749,910**	**332,503,378**	**37**	**53**

Source*: Lamu County Treasury*

Analysis of expenditure by departments shows that the Department of Agriculture and Food Security recorded the highest absorption rate of development budget at 35 per cent, followed by the Department of Roads and Infrastructure at 21 per cent. The County Assembly had the highest percentage of recurrent expenditure to budget at 66 per cent, while the Department of Agriculture and Food Security had the lowest at 4 per cent.

3.21.16 Budget Execution by Programmes and Sub-Programmes

Budget execution was concentrated in selected performance bands. A number of development and recurrent sub-programmes recorded nil absorption during the review period. Under development, these were administration services under the County Executive, agricultural extension, research and training under the Department of Agriculture, and public health and licensing under the Department of Public Health. Under recurrent, these were social development under the Department of Education, Youth and Polytechnics and tourism information under the Department of Trade.

In the 1–10 per cent band, development absorption was reported for curative services under medical services at 10 per cent. In the 11–20 per cent band, development absorption was reported for market development under the Department of Trade at 13 per cent.

In the 31–40 per cent band, development absorption was reported for promotion of agro-processing and value-addition technologies under the Department of Agriculture at 39 per cent and for youth and sports under the Department of Education, Youth and Polytechnics at 41 per cent. In the 41–50 per cent band, development absorption was reported for fish farming under the Department of Fisheries at 48 per cent. In the 51–60 per cent band, development absorption was reported for SME development under the Department of Trade at 60 per cent, while recurrent absorption was recorded for curative services under medical services at 51 per cent and preventive and promotive services at 56 per cent.

In the 61–70 per cent band, development absorption was reported for village polytechnics under the Department of Education, Youth and Polytechnics at 68 per cent, while recurrent absorption was recorded for administration services under the County Executive at 61 per cent and for cultural festival under the Department of Trade at 70 per cent. In the 71–80 per cent band, recurrent absorption was reported for administration services and for public finance and accounting under the Department of Finance, both at 72 per cent. In the 90–100 per cent band, recurrent absorption reached 100 per cent for infrastructure development under the Department of Lands and Physical Planning and for bursaries under the Department of Education.

Low absorption in the lower performance bands was attributed to the delay in uploading the work plan to the new electronic government procurement system, which slowed the procurement process. Conversely, performance in the higher bands was attributed to timely procurement services and the prioritisation of the respective sub-programmes during the review period.

Table 3.317 summarises budget execution by programmes and sub-programmes in the period under review with the highest absorption rates.

Table 3.317: Budget Execution by Programmes and Sub-Programmes with Highest Absorption Rates

Programme	Sub-Programme	Gross Approved Estimates FY 2025/26 (Kshs.)	Expenditure (including accrued expenditure) as of 31st March 2026 (Kshs.)	Absorption Rate (%)
		Dev	Dev	Dev
DEVELOPMENT				
EDUCATION, YOUTH AND POLYTECHNICS				
503013210	Village Polytechnics	40,000,000	27,000,000	68
TRADE				
305013210	SME Development	7,700,000	4,641,800	60
FISHERIES				

Programme	Sub-Programme	Gross Approved Estimates FY 2025/26 (Kshs.)	Expenditure (including accrued expenditure) as of 31st March 2026 (Kshs.)	Absorption Rate (%)
		Dev	Dev	Dev
109013210	Fish farming	34,655,000	16,500,000	48
EDUCATION, YOUTH AND POLYTECHNICS				
503043210	Youth and Sports	11,000,000	4,499,660	41
AGRICULTURE				
116033210	Promotion of Agro Processing & Value addition Technologies	310,153,846	120,059,820	39
TRADE				
303033210	Market development	27,578,905	3,486,273	13
MEDICAL SERVICES				
402043210	Curative Services	160,472,928	16,249,616	10
RECURRENT				
LANDS AND PHYSICAL PLANNING				
104013210	Infrastructure Development	10,000,000	10,000,000	100
EDUCATION				
502023210	Bursaries	70,000,000	69,996,400	100
FINANCE				
703013210	Administration Services	1,911,967,495	1,382,150,733	72
712053210	Public Finance & Accounting	17,947,441	12,947,441	72
TRADE				
304013210	Cultural Festival	26,500,000	18,466,694	70
COUNTY EXECUTIVE				
703013210	Administration Services	187,892,339	114,899,420	61
MEDICAL SERVICES				
402043210	Preventive and Promotive Services	52,594,079	29,579,531	56
402043210	Curative Services	77,134,162	39,590,291	51

Source: *Lamu County Treasury*

The development sub-programmes with the highest budget implementation rates were: village polytechnics in the Department of Education at 60 per cent, SME development in the Department of Trade at 60 per cent, and Fish Farming at 48 per cent.

For recurrent sub-programmes, the top performers included: infrastructure development in the Department of Lands and Physical Planning at 100 per cent, Bursaries in the Department of Education at 100 per cent, and administration services in the Department of Finance at 72 per cent.

The higher performance of these programmes can be attributed to timely procurement services.

Table 3.318 summarises the budget execution by programmes and sub-programmes in the period under review that had the lowest absorption rates.

Table 3.318: Budget Execution by Programmes and Sub-Programmes with Lowest Absorption Rates

Programme	Sub-Programme	Gross Approved Estimates FY 2025/26 (Kshs.)	Expenditure (including accrued expenditure) as of 31st March 2026 (Kshs.)	Absorption Rate (%)
		Dev	Dev	Dev
DEVELOPMENT				
COUNTY EXECUTIVE				
703013210	Administration Services	39,900,980	-	-
AGRICULTURE				
116013210	Agricultural Extension Research & Training	23,000,000	-	-
PUBLIC HEALTH				
404023210	Public Health & licensing	5,689,600	-	-
RECURRENT				
EDUCATION, YOUTH AND POLYTECHNICS				
504023210	Social Development	40,550,000	-	-
TRADE				
302013210	Tourism information	4,300,000	-	-

Source: *Lamu County Treasury*

The development sub-programmes with the lowest budget implementation rates were as follows: Agricultural extension and research training in the Department of Agriculture; Public health and licensing in the Department of Public Health; Social development in the Department of Education and Tourism; and Information in the Department of Trade, all at zero per cent.

These lower performances can be attributed to the delay in uploading the work plan to the new electronic government procurement system, hence the delay in the process

3.21.17 Settlement of Trade Payables

As of 1st July 2025, the County reported trade payables totalling Kshs.31.53 million. The entire amount related to the County Executive was solely attributable to recurrent expenditure.

During the reporting period, the County Executive settled trade payables amounting to Kshs.13.61 million, all related to recurrent programmes.

and, the County Assembly settled trade payables amounting to Kshs.70.96 million, comprising Kshs.27.43 million (39 per cent) for recurrent activities and Kshs.43.53 million (61 per cent) for development activities. The outstanding trade payables as of 31st March, 2026, were Kshs.703.06 million for the County Executive and Kshs.241.04 million for the County Assembly. Table 3.319 provides additional details of trade payables.

Table 3.319: Lamu County Trade Payables as of 31st March 2026

		County Entity	Development (Kshs.)	Recurrent (Kshs.)	Total (Kshs.)
As at 1 July 2025 (End of FY 2024/25)	a	County Executive	-	31,529,691	-
		County Assembly	-	-	-
		Total	-	31,529,691	31,529,691
Trade payables scheduled to be settled in the first nine months of FY 2025/26 per the action plan	b	County Executive		13,606,394	13,606,394
		County Assembly			-
		Total	-	-	-

		County Entity	Development (Kshs.)	Recurrent (Kshs.)	Total (Kshs.)
Amount paid in the first nine months of FY 2025/26	c	County Executive		-	-
		County Assembly			-
		Total	-	-	-
Trade Payables Incurred in the First Nine Months of FY 2025/26	d	County Executive		-	-
		County Assembly		-	-
		Total	-	-	-
Outstanding trade payables as of 31st March 2026	**e=a-c*b**	**County Executive**		**17,923,297**	**17,923,297**
		County Assembly			**-**
		Total	**-**	**17,923,297**	**17,923,297**

Source: Lamu *County Treasury*

The County Executive submitted a trade payables payment plan, committing to pay Kshs.31.53 million, all related to recurrent activities, in FY 2025/26. The County adhered to this payment plan, as it cleared Kshs.13.61 million, all for the Executive.

Table 3.320 present the ageing of the total outstanding bills for the County Executive as of 31st March 2026, in Kshs.17.92 million.

Table 3.320: Lamu County Executive Trade Payables Ageing Analysis as of 31st March 2026

Category	Ageing analysis (Amount in Kshs.)				Total
	Under one year	1-2 years	2-3 years	Over 3 years	
Development Trade Payables	**-**	**-**	**-**	**-**	**-**
Recurrent Trade Payables (Goods & Services)	15,762,482	2,160,815			17,923,297
Recurrent Trade Payables (Salary Arrears and Statutory Deductions)	-				
Recurrent Trade Payables (Staff Claims)	15,762,482	2,160,815			-
Total Recurrent Trade Payables	15,762,482	2,160,815	-	-	17,923,297
Total Trade Payables	**15,762,482**	**2,160,815**	**-**	**-**	**17,923,297**
% of Total	**88**	**12**	**%**	**%**	**100**

Source: *Lamu County Treasury*

3.21.18 General Observations and Recommendations

In the course of overseeing and reporting on the implementation of the Lamu County budget, the CoB identified the following challenges, which hampered effective budget implementation;

i. Low development performance in the review period as the County incurred Kshs.251.52 million on development activities, achieving an 11 per cent absorption rate.
ii. Use of manual payroll. Personnel emoluments amounting to Kshs.210.49 million for 37 staff not onboarded into the HRIS, and 534 casual staff were processed through manual payroll, accounting for 16 per cent of the total payroll cost. Manual payroll is prone to abuse and may result in the loss of public funds.
iii. Non-submission of copies of authorisation letters for opening commercial bank accounts as per Regulation 82(5) of the Public Finance Management (County Governments) Regulations, 2015.

The County should implement the following recommendations to improve budget execution:

i. *The County should implement strategies to increase development expenditures in FY 2025/26.*
ii. *The Government requires that salaries be processed through the HRIS system, and the County is*

advised to fast-track the acquisition of Unified Personnel Numbers for their staff. The County Public Service Board should regulate staff engagement on contract and casual workers as provided under Section 74 of the County Governments Act 2012. Furthermore, strict adherence to the approved staff establishment should be maintained.

iii. *The County Treasury should ensure it submits copies of authorisation letters to the CoB for opening commercial bank accounts to enhance accountability and oversight.*

3.22. County Government of Machakos

3.22.1 Overview of FY 2025/26 Budget

The Machakos County Approved Budget for FY 2025/26 is Kshs.15.19 billion. It comprises Kshs.4.60 billion (30 per cent) and Kshs.10.60 billion (70 per cent) allocation for development and recurrent programmes, respectively. The budget estimates represent a decrease of Kshs.428.58 million (3 per cent) from the FY 2024/25 budget, which comprised a development budget of Kshs.4.75 billion and a recurrent budget of Kshs.10.87 billion. The budget decrease was primarily attributed to a decline in conditional grants of Kshs.239.48 million, a decline in the balance brought forward of Kshs.336.83 million and an increase in the equitable share of Kshs.112.99 million.

The budget is to be financed from various revenue sources. These include; the equitable share of revenue raised nationally of Kshs.10.03 billion (66 per cent), additional allocations of Kshs.1.08 billion (7 per cent), and Kshs.4.09 billion (27 per cent) to be earned as own-source revenue. A breakdown of the additional allocations is shown in Table 3.321.) as ordinary own-source revenue. A breakdown of the additional allocations is shown in Table 3.321

3.22.2 Revenue Performance

During the first nine months of FY 2025/26, the County reported total revenues of Kshs.9.48 billion. This amount represented an increase of 25.1 per cent compared to the amount received in a similar period in FY 2024/25 of Kshs.7.58 billion. The total revenue consisted of Kshs.6.27 billion from the equitable share of revenue raised nationally, additional allocations from the national government and development partners of Kshs.160.72 million and own-source revenue (OSR) collection of Kshs.2.62 billion. Additionally, the County had a cash balance of Kshs.428.78 million from FY 2024/25. The total OSR collection of Kshs.2.62 billion included Facilities Improvement Financing (FIF) of Kshs.1.24 billion, and Kshs.1.38 billion from other OSR sources. Table 3.321 summarises the total revenue available to the County Government during FY 2025/26.

Table 3.321: Machakos County, Revenue Performance in the first nine months of FY 2025/26

No	Revenue Stream	Annual Targeted Revenue (Kshs.)	Actual Receipts (Kshs.)	Receivables in the first nine months of FY 2025/26 (Kshs.)	Total Revenues (in accrual basis) in the first nine months of FY 2025/26 (Kshs.)	Revenue Performance
		A	B	C	D	F=D/A*100
A	**Unspent Balance from FY 2024/25**					
1	Balance at CRF	-	426,422,477	-	426,422,477	
2	County Executive Refunds to CRF	-	412,317	-	412,317	
3	County Assembly Refunds to CRF	-	1,942,216	-	1,942,216	
	Sub-Total	-	**428,777,010**	**-**	**428,777,010**	
B	**Equitable Share of Revenue Raised Nationally**					
1	Equitable share	10,027,000,000	6,269,123,234	-	6,269,123,234	63
	Sub-Total	**10,027,000,000**	**6,269,123,234**	**-**	**6,269,123,234**	**63**
	Sub-Total					

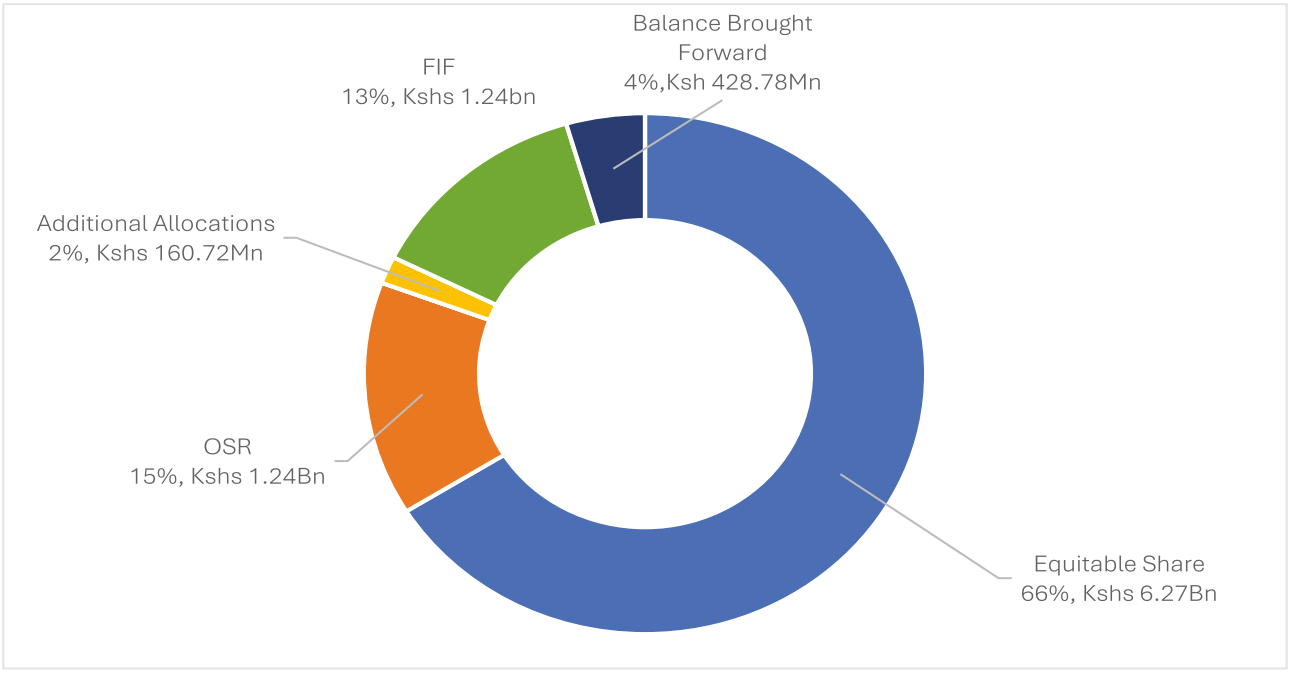
No	Revenue Stream	Annual Targeted Revenue (Kshs.)	Actual Receipts (Kshs.)	Receivables in the first nine months of FY 2025/26 (Kshs.)	Total Revenues (in accrual basis) in the first nine months of FY 2025/26 (Kshs.)	Revenue Performance
		A	B	C	D	F=D/A*100
3	**Conditional Allocations from Loans and Grants**					
1	Kenya Devolution Support Program II (Level 2)	352,500,000	-	-	-	-
2	IDA (World bank) National Agricultural Value Chain development Project (NAVCDP)	151,515,152	-	-	-	-
3	IDA (World bank) FLLoCA- County climate Resilience Investment Grant	137,500,000	125,470,390	-	125,470,390	91
4	Road Maintenance Fuel Levy Fund	111,125,100	-	-	-	-
5	Kenya Urban Support Project (UDG)-World Bank	90,174,566	-	-	-	-
6	Community Health Promoters (CHPs)	83,250,000	-	-	-	-
7	DANIDA Grant- Primary Health care Devolved (2023/24/25/26)	43,548,750	-	-	-	-
8	Kenya Devolution Support Program II (Level 1)	37,500,000	35,253,471	-	35,253,471	94
9	Kenya Urban Institutional Project (UIG)-World Bank	35,000,000	-	-	-	-
10	Aquaculture Business Development Project (ABDP) - IFAD	12,262,438	-	-	-	-
11	IDA (World Bank) FLLoCA- County climate institutional support (CCIS) Grant	11,000,000	-	-	-	-
12	County Rural & Urban Affordable Housing Committee	8,817,410	-	-	-	-
13	Court Fines	1,617,189	-	-	-	-
	Sub-Total	**1,075,810,605**	**160,723,861**	**-**	**160,723,861**	**15**
E	**Ordinary Own Source Revenue (OSR)**					
1	Land Rates & Ground Rent	590,225,445	243,833,335	-	243,833,335	41
2	Single Business Permit	477,322,506	283,761,868	-	283,761,868	59
3	Quarry Extraction Fees	243,271,738	89,112,194	-	89,112,194	37
4	Sand Gravel	83,273,480	41,924,100	-	41,924,100	50
5	Market Fees	175,281,906	46,438,948	-	46,438,948	26
6	Plot/Stall Rent	6,462,898	2,420,817	-	2,420,817	37
7	Bus Park	196,852,600	132,612,823	-	132,612,823	67
8	House Rent	2,667,532	458,527	-	458,527	17
9	Refuse/Conservancy Fee	47,837,156	47,679,428	-	47,679,428	100
10	Sign Board & Advertisement Fee	184,645,091	49,408,867	-	49,408,867	27
11	Fire Fighting & Ambulance Management Unit	50,535,823	34,489,179	-	34,489,179	68
12	Slaughter House & Livestock Fees	38,848,756	9,843,695	-	9,843,695	25
13	Enforcement Management	20,468,142	5,164,513	-	5,164,513	25
14	Off-street Parking Unit	36,228,273	21,621,429	-	21,621,429	60
15	Building Plan Approval	665,877,074	273,211,843	-	273,211,843	41
16	Cess	72,186,020	22,523,465	-	22,523,465	31
17	Social Services	5,490,107	1,096,920	-	1,096,920	20
18	Water Sales (Water Bowsers, Borehole Drilling)	3,806,549	1,175,400	-	1,175,400	31
19	Machakos People's Park/Maruba	1,703,559	767,401	-	767,401	45

No	Revenue Stream	Annual Targeted Revenue (Kshs.)	Actual Receipts (Kshs.)	Receivables in the first nine months of FY 2025/26 (Kshs.)	Total Revenues (in accrual basis) in the first nine months of FY 2025/26 (Kshs.)	Revenue Performance
		A	B	C	D	F=D/A*100
20	House Loan Repayment	57,094	-	-	-	
21	Salary Refunds/Advances	1,387,369	429,221	-	429,221	31
22	Agri Farm	300,000	-	-	-	
23	Liquor	92,072,859	57,090,584	-	57,090,584	62
25	Interest & Penalties on Plot and Stall Rent	725,123	99,374	-	99,374	14
26	Noise Pollution	6,273,484	6,013,650	-	6,013,650	96
27	Motor Vehicle/Cycle Registration	8,584,878	7,031,540	-	7,031,540	82
28	Weights And Measures	8,494,468	604,100	-	604,100	7
	Sub-Total	**3,020,879,928**	**1,378,813,221**	**-**	**1,378,813,221**	**46**
F	**Facility Improvement Financing (FIF)**					
1	Facility Improvement Financing	1,069,895,188	1,242,112,818	-	1,242,112,818	116
	Sub-Total	**1,069,895,188**	**1,242,112,818**	**-**	**1,242,112,818**	**116**
Total		**15,193,585,721**	**9,479,550,144**	**-**	**9,479,550,144**	**62**

Source: *Machakos County Treasury*

The County has governing legislation on the operation of ordinary A-I-A and FIF. Figure 3.127 provides a detailed breakdown of receipts.

Figure 3.127: Machakos County Composition of Revenue in the first nine months of FY 2025/26

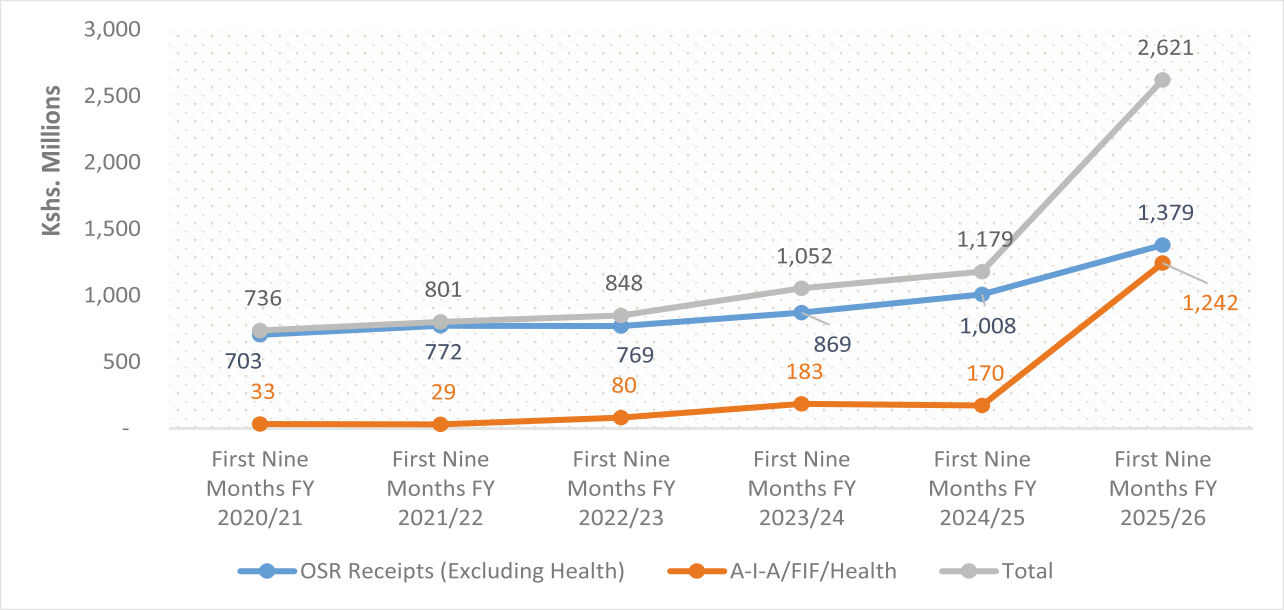


Source: *Machakos County Treasury*

The equitable share of revenue raised nationally, OSR, and FIF contributed 66 per cent, 15 per cent and 13 per cent, respectively, of the total receipts for the reporting period.

Figure 3.128 shows the collection trend in own-source revenue from the first nine months of FY 2020/21 to the first nine months of FY 2025/26.

Figure 3.128: Machakos County Trend in Own-Source Revenue Collection from the first nine months of FY 2020/21 to the first nine months of FY 2025/26



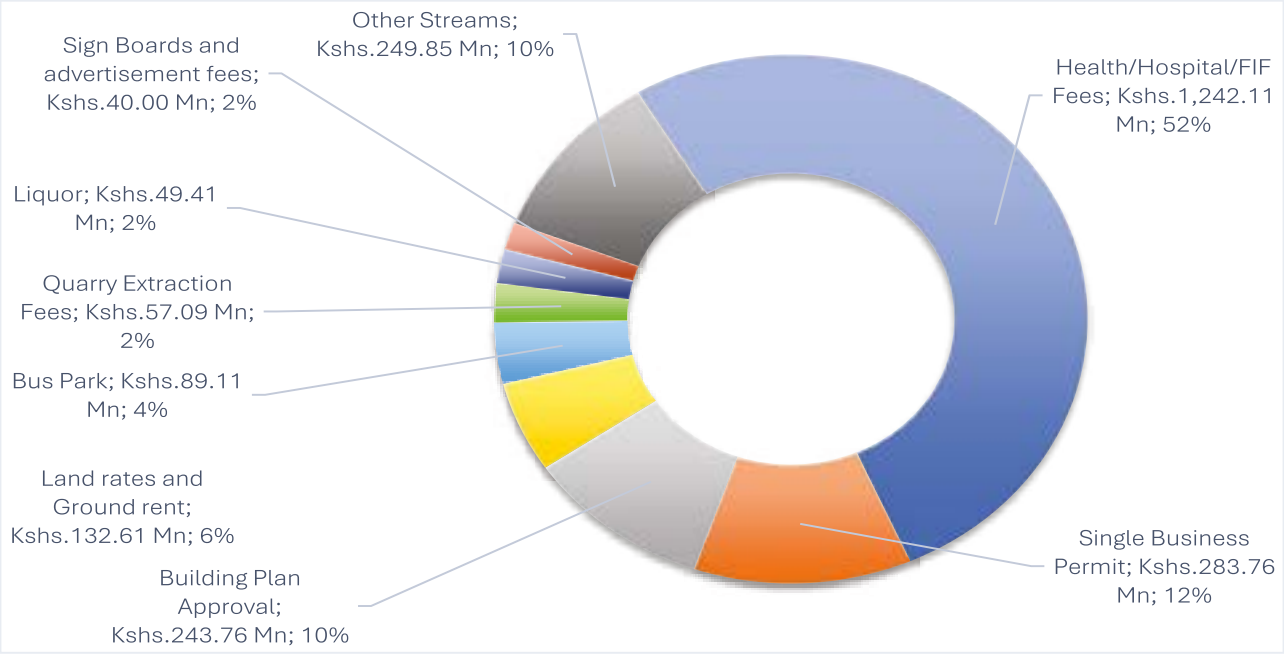
Source: *Machakos County Treasury*

During the first nine months of FY 2025/26, the County received Kshs.2.62 billion from OSR, including FIF. This amount was an increase of 122 per cent compared to Kshs.1.18 billion realised in a similar period in FY 2024/25, and was 64 per cent of the annual target and 42 per cent of the equitable revenue share disbursed.

The increase in OSR can be attributed to revenue digitalisation, enhanced enforcement and supervision, a revenue mapping exercise, and target setting for all revenue streams. The revenue streams that contributed the most to OSR receipts are shown in Figure 3.128

The revenue streams that contributed the most to OSR receipts are shown in Figure 3.129.

Figure 3.129: Machakos County Top Own Source Revenue Streams in the first nine months of FY 2025/26



Source*: Machakos County Treasury*

As shown in Figure 3.129, the largest revenue stream, at Kshs.1.24 billion, was Health/Hospital Fees, accounting for 52 per cent of total OSR receipts. The County Government indicated that it has automated all the revenue streams.

3.22.3 Revenue Receivables

As of 1st July 2025, the County reported revenue receivables of Kshs.137.9 million, which has decreased to Kshs.84.58 million as of 31st March 2026. The County manages its revenue receivables using a Macha system, with a cash- or accrual-basis option. Table 3.322 presents a breakdown of the County's revenue receivables.

Table 3.322: Machakos County Revenue Receivables as of 31st March 2026

No	Revenue Stream	Revenue Receivables as of 1 July 2025 (Kshs.)	Progress made in the first nine months of FY 2025/26			OSR Receivables as of 31st March 2026 (Kshs.)
			Waivers (Kshs)	Receivables paid in the financial year (Kshs)	Receivables earned in the first nine months of FY 2025/26 (Kshs)	
A	**Ordinary Own Sources of Revenue**					
1	Land Rates	13,977,579	-	-	-	13,977,579
2	Single Business Permit	53,010,144	-	53,010,144	-	-
3	Property Rent	2,344,934	-	-	-	2,344,934
	Sub-Total	**69,332,657**	**-**	**53,010,144**	**-**	**16,322,513**
E	**Facility Improvement Fund (FIF)**					
1	Defunct NHIF	**68,259,595**	**-**	**-**	**-**	**68,259,595**
	Sub-Total	**68,259,595**	**-**	**-**	**-**	**68,259,595**
Total		**137,592,252**	**-**	**53,010,144**	**-**	**84,582,108**

Source: Machakos *County Treasury*

As of 31st March 2026, the revenue receivables totalled to Kshs.84.58 million, comprising of Kshs.68.26 million for Defunct NHIF (81 per cent) and Kshs.16.32 million for other OSR streams (19 per cent). The measures instituted by the County to collect the outstanding receivables in FY 2025/26 include issuing demand letters to the various landowners and plot/stall occupiers owed, demanding payment of amounts due, and following up with the Social Health Authority on amounts owed to the defunct NHIF amounting to kshs 68 million.

3.22.4 Borrowing by the County

The two arms of the County Government did not report any credit facilities or short-term borrowing with commercial banks during the period under review.

3.22.5 Withdrawals from the County Revenue Fund and County Assembly Fund

During the reporting period, the Controller of Budget approved exchequer withdrawal requests totalling Kshs.7.45 billion from the Machakos County Revenue Fund (CRF) account. This amount consisted of Kshs.382.85 million (5 per cent) designated for development programs and Kshs.7.07 billion (95 per cent) allocated for recurrent programs.

An analysis of the released recurrent exchequers shows that Kshs.5.54 billion was allocated to employee compensation, and Kshs.1.47 billion to operations and maintenance expenditures. Within the operations and maintenance category, 22 per cent was for domestic travel and 3 per cent for foreign travel. The domestic travel exchequers totalled to Kshs.319.16 million, which included Kshs.116.68 million for the County Executive and Kshs.202.48 million for the County Assembly. Meanwhile, the foreign travel exchequers amounted to Kshs.37.16 million, with Kshs.10.62 million for the County Executive and Kshs.26.53 million for the County Assembly.

As of 31st March 2026, the County Government's cash balance in the Machakos CRF account was Kshs.914.43 million.

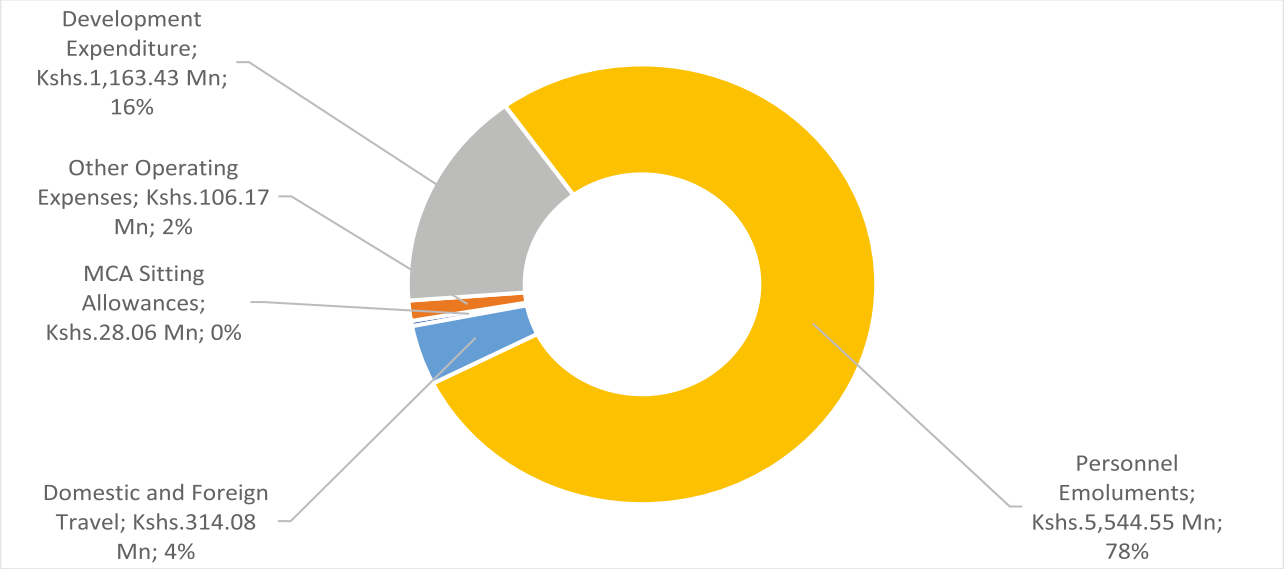
The County had not operationalised the County Assembly Fund as of 31st March 2026.

3.22.6 Expenditure Review

The County spent a total of Kshs.9.16 billion on both development and recurrent programmes during the reporting period. The expenditure represented 123 per cent of the total funds released by the CoB based on the accruial accounting being implemented by the County. It comprised Kshs.1.16 billion for development programmes and Kshs.7.99 billion for recurrent programmes. Expenditure on development programmes accounted for 25 per cent of the annual development expenditure budget, while recurrent expenditure accounted for 75 per cent of the annual recurrent expenditure budget.

Figure 3.130 provides a detailed breakdown of total expenditure.

Figure 3.130: Machakos County Composition of Expenditure in the first nine months of FY 2025/26



Source: Machakos *County Treasury*

As shown in Figure 3.130, the three highest expenditure categories were Personnel Emolument, Development Expenditure, and Domestic and foreign travel, contributing 78, 16 and 4 per cent of total expenditure for the reporting period.

3.22.7 Expenditure by Economic Classification

The County Executive incurred Kshs.5.17 billion in employee compensation, Kshs.2.23 billion in operations and maintenance, and Kshs.1.16 billion in development activities. Similarly, the County Assembly spent Kshs.377.41 million on employee compensation, Kshs.220.58 million on operations and maintenance, and incurred no development expenditure during the period under review, as shown in Table 3.323

Table 3.323: Machakos County Summary of Budget and Expenditure by Economic Classification

Expenditure Classification	Approved Budget (Kshs. Mn) (a)		Amount Paid in the first nine months of FY 2025/26 (Kshs. Mn) (b)		Expenditure Accrued in the first nine months of FY 2025/26 (Kshs. Mn) (c)		Total Expenditure in the first nine months of FY 2025/26 (Kshs. Mn) (d=b+c)		Absorption (%) (d/a*100)	
	Executive	Assembly	Executive	Assembly	Executive	Assembly	Executive	Assembly	Executive	Assembly
Total Recurrent Expenditure	**9,629.35**	**967.86**	**7,393.78**	**597.99**	**-**	**-**	**7,393.78**	**597.99**	**77**	**62**

Expenditure Classification	Approved Budget (Kshs. Mn) (a)		Amount Paid in the first nine months of FY 2025/26 (Kshs. Mn) (b)		Expenditure Accrued in the first nine months of FY 2025/26 (Kshs. Mn) (c)		Total Expenditure in the first nine months of FY 2025/26 (Kshs. Mn) (d=b+c)		Absorption (%) (d/a*100)	
	Executive	Assembly	Executive	Assembly	Executive	Assembly	Executive	Assembly	Executive	Assembly
Compensation of Employees	5,860.94	546.57	5,167.13	377.41	-	-	5,167.13	377.41	88	69
Operations and Maintenance	3,768.40	421.28	2,226.65	**220.58**	-	-	2,226.65	**220.58**	**59**	**52**
Development Expenditure	**4,441.38**	**155.00**	**1,163.43**	**-**	**-**	**-**	**1,163.43**	**-**	**26**	**-**
Total	**14,070.73**	**1,122.86**	**8,557.21**	**597.99**	**-**	**-**	**8,557.21**	**597.99**	**61**	**53**

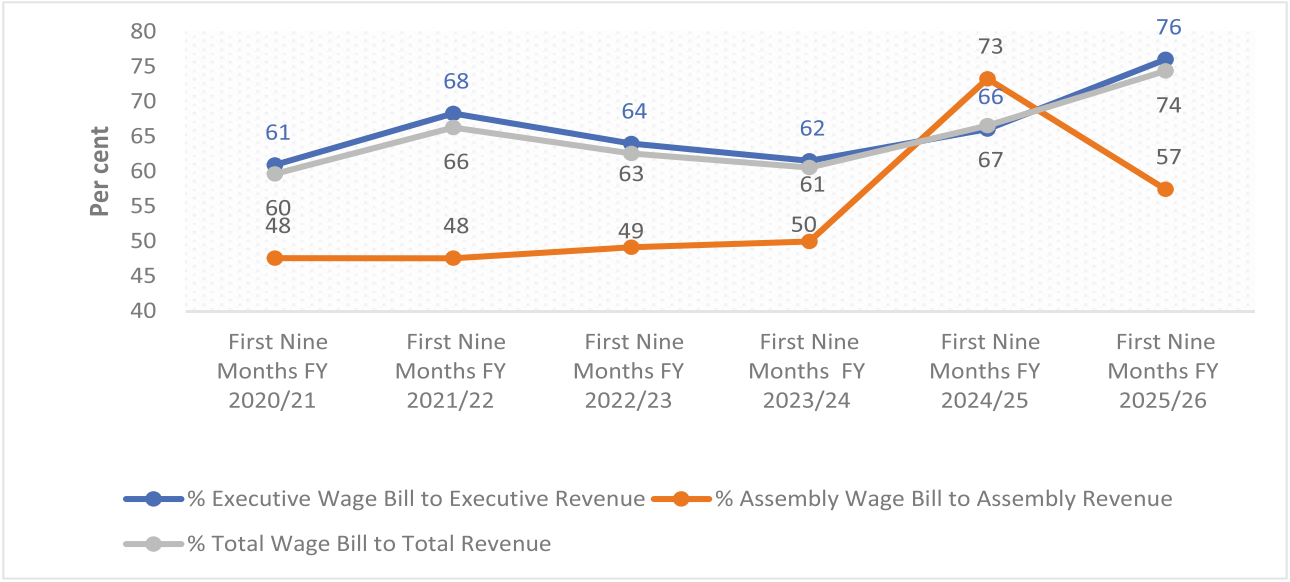
Source: *Machakos County Treasury*

3.22.8 Expenditure on Employee Compensation

The expenditure on employee compensation totalled Kshs.5.54 billion, representing 58 per cent of revenue. This expenditure on employee compensation shows an increase of 5 per cent compared to the Kshs.5.29 billion reported in a similar period in FY 2024/25. Of this total, Kshs.3.40 billion related to Health Sector employees, accounting for 61 per cent of the overall employees' compensation.

Figure 3.131 shows the trend in employee compensation as a percentage of total revenue from the first nine months of FY 2020/21 to the first nine months of FY 2025/26.

Figure 3.131: Percentage of Employee Compensation Expenditure to Total Revenue Received in the first nine months of FY 2020/21 to the first nine months of FY 2025/26



Source: *Machakos County Treasury*

Further analysis indicated that PE costs amounting to Kshs.5.45 billion were processed through the Human Resource Information System (HRIS). In contrast, Kshs.96.13 million was processed through manual payrolls, accounting for 2 per cent of the total PE cost.

The manual payroll comprised salaries for 5 staff not onboarded into the Human Resource Information System (HRIS), salaries for 179 casual ward staff, service gratuities and reimbursement for mileage for 60 MCAs, fringe benefit tax for 182 MCAs and staff, salary advance for 15 staff and MCAs, as shown in Table 3.324

Table 3.324: Breakdown of Machakos County Manual Payroll

Sno.	Description of Manual Payroll	Amount (Kshs.)
1	Salaries for non-HRIS/IPPD MCAs/ staff yet to be onboarded in the system	2,814,419.95
2	Salaries for Ward Staff not in IPPD/HRIS	42,342,882.56
3	Commissioner Of Domestic Taxes-MCAS & Staff Fringe Benefit Tax	6,775,229.71
4	LAPTRUST/LAPFUND Pension Contributions	-
5	Gratuity For Contract Staff	1,753,006.60
6	MCAS -Reimbursement Mileage	16,541,071.29
7	4TH & 5TH CASB MEMBERS Service Gratuities	809,100
8	WARD STAFF Service Gratuities	6,053,277.97
9	MCA'S Service Gratuities	16,758,722.03
10	NITA LEVY	54,800
11	Salary Advances for STAFF & MCAS	2,223,000
	Total	**96,125,510.11**

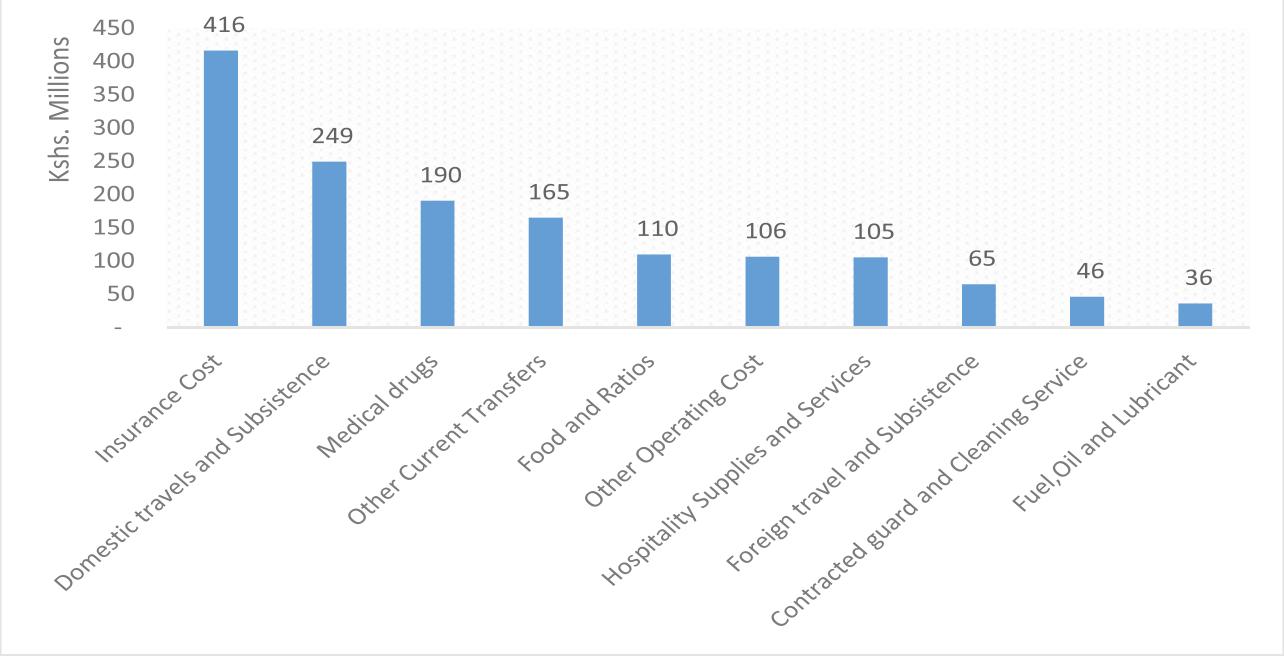
Source: Machakos County Treasury

The County Assembly spent Kshs.28.06 million on committee sitting allowances for the 61 MCAs against the annual budget allocation of Kshs.50 million. The average monthly sitting allowance was Kshs.51,114 per MCA. The County Assembly has 27 House Committees.

3.22.9 Expenditure on Operations and Maintenance

During the reporting period, the County spent Kshs.2.45 billion on operations and maintenance, representing an increase of 29 per cent compared to a similar period in FY 2024/25, when the County spent Kshs.1.90 billion. Figure 3.132 illustrates the distribution of Operations and Maintenance expenditures across the major spending categories.

Figure 3.132: Machakos County, Operations and Maintenance Expenditure by Major Categories



Source: *Machakos County Treasury*

3.22.10 Unbundling "Other Operating Expenses - Other" Under Operations and Maintenance Expenditures

The budget performance report for the first nine months of FY 2025/26 indicates that the County spent Kshs.111.20 million on "other operating expenses - other," which accounted for 5 per cent of the total

operations and maintenance expenditure of Kshs.2.45 billion. The disaggregated items under the "*Other Operating Expenses- other*" category are shown in Table 3.325.

Table 3.325: Breakdown of "Other Operating Expenses" under O&M Expenditures

Code	Item	Budget (Kshs)	Expenditure (Kshs.)
2211399	Other Operating Expenses	45,678,902	13,635
2211399	Other Operating Expenses	12,965,280	4,698,258
2211399	Other Operating Expenses	8,342,156	-
2211399	Other Operating Expenses	13,315,895	-
2211399	Other Operating Expenses	12,674,328	-
2211399	Other operating expenses	661,485	44,357
2211399	Other Operating Expenses	8,876,531	-
2211399	Other Operating Expenses	520,000	150,000
2211399	Other Operating Expenses	749,712	749,712
2211399	Other Operating Expenses	650,000	197,028
2211399	Other Operating Expenses	6,234,536	6,234,536
2211399	other operating expenses	8,456,321	6,127,685
2211399	Other Operating Expenses	5,405,632	-
2211399	Other operating expenses	35,000	-
2211399	Other Operating Expenses - Others	292,093	-
2211399	Other Operating Expenses	20,105,910	2,514,688
2211399	Other Operating Expenses (KICOSCA/EALASCA)	15,000,000	9,352,145
2211399	Other Operating Expenses (Governors Cup)	50,000,000	43,861,157
2211399	Other Operating Expenses	30,000,000	13156000
2211399	Other Operating Expenses-Other	1,250,000	-
2211399	Other Operating Expenses-Other	7,500,000	7,500,000
2211399	Other Operating Expenses-Other (Biannual devolution conference)	8,000,000	699,000
2211399	Other Operating Expenses	2,000,000	-
2211399	Other Operating Expenses - Other	24,723,190	2,894,255
2211399	Other Operating Expenses - Other	14,033,200	11,868,510
2211399	Other Operating Expenses - Other (Clean up exercises municipalities)	17,593,647	-
2211399	Other Operating Expenses (Verification & validation of staff documents)	500,000	500,000
2211399	Other Operating Expenses - Other (Clean-up exercises in towns)	13,904,400	135,840
2211399	Other Operating Expenses - Other	500,000	500,000
2211399	Other Operating Expenses - Other	500,000	-
	TOTAL	**330,468,218**	**111,196,806**

Source: *Machakos County Treasury*

A review of the other expense items listed in the table revealed the following inconsistencies:

- *Some expenditures with clear and unique budget codes were erroneously aggregated under the "Other Operating Expenses - Other" category. These include domestic travel, public participation, communication, trade fairs, and video conferencing, making it difficult to determine their nature and map them to the correct budget codes.*
- *Several expenditure items were recorded with vague or generic descriptions, making it difficult to*

determine their nature and map them to the correct budget codes. For example, scanning/disposal of documents, clean-up exercises in towns, verification and validation of staff documents, EALASCA games, KICOSCA games, Governor's cup, etc

3.22.11 County-Established Funds

Section 116 of the PFM Act 2012 allows County Governments to establish other public funds, subject to approval from the County Executive Committee and the County Assembly. The County allocated Kshs.450.84 million to County-Established funds in FY 2025/26, representing 3 per cent of the County's overall budget. Of this amount, the County allocated Kshs.37.36 million to the Emergency Fund in line with Section 110 of the PFM Act, 2012, accounting for 0.2 per cent of the total budget. Table 3.326 summarises each established Fund's budget allocation and performance during the reporting period.

Table 3.326: Performance of Machakos County Established Funds in the first nine months of FY 2025/26

S/No.	Name of the Fund	Year Established	Approved Budget Allocation in FY 2025/26 (Kshs.)	Exchequer Issues in the first nine months of FY 2025/26 (Kshs.)	Actual disbursements in the first nine months of FY 2025/26 (Kshs.)	Cumulative disbursements to the Fund (Kshs)	Submission of Financial Statements (Yes/No.)
County Executive Established Funds							
1	Machakos County Education Bursary Fund	2014	120,000,000	-	4,772,807	800,251,016	Yes
2	Machakos County Executive Mortgage & Car Loan Scheme	2015	-	-		96,000,000	Yes
3	Machakos County Climate Fund	2021	282,919,728	-	50,929,853	444,329,453	Yes
County Assembly Established Funds							
4	Machakos County Housing & Car Loan Scheme Fund - MCA	2014	-	-	3,492,309	386,000,000	Yes
5	Machakos County Housing & Car Loan Scheme Fund - Staff	2018	10,557,558	-	2,135,887	273,000,000	Yes
	Total		413,477,286		61,330,856	1,999,580,469	

Source: *Machakos County Treasury*

During the reporting period, the CoB received quarterly financial reports from five (5) Fund Administrators, as indicated in Table 3.326, in accordance with the requirements of Section 168 of the PFM Act, 2012. The County disclosed that administration costs for all the established funds were below the 3 per cent limit of the Fund budget set in Regulation 197(1)(d) of the Public Finance Management (County Governments) Regulations.

Regulation 197(1)(i) of the Public Finance Management (County Governments) Regulations, 2015, allows County Governments to establish public funds with a lifespan capped at 10 years unless extended by the County Assembly. In FY 2025/26, the CoB established that the lifespan of the Machakos County Education Bursary Fund, Machakos County Executive Mortgage & Car Loan Scheme, and Machakos County Housing & Car Loan Scheme Fund - MCA had lapsed. However, during the period, the County didn't submit requests for withdrawal

3.22.12 County Corporations

The County has five Corporations, namely: Machakos Water and Sewerage Company, Mavoko Water and Sewerage Company, Matungulu/Kangundo Water Company, Kathiani Sanitation Company, and Yatta San-

itation Company. The Corporations didn't receive an exchequer from the County Treasury, nor did they submit financial reports to it.

However, the five Corporations are undergoing restructuring in line with Section 77(2) of the Water Act, 2016, which requires compliance with the Regulatory Board's standards for commercial viability when establishing a water service provider.

3.22.13 Expenditure on Domestic and Foreign Travel

Expenditure on domestic travel amounted to Kshs.249.15 million and comprised Kshs.138.54 million spent by the County Assembly and Kshs.110.61 million by the County Executive. Expenditure on foreign travel amounted to Kshs.64.89 million and comprised Kshs.34.89 million by the County Assembly and Kshs.30.04 million by the County Executive. Expenditure on foreign travel is summarised in Table 3.327.

Table 3.327: Summary of Expenditure on Foreign Travel in the first nine months of FY 2025/26

Arm of County Government	Number of Officers Travelled	Date travelled	Purpose of the travel	Destination	Actual Payment on Travel (a) (Kshs.)	Accrued Expenditure on Travel (b) (Kshs.)	Total Expenditure on Travel (c=a+b) (Kshs.)
County Assembly	2	26th July-3rd August 2025	Attending a Progressive and Transformative Public Service Leadership and Management Symposium Module	Birmingham City, UK	2,371,606	-	2,371,606
County Assembly	5	9th-16th March, 2025	Attending a Capacity Building Tour on Leadership and Financial Management	East Africa Legislative Assembly, Tanzania	1,302,716	-	1,302,716
County Assembly	1	2nd-9th February,2025	Attending a Capacity Building and Study Tour	East Africa Legislative Assembly, Tanzania	324,912	-	324,912
County Assembly	5	5th-12th February,2025	International Conference on Communication Technology and New Media for Policy Makers	Dubai, UAE	750,000	-	750,000
County Assembly	6	14th-20th September, 2025	Capacity Building Tour at the East African Legislative Assembly	Arusha, Tanzania	1,697,784	-	1,697,784
County Assembly	14	7th-14th September, 2025	Attending a Capacity Building Tour at the East African Legislative Assembly	Arusha, Tanzania	6,249,787	-	6,249,787
County Assembly	1	5th-13th October,2025	International Knowledge Exchange Program for Clerks	Spain And France	2,004,031	-	2,004,031
County Assembly	6	9th-16th February,2025	Attending a Leadership and Training Programme	Singapore	1,620,000	-	1,620,000
County Executive	1	11th To 22nd August 2025	A Professional Training on Managing the Training and Development	Arusha, Tanzania	651,684		651,684
County Executive	2	5th To 11th November 2025	4th Edition of African Women Awards Conference 2025	Kigali Rwanda	429,690		429,690
County Executive	5	5th To 11th November 2025	4th Edition of African Women Awards Conference 2025	Kigali Rwanda	4,159,092		4,159,092
County Executive	5	21st July To 1st August, 2025	Financing And Financial Analysis Programme	Dubai, UAE	5,867,888		5,867,888

Arm of County Government	Number of Officers Travelled	Date travelled	Purpose of the travel	Destination	Actual Payment on Travel (a) (Kshs.)	Accrued Expenditure on Travel (b) (Kshs.)	Total Expenditure on Travel (c=a+b) (Kshs.)
County Executive	1	18th -29th August 2025	Training On Contemporary Issues In	Arusha Tanzania	561,266		561,266
County Executive	1	23rd October To 5th November 2025	138th Session of the Import And Export Fair In China	China	589,530		589,530
County Executive	1	23rd October To 5th November 2025	138th Session of the Import And Export Fair In China	China	589,530		589,530
County Executive	4	23rd October To 5th November 2025	138th Session of the Import And Export Fair In China	China	1,733,760		1,733,760
County Executive	2	5th To 13th September 2025	The 2nd Africa Climate Summit	Ethiopia	1,182,770	-	1,182,770
County Executive	2	July 21st To 1st August 2025	Esami Financial Analysis Course	Hilton By Hampton Hotel Dubai	1,839,796	-	1,839,796
County Executive	1	17th To 28th November	Esami Senior Management Development Programme Course	Hilton Garden Inn Dubai	902,800	-	902,800
County Executive	1	8th To 15th Dec 2025	The Rise Of Illiberal Democracy And Its Impact Globally	Chicago, USA	2,251,108	-	2,251,108
Finance	4	13th To 24th January 2024	Training On Strategic Organisational Change Management In The Public Sector	Dubai, UAE	1,069,156	-	1,069,156
Office of the Governor	5	22nd To 31st January 2026	Amali City Leadership Forum	Amali City, South Africa, From	2,540,214	-	2,540,214
Office of the Governor	5	12th February 2026	World Health Expo-Dubai	Dubai	1,423,849	-	1,423,849
Finance	1	4th - 7th June 2025	Being Imprest Issued While On Official Duty In China From 4th - 7th June 2025	China	822,330	-	822,330
Office of the Governor	2	10th To 19th September 2025	Technology Expo In Singapore	Singapore	1,800,272	-	1,800,272
Health	1	20th To 22nd June 2025	Public Health World Conference	Singapore	859,489	-	859,489
Office of the Governor	1	2nd - 10th Nov 2025	Benchmarking And Network Event	Dubai - UAE and Doha, Qatar	761,612	-	761,612

Source: *Machakos County Treasury and Machakos County Assembly*

3.22.14 Facility Improvement Financing

During the review period, the County reported collections of Kshs.1.24 billion as FIF, which was 116 per cent of the annual target of Kshs.1.07 billion. The 116 per cent overperformance was due to the accrual accounting system, including SHA claims. The collected amount was retained and utilised at source in line with the Facility Improvement Financing Act, 2023. The County has developed regulations to operationalise the FIF Act of 2023.

The expenditure by the health facilities amounted to Kshs.275.4 million, as shown in Table 3.328.

Table 3.328: Machakos County Health Facilities Expenditure Performance in the first nine months of FY 2025/26

No.	Health Facility	Number of Facilities	Approved Budget (Kshs.)	Actual Expenditure (Kshs.)	Absorption rate (%)
1.	Level 5 Hospital	1	153,094,680	107,524,037	70
2.	Level 4 Hospital	10	493,686,276	207,168,709	42
3.	Level 3 Facility	39	325,477,500	68,229,020	21
4.	Level 2 Facility	173			
	Total	**223**	**493,686,276**	**275,397,729**	**56**

Source: *Machakos County Treasury*

3.22.15 Development Expenditure

In the review period, the County reported spending Kshs.1.16 billion on development programmes, representing a decrease of 14 per cent compared to FY 2024/25, when the County spent Kshs.1.35 billion. Table 3.329 summarises the development projects with the highest expenditure in the reporting period.

The decline in development expenditure was attributed to the national government's introduction of a new procurement procedure.

Table 3.329: Machakos County, List of Development Projects with the Highest Expenditure

S/N	Sector	Project Name	Project Location	Project Commencement Date	Expected date of Completion of the Project	Contract sum (Kshs)	Total Funding in FY 2025/26 (Kshs.Mn)	Expenditure (on an accrual basis) in the first nine months of FY 2025/26 (Kshs. Mn)	Cumulative project expenditure (on an accrual basis) as of 31st March 2026 (Kshs. Mn)	Percentage (%) of Completion
1	Infrastructure Public Works	Construction of Office Block (Thin Tall Building)	Mua	06/10/2018	30/06/2027	399,999,999	25.88	-	251.73	75
2	Health	Proposed Phased Multi-Year Construction of New Level 5 Specialist Hospital Project.	Machakos Central	Apr-24	Jun-28	1,495,000,000	50.00	50.00	250.65	25
3	Roads & Transport	Katangi – Kinyaata – Kithimani Road (Phased) 5 kms	Katangi, Ikombe, Kithimani Yatta	22/01/2024	30/06/2027	244,514,716	79.49	70.07	224.97	89
4	Roads & Transport	Kathalani – Kaviani Road (Phased) 3.2 kms	Upper Kaewa	22/01/2024	30/06/2025	154,580,347	6.10	6.10	154.58	100
5	Roads & Transport	Mlolongo – Gossip – Police Road (Phased) 4.3 kms	Mlolongo/ Syokimau	22/01/2024	30/06/2027	326,815,930	161.91	60.66	142.32	35
6	Transport	Purchase of Motor Graders	County-wide	06/08/2025	06/30/2027	290,792,200	100.00	100.00	100.00	34
7	Transport	Supply Refined Fuels and Lubricants for Roads grading programme (RRI)	County-wide	29/9/2025	30/06/2026	73,303,938	88.30	69.30	69.30	83

S/N	Sector	Project Name	Project Location	Project Commencement Date	Expected date of Completion of the Project	Contract sum (Kshs)	Total Funding in FY 2025/26 (Kshs.Mn)	Expenditure (on an accrual basis) in the first nine months of FY 2025/26 (Kshs. Mn)	Cumulative project expenditure (on an accrual basis) as of 31st March 2026 (Kshs. Mn)	Percentage (%) of Completion
8	Health	Proposed Phased Construction of Mavoko Level 4 Hospital at Mavoko Sub-County.	Athi River Township	May-24	Jun-28	284,238,319	93.88	48.18	55.99	25
9	Health	Proposed Construction of CT Scan, Theatre, Casualty, Toilet Block, Call Rooms, and Staff Lounge at Matuu Level 4 Hospital	Matuu	May-24	Jun-26	93,531,310	29.11	9.30	42.26	85
10	Health	Proposed Construction of Ndithini Level 4 Hospital	Ndithini	May-24	Jun-28	128,999,923	74.04	13.92	29.20	45
11	Health	Phased construction of Mlolongo Level 4 Hospital	Mlolongo/ Syokimau	May-25	Jun-29	236,924,091	130.20	25.44	25.44	20

Source: *Machakos County Treasury*

The County reported 54 stalled development projects as of 31st March 2026, with an estimated value of Kshs.1.13 billion, of which Kshs.314.26 million has already been paid. The County has revived six projects out of the 54 stalled projects. The first three projects were initiated before devolution; therefore, the contract/procurement files cannot be traced, and no estimated value is available for these projects. The stalled projects are shown in Table 3.330.

Table 3.330: Machakos County Stalled Projects as of 31st March 2026

No	Sector	Project Name	Project Location	Project Start Date	Expected Completion Date of the Project	Estimated Value of the Project (Kshs. Mn)	Amount Paid on the stalled project (Kshs. Mn)	Accrued Expenditure on the stalled project (Kshs. Mn)	Outstanding Unpaid Balance As of 31st March 2026 (Kshs. Mn)	Percentage of Completion before stalling of the Project	Reason for Project Stalling
1	Agriculture and Food Security	Construction of the Agriculture Office block	Kathiani Central	Initiated and stalled before devolution	2012	-	-	-		60	The contractor abandoned the site, and the contract expired.
2	Agriculture and Food Security	Construction of the Agriculture Office block	Kangundo Central	Initiated and stalled before devolution	2012	-	-	-		60	The contractor abandoned the site, and the contract expired.

No	Sector	Project Name	Project Location	Project Start Date	Expected Completion Date of the Project	Estimated Value of the Project (Kshs. Mn)	Amount Paid on the stalled project (Kshs. Mn)	Accrued Expenditure on the stalled project (Kshs. Mn)	Outstanding Unpaid Balance As of 31st March 2026 (Kshs. Mn)	Percentage of Completion before stalling of the Project	Reason for Project Stalling
3	Livestock and Fisheries Development	Construction of Livestock Offices	Mwala	Initiated and stalled before devolution	2012	-	-	-		60	The contractor abandoned the site, and the contract expired.
4	Health	Proposed Construction of Kithimani Community Hospital	Kithimani	Sep-13	May-14	11.50	11.25	-	0.24	85	Phase I Complete as per scope in BQs
5	Health	Proposed Construction of Kikesa Community Hospital	Ikombe	Sep-13	May-14	12.56	-	-	12.56	50	Initial Contract terminated
6	Health	Proposed Construction of Kalama Community Hospital	Kalama	Sep-13	May-14	11.66	7.21	-	4.45	70	The contractor abandoned the site, and the contract expired
7	Health	Proposed Construction of Wamunyu Community Hospital	Wamunyu	Sep-13	May-14	8.00	-	-	8.00	60	Initial Contract terminated
8	Health	Proposed Construction of Kawauni Community Hospital	Kangundo North	Sep-13	May-14	10.84	-	-	10.84	40	Initial Contract Terminated
9	Health	Proposed Construction of Kaviani Community Hospital	Upper Kaewa	Sep-13	May-14	13.81	4.92	-	8.89	40	Phase I Complete as per scope in BQs
10	Health	Proposed Construction of Wondeni Community Hospital	Muvuti / Kiima kimwe	Sep-13	May-14	17.19	-	-	17.19	5	Initial Contract Terminated

No	Sector	Project Name	Project Location	Project Start Date	Expected Completion Date of the Project	Estimated Value of the Project (Kshs. Mn)	Amount Paid on the stalled project (Kshs. Mn)	Accrued Expenditure on the stalled project (Kshs. Mn)	Outstanding Unpaid Balance As of 31st March 2026 (Kshs. Mn)	Percentage of Completion before stalling of the Project	Reason for Project Stalling
11	Health	Proposed Construction of Mua Community Hospital	Mua	Sep-13	May-14	11.53	9.60	-	1.93	80	Initial Contract terminated
12	Health	Completion of works at Mumbuni Dispensary/Kwa Musyoka.	Mumbuni North	Sep-13	May-14	1.90	-	-	1.90	100	The contractor abandoned the site, and the contract expired
13	Trade	Market shed/ Kithimani	Kithimani	5/5/2014	2014	4.68	-	-	4.68	70	The contractor abandoned the site, and the contract expired
14	Trade	Market shed/ Ikombe	Ikombe	5/5/2014	2014	4.68	-	-	4.68	70	The contractor abandoned the site and the contract expired
15	Trade	Market Shed/ Matuu	Matuu	5/5/2014	2014	9.61	-	-	9.61	40	Contractor abandoned the site, and the contract expired
16	Trade	Market shed/Kangundo	Kangundo Central	5/5/2014	2014	5.77	-	-	5.77	40	The contractor abandoned the site, and the contract expired
17	Trade	Market shed/Kiatinene	Ndithini	5/5/2014	2014	4.68	-	-	4.68	60	The contractor abandoned the site, and the contract expired
18	Trade	Market shed/ Masinga	Masinga Central	5/5/2014	2014	4.89	-	-	4.89	40	The contractor abandoned the site, and the contract expired
19	Trade	Market shed/ Kivani	KangundoEast	5/5/2014	2014	4.73	-	-	4.73	70	The contractor abandoned the site, and the contract expired

No	Sector	Project Name	Project Location	Project Start Date	Expected Completion Date of the Project	Estimated Value of the Project (Kshs. Mn)	Amount Paid on the stalled project (Kshs. Mn)	Accrued Expenditure on the stalled project (Kshs. Mn)	Outstanding Unpaid Balance As of 31st March 2026 (Kshs. Mn)	Percentage of Completion before stalling of the Project	Reason for Project Stalling
20	Tourism and Culture	Construction of Machawood Offices at Machawood Studios in Mikuyu/Vota Village	Mua	7/1/2014	3/12/2015	39.74	-	-	39.74	100	The contractor abandoned the site, and the contract expired
21	Tourism and Culture	Construction of the Machawood Go-down at Machawood Studios in Mikyuy/Vota Village	Mua	7/1/2014	3/12/2015	23.41	-	-	23.41	15	The contractor abandoned the site, and the contract expired
22	Trade	Construction of office block/ Mavoko Offices	Athi river	2015	2016	17.50	-	-	17.50	80	Contract terminated
23	Public Works	Proposed Construction of two 50m long blocks with a walkway boulevard between them. Lettable spaces with washrooms on each block	Mua	5th April 2018	28th June 2019	55.50	5.37	-	50.12	10	Stalled due to the contractor's non-performance of the contract - Contract terminated
24	Public Works	Proposed Construction of Community Recreation Centre	Mua	5th April 2018	28th June 2019	55.44	5.80	-	49.63	11	Stalled due to the contractor's non-performance of the contract - Contract terminated

No	Sector	Project Name	Project Location	Project Start Date	Expected Completion Date of the Project	Estimated Value of the Project (Kshs. Mn)	Amount Paid on the stalled project (Kshs. Mn)	Accrued Expenditure on the stalled project (Kshs. Mn)	Outstanding Unpaid Balance As of 31st March 2026 (Kshs. Mn)	Percentage of Completion before stalling of the Project	Reason for Project Stalling
25	Public Works	Proposed Construction of Public Facility Area Comprising Swimming Pool, toilet, changing rooms, and Public Beach	Mua	5th April 2018	28th June 2019	37.59	26.28	-	11.31	70	Stalled due to the contractor's non-performance of the contract
26	Public Works	Office block 12-storey	Mua	5th April 2018	5th Aug. 2019	395.00	41.41	-	353.59	45	Stalled due to the contractor's non-performance of the contract - Contract terminated
27	Health	Proposed Construction of Kwa Mwatu Community Hospital	Matuu	Feb-18	Aug-18	10.82	6.72	-	4.09	60	The contractor abandoned the site, and the contract expired
28	Health	Proposed Construction of Mwala Community Hospital (Kitchen & Laundry)	Mwala / Makutano	Feb-18	Aug-18	12.58	10.05	-	2.53	80	The contractor abandoned the site, and the contract expired
29	Health	Proposed Construction of Kyeleni Community Hospital	Kyeleni	Feb-18	Aug-18	7.89	5.73	-	2.16	70	The contractor abandoned the site, and the contract expired
30	Health	Proposed Construction of Ngiini Community Hospital	Kangundo Central	Feb-18	Aug-18	10.76	5.37	-	5.39	50	The contractor abandoned the site, and the contract expired

No	Sector	Project Name	Project Location	Project Start Date	Expected Completion Date of the Project	Estimated Value of the Project (Kshs. Mn)	Amount Paid on the stalled project (Kshs. Mn)	Accrued Expenditure on the stalled project (Kshs. Mn)	Outstanding Unpaid Balance As of 31st March 2026 (Kshs. Mn)	Percentage of Completion before stalling of the Project	Reason for Project Stalling
31	Health	Proposed Construction of Kamulu Drumville Community Hospital	Muthwani	Feb-18	Aug-18	13.00	9.40	-	3.61	80	Phase I Complete as per scope in BQs
32	Trade	Construction of the Masii Market shed	Masii	2018	2019	1.72	-	-	1.72	80	The contractor abandoned the site, and the contract expired
33	Trade	Construction of the Kithyoko Market shed	Kithyoko	2018	2019	2.12	-	-	2.12	80	The contractor abandoned the site, and the contract expired
34	Trade	Construction of the Katangi Market shed	Katangi	2018	2019	1.84	-	-	1.84	80	The contractor abandoned the site, and the contract expired
35	Trade	Construction of Kisukioni Market Shed	Kisukioni	2018	2019	0.30	-	-	0.30	80	The contractor abandoned the site, and the contract expired
36	Trade	Partitioning of Mavoko offices	Athiriver	2018	2019	2.17	-	-	2.17	80	The contractor abandoned the site, and the contract expired
37	Trade	Construction of Muumandu Market shed	Kalama	2018	2019	2.78	-	-	2.78	80	The contractor abandoned the site, and the contract expired
38	Trade	Construction of the Katulye Market shed	Katulye	2018	2019	2.87	-	-	2.87	80	The contractor abandoned the site, and the contract expired

No	Sector	Project Name	Project Location	Project Start Date	Expected Completion Date of the Project	Estimated Value of the Project (Kshs. Mn)	Amount Paid on the stalled project (Kshs. Mn)	Accrued Expenditure on the stalled project (Kshs. Mn)	Outstanding Unpaid Balance As of 31st March 2026 (Kshs. Mn)	Percentage of Completion before stalling of the Project	Reason for Project Stalling
39	Water	Mumbuni earth dam; Excavation works, treatment works, storage tanks and water distribution pipeline	Kibauni	24th Sept 2018	30th Sept,2019	75.16	68.41	--	6.74	91	The contractor abandoned the site at 91% completion, and the contract was terminated and reawarded to a new contractor in the subsequent fiscal year, but the contractor failed to mobilise to the site.
40	Youth & Sports	Design & Build Mavoko Stadium	Athiriver	25/01/2019	25/01/2022	44.62	8.74	-	35.88	5	Stalled due to contractors Non- Perfomamnce of the contract
41	Youth & Sports	Design & Build Ikombe Stadium	Ikombe	25/01/2019	25/01/2022	49.74	38.68	-	11.06	98%	Kes. 10,946,000 final certificate raised by contractor pending payment
42	Education	Construction of St. Francis Misyani ECDE	Kangundo North	2019	2020	0.98	-	-	0.98	80%	The contractor abandoned the site, and the contract expired
43	Education	Construction of Kyandu ECDE	Kangundo West	2019	2020	0.98	-	-	0.98	80%	The contractor abandoned the site, and the contract expired
44	Education	Construction of Matetani ECDE	Kangundo Central	2019	2020	0.98	-	-	0.98	80%	The contractor abandoned the site, and the contract expired

No	Sector	Project Name	Project Location	Project Start Date	Expected Completion Date of the Project	Estimated Value of the Project (Kshs. Mn)	Amount Paid on the stalled project (Kshs. Mn)	Accrued Expenditure on the stalled project (Kshs. Mn)	Outstanding Unpaid Balance As of 31st March 2026 (Kshs. Mn)	Percentage of Completion before stalling of the Project	Reason for Project Stalling
45	Vocational & Skills Training	Construction of twin workshop at Kithaayoni VTC	Machakos Central	1/7/2019	30/06/2020	-	-	-	-	45%	This is the only stalled project for the VTC Dept. To this end, no contract documents are available. Contractor abandoned the site, and the contract expired-
46	Youth & Sports	Design & Build Kinyui Stadium	Matungulu East	9/1/2019	9/1/2022	49.74	36.71	-	13.03	50%	Stalled due to the contractor's non-performance of the contract and subsequently terminated by the user Department.
47	Youth & Sports	Design & Build Masii Stadium	Masii	9/1/2019	9/1/2022	49.05	-	-	49.05	5%	Kes. 4,705,280.00 certificate raised by contractor pending payment. The project stalled due to the contractor's non-performance under the contract.
48	Health	Proposed Construction of Kisiiki Community Hospital	Ndalani	Oct-19	Apr-20	5.00	2.80	-	2.20	60%	The contractor abandoned the site, and the contract expired
49	Education	Construction of Ielanthi ECDE	Kivaa	2021	2022	1.00	0.25	-	0.75	60%	The contractor abandoned the site, and the contract expired
50	Education	Construction of Mwatungo ECDE	Kivaa	2021	2022	1.00	0.30	-	0.70	60%	The contractor abandoned the site, and the contract expired

No	Sector	Project Name	Project Location	Project Start Date	Expected Completion Date of the Project	Estimated Value of the Project (Kshs. Mn)	Amount Paid on the stalled project (Kshs. Mn)	Accrued Expenditure on the stalled project (Kshs. Mn)	Outstanding Unpaid Balance As of 31st March 2026 (Kshs. Mn)	Percentage of Completion before stalling of the Project	Reason for Project Stalling
51	Education	Construction of Kwamavui ECDE	Masinga Central	2021	2022	1.00	-	-	1.00	20%	The contractor pulled out because of financial constraints
52	Water	Mutheteni treatment works; Construction of treatment works, solar panel	Mutheteni	Sep-21	Feb-22	8.26	3.94	-	4.32	90%	The contractor abandoned the site, and the contract was terminated
53	Water	Lumbwa Treatment Works: Construction of treatment works	Kola	9/1/2021	3/1/2022	10.00	5.30	-	4.70	90%	The contractor abandoned the site, and the contract was terminated
54	Health	Proposed Renovation and Completion Works at Ikaatini Dispensary	Ekalakala	Jun-22	Dec-22	3.54	-	-	3.54	45%	The contractor abandoned the site, and the contract expired

Source: Machakos County Treasury

3.22.16 Budget Performance by Department

Table 3.331 summarises the approved budget allocation, expenditure, and absorption rate by department for the period under review.

Table 3.331: Machakos County, Budget Allocation and Absorption Rate by Department in the first nine months of FY 2025/26

Department	Revised Budget Allocation (Kshs.Million)		Exchequer Received (Kshs. Million)		Expenditure (Kshs. Million)		Expenditure to Exchequer (%)		Absorption rate (%)	
	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev
Office of the Governor	797.35	53.31	204.13	-	271.47	-	133.0	-	34.6	-
County Public Service Board	38.01	18.00	35.02	-	36.27	-	103.6	-	83.8	-
Roads, Transport and Public Works	277.32	1,012.61	175.07	100.00	195.55	447.09	111.7	447.1	73.3	38.6
County Assembly	1,114.31	174.40	657.28	-	597.99	-	91.0	-	61.8	-
Agriculture, Food Security and Co-operative Development	277.24	455.39	201.35	20.00	223.71	55.21	111.1	276.1	89.4	16.8

Department	Revised Budget Allocation (Kshs.Million)		Exchequer Received (Kshs. Million)		Expenditure (Kshs. Million)		Expenditure to Exchequer (%)		Absorption rate (%)	
	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev
Health Services & Emergency Services	4,347.64	607.58	3,237.741	13.23	3,780.98	116.41	116.8	879.9	90.0	22.3
Water, Irrigation, Environment and Climate Change	163.60	664.09	121.76	125.47	110.58	128.90	90.8	102.7	78.6	19.6
Finance, Economic Planning & Revenue Management	1,156.83	724.26	844.82	88.90	719.48	363.89	85.2	409.3	59.4	67.7
Gender, Youth, Sports & Social Welfare	143.97	306.69	150.93	-	131.12	4.77	86.9	-	62.7	1.7
Trade, Industry, Tourism & Innovation	156.58	272.14	103.48	-	93.38	10.00	90.2	-	55.1	6.6
Education	762.57	105.79	576.83	-	644.34	34.71	111.7		80.0	32.4
Lands, Urban Development, Housing & Energy	251.20	345.76	103.08	-	104.02	2.45	101.0	-	39.7	1.1
Devolution	1,252.35	59.56	625.83	35.25	1,043.36	-	166.7	-	85.1	-
Office of the County Attorney	86.85	-	34,38	-	39.54	-	115.0	-	66.9	-
	10,825.82	**4,799.58**	**7,071.64**	**382.85**	**7,991.78**	**1,163.43**	**113.0**	**303.9**	**75.4**	**25.3**

Source: *Machakos County Treasury*

Analysis of expenditure by departments shows that the Department of Road, Transport and Public Works recorded the highest absorption rate of development budget at 38.6 per cent, followed by the Department of Education at 32.4 per cent. The Department of Health Service and Emergency Service had the highest percentage of recurrent expenditure to budget at 90 per cent, while the Department of the Office of the Governor had the lowest at 34.6 per cent.

3.22.17 Budget Execution by Programmes and Sub-Programmes

Budget execution was concentrated in selected performance bands. In the 1–10 per cent band, development absorption was reported at nil for administration and coordination units under the Department of Devolution, for climate change under the Department of Water, Irrigation, Environment and Climate Change, for general administration, planning and support service under the Department of Agriculture, Food Security and Cooperative Management, and for representation, oversight and legislative under the County Assembly, and at 4 per cent for administrative services under gender and social welfare. Recurrent absorption was reported at nil for the Mavoko Municipality under the Department of Land, Housing, Urban Development and Energy and for the ICT section under the Office of the Governor, at 1 per cent for solid waste management under the Department of Devolution, at 3 per cent for small and medium-sized enterprises under the Department of Trade, Industry, Tourism and Innovation, and at 7 per cent for vocational training under basic education.

In the 41–50 per cent band, development absorption was reported for road development and maintenance under the Department of Roads, Transport and Public Works at 44 per cent. In the 71–80 per cent band, development absorption was reported for crop development management under the Department of Agriculture, Food Security and Cooperative Management at 74 per cent and for revenue management under the Department of Finance, Economic Planning and Revenue Management at 69 per cent. In the 81–90 per cent band, development absorption reached 90 per cent for accounting services and 87 per cent for budget formulation, coordination and implementation under the Department of Finance, Economic Planning and Revenue Management.

In the 90–100 per cent band, recurrent absorption reached 99 per cent for general administration, planning and support service under the Department of Health, 98 per cent for the same sub-programme under the Department of Agriculture, Food Security and Cooperative Management, 98 per cent for performance

management under the Department of Devolution, 96 per cent for general administration, planning and support service under the Department of Roads, Transport and Public Works, and 95 per cent for the same sub-programme under the Department of Education.

Low absorption in the lower performance bands reflected nil and single-digit implementation across devolution, climate change, agriculture administration, county assembly representation, municipality and ICT sub-programmes. Conversely, performance in the 90–100 per cent band reflected prudent budget implementation and the prioritisation of the respective sub-programmes during the review period.

Table 3.332 summarises budget execution by programmes and sub-programmes in the period under review with the highest absorption rates.

Table 3.332: Budget Execution by Programmes and Sub-Programmes with Highest Absorption Rates

Programme	Sub-Programme	Gross Approved Estimates FY 2025/26 (Kshs.)	Expenditure (including accrued expenditure) as of 31st March 2026 (Kshs.)	Absorption Rate (%)
		Dev	Dev	Dev
DEVELOPMENT				
Department Of Finance, Economic Planning, and Revenue Management				
Public Finance Management	Accounting Service	333,199,718	298,617,267	90
Department Of Finance, Economic Planning, and Revenue Management				
Public Finance Management	Budget formulation, coordination, and implementation	43,686,185	38,182,867	87
Department Of Agriculture, Food Security And Cooperative Management				
General administration, planning, and support service	Crop development management	53,311,955	39,512,731	74
Department Of Finance, Economic Planning, and Revenue Management				
Revenue management	Revenue Management	39,243,522	27,089,000	69
Department Of Road, Transport, and Public Works				
Road and Transport	Road development and maintenance	848,421,061	376,629,886	44
RECURRENT				
Department Of Health				
General Administration, Planning, and Support Service	General Administration, Planning, and Support Service	3,464,961,497	3,414,040,133	99
Department Of Agriculture, Food Security And Cooperative Management				
General Administration, Planning, and Support Service	General Administration, Planning, and Support Service	151,799,534	149,402,625	98
Department Of Devolution				
Public Service and Performance Management	Performance Management	5,000,000	4,906,218	98
Department Of Road, Transport, and Public Works				
General Administration, Planning, and Support Service	General Administration, Planning, and Support Service	189,679,278	182,314,414	96

Programme	Sub-Programme	Gross Approved Estimates FY 2025/26 (Kshs.)	Expenditure (including accrued expenditure) as of 31st March 2026 (Kshs.)	Absorption Rate (%)
		Dev	Dev	Dev
Department Of Education				
General Administration, Planning, and Support Service	General Administration, Planning, and Support Service	655,073,068	623,408,118	95

Source: *Machakos County Treasury*

The development sub-programmes with the highest budget implementation rates were: Accounting services in the Department of Finance, Economic Planning and Revenue Management at 90 per cent, Budget formulation coordination and implementation in the Department of Finance, Economic Planning and Revenue Management at 87 per cent, and Crop development management at 74 per cent.

For recurrent sub-programmes, the top performers included: General administration planning and support service in the Department of Health at 99 per cent, General administration planning and support service in the Department of Agriculture, food security and Cooperative management at 98 per cent, and Performance management in the Department of Devolution at 98 per cent.

Table 3.333 summarises the budget execution by programmes and sub-programmes in the period under review that had the lowest absorption rates.

Table 3.333: Budget Execution by Programmes and Sub-Programmes with Lowest Absorption Rates

Programme	Sub-Programme	Gross Approved Estimates FY 2025/26 (Kshs.)	Expenditure (including accrued expenditure) as of 31st March 2026 (Kshs.)	Absorption Rate (%)
		Dev	Dev	Dev
DEVELOPMENT				
Department Of Devolution				
County Administration and Decentralised Units	Administration and Coordination Units	401,591,425	-	-
Department Of Water, Irrigation, Environment, and Climate Change				
Climate Change	Climate Change	271,919,728	-	-
Department Of Agriculture, Food Security And Cooperative Management				
General administration, Planning and support service	General administration, Planning and support service	159,761.890	-	-
County Assembly				
Representation, Oversight and legislative	Representation, Oversight and legislative	155,000,000	-	-
Department Of Gender, Youth, Sports, and Social Welfare				
Gender and Social Welfare	Administrative Services	123,662,134	4,768,906	4
RECURRENT				
Department Of Land, Housing, Urban Development, and Energy				
Housing and urban development	Mavoko Municipality	24,800,000	-	-
Department Of Devolution				
County Administration and decentralised units	Solid waste management	16,604,400	135,840	1
Department of the Office Of The Governor				

Programme	Sub-Programme	Gross Approved Estimates FY 2025/26 (Kshs.)	Expenditure (including accrued expenditure) as of 31st March 2026 (Kshs.)	Absorption Rate (%)
		Dev	Dev	Dev
Coordination and supervisory service	Ict Section	52,245,915	-	-
Department Of Trade, Industry, Tourism, and Innovation				
Small and medium-sized enterprises	Small and medium-sized enterprises	41,500,000	1,362,771	3
Department Of Education				
Basic Education	Vocational Training	6,550,000	469,650	7

Source: *Machakos County Treasury*

The development sub-programmes with the lowest budget implementation rates for development were as follows: Administrative and Coordination Service in the Department of Devolution at nil per cent; Climate Change in the Department of Water, Irrigation, Environment and Climate Change at nil per cent; and General Administration Planning and support Service at nil per cent.

For recurrent sub-programmes, the poorest performers included: the ICT Section in the Department of the Office of the Governor at nil per cent; the Mavoko Municipality in the Department of Land, Housing, Urban Development and Energy at nil per cent; and the Solid Waste Management in the Department of Devolution at 1 per cent.

3.22.18 Settlement of Trade Payables

As of 1st July 2025, the County reported trade payables totalling Kshs.6.97 billion. This amount consisted of Kshs.6.70 billion from the County Executive and Kshs.252.64 million from the County Assembly. The trade payables from the County Executive comprised Kshs.3.90 billion for recurrent expenditure and Kshs.2.81 billion for development expenditure.

During the reporting period, the County Executive settled trade payables amounting to Kshs.1.46 billion, comprising Kshs.965.89 million (66 per cent) for recurrent programmes and Kshs.497.97 million (34 per cent) for development programmes. On the other hand, the County Assembly settled trade payables amounting to Kshs.28.70 million, comprising Kshs.28.70 million (100 per cent) for recurrent activities and nil for development activities. The outstanding trade payables as of 31st March 2026 were Kshs.5.24 billion for the County Executive and Kshs.223.93 million for the County Assembly. Table 3.334 provides additional details of trade payables.

Table 3.334: Machakos County Trade Payables as of 31st March 2026

		County Entity	Development (Kshs.)	Recurrent (Kshs.)	Total (Kshs.)
As at 1 July 2025 (End of FY 2024/25)	a	County Executive	2,805,338,224	3,898,743,911	6,704,082,135
		County Assembly	1,941,578	250,695,222	252,636,800
		Total	2,807,279,802	4,149,439,133	6,956,718,935
Trade payables scheduled to be settled in the first nine months of FY 2025/26 per the action plan	b	County Executive	520,037,007	974,287,724	1,494,324,731
		County Assembly	-	19,707,944	19,707,944
		Total	520,037,007	993,995,668	1,514,032,675
Amount paid in the first nine months of FY 2025/26	c	County Executive	497,967,890	965,889,116	1,463,857,006
		County Assembly	-	28,704,869	28,704,869
		Total	497,967,890	994,593,985	1,492,561,875

		County Entity	Development (Kshs.)	Recurrent (Kshs.)	Total (Kshs.)
Trade Payables Incurred in the First Nine Months of FY 2025/26	d	County Executive	-	-	-
		County Assembly	-	-	-
		Total	-	-	-
Outstanding trade payables as of 31st March 2026	**e = a - c*b**	**County Executive**	**2,307,370,334**	**2,932,854,795**	**5,240,225,129**
		County Assembly	**1,941,578**	**221,990,353**	**223,931,931**
		Total	**2,309,311,912**	**3,154,845,148**	**5,464,157,060**

Source: *Machakos County Treasury*

The County Executive and the Assembly submitted a trade payables payment plan, committing to pay Kshs.1.49 billion and Kshs.19.71 million, respectively, in FY 2025/26. The County executive adhered to this payment plan, as it cleared Kshs.1.46 billion for the Executive and Kshs.28.70 million for the Assembly.

Table 3.335 and Table 3.336 present the ageing of the total outstanding bills as of 31st March 2026 for the County Executive and Assembly, which were Kshs.5.47 billion.

Table 3.335: Machakos County Executive Trade Payables Ageing Analysis as of 31st March 2026

Category	Ageing analysis (Amount in Kshs.)				Total
	Under one year	1-2 years	2-3 years	Over 3 years	
Development Trade Payables	979,956,995	392,953,434	153,835,418	780,624,486	2,307,370,333
Recurrent Trade Payables (Goods & Services)	344,267,489	209,848,354	299,326,561	1,745,508,613	2,598,951,017
Recurrent Trade Payables (Salary Arrears and Statutory Deductions)	8,398,608	-	-	325,505,170	333,903,778
Recurrent Trade Payables (Staff Claims)	-	-	-	-	-
Total Recurrent Trade Payables	352,666,098	209,848,354	299,326,561	2,071,013,783	2,932,854,796
Total Trade Payables	1,332,623,093	602,801,788	453,161,979	2,851,638,269	5,240,225,129
% of Total	**25**	**12**	**9**	**54**	**100**

Source: *Machakos County Treasury*

Table 3.336: Machakos County Assembly Trade Payables Ageing Analysis as of 31st March 2026

Category	Ageing analysis (Amount in Kshs.)				Total
	Under one year	1-2 years	2-3 years	Over 3 years	
Development Trade payables	**1,941,578**	**-**	**-**	**-**	**1,941,578**
Recurrent Trade payables (Goods & Services)	35,666,965	26,517,398	18,983,991	52,604,778	133,773,132
Recurrent Trade payables (Salary Arrears and Statutory Deductions)	2,310,133	16,000	-	-	2,326,133
Recurrent Trade payables (Staff Claims)	30,749,685	31,923,527	23,217,876	-	85,891,087
Total Recurrent Trade payables	68,726,783	58,456,925	42,201,867	52,604,778	221,990,353
Total Trade payables	**70,668,361**	**58,456,925**	**42,201,867**	**52,604,778**	**223,931,931**
% of Total	**31.6**	**26.1**	**18.8**	**23.5**	**100**

Source: *Machakos County Treasury*

As shown in Table 3.335 and Table 3.336, the total salary arrears and statutory deductions for trade payables amounted to Kshs.336.41 million, representing 6 per cent of the total trade payables of Kshs.5.46 billion as of March 31, 2026.

Additionally, the two tables indicate that 53 per cent of total trade payables are aged over 3 years, a trend attributed to non-compliance with the payment plan and failure to follow the FIFO repayment basis. To address this situation, the county should resolve the issues with the trade payables.

3.22.19 General Observations and Recommendations

In the course of overseeing and reporting on the implementation of the Machakos County budget, the CoB identified the following challenges, which hampered effective budget implementation;

i. The County Treasury's late submission of financial reports to the Controller of Budget affected the timely preparation of the budget implementation report, which was received on 29th April, 2026.
ii. The underperformance of own-source revenue at Kshs.2.62 billion against an annual target of Kshs.4.09 billion, representing 64 per cent of the financial year target. If performance is below 60 per cent of the annual target.
iii. Low development performance in the review period as the County incurred Kshs.1.16 billion on development activities, achieving a 25.3 per cent absorption rate.
iv. Regulation 197(1)(i) of the Public Finance Management (County Governments) Regulations, 2015, limits the lifespan of public funds to 10 years unless extended by the County Assembly. As of 31st March 2026, the lifespan of the Machakos County Education Bursary Fund, Machakos County Executive Mortgage & Car Loan Scheme, and Machakos County Housing & Car Loan Scheme Fund - MCA Fund had lapsed, making them ineligible for further withdrawals.
v. High level of trade payables, which amounted to Kshs.5.46 billion as of 31st March 2026. Furthermore, the County Treasury did not adhere to the trade payables payment plan.
vi. Use of manual payroll. Personnel emoluments amounting to Kshs.96.13 million for 5 staff not onboarded into the HRIS, and 179 casual staff were processed through manual payroll, accounting for 1.7 per cent of the total payroll cost. Manual payroll is prone to abuse and may result in the loss of public funds.
vii. Non-submission of copies of authorisation letters for opening commercial bank accounts as per Regulation 82(5) of the Public Finance Management (County Governments) Regulations, 2015.
viii. The County reported Kshs.111.20 million under "*other operating expenses - Other,"* accounting for 5 per cent of total operation and maintenance costs. The review revealed that this category was misused to record items with specific budget codes, distorting the cost structure, reducing financial transparency, and weakening accountability in public fund management.

The County should implement the following recommendations to improve budget execution:

i. *The County Treasury should ensure the timely preparation and submission of financial reports to the Controller of Budget per the timelines prescribed in Section 166 of the PFM Act, 2012.*
ii. *The County should address its own-source revenue performance to ensure the approved budget is fully financed. Appropriate austerity measures should be implemented to ensure expenditure commitments are aligned with available revenue.*
iii. *The County should implement strategies to increase development expenditures in FY 2025/26.*
iv. *The County should ensure timely review and extension of public funds whose lifespans are nearing expiration or have lapsed to prevent operational disruptions. Additionally, any expenditure from lapsed funds should cease immediately, and legal mechanisms should be followed to re-establish or wind up such funds in compliance with the Public Finance Management Act.*
v. *The County Leadership should address the situation of trade payables to ensure that genuine bills are paid promptly in the remaining financial year. Further, compliance with the Trade Payables Action Plan should be enforced.*
vi. *The Government requires that salaries be processed through the HRIS system, and the County is advised to fast-track the acquisition of Unified Personnel Numbers for their staff. The County Public Service Board should regulate staff engagement on contract and casual workers as provided under Section 74 of the County Governments Act 2012. Furthermore, strict adherence to the approved staff establishment should be maintained.*
vii. *The County Treasury should ensure it submits copies of authorisation letters to the CoB for opening commercial bank accounts to enhance accountability and oversight.*
viii. *The County Treasury should adhere to the approved budget classification framework by ensuring that all expenditures are recorded under their specific budget codes rather than being aggregated under the "Other Operating Expenses" category.*

3.23. County Government of Makueni

3.23.1 Overview of FY 2025/26 Budget

The Makueni County Approved Supplementary Budget for FY 2025/26 is Kshs.13.11 billion. It comprises of Kshs.4.87 billion (37 per cent) and Kshs.8.24 billion (63 per cent) allocation for development and recurrent programmes, respectively. The budget estimates represent an increase of Kshs.1.53 million (13 per cent) from the FY 2024/25 budget, comprising a development budget of Kshs.3.68 billion and a recurrent budget of Kshs.7.90 billion.

The budget is to be financed from various revenue sources. These include the equitable share of revenue raised nationally of Kshs.8.98 billion (68 per cent), additional allocations of Kshs.1.55 billion (12 per cent), a cash balance brought forward from FY 24/25 of Kshs.916 million (7 per cent) and Kshs.1.67 billion (13 per cent) generated as own-source revenue. A breakdown of the additional allocations is shown inTable 3.337.

3.23.2 Revenue Performance

During the first nine months of FY 2025/26, the County reported total revenues of Kshs.9.15 billion. This amount represented an increase of 26 per cent compared to the amount received in a similar period in FY 2024/25 of Kshs.6.75 billion. The total revenue consisted of Kshs.6.69 billion from the equitable share of revenue raised nationally, additional allocations from the national government and development partners of Kshs.363.82 million, and own-source revenue (OSR) collection of Kshs.1.38 billion. Additionally, the County had a cash balance of Kshs.719.39 million from FY 2024/25. The total OSR collection of Kshs.1.38 billion included Facilities Improvement Financing (FIF) of Kshs.806.80 million, and Kshs.576.61 million from other OSR sources. Table 3.337 summarises the total revenue available to the County Government during FY 2025/26.

Table 3.337: Makueni County, Revenue Performance in the first nine months of FY 2025/26

No	Revenue Stream	Annual Targeted Revenue (Kshs.)	Actual Receipts (Kshs.)	Receivables in the First Nine Months of FY 2025/26 (Kshs.)	Total Revenues (in accrual basis) in the First Nine Months of FY 2025/26 (Kshs.)	Variance (Kshs.)
		A	B	C	D=B+C	E=A-D
A	**Unspent Balance from FY 2024/25**					
1	Balance at CRF	916,003,457	567,968,506		567,968,506	348,034,951
2	County Executive Refunds to CRF		25,494		25,494	- 25,494
3	County Assembly Refunds to CRF		73,112		73,112	- 73,112
4	Non-Refundable AC Bank Balances- special purpose accounts		151,323,515		151,323,515	- 151,323,515
5	Grants not received	-	-		-	-
	Sub-Total	**916,003,457**	**719,390,627**	**-**	**719,390,627**	**196,612,830**
B	**Equitable Share of Revenue Raised Nationally**					
1	Equitable Share	8,976,335,654	5,969,263,210	718,106,852	6,687,370,062	2,288,965,592
	Sub-Total	**8,976,335,654**	**5,969,263,210**	**718,106,852**	**6,687,370,062**	**2,288,965,592**
C]	**Additional Allocations (Including Grants)**					
1	Allocations for 20% Share of Mineral Royalties	99,857	99,857		99,857	- 0
2	Settlement of Doctors' Salary Arrears	30,568,273	-		-	30,568,273

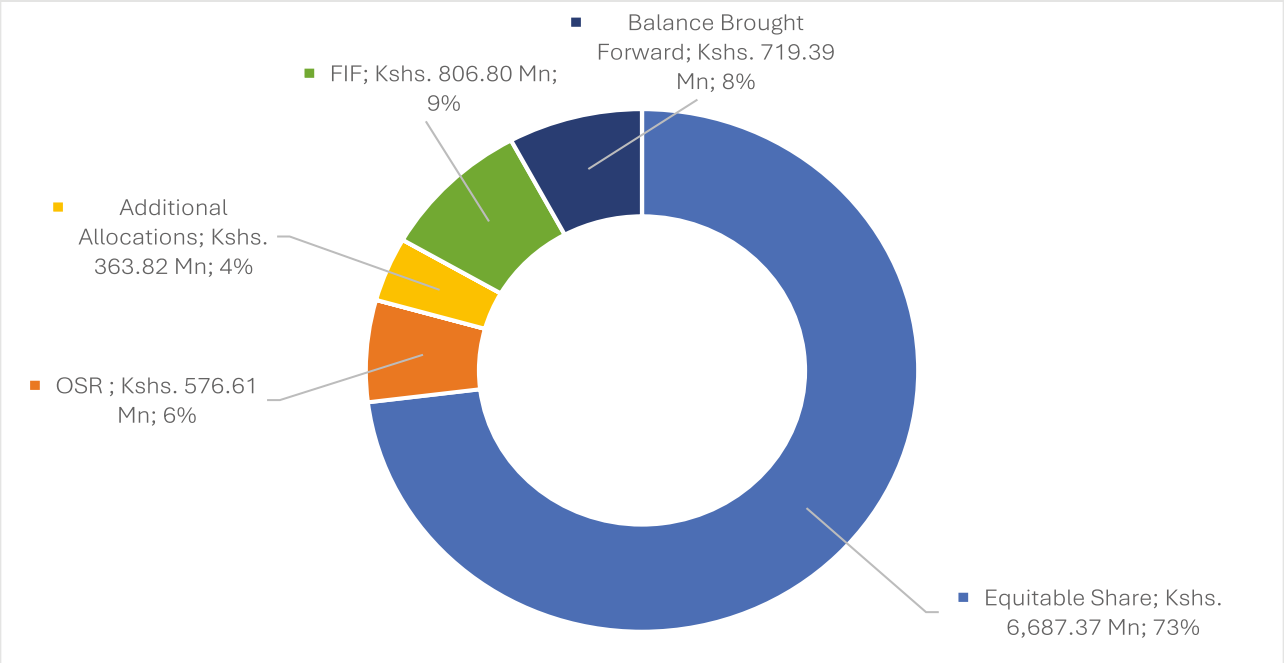
No	Revenue Stream	Annual Targeted Revenue (Kshs.)	Actual Receipts (Kshs.)	Receivables in the First Nine Months of FY 2025/26 (Kshs.)	Total Revenues (in accrual basis) in the First Nine Months of FY 2025/26 (Kshs.)	Variance (Kshs.)
		A	B	C	D=B+C	E=A-D
3	Community Health Promoters (CHPs) Programme	113,700,000	-		-	113,700,000
4	Roads Maintenance Levy Fund (RMLF)	517,382,206	-		-	517,382,206
5	Financing of FLLoCA County Climate Institutional Support (CCIS) Grant	11,000,000	-		-	11,000,000
6	Financing of FLLoCA County Climate Resilience Investment (CCRI) Grant	142,746,435	136,828,131		136,828,131	5,918,304
7	Kenya Devolution Support Programme Phase Two (KDSP II) Level I Grant	37,500,000	35,253,471		35,253,471	2,246,529
8	Kenya Devolution Support Programme Phase Two (KDSP II) Level 2 Grant	352,500,000	-		-	352,500,000
9	Kenya Urban Project (KUSP)-Urban Institutional Grant (IUG)	35,000,000	-		-	35,000,000
10	Kenya Urban Project (KUSP)-Urban Development Grant (UDG)	40,167,542	37,954,620		37,954,620	2,212,922
11	National Agricultural Value Chain Development Project (NAVCDP)	231,250,000	153,686,124		153,686,124	77,563,876
12	Primary Health Care in Devolved Context (PHDC) Programme	23,341,500	-		-	23,341,500
13	SWEDEN -Kenya Agricultural Business Development Project (KABDP)	10,918,919	-		-	10,918,919
	Sub-Total	**1,546,174,731**	**363,822,203**	**-**	**363,822,203**	**1,182,352,528**
D	**Ordinary Own Source Revenue (OSR)**					
1	Advertisement & Wall Branding Fees	31,411,990	12,077,190		12,077,190	19,334,800
2	Agricultural Cess Fees	28,317,987	17,788,602		17,788,602	10,529,385
3	Building Materials cess Fees	4,706,554	2,128,600		2,128,600	2,577,954
4	Community Information Centres Fees	1,573,222	218,600		218,600	1,354,622
5	Conservancy Fees	8,102,091	2,930,405		2,930,405	5,171,686
6	Co-op Audit Services Fees	498,187	155,740		155,740	342,447
7	Development Approvals Fees (all land development fees	65,550,897	12,134,244		12,134,244	53,416,653
8	Fines and Penalties Fees	1,573,222	231,238		231,238	1,341,984
9	Fire Certificate Fees	1,573,222	2,788,650		2,788,650	- 1,215,428
10	Hire of County Facilities / Equipment /Gym Fees	1,573,222	325,730		325,730	1,247,492
11	Liquor License Fees	96,818,675	25,156,368		25,156,368	71,662,307
12	Market Entrance Fees	65,550,897	19,302,085		19,302,085	46,248,812

No	Revenue Stream	Annual Targeted Revenue (Kshs.)	Actual Receipts (Kshs.)	Receivables in the First Nine Months of FY 2025/26 (Kshs.)	Total Revenues (in accrual basis) in the First Nine Months of FY 2025/26 (Kshs.)	Variance (Kshs.)
		A	B	C	D=B+C	E=A-D
13	Motor Veh/Cycle Reg Fees	4,706,554	2,395,000		2,395,000	2,311,554
14	Parking Fees	67,530,534	22,488,694		22,488,694	45,041,840
15	Plot Rates/Rent Fees & other dues	131,691,752	14,341,010	134,882,248	138,977,904	- 7,286,152
16	Renewal Fees(Kiosks)	10,986,330	3,163,040		3,163,040	7,823,290
17	Single Business Permits / Application Fees	230,739,157	83,328,223	117,624,900	192,688,323	38,050,834
18	Stall Rent Fees	12,087,585	4,606,030	4,842,200	6,563,630	5,523,955
19	Stock Market Fees	17,279,216	7,354,652		7,354,652	9,924,564
20	Stock Movement Fees	10,986,330	4,472,295		4,472,295	6,514,035
21	Veterinary Health Fees	22,942,814	9,090,510		9,090,510	13,852,304
22	Water & Environment Fees-Consent, Nema, mining, penalties	4,706,554	600,950		600,950	4,105,604
23	Weights & Measures Fees	3,133,333	699,220		699,220	2,434,113
24	Tetheka interest revenue	18,742,114	-		-	18,742,114
25	Agriculture- Agricultural Training Conference Fees	4,706,554	454,730		454,730	4,251,824
26	Agriculture- Mechanisation Fees	3,133,333	373,900		373,900	2,759,433
27	Public Health Services Fees	51,824,539	21,770,815		21,770,815	30,053,724
28	Makueni Fruit Processing Plant Fees	92,872,511	15,777,380		15,777,380	77,095,131
29	Sand Authority Fees	72,237,088	31,506,516		31,506,516	40,730,572
	Sub-Total	**1,067,556,464**	**317,660,417**	**257,349,348**	**553,615,011**	**513,941,453**
E	**Facility Improvement Financing (FIF)**					
1	SHIF	417,612,000	603,513,156		603,513,156	- 185,901,156
2	Defunct NHIF					
3	Medical Health Services Fees	182,388,000	203,275,662		203,275,662	- 20,887,662
4	Universal Health Care Registration Fees	-	14,000		14,000	- 14,000
	Sub-Total	**600,000,000**	**806,802,818**	**-**	**806,802,818**	**- 206,802,818**
F	**Other Revenues**					
1	Direct Deposits		22,992,363		22,992,363	- 22,992,363
	Sub-Total	**-**	**22,992,363**	**-**	**22,992,363**	**- 22,992,363**
	Grand Total	**13,106,070,306**	**8,199,931,638**	**975,456,200**	**9,153,993,084**	**3,952,077,222**

Source: *Makueni County Treasury*

Figure 3.133 provides a detailed breakdown of receipts.

Figure 3.133: Makueni County Composition of Revenue in the first nine months of FY 2025/26

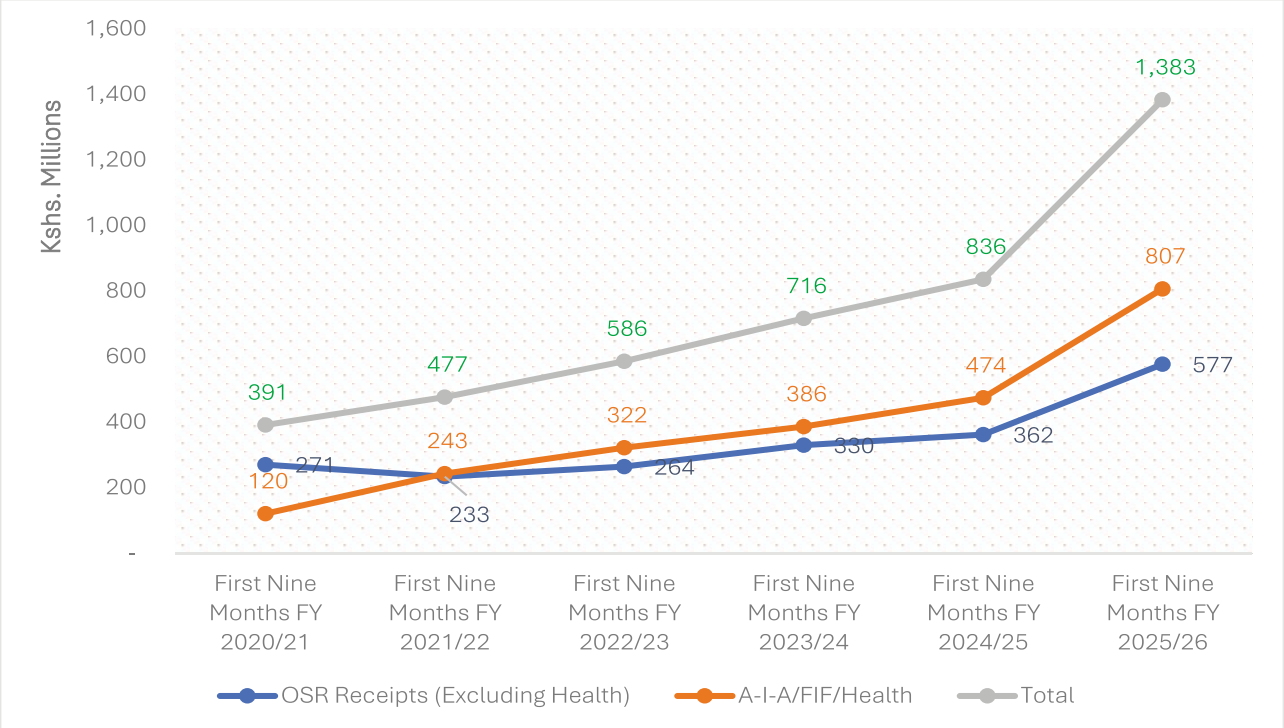


Source: *Makueni County Treasury*

The equitable share of revenue raised nationally, OSR, and FIF contributed 73 per cent, 6 per cent and 9 per cent, respectively, of the total receipts for the reporting period.

Figure 3.134 shows the collection trend in own-source revenue from the first nine months of FY 2020/21 to the first nine months of FY 2025/26.

Figure 3.134: Makueni County Trend in Own-Source Revenue Collection from the first nine months of FY 2020/21 to the first nine months of FY 2025/26

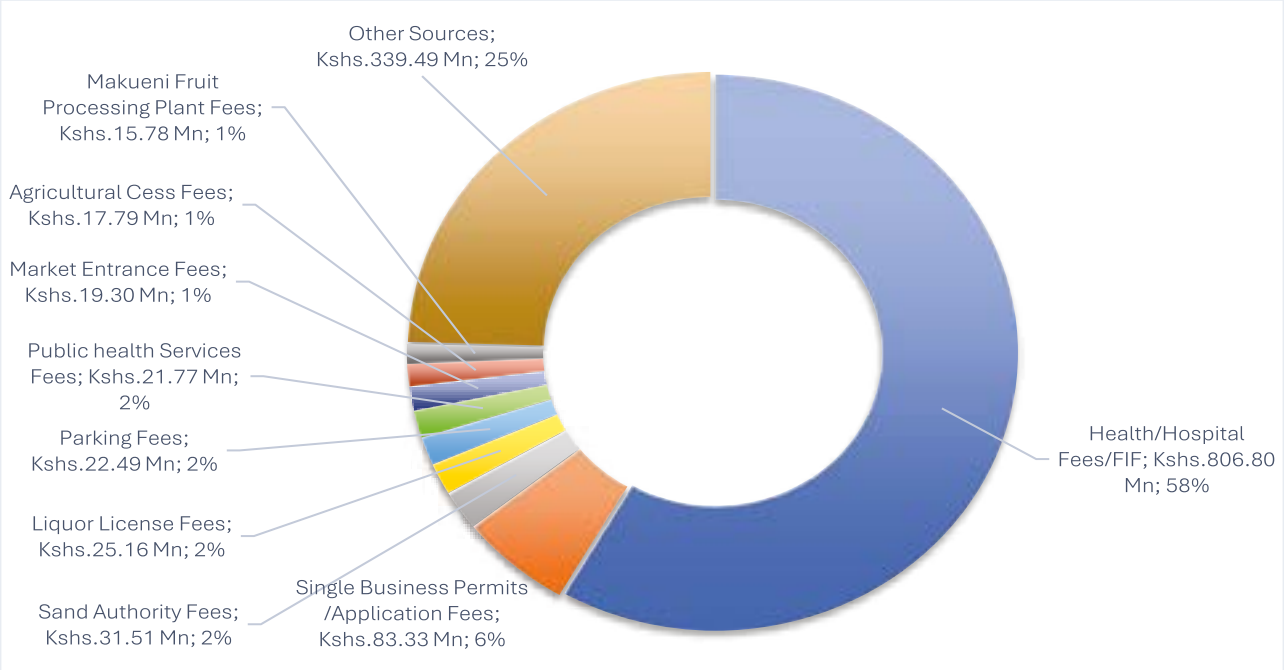


Source: *Makueni County Treasury*

During the first nine months of FY 2025/26, the County received Kshs.1.4 billion from OSR, including FIF. This amount was an increase of 40 per cent compared to Kshs.835.83 million realised in a similar period in FY 2024/25, and was 83 per cent of the annual target and 21 per cent of the equitable revenue share disbursed.

The increase in OSR was attributed to higher FIF collection. The revenue streams that contributed the most to OSR receipts are shown in Figure 3.135.

Figure 3.135: Makueni County Top Own Source Revenue Streams in the first nine months of FY 2025/26



Source: *Makueni County Treasury*

As shown in Figure 3.135, the largest revenue stream, at Kshs.806.80 million, was FIF/Hospital Fees accounting for 58 per cent of total OSR receipts. The County Government indicated that it has automated all revenue streams.

3.23.3 Revenue Receivables

As of 1st July 2025, the County reported revenue receivables of Kshs.749.11 million, which increased to Kshs.1.70 billion as of 31st March 2026. Table 3.338 presents a breakdown of the County's revenue receivables.

Table 3.338: Makueni County Receivables as of 31st March 2026

No	Revenue Stream	Revenue receivables as of 1 July 2025 (Kshs.)	Progress made in First Nine Months of FY 2025/26			
			Waivers (Kshs)	Receivables paid in the financial year (Kshs)	Receivables earned in First Nine Months of FY 2025/26 (Kshs)	OSR Receivables as of 31st March 2026 (Kshs.)
		a	b	c	d	f=a-b-c+d
A	**Equitable Share of Revenue Raised Nationally -**					
1	Month of March 2026				718,106,852	718,106,852
	Sub-Total	**-**	**-**	**-**	**718,106,852**	**718,106,852**
B	**Ordinary Own Sources of Revenue**					
1	Plot Rate & Rent Fees	598,699,359		10,245,355	134,882,248	723,336,252
2	Single Business Permits	138,486,400		8,264,800	117,624,900	247,846,500
3	Stall Rent Fees	12,425,300		2,884,600	4,842,200	14,382,900
	Sub-Total	**749,611,059**	**-**	**21,394,755**	**257,349,348**	**985,565,652**
	Grand Total	**749,611,059**	**-**	**21,394,755**	**975,456,200**	**1,703,672,504**

Source: Makueni *County Treasury*

As of 31st March 2026, the receivables totalled to Kshs.1.70 billion, comprising Kshs.718.11 million for Equitable share and Kshs.985.57 million for Ordinary Sources of Revenue.

3.23.4 Withdrawals from the County Revenue Fund and County Assembly Fund

During the reporting period, the Controller of Budget approved exchequer withdrawal requests totalling to Kshs.6.74 billion from the Makueni County Revenue Fund (CRF) account. This amount consisted of Kshs.1.28 billion (9 per cent) designated for development programs and Kshs.5.46 billion (81 per cent) allocated for recurrent programs.

An analysis of the released recurrent exchequers shows that Kshs.3.74 billion was allocated to employee compensation and Kshs.1.71 billion to operations and maintenance expenditures. Within the operations and maintenance category, 10 per cent was allocated to domestic travel and 1 per cent to foreign travel. The domestic travel exchequers totalled Kshs.171.09 million, which included Kshs.55.57 million for the County Executive and Kshs.115.52 million for the County Assembly. Meanwhile, the foreign travel exchequers amounted to Kshs.11.56 million, with Kshs.1 million for the County Executive and Kshs.10.56 million for the County Assembly.

As of 31st March 2026, the County Government's cash balance in the Makueni CRF account was Kshs.1,208.86 million.

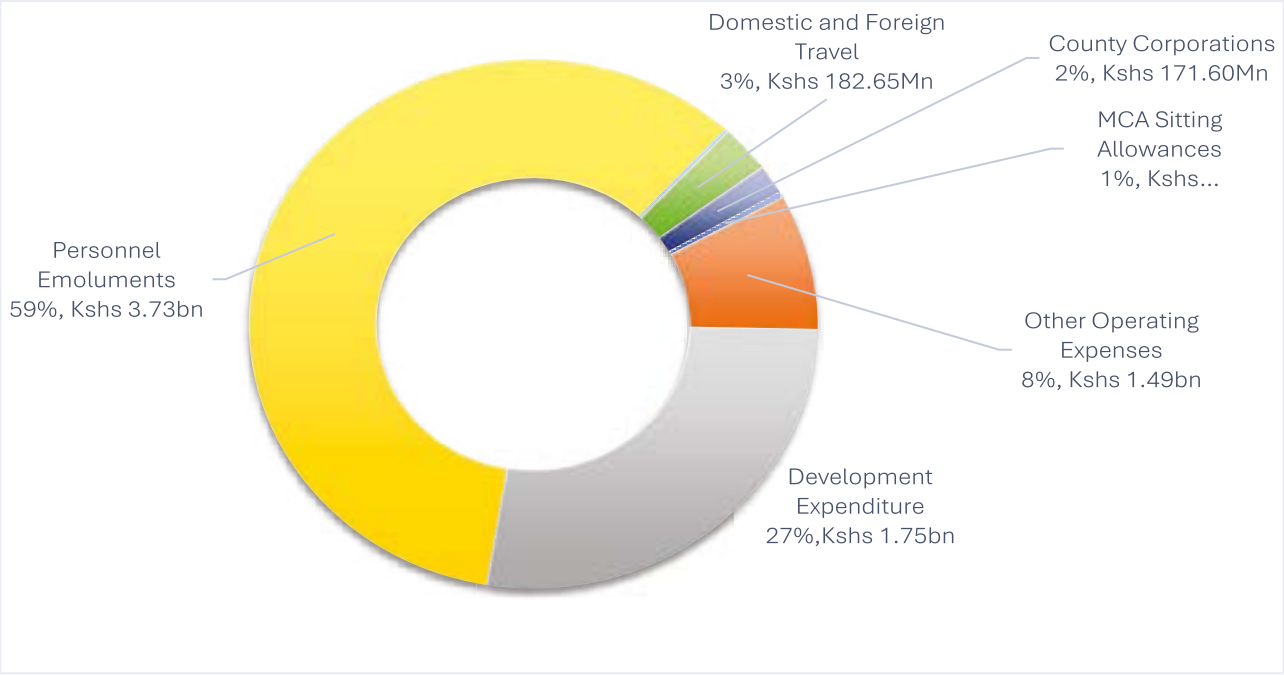
The County had not operationalised the County Assembly Fund as of 31st March 2026.

3.23.5 Expenditure Review

The County spent Kshs.6.97 billion on development and recurrent programmes during the reporting period. The expenditure represented 92 per cent of the total funds released by the CoB. It comprised Kshs.1.75 billion for development programmes and Kshs.5.22 billion for recurrent programmes. Expenditure on development programmes accounted for 33 per cent of the annual development expenditure budget, while recurrent expenditure accounted for 56 per cent of the annual recurrent expenditure budget.

Figure 3.136 provides a detailed breakdown of total expenditure.

Figure 3.136: Makueni County Composition of Expenditure in the first nine months of FY 2025/26



Source: Makueni *County Treasury*

As shown in Figure 3.136 the three highest expenditure categories were Personal Emoluments, Development Expenditure, and Other Operating Expenses, contributing 59, 28 and 8 per cent of total expenditure for the reporting period.

3.23.6 Expenditure by Economic Classification

The County Executive incurred Kshs.3.39 billion in employee compensation, Kshs.1.35 billion in operations and maintenance, and Kshs.1.72 billion in development activities. Similarly, the County Assembly spent Kshs.341.10 million on compensation of employees, Kshs.140.06 million on operations and maintenance, and Kshs.25.90 million on development activities, as shown in Table 3.339

Table 3.339: Makueni County Summary of Budget and Expenditure by Economic Classification

Expenditure Classification	Approved Budget (Kshs.) (a)		Amount Paid in the first nine months of FY 2025/26 (Kshs.) (b)		Expenditure Accrued in the first nine months of FY 2025/26 (Kshs.) (c)		Total Expenditure in the first nine months of FY 2025/26 (Kshs.) (d=b+c)		Absorption (%) (d/a*100)	
	Executive	Assembly	Executive	Assembly	Executive	Assembly	Executive	Assembly	Executive	Assembly
Total Recurrent Expenditure	**7,273.54**	**964.63**	**4,173.23**	**432.84**	**569.67**	**48.33**	**4,742.90**	**481.17**	**65**	**50**
Compensation of Employees	5,029.75	495.22	2,991.16	292.78	399.53	48.33	3,390.69	341.10	67	69
Operations and Maintenance	2,243.79	469.41	1,182.07	14.,06	170.14	0	1,352.21	140.06	60	30
Development Expenditure	**4,807.42**	**60.48**	**1,585.10**	**25.90**	**137.49**	**0**	**1,722.59**	**25.90**	36	43
Total	**12,080.96**	**1,025.11**	**5,758.32**	**458.74**	**707.16**	**48.33**	**6,465.48**	**507.07**	**54**	**49**

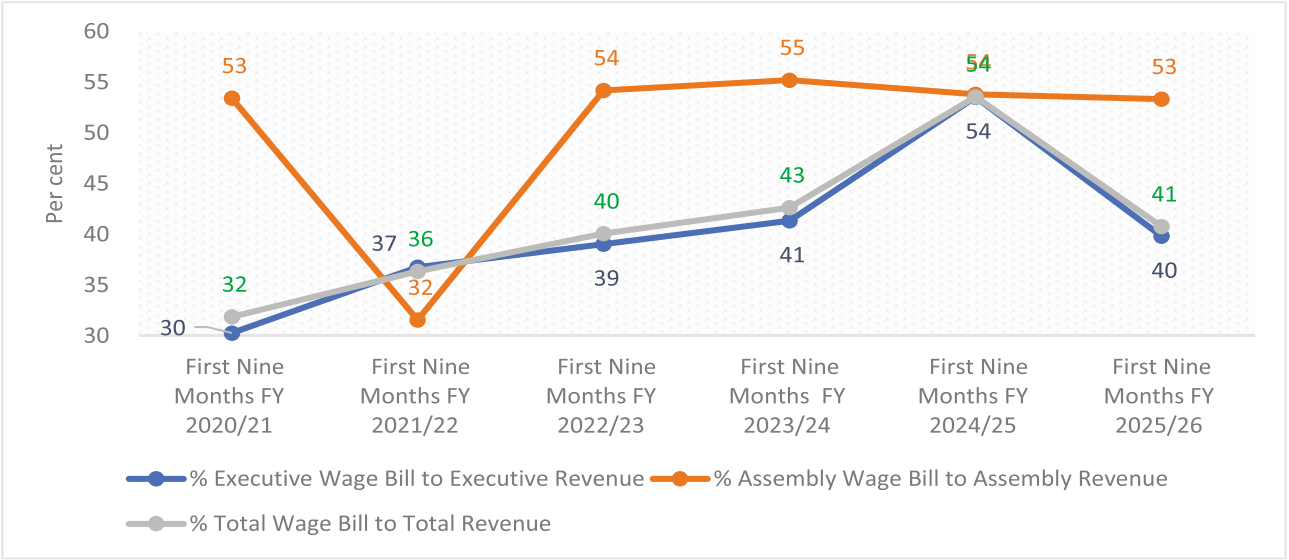
Source: *Makueni County Treasury*

3.23.7 Expenditure on Employee Compensation

The expenditure on employee compensation totalled Kshs.3.73 million, representing 41 per cent of revenue. This expenditure on employee compensation shows. an increase compared to the Kshs.3.39 billion reported in a similar period in FY 2024/25. Of this total, Kshs.1.44 billion related to Health Sector employees, accounting for 38 per cent of the overall employees' compensation.

Figure 3.137 shows the trend in employee compensation as a percentage of total revenue from the first nine months of FY 2020/21 to the first nine months of FY 2025/26.

Figure 3.137: Percentage of Employee Compensation Expenditure to Total Revenue Received in the first nine months of FY 2020/21 to the first nine months of FY 2025/26



Source: *Makueni County Treasury*

Further analysis indicated that PE costs totalling Kshs.3.66 billion were processed through the Human Resource Information System (HRIS). In contrast, Kshs.55.86 million was processed through manual payrolls, which accounted for 1 per cent of the total PE cost.

The manual payroll comprised salaries for 73 staff not onboarded into the Human Resource Information System (HRIS), salaries for casual staff, top-up allowances for security personnel, gratuity remittances to pension schemes for staff on contract, and LAPTRUST/LAPFUND Pension Contributions, as shown in Table 3.340

Table 3.340: Breakdown of Makueni County Manual Payroll

Sno.	Description of Manual Payroll	Amount (Kshs.)
	Salaries for staff yet to be onboarded into HRIS	12,872,220
1	Salaries for casual staff	3,000,000
2	Top-up Allowances for Security Officers	3,954,070
3	LAPTRUST/LAPFUND Pension Contributions	12,657,497
4	Gratuity for contract staff	23,375,640
	Total	**55,859,427**

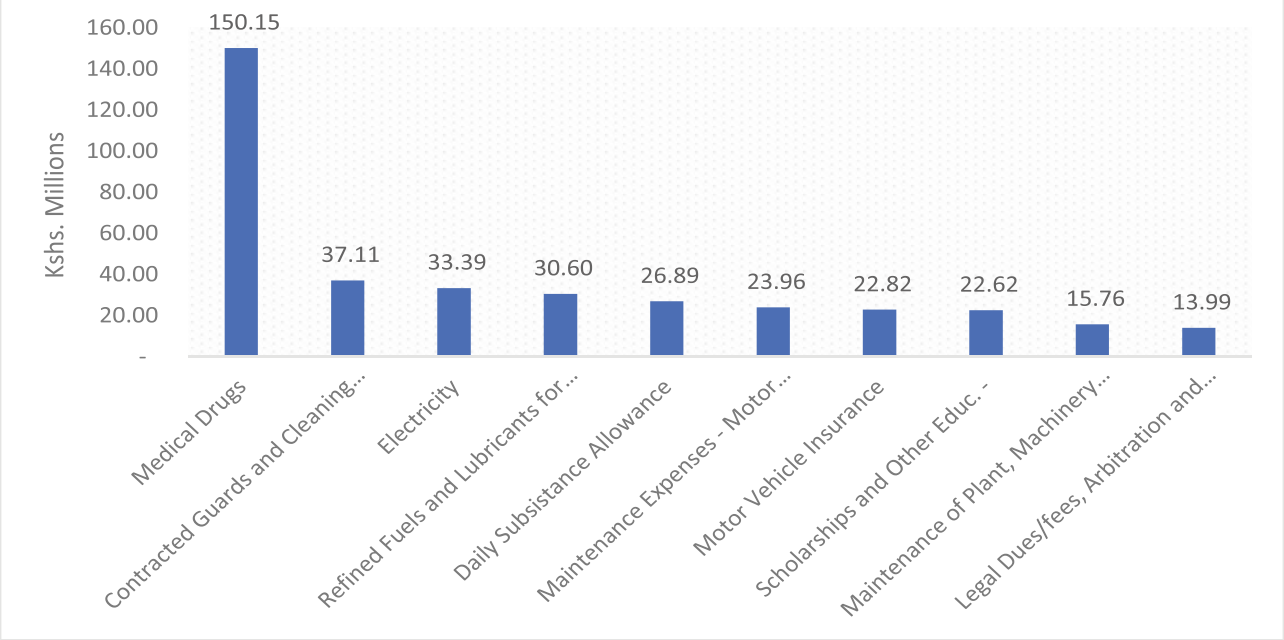
Source: Makueni County Treasury

The County Assembly spent Kshs.23.98 million on committee sitting allowances for the 49 MCAs, against the annual budget allocation of Kshs.43.69 million. The average monthly sitting allowance was Kshs.54,367 per MCA. The County Assembly has 21 House Committees.

3.23.8 Expenditure on Operations and Maintenance

During the reporting period, the County spent Kshs.1.49 billion on operations and maintenance, representing a decrease of 33 per cent compared to a similar period in FY 2024/25, when the County spent Kshs.1.98 billion. Figure 3.138 illustrates the distribution of Operations and Maintenance expenditures across the major spending categories.

Figure 3.138: Makueni County, Operations and Maintenance Expenditure by Major Categories



Source: *Makueni County Treasury*

3.23.9 Unbundling "Other Operating Expenses-other" Under Operations and Maintenance Expenditures

The budget performance report for the first nine months of FY 2025/26 indicates that the County spent Kshs.566.21 million on "*other operating expenses-other*," which was 38 per cent of the total operations and maintenance expenditure of Kshs.1.49 billion. This category of expenditure includes Kshs.21.74 million for garbage collection and Kshs.15 million for legal fees and compensation payments. Makueni County

had more than 340 items under the "Other Operating Expenses". The disaggregated top 10 items under the "*Other Operating Expenses-other*" category are shown in Table 3.341

Table 3.341: TBreakdown of "Other Operating Expenses-other" under O&M Expenditures

Code	Item	Budget (Kshs)	Expenditure (Kshs.)
2211399	County Revenue Mobilisation	27,000,000	25,899,315
2211399	Sub County Administration Support - SCA AIEs	25,800,000	25,792,000
2211399	Preparation of Budgets	24,000,000	23,974,979
2211399	Community Outreach	26,000,000	23,647,500
2211399	Promotion of Public Sanitation- Market Cleaning, Waste collection, transportation and disposal	47,376,885	21,740,005
2211399	Rural Health Facilities Financing	31,461,990	20,713,935
2211399	Public Health	18,000,000	15,870,058
2211399	KDSP II-Development of HR policies/skills audit	15,000,000	14,981,410
2211399	Sub County Civic Education Coordination Support - SCCEC AIEs	14,500,000	14,400,000
2211399	Recurrent Financing of Healthcare	17,520,000	13,622,820
	Total	**246,658,875**	**200,642,022**

Source: *Makueni County Treasury*

Most of the items listed in the above table can be appropriated in other sub-item economic classifications within the approved Standard Chart of Accounts.

3.23.10 County-Established Funds

Section 116 of the PFM Act 2012 allows County Governments to establish other public funds, subject to approval from the County Executive Committee and the County Assembly. The County allocated Kshs.149.60 million to County-Established funds in FY 2025/26, representing 1 per cent of the County's overall budget. Of this amount, the County allocated Kshs.10 million to the Emergency Fund in line with Section 110 of the PFM Act, 2012, accounting for less than one per cent of the total budget. Table 3.342 summarises each established Fund's budget allocation and performance during the reporting period.

Table 3.342: Performance of Makueni County Established Funds in the first nine months of FY 2025/26

S/No.	Name of the Fund	Year Established	Approved Budget Allocation in FY 2025/26 (Kshs.)	Exchequer Issues in First Nine Months of FY 2025/26 (Kshs.)	Actual disbursements in the First Nine Months of FY 2025/26 (Kshs.)	Cumulative disbursements to the Fund (Kshs)	Submission of Financial Statements (Yes/No.)
		County Executive Established Funds					
1	Makueni County State and Public Officers Car Loan and Mortgage Fund	2018	10,000,000	-	-	413,885,743	No
2	Makueni County Climate Change fund	2023	105,000,000	-	-	551,148,787	No
3	Makueni County Empowerment Fund	2015	6,000,000	-	-		No
4	Makueni County Bursary Fund	2021	23,000,000	23,186,837	22,584,987	243,045,118	No
5	Makueni County Emergency Fund	2015	10,000,000	5,433,446	5,433,446	552,157,037	No

S/No.	Name of the Fund	Year Established	Approved Budget Allocation in FY 2025/26 (Kshs.)	Exchequer Issues in First Nine Months of FY 2025/26 (Kshs.)	Actual disbursements in the First Nine Months of FY 2025/26 (Kshs.)	Cumulative disbursements to the Fund (Kshs)	Submission of Financial Statements (Yes/No.)
		County Assembly Established Funds					
1	Makueni County Assembly MCA's and Public officers Car Loan and Mortgages Fund	2017	-	-		413,885,743	No
	Total		**149,600,000**			**2,240,334,239**	

Source: *Makueni County Treasury*

During the reporting period, the CoB did not receive quarterly financial reports from all Fund Administrators, as indicated in Table 3.6, contrary to the requirement of Section 168 of the PFM Act, 2012.

3.23.11 County Corporations

The County has 2 County Corporations, which were allocated Kshs.171.60 million in FY 2025/26. Their total expenditure for the review period amounted to Kshs.113.23 million, as shown in Table 3.343

Table 3.343: Performance of Makueni County Corporations in the first nine months of FY 2025/26

S/No.	Name of the Corporation	Approved Budget Allocation in FY 2025/26 (Kshs.)	Exchequer Issues (Kshs.)	Actual Transfers in the first nine months of FY 2025/26 (Kshs.)	Cumulative Transfers to the Corporation since its inception (Kshs.)
1	Makueni County Fruit Development and Marketing Authority	87,050,657	79,036,993	68,692,403	533,167,140
2	Makueni County Sand Conservation and Utilisation Authority	84,548,596	81,603,666	44,533,638	581,039,681
	Total	**171,599,253**	**160,640,659**	**113,226,041**	**1,114,206,821**

Source: *Makueni County Treasury*

3.23.12 Expenditure on Domestic and Foreign Travel

Expenditure on domestic travel amounted to Kshs.171.09 million and comprised Kshs.115.52 million spent by the County Assembly and Kshs.55.57 million by the County Executive. Expenditure on foreign travel amounted to Kshs.11.56 million and comprised Kshs.10.56 million by the County Assembly and Kshs.1 million by the County Executive. Expenditure on foreign travel is summarised in Table 3.344

Table 3.344: Summary of Expenditure on Foreign Travel in the first nine months of FY 2025/26

Arm of County Government	Number of Officers Travelled	Date travelled	Purpose of the travel	Destination	Actual Payment on Travel (a) (Kshs.)	Accrued Expenditure on Travel (b) (Kshs.)	Total Expenditure on Travel (c=a+b) (Kshs.)
County Executive	1	5-9/10/2025	Being facilitated for allowances (Quarter per Diem) to H.E Governor while attending XXV Figo World Congress of Gynaecology and Obstetrics at Cape Town, South Africa	Cape Town, South Africa	60,501.00		60,501.00
County Executive	1	5-9/10/2025	Being facilitated for allowances while attending the XXV Figo World Congress of Gynaecology and Obstetrics in South Africa	Cape Town, South Africa	183,696		183,696

Arm of County Government	Number of Officers Travelled	Date travelled	Purpose of the travel	Destination	Actual Payment on Travel (a) (Kshs.)	Accrued Expenditure on Travel (b) (Kshs.)	Total Expenditure on Travel (c=a+b) (Kshs.)
County Executive	1	8-3/12/2025	Being a facilitator for allowances while attending strategic media relations and public communication excellence training for public officers at Jinja, Uganda	Jinja Uganda	445,302		445,302
County Executive	1	5-9/10/2025	Being the payment of the flight ticket for the C.O.S from Nairobi to Cape Town and back	Cape Town, South Africa	310,400		310,400
County Executive	2	08/07/2024 - 11/07/2024	Dar es Salaam International Trade Fair	Dare es Salaam	203,000		203,000.00
County Assembly	24	22nd February to 1st March, 2025	To attend EALASCA games	Kampala, Uganda	9,556,482	-	9,556,482
Total					**10,759,381**		**10,759,381**

Source: Makueni County Treasury and Makueni County Assembly

3.23.13 Facility Improvement Financing

During the review period, the County reported collections of Kshs.806.80 million as FIF, which was 134 per cent of the annual target of Kshs.600 million. The collected amount was retained and utilised at source in line with the Facility Improvement Financing Act, 2023. The County has developed regulations to operationalise the FIF Act of 2023.

The expenditure by the health facilities amounted to Kshs.664.92 million, as shown in Table 3.345

Table 3.345: Makueni County Health Facilities Expenditure Performance in the first nine months of FY 2025/26

No.	Health Facility	Number of Facilities	Approved Budget (Kshs.)	Actual Expenditure (Kshs.)	Absorption rate (%)
1.	Level 5 Hospital	1	517,289,099	216,624,191	42
2.	Level 4 Hospital	16	925,099,047	335,325,984	36
3.	Level 3 Facility	41	55,192,697	39,423,355	71
4.	Level 2 Facility	184	108,846,712	73,545,076	68
	Total	242	**1,606,427,555**	**664,918,606**	**41**

Source: *Makueni County Treasury*

3.23.14 Development Expenditure

In the review period, the County reported spending Kshs.1.75 billion on development programmes, representing an increase of 27 per cent compared to FY 2024/25, when the County spent Kshs.1.27 billion. Table 3.346 summarises the development projects with the highest expenditure in the reporting period.

Table 3.346: Makueni County, List of Development Projects with the Highest Expenditure

No	Sector	Project Name	Project Location	Project Commencement Date	Expected date of Completion of the Project	Contract sum (Kshs)	Total Funding in FY 2025/26 (Kshs.)	Expenditure (on an accrual basis) in the first nine months of FY 2025/26 (Kshs.)	Cumulative project expenditure (on an accrual basis) as of 31st March 2026 (Kshs.)	Percentage (%) of Completion
County Funded Projects										

No	Sector	Project Name	Project Location	Project Commencement Date	Expected date of Completion of the Project	Contract sum (Kshs)	Total Funding in FY 2025/26 (Kshs.)	Expenditure (on an accrual basis) in the first nine months of FY 2025/26 (Kshs.)	Cumulative project expenditure (on an accrual basis) as of 31st March 2026 (Kshs.)	Percentage (%) of Completion
1.	Health	Essential medicines and medical supplies-AIA	HQ	01 July, 2025	30 June 2026	250,000,000	209,423,455	-	209,423,455	70
2.	Health	Mutula Care-Registration of Vulnerable and people in need @ KShs 3 Million Per Ward	All Wards	01 July, 2025	30 June 2026	90,000,000	86,827,000	-	86,827,000	60
3	Trade	Construction of Nunguni Modern Market - Kilungu Ward	Kilungu	02 January, 2026	02 January 2027	74,650,000	74,650,000	-	74,650,000	100
4	Finance	Supplementary Projects for poor and marginalised areas	HQ	-	-	41,327,914	3,300,090	-	3,300,090	8
5	Health	Completion & equipping of Mbooni isolation ward	Mbooni	1 July 2025	30 June 2026	17,401,436	17,401,436	13,033,931	13,033,931	90
6	MCFDMA	Purchase of mangoes for puree production	All Wards	9 December 2025	30 June 2026	6,315,745	13,920,000	0	13,919,380,000	100
7	Transport	Maintenance of street/flood lights- Climate action	HQ	12 September, 2025	30 June 2026	10,000,000	2,559,196	0	2,559,196	60
8	Transport	Kikima Town/ Markets Development Programme - Phased programme.- Cabro paving Kikima Victoria hotel- KNUT offices, Machakos and Tawa busparks, walkway construction from KCB to Amazon petrol station and Markets street lighting	Mbooni	12 September 2025	5 May 2026	10,000,000	10,000,000	9,647,580	9,647,580	100
9	Health	Upgrading and construction of a ward at Mukuyuni Sub-County Hospital	Ukia	24 January 2026	24 December 2026	22,136,224	10,000,000	-	10,000,000	40

No	Sector	Project Name	Project Location	Project Commencement Date	Expected date of Completion of the Project	Contract sum (Kshs)	Total Funding in FY 2025/26 (Kshs.)	Expenditure (on an accrual basis) in the first nine months of FY 2025/26 (Kshs.)	Cumulative project expenditure (on an accrual basis) as of 31st March 2026 (Kshs.)	Percentage (%) of Completion
10	Emali Municipality	Preparation of Municipal Spatial Plan	All	17 February 2026	-	10,000,000	9,800,000	-	9,800,000	90
Donor Funded Projects										
1	Transport	Roads Maintenance Fuel Levy	HQ	12 September 2025	5 May 2026	146,891,738	355,582,206	58,267,507	58,267,507	50
2	Devolution	IDA(World Bank)-Second Kenya Devolution Support Program-Institutional Grant-Level 1 Grant((KDSP)	HQ			75,000,000	17,367,906	-	17,367,906	-
3	Transport	Rural Electrification Programme - REREC Matching grant	HQ	12 September 2025	30 June 2026	29,036,770	30,000,000	-	29,036,770	10
4	Health	Conditional Grant - for COVID-19 Emergency response -	HQ	1 July 2025	30 June 2026	16,547,338	16,547,337	-	16,547,337	90
5	Health	DANIDA – Matching grant for level 2 and 3 facilities	HQ	1 July 2025	30 June 2026	12,636,000	12,636,000	-	12,636,000	100
6	Devolution	KDSP-II Matching Grant	All	2 September 2025	30 June 2026	10,000,000	10,000,000	-	10,000,000	100
7	Agriculture	IDA(World Bank) Credit National Agricultural Value Chain Development Project(NAVCDP)	All Wards	-	-	290,096,655	153,686,124	-	153,686,124	60
8	Land	IDA (World Bank) Credit Financing Locally-Led Climate Action (FLLoCA) Program, County Climate Resilience Investment (CCRI) Grant - Matching Grant	All Wards	-	-	164,951,310	36,201,433	-	36,201,433	20
9	Health	Conditional Allocation for Community Health Promoters (CHPs) Project	HQ	1 July 2025	30 June 2026	113,700,000	84,750,000	-	84,750,000	50

Source: *Makueni County Treasury*

The County did not report on any stalled projects as of 31st March 2026.

3.23.15 Budget Performance by Department

Table 3.347 summarises the approved budget allocation, expenditure, and absorption rate by department for the period under review.

Table 3.347: Makueni County, Budget Allocation and Absorption Rate by Department in the first nine months of FY 2025/26

Department	Budget Allocation (Kshs.Millions)		Exchequer Issues (Kshs.Millions)		Expenditure (Kshs. Millions)		Expenditure to Exchequer Issues (%)		Absorption rate (%)
Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev
Agriculture, Livestock, Fisheries and Cooperative Development	283.53	430.75	177.18	191.55	162.75	191	91.9	99.7	57.4	44.3
County Attorney	81.93	-	50.53	-	34.02	-	67.3	-	41.5	-
County Public Service Board	73.25	-	39.90	-	39.22	-	98.3	-	53.5	-
County Secretary	631.71	-	327.41	-	530.47	-	162.0	-	84.0	-
Devolution, Public Participation, County Administration, and Special Programs	346.76	444.70	240.06	47	220.88	43.17	92.0	91.8	63.7	9.7
ICT, Education and Internship	809.67	291.66	546.73	66.64	482.63	54.44	88.3	81.7	59.6	18.7
Emali-Sultan Hamud Municipality	42.54	71.99	42.60	40.80	14.56	30.90	34.2	75.7	34.2	42.9
Finance and Socio-Economic Planning	449.03	55.77	309.54	-	268.14	3.30	86.6	-	59.7	5.9
Makueni County Fruit Development and Marketing Authority	37	50.05	28.99	50.05	13.37	40.36	46.1	80.6	36.1	80.6
Gender, Children, Youth, Sports and Social Services	232.74	96.89	141.88	15.48	140.25	24.28	98.9	156.9	60.3	25.1
Governorship	494.46	-	422.68	-	150.85	-	35.7	-	30.5	-
Health Services	3,137.16	1,160.82	2,055.51	162.65	1,792.85	771.60	87.2	474.4	57.1	66.5
Lands, Urban Planning & Development, Environment and Climate Change	87.08	609.32	52.08	166.11	41.64	65.62	80.0	39.5	47.8	10.8
Makueni County Sand Conservation and Utilisation Authority	72.55	12	74.60	7	48.90	2	65.5	28.6	67.4	16.7
Trade, Marketing, Industry, Culture and Tourism	153.17	109.21	104.38	13.06	68.87	12.08	66.0	92.5	45.0	11.1
Infrastructure, Transport, Public Works, Housing and Energy	157.10	808.35	101.12	268.20	81.14	168.01	80.2	62.6	51.7	20.8
Water, Sanitation and Irrigation	117.28	553.30	61.22	198.55	58.90	155.42	96.2	78.3	50.2	28.1

Department		Budget Allocation (Kshs.Millions)		Exchequer Issues (Kshs.Millions)		Expenditure (Kshs. Millions)		Expenditure to Exchequer Issues (%)		Absorption rate (%)
Rec		Dev	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev
Wote Municipality	66.59	112.61	67.18	31.41	43.33	22.94	64.5	73.0	65.1	20.4
County Assembly	964.63	60.48	617.61	25.90	564.37	25.90	91	100	58.5	42.8
Total	**8,238.17**	**4,867.90**	**5,461.20**	**1,284.40**	**4,757.14**	**1,611**	**87**	**125**	**57.7**	**33.1**

***Source**: Makueni County Treasury*

Analysis of expenditure by departments shows that the Department of Makueni County Fruit Development and Marketing Authority recorded the highest absorption rate of development budget at 81 per cent, followed by the Department of Health Services at 67 per cent. The Department of County Secretary had the highest percentage of recurrent expenditure to budget at 84 per cent, while the Department of Governorship had the lowest at 31 per cent.

Health services expenditure exceeded exchequer releases due to the AIA, which is spent at health facilities in line with the FIF Act of 2023.

3.23.16 Budget Execution by Programmes and Sub-Programmes

Budget execution was concentrated in selected performance bands. In the 1–10 per cent band, development absorption was reported at 0 per cent for cooperative development under the Department of Agriculture, Livestock, Fisheries and Cooperative Development, for coordination of service delivery and enforcement and disaster risk preparedness and mitigation under the Department of Devolution, Public Participation, County Administration and Special Programmes, for industrial development and promotion under the Department of Trade, Industry and Cooperatives, and for support for education and library services under the Department of ICT, Education and Internship. Recurrent absorption was reported at 0 per cent for enterprise risk management under the Department of Finance and Socio-Economic Planning and for industrial development and promotion under the Department of Trade, Industry and Cooperatives, at 7 per cent for environment management and protection under the Department of Land, Physical Planning and Mining, at 8 per cent for preventive and promotive health care services under the Department of Health Services, and at 10 per cent for cooperative development.

In the 71–80 per cent band, development absorption was reported for ICT infrastructure and systems development under the Department of ICT, Education and Internship at 81 per cent and for general administration and planning under the Makueni Fruit Development and Marketing Authority at 81 per cent.

In the 81–90 per cent band, development absorption was reported for general administration and planning under the Sand Authority at 92 per cent, while recurrent absorption was recorded for technical training and non-formal education and for support for education and library services under the Department of ICT, Education and Internship, both at 93 per cent, and for financial accounting services under the Department of Finance and Socio-Economic Planning at 90 per cent.

In the 90–100 per cent band, development absorption reached 100 per cent for tourism development and promotion under the Department of Trade, Industry and Cooperatives and for participatory development and civic education under the Department of Devolution, Public Participation, County Administration and Special Programmes, while recurrent absorption reached 100 per cent for research, documentation and knowledge management. In the band above 100 per cent, recurrent absorption reached 112 per cent for land, crop development and productivity under the Department of Agriculture, Livestock, Fisheries and Cooperative Development.

Low absorption in the lower performance bands reflected nil and single-digit implementation across cooperative development, service delivery coordination, disaster preparedness, industrial development and environmental management sub-programmes. Conversely, performance in the higher bands reflected the prioritisation of the respective sub-programmes during the review period.

Table 3.348 summarises budget execution by programmes and sub-programmes in the period under review with the highest absorption rates.

Table 3.348: Budget Execution by Programmes and Sub-Programmes with Highest Absorption Rates

Programme	Sub-Programme	Gross Approved Estimates FY 2025/26 (Kshs.)	Expenditure (including accrued expenditure) as of 31st March 2026 (Kshs.)	Absorption Rate (%)
DEVELOPMENT				
Trade, Industry & Cooperatives				
Tourism development & promotion	Tourism development & promotion	2,564,880	2,564,880	100
Devolution, Public participation, County Administration and Special Programmes				
Participatory Development.& civic education	Participatory Development.& civic education	1,800,000	1,800,000	100
Sand Authority				
General administration & planning	General administration & Planning	12,000,000	10,999,752	92
ICT, Education and Internship				
ICT Infrastructure & Systems Development	Infrastructure & Systems Development	17,006,561	13,813,342	81
Makueni Fruit Development and Marketing Authority				
General Administration & Support Services	General administration & planning	50,050,222	40,357,304	81
RECURRENT				
Agriculture, Livestock, Fisheries, and Cooperative Development				
Land, Crop development & productivity	Land, Crop development & productivity	2,821,740	3,172,013	112
Devolution, Public participation, County Administration and Special Programmes				
Research, Documentation and Knowledge Management	Research, Documentation and Knowledge Management	200,000	200,000	100
ICT, Education and Internship				
Technical training & non-formal education	Technical training & non-formal education	1,650,000	1,528,869	93
ICT, Education and Internship				
Support for Education and Library Services	Support for Education and Library Services	27,829,000	25,827,556	93
Finance & Socio-Economic Planning				
Public financial management	Financial Accounting Services	20,900,000	18,791,018	90

Source: Makueni County Treasury

The development sub-programmes with the highest budget implementation rates were: Tourism Development Promotion in the Department of Trade, Industry and Cooperative at 100 per cent, Participatory Development & Civic Education in the Department of Devolution, Public Participation, County Administration and Special Programme at 100 per cent, and General Administration and Planning at 92 per cent.

For recurrent sub-programmes, the top performers included: Land, Crop Development & Productivity in the Department of Agriculture, Livestock, Fisheries and Cooperative Development at 112 per cent, Research, Documentation and Knowledge Management in the Department of Devolution, Public Participation, County Administration and Special Programme at 100 per cent, and technical training & non-formal education in the Department of ICT, Education and internship at 93 per cent.

Table 3.349 summarises the budget execution by programmes and sub-programmes in the period under review that had the lowest absorption rates.

Table 3.349: Budget Execution by Programmes and Sub-Programmes with Lowest Absorption Rates

Programme	Sub-Programme	Gross Approved Estimates FY 2025/26 (Kshs.)	Expenditure (including accrued expenditure) as of 31st March 2026 (Kshs.)	Absorption Rate (%)
DEVELOPMENT				
Agriculture, Livestock, Fisheries, and Cooperative Development				
Cooperative Development	SP 5:Cooperative Development	10,690,511	-	-
Devolution, Public participation, County Administration and Special Programmes				
Coordination of Service Delivery and Enforcement	Coordination of Service Delivery and Enforcement	33,688,699	-	-
Devolution, Public participation, County Administration and Special Programmes				
Disaster Risk Preparedness and Mitigation	Disaster Risk Preparedness and Mitigation	8,205,489	-	-
Trade, Industry & Cooperatives				
Industrial development and promotion	Industrial development and promotion	2,585,300	-	-
ICT, Education and Internship				
Support for Education and Library Services	Support for Education and Library Services	3,350,000	-	-
RECURRENT				
Finance & Socio-Economic Planning				
Public financial management	Enterprise Risk Management	1,900,000	-	-
Trade, Industry & Cooperatives				
Industrial development and promotion	Industrial development and promotion	945,175	-	-
Health Services				
Preventive and promotive health care services	Preventive and promotive health care services	141,253,133	11,745,297	8
Agriculture, Livestock, Fisheries, and Cooperative Development				
Cooperative Development	Cooperative Development	3,090,000	299,186	10
Land, Physical Planning & Mining				
Environment management and protection	Environment management and protection	11,600,000	771,181	7

Source: *Makueni County Treasury*

The development sub-programmes with the lowest budget implementation rates were as follows; Cooperative Development in the Department of Agriculture, Livestock, Fisheries and Cooperative Development at 0 per cent, Coordination of Service Delivery and Enforcement in the Department of Devolution, Public participation, County Administration and Special Programmes at 0 per cent, and Disaster Risk Preparedness and Mitigation in the Department of Devolution, Public participation, County Administration and Special Programmes at 0 per cent.

For recurrent sub-programmes, the poorest performers included: Public Financial Management in the Department of Finance & Socio-Economic Planning at 0 per cent, Industrial development and promotion in the Department of Trade, Industry and Cooperative at 0 per cent, and Environment management and protection in the Department of Land, Physical Planning and Mining at 7 per cent.

3.23.17 Settlement of Trade Payables

As of 1st July 2025, the County reported trade payables totalling Kshs.821.14 million. This amount consisted of Kshs.656.36 million from the County Executive and Kshs.164.78 million from the County Assembly.

During the reporting period, the County Executive settled trade payables amounting to Kshs.402.92 million, comprising Kshs.388.36 million (96 per cent) for recurrent programmes and Kshs.14.57 million (4 per cent) for development programmes. On the other hand, the County Assembly settled trade payables amounting to Kshs.51.25 million, towards recurrent activities. The outstanding trade payables as of 31st March 2026 were Kshs.253.43 million for County Executive and Kshs.113.52 million for County Assembly. Table 3.350 provides additional details of trade payables.

Table 3.350: Makueni County Trade Payables as of 31st March 2026

		County Entity	Development (Kshs.)	Recurrent (Kshs.)	Total (Kshs.)
As at 1 July 2025 (End of FY 2024/25)	A	County Executive	91,716,943	495,686,049	587,402,992
		County Assembly		164,778,726	164,778,726
		Total	**91,716,943**	**660,464,775**	**752,181,718**
Trade payables scheduled to be settled in the first nine months of FY 2025/26 per the action plan.	B	County Executive	-		
		County Assembly			
		Total	-	-	
Amount paid in the first nine months of FY 2025/26	C	County Executive	74,623,430	402,582,054	477,205,484
		County Assembly		51,254,459	51,254,459
		Total	74,623,430	453,836,513	528,459,943
Trade Payables Incurred in the First Nine Months of FY 2025/26	D	County Executive	-		
		County Assembly			-
		Total	-	-	-
Outstanding trade payables as of 31st March 2026	**e = a - c*b**	**County Executive**	**17,093,513**	**93,103,995**	**110,197,508**
		County Assembly		**113,524,267**	**113,524,267**
		Total	**17,093,513**	**206,628,262**	**223,721,775**

Source: *Makueni County Treasury*

The County Executive and the Assembly submitted a trade payables payment plan, committing to pay Kshs.611.01 million and Kshs.98.37 million on recurrent and development expenditure, respectively, in FY 2025/26. The County did not adhere to this payment plan, as it cleared Kshs.528.46 million in recurrent expenditure and Kshs.74.62 million in development expenditure in the first nine months of FY 2025/26.

Table 3.351 and Table 3.352 present the ageing of the total outstanding bills as of 31st March 2026 for the County Executive and Assembly, which were Kshs.223.72 million.

Table 3.351: Makueni County Executive Trade Payables Ageing Analysis as of 31st March 2026

Category	Ageing analysis (Amount in Kshs.)				Total
	Under one year	1-2 years	2-3 years	Over 3 years	
Development Trade Payables	**15,429,442**	**1,664,071**			**17,093,513**
Recurrent Trade Payables (Goods & Services)	76,390,218	15,230,967			91,621,185
Recurrent Trade Payables (Salary Arrears and Statutory Deductions)					-
Recurrent Trade Payables (Staff Claims)	1,016,591	466,219			1,482,810

Category	Ageing analysis (Amount in Kshs.)				Total
	Under one year	1-2 years	2-3 years	Over 3 years	
Total Recurrent Trade Payables	77,406,809	15,697,186	-	-	93,103,995
Total Trade Payables	**92,817,051**	**17,361,256**	**-**	**-**	**110,197,508**
% of Total	**84**	**16**	**-**	**-**	**100**

Source: *Makueni County Treasury*

Table 3.352: Makueni County Assembly Trade Payables Ageing Analysis as of 31st March 2026

Category	Ageing analysis (Amount in Kshs.)				Total
	Under one year	1-2 years	2-3 years	Over 3 years	
Development Trade Payables					
Recurrent Trade Payables (Goods & Services)		41,918,391			41,918,391
Recurrent Trade Payables (Salary Arrears and Statutory Deductions)					-
Recurrent Trade Payables (Staff Claims)		71,605,876			71,605,876
Total Recurrent Trade Payables	-	113,524,267	-	-	113,524,267
Total Trade Payables	-	113,524,267	-	-	113,524,267
% of Total	**-**	**100**	**-**	**-**	**100**

Source: *Makueni County Treasury*

As shown in Table 3.351 and Table 3.352, 100 per cent of total trade payables are aged between 1 year and 1-2 years. To address this situation, the county should consider clearing all trade payables within the next quarter to avoid carrying them over to the next financial year.

3.23.18 General Observations and Recommendations

In the course of overseeing and reporting on the implementation of the Makueni County budget, the CoB identified the following challenges, which hampered effective budget implementation;

i. Low development performance in the review period as the County incurred Kshs.1.75 billion on development activities, achieving a 36 per cent absorption rate.
ii. High levels of trade receivables which amounted to Kshs.1.70 billion as of 31st March 2026.
iii. Fund Administrators failed to submit quarterly financial and non-financial reports to the CoB within the timelines provided by law, which is against the requirement of Section 168 of the PFM Act, 2012. The reports for all Funds were not submitted to the CoB as of 15 April 2026.
iv. High level of trade payables, which amounted to Kshs.223.72 million as of 31st March 2026. Furthermore, the County Treasury did not adhere to the trade payables payment plan.
v. Use of manual payroll. Personnel emoluments amounting to Kshs.55.86 million for 73 staff not onboarded into HRIS and casual staff were processed through manual payroll, accounting for 1 per cent of the total payroll cost. Manual payroll is prone to abuse and may result in the loss of public funds.
vi. The County reported Kshs.200.64 million under "*other operating expenses-other*" accounting for 13 per cent of total operation and maintenance costs. The review revealed that this category was misused to record items with specific budget codes, distorting the cost structure, reducing financial transparency, and weakening accountability in public fund management.

The County should implement the following recommendations to improve budget execution:

i. *The County should implement strategies to increase development expenditures in FY 2025/26.*
ii. *The County should insititue measures to ensure that revenue receivables due are recovered to enable County to improve on its cash inflows.*
iii. *The CECMF should follow up to ensure Fund Administrators prepare and submit statutory reports in line with the PFM Act, 2012.*

iv. *The County Leadership should address the situation of trade payables to ensure that genuine bills are paid promptly in the remaining financial year. Further, compliance with the Trade Payables Action Plan should be enforced.*

v. *The Government requires that salaries be processed through the HRIS system, and the County is advised to fast-track the acquisition of Unified Personnel Numbers for their staff. The County Public Service Board should regulate staff engagement on contract and casual workers as provided under Section 74 of the County Governments Act 2012. Furthermore, strict adherence to the approved staff establishment should be maintained.*

vi. *The County Treasury should adhere to the approved budget classification framework by ensuring that all expenditures are recorded under their specific budget codes rather than being aggregated under the "Other Operating Expenses-other" category.*

3.24. County Government of Mandera

3.24.1 Overview of FY 2025/26 Budget

The Mandera County Approved Budget for FY 2025/26 is Kshs.15.01 billion. It comprises of Kshs.5.44 billion (36 per cent) and Kshs.9.57 billion (64 per cent) allocation for development and recurrent programmes, respectively. The budget estimates represent an increase of Kshs.120.71 million (1 per cent) from the FY 2024/25 budget, which comprised a development budget of Kshs.5.94 billion and a recurrent budget of Kshs.8.95 billion. The increase in the budget was primarily attributed to the rise in the Equitable Share of Revenue raised nationally.

The budget is to be financed from various revenue sources. These include: the equitable share of revenue raised nationally of Kshs.12.27 billion (82 per cent), additional allocations of Kshs.1.72 billion (11 per cent), a cash balance of Kshs.347.55 million (2 per cent) brought forward from FY 2024/25, Kshs.360 million (3 per cent) generated as ordinary own-source revenue and Kshs.322.53 million (2 per cent) as FIF collection. A breakdown of the additional allocations is shown in Table 3.353 Revenue Performance

During the first nine months of FY 2025/26, the County reported total revenues of Kshs.9.39 billion. This amount represented an increase of 18 per cent compared to the amount received in a similar period in FY 2024/25 of Kshs.7.97 billion. The total revenue consisted of Kshs.8.16 billion from the equitable share of revenue raised nationally, additional allocations from the national government and development partners of Kshs.609.72 million, and the own-source revenue (OSR) collection of Kshs.275.11 million. Additionally, the County had a cash balance of Kshs.347.55 million from FY 2024/25. The total OSR collection of Kshs.275.11 million included Facilities Improvement Financing (FIF) of Kshs.146.98 million, and Kshs.128.13 million from other OSR sources. Table 3.353 summarises the total revenue available to the County Government during FY 2025/26.

Table 3.353: Mandera County, Revenue Performance in the first nine months of FY 2025/26

No	Revenue Stream	Annual Targeted Revenue (Kshs.)	Actual Receipts (Kshs.)	Receivables in the First Nine Months of FY 2025/26 (Kshs.)	Total Revenues (in accrual basis) in the First Nine Months of FY 2025/26 (Kshs.)	Revenue performance
		A	B	C	D=B+C	F=D/A*100
A	Unspent Balance from FY 2024/25					
1	Balance at CRF	347,553,249	347,553,249	-	347,553,249	100
	Sub-Total	**347,553,249**	**347,553,249**	**-**	**347,553,249**	100
B	**Equitable Share of Revenue Raised Nationally**					
1	Equitable Share	12,265,064,993	8,156,268,221	981,205,200	9,137,473,421	75
	Sub-Total	**12,265,064,993**	**8,156,268,221**	**981,205,200**	**9,137,473,421**	**75**
C	**Additional Allocations (Including Grants)**					
1	Kenya Urban Support Project (KUSP) – UDG	142,013,441	170,152,989	-	170,152,989	120

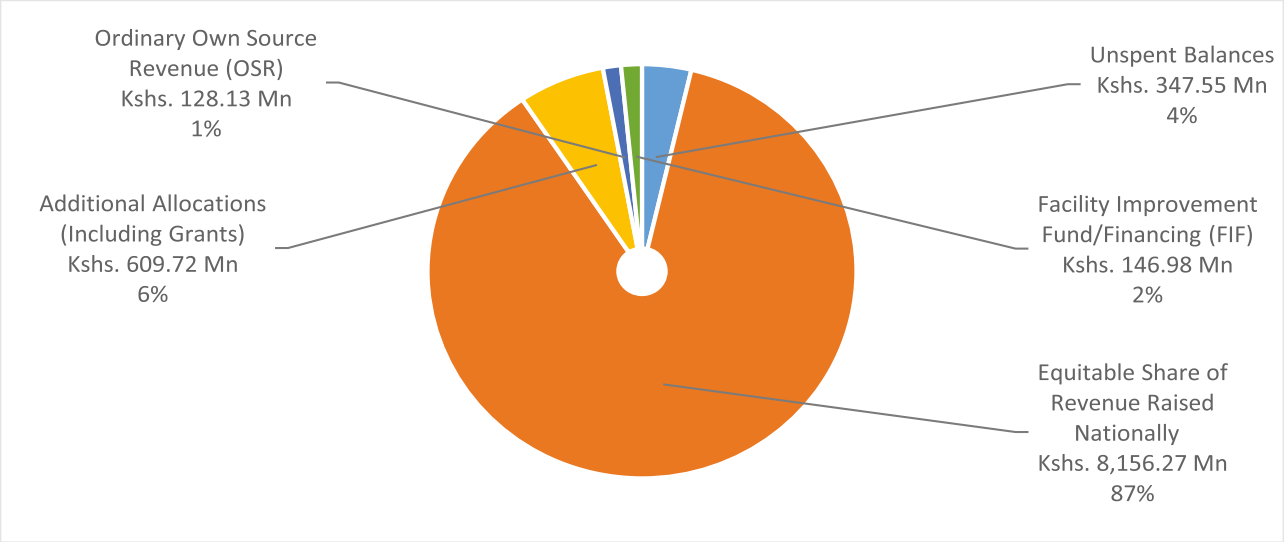
No	Revenue Stream	Annual Targeted Revenue (Kshs.)	Actual Receipts (Kshs.)	Receivables in the First Nine Months of FY 2025/26 (Kshs.)	Total Revenues (in accrual basis) in the First Nine Months of FY 2025/26 (Kshs.)	Revenue performance
		A	B	C	D=B+C	F=D/A*100
2	FLOCCA CCIR Grant FY 2023/2024 and FY 2024/25 Allocations	227,938,965	148,566,850	-	148,566,850	65
3	Food Systems Resilience Project -(FSRP)	246,153,846	110,059,820	-	110,059,820	45
4	Roads Maintenance Fuel Levy	192,647,255	70,127,132	-	70,127,132	36
5	Kenya Devolution Support Programme 2 (KDSP II)	37,500,000	35,253,471	-	35,253,471	94
6	Kenya Urban Support Project (KUSP) - UIG b/f	35,000,000	32,309,300	-	32,309,300	92
7	FLOCCA CCIR Grant FY 2023/2024 Allocations B/f (Amount in SPA)	16,507,427	16,507,428	-	16,507,428	100
8	DANIDA Grant - Primary Health Care (B/f)	15,746,250	15,746,250	-	15,746,250	100
9	FLOCCA County Climate Institutional Support Grant	11,000,000	11,000,000	-	11,000,000	100
10	Kenya Devolution Support Programme 2 (KDSP II) Level 2 grant	352,500,000	-	-	-	-
11	Conditional Grant for Aggregated Industrial Parks Programme	250,000,000	-	-	-	-
12	FSRP b/f	70,127,131	-	-	-	-
13	Kenya Urban Support Project (KUSP) – UIG	35,000,000	-	-	-	-
14	Basic Salary Arrears for County Governments' Health Workers	19,809,159	-	-	-	-
15	DANIDA Grant - Primary Health Care for FY 2023/2024 (Not received)	18,653,250	-	-	-	-
16	Community Health Promoters Program	18,540,000	-	-	-	-
17	DANIDA Grant - Primary Health Care	16,473,000	-	-	-	-
18	Kenya Agricultural Business Development Project	10,918,919	-	-	-	-
19	Allocation for Mineral royalties	1,028	-	-	-	-
	Sub-Total	**1,716,528,643**	**609,723,240**	**-**	**609,723,240**	**36**
D	**Ordinary Own Source Revenue (OSR)**					
1	Ordinary Own Source Revenue (OSR)	360,000,000	128,134,728	-	128,134,728	36
	Sub-Total	**360,000,000**	**128,134,728**	**-**	**128,134,728**	**36**
E	**Facility Improvement Financing (FIF)**					
1	SHIF	322,525,007	146,977,786		146,977,786	46

No	Revenue Stream	Annual Target-ed Revenue (Kshs.)	Actual Receipts (Kshs.)	Receivables in the First Nine Months of FY 2025/26 (Kshs.)	Total Revenues (in accrual basis) in the First Nine Months of FY 2025/26 (Kshs.)	Revenue per-formance
		A	B	C	D=B+C	F=D/A*100
	Sub-Total	**322,525,007**	**146,977,786**	**-**	**146,977,786**	**46**
	Grand Total	**15,011,671,892**	**9,388,657,223**	**981,205,200**	**10,369,862,423**	**46**

Source: *Mandera County Treasury*

The County has governing legislation on the operation of ordinary A-I-A and FIF. Figure 3.139 provides a detailed breakdown of receipts.

Figure 3.139: Mandera County Composition of Revenue in the first nine months of FY 2025/26

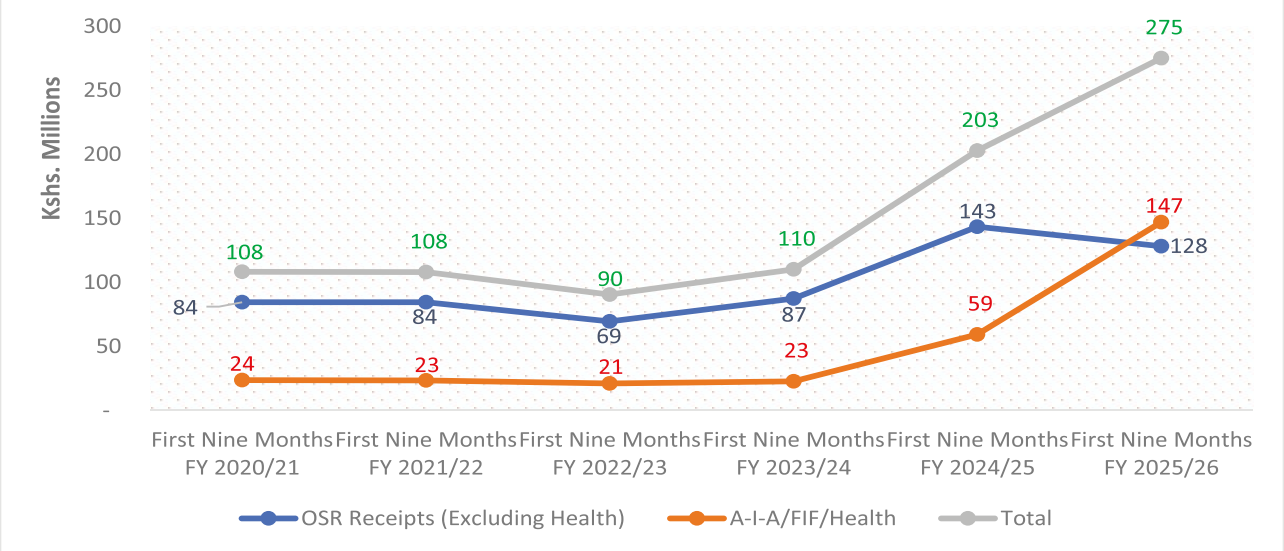


Source: *Mandera County Treasury*

The equitable share of revenue raised nationally, Unspent balance from FY2024/25, and Additional Allocations contributed 88.5 per cent, 6 per cent and 2.3 per cent, respectively, of the total receipts for the reporting period.

Figure 3.140 shows the collection trend in own-source revenue from the first nine months of FY 2020/21 to the first nine months of FY 2025/26.

Figure 3.140: Mandera County Trend in Own-Source Revenue Collection from the first nine months of FY 2020/21 to the first nine months of FY 2025/26



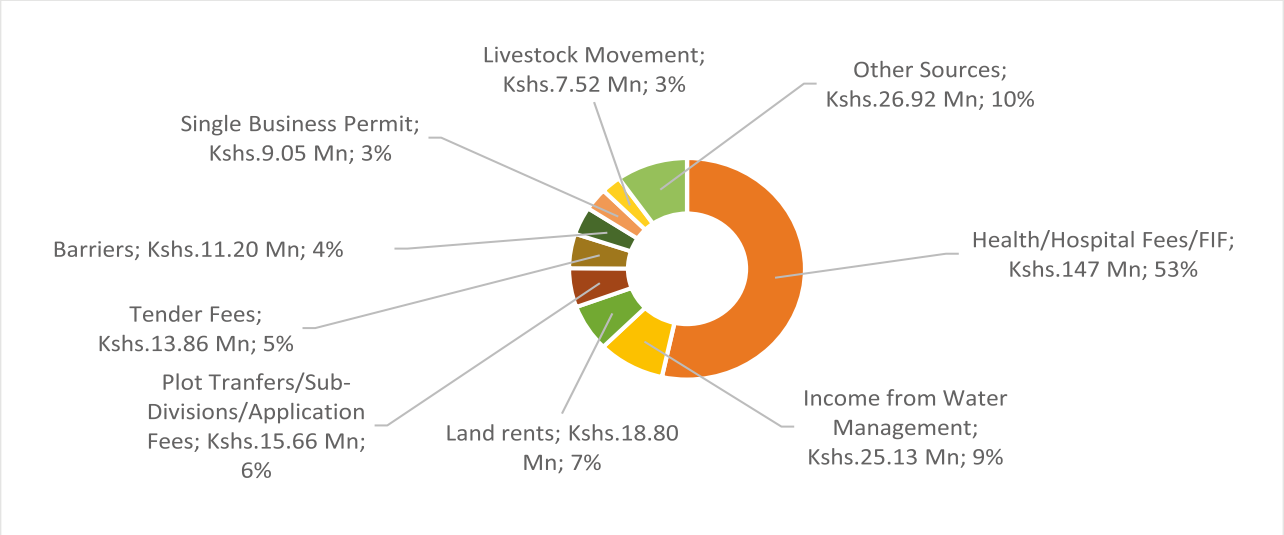
Source: *Mandera County Treasury*

During the first nine months of FY 2025/26, the County received Kshs.275.11 million from OSR, including Facility Improvement Financing (FIF). This amount was an increase of 36 per cent compared to Kshs.202.83 million realised in a similar period in FY 2024/25, and was 40 per cent of the annual target and 3 per cent of the equitable revenue share disbursed.

The increase in OSR was attributed to automation, the implementation of the FIF Act, and improved enforcement.

The revenue streams that contributed the most to OSR receipts are shown in Figure 3.141

Figure 3.141: Mandera County Top Own Source Revenue Streams in the first nine months of FY 2025/26



Source: Mandera County Treasury

As shown in Figure 3.141 the largest revenue stream, at Kshs.146.97 million, was from FIF collections, accounting for 53 per cent of total OSR receipts. The County Government indicated that it has automated all revenue streams.

3.24.2 Revenue Receivables

The county did not report on any revenue receivables during the period under review.

3.24.3 Borrowing by the County

The two arms of the County Government did not report any credit facilities or short-term borrowing with commercial banks during the period under review.

3.24.4 Withdrawals from the County Revenue Fund and County Assembly Fund

During the reporting period, the Controller of Budget approved exchequer withdrawal requests totalling Kshs.8.36 billion from the Mandera County Revenue Fund (CRF) account. This amount consisted of Kshs.2.41 billion (29 per cent) designated for development programs and Kshs.5.95 billion (71 per cent) allocated for recurrent programs.

An analysis of the released recurrent exchequers shows that Kshs.3.49 billion was allocated to employee compensation and Kshs.2.47 billion to operations and maintenance expenditures. Within the operations and maintenance category, 3 per cent was allocated to domestic travel and 1 per cent to foreign travel. The domestic travel exchequers totalled Kshs.77.19 million, which included Kshs.19.54 million for the County Executive and Kshs.57.66 million for the County Assembly. Meanwhile, the foreign travel exchequers amounted to Kshs.26.7 million all for the County Assembly.

As of 31st March 2026, the County Government's cash balance in the Mandera County CRF account was Kshs.768.19 million.

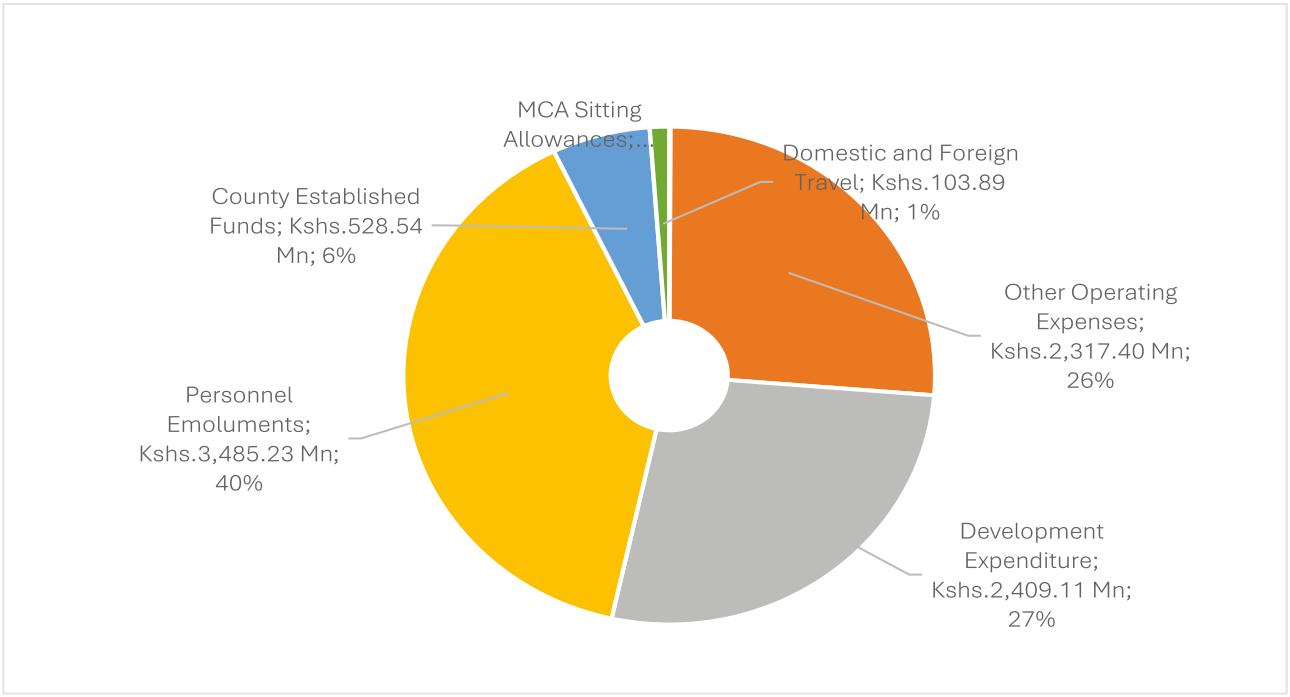
The County had not operationalised the County Assembly Fund as of 31st March 2026.

3.24.5 Expenditure Review

The County spent Kshs.8.46 billion on development and recurrent programmes during the reporting period. The expenditure represented 101 per cent of the total funds released by the CoB. It comprised Kshs.2.41 billion for development programmes and Kshs.6.05 billion for recurrent programmes. Expenditure on development programmes accounted for 44 per cent of the annual development expenditure budget, while recurrent expenditure accounted for 63 per cent of the annual recurrent expenditure budget.

Figure 3.142 provides a detailed breakdown of total expenditure.

Figure 3.142: Mandera County Composition of Expenditure in the first nine months of FY 2025/26



Source: *Mandera County Treasury*

As shown in Figure 3.142, the three highest expenditure categories were Personnel Emoluments, Development Expenses, and County Established Funds, contributing 40, 28, and 6 per cent of the total expenditure for the reporting period.

3.24.6 Expenditure by Economic Classification

The County Executive incurred Kshs.3.19 billion in employee compensation, Kshs.2.27 billion in operations and maintenance, and Kshs.2.41 billion in development activities. Similarly, the County Assembly spent Kshs.294.08 million on compensation of employees, Kshs.291.83 million on operations and maintenance, and Kshs.2.16 million on development activities, as shown in Table 3.354

Table 3.354: Mandera County Summary of Budget and Expenditure by Economic Classification

Expenditure Classification	Approved Budget (Kshs.Mn) (a)		Amount Paid in the first nine months of FY 2025/26 (Kshs. Mn) (b)		Expenditure Accrued in the first nine months of FY 2025/26 (Kshs. Mn) (c)		Total Expenditure in the first nine months of FY 2025/26 (Kshs. Mn) (d=b+c)		Absorption (%) (d/a*100)	
	Executive	Assembly	Executive	Assembly	Executive	Assembly	Executive	Assembly	Executive	Assembly
Total Recurrent Expenditure	**8,652.99**	**568,605.67**	**5,462.16**	**490.91**	**-**	**95.00**	**5,462.16**	**585.91**	**63**	**0**
Compensation of Employees	5,335.09	349.68	3,191.15	294.08	-	-	3,191.15	294.08	60	84

Expenditure Classification	Approved Budget (Kshs.Mn) (a)		Amount Paid in the first nine months of FY 2025/26 (Kshs. Mn) (b)		Expenditure Accrued in the first nine months of FY 2025/26 (Kshs. Mn) (c)		Total Expenditure in the first nine months of FY 2025/26 (Kshs. Mn) (d=b+c)		Absorption (%) (d/a*100)	
	Executive	Assembly	Executive	Assembly	Executive	Assembly	Executive	Assembly	Executive	Assembly
Operations and Maintenance	3,317.91	568,255.99	2,271.01	196.83	-	95.00	2,271.01	291.83	68	0
Development Expenditure	**5,390.74**	**50.00**	**2,406.95**	**2.16**	**-**	**-**	**2,406.95**	**2.16**	45	4
Total	**14,043.74**	**568,655.67**	**7,869.11**	**493.07**	**-**	**95.00**	**7,869.11**	**588.07**	**56**	**0**

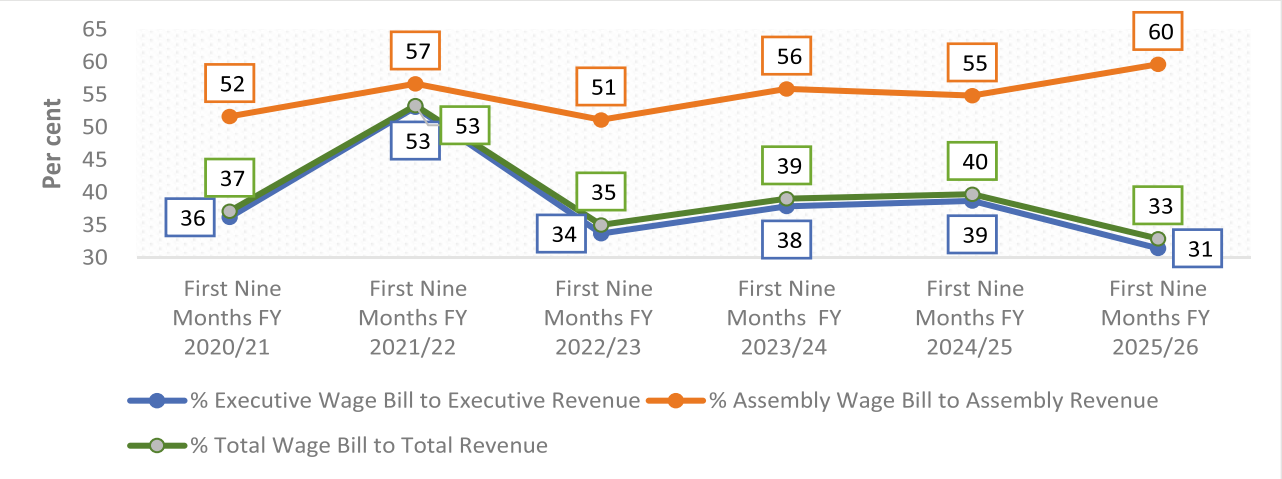
***Source**: Mandera County Treasury*

3.24.7 Expenditure on Employee Compensation

The expenditure on employee compensation totalled Kshs.3.49 billion, representing 37 per cent of revenue. This expenditure on employee compensation shows. an increase compared to the Kshs.3.11 billion reported in a similar period in FY 2024/25. Of this total, Kshs.1.15 billion related to Health Sector employees, accounting for 33 per cent of the overall employees' compensation.

Figure 3.143 shows the trend in employee compensation as a percentage of total revenue from the first nine months of FY 2020/21 to the first nine months of FY 2025/26.

Figure 3.143: Percentage of Employee Compensation Expenditure to Total Revenue Received in the first nine months of FY 2020/21 to the first nine months of FY 2025/26



Source: Mandera County Treasury

The County Executive P.E to Revenue graph has remained steady over the years as a result of the matching of the increases in Personnel Emoluments by corresponding increases in revenue.

Further analysis indicated that PE costs totalling Kshs.3.18 billion were processed through the Human Resource Information System (HRIS). In contrast, Kshs.300.53 million was processed through manual payrolls, accounting for 9 per cent of the total PE cost. The justification for the continued use of manual payroll was the delay in issuing Personal Numbers.

The manual payroll comprised salaries for 515 staff not onboarded into the Human Resource Information System (HRIS), salaries for 581 casual staff, top-up allowances for security personnel, gratuity remittances to pension schemes for staff on contract, and LAPTRUST/LAPFUND Pension Contributions, as shown in Table 3.355

Table 3.355: Breakdown of Mandera County Manual Payroll

Sno.	Description of Manual Payroll	Executive Amount Kshs.	Assembly Amount Kshs.	TOTAL
1.	Salaries for 510 staff (5 Assembly) who were yet to be onboarded into UHR	157,688,530	202,815	157,891,345
2.	Salaries for 574 casual staff (including National Police Reservists) (7 for Assembly)	83,348,339	158,000	83,506,339
3.	Top-up Allowances for 76 security officers	30,725,000	278,720	31,003,720
4	Gratuity for contract staff	16,127,858	13,950	16,141,808
5	NSSF Contributions	7,524,990	11,160	7,536,150
6	House Levy	4,076,436	5,187	4,081,624
7	NITA contribution	369,550	550	370,100
	Total	**299,860,703**	**670,382**	**300,531,086**

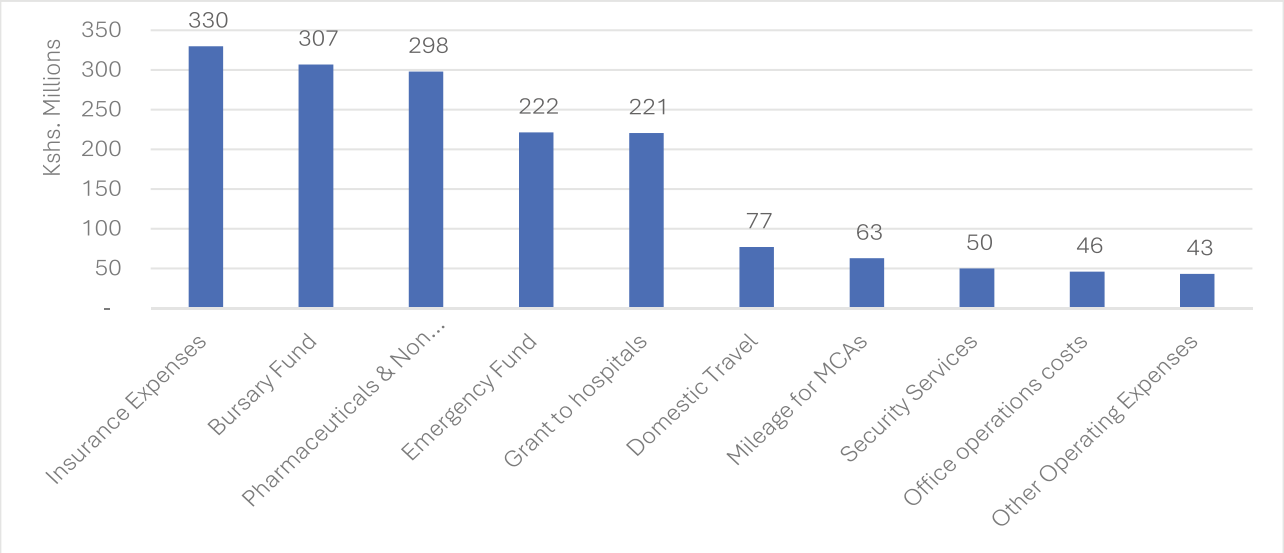
Source: Mandera County Treasury

The County Assembly spent Kshs.7.44 million on committee sitting allowances for the 50 MCAs against the annual budget allocation of Kshs.30 million. The average monthly sitting allowance was Kshs.16,202 per MCA. The County Assembly has 21 House Committees.

3.24.8 Expenditure on Operations and Maintenance

During the reporting period, the County spent Kshs.2.56 billion on operations and maintenance, representing an increase of 9 per cent compared to a similar period in FY 2024/25, when the County spent Kshs.2.34 billion. Figure 3.144 illustrates the distribution of Operations and Maintenance expenditures across the major spending categories.

Figure 3.144: Mandera County, Operations and Maintenance Expenditure by Major Categories



Source: *Mandera County Treasury*

3.24.9 Unbundling "Other Operating Expenses-Other" Under Operations and Maintenance Expenditures

The budget performance report for the first nine months of FY 2025/26 indicates that the County spent Kshs.43.38 million on "*other operating expenses-other*," which is 2 per cent of the total operations and maintenance expenditure of Kshs.2.56 billion. This category of expenditure includes Kshs.31.7 million for compensation of Community Health Providers (CHPs) and Kshs.11.68 million for Vaccination Campaigns.

The disaggregated items under the "*Other Operating Expenses-other*" category are shown inTable 3.356

Table 3.356: Breakdown of "Other Operating Expenses-other" under O&M Expenditures

Code	Item	Budget (Kshs)	Expenditure (Kshs.)
2211399	Provision for CHPs	38,700,000	31,700,000
2211399	Vaccination campaigns (Livestock)	22,000,000	11,676,164
	Total	**60,700,000**	**43,376,164**

Source: *Mandera County Treasury*

A review of the other expense items listed in the table revealed the following inconsistencies: *Some expenditures with clear and unique budget codes were erroneously aggregated under the "Other Operating Expenses - other" category. These include:* Provision for CHPs *and* Vaccination campaigns (Livestock)

3.24.10 County-Established Funds

Section 116 of the PFM Act 2012 allows County Governments to establish other public funds, subject to approval from the County Executive Committee and the County Assembly. The County allocated Kshs.741.35 million to County-Established funds in FY 2025/26, representing 5 per cent of the County's overall budget. Of this amount, the County allocated Kshs.291.35 million to the Emergency Fund in line with Section 110 of the PFM Act, 2012, accounting for 2 per cent of the total budget. Table 3.357 summarises each established Fund's budget allocation and performance during the reporting period.

Table 3.357: Performance of Mandera County Established Funds in the first nine months of FY 2025/26

S/No.	Name of the Fund	Year Established	Approved Budget Allocation in FY 2025/26 (Kshs.)	Exchequer Issues in the first nine months of FY 2025/26	Actual disbursements in the first nine months of FY 2025/26 (Kshs.)	Cumulative disbursements to the Fund	Submission of Financial Statements
				(Kshs.)		(Kshs)	(Yes/No.)
		County Executive Established Funds					
1.	Education Bursary Program	2014	450,000,000	307,044,390	307,044,390	2,159,044,389	YES
2.	Emergency Fund	2024	291,350,959	221,500,000	221,500,000	224,500,000	YES
	Total		**741,350,959**	**528,544,390**	**528,544,390**	**2,383,544,389**	

Source: *Mandera County Treasury*

During the reporting period, the CoB received quarterly financial reports from both Fund Administrators, as indicated in Table 3.357, in line with the requirements of Section 168 of the PFM Act, 2012. The County disclosed that administration costs of the Bursary and the Emergency Funds were within the 3 per cent limit of the Fund budget set in Regulation 197(1)(d) of the Public Finance Management (County Governments) Regulations, 2015.

Regulation 197(1)(i) of the Public Finance Management (County Governments) Regulations, 2015, allows County Governments to establish public funds with a lifespan capped at 10 years unless extended by the County Assembly.

3.24.11 County Corporations and Municipalities

The County has 5 County Corporations, which were allocated Kshs.661.76 million in FY 2025/26. Their total expenditure for the review period amounted to Kshs.358.94 million, as shown in Table 3.358

Table 3.358: Performance of Mandera County Corporations in the first nine months of FY 2025/26

S/No.	Name of the Corporation	Approved Budget Allocation in FY 2025/26 (Kshs.)	Exchequer Issues (Kshs.)	Actual Transfers in FY 2025/26 (Kshs.)	Cumulative Transfers to the Corporation since its inception (Kshs.)
1	Mandera Water and Sewerage Company	176,000,000	45,000,000	45,000,000	1,349,100,897
2	Elwak Water and Sewerage Company	72,000,000	35,040,000	35,040,000	385,000,000

S/ No.	Name of the Corporation	Approved Budget Allocation in FY 2025/26 (Kshs.)	Exchequer Issues (Kshs.)	Actual Transfers in FY 2025/26 (Kshs.)	Cumulative Transfers to the Corporation since its inception (Kshs.)
3	Takaba Water and Sewerage Company	46,079,420	10,400,000	10,400,000	15,400,000
4	Mandera Municipality	277,000,000	163,000,000	163,000,000	1,882,000,000
5	Elwak Municipality	90,680,000	105,500,000	105,500,000	509,986,596
	Total	**661,759,420**	**358,940,000**	**358,940,000**	**4,141,487,493**

Source: *Mandera County Treasury*

3.24.12 Expenditure on Domestic and Foreign Travel

Expenditure on domestic travel amounted to Kshs.77.19 million and comprised Kshs.57.66 million spent by the County Assembly and Kshs.19.54 million by the County Executive. Expenditure on foreign travel amounted to Kshs.26.69 million, and was all incurred by the County Assembly and therefore did not provide details of the foreign travel of the full amount above. In addition, the County Executive did not provide details of the foreign travel expenditures despite the reported expenditure of Kshs.19.54 million. The Expenditure details on foreign travel is summarised in Table 3.359

Table 3.359: Summary of Expenditure on Foreign Travel in the first nine months of FY 2025/26

Arm of County Government	Number of Officers Travelled	Date travelled	Purpose of the travel	Destination	Actual Payment on Travel (a) (Kshs.)	Accrued Expenditure on Travel (b) (Kshs.)	Total Expenditure on Travel (c=a+b) (Kshs.)
County Assembly	7	8th - 16th Feb 2026	Being paid for the air ticket for members who travelled to Singapore on official duty	Singapore	1,575,000	-	1,575,000
County Assembly	7	8th - 16th Feb 2026	Being paid for the air ticket for members who travelled to Singapore on official duty	Singapore	1,575,000	-	1,575,000
County Assembly	7	8th - 16th Feb 2026	Air ticket for members who travelled to Singapore on official duty	Singapore	1,575,000	-	1,575,000
County Assembly	7	8th - 16th Feb 2026	Perdiem allowances and air ticket on official duty for attending the modern Governance, Legislation and oversight	Singapore	3,688,770	-	3,688,770
County Assembly	2	13th - 19th Feb 2026	Being paid for Perdiem allowances and air ticket on official duty for attending capacity building on legislative oversight	UAE	1,198,460	-	1,198,460
County Assembly	1	12th - 17th Jan 2026	Per diem allowances and air ticket on official duty for attending capacity building on strategic public affairs & government relations	UAE	955,730	-	955,730
County Assembly	6	12th - 17th Jan 2026	Per diem allowances and air ticket on official duty for attending the modern Governance, Legislation and oversight	Singapore	3,280,580	-	3,280,580
County Assembly	7	12th - 17th Jan 2026	Per diem allowances and air ticket on official duty for attending the modern Governance, Legislation and oversight	Singapore	3,943,890	-	3,943,890
County Assembly	20	12th - 17th Jan 2026	Air ticket and tuition for members who travelled to Singapore on official duty	Singapore	8,900,680	-	8,900,680
Total					26,693,110	-	26,693,110

Source: Mandera County Assembly

3.24.13 Facility Improvement Financing

During the review period, the County reported collections of Kshs.146.98 million as FIF, which was 46 per cent of the annual target of Kshs.322.53 million. The collected amount was retained and utilised at source in line with the Facility Improvement Financing Act, 2023. The County has developed regulations to operationalise the FIF Act of 2023.

The expenditure by the health facilities amounted to Kshs.279.35 million, as shown in Table 3.360

Table 3.360: Mandera County Health Facilities Expenditure Performance in the first nine months of FY 2025/26

No.	Health Facility	Number of Facilities	Approved Budget (Kshs.)	Actual Expenditure (Kshs.)	Absorption rate (%)
1.	Level 5 Hospital	1	378,550,458	213,713,592	56
2.	Level 4 Hospital	6	154,756,000	43,969,759	28
3.	Level 3 Facility	35	84,000,000	7,386,128	9
4.	Level 2 Facility	65	78,000,000	14,283,459	18
	Total	**107**	**695,306,458**	**279,352,938**	**40**

Source: *Mandera County Treasury*

Hospital expenditures exceed FIF collections because hospitals receive additional grants from the county government, which are included in those expenditures.

3.24.14 Development Expenditure

In the review period, the County reported spending Kshs.2.41 billion on development programmes, representing a decrease of 1 per cent compared to FY 2024/25, when the County spent Kshs.2.43 billion. Table 3.361 summarises the development projects with the highest expenditure in the reporting period.

Table 3.361: Mandera County, List of Development Projects with the Highest Expenditure

No	Sector	Project Name	Project Location	Project Commencement Date	Expected date of Completion of the Project	Contract sum (Kshs)	Total Funding in FY 2025/26 (Kshs.)	Expenditure (on an accrual basis) in the first nine months of FY 2025/26 (Kshs.)	Cumulative project expenditure (on an accrual basis) as of 31st March 2026 (Kshs.)	Percentage (%) of Completion
County Funded Projects										
1	Water	Proposed Augmentation and Upgrading of Khalalio Water Supply Project at Khalalio Town in Mandera East Sub-County	Mandera East	FY 2023/24	UNSPECIFIED	66,227,207	30,000,000	30,000,000	60,000,000	91
2	Health	Proposed Upgrading of Lafey Hospital in Lafey Sub-County	Lafey	FY 2023/24	UNSPECIFIED	68,251,896	29,438,922	-	29,438,922	43
3	Health	Proposed Upgrading of Kutulo Hospital in Kutulo Sub-County	Kutulo	FY 2023/24	UNSPECIFIED	73,810,730	27,608,048	-	27,608,048	37
4	Agriculture	Supply And Delivery of Agricultural Machinery	County Wide	FY 2024/25	UNSPECIFIED	22,961,520	22,961,520	-	22,961,520	100
5	Health	Proposed Addition and Extension of MRI Block At Mctrh In Mandera East Sub-County	Mandera East	FY 2024/25	UNSPECIFIED	22,165,250	22,165,250	-	22,165,250	100
6	Water	Proposed Desilting of Qaba Guto Earth Pan By 80,000M3	Mandera East	FY 2023/24	UNSPECIFIED	40,223,306	18,659,515	12,000,000	30,659,515	76

No	Sector	Project Name	Project Location	Project Commencement Date	Expected date of Completion of the Project	Contract sum (Kshs)	Total Funding in FY 2025/26 (Kshs.)	Expenditure (on an accrual basis) in the first nine months of FY 2025/26 (Kshs.)	Cumulative project expenditure (on an accrual basis) as of 31st March 2026 (Kshs.)	Percentage (%) of Completion
7	Health	Proposed Facility Improvement at Elwak Hospital in Mandera South Sub-County	Elwak	FY 2023/24	UNSPECIFIED	42,976,100	17,232,048	-	17,232,048	40
8	Agriculture	Proposed Installation of Irrigation Infrastructure at Yabicho a Farms Irrigation Project In Rhamu Ward, Mandera North Sub-County	Rhamu	FY 2023/24	UNSPECIFIED	36,736,409	15,000,000	-	15,000,000	41
9	Finance	Proposed Renovation, Construction of Toilet, Parking and Partitioning of Enforcement Office Block	Mandera East	FY 2024/25	UNSPECIFIED	14,928,165	14,928,165	-	14,928,165	100
10	Water	Proposed Storm Water Protection Works at Rhamu Dimtu in Mandera North Sub-County	Rhamu	FY 2023/24	UNSPECIFIED	34,088,856	14,717,233	-	14,717,233	43

Source: *Mandera County Treasury*

The County did not report on any stalled development projects as of 31st March 2026.

3.24.15 Budget Performance by Department

Table 3.362 summarises the approved budget allocation, expenditure, and absorption rate by department for the period under review.

Table 3.362: Mandera County, Budget Allocation and Absorption Rate by Department in the first nine months of FY 2025/26

Department	Budget Allocation (Kshs. Millions)		Exchequer Issues (Kshs. Millions)		Expenditure (Kshs. Millions)		Expenditure to Exchequer Issues (%)		Absorption rate (%)	
	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev
County Assembly	917.94	50.00	490.91	2.16	585.91	2.16	119	100	64	4
County Executive Services	521.00	-	323.06	-	322.93	-	100	-	62	-
Finance and Economic Planning	439.60	22.80	272.81	0.80	268.48	0.80	98	100	61	4
Agriculture, Livestock and Fisheries	286.10	572.29	150.19	177.73	150.19	161.22	100	91	52	28
Water, Energy, Environment and Natural Resources	345.02	1,967.56	218.67	1,121.18	218.67	1,137.68	100	101	63	58

Department	Budget Allocation (Kshs. Millions)		Exchequer Issues (Kshs. Millions)		Expenditure (Kshs. Millions)		Expenditure to Exchequer Issues (%)		Absorption rate (%)	
	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev
Education & Human Capital Development	1,124.70	248.30	738.01	145.81	738.01	145.81	100	100	66	59
Health Services	2,736.85	362.32	1,740.77	232.43	1,740.77	232.43	100	100	64	64
Lands and Urban Development	213.69	729.81	87.21	307.43	87.21	307.43	100	100	41	42
Roads, Transport and Works Roads	237.11	558.44	173.49	301.47	173.49	301.47	100	100	73	54
Social Develop-ment	388.35	166.96	278.98	84.78	278.98	84.78	100	100	72	51
Public Service Management	1,996.69	6.00	1,277.51	-	1,276.23	-	100	-	64	-
County Public Service Board	57.51	5.00	38.89	-	38.89	-	100	-	68	-
Trade and Cooperative Development	80.83	323.54	36.29	14.96	36.29	14.33	100	96	45	4
Office of the County Secretary	134.03	427.73	94.77	21.00	100.50	21.00	106	100	75	5
Office of the County Attorney	91.50	-	31.50	-	31.50	-	100	-	34	-
Total	**9,571**	**5,441**	**5,953**	**2,410**	**6,048**	**2,409**	**102**	**100**	**63**	**44**

Source: *Mandera County Treasury*

Analysis of expenditure by departments shows that the Department of Health recorded the highest absorption rate of development budget at 64 per cent, followed by the Department of Education at 59 per cent. The Office of the County Secretary had the highest percentage of recurrent expenditure to budget at 73 per cent, while the Department of the County Attorney had the lowest at 34 per cent.

3.24.16 Budget Execution by Programmes and Sub-Programmes

Budget execution was concentrated in selected performance bands. In the 1–10 per cent band, recurrent absorption was reported for cooperative development and promotion under the Department of Trade at 7 per cent, while development absorption was reported at 0 per cent for women's empowerment and affirmative action, culture and gender development promotion, devolved governance and enforcement services, ethics, governance and public service values, legal and advisory services, public finance management accounting services, and revenue collection and enhancement at 8 per cent.

In the 11–20 per cent band, recurrent absorption was reported for energy and natural resources management at 12 per cent, irrigation development and management at 13 per cent, and ethics, governance and public service values at 19 per cent. In the 21–30 per cent band, development absorption was recorded for energy and natural resources at 24 per cent and irrigation development and management at 29 per cent. In the 31–40 per cent band, recurrent absorption was reported for legal and advisory services at 34 per cent, revenue collection and enhancement at 34 per cent, culture and gender development promotion at 36 per cent, and women's empowerment and affirmative action at 39 per cent.

In the 51–60 per cent band, development absorption was reported for road and air transport infrastructure development at 59 per cent. In the 61–70 per cent band, development absorption was recorded for water and sewerage management at 62 per cent and youth empowerment and sports at 65 per cent. In the 71–80 per cent band, development absorption reached 74 per cent for vocational and technical training services, while recurrent absorption reached 80 per cent for public finance management accounting services.

In the 81–90 per cent band, recurrent absorption was reported for water and sewerage management at 82 per cent and vocational and technical training services at 87 per cent. In the 90–100 per cent band, recur-

rent absorption reached 96 per cent for road and air transport infrastructure development and 91 per cent for both community cohesion and conflict management and youth empowerment and sports.

Low absorption in the lower performance bands was attributed to the County prioritizing Programmes in response to resource availability challenges, with the lowest-performing development sub-Programmes in women's empowerment, culture and gender development, and devolved governance recording nil absorption. Conversely, performance in the higher bands reflected the prioritization of the respective sub-Programmes by the County during the review period.

Table 3.363 summarises budget execution by programmes and sub-programmes in the period under review with the highest absorption rates.

Table 3.363: Budget Execution by Programmes and Sub-Programmes with Highest Absorption Rates

Programme	Sub-Programme	Gross Approved Estimates FY 2025/26 (Kshs.)		Expenditure (including accrued expenditure) as of 31st March 2026 (Kshs.)		Absorption Rate (%)	Absorption Rate (%)
RECURRENT		**Recurrent**	**Development**	**Recurrent**	**Development**	**Recurrent**	**Development**
Road And Air Transport Infrastructure Development	Road And Air Transport Infrastructure Development	78,684,951	479,744,964	1,000,000	23,122,222	96	59
Community Cohesion and Conflict Management	Community Cohesion and Conflict Management	21,300,000	-	1,000,000	-	91	-
Youth Empowerment and Sports	Youth Empowerment and Sports	7,500,000	60,961,970	500,000	-	91	65
Vocational and Technical Training Services	Vocational and Technical Training Services	18,500,000	70,049,894	15,000,000	-	87	74
Water and Sewerage Management	Water and Sewerage Management	99,500,000	1,535,269,043	1,500,000	-	82	62
DEVELOPMENT							
Vocational and Technical Training Services	Vocational and Technical Training Services	18,500,000	70,049,894	16,083,104	52,112,607	87	74
Youth Empowerment and Sports	Youth Empowerment and Sports	7,500,000	60,961,970	6,816,618	39,827,418	91	65
Water and Sewerage Management	Water and Sewerage Management	99,500,000	1,535,269,043	81,793,643	958,478,532	82	62
Road And Air Transport Infrastructure Development	Road And Air Transport Infrastructure Development	78,684,951	479,744,964	75,818,595	281,934,811	96	59
Early Childhood Education	Early Childhood Education	66,750,000	178,249,914	45,614,851	93,699,932	68	53

***Source**: Mandera County Treasury*

The development sub-programmes with the highest budget implementation rates were: Road and Transport Infrastructure Development in the Department of Roads at 96 per cent, Youth Empowerment and Sports in the Department of Education at 91 per cent, and Vocational Training Services at 87 per cent.

For recurrent sub-programmes, the top performers included: Road and Transport Infrastructure Development in the Department of Roads at 96 per cent; Community Cohesion and Conflict Management in the Department of Cohesion at 91 per cent; and Youth Empowerment and Sports in the Department of Youth at 91 per cent.

The higher performance of these programmes can be attributed to the programs being given priority by the County.

Table 3.364 summarises the budget execution by programmes and sub-programmes in the period under review that had the lowest absorption rates.

Table 3.364: Budget Execution by Programmes and Sub-Programmes with Lowest Absorption Rates

Programme	Sub-Programme	Gross Approved Estimates FY 2025/26 (Kshs.)		Expenditure (including accrued expenditure) as of 31st March 2026 (Kshs.)		Absorption Rate (%)	Absorption Rate (%)
RECURRENT		**Recurrent**	**Development**	**Recurrent**	**Development**	**Recurrent**	**Development**
Cooperative Development and Promotion	Cooperative Development and Promotion	25,200,000	25,000,000	1,732,288	-	7	-
Energy and Natural Resources	Energy and Natural Resources	28,000,000	58,840,000	3,418,363	14,130,000	12	24
Irrigation Development and Management	Irrigation Development and Management	40,376,083	60,000,000	5,057,281	17,549,997	13	29
Ethics, Governance and Public Service Values	Ethics, Governance and Public Service Values	57,510,911	5,000,000	38,893,852	-	19	-
Legal and Public Sector Advisory Services	Legal and advisory services	91,500,000	-	31,500,000	-	34	-
DEVELOPMENT							
Women's Empowerment and Affirmative Action	Women's Empowerment and Affirmative Action	4,200,000	8,000,000	1,650,000	-	39	-
Culture and Gender Development promotion	Culture and Gender Development promotion	4,350,000	5,000,000	1,550,000	-	36	-
Devolved Governance and Enforcement Services	Devolved Governance and Enforcement Services	-	6,000,000	-	-	-	-
Public Finance Management	Accounting Services	6,500,000	8,000,000	5,176,000	-	80	-
Revenue Collection and Enhancement	Revenue Collection and Enhancement	64,748,000	10,000,000	21,863,103	799,408	34	-

Source: *Mandera County Treasury*

The development sub-programmes with the lowest budget implementation rates were as follows: Women Empowerment in the Department of Social Services, Culture and Gender Development in the Department of Gender and Devolved Governance, all at 0 per cent.

For recurrent sub-programmes, the poorest performers included: Cooperative Development in the Department of Trade at 7 per cent, Energy and natural resources management in the Department of Environment at 12 per cent, and Irrigation Development and Management in the Department of Agriculture at 13 per cent.

These lower performance levels can be attributed to the county prioritising programs due to resource availability challenges.

3.24.17 Settlement of Trade Payables

As of 1st July 2025, the County reported trade payables totalling Kshs.2.5 billion. This amount consisted of Kshs.2.49 billion from the County Executive and Kshs.6.07 million from the County Assembly. The trade payables from the County Executive comprised Kshs.1.02 billion for recurrent expenditure and Kshs.1.47 billion for development expenditure.

During the reporting period, the County Executive settled trade payables amounting to Kshs.812.65 million, comprising Kshs.462.12 million (57 per cent) for recurrent programmes and Kshs.350.53 million (43 per cent) for development programmes. On the other hand, the County Assembly settled trade payables totalling Kshs.6.07 million, all for recurrent activities. The outstanding trade payables as of 31st March 2026 were Kshs.1.68 billion for the County Executive and nil for the County Assembly. Table 3.365 provides additional details of trade payables.

Table 3.365: Mandera County Trade Payables as of 31st March 2026

		County Entity	Development (Kshs.)	Recurrent (Kshs.)	Total (Kshs.)
As at 1 July 2025 (End of FY 2024/25)	a	County Executive	1,309,515,262	1,184,279,219	2,493,794,481
		County Assembly		6,073,972	6,073,972
		Total	**1,309,515,262**	**1,190,353,191**	**2,499,868,453**
Trade payables scheduled to be settled in the first nine months of FY 2025/26 per the action plan	b	County Executive	350,532,310	462,121,300	812,653,610
		County Assembly		6,073,972	6,073,972
		Total	**350,532,310**	**468,195,272**	**818,727,582**
Amount paid in the First Nine Months of FY 2025/26	c	County Executive	350,532,310	462,121,300	812,653,610
		County Assembly		6,073,972	6,073,972
		Total	**350,532,310**	**468,195,272**	**818,727,582**
Trade Payables Incurred in First Nine Months of FY 2025/26	d	County Executive	-	-	
		County Assembly	-	-	
		Total	-	-	
Outstanding trade payables as of 31st March 2026	**e=a-c*b**	**County Executive**	**958,982,952**	**722,157,919**	**1,681,140,871**
		County Assembly	-	-	**-**
		Total	**958,982,952**	**722,157,919**	**1,681,140,871**

Source: *Mandera County Treasury*

The County Executive and the Assembly submitted a trade payables payment plan, committing to pay Kshs.966.27 million and Kshs.6.07 million, respectively, in FY 2025/26. The County Executive adhered to this payment plan, as it cleared Kshs.812.65 million during the reporting period. Similarly, the County Assembly adhered to this plan by clearing all outstanding trade payables during the reporting period.

Table 3.366 presents the ageing of the total outstanding bills as of 31st March 2026 for the County Executive and Assembly, which were Kshs.1.77 billion.

Table 3.366: Mandera County Executive Trade Payables Ageing Analysis as of 31st March 2026

Category	Ageing analysis (Amount in Kshs.)				Total
	Under one year	1-2 years	2-3 years	Over 3 years	
County Executive					
Development Trade Payables	-	164,114,784		1,018,577,930	1,182,692,714
Recurrent Trade Payables (Goods & Services)	-	40,277,107		242,457,179	282,734,286

Category	Ageing analysis (Amount in Kshs.)				Total
	Under one year	1-2 years	2-3 years	Over 3 years	
Recurrent Trade Payables (Salary Arrears and Statutory Deductions)	-	215,713,872			215,713,872
Recurrent Trade Payables (Staff Claims)	-				-
Recurrent Trade Payables	**-**	**420,105,763**	**-**	**1,261,035,109**	**1,681,140,872**
Executive Trade Payables	**-**	**420,105,763**	**-**	**1,261,035,109**	**1,681,140,872**

Source: *Mandera County Treasury*

As shown in Table 3.366, the total salary arrears and statutory deductions for trade payables amounted to Kshs.215.71 million, representing 13 per cent of the total trade payables of Kshs.1.68 billion as of March 31, 2026. The statutory deductions relate to KRA tax arrears/penalties of Kshs.215.71 million.

Additionally, the two tables indicate that 25 per cent of total trade payables are aged between 1 and 2 years, and 75 per cent relate to the over 3 years category, a trend attributed to challenges in budgetary allocation for the settlement of historical trade payables. To address this situation, the county should provide a sufficient budget to pay all trade payables.

3.24.18 General Observations and Recommendations

In the course of overseeing and reporting on the implementation of the Mandera County budget, the CoB identified the following challenges, which hampered effective budget implementation;

i. The underperformance of own-source revenue at Kshs.275.11 million against an annual target of Kshs.682.53 million, representing 40 per cent of the financial year target.
ii. Low development performance in the review period as the County incurred Kshs.2.41 billion on development activities, achieving a 44 per cent absorption rate.
iii. High level of trade payables, which amounted to Kshs.1.68 billion as of 31st March 2026. Furthermore, the County Treasury did not adhere to the trade payables payment plan.
iv. Use of manual payroll. Personnel emoluments amounting to Kshs.300.53 million for 515 staff not onboarded into the HRIS, and 581 casual staff were processed through manual payroll, accounting for 9 per cent of the total payroll cost. Manual payroll is prone to abuse and may result in the loss of public funds.

The County should implement the following recommendations to improve budget execution:

i. *The County should address its own-source revenue performance to ensure the approved budget is fully financed. Appropriate austerity measures should be implemented to ensure expenditure commitments are aligned with available revenue.*
ii. *The County should implement strategies to increase development expenditures in FY 2025/26.*
iii. *The County Leadership should address the situation of trade payables to ensure that genuine bills are paid promptly in the remaining financial year. Further, compliance with the Trade Payables Action Plan should be enforced.*
iv. *The Government requires that salaries be processed through the HRIS system, and the County is advised to fast-track the acquisition of Unified Personnel Numbers for their staff. The County Public Service Board should regulate staff engagement on contract and casual workers as provided under Section 74 of the County Governments Act 2012. Furthermore, strict adherence to the approved staff establishment should be maintained.*

3.25. County Government of Marsabit

3.25.1 Overview of FY 2025/26 Budget

The Marsabit County Approved Budget for FY 2025/26 is Kshs.10.33 billion. It comprises Kshs.3.67 billion (36 per cent) and Kshs.6.66 billion (64 per cent) allocation for development and recurrent programmes,

respectively. The budget estimates represent an increase of Kshs.11.33 million (0.1 per cent) from the FY 2024/25 budget, which comprised a development budget of Kshs.4.27 billion and a recurrent budget of Kshs.6.04 billion. The increase in the budget was primarily attributed to the rise in shareable revenue.

The budget is to be financed from various revenue sources. These include; the equitable share of revenue raised nationally of Kshs.8.11 billion (78 per cent), additional allocations of Kshs.1.70 billion (16 per cent), a cash balance of Kshs.254.11 million (2per cent) brought forward from FY 2024/25, and Kshs.270 million (3 per cent) generated as own-source revenue. A breakdown of the additional allocations is shown in Table 3.367

3.25.2 Revenue Performance

During the first nine months of FY 2025/26, the County reported total revenues of Kshs.6.13 billion. This amount represented an increase of 11 per cent compared to the amount received in a similar period in FY 2024/25 of Kshs.5.46 billion. The total revenue consisted of Kshs.5.39 billion from the equitable share of revenue raised nationally, additional allocations from the national government and development partners of Kshs.344.51 million, and own-source revenue (OSR) collection of Kshs.141.73 million. Additionally, the County had a cash balance of Kshs.254.11 million from FY 2024/25. The total OSR collection of Kshs.141.73 million included Facilities Improvement Financing (FIF) of Kshs.73.81 million, and Kshs.67.92 million from other OSR sources. Table 3.367 summarises the total revenue available to the County Government during FY 2025/26.

Table 3.367: Marsabit County, Revenue Performance in the first nine months of FY 2025/26

No	Revenue Stream	Annual Targeted Revenue (Kshs.)	Actual Receipts (Kshs.)	Receivables in the first nine months of FY 2025/26 (Kshs.)	Total Revenues (in accrual basis) in the first nine months of FY 2025/26 (Kshs.)	Revenue Performance (%)
		A	B	C	D	F=D/A*100
A	**Unspent Balance from FY 2024/25**					
1	Balance at CRF	252,815,228	252,815,228	-	252,815,228	100
2	County Executive Refunds to CRF	638	638	-	638	100
3	County Assembly Refunds to CRF	1,292,150	1,292,150	-	1,292,150	100
	Sub-Total	254,108,017	254,108,017	-	254,108,017	**100**
B	**Equitable Share of Revenue Raised Nationally**					
1	Equalisation Fund Releases	8,105,669,078	5,390,269,937	688,981,872	6,079,251,809	75
	Sub-Total	8,105,669,078	5,390,269,937	688,981,872	6,079,251,809	**75**
1		469,644,478	176,792,151	-	176,792,151	38
	Sub-Total	469,644,478	176,792,151	-	176,792,151	38
C	**Additional Allocations (Including Grants)**					
I	**Unconditional Additional Allocations to County Governments**					
a	Allocations for 20 Share of Mineral Royalties	1,724,590	1,724,590		1,724,590	100
II	**Conditional Additional Allocations from the National Government's**					

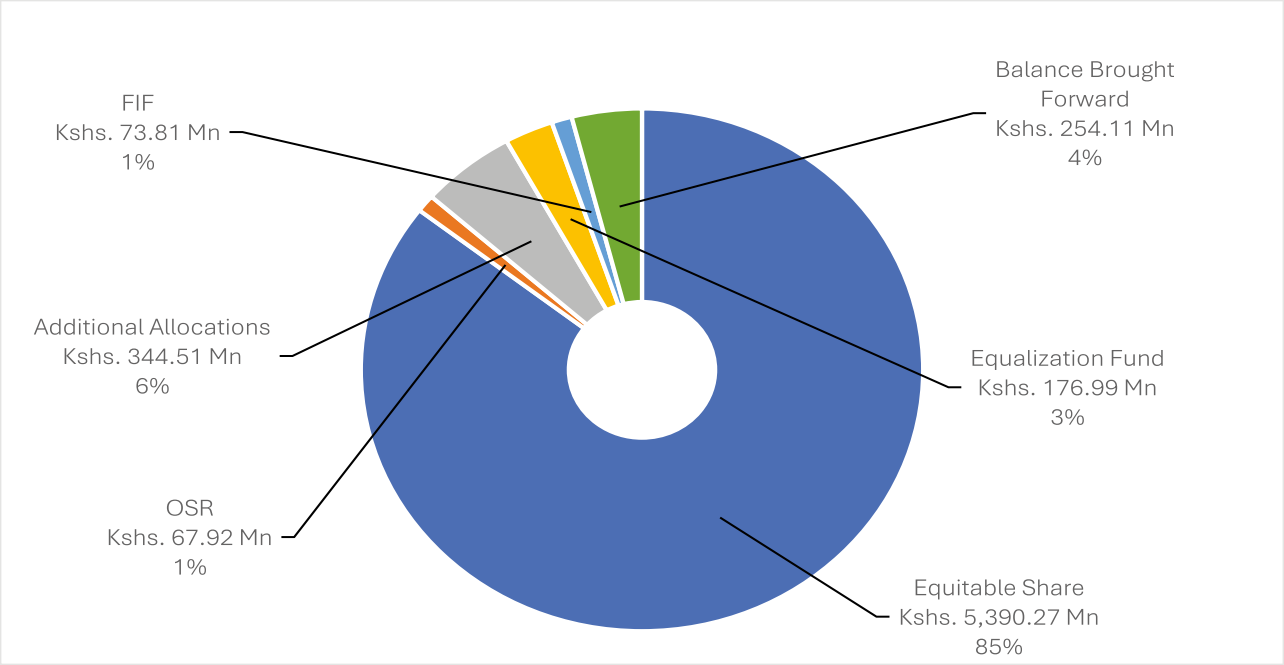
No	Revenue Stream	Annual Targeted Revenue (Kshs.)	Actual Receipts (Kshs.)	Receivables in the first nine months of FY 2025/26 (Kshs.)	Total Revenues (in accrual basis) in the first nine months of FY 2025/26 (Kshs.)	Revenue Performance (%)
		A	B	C	D	F=D/A*100
a	Settlement of Doctors' Salary Arrears	15,028,763			0	0
b	Community Health Promoters (CHPs) Programme	60,090,000			0	0
c	County Aggregation and Industrial Parks (CAIPs) Programme	250,000,000			-	0
III	**Conditional Allocations from Loans and Grants**					
a	Financing of FLLoCA County Climate Resilience Investment (CCRI) Grant	250,000,000	164,731,374		164,731,374	45
b	Food Systems Resilience Project (FSRP)	246,153,846	110,059,820		110,059,820	66
c	Drought Resilience Programme in Northern Kenya (DRPNK)	580,002,208			-	
d	Kenya Devolution Support Programme Phase Two (KDSP II) Level I Grant	37,500,000	35,253,471		35,253,471	94
e	Kenya Devolution Support Programme Phase Two (KDSP II) Level 2 Grant	352,500,000			-	0
f	Kenya Livestock Commercialisation Project (KelCop)	70,250,000	32,743,436		32,743,436	46
g	Kenya Urban Project (KUSP)-Urban Institutional Grant (IUG)	**26,000,000**			-	0
h	Kenya Urban Project (KUSP)-Urban Development Grant (UDG)	50,000,000			-	0
i	DANIDA	10,914,000			10,914,000	
	Sub-Total	**1,700,163,407**	**344,512,691**		**344,512,691**	**20**
D	**Ordinary Own Source Revenue (OSR)**					
1	Cess	50,000,000	29,747,013	7,752,987	37,500,000	59
2	Marsabit Municipality	25,000,000	9,093,432	9,656,568	18,750,000	36
3	Single business permit	20,000,000	8,644,815	6,355,185	15,000,000	43
4	Market charges	20,000,000	8,256,455	6,743,545	15,000,000	41
5	Royalties	9,000,000	4,256,664.30	2,493,335.70	6,750,000	47
6	Lease Rentals	8,300,000	3,299,000	2,926,000	6,225,000	40
7	Land Transaction Charges	10,000,000	2,304,588	5,195,412	7,500,000	23

No	Revenue Stream	Annual Targeted Revenue (Kshs.)	Actual Receipts (Kshs.)	Receivables in the first nine months of FY 2025/26 (Kshs.)	Total Revenues (in accrual basis) in the first nine months of FY 2025/26 (Kshs.)	Revenue Performance (%)
		A	B	C	D	F=D/A*100
8	Other Sources	7,700,000	2,317,532.30	3,457,467.70	5,775,000	30
	Sub-Total	150,000,000	67,919,499.60	44,580,500.40	112,500,000	45
E	**Facility Improvement Financing (FIF)**					
1	SHIF	95,500,000	67,883,398	29,029,319	96,912,717	71
2	Others	24,500,000	5,931,078	-	5,931,078	24
	Sub-Total	120,000,000	73,814,476	29,029,319	102,843,795	**85**
Total		**10,329,940,502**	**6,130,624,620**	**718,011,191**	**6,848,635,811**	**66**

Source: Marsabit County Treasury

The County does not have governing legislation on the operation of facility improvement financing. Figure 3.145 provides a detailed breakdown of receipts.

Figure 3.145: Marsabit County Composition of Revenue in the first nine months of FY 2025/26

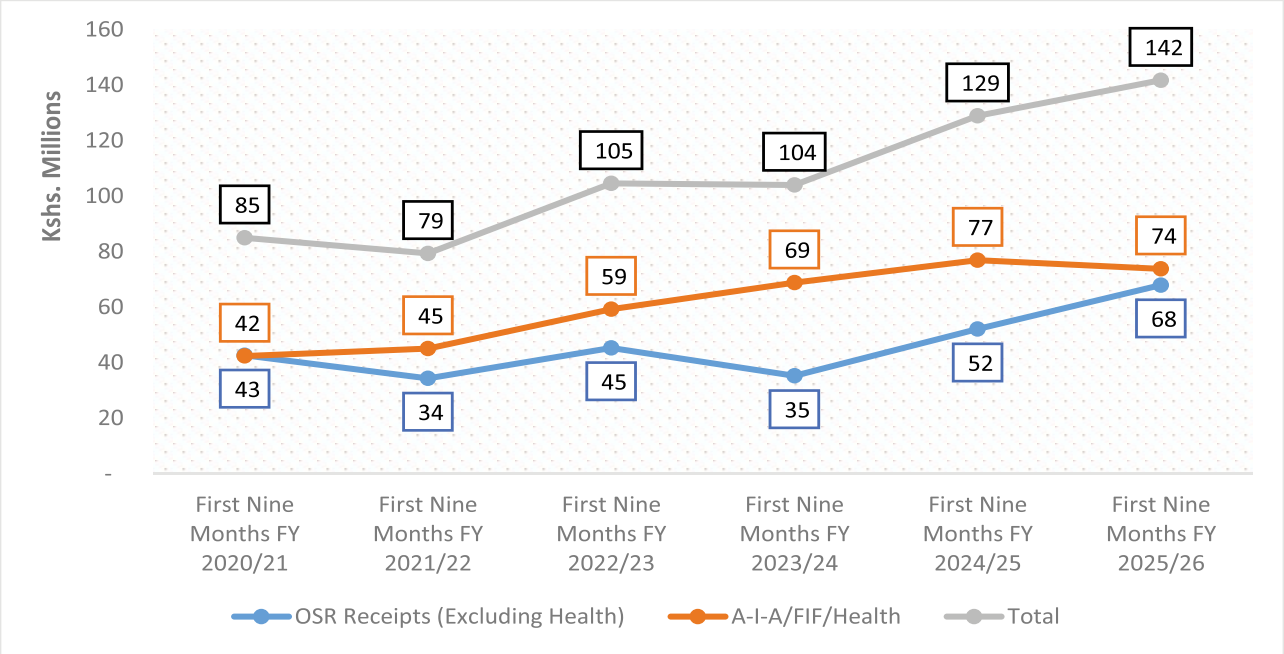


Source: *Marsabit County Treasury*

The equitable share of revenue raised nationally, additional allocation, and balance brought forward contributed 85 per cent, 6 per cent and 4 per cent, respectively, of the total receipts for the reporting period.

Figure 3.146 shows the collection trend in own-source revenue from the first nine months of FY 2020/21 to the first nine months of FY 2025/26.

Figure 3.146: Marsabit County Trend in Own-Source Revenue Collection from the first nine months of FY 2020/21 to the first nine months of FY 2025/26

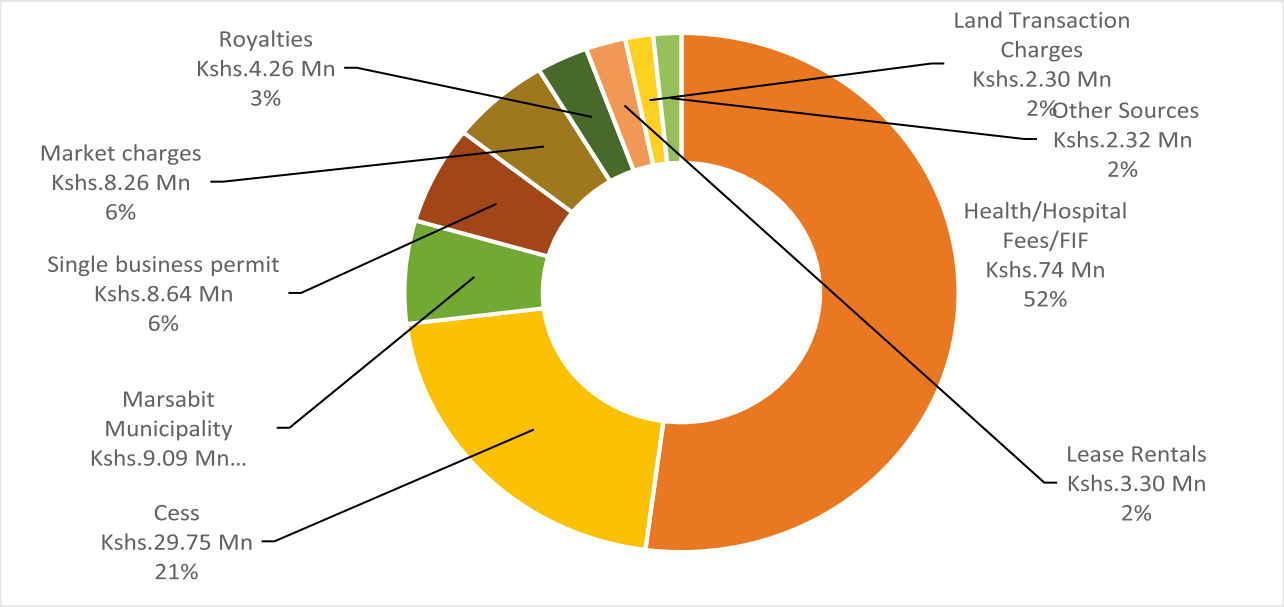


Source: *Marsabit County Treasury*

During the first nine months of FY 2025/26, the County received Kshs.141.73 million from OSR, including FIF. This amount was an increase of 9 per cent compared to Kshs.128.94 million realised in a similar period in FY 2024/25, and was 44 per cent of the annual target and 3 per cent of the equitable revenue share disbursed.

The increase in OSR was attributed to enhanced enforcement of revenue streams in major town centres. The revenue streams that contributed the most to OSR receipts are shown in Figure 3.147

Figure 3.147: Marsabit County Top Own Source Revenue Streams in the first nine months of FY 2025/26



Source: *Marsabit County Treasury*

As shown in Figure 3.147, the largest revenue stream, at Kshs.73.81 million, was Hospital fees (FIF), accounting for 52 per cent of total OSR receipts. The County Government has not automated OSR collection. The system utilised for FIF revenue collection is called MEDIBOSS, which has been in use since July 2012.

3.25.3 Revenue Receivables

As of 1st July 2025, the County reported revenue receivables of Kshs.123.88 million, which decreased to Kshs.85.03 million as of 31st March 2026. The County manages its receivables manually Table 3.368 presents a breakdown of the County's receivables.

Table 3.368: Marsabit County Revenue Receivables as of 31st March 2026

No	Revenue Stream	Receivables as of 1 July 2025 (Kshs.)	Progress made in the first nine months of FY 2025/26			Receivables as of 31st March 2026 (Kshs.)
			Waivers (Kshs)	Receivables paid in the financial year (Kshs)	Receivables earned in the first nine months of FY 2025/26 (Kshs)	
		A	B	C	d	f=a-b-c+d
	Facility Improvement Fund (FIF)					
1	SHIF	109,313,846	-	67,883,398	29,029,319	70,459,767
2	Defunct NHIF	14,572,915	-			14,572,915
	Total	**123,886,761**	**-**	**67,883,398**	**29,029,319**	**85,032,682**

Source: Marsabit *County Treasury*

As of 31st March 2026, the receivables totalled Kshs.85.03 million, comprising Kshs.70.46 million for the Social Health Insurance Fund (83 per cent) and the defunct NHIF of Kshs.14.57 million (17 per cent). The County instituted no specific measures to collect the outstanding receivables in FY 2025/26.

3.25.4 Borrowing by the County

The County Executive and County Assembly of the County Government did not report any credit facilities or short-term borrowing with commercial banks during the period under review.

3.25.5 Withdrawals from the County Revenue Fund and County Assembly Fund

During the reporting period, the Controller of Budget approved exchequer withdrawal requests totalling Kshs.6.27 billion from the Marsabit County Revenue Fund (CRF) account. This amount consisted of Kshs.1.70 billion (27 per cent) designated for development programs and Kshs.4.57 billion (73 per cent) allocated for recurrent programs.

An analysis of the released recurrent exchequers shows that Kshs.3.02 billion was allocated to employee compensation and Kshs.1.55 billion to operations and maintenance expenditures. Within the operations and maintenance category, 9 per cent was for domestic travel and 2 per cent for foreign travel. The domestic travel exchequers totalled Kshs.134.29 million, which included Kshs.49.64 million for the County Executive and Kshs.84.65 million for the County Assembly. Meanwhile, the foreign travel exchequers amounted to Kshs.26.62 million, with Kshs.2.89 million for the County Executive and Kshs.23.74 million for the County Assembly.

As of 31st March 2026, the County Government's cash balance in the Marsabit CRF account was Kshs.638.43 million. The Controller of Budget did not approve any exchequer withdrawal from the Marsabit County Assembly Fund (CAF) account during the review period.

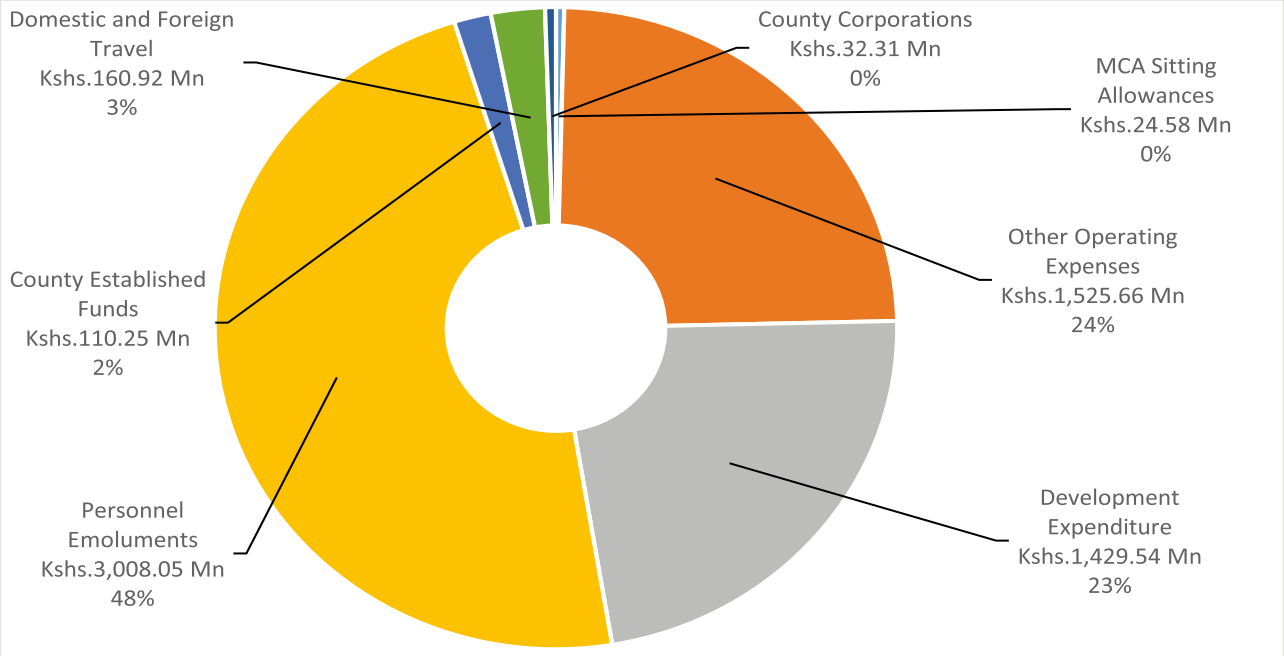
As of 31st March 2026, the County Government's cash balance in the Marsabit CAF account was Kshs.80 million.

3.25.6 Expenditure Review

The County spent Kshs.5.96 billion on development and recurrent programmes during the reporting period. The expenditure represented 95 per cent of the total funds released by the CoB. It comprised Kshs.1.43 billion for development programmes and Kshs.4.53 billion for recurrent programmes. Expenditure on development programmes accounted for 39 per cent of the annual development expenditure budget, while recurrent expenditure accounted for 68 per cent of the annual recurrent expenditure budget.

Figure 3.148 provides a detailed breakdown of total expenditure.

Figure 3.148: Marsabit County Composition of Expenditure in the first nine months of FY 2025/26



Source: Marsabit *County Treasury*

As shown in Figure 3.148, the three highest expenditure categories were Personnel Emoluments, other Operating Expenditures, and Development expenditures, contributing 48,24 and 23 per cent of total expenditure for the reporting period.

3.25.7 Expenditure by Economic Classification

The County Executive incurred Kshs.2.74 billion in employee compensation, Kshs.1.32 billion in operations and maintenance, and Kshs.1.33 billion in development activities. Similarly, the County Assembly spent Kshs.273.05 million on compensation of employees, Kshs.207.04 million on operations and maintenance, and Kshs.98.23 million on development activities, as shown in Table 3.369

Table 3.369: Marsabit County Summary of Budget and Expenditure by Economic Classification

Expenditure Classification	Approved Budget (Kshs.) Mn(a)		Amount Paid in the first nine months of FY 2025/26 (Kshs. Mn) (b)		Expenditure Accrued in the first nine months of FY 2025/26 (Kshs. Mn) (c)		Total Expenditure in the first nine months of FY 2025/26 (Kshs.Mn) (d=b+c)		Absorption (%) (d/a*100)	
	Executive	Assembly	Executive	Assembly	Executive	Assembly	Executive	Assembly	Executive	Assembly
Total Recurrent Expenditure	5,915.492	741.49	4,053.62	**480.09**	**439.69**	-	**4,493.31**	**480.09**	69	65
Compensation of Employees	3,539.78	355.34	2,735.00	273.05	274.19	-	3,009.19	273.05	85	77
Operations and Maintenance	2,375.71	386.15	1,318.62	207.04	165.49	-	1,484.12	207.04	62	54
Development Expenditure	3,432.35	240.60	1,331.31	**98.23**	**442.31**	-	**1,773.63**	**98.23**	52	41
Total	**9,347.85**	**982.09**	**5,384.94**	**578.32**	**881.99**	-	**6,266.94**	**578.32**	**67**	**59**

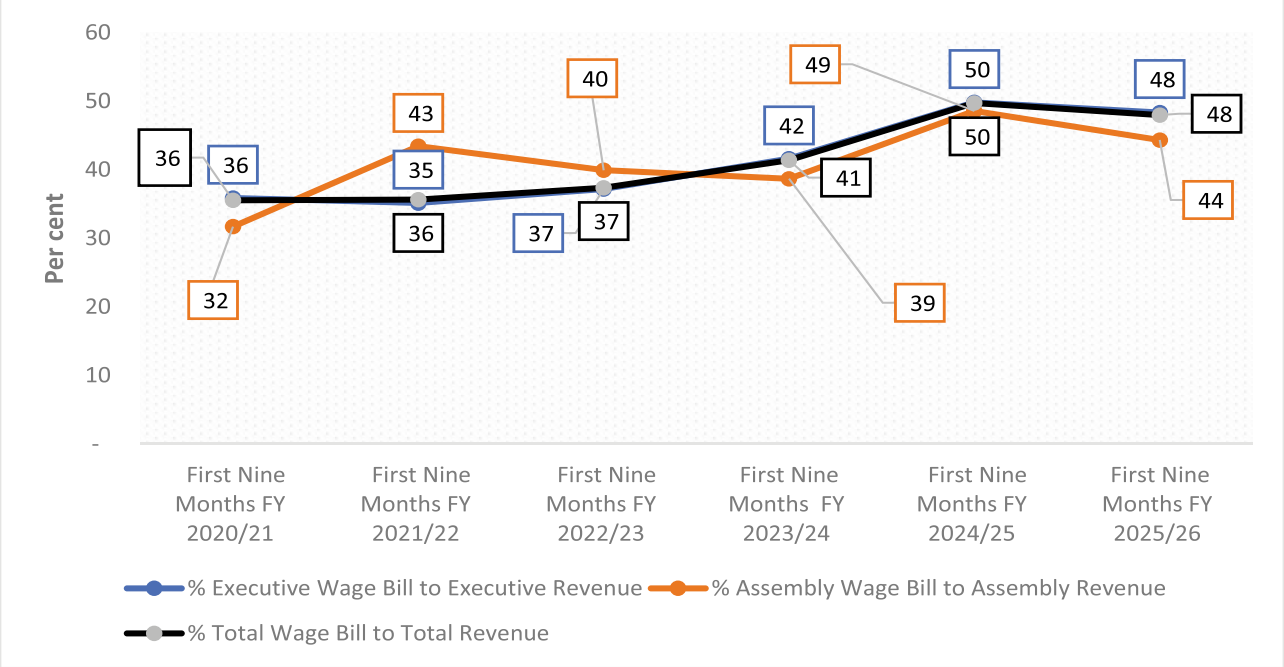
***Source**: Marsabit County Treasury*

3.25.8 Expenditure on Employee Compensation

The expenditure on employee compensation totalled Kshs.3.28 billion, representing 48 per cent of revenue. This expenditure on employee compensation shows an increase compared to the Kshs.2.76 billion reported in a similar period in FY 2024/25. Of this total, Kshs.1.27 billion related to Health Sector employees, accounting for 42 per cent of the overall employees' compensation.

Figure 3.149 shows the trend in employee compensation as a percentage of total revenue from the first nine months of FY 2020/21 to the first nine months of FY 2025/26.

Figure 3.149: Percentage of Employee Compensation Expenditure to Total Revenue Received in the first nine months of FY 2020/21 to the first nine months of FY 2025/26



Source: *Marsabit County Treasury*

Further analysis indicated that PE costs totalling Kshs.2.93 billion were processed through the Human Resource Information System (HRIS). In contrast, Kshs.78.57 million was processed through manual payrolls, which accounted for 3 per cent of the total PE cost. The justification for the continued use of manual payroll was the payment of casuals and Security officers who are engaged on a short-term basis.

The manual payroll comprised salaries for 717 casual staff, top-up allowances for four security personnel, and salaries of 2,500 Community Health Workers, as shown in Table 3.370.

Table 3.370: Breakdown of Marsabit County Manual Payroll

Sno.	Description of Manual Payroll	Amount (Kshs.)
1	Community Health Workers	9,915,000
2	Salaries for casual staff	67,675,690
3	Top-up Allowances for Security Officers	980,730
	Total	**78,571,420**

Source: *Marsabit County Treasury*

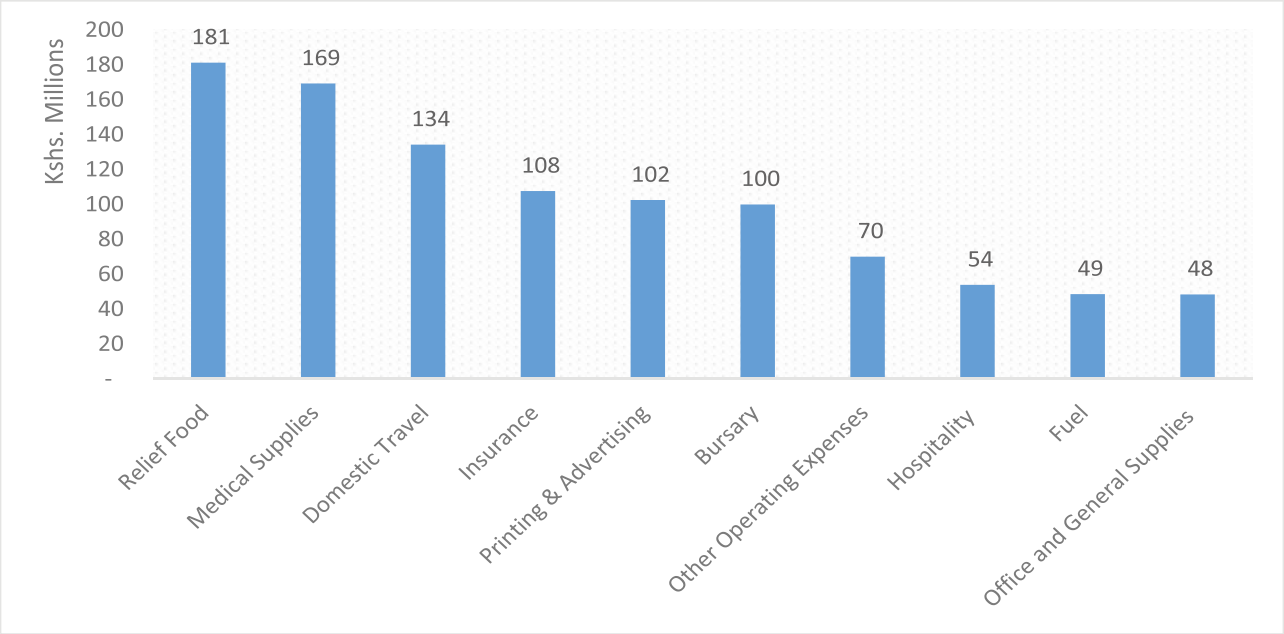
The County Assembly spent Kshs.24.58 million on committee sitting allowances for the 33 MCAs against the annual budget allocation of Kshs.30 million. The average monthly sitting allowance was Kshs.82,748 per MCA. The County Assembly has 20 House Committees.

3.25.9 Expenditure on Operations and Maintenance

During the reporting period, the County spent Kshs.1.69 billion on operations and maintenance, representing an increase of 26 per cent compared to a similar period in FY 2024/25, when the County spent

Kshs.1.13 billion. Figure 3.150 illustrates the distribution of Operations and Maintenance expenditures across the major spending categories.

Figure 3.150: Marsabit County, Operations and Maintenance Expenditure by Major Categories



Source: *Marsabit County Treasury*

3.25.10 Unbundling "Other Operating Expenses-other" Under Operations and Maintenance Expenditures

The budget performance report for the first nine months of FY 2025/26 indicates that the County spent Kshs.70.09 million on "*other operating expenses-other*," which was 5 per cent of the total operations and maintenance expenditure of Kshs.1.53 billion. This category of expenditure includes Kshs.11.47 million for Security operations/Cohesion, peace building and disaster management and Kshs.5.49 million for ward operations. The disaggregated items under the "*Other Operating Expenses*" category are shown in Table 3.371

Table 3.371: Breakdown of "Other Operating Expenses-other" under O&M Expenditures

Code	Item	Budget (Kshs)	Expenditure (Kshs.)
2211399	County budgeting and planning services	12,500,000	11,579,411
2211399	County budgeting and planning services	12,500,000	11,889,896
2211399	County budgeting and planning services	15,000,000	11,367,265
2211399	County budgeting and planning services	15,000,000	8,012,478
2211399	County Executive	20,000,000	10,267,284
2211399	County Administration	13,000,000	11,474,922
2211399	Department of Administration	8,000,000	5,495,997
Total		**96,000,000**	**70,087,253**

Source: *Marsabit County Treasury*

A review of the other expense items listed in the table revealed the following inconsistencies: *Some expenditures with clear and unique budget codes were erroneously aggregated under the "Other Operating Expenses-other" category. These include: expenditures in the office of the Deputy Governor and the county budget and planning departments. This cost may include (repairs and maintenance of motor vehicles, domestic travel, Subscriptions to professional bodies, etc.).*

3.25.11 County-Established Funds

Section 116 of the PFM Act 2012 allows County Governments to establish other public funds, subject to approval from the County Executive Committee and the County Assembly. The County allocated Kshs.271 million to County-Established funds in FY 2025/26, representing 3 per cent of the County's overall budget. Of this amount, the County allocated Kshs.70 million to the Emergency Fund in line with Section 110 of the PFM Act, 2012, accounting for 1 per cent of the total budget. Table 3.372 summarises each established Fund's budget allocation and performance during the reporting period.

Table 3.372: Performance of Marsabit County Established Funds in the first nine months of FY 2025/26

S/ No.	Name of the Fund	Year Established	Approved Budget Allocation in FY 2025/26 (Kshs.)	Exchequer Issues in the first nine months of FY 2025/26 (Kshs.)	Actual disbursements in the first nine months of FY 2025/26 (Kshs.)	Cumulative disbursements to the Fund (Kshs)	Submission of Financial Statements (Yes/No.)
		County Executive Established Funds					
1	Marsabit County Enterprise Fund	24th July 2015	NIL	NIL	NIL	27,000,000	NO
2	Marsabit County State Officers and Other Public Officers Car Loan Scheme Fund	21st Sep. 2015	NIL	NIL	NIL	34,000,000	NO
3	Marsabit County State Officers and Other Public Officers Mortgage Scheme Fund	19th Nov. 2015	NIL	NIL	NIL	121,000,000	NO
4	Marsabit County Emergency Fund	17th Dec 2014	70,000,000	NIL	NIL	826,999,240	NO
5	Marsabit County Scholarship Fund	31st Dec. 2018	201,000,000	100,000,000	100,000,000	902,800,000	NO
		County Assembly Established Funds					
1	Car and Mortgage Loan Scheme for Staff	13th Jan 2019	Nil	Nil	9,554,041	141,570,671	NO
2	Marsabit County Assembly Car Loan and Mortgage –MemberS	28th April 2014	Nil	Nil	695,881	259,000,000	NO
	Total		**271,000,000**	**100,000,000**	**110,249,922**	**2,312,369,911**	

Source: *Marsabit County Treasury*

During the reporting period, the CoB did not receive quarterly financial reports from all the Fund Administrators, as indicated in Table 3.372, contrary to the requirement of Section 168 of the PFM Act, 2012. The County disclosed that administration costs of the active Funds were below the 3 per cent limit of the Fund budget set in Regulation 197(1)(d) of the Public Finance Management (County Governments) Regulations, 2015.

Regulation 197(1)(i) of the Public Finance Management (County Governments) Regulations, 2015, allows County Governments to establish public funds with a lifespan capped at 10 years unless extended by the County Assembly. In FY 2025/26, the CoB established that the lifespans of the Emergency Fund, the Marsabit County Assembly Car Loan and Mortgage Fund for Members, the Enterprise Fund, and the Car and Mortgage Loan Fund for Executives had lapsed. Consequently, the CoB did not approve any withdrawal requests to support the operations of the lapsed funds.

3.25.12 County Corporations and Municipalities

The County has two County Corporations, which were allocated Kshs.109.71 Million in FY 2025/26. Their total expenditure for the review period amounted to Kshs32.31 million, as shown in Table 3.373

Table 3.373: Performance of Marsabit County Corporations in the first nine months of FY 2025/26

S/No.	Name of the Corporation	Approved Budget Allocation in FY 2025/26 (Kshs.)	Exchequer Issues (Kshs.)	Actual Transfers in the first nine months of FY 2025/26 (Kshs.)	Cumulative Transfers to the Corporation since its inception (Kshs.)
1	Marsabit Municipality	109,707,946.80	32,309,300	32,309,300	232,758,336.10
2	Marsabit Water and Sewerage Company Limited	-	N/A	-	114,098,745.00
	Total	**109,707,946.80**	**32,309,300**	**32,309,300**	346,857,081

Source: *Marsabit County Treasury*

3.25.13 Expenditure on Domestic and Foreign Travel

Expenditure on domestic travel amounted to Kshs.134.29 million and comprised Kshs.84.66 million spent by the County Assembly and Kshs.49.64 million by the County Executive. Expenditure on foreign travel amounted to Kshs.26.62 million and comprised Kshs.23.74 million by the County Assembly and Kshs.2.88 million by the County Executive. Expenditure on foreign travel is summarised in Table 3.374

Table 3.374: Summary of Expenditure on Foreign Travel in the first nine months of FY 2025/26

Arm of County Government	Number of Officers Travelled	Date travelled	Purpose of the travel	Destination	Actual Payment on Travel (a) (Kshs.)	Accrued Expenditure on Travel (b) (Kshs.)	Total Expenditure on Travel (c=a+b) (Kshs.)
County Assembly	1	26th October- 3rd November 2025	Attending an exchange program on empowering legislative Administration for County Assemblies clerks	France	467,628	-	467,628
County Assembly	1	26th October- 3rd November 2025	Attending an exchange program on empowering legislative administration for County Assemblies clerks	Spain	333,032	-	333,032
County Assembly	7	8th to 12 December	Attending an exchange program on Ethiopia's key development sectors, Energy, Agriculture, Leather and Tourism	Ethiopia	3,108,000	-	3,108,000
County Assembly	7	15th to 19th Decemberber2025	Attending exchange program on Ethiopia's integrated climate-smart Agriculture, Ranching in Arid areas through water management and Eco-Tourism Development	Ethiopia	3,108,000	-	3,108,000
County Assembly	4	1st to 5th December 2025	Attending an exchange program on Ethiopia's key development sectors, Energy, Agriculture, Leather and Tourism	Ethiopia	1,612,233	-	1,612,233

Arm of County Government	Number of Officers Travelled	Date travelled	Purpose of the travel	Destination	Actual Payment on Travel (a) (Kshs.)	Accrued Expenditure on Travel (b) (Kshs.)	Total Expenditure on Travel (c=a+b) (Kshs.)
County Assembly	3	19th to 24th December 2025	Attending an exchange program on Ethiopia's key development sectors, Energy, Agriculture, Leather and Tourism	Ethiopia	1,100,000	-	1,100,000
County Assembly		2nd-4th December 2025	Attending IDU FORUM AT WASHINGTON, DC	USA	444,000	-	444,000
County Assembly	1	19th September to 26th September 2025	Attending an international conference on endocrinology, diabetes and metabolism	Dubai	449,000	-	449,000
County Assembly	12	25th-31st Jan 2026	Administration, coordination of County affairs and ICT committee. Attending training on governance, corruption and collective action	Ethiopia	3,781,960	-	3,781,960
County Assembly	7	25th-31st Jan 2026	Members of the Agriculture, Livestock, and Fisheries development committee attending training on organic farming, agriculture and environmental sustainability	Ethiopia	2,133,950	-	2,133,950
County Assembly	1	25th-30th Jan 2026	Speaker of the County assembly attending training on strategic leadership and presiding authority leading County Assemblies through crisis, conflict and political transition.	Dubai	669,240	--	669,240
County Executive	1	3rd September 2025	Attending an energy conference	Novotel Perth, Australia	1,964,300	-	1,964,300
County Executive	1	13th October 2025	Attending the International Mayors Forum	Toyota City, Japan	916,700	-	916,700
Total					26,619,707		26,619,707

Source: *Marsabit County Treasury and Marsabit County Assembly*

3.25.14 Facility Improvement Financing

During the review period, the County reported collections of Kshs.73.81 million as FIF, which was 43 per cent of the annual target of Kshs.173 million. The collected amount was retained and utilised at source in line with the Facility Improvement Financing Act, 2023. The County, however, has not developed regulations to operationalise the FIF Act of 2023.

The expenditure by the health facilities amounted to Kshs.82.11 million, as shown in Table 3.375.

Table 3.375: Marsabit County Health Facilities Expenditure Performance in the first nine months of FY 2025/26

No.	Health Facility	Number of Facilities	Approved Budget (Kshs.)	Actual Expenditure (Kshs.)	Absorption rate (%)
1.	Level 4 Hospital	4	148,996,000	74,373,020	50%

No.	Health Facility	Number of Facilities	Approved Budget (Kshs.)	Actual Expenditure (Kshs.)	Absorption rate (%)
2.	Level 3 Facility	23	12,326,400	3,081,600	25%
3.	Level 2 Facility	69	18,489,600	4,652,400	25%
	Total	**96**	**179,812,000**	**82,107,020**	46%

Source: *Marsabit County Treasury*

3.25.15 Development Expenditure

In the review period, the County reported spending Kshs.1.43 billion on development programmes, representing a decrease of one per cent compared to FY 2024/25, when the County spent Kshs.1.45 billion. Table 3.376 summarises the development projects with the highest expenditure in the reporting period.

The decline in development expenditure was attributed to delays in procurement processes and delays in the disbursement of both shareable revenues and additional allocation.

Table 3.376: Marsabit County, List of Development Projects with the Highest Expenditure

No	Sector	Project Name	Project Location	Project Commencement Date	Expected date of Completion of the Project	Contract sum (Kshs)	Total Funding in FY 2025/26 (Kshs.)	Expenditure (on an accrual basis) in the first nine months of FY 2025/26 (Kshs.)	Cumulative project expenditure (on an accrual basis) as of 31st March 2026 (Kshs.)	Percentage (%) of Completion
County Funded Projects										
1	Executive	Drought Mitigation-Supply and Delivery of Cereals	Marsabit	2023-2024	6/30/2026	277,849,000	277,849,000	277,849,000	277,849,000	100
2	Executive	Provision Of Water Trucking Services for Drought Mitigation	Marsabit	2021-2024	6/30/2026	29,254,390	29,254,390	29,254,390	29,254,390	100
3	Health	Completion Of Sololo Level IV Hospital	Sololo	2023-2024	6/30/2026	80,000,000	80,000,000	45,281,553	45,281,553	57
4	County Assembly	Construction And Completion of Modern Chamber	Marsabit	25 April 2018		344,205,660.	24,266,855.	24,266,855.	285,377,786.	83
5	County Assembly	Structured Cabling and Pabx Works	Chamber -HQ	01 April 2024	28/11/2025	72,500,000	12,388,411	12,388,411	51,453,782	71
6	County Assembly	Construction of Extension Of Office Development at Hq	Headquarters	2023-2024	6th Jan 2026	64,993,106	12,168,204	12,168,204	40,626,171	63
7	Health	Supply And Delivery of Cold Storage Facilities at Illeret	Illeret	2021-2024	6/30/2026	9,000,000	9,000,000	9,000,000	9,000,000	100
8	Education	Completion Of ECDE Class, Furnishing, Kitchen & Stores & Double Pit Latrine In Neliarai	Neliarai	2021-2024	6/30/2026	4,499,431	4,499,431	4,499,431	4,499,431	100
9	Water	Replacement Of Water Pipes At N/Horr Town	North horr	2021-2024	6/30/2026	4,150,000	4,150,000	4,150,000	4,150,000	100
10	Health	Supply Of Vaccines	Marsabit	2021-2024	6/30/2026	3,999,960	3,999,960	3,999,960	3,999,960	100

Source: *Marsabit County Treasury*

The County did not report any stalled development projects as of 31st March 2026,

3.25.16 Budget Performance by Department

Table 3.377 summarises the approved budget allocation, expenditure, and absorption rate by department for the period under review.

Table 3.377: Marsabit County, Budget Allocation and Absorption Rate by Department in the first nine months of FY 2025/26

Department	Revised Budget Allocation (Kshs. Million)		Exchequer Received (Kshs. Million)		Expenditure (Kshs. Million)		Expenditure to Exchequer (%)		Absorption rate (%)	
	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev
County Assembly	741.49	240.60	517.39	98.32	480.09	98.27	93	100	65	41
County Executive	458.10	150	331.29	9.03	328.23	9.03	99	0	72	6
Finance & Economic Planning	579.95	700	441.65	666.83	445.27	666.83	101	0	77	95
Agriculture, Livestock & Fisheries	302.16	1,001.31	238.14	430.84	236.52	398.10	99	92	78	40
County Public Service Board	103.38	5	60.20	-	60.20	-	100	0	58	0
Education, Skill Development, Youth & Sports	651.20	91.20	451.55	-	451.55	-	100	0	69	0
County Health Services	2,154.78	202.73	1,473.29	73.24	1,473.31	45.28	100	0	68	22
Administration, Coordination & ICT	790.43	416.15	531.89	35.25	532.09	-	100	0	67	0
Energy, Lands & Urban Development	246.46	183.30	104.79	32.31	105.80	32.31	101	100	43	18
Roads & Public WorkS	125.48	142.08	78.58	83.51	80.40	83.45	102	100	64	59
Water, Environment & Natural Resources	175.03	487.79	117.42	268.42	114.39	96.31	97	36	65	20
Trade, Industry & Enterprise Development	107.41	4.10	66.97	-	66.97		100	0	62	0
Tourism, Culture & Social Services	185.64	48.70	138.63	-	137.91	-	99	0	74	0
Office of the County Attorney	24.97		15.52		15.52	-	0	0	62	0
Office of the County Secretary	10.50		5.45		5.45	-	0	0	52	0
Total	**6,656.98**	**3,672.95**	**4,572.77**	**1,697.75**	**4,533.72**	**1,429.58**	**99**	**84**	**68**	**39**

Source: *Marsabit County Treasury*

Analysis of expenditure by departments shows that the Department of Finance & Economic Planning recorded the highest absorption rate of development budget at 95 per cent, followed by the Department of Roads & Public Works at 59 per cent. The Department of Agriculture, Livestock & Fisheries had the highest percentage of recurrent expenditure to budget at 78 per cent, while the Office of the County Secretary had the lowest at 52 per cent.

3.25.17 Budget Execution by Programmes and Sub-Programmes

Budget execution was concentrated in selected performance bands. In the 1–10 per cent band, development absorption was reported for water supply infrastructure development under the Department of Water, Environment and Natural Resources at 6 per cent, while recurrent absorption was reported for health

planning and financing under the Department of Health Services at 3 per cent. In the 11–20 per cent band, recurrent absorption was recorded for land demarcation and provision of county geo-plans under the Department of Physical Planning and Development at 12 per cent and for community health strategy under the Department of Health Services at 18 per cent.

In the 21–30 per cent band, development absorption was reported for general administration, planning and support services under the Department of Water, Environment and Natural Resources at 24 per cent and for health infrastructure development under the Department of Health Services at 27 per cent, while recurrent absorption was recorded for administration and support services under the Department of Physical Planning and Development at 24 per cent and for solid waste management at 30 per cent. In the 31–40 per cent band, development absorption was reported for towns facelift under urban development services at 39 per cent.

In the 41–50 per cent band, development absorption was reported for food security initiatives under the Department of Agriculture, Livestock and Fisheries at 42 per cent. In the 51–60 per cent band, development absorption was reported for County Assembly infrastructure improvement payables at 58 per cent. In the 71–80 per cent band, development absorption reached 71 per cent for both roads infrastructure development and lands and crop development. In the 81–90 per cent band, development absorption reached 84 per cent for forests conservation and management.

In the 90–100 per cent band, development absorption reached 96 per cent for administration services under the Department of Finance and Economic Planning, while recurrent absorption reached 100 per cent for development and promotion of culture, 99 per cent for county executive services, 95 per cent for administration services, and 93 per cent for both livestock policy development and capacity building and general administration, planning and support services under the Department of Agriculture, Livestock and Fisheries.

Low absorption in the lower performance bands was attributed to delays in procurement processes, delays in the disbursement of shareable revenue, and low own-source revenue collection. Conversely, performance in the 90–100 per cent band reflected the prioritization of the respective sub-programmes and the nature of activities in the affected departments during the review period.

Table 3.378 summarises budget execution by programmes and sub-programmes in the period under review with the highest absorption rates.

Table 3.378: Budget Execution by Programmes and Sub-Programmes with Highest Absorption Rates

Programme	Sub-Programme	Gross Approved Estimates FY 2025/26 (Kshs.)	Expenditure (including accrued expenditure) as of 31st March 2026 (Kshs.)	Absorption Rate (%)
		Dev	Dev	Dev
DEVELOPMENT				
DEPARTMENT: FINANCE AND ECONOMIC PLANNING				
General administration, planning, and Support Services	Administration serviceS	700,000,000	668,834,066	96
DEPARTMENT: WATER, ENVIRONMENT AND NATURAL RESOURCES				
Natural Resources Conservation and Management	Forests Conservation and Management	362,693,772	303,889,536	84
DEPARTMENT: ROADS, PUBLIC WORKS, TRANSPORT AND HOUSING DEVELOPMENT				
Road Transport Infrastructure Development	Roads Infrastructure Development	142,081,414	100,674,531	71
DEPARTMENT: AGRICULTURE, LIVESTOCK, AND FISHERIES				
Crop Development and Management	Lands and Crop Development	610,002,208	431,478,146	71

Programme	Sub-Programme	Gross Approved Estimates FY 2025/26 (Kshs.)	Expenditure (including accrued expenditure) as of 31st March 2026 (Kshs.)	Absorption Rate (%)
		Dev	Dev	Dev
DEPARTMENT COUNTY ASSEMBLY				
County Assembly, Infrastructure Improvement	Payables	170,600,000	98,266,398	58
RECURRENT				
DEPARTMENT: TOURISM, CULTURE AND SOCIAL SERVICES				
Culture Services	Development and Promotion of Culture	70,000,000	69,999,500	100
DEPARTMENT: COUNTY EXECUTIVE SERVICES				
Management of County Affairs	County Executive ServiceS	20,000,000	19,810,259	99
DEPARTMENT OF FINANCE AND ECONOMIC PLANNING				
General administration, planning, and Support Services	Administration serviceS	450,952,600	430,425,560	95
DEPARTMENT: AGRICULTURE, LIVESTOCK, AND FISHERIES				
Livestock Resources Management and Development	Livestock Policy Development and Capacity Building	134,972,688	125,574,589	93
DEPARTMENT: AGRICULTURE, LIVESTOCK, AND FISHERIES				
General Administration, Planning and Support Services	General Administration, Planning and Support Services	127,292,812	118,710,372	93

Source: *Marsabit County Treasury*

The development sub-programmes with the highest budget implementation rates were: Administration services in the Department of Finance & Economic Planning at 96 per cent, Natural Resources Conservation and Management in the Department of Water, Environment & Natural Resources at 84 per cent, and Lands and Crop Development in the Department of Agriculture, Livestock & Fisheries at 71 per cent.

For recurrent sub-programmes, the top performers included: Development and Promotion of Culture in the Department of Tourism, Culture & Social Services at 100 per cent, County Executive Services in the Department of County Executive at 99 per cent, and Administration Services in the Department of Finance & Economic Planning at 95 per cent.

The higher performance of these programmes can be attributed to prioritisation and the nature of activities in these departments.

Table 3.379 summarises the budget execution by programmes and sub-programmes in the period under review that had the lowest absorption rates.

Table 3.379: Budget Execution by Programmes and Sub-Programmes with Lowest Absorption Rates

Programme	Sub-Programme	Gross Approved Estimates FY 2025/26 (Kshs.)	Expenditure (including accrued expenditure) as of 31st March 2026 (Kshs.)	Absorption Rate (%)
		Dev	Dev	Dev
DEVELOPMENT				
DEPARTMENT: WATER, ENVIRONMENT & NATURAL RESOURCES				

Programme	Sub-Programme	Gross Approved Estimates FY 2025/26 (Kshs.)	Expenditure (including accrued expenditure) as of 31st March 2026 (Kshs.)	Absorption Rate (%)
		Dev	Dev	Dev
Water Resources Management	Water Supply Infrastructure Development	75,900,000	4,499,330	6
DEPARTMENT: WATER, ENVIRONMENT & NATURAL RESOURCES				
General Administration, Planning and Support Services	General Administration, Planning and Support Services	11,446,016	2,712,789	24
DEPARTMENT PHYSICAL PLANNING AND DEVELOPMENT				
Urban Development Services	Towns Facelift	83,800,000	32,309,300	39
DEPARTMENT OF HEALTH SERVICES				
General Administration, Planning and Support Services	Health Infrastructure development	166,226,602	45,281,553	27
DEPARTMENT AGRICULTURE LIVESTOCK AND FISHERIES				
Crop Development and Management	Food Security Initiatives	266,153,846	111,414,209	42
RECURRENT				
DEPARTMENT PHYSICAL PLANNING AND DEVELOPMENT				
Land and Physical Planning Services	Land Demarcation, Provision of county Geo plans	5,000,000	599,975	12
DEPARTMENT OF HEALTH SERVICES				
General Administration, Planning and Support Services	Health Planning and Financing	120,000,000	3,640,000	3
DEPARTMENT OF HEALTH SERVICES				
Preventive and Promotive Health Services	Community Health Strategy	8,000,000	1,402,480	18
DEPARTMENT PHYSICAL PLANNING AND DEVELOPMENT				
Land and Physical Planning Services	Administration and Support Services	14,500,000	3,497,861	24
DEPARTMENT PHYSICAL PLANNING AND DEVELOPMENT				
Urban Development Services	Solid Waste Management	54,600,000	16,364,496	30

Source: *Marsabit County Treasury*

The development sub-programmes with the lowest budget implementation rates were as follows: Water Supply Infrastructure Development in the Department of Water, Environment & Natural Resources at 6 per cent, General Administration, Planning and Support Services in the Department of Water, Environment & Natural Resources at 24 per cent, and Urban Development Services in the Department of Physical Planning and Development at 39 per cent.

For recurrent sub-programmes, the poorest performers included: Health Planning and Financing in the Department of Health Services at 3 per cent, Land Demarcation, Provision of county Geo plans in the Department of Physical Planning and Development at 12 per cent, and Community Health Strategy in the Department of Health Services at 18 per cent.

These lower performances can be attributed to delays, procurement processes, delays in the disbursement of shareable revenue, and low OSR collections.

3.25.18 Settlement of Trade Payables

As of 1st July 2025, the County reported trade payables totalling Kshs.1.43 billion. This amount consisted of Kshs.1.23 billion from the County Executive and Kshs.201.15 million from the County Assembly. The trade payables from the County Executive comprised of Kshs.532.46 million for recurrent expenditure and Kshs.700.16 million for development expenditure.

During the reporting period, the County Executive settled trade payables amounting to Kshs.1.09 billion, comprising Kshs.532.46 million (100 per cent) for recurrent programmes and Kshs.557.08 million (80 per cent) for development programmes. On the other hand, the County Assembly settled trade payables amounting to Kshs.125.39 million, comprising Kshs.27.13 million (89 per cent) for recurrent activities and Kshs.98.27 million (58 per cent) for development activities. The outstanding trade payables as of 31st March 2026 were Kshs.143.08 million for the County Executive and Kshs.75.76 million for the County Assembly. Table 3.380 provides additional details of trade payables.

Table 3.380: Marsabit County Trade Payables as of 31st March 2026

		County Entity	Development (Kshs.)	Recurrent (Kshs.)	Total (Kshs.)
As at 1 July 2025 (End of FY 2024/25)	a	County Executive	700,162,772	532,460,806	1,232,623,578
		County Assembly	170,600,000	30,552,699	201,152,699
		Total	870,762,772	563,013,505	1,433,776,277
Trade payables scheduled to be settled in the first nine months of FY 2025/26 per the action plan	b	County Executive			-
		County Assembly			-
		Total	-	-	-
Amount paid in the first nine months of FY 2025/26	c	County Executive	557,083,213	532,460,806	1,089,544,020
		County Assembly	98,267,298	27,125,213	125,392,511
		Total	655,350,512	559,586,019	1,214,936,531
Trade Payables Incurred in the First Nine Months of FY 2025/26	d	County Executive			-
		County Assembly			-
		Total	-	-	-
Outstanding trade payables as of 31st March 2026	**e = a - c*b**	**County Executive**	**143,079,558**	**-**	**143,079,558**
		County Assembly	**72,332,702**	**3,427,486**	**75,760,188**
		Total	**215,412,260**	**3,427,486**	**218,839,746**

Source: *Marsabit County Treasury*

The County Executive and the Assembly submitted a trade payables payment plan, committing to pay Kshs.1.23 billion and Kshs.201.15 million on recurrent and development expenditure, respectively, in FY 2025/26. The County did not adhere to this payment plan, as it cleared Kshs.1.09 billion for the Executive and Kshs.125.39 million for the Assembly.

Table 3.381 and Table 3.382 present the ageing of the total outstanding bills as of 31st March 2026 for the County Executive and Assembly, which were Kshs.218.84 million.

Table 3.381: Marsabit County Executive Trade Payables Ageing Analysis as of 31st March 2026

Category	Ageing analysis (Amount in Kshs.)				Total
	Under one year	1-2 years	2-3 years	Over 3 years	
Development Trade Payables	35,477,147.69	1,199,000.00	106,403,410.64		143,079,558.3
Recurrent Trade Payables (Goods & Services)					-
Recurrent Trade Payables (Salary Arrears and Statutory Deductions)					-

Category	Ageing analysis (Amount in Kshs.)				Total
	Under one year	1-2 years	2-3 years	Over 3 years	
Recurrent Trade Payables (Staff Claims)					-
Total Recurrent Trade Payables	-	-	-	-	-
Total Trade Payables	35,477,147.69	1,199,000	106,403,411	-	143,079,558
% of Total	25%	1	74	-	100

Source: *Marsabit County Treasury*

Table 3.382: Marsabit County Assembly Trade Payables Ageing Analysis as of 31st March 2026

Category	Ageing analysis (Amount in Kshs.)				Total
	Under one year	1-2 years	2-3 years	Over 3 years	
Development Trade Payables	50,858,807	21,473,895			72,332,702
Recurrent Trade Payables (Goods & Services)					-
Recurrent Trade Payables (Salary Arrears and Statutory Deductions)	3,427,486				3,427,486
Recurrent Trade Payables (Staff Claims)					-
Total Recurrent Trade Payables	3,427,486	-	-	-	3,427,486
Total Trade Payables	54,286,293	21,473,895	-	-	75,760,188
% of Total	72	28	-	-	100

Source: *Marsabit County Treasury*

As shown in Table 3.381 and Table 3.382, the total salary arrears and statutory deductions for trade payables amounted to Kshs.3.43 million, which represented 2 per cent of the total trade payables of Kshs 218.84 million as of March 31, 2026. The statutory deductions included pension liabilities of Kshs 3.43 million.

Additionally, the two tables indicate that 74 per cent of total trade payables are aged between two and three years, a trend attributed to non-adherence to the first-in, first-out basis for paying trade payables. To address this situation, the county should strictly ensure adherence to the FIFO basis of the trade payables payment plan.

3.25.19 General Observations and Recommendations

In the course of overseeing and reporting on the implementation of the Marsabit County budget, the CoB identified the following challenges, which hampered effective budget implementation;

i. The County Treasury's late submission of financial reports to the Controller of Budget affected the timely preparation of the budget implementation report, which was received on 22nd of April 2026.
ii. The underperformance of own-source revenue at Kshs.67.92 million against an annual target of Kshs.150 million, representing 45 per cent of the financial year target.
iii. Low development performance in the review period as the County incurred Kshs.1.43 million on development activities, achieving a 39 per cent absorption rate.
iv. Regulation 197(1)(i) of the Public Finance Management (County Governments) Regulations, 2015, limits the lifespan of public funds to 10 years unless extended by the County Assembly. As of 31st March 2026, the lifespan of the emergency Fund had lapsed, making it ineligible for further withdrawals.
v. Fund Administrators failed to submit quarterly financial and non-financial reports to the CoB within the timelines provided by law, which is against the requirement of Section 168 of the PFM Act, 2012. The reports for the Scholarship Fund, Emergency Fund, Car Loan and Mortgage—Executive Fund, Marsabit County Assembly Car Loan and Mortgage –Member and staff Fund were not sub-

mitted to the CoB as of 15 July 2025.

vi. High level of trade payables, which amounted to Kshs.218.84 million as of 31st March 2026. Furthermore, the County Treasury did not adhere to the trade payables payment plan.

vii. Use of manual payroll. Personnel emoluments amounting to Kshs.78.57 million for 717 casual staff were processed through the manual payroll, accounting for 3 per cent of the total payroll cost. Manual payroll is prone to abuse and may result in the loss of public funds.

viii. Non-submission of copies of authorisation letters for opening commercial bank accounts as per Regulation 82(5) of the Public Finance Management (County Governments) Regulations, 2015.

ix. The County reported Kshs.70 million under "*other operating expenses-other,*" accounting for 5 per cent of total operation and maintenance costs. The review revealed that this category was misused to record items with specific budget codes, distorting the cost structure, reducing financial transparency, and weakening accountability in public fund management.

The County should implement the following recommendations to improve budget execution:

i. *The County Treasury should ensure the timely preparation and submission of financial reports to the Controller of Budget per the timelines prescribed in Section 166 of the PFM Act, 2012.*

ii. *The County should address its own-source revenue performance to ensure the approved budget is fully financed. Appropriate austerity measures should be implemented to ensure expenditure commitments are aligned with available revenue.*

iii. *The County should implement strategies to increase development expenditures in FY 2025/26.*

iv. *The County should ensure timely review and extension of public funds whose lifespans are nearing expiration or have lapsed to prevent operational disruptions. Additionally, any expenditure from lapsed funds should cease immediately, and legal mechanisms should be followed to re-establish or wind up such funds in compliance with the Public Finance Management Act.*

v. *The CECMF should follow up to ensure Fund Administrators prepare and submit statutory reports in line with the PFM Act, 2012.*

vi. *The County Leadership should address the situation of trade payables to ensure that genuine bills are paid promptly in the remaining financial year. Further, compliance with the Trade Payables Action Plan should be enforced.*

vii. *The Government requires that salaries be processed through the HRIS system, and the County is advised to fast-track the acquisition of Unified Personnel Numbers for their staff. The County Public Service Board should regulate staff engagement on contract and casual workers as provided under Section 74 of the County Governments Act 2012. Furthermore, strict adherence to the approved staff establishment should be maintained.*

viii. *The County Treasury should ensure it submits copies of authorisation letters to the CoB for opening commercial bank accounts to enhance accountability and oversight.*

ix. *The County Treasury should adhere to the approved budget classification framework by ensuring that all expenditures are recorded under their specific budget codes rather than being aggregated under the "Other Operating Expenses" category.* \

3.26. County Government of Meru

3.26.1 Overview of FY 2025/26 Budget

The Meru County Approved Budget for FY 2025/26 is Kshs.16.02 billion. It comprises Kshs.6.22 billion (39 per cent) and Kshs.9.79 billion (61per cent) allocation for development and recurrent programmes, respectively. The budget estimates represent an increase of Kshs.2.10 billion (15 per cent) from the FY 2024/25 budget, which comprised a development budget of Kshs.4.97 billion and a recurrent budget of Kshs.8.95 billion. The increase in the budget was primarily attributed to the rise in unspent funds brought forward from FY 2024/25.

The budget is to be financed from various revenue sources. These include; the equitable share of revenue raised nationally of Kshs.10.55 billion (66 per cent), additional allocations of Kshs.2.37 billion (15 per cent), a cash balance of Kshs.1.26 billion (8 per cent) brought forward from FY 2024/25, and Kshs.1.84 billion (11 per cent) generated as own-source revenue. A breakdown of the additional allocations is shown in Table 3.383

3.26.2 Revenue Performance

During the first nine months of FY 2025/26, the County reported total revenues amounting to Kshs.9.83 billion. This amount represented an increase of 24 per cent compared to the amount received in a similar period in FY 2024/25 of Kshs.7.45 billion. The total revenue consisted of Kshs.7.02 billion from the equitable share of revenue raised nationally, additional allocations from the national government and development partners of Kshs.428.07 million, and own-source revenue (OSR) collection of Kshs.1.18 billion. Additionally, the County had a cash balance of Kshs.1.21 billion from FY 2024/25. The total OSR collection of Kshs.1.18 million included Facilities Improvement Financing (FIF) of Kshs.848.19 million, and Kshs.332.08 million from other OSR sources.

Summarises the total revenue available to the County Government during FY 2025/26.

Table 3.383: Meru County, Revenue Performance in the first nine months of FY 2025/26

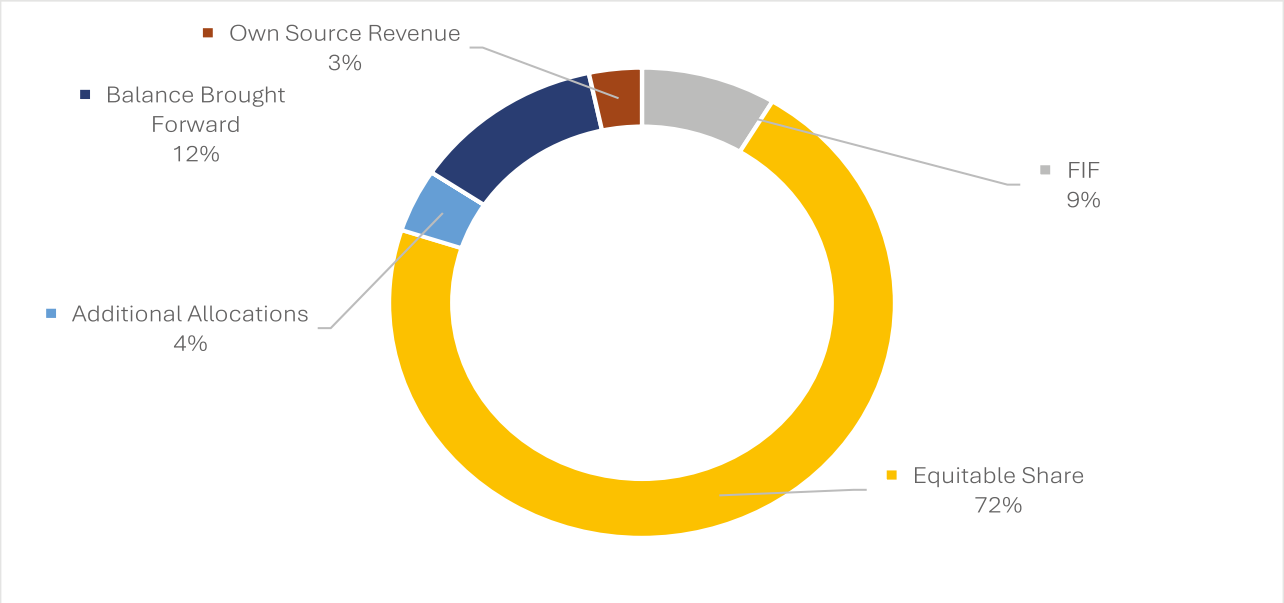
No	Revenue Stream	Annual Targeted Revenue (Kshs.)	Actual Receipts (Kshs.)	Receivables in the first nine months of FY 2025/26 (Kshs.)	Total Revenues (in accrual basis) in the first nine months of FY 2025/26 (Kshs.)	Revenue Performance
		A	B	C	D	F=D/A*100
A	**Balance Brought Forward from FY 2024/25**					
1	Balance at CRF	1,257,299,198	1,205,504,417		1,205,504,417	96
2	County Executive Refunds to CRF	64,056	64,056		64,056	100
3	County Assembly Refunds to CRF	82	82		82	100
	Sub-Total	**1,257,363,336**	**1,205,568,556**	**-**	**1,205,568,556**	**96**
B	**Equitable Share of Revenue Raised Nationally**					
1	Equitable Share	**10,553,946,059**	**7,018,374,129**	**-**	**7,018,374,129**	**66**
	Sub-Total	**10,553,946,059**	**7,018,374,129**	**-**	**7,018,374,129**	**66**
C	**Additional Allocations**					
1	National agricultural value chain development project (NAVCDP)	317,733,229	168,035,769	-	168,035,769	53
2	IFAD Loan for Aquaculture Business Development Project (ABDP)	23,306,984	-	-	-	0
3	DANIDA	12,382,500	-	-	-	0
4	Kenya Devolution Support Programme (KDSP II) - Recurrent	75,000,000	35,253,471	-	35,253,471	47
5	Financing Locally-Led Climate Action (FLOCCA)	453,456,351	180,834,472	-	180,834,472	40
6	Kenya Urban Support Programme (UIG)	30,840,700	-	-	-	0
7	Kenya Urban Support Programme (UDG)	458,222,663	-	-	-	0
8	Kenya Agricultural Business Development Projects (KABDP)	10,918,919	-	-	-	0
9	Kenya Devolution Support Programme(KDSP II)-Development	371,006,111	-	-	-	0
10	Kenya Roads Board- Fuel Levy 2024/25	284,617,468	-	-	-	0
11	Kenya Roads Board- Fuel Levy 2025/26	284,617,468	-	-	-	0

No	Revenue Stream	Annual Targeted Revenue (Kshs.)	Actual Receipts (Kshs.)	Receivables in the first nine months of FY 2025/26 (Kshs.)	Total Revenues (in accrual basis) in the first nine months of FY 2025/26 (Kshs.)	Revenue Performance
		A	B	C	D	F=D/A*100
12	County Basic Salary Arrears	43,915,785	43,915,785	-	43,915,785	100
13	Mineral Royalties	-	32,901	-	32,901	-
	Sub-Total	**2,366,018,177**	**428,072,398**	**-**	**384,156,613**	**16**
D	**Ordinary Own Source Revenue (OSR)**					
1	Single business permit	226,901,372	122,144,755	-	122,144,755	54
2	Cess	122,016,150	53,806,525	-	53,806,525	44
3	Parking fees	104,419,796	47,512,038	-	47,512,038	46
4	Market fee	51,779,748	21,654,387	-	21,654,387	42
5	Land Rates	97,402,625	16,288,461	-	16,288,461	17
6	Outdoor adverts. & Signboard	85,515,640	23,163,250	-	23,163,250	27
7	Building plans	43,384,796	16,174,386	-	16,174,386	37
8	Plot Rent	5,210,247	2,573,285	-	2,573,285	49
9	House rent/Stall rent	19,736,220	5,901,472	-	5,901,472	30
10	Slaughter house fees	8,939,431	3,478,240	-	3,478,240	39
11	Meat Inspection and Veterinary Services	1,694,867	244,300	-	244,300	14
12	Impounding fees & Fines	2,282,349	1,892,703	-	1,892,703	83
13	Toilets fee	884,014	282,640	-	282,640	32
14	Application fees	508,435	796,700	-	796,700	157
15	Income from county properties/Estates	286,582	107,500	-	107,500	38
16	Fire section fee	155,185	68,400	-	68,400	44
17	Refuse collection fee	974,603	187,000	-	187,000	19
18	Transfer & Subdivision fee	2,341,254	450,000	-	450,000	19
19	Sale of County Documents.	361,418	86,000	-	86,000	24
20	Audit Fees/Sacco registration	1,850,399	352,590	-	352,590	19
21	Weight and Measures	2,991,643	2,241,890	-	2,241,890	75
22	Surrender of Imprest/Salary	14,937,371	4,796,266	-	4,796,266	32
23	Burial permit (MTRH)	4,083	2,800	-	2,800	69
24	Library fees	1,421,772	493,475	-	493,475	35
	Sub-Total	**796,000,000**	**324,699,063**	**-**	**324,699,063**	**41**
E	**Facility Improvement Financing (FIF)**					
1	SHIF	615,300,000	567,464,015		567,464,015	92
3	Other FIFs Sources	410,200,000	280,722,001		280,722,001	68
	Sub-Total	**1,025,500,000**	**848,186,016**	**-**	**848,186,016**	**83**
G	**Other Sources of Revenue**					
1	Kaguru ATC	20,000,000	7,376,188	-	7,376,188	37
Sub-Total		**20,000,000**	**7,376,188**	**-**	**7,376,188**	37
Total		**16,018,827,572**	**9,832,276,349**	**-**	**9,832,276,349**	**61**

Source: *Meru County Treasury*

The County has governing legislation on the operation of ordinary A-I-A and FIF. Figure 3.151 provides a detailed breakdown of receipts.

Figure 3.151: Meru County Composition of Revenue in the first nine months of FY 2025/26

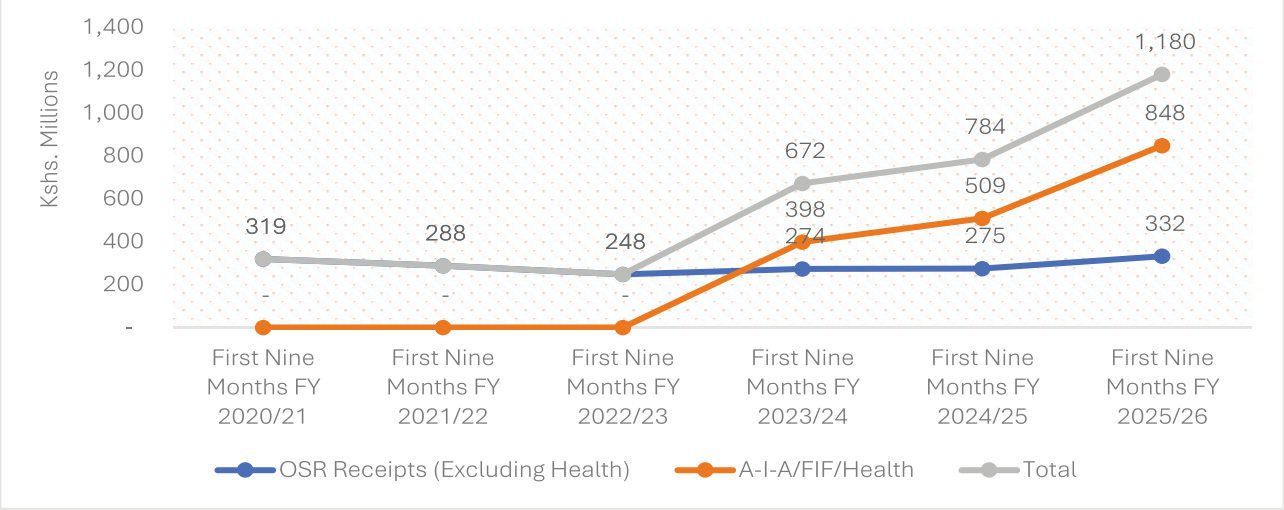


Source: *Meru County Treasury*

The equitable share of revenue raised nationally, Balance Brought Forward from FY 2024/25 , and Additional Allocations contributed 72 per cent, 12 per cent, and 4 per cent, respectively, of the total receipts for the reporting period.

Figure 3.152 shows the collection trend in own-source revenue from the first nine months of FY 2020/21 to the first nine months of FY 2025/26.

Figure 3.152: Meru County Trend in Own-Source Revenue Collection from the first nine months of FY 2020/21 to the first nine months of FY 2025/26

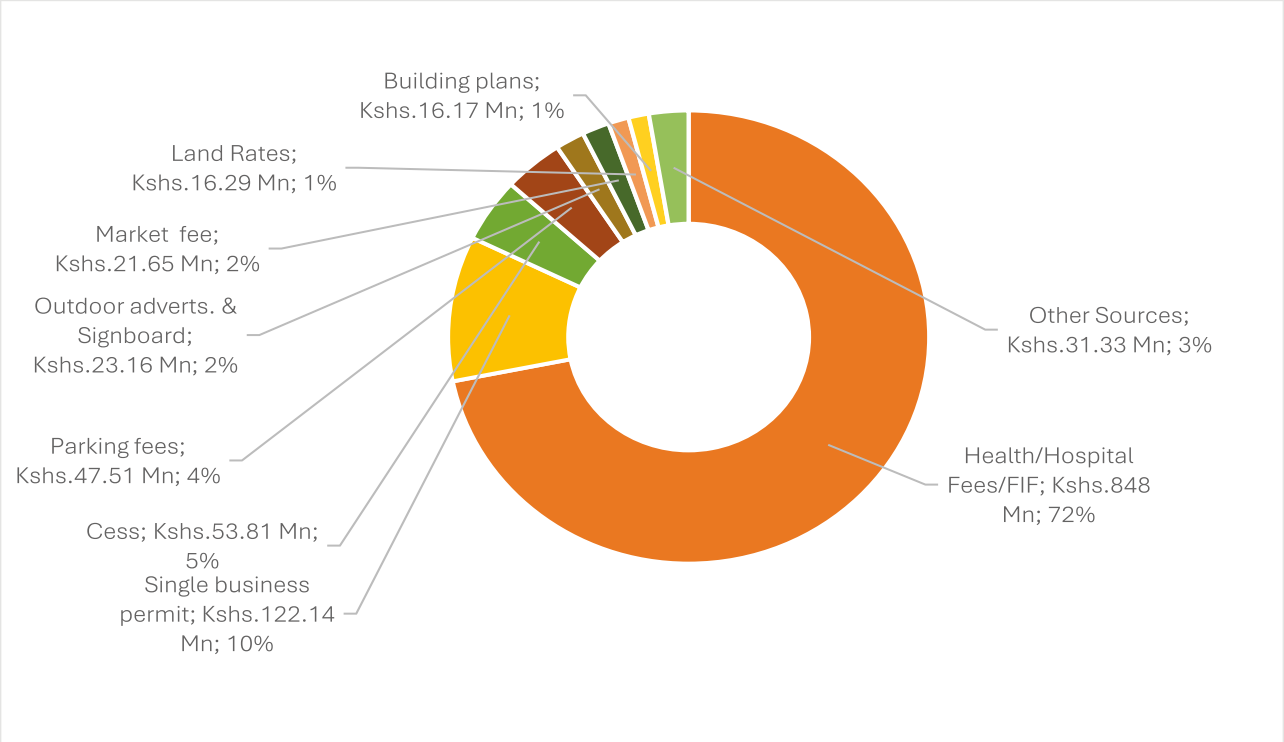


Source: *Meru County Treasury*

During the first nine months of FY 2025/26, the County received Kshs.1.18 billion from OSR, including FIF. This amount was an increase of 50 per cent compared to Kshs.784.23 million realised in a similar period in FY 2024/25, and was 64 per cent of the annual target and 17 per cent of the equitable revenue share disbursed.

The revenue streams that contributed the most to OSR receipts are shown in Figure 3.153.

Figure 3.153: Meru County Top Own Source Revenue Streams in the first nine months of FY 2025/26



Source: Meru County Treasury

As shown in Figure 3, the largest revenue stream, at Kshs.848.19 million, was Health/Hospital Fees/FIF, accounting for 72 per cent of total OSR receipts. The County Government indicated that it has automated all 24 revenue streams. Revenue Receivables.

As of 1st July 2025, the County reported receivables of Kshs.830.93 million, which remains the same as of 31st March 2026. The County manages its receivables using an automated system with a cash-basis option. Table 3.384 presents a breakdown of the County's receivables.

Table 3.384: Meru County Revenue Receivables Arrears as of 31st March 2026

No	Revenue Stream	Revenue receivables as of 1 July 2025 (Kshs.)	Progress made in FY 2025/26			OSR Receivables as of 31 March 2026 (Kshs.)
			Waivers (Kshs)	Receivables received in the financial year (Kshs)	Receivables earned in first nine months of FY 2025/26 (Kshs)	
		a	B	C	d	f=a-b-c+d
Ordinary Own Sources of Revenue						
1	**House/Stalls**	**3,525,077**	**-**	**-**	**-**	**3,525,077**
2	**Land Rates**	**766,992,995**	**-**	**-**	**-**	**766,992,995**
3	**Plot Rent**	**60,409,667**	**-**	**-**	**-**	**60,409,667**
	Sub-Total	**830,927,739**	**-**	**-**	**-**	**830,927,739**
Total		**830,927,739**	**-**	**-**	**-**	**830,927,739**

Source: Meru *County Treasury*

As of 31st March 2026, the revenue totalled to Kshs.830.93 million, comprising Kshs.3.53 million for House/Stalls (0.4 per cent, Kshs.766.99 million for Land Rates (92 per cent), and Kshs.60.41 million for Plot Rent (7 per cent). The measures instituted by the County to collect the outstanding arrears in FY 2025/26 include engaging a debt collector.

3.26.3 Withdrawals from the County Revenue Fund and County Assembly Fund

During the reporting period, the Controller of Budget approved exchequer withdrawal requests totalling Kshs.8.12 billion from the Meru County Revenue Fund (CRF) account. This amount consisted of Kshs.1.76 billion (22 per cent) designated for development programs and Kshs.6.36 million (78 per cent) allocated for recurrent programs.

An analysis of the released recurrent exchequers shows that Kshs.4.04 billion was allocated to employee compensation and Kshs.2.32 billion to operations and maintenance expenditures. Within the operations and maintenance category, 17 per cent was for domestic travel and 4 per cent for foreign travel. The domestic travel exchequers totalled Kshs.390.01 million, which included Kshs.166.06 million for the County Executive and Kshs.223.95 million for the County Assembly. Meanwhile, the foreign travel exchequers amounted to Kshs.84.32 million, with Kshs.1.63 million for the County Executive and Kshs.82.68 million for the County Assembly.

As of 31st March 2026, the County Government's cash balance in the Meru CRF account was Kshs.346.06 million.

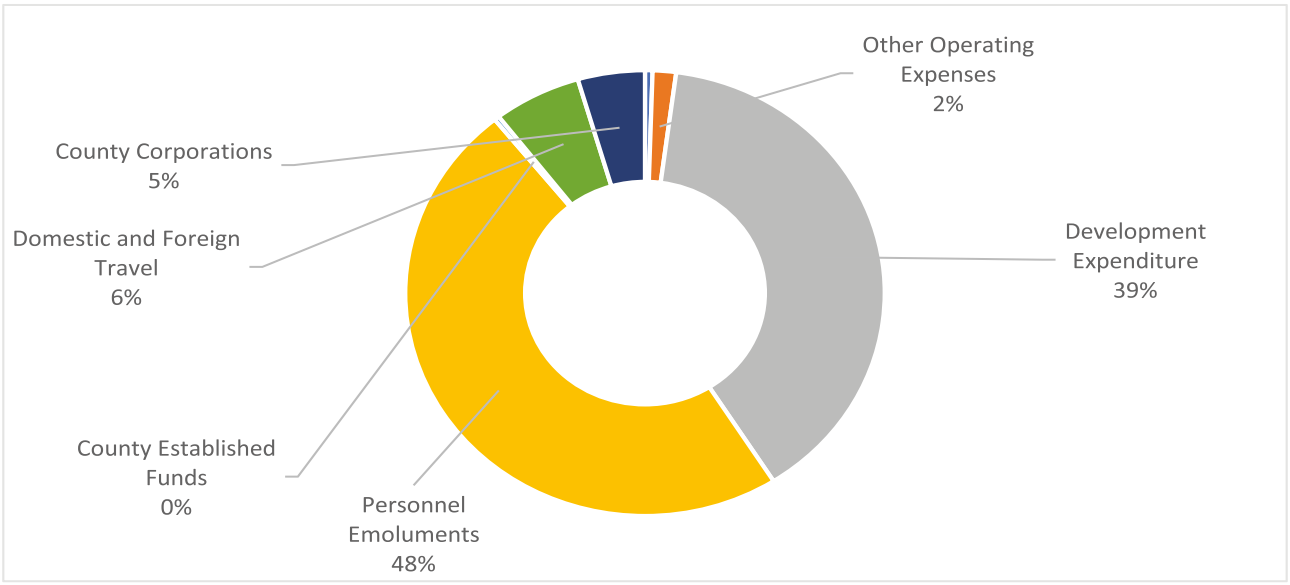
As of 31st March 2026, the Meru County Assembly Fund (CAF) was not in operational.

3.26.4 Expenditure Review

The County spent Kshs.10.95 billion on development and recurrent programmes during the reporting period. The expenditure represented 135 per cent of the total funds released by the CoB. It comprised Kshs.3.39 billion for development programmes and Kshs.7.56 billion for recurrent programmes. Expenditure on development programmes accounted for 54 per cent of the annual development expenditure budget, while recurrent expenditure accounted for 77 per cent of the annual recurrent expenditure budget.

Figure 3.154 provides a detailed breakdown of total expenditure.

Figure 3.154: Meru County Composition of Expenditure in the first nine months of FY 2025/26



Source: Meru *County Treasury*

As shown in Figure 3.154, the three highest expenditure categories were Personnel Emoluments, Development Expenditure and Domestic and Foreign Travel, contributing 48, 39, and 6 per cent of total expenditure for the reporting period.

3.26.5 Expenditure by Economic Classification

The County Executive incurred Kshs.3.80 billion in employee compensation, Kshs.2.89 billion in operations and maintenance, and Kshs.3.32 million in development activities. Similarly, the County Assembly spent Kshs.405.11 million on compensation of employees, Kshs.470.27 million on operations and maintenance, and Kshs.71.46 million on development activities, as shown in Table 3.385.

Table 3.385: Meru County Summary of Budget and Expenditure by Economic Classification

Expenditure Classification	Approved Budget (Kshs.million) (a)		Amount Paid in the First Nine Months of FY 2025/26 (Kshs.million) (b)		Expenditure Accrued in the First Nine Months of FY 2025/26 (Kshs. million) (c)		Total Expenditure in the First Nine Months of FY 2025/26 (Kshs.million) (d=b+c)		Absorption (%) (d/a*100)	
	Executive	Assembly	Executive	Assembly	Executive	Assembly	Executive	Assembly	Executive	Assembly
Total Recurrent Expenditure	**8,731**	**1,063**	**5,936**	**739**	**751**	**137**	**6,687**	**875**	**77**	**82**
Compensation of Employees	4,978	542	3,682	315	116	90	3,798	405	76	75
Operations and Maintenance	3,753	521	2,254	424	635	47	2,889	470	77	90
Development Expenditure	**6,094**	**130**	**2,000**	**71**	**1,319**	**-**	**3,319**	**71**	**54**	**55**
Total	**14,825**	**1,193**	**7,936**	**810**	**2,070**	**137**	**10,006**	**947**	**67**	**79**

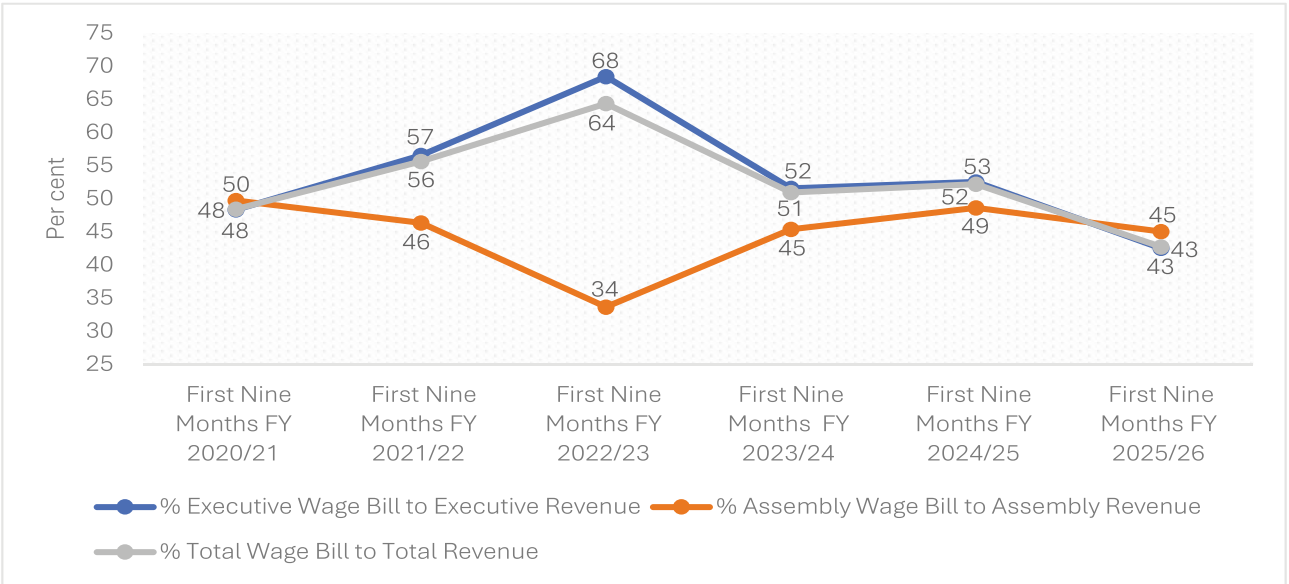
Source *Meru County Treasury*

3.26.6 Expenditure on Employee Compensation

The expenditure on employee compensation totalled Kshs.4.20 million, representing 43 per cent of revenue. This expenditure on employee compensation shows. an increase compared to the Kshs.3.89 billion reported in a similar period in FY 2024/25. Of this total, Kshs.1.94 billion related to Health Sector employees, accounting for 46 per cent of the overall employees' compensation.

Figure 3.155 shows the trend in employee compensation as a percentage of total revenue from the first nine months of FY 2020/21 to the first nine months of FY 2025/26.

Figure 3.155: Percentage of Employee Compensation Expenditure to Total Revenue Received in the first nine months of FY 2020/21 to the first nine months of FY 2025/26



Source: Meru County Treasury

Further analysis indicated that PE costs totalling Kshs.3.91 billion were processed through the Human Resource Information System (HRIS). In contrast, Kshs.229.03 million was processed through manual payrolls, which accounted for 9 per cent of the total PE cost.

The manual payroll comprised salaries for 3 staff not onboarded into the Human Resource Information System (HRIS), salaries for casual staff, and top-up allowances for security personnel, as shown in Table 3.386

Table 3.386: Breakdown of Meru County Manual Payroll

Sno.	Description of Manual Payroll	Amount Kshs.
1	Salaries for 3 staff yet to be onboarded into UHR	263,780
2	Salaries for casual staff	2,897,357
3	Top-up Allowances for 4 security officers	882,000
11	Salary arrears	53,247,475
13	Statutory deductions -Arrears	171,738,978
	Total	**229,029,590**

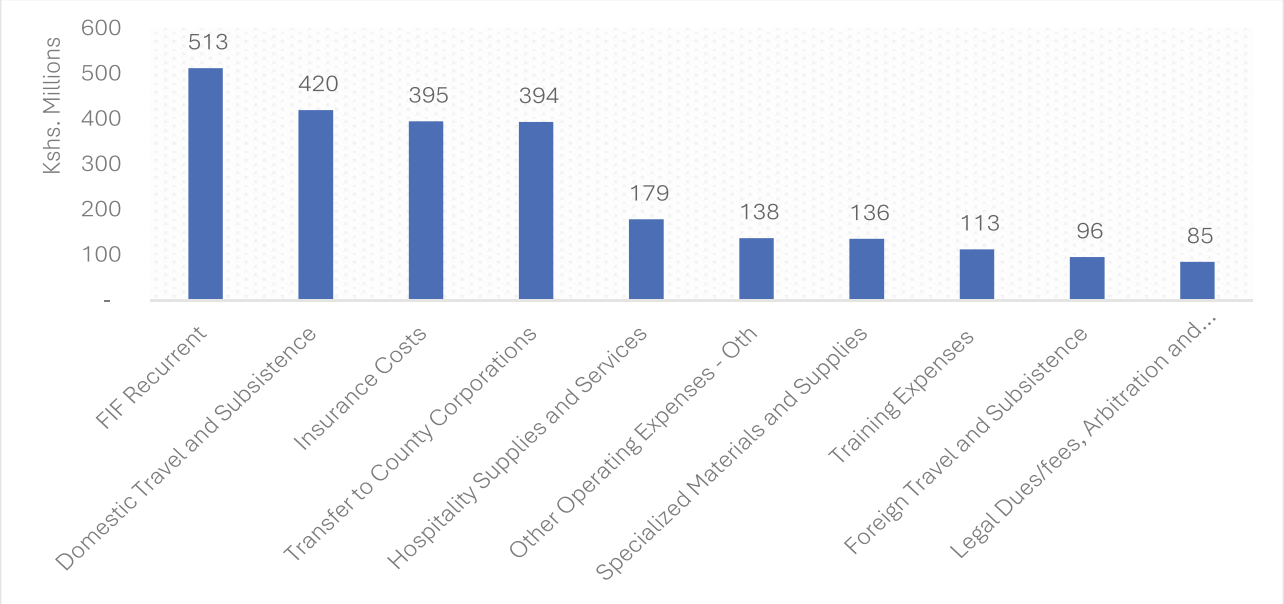
Source: Meru County Treasury

The County Assembly spent Kshs.44.12 million on committee sitting allowances for the 69 MCAs against the annual budget allocation of Kshs.71.04 million. The average monthly sitting allowance was Kshs.70,031 per MCA. The County Assembly has 27 House Committees.

3.26.7 Expenditure on Operations and Maintenance

During the reporting period, the County spent Kshs.3.36 billion on operations and maintenance, representing an increase of 72 per cent compared to a similar period in FY 2024/25, when the County spent Kshs.1.95 billion. Figure 3.156 illustrates the distribution of Operations and Maintenance expenditures across the major spending categories.

Figure 3.156: Meru County, Operations and Maintenance Expenditure by Major Categories



Source: *Meru County Treasury*

The highest Operations and maintenance expenditure was Hospital FIF recurrent expenditure at Kshs.512.75 million, followed by domestic travel and subsistence expenditure and insurance costs at Kshs.420.32 million and Kshs.395.24 million respectively. Transfers to County Corporations was Kshs.394.11 million as shown in the Figure 6.

3.26.8 Unbundling "Other Operating Expenses-Other" Under Operations and Maintenance Expenditures

The budget performance report for the first nine months of FY 2025/26 indicates that the County spent Kshs.137.62 million on "*other operating expenses-other*," which was 4 per cent of the total operations and maintenance expenditure of Kshs.3.36 million. This category of expenditure includes Kshs.84.67 million

for legal fees and compensation payments. The disaggregated items under the "*Other Operating Expenses-other*" category are shown in Table 3.387

Table 3.387: Breakdown of "Other Operating Expenses-other" under O&M Expenditures

Code	Item	Budget (Kshs)	Expenditure (Kshs.)
2211399	Funds for operating expenses under office of the Governor	900,000	904,734
2211399	The funds are to facilitate public participation for budget, sector working groups and county fiscal strategy paper.	7,000,000	5,182,940
2211399	Facilitate Environmental Health and Environmental Health drug disposal	1,000,000	152,300
2211399	Emergency & Ambulance Services-300,0000; Infection Prevention Control/AMR-300,000; Malaria-300,000; Prevention of Mother to Child Transmission (PMTCT)-300,000; Eye Health-300,000; Data Quality Assurance (Health Records and Information)-2,050,000)	3,550,000	817,300
2211399	For Mainstreaming (Gender days, teenage mums' trainings and capacity building)-Kshs.2m and Kshs.2m Rehabilitation for street families (policy development & children's activities)	4,000,000	3,824,990
2211399	To fund ward community activities for sports, youth and Gender across all wards	90,096,501	78,647,113
2211399	To facilitate women Empowerment programme(Kshs.24M); Gender Mainstreaming(Kshs.2.595M) and Gender Mainstreaming Programmes-Ward Community Programmes (Ksshs.21.5M)	48,095,000	48,095,000
	Total	**154,841,501**	**137,624,377**

Source: *Meru County Treasury*

A review of the other expense items listed in the table revealed the following inconsistencies: *Some expenditure items were recorded with vague or generic descriptions, making it difficult to determine their nature and map them to the correct budget codes. For example, operating expenses under the Office of the Governor*

3.26.9 County-Established Funds

Section 116 of the PFM Act 2012 allows County Governments to establish other public funds, subject to approval from the County Executive Committee and the County Assembly. The County allocated Kshs.150 million to County-Established funds in FY 2025/26, representing 1 per cent of the County's overall budget. The County does not have a legislation of Emergency Fund and thus no allocation was made to the Emergency Fund in line with Section 110 of the PFM Act, 2012. Table 3.388 summarises each established Fund's budget allocation and performance during the reporting period.

Table 3.388: Performance of Meru County Established Funds in the first nine months of FY 2025/26

S/No.	Name of the Fund	Year Established	Approved Budget Allocation in FY 2025/26 (Kshs.)	Exchequer Issues in the first nine months of FY 2025/26 (Kshs.)	Actual disbursements in the first nine months of FY 2025/26 (Kshs.)	Cumulative disbursements to the Fund (Kshs)	Submission of Financial Statements (Yes/No.)
County Assembly Established Funds							
1.	Meru County Retention and Enhancement Fund	2018	50,000,000	-	-	986,483,479	No
2.	Meru County Executive Staff Housing	2015	70,000,000	-	78,324,981	803,207,820	Yes
County Assembly Established Funds							

S/No.	Name of the Fund	Year Established	Approved Budget Allocation in FY 2025/26 (Kshs.)	Exchequer Issues in the first nine months of FY 2025/26 (Kshs.)	Actual disbursements in the first nine months of FY 2025/26 (Kshs.)	Cumulative disbursements to the Fund (Kshs)	Submission of Financial Statements (Yes/No.)
3.	County Assembly of Meru Staff Car Loan and Housing Scheme Fund	2015	30,000,000	30,000,000	30,000,000	315,914,906	Yes
4.	County Assembly of Meru Members Car Loan and Housing Scheme Fund	2017	-	-	-	480,000,000	yes
	Total		**150,000,000**	**30,000,000**	**108,324,981**	**2,585,606,205**	

Source: *Meru County Treasury*

During the reporting period, the CoB did not receive quarterly financial reports from Meru County Retention and Enhancement Fund Administrators, as indicated in Table 3.6, contrary to the requirement of Section 168 of the PFM Act, 2012. The County disclosed that the administration costs of the Meru County Executive Staff Housing, the County Assembly of Meru Staff Car Loan and Housing Scheme Fund and County Assembly of Meru Members Car Loan and Housing Scheme Funds were above the 3 per cent limit of the Fund budget set in Regulation 197(1)(d) of the Public Finance Management (County Governments) Regulations, 2015.

Regulation 197(1)(i) of the Public Finance Management (County Governments) Regulations, 2015, allows County Governments to establish public funds with a lifespan capped at 10 years unless extended by the County Assembly. In FY 2025/26, the Meru County Executive Staff Housing and the County Assembly of Meru Staff Car Loan and Housing Scheme Funds' lifespan had lapsed and were subsequently renewed.

3.26.10 County Corporations

The County has 6 County Corporations, which were allocated Kshs.636.53 in FY 2025/26. Their total expenditure for the review period amounted to Kshs.396.21, as shown in Table 3.389. Among the 6 is the Meru County Alcoholic Drinks Control Board, whose reports have not been provided

Table 3.389: Performance of Meru County Corporations in the first nine months of FY 2025/26

S/No.	Name of the Corporation	Approved Budget Allocation in FY 2025/26 (Kshs.)	Exchequer Issues (Kshs.)	Actual Transfers in the first nine months of FY 2025/26 (Kshs.)	Cumulative Transfers to the Corporation since its inception (Kshs.)
1.	Meru Investment Corporation	22,064,500	18,039,600	18,039,600	268,877,576
2.	Meru Microfinance Corporation	79,933,763	66,864,879	66,864,879	660,109,856
3.	Meru County Revenue Board	397,527,156	281,923,162	281,923,162	1,995,041,418
4.	Agricultural Training Centre-Kaguru	45,000,000	27,598,110	27,598,110	98,955,486
5.	Meru Youth Service	92,000,000	32,159,346	32,159,346	261,959,795
	Total	**636,525,419**	**426,585,097**	**426,585,097**	**3,284,944,131**

Source: Meru *County Treasury*

3.26.11 Expenditure on Domestic and Foreign Travel

Expenditure on domestic travel amounted to Kshs.420.32 million and comprised Kshs.223.95 million spent by the County Assembly and Kshs.196.37 million by the County Executive. Expenditure on foreign

travel amounted to Kshs.95.51 million and comprised Kshs.82.70 million by the County Assembly and Kshs.12.81 million by the County Executive. Expenditure on foreign travel is summarised in Table 3.390

Table 3.390: Summary of Expenditure on Foreign Travel in the first nine months of FY 2025/26

Arm of County Government	No. of Officers Travelled	Dates travelled	Purpose of the travel	Destination	Total Expenditure on Travel (Kshs.)
County Executive	2	7th to 12th December 2025	Cyber & AI Week 2025 Conference in Tel Aviv, Organised by the Israel Economic & Trade Mission at the Israel Embassy and the Israel Ministry of Economy & Industry	Israel	1,634,607
County Executive	2	25th March To 4th April 2026	Facilitation for CECM Sports While accompanying the wheelchair Basketball National Team to Lwanda, Angola	Lwanda Angola	2,016,400
County Executive	2	25th to 29th November 2025	30th East Africa Law Society Conference	Addis Ababa Ethiopia	1,062,728
County Executive	1	4th- 10th October 2025	Visit to Daikin Manufacturing Plant in India	India	56,124
County Assembly	7	28th Aug to 5th Sept 2025	Facilitation to African transformation and Digital Innovation Initiative Conference	Singapore	6,512,557
County Assembly	7	30th Aug to 6th Sept 2025	Facilitation for the East African Regional Conference	Arusha TZ	3,983,140
County Assembly	6	8th to 15th Sept 2025	Facilitation to Leadership and Governance in a Global Context Conference	Dubai	4,732,620
County Assembly	7	4th to 11th Sept 2025	Facilitation of Climate Innovation Training	Dubai	5,476,563
County Assembly	6	6th to 13th Sept 2025	Facilitation to Policy and Innovation Forum	Arusha TZ	3,614,620
County Assembly	6	1st to 7th Oct 2025	Facilitation to the 12th International Conference on Foundations of Computer Science and Technology	Dubai	4,787,837
County Assembly	6	10th to 16th Sept 2025	Facilitation to the International Conference on Internet of Things, Big Data Analysis and Information Technology	Dubai	4,858,170
County Assembly	1	22nd Sept to 1st Oct 2025	Facilitation to Benchmarking at Hawassa Agri-Manufacturing PLC	Ethiopia	473,850
County Assembly	1	21st to 30th Sept 2025	Facilitation to Partnership and training visit to JEKA poultry farm	Uganda	382,850
County Assembly	6	3rd to 9th Sept 2025	Facilitation to Dubai for Database Management Systems 2025 Conference	Dubai	4,872,879
County Assembly	5	8th to 14th Sept 2025	Facilitation to Dubai for the Environmental sustainability and climate change conference	Dubai	4,000,086
County Assembly	5	25th Sept to 2nd Oct 2025	Facilitation of the International Governance and Innovation Conference 2025	Singapore	3,925,750
County Assembly	7	2nd to 9th Oct 2025	Facilitation to Turkey for Tourism, Culture, Exports and Industrialisation Conference	Turkey	6,913,466

Arm of County Government	No. of Officers Travelled	Dates travelled	Purpose of the travel	Destination	Total Expenditure on Travel (Kshs.)
County Assembly	5	2nd to 9th Oct 2025	Facilitation to Transformative leadership, corporate governance and resilience planning masterclass	Tanzania	2,467,950
County Assembly	6	2nd to 9th Oct 2025	Facilitation to Transformative leadership, corporate governance and resilience planning masterclass	Tanzania	2,805,480
County Assembly	3	22nd Oct to 1st Nov 2025	Facilitation of a training on Hospital and health care systems	Germany	2,496,540
County Assembly	1	2nd to 10th Sept 2025	Facilitation to the International Conference on Internet Things, Big Data Analytics	Dubai	758,860
County Assembly	1	9th to 17th Sept 2025	Facilitation to the International Conference on Foundations of Computer Science & Technology	Dubai	659,530
County Assembly	1	26th Dec to 2nd Jan 2026	Facilitation to the World Conference on Soil, Water, Energy, and Air	Malaysia	813,883
County Assembly	1	25th to 30th Dec 2025	Facilitation of the Legislative Capacity Building Conference	South Africa	551,590
County Assembly	1	4th to 8th Feb 2026	Facilitation for the 74th National Prayer Breakfast	USA	638,921
County Assembly	2	13th to 19th Feb 2026	Facilitation to the regional conference on the management of devolved institutions	Tanzania	831,640
County Assembly	6	20th to 27th Oct 2025	Facilitation to County Legislative Leadership Governance & Sustainable Development	Tanzania	2,400,720
County Assembly	5	23rd to 27th Oct 2025	Facilitation to County Legislative Leadership Governance & Sustainable Development	Tanzania	1,807,400
County Assembly	1	6th to 9th Feb 2026	Facilitation to Legislative Oversight & representation in EALA	Tanzania	186,117
County Assembly	2	9th to 16th Feb 2026	Facilitation to Benchmarking on the Management of Hawas Poultry Production	Ethiopia	1,143,300
	Total				**76,866,178**

Source: Meru County Treasury and Meru County Assembly

3.26.12 Facility Improvement Financing

During the review period, the County reported collections of Kshs.848.19 million as FIF, which was 83 per cent of the annual target of Kshs.1.03 billion. The collected amount was retained and utilised at source in line with the Facility Improvement Financing Act, 2023. The County has drafted regulations to operationalise the FIF Act of 2023. The Bill was submitted to the County Assembly for review and approval.

The expenditure by the health facilities amounted to Kshs.855.49 million, as shown in Table 3.391

Table 3.391: Meru County Health Facilities Expenditure Performance in the first nine months of FY 2025/26

No.	Health Facility	Number of Facilities	Approved Budget (Kshs.)	Actual Expenditure (Kshs.)	Absorption rate (%)
1.	Level 5 Hospital	1	615,300,000	452,838,242	74
2.	Level 4 Hospital	3	374,045,534.28	269,704,684	72
3.	Level 3 Facility	12	150,038,096.28	121,119,295	81
4.	Level 2 Facility	11	18,907,438	11,823,205	63
	Total	**27**	**1,158,291,069**	**855,485,426**	**74**

Source: *Meru County Treasury*

3.26.13 Development Expenditure

In the review period, the County reported spending Kshs.3.39 billion on development programmes, representing an increase of 236 per cent compared to FY 2024/25, when the County spent Kshs.1.01 million. Table 3.10 summarises the development projects with the highest expenditure in the reporting period.

The increase in development expenditure was mainly attributed to Accrual reporting.

Table 3.392: Meru County, List of Development Projects with the Highest Expenditure

No	Sector	Project Name	Project Location	Project Commencement Date	Expected date of Completion of the Project	Contract sum (Kshs)	Total Funding in FY 2025/26 (Kshs.)	Expenditure (on an accrual basis) in the first nine months of FY 2025/26 (Kshs.)	Cumulative project expenditure (on an accrual basis) as of 31st March 2026 (Kshs.)	Percentage (%) of Completion
County Funded Projects										
1	Assembly	Purchase and Installation of Hansard System	Municipality, Assembly ground	17/02/2025	30/06/2026	89,134,159	89,134,159	69,460,890	69,950,786	78%
2	Roads Transport & Energy	Road Opening, Grading, Drainage and Gravelling Works of Kangeta – Kautine Rd and Gituene Clvrt Road, Gituene – Maitutu Road	Kangeta ward	24/11/2025	30/6/2026	4,480,000	4,480,000	4,480,000	67,298,650	1502%
3	Roads Transport & Energy	Grading, Road Opening and Drainage Works of Mwiriene Gisunguria Kimuchia Roads in Antubetwe Kiongo Ward	Antubetwe Kiongo Ward	24/11/2025	30/6/2026	2,980,000	2,980,000	2,980,000	43,901,485	1473%
4	Roads Transport & Energy	Road Opening and Grading Works in Karama Ward	Karama	24/11/2025	30/6/2026	2,400,000	2,400,000	2,400,000	42,750,015	1781%
5	Roads Transport & Energy	Road Opening and Grading Works in Athiru Ruujine Ward	Athiru Ruujine Ward	24/11/2025	30/6/2026	2,300,000	2,300,000	2,300,000	39,154,483	1702%
6	Meru - Health Services	Payment for the Supply of a True 64-Slice CT-Scan at Metrh	Imenti North	07/01/2025	30/6/2026	69,950,786	69,950,786	69,950,786	29,999,969	43%

No	Sector	Project Name	Project Location	Project Commencement Date	Expected date of Completion of the Project	Contract sum (Kshs)	Total Funding in FY 2025/26 (Kshs.)	Expenditure (on an accrual basis) in the first nine months of FY 2025/26 (Kshs.)	Cumulative project expenditure (on an accrual basis) as of 31st March 2026 (Kshs.)	Percentage (%) of Completion
7	Lands, Physical Planning, Urban Development & Public Works	Consultancy services on the county spatial plan	Municipality	07/01/2025	30/6/2026	67,298,650	67,298,650	67,298,650	20,915,148	31%
8	Meru - Health Services	Re-tender for the proposed construction of outpatient block at Nyambene sub-county hospital	Maua Ward	30/01/2026	30/06/ 2026	49,885,940	43,901,485	43,901,485	20,000,000	40%
9	Meru - Health Services	Proposed completion of Meru Level 5 Hospital Ward Block	Municipality	30/01/2026	30/06/ 2026	42,750,015	42,750,015	42,256,173	15,000,000	35%
10	Finance, Economic Planning & ICT	Payment To Craft Silicon for Revenue Collection Fees	County-wide	07/01/2025	30/6/2026	39,154,483	39,154,483	39,154,483	15,000,000	38%
Donor Funded Projects										
1	Trade, Tourism & Cooperatives	County Aggregation & Industrial Park	Ruiri Rwarera Ward	15/09/2023	27/2/2026	492,212,810	450,994,676	390,476,174	491,227,076	100%
2	Financing Locally-Led Climate Action (FLOCCA)	Transfer to FLOCCA		07/01/2025	30/6/2026	162,751,025	162,751,025	162,751,025	162,751,025	100%
3	Kenya Urban Support Programme (KUSP)-UDG	Retention for the construction of 10 farm ponds and the installation of solar pumps	Athwana	10/09/2024	15/05/2025	121,688,538	121,688,538	56,808,222	56,808,222	47%
4	Financing Locally-Led Climate Action (FLOCCA)	Provision of rainwater harvesting equipment for the elderly, PLWDs and the marginalized Communities	County Wide			40,000,000	40,000,000	40,000,000	40,000,000	100%
5	National agricultural value chain development project (NAVCDP)	Mass Cattle Vaccination	County wide	07/01/2025	30/6/2026	15,000,000	15,000,000	15,000,000	15,000,000	100%

No	Sector	Project Name	Project Location	Project Commencement Date	Expected date of Completion of the Project	Contract sum (Kshs)	Total Funding in FY 2025/26 (Kshs.)	Expenditure (on an accrual basis) in the first nine months of FY 2025/26 (Kshs.)	Cumulative project expenditure (on an accrual basis) as of 31st March 2026 (Kshs.)	Percentage (%) of Completion
6	National agricultural value chain development project (NAVCDP)	Transfer of funds to Meru Central Dairy Cooperative Union, tranche one, for mass cattle vaccination against FMD	Meru Dairy Union	15/10/2025	01/06/2026	12,928,300	12,928,300	12,928,300	12,928,300	100%
7	Water Irrigation, Environment & Climate Change	Borehole drilling, equipping, pipeline distribution, environmental conservation and climate-smart agriculture	County-wide	07/01/2025	30/6/2026	10,000,000	10,378,866	10,378,866	10,378,866	104%
8	National agricultural value chain development project (NAVCDP)	Transfer of funds for Mt.Kenya East Dairy FPO	Mt. Kenya East Dairy FCS	29/07/2025	01/06/2026	8,202,000	8,202,000	8,202,000	8,202,000	100%
9	Financing Locally-Led Climate Action (FLOCCA)	Purchase of drilling Rig materials, which include drilling rods and hammer				7,849,500	7,849,500	7,849,500	7,849,500	100%
10	Financing Locally-Led Climate Action (FLOCCA)	Provision of clean cooking LPG gas	County Wide			7,000,000	7,000,000	7,000,000	7,000,000	100%

Source: *Meru County Treasury*

The County reported 1 stalled development project as of 31st March 2026, with an estimated value of Kshs.34.74 million, of which Kshs.8.80 million has already been paid. The stalled projects are shown in Table 3.393.

Table 3.393: Meru County Stalled Projects as of 31st March 2026

No	Sector	Project Name	Project Location	Project Commencement Date	Expected Completion Date of the Project	Estimated Value of the Project (Kshs.)	Amount Paid on the stalled project (Kshs.)	Accrued Expenditure on the stalled project (Kshs.)	Outstanding Unpaid Balance As of 31st March 2026	Percentage of Completion before stalling of the Project
1	Assembly	Construction of the Speaker's official Residence	Nyaki West Ward, Kithoka	21 February 2022	31 December 2025	34,739,340	18,798,830	-	15,940,510	46%

Source: Meru County Treasury

The stalling of the project was attributed to the Contractor terminating the contract due to breach of contract. The County Assembly is in the process of retendering the project.

3.26.14 Budget Performance by Department

Table 3.394 summarises the approved budget allocation, expenditure, and absorption rate by department for the period under review.

Table 3.394: Meru County, Budget Allocation and Absorption Rate by Department in the first nine months of FY 2025/26

Department	Revised Budget Allocation (Kshs.Million)		Exchequer Received (Kshs.Million)		Expenditure (Kshs. Million)		Expenditure to Exchequer (%)		Absorption rate (%)	
	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev
County Assembly	1,063.23	130.27	828.01	71.46	875.38	71.46	106	100	82	55
Office of the Governor	187.91	-	130.15	-	165.30	-	127	-	88	-
Finance, Economic Planning and ICT	1,145.74	325.58	764.62	145.83	817.96	292.60	107	201	71	90
Agriculture, Livestock & Fishery	65.12	587.49	36.94	290.62	51.94	392.65	141	135	80	67
Water & Irrigation	67.77	1,064.26	47.54	404.03	66.73	575.16	140	142	98	54
Education, Technology, Gender, Culture & Social Development	252.03	171.08	56.57	31.99	128.53	160.10	227	501	51	94
Health Services	966.90	947.20	215.33	97.00	800.90	384.35	372	396	83	41
Lands, Physical Planning, Urban Development & Public Works	136.77	783.71	94.23	88.35	123.85	186.65	131	211	91	24
Public Service Administration & Legal Affairs	5,395.99	425.90	3,968.51	29.67	4,149.03	35.27	105	119	77	8
Roads, Transport & Energy	86.50	1,527.47	56.57	544.93	72.80	1,050.66	129	193	84	69
Trade, Investment, Industrialisation, Tourism & Co-op Development	27.74	199.00	14.08	46.97	21.63	187.37	154	399	78	94
Youth Affairs & Sports	351.85	62.59	127.06	10.44	246.36	54.33	194	521	70	87
County Public Service Board	46.71	-	23.22	-	41.87	-	180	-	90	-
TOTAL	**9794.27**	**6224.56**	**6362.83**	**1761.28**	**7562.27**	**3390.60**	**119**	**193**	**77**	**54**

***Source**: Meru County Treasury*

Analysis of expenditure by departments shows that the Departments of Education, Technology, Gender, Culture & Social Development and Trade, Investment, Industrialisation, Tourism & Co-op Development recorded the highest absorption rate of development budget at 94 per cent, followed by the Department of Finance, Economic Planning and ICT at 90 per cent. The Department of Water & Irrigation had the highest percentage of recurrent expenditure to budget at 98 per cent, while the Department of Education, Technology, Gender, Culture & Social Development had the lowest at 51 per cent.

3.26.15 Budget Execution by Programmes and Sub-Programmes

Budget execution was concentrated in selected performance bands. In the 1–10 per cent band, development absorption was reported at 0 per cent for the Meru County Revenue Board under the Department of Finance, Economic Planning and ICT and for human resource under the Department of Public Service Ad-

ministration and Legal Affairs, and at 5 per cent for Meru Town Municipality under the Department of Lands, Physical Planning, Urban Development and Public Works.

In the 11–20 per cent band, development absorption was reported for Maua Municipality at 11 per cent and fisheries under the Department of Agriculture, Livestock and Fishery at 13 per cent, while recurrent absorption was recorded for administration services under the Department of Education, Technology, Gender, Culture and Social Development at 11 per cent. In the 21–30 per cent band, recurrent absorption was reported for the Meru Youth Service under the Department of Youth Affairs and Sports at 30 per cent.

In the 51–60 per cent band, recurrent absorption was reported for the County Asset and Liabilities Unit under the Department of Finance, Economic Planning and ICT at 51 per cent, for ambulance services under the Department of Health Services at 51 per cent, and for general administration support and planning under the Department of Health Services at 54 per cent.

In the 90–100 per cent band, development absorption reached 100 per cent for ICT development, animal disease management, lands and housing, public works, library services, and tourism, while recurrent absorption reached 100 per cent for governor's press, administration services, Ng'arisha Mtaa, and noise pollution, and 99 per cent for efficiency monitoring under the Office of the Governor.

Low absorption in the lower performance bands was reflected in the nil and single-digit absorption recorded by the Meru County Revenue Board, human resource, and the town municipalities, alongside slow recurrent implementation in education administration and youth services. Conversely, performance in the 90–100 per cent band reflected prudent budget implementation and the prioritization of the respective sub-Programmes during the review period.

Table 3.395 summarises budget execution by programmes and sub-programmes in the period under review with the highest absorption rates.

Table 3.395: Budget Execution by Programmes and Sub-Programmes with Highest Absorption Rates

Programme	Sub-Programme	Gross Approved Estimates FY 2025/26 (Kshs.)	Expenditure (including accrued expenditure) as of 31st March 2026 (Kshs.)	Absorption Rate (%)
DEVELOPMENT				
Finance, Economic Planning and ICT				
ICT Development	ICT Development	7,000,000	7,000,000	100
Agriculture, Livestock & Fishery				
Animal Disease Management	Animal Disease Management	18,200,000	18,200,000	100
Lands, Physical Planning, Urban Development & Public Works				
Lands & Housing	Lands & Housing	9,418,574	9,418,574	100
Public Works	Public Works	6,200,000	6,199,000	100
Education, Technology, Gender, Culture & Social Development				
Library Services	Library Services	10,000,000	9,986,777	100
Trade, Investment, Industrialisation, Tourism & Co-op Development				
Tourism	Tourism	9,000,000	8,972,921	100
RECURRENT				
Office of the Governor				
Governors Press	Governors Press	27,150,000	27,136,635	100
Finance, Economic Planning and ICT				
Administration Services	Administration Services	16,451,002	16,436,200	100

Programme	Sub-Programme	Gross Approved Estimates FY 2025/26 (Kshs.)	Expenditure (including accrued expenditure) as of 31st March 2026 (Kshs.)	Absorption Rate (%)
Water & Irrigation				
Ng'arisha Mtaa	Ng'arisha Mtaa	9,600,000	9,582,030	100
Noise pollution	Noise pollution	39,615,132	39,467,576	100
Office of the Governor				
P3. Efficiency Monitoring	Efficiency Monitoring	12,250,000	12,143,367	99

Source: *Meru County Treasury*

The development sub-programmes with the highest budget implementation rates were: ICT Development in the Department of Finance, Economic Planning and ICT at 100 per cent, Animal Disease Management in the Department of Agriculture, Livestock & Fishery at 100 per cent, Lands & Housing in the Department of Lands, Physical Planning, Urban Development & Public Works at 100 per cent, and Public Works at 100 per cent.

For recurrent sub-programmes, the top performers included: Governors Press in the Department of the Office of the Governor at 100 per cent; Administration Services in the Department of Finance, Economic Planning and ICT at 100 per cent; and Ng'arisha Mtaa in the Department of Water & Irrigation at 100 per cent.

Table 3.396 summarises the budget execution by programmes and sub-programmes in the period under review that had the lowest absorption rates.

Table 3.396: Budget Execution by Programmes and Sub-Programmes with Lowest Absorption Rates

Programme	Sub-Programme	Gross Approved Estimates FY 2025/26 (Kshs.)	Expenditure (including accrued expenditure) as of 31st March 2026 (Kshs.)	Absorption Rate (%)
DEVELOPMENT				
Finance, Economic Planning and ICT				
Meru County Revenue Board	Meru County Revenue Board	4,200,000	-	0
Public Service Administration & Legal Affairs				
Human Resource	Human Resource	367,500,000	-	0
Lands, Physical Planning, Urban Development & Public Works				
Meru Town Municipality	Meru Town Municipality	265,377,690	14,525,232	5
Maua Municipality	Maua Municipality	117,656,435	12,997,346	11
Agriculture, Livestock & Fishery				
Fisheries	Fisheries	39,225,903	4,974,312	13
RECURRENT				
Education, Technology, Gender, Culture & Social Development				
Administration Services	Administration Services	109,701,000	12,281,591	11
Youth Affairs & Sports				
Meru Youth Service	Meru Youth Service	85,000,000	25,306,425	30
Finance, Economic Planning and ICT				
County Asset & Liabilities Unit	County Asset & Liabilities Unit	13,200,000	6,715,630	51

Programme	Sub-Programme	Gross Approved Estimates FY 2025/26 (Kshs.)	Expenditure (including accrued expenditure) as of 31st March 2026 (Kshs.)	Absorption Rate (%)
Health Services				
Ambulance Services	Ambulance Services	7,850,000	4,015,800	51
Health Services				
General Administration Support and Planning	General Administration Support and Planning	21,097,384	11,389,670	54

***Source**: Meru County Treasury*

The development sub-programmes with the lowest budget implementation rates were as follows: Meru County Revenue Board in the Department of Finance, Economic Planning and ICT at 0 per cent, Human Resource in the Department of Public Service Administration & Legal Affairs at 0 per cent, and Meru Town Municipality in the Department of Lands, Physical Planning, Urban Development & Public Works at 5 per cent.

For recurrent sub-programmes, the poorest performers included: Administration Services in the Department of Education, Technology, Gender, Culture & Social Development at 11 per cent, and Meru Youth Service in the Department of Youth Affairs & Sports at 30 per cent.

3.26.16 Settlement of Trade Payables

As of 1st July 2025, the County reported trade payables totalling Kshs.1.85 billion. This amount consisted of Kshs.1.79 billion from the County Executive and Kshs.60.06 million from the County Assembly. The trade payables from the County Executive comprised Kshs.995.63 million for recurrent expenditure and Kshs.792.60 million for development expenditure.

During the reporting period, the County Executive settled trade payables amounting to Kshs.1.16 billion, comprising Kshs.680.20 million (59 per cent) for recurrent programmes and Kshs.480.68 million (41 per cent) for development programmes. On the other hand, the County Assembly settled trade payables amounting to Kshs.60.06 million, comprising Kshs.60.06 million (100 per cent) for recurrent activities. The outstanding trade payables as of 31st March 2026 were Kshs.627.34 million for the County Executive and Kshs.0 for County Assembly. Table 3.397 provides additional details of trade payables.

Table 3.397: Meru County Trade Payables as of 31st March 2026

		County Entity	Development (Kshs.)	Recurrent (Kshs.)	Total (Kshs.)
As at 1 July 2025 (End of FY 2024/25)	a	County Executive	792,601,182	995,628,807	1,788,229,988
		County Assembly	-	60,061,642	60,061,642
		Total	792,601,182	1,055,690,449	1,848,291,630
Trade payables scheduled to be settled in the first nine months of FY 2025/26 per the action plan	b	County Executive	681,174,797	790,093,854	1,471,268,652
		County Assembly	-	60,061,642	60,061,642
		Total	681,174,797	850,155,496	1,531,330,294
Amount paid in FY 2025/26	c	County Executive	480,682,052	680,203,932	1,160,885,984
Amount paid in the first nine months of FY 2025/26		County Assembly	-	60,061,642	60,061,642
		Total	480,682,052	740,265,574	1,220,947,626
Trade Payables Incurred in the First Nine Months of FY 2025/26	d	County Executive			-
		County Assembly			-
		Total	-	-	-

		County Entity	Development (Kshs.)	Recurrent (Kshs.)	Total (Kshs.)
Outstanding trade payables as of 31st March 2026	e=a-c*b	County Executive	311,919,130	315,424,875	627,344,004
		County Assembly	-	-	-
		Total	311,919,130	315,424,875	627,344,004

Source: *Meru County Treasury*

The County Executive and the Assembly submitted a trade payables payment plan, committing to pay Kshs.851.66 million and Kshs.682.87 million on recurrent and development expenditure, respectively, in FY 2025/26. The County did not adhere to this payment plan, as it cleared Kshs.1.16 billion for the Executive and Kshs.60.06 million for the Assembly.

Table 3.398 present the ageing of the total outstanding bills as of 31st March 2026 for the County Executive, which were Kshs.627.34 million.

Table 3.398: Meru County Executive Trade Payables Ageing Analysis as of 31st March 2026

Category	Ageing analysis (Amount in Kshs.)				Total
	Under one year	1-2 years	2-3 years	Over 3 years	
Development Trade payables	**146,265,960**	**73,914,118**	**59,328,017**	**32,411,035**	**311,919,130**
Recurrent Trade payables (Goods & Services)	213,205,372	49,070,470	47,527,395	2,640,338	**312,443,575**
Recurrent Trade payables (Salary Arrears and Statutory Deductions)	-	-			**-**
Recurrent Trade payables (Staff Claims)	2,981,300				**2,981,300**
Total Recurrent Trade payables	**216,186,672**	**49,070,470**	**47,527,395**	**2,640,338**	**315,424,875**
Total Trade payables	**362,452,631**	**122,984,589**	**106,855,412**	**35,051,373**	**627,344,004**
% of Total	**58%**	**20%**	**17%**	**6%**	**100%**

Source: *Meru County Treasury*

Table 3.398 indicates that 58 per cent of total trade payables are aged under one year, while 20 per cent are aged between one and two years. 23 per cent of the trade payables are aged over 2 years. The trend has not been explained.

The County did not adhere to the Trade Payables Action plan. The County Treasury is advised to pay the Trade Payables on the First in First Out (FIFO) basis and ensure compliance with the Trade Payables Action plan submitted to the CoB at the beginning of the financial year.

3.26.17 General Observations and Recommendations

In the course of overseeing and reporting on the implementation of the Meru County budget, the CoB identified the following challenges, which hampered effective budget implementation;

i. The County Treasury's late submission of financial reports to the Controller of Budget affected the timely preparation of the budget implementation report, which was received from 16th April to 4th May 2026.
ii. High levels of revenue receivables, where the County reported receivables of Kshs.830.93 million as of 31st March 2026.
iii. Low development performance in the review period as the County incurred Kshs.3.39 billion on development activities, achieving a 54 per cent absorption rate.
iv. Fund Administrators failed to submit quarterly financial and non-financial reports to the CoB within the timelines provided by law, which is against the requirement of Section 168 of the PFM Act, 2012. The reports for the Meru County Retention and Enhancement Fund were not submitted to

the CoB as of 15 April 2026.

v. High level of trade payables, which amounted to Kshs.627.34 million as of 31st March 2026. Furthermore, the County Treasury did not adhere to the trade payables payment plan.
vi. The county failed to submit quarterly financial and non-financial reports to the CoB for the Meru County Acholic Drinks Control Board, whose funds are spent at source.
vii. The County reported Kshs.137.62 million under "*other operating expenses-other"* accounting for 4 per cent of total operation and maintenance costs.

The County should implement the following recommendations to improve budget execution:

i. *The County Treasury should ensure the timely preparation and submission of financial reports to the Controller of Budget per the timelines prescribed in Section 166 of the PFM Act, 2012.*
ii. *The County should enforce measures to recover the receivables as this will improve the County's cash flow.*
iii. *The County should implement strategies to increase development expenditures in FY 2025/26.*
iv. *The CECMF should follow up to ensure Fund Administrators prepare and submit statutory reports in line with the PFM Act, 2012.*
v. *The County Leadership should address the situation of trade payables to ensure that genuine bills are paid promptly in the remaining financial year. Further, compliance with the Trade Payables Action Plan should be enforced.*
vi. *The CECMF should follow up to ensure the Meru County Acholic Drinks Control Board prepare and submits statutory reports in line with the PFM Act, 2012*
vii. *The County Treasury should adhere to the approved budget classification framework by ensuring that all expenditures are recorded under their specific budget codes rather than being aggregated under the "Other Operating Expenses" category.*

3.27. County Government of Migori

3.27.1 Overview of FY 2025/26 Budget

The Migori County Approved Supplementary Budget for FY 2025/26 is Kshs.11.78 billion. It comprises Kshs.4.33 billion (37 per cent) and Kshs.7.45 billion (63 per cent) allocation for development and recurrent programmes, respectively. The budget estimates represent an increase of Kshs.90.04 million (1 per cent) from the FY 2024/25 budget, which comprised a development budget of Kshs.4.28 billion and a recurrent budget of Kshs.7.41 billion. The slight increase in the budget was primarily attributed to the unspent cash balances brought forward from FY 2024/25 and increased projection in own source revenue target.

The budget is to be financed from various revenue sources. These include the equitable share of revenue raised nationally of Kshs.8.88 billion (75 per cent), additional allocations of Kshs.1.92 billion (17 per cent), a cash balance brought forward from FY 2024/25 of Kshs.105 million (1 per cent) and Kshs.882 million (7 per cent) generated as own-source revenue. A breakdown of the additional allocations is shown in Table 3.399

3.27.2 Revenue Performance

During the first nine months of FY 2025/26, the County reported total revenues amounting to Kshs.7.39 billion. This amount represented an increase of 2 per cent compared to the amount received in a similar period in FY 2024/25 of Kshs.7.21 billion. The total revenue consisted of Kshs.5.91 billion from the equitable share of revenue raised nationally, additional allocations from the national government and development partners of Kshs.776.40 million and own-source revenue (OSR) collection of Kshs.596.46 million. Additionally, the County had a cash balance of Kshs.105 million from FY 2024/25. The total OSR collection of Kshs.596.46 million included Facilities Improvement Financing (FIF) of Kshs.388.11 million, and Kshs.208.36 million from other OSR sources Table 3.399 summarises the total revenue available to the County Government during FY 2025/26.

Table 3.399: Migori County, Revenue Performance in the first nine months of FY 2025/26

No	Revenue Stream	Annual Targeted Revenue (Kshs.)	Actual Receipts (Kshs.)	Receivables in the first nine months of FY 2025/26 (Kshs.)	Total Revenues (in accrual basis) in the first nine months of FY 2025/26 (Kshs.)	Revenue Performance
		A	B	C	D=(b+c)	F=D/A*100
A	**Unspent Balance from FY 2023/24**					
1	Balance at CRF	104,067,038	104,067,038	-	104,067,038	100
2	County Executive Refunds to CRF	-	777,409	-	777,409	0
3	County Assembly Refunds to CRF	-	155,086	-	155,086	0
	Sub-Total	**104,067,038**	**104,999,533**	**-**	**104,999,533**	**101**
B	**Equitable Share of Revenue Raised Nationally**					
1	Equitable Share of Revenue Transfers	8,883,939,719	5,907,819,912	-	5,907,819,912	66
	Sub-Total	**8,883,939,719**	**5,907,819,912**	**-**	**5,907,819,912**	**66**
C	**Additional Allocations (Including Grants)**					
1	**Unconditional Additional Allocations to County Governments**					
a	Allocations for Court Fines	559,346	559,346	-	559,346	100
b	Allocations for 20% Share of Mineral Royalties	3,125,408	3,125,408	-	3,125,408	100
2	**Conditional Additional Allocations from the National Government's**					
a	Rehabilitation of village polytechnics balances B/FWD	23,650	23,650	-	23,650	100
b	Road Maintenance Fuel Levy Balances B/FWD	681,917	681,917	-	681,917	100
c	Alcohol Fund Balances B/FWD	1,407,309	1,407,309	-	1,407,309	100
d	Allocations for 0.5 % of the Housing Levy Fund to the County Rural and Urban Affordable Housing Committees	1,987,622	-	-	-	0
e	Settlement of Doctors' Salary Arrears	27,687,815	-	-	-	0
f	Road Maintenance Fuel Levy	56,919,675	56,919,675	-	56,919,675	100
g	Community Health Promoters (CHPs) Programme	88,380,000	-	-	-	0
h	Leasing of Medical Equipment	124,723,404	-	-	-	0
i	Fertilizer Subsidy	144,621,807	-	-	-	0
3	**Conditional Allocations from Loans and Grants**					
1	KABDP MOA&LD (GoK)	1,000,000	-	-	-	0

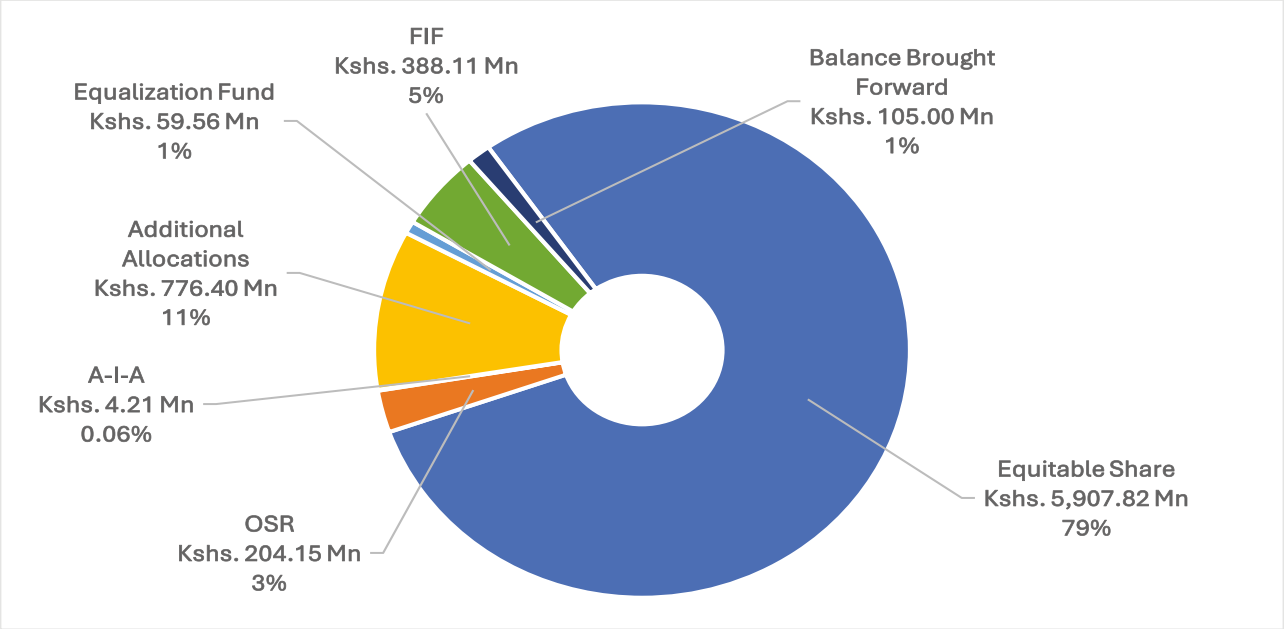
No	Revenue Stream	Annual Targeted Revenue (Kshs.)	Actual Receipts (Kshs.)	Receivables in the first nine months of FY 2025/26 (Kshs.)	Total Revenues (in accrual basis) in the first nine months of FY 2025/26 (Kshs.)	Revenue Performance
		A	B	C	D=(b+c)	F=D/A*100
2	Sweden - Agricultural Sector Development Support Programme (ASDSP) II	1,120,452	-	-	-	0
3	Kenya Devolution Support Program II Balances B/FWD	3,004,400	3,004,400	-	3,004,400	100
4	EU Grant for Instrument for Devolution Advice and Support (IDEAS)	5,706,628	-	-	-	0
5	DANIDA balances B/FWD	10,432,500	10,432,500	-	10,432,500	100
6	Primary Health Care in Devolved Context (PHDC) Programme	10,914,000	-	-	-	0
7	KABDP SIDA	10,918,919	-	-	-	0
8	Financing of FLLoCA County Climate Institutional Support (CCIS) Grant	11,000,000	11,000,000	-	11,000,000	100
9	DANIDA Grant (Universal Healthcare in Devolved System Program) Balance from FY 2023/24	12,358,500	-	-	-	0
10	(IFAD) Loan for the Aquaculture Business Development Project (ABDP)	12,788,888	-	-	-	0
11	Livestock Value Chain Support Project	14,323,680	-	-	-	0
12	DANIDA Grant (Universal Healthcare in Devolved System Program) to L1, L2 and L3 (40%)	15,247,500	10,432,500	-	10,432,500	68
13	FLLOCA Balances B/FWD	18,139,281	18,139,281	-	18,139,281	100
14	Grant from National Government - Industrial Park (County Aggregation and Industrial Parks (CAIPs) Programme balances B/FWD	18,789,793	18,789,793	-	18,789,793	100
15	Kenya Urban Support Project balances B/FWD	32,309,300	32,309,300	-	32,309,300	100
16	Kenya Urban Project (KUSP)-Urban Institutional Grant (IUG)	35,000,000	-	-	-	0
17	National Agricultural Value Chain Development Project (NAVCDP)balances BFWD	83,053,709	83,053,709	-	83,053,709	100
18	Kenya Urban Project (KUSP)-Urban Development Grant (UDG)	104,581,008	132,111,498	-	132,111,498	126
22	Kenya Water, Sanitation and Hygiene (K-WASH) Programme	199,874,000	-	-	-	0

No	Revenue Stream	Annual Targeted Revenue (Kshs.)	Actual Receipts (Kshs.)	Receivables in the first nine months of FY 2025/26 (Kshs.)	Total Revenues (in accrual basis) in the first nine months of FY 2025/26 (Kshs.)	Revenue Performance
		A	B	C	D=(b+c)	F=D/A*100
23	Financing of FLLoCA County Climate Resilience Investment (CCRI) Grant	200,000,000	217,226,432	-	217,226,432	109
24	National Agricultural Value Chain Development Project (NAVCDP)	231,250,000	141,925,260	-	141,925,260	61
25	Kenya Devolution Support Programme Phase Two (KDSP II) Level 2 Grant	425,409,500	35,253,471	-	35,253,471	8
	Sub-Total	**1,907,340,011**	**776,395,449**	**-**	**776,395,449**	**41**
D	**Ordinary Own Source Revenue (OSR)**					
1	Single Business Permit	158,687,460	43,546,650	-	43,546,650	27
2	Bus park Fees	47,437,737	20,362,220	-	20,362,220	43
3	Market Dues	51,708,085	19,181,320	-	19,181,320	37
4	Distribution Permits	21,381,538	17,309,500	-	17,309,500	81
5	Sugar Cane Cess	27,000,176	16,855,365	-	16,855,365	62
6	Other revenue streams	91,260,008	16,437,980		16,437,980	18
7	Maize/Rice Cess	15,913,658	13,694,236	-	13,694,236	86
8	Cattle Auction/Slaughter Fees	25,461,874	10,439,234	-	10,439,234	41
9	Taxi/Car parkin	9,760,303	9,422,094	-	9,422,094	97
10	Billboards	19,087,101	9,042,000	-	9,042,000	47
11	Sand/Stone Cess	12,730,885	7,291,130	-	7,291,130	57
12	Tobacco Cess	12,730,885	6,723,419	-	6,723,419	53
13	Public Works Building Plan	8,487,256	5,174,457	-	5,174,457	61
14	Lands Physical Planning	13,270,633	4,868,180	-	4,868,180	37
15	Rent and Rates	10,082,401	3,802,214	-	3,802,214	38
	Sub-Total	**525,000,000**	**204,149,999**	**-**	**204,149,999**	**39**
E	**Facility Improvement Financing (FIF)**					
1	Public Health & Sanitation	25,000,000	105,384,785	-	105,384,785	422
3	SHIF-Medical Services	325,000,000	282,720,925	-	282,720,925	87
	Sub-Total	**350,000,000**	**388,105,710**	**-**	**388,105,710**	**111**
F	**Appropriations in Aid**					
1	Liquor Licences & Permits	7,000,000	4,208,100	-	4,208,100	60
	Sub-Total	**7,000,000**	**4,208,100**	**-**	**4,208,100**	**60**
Total		**11,777,346,768**	**7,445,241,264**	**-**	**7,445,241,264**	**63**

Source: *Migori County Treasury*

Figure 3.157 provides a detailed breakdown of receipts.

Figure 3.157: Migori County Composition of Revenue in the first nine months of FY 2025/26

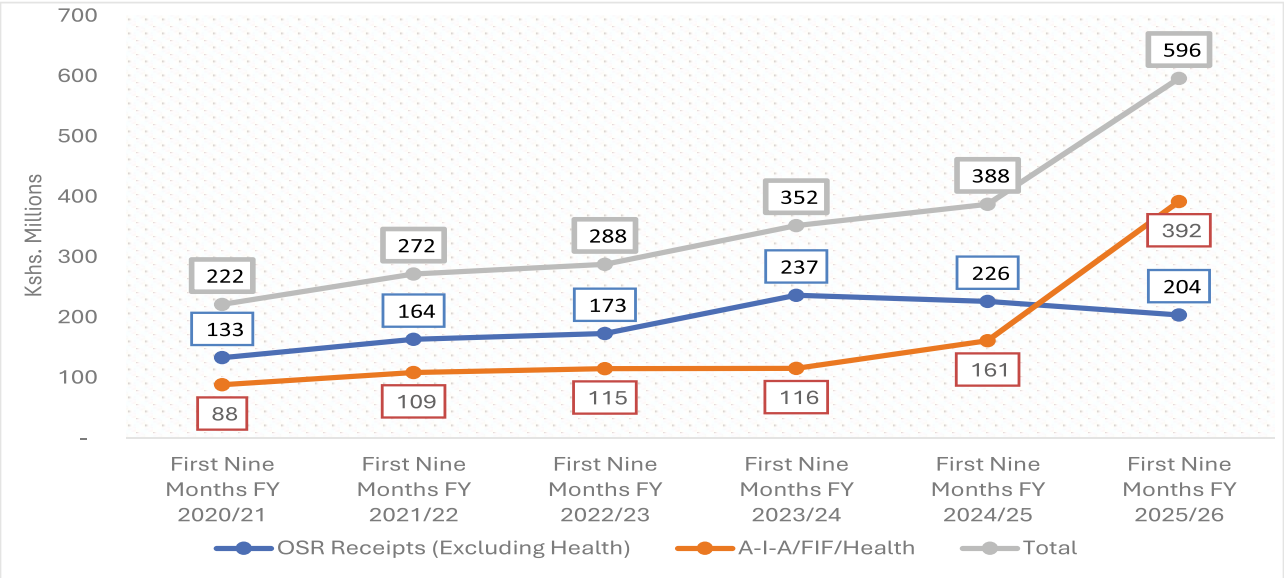


Source: *Migori County Treasury*

The equitable share of revenue raised nationally, additional allocations and FIF contributed 79 per cent, 11 per cent and 5 per cent, respectively, of the total receipts for the reporting period.

Figure 3.158 shows the collection trend in own-source revenue from the first nine months of FY 2020/21 to the first nine months of FY 2025/26.

Figure 3.158: Migori County Trend in Own-Source Revenue Collection from the first nine months of FY 2020/21 to the first nine months of FY 2025/26



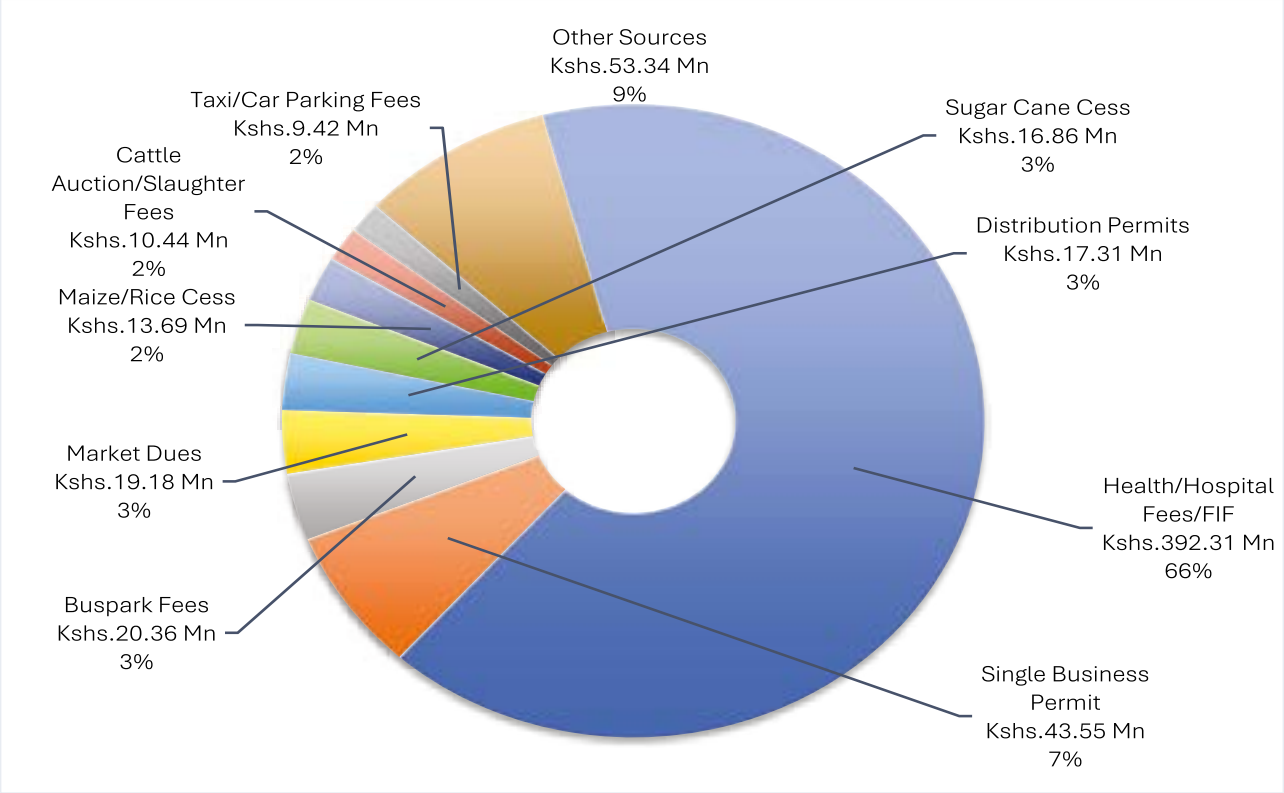
Source: *Migori County Treasury*

During the first nine months of FY 2025/26, the County received Kshs.596.46 million from OSR, including FIF. This amount was an increase of 54 per cent compared to Kshs.387.83 million realised in a similar period in FY 2024/25, and was 68 per cent of the annual target and 10 per cent of the equitable revenue share disbursed.

The increase is largely attributed to the automation of F.I.F revenue streams under Taifa Care System and enhanced reimbursements from the Social Health Authority (SHA)

The revenue streams that contributed the most to OSR receipts are shown in Figure 3.159.

Figure 3.159: Migori County Top Own Source Revenue Streams in the first nine months of FY 2025/26



***Source**: Migori County Treasury*

As shown in Figure 3.159 , the largest revenue stream, at Kshs.392.31 million, was Health FIF accounting for 66 per cent of total OSR receipts. The County Government indicated that it has automated 12 of its 40 revenue streams. The system utilised for FIF revenue collection is Taifa Care, which has been in use since November, 2025.

3.27.3 Revenue Receivables

As of 1st July 2025, the County reported receivables of Kshs.466.77 million, which has remained uncollectible as of 31st March, 2026. The County currently manages its revenue generally using the County Integrated Financial Management Operation System (CIFOMS) with an accrual and cash basis optionTable 3.400 presents a breakdown of the County's receivables.

Table 3.400: Migori County Receivables as of 31st March 2026

No	Revenue Stream	Receivables as of 1 July 2025 (Kshs.)	Progress made in First Nine Months of FY 2025/26			Receivables as of 31st March, 2026 (Kshs.)
			Waivers (Kshs)	Receivables paid in the financial year (Kshs)	Receivables earned in First Nine Months of FY 2025/26 (Kshs)	
		a	b	c	d	f=a-b-c+d
A	**Ordinary Own Sources of Revenue**					
1	Cess	88,471,714	-	-	-	88,471,714
2	Land Rates	38,569,357	-	-	-	38,569,357
3	Single Business Permit	143,131,760	-	-	-	143,131,760
4	Advertising	11,177,358	-	-	-	**11,177,358**

No	Revenue Stream	Receivables as of 1 July 2025 (Kshs.)	Progress made in First Nine Months of FY 2025/26			Receivables as of 31st March, 2026 (Kshs.)
			Waivers (Kshs)	Receivables paid in the financial year (Kshs)	Receivables earned in First Nine Months of FY 2025/26 (Kshs)	
	Sub-Total	**281,350,189**	**-**	**-**	**-**	**281,350,189**
B	**Facility Improvement Financing (FIF)**					
1	SHIF	10,127,858	-	-	-	10,127,858
2	Defunct NHIF	175,293,172	-	-	-	175,293,172
	Sub-Total	**185,421,030**	**-**	**-**	**-**	**185,421,030**
Total		**466,771,219**	**-**	**-**	**-**	**466,771,219**

Source: Migori *County Treasury*

As of 31st March, 2026, the receivables totalled to Kshs.466.77 million, comprising of Kshs.281.35 million (60 per cent) for ordinary own source revenues and Kshs.185.42 million (40 per cent) for Facility Improvement Financing (FIF streams). The measures instituted by the County to recover the outstanding arrears in FY 2025/26 included liaising with the Social Health Authority (SHA), enforcing county laws, and imposing stiffer penalties on defaulters.

3.27.4 Borrowing by the County

The two arms of the County Government of Migori did not report any credit facility or short-term borrowing with any commercial bank during the first nine-month period.

3.27.5 Withdrawals from the County Revenue Fund and County Assembly Fund

During the reporting period, the Controller of Budget approved exchequer withdrawal requests totalling Kshs.5.62 billion from the Migori County Revenue Fund (CRF) account. This amount consisted of Kshs.1.07 billion (19 per cent) designated for development programs and Kshs.4.55 billion (81 per cent) allocated for recurrent programs.

An analysis of the released recurrent exchequers shows that Kshs.2.77 billion was allocated to employee compensation and Kshs1.78 billion to operations and maintenance expenditures. Within the operations and maintenance category, 5 per cent was for domestic travel and less than 1 per cent for foreign travel. The domestic travel exchequers totalled Kshs.254.97 million, which included Kshs.49.70 million for the County Executive and Kshs.205.27 million for the County Assembly. Meanwhile, the foreign travel exchequers amounted to Kshs.17.01 million, with Kshs.15.35 million for the County Executive and Kshs.1.66 million for the County Assembly as per the OCoB exchequer records.

As of 31st March 2026, the County Government's cash balance in the Migori County CRF account was Kshs.980.34 million.

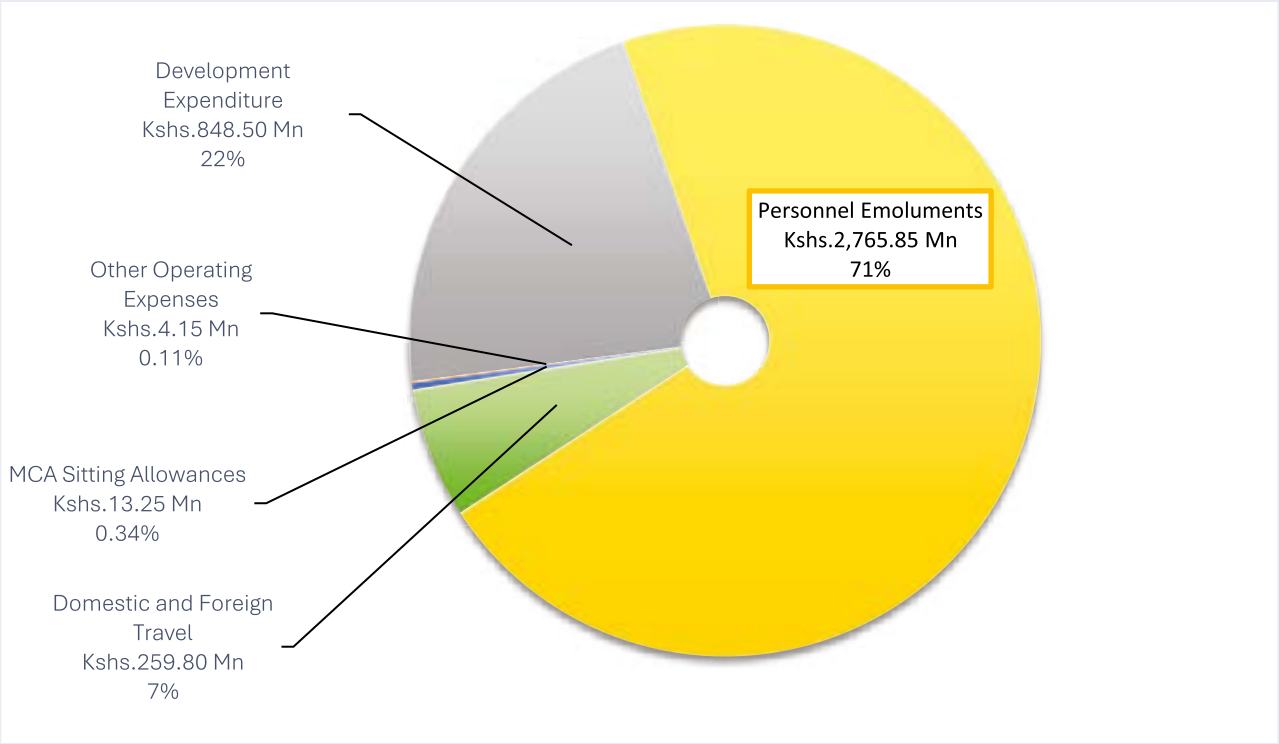
The County Assembly has not operationalised the County Assembly fund (CAF) as provided in the County Public Finance (Amendment), 2023.

3.27.6 Expenditure Review

The County spent Kshs.5.61 billion on development and recurrent programmes during the reporting period. The expenditure represented 100 per cent of the total funds released by the CoB. It comprised Kshs.848.50 million for development programmes and Kshs.4.76 billion for recurrent programmes. Expenditure on development programmes accounted for 20 per cent of the annual development expenditure budget, while recurrent expenditure accounted for 64 per cent of the annual recurrent expenditure budget.

Figure 3.160 provides a detailed breakdown of total expenditure.

Figure 3.160: Migori County Composition of Expenditure in the first nine months of FY 2025/2



Source: *Migori County Treasury*

As shown in Figure 3.160, the three highest expenditure categories were personnel emoluments, Development expenditure, domestic and foreign travel and MCAs sitting allowances, contributing 71, 22, 7 and less than 1 per cent respectively of total expenditure for the reporting period.

3.27.7 Expenditure by Economic Classification

The County Executive incurred Kshs.2.45 billion in employee compensation, Kshs.1.67 billion in operations and maintenance, and Kshs.829.08 million in development activities. Similarly, the County Assembly spent Kshs.318.83 million on compensation of employees, Kshs.325.47 million on operations and maintenance, and Kshs.19.41 million on development activities, as shown inTable 3.401 .

Table 3.401: Migori County Summary of Budget and Expenditure by Economic Classification

Expenditure Classification	Approved Budget (Kshs.) (a)		Amount Paid in the First Nine Months of FY 2025/26 (Kshs.) (b)		Total Expenditure in the First Nine Months of FY 2025/26 (Kshs.) (d=b+c)		Absorption (%) (d/a*100)	
	Executive	Assembly	Executive	Assembly	Executive	Assembly	Executive	Assembly
Total Recurrent Expenditure	**6,494,737,689**	**954,871,760**	**4,113,022,338**	**644,293,783**	**4,113,022,338**	**644,293,783**	**63**	**67**
Compensation of Employees	3,292,934,842	468,817,453	2,447,021,116	318,826,357	2,447,021,116	318,826,357	74	68
Operations and Maintenance	3,201,802,847	486,054,307	1,666,001,222	325,467,426	1,666,001,222	325,467,426	52	67
Development Expenditure	**4,277,737,318**	**50,000,000**	**829,082,740**	**19,414,648**	829,082,740	19,414,648	19	39
Total	**10,772,475,007**	**1,004,871,760**	**4,942,105,078**	**663,708,431**	**4,942,105,078**	**663,708,431**	**46**	**66**

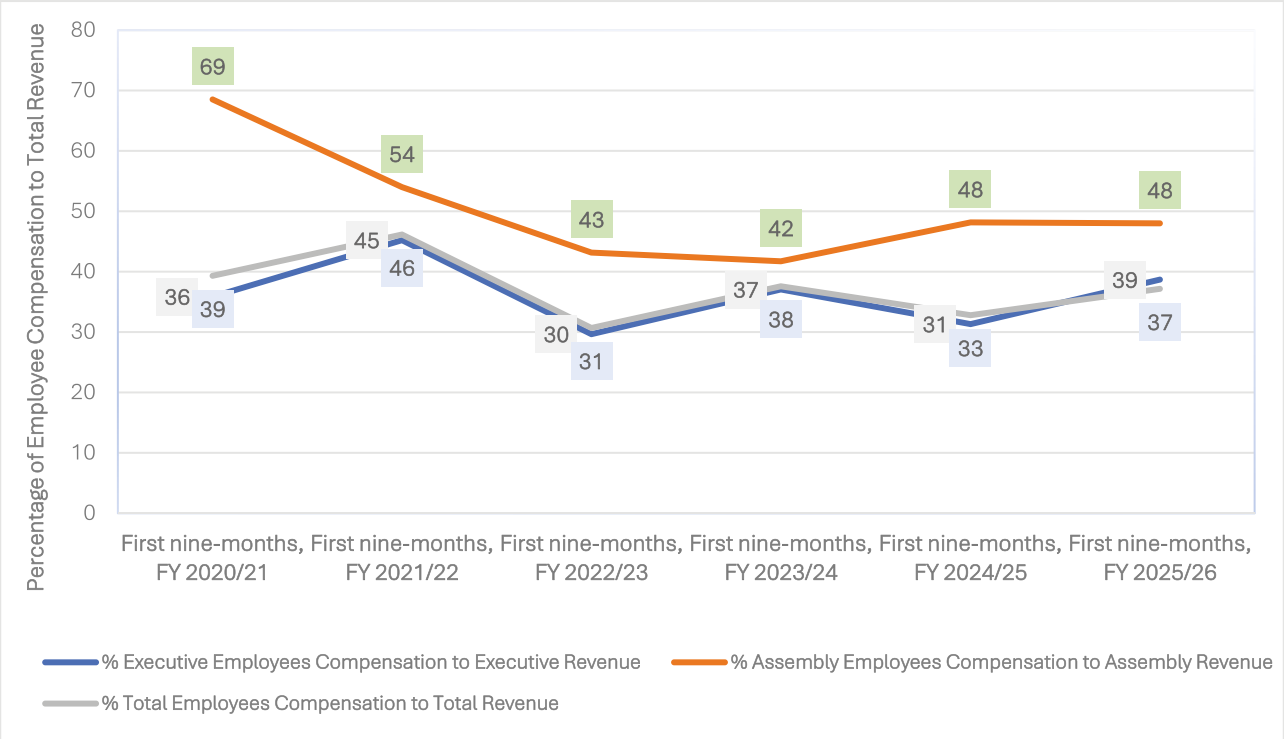
***Source**: Migori County Treasury*

3.27.8 Expenditure on Employee Compensation

The expenditure on employee compensation totalled Kshs.2.77 billion, representing 37 per cent of revenue. This expenditure on employee compensation shows an increase of 17 per cent compared to the Kshs.2.37 billion reported in a similar period in FY 2024/25. Of this total, Kshs.1.11 billion related to Health Sector employees, accounting for 40 per cent of the overall employees' compensation. The increase is attributed to the payment of salary arrears and additional staff recruited into County Government system

Figure 3.161 shows the trend in employee compensation as a percentage of total revenue from the first nine months of FY 2020/21 to the first nine months of FY 2025/26.

Figure 3.161: Percentage of Employee Compensation Expenditure to Total Revenue Received in the first nine months of FY 2020/21 to the first nine months of FY 2025/26



Source: *Migori County Treasury*

Further analysis indicated that PE costs totalling Kshs.2.70 billion were processed through the Human Resource Information System (HRIS). In contrast, Kshs.69.94 million was processed through manual payrolls, which accounted for 3 per cent of the total PE cost. The justification for the continued use of manual payroll was the delay in generating personnel payroll numbers and the ongoing recruitment of over 729 casuals in phases.

The manual payroll comprised wages for 729 casual staff and trade payables for LAPTRUST/LAPFUND and third-party unremitted contributions, as shown in Table 3.402.

Table 3.402: Breakdown of Migori County Manual Payroll

S/no.	Description of Manual Payroll	Amount (Kshs.)
1.	Salaries/ Wages for 729 casual staff	44,426,503
2..	Trade payables for LAPFUND, LAPTRUST & Third party unremitted deductions	25,513,835
	Total	**69,940,338**

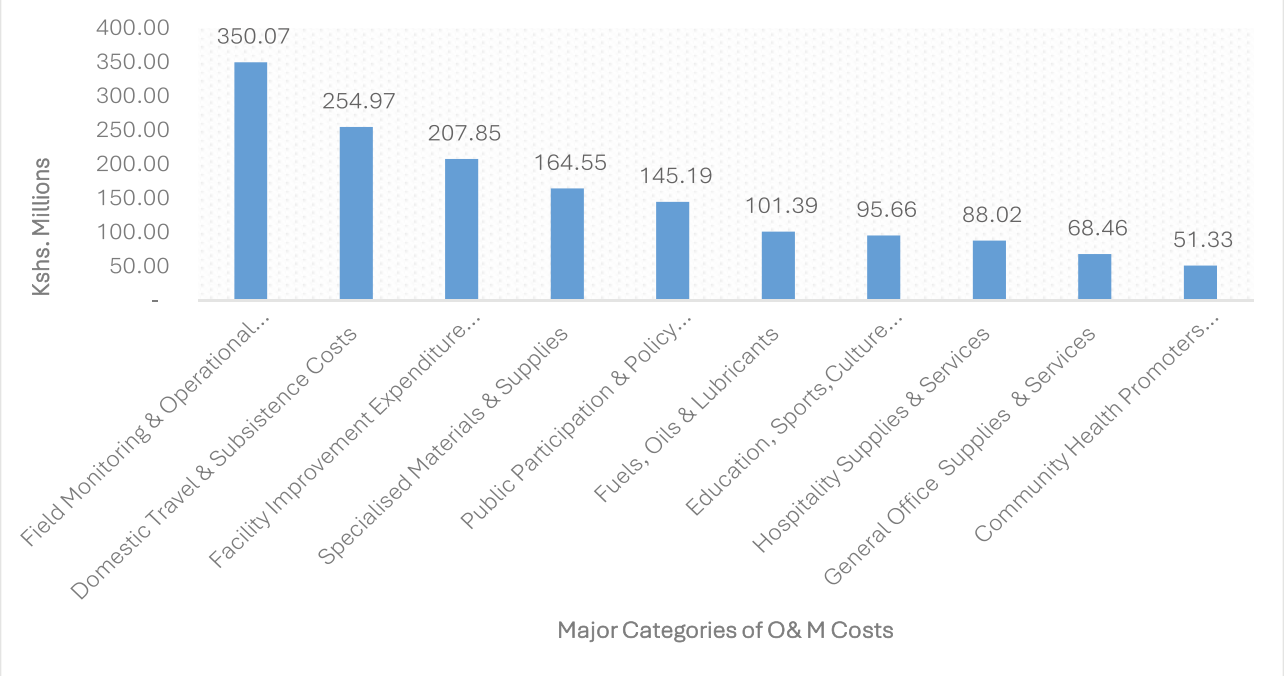
Source: *Migori County Treasury*

The County Assembly spent Kshs.13.25 million on committee sitting allowances for the 60 MCAs against the annual budget allocation of Kshs.44.33 million. The average monthly sitting allowance was Kshs.24,529 per MCA. The County Assembly has 7 House Committees.

3.27.9 Expenditure on Operations and Maintenance

During the reporting period, the County spent Kshs.1.99 billion on operations and maintenance, representing a decrease of 9 per cent compared to a similar period in FY 2024/25, when the County spent Kshs.2.19 million. Figure 3.162 illustrates the distribution of Operations and Maintenance expenditures across the major spending categories.

Figure 3.162: Migori County, Operations and Maintenance Expenditure by Major Categories



***Source**: Migori County Treasury*

3.27.10 Unbundling "Other Operating Expenses-other (IFMIS Code 2211399)" Under Operations and Maintenance Expenditures

The County budget performance report for the first nine months of FY 2025/26 indicates that the County did not spend on "*other operating expenses-Other"* which is commendable practice.

3.27.11 County-Established Funds

Section 116 of the PFM Act 2012 allows County Governments to establish other public funds, subject to approval from the County Executive Committee and the County Assembly. The County allocated Kshs.40 million to County-Established funds in FY 2025/26, representing less than 1 per cent of the County's overall budget. Nonetheless, the County did not allocate any amount to the Emergency Fund during the period under review in line with Section 110 of the PFM Act, 2012. Table 3.403 summarises each established Fund's budget allocation and performance during the reporting period.

Table 3.403: Performance of Migori County Established Funds in the first nine months of FY 2025/26

S/ No.	Name of the Fund	Year Established	Approved Budget Allocation in FY 2025/26 (Kshs.)	Exchequer Issues in the first nine months of FY 2025/26	Actual disbursements in the first nine months of FY 2025/26 (Kshs.)	Cumulative Disbursements to the Fund (Kshs)	Submission of Financial Statements (Yes/No.)
County Executive Established Funds							
1	Migori County Executive Car loans & House Mortgage Fund Scheme	December, 2018	-	-	-	247,500,000	Yes

S/ No.	Name of the Fund	Year Established	Approved Budget Allocation in FY 2025/26 (Kshs.)	Exchequer Issues in the first nine months of FY 2025/26	Actual disbursements in the first nine months of FY 2025/26 (Kshs.)	Cumulative Disbursements to the Fund (Kshs)	Submission of Financial Statements (Yes/No.)
2	Migori County Education Bursary Fund	January, 2014	40,000,000	-	-	840,000,000	Yes
3	Migori County Scholarships & Educational Benefits Fund	January, 2014	-	-	-	279,000,000	Yes
4	Migori County Alcoholic Drink Fund	September, 2016	-	-	-	2,250,318	Yes
5	Migori County SMEs Trade Development - INUA BIASHARA	March, 2024	-	-	-	54,000,000	Yes
County Assembly Established Funds							
6	Migori County Assembly Car loans & House Mortgage Fund Scheme	October, 2015	-	-	-	236,000,000	Yes
	Total		**40,000,000**	**-**	**-**	**1,658,750,318**	**-**

Source: *Migori County Treasury*

During the reporting period, the CoB did receive quarterly financial reports from all the Fund Administrators as indicated in 1.7, in line with the requirement of Section 168 of the PFM Act, 2012. The administration costs of the all Funds are pegged to 3 per cent administrative cost of on funded budget as sets in Regulation 197(1)(d) of the Public Finance Management (County Governments) Regulations, 2015.

Regulation 197(1)(i) of the Public Finance Management (County Governments) Regulations, 2015, allows County Governments to establish public funds with a lifespan capped at 10 years unless extended by the County Assembly. In FY 2025/26, the CoB established that the lifespan of the County Education Bursary Fund, the County Scholarships & Educational Benefits Fund and Migori County Assembly Car loans & House Mortgage Fund Scheme had lapsed despite being in operation. Consequently, the CoB cannot approve any requests for withdrawals to support the operations of the lapsed funds and should be wounded up since they are not operating within the law.

3.27.12 County Municipalities, Corporations and Agencies

The County has not established any corporation and agencies although it owns 20 per cent of the shares in Migori Water & Sanitation Company Limited. During the financial year 2025/26, the County did not appropriate any budget to finance and support their operations

3.27.13 Expenditure on Domestic and Foreign Travel

Expenditure on domestic travel amounted to Kshs.254.97 million and comprised Kshs.205.27 million spent by the County Assembly and Kshs.49.70 million by the County Executive. Expenditure on foreign travel amounted to Kshs.4.83 million and comprised Kshs.1.66 million by the County Assembly and Kshs.3.17 million by the County Executive. Expenditure on foreign travel is summarised in Table 3.404.

Table 3.404: Summary of Expenditure on Foreign Travel in the first nine months of FY 2025/26

Arm of County Government	Number of Officers Travelled	Date travelled	Purpose of the travel	Destination	Actual Payment on Travel (a) (Kshs.)	Accrued Expenditure on Travel (b) (Kshs.)	Total Expenditure on Travel (c=a+b) (Kshs.)
County Executive	3	19th -30th Aug 2025	Attending the National Business League Conference	USA	2,285,789	-	2,285,789
	1	24th Aug- 1st Sep, 2025	Attending the 5th GACOPA International Conference	UK	888,990	-	888,990
County Assembly	3	12th - 17th Jan 2026	Attending Training on Strategic Public Affairs & Governance Relations Programme	Dubai	1,659,690	-	1,659,690
Total	7				**4,834,469**	**-**	**4,834,469**

***Source**: Migori County Treasury and County Assembly*

1.1.1 Facility Improvement Financing

During the review period, the County reported collections of Kshs.388.11 million as FIF, which was 111 per cent of the annual target of Kshs.350 million. The collected amount was retained and utilised at source in line with the Facility Improvement Financing Act, 2023. This implies that the budget estimates should be reviewed upward,

The expenditure by the health facilities amounted to Kshs.213.77 million, as shown in Table 3.405.

Table 3.405: Migori County Health Facilities Expenditure Performance in the first nine months of FY 2025/26

No.	Health Facility	Number of Facilities	Approved Budget (Kshs.)	Actual Expenditure (Kshs.)	Absorption rate (%)
1.	Level 4 Hospital	16	310,000,000	193,605,029	63
2.	Level 3 Facility	19	13,000,000	8,547,552	66
3	Level 2 Facility	138	27,000,000	11,616,359	43
	Total	**173**	**350,000,000**	**213,768,939**	**61**

***Source:** Migori County Treasury*

3.27.14 Development Expenditure

In the review period, the County reported spending Kshs.848.50 million on development programmes, representing a decrease of 30 per cent compared to FY 2024/25, when the County spent Kshs.1.22 billion. Table 3.406 summarises the development projects with the highest expenditure in the reporting period. The decline was attributed to the delay in the rollout of annual procurement plans and the E-GP system

Table 3.406: Migori County, List of Development Projects with the Highest Expenditure

No	Sector	Project Name	Project Location	Project Commencement Date	Expected date of Completion of the Project	Contract sum (Kshs)	Total Funding in FY 2025/26 (Kshs.)	Expenditure (on an accrual basis) in the first nine months of FY 2025/26 (Kshs)	Cumulative project expenditure (on an accrual basis) as of 31st March 2026 (Kshs)	Percentage (%) of Completion
County Funded Projects										
1	Roads, Transport, Public Works & Infrastructural Development	Upgrading to Bitumen standard of C727 Junction-Kanyimach Junction-Chamgi Wadu Road	South Sakwa	01/08/2023	31/01/2026	916,751,541	218,023,435	117,412,806	699,448,643	76
2	Roads, Transport, Public Works & Infrastructural Development	Supply & Delivery of 1 Unit Motor Grader 180-200HP Engine Capacity Klut Rippers	Suna Central	23/06/2025	29/10/2025	43,848,000	43,848,000	43,848,000	43,848,000	100
3	Roads, Transport, Public Works & Infrastructural Development	Construction of Access Road to Ombasa Road	West Sakwa	04/04/2025	20/08/2025	21,112,226	21,112,226	21,112,226	21,112,226	100
4	Education, Gender inclusivity, Social Services, Youth and Sports	Completion of Uriri VETC	Uriri Sub-County	06/05/2025	17/01/2026	14,994,462	14,994,462	14,994,462	14,994,462	100
5	Medical Services	Supply, Delivery & Installation of Medical Equipment at Maternity unit	Awendo Sub- County hospital	08/08/2025	31/11/2025	8,734,000	8,734,000	8,734,000	8,734,000	100
6	Medical Services	Construction of Radiology Block	Awendo Sub- County hospital	25/04/2025	09/12/2025	6,994,406	6,994,406	6,994,406	6,994,406	100
7	Education, Gender inclusivity, Social Services, Youth and Sports	Construction of Workshop & Administration Block at Kegonga VETC	Kegonga VETC	07/03/2025	18/12/2025	6,124,260	6,124,260	6,124,260	6,124,260	100
8	Lands, Physical Planning, Housing & Urban Development	Development of valuation roll	Central Sakwa	06/05/2025	05/09/2025	5,957,620	5,957,620	5,957,620	5,957,620	100
9	Rongo Municipality	Beautification projects at Rongo municipality CBD	Central Kamagambo	24/03/2025	23/07/2025	4,999,902	4,999,902	4,999,902	4,999,902	100
10	Roads, Transport, Public Works & Infrastructural Development	Opening & Maintenance of Kinen-Kogola Access road	North Sakwa	16/04/2025	15/08/2025	4,999,216	4,999,216	4,999,216	4,999,216	100
Donor Funded Projects										

No	Sector	Project Name	Project Location	Project Commencement Date	Expected date of Completion of the Project	Contract sum (Kshs)	Total Funding in FY 2025/26 (Kshs.)	Expenditure (on an accrual basis) in the first nine months of FY 2025/26 (Kshs)	Cumulative project expenditure (on an accrual basis) as of 31st March 2026 (Kshs)	Percentage (%) of Completion
1	Trade, Tourism, Industry, Market & Cooperative Development	Construction of Nyatike Industrial Aggregation Park	Nyatike Sub-County	25/07/2024	30/06/2026	499,000,000	75,983,427	75,983,427	434,320,918	87
2	Environment, Natural Resources, Climate Change & Disaster Management	Locally led FLLOCA funded Programs & Activities	County Wide	30/08/2023	30/06/2027	289,000,000	289,000,000	228,226,432	228,226,432	79

Source: *Migori County Treasury*

The County did not report any stalled development projects as of 31st March, 2026.

3.27.15 Budget Performance by Department

Table 3.407 summarises the approved budget allocation, expenditure, and absorption rate by department for the period under review.

Table 3.407: Migori County, Budget Allocation and Absorption Rate by Department in the first nine months of FY 2025/26

Department	Revised Budget Allocation (Kshs.Million)		Exchequer Received (Kshs. Million)		Expenditure (Kshs. Million)		Expenditure to Exchequer (%)		Absorption rate (%)	
	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev
Agriculture, Livestock, Veterinary Services, Fisheries & Blue Economy	216.73	587.48	142.89	173.33	142.89	83.93	100	48	66	14
Trade, Tourism, Industry, Market & Cooperative Development	226.94	234.58	55.90	88.26	55.82	88.26	100	100	25	38
Health Medical Services	2,164.88	297.72	1,437.24	60.54	1,686.71	60.54	117	100	78	20
Education, Gender inclusivity, Social Services, Youth and Sports	594.74	137.00	402.10	23.62	399.30	23.62	99	100	67	17
Roads, Transport, Public Works & Infrastructural Development	176.90	1,117.41	58.23	280.59	58.23	223.67	100	80	33	20
Lands, Physical Planning, Housing & Urban Development	178.74	50.52	58.69	6.96	58.49	6.96	100	100	33	14
Environment, Natural Resources, Climate Change & Disaster Management	219.74	329.72	100.85	306.23	99.97	228.23	99	75	45	69
Finance and Economic Planning	795.04	22.49	433.46	4.49	449.46	4.19	104	93	57	19
Public Service Management, Monitoring & Evaluation & Performance Contracting	836.59	462.50	634.90	0.50	582.90	0.50	92	100	70	-
County Executive	450.13	140.00	232.94	6.88	231.44	6.88	99	100	51	5
County Assembly	954.87	50.00	644.39	19.41	644.29	19.41	100	100	67	39
Water and Energy	142.78	585.30	65.41	40.15	65.41	40.15	100	100	46	7
Public Health & Sanitation	334.61	169.45	204.99	30.73	204.99	30.73	100	100	61	18

Department	Revised Budget Allocation (Kshs.Million)		Exchequer Received (Kshs. Million)		Expenditure (Kshs. Million)		Expenditure to Exchequer (%)		Absorption rate (%)	
	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev
Office of the County Attorney	89.28	-	33.76	-	33.84	-	100	-	38	-
Rongo Municipality	15.12	25.80	9.44	10.44	9.46	9.00	100	86	63	35
Awendo Municipality	21.52	25.80	13.65	6.50	13.64	4.95	100	76	63	19
Migori Municipality	15.12	66.16	10.19	11.98	10.19	14.98	100	125	67	23
Kehancha Municipality	15.88	25.80	10.28	2.50	10.28	2.50	100	100	65	10
Grand Total	**7,449.61**	**4,327.74**	**4,549.32**	**1,073.11**	**4,757.32**	**848.50**	**105**	**79**	**64**	**20**

***Source**: Migori County Treasury*

Analysis of expenditure by departments shows that the Department Environment, Natural Resources, Climate Change & Disaster Management of recorded the highest absorption rate of development budget at 69 per cent, followed by the County Assembly entity at 39 per cent. The Department of Medical Services had the highest percentage of recurrent expenditure to budget at 78 per cent, while the Department of Lands, Physical Planning, Housing & Urban Development had the lowest at 33 per cent.

The over absorption of reported in the Department of Health is attributed to FIF collected, retained and utilized at sources while Department of Finance & Economic relates to unspent additional conditional grant brought forward from the FY 2024/25 expended during the period under review

3.27.16 Budget Execution by Programmes and Sub-Programmes

Budget execution was concentrated in selected performance bands. A number of development and recurrent sub-programmes recorded nil absorption during the review period. Under development, these were trade payables under the Department of Lands, Physical Planning, Housing and Urban Development, donor funding under Awendo Municipality, road maintenance fuel roads under the Department of Roads, Transport, Public Works and Infrastructural Development, rural water services under the Department of Water and Energy, and trade payables under the Department of Roads, Transport, Public Works and Infrastructural Development. Under recurrent, these were bursary and scholarship under the Department of Education, Gender Inclusivity, Social Services, Youth and Sports, public communication under the Department of Public Service Management, county media and branding services under the Department of County Executive, and general administrative services under the Department of Water and Energy.

In the 81–90 per cent band, development absorption was reported for operation and maintenance of rural water services under the Department of Water and Energy at 93 per cent. In the 90–100 per cent band, development absorption reached 100 per cent for trade payables under Migori, Rongo and Kehancha municipalities and for neonatal, child, adolescent and youth health services under the Department of Medical Services.

Recurrent absorption in the 90–100 per cent band reached 100 per cent for maternal and reproductive health services under the Department of Medical Services and for trade payables under the Department of County Executive, 98 per cent for policies and legal framework under the Departments of Agriculture and of Finance and Economic Planning, and 97 per cent for human nutrition and dietetics services under the Department of Medical Services.

Low absorption in the lower performance bands was attributed to non-prioritisation in procurement and to challenges with the electronic government procurement system, with several sub-programmes recording no expenditure despite high budget allocations. Conversely, performance in the higher bands was attributed to prioritising the payment of trade payables for contracted works, goods and services during the review period.

Table 3.408 summarises budget execution by programmes and sub-programmes in the period under review with the highest absorption rates.

Table 3.408: Budget Execution by Programmes and Sub-Programmes with Highest Absorption Rates

Programme	Sub-Programme	Gross Approved Estimates FY 2025/26 (Kshs.)	Expenditure (including accrued expenditure) as of 31st March 2026 (Kshs.)	Absorption Rate %
DEVELOPMENT				
Migori Municipality				
Trade payables	Trade payables	11,982,854	11,982,854	100
Rongo Municipality				
Trade payables	Trade payables	8,999,621	8,999,466	100
Kehancha Municipality				
Trade payables	Trade payables	2,499,661	2,499,661	100
Department of Medical Services				
Preventive & Promotive Health Services	Neonatal, Child, Adolescent & Youth health services	4,500,000	4,500,000	100
Department of Water and Energy				
Policy, General Administration & Support Services	Operation & maintenance of rural water services	6,000,000	5,575,201	93
Department of Water and Energy				
Policy, General Administration & Support Services	Operation & maintenance of rural water services	6,000,000	5,575,201	93
RECURRENT				
Department of Medical Services				
Preventive & Promotive Health Services	Maternal & Reproductive Health services	3,500,000	3,500,000	100
Department of County Executive				
Trade payables	Trade payables	750,000	750,000	100
Department of Agriculture, Livestock, Veterinary Services, Fisheries & Blue Economy				
Agricultural Policy & Planning	Policies & Legal Framework	720,000	702,000	98
Department of Finance and Economic Planning				
County Budget & Economic Forum Services	Policies & Legal Framework	6,000,000	5,907,480	98
Department of Medical Services				
Preventive & Promotive Health Services	Human Nutrition & Dietetics services	1,135,000	1,099,450	97

Source: *Migori County Treasury*

The development sub-programmes with the highest budget implementation rates were: Trade payables in Migori, Rongo and Kehancha municipalities 100 per cent each, Neonatal, Child, Adolescent & Youth health services in the Department of Medical Services, at 100 per cent, and Operation & maintenance of rural water services in the Department of Water & Energy, at 93 per cent of their budget allocation

For recurrent sub-programmes, the top performers included: Maternal & Reproductive Health services in the Department of Medical Services and trade payables in the Department of County Executive at 100 per each, policies and legal framework, both the Department of Agriculture and Finance &Economic planning at 98 per cent each of their respective budget allocation

The higher performance of these programmes can be attributed to prioritising payment of trade payables for contracted works, goods and services in accordance with repayment planning. Table 3.409 summa-

rises the budget execution by programmes and sub-programmes in the period under review that had nil absorption rates.

Table 3.409: Budget Execution by Programmes and Sub-Programmes with Nil Absorption Rates

Programme	Sub-Programme	Gross Approved Estimates FY 2025/26 (Kshs.)	Expenditure (including accrued expenditure) as of 31st March 2026 (Kshs.)	Absorption Rate (%)
		a	b	c=b/a*100
DEVELOPMENT				
Department of Lands, Physical Planning, Housing & Urban Development				
Trade payables	Trade payables	12,300,160	-	-
Awendo Municipality				
Donor Funding	Donor Funding	16,800,000	-	-
Department of Roads, Transport, Public Works & Infrastructural Development				
Road Development, Maintenance & Management	Road Maintenance Fuel Roads	57,601,592	-	-
Department of Water and Energy				
Water supply & Management services	Rural Water Services	4,605,500	-	-
Department of Roads, Transport, Public Works & Infrastructural Development				
Trade payables	Trade payables	18,622,800	-	-
RECURRENT				
Department of Education, Gender inclusivity, Social Services, Youth and Sports				
Education support services	Bursary/scholarship	40,000,000	-	-
Department of Public Service Management, Monitoring & Evaluation & Performance Contracting				
Public Communication & Records Management Services	Public Communication	4,249,068	-	-
Department of County Executive				
Communication services	County Media and Branding Services	25,000,000	-	-
Department of Water and Energy				
Policy, General Administration & Support Services	General Administrative Services	6,250,000	-	-

***Source**: Migori County Treasury*

The development sub-programmes with the lowest budget implementation rates were as follows: Trade payables in the Department of Department of Lands, Physical Planning, Housing & Urban Development, Donor funding in Awendo Municipality, Road Maintenance Fuel Roads in Department of Roads, Transport, Public Works & Infrastructural Development, and Rural Water Services in the Department of Water & Energy all at zero per cent despite having huge budget allocation.

For recurrent sub-programmes, the poorest performers included: Bursary /scholarship in the Department of Education, Department of Education, Gender inclusivity, Social Services, Youth and Sports, Public Communication in the Department of Department of Public Service Management, Monitoring & Evaluation & Performance Contracting, County Media and Branding Services in the Department of County Executive and General Administrative Services in the Department of Water & Energy at zero per cent of their budget allocation

Despite having high budgetary allocations, these sub- programmes did not have any expenditure in the first nine months, thereby reporting nil absorption rates due to non-prioritisation on procurement and challenges attributed to the use of the electronic Government Procurement System (eGP system).

3.27.17 Settlement of Trade Payables

As of 1st July 2025, the County reported trade payables totalling Kshs.1.52 billion. This amount consisted of Kshs.837.22 million from the County Executive and Kshs.681.31 million from the County Assembly. The trade payables from the County Executive comprised Kshs.475.86 million for recurrent expenditure and Kshs.361.36 million for development expenditure.

During the reporting period, the County Executive settled trade payables amounting to Kshs.220.58 million, comprising Kshs.139.23 million (63 per cent) for recurrent programmes and Kshs.81.35 million (37 per cent) for development programmes. On the other hand, the County Assembly settled trade payables amounting to Kshs.51.45 million, which was entirely for recurrent activities. The outstanding trade payables as of 31st March 2026 were Kshs.616.65 million for County Executive and Kshs.629.87 million for the County Assembly. Table 3.410 provides additional details of trade payables.

Table 3.410: Migori County Trade Payables as of 31st March 2026

Description		County Entity	Development (Kshs.)	Recurrent (Kshs.)	Total (Kshs.)
As at 1 July 2025 (End of FY 2024/25)	a	County Executive	361,359,349	475,866,141	837,225,490
		County Assembly	300,000	681,012,422	681,312,422
		Total	**361,659,349**	**1,156,878,563**	**1,518,537,911**
Trade payables scheduled to be settled in First Nine Months of FY 2025/26 per the action plan	b	County Executive	351,693,149	458,843,221	810,536,370
		County Assembly	300,000	154,498,421	154,798,421
		Total	**351,993,149**	**613,341,642**	**965,334,791**
Amount paid in the First Nine Months of FY 2025/26	c	County Executive	81,352,754	139,225,399	220,578,153
		County Assembly	-	51,446,113	51,446,113
		Total	**81,352,754**	**190,671,512**	**272,024,266**
Trade Payables Incurred in First Nine Months of FY 2025/26	d	County Executive	-	-	-
		County Assembly	-	-	-
		Total	**-**	**-**	**-**
Outstanding trade payables as of 31st March,2026	**e=a-c*b**	**County Executive**	**280,006,594**	**336,640,743**	**616,647,337**
		County Assembly	**300,000**	**629,566,308**	**629,866,308**
		Total	**280,306,594**	**966,207,051**	**1,246,513,646**

Source: *Migori County Treasury*

The County Executive and the Assembly submitted a trade payables payment plan, committing to pay Kshs.351.99 million and Kshs.613.34 million on recurrent and development expenditure, respectively, in FY 2025/26. The County did not adhere to this payment plan, as it cleared Kshs.220.58 million for the Executive and Kshs.51.45 million for the Assembly.

Table 3.411and Table 3.412 present the ageing of the total outstanding bills as of 31st March 2026 for the County Executive and Assembly, which were Kshs.1.25 billion.

Table 3.411: Migori County Executive Trade Payables Ageing Analysis as of 31st March 2026

Category	Ageing analysis (Amount in Kshs.)				Total
	Under one year	1-2 years	2-3 years	Over 3 years	
Development Trade Payables	**34,829,956**	**89,862,525**	**145,828,863**	**9,485,251**	**280,006,595**
Recurrent Trade Payables (Goods & Services)	107,493,938	71,594,062	136,525,699	19,882,570	**335,496,269**
Recurrent Trade Payables (Salary Arrears and Statutory Deductions)	127,210	1,017,264	-	-	**1,144,474**

Category	Ageing analysis (Amount in Kshs.)				Total
	Under one year	1-2 years	2-3 years	Over 3 years	
Recurrent Trade Payables (Staff Claims)	-	-	-	-	-
Total Recurrent Trade Payables	**107,621,148**	**72,611,326**	**136,525,699**	**19,882,570**	**336,640,743**
Total Trade Payables	**142,451,104**	**162,473,851**	**282,354,562**	**29,367,821**	**616,647,338**
% of Total	**23**	**26**	**46**	**5**	**100**

Source: *Migori County Treasury*

Table 3.412: Migori County Assembly Trade Payables Ageing Analysis as of 31st March 2026

Category	Ageing analysis (Amount in Kshs.)				Total
	Under one year	1-2 years	2-3 years	Over 3 years	
Development Trade Payables	**-**	**-**	**-**	**300,000**	**300,000**
Recurrent Trade Payables (Goods & Services)	-	45,788,834	28,185,706	85,952,505	**159,927,045**
Recurrent Trade Payables (Salary Arrears and Statutory Deductions)	-	-	-	469,339,264	**469,339,264**
Total Recurrent Trade Payables	**-**	**45,788,834**	**28,185,706**	**555,591,769**	**629,566,309**
Total Trade Payables	**-**	**45,788,834**	**28,185,706**	**555,891,769**	**629,866,309**
% of Total	**-**	**7**	**5**	**88**	**100**

Source: *Migori County Treasury*

As shown in Table 3.411 and Table 3.412deductions included third-party deductions arrears of Kshs.469.34 million for LAPFUND/ LAPTRUST which represented 38 per cent of the total trade payables of Kshs .1.25 billion as of March 31, 2026.

Additionally, the two tables indicate that 47 per cent of total trade payables are aged over 3 years,25 per cent are between 2-3 years, 17 per cent between 1-2 years while those under one-year account for 11 per cent. The trend is attributed to disputed, unverified and ineligible trade payables, which are pending verification and resolution by the County government with the affected contractors and suppliers

3.27.18 Implementation of the Equalisation Fund by Migori County

During the review period, the County received support towards equalisation funds, equivalent to Kshs.59.56 million against an allocation of the same amount of Kshs.59.56 million. The projects implemented under the equalisation fund within Migori County are as follows: Table 3.413:

Table 3.413: Projects Implemented Under Equalisation Fund within Migori County

No	Sector	Project Name	Project Location	Project Commencement Date	Expected date of Completion of the Project	Contract sum (Kshs)	Total Funding in FY 2025/26 (Kshs.)	Expenditure (on an accrual basis) in the first nine months of FY 2025/26 (Kshs.)	Cumulative project expenditure (on an accrual basis) as of 31st March 2026 (Kshs.)	Percentage (%) of Completion
Equalisation Funded Projects										
1	Health Services	Construction of Ngochoni Dispensary	Ngochoni Dispensary	27.01.2025	08.05.2025	7,114,349	7,114,349	7,114,349	7,114,349	100%

No	Sector	Project Name	Project Location	Project Commencement Date	Expected date of Completion of the Project	Contract sum (Kshs)	Total Funding in FY 2025/26 (Kshs.)	Expenditure (on an accrual basis) in the first nine months of FY 2025/26 (Kshs.)	Cumulative project expenditure (on an accrual basis) as of 31st March 2026 (Kshs.)	Percentage (%) of Completion
2	Health Services	Construction of Kakelo-akoth Dispensary	Kakelo-Kakoth Dispensary	10.10.2025	10.01.2026	6,781,870	6,781,870	6,781,870	6,781,870	100%
3	Water & Energy	Drilling and Equipping of borehole and Equipping of Nyabokemo Primary Schoool	Wasimbete	27.01.2025	18.03.2025	5,892,016	5,892,016	5,892,016	5,892,016	100%
4	Water & Energy	Drilling and Equipping of borehole	Akala Polytechnic	28.03.2025	28.07.2025	5,281,410	5,281,410	5,281,410	5,281,410	100%
5	Roads, Transport, Public Works & Infrastructural Development	Opening /Maintenance of Andingo-Omamba-Kasembo-Kogalo-Odendo Bridge Road	Andingo-Omamba-Kasembo-Kogalo-Odendo Bridge Road	04.02.2025	08.07.2025	4,992,703	4,992,703	4,992,703	4,992,703	100%
6	Health Services	Construction of Maternity Block	Aneko Dispensary	27.12.2024	02.05.2025	4,297,568	4,297,568	4,297,568	4,297,568	100%
7	Water & Energy	Drilling and Equipping of borehole a	Aneko Centre	12.02.2025	13.06.2025	4,193,120	4,193,120	4,193,120	4,193,120	100%
8	Water & Energy	Drilling and Equipping of a borehole at	Ogaka Primary	10.04.2025	10.07.2025	4,176,115	4,176,115	4,176,115	4,176,115	100%
9	Water & Energy	Drilling and Equipping of solar powered borehole	Owich - Kodele	03.03.2025	03.07.2025	3,992,810	3,992,810	3,992,810	3,992,810	100%
10	Health Services	Construction of maternity wing phase 1	Nyakumu Dispensary	27.12.2024	07.05.2025	3,761,532	3,761,532	3,761,532	3,761,532	100%
11	Water & Energy	Extension of pipeline from the lake to Kumoni Primary & Secondary school	Kumoni Primary & Secondary School	28.02.2025	28.06.2025	2,805,000	2,805,000	2,805,000	2,805,000	100%
12	Roads, Transport, Public Works & Infrastructural Development	Winjo-Majengo-Banda Rehabilitation and Works	Muhuru	06.03.2025	06.07.2025	1,799,491	1,799,491	1,799,491	1,799,491	100%
13	Health Services	Supply and delivery of Beds, Surgical Beds and Surgical Packs	Mariba Dispensary	06.03.2025	03.06.2025	1,458,607	1,458,607	1,458,607	1,458,607	100%

No	Sector	Project Name	Project Location	Project Commencement Date	Expected date of Completion of the Project	Contract sum (Kshs)	Total Funding in FY 2025/26 (Kshs.)	Expenditure (on an accrual basis) in the first nine months of FY 2025/26 (Kshs.)	Cumulative project expenditure (on an accrual basis) as of 31st March 2026 (Kshs.)	Percentage (%) of Completion
14	Health Services	Construction of the Placenta pit with a fence	Ndiwa Dispensary	27.12.2024	02.05.2025	1,397,887	1,397,887	1,397,887	1,397,887	100%
15	Health Services	Construction of Staff House Phase 1	Owich Dispensary	27.12.2024	02.05.2025	995,616	995,616	995,616	995,616	100%
16	Health Services	Provision of Maternity beds and construction of pit latrine	Mugabo Dispensary	27.12.2024	02.05.2025	622,468	622,468	622,468	622,468	100%

Source: Migori County Treasury.

The equalization fund projects were implemented outside the County budget

3.27.19 General Observations and Recommendations

In the course of overseeing and reporting on the implementation of the Migori County budget, the CoB identified the following challenges, which hampered effective budget implementation;

i. Low development performance in the review period as the County incurred Kshs.848.50 million on development activities, achieving a 20 per cent absorption rate and a reduction of 30 per cent compared to FY 2024/25, when the County spent Kshs.1.22 billion
ii. Regulation 197(1)(i) of the Public Finance Management (County Governments) Regulations, 2015, limits the lifespan of public funds to 10 years unless extended by the County Assembly. As of 31st March,2026, the lifespan of the County Education Bursary Fund, the County Scholarships & Educational Benefits Fund and Migori County Assembly Car loans & House Mortgage Fund Scheme had lapsed, making them ineligible for further withdrawals.
iii. High level of trade payables, which amounted to Kshs.1.25 billion as of 31st March 2026. Furthermore, both the County Treasury and the Assembly did not adhere to the trade payables payment plan
iv. Use of manual payroll. Personnel emoluments amounting to Kshs.69.94 million for salary arrears towards lap fund, lap trust, remittances, third party deductions and casual staff were processed through manual payroll, accounting for 3 per cent of the total payroll cost. Manual payroll is prone to abuse and may result in the loss of public funds
v. Non-submission of copies of authorisation letters for opening commercial bank accounts as per Regulation 82(5) of the Public Finance Management (County Governments) Regulations, 2015.
vi. High level of trade receivables of Kshs.281.35 million on own source revenues that remained uncollected as at 31st March 2026.

The County should implement the following recommendations to improve budget execution:

i. *The County should implement strategies to increase development expenditures in FY 2025/26*
ii. *The County should ensure timely review and extension of public funds whose lifespans are nearing expiration or have lapsed to prevent operational disruptions. Additionally, any expenditure from lapsed funds should cease immediately, and legal mechanisms should be followed to re-establish or wind up such funds in compliance with the Public Finance Management Act.*
iii. *The County Leadership should address the situation of trade payables to ensure that genuine bills are paid promptly in the remaining financial year. Further, compliance with the Trade Payables Action Plan should be enforced.*
iv. *The Government requires that salaries be processed through the HRIS system, and the County is*

advised to fast-track the acquisition of Unified Personnel Numbers for their staff. The County Public Service Board should regulate staff engagement on contract and casual workers as provided under Section 74 of the County Governments Act 2012. Furthermore, strict adherence to the approved staff establishment should be maintained.

v. *The County Treasury should ensure it submits copies of authorisation letters to the CoB for opening commercial bank accounts to enhance accountability and oversight.*

vi. *The Controller of Budget recommends that the County Government should institute measures of collecting the trade receivables in order to meet the set revenue targets and expenditures as per the budget*

3.28. County Government of Mombasa

3.28.1 Overview of FY 2025/26 Budget

The Mombasa County Approved Budget for FY 2025/26 is Kshs.14.63 billion. It comprises Kshs.4.45 billion (30 per cent) and Kshs.10.18 billion (70 per cent) allocation for development and recurrent programmes, respectively. The budget estimates represent a decrease of Kshs.1.63 billion (10 per cent) from the FY 2024/25 budget, which comprised a development budget of Kshs.5.19 billion and a recurrent budget of Kshs.11.07 billion.

The budget is to be financed from various revenue sources. These include the equitable share of revenue raised nationally of Kshs.8.24 billion (56 per cent), additional allocations of Kshs.1.32 billion (9 per cent), a cash balance brought forward from FY 24/25 of Kshs.170.75 million (1 per cent) and Kshs.5.08 billion (35 per cent) generated as own-source revenue. A breakdown of the additional allocations is shown in Table 3.414.

3.28.2 Revenue Performance

During the first nine months of FY 2025/26, the County reported total revenues amounting to Kshs.10.11 billion. This amount represented an increase of 14 per cent compared to the amount received in a similar period in FY 2024/25 of Kshs.8.85 billion. The total revenue consisted of Kshs.5.50 billion from the equitable share of nationally raised revenue, additional allocations from the national government, and development partners, in Kshs.513.62 million, and own-source revenue (OSR) collection of Kshs.3.91 billion. Additionally, the County had a cash balance of Kshs.191 million from FY 2024/25. The total OSR collection of Kshs.3.91 million included Facilities Improvement Financing (FIF) of Kshs.1.72 billion, and Kshs.2.19 billion from other OSR sources. Table 3.414 summarises the total revenue available to the County Government during FY 2025/26.

Table 3.414: Mombasa County, Revenue Performance in the first nine months of FY 2025/26

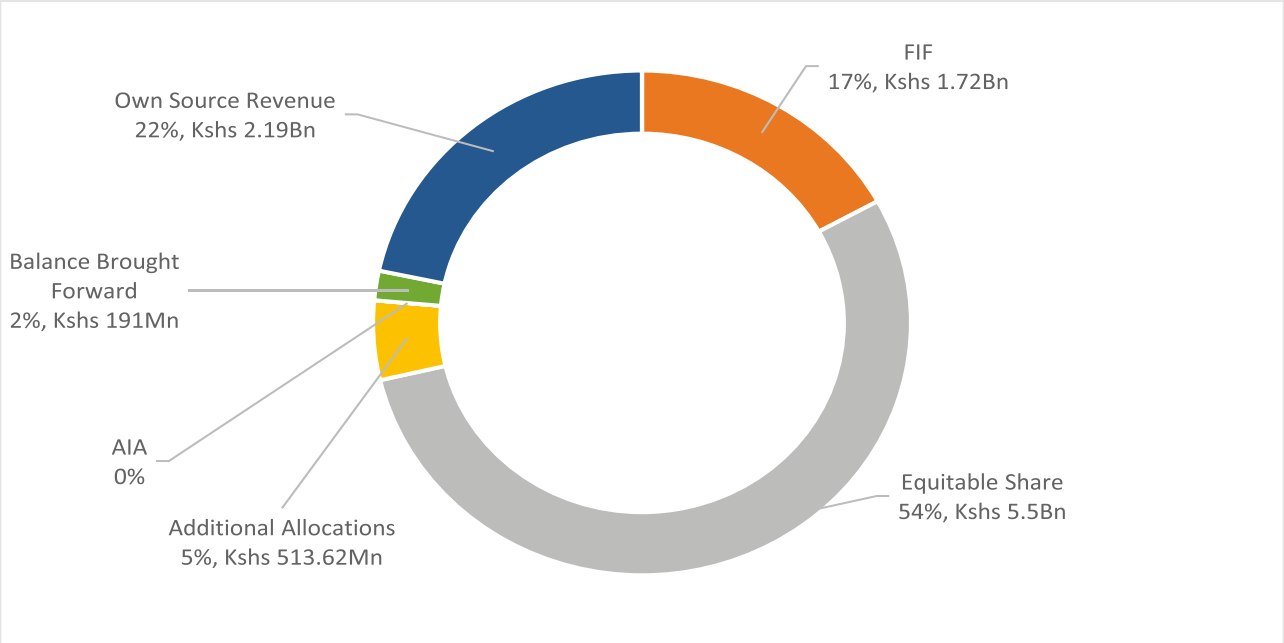
No	Revenue Stream	Annual Targeted Revenue (Kshs.)	Actual Receipts (Kshs.)	Receivables in the First Nine Months of FY 2025/26 (Kshs.)	Total Revenues (in accrual basis) in the First Nine Months of FY 2025/26 (Kshs.)	Variance (Kshs.)
		A	B	C	D=B+C	E=A-D
A	Unspent Balance from FY 2024/25	-	-		-	-
1	Balance at CRF	-	182,573,974		182,573,974	- 182,573,974
2	County Executive Refunds to CRF	-	8,423,953		8,423,953	- 8,423,953
3	County Assembly Refunds to CRF	-	932		932	- 932
	Sub-Total	**-**	**190,998,859**	**-**	**190,998,859**	**190,998,859**

No	Revenue Stream	Annual Targeted Revenue (Kshs.)	Actual Receipts (Kshs.)	Receivables in the First Nine Months of FY 2025/26 (Kshs.)	Total Revenues (in accrual basis) in the First Nine Months of FY 2025/26 (Kshs.)	Variance (Kshs.)
		A	B	C	D=B+C	E=A-D
B	**Equitable Share of Revenue Raised Nationally**					
1	Equitable Share	8,236,179,184	5,496,924,633		5,496,924,633	2,739,254,551
	Sub-Total	**8,236,179,184**	**5,496,924,633**	**-**	**5,496,924,633**	**2,739,254,551**
C	**Additional Allocations (Including Grants)**					
1	Aggregated Industrial Parks Programme	100,000,000	133,368,421		133,368,421	
2	Kenya Devolution Support Programme 2 (KDSP II)- Level I	37,500,000	35,253,472		35,253,472	
3	Kenya Devolution Support Programme 2 (KDSP II)- Level II	352,500,000	-		-	
4	Roads Maintenance Fuel Levy	130,500,000	-		-	
5	DANIDA- Primary Health Care in Devolved System Program	15,888,750	-		-	
6	World Bank - Kenya Informal Settlement Improvement Project (KISIP II)	150,000,000	-		-	
7	World Bank - Water and Sanitation Development Project	529,500,000	345,000,000		345,000,000	
	Sub-Total	**1,315,888,750**	**513,621,893**	**-**	**513,621,893**	**-**
D	**Ordinary Own Source Revenue (OSR)**					
1	Ordinary Own Source Revenue (OSR)	3,877,932,066	2,192,097,913		2,192,097,913	1,685,834,153
	Sub-Total	**3,877,932,066**	**2,192,097,913**	**-**	**2,192,097,913**	**1,685,834,153**
E	**Facility Improvement Financing (FIF)**					
1	SHIF/SHA	701,470,690	1,542,447,600		1,542,447,600	-840,976,910
2	Defunct NHIF	498,529,310	175,741,957		175,741,957	322,787,353
3	Other					
	Sub-Total	**1,200,000,000**	**1,718,189,557**	**-**	**1,718,189,557**	**-518,189,557**
	Grand Total	**14,630,000,000**	**10,111,832,854**	**-**	**10,111,832,854**	**3,715,900,289**

Source: *Mombasa County Treasury*

Figure 3.163 provides a detailed breakdown of receipts.

Figure 3.163: Mombasa County Composition of Revenue in the first nine months of FY 2025/26

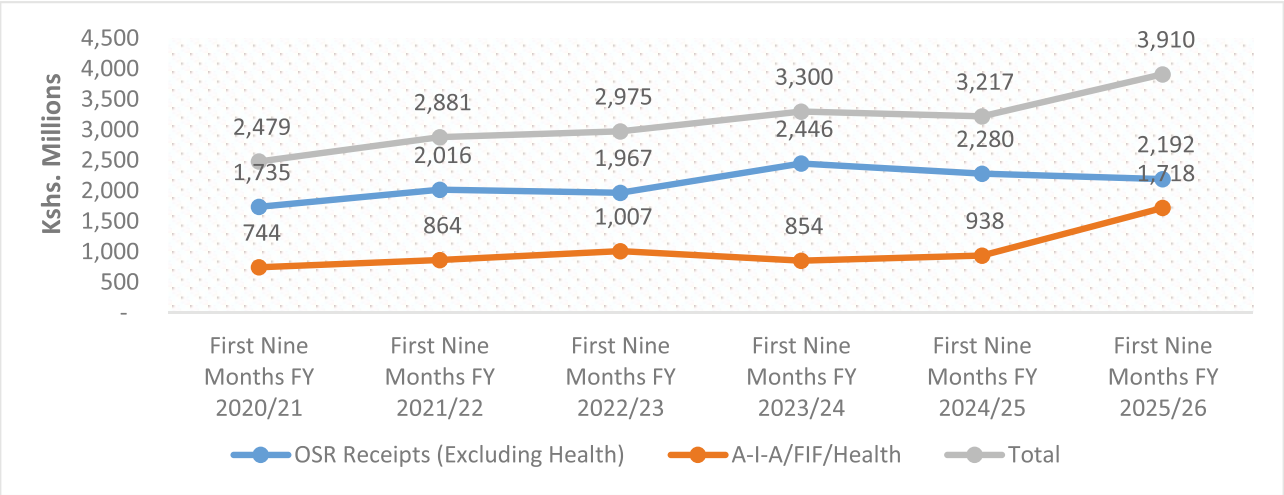


Source: *Mombasa County Treasury*

The equitable share of revenue raised nationally, OSR, and FIF contributed 54 per cent, 22 per cent and 17 per cent, respectively, of the total receipts for the reporting period.

Figure 3.164 shows the collection trend in own-source revenue from the first nine months of FY 2020/21 to the first nine months of FY 2025/26.

Figure 3.164: Mombasa County Trend in Own-Source Revenue Collection from the first nine months of FY 2020/21 to the first nine months of FY 2025/26

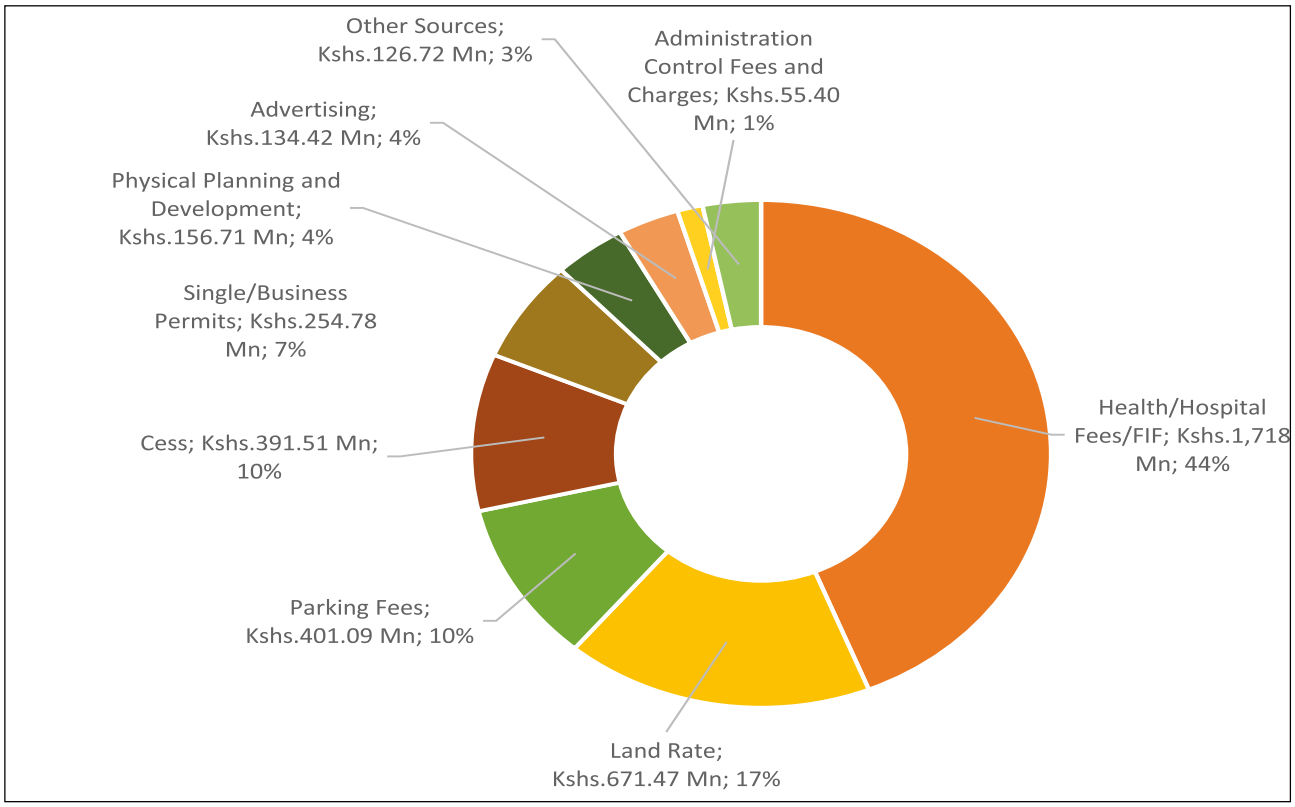


Source: *Mombasa County Treasury*

During the first nine months of FY 2025/26, the County received Kshs.3.91 billion from OSR, including FIF. This amount was an increase of 22 per cent compared to Kshs.3.22 billion realised in a similar period in FY 2024/25, and was 77 per cent of the annual target and 71 per cent of the equitable revenue share disbursed.

The revenue streams that contributed the most to OSR receipts are shown in Figure 3.165

Figure 3.165: Mombasa County Top Own Source Revenue Streams in the first nine months of FY 2025/26



Source: Mombasa County Treasury

As shown in Figure 3.165, the largest revenue stream, at Kshs.1.72 billion, was FIF, accounting for 44 per cent of total OSR receipts. The County Government indicated that it has automated all the revenue streams. The system utilised for FIF revenue collection is LAIFOM.

3.28.3 Revenue Receivables

As of 1st July 2025, the County reported revenue receivables of Kshs.13.78 billion. The County manages its revenue receivables using LAIFOM automated system, with a cash basis option. Table 3.415 presents a breakdown of the County's revenue receivables.

Table 3.415: Mombasa County Revenue Receivables as of 31st March 2026

			Waivers (Kshs)	Receivables paid in the financial year (Kshs)	Receivables earned in First Nine Months of FY 2025/26 (Kshs)	Receivables as of 31st March 2026 (Kshs.)
		A	b	c	d	f=a-b-c+d
D	**Ordinary Own Sources of Revenue**					
	Plot Rate	13,183,788,325	21,199,114	543,198,809	1,290,225,417	13,909,615,819
	Sub-Total	**13,183,788,325**	**21,199,114**	**543,198,809**	**1,290,225,417**	**13,909,615,819**
E	**Facility Improvement Fund (FIF)**					
1	SHIF	357,123,869	-	-	-	357,123,869
2	Defunct NHIF	239,618,214	-	-	-	239,618,214
3	Insurance Com-panies					

			Waivers (Kshs)	Receivables paid in the financial year (Kshs)	Receivables earned in First Nine Months of FY 2025/26 (Kshs)	Receivables as of 31st March 2026 (Kshs.)
		A	b	c	d	f=a-b-c+d
4	Other					
	Sub-Total	**596,742,083**	**-**	**-**	**-**	**596,742,083**
	Grand Total	**13,780,530,408**	**21,199,114**	**543,198,809**	**1,290,225,417**	**14,506,357,902**

Source: Mombasa *County Treasury*

As of 31st March 2026, the revenue receivables totalled to Kshs.14.51 billion, comprising Kshs.13.91 billion for land rates (96 per cent) and Ksh.596.74 million for SHA and defunct NHIF (4 per cent).The measures instituted by the County to collect the outstanding receivables in FY 2025/26 include waiver of intrests and penalties on land rates receivables.

3.28.4 Withdrawals from the County Revenue Fund and County Assembly Fund

During the reporting period, the Controller of Budget approved exchequer withdrawal requests totalling Kshs.7.22 billion from the Mombasa County Revenue Fund (CRF) account. This amount consisted of Kshs.398.02 million (5 per cent) designated for development programs and Kshs.6.83 billion (95 per cent) allocated for recurrent programs.

An analysis of the released recurrent exchequers shows that Kshs.5.37 billion was allocated to employee compensation and Kshs.1.46 billion to operations and maintenance expenditures. Within the operations and maintenance category, 11 per cent was for domestic travel and 5 per cent for foreign travel. The domestic travel exchequers totalled Kshs.56.54 million, comprising Kshs.50.61 million for the County Assembly and Kshs.105.93 million for the County Executive. Meanwhile, the foreign travel exchequers amounted to Kshs.69.10 million, with Kshs.26.82 million for the County Executive and Kshs.32.96 million for the County Assembly.

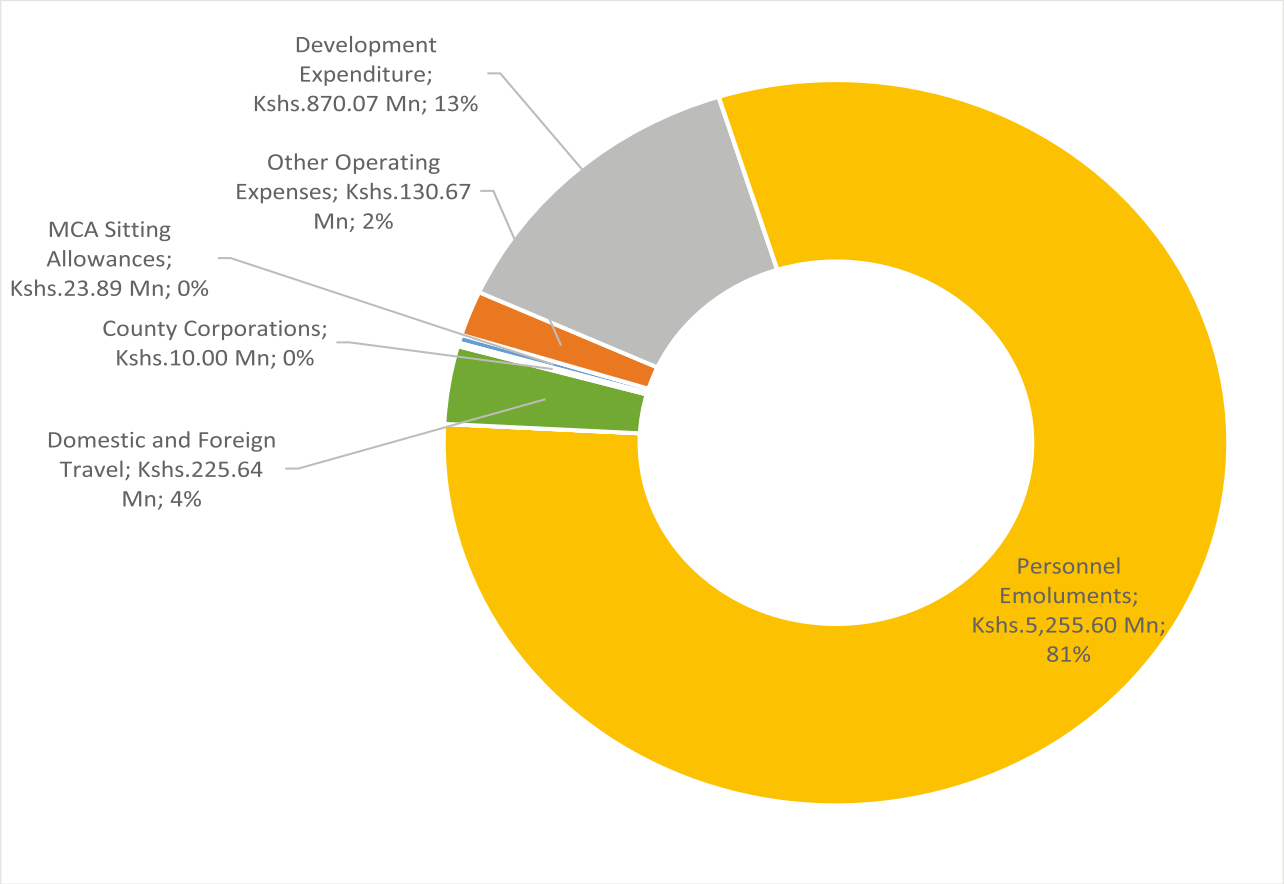
As of March 31, 2026, the County Government's CRF account had a cash balance of Kshs.716.39 million, and the CAF has not yet been operationalised.

3.28.5 Expenditure Review

The County spent Kshs.7.29 billion on development and recurrent programmes during the reporting period. The expenditure represented 100 per cent of the total funds released by the CoB. It comprised Kshs.910.03 million for development programmes and Kshs.6.38 billion for recurrent programmes. Expenditure on development programmes accounted for 20 per cent of the annual development expenditure budget, while recurrent expenditure accounted for 63 per cent of the annual recurrent expenditure budget.

Figure 3.166 provides a detailed breakdown of total expenditure.

Figure 3.166: Mombasa County Composition of Expenditure in the first nine months of FY 2025/26



Source: Mombasa *County Treasury*

As shown in Figure 3.166, the three highest expenditure categories were Personnel emoluments, Development expenditure, and Domestic and foreign travels, contributing 81, 13 and 4 per cent of total expenditure for the reporting period.

3.28.6 Expenditure by Economic Classification

The County Executive incurred Kshs.4.89 billion in employee compensation, Kshs.952.69 million in operations and maintenance, and Kshs.870.07 million in development activities. Similarly, the County Assembly spent Kshs.351.85 billion on compensation of employees and Kshs.179.53 million on operations and maintenance as shown in Table 3.416.

Table 3.416: Mombasa County Summary of Budget and Expenditure by Economic Classification

Sector / Category	Budget (Kshs)	Exchequer Issues (Kshs)	Amount Paid in the First Nine Months of FY 2025/26 (Kshs. Millions) (b)	Expenditure Accrued in the First Nine Months of FY 2025/26 (Kshs. Million) (c)	Total Expenditure in the First Nine Months of FY 2025/26 (Kshs.Million) (d=b+c)	Absorption (%) (d/a*100)
County Executive						
Recurrent	**9,438.45**	**6,168.37**	**5,845.74**	**-**	**5,845.74**	**62**
Compensation to Employees	6,697.73	4,933.86	4,893.06		4,893.06	73
Operations & Maintenance	2,740.71	1,234.51	952.69		952.69	35
Development	**4,380.71**	**373.51**	**870.07**		**870.07**	**20**
Executive Sub-total	**13,819.15**	**6,541.89**	**6,715.82**	**-**	**6,715.82**	**49**

Sector / Category	Budget (Kshs)	Exchequer Issues (Kshs)	Amount Paid in the First Nine Months of FY 2025/26 (Kshs. Millions) (b)	Expenditure Accrued in the First Nine Months of FY 2025/26 (Kshs. Million) (c)	Total Expenditure in the First Nine Months of FY 2025/26 (Kshs.Million) (d=b+c)	Absorption (%) (d/a*100)
County Assembly						
Recurrent	**740.85**	**657.27**	**531,38**	**-**	**531,38**	**72**
Compensation to Employees	437.85	433.37	351.85		351.85	80
Operations & Maintenance	303.00	223.90	179.53		179.53	59
Development	**70.00**	**-**	**-**		**-**	**-**
Assembly Sub-total	**810.85**	**657.27**	**531.38**	**-**	**531.38**	**66**
Combined County Totals						
Total Recurrent	**10,179,29**	**6,825.24**	**6,377.12**	**-**	**6,377.12**	**63**
Compensation to Employees	7,135.85	5,367.23	5,244.91	-	5,244.91	74
Operations & Maintenance	3,043.71	1,458.41	1,132.22	-	1,132.22	37
Total Development	**4,450.71**	**373.51**	**870.07**	**-**	**870.07**	**20**
Grand Total	**14,630.00**	**7,199.15**	**7,247.20**	**-**	**7,247.20**	**50**

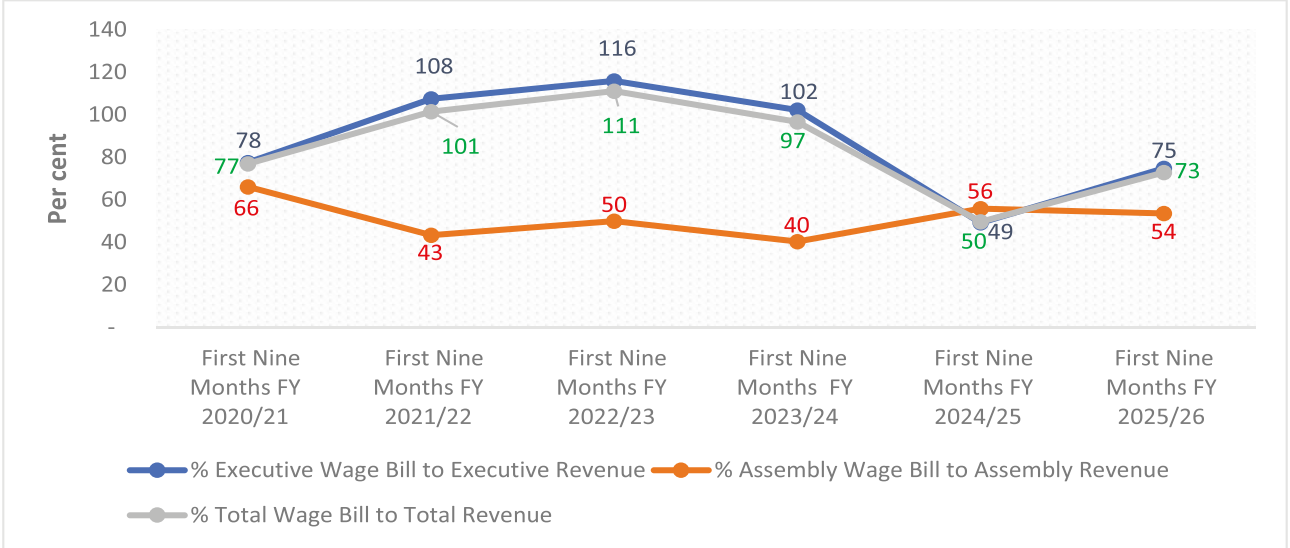
Source: *Mombasa County Treasury*

3.28.7 Expenditure on Employee Compensation

The expenditure on employee compensation totalled Kshs.5.24 billion, representing 74 per cent of revenue. This expenditure on employee compensation shows. an increase compared to the Kshs.3.94 billion reported in a similar period in FY 2024/25. Of this total, Kshs.2.40 billion related to Health Sector employees, accounting for 46 per cent of the overall employees' compensation.

Figure 3.167 shows the trend in employee compensation as a percentage of total revenue from the first nine months of FY 2020/21 to the first nine months of FY 2025/26.

Figure 3.167: Percentage of Employee Compensation Expenditure to Total Revenue Received in the first nine months of FY 2020/21 to the first nine months of FY 2025/26



Source: Mombasa County Treasury

Further analysis indicated that PE costs amounting to Kshs.5.04 billion were processed through the Human Resource Information System (HRIS). In contrast, Kshs.207.94 million was processed through manual payrolls, which accounted for 4 per cent of the total PE cost.

The manual payroll comprised salaries for staff not onboarded into the Human Resource Information System (HRIS), gratuity remittances to pension schemes for staff on contract, Community Health workers, NSSF, NITA, Housing Levy, and LAPTRUST/LAPFUND Pension Contributions, as shown in Table 3.417

Table 3.417: Breakdown of Mombasa County Manual Payroll

Category	County Executive	County Assembly	Total
Salaries for staff paid outside the Human Resource Information System (HRIS)	97,731,858	20,917,958	118,649,816
Gratuity for contract staff	19,527,534	18,366,250	37,893,784
Community Health Workers	50,572,500		50,572,500
NSSF		359,640	359,640
Housing Levy		189,581	189,581
NITA		4,800	4,800
Total	167,831,891	40,104,180	207,936,071

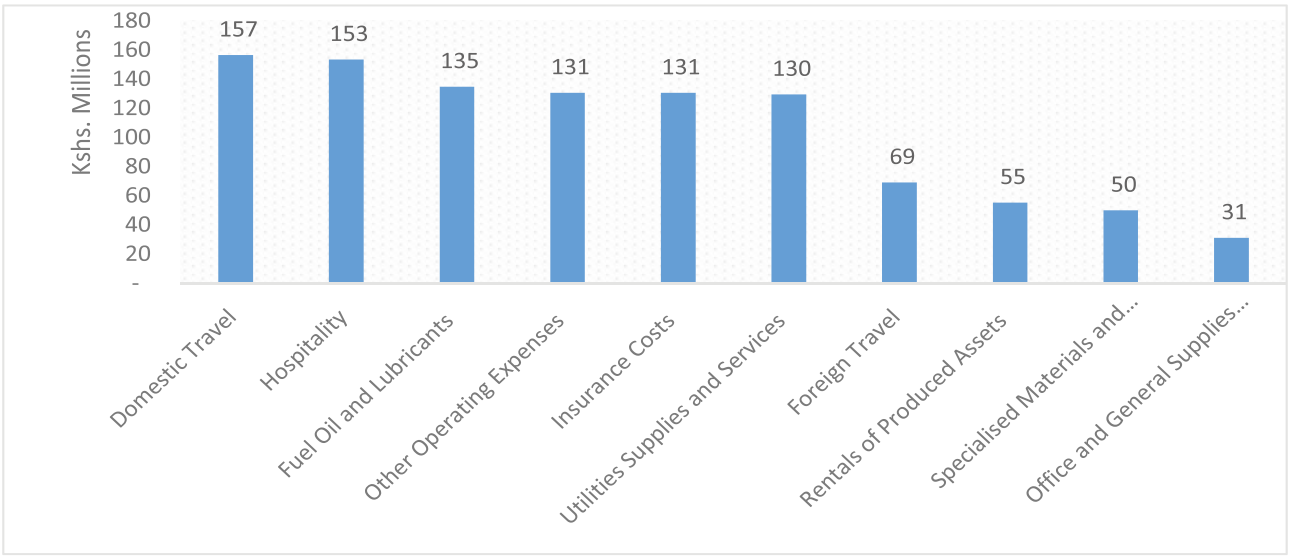
Source: Mombasa County Treasury

The County Assembly spent Kshs.23.89 million on committee sitting allowances for the 43 MCAs against the annual budget allocation of Kshs.35.88 million. The average monthly sitting allowance was Kshs.61,723 per MCA. The County Assembly has 21 House Committees.

3.28.8 Expenditure on Operations and Maintenance

During the reporting period, the County spent Kshs.1.13 billion on operations and maintenance, representing a decrease of 56 per cent compared to a similar period in FY 2024/25, when the County spent Kshs.2.56 billion. Figure 3.168 illustrates the distribution of Operations and Maintenance expenditures across the major spending categories.

Figure 3.168: Mombasa County, Operations and Maintenance Expenditure by Major Categories



Source: *Mombasa County Treasury*

3.28.9 Unbundling "Other Operating Expenses-other" Under Operations and Maintenance Expenditures

The budget performance report for the first nine months of FY 2025/26 indicates that the County spent Kshs.130.67 million on "*other operating expenses*-other," which was 12 per cent of the total operations and maintenance expenditure of Kshs.1.13 billion. This category of expenditure includes Kshs.61.04 million

for legal fees and compensation payments. The disaggregated items under the "*Other Operating Expenses*-other" category are shown in Table 3.418

Table 3.418: Breakdown of "Other Operating Expenses-other" under O&M Expenditures

Code	Item	Budget (Kshs)	Expenditure (Kshs.)
2211306	Membership Fees, Dues and Subscriptions to Professional and Trade Bodies	3,590,000	946,160
2211308	Legal Dues/fees, Arbitration and Compensation Payments	61,044,813	46,950,952
2211311	Contracted Technical Services	179,159,000	75,839,864
2211311	Contractors Retention Money		3,890,103
2211311	VAT Withholding		1,452,135
2211322	Binding of Records	3,392,010	1,591,290
Total		**247,185,823**	**130,670,504**

Source: *Mombasa County Treasury*

A review of the other expense items listed in the table revealed the following inconsistencies:

- *Some expenditures with clear and unique budget codes were erroneously aggregated under the "Other Operating Expenses" category. These include: Contracted Technical services, Binding of records, and Subscription to professional bodies.*

3.28.10 County-Established Funds

Section 116 of the PFM Act 2012 allows County Governments to establish other public funds, subject to approval from the County Executive Committee and the County Assembly. The County allocated Kshs.236.5 million to County-Established funds in FY 2025/26, representing 2 per cent of the County's overall budget. Of this amount, the County allocated Kshs.20 million to the Emergency Fund in line with Section 110 of the PFM Act, 2012, accounting for 0.1 per cent of the total budget. Table 3.419 summarises each established Fund's budget allocation and performance during the reporting period.

Table 3.419: Performance of Mombasa County Established Funds in the first nine months of FY 2025/26

S/No.	Name of the Fund	Year Established	Approved Budget Allocation in FY 2025/26 (Kshs.)	Exchequer Issues in the first nine months of FY 2025/26 (Kshs.)	Actual disbursements in the first nine months of FY 2025/26 (Kshs.)	Cumulative disbursements to the Fund (Kshs)	Submission of Financial Statements (Yes/No.)
		County Executive Established Funds					
1	Mombasa County Elimu Scheme	2023	154,500,000	72,000,000	72,000,000	1,766,527,622	YES
2	Emergency Fund		20,000,000	-	-	-	NO
3	Mombasa County Ardhi Fund	2024	50,000,000	-	20,000,000	20,000,000	NO
4	Mombasa County Alcoholic Drink Control Fund	2014	-	-	-	-	YES
5	Mombasa County Consolidated Revolving Fund	**2026**	-	-	-	-	YES
County Assembly Established Funds							

S/No.	Name of the Fund	Year Established	Approved Budget Allocation in FY 2025/26 (Kshs.)	Exchequer Issues in the first nine months of FY 2025/26 (Kshs.)	Actual disbursements in the first nine months of FY 2025/26 (Kshs.)	Cumulative disbursements to the Fund (Kshs)	Submission of Financial Statements (Yes/No.)
6	Mombasa County Assembly Car Loans and Mortgage for Members and staff	2021	12,000,000	-	-	-	YES
	Total						

Source: *Mombasa County Treasury*

During the reporting period, the CoB did not receive quarterly financial reports from Fund Administrators, as indicated in Table 3.419, contrary to the requirement of Section 168 of the PFM Act, 2012.

Regulation 197(1)(i) of the Public Finance Management (County Governments) Regulations, 2015, allows County Governments to establish public funds with a lifespan capped at 10 years unless extended by the County Assembly. In FY 2025/26, the CoB determined that the Mombasa County Alcoholic Drink Fund's lifespan had lapsed.

3.28.11 County Corporations

The County has two County Corporations, which were allocated Kshs.549.50 million in FY 2025/26. Their total expenditure for the review period amounted to Kshs.20 million, as shown in Table 3.420.

Table 3.420: Performance of Mombasa County Corporations in the first nine months of FY 2025/26

S/No.	Name of the Corporation	Approved Budget Allocation in FY 2025/26 (Kshs.)	Exchequer Issues (Kshs.)	Actual Transfers in FY 2025/26 (Kshs.)	Cumulative Transfers to the Corporation since its inception (Kshs.)
1.	MOMBASA INVESTMENT CORPORATION	20,000,000	20,000,000	20,000,000	20,000,000
2	WATER AND SANITATION DEVELOPMENT PROJECT(WSDP)	529,500,000	-	-	2,358,858,187
	Total	549,500,000	20,000,000	20,000,000	2,378,858,187

Source: *Mombasa County Treasury*

3.28.12 Expenditure on Domestic and Foreign Travel

Expenditure on domestic travel amounted to Kshs.156.54 million and comprised Kshs.50.61 million spent by the County Assembly and Kshs.105.93 million by the County Executive. Expenditure on foreign travel amounted to Kshs.69.10 million and comprised Kshs.32.96 million by the County Assembly and Kshs.26.82 million by the County Executive. Expenditure on foreign travel is summarised in Table 3.421

Table 3.421: Summary of Expenditure on Foreign Travel in the first nine months of FY 2025/26

Arm of County Government	No. Of Officers Travelled	Dates travelled	Purpose of the travel	Destination	Total Costs of the Travel (Kshs.)
Executive	1	12th-25th September 2025	Facilitation to attend the 80th session of the UN General Assembly from 12th-25th September 2025 in New York	USA	990,630

Arm of County Government	No. Of Officers Travelled	Dates travelled	Purpose of the travel	Destination	Total Costs of the Travel (Kshs.)
Executive	2	29th July- 2nd August 2025	Evaluation committee visit to Jospong Group of Companies in Ghana, 29- July 2025 to 2 aug 2025	GHANA	959,800
Executive	3		Travel to Dubai to attend the public governance best practices conference	DUBAI	2,063,934
Executive	6	22nd September-3rd October 2025	Facilitation for travel to Dubai for green training from 22nd September to 3rd October 2025	DUBAI	7,811,425
Executive	8	15th-19th September 2025	Facilitation for travel to Turkey from 15th-19th September 2025	TURKEY	6,932,440
Executive	4		Facilitation to attend the multi-city leadership reunion, Cape Town, South Africa	SOUTH AFRICA	2,747,572
Executive	1	5th-13th April 2025	Claim for attending the 14th annual affordable housing projects conference 2025 in Kuala Lumpur, Malaysia, from 5th to 13th April 2025	MALAYSIA	578,234
Executive	1	19th August-7th September 2025	Facilitation for travel to Istanbul, Turkey from 2919th august-7th september 2025	TURKEY	1,082,757
Executive	1		Claim for travel to Japan to attend the county business forum on 23rd June 2025	JAPAN	1,067,858
Executive	1		Claim for travel to Denmark to attend the learning programme, practices, tools and technologies for the green transition	DENMARK	471,210
County assembly	7	9th-16th November 2025	Being paid for training on strengthening county oversight in education, Dubai	DUBAI	3,630,424
County assembly	7	6th-13th November 2025	Being paid for training on the public health, resilience and community systems programme-dubai	DUBAI	3,734,836
County assembly	7	7th-14th November 2025	Being paid for training on the infrastructure and project management programme in Dubai	DUBAI	3,790,276
County assembly	1	17th-26th November 2025	Being paid for your cybersecurity conference, Minnesota, U.S.A	USA	649,840
County assembly	7	29th Nov-5th Dec 2025	Being pre-payment for training on the strengthening public accountability and financial transparency programme - Dubai	DUBAI	3,951,976
County assembly	6	7th-14th December 2025	Being pre-payment for training on blue economy entrepreneurship and investment for prosperity programme - Dubai	DUBAI	3,183,864
County assembly	4	5th-12th December 2025	Being pre-paid for training on the financial accountability & oversight programme - Dubai	DUBAI	2,137,360
County assembly	2	3rd-10th December 2025	Being pre-payment for training on strategies for effective youth participation in county assemblies - UK	UK	968,888

Arm of County Government	No. Of Officers Travelled	Dates travelled	Purpose of the travel	Destination	Total Costs of the Travel (Kshs.)
County assembly	5	02nd-09th February 2026	Facilitation to attend training on the constitutional & legal framework governing county assembly service boards	TURKEY	3,165,532
County assembly	2	02nd-09th February 2026	Facilitation to attend training on strengthening governance and human resource management in the county assembly service boards	DUBAI	1,101,944
County assembly	2	10th-17th February 2026	Being paid for training on the financial reporting and accountability programme in Turkey	TURKEY	1,084,000

Source: Mombasa County Treasury and Mombasa County Assembly

3.28.13 Facility Improvement Financing

During the review period, the County reported collections of Kshs.1.72 million as FIF, which was 143 per cent of the annual target of Kshs.1.2 billion. The collected amount was retained and utilised at source in line with the Facility Improvement Financing Act, 2023. The County has developed regulations to operationalise the FIF Act of 2023.

The expenditure by the health facilities amounted to Kshs.740.17 million, as shown in Table 3.422

Table 3.422: Mombasa County Health Facilities Expenditure Performance in the first nine months of FY 2025/26

No.	Health Facility	Number of Facilities	Approved Budget (Kshs.)	Actual Expenditure (Kshs.)	Absorption rate (%)
1.	Level 5 Hospital	1	684,678,500	683,678,500	100
2.	Level 4 Hospital	5	88,303,552.80	36,450,576.17	41
3.	Level 3 Facility	6	14,201,411.83	4,518,356.04	32
4.	Level 2 Facility	38	36,079,004.52	15,523,264.40	43
	Total	**50**	**823,262,469.15**	**740,170,696.61**	90

Source: *Mombasa County Treasury*

3.28.14 Development Expenditure

In the review period, the County reported spending Kshs.910.03 million on development programmes, representing a decrease of 24 per cent compared to FY 2024/25, when the County spent Kshs.1.19 billion. Table 3.423 summarises the development projects with the highest expenditure in the reporting period.

Table 3.423: Mombasa County, List of Development Projects with the Highest Expenditure

Sector	Project Name	Project Location	Contract sum (Kshs. Million)	Budget Allocation (Kshs. Million)	Amount paid (Kshs. Million)	Contract variation (Kshs. Million)	Implementation status (%)	Source of Funding (gok/donor)
Tourism, Culture and Trade	Proposed construction of county aggregation and industrial parks	Countywide	100	100.00	50.63	49.37	51	Gok

Sector	Project Name	Project Location	Contract sum (Kshs. Million)	Budget Allocation (Kshs. Million)	Amount paid (Kshs. Million)	Contract variation (Kshs. Million)	Implementation status (%)	Source of Funding (gok/donor)
Health	Philips casth-lab machine	Mvita	24.51	82.07	24.51	0	100	Gok
Finance and Economic Planning	Proposed water abstraction, purification, and harvesting works in schools in mombasa county	Across County	40.15	40.15	40.15	0	100	Gok
Transport, Infrastructure and Public Works	Proposed construction and improvement of the Mombasa cycle network project	Mvita	104.00	77.00	22.28	81.72	21	Gok
Transport, Infrastructure and Public Works	Proposed construction of Bofu Level Two Hospital in Likoni	Likoni	34.60	50.00	47.24	-12.64	137	Gok
Transport, Infrastructure and Public Works	Proposed construction of a level III health facility in Mjambere ward	Mjambere	65.93	50.00	14.76	51.17	22	Gok
Education	Proposed ecd centre majaoni primary school - kisauni	Kisauni	21.46	77.00	6.19	15.26	29	Gok
Education	Proposed construction of ECD centre at Digirikani Primary School		26.26	77.00	7.17	19.10	27	Gok
Transport, Infrastructure and Public Works	Design and construction of Nyerere Road, A14-Mbaraki Road, C1142 to bitumen standard	Mvita	8.92	77.00	8.92	0	100	Gok
Transport, Infrastructure and Public Works	Proposed routine maintenance, pothole patching and regulation of Kongowea Road		6.62	275.00	6.62	0	100	Gok

Source: Mombasa *County Treasury*

The County did not provide information on stalled projects as of 31st March 2026.

3.28.15 Budget Performance by Department

Table 3.424 summarises the approved budget allocation, expenditure, and absorption rate by department for the period under review.

Table 3.424: Mombasa County, Budget Allocation and Absorption Rate by Department in the first nine months of FY 2025/26

Department	Budget Allocation (Kshs.Millions)		Exchequer Issues (Kshs.Millions)		Expenditure (Kshs. Millions)		Expenditure to Exchequer Issues (%)		Absorption rate (%)	
	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev
County Assembly	740.85	70	588.05	-	531.38	-	90.4	-	72	-
Public Service Board	120.94	10	65.68	-	82.96		126.3	-	69	-
Finance And Economic Planning	880.48	382.51	568.09	151.01	578.77	83.25	101.9	55	66	22
Health	4,184.84	600	2,690	24.51	2,627.54	369.12	97.7	1,506	63	62
Transport, Infrastructure & Public Works	686.57	743.54	500.38	93.41	437.24	277.22	87.4	297	64	37
Environment And Governance	897.02	786.05	650.17	-	606.96	40.31	93.4	-	68	5
Education	554.38	227.50	478.21	50.78	292.74	52.27	61.2	103	53	23
Water, Natural Resources, and Climate Change Resilience	217.22	334.50	124.67	-	124.69	-	100.0	-	57	-
Public Service Administration, Youth,Gender,Social Services and Sports.	774.02	-	328.06	-	339.98	2.72	103.6	-	44	-
Tourism, culture & Trade	438.46	37	311.84	53.80	280.91	50.63	90.1	94	64	137
Lands, Urban Renewal, and Housing	185.07	570.30	132.05	-	124.96	20	94.6	-	68	4
Blue Economy, Cooperatives, Agriculture, and Livestock	177.97	151	130.79	-	108.06	11.51	82.6	-	61	8
County Attorney	98.01	460	82.92	-	73.41	-	88.5	-	75	-
County Executive	223.46	78.30	174.73	-	167.53	3	95.9	-	75	4
Total	**10,179.29**	**4,450.71**	**6,825.64**	**373.51**	**6,377.12**	**910.03**	**93.4**	**244**	**63**	**20**

Source: *Mombasa County Treasury*

Analysis of expenditure by departments shows that the Department of Tourism, Culture and Trade recorded the highest absorption rate of development budget at 137 per cent, followed by the Department of Health at 62 per cent. The Department of County Executive had the highest percentage of recurrent expenditure to budget at 75 per cent, while the Department of Public Service and Administration had the lowest at 44 per cent.

3.28.16 Budget Execution by Programmes and Sub-Programmes

Budget execution was concentrated in selected performance bands. In the 1–10 per cent band, development absorption was reported for youth affairs and sports development under the Department of Public Service Administration, Youth, Gender and Social Services at 1 per cent, for safety, risk and disaster management services under the Department of Transport, Infrastructure and Public Works at 5 per cent, and for land administration and valuation under the Department of Land, Urban Renewal and Housing at 7 per cent. Recurrent absorption was reported for sanitation services and management at 1 per cent and water supply and management at 3 per cent under the Department of Water, Natural Resources and

Climate Change Resilience, for county administration and Serikali Mitaani at 1 per cent and inspectorate, enforcement and compliance at 2 per cent under the Department of Environment and Governance, and for livestock production at 3 per cent under the Department of Blue Economy, Cooperatives, Agriculture and Livestock.

In the 11–20 per cent band, development absorption was reported for crops development under the Department of Blue Economy, Cooperatives, Agriculture and Livestock at 14 per cent and for trade development and markets and consumer protection under the Department of Tourism, Culture and Trade at 15 per cent.

In the 71–80 per cent band, recurrent absorption was reported for the planning and monitoring unit under the Department of Finance and Economic Planning at 77 per cent, for legal under the County Assembly at 78 per cent, and for the administration unit under the Department of Finance and Economic Planning at 80 per cent. In the 81–90 per cent band, development absorption was reported for county public works at 81 per cent, while recurrent absorption was recorded for general administration and support services under the Department of Transport, Infrastructure and Public Works at 82 per cent and for general administration and human resource planning services under the County Executive at 86 per cent.

In the 90–100 per cent band, development absorption reached 95 per cent for mechanical and electrical services and 94 per cent for transportation management under the Department of Transport, Infrastructure and Public Works. In the band above 100 per cent, development absorption reached 130 per cent for preventive and promotive health services and 363 per cent for curative and clinical health services under the Department of Health.

Low absorption in the lower performance bands reflected single-digit implementation across youth and sports, disaster management, land administration, sanitation, water, county administration and livestock sub-programmes. Conversely, performance in the higher bands reflected the prioritisation of the respective sub-programmes during the review period.

Table 3.425 summarises budget execution by programmes and sub-programmes in the period under review with the highest absorption rates.

Table 3.425: Budget Execution by Programmes and Sub-Programmes with Highest Absorption Rates

Programme	Sub-Programme	Gross Approved Estimates FY 2025/26 (Kshs.)	Expenditure (including accrued expenditure) as of 31st March 2026 (Kshs.)	Absorption Rate (%)
		Dev	Dev	Dev
DEVELOPMENT				
Health	Curative/Clinical Health Services	59,625,067.56	216,613,683.56	363
	Preventive and Promotive Health Services	27,000,000	35,000,000	130
Transport, Infrastructure & Public Works	Mechanical and Electrical Services	63,105,000	60,105,000	95
	Transportation Management	84,800,000	79,800,000	94
	County Public Works	55,000,000	44,582,370.98	81
RECURRENT				
County Executive	General Administration and Human Resource Planning Services	162,498,066	139,760,949.52	86
Transport, Infrastructure & Public Works	General Administration and Support Services	469,705,051	384,642,800.48	82
Finance & Economic Planning	Administration Unit	543,911,903	437,566,742.45	80
	Planning and Monitoring Unit	53,064,625.30	41,094,044.63	77

Programme	Sub-Programme	Gross Approved Estimates FY 2025/26 (Kshs.)	Expenditure (including accrued expenditure) as of 31st March 2026 (Kshs.)	Absorption Rate (%)
		Dev	Dev	Dev
County Assembly	Legal	109,942,762	86,054,244	78

Source: *Mombasa County Treasury*

The development sub-programmes with the highest budget implementation rates were: curative/clinical health services in the Department of Health at 363 per cent, preventive and promotive health services in the Department of Health at 130 per cent, and mechanical and electrical services at 95 per cent in the Department of Transport, Infrastructure and Public Works.

For recurrent sub-programmes, the top performers included: General Administration and Human Resource Planning Services in the Department of County Executive at 86 per cent, General Administration and Support Services in the Department of Transport, Infrastructure and Public Works at 82 per cent, and the Administration unit in the Department of Finance and Economic Planning at 80 per cent.

Table 3.426 summarises the budget execution by programmes and sub-programmes in the period under review that had the lowest absorption rates.

Table 3.426: Budget Execution by Programmes and Sub-Programmes with Lowest Absorption Rates

Programme	Sub-Programme	Gross Approved Estimates FY 2025/26 (Kshs.)	Expenditure (including accrued expenditure) as of 31st March 2026 (Kshs.)	Absorption Rate (%)
		Dev	Dev	Dev
DEVELOPMENT				
PUBLIC SERVICE ADMINISTRATION, YOUTH, GENDER AND SOCIAL SERVICES				
1	Youth Affairs & Sports Development	210,200,000	2,715,016	1
TRANSPORT, INFRASTRUCTURE &PUBLIC WORKS				
2	Safety, Risk and Disaster Management Services	6,357,752	322,500	5
LAND, URBAN RENEWAL & HOUSING				
3	Land Administration and Valuation	270,000,000	20,000,000	7
BLUE ECONOMY, CO-OPERATIVES, AGRICULTURE & LIVESTOCK				
4	Crops Development	16,000,000	2,273,000	14
TOURISM, CULTURE &TRADE				
5	Trade Development and Markets/ Consumer Protection	334,500,000	50,626,770	15
RECURRENT				
WATER, NATURAL RESOURCES & CLIMATE CHANGE RESILIENCE				
6	Sanitation Services and Management	10,000,000	98,400	1
7	Water Supply and Management	5,100,000	141,600	3
ENVIRONMENT &GOVERNANCE				
8	County Administration and Serikali Mitaani	44,870,000	464,250	1

Programme	Sub-Programme	Gross Approved Estimates FY 2025/26 (Kshs.)	Expenditure (including accrued expenditure) as of 31st March 2026 (Kshs.)	Absorption Rate (%)
		Dev	Dev	Dev
9	Inspectorate, Enforcement and Compliance	6,450,000	120,800	2
BLUE ECONOMY, CO-OPERATIVES, AGRICULTURE & LIVESTOCK				
10	Livestock Production	7,575,457.40	235,000	3

Source: *Mombasa County Treasury*

The development sub-programmes with the lowest budget implementation rates were as follows: Youth Affairs & Sports Development in the Department of Public Service Administration, Youth, Gender And Social Services at 1 per cent, Safety, Risk and Disaster Management Services in the Department of Transport, Infrastructure &Public Works at 5 per cent, and Land Administration and Valuation at 7 per cent in the department of Land, Urban Renewal & Housing

For recurrent sub-programmes, the poorest performers included: Sanitation Services and Management, in the Department of Water, Natural Resources & Climate Change Resilience at 1 per cent, County Administration and Serikali Mitaani in the Department of Environment & Governance at 1 per cent, and Inspectorate, Enforcement and compliance in the Department of Environment & Governance at 2 per cent.

3.28.17 Settlement of Trade Payables

As of 1st July 2025, the County reported trade payables totalling Kshs.3.87 billion. This amount consisted of Kshs.3.75 billion from the County Executive and Kshs.118.40 million from the County Assembly. The trade payables from the County Executive comprised Kshs.2.44 billion for recurrent expenditure and Kshs.1.31 billion for development expenditure.

During the reporting period, the County Executive settled trade payables amounting to Kshs.667.75 million, comprising Kshs.627.60 million (26 per cent) for recurrent programmes and Kshs.40.15 million (3 per cent) for development programmes. On the other hand, the County Assembly settled trade payables amounting to Kshs.104.02 million for recurrent activities (88 per cent). The outstanding trade payables as of 31st March 2026 were Kshs.1.97 billion for County Executive and Kshs.14.38 million for County Assembly.

Table 3.427 provides additional details of trade payables.

Table 3.427: Mombasa County Trade Payables as of 31st March 2026

	County Entity	Development	Recurrent	Total
As at 1 July 2025 (End of FY 2024/25)	County Executive	1,310,750,537	2,439,361,521	3,750,112,058
	County Assembly	-	118,396,110	118,396,110
	Total	1,310,750,537	2,557,757,631	3,868,508,168
Amount paid in FY 2025/26	County Executive	40,150,000	627,603,901	667,753,901
	County Assembly	-	104,015,764	104,015,764
	Total	40,150,000	731,619,665	771,769,665
Trade Payables Incurred in FY 2025/26	County Executive	-	-	-
	County Assembly	-	-	-
	Total	-	-	-
Outstanding Trade Payables as of 31 December 2025 (Kshs.)	County Executive	1,270,600,537	700,018,248	1,970,618,785
	County Assembly	-	14,380,346	14,380,346
	Total	1,270,600,537	714,398,594	1,984,999,131

Source: *Mombasa County Treasury*

The County Executive and the Assembly submitted a trade payables payment plan, committing to pay Kshs.762.85 million and Kshs.93.09 million on recurrent and development expenditure, respectively, in FY

2025/26. The County did not adhere to this payment plan, as it cleared Kshs.667.75 million for the Executive and Kshs.104.02 million for the Assembly.

Table 3.428 and Table 3.429 present the ageing of the total outstanding bills as of 31st March 2026 for the County Executive and Assembly, which were Kshs.1.98 billion.

Table 3.428: Mombasa County Executive Trade Payables Ageing Analysis as of 31st March 2026

Category	Ageing analysis (Amount in Kshs.)				Total
	Under one year	1-2 years	2-3 years	Over 3 years	
County Executive					
Development Trade Payables	19,826,289.4	-	-	1,250,774,247	1,270,600,537
Recurrent Trade Payables (Goods & Services)	16,122,539	-	-	679,403,371	695,525,910
Recurrent Trade Payables (Salary Arrears and Statutory Deductions)	4,492,338	-	-	-	4,492,338
Recurrent Trade Payables (Staff Claims)	-	-	-	-	-
Total Recurrent Trade Payables	20,614,877	-	-	679,403,371	700,018,248
Total Trade Payables	**-**	**-**	**-**	**1,930,177,618**	**1,970,618,785**
% of Total	**-**	**-**	**-**	**98.65**	**100**

Source: *Mombasa County Treasury*

Table 3.429: Mombasa County Assembly Trade Payables Ageing Analysis as of 31st March 2026

Category	Ageing analysis (Amount in Kshs.)				Total
	Under one year	1-2 years	2-3 years	Over 3 years	
County Assembly					
Development Trade Payables	-	-	-	-	-
Recurrent Trade Payables (Goods & Services)	5,705,157	2,549,009		1,263,098	9,517,264
Recurrent Trade Payables (Salary Arrears and Statutory Deductions)	-	-	-	-	-
Recurrent Trade Payables (Staff Claims)	4,863,082				4,863,082
Total Recurrent Trade Payables	10,568,239	2,549,009	-	1,263,098	14,380,346
Total Trade Payables	**10,568,239**	**2,549,009**	**-**	**1,263,098**	**14,380,346**
% of Total	**73**	**18**	**-**	**9**	**100**

Source: *Mombasa County Treasury*

As shown in Table 3.428 and Table 3.429, the total salary arrears and statutory deductions for trade payables amounted to Kshs 704.51 million, which represented 35 per cent of the total trade payables of Kshs 1.97 billion as of March 31, 2026.

Additionally, the two tables indicate that 99 per cent of total trade payables are aged over 3 years. To address this, the county treasury should implement a First-In-First-Out (FIFO) payment approach and adhere to the trade payables action plan established at the beginning of the financial year.

3.28.18 General Observations and Recommendations

In the course of overseeing and reporting on the implementation of the Mombasa County budget, the CoB identified the following challenges, which hampered effective budget implementation;

i. The County Treasury's late submission of financial reports to the Controller of Budget affected the timely preparation of the budget implementation report, which was received on 5th May 2026.

ii. High levels of trade receivables, which amounted to Kshs.14.51 billion as of 31st March 2026.
iii. Low development performance in the review period as the County incurred Kshs.910.03 million on development activities, achieving a 20 per cent absorption rate.
iv. Regulation 197(1)(i) of the Public Finance Management (County Governments) Regulations, 2015, limits the lifespan of public funds to 10 years unless extended by the County Assembly. As of 31st March 2026, the lifespan of the Mombasa County Alcoholic Drink Control Fund had lapsed, making it ineligible for further withdrawals.
v. Fund Administrators failed to submit quarterly financial and non-financial reports to the CoB within the timelines provided by law, which is against the requirement of Section 168 of the PFM Act, 2012. The reports for the Emergency Fund and Ardhi Fund were not submitted to the CoB as of 15 April 2026.
vi. High level of trade payables, which amounted to Kshs.1.98 billion as of 31st March 2026. Furthermore, the County Treasury did not adhere to the trade payables payment plan.
vii. Use of manual payroll. Personnel emoluments amounting to Kshs.118.65 million for staff not onboarded into HRIS were processed through manual payroll, accounting for 2 per cent of the total payroll cost. Manual payroll is prone to abuse and may result in the loss of public funds.
viii. Non-submission of copies of authorisation letters for opening commercial bank accounts as per Regulation 82(5) of the Public Finance Management (County Governments) Regulations, 2015.
ix. The County reported Kshs.130.67 million under "*other operating expenses,*" accounting for 12 per cent of total operation and maintenance costs. The review revealed that this category was misused to record items with specific budget codes, distorting the cost structure, reducing financial transparency, and weakening accountability in public fund management.
x. The actual expenditure on FIF amounted to 43 per cent of the total receipts, which is considerably below the expected level, indicating a significant underspending.

The County should implement the following recommendations to improve budget execution:

i. *The County Treasury should ensure the timely preparation and submission of financial reports to the Controller of Budget per the timelines prescribed in Section 166 of the PFM Act, 2012.*
ii. *The County should institute measures to ensure that revenue receivables due are recovered to enable the County to increase its cash flow.*
iii. *The County should implement strategies to increase development expenditures in FY 2025/26.*
iv. *The County should ensure timely review and extension of public funds whose lifespans are nearing expiration or have lapsed to prevent operational disruptions. Additionally, any expenditure from lapsed funds should cease immediately, and legal mechanisms should be followed to re-establish or wind up such funds in compliance with the Public Finance Management Act.*
v. *The CECMF should follow up to ensure Fund Administrators prepare and submit statutory reports in line with the PFM Act, 2012.*
vi. *The County Leadership should address the situation of trade payables to ensure that genuine bills are paid promptly in the remaining financial year. Further, compliance with the Trade Payables Action Plan should be enforced.*
vii. *The Government requires that salaries be processed through the HRIS system, and the County is advised to fast-track the acquisition of Unified Personnel Numbers for their staff. The County Public Service Board should regulate staff engagement on contract and casual workers as provided under Section 74 of the County Governments Act 2012. Furthermore, strict adherence to the approved staff establishment should be maintained.*
viii. *The County Treasury should ensure it submits copies of authorisation letters to the CoB for opening commercial bank accounts to enhance accountability and oversight.*
ix. *The County Treasury should adhere to the approved budget classification framework by ensuring that all expenditures are recorded under their specific budget codes rather than being aggregated under the "Other Operating Expenses" category.*
x. *The County treasury should investigate low FIF absorption, streamline implementation, and ensure compliance with public finance regulations to enhance service delivery.*

3.29. County Government of Murang'a

3.29.1 Overview of FY 2025/269 Budget

The Murang'a County Approved Budget for FY 2025/26 is Kshs.11.72 billion. It comprises Kshs.7.89 billion (68 per cent) and Kshs.3.83 billion (32 per cent) allocation for recurrent and development programmes, respectively. The budget estimates represent an increase of Kshs.973.09 million (9 per cent) from the FY 2024/25 budget, which comprised a development budget of Kshs.3.22 billion and a recurrent budget of Kshs.7.53 billion. The increase in the budget was primarily attributed to an increase in the equitable share and additional county government allocations.

The budget is to be financed from various revenue sources. These include; the equitable share of revenue raised nationally of Kshs.8.04 billion (69 per cent), additional allocations of Kshs.1.47 billion (13 per cent), a cash balance of Kshs.600 million (5 per cent) brought forward from FY 2024/25, and Kshs.1.61 billion (14 per cent) generated as own-source revenue. A breakdown of the additional allocations is shown in Table 3.430

3.29.2 Revenue Performance

During the first nine months of FY 2025/26, the County reported total revenues amounting to Kshs.7.21 billion. This amount represented an increase of 20 per cent compared to the amount received in a similar period in FY 2024/25 of Kshs.5.99 billion. The total revenue consisted of Kshs.5.41 billion from the equitable share of revenue raised nationally, additional allocations from the national government and development partners of Kshs.585.25 million, and own-source revenue (OSR) collection of Kshs.1.16 billion. Additionally, the County had a cash balance of Kshs.127.93 million from FY 2024/25. The total OSR collection of Kshs.1.16 billion included Facilities Improvement Financing (FIF) of Kshs.656.86 million, and Kshs.503.65 million from other OSR sources. Table 3.430 summarises the total revenue available to the County Government during FY 2025/26.

Table 3.430: Murang'a County, Revenue Performance in the first nine months of FY 2025/26

No	Revenue Stream	Annual Targeted Revenue (Kshs.)	Actual Receipts (Kshs.)	Receivables in the First Nine Months of FY 2025/26 (Kshs.)	Total Revenues (in accrual basis) in the First Nine Months of FY 2025/26 (Kshs.)	Variance (Kshs.)
		A	B	C	D=B+C	E=A-D
A	**Unspent Balance from FY 2024/25**	**600,000,000**	**127,932,878**	**-**	**127,932,878**	**600,000,000**
1	Balance at CRF	-	-	-	-	-
2	County Executive Refunds to CRF	-	1,904,365	-	1,904,365	- 1,904,365
3	County Assembly Refunds to CRF	-	1,333	-	1,333	- 1,333
	Sub-Total	**600,000,000**	**129,838,575**	**-**	**1,905,697**	**- 1,905,697**
B	**Equitable Share of Revenue Raised Nationally**					
1	Equitable Share	8,039,755,314	5,407,037,828	637,557,190	6,044,595,018	637,557,190
	Sub-Total	**8,039,755,314**	**5,407,037,828**	**637,557,190**	**6,044,595,018**	**637,557,190**
C	**Additional Allocations (Including Grants)**					
1	Nutrition International	20,000,000	-	-	-	-
2	Financing Locally Led Climate Action	191,459,226	117,703,420	-	117,703,420	73,755,806
3	Road Maintenance Levy Fund	270,941,894	94,718,150	-	94,718,150	176,223,744

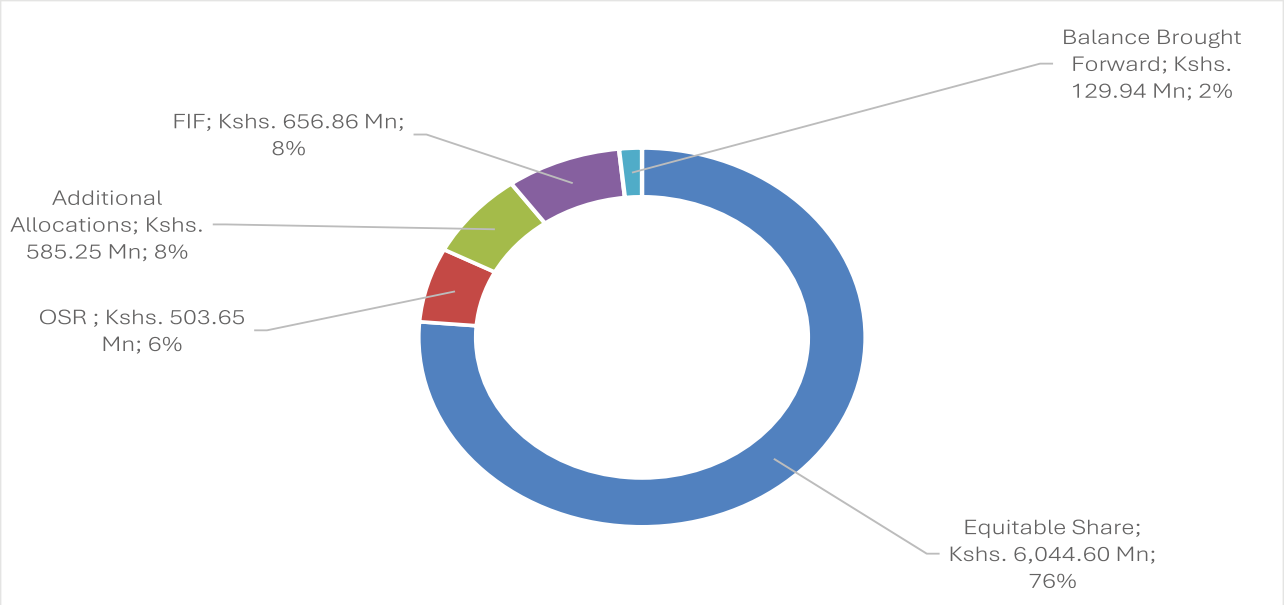
No	Revenue Stream	Annual Targeted Revenue (Kshs.)	Actual Receipts (Kshs.)	Receivables in the First Nine Months of FY 2025/26 (Kshs.)	Total Revenues (in accrual basis) in the First Nine Months of FY 2025/26 (Kshs.)	Variance (Kshs.)
		A	B	C	D=B+C	E=A-D
4	County Government Health Workers	56,993,611	-	-	-	56,993,611
5	Community Health Promoters	46,050,000	-	-	-	46,050,000
6	Primary Health Care in a Devolved Context	9,701,250	9,701,250	-	9,701,250	-
7	Additional Allocation for Court Fines	70,740,842	-	--	-	70,740,842
8	Kenya Agricultural Business Development Program	10,918,919	-	-	-	10,918,919
9	Kenya Devolution Support Program Level I	37,500,000	35,253,471	-	35,253,471	2,246,529
10	Kenya Devolution Support Program Level II	352,500,000	-	-	-	352,500,000
11	National Agricultural Value Chain Development Program (NAVCDP)	151,515,152	151,515,152	-	151,515,152	-
12	Kenya Urban Support Program - UIG	28,000,000	-	-	-	28,000,000
13	Kenya Urban Support Program UDG	124,000,000	-	76,357,098	76,357,098	47,642,902
14	County Aggregated Industrial Parks (CAIPs)	100,000,000	100,000,000	-	100,000,000	-
	Sub-Total	**1,470,320,894**	**508,891,443**	**96,357,098**	**585,248,541**	**865,072,353**
D	**Ordinary Own Source Revenue (OSR)**					
1	Licences	280,817,722	169,162,653	-	169,162,653	111,655,069
2	Land Rate	84,779,603	40,319,962	-	40,319,962	44,459,641
3	Cess Revenue	10,214,244	6,383,235	-	6,383,235	3,831,009
4	House Rent/Stall/ Hall	3,733,487	560,800	-	560,800	3,172,687
5	Bus Park Fee	43,262,230	32,444,906	-	32,444,906	10,817,324
6	Parking Fee	21,946,265	15,859,415	-	15,859,415	6,086,850
7	Barter Market Fee	55,174,115	39,069,950	-	39,069,950	16,104,165
8	Self-Help Group	424,793	219,240	--	219,240	205,553
9	Liquor	116,351,746	55,838,309	-	55,838,309	60,513,437
10	Motor Bikes/Tuk Tuk	9,540,079	5,670,719	-	5,670,719	3,869,360
11	Bldg. Mts & Another Cess	81,302,423	54,450,880	-	54,450,880	26,851,543
12	Advertisement	14,063,918	5,370,661	-	5,370,661	8,693,257

No	Revenue Stream	Annual Targeted Revenue (Kshs.)	Actual Receipts (Kshs.)	Receivables in the First Nine Months of FY 2025/26 (Kshs.)	Total Revenues (in accrual basis) in the First Nine Months of FY 2025/26 (Kshs.)	Variance (Kshs.)
		A	B	C	D=B+C	E=A-D
13	Lands & Planning Revenue	72,438,731	54,524,931	-	54,524,931	17,913,800
14	Impounding Fees	3,459,808	2,231,337	-	2,231,337	1,228,471
15	Other Revenues	3,742,563	1,786,591	-	1,786,591	1,955,972
16	Fire Fighting	1,571,460	1,564,000	-	1,564,000	7,460
17	Mariira Farm	1,112,307	275,784	-	275,784	836,523
18	Cooperatives (Audit)	87,483	40,670	-	40,670	46,813
19	Veterinary Services	20,625,011	13,785,267	-	13,785,267	6,839,744
20	Public Health	3,304,566	4,016,307	-	4,016,307	- 711,740
21	Weight & Measures	612,480	74,800	-	74,800	537,680
22	Land Leasing	190,000,000	-	-	-	190,000,000
	Sub-Total	**1,018,565,034**	**503,650,416**	**-**	**503,650,416**	**514,914,618**
E	**Facility Improvement Financing (FIF)**					
1	Other	588,104,199	656,856,138	-	656,856,138	65,751,939
	Sub-Total	**588,104,199**	**656,856,138**	**-**	**656,856,138**	**68,751,939**
	Grand Total	**11,716,745,441**	**7,211,953,980**	**733,914,288**	**7,797,935,390**	**2,035,638,463**

Source: *Murang'a County Treasury*

The County Government does not have a domesticated legislation governing the operation of A-I-A and FIF. Figure 3.169 provides a detailed breakdown of receipts.

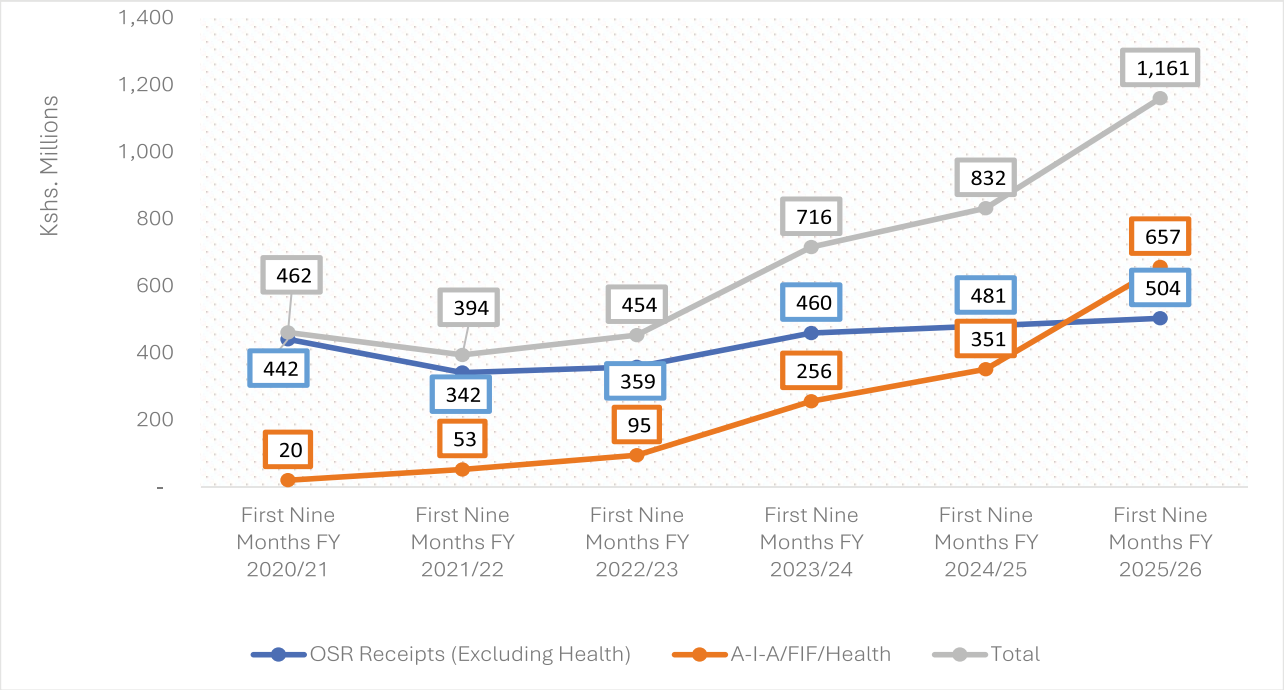
Figure 3.169: Murang'a County Composition of Revenue in the first nine months of FY 2025/26



Source: *Murang'a County Treasury*

The equitable share of revenue raised nationally, OSR, and FIF contributed 76 per cent, 7 per cent and 9 per cent, respectively, of the total receipts for the reporting period.Figure 3.169 shows the collection trend in own-source revenue from the first nine months of FY 2020/21 to the first nine months of FY 2025/26.

Figure 3.170: Murang'a County Trend in Own-Source Revenue Collection from the first nine months of FY 2020/21 to the first nine months of FY 2025/26



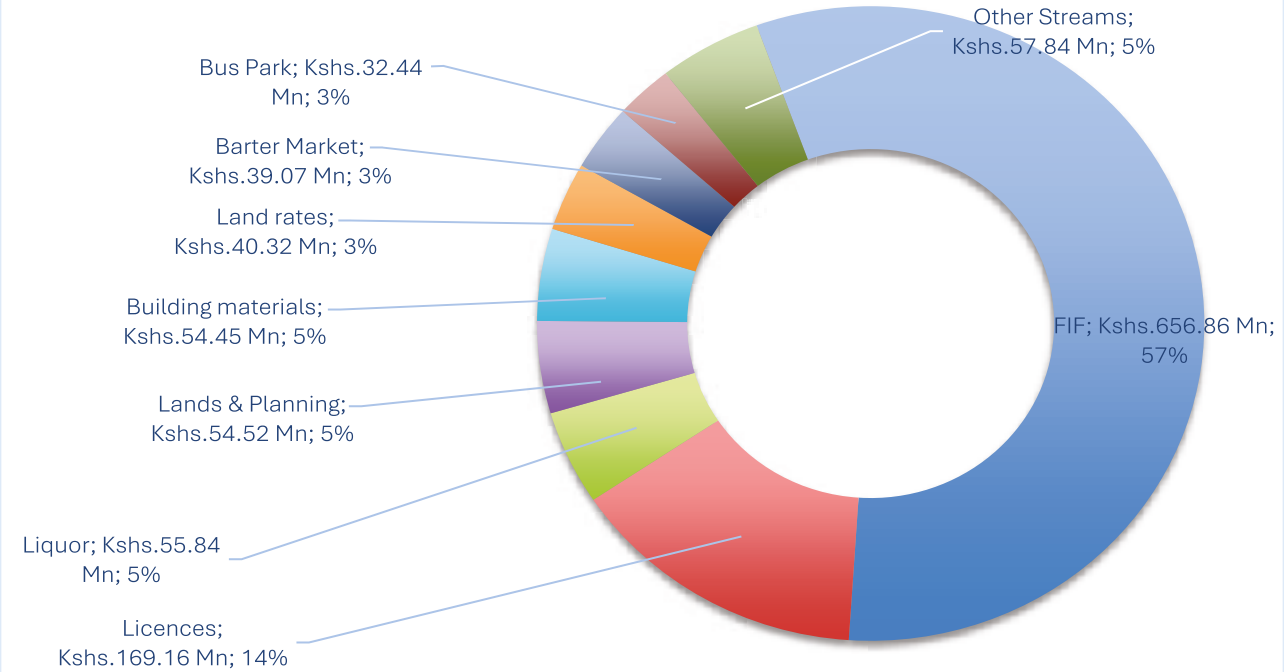
Source: *Murang'a County Treasury*

During the first nine months of FY 2025/26, the County received Kshs.1.16 billion from OSR, including FIF. This amount was an increase of 39 per cent compared to Kshs.832.42 million realised in a similar period in FY 2024/25, and was 72 per cent of the annual target and 21 per cent of the equitable revenue share disbursed.

The increase in OSR was attributed to higher revenue from F-I-F. The County recorded an 87 per cent increase in FIFF compared to the same period in FY 2024/25.

The revenue streams that contributed the most to OSR receipts are shown in Figure 3.171.

Figure 3.171: Murang'a County Top Own Source Revenue Streams in the first nine months of FY 2025/26



Source: Murang'a County Treasury

As shown in Figure 3.171 , the largest revenue stream, at Kshs.656.86 million was FIF, accounting for 57 per cent of total OSR receipts. The County Government indicated that it has automated all 25 revenue streams. The system utilised for FIF revenue collection is AfyaKE, which has been in use since 1st of July 2023.

3.29.3 Revenue Receivables

As of 1st July 2025, the County reported revenue receivables of Kshs.41.83 million, which remained the same as of 31st March, 2026. The County manages its revenue receivables using the county revenue system with the accrual-basis option. Table 3.431 presents a breakdown of the County's revenue receivables.

Table 3.431: Muranga County Revenue Receivables as of 31st March 2026

No	Revenue Stream	Revenue Receivables as of 1 July 2025 (Kshs. Million)	Progress made in the first nine months of FY 2025/26			OSR Receivables as of 31st March 2026 (Kshs.Million)
			Waivers (Kshs.Million)	Receivables paid in the financial year (Kshs.Million)	Receivables earned in the first nine months of FY 2025/26 (Kshs.Million)	
		A	B	C	D	f=a-b-c+d
A	**Equitable Share of Revenue Raised Nationally**					
1	March 2026	-	-	-	**637.56**	**637.56**
	Sub-Total				**637.56**	**637.56**
B	**Ordinary Own Sources of Revenue**					
1	**Plot Rates**	**41.83**	-	-	-	**41.83**
	Sub-Total	**41.83**	-	-	-	**41.83**
	Total	**41.83**	-	-	**637.56**	**679.38**

Source: Murang'a *County Treasury*

As of 31st March 2026, the revenue receivables totalled Kshs.679.38 million, comprising Kshs.637.56 million for the March equitable share and plot rates receivables of Kshs.41.83 million. The measures instituted by the County to collect outstanding receivables in FY 2025/26 include ongoing reminders and follow-up with plot owners to settle their arrears.

3.29.4 Borrowing by the County

Murang'a County Executive and County Assembly did not report any credit facilities or short-term borrowing with commercial banks during the period under review.

3.29.5 Withdrawals from the County Revenue Fund and County Assembly Fund

During the reporting period, the Controller of Budget approved exchequer withdrawal requests totalling Kshs.6.04 billion from the Murang'a County Revenue Fund (CRF) account. This amount consisted of Kshs.1.46 billion (38 per cent) designated for development programs and Kshs.4.57 billion (58 per cent) allocated for recurrent programs.

An analysis of the released recurrent exchequers shows that Kshs.3.27 billion was allocated to employee compensation and Kshs.1.30 billion to operations and maintenance expenditures. Within the operations and maintenance category, 35 per cent was for domestic travel and 0.4 per cent for foreign travel. The domestic travel exchequers totalled Kshs.216.69 million, which included Kshs.72.7 million for the County Executive and Kshs.143.99 million for the County Assembly. Equally, the foreign travel exchequers amounted to Kshs.2.56 million for the County Executive, while the County Assembly did not receive any exchequer funds for foreign travel.

As of 31st March 2026, the County Government's cash balance in the Murang'a County CRF account was Kshs.1.16 billion.

In addition, the Controller of Budget approved exchequer withdrawal requests totalling Kshs.465.10 mil-

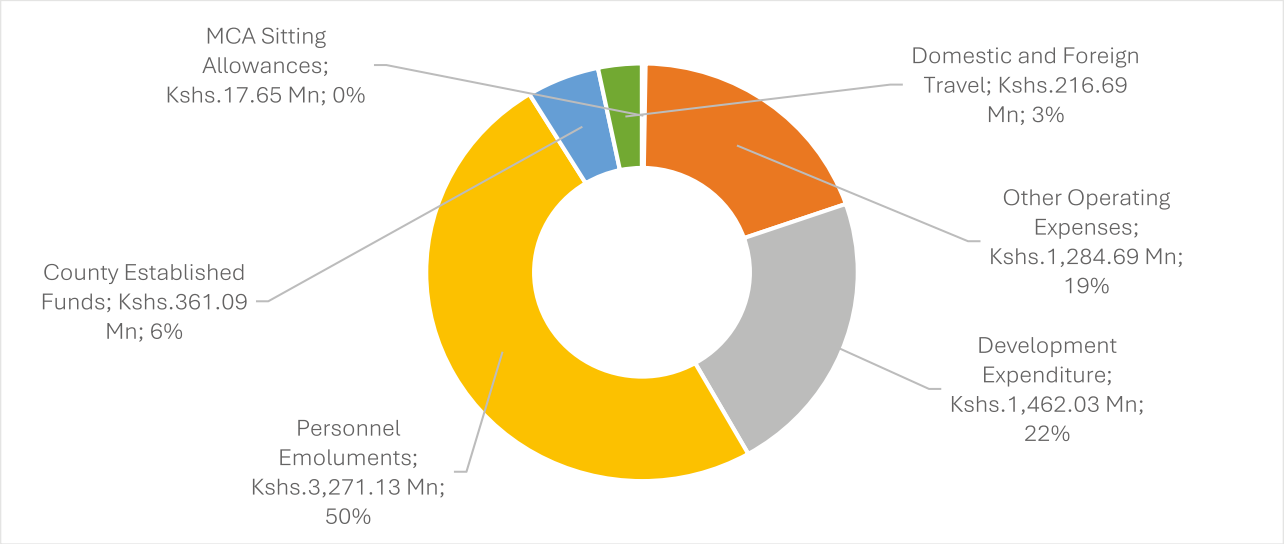
lion from the Murang'a County Revenue Fund (CRF) account for the County Assembly during the review period. This amount was entirely for recurrent activities.

3.29.6 Expenditure Review

The County spent Kshs.6.04 billion on development and recurrent programmes during the reporting period. The expenditure represented 100 per cent of the total funds released by the CoB. It comprised Kshs.1.46 billion for development programmes and Kshs.4.57 billion for recurrent programmes. Expenditure on development programmes accounted for 38 per cent of the annual development expenditure budget, while recurrent expenditure accounted for 58 per cent of the annual recurrent expenditure budget.

Figure 3.172 provides a detailed breakdown of total expenditure.

Figure 3.172: Murang'a County Composition of Expenditure in the first nine months of FY 2025/26



Source: Murang'a *County Treasury*

As shown in Figure 3.172, the three highest expenditure categories were personnel emoluments, Development Expenditure, and other operating expenses, contributing 50, 22 and 19 per cent of total expenditure for the reporting period.

3.29.7 Expenditure by Economic Classification

The County Executive incurred Kshs.3.02 billion in employee compensation, Kshs.1.09 billion in operations and maintenance, and Kshs.1.46 billion in development activities. Similarly, the County Assembly spent Kshs.254.77 million on compensation of employees, Kshs.210.33 million on operations and maintenance, as shown in Table 3.432: Muranga County Summary of Budget and Expenditure by Economic Classification Table 3.432

Table 3.432: Muranga County Summary of Budget and Expenditure by Economic Classification

Expenditure Classification	Approved Budget (Kshs.) (a)		Amount Paid in the first nine months of FY 2025/26 (Kshs.) (b)		Expenditure Accrued in the first nine months of FY 2025/26 (Kshs.) (c)		Total Expenditure in the first nine months of FY 2025/26 (Kshs.) (d=b+c)		Absorption (%) (d/a*100)	
	Executive	Assembly	Executive	Assembly	Executive	Assembly	Executive	Assembly	Executive	Assembly
Total Recurrent Expenditure	**7,071.12**	**816.71**	**4,108.37**	**465.10**	**-**	**-**	**4,108.38**	**465.10**	**58**	**57**
Compensation of Employees	4,855.39	397.24	3,016.36	254.77	-	-	3,016.36	254.77	62	64
Operations and Maintenance	2,215.72	419.47	1,092.00	210.33	-	-	1,092.00	210.33	49	50
Development Expenditure	**3,798.92**	**30.00**	**1,462.03**	**-**	**-**	**-**	1,462.03	-	**38**	**-**

Expenditure Classification	Approved Budget (Kshs.) (a)		Amount Paid in the first nine months of FY 2025/26 (Kshs.) (b)		Expenditure Accrued in the first nine months of FY 2025/26 (Kshs.) (c)		Total Expenditure in the first nine months of FY 2025/26 (Kshs.) (d=b+c)		Absorption (%) (d/a*100)	
	Executive	Assembly	Executive	Assembly	Executive	Assembly	Executive	Assembly	Executive	Assembly
Total	10,870.03	846.71	5,570.40	465.10	-	-	5,570.40	465.10	51	55

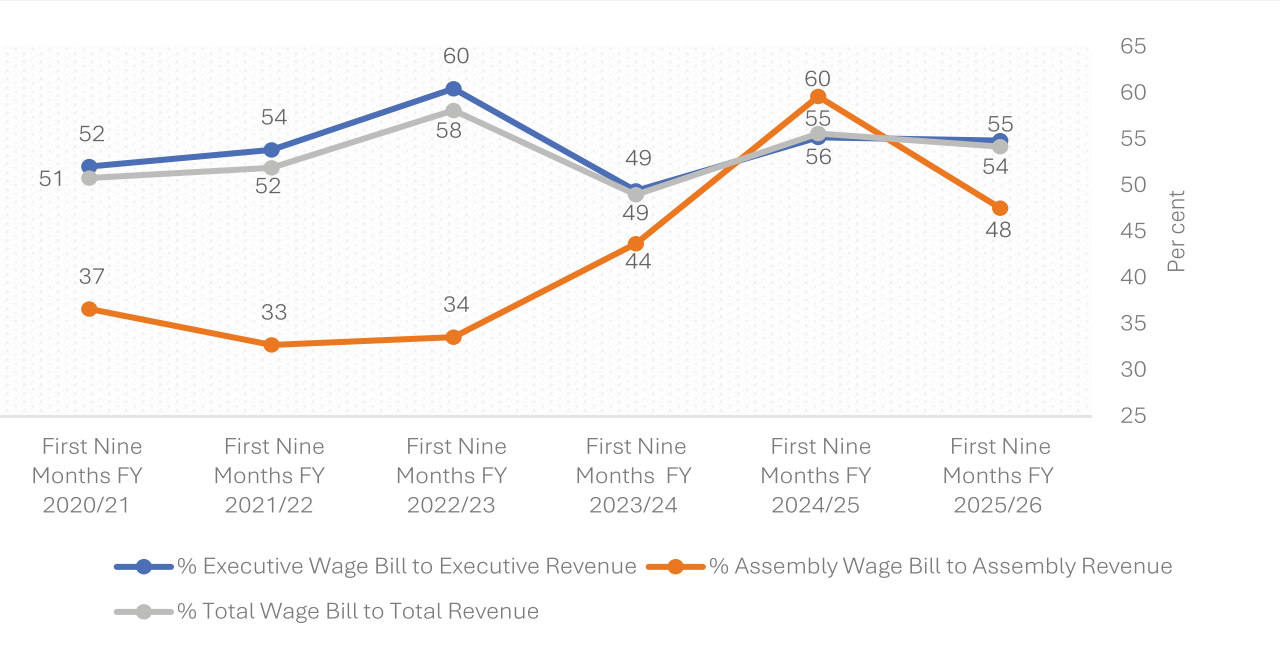
Source: *Murang'a County Treasury*

3.29.8 Expenditure on Employee Compensation

The expenditure on employee compensation totalled Kshs.3.27 billion, representing 54 per cent of revenue. This expenditure on employee compensation shows an increase compared to the Kshs.3.08 billion reported in a similar period in FY 2024/25. Of this total, Kshs.1.36 billion related to Health sector employees, accounting for 42 per cent of the overall employees' compensation.

Figure 3.173 shows the trend in employee compensation as a percentage of total revenue from the first nine months of FY 2020/21 to the first nine months of FY 2025/26.

Figure 3.173: Percentage of Employee Compensation Expenditure to Total Revenue Received in the first nine months of FY 2020/21 to the first nine months of FY 2025/26



Source: Murang'a County Treasury

Further analysis indicated that PE costs totalling Kshs.3.15 billion were processed through the Human Resource Information System (HRIS). In contrast, Kshs.123.63 million was processed through manual payroll, which accounted for 4 per cent of the total PE cost. The justification for the continued use of manual payroll is due to the delay from the Directorate of Public Service Management (DPSM) issuing the officers with personal numbers to allow for integration into the Human Resource Information System (HRIS), and the County Government runs an internship program, and as such, interns are not integrated into the HRIS.

The manual payroll comprised salaries for 18 staff not onboarded into the Human Resource Information System (HRIS), salaries for 5 casual staff, Salaries for 257 interns, and stipends for 1997 Community Health Promoters, as shown in Table 3.433.

Table 3.433: Breakdown of Murang'a County Manual Payroll

Sno.	Description of Manual Payroll	Amount (Kshs.)
1	Salaries for staff yet to be onboarded into HRIS	33,683,334
2	Salaries for casual staff	1,172,528

Sno.	Description of Manual Payroll	Amount (Kshs.)
3	CHPs Stipend	39,595,000
4	Allowances for Interns	49,179,460.
	Total	**123,630,323**

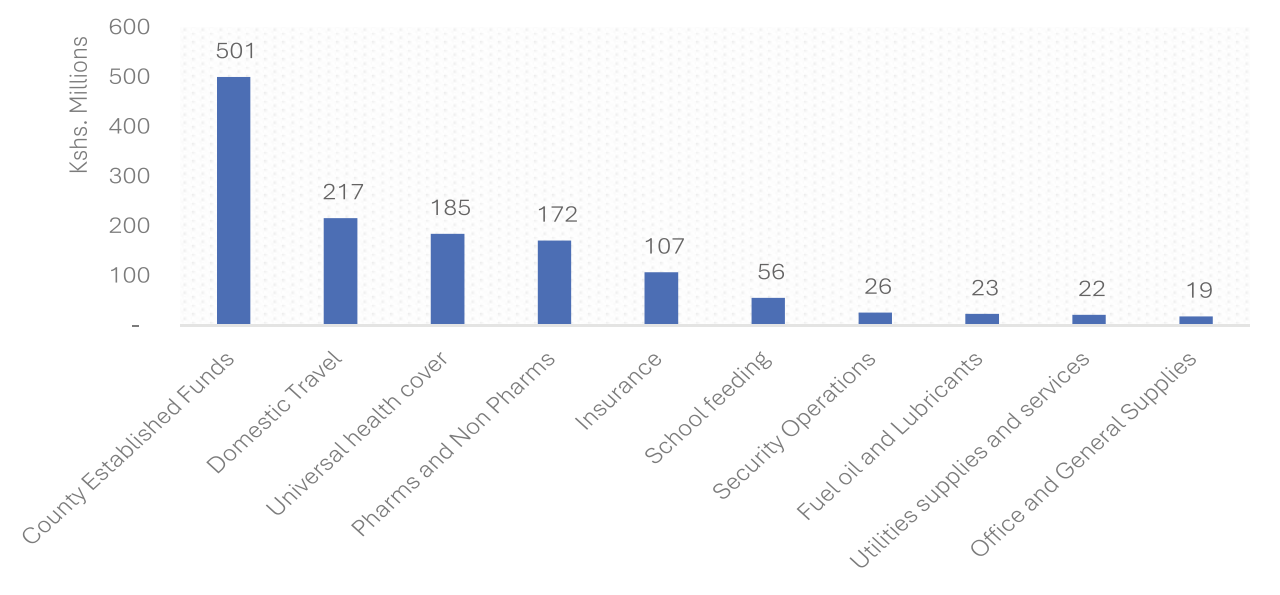
Source: Murang'a County Treasury

The County Assembly spent Kshs.17.65 million on committee sitting allowances for the 48 MCAs against the annual budget allocation of Kshs.38.94 million. The average monthly sitting allowance was Kshs.40,485 per MCA. The County Assembly has 21 House Committees.

3.29.9 Expenditure on Operations and Maintenance

During the reporting period, the County spent Kshs.1.30 billion on operations and maintenance, representing an increase of 3 per cent compared to a similar period in FY 2024/25, when the County spent Kshs.1.27 billion. Figure 3.174 illustrates the distribution of Operations and Maintenance expenditures across the major spending categories.

Figure 3.174: Murang'a County, Operations and Maintenance Expenditure by Major Categories



Source: *Murang'a County Treasury*

3.29.10 Unbundling "Other Operating Expenses – Other" (IFMIS Code 2211399) Under Operations and Maintenance Expenditures

The budget performance report for the first nine months of FY 2025/26 indicates that the County didn't spend on "*other operating expenses - other*," *under IFMIS code 2211399*.

3.29.11 County-Established Funds

Section 116 of the PFM Act 2012 allows County Governments to establish other public funds, subject to approval from the County Executive Committee and the County Assembly. The County allocated Kshs.611.5 million to County-Established funds in FY 2025/26, representing 5 per cent of the County's overall budget. Of this amount, the County allocated Kshs.30 million to the Emergency Fund in line with Section 110 of the PFM Act, 2012, accounting for 0.26 per cent of the total budget. Table 3.434 summarises each established Fund's budget allocation and performance during the reporting period.

Table 3.434: Performance of Murang'a County Established Funds in the first nine months of FY 2025/26

S/No.	Name of the Fund	Year Established	Approved Budget Allocation in FY 2025/26 (Kshs.)	Exchequer Issues in the first nine months of FY 2025/26	Actual disbursements in the first nine months of FY 2025/26 (Kshs.)	Cumulative disbursements to the Fund	Submission of Financial Statements
				(Kshs.)		(Kshs)	(Yes/No.)
	County Executive Established Funds						
1	Murang'a County Education Scholarship Fund	2021	230,000,000	230,000,000	230,000,000	1,254,709,159	Yes
2	Murang'a County Emergency Fund	2023	30,000,000	13,000,000	13,000,000	56,000,000	Yes
3	Muranga County Agricultural Farm Inputs Subsidy and Incentives Fund	2023	195,000,000	155,000,800	155,000,800	363,250,000	Yes
4	Muranga County Sports and Talent Management Fund	2024	37,000,000	1,000,000	1,000,000	719,900,301	Yes
5	Muranga County Youth Fund	2023	119,500,000	101,590,000	101,590,000	36,082,400	Yes
	County Assembly Established Funds						
6	County Assembly Car and Mortgage Fund	2014	-	-	-	467,274,313	No
	Total		611,500,000	500,590,800	500,590,800	2,897,216,173	

Source: *Murang'a County Treasury*

During the reporting period, the CoB did not receive quarterly financial reports from the County Assembly Car and Mortgage Fund Administrator, as indicated in Table 3.6, contrary to the requirement of Section 168 of the PFM Act, 2012. The County disclosed that the administration costs of all the Funds were within the 3 per cent limit of the Fund budget set in Regulation 197(1)(d) of the Public Finance Management (County Governments) Regulations, 2015.

Regulation 197(1)(i) of the Public Finance Management (County Governments) Regulations, 2015, allows County Governments to establish public funds with a lifespan capped at 10 years unless extended by the County Assembly. In FY 2025/26, the CoB determined that the County Assembly Car and Mortgage Fund's lifespan had lapsed. Consequently, the CoB did not approve any withdrawal requests to support the operations of the lapsed funds.

3.29.12 Expenditure on Domestic and Foreign Travel

Expenditure on domestic travel amounted to Kshs.216.69 million and comprised Kshs.143.99 million spent by the County Assembly and Kshs.72.7 million by the County Executive. Expenditure on foreign travel amounted to Kshs.2.56 million for the County Executive while expenditure by the county Assembly was nil. Expenditure on foreign travel is summarised in Table 3.435

Table 3.435: Summary of Expenditure on Foreign Travel in the first nine months of FY 2025/26

Arm of County Government	Number of Officers Travelled	Date travelled	Purpose of the travel	Destination	Actual Payment on Travel (a) (Kshs.)	Accrued Expenditure on Travel (b) (Kshs.)	Total Expenditure on Travel (c=a+b) (Kshs.)
County Executive	5	25th to 30th April 2025	China to explore trade and investment cooperation	China	1,835,385	-	1,835,385
County Executive	2	6th to 10th May 2025	Medical training	India	720,000	-	720,000
Total					2,555,385		2,555,385

***Source**: Murang'a County Treasury and Murang'a County Assembly*

3.29.13 Facility Improvement Financing

During the review period, the County reported collections of Kshs.656.86 million as FIF, which was 112 per cent of the annual target of Kshs.588.1 million. The collected amount was retained and utilised at source in line with the Facility Improvement Financing Act, 2023. The County has not developed regulations to operationalise the FIF Act of 2023.

The expenditure by the health facilities amounted to Kshs.549.79 million, as shown in Table 3.436.

Table 3.436: Muranga County Health Facilities Expenditure Performance in the first nine months of FY 2025/26

No.	Health Facility	Number of Facilities	Approved Budget (Kshs.)	Actual Expenditure (Kshs.)	Absorption rate (%)
1.	Level 5 Hospital	1	342,702,391	337,573,074	99
2.	Level 4 Hospital	2	147,181,680	114,447,687	78
3.	Level 3 Facility	5	121,513,060	97,771,859	80
	Total		**611,397,131**	**549,792,620**	**90**

***Source:** Murang'a County Treasury*

3.29.14 Development Expenditure

In the period under review, the County reported spending Kshs.1.46 billion on development programmes, representing an increase of 40 per cent compared to FY 2024/25, when the County spent Kshs.1.04 billion. Table 3.437 summarises the development projects with the highest expenditure in the reporting period.

The increase in development expenditure was attributed to the timely release and expenditure of County Government Additional Allocations during the current period, compared to the same period in FY 2024/25.

Table 3.437: Murang'a County, List of Development Projects with the Highest Expenditure

No	Sector	Project Name	Project Location	Project Commencement Date	Expected date of Completion of the Project	Contract sum (Kshs)	Total Funding in FY 2025/26 (Kshs.)	Expenditure (on an accrual basis) in the first nine months of FY 2025/26 (Kshs.)	Cumulative project expenditure (on an accrual basis) as of 31st March 2026 (Kshs.)	Percentage (%) of Completion
		County Funded Projects								

No	Sector	Project Name	Project Location	Project Commencement Date	Expected date of Completion of the Project	Contract sum (Kshs)	Total Funding in FY 2025/26 (Kshs.)	Expenditure (on an accrual basis) in the first nine months of FY 2025/26 (Kshs.)	Cumulative project expenditure (on an accrual basis) as of 31st March 2026 (Kshs.)	Percentage (%) of Completion
1	Agriculture, Livestock and Fisheries	Agricultural Farm Inputs and Incentive Subsidy Fund to Operations Account	Countywide	1st July 2025	Continuous	195,000,000	155,000,800	155,000,800	155,000,800	79
2	Agriculture, Livestock and Fisheries	Supply Maize Seeds and Fertiliser to Farmers	Countywide	1st July 2025	Continuous	220,000,000	219,999,925	219,999,925	219,999,925	100
3	Sports, Youth, Culture, Gender and Social Services	Muranga Youth Service- Youth Empowerment	Countywide	1st July 2025	Continous	119,500,000	71,590,000	71,590,000	71,590,000	60
4	Health and Sanitation	Supply of medical products & technologies for telemedicine facilities	Countywide	1st July 2025	Continous	120,000,000	102,957,381	102,957,381	102,957,381	86
5	Roads, Housing and Infrastructure	Supply and installation of cabro paving slabs under the Smart City Programme	Mathioya Sub-County	1st October 2025	31st January 2026	17,500,805	17,500,805	17,500,805	17,500,805	100
		Donor Funded Projects								
6	Water, Irrigation, Environment & Natural Resources	FLLOCA	Countywide	1st July 2025	Continous	266,459,226	196,003,420	196,003,420	196,003,420	74
7	Agriculture, Livestock and Fisheries	NAVCDP	Countywide	1st March 2026	Continous	231,515,512	151,515,512	151,515,152	151,515,152	65

No	Sector	Project Name	Project Location	Project Commencement Date	Expected date of Completion of the Project	Contract sum (Kshs)	Total Funding in FY 2025/26 (Kshs.)	Expenditure (on an accrual basis) in the first nine months of FY 2025/26 (Kshs.)	Cumulative project expenditure (on an accrual basis) as of 31st March 2026 (Kshs.)	Percentage (%) of Completion
8	Roads, Housing and Infrastructure	Road Construction	Countywide	1st November 2025	31st March 2026	94,718,150	94,718,150	94,718,150	94,718,150	100

Source: *Murang'a County Treasury*

3.29.15 Budget Performance by Department

Table 3.438 summarises the approved budget allocation, expenditure, and absorption rate by department for the period under review.

Table 3.438: Murang'a County, Budget Allocation and Absorption Rate by Department in the first nine months of FY 2025/26

Department	Budget Allocation (Kshs. Millions)		Exchequer Issues (Kshs.Millions)		Expenditure (Kshs. Millions)		Expenditure to Exchequer Issues (%)		Absorption rate (%)	
	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev
Governorship, County Coordination and Administration	314.84	10.00	188.03	-	188.03	-	100	-	60	-
Finance And Economic Planning	344.36	33.00	190.92	13.00	190.92	13.00	100	100	55	39
Agriculture, Livestock, and Fisheries	304.64	623.23	122.42	526.52	122.42	526.52	100	100	40	84
Energy Transport and Roads	36.35	1,427.41	9.78	458.03	9.78	458.03	100	100	27	32
Commerce, Trade, Industry, and Tourism	46.75	183.00	21.76	3.00	21.76	3.00	100	100	47	2
Education & Technical Training	715.32	36.50	564.62	-	564.62	-	100	-	79	-
Health And Sanitation	3,426.65	401.67	1,791.50	137.66	1,791.50	137.66	100	100	52	34
Lands, Housing & Physical Planning	52.06	17.00	6.17	-	6.17	-	100	-	12	-
County Public Service Board	28.84	-	17.16	-	17.16	-	100	-	60	-
Youth, Culture, Gender, Social Services & Special Programs	92.80	167.80	68.90	111.07	68.90	111.07	100	100	74	66
Environment, Natural Resources, Water and Irrigation	122.82	338.66	84.98	201.87	84.98	201.87	100	100	69	60
Public Service Administration & Information Technology	1,414.17	20.00	965.94	10.90	965.94	10.90	100	100	68	54
Murang'a Municipality	62.96	81.00	25.57	-	25.57	-	100	-	41	-
Kenol Municipality	26.55	73.25	1.98	-	1.98	-	100	-	7	-

Department	Budget Allocation (Kshs. Millions)		Exchequer Issues (Kshs.Millions)		Expenditure (Kshs. Millions)		Expenditure to Exchequer Issues (%)		Absorption rate (%)	
	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev
Kangari Municipality	26.05	10.50	1.36	-	1.36	-	100	-	5	-
Devolution and External Linkages	56.70	375.90	47.27	-	47.27	-	100	-	83	-
County Assembly	816.71	30.00	465.10	-	465.10	-	100	-	57	-
Total	**7,887.83**	**3,828,92**	**4,564.47**	**1,462.03**	**4,564.47**	**1,462.03**	**100**	**100**	**58**	**39**

***Source**: Murang'a County Treasury*

Analysis of expenditure by departments shows that the Department of Agriculture, Livestock and Fisheries recorded the highest absorption rate of development budget at 84 per cent, followed by the Department of Youth, Culture, Gender, Social Services & Special Programs at 66 per cent. The Department of Devolution and External Linkages had the highest percentage of recurrent expenditure to budget at 83 per cent, while Kangari Municipality had the lowest at 5.2 per cent.

3.29.16 Budget Execution by Programmes and Sub-Programmes

Budget execution was concentrated in selected performance bands. In the 1–10 per cent band, development absorption was reported for trade and enterprise development under the Department of Trade, Industry and Cooperatives at 2 per cent, for urban development and support under the Department of Roads, Housing and Infrastructure at 8 per cent, for solid waste management under the Department of Water, Irrigation, Environment and Natural Resources at 8 per cent, and for infrastructure development under the Department of Roads, Housing and Infrastructure at 8 per cent. Recurrent absorption was reported for library services under the Department of Youth, Culture, Gender and Social Services at 1 per cent, for general administration and planning under Kenol Municipality at 2 per cent, for solid waste management under Murang'a Municipality at 3 per cent, and for general administration and planning under Kangari Municipality at 5 per cent.

In the 11–20 per cent band, development absorption was reported for general administration, planning and support services under the Department of Health and Sanitation at 14 per cent. No sub-programmes were reported in the 21–30 per cent or 31–40 per cent bands.

In the 51–60 per cent band, development absorption was reported for automation under the preventive programme in the Department of Public Service and ICT at 54 per cent. In the 61–70 per cent band, recurrent absorption was reported for county executive and coordination at 67 per cent and for general administration, planning and support services under the Department of Finance and Economic Planning at 68 per cent, while development absorption was recorded for climate resilience under the Department of Water, Irrigation, Environment and Natural Resources at 70 per cent.

In the 71–80 per cent band, recurrent absorption was reported for office administration and support services under the Department of Governorship and County Coordination at 76 per cent, while development absorption was recorded for donor support under the Department of Agriculture and Livestock Services at 82 per cent. In the 81–90 per cent band, development absorption reached 85 per cent for youth empowerment under the Department of Youth, Culture, Gender and Social Services, while recurrent absorption reached 83 per cent for administration and support services under the Department of Devolution and External Linkages. In the 90–100 per cent band, development absorption reached 95 per cent for promotion of food security under the Department of Agriculture and Livestock Services, while recurrent absorption reached 100 per cent for scholarship and education support under the Department of Education and Technical Training and 95 per cent for administration and support services under the Department of Youth, Culture, Gender and Social Services. No sub-programmes were reported above 100 per cent.

Low absorption in the lower performance bands was attributed to ongoing projects that were not yet complete. Conversely, performance in the higher bands reflected the prioritisation of the respective sub-programmes during the review period.

Table 3.439 summarises budget execution by programmes and sub-programmes in the period under review with the highest absorption rates.

Table 3.439: Budget Execution by Programmes and Sub-Programmes with Highest Absorption Rates

Programme	Sub-Programme	Gross Approved Estimates FY 2025/26 (Kshs.)	Expenditure (including accrued expenditure) as of 31st March 2026 (Kshs.)	Absorption Rate (%)
Development				
Department of Agriculture and Livestock Services				
Food Security	Promotion of Food Security	230,500,000	219,999,925	95
General Administration Planning and Support	Donor Support	184,334,071	151,515,152	82
Department of Youth Culture, Gender, and Social Services				
Youth Development	Youth Empowerment	119,500,000	101,590,000	85
Department of Water, Irrigation, Environment & Natural Resources				
Climate Change	Climate Resilience	266,459,226	187,703,420	70
Department Public Service and ICT				
ICT	Automation under Preventive Program	20,000,000	10,899,360	54
Recurrent				
Department of Governorship and County Coordination				
County Co-ordination	Office Administration and Support Services	58,200,000	44,071,675	76
Administration And Support	County Executive and Coordination	168,824,209	112,728,446	67
Department of Finance and Economic Planning				
Administration and Support	General Administration, Planning, and Support Services	221,696,969	150,879,327	68
Department of Education and Technical Training				
Education Intervention	Scholarship and Education Support	230,000,000	230,000,000	100
Department of Youth Culture, Gender, and Social Services				
General Administration Planning and Support	Administration and Support Services	52,321,223	49,463,941	95
Department Devolution and External Linkages				
General Administration Planning and Support	Administration and Support Services	56,700,000	47,267,884	83

Source: *Murang'a County Treasury*

The development sub-programmes with the highest budget implementation rates were: Promotion of Food Security in the Department of Agriculture at 95 per cent, Youth Empowerment in the Department of Youth and Sports at 85 per cent, and General administration and support program, donor sub-program in the Department of Agriculture and Livestock at 82 per cent.

For recurrent sub-programmes, the top performers included: Scholarship and Education Support in the Department of Education at 100 per cent, General administration and support in the Department of Youth and Sports at 95 per cent, and Administration and Support Services in the Department of Devolution and External linkages at 83 per cent.

Table 3.440 summarises the budget execution by programmes and sub-programmes in the period under review that had the lowest absorption rates.

Table 3.440: Budget Execution by Programmes and Sub-Programmes with Lowest Absorption Rates

Programme	Sub-Programme	Gross Approved Estimates FY 2025/26 (Kshs.)	Expenditure (including accrued expenditure) as of 31st March 2026 (Kshs.)	Absorption Rate (%)
Development				
Department of Roads, Housing, and Infrastructure				
Urban Development Program	Urban Development and Support	170,500,000	13,406,729	8
Department of Trade Industry and Co-operatives				
Trade Development	Trade & Enterprise Development	140,000,000	2,850,000	2
Department of Health and Sanitation				
Administration and Support	General Administration, Planning, and Support Services	105,488,327	14570955	14
Department of Water Irrigation Environment and Natural Resources				
Waste Management	Solid Waste Management	38,000,000	2,995,965	8
Recurrent				
Department of Youth Culture, Gender, and Social Services				
Library Services	Library Services	4,675,000	36,000	1
Department of Muranga Municipality				
Municipal Development	Solid Waste Management	940,000	30,000	3
Department of Kenol Municipality				
General Administration Planning and Support	General Administration and Planning	650,000	10,000	2
Department of Roads, Housing, and Infrastructure				
Infrastructure Development	Infrastructure Development	5,210,000	426,500	8
Department Kangari Municipality				
General Administration Planning and Support	General Administration and Planning	23,800,000	1,228,050	5

Source: *Murang'a County Treasury*

The development sub-programmes with the lowest budget implementation rates were as follows: Trade and enterprise development in the Department of Trade and Industries at 2 per cent, Urban development and support in the Department of Roads and Infrastructure at 8 per cent, and Solid Waste Management sub-program in the Department of Environment at 8 per cent.

For recurrent sub-programmes, the poorest performers included: Library services in the Department of Youth and Sports at 1 per cent, General Administration and Planning in Kenol Municipality at 2 per cent, and Solid waste management in Murang'a Municipality at 3 per cent.

These lower performances can be attributed to ongoing projects that are not yet complete.

3.29.17 Settlement of Trade Payables

As of 1st July 2025, the County reported trade payables totalling Kshs.1.99 billion. This amount consisted of Kshs.1.92 billion from the County Executive and Kshs 72.27 million from the County Assembly. The trade

payables from the County Executive comprised Kshs.1.59 billion for recurrent expenditure and Kshs.333.36 million for development expenditure.

During the reporting period, the County Executive settled trade payables amounting to Kshs.811.37 million, comprising Kshs.621.46 million (31 per cent) for recurrent programmes and Kshs.189.91 million (57 per cent) for development programmes. On the other hand, the County Assembly settled trade payables amounting to Kshs.36.14 million (50 per cent) for recurrent activities. The outstanding trade payables as of 31st March 2026 were Kshs.1.15 billion for the County Executive and Kshs.36.12 million for County Assembly. Table 3.441 provides additional details of trade payables.

Table 3.441: Murang'a County Trade Payables as of 31st March 2026

		County Entity	Development (Kshs.)	Recurrent (Kshs.)	Total (Kshs.)
As at 1 July 2025 (End of FY 2024/25)	a	County Executive	333,359,916	1,588,128,815	1,921,488,731
		County Assembly	-	72,265,494	72,265,494
		Total	**333,359,916**	**1,660,394,309**	**1,993,754,225**
Trade payables scheduled to be settled in the first nine months of FY 2025/26 per the action plan	b	County Executive	231,376,873.	939,474,458	1,170,851,331
		County Assembly	-	54,199,120	54,199,120
		Total	**231,376,873**	**993,673,577.70**	**1,225,050,451**
Amount paid in the First Nine Months of FY 2025/26	c	County Executive	189,910,059	585,314,272	775,224,331
		County Assembly	-	36,142,351	36,142,351
		Total	**189,910,059**	**621,456,623**	**811,366,682**
Trade Payables Incurred in First Nine Months of FY 2025/26	d	County Executive	-	-	-
		County Assembly	-	-	-
		Total	-	-	-
Outstanding trade payables as of 31st March 2026	**e=a-c*b**	**County Executive**	**143,449,857**	**1,002,814,543**	**1,146,264,400**
		County Assembly	**-**	**36,123,143**	**36,123,143**
		Total	**143,449,857**	**1,038,937,686**	**1,182,387,543**

Source: *Murang'a County Treasury*

The County Executive and the County Assembly submitted a trade payables payment plan, committing to pay Kshs.993.67 million and Kshs.231.37 million, respectively, in FY 2025/26. The County did not adhere to this payment plan, as it cleared Kshs.775.22 million for the Executive and Kshs.36.14 million for the Assembly.

Table 3.442 and Table 3.443 present the ageing of the total outstanding bills as of 31st March 2026 for the County Executive and Assembly, which were Kshs.1.18 billion.

Table 3.442: Murang'a County Executive Trade Payables Ageing Analysis as of 31st March 2026

Category	Ageing analysis (Amount in Kshs.)				Total
	Under one year	1-2 years	2-3 years	Over 3 years	
Development Trade Payables	106,469,019	**-**	**-**	36,980,838	143,449,857.14
Recurrent Trade Payables (Goods & Services)	163,153,609	-	-	98,578,780	261,732,389
Recurrent Trade Payables (Salary Arrears and Statutory Deductions)	0	-	-	710,748,676	710,748,676
Recurrent Trade Payables (Staff Claims)	30,333,478	-	-	-	30,333,478

Category	Ageing analysis (Amount in Kshs.)				Total
	Under one year	1-2 years	2-3 years	Over 3 years	
Total Recurrent Trade Payables	193,487,087	-	-	809,327,456	1,002,814,543
Total Trade Payables	299,956,106	-	-	846,308,294	1,146,264,400
% of Total	**26**	**-**	**-**	**74**	**100**

Source: *Murang'a County Treasury*

Table 3.443: Murang'a County Assembly Trade Payables Ageing Analysis as of 31st March 2026

Category	Ageing analysis (Amount in Kshs.)				Total
	Under one year	1-2 years	2-3 years	Over 3 years	
Development Trade Payables	**-**	**-**	**-**	**-**	
Recurrent Trade Payables (Goods & Services)	2,807,200	-	-	-	**2,807,200**
Recurrent Trade Payables (Salary Arrears and Statutory Deductions)	-	1,951,631	-	16,833,286	**18,784,917**
Recurrent Trade Payables (Staff Claims)	14,550,234.	-	-	-	**14,550,234**
Total Recurrent Trade Payables	17,357,434	1,951,631	-	16,833,286	**36,142,351**
Total Trade Payables	**17,357,434**	**1,951,631**	**-**	**16,833,286**	**36,142,351**
% of Total	**48**	**5**	**-**	**47**	**100**

Source: *Murang'a County Treasury*

As shown in Table 3.442 and Table 3.443, the total salary arrears and statutory deductions for trade payables amounted to Kshs 729.53 million, which represented 62 per cent of the total trade payables of Kshs 1.18 billion as of March 31, 2026.

Additionally, the two tables indicate that 73 per cent of total trade payables are aged over 3 years, a trend attributed to the County paying recent debts while leaving out earlier debts.

3.29.18 General Observations and Recommendations

In the course of overseeing and reporting on the implementation of the Muranga County budget, the CoB identified the following challenges, which hampered effective budget implementation;

i. The County Treasury's late submission of financial reports to the Controller of Budget affected the timely preparation of the budget implementation report. The county submitted on the 4th of May 2026.
ii. High Levels of trade receivable, which amounted to Kshs. 679.38 million as of 31st March 2026.
iii. Low development performance in the review period, as the County incurred Kshs.1.46 billion on development activities, achieving a 38 per cent absorption rate.
iv. Regulation 197(1)(i) of the Public Finance Management (County Governments) Regulations, 2015, limits the lifespan of public funds to 10 years unless extended by the County Assembly. As of 31st March 2026, the lifespan of the County Assembly Car and Mortgage Fund had lapsed, making them ineligible for further withdrawals.
v. High level of trade payables, which amounted to Kshs.1.18 billion as of 31st March 2026. Furthermore, the County Treasury did not adhere to the trade payables payment plan.
vi. Use of manual payroll. Personnel emoluments amounting to Kshs.123.63 million were processed through manual payroll, accounting for 4 per cent of the total payroll cost. Manual payroll is prone to abuse and may result in the loss of public funds.

vii. Non-submission of copies of authorisation letters for opening commercial bank accounts as per Regulation 82(5) of the Public Finance Management (County Governments) Regulations, 2015.

The County should implement the following recommendations to improve budget execution:

i. *The County Treasury should ensure the timely preparation and submission of financial reports to the Controller of Budget per the timelines prescribed in Section 166 of the PFM Act, 2012.*
ii. *The County should institute measures to ensure that trade receivables due are received to enable the County to improve its cash flows.*
iii. *The County should implement strategies to increase development expenditures in FY 2025/26.*
iv. *The County should ensure timely review and extension of public funds whose lifespans are nearing expiration or have lapsed to prevent operational disruptions. Additionally, any expenditure from lapsed funds should cease immediately, and legal mechanisms should be followed to re-establish or wind up such funds in compliance with the Public Finance Management Act.*
v. *The County Leadership should address the situation of trade payables to ensure that genuine bills are paid promptly in the remaining financial year. Further, compliance with the Trade Payables Action Plan should be enforced.*
vi. *The Government requires that salaries be processed through the HRIS system, and the County is advised to fast-track the acquisition of Unified Personnel Numbers for their staff. The County Public Service Board should regulate staff engagement on contract and casual workers as provided under Section 74 of the County Governments Act 2012. Furthermore, strict adherence to the approved staff establishment should be maintained.*
vii. *The County Treasury should ensure it submits copies of authorisation letters to the CoB for opening commercial bank accounts to enhance accountability and oversight.*

3.30. County Government of Nairobi City

3.30.1 Overview of FY 2025/26 Budget

The Nairobi City County Approved Budget for FY 2025/26 is Kshs.44.62 billion. It comprises Kshs.13.42 billion (30 per cent) and Kshs.31.2 billion (70 per cent) allocation for development and recurrent programmes, respectively. The budget estimates represent an increase of Kshs.1.06 billion (2 per cent) from the FY 2024/25 budget, which comprised a development budget of Kshs.14.26 billion and a recurrent budget of Kshs.29.3 billion. The increase in the budget was primarily attributed to the rise in equitable share and own source revenue.

The budget is to be financed from various revenue sources. These include: the equitable share of revenue raised nationally of Kshs.21.42 billion (48 per cent), additional allocations of Kshs.625.84 million (1 per cent), a cash balance of Kshs.1 billion (2 per cent) brought forward from FY 2024/25, and Kshs.21.58 billion (48 per cent) generated as own-source revenue. A breakdown of the additional allocations is shown in Table 3.444.

3.30.2 Revenue Performance

During the first nine months of FY 2025/26, the County reported total revenues amounting to Kshs.27.75 billion. This amount represented an increase of 17 per cent compared to the amount received in a similar period in FY 2024/25 of Kshs.23.81 billion. The total revenue consisted of Kshs.15.96 billion from the equitable share of revenue raised nationally, additional allocations from the national government and development partners of Kshs.59.06 million, and the own-source revenue (OSR) collection of Kshs.11 billion. Additionally, the County had a cash balance of Kshs.737.75 million from FY 2024/25. The total OSR collection of Kshs.11 billion included Facilities Improvement Financing (FIF) of Kshs.1.35 billion, Liquor licensing Kshs.206.51 million and Kshs9.44 billion from other OSR sources.

Table 3.444 summarises the total revenue available to the County Government during FY 2025/26.

Table 3.444: Nairobi City County, Revenue Performance in the first nine months of FY 2025/26

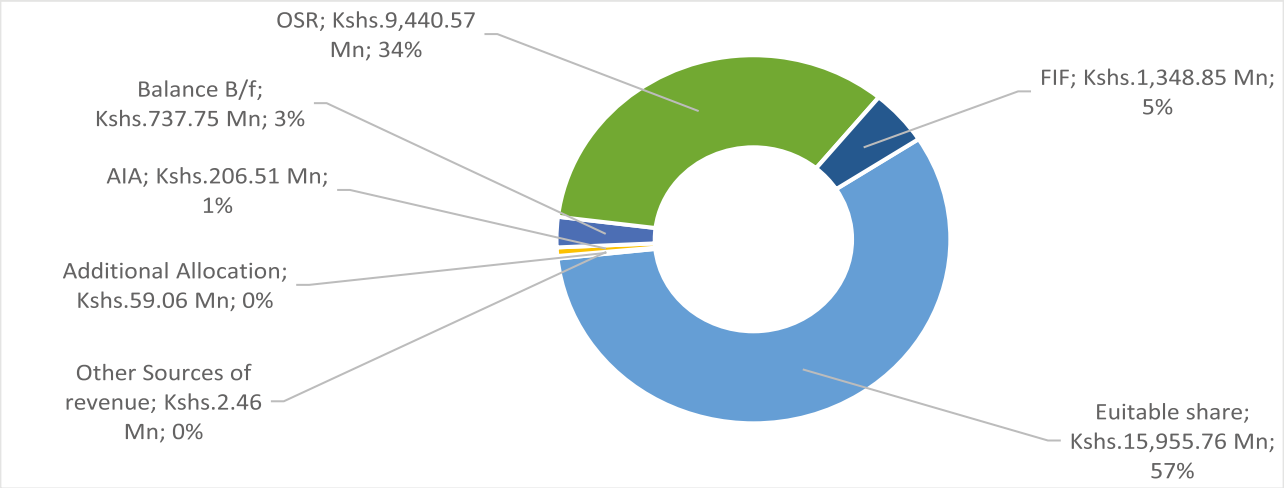
No	Revenue Stream	Annual Targeted Revenue (Kshs.)	Actual Receipts (Kshs.)	Receivables in the First Nine Months of FY 2025/26 (Kshs.)	Total Revenues (in accrual basis) in the First Nine Months of FY 2025/26 (Kshs.)	Variance (Kshs.)
		A	B	C	D=B+C	E=A-D
A	**Unspent Balance from FY 2024/25**					
1	Balance at CRF	1,000,000,000	737,746,179	-	737,746,179	262,253,821
	Sub-Total	**1,000,000,000**	**737,746,179**	**-**	**737,746,179**	**262,253,821**
B	**Equitable Share of Revenue Raised Nationally**					
1	Equitable Share	21,417,000,000	14,242,390,384	1,713,370,271	15,955,760,655	5,461,239,345
	Sub-Total	**21,417,000,000**	**14,242,390,384**	**1,713,370,271**	**15,955,760,655**	**5,461,239,345**
C	**Additional Allocations (Including Grants)**					
1	IDA Credit--Second Kenya Devolution Support Programme KDSP II	390,000,000	35,253,471	-	35,253,471	354,746,529
2	DANIDA Grant-Primary Health Care in a Devolved Context	35,838,750	23,807,099	-	23,807,099	12,031,651
3	World Bank -Kenya Informal Settlement Improvement Project II	200,000,000	-	-	-	200,000,000
	Sub-Total	**625,838,750**	**59,060,570**	**-**	**59,060,570**	**566,778,180**
D	**Ordinary Own Source Revenue (OSR)**					
1	Land Rates	6,750,000,000	2,821,301,167	-	2,821,301,167	3,928,698,833
2	Parking fees (total)	3,000,000,000	1,378,757,862	-	1,378,757,862	1,621,242,138
3	Unified/Single Business Permits	3,200,000,000	2,044,145,100	-	2,044,145,100	1,155,854,900
4	Plans and Inspections (Building Permits)	3,070,500,000	1,235,813,219	-	1,235,813,219	1,834,686,781
5	Billboards and advertisements	1,212,000,000	535,009,190	-	535,009,190	676,990,810
6	House Rents	606,000,000	490,715,688	-	490,715,688	115,284,312
7	Fire Inspection Certificates	36,360,000	3,099,500	-	3,099,500	33,260,500
8	Food Handlers Certificates	303,000,000	80,222,481	-	80,222,481	222,777,519
9	Markets	565,600,000	153,390,938	-	153,390,938	412,209,062
10	Other Incomes	1,198,590,589	698,110,013	-	698,110,013	500,480,576
	Sub-Total	**19,942,050,589**	**9,440,565,157**	**-**	**9,440,565,157**	**10,501,485,432**
F	**Facility Improvement Financing (FIF)**					
1	Hospitals Facilities Improvement Financing	1,236,000,000	1,348,850,165	-	1,348,850,165	-112,850,165
	Sub-Total	**1,236,000,000**	**1,348,850,165**	**-**	**1,348,850,165**	**- 112,850,165**
G	**Appropriations in Aid**					
1	Appropriation in Aid (AIA) - Liquor fee	400,000,000	206,508,077		206,508,077	193,491,923
	Sub-Total	**400,000,000**	**206,508,077**	**-**	**206,508,077**	193,491,923
H	**Other Revenues**					
1	Court Fines Grants	-	-	.	2,454,707	-2,454,707
2	Mining Royalties	-	-	-	3,884	- 3,884
	Sub-Total	**-**	**-**	**-**	**2,458,591**	**- 2,458,591**
	Grand Total	**44,620,889,339**	**26,035,120,532**	**1,713,370,271**	**27,750,949,394**	**16,869,939,945**

Source: *Nairobi City County Treasury*

The County has governing legislation regarding the operation of ordinary A-I-A and F.I.F as outlined in the Liquor Act and the Health Act, respectively. Whereas it is commendable that the county has already surpassed the annual target revenue for FIF, the same cannot be said for the other OSR.

Figure 3.175 provides a detailed breakdown of receipts.

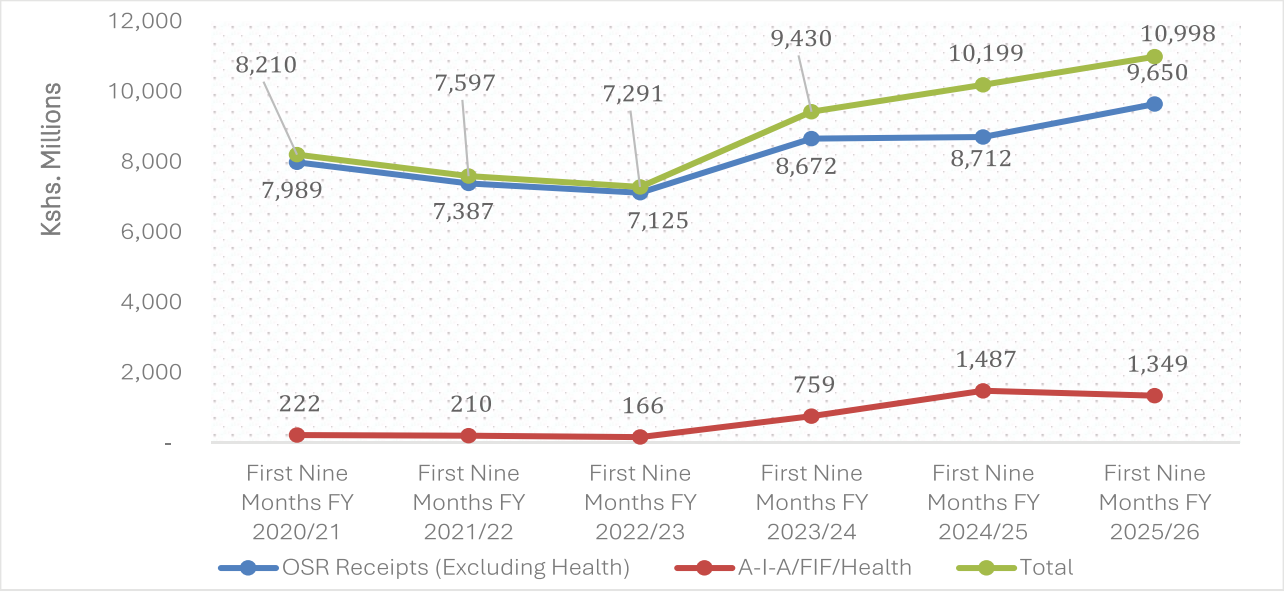
Figure 3.175: Nairobi City County Composition of Revenue in the first nine months of FY 2025/26



Source: Nairobi City County Treasury

The equitable share of revenue raised nationally, OSR, and FIF contributed 57 per cent, 34 Per cent and 5 per cent, respectively, of the total receipts for the reporting period. Figure 3.176 shows the collection trend in own-source revenue from the first nine months of FY 2020/21 to the first nine months of FY 2025/26.

Figure 3.176: Nairobi City County Trend in Own-Source Revenue Collection from the first nine months of FY 2020/21 to the first nine months of FY 2025/26



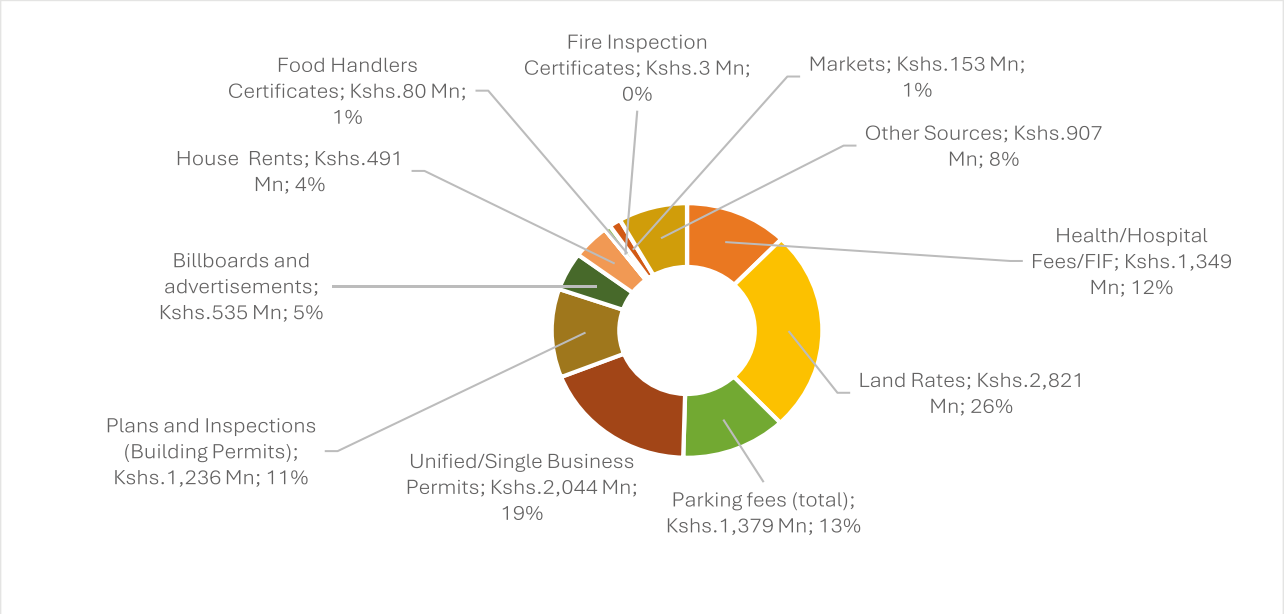
Source: *Nairobi City County Treasury*

During the first nine months of FY 2025/26, the County received Kshs.11 billion from OSR, including FIF. This amount was an increase of 7 per cent compared to Kshs.10.2 billion realised in a similar period in FY 2024/25, and was 48 per cent of the annual target and 69 per cent of the equitable revenue share disbursed.

The increase in OSR was attributed to the increase of the FIF.

The revenue streams that contributed the most to OSR receipts are shown in Figure 3.177.

Figure 3.177: Nairobi City County Top Own Source Revenue Streams in the first nine months of FY 2025/26



Source: Nairobi City County Treasury

As shown in Figure 3, the largest revenue stream, at Kshs.2.82 billion, was Land Rates, accounting for 26 per cent of total OSR receipts. The County Government indicated that it has automated all its revenue streams. The County did not indicate whether a system is utilised to collect FIF revenue.

3.30.3 Revenue Receivables

As of 1st July 2025, the County reported revenue receivables of Kshs.63.71 billion, which increased to Kshs.65.26 billion as of 31st March 2026. The County did not indicate whether it manages its receivables using any available system. Further, there was no reported measures of recovering the trade receivables. Table 3.445 presents a breakdown of the County's receivables.

Table 3.445: Nairobi City County Receivables as of 31st March 2026

No	Revenue Stream	Revenue Receivables as of 1 July 2025 (Kshs.)	Progress made in First Nine Months of FY 2025/26			
			Waivers (Kshs)	Receivables paid in the financial year (Kshs)	Receivables earned in First Nine Months of FY 2025/26 (Kshs)	OSR Receivables as of 31st March 2026 (Kshs.)
		a	b	c	D	f=a-b-c+d
A	**Equitable Share of Revenue Raised Nationally**					
1	Month of March 2026	-	-	-	**1,713,370,271**	**1,713,370,272**
	Sub-Total	-	-	-	**1,713,370,271**	**1,713,370,272**
B	**Ordinary Own Sources of Revenue**					-
1	Sundry debtors	757,447,088	-	39,216,584		**718,230,504**
2	Rental houses/market stalls	288,326,040	-	167,746,130	29,519,094	**150,099,004**
3	Land rates	55,400,057,814	-	2,114,886,296	2,012,340,256	**55,297,511,774**
4	Loading zones-private	8,240,000	-	-	-	**8,240,000**
5	Loading zones-GOK	755,570,800	-	-	-	**755,570,800**
6	Outdoor advertisements& bill-boards	368,182,070	-	227,487,615	363,061,080	**503,755,535**
7	Way leaves-others	485,428,220	-	16,839,697		**468,588,523**

No	Revenue Stream	Revenue Receivables as of 1 July 2025 (Kshs.)	Progress made in First Nine Months of FY 2025/26			
			Waivers (Kshs)	Receivables paid in the financial year (Kshs)	Receivables earned in First Nine Months of FY 2025/26 (Kshs)	OSR Receivables as of 31st March 2026 (Kshs.)
8	Way leaves-KPLC	5,645,203,200	-	-	201,600	**5,645,404,800**
	Sub-Total	**63,708,455,232**	**-**	**2,566,176,322**	**2,405,122,030**	**63,547,400,940**
	Grand Total	**63,708,455,232**	**-**	**2,566,176,322**	**4,118,492,301**	**65,260,771,212**

Source: *Nairobi City County Treasury*

3.30.4 Borrowing by the County

At the beginning of the FY 2025/26, the County Assembly had an outstanding short-term loan balance from Family Bank of Kshs.243.75 million. During the reporting period, it borrowed an additional Kshs140.07 from Family Bank to support its operations. The Assembly repaid Kshs.13.5 million, thus by 31 March 2026, the total amount borrowed from Family Bank was Kshs.370.27 million. In addition, the County Assembly has an overdraft facility with the Co-operative Bank of Kenya Limited to cover its net personnel emoluments, which is an average of Kshs.35.28 million per month. By 31 March 2026, it had an overdraft balance of Kshs.35.28 million.

The County Executive has a bank overdraft facility with Sidian Bank of Kenya Limited to cover its personnel emoluments, which averaged Kshs 1.6 billion per month. By 31 March 2026, it had an overdraft balance of Kshs.1.54 billion. The County also has an outstanding Co-operative Bank Kenya overdraft facility of Kshs.214.51 million.

Additionally, the County has a long-standing KCB loan in the amount of Kshs.4.50 billion (secured in 2010 under the defunct Nairobi City Council), which is listed under trade payables.

3.30.5 Withdrawals from the County Revenue Fund and County Assembly Fund

During the reporting period, the Controller of Budget approved exchequer withdrawal requests totalling Kshs.23.70 billion from the Nairobi County Revenue Fund (CRF) account. This amount consisted of Kshs.1.52 billion (6 per cent) designated for development programs and Kshs.22.18 billion (94 per cent) allocated for recurrent programs.

Expenditure on both cash and accrual on domestic travel amounted to Kshs.1.18 billion and comprised Kshs.83.42 million spent by the County Assembly and Kshs.1.09 billion by the County Executive. Expenditure on foreign travel, which amounted to Kshs.373.61 million, was exclusive to the County Executive.

During the reporting period, the Controller of Budget did not approve exchequer withdrawal requests from the Nairobi City County Assembly Fund (CAF) account because the fund had not yet been operationalised.

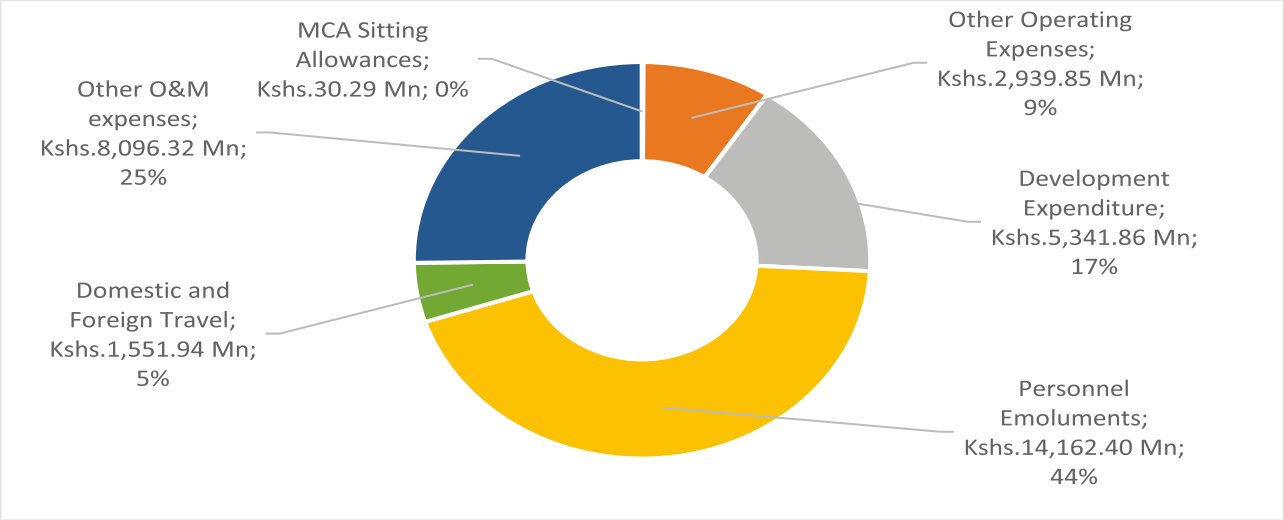
As of 31st March 2026, the County Government's cash balance in the CRF account was Kshs.771.69 million.

3.30.6 Expenditure Review

The County spent Kshs.32.12 billion on development and recurrent programmes during the reporting period. The expenditure represented 136 per cent of the total funds released by the CoB. It comprised Kshs.5.34 billion for development programmes and Kshs.26.78 billion for recurrent programmes. Expenditure on development programmes accounted for 40 per cent of the annual development expenditure budget, while recurrent expenditure accounted for 86 per cent of the annual recurrent expenditure budget.

Figure 3.178 provides a detailed breakdown of total expenditure.

Figure 3.178: Nairobi City County Composition of Expenditure in the first nine months of FY 2025/26



Source: *Nairobi City County Treasury*

As shown in Figure 4, the three highest expenditure categories were personnel emoluments, Other O&M expenses, and development expenditure, contributing 44 per cent, 25 per cent, and 17 per cent, respectively, of the total expenditure for the reporting period.

3.30.7 Expenditure by Economic Classification

The County Executive incurred Kshs.13.52 billion in employee compensation, Kshs.12.37 billion in operations and maintenance, and Kshs.5.23 billion in development activities. Similarly, the County Assembly spent Kshs.645.81 million on compensation of employees, Kshs.249.6 million on operations and maintenance, and Kshs.111.7 million on development activities, as shown in Table 3.446.

Table 3.446: Nairobi City County Summary of Budget and Expenditure by Economic Classification

Expenditure Classification	Approved Budget (Kshs.) (a)		Amount Paid in the first nine months of FY 2025/26 (Kshs.) (b)		Expenditure Accrued in the first nine months of FY 2025/26 (Kshs.) (c)		Total Expenditure in the first nine months of FY 2025/26 (Kshs.) (d=b+c)		Absorption (%) (d/a*100)	
	Executive	Assembly	Executive	Assembly	Executive	Assembly	Executive	Assembly	Executive	Assembly
Total Recurrent Expenditure	**29,564.28**	**1,638.91**	**20,480.56**	**763.56**	**5,404.82**	**131.85**	**25,885.39**	**895.41**	**88**	**55**
Compensation of Employees	16,578.48	1,010.66	13,516.59	513.96	-	131.85	13,516.59	645.81	82	64
Operations and Maintenance	12,985.80	628.24	6,963.97	249.60	5,404.82	-	12,368.80	249.60	95	40
Development Expenditure	**12,417.70**	**1,000.00**	**1,208.51**	**111.70**	**4,021.64**	**-**	**5,230.15**	**111.70**	**42**	**11**
Total	**41,981.98**	**2,638.91**	**21,689.08**	**875.26**	**9,426.46**	**131.85**	**31,115.54**	**1,007.11**	**74**	**38**

***Source**: Nairobi City County Treasury*

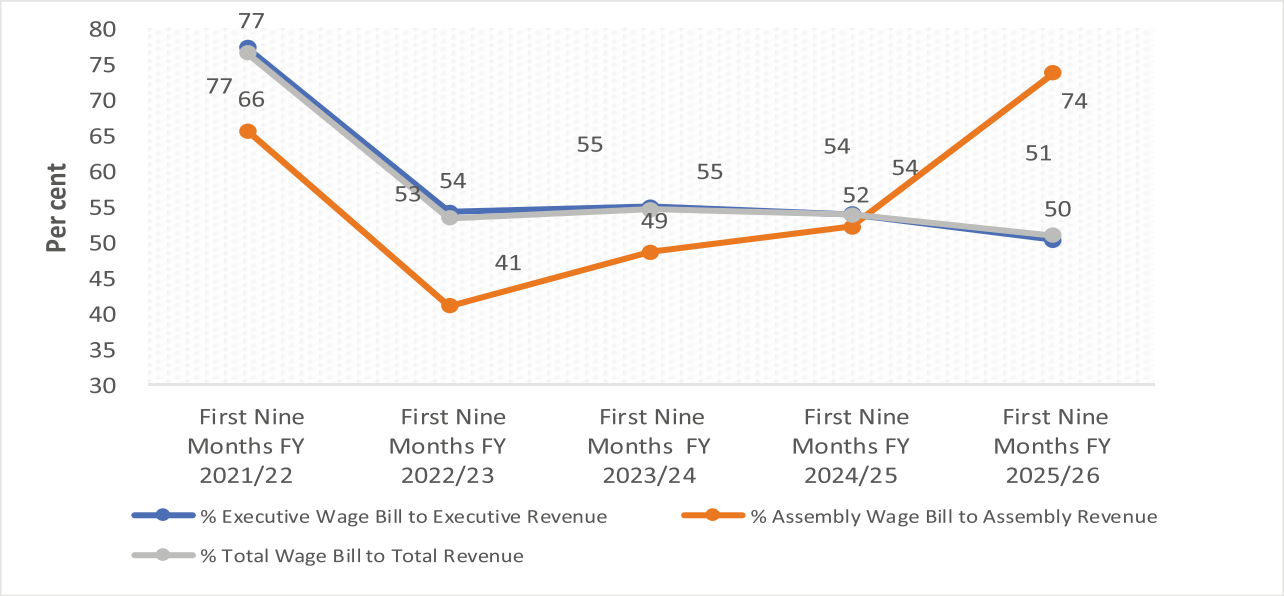
3.30.8 Expenditure on Employee Compensation

The expenditure on employee compensation totalled Kshs.14.16 billion, representing 51 per cent of revenue. This expenditure on employee compensation shows a 10 per cent increase compared to the Kshs.12.84 billion reported in a similar period in FY 2024/25. Of this total, Kshs.6.28 billion related to Health Sector

employees, accounting for 44 per cent of the overall employees' compensation. The increase in compensation of employees is attributed to the adoption of accrual accounting in reporting

Figure 3.179 shows the trend in employee compensation as a percentage of total revenue from the first nine months of FY 2020/21 to the first nine months of FY 2025/26.

Figure 3.179: Percentage of Employee Compensation Expenditure to Total Revenue Received in the first nine months of FY 2020/21 to the first nine months of FY 2025/26



Source: Nairobi City County Treasury

Further analysis indicated that PE costs totalling Kshs.13.85 billion were processed through the Human Resource Information System (HRIS). In contrast, Kshs.311.95 million was processed through manual payrolls, which accounted for 2 per cent of the total PE cost. The justification for the continued use of manual payroll was that the affected staff are casuals and are engaged on a short-term basis.

The manual payroll comprised salaries for Community Health Workers, salaries for staff not onboarded into the Human Resource Information System (HRIS), salaries for casual staff, top-up allowance for security officers, and LAPTRUST/LAPFUND Pension Contributions, as shown in Table 3.447

Table 3.447: Breakdown of Nairobi City County Manual Payroll

S/No	Category	County Executive	County Assembly	Total
1	Salaries for staff paid outside the Human Resource Information System (HRIS)	-	83,007,189	83,007,189
2	Salaries for casual staff	18,786,306	-	18,786,306
3	Community Health Workers	210,154,000	-	210,154,000
	Total	**228,940,306**	**83,007,189**	**311,947,495**

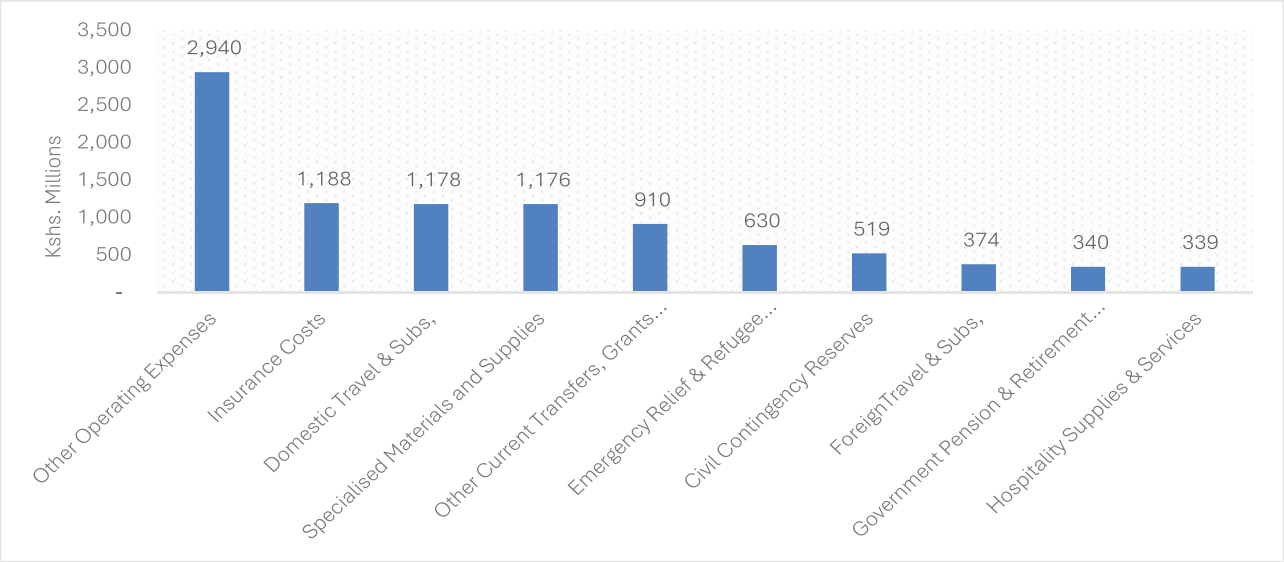
Source: Nairobi City County Treasury

The County Assembly spent Kshs.30.29 million on committee sitting allowances for the 124 MCAs and speaker against the annual budget allocation of Kshs.70 million. The average monthly sitting allowance was Kshs.26,927 per MCA. The County Assembly has 26 House Committees.

3.30.9 Expenditure on Operations and Maintenance

During the reporting period, the County spent Kshs.12.62 billion on operations and maintenance, representing an increase of 93 per cent compared to a similar period in FY 2024/25, when the County spent Kshs.6.54 billion. The increase in expenditure on Operations and Maintenance is attributed to the adoption of accrual accounting in reporting. Figure 3.180 illustrates the distribution of Operations and Maintenance expenditures across the major spending categories.

Figure 3.180: Nairobi City County, Operations and Maintenance Expenditure by Major Categories



Source: *Nairobi City County Treasury*

3.30.10 Unbundling "Other Operating Expenses – Other" (IFMIS Code 2211399) Under Operations and Maintenance Expenditures

The budget performance report for the first nine months of FY 2025/26 indicates that the County didn't spend on "*other operating expenses - other*," *under IFMIS code 2211399*

3.30.11 County-Established Funds

Section 116 of the PFM Act 2012 allows County governments to establish other public funds with approval from the County Executive Committee and the County Assembly. In FY 2025/26, the County allocated Kshs.70 million to County-established funds, representing 0.3 per cent of the County's overall budget. Furthermore, the County allocated Kshs.150 million to the Emergency Fund which accounts for 0.2 per cent of the total budget in line with Section 110 of the PFM Act, 2012. Table 3.448 summarises each established Fund's budget allocation and performance during the reporting period.

Table 3.448: Performance of Nairobi City County Established Funds in the first nine months of FY 2025/26

S/No.	Name of the Fund	Year Established	Approved Budget Allocation in FY 2025/26 (Kshs.)	Exchequer Issues FY 2025/26 (Kshs.)	Actual Expenditure in FY 2025/26 (Kshs.)	Cumulative disbursements to the Fund since inception (Kshs)	Submission of Annual Financial Statements (Yes/No)
	County Assembly Established Funds						
1.	Car Loan & Mortgage – County Assembly		70,000,000	-	-	1,016,000,000	Yes
	Total		**70,000,000**	**-**	**-**	**1,016,000,000**	

Source: *Nairobi City County Treasury*

During the reporting period, the CoB received quarterly financial reports from one Fund Administrator, as indicated in 7, in accordance with the requirements of Section 168 of the PFM Act, 2012. The County disclosed that the administration costs of the Funds were Kshs.4.34 million accounting for 0.4 per cent, which was below the 3 per cent limit of the Fund budget set in Regulation 197(1)(d) of the Public Finance Management (County Governments) Regulations, 2015.

Regulations, 2015, allow County Governments to establish public funds with a lifespan capped at 10 years unless extended by the County Assembly. In FY 2025/26, the lifespan of the County Assembly Car Loan & Mortgage Fund will lapse.

3.30.12 County Corporations

The County has one corporation: Nairobi Water and Sewerage Company, which operates independently. In FY 2025/26, the County did not allocate funds to this Corporation as shown in Table 3.449.

Table 3.449: Performance of Nairobi City County Corporations in the first nine months of FY 2025/26

S/No.	Name of the Corporation	Approved Budget Allocation in FY 2025/26 (Kshs.)	Exchequer Issues (Kshs.)	Actual Transfers in the first nine months of FY 2025/26 (Kshs.)	Cumulative Transfers to the Corporation since its inception (Kshs.)
1	Nairobi Water and Sewerage Company	-	-	-	-

Source: *Nairobi City County Treasury*

3.30.13 Expenditure on Domestic and Foreign Travel

Expenditure on domestic travel amounted to Kshs.1.18 billion and comprised Kshs.83.42 million spent by the County Assembly and Kshs.1.09 billion by the County Executive. Expenditure on foreign travel which amounted to Kshs.373.61 million was exclusive for the County Executive. Expenditure on foreign travel is summarised in Table 3.450

Table 3.450: Summary of Expenditure on Foreign Travel in the first nine months of FY 2025/26

Arm of Government	No. of officers Travelled	Date Travelled	Purpose of travel	Destination	Actual Payment on Travel (a) (Kshs
County Executive	4	20th-27th Sept 2025	Being payment for perdiem to attend the 80th UNGA Side Event	New York	8,731,020
County Executive	8	30th sep to 3rd oct 2025	Being payment of perdiem allowance to attend a sustainable finance summit	Switzerland	19,495,260
County Executive	2	15th-20th Sept 2025	Being payment for perdiem to attend the Brics Urban Future Forum meeting in Russia	Russia	4,145,550
County Executive	2	8th To 11th Sept 2025	Attending The 25th Citif In The Fujian Province	China	4,341,450
County Executive	8	30th sep to 3rd oct 2025	Sustainable finance summit from 30th Sept to 3rd oct 2025 in Switzerland	Switzerland	19,945,260
County Executive	2	15th-20th Sept 2025	To attend the Brics Urban Future Forum meeting	Russia	4,145,550
County Executive	5	20th-27th Sept 2025	To attend the 80th UNGA Side Event	New Yolk	9,347,610
County Executive	2	8th To 11th Sept. 2025	Attending The 25th Citif In The Fujian Province	China	4,341,450
County Executive	6	28th Sept-4th Oct 2025	Sustainable finance summit from 28th Sept-4th Oct 2025 in Geneva Switzerland	Geneva Switzerland	16,878,720
County Executive	5	2nd To 8th Oct 2025	Mayors Meeting In Geneva Switzerland From 2nd To 8th Oct 2025	Switzerland	15,223,840
County Executive	2	13TH - 17TH OCTOBER, 2025	The Mufpp Forum From 13th - 17th October, 2025 In Milan, Italy As Per Authority	Italy	4,256,085
County Executive	7	1st-5th Dec 2025	The Icpak 31st Executive Seminar	Turkey	12,354,440
County Executive	2	8TH TO 13TH DEC,2025	The International Management And Economic Governance	Dubai	3,735,420
County Executive	7	31st Oct-4th Nov 2025	CNN Global Perspective On Africa	London	10,747,400
County Executive	7	1ST-7TH JULY 2025	To Attend The 2025 International Climate Change Conference	Cordoba,Argentina	11,621,984
County Executive	4	18th-23rd May 2025	To Attend The 11th Technical Committee Of The Africa Ministerial Cooperative Conference (Tcamcco)	Morocco	6,911,240

Arm of Government	No. of officers Travelled	Date Travelled	Purpose of travel	Destination	Actual Payment on Travel (a) (Kshs
County Executive	5	21st-23rd Oct 2025	To Attend The Urban Transformation Summit In San Francisco	San Francisco	8,884,270
County Executive	4	6TH TO 11 OCT,2025	To Attend The 5th Un Forum Of Mayors Cities Shaping The Future	Geneva Switzerland	4,725,010
County Executive	7	12TH-19TH JULY 2025	To Participate In World Credit Union Conference In Stockholm	Sweden	18,625,200
County Executive	7	10TH-14TH MARCH, 2026	To Attend Icpak Leadership Summit	Singapore	13,330,660
County Executive	7	9th-18th Feb, 2026	To attend Training on Transformational Leadership in the Public Sector	Dubai	15,891,200

Source: Nairobi City County Treasury

3.30.14 Facility Improvement Financing

During the review period, the County reported collections of Kshs.1.35 billion as FIF, which was 109 per cent of the annual target of Kshs.1.24 billion. The collected amount was retained and utilised at source in line with the Facility Improvement Financing Act, 2023. The County has developed regulations to operationalise the FIF Act of 2023. The expenditure by the health facilities amounted to Kshs.828.22 million, however, the expenditure on level 2 and level 3 health facilities was not reported by the county, as shown in Table 3.451.

Table 3.451: Nairobi City County Health Facilities Expenditure Performance in the first nine months of FY 2025/26

No.	Health Facility	Number of Facilities	Approved Budget (Kshs.)	Actual Expenditure (Kshs.)	Absorption rate (%)
1	Level 5 Hospital	4	1,069,021,626	665.,284,829	62
2	Level 4 Hospital	11	279,828,539	162,939,560	58
3	Level 3 Facility	46	-	-	-
4	Level 2 Facility	58	-	-	-
	Total	**119**	**1,348,850,165**	**828,224,389**	**61**

Source: *Nairobi City County Treasury*

3.30.15 Development Expenditure

In the review period, the County reported spending Kshs.5.34 billion on development programmes, representing an increase of 120 per cent compared to FY 2024/25, when the County spent Kshs.2.43 billion. Table 3.452 summarises the development projects with the highest expenditure in the reporting period.

The increase in development expenditure was attributed to the adoption of accrual accounting in reporting.

Table 3.452: Nairobi City County, List of Development Projects with the Highest Expenditure

Project Name	Location	Project Commencement Date	FY 2025/2026 Estimates-	Expenditure on an Accrual Basis in the First Nine Months FY 2025/2026 (Amounts invoiced in VB up to 31st March 2026)	Expenditure on an Accrual Basis in the First Nine Months FY 2025/2026 (Amounts invoiced in VB up to 31st March 2026)	Cumulative Expend on an accrual basis as of 31st March 2026 (Total Value of Works Certified for Payment)	Percentage Completion %
Equipping of County Health facilities	Countywide	May-25	100,343,557	168,000,000	168,400,000	168,400,000	100

Project Name	Location	Project Commence-ment Date	FY 2025/2026 Estimates-	Expenditure on an Accrual Basis in the First Nine Months FY 2025/2026 (Amounts invoiced in VB up to 31st March 2026)	Expendi-ture on an Accrual Basis in the First Nine Months FY 2025/2026 (Amounts invoiced in VB up to 31st March 2026)	Cumulative Expend on an accrual basis as of 31st March 2026 (Total Value of Works Certified for Payment)	Percentage Comple-tion %
Construction of modern block at Mutuini Hospital – Phase 1	Mutuini ward, Dag-oretti South	May-24	38,000,000	37,708,854	37,708,854	37,708,854	95
Procure, install, and commission microwave plants (50 kg/hr) at Mbag-athi Hospital	Kenyatta Golf Course ward, Kibra	Oct-23	35,800,000	35,800,000	35,800,000	35,800,000	95
Proposed Cancer Diagnostic Centre at Parklands Sub-County Offices	Parkland/Highridge ward, Westlands	Nov-23	39,998,609	33,881,008	33,881,008	33,881,008	100
GIS Integration	Central Ward	23rd Jan 2026	20,000,000	20,000,000	29,850,000	30,000,000	90
Preparation of Local Physical and Land Use Plans	City Wide		35,000,000	26,000,000	26,000,000	26,000,000	74
Proposed partition-ing and renovation of offices for Planning & Urban Development, 1st and 4th Floor, City Hall Annex	Central Ward	6th March,2025	26,000,000	26,000,000	26,000,000	26,000,000	50
Renovation of the Rates and Valua-tion Office	Central Ward	3rd Dec 2024	20,000,000	18,836,736	20,000,000	20,000,000	80
Construction of a perimeter wall at Zimmerman Pick-ens Dispensary	Zimmerman, Roysambu	Aug-24		18,006,344	18,006,344	18,006,344	100
Renovation and furniture of the Land Administra-tion office	Central Ward	Ongoing	15,000,000	15,000,000	15,000,000	15,000,000	50

Source: *Nairobi City County Treasury*

The County reported 36 stalled development projects as of 31st March 2026, with an estimated value of Kshs.2.90 billion, of which Kshs.117.3 million has already been paid. The stalled projects are shown in Table 3.453.

Table 3.453: Nairobi City County Stalled Projects as of 31st March 2026

Project Name	Project Location	Project Start Date	Expected Comple-tion Date of the Project	Estimated Value of the Project (Kshs.)	Amount Paid on the stalled project (Kshs.)	Accrued Expendi-ture on the stalled project (Kshs.)	Outstand-ing Unpaid Balance As of 31st March 2026	Percentage of Comple-tion before stalling of the Project
Built Environ-ment & Urban Planning								
Renovation Of Service Floor	City hall annex	02-05-24	2024	7,800,000	7,800,000	-	-	80

Project Name	Project Location	Project Start Date	Expected Completion Date of the Project	Estimated Value of the Project (Kshs.)	Amount Paid on the stalled project (Kshs.)	Accrued Expenditure on the stalled project (Kshs.)	Outstanding Unpaid Balance As of 31st March 2026	Percentage of Completion before stalling of the Project
Huruma Perimeter wall	Mathare	02-12-21	2023	22,000,000	22,000,000	-	-	70
Re-Roofing Of Kariokor Estate	Starehe	08-09-24	2025	22,000,000	22,000,000	-	-	50
Business and Hustler opportunities						-	-	
Incubation hub centre	Kibra-ASK Showground	2022	2023	34,000,000		12,500,000	12,500,000	30
Construction of perimeter wall in Njiru	Njiru	May-24	May-25	12,755,957	8,800,000	8,800,000	3,955,957	70%
Proposed construction of the perimeter wall at the Kangundo Road market	Mowlem	May-24	May-25	9,340,654	-	-	9,340,654	65%
Proposed Rehabilitation of Kayole 1 Market	Kayole 1	May-24	May-25	19,504,773	-	-	19,504,773	0
Proposed token metering & associated Electrical works at Mwariro Market	Kariokor/ Ziwani	May-24	May-25	9,458,368	-	-	9,458,368	30
Proposed electrical works on Kangundo Road	Mowlem	2022	2023	13,243,278	-	-	13,243,278	50
Proposed construction of Perimeter wall & modern kiosks at Kamulu Market	Ruai	2022	2023	14,975,205	-	-	14,975,205	15
Rehabilitation of Makina Market	Makina	2016	2017	42,000,000	-	-	42,000,000	-
Proposed Construction of Hawkers sheds in 10 No. lanes	Central Ward	2022	2023	33,163,443	-	-	33,163,443	50
Talent, Skills and Cate								-
Completion of Kangemi ECDE	Mountain View	2019	2020	12,960,929		3,318,876	8,726,129	5
Dandora Day Nursery-	Dandora 1	2022	2022	12,960,929		3,318,876		20
ECD- Tana Day Nursery	Harambee	25-May	25-Nov	14,093,107			14,093,107	5
Completion of Kawangware ECDE Centre	Kawangware	13-07-24	13-11-24	14,000,000				15
Completion of Kabiro Social Hall	Kabiro	2020/2021		10,000,000				50
Completion of Riruta Satellite ECDE Centre	Riruta	2022	2022	13,944,308		8,206,126	-8,206,126	70

Project Name	Project Location	Project Start Date	Expected Completion Date of the Project	Estimated Value of the Project (Kshs.)	Amount Paid on the stalled project (Kshs.)	Accrued Expenditure on the stalled project (Kshs.)	Outstanding Unpaid Balance As of 31st March 2026	Percentage of Completion before stalling of the Project
Construction of Dandora II youth complex	Dandora II		Oct, 2022	50,000,000			-	55
Construction of a perimeter fence at Mathare VTC	Mabatini	Jul-24	Nov. 2024			5,000,000		30
Construction of Kariobangi South ECDE centre	Kariobangi South	2022	2022	12,960,929		-	-	0
Completion of Joash Olum ECDE Centre	Nyayo Highrise	2022	2022	13,852,333		8,430,900	-8,430,900	70
Completion of Mwiki ECDE	Mwiki	2022	2022	12,960,929		-	12,960,929	8
Mwiki multi-storey social hall	Mwiki	2023	2024	74,000,000		-	74,000,000	40
Construction of Mwiki Stadium	Mwiki	March, 2023		169,993,534		45,327,340	124,666,194	5
Construction of perimeter wall, changing rooms, playing pitch and 3 courts	Mwiki	March, 2023		47,504,521	-	-	47,504,521	80
Construction of a street children rehabilitation centre	Ruai	30-12-15	30-12-16	126,870,000	-	55,000,000	71,870,000	35
Construction of Makadara Sub-County Office	Makadara Subcounty	2016	2017	13,695,679	5,698,493	-	-	40
Construction of the Westlands sub-county office	Westlands Sub-County	2010	2012	10,000,000	-	1,200,000	-	40
Construction of Kasarani sub-county office	Kasarani Sub-County	2016	2017	13,987,907	-	4,611,793	4,611,793	30
Construction of the Southern Borough	Joseph Kangethe, Kibra Sub-County	2024	2025		37,000,000	-	-	40
Training School (Perimeter wall)	Ngong Road	31-05-24	30-11-24	7,899,252	-	7,899,252	7,899,252	90
Training school (tuition block phase 1)	Ngong Road	31//05/2024	30-11-24	19,898,190	-	-	-	-

Source: *Nairobi City County Treasury*

The County did not report on the reasons why the proejcts itemized were stalled.

3.30.16 Budget Performance by Department

Table 3.454 summarises the approved budget allocation, expenditure, and absorption rate by department for the period under review.

Table 3.454: Nairobi City County, Budget Allocation and Absorption Rate by Department in the first nine months of FY 2025/26

Department	Budget Allocation (Kshs.Millions)		Exchequer Issues (Kshs. Millions)		Expenditure (Kshs.Millions)		Expenditure to Exchequer Issues (%)		Absorption rate (%)	
	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev
County Public Service Board	119.21	-	86.71	-	103.13	-	119	-	87	-
Finance & Economic Planning	4,480.49	1,207.00	3,579.31	42.62	5,269.18	877.21	147	2,058	118	73
Public Service Management	1,427.52	10.00	1,333.14	-	1,281.37	-	96	-	90	-
Agriculture, Livestock Development, Fisheries & Forestry	238.19	85.00	136.60	-	185.78	20.97	136	-	78	25
County Assembly	1,638.91	1,000.00	763.56	111.70	927.82	111.70	122	100	57	11
Environment, Water, Energy & Natural Resources	2,667.02	845.00	2,058.81	377.22	,981.61	607.91	145	161	112	72
Ward Development Programs	88.11	2,155.00	17.45	376.29	49.94	1,281.41	286	341	57	59
Emergency Fund	150.00	-	-	-	519.36	-	-	-	346	-
Liquor Licensing Board	299.00	101.00	71.76	-	109.41	7.00	152	-	37	7
Boroughs and Public Administration	4,105.99	1,280.30	3,207.89	-	3,849.34	52.80	120	-	94	4
County Attorney	636.31	15.00	254.46	-	687.73	-	270	-	108	-
Innovation and Digital Economy	196.26	258.61	86.69	-	134.87	2.92	156	-	69	1
Health, Wellness & Nutrition	9,656.32	849.51	7,512.03	-	7,543.57	208.30	100	-	78	25
Built Environment & Urban Planning	531.08	579.14	377.92	150.34	424.81	101.39	112	67	80	18
Mobility and Works	1,589.24	2,824.27	757.25	428.25	750.24	1,456.25	99	340	47	52
Talent Skills Devt & Care	2,237.70	1,236.00	1,397.08	34.23	2,115.29	291.78	151	853	95	24
Business & Hustler Opportunities	620.28	805.25	408.02	-	469.09	210.53	115	-	76	26
Inclusivity, Public Participation & Citizen Engagement	314.81	141.63	109.28	-	248.97	-	228	-	79	-
Nairobi Revenue Authority	206.76	25.00	17.48	-	100.81	-	577	-	49	-
Total	**31,203**	**13,418**	**22,175**	**1,521**	**27,752**	**5,230**	**125**	**344**	**89**	**39**

Source: *Nairobi City County Treasury*

Analysis of expenditure by departments shows that the Department of Finance & Economic Planning recorded the highest absorption rate of development budget at 73 per cent, while the Departments of Public Service Management, County Attorney, Inclusivity, Public Participation & Citizen Engagement and Nairobi Revenue Authority did not record any development expenditure. The Emergency Fund had the highest percentage of recurrent expenditure to budget at 346 per cent on an accrual basis, while the Liquor Licensing Board recorded the lowest at 37 per cent.

3.30.17 Budget Execution by Programmes and Sub-Programmes

Budget execution was concentrated in selected performance bands. A large number of development sub-programmes recorded nil absorption during the review period. These included the Kenya Devolution Support Programme and agriculture committees under general administrative services in the Department of Agriculture, Livestock Development, Fisheries and Forestry; start-ups under Smart Nairobi in the Department of Innovation and Digital Economy; several public health facilities under the Department of Health, Wellness and Nutrition, namely Kayole 2 Sub-County Hospital, Njiru Hospital, Westlands Hospital, Kianda 42 Hospital, Langata Sub-County Hospital, Makadara Hospital, Bahati Hospital and Tasia Kwa Ndege Hospital; and building works under the Department of Mobility and Works.

No further sub-programmes were reported in the 1–10 per cent, 11–20 per cent, 21–30 per cent, 31–40 per cent, 41–50 per cent, or 51–60 per cent development bands beyond the nil cases above. In the 51–60 per cent band, development absorption was reported towards ward development programmes headquarters under the Department of Ward Development Programs at 59 per cent. In the 61–70 per cent band, development absorption was reported for roads under works in the Department of Mobility and Works at 64 per cent.

In the 81–90 per cent band, development absorption was reported for solid waste management under the Department of Environment, Water, Energy and Natural Resources at 85 per cent. In the 90–100 per cent band, development absorption reached 99 per cent for Mutuini Hospital under the Department of Health, Wellness and Nutrition and 97 per cent for debt management headquarters under the Department of Finance and Economic Planning.

For recurrent sub-programmes, performance was concentrated above 100 per cent. In the band above 100 per cent, recurrent absorption reached 236 per cent for disaster management and coordination headquarters under the Department of Boroughs and Public Administration, 180 per cent for solid waste management under the Department of Environment, Water, Energy and Natural Resources, 143 per cent for headquarters under general administrative services in the Department of Finance and Economic Planning, 138 per cent for children services under the Department of Talent, Skills Development and Care, 134 per cent for debt management headquarters under the Department of Finance and Economic Planning, and 119 per cent for the water department headquarters under the Department of Environment, Water, Energy and Natural Resources.

Low absorption in the lower performance bands was reflected in the development sub-programmes that recorded no expenditure during the review period. Conversely, the recurrent sub-programmes exceeding 100 per cent reflected expenditure above the approved estimates, including accrued and reallocated spending, during the review period.

Table 3.455 summarises budget execution by programmes and sub-programmes in the period under review with the highest absorption rates.

Table 3.455: Budget Execution by Programmes and Sub-Programmes with Highest Absorption Rates

Programme	Sub Programme	Approved Estimates		Total Expenditures		% Absorption	
		Rec.	Dvt.	Rec.	Dvt.	Rec.	Dvt.
Boroughs and Public Administration							
Disaster Management & Coordination	Disaster Mgt & Coordination Headquarters	362,006,816	-	855,085,598		236	-
Environment, Water, Energy & Natural Resources							
Solid Waste Management	Solid Waste Management	600,000,000	679,000,000	1,078,262,997	17,744,756	180	
Finance & Economic Planning							
General Administrative Services	Headquarters	371,470,915	25,000,000	531,694,940	-	143	-
Talent Skills Devt & Care							
Social Services	Children Services	38,101,499	5,000,000	52,500,207	-	138	-
Finance & Economic Planning							
Public Financial Management	Debt Management Headquarters	1,374,005,000	900,000,000	1,835,655,113	-	134	-
Environment, Water, Energy & Natural Resources							

Programme	Sub Programme	Approved Estimates		Total Expenditures		% Absorption	
		Rec.	Dvt.	Rec.	Dvt.	Rec.	Dvt.
Water Resources Management	Water Department Headquarters	32,345,544	60,000,000	38,414,106	15,800,420	119	-
Health Wellness & Nutrition							
Public Health	Mutuini Hospital	36,300,000	38,000,000	-	37,708,854	-	99
Finance & Economic Planning							
Public Financial Management	Debt Management Headquarters	1,374,005,000	900,000,000	1,835,655,113	877,208,263	-	97
Environment, Water, Energy & Natural Resources							
Solid Waste Management	Solid Waste Management	600,000,000	679,000,000	1,078,262,997	574,187,515	-	85
Mobility and works							
Works	Roads	7,915,000	1,920,353,571	1,366,700	1,220,595,883	-	64
Ward Development Programs							
Ward Development	Ward Development Programmes Headquarters	88,112,210	2,155,000,000	49,938,799	1,281,405,394	-	59

Source: *Nairobi City County Treasury*

The development sub-programmes with the highest budget implementation rates were: Mutuini Hospital in the Department of Health, Wellness & Nutrition at 99 per cent, Debt Management Headquarters in the Department of Finance & Economic Planning at 97 per cent, and Solid Waste Management in the Department of Environment, Water, Energy & Natural Resources at 85 per cent.

For recurrent sub-programmes, the top performers included: Disaster Management & Coordination in the Department of Boroughs and Public Administration at 236 per cent, Solid Waste Management in the Department of Environment, Water, Energy & Natural Resources at 180 per cent, and Headquarters in the Department of Finance & Economic Planning at 143 per cent.

Table 3.456 summarises the budget execution by programmes and sub-programmes in the period under review that had the lowest absorption rates.

Table 3.456: Budget Execution by Programmes and Sub-Programmes with Lowest Absorption Rates

Programme	Sub Programme	Approved Estimates		Total Expenditures		% Absorption	
		Recurrent	Dvt.	Rec.	Dvt.	Rec.	Dvt.
Agriculture, Livestock Development, Fisheries & Forestry							
General Administrative Services	Kenya Devolution Support Program	6,591,000		-		-	-
General Administrative Services	Agriculture Committees	149,998		-		-	-
Innovation and Digital Economy							
Smart Nairobi	Start ups	7,000,000		-		-	-
Health, Wellness & Nutrition							-
Public Health	Kayole 2 Sub-County Hospital	11,200,000		-		-	-
Public Health	Njiru Hospital	4,000,000		-		-	-
Public Health	Westlands Hospital	7,550,000		-		-	-

Programme	Sub Programme	Approved Estimates		Total Expenditures		% Absorption	
		Recurrent	Dvt.	Rec.	Dvt.	Rec.	Dvt.
Public Health	Kianda 42 Hospital	4,000,000		-		-	-
Public Health	Langata Sub-County Hospital	4,000,000		-		-	-
Public Health	Makadara Hospital	4,000,000		-		-	-
Public Health	Bahati Hospital	4,000,000		-		-	-
Public Health	Tasia Kwa Ndege Hospital	4,000,000	21,404,261	-	-	-	-
Mobility and works							-
Works	Building Works	7,875,000	8,000,000	-	-	-	-

Source: *Nairobi City County Treasury*

The development sub-programmes with the lowest budget implementation rates were as shown in Table 3.456 with all of them not recording any absorption

3.30.18 Settlement of Trade Payables

As of 1st July 2025, the County reported trade payables totalling Kshs.86.77 billion. This amount included Kshs.86.12 billion from the County Executive and Kshs.650.6 million from the County Assembly. The trade payables from the County Executive consisted of Kshs.78.95 billion for recurrent expenditures and Kshs.7.17 billion for development expenditures.

During the reporting period, the County Executive settled trade payables amounting to Kshs.4.98 billion, comprising Kshs.4.43 billion (89 per cent) for recurrent programmes and Kshs.550.26 million (11 per cent) for development programmes. On the other hand, the County Assembly did not settle any trade payables. The outstanding trade payables as of 31st March 2026 were Kshs.81.14 billion for County Executive and Kshs.650.6 million for County Assembly. Table 3.457 provides additional details of trade payables.

Table 3.457: Nairobi City County Trade Payables as of 31st March 2026

	County Entity	Development (Kshs.)	Recurrent (Kshs.)	Total (Kshs.)
As at 1 July 2025 (End of FY 2024/25)	County Executive	7,169,429,964	78,949,124,773	86,118,554,737
	County Assembly	-	650,598,395	650,598,395
	Total	**7,169,429,964**	**79,599,723,169**	**86,769,153,132**
Amount paid in FY 2025/26	County Executive	550,262,218	4,431,493,078	4,981,755,297
	County Assembly	-	-	-
	Total	**550,262,218**	**4,431,493,078**	**4,981,755,297**
Trade Payables Incurred in FY 2025/26	County Executive	-	-	-
	County Assembly	-	-	-
	Total	**-**	**-**	**-**
Outstanding Trade Payables as of 31 December 2025 (Kshs.)	County Executive	6,619,167,745	74,517,631,695	81,136,799,440
	County Assembly	-	650,598,395	650,598,395
	Total	**6,619,167,745**	**75,168,230,091**	**81,787,397,836**

Source: *Nairobi City County Treasury*

The County Executive submitted a generalised universal payment plan, and the County Assembly submitted a detailed trade payables payment plan, committing to pay Kshs.8.84 billion and Kshs.650.6 million, respectively, in FY 2025/26. The County Executive and County Assembly did not adhere to their payment plan, as it cleared Kshs.4.98 billion and nil respectively.

Table 3.458 and Table 3.459 present the ageing of the total outstanding bills as of 31st March 2026 for the County Executive and Assembly, which were Kshs.81.79 billion.

Table 3.458: Nairobi City County Executive Trade Payables Ageing Analysis as of 31st March 2026

Category	Ageing analysis (Amount in Kshs.)				Total
	Under one year	1-2 years	2-3 years	Over 3 years	
Development Trade Payables	1,783,485,917	942,527,812	980,718,493	2,912,435,523	6,619,167,745
Recurrent Trade Payables (Goods & Services)	6,092,894,219	2,628,709,920	6,195,111,266	16,876,790,265	31,793,505,670
Recurrent Trade Payables (Salary Arrears and Statutory Deductions)	93,834,138	-	-	41,277,819,790	41,371,653,928
Recurrent Trade Payables (Staff Claims)	616,903,534	179,289,651	11,046,778	545,232,135	1,352,472,098
Total Recurrent Trade Payables	**6,803,631,890**	**2,807,999,571**	**6,206,158,044**	**58,699,842,190**	**74,517,631,695**
Total Trade Payables	**8,587,117,807**	**3,750,527,383**	**7,186,876,537**	**61,612,277,713**	**81,136,799,440**
% of Total	**11**	**5**	**9**	**76**	**100**

Source: *Nairobi City County Treasury*

Table 3.459: Nairobi City County Assembly Trade Payables Ageing Analysis as of 31st March 2026

Category	Ageing analysis (Amount in Kshs.)				Total
	Under one year	1-2 years	2-3 years	Over 3 years	
Development Trade Payables	-	-	-	-	-
Recurrent Trade Payables (Goods & Services)	280,889,079	38,855,954	24,310,520	-	344,055,553
Recurrent Trade Payables (Salary Arrears and Statutory Deductions)	17,099,796	10,478,398	-	-	27,578,194
Recurrent Trade Payables (Staff Claims)	121,861,481	157,103,167	-	-	278,964,648
Total Recurrent Trade Payables	**419,850,356**	**206,437,519**	**24,310,520**	**-**	**650,598,395**
Total Trade Payables	**419,850,356**	**206,437,519**	**24,310,520**	**-**	**650,598,395**
% of Total	**65**	**32**	**4**	**-**	**100**

Source: *Nairobi City County Treasury*

As shown in Table 3.458 and Table 3.459 , the county executive and county assembly salary arrears and statutory deductions for trade payables amounted to Kshs 41.37 billion and Kshs.27.58 million respectively, which represented 51 per cent of the total trade payables of Kshs.81.79 billion as of March 31, 2026. The county treasury did not provide a breakdown of statutory deductions.

Additionally, the two tables indicate that 76 per cent of the county executive's total trade payables are aged over 3 years, and 65 per cent of the county assembly's total trade payables are aged under one year. The County executive and County Assembly did not adhere to their payment plan.

3.30.19 General Observations and Recommendations

In the course of overseeing and reporting on the implementation of the Nairobi City County budget, the CoB identified the following challenges, which hampered effective budget implementation;

i. The County Treasury's late submission of financial reports to the Controller of Budget affected the timely preparation of the budget implementation report, which was received on 30 April 2026.
ii. The underperformance of own-source revenue at Kshs.11 billion against an annual target of Kshs.21.58 billion, representing 48 per cent of the financial year target.
iii. Low development performance in the review period as the County incurred Kshs.5.34 billion on development activities, achieving a 40 per cent absorption rate.
iv. Unspent funds from FY 2024/25 were not refunded into the CRF account, resulting in actual expenditures exceeding the approved exchequer in several departments, as shown in Table 3.12.
v. High level of trade payables, which amounted to Kshs.81.79 billion as of 31st March 2026. Furthermore, the County Treasury did not adhere to the trade payables payment plan.
vi. Use of manual payroll. Personnel emoluments amounting to Kshs.539.18 million for casual staff,

gratuity for contract staff, and community health workers were processed through manual payroll, accounting for 2 per cent of the total payroll cost. Manual payroll is prone to abuse and may result in the loss of public funds.

vii. Lack of an HR plan (action plan) to reduce the wage bill to 35 per cent by June 2028 in line with the Third National Wage Bill Conference of 2024.

viii. Non-submission of copies of authorisation letters for opening commercial bank accounts as per Regulation 82(5) of the Public Finance Management (County Governments) Regulations, 2015.

ix. High levels of trade receivables, which amounted to Kshs.65.26 billion as of 31st march, 2026.

The County should implement the following recommendations to improve budget execution:

i. *The County Treasury should ensure the timely preparation and submission of financial reports to the Controller of Budget per the timelines prescribed in Section 166 of the PFM Act, 2012.*

ii. *The County should address its own-source revenue performance to ensure the approved budget is fully financed. Appropriate austerity measures should be implemented to ensure expenditure commitments are aligned with available revenue.*

iii. *The County should implement strategies to increase development expenditures in FY 2025/26.*

iv. *The CECMF should follow up to ensure Fund Administrators prepare and submit statutory reports in line with the PFM Act, 2012.*

v. *The County Leadership should address the situation of trade payables to ensure that genuine bills are paid promptly in the remaining financial year. Further, compliance with the Trade Payables Action Plan should be enforced.*

vi. *The Government requires that salaries be processed through the HRIS system, and the County is advised to fast-track the acquisition of Unified Personnel Numbers for their staff. The County Public Service Board should regulate staff engagement on contract and casual workers as provided under Section 74 of the County Governments Act 2012. Furthermore, strict adherence to the approved staff establishment should be maintained.*

vii. *The County treasury should submit an HR plan (action plan) to reduce the wage bill to 35 per cent by June 2028, in line with the Third National Wage Bill Conference of 2024*

viii. *The County Treasury should ensure it submits copies of authorisation letters to the CoB for opening commercial bank accounts to enhance accountability and oversight.*

ix. *The County Treasury should institute measures to ensure that the trade receivables due are recovered in order to increase the cashflow to the County.*

3.31. County Government of Nakuru

3.31.1 Overview of FY 2025/26 Budget

The Nakuru County Approved Budget for FY 2025/26 is Kshs.22.40 billion. It comprises Kshs.7.47 billion (33 per cent) and Kshs.14.92 billion (67 per cent) allocation for development and recurrent programmes, respectively. The budget estimates represent a decrease of Kshs.1.58 billion (7 per cent) from the FY 2024/25 budget, which comprised a development budget of Kshs.9.31 billion and a recurrent budget of Kshs.14.67 billion. The decrease in the budget was primarily attributed to a decline in unspent balances from FY 2024/25 to FY 2025/26.

The budget is to be financed from various revenue sources. These include the equitable share of revenue raised nationally of Kshs.14.32 billion (64 per cent), additional allocations of Kshs.1.83 billion (8 per cent), a cash balance brought forward from FY 2024/25 of Kshs.1.67 billion (7 per cent) and Kshs.4.58 billion (20 per cent) generated as own-source revenue. A breakdown of the additional allocations is shown in

3.31.2 Revenue Performance

During the first nine months of FY 2025/26, the County reported total revenues amounting to Kshs.17.34 billion. This amount represented a 20 per cent increase over the amount received in a similar period in FY 2024/25, of Kshs.14.45 billion. The total revenue consisted of Kshs.9.61 billion from the equitable share of revenue raised nationally, additional allocations from the national government and development partners of Kshs.381.61 million, and own-source revenue (OSR) collection of Kshs.3.14 billion. Additionally, the County had a cash balance of Kshs.4.21 billion from FY 2024/25. The total OSR collection of Kshs.3.14 bil-

lion included Facilities Improvement Financing (FIF) of Kshs.1.82 billion, and Kshs.1.31 billion from other OSR sources.

Table 3.460 summarises the total revenue available to the County Government during FY 2025/26.

Table 3.460: Nakuru County, Revenue Performance in the first nine months of FY 2025/26

No	Revenue Stream	Annual Targeted Revenue (Kshs.)	Actual Receipts (Kshs.)	Receivables in the first nine months of FY 2025/26 (Kshs.)	Total Revenues (in accrual basis) in the first nine months of FY 2025/26 (Kshs.)	Revenue Performance
		A	B	C	D	F=D/A*100
A	**Unspent Balance from FY 2024/25**					
1	Balance at CRF	1,670,702,716	4,208,744,323	-	4,208,744,323	252
2	County Executive Refunds to CRF	-	67,215,332	-	67,215,332	-
3	County Assembly Refunds to CRF	-	3,032,700	-	3,032,700	-
	Sub-Total	**1,670,702,716**	**4,208,744,323**	-	**4,208,744,323**	252
B	**Equitable Share of Revenue Raised Nationally**					
1	**Equitable Share**	14,315,950,029	9,612,673,193	-	9,612,673,193	67
	Sub-Total	14,315,950,029	9,612,673,193	-	9,612,673,193	67
C	**Additional Allocations (Including Grants)**					
1	Donor Grants (DANIDA)	23,583,750	-	-	-	-
2	Kenya Devolution Support Program (KDSP) II Level I	37,500,000	35,253,471	-	35,253,471	94
3	Kenya Devolution Support Program (KDSP) II Level II	352,500,000	-	-	-	-
4	World Bank National Agricultural Value Chain Development Project (NAVCDP)	151,515,152	176,163,175	-	176,163,175	116
5	IFAD Conditional grant Kenya Livestock Commercialization Project (KELCOP)	38,280,000	35,716,323	-	35,716,323	93
6	Conditional Grant - Kenya Agricultural Business Development Project (KABDP)	10,918,919	-	-	-	-
7	Conditional Fund -Kenya Urban Support Project (KUSP) - Urban Development Grant	671,683,509	-	-	-	-
8	Conditional Fund -Kenya Urban Support Project (KUSP) - Urban Institutional Grant	35,000,000	-	-	-	-

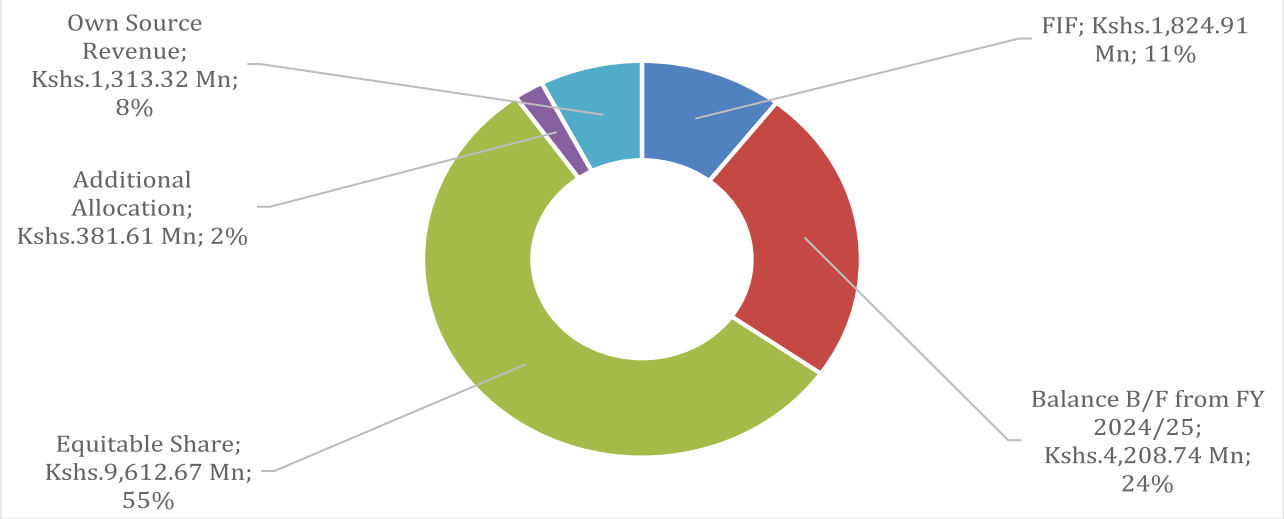
No	Revenue Stream	Annual Targeted Revenue (Kshs.)	Actual Receipts (Kshs.)	Receivables in the first nine months of FY 2025/26 (Kshs.)	Total Revenues (in accrual basis) in the first nine months of FY 2025/26 (Kshs.)	Revenue Performance
		A	B	C	D	F=D/A*100
9	World Bank Grant Finance Locally-Led Climate Action Program, (FLLoCA) - County Climate Institution Support (CCIS) Level I	11,000,000	-	-	-	-
10	World Bank Grant Financing Locally-Led Climate Action (FLLoCA) Program – County Climate Resilience Investment Grant	188,211,085	-	-	-	-
11	Conditional Fund - World Bank - Kenya Informal Settlement Improvement Project II (KISIP II)	100,000,000	-	-	-	-
12	Nutrition International Grant	10,000,000	-	-	-	-
13	Conditional Allocation for Community Health Promoters (CHPs)	99,390,000	-	-	-	-
14	Conditional grant from GoK for Aggregated Industrial Parks Programme (CAIPs)	105,263,158	133,368,421	-	133,368,421	127
15	County Allocation for Court fines	-	1,022,898	-	1,022,898	-
16	County Allocation for 20% share of mineral Royalties	-	82,769	-	82,769	-
	Sub-Total	**1,834,845,573**	**381,607,057**	**-**	**381,607,057**	**21**
D	**Ordinary Own Source Revenue (OSR)**					
1	Approval for Building Plans	127,075,934	54,522,324	-	54,522,324	43
2	Health Fees	95,752,325	52,422,240	-	52,422,240	55
3	Alcoholics Drinks/Liquor	163,832,708	71,220,800	-	71,220,800	43
4	Miscellaneous Income	163,891,807	95,967,072	-	95,967,072	59
5	Royalties	291,201,012	182,036,444	-	182,036,444	63
6	Trade Licences	523,203,060	308,297,818	-	308,297,818	59
7	Advertisements	205,961,686	119,527,799	-	119,527,799	58
8	Property tax (Plot & Land rates)	326,593,517	166,613,789	-	166,613,789	51
9	Markets	54,415,204	29,226,740	-	29,226,740	54
10	Vehicle Parking Fees	316,948,194	181,343,956	-	181,343,956	57
11	House rent	30,600,856	2,026,490	-	2,026,490	7
12	Slaughter House Fees	26,994,375	6,211,430	-	6,211,430	23
13	Cess Revenue	73,529,323	43,905,909	-	43,905,909	60

No	Revenue Stream	Annual Targeted Revenue (Kshs.)	Actual Receipts (Kshs.)	Receivables in the first nine months of FY 2025/26 (Kshs.)	Total Revenues (in accrual basis) in the first nine months of FY 2025/26 (Kshs.)	Revenue Performance
		A	B	C	D	F=D/A*100
	Sub-Total	**2,400,000,000**	**1,313,322,811**	**-**	**1,313,322,811**	55
E	**Facility Improvement Financing (FIF)**					
1	FIF	2,175,903,913	1,502,575,632	322,329,646	1,824,905,278	84
	Sub-Total	**2,175,903,913**	**1,502,575,632**	**322,329,646**	**1,824,905,278**	84
Total		**22,397,402,231**	**17,018,923,016**	**322,329,646**	**17,341,252,662**	77

Source: *Nakuru County Treasury*

The County does not have governing legislation on the operation of ordinary A-I-A and FIF. The more than 100 per cent revenue performance of the CRF balances, NAVCDP, and CAIPs is due to under-budgeting in the first (Approved) budget of the FY, which has since been corrected at the supplementary budget level. Figure 3.181 provides a detailed breakdown of receipts.

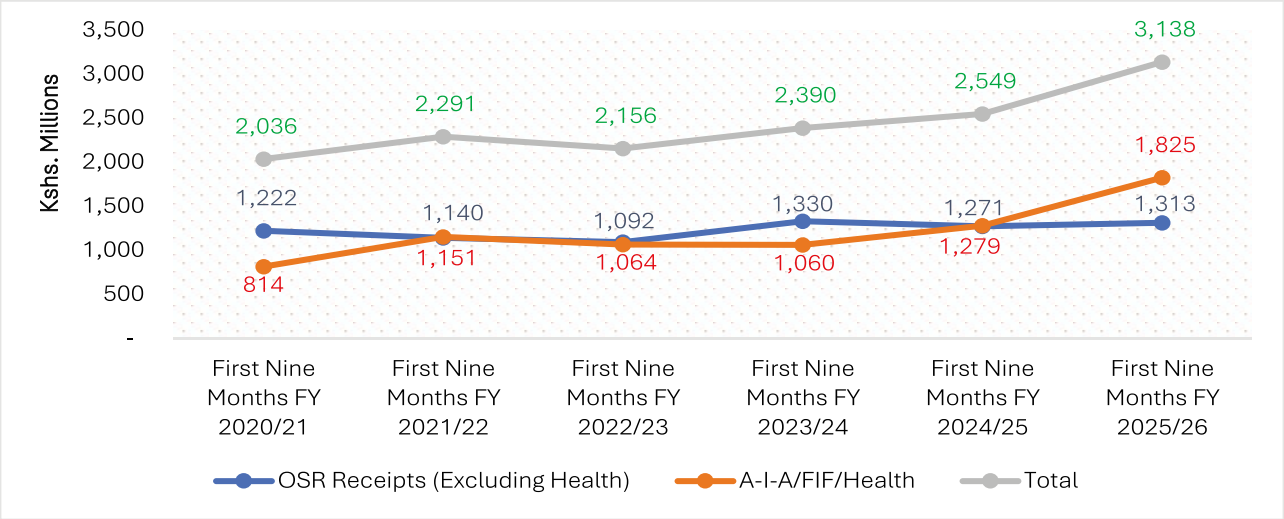
Figure 3.181: Nakuru County Composition of Revenue in the first nine months of FY 2025/26



Source: *Nakuru County Treasury*

The equitable share of revenue raised nationally, OSR, and FIF contributed 55 per cent, 8 per cent and 11 per cent, respectively, of the total receipts for the reporting period. Figure 3.182 shows the collection trend in own-source revenue from the first nine months of FY 2020/21 to the first nine months of FY 2025/26.

Figure 3.182: Nakuru County Trend in Own-Source Revenue Collection from the first nine months of FY 2020/21 to the first nine months of FY 2025/26



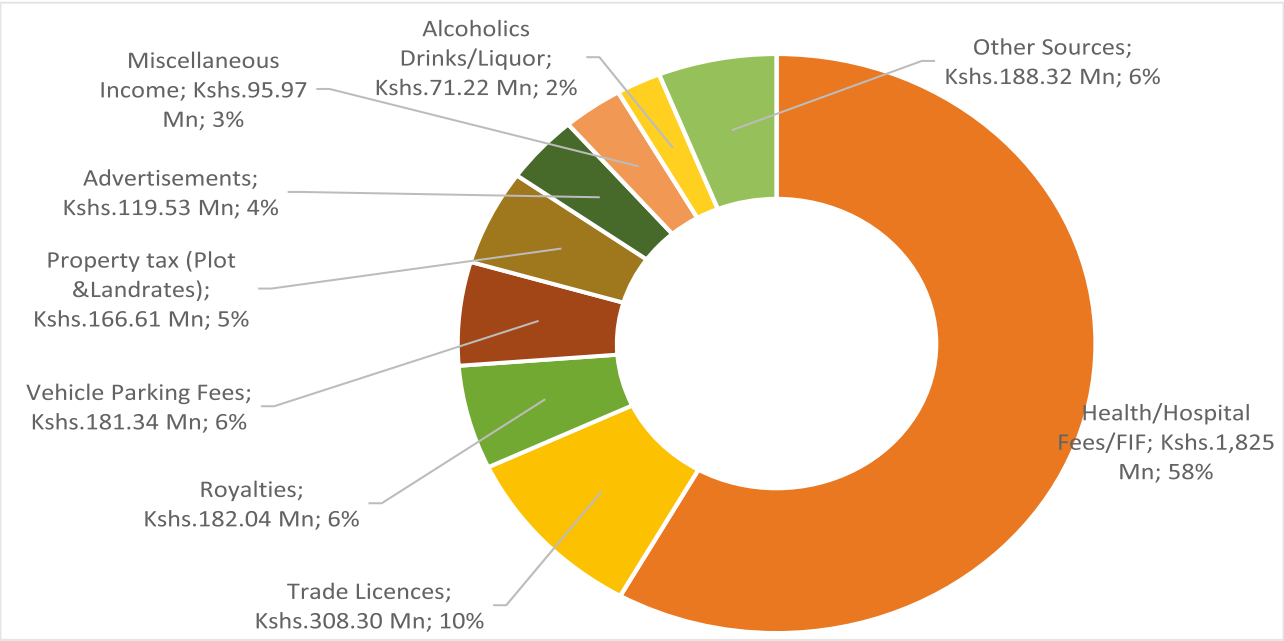
Source: *Nakuru County Treasury*

During the first nine months of FY 2025/26, the County received Kshs.3.14 billion from OSR, including FIF. This amount was an increase of 23 per cent compared to Kshs.2.55 billion realised in a similar period in FY 2024/25, and was 69 per cent of the annual target and 33 per cent of the equitable revenue share disbursed.

The increase in overall OSR was attributed to the growth of the FIF collections from Kshs.1.28 billion in the FY 2024/25 to Kshs.1.82 billion dues to the adoption of the Digital FIF systems in all the facilities which has reduced leakages and improved the overall rrevenue collection efficiency.

The revenue streams that contributed the most to OSR receipts are shown in Figure 3.183

Figure 3.183: Nakuru County Top Own Source Revenue Streams in the first nine months of FY 2025/26



Source: *Nakuru County Treasury*

As shown in Figure 3.183, the largest revenue stream, at Kshs.1.83 billion, was Health/Hospital Fees/FIF, accounting for 58 per cent of total OSR receipts. The County Government indicated that it has automated all its revenue streams. The system utilised for FIF revenue collection is the Digital FIF System, which has been in use since November, 2024.

Digital FIF systems improved revenue management in Nakuru County health facilities by enabling real-time tracking and automated reporting**,** which enhanced transparency, accuracy, and decision-making. However, their effectiveness is limited by system downtime**,** which forces reliance on unreliable SMS confirmations that can be manipulated, and by delays in updating refunds, leading to inaccurate records and reconciliation challenges.

3.31.3 Revenue Receivables

As of 1st July 2025, the County reported revenue receivables of Kshs.12.20 billion, which increased to Kshs.15.48 billion as of 31st March 2026 Table 3.461 presents a breakdown of the County's revenue receivables.

Table 3.461: Nakuru County Receivables as of 31st March 2026

No	Revenue Stream	Revenue Receivables as of 1 July 2025 (Kshs.)	Progress made in the first nine months of FY 2025/26			OSR Receivables as of 31st March 2026 (Kshs.)
			Waivers (Kshs)	Receivables paid in the financial year (Kshs)	Receivables earned in the first nine months of FY 2025/26 (Kshs)	
		a	b	c	d	f=a-b-c+d
A	**Ordinary Own Sources of Revenue**					
1	Land rates	10,588,563,647	-	-	1,214,300,453	11,802,864,100
2	House rent	697,631,044	-	-	63,172,275	760,803,319
3	Market stall Rent	5,722,307	-	-	510,970	6,233,277
	Sub-Total	**11,291,916,998**	**-**	**-**	**1,277,983,698**	**12,569,900,696**
B	**Facility Improvement Financing (FIF)**					
1	SHIF	456,894,881	-	838,226,980	1,146,570,470	2,441,692,331
2	Defunct NHIF	432,934,272	-	-	-	432,934,272
3	Insurance Companies	19,438,525	-	11,112,538	9,735,016	40,286,079
	Sub-Total	**909,267,678**	**-**	**849,339,518**	**1,156,305,486**	**2,914,912,682**
Total		**12,201,184,676**	**-**	**849,339,518**	**2,434,289,184**	**15,484,813,378**

Source: Nakuru *County Treasury*

As of 31st March 2026, the revenue receiables totalled to Kshs.15.48 billion, comprising Kshs.12.57 billion in OSR and Kshs.2.91 billion for FIF receivables. The measures instituted by the County to collect the outstanding receivables in FY 2025/26 include the use of legal frameworks such as the Housing Estates Tenancy and Management Bill, Revenue Administration Act, and Rating Act and other relevant laws to recover arrears for land rates (property taxes), house rent (for County-owned housing), and stall rent (for market stalls). The other measures include administrative, legal, and enforcement actions, such as issuing demand notices, establishing a debt collection unit, improving systems, and collaborating with the national government to recover significant arrears owed by entities such as Kenya Railways, Kenya Wildlife Services, and the Pyrethrum Board.

3.31.4 Borrowing by the County

Nakuru County did not report any borrowing during the third quarter of the FY 2025/26.

3.31.5 Withdrawals from the County Revenue Fund and County Assembly Fund

During the reporting period, the Controller of Budget approved exchequer withdrawal requests totalling Kshs.9.38 billion from the Nakuru County Revenue Fund (CRF) account. This amount consisted of Kshs.1.12 billion (12 per cent) designated for development programs and Kshs.8.26 billion (88 per cent) allocated for recurrent programs.

An analysis of the released recurrent exchequers shows that Kshs.6.28 billion was allocated to employee compensation and Kshs.1.98 billion to operations and maintenance expenditures. Within the operations and maintenance category, 23 per cent was for domestic travel and 3 per cent for foreign travel. The domestic travel exchequers totalled Kshs.462.30 million, which included Kshs.295.39 million for the County Executive and Kshs.166.91 million for the County Assembly. Meanwhile, the foreign travel exchequers amounted to Kshs.58.92 million, with Kshs.8.20 million for the County Executive and Kshs.50.72 million for the County Assembly.

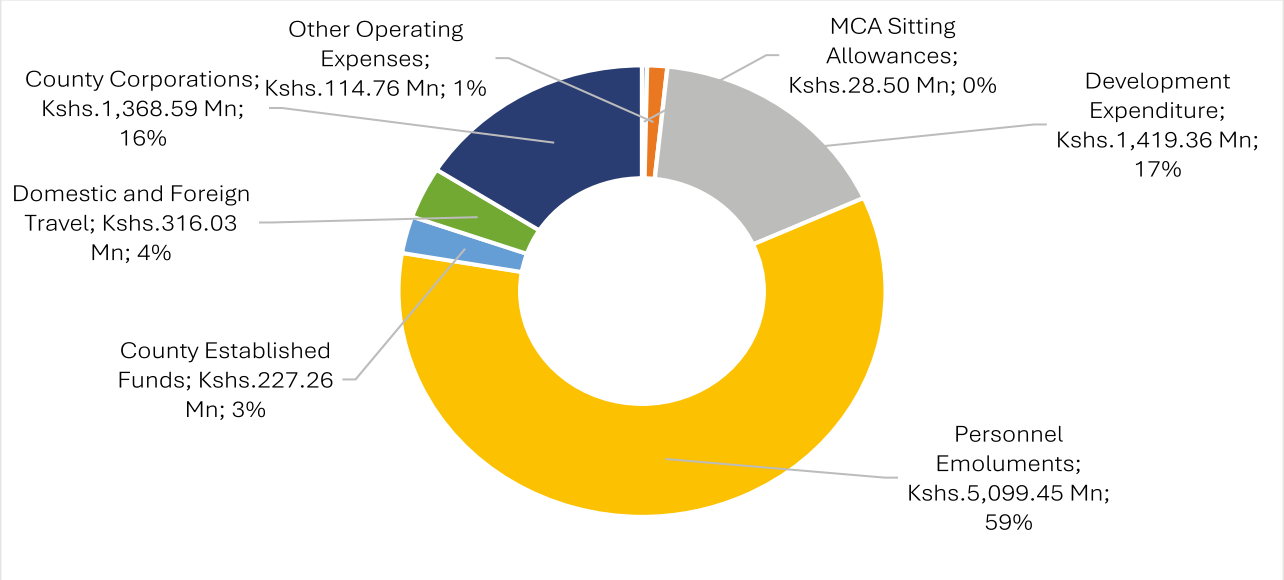
As of 31st March 2026, the County Government's cash balance in the CRF account was Kshs.4.78 billion. Further, the County had not operationalised the County Assembly Fund as of 31st March 2026.

3.31.6 Expenditure Review

The County spent Kshs.10.75 billion on development and recurrent programmes during the reporting period. The expenditure represented 115 per cent of the total funds released by the CoB. It comprised Kshs.1.42 billion for development programmes and Kshs.9.33 billion for recurrent programmes. Expenditure on development programmes accounted for 19 per cent of the annual development expenditure budget, while recurrent expenditure accounted for 63 per cent of the annual recurrent expenditure budget.

Figure 3.184 provides a detailed breakdown of total expenditure.

Figure 3.184: Nakuru County Composition of Expenditure in the first nine months of FY 2025/26



Source: Nakuru *County Treasury*

As shown in Figure 3.184, the three highest expenditure categories were Personnel Emoluments, Development Expenditure, County Corporations and Domestic and Foreign Travel Expenditure contributing 59, 17, 16 and 4 per cent of the total expenditure for the reporting period.

3.31.7 Expenditure by Economic Classification

The County Executive incurred Kshs.4.77 billion in employee compensation, Kshs.3.81 billion in operations and maintenance, and Kshs.1.24 billion in development activities. Similarly, the County Assembly spent Kshs.331.62 million on compensation of employees, Kshs.422.76 million on operations and maintenance, and Kshs.177.33 million on development activities, as shown in Table 3.462

Table 3.462: Nakuru County Summary of Budget and Expenditure by Economic Classification

Expenditure Classification	Approved Budget (Kshs.) (a)		Amount Paid in the first nine months of FY 2025/26 (Kshs.) (b)		Expenditure Accrued in the first nine months of FY 2025/26 (Kshs.) (c)		Total Expenditure in the first nine months of FY 2025/26 (Kshs.) (d=b+c)		Absorption (%) (d/a*100)	
	Executive	Assembly	Executive	Assembly	Executive	Assembly	Executive	Assembly	Executive	Assembly
Total Recurrent Expenditure	**13,663,374,264**	**1,261,497,608**	**8,575,269,263**	**754,372,945**	**-**	**-**	**8,575,269,263**	**754,372,945**	**63**	**60**
Compensation of Employees	7,919,561,862	487,719,778	4,767,834,932	331,616,112	-	-	4,767,834,932	331,616,112	60	68
Operations and Maintenance	5,743,812,402	773,777,830	3,807,434,330	422,756,833	-	-	3,807,434,330	422,756,833	66	55
Development Expenditure	**7,222,530,359**	**250,000,000**	**1,242,023,491**	**177,332,619**	**-**	**-**	**1,242,023,491**	**177,332,619**	**17**	**71**
Total	**20,885,904,623**	**1,511,497,608**	**9,817,292,754**	**931,705,564**	**-**	**-**	**9,817,292,754**	**931,705,564**	**47**	**62**

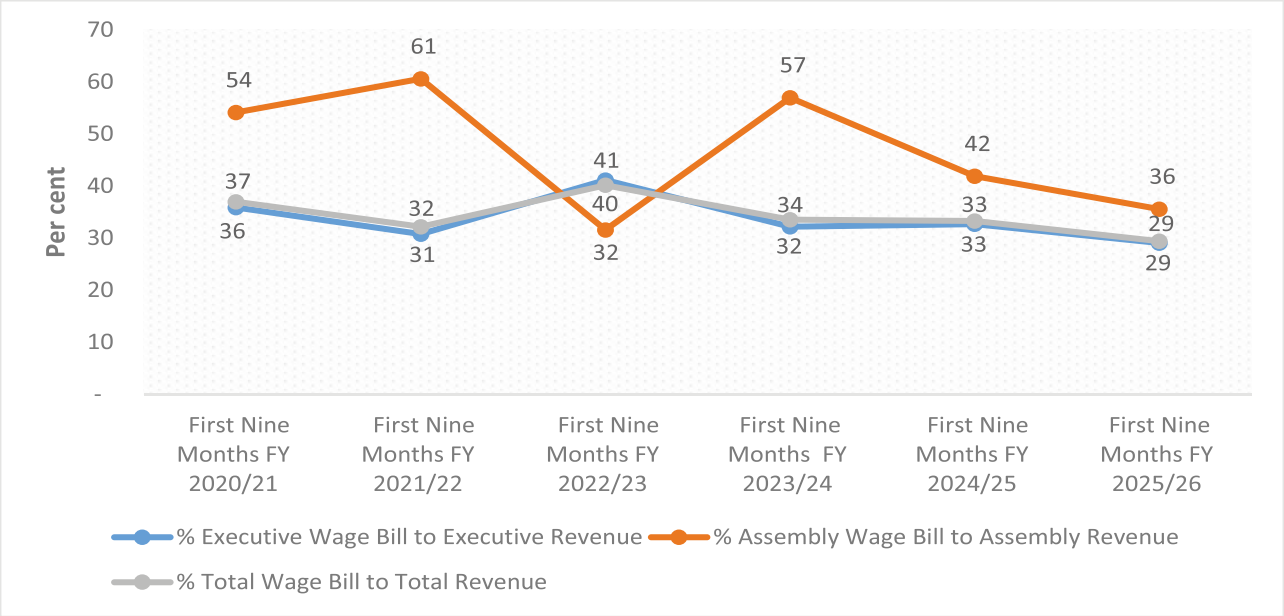
***Source**: Nakuru County Treasury*

3.31.8 Expenditure on Employee Compensation

The expenditure on employee compensation totalled Kshs.5.10 billion, representing 29 per cent of revenue. This expenditure on employee compensation shows an increase of 6 per cent compared to the Kshs.4.81 billion reported in a similar period in FY 2024/25. Of this total, Kshs.4.06 billion related to health sector employees, accounting for 80 per cent of the overall employees' compensation.

Figure 3.185 shows the trend in employee compensation as a percentage of total revenue from the first nine months of FY 2020/21 to the first nine months of FY 2025/26.

Figure 3.185: Percentage of Employee Compensation Expenditure to Total Revenue Received in the first nine months of FY 2020/21 to the first nine months of FY 2025/26



***Source:** Nakuru County Treasury*

Further analysis indicated that PE costs totalling Kshs.4.85 billion were processed through the Human

Resource Information System (HRIS). In contrast, Kshs.251.48 million was processed through manual payrolls, which accounted for 5 per cent of the total PE cost.

The manual payroll comprised salaries for 18 staff not on-boarded into the Human Resource Information System (HRIS), salaries for 596 casual staff, and top-up allowances for security personnel, as shown in Table 3.463

Table 3.463: Breakdown of Nakuru County Manual Payroll

Sno.	Description of Manual Payroll	Amount (Kshs.)
1	Salaries for staff yet to be onboarded into HRIS	10,930,671
2	Salaries for casual staff	84,818,932
3	Top-up Allowances for Security Officers	8,214,338
4	NSSF – Employer	3,059,640
5	NITA	175,050
	Total	**107,198,631**

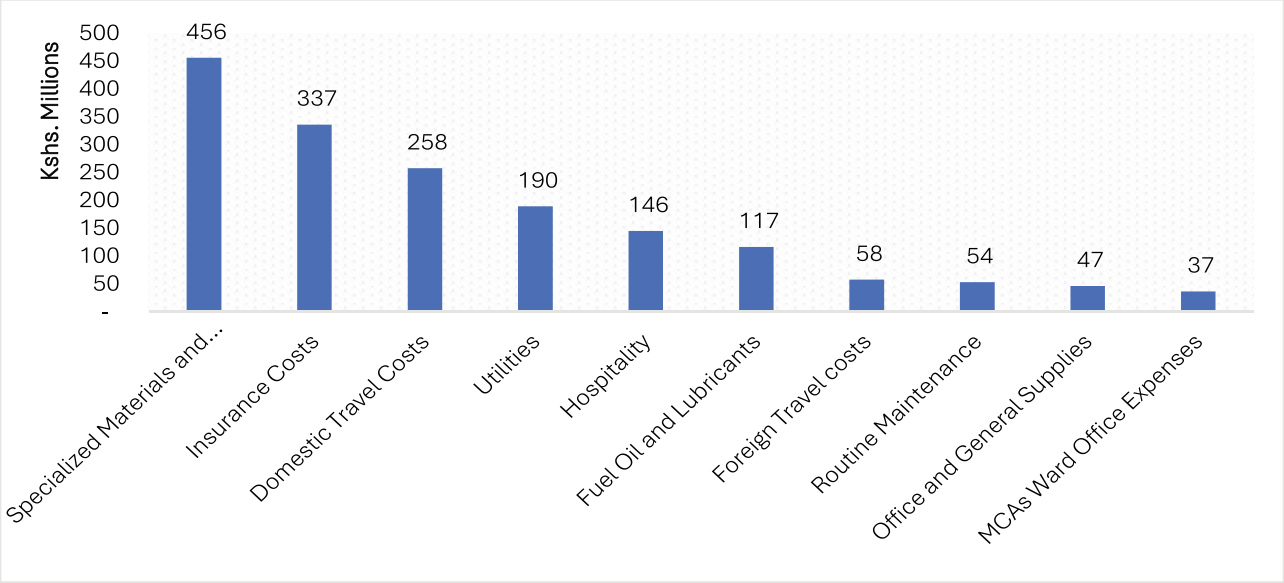
Source: *Nakuru County Treasury*

The County Assembly spent Kshs.28.50 million on committee sitting allowances for the 75 MCAs and the Speaker against the annual budget allocation of Kshs.53 million. The average monthly sitting allowance was Kshs.41,666 per MCA. The County Assembly has 23 House Committees.

3.31.9 Expenditure on Operations and Maintenance

During the reporting period, the County spent Kshs.4.23 billion on operations and maintenance, representing an increase of 47 per cent compared to a similar period in FY 2024/25, when the County spent Kshs.2.89 billion. Figure 3.186 illustrates the distribution of Operations and Maintenance expenditures across the major spending categories.

Figure 3.186: Nakuru County, Operations and Maintenance Expenditure by Major Categories



Source: *Nakuru County Treasury*

3.31.10 Unbundling "Other Operating Expenses – Other" (IFMIS Code 2211399) Under Operations and Maintenance Expenditures

The budget performance report for the first nine months of FY 2025/26 indicates that the County didn't spend on "*other operating expenses - other*," *under IFMIS code 2211399.*

3.31.11 County Established Funds

Section 116 of the PFM Act 2012 allows County Governments to establish other public funds, subject to approval from the County Executive Committee and the County Assembly. The County allocated Kshs.734.84 million to County-Established funds in FY 2025/26, representing 3 per cent of the County's overall budget. Of this amount, the County allocated Kshs.70 million to the Emergency Fund in line with Section 110 of the PFM Act, 2012, accounting for less than one per cent of the total budget. Table 3.464 summarises the budgets and performance of each established Fund during the reporting period.

Table 3.464: Performance of Nakuru County Established Funds in the first nine months of FY 2025/26

S/No.	Name of the Fund	Date Established	Approved Budget Allocation in FY 2025/26 (Kshs.)	Exchequer Issues in the first nine months of FY 2025/26 (Kshs.)	Actual disbursements in the first nine months of FY 2025/26 (Kshs.)	Cumulative disbursements to the Fund (Kshs)	Submission of Financial Statements (Yes/No.)
County Executive Established Funds							
1	Nakuru County Executive Mortgage (Staff) Scheme Fund	11th May, 2018	50,000,000	-	-	306,000,000	Yes
2	Nakuru County Executive (Staff) Car Loan Scheme Fund	11th May, 2018	5,000,000	-	-	80,840,000	Yes
3	Nakuru County Persons Living with Disability Fund	26th November, 2025	27,500,000	-	-	55,000,000	Yes
4	Nakuru County Bursary Fund	26th February, 2026	416,062,172	-	42,104,476	2,009,242,832	Yes
5	Nakuru County Climate Change Fund	17th May, 2021	111,852,663	-	111,852,663	529,583,849	Yes
6	Nakuru County Enterprise Fund	17th July, 2020	25,000,000	-	157,528	50,000,000	Yes
7	The Nakuru County Co-Operative Revolving Development Fund	17th July, 2020	25,000,000	-	432,778	50,000,000	Yes
County Assembly Established Funds							
1	Nakuru County Assembly Car Loan, Grant & Mortgage Scheme Fund	19th October, 2022	4,424,000	-	2,210,000	836,266,265	Yes
	Total		**664,838,835**	**-**	**156,757,445**	**3,916,932,946**	

Source: *Nakuru County Treasury*

During the reporting period, the CoB received quarterly financial reports from eight Fund Administrators, as indicated in Table 3.464, in accordance with the requirements of Section 168 of the PFM Act, 2012. The County disclosed that the administration costs of the five Funds that reported expenditure during the period under review were within the 3 per cent limit of the Fund budget set in Regulation 197(1)(d) of the Public Finance Management (County Governments) Regulations, 2015.

Regulation 197(1)(i) of the Public Finance Management (County Governments) Regulations, 2015, allows County Governments to establish public funds with a lifespan capped at 10 years unless extended by the County Assembly. A review of the county established funds revealed that all the funds were below the 10 years lifespan.

3.31.12 County Corporations

The County has 3 County Corporations, with a total budget of Kshs.2.96 billion in FY 2025/26. Their total expenditure for the review period amounted to Kshs.1.37 billion, as shown in Table 3.465.

Table 3.465: Performance of Nakuru County Corporations in the first nine months of FY 2025/26

S/No.	Name of the Corporation	Approved Budget Allocation in FY 2025/26 (Kshs.)	Exchequer Issues (Kshs.)	Actual Expenditure in the first nine months of FY 2025/26 (Kshs.)	Cumulative Expenditure by the Corporation since its inception (Kshs.)
	Nakuru Water and Sanitation Company	2,103,138,464	-	907,039,315	2,101,612,596
1	Naivasha Water and Sanitation Company	315,786,670	-	256,240,554	505,626,978
2	Nakuru Rural Water Company	536,409,196	-	205,307,502	602,344,926
	Total	**2,955,334,330**	**-**	**1,368,587,371**	**3,209,584,500**

Source: *Nakuru County Treasury*

3.31.13 Expenditure on Domestic and Foreign Travel

Expenditure on domestic travel amounted to Kshs.258.07 million and comprised Kshs.108.74 million spent by the County Assembly and Kshs.149.33 million by the County Executive. Expenditure on foreign travel amounted to Kshs.57.95 million and comprised Kshs.53.71 million by the County Assembly and Kshs.4.24 million by the County Executive. Expenditure on foreign travel is summarised in Table 3.466

Table 3.466: Summary of Expenditure on Foreign Travel in the first nine months of FY 2025/26

Arm of County Government	Number of Officers Travelled	Date travelled	Purpose of the travel	Destination	Actual Payment on Travel (a) (Kshs.)	Accrued Expenditure on Travel (b) (Kshs.)	Total Expenditure on Travel (c=a+b) (Kshs.)
County Assembly	7	8th -12th Sept. 2025	Attending the Change Management for Government Leaders Training	Singapore	7,392,771	-	7,392,771
County Assembly	6	14th - 22nd Sept. 2025	Attending a Training on Public Policy Formulation, Analysis and Management	Singapore	7,161,739	-	7,161,739
County Assembly	7	17th - 24th August 2025	Strategic Leadership and Governance (SLG) in a Parliamentary Setting	Tanzania	2,909,380	-	2,909,380
County Assembly	7	3rd - 10th August 2025	Strategic Leadership and Governance (SLG) in a Parliamentary Setting	Tanzania	2,749,235	-	2,749,235
County Assembly	7	3rd - 10th August 2025	Strategic Leadership and Governance (SLG) in a Parliamentary Setting	Tanzania	2,749,235	-	2,749,235
County Assembly	7	14th - 21st September 2025	Strategic Leadership and Governance (SLG) in a Parliamentary Setting	Tanzania	2,719,640	-	2,719,640
County Assembly	7	14th -21st Sept. 2025	Strategic Leadership and Governance (SLG) in a Parliamentary Setting	Tanzania	2,719,640	-	2,719,640

Arm of County Government	Number of Officers Travelled	Date travelled	Purpose of the travel	Destination	Actual Payment on Travel (a) (Kshs.)	Accrued Expenditure on Travel (b) (Kshs.)	Total Expenditure on Travel (c=a+b) (Kshs.)
County Assembly	7	12th - 19th October 2025	Strategic Leadership and Governance (SLG) in a Parliamentary Setting	Tanzania	2,718,366	-	2,718,366
County Executive	2	23rd - 28th Feb. 2025	EALASCA Games	Uganda	1,310,293	-	1,310,293
County Executive	1	24th July - 8th August 2025	Cooperative Governance for Risk Management and Sustainability Training	UAE	1,150,000	-	1,150,000

Source: *Nakuru County Treasury and Nakuru County Assembly*

3.31.14 Facility Improvement Financing

During the review period, the County reported collections of Kshs.1.82 billion as FIF, which was 84 per cent of the annual target of Kshs.2.18 billion. The collected amount was retained and utilised at source in line with the Facility Improvement Financing Act, 2023. The County, however, has not developed regulations to operationalise the FIF Act of 2023.

The expenditure by the health facilities amounted to Kshs.1.82 billion, as shown in Table 3.467

Table 3.467: Nakuru County Health Facilities Expenditure Performance in the first nine months of FY 2025/26

No.	Health Facility	Number of Facilities	Approved Budget (Kshs.)	Actual Expenditure (Kshs.)	Absorption rate (%)
1.	Level 5 Hospital	1	1,199,132,309	1,076,694,114	90
2.	Level 4 Hospital	15	976,771,604	748,211,164	77
	Total	**16**	**2,175,903,913**	**1,824,905,278**	**84**

Source: *Nakuru County Treasury*

1.1.2 Development Expenditure

In the review period, the County reported spending Kshs.1.42 billion on development programmes, representing an increase of 57 per cent compared to FY 2024/25, when the County spent Kshs.904.07 million. Table 3.468 summarises the development projects with the highest expenditure in the reporting period.

Table 3.468: Nakuru County, List of Development Projects with the Highest Expenditure

No	Sector	Project Name	Project Location	Project Commencement Date	Expected date of Completion of the Project	Contract sum (Kshs)	Total Funding in FY 2025/26 (Kshs.)	Expenditure (on an accrual basis) in the first nine months of FY 2025/26 (Kshs.)	Cumulative project expenditure (on an accrual basis) as of 31st March 2026 (Kshs.)	Percentage (%) of Completion
1	Agriculture, Livestock and Fisheries	Construction of Tea Buying Centres in Amalo ward	Amalo, Kiptagich	July 2024	December 25	20,402,921	20,500,000	13,183,573	13,183,573	80
2	County Assembly	Construction of Office Block, Parking Facility & Associated Works	County Assembly HQ	Jan 2025	August 2026	346,170,254	220,000,000	172,332,537	241,566,670	80

No	Sector	Project Name	Project Location	Project Commencement Date	Expected date of Completion of the Project	Contract sum (Kshs)	Total Funding in FY 2025/26 (Kshs.)	Expenditure (on an accrual basis) in the first nine months of FY 2025/26 (Kshs.)	Cumulative project expenditure (on an accrual basis) as of 31st March 2026 (Kshs.)	Percentage (%) of Completion
3	Gilgil Municipality	Cabro paving and installation of street furniture and street lighting	Gilgil Ward	June 2025	October 2025	21,415,011	11,724,389	11,718,608	11,718,608	75
4	Health Services	Construction of a Level IV Hospital in Rongai Sub County Phase III	Rongai	July 2025	June 2026	249,800,321	115,000,000	45,487,501	45,487,501	37
5	Health Services	Construction of a Level IV Hospital in Kuresoi North Sub County Phase III	Kuresoi	July 2025	June 2026	248,246,867	115,000,000	50,222,782	50,222,782	46
6	Molo Municipality	Grading & Gravelling of roads	Kamara, Sirikwa, Molo & Turi	July 2025	June 2026	32,600,000	32,600,000	20,436,580	20,436,580	50
7	Infrastructure	Cabro and drainage works at Kuresoi trading centre access roads	Kuresoi Trading Centre	July 2023	December 2025	49,990,784	24,995,392	23,847,621	23,847,621	100
8	Infrastructure	Rehabilitation of roads at Langa, Gitare and Karunga	Gilgil	August 2024	December 2025	15,190,000	15,190,000	14,803,894	14,803,894	100
9	Trade, Industry, Marketing and Tourism	County Aggregation Centres and Industrial Park	Njoro	June 2023	August 2026	568,070,110	185,263,158	183,224,298	303,702,640	53
10	Water, Environment, Energy and Natural Resources	Salgaa Water Works	Salgaa	April 2024	June 2026	13,511,560	15,891,522	8,158,261	8,158,261	95

Source: *Nakuru County Treasury*

The county did not report on the existence of stalled project during the reporting period.

3.31.15 Budget Performance by Department

Table 3.469 summarises the approved budget allocation, expenditure, and absorption rate by department for the period under review.

Table 3.469: Nakuru County, Budget Allocation and Absorption Rate by Department in the first nine months of FY 2025/26

Department	Revised Budget Allocation (Kshs.Million)		Exchequer Received (Kshs. Million)		Expenditure (Kshs. Million)		Expenditure to Exchequer (%)		Absorption rate (%)	
	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev
Office of the Governor and Deputy Governor	357.08	15.00	252.31	-	178.01	-	71	-	50	-
County Treasury	1,401.18	855.19	843.56	106.52	843.56	106.52	100	100	60	12
County Public Service Board	92.66	3.00	38.08	-	38.08	-	100	-	41	-

Department	Revised Budget Allocation (Kshs.Million)		Exchequer Received (Kshs. Million)		Expenditure (Kshs. Million)		Expenditure to Exchequer (%)		Absorption rate (%)	
	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev
Health Services	6,951.90	1,619.32	3,745.09	100.15	4,921.43	337.69	131	337	71	21
Infrastructure	269.80	1,249.73	168.28	265.57	168.28	330.04	100	124	62	26
Naivasha Municipality	59.19	473.76	14.53	23.78	14.53	23.78	100	100	25	5
Office of the County Attorney	59.58	3.00	22.99	-	22.99	-	100	-	39	-
Nakuru City	113.15	497.56	40.30	6.84	40.30	6.84	100	100	36	1
Trade, Industry, Marketing and Tourism	204.50	218.06	72.85	80.00	72.85	80.00	100	100	36	37
Agriculture, Livestock and Fisheries	481.95	363.19	254.48	172.66	254.48	172.66	100	100	53	48
Lands, Physical Planning and Housing	123.18	187.52	48.46	3.85	48.46	3.85	100	100	39	2
Water, Environment, Energy and Natural Resources	238.15	729.19	96.01	53.87	96.01	53.86	100	100	40	7
Public Service, Training and Devolution	1,494.50	385.38	959.19	-	959.19	-	100	-	64	-
Education, Vocational training, ICT and E-Government	1,441.97	242.26	849.36	79.94	849.36	79.94	100	100	59	33
Youth, Culture, Gender, Sports and Social Services.	301.24	48.14	63.46	-	63.46	-	100	-	21	-
Gilgil Municipality	41.93	187.44	1.97	15.40	1.79	15.40	91	100	4	8
Molo Municipality	31.42	144.79	2.65	31.44	2.52	31.44	95	100	8	22
The County Assembly	1,261.50	250.00	790.66	177.33	754.37	177.33	95	100	60	71
Total	**14,924.87**	**7,472.53**	**8,264.21**	**1,117.35**	**9,329.64**	**1,419.36**	**113**	**95**	**63**	**19**

Source: *Nakuru County Treasury*

Analysis of expenditure by departments shows that the County Assembly recorded the highest absorption rate of development budget at 71 per cent, followed by the Department of Agriculture, Livestock and Fisheries at 48 per cent. The Department of Health Services had the highest percentage of recurrent expenditure to budget at 71 per cent, while the Gilgil Municipality had the lowest at 4 per cent.

The Departments of Infrastructure and Health Services recorded more than 100 per cent of expenditure to the exchequer due to balances in the Special Purpose Account (KRB) and the FIF, which were collected, retained, and utilised at source.

3.31.16 Budget Execution by Programmes and Sub-Programmes

Budget execution was concentrated in selected performance bands. In the 1–10 per cent band, development absorption was reported at 0 per cent for rehabilitation and construction of sub-county offices under the Department of Public Service, Training and Devolution, for climate change resilience under the Department of Water, Environment, Energy and Natural Resources, for land use planning under the Department of Lands, Physical Planning and Housing, for livestock production, productivity and incomes under the Department of Agriculture, Livestock and Fisheries, and for market development and rehabilitation under the Department of Trade, Industry, Marketing and Tourism. Recurrent absorption was reported at 0 per cent for human resource under health preventive and promotive services, for administration service under the Department of Public Service, Training and Devolution, for primary health care under health services, for the urban institution framework under the Department of Lands, Physical Planning and Housing, and for crop production and food security under the Department of Agriculture, Livestock and Fisheries.

No sub-programmes were reported in the 11–20 per cent, 21–30 per cent, or 31–40 per cent bands. In the 41–50 per cent band, development absorption was reported for industrialisation and investment under the

Department of Trade, Industry, Marketing and Tourism at 43 per cent.

No sub-programmes were reported in the 51–60 per cent or 61–70 per cent bands. In the 71–80 per cent band, development absorption was reported for crop production and food security under the Department of Agriculture, Livestock and Fisheries at 79 per cent and for administration under the County Assembly at 71 per cent, while recurrent absorption was recorded for administration under the County Assembly at 79 per cent, for administrative services under the Department of Lands, Physical Planning and Housing at 78 per cent, and for personnel services under the County Treasury at 77 per cent.

In the 81–90 per cent band, development absorption was reported for vocational training infrastructure development under the Department of Education, Vocational Training, ICT and E-Government at 89 per cent and for street lighting under the Department of Infrastructure at 83 per cent, while recurrent absorption was recorded for personnel services under the Office of the Governor and Deputy Governor at 89 per cent. In the 90–100 per cent band, recurrent absorption reached 91 per cent for human resource management under the Department of Health Services. No sub-programmes were reported above 100 per cent.

Low absorption in the lower performance bands reflected the development and recurrent sub-programmes that recorded no expenditure across public service, water, lands, agriculture, trade and health. Conversely, performance in the higher bands reflected the prioritisation of the respective sub-programmes during the review period.

Table 3.470 summarises budget execution by programmes and sub-programmes in the period under review with the highest absorption rates.

Table 3.470: Budget Execution by Programmes and Sub-Programmes with Highest Absorption Rates

Programme	Sub-Programme	Gross Approved Estimates FY 2025/26 (Kshs.)	Expenditure (including accrued expenditure) as of 31st March 2026 (Kshs.)	Absorption Rate (%)
		Dev	Dev	Dev
DEVELOPMENT				
Education, Vocational training, ICT and E-Government				
Vocational Training	Vocational Training Infrastructure Development	86,481,796	77,045,040	89
Infrastructure				
Infrastructure Development and Maintenance	Street Lighting	35,000,000	28,958,386	83
Agriculture, Livestock and Fisheries				
Crop Development and Management	Crop Production and Food Security	198,934,071	158,015,152	79
The County Assembly				
Administration	Administration	250,000,000	177,332,537	71
Trade, Industry, Marketing and Tourism				
Commerce and Enterprises	Industrialization and Investment	185,263,158	80,000,000	43
RECURRENT				
Health Services				
Administration and Planning	Human Resource Management	4,045,654,195	3,672,715,058	91
Office of the Governor and Deputy Governor				
Administration, Planning & Support services	Personnel Services	105,369,861	93,953,819	89
The County Assembly				

Programme	Sub-Programme	Gross Approved Estimates FY 2025/26 (Kshs.)	Expenditure (including accrued expenditure) as of 31st March 2026 (Kshs.)	Absorption Rate (%)
		Dev	Dev	Dev
Administration	Administration	557,718,834	440,819,073	79
Lands, Physical Planning and Housing				
Administration Planning and Support	Administrative Services	23,071,272	18,101,540	78
County Treasury				
Administration, Planning and Support Services	Personnel Services	325,498,814	249,327,075	77

Source: *Nakuru County Treasury*

The development sub-programmes with the highest budget implementation rates were: Vocational Training Infrastructure Development in the Department of Education, Vocational training, ICT and E-Government at 89 per cent, Street Lighting in the Department of Infrastructure at 83 per cent, and Crop Production and Food Security in the Department of Agriculture, Livestock and Fisheries at 79 per cent.

For recurrent sub-programmes, the top performers included: Human Resource Management in the Department of Health Services at 91 per cent, Personnel Services in the Office of the Governor and Deputy Governor at 89 per cent, and Administration in the County Assembly at 79 per cent. Table 3.471 summarises the budget execution by programmes and sub-programmes in the period under review that had the lowest absorption rates.

Table 3.471: Budget Execution by Programmes and Sub-Programmes with Lowest Absorption Rates

Programme	Sub-Programme	Gross Approved Estimates FY 2025/26 (Kshs.)	Expenditure (including accrued expenditure) as of 31st March 2026 (Kshs.)	Absorption Rate (%)
		Dev	Dev	Dev
DEVELOPMENT				
Public Service, Training and Devolution				
Administration, Planning and Support Service	Rehabilitation/Construction of Sub-County Offices	385,384,728	-	-
Water, Environment, Energy and Natural Resources				
Climate Change Resilience and County Energy Development	Climate Change Resilience	300,063,748	-	-
Lands, Physical Planning and Housing				
Land Use Planning and Survey	Land Use Planning	55,001,766	-	-
Agriculture, Livestock and Fisheries				
Livestock Resource Management and Development	Livestock Production Productivity and Incomes	38,280,000	-	-
Trade, Industry, Marketing and Tourism				
Market Rehabilitation and Development	Market Development and Rehabilitation	32,800,000	-	-
RECURRENT				

Programme	Sub-Programme	Gross Approved Estimates FY 2025/26 (Kshs.)	Expenditure (including accrued expenditure) as of 31st March 2026 (Kshs.)	Absorption Rate (%)
		Dev	Dev	Dev
Health Services				
Health Preventive and Promotive Services	Human Resource	215,619,940	-	-
Public Service, Training and Devolution				
Administration, Planning and Support Service	Administration Service	115,630,647	-	-
Health Services				
Health Preventive and Promotive Services	Primary Health Care	40,446,083	-	-
Lands, Physical Planning and Housing				
Urban Development	Urban Institution Framework	25,290,000	-	-
Agriculture, Livestock and Fisheries				
Crop Development and Management	Crop Production and Food Security	22,309,690	-	-

Source: *Nakuru County Treasury*

The development sub-programmes with the lowest budget implementation rates were as follows: Rehabilitation/Construction of Sub County Offices in the Department of Public Service; Training and Devolution, Climate Change Resilience in the Department of Water, Environment, Energy and Natural Resources; and Land Use Planning in the Department of Lands, Physical Planning and Housing, all at zero per cent.

For recurrent sub-programmes, the poorest performers included: Health Preventive and Promotive Services in the Department of Health Services; Administration Service in the Department of Public Service, Training and Devolution; and Primary Health Care in the Department of Health Services, all at zero per cent.

3.31.17 Settlement of Trade Payables

As of 1st July 2025, the County reported trade payables totalling Kshs.2.32 billion. This amount consisted of Kshs.2.16 billion from the County Executive and Kshs.162.99 million from the County Assembly. The trade payables from the County Executive comprised Kshs.1.58 billion for recurrent expenditure and Kshs.577.45 million for development expenditure.

During the reporting period, the County Executive settled trade payables amounting to Kshs.301.10 million, comprising Kshs.140.14 million (47 per cent) for recurrent programmes and Kshs.160.96 million (53 per cent) for development programmes. On the other hand, the County Assembly settled trade payables amounting to Kshs.80.58 million, all for recurrent activities. The outstanding trade payables as of 31st March 2026 were Kshs.1.91 billion for the County Executive and Kshs.63.43 million for the County Assembly. Table 3.472 provides additional details of trade payables.

Table 3.472: Nakuru County Trade Payables as of 31st March 2026

		County Entity	Development (Kshs.)	Recurrent (Kshs.)	Total (Kshs.)
As at 1 July 2025 (End of FY 2024/25)	a	County Executive	577,452,055	1,584,395,853	2,161,847,908
		County Assembly	-	162,995,763	162,995,763
		Total	**577,452,055**	**1,747,391,616**	**2,324,843,671**

		County Entity	Development (Kshs.)	Recurrent (Kshs.)	Total (Kshs.)
Trade payables scheduled to be settled in the first nine months of FY 2025/26 per the action plan	b	County Executive	558,396,841	653,523,268	1,211,920,109
		County Assembly	-	122,941,456	122,941,456
		Total	**558,396,841**	**776,464,724**	**1,334,861,565**
Amount paid in the first nine months of FY 2025/26	c	County Executive	160,958,355	140,140,446	301,098,800
		County Assembly	-	80,583,389	80,583,389
		Total	**160,958,355**	**220,723,834**	**381,682,189**
Trade Payables Incurred in the First Nine Months of FY 2025/26	d	County Executive	-	-	-
		County Assembly	-	-	-
		Total	**-**	**-**	**-**
Outstanding trade payables as of 31st March 2026	**e = a - c*b**	**County Executive**	**438,231,520**	**1,473,171,287**	**1,911,402,807**
		County Assembly	**-**	**63,430,374**	**63,430,374**
		Total	**438,231,520**	**1,536,601,661**	**1,974,833,181**

Source: *Nakuru County Treasury*

The County Executive and the Assembly submitted a trade payables payment plan, committing to pay Kshs.1.21 billion and Kshs.122.94 million on recurrent and development expenditure, respectively, by the end of the third quarter of the FY 2025/26. The County did not adhere to this payment plan, as it cleared Kshs.301.10 million for the Executive and Kshs.80.58 million for the Assembly.

Table 3.473 and Table 3.474 present the ageing of the total outstanding bills as of 31st March 2026 for the County Executive and Assembly, which were Kshs.1.97 billion.

Table 3.473: Nakuru County Executive Trade Payables Ageing Analysis as of 31st March 2026

Category	Ageing analysis (Amount in Kshs.)				Total
	Under one year	1-2 years	2-3 years	Over 3 years	
Development Trade Payables	**201,347,625**	**171,765,254**	**28,932,527**	**36,186,114**	**438,231,520**
Recurrent Trade Payables (Goods & Services)	256,787,930	674,430,499	79,881,891	427,382,743	1,438,483,063
Recurrent Trade Payables (Salary Arrears and Statutory Deductions)	3,092,260	14,894,690	176,034	213,270	18,376,254
Recurrent Trade Payables (Staff Claims)	10,771,171	5,316,294	224,505	-	16,311,970
Total Recurrent Trade Payables	**270,651,361**	**694,641,483**	**80,282,429**	**427,596,013**	**1,473,171,287**
Total Trade Payables	**471,998,986**	**866,406,737**	**109,214,957**	**463,782,127**	**1,911,402,807**
% of Total	**25**	**45**	**6**	**24**	**100**

Source: *Nakuru County Treasury*

Table 3.474: Nakuru County Assembly Trade Payables Ageing Analysis as of 31st March 2026

Category	Ageing analysis (Amount in Kshs.)				Total
	Under one year	1-2 years	2-3 years	Over 3 years	
Development Trade Payables	**-**	**-**	**-**	**-**	**-**
Recurrent Trade Payables (Goods & Services)	52,875,739	1,878,060	8,676,575	-	**63,430,374**
Recurrent Trade Payables (Salary Arrears and Statutory Deductions)	-	-	-	-	-
Recurrent Trade Payables (Staff Claims)	-	-	-	-	-
Total Recurrent Trade Payables	**52,875,739**	**1,878,060**	**8,676,575**	-	**63,430,374**
Total Trade Payables	**52,875,739**	**1,878,060**	**8,676,575**	-	**63,430,374**
% of Total	**83**	**3**	**14**	**-**	**100**

Source: *Nakuru County Treasury*

The two tables indicate that more than 70 per cent of total trade payables are aged between 1 and 2 years.

3.31.18 General Observations and Recommendations

In the course of overseeing and reporting on the implementation of the Nakuru County budget, the CoB identified the following challenges, which hampered effective budget implementation;

i. Low development performance in the review period as the County incurred Kshs.1.42 billion on development activities, achieving a 19 per cent absorption rate.
ii. High levels of trade receivables, which amounted to Kshs.15.58 billion as of 31st March 2026.
iii. High level of trade payables, which amounted to Kshs.1.97 billion as of 31st March 2026. Furthermore, the County Treasury did not adhere to the trade payables payment plan.
iv. Use of manual payroll. Personnel emoluments amounting to Kshs.251.48 million were processed through manual payroll, accounting for 5 per cent of the total payroll cost. Manual payroll is prone to abuse and may result in the loss of public funds.
v. Non-submission of copies of authorisation letters for opening commercial bank accounts as per Regulation 82(5) of the Public Finance Management (County Governments) Regulations, 2015.

The County should implement the following recommendations to improve budget execution:

i. *The County should implement strategies to increase development expenditures in FY 2025/26.*
ii. *The County should institute measures to ensure that the trade receivables due are recovered to increase the cash flow to the County*
iii. *The County Leadership should address the situation of trade payables to ensure that genuine bills are paid promptly in the remaining financial year. Further, compliance with the Trade Payables Action Plan should be enforced.*
iv. *The Government requires that salaries be processed through the HRIS system, and the County is advised to fast-track the acquisition of Unified Personnel Numbers for their staff. The County Public Service Board should regulate staff engagement on contract and casual workers as provided under Section 74 of the County Governments Act 2012. Furthermore, strict adherence to the approved staff establishment should be maintained.*
v. *The County Treasury should ensure it submits copies of authorisation letters to the CoB for opening commercial bank accounts to enhance accountability and oversight.*

3.32. County Government of Nandi

3.32.1 Overview of FY 2025/26 Budget

The Nandi County Approved Supplementary Budget for FY 2025/26 is Kshs.10.64 billion. It comprises Kshs.4.11 billion (39 per cent) and Kshs.6.53 billion (61 per cent) allocation for development and recurrent programmes, respectively. The budget estimates represent an increase of Kshs.1.44 billion (16 per cent) from the FY 2024/25 budget, which comprised a development budget of Kshs.2.99 billion and a recurrent budget of Kshs.6.21 billion.

The budget is to be financed from various revenue sources. These include: the equitable share of revenue raised nationally of Kshs.7.77 billion (73 per cent), additional allocations of Kshs.1.75 billion (16 per cent), and own-source revenue (OSR), including FIF of Kshs.1.12 billion (11 per cent). A breakdown of the additional allocations is shown in Table 3.475.

3.32.2 Revenue Performance

During the first nine months of FY 2025/26, the County reported total revenues of Kshs.6.57 billion. This amount represented 62 per cent of the annual target of Kshs.10.64 billion. The total revenue consisted of Kshs.5.17 billion from the equitable share of revenue raised nationally, additional allocations from the national government and development partners of Kshs.725.56 million, and own-source revenue (OSR) collection of Kshs.674.10 million. Additionally, the County had no cash balance brought forward from FY 2024/25. The total OSR collection included Facilities Improvement Financing (FIF) in the amount of Kshs.456.73 million. Table 3.475 summarises the total revenue available to the County Government during the first nine months of FY 2025/26.

Table 3.475: Nandi County, Revenue Performance in the First Nine Months of FY 2025/26

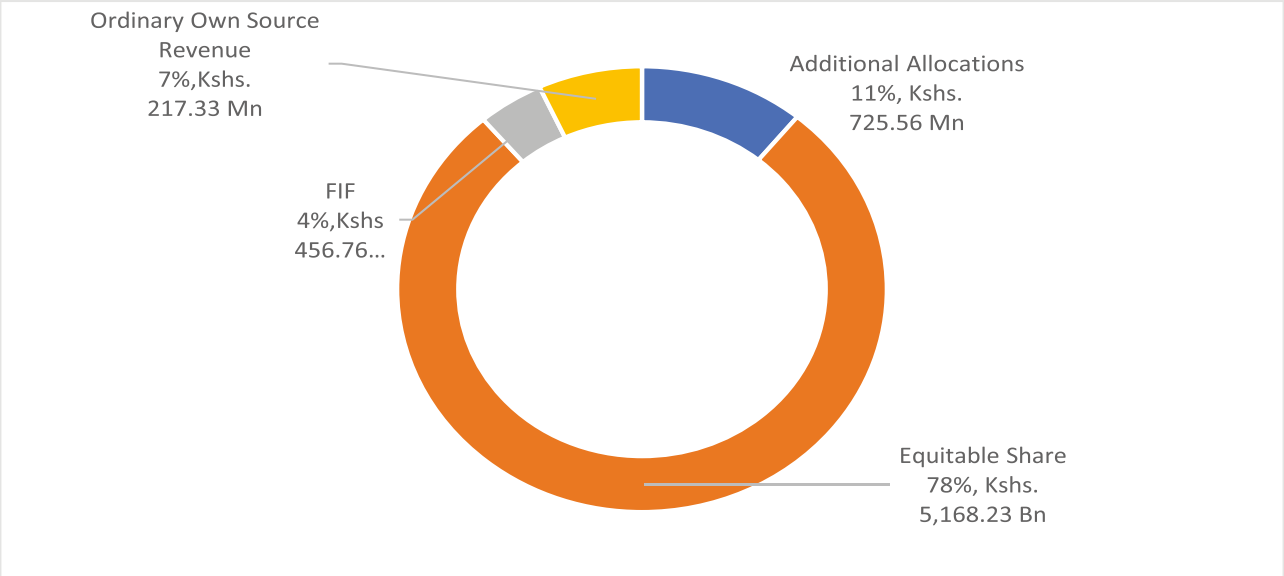
No	Revenue Stream	Annual Targeted Revenue (Kshs.)	Actual Receipts (Kshs.)	Receivables in the First Nine Months of FY 2025/26 (Kshs.)	Total Revenues (in accrual basis) in the First Nine Months of FY 2025/26 (Kshs.)	Variance (Kshs.)
		A	B	C	D=B+C	E=A-D
A	**Equitable Share of Revenue Raised Nationally**					
1	Equitable Share	7,771,778,066	5,168,232,414	-	5,168,232,414	2,603,545,652
	Sub-Total	**7,771,778,066**	**5,168,232,414**	**-**	**5,168,232,414**	**2,603,545,652**
B	**Additional Allocations (Including Grants)**					
1	Financing Locally-Led Climate Action Programme	216,757,206	197,064,090	-	-	216,757,206
2	Kenya Informal Settlements Improvement Project (KISIP)	208,354,058	106,000,000	-	-	208,354,058
3	Establishment of the Industrial Park	133,368,421	133,368,421	-	-	133,368,421
4	RMLF 24/25	187,283,794	-	-	-	187,283,794
5	Community Health Promoters	96,660,000	-	-	-	96,660,000
6	Settlement of Doctors' Arrears	26,764,781	-	-	-	26,764,781
7	County Rural and Urban Affordable Committee	1,987,622	-	-	-	1,987,622
8	Minerals Royalties 2025/2026	55,110,901	55,110,901	-		55,110,901
9	Mineral Royalties for 2023/2024	55,110,901	-	-	-	55,110,901
10	Mineral Royalties for 2024/2025	17,907,661	-	-	-	17,907,661
11	KDSP I- Level I Grant World Bank	37,500,000	-	-	-	37,500,000
12	KDSP II Level II Grant World Bank	352,500,000	35,253,471	-	-	352,500,000
13	KDSP II- Level I Grant World Bank 2024/2025	37,500,000	-	-	-	37,500,000
14	IDA (WORLD BANK). -National Agricultural Value Chain Development Project (NAVCDP)	231,250,000	158,470,644	-	-	231,250,000
15	Kenya Urban Support Project (KUSP)- UIG	35,000,000	40,288,772	-	-	35,000,000
16	DANIDA- Primary Healthcare in Devolved Context	8,619,000	-	-	-	8,619,000
17	Kenya Urban Support Project (KUSP)- UDG	33,993,380	-	-	-	33,993,380
18	SWEDEN Kenya Agriculture Business Development Project	10,918,919		-	-	10,918,919
	Sub-Total	**1,746,586,644**	**725,556,299**	**-**	**-**	**1,746,586,644**
C	**Ordinary Own Source Revenue (OSR)**					
1	Ordinary Own Source Revenue (OSR)	669,206,584	217,339,276	-	674,103,076	- 4,896,492
	Sub-Total	**669,206,584**	**217,339,276**	**-**	**674,103,076**	**- 4,896,492**

No	Revenue Stream	Annual Targeted Revenue (Kshs.)	Actual Receipts (Kshs.)	Receivables in the First Nine Months of FY 2025/26 (Kshs.)	Total Revenues (in accrual basis) in the First Nine Months of FY 2025/26 (Kshs.)	Variance (Kshs.)
		A	B	C	D=B+C	E=A-D
D	**Facility Improvement Fund/Financing (FIF)**					
1	SHIF	453,611,179	456,763,800	-		453,611,179
2	Defunct NHIF	-	-	-	-	-
3	Other	-	-	-	-	-
	Sub-Total	**453,611,179**	**456,763,800**	**-**	**-**	**453,611,179**
	Grand Total	**10,641,182,473**	**6,567,891,789**	**60**	**5,842,335,490**	**4,798,846,983**

Source: Nandi County Treasury

The County has governing legislation on the operation of ordinary A-I-A and FIF. Figure 3.187 provides a detailed breakdown of receipts.

Figure 3.187: Nandi County Composition of Revenue in the First Nine Months of FY 2025/26

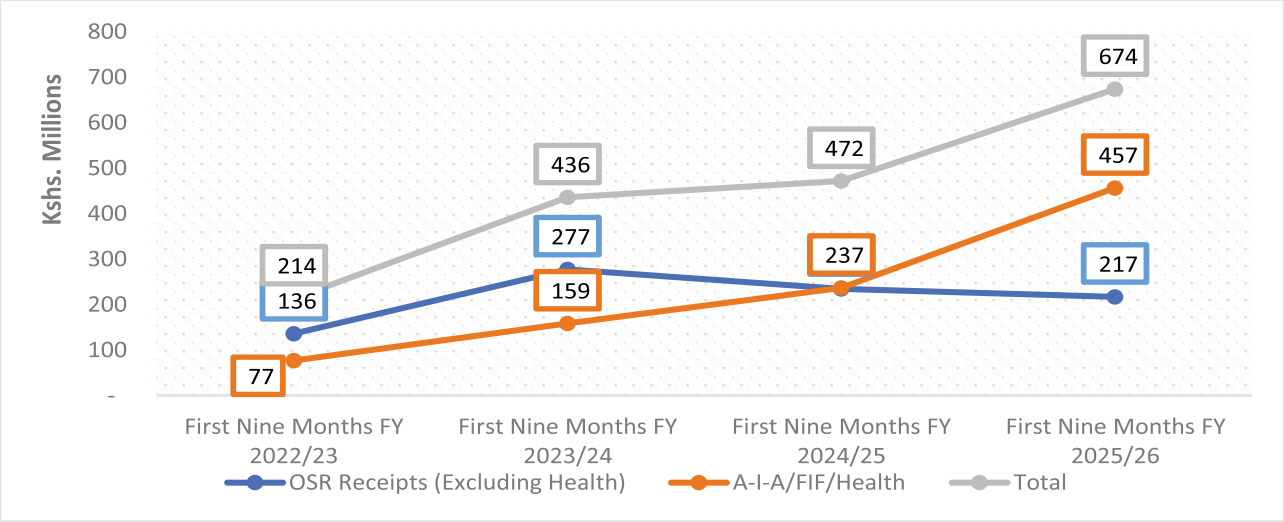


Source: Nandi County Treasury

The equitable share of revenue raised nationally, OSR, and FIF contributed 78 per cent, 7 per cent and 4 per cent, respectively, of the total receipts for the reporting period.

Figure 3.188 shows the collection trend in own-source revenue from the First Nine Months of FY 2020/21 to the First Nine Months of FY 2025/26.

Figure 3.188: Nandi County Trend in Own-Source Revenue Collection from the First Nine Months of FY 2020/21 to the First Nine Months of FY 2025/26

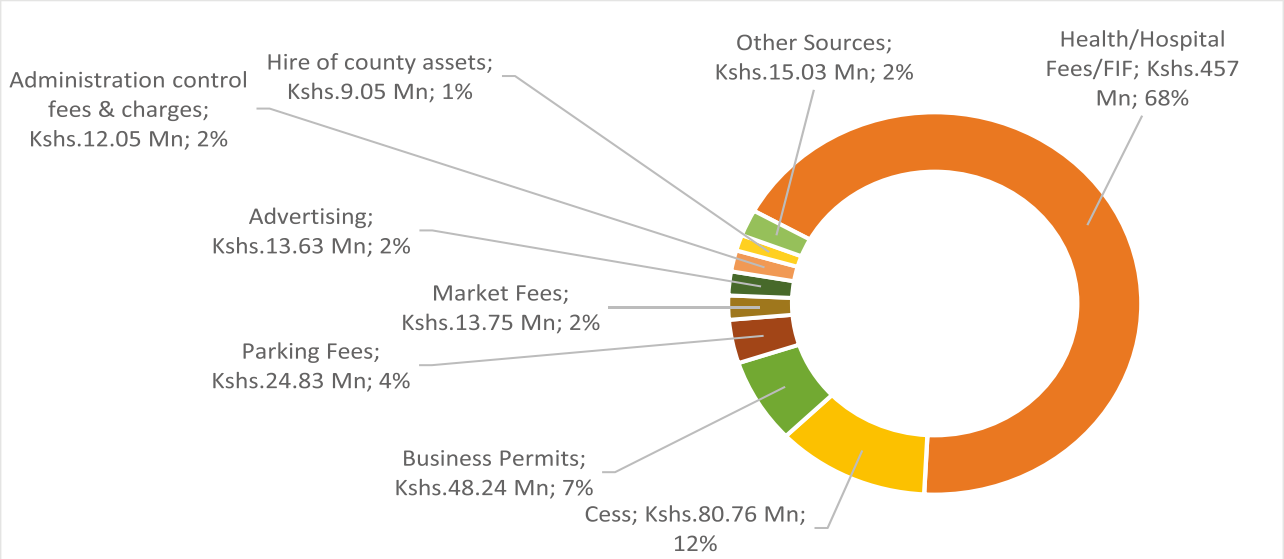


Source: Nandi County Treasury

During the first nine months of FY 2025/26, the County received Kshs.674.10 million from OSR, including FIF. This amount was an increase of 83 per cent compared to Kshs.368.20 million realised in a similar period in FY 2024/25, and was 66 per cent of the annual target and 14 per cent of the equitable revenue share disbursed.

The increase in OSR was attributed to enhanced revenue collection measures, automation of revenue streams, and increased cess collection. The revenue streams that contributed the most to OSR receipts are shown in Figure 3.189.

Figure 3.189: Nandi County Top Own Source Revenue Streams in the First Nine Months of FY 2025/26



Source: Nandi County Treasury

As shown in Figure 3.189, the largest revenue stream, at Kshs.456.76 million, was Health/Hospital Fees/FIF, accounting for 68 per cent of total OSR receipts. The County Government indicated that it has automated its revenue streams.

3.32.3 Revenue Receivables

As of 1st July 2025, the County reported no receivables.

3.32.4 Borrowing by the County

The Nandi County Government has no outstanding credit facilities during the review period.

3.32.5 Withdrawals from the County Revenue Fund and County Assembly Fund

During the reporting period, the Controller of Budget approved exchequer withdrawal requests totalling Kshs.5.93 billion from the Nandi County Revenue Fund (CRF) account. This amount consisted of Kshs.4.08 billion (69 per cent) designated for recurrent programmes and Kshs.1.85 billion (31 per cent) for development programmes.

An analysis of the released recurrent exchequers shows that Kshs.2.78 billion was released to employee compensation and Kshs.1.30 billion to operations and maintenance expenditures. Within the operations and maintenance category, 16 per cent was for domestic travel and 3 per cent for foreign travel. The domestic travel exchequers totalled Kshs.207.08 million, which included Kshs.150.95 million for the County Assembly and Kshs.56.13 million for the County Executive. Meanwhile, the foreign travel exchequers amounted to Kshs.37.96 million, with Kshs.23.82 million for the County Assembly and Kshs.14.14 million for the County Executive.

As of 31st March 2026, the County Government's cash balance in the Nandi CRF account was Kshs.382.44 million.

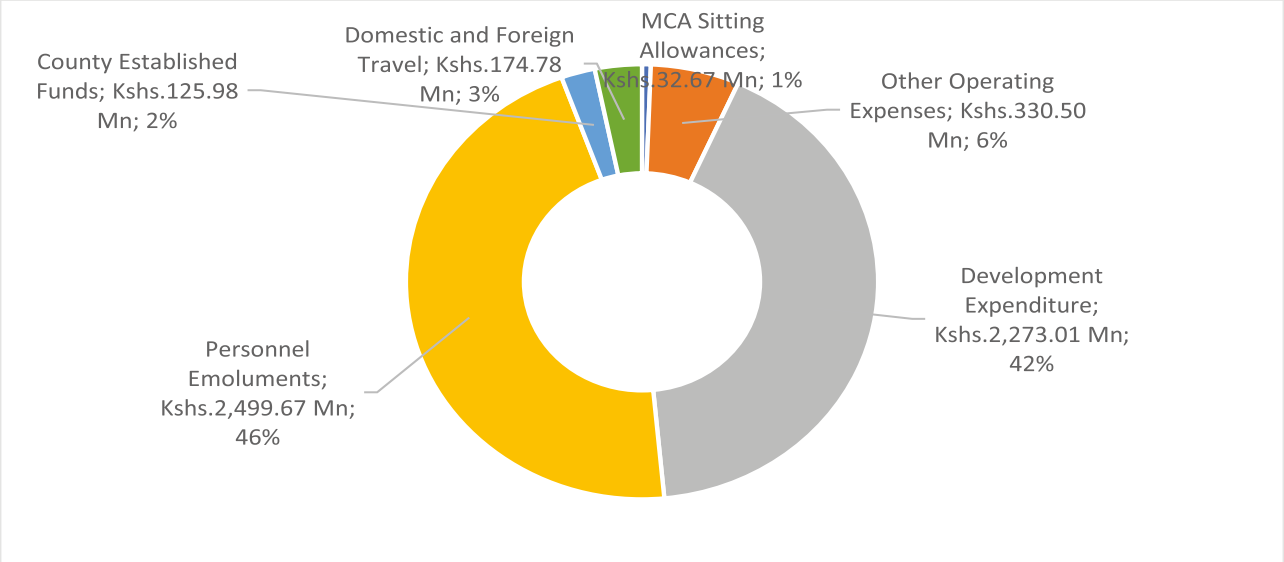
As of 31st March 2026, the Nandi County Assembly Revenue Fund account had not been fully operationalised.

3.32.6 Expenditure Review

The County spent Kshs.6.74 billion on development and recurrent programmes during the reporting period. The expenditure represented 114 per cent of the total funds released by the CoB. It comprised Kshs.2.27 billion for development programmes and Kshs.4.47 billion for recurrent programmes. Expenditure on development programmes accounted for 54 per cent of the annual development expenditure budget, while recurrent expenditure accounted for 68 per cent of the annual recurrent expenditure budget.

Figure 3.190 provides a detailed breakdown of total expenditure.

Figure 3.190: Nandi County Composition of Expenditure in the First Nine Months of FY 2025/26



Source: *Nandi County Treasury*

As shown in Figure 3.190, the three highest expenditure categories were Personnel Emoluments, Development Expenditure, and other operating expenses, contributing 46, 42, and 6 per cent of the total expenditure for the reporting period.

3.32.7 Expenditure by Economic Classification

The County Executive incurred Kshs.2.17 billion in employee compensation, Kshs.1.62 billion in operations and maintenance, and Kshs.2.27 billion in development activities. Similarly, the County Assembly spent Kshs.333.59 million on compensation of employees, Kshs.345.86 million on operations and maintenance, and Kshs.0 million on development activities, as shown in Table 3.476.

Table 3.476: Nandi County Summary of Budget and Expenditure by Economic Classification

Sector / Category	Budget (Kshs)	Exchequer Issues (Kshs)	Amount Paid in the First Nine Months of FY 2025/26 (Kshs.) (b)	Expenditure Accrued in the First Nine Months of FY 2025/26 (Kshs.) (c)	Total Expenditure in the First Nine Months of FY 2025/26 (Kshs.) (d=b+c)	Absorption (%) (d/a*100)
Total Recurrent	**6,529,917,063**	**4,079,310,112**	**4,468,928,076**	**-**	**4,468,928,076**	**68**
Compensation to Employees	3,932,316,260	2,775,073,642	2,499,668,407	-	2,499,668,407	64
Operations & Maintenance	2,597,600,803	1,304,236,470	1,969,259,668	-	1,969,259,668	76
Total Development	**4,191,265,409**	**1,845,769,329**	**2,273,005,940**	**-**	**-**	**54**
Grand Total	**10,721,182,472**	**5,925,079,441**	**6,741,934,015**	**-**	**4,468,928,076**	**42**

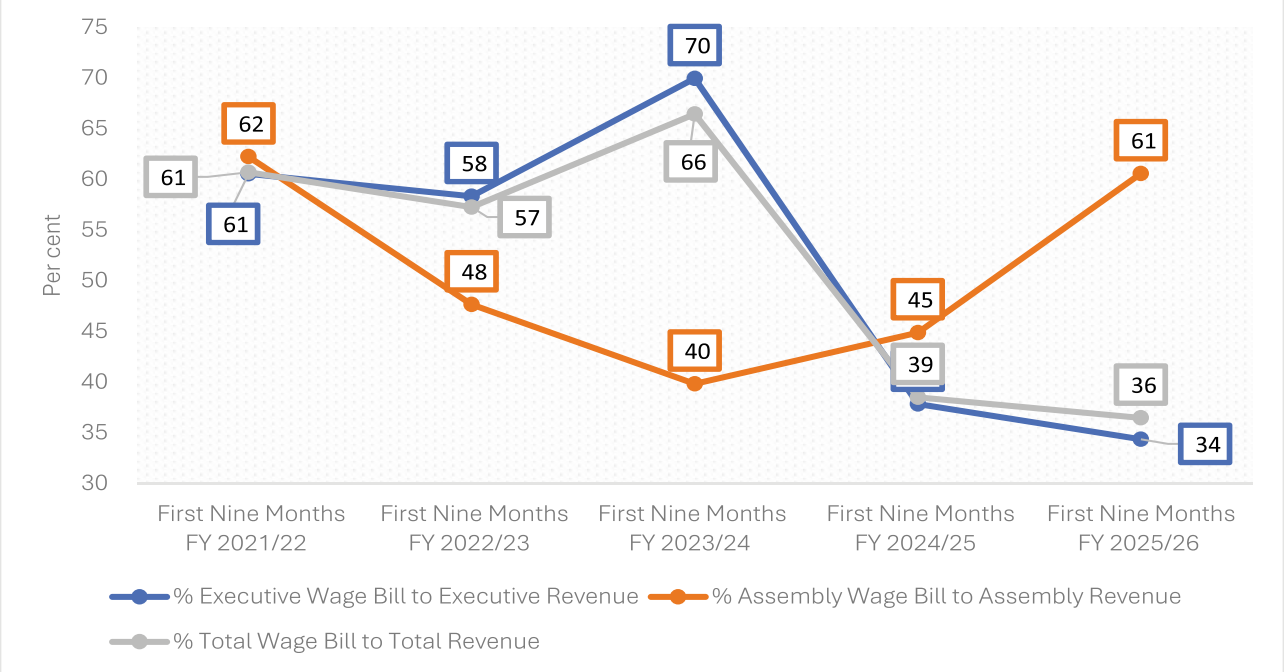
Source: Nandi County Treasury

3.32.8 Expenditure on Employee Compensation

The expenditure on employee compensation totalled Kshs.2.50 billion, representing 36 per cent of total revenue. This expenditure on employee compensation has increased compared to the Kshs.2.26 billion reported in a similar period in FY 2024/25. Of this total, Kshs.1.24 billion related to Health Sector employees, accounting for 50 per cent of the overall employee compensation.

Figure 3.191 shows the trend in employee compensation as a percentage of total revenue from the first nine months of FY 2020/21 to the first nine months of FY 2025/26.

Figure 3.191: Percentage of Employee Compensation Expenditure to Total Revenue Received in the First Nine Months of FY 2020/21 to the First Nine Months of FY 2025/26



Source: Nandi County Treasury

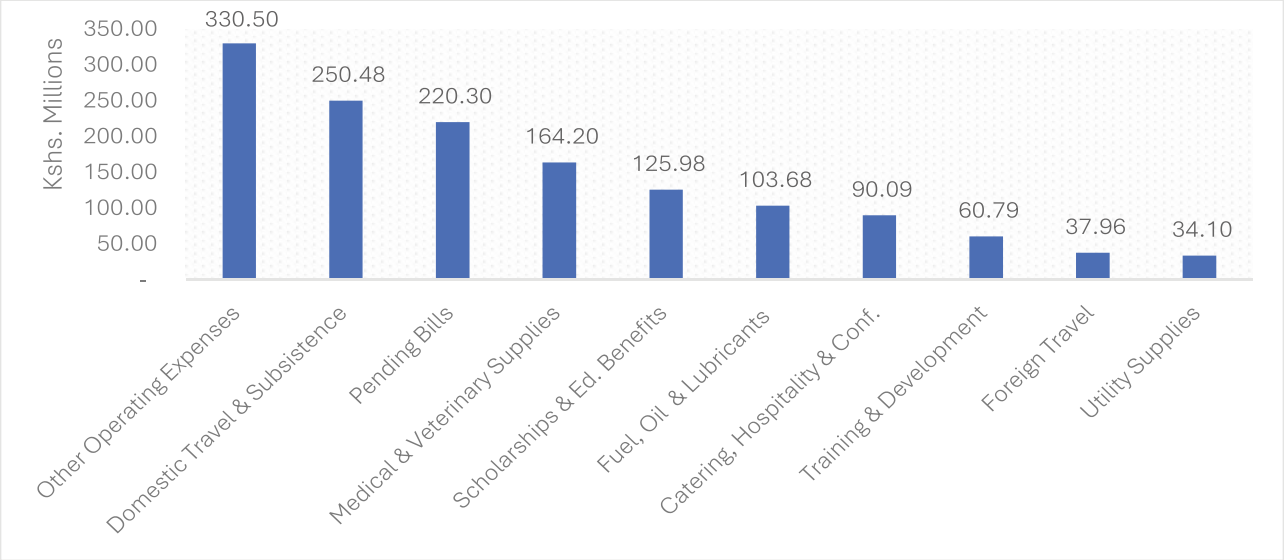
Further analysis indicated that PE costs totalling Kshs.2.39 billion were processed through the Human Resource Information System (HRIS). In contrast, Kshs.111.04 million was processed through manual payrolls, which accounted for 4 per cent of the total PE cost.

The County Assembly spent Kshs.32.67 million on committee sitting allowances for the 45 MCAs against the annual budget allocation of Kshs.32.83 million. The average monthly sitting allowance was Kshs.0.08 million per MCA.

3.32.9 Expenditure on Operations and Maintenance

During the reporting period, the County spent Kshs.1.97 billion on operations and maintenance. Figure 3.192 illustrates the distribution of Operations and Maintenance expenditures across the major spending categories.

Figure 3.192: Nandi County, Operations and Maintenance Expenditure by Major Categories



Source: Nandi County Treasury

3.32.10 County-Established Funds

Section 116 of the PFM Act 2012 allows County Governments to establish other public funds. Table 3.477 summarises each established Fund budget allocation and performance during the reporting period.

Table 3.477: Performance of Nandi County Established Funds in the First Nine Months of FY 2025/26

S/No.	Name of the Fund	Year Established	Approved Budget Allocation in FY 2025/26 (Kshs.)	Exchequer Issues (Kshs.)	Actual Expenditure (Kshs.)	Submission of Financial Statements (Yes/No.)
1		**County Executive Established Funds**				
2	Nandi County Car and Mortgage Fund	2018	1,050,000	-	-	No
3	Nandi County Education Scheme	2016	150,000,000	150,000,000	84,785,000	Yes
4	Nandi County Emergency Fund	2020	40,000,000	33,000,000	33,000,000	No
		County Assembly Established Funds				
5	Nandi County Assembly Car and Mortgage Fund	2018	-	-	-	-
	Total		**154,050,000**			

Source: *Nandi County Treasury*

During the reporting period, the CoB did not receive quarterly financial reports from 3 Fund Administrators, as indicated in Table 3.6, contrary to the requirement of Section 168 of the PFM Act, 2012. The County disclosed that the administration costs of none of the Funds were above the 3 per cent limit of the Fund

budget set in Regulation 197(1)(d) of the Public Finance Management (County Governments) Regulations, 2015.

3.32.11 County Corporations

The County reported data from 2 County Corporations, which were allocated Kshs.45,000,000 in FY 2025/26. as shown in Table 3.478.

Table 3.478: Performance of Nandi County Corporations in the first nine months of FY 2025/26

S/No.	Name of the Corporation	Approved Budget Allocation in FY 2025/26 (Kshs.)	Exchequer Issues (Kshs.)	Actual Transfers in the first nine months of FY 2025/26 (Kshs.)
1	Kapsabet Nandi Water and Sanitation Company	15,000,000	15,000,000	5,000,000
2	Nandi Textile	30,000,000	20,000,000	10,000,000

Source: *Nandi County Treasury*

1.1.3 Expenditure on Domestic and Foreign Travel

Expenditure on domestic travel amounted to Kshs.207.08 million and comprised Kshs.150.95 million spent by the County Assembly and Kshs.56.13 million by the County Executive. Expenditure on foreign travel amounted to Kshs.37.96 million and comprised Kshs.23.82 million by the County Assembly and Kshs.14.14 million by the County Executive. Table 3.479 presents a summary of foreign travel expenditure.

Table 3.479: Summary of Expenditure on Foreign Travel in the First Nine Months of FY 2025/26

Arm of Government	Officers	Travel Date	Destination	Purpose of Travel	Total Cost (Kshs.)
County Executive	1	25-Sep-2025	Ethiopia	Integrated Agro-Industrial Park	517,608
County Executive	5	05-Oct-2025	Spain	OGP Summit	3,998,260
County Assembly	1	25-Nov-2025	Ethiopia	30th East Africa Law Society Conference	662,444
County Assembly	21	16-Dec-2025	Tanzania	Capacity Building: Board Director Programme	11,785,565
County Assembly	6	04-Jan-2026	UAE	Transformative Legislative Leadership Conference	4,139,037
County Assembly	3	04-Jan-2026	China	Global Leadership and E-Commerce in the Digital Age	3,538,594
County Assembly	1	05-Jan-2026	Switzerland	Executive Development Programme	1,234,254
County Assembly	4	13-Jan-2026	Finland	Collaboration Meeting with International School	2,461,918
County Executive	1	02-Mar-2026	Mexico	Knowledge Exchange Mission	643,770
County Executive	1	09-Mar-2026	USA	Status of Women Forum	1,224,748
County Executive	1	17-Mar-2026	South Korea	Asan Agricultural Technology Training	205,675

Source: Nandi County Treasury and Nandi County Assembly

3.32.12 Facility Improvement Financing

During the review period, the County reported collections of Kshs.288.34 million as FIF, which was 64 per cent of the annual target of Kshs.453.61 million. The collected amount was retained and utilised at source in line with the Facility Improvement Financing Act, 2023. The expenditure by the health facilities is shown in Table 3.480.

Table 3.480: Nandi County Health Facilities Expenditure Performance in the First Nine Months of FY 2025/26

No.	Health Facility	Number of Facilities	Approved Budget (Kshs.)	Actual Expenditure (Kshs.)	Absorption rate (%)
1.	Level 4 Hospital	7	450,000,000	288,336,672	64
			450,000,000	**288,336,672**	

Source: Nandi County Treasury

3.32.13 Development Expenditure

During the review period, the County reported spending Kshs.2.27 billion on development programmes. Table 3.481 summarises the development projects with the highest expenditure in the reporting period. The increase in development expenditure was attributed to ongoing projects and new initiatives.

Table 3.481: Nandi County, List of Development Projects with the Highest Expenditure

No.	Sector	Project Name	Project Location	Contract Sum (Kshs.)	Amount Paid to Date (Kshs.)	Percentage (%) of Completion
1	Transport and Infrastructure	Hire of Machinery for Road Works	County wide	20,225,310	19,269,834	95
2	Transport and Infrastructure	Hire of Machinery	County wide	10,208,772	9,726,494	95
3	Lands, Water and Natural Resources	Payment for County Spatial Plan	Kapsabet	9,790,085	9,327,586	95
4	Sports, the Arts and Youth Affairs	Supply and Delivery of Sports Equipment for Kipkaren,kapkangani,sangalo/kebulonik Wards	Kipkaren,Kapkangani,Sangalo/Kebulonik	7,838,533	7,468,228	95
5	Sports, the Arts and Youth Affairs	Supply and Delivery of Sports Equipment for Nandihills, Kaptel/Kamoiywo, Kabisaga, and Kapsabet Wards	Nandihills, Kaptel/Kamoiywo, Kabisaga and Kapsabet	7,588,211	7,229,732	95
6	Kaimosi ATC	Purchase of a motor vehicle	Kapsabet	7,220,414	6,879,310	95
7	Sports, the Arts and Youth Affairs	Supply and Delivery of Sports Equipment at Soghor/soba,kobujoi,kapchorwa,ollesos, and Koyo/ndurio Wards	Soghor/Soba, Kobujoi, Kapchorwa, Ollesos, and Koyo/Ndurio	7,152,852	6,814,940	95
8	Health and Sanitation	Fencing and External Works in MCH Kapsabet	Kapsabet	6,934,567	6,606,967	95
9	Sports, the Arts and Youth Affairs	Supply and Delivery of Sports Equipment at Kurgung/Surungai, Chepkunyuk, Kabiyet,kabiyet and Lelmokwo Wards	Kurgung/Surungai, Chepkunyuk, Kabiyet and Lelmokwo	6,497,935	6,190,962	95
10	Transport and Infrastructure	Hire of Grader	County wide	6,240,617	5,945,801	95

Source: *Nandi County Treasury*

The County reported no stalled development projects as of 31st March 2026.

3.32.14 Budget Performance by Department

Table 3.482 summarises the approved budget allocation, expenditure, and absorption rate by department.

Table 3.482: Nandi County, Budget Allocation and Absorption Rate by Department in the First Nine Months of FY 2025/26

Department	Budget Allocation (Kshs.Millions)		Exchequer Issues (Kshs.Millions)		Expenditure (Kshs. Millions)		Expenditure to Exchequer Issues (%)		Absorption rate (%)	
	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev
County Executive	396.82	48.20	249	25.40	357.03	13.11	143	52	90	27
Health and Sanitation	2,732.18	200.46	1,712.72	103.72	1,546.76	168.72	90	163	57	84
Public Service and Labour	63.94	-	6.28	-	36.36	-	579	-	57	-
County Assembly	811.14	80	607.59	-	679.45	-	112	-	84	-
Kapsabet Municipality	73.34	147.89	18.04	31.72	92.73	33.10	514	104	126	22
Office of the County Attorney	85.20	0.60	39.90	-	70.87	-	178	-	83	-
Finance and Economic Planning	577.31	18	450.33	7.56	499.42	7.56	111	100	87	42
Administration, Public Service and E-Government	539.53	382.12	265.97	18.90	258.38	11.88	97	63	48	3
Agriculture and Co-operatives Development	231.40	379.32	204.33	322.83	219.43	459.87	107	142	95	121
Sports, Youth Affairs, Culture and Heritage	86.13	60.93	38.15	59.35	62.13	68.59	163	116	72	113
Education and Vocational Training	402.88	278.95	249.74	158.54	304.18	249.36	122	157	76	89
Lands, Environment, Natural Resources and Climate Change	160.25	793.61	113.06	491.78	121.67	606.55	108	123	76	76
Transport, Public Works and Infrastructure Development	184.69	614.16	74.12	342.35	117.68	441.56	159	129	64	72
Trade, Tourism, Industrialisation, and Enterprise Development	91.32	299.48	34.90	194.34	45.18	105.01	129	54	49	35
Culture, Gender and Social Welfare	45.71	31.10	14.34	8.57	35.86	17.85	250	208	78	57
Kaimosi Agricultural Training Centre	48.07	69	8.90	21.59	21.79	89.84	245	416	45	130
Total	6,529.92	3,403.82	4,087.39	1,786.66	4,468.93	2,273.01	109	127	68	67

Source: *Nandi County Treasury*

Analysis of expenditure by departments shows that absorption rates varied across departments. Refer to Table 3.482 for details.

3.32.15 Budget Execution by Programmes and Sub-Programmes

Budget execution was concentrated in selected performance bands. The county reported its sub-programmes in a combined format without a separate development and recurrent split. In the 41–50 per cent band, absorption was reported for human resource management under the County Assembly at 45.54 per cent, for general administration, planning and support services under the Department of Trade, Tourism, Industrialisation and Enterprise Development at 49.85 per cent, and for legislation and representation under the County Assembly at 50 per cent.

In the 51–60 per cent band, absorption was reported for legislation and representation under the County Assembly at 52.11 per cent and for communicable disease control under the Department of Health at 57.24 per cent. In the 61–70 per cent band, absorption was reported for general administration, planning and support services under the Department of Transport, Public Works and Infrastructure Development at 64.93 per cent and for administration under the County Assembly at 69.16 per cent.

In the 81–90 per cent band, absorption was reported for general administration, planning and support services under the Department of Administration, Public Service and ICT at 85.07 per cent. In the 90–100 per cent band, absorption reached 94.53 per cent for human resources management services under the Department of Finance and Economic Planning and 96.32 per cent for public records and archives management under the Department of Sports, Youth Affairs, Culture and Heritage.

Low absorption in the lower performance bands reflected slow implementation across human resource management, trade administration and legislation sub-programmes. Conversely, performance in the higher bands reflected the prioritisation of the respective sub-programmes during the review period.

Table 3.483 summarises budget execution by programmes and sub-programmes in the period under review with the highest absorption rates.

Table 3.483: Budget Execution by Programmes and Sub-Programmes with Highest Absorption Rates

Department	Sub-Programme	Gross Approved Estimates FY 2025/26 (Kshs.)	Expenditure (including accrued expenditure) as at 31st March 2026 (Kshs.)	Absorption Rate (%)
County Assembly	Human Resource Management	72,680,500	33,096,180	46
Trade, Tourism, Industrialisation, and Enterprise Development	General Administration Planning and Support Services	91,320,826	45,523,490	50
County Assembly	Legislation and Representation	20,000,000	10,000,000	50
County Assembly	Legislation and Representation	3,045,057,970	1,586,785,778	52
Health	Communicable Disease Control	3,000,511,985	1,717,408,665	57

Source: *Nandi County Treasury*

The sub-programmes with the highest absorption rates were as follows: Public Records and Archives Management in the Department of Sports, Youth Affairs, Culture and Heritage at 96 per cent, Human Resources Management Services in the Department of Finance and Economic Planning at 95 per cent, General Administration Planning and Support Services in the Department of Administration, Public Service and ICT at 85.07 per cent, Administration in the Department of County Assembly at 69 per cent, and General Administration, Planning and Support Services in the Department of Transport, Public Works and Infrastructure Development at 65 per cent.

Table 3.484 summarises the budget execution by programmes and sub-programmes in the period under review that had the lowest absorption rates.

Table 3.484: Budget Execution by Programmes and Sub-Programmes with Highest Absorption Rates

Department	Sub-Programme	Gross Approved Estimates FY 2025/26 (Kshs.)	Expenditure (including accrued expenditure) as at 31st March 2026 (Kshs.)	Absorption Rate (%)
Sports, Youth Affairs, Culture, and Heritage	Public Records and Archives Management	34,698,875	33,423,460	96
Finance and Economic Planning	Human Resources Management Services	7,999,000	7,561,810	95
Administration, Public Service, and ICT	General Administration Planning and Support Services	1,848,022,603	1,572,099,924	85
County Assembly	Administration	891,140,379	616,310,039	69

Department	Sub-Programme	Gross Approved Estimates FY 2025/26 (Kshs.)	Expenditure (including accrued expenditure) as at 31st March 2026 (Kshs.)	Absorption Rate (%)
Transport, Public Works, and Infrastructure Development	General Administration, Planning and Support Services	184,685,805	119,907,880	64

Source: *Nandi County Treasury*

The sub-programmes with the lowest absorption rates were: Human Resource Management in the Department of County Assembly at 45.54 per cent, General Administration Planning and Support Services in the Department of Trade, Tourism, Industrialization and Enterprise Development at 49.85 per cent, Legislation and Representation in the Department of County Assembly at 50 per cent, Legislation and Representation in the Department of County Assembly at 52.11 per cent, and Communicable Disease Control in the Department of Health at 57.24 per cent.

3.32.16 Settlement of Trade Payables

As of 1st July 2025, the County reported trade payables totalling Kshs.993.22 million. This amount consisted of Kshs.993.22 million from the County Executive, while the County Assembly reported no outstanding trade payables. The trade payables from the County Executive comprised Kshs.379.49 million for recurrent expenditure and Kshs.613.74 million for development expenditure.

During the reporting period, the County Executive settled trade payables amounting to Kshs.554.68 million, comprising payments for recurrent and development programmes. On the other hand, the County Assembly settled no trade payables. The outstanding trade payables as of 31st March 2026 were Kshs.438.54 million for the County Executive. Table 3.485 provides additional details of trade payables.

Table 3.485: Nandi County Trade Payables as of 31st March 2026

	County Entity	Development	Recurrent	Total
As at 1st July 2025 (End of FY 2024/25)	County Executive	613,737,449	379,486,397	993,223,846
	County Assembly	-	-	-
	Total	613,737,449	379,486,397	993,223,846
Amount paid in FY 2025/26	County Executive	397,650,981	157,028,860	554,679,841
	County Assembly	-	-	-
	Total	397,650,981	157,028,860	554,679,841
Trade Payables Incurred in FY 2025/26	County Executive	-	-	-
	County Assembly	-	-	-
	Total	-	-	-
Outstanding Trade Payables as of 31st March 2026 (Kshs.)	County Executive	216,086,467	222,457,538	438,544,005
	County Assembly	-	-	-
	Total	216,086,467	222,457,538	438,544,005

Source: *Nandi County Treasury*

The County Executive submitted a trade payables payment plan. The County adhered to this payment plan, as it cleared Kshs.554.68 million for the Executive. Table 3.486 presents the ageing of the total outstanding bills for the County Executive as of 31st March 2026, in Kshs.438.54 million..

Table 3.486: Nandi County Executive Trade Payables Ageing Analysis as of 31st March 2026

Category	Ageing analysis (Amount in Kshs.)				Total
	Under one year	1-2 years	2-3 years	Over 3 years	
Development Trade Payables	116,673,722	79,530,196	19,882,549	-	216,086,467

Category	Ageing analysis (Amount in Kshs.)				Total
	Under one year	1-2 years	2-3 years	Over 3 years	
Recurrent Trade Payables (Goods & Services)	187,159,238	19,253,618	16,044,682	-	222,457,538
Recurrent Trade Payables (Salary Arrears and Statutory Deductions)	-	-	-	-	-
Recurrent Trade Payables (Staff Claims)	-	-	-	-	-
Total Recurrent Trade Payables	**187,159,238**	**19,253,618**	**16,044,682**	**-**	**222,457,538**
Total Trade Payables	**303,832,960**	**98,783,814**	**35,927,231**	**-**	**438,544,005**
% of Total	**69.3**	**22.5**	**8.2**	**-**	**100.0**

Source: *Nandi County Treasury*

3.32.17 General Observations and Recommendations

In the course of overseeing and reporting on the implementation of the Nandi County budget, the CoB identified the following challenges, which hampered effective budget implementation;

i. The County Treasury's late submission of financial reports to the Controller of Budget affected the timely preparation of the budget implementation report, which was received on 3rd May 2026
ii. Unspent funds from FY 2024/25 were not refunded into the CRF account, resulting in actual expenditures exceeding the approved exchequer in several departments, as shown in Table 3.12.
iii. Fund Administrators failed to submit quarterly financial and non-financial reports to the CoB within the timelines provided by law, which is against the requirement of Section 168 of the PFM Act, 2012. The reports were not submitted to the CoB as of 15th April 2026.
iv. High level of trade payables, which amounted to Kshs.438.54 million as of 31st March 2026. Furthermore, the County Treasury did not adhere to the trade payables payment plan.

The County should implement the following recommendations to improve budget execution:

i. *The County Treasury should ensure the timely preparation and submission of financial reports to the Controller of Budget per the timelines prescribed in Section 166 of the PFM Act, 2012.*
ii. *The County should implement strategies to increase development expenditures in FY 2025/26.*
iii. *The County Treasury should ensure unspent funds from the previous financial year are deposited into the CRF Account in line with Section 136 of the PFM Act 2012.*
iv. *The CECMF should follow up to ensure Fund Administrators prepare and submit statutory reports in line with the PFM Act, 2012.*
v. *The County Leadership should address the situation of trade payables to ensure that genuine bills are paid promptly in the remaining financial year. Further, compliance with the Trade Payables Action Plan should be enforced.*

3.33. County Government of Narok

3.33.1 Overview of FY 2025/26 Budget

The Narok County Approved Budget for FY 2025/26 is Kshs.16.93 billion. It comprises Kshs.6.21 billion (36 per cent) and Kshs.11.02 billion (64 per cent) allocation for development and recurrent programmes, respectively. The budget estimates represent a decrease of Kshs.336.46 million (2 per cent) from the FY 2024/25 budget, which comprised a development budget of Kshs.5.33 billion and a recurrent budget of Kshs.12.23 billion. The decrease in the budget was primarily attributed to the decline in recurrent budget by Kshs.1.22 billion.

The budget is to be financed from various revenue sources. These include the equitable share of revenue raised nationally of Kshs.9.65 billion (57 per cent), additional allocations of Kshs.1.21 million (7 per cent), a cash balance brought forward from FY 24/25 of Kshs.60.87 million (1 per cent) and Kshs.6.08 million (36

per cent) generated as own-source revenue. A breakdown of the additional allocations is shown in Table 3.487.

3.33.2 Revenue Performance

During the first nine months of FY 2025/26, the County reported total revenues amounting to Kshs.10.67 billion. This amount represented a decrease of 4 per cent compared to the amount received in a similar period in FY 2024/25 of Kshs.11.09 billion. The total revenue consisted of Kshs.6.50 billion from the equitable share of revenue raised nationally, additional allocations from the national government and development partners of Kshs.614.24 million, and own-source revenue (OSR) collection of Kshs.3.50 billion. Additionally, the County had a cash balance of Kshs.60.88 million from FY 2024/25. The total OSR collection of Kshs.3.50 billion included Facilities Improvement Financing (FIF) of Kshs.160.08 million, and Kshs.3.34 billion from other OSR sources.

Table 3.487 summarises the total revenue available to the County Government during FY 2025/26.

Table 3.487: Narok County, Revenue Performance in the first nine months of FY 2025/26

No	Revenue Stream	Annual Targeted Revenue (Kshs.)	Actual Receipts (Kshs.)	Receivables in the first nine months of FY 2025/26 (Kshs.)	Total Revenues (in accrual basis) in the first nine months of FY 2025/26 (Kshs.)	Variance (Kshs.)
		A	B	C	D	F=A-D
A	**Unspent Balance from FY 2023/24**					
1	Balance at CRF	-	59,884,373	-	59,884,373	-
2	County Executive Refunds to CRF	-	977,149	-	977,149	-
3	County Assembly Refunds to CRF	-	10,389	-	10,389	-
	Sub-Total		**60,871,912**	**-**	**60,871,912**	**-**
B	**Equitable Share of Revenue Raised Nationally**					
1	Equitable Share	9,646,933,000	6,497,260,902	781,625,372	7,278,886,274	2,368,046,726
	Sub-Total	**9,646,933,000**	**6,497,260,902**	**781,625,372**	**7,278,886,274**	**2,368,046,726**
	Sub-Total	**-**	**-**	**-**	**-**	**-**
D	**Additional Allocations (Including Grants)**					
1	**Unconditional Additional Allocations to County Governments**					
b	Allocations for 20% Share of Mineral Royalties	13,000,000	27,206,336	-	27,206,336	(14,206,336)
2	**Conditional Additional Allocations from the National Government's**	-	-	-	-	-
a	Basic Arrears for County Government Health Workers	21,496,514	-	-	-	21,496,514
b	Community Health Promoters (CHPs) Programme	49,800,000	-	-	-	49,800,000

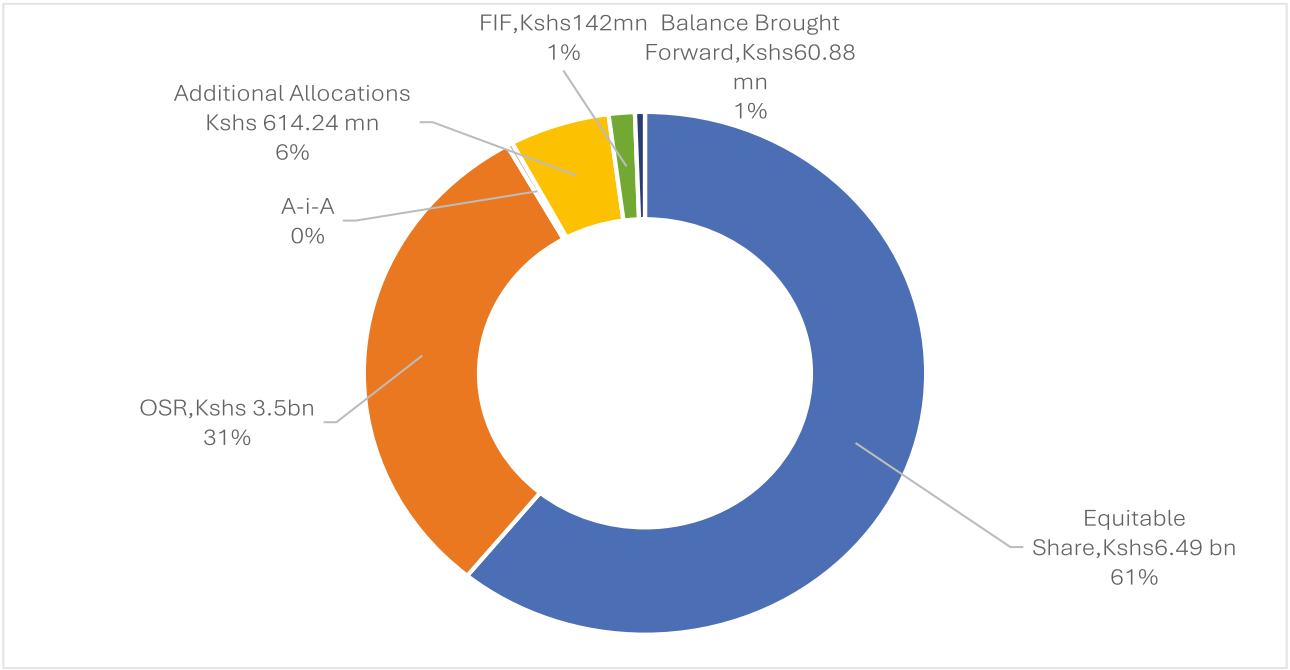
No	Revenue Stream	Annual Targeted Revenue (Kshs.)	Actual Receipts (Kshs.)	Receivables in the first nine months of FY 2025/26 (Kshs.)	Total Revenues (in accrual basis) in the first nine months of FY 2025/26 (Kshs.)	Variance (Kshs.)
		A	B	C	D	F=A-D
d	County Aggregation and Industrial Parks (CAIPs) Programme	250,000,000	250,000,000	-	250,000,000	-
3	**Conditional Allocations from Loans and Grants**					
1	World Bank Loan-NAVCDP	151,515,152	137,859,146	-	137,859,146	13,656,006
2	DANIDA Grant -PHC	12,382,500	-	-	-	12,382,500
3	Kenya Devolution Support Programme (KDSPII)	352,000,000	35,253,471		35,253,471	316,746,529
4	Kenya Agricultural Business Development Project (KABDP)	10,918,919	-	-	-	10,918,919
5	Kenya Devolution Support Programme (KDSPII)	37,500,000	-	-	-	37,500,000
6	Kenya Urban Support Programme (KUSP II) UIG	35,000,000	-	-	-	35,000,000
7	Kenya Urban Support Programme (KUSP II) UDG	71,235,901	-	-	-	71,235,901
8	Financing Locally Led Climate Action (FLLoCA) Dev	200,000,000	163,923,980	-	163,923,980	36,076,020
9	UNFPA	7,400,000	-	-	-	7,400,000
	Sub-Total	**1,212,248,986**	**614,242,933**	**-**	**614,242,933**	**598,006,053**
E	**Ordinary Own Source Revenue (OSR)**					
1	Cess	294,269,909.00	135,292,062.00	-	-	135,292,062.00
2	Land Rate	122,376,084.00	5,090,960.00	-	-	5,090,960.00
3	Single/Business Permits	84,341,469.00	5,202,297.00	-	-	5,202,297.00
4	Property Rent	17,200,000.00	2,871,470.00	-	-	2,871,470.00
5	Parking Fees	36,000,000.00	10,733,101.00	-	-	10,733,101.00
6	Market Fees	50,098,805.00	6,122,810.00	-	-	6,122,810.00
7	Advertising	5,658,531.00	1,099,850.00	-	-	1,099,850.00
8	Public Health Service Fees	5,000,000.00	146,300.00	-	-	146,300.00
9	Physical Planning and Development	54,226,795.00	8,128,893.00	-	-	8,128,893.00
10	Hire of County Assets	412,903.00	-	-	-	-
11	Conservancy Administration	8,531,250.00	249,600.00	-	-	249,600.00
12	Proceeds from the sale of assets	31,660,000.00		-	-	-
13	Park Fees	5,193,751,556.00	3,117,722,500.00	-	684,940,201.00	3,802,662,701.00

No	Revenue Stream	Annual Targeted Revenue (Kshs.)	Actual Receipts (Kshs.)	Receivables in the first nine months of FY 2025/26 (Kshs.)	Total Revenues (in accrual basis) in the first nine months of FY 2025/26 (Kshs.)	Variance (Kshs.)
		A	B	C	D	F=A-D
14	Other Fines, Penalties, and Forfeiture Fees	282,316.00	-	-	-	-
15	Miscellaneous Receipts	5,776,559.00	9,067,702.00	-	-	9,067,702.00
	Sub-Total	**5,909,586,177.00**	**3,301,727,545.00**	**684,940,201.00**	**3,986,667,746.00**	**1,502,961,824.00**
F	Facility Improvement Fund/Financing (FIF)	120,951,908.06	142,079,409.00	-	142,079,409.00	(21,127,500.94)
1	user fees			49,475,762.00	49,475,762.00	(49,475,762.00)
2	Defunct NHIF		18,000,000.00	-	18,000,000.00	(18,000,000.00)
...	-	-	-	-	-	-
	Sub-Total	**120,951,908.06**	**160,079,409.00**	**49,475,762.00**	**209,555,171.00**	**(88,603,262.94)**
G	**Appropriations in Aid**					
1	ADMINISTRATION CONTROL FEES AND CHARGES	45,461,915	35,763,686	-	35,763,686	9,698,229
	Sub-Total	**45,461,915**	**35,763,686**	**-**	**35,763,686**	**9,698,229**
	Sub-Total	**45,461,915**	**35,763,686**	**-**	**35,763,686**	**9,698,229**
Total		**16,935,181,985.56**	**10,669,956,776.65**	**734,415,963.00**	**11,404,372,739.65**	**5,584,291,547.11**

Source: *Narok County Treasury*

The County has legislation governing the collection of FIF. Figure 3.193 provides a detailed breakdown of receipts.

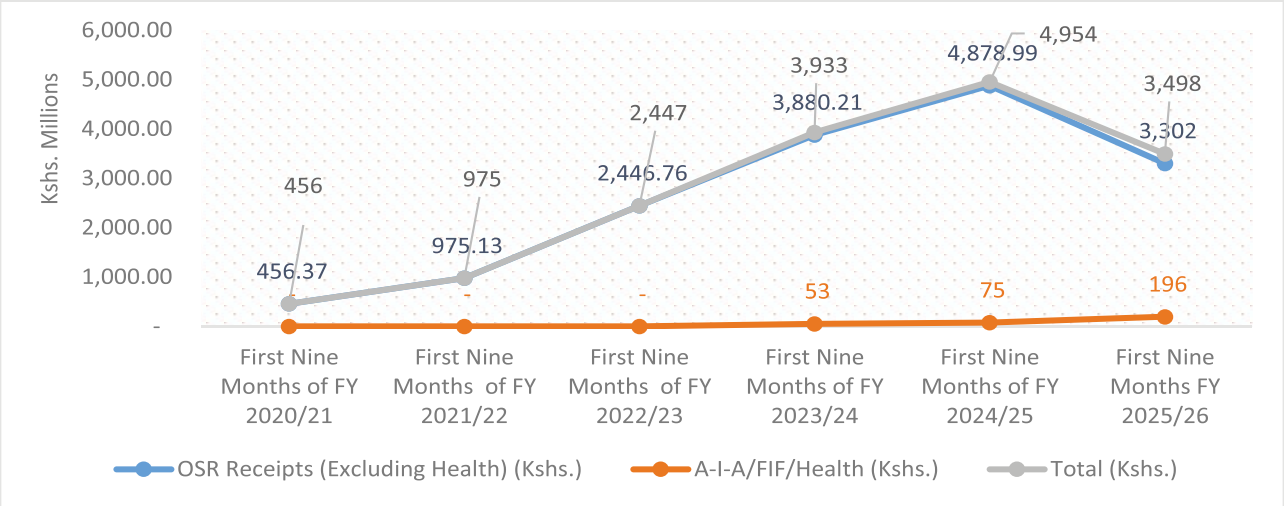
Figure 3.193: Narok County Composition of Revenue in the first nine months of FY 2025/26



Source: *Narok County Treasury*

The equitable share of revenue raised nationally, OSR, and FIF contributed 61 per cent, 31 per cent and 1 per cent, respectively, of the total receipts for the reporting period. Figure 3.194 shows the collection trend in own-source revenue from the first nine months of FY 2020/21 to the first nine months of FY 2025/26.

Figure 3.194: Narok County Trend in Own-Source Revenue Collection from the first nine months of FY 2020/21 to the first nine months of FY 2025/26

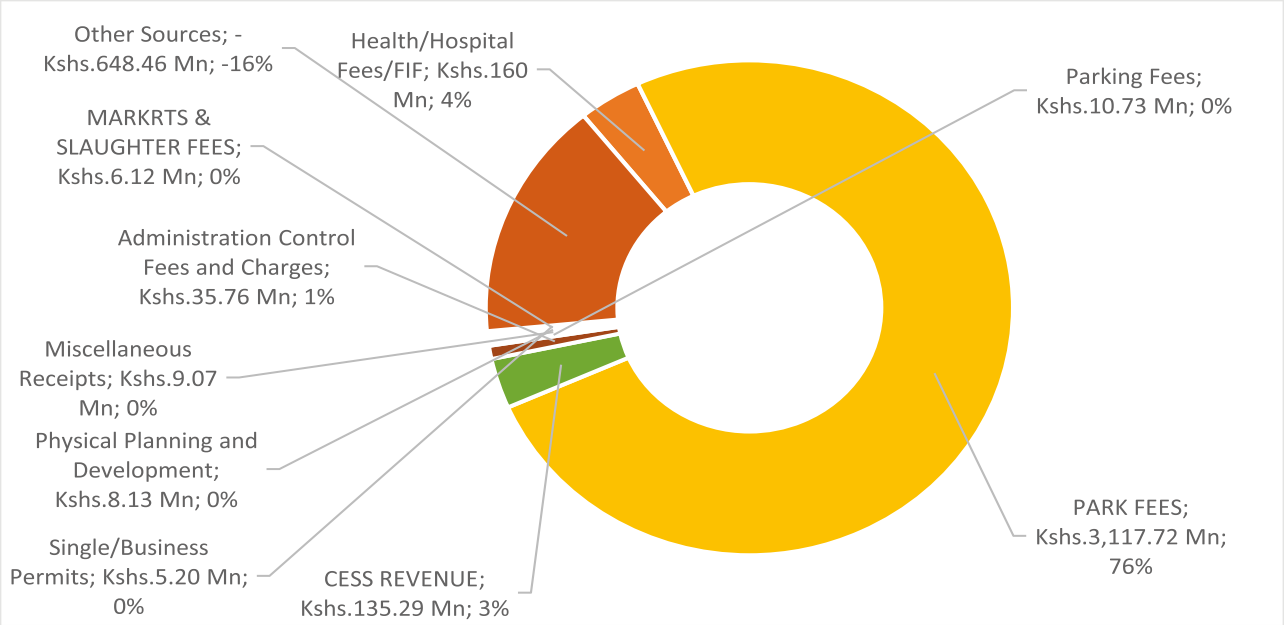


Source: *Narok County Treasury*

During the first nine months of FY 2025/26, the County received Kshs.3.50 billion from OSR, including FIF. This amount was a decrease of 41 per cent compared to Kshs.4.94 billion realised in a similar period in FY 2024/25, and was 58 per cent of the annual target and 54 per cent of the equitable revenue share disbursed.

The decrease in OSR was attributed to a sharp decline in park fees from Kshs.4.62 billion in Q3 of FY2024/25 to Kshs.3.18 billion, with accrued receipts of Kshs.684.94 million in Q3 of FY2025/26. The revenue streams that contributed the most to OSR receipts are shown inFigure 3.195.

Figure 3.195: Narok County Top Own Source Revenue Streams in the first nine months of FY 2025/26



Source: Narok County Treasury

As shown in Figure 3.195 the largest revenue stream was at Kshs.3.12 billion, was Park Fees, accounting for 82 per cent of total OSR receipts. The County Government indicated that it has automated all revenue streams. The system utilised for FIF revenue collection is Q-Afya, which has been in use since 2022.

3.33.3 Revenue Receivables

As of 1st July 2025, the County reported receivables of Kshs.18 million, which increased to Kshs.734.42

million as of 31st March 2026. The County manages its receivables using a manual system, with an accrual-basis option. Table 3.488 presents a breakdown of the County's receivables.

Table 3.488: Narok County Receivables as of 31st March 2026

No	Revenue Stream	Receivables as of 1 July 2025 (Kshs.)	Progress made in the first nine months of FY 2025/26			Receivables as of 31st March 2026 (Kshs.)
			Waivers (Kshs)	Arrears paid in the financial year (Kshs)	Arrears earned in the first nine months of FY 2025/26 (Kshs)	
		a	b	c	d	f=a-b-c+d
	Sub-Total					
D	**Ordinary Own Sources of Revenue**					
1	**Park Fees**	-	-	-	**684,940,201**	**684,940,201**
	Sub-Total				**684,940,201**	**684,940,201**
E	**Facility Improvement Fund (FIF)**					
1	SHIF	-	-	-	49,475,762	49,475,762
2	Defunct NHIF	18,000,000	-	-		18,000,000
	Sub-Total	**18,000,000**	-	-	**49,475,762**	**67,475,762**
Total		**18,000,000**	-	-	**734,415,963.00**	801,891,725

Source: Narok *County Treasury*

As of 31st March 2026, the receivables totalled Kshs.801.89 million, comprising Kshs.684.94 million for Park Fees (85 per cent) and Kshs.67.48 million (15 per cent) for the Facility Improvement Fund. The measures instituted by the County to collect the outstanding arrears in FY 2025/26 include sending correspondence letters to the SHA and Park Authorities.

3.33.4 Borrowing by the County

The County did not report any borrowing during the period under review.

3.33.5 Withdrawals from the County Revenue Fund and County Assembly Fund

During the reporting period, the Controller of Budget approved exchequer withdrawal requests totalling Kshs.8.57 billion from the Narok County Revenue Fund (CRF) account. This amount consisted of Kshs.2.09 billion (24 per cent) designated for development programs and Kshs.6.47 billion (76 per cent) allocated for recurrent programs.

An analysis of the released recurrent exchequers shows that Kshs.4.48 billion was allocated to employee compensation and Kshs.1.99 billion to operations and maintenance expenditures. Within the operations and maintenance category, 3 per cent was for domestic travel and less than one per cent for foreign travel. The domestic travel exchequers totalled Kshs.275.89 million, which included Kshs.160.41 million for the County Assembly and Kshs.115.48 million for the County Executive. Meanwhile, the foreign travel exchequers amounted to Kshs.14.12 million, with Kshs.10.51 million for the County Executive and Kshs.3.68 million for the County Assembly.

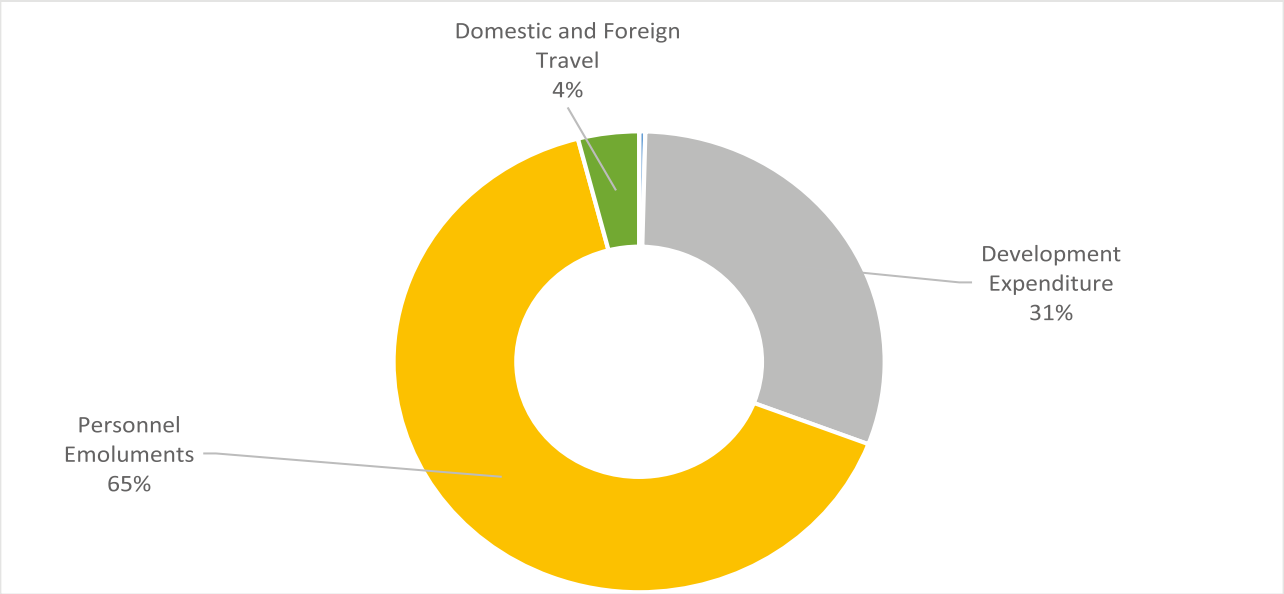
The County has not operationalised the County Assembly Fund.

3.33.6 Expenditure Review

The County spent Kshs.9.42 billion on development and recurrent programmes during the reporting period. The expenditure represented 24 per cent of the total funds released by the CoB. It comprised Kshs.2.09 billion for development programmes and Kshs.7.34 billion for recurrent programmes. Expenditure on development programmes accounted for 34 per cent of the annual development expenditure budget, while recurrent expenditure accounted for 66 per cent of the annual recurrent expenditure budget.

Figure 3.196 provides a detailed breakdown of total expenditure.

Figure 3.196: Narok County Composition of Expenditure in the first nine months of FY 2025/26



Source: *Narok County Treasury*

As shown in Figure 3.196, the three highest expenditure categories were P.E., Development Expenditure, and Domestic and Foreign Travel, contributing 65, 31, and 4 per cent of total expenditure, respectively, for the reporting period.

3.33.7 Expenditure by Economic Classification

The County Executive incurred Kshs.4.94 billion in employee compensation, Kshs.1.81 billion in operations and maintenance, and Kshs.2.09 billion in development activities. Similarly, the County Assembly spent Kshs.397.11 million on employee compensation, Kshs.181.23 million on operations and maintenance, and incurred no expenditure on development activities, as shown in Table 3.489.

Table 3.489: Narok County Summary of Budget and Expenditure by Economic Classification

Expenditure Classification	Approved Budget (Kshs.) (a)		Amount Paid in the first nine months of FY 2025/26 (Kshs.) (b)		Expenditure Accrued in the first nine months of FY 2025/26 (Kshs.) (c)		Total Expenditure in the first nine months of FY 2025/26 (Kshs.) (d=b+c)		Absorption (%) (d/a*100)	
	Executive	Assembly	Executive	Assembly	Executive	Assembly	Executive	Assembly	Executive	Assembly
Total Recurrent Expenditure	**10,140,195,051**	**878,624,509**	**5,939,180,235**	**533,417,704**	**807,526,791**	**44,925,574**	**6,746,707,026**	**578,343,277**	**67**	**66**
Compensation of Employees	5,109,706,795	635,068,962	4,128,179,771	352,186,330	807,526,791	44,925,574	4,935,706,562	397,111,903	97	63
Operations and Maintenance	5,030,488,256	243,555,547	1,811,000,464	181,231,374	-		1,811,000,464	181,231,374	36	74
Development Expenditure	**6,062,240,440**	**150,000,000**	**2,091,599,258**	**-**			2,091,599,258	-	35	-
Total	**16,202,435,491**	**1,028,624,509**	**8,030,779,493**	**533,417,704**	**807,526,791**	**44,925,574**	**8,838,306,284**	**578,343,277**	**55**	**56**

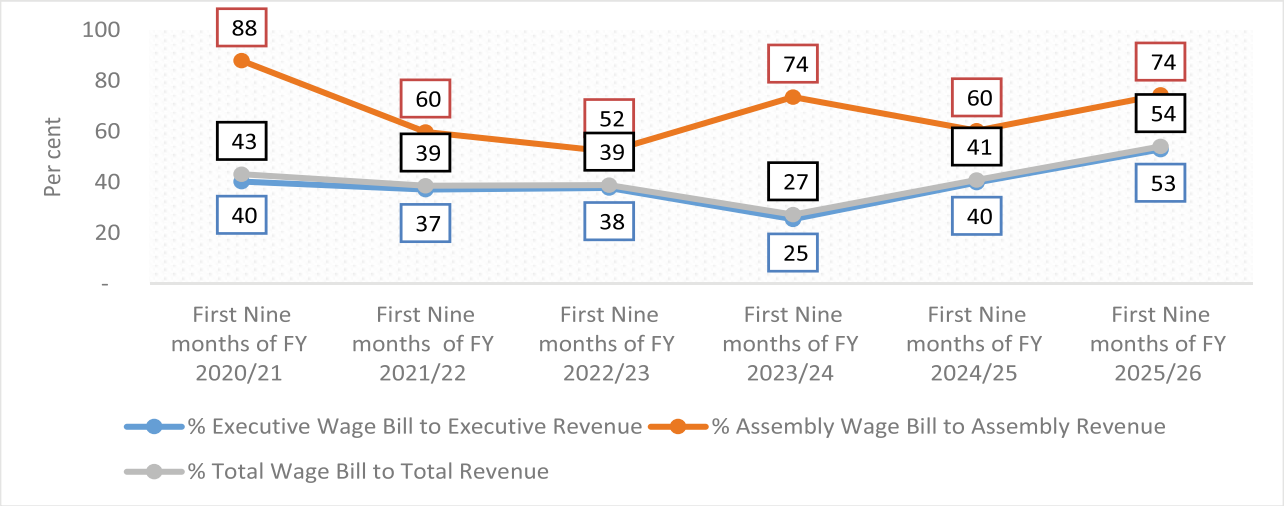
Source: *Narok County Treasury*

3.33.8 Expenditure on Employee Compensation

The expenditure on employee compensation totalled Kshs.5.33 billion, representing 54 per cent of revenue. This expenditure on employee compensation shows an increase compared to the Kshs.4.54 billion reported in a similar period in FY 2024/25. Of this total, Kshs.824.49 million related to Health Sector employees, accounting for 15 per cent of the overall employees' compensation.

Figure 3.197 shows the trend in employee compensation as a percentage of total revenue from the first nine months of FY 2020/21 to the first nine months of FY 2025/26.

Figure 3.197: Percentage of Employee Compensation Expenditure to Total Revenue Received in the first nine months of FY 2020/21 to the first nine months of FY 2025/26



Source: Narok County Treasury

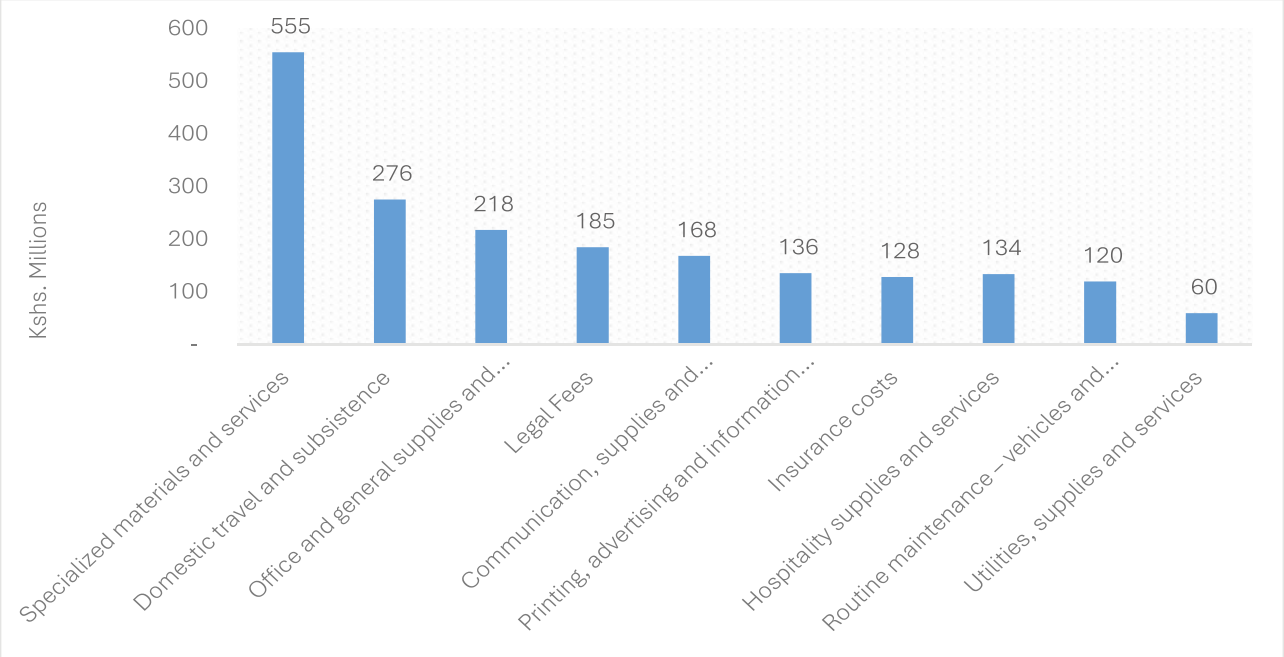
Further analysis indicated that PE costs were all processed through HRIS. The county does not maintain a manual payroll.

The County Assembly spent Kshs.27.67 million on committee sitting allowances for the 50 MCAs against the annual budget allocation of Kshs.35.11 million. The average monthly sitting allowance was Kshs.61,498 per MCA. The County Assembly has 21 House Committees.

3.33.9 Expenditure on Operations and Maintenance

During the reporting period, the County spent Kshs.1.99 billion on operations and maintenance, representing a decrease of 485 per cent compared to a similar period in FY 2024/25, when the County spent Kshs.3.87 billion. Figure 3.198 illustrates the distribution of Operations and Maintenance expenditures across the major spending categories.

Figure 3.198: Narok County, Operations and Maintenance Expenditure by Major Categories



Source: *Narok County Treasury*

Operations and Maintenance expenditure in FY 2025/26 is mainly driven by specialised materials and services, with expenditure in Kshs.555.4 million (28 per cent), followed by domestic travel Kshs.275.9 million

(14 per cent) and office supplies Kshs.217.6 million (11 per cent). Legal fees (Kshs.185.3 million, 9 per cent) and communication (Kshs.168.4 million, 8 per cent) also account for notable shares, while printing, hospitality, and insurance each account for about 6–7 per cent. Lower spending on maintenance (Kshs.120.0 million, 6 per cent) and utilities (Kshs.60.1 million, 3 per cent) indicates minimal infrastructure-related costs.

3.33.10 County-Established Funds

Section 116 of the PFM Act 2012 allows County Governments to establish other public funds, subject to approval from the County Executive Committee and the County Assembly. The County allocated Kshs.680 million to County-Established funds in FY 2025/26, representing 4 per cent of the County's overall budget. The County did not have any allocation to the Emergency Fund in accordance with Section 110 of the PFM Act, 2012. Table 3.490 summarises each established Fund's budget allocation and performance during the reporting period.

Table 3.490: Performance of Narok County Established Funds in the first nine months of FY 2025/26

S/No.	Name of the Fund	Year Established	Approved Budget Allocation in FY 2025/26 (Kshs.)	Exchequer Issues in the first nine months of FY 2025/26 (Kshs.)	Actual disbursements in the first nine months of FY 2025/26 (Kshs.)	Cumulative disbursements to the Fund (Kshs)	Submission of Financial Statements (Yes/No.)
1		**County Executive Established Funds**					
2	Bursary Fund	2014	450,000,000	_	_	_	No
3	Car Loan & Mortgage	2024	150,000,000	_	_	_	No
4	Narok County Alcoholic Drinks Control and Regulation Fund	2019		_	_	_	No
		County Assembly Established Funds					
1	Car loan & Mortgage staff	2013	80,000,00	_	_	_	No
	Total		**680,000,000**	_	_	_	

Source: *Narok County Treasury*

During the reporting period, the CoB did not receive quarterly financial reports from all Fund Administrators, as indicated in Table 3.6, contrary to the requirement of Section 168 of the PFM Act, 2012. The County did not disclose any administration costs

Regulation 197(1)(i) of the Public Finance Management (County Governments) Regulations, 2015, allows County Governments to establish public funds with a lifespan capped at 10 years unless extended by the County Assembly. In FY 2025/26, the CoB determined that the Bursary Fund and the Car loan & Mortgage staff for the County Assembly lifespan had lapsed. Consequently, the CoB did not approve any withdrawal requests to support the operations of the lapsed funds.

3.33.11 County Corporations

The Narok County has one corporation, Narok Water Sewerage Company (NAWASCO)

3.33.12 Expenditure on Domestic and Foreign Travel

Expenditure on domestic travel amounted to Kshs.275.89 million and comprised Kshs.160.41 million spent by the County Assembly and Kshs.115.48 million by the County Executive. Expenditure on foreign travel

amounted to Kshs.14.19 million and comprised Kshs.3.68 million by the County Assembly and Kshs.10.51 million by the County Executive. Expenditure on foreign travel is summarised in Table 3.491.

Table 3.491: Summary of Expenditure on Foreign Travel in the first nine months of FY 2025/26

Arm of County Government	No. of Officers Travelled	Dates travelled	Purpose of the travel	Destination	Total Costs of the Travel (Kshs.)
Executive	2	17th to 25th October 2025	Engineers' Study Trip(Industrial tour)	China	1,941,300
Executive	2	11th to 22nd August 2025	ESAMI Training: Training on Gender mainstreaming and inclusion in the Legislature.	Singapore	2,805,098
COUNTY EXECUTIVE	2 OFFICERS.	15TH TO 23RD 2025	Learn about Health management systems	INDIA (MUMBAI, AGRA & JAIPUR)	1,178,520
COUNTY EXECUTIVE	38 OFFICERS	12th to 15th September 2025	Mara Day celebrations.	TANZANIA	5,196,120.00

Source: Narok County Treasury and Narok County Assembly

The County Assembly foreign travel data was not availed for reporting.

3.33.13 Facility Improvement Financing

During the review period, the County reported collections of Kshs.142.08 million as FIF, which was 117 per cent of the annual target of Kshs.120.95 million. The collected amount was retained and utilised at source in line with the Facility Improvement Financing Act, 2023. The County has developed regulations to operationalise the FIF Act of 2023.

3.33.14 Development Expenditure

In the review period, the County reported spending Kshs.2.09 billion on development programmes, representing a 5 per cent increase over FY 2024/25, when the County spent Kshs.2 billion. Table 3.492 summarises the development projects with the highest expenditure in the reporting period.

The increase in development expenditure was attributed to increased service delivery by the county.

Table 3.492: Nakuru County, List of Development Projects with the Highest Expenditure

No	Sector	Project Name	Project Location	Project Commencement Date	Expected date of Completion of the Project	Contract sum (Kshs)	Total Funding in FY 2025/26 (Kshs.)	Expenditure (on an accrual basis) in the first nine months of FY 2025/26 (Kshs.)	Cumulative project expenditure (on an accrual basis) as of 31st March 2026 (Kshs.)	Percentage (%) of Completion
County Funded Projects										
1	Environment, Water, Energy and Natural Resources	Construction Of Chepkutet Springs	Sagamian Ward			13,478,367	13,478,015	-	13,478,015	100
2	Education and Social Services	Construction Of Dormitories At Olmariko Secondary School	Olposimoru ward			28,997,242.68	18,107,855.20		18,107,855	62
3	Education and Social Services	Construction Classroom and staff quarters at Masaantare School	Ololunga Ward			18,640,776	11,688,606		11,688,606	100
4	Agriculture, Livestock and Fisheries	Construction Of Livestock Sales Yard Naarosura	Maji moto -Narusora ward			10,061,754	10,061,754		10,061,754	100

No	Sector	Project Name	Project Location	Project Commencement Date	Expected date of Completion of the Project	Contract sum (Kshs)	Total Funding in FY 2025/26 (Kshs.)	Expenditure (on an accrual basis) in the first nine months of FY 2025/26 (Kshs.)	Cumulative project expenditure (on an accrual basis) as of 31st March 2026 (Kshs.)	Percentage (%) of Completion
5	Agriculture, Livestock and Fisheries	Construction Of Modern Sale Yard At Mulot	Ilmotiook Ward	9th May,2025	17th July,2025	28,844,219	28,868,419		28,868,419	100
6	Public Works, Roads and Transport	Repair And Maintenance Of County Government Machinery	Narok Town Ward	1st January,2024	31st December,2025	26,360,477	26,360,477		26,360,477	100
7	Agriculture, Livestock and Fisheries	Construction of Livestock Saleyard at Maji Moto	Maji moto -Narusora ward	20th March 2025	45809	24,100,822	20,085,727		20,085,727	83
8	Agriculture, Livestock and Fisheries	Construction Of Livestock Saleyard At Mosiro	Mosiro Ward	5th March 2025	28th Sept 2025	23,800,000	23,800,000		23,800,000	100
9	Health &Sanitation	Construction Takitech Dispensary and Associated Works	Olomaasani Ward	24th February,2025	24-Sep-25	29,516,246	10,352,101		10,352,101	35
10	Education and Social Services	Construction Of Nairagie Enkare VTC	Keekonyokie Ward	25th November 2024	1-Jun-24	15,760,846.50	10,662,696		10,662,696	100

Source: *Narok County Treasury*

3.33.15 Budget Performance by Department

Table 3.493 summarises the approved budget allocation, expenditure, and absorption rate by department for the period under review.

Table 3.493: Narok County, Budget Allocation and Absorption Rate by Department in the first nine months of FY 2025/26

Department	Revised Budget Allocation (Kshs.Million)		Exchequer Received (Kshs.Million)		Expenditure (Kshs. Million)		Expenditure to Exchequer (%)		Absorption rate (%)	
	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev
County Assembly	878.62	150.00	533.42	-	533.42	-	100	-	61	-
County Executive	272.38	-	177.21		177.21		100	-	65	-
Finance & Economic Planning	1,295.33	220.00	763.30	-	763.30	-	100	-	59	-
Transport and Public Works	321.47	1,376.58	152.71	527.58	152.71	527.58	100	100	48	38
Education, Youth, Sports, Culture and Social Services	1,751.65	530.20	961.40	196.40	961.40	196.40	100	100	55	37
Environment Protection, Energy, Water & Natural Resources	411.73	458.03	158.81	241.22	158.81	241.22	100	100	39	53
Public Service Board	104.29	-	45.08		45.08		100	-	43	-

Department	Revised Budget Allocation (Kshs.Million)		Exchequer Received (Kshs.Million)		Expenditure (Kshs. Million)		Expenditure to Exchequer (%)		Absorption rate (%)	
	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev
Agriculture, Livestock & Fisheries	468.62	562.42	156.13	144.38	156.13	144.38	100	100	33	26
Health & Sanitation	3,067.20	1,243.10	2,162.51	883.55	2,162.51	880.74	100	100	71	71
Lands Housing Physical Planning & Urban Development	114.83	65.00	101.67	-	101.67	-	100	-	89	-
ICT & E Government	128.28	175.00	30.26	-	30.26	-		-	24	-
Administration And Public Services Management	943.58	432.00	540.95	-	540.95	-	100	-	57	-
Trade, Industry and Cooperative Development	620.69	676.72	511.80	101.28	511.80	101.28	100	100	83	15
Office of the County Attorney	433.26	10.00	173.43	-	173.43	-	100	-	40	-
Municipality(Narok)	168.18	191.69	3.28	-	3.28	-	100	-	2	-
Municipality(Kilgoris)	38.70	121.50	0.64	-	0.64	-	100	-	2	-
Total	**11,018.82**	**6,212.24**	**6,472.60**	**2,094.40**	**6,472.60**	**2,091.60**	**100**	**100**	**59**	**34**

Source: *Narok County Treasury*

Analysis of expenditure by departments shows that the Department of Health recorded the highest absorption rate of development budget at 71 per cent, followed by the Department of Environment Protection, Energy, Water & Natural Resources at 53 per cent. The Department of Lands, Housing, Physical Planning & Urban Development had the highest percentage of recurrent expenditure to budget at 89 per cent, while the Municipality (Kilgoris) had the lowest at 2 per cent.

3.33.16 Budget Execution by Programmes and Sub-Programmes

Budget execution was concentrated in selected performance bands. In the 1–10 per cent band, recurrent absorption was reported for fisheries under the Department of Agriculture, Livestock and Fisheries at 1 per cent, for the Narok and Kilgoris municipalities at 2 per cent, and for board management services under the County Assembly Service Board at 9 per cent. Development absorption in this band was reported for trade and industrialisation under the Department of Trade, Cooperative Development, Tourism and Wildlife at 10 per cent.

In the 11–20 per cent band, recurrent absorption was reported for disaster management under the Department of County Public Service Management at 12 per cent, while development absorption was recorded for livestock production under the Department of Agriculture, Livestock and Fisheries at 20 per cent. In the 21–30 per cent band, development absorption was reported for environment protection, energy, water and natural resources at 29 per cent.

In the 31–40 per cent band, development absorption was reported for crop production under the Department of Agriculture, Livestock and Fisheries at 36 per cent and for public works and infrastructure under the Department of Public Works, Infrastructure and Transport at 38 per cent. In the 41–50 per cent band,

development absorption for vocational education and training under the Department of Education was at 49 per cent.

In the 51–60 per cent band, development absorption was reported for the climate change unit under the Department of Environment, Protection, Energy, Water and Natural Resources at 58 per cent and for education headquarters at 58 per cent. In the 61–70 per cent band, development absorption was reported for health medical services under the Department of Health at 71 per cent. In the 90–100 per cent band, recurrent absorption reached 99 per cent for procedure and committee services under the County Assembly, 98 per cent for land, housing and survey and for trade and industrialisation, and 97 per cent for internal audit under the Department of Finance and Economic Planning. In the band above 100 per cent, recurrent absorption reached 2,337 per cent for social services and recreation under the Department of Education.

Low absorption in the lower performance bands reflected slow implementation across fisheries, municipalities, trade, livestock and environment sub-programmes. Conversely, the social services and recreation sub-programme exceeding 100 per cent reflected expenditure far above its approved estimate, including reallocated spending, during the review period.

Table 3.494 summarises budget execution by programmes and sub-programmes in the period under review with the highest absorption rates.

Table 3.494: Budget Execution by Programmes and Sub-Programmes with Highest Absorption Rates

Programme	Sub-Programme	Gross Approved Estimates FY 2025/26 (Kshs.)	Expenditure (including accrued expenditure) as of 31st March 2026 (Kshs.)	Absorption Rate (%)
RECURRENT				
Education				
4615	Social Services and Recreation	15,205,000.00	355,313,780.40	2337
County Assembly				
County Assembly	Procedure and Committee Services	100,030,447.00	99,211,771.20	99
Land, Housing & Survey				
4620	Land, Housing & Survey	48,621,578.00	47,687,271.14	98
Trade, Cooperative Development, Tourism &Wildlife				
4624	Trade and Industrialization	119,361,849.10	116,446,495.39	98
Department of Finance and Economic Planning				
	Internal Audit	75,116,155.00	72,982,668.63	97
DEVELOPMENT				
Health &Sanitation				
	Health- Medical Services	1,243,096,161.04	880,744,907.00	71
Environment, Protection, Energy, Water& Natural Resources				
	Climate Change Unit	378,032,300.00	217,781,733.60	58
Education				
	Education - Headquarters	254,200,000.00	147,320,016.50	58
Education				
	Vocational Education and Training	100,000,000.00	49,079,264.00	49

Programme	Sub-Programme	Gross Approved Estimates FY 2025/26 (Kshs.)	Expenditure (including accrued expenditure) as of 31st March 2026 (Kshs.)	Absorption Rate (%)
Public Works, Infrastructure and Transport				
	Public Works and Infra-structure	1,376,581,979.00	527,578,790.72	38

Source: *Narok County Treasury*

The development sub-programmes with the highest budget implementation rates were: Health-Medical Services in the Department of Health at 71 per cent; and the Climate Change Unit in the Department of Environment and Protection, Energy, Water & Natural Resources at 58 per cent.

For recurrent sub-programmes, the top performers included: Social services and Recreation in the Department of Social Services and Recreation at 2,337 per cent, Procedure and Committee Services in the Department of County Assembly at 99 per cent, and Land, Housing & Survey in the Department of Land, Housing & Survey at 98 per cent.

The higher performance of these programmes can be attributed to their implementation in the county. Table 3.495 summarises the budget execution by programmes and sub-programmes in the period under review that had the lowest absorption rates.

Table 3.495: Budget Execution by Programmes and Sub-Programmes with Lowest Absorption Rates

Programme	Sub-Programme	Gross Approved Estimates FY 2025/26 (Kshs.)	Expenditure (including accrued expenditure) as of 31st March 2026 (Kshs.)	Absorption Rate (%)
DEVELOPMENT				
Trade, Cooperative Development, Tourism &Wildlife				
	Trade and Industrialization	557,800,000.00	58,201,525.00	10
Agriculture, Livestock and Fisheries				
	Livestock Production	355,418,919.00	70,429,573.00	20
Environment Protection, Energy, Water& Natural Resources				
	Environment Protection, Energy, Water& Natural ResourceS	80,000,000.00	23,437,616.40	29
Agriculture, Livestock and Fisheries				
	Crop Production	207,000,000.00	73,951,573.00	36
Public works, Infrastructure and Transport				
	Public Works And Infrastructure	1,376,581,979.00	527,578,790.72	38
RECURRENT				
Municipality				
	Narok	168,184,726.00	3,276,788.62	2
	Kilgoris	38,704,382.00	639,135.69	2
Narok County Assembly				
	Board Management Services (County Assembly Service Board)	8,200,000.00	719,170.00	9
Agriculture, Livestock and Fisheries				
	Fisheries	51,288,837.00	608,000.00	1
County Public Service Management				
	Disaster Management	29,714,969.16	3,420,000.00	12

Source: *Narok County Treasury*

The recurrent sub-programmes with the lowest budget implementation rates were as follows: transfers to Kilgoris and Narok Municipalities in the Department of Municipality at 2 per cent, Agriculture, Livestock and fisheries in the Department of Agriculture, Livestock and fisheries at 1 per cent, and Board Management Services (County Assembly Service Board at 9 per cent.

For development sub-programmes, the poorest performers included: Trade and Industrialisation in the Department of Trade, Cooperative Development, Tourism &Wildlife at 10 per cent, Livestock Production in the Department of Agriculture, Livestock and fisheries at 20 per cent, and Environment Protection, Energy, Water& Natural Resources in the Department of Environment Protection, Energy, Water& Natural Resources at 29 per cent.

3.33.17 Settlement of Trade Payables

As of 1st July 2025, the County reported trade payables totalling Kshs.6.68 billion. This amount consisted of Kshs.6.65 billion from the County Executive and Kshs17.92 million from the County Assembly. The trade payables from the County Executive comprised Kshs.4.92 billion for recurrent expenditure and Kshs.1.74 billion for development expenditure.

During the reporting period, the County Executive settled trade payables amounting to Kshs.2.28 billion, comprising Kshs.2.21 billion (94 per cent) for recurrent programmes and Kshs.147.22 million (6 per cent) for development programmes. On the other hand, the County Assembly settled trade payables amounting to Kshs.1.60 million for recurrent expenditure. The outstanding trade payables as of 31st March 2026 were Kshs.4.38 billion for the County Executive and Kshs.21.80 million for the County Assembly

Table 3.496 provides additional details of trade payables.

Table 3.496: Narok County Trade Payables as of 31st March 2026

		County Entity	Development (Kshs.)	Recurrent (Kshs.)	Total (Kshs.)
As at 1 July 2025 (End of FY 2024/25)	a	County Executive	1,739,741,990	4,919,899,082	6,659,641,072
		County Assembly		17,915,131	17,915,131
		Total	1,739,741,990	4,937,814,213	6,677,556,203
Trade payables scheduled to be settled in the first nine months of FY 2025/26 per the action plan	b	County Executive			
		County Assembly			
		Total			
Amount paid in the first nine months of FY 2025/26	c	County Executive	147,221,586	2,133,395,728	2,280,617,313
		County Assembly		1,600,000	1,600,000
		Total	147,221,586	2,134,995,728	2,282,217,313
Trade Payables Incurred in the First Nine Months of FY 2025/26	d	County Executive	-		-
		County Assembly	-	5,485,560	5,485,560
		Total	-	5,485,560	5,485,560
Outstanding trade payables as of 31st March 2026	**e = a - c*b**	**County Executive**	**1,592,520,404**	**2,786,503,355**	**4,379,023,759**
		County Assembly		**21,800,691**	**21,800,691**
		Total	**1,592,520,404**	**2,808,304,046**	**4,400,824,450**

Source: *Narok County Treasury*

The County Executive and the Assembly did not submit a trade payables payment plan

Table 3.497 and Table 3.498 present the ageing of the total outstanding bills as of 31st March 2026 for the County Executive and Assembly, which were Kshs.4.45 billion.

Table 3.497: Narok County Executive Trade Payables Ageing Analysis as of 31st March 2026

Category	Ageing analysis (Amount in Kshs.)				Total
	Under one year	1-2 years	2-3 years	Over 3 years	
Development Trade Payables	**1,116,207,404.47**	**353,143,691.85**	**2,929,150.00**	**120,240,158.05**	**1,592,520,404.37**
Recurrent Trade Payables (Goods & Services)	*1,116,207,404.47*	*353,143,691.85*	*2,929,150.00*	*120,240,158.05*	*1,592,520,404.37*
Recurrent Trade Payables (Salary Arrears and Statutory Deductions)	*1,829,438,150.53*	*669,013,858.34*	*14,810,800.00*	*65,001,946.00*	*2,578,264,754.87*
Recurrent Trade Payables (Staff Claims)				*208,238,599.68*	*208,238,599.68*
Total Recurrent Trade Payables					**-**
Total Trade Payables	***1,829,438,150.53***	***669,013,858.34***	***14,810,800.00***	***273,240,545.68***	***2,786,503,354.55***
% of Total	***2,945,645,555.00***	***1,022,157,550.19***	***17,739,950.00***	***393,480,703.73***	***4,379,023,758.92***

Source: *Narok County Treasury*

Table 3.498: Narok County Assembly Trade Payables Ageing Analysis as of 31st March 2026

Category	Ageing analysis (Amount in Kshs.)				Total
	Under one year	1-2 years	2-3 years	Over 3 years	
Development Trade Payables	**0**	**0**	**0**	**0**	**0**
Recurrent Trade Payables (Goods & Services)	*1,393,979*			*17,909,510*	*19,303,489*
Recurrent Trade Payables (Salary Arrears and Statutory Deductions)	*49,591,644*			*1,393,979.00*	*50,985,623*
Recurrent Trade Payables (Staff Claims)					-
Total Recurrent Trade Payables	**50,985,623**	**-**	**-**	**19,303,489**	**70,289,112**
Total Trade Payables	**50,985,623**	**-**	**-**	**19,303,489**	**70,289,112**
% of Total	**73**	**-**	**-**	**27**	**100**

Source: *Narok County Treasury*

As shown in Table 3.497 and Table 3.498, the total salary arrears and statutory deductions for trade payables amounted to Kshs 259,224,222.68, which represented 6 per cent of the total trade payables of Kshs 4,449,312,871 as of March 31, 2026, which are Salary Arrears and Statutory Deductions.

Additionally, the two tables indicate that 91 per cent of total trade payables are aged between one and three years, a trend attributed to payables not being paid on a FIFO basis. To address this situation, the county should adhere to a FIFO basis for settling payables and implement the Action Plan.

3.33.18 General Observations and Recommendations

In the course of overseeing and reporting on the implementation of the Narok County budget, the CoB identified the following challenges, which hampered effective budget implementation;

i. The County Treasury's late submission of financial reports to the Controller of Budget affected the timely preparation of the budget implementation report, which was received in May, 2025.
ii. The underperformance of own-source revenue at Kshs.3.50 billion against an annual target of Kshs.6.08 million, representing 54 per cent of the financial year target. If performance is below 75 per cent of the annual target.
iii. Low development performance in the review period, as the County incurred Kshs.2.09 billion on development activities, achieving a 34 per cent absorption rate. If performance is below 75 per cent of the annual target.
iv. Regulation 197(1)(i) of the Public Finance Management (County Governments) Regulations, 2015, limits the lifespan of public funds to 10 years unless extended by the County Assembly. As of 31st March 2026, the lifespan of the Bursary Fund and the County Mortgage and Car Loan Fund had lapsed, making them ineligible for further withdrawals.

v. High level of trade payables, which amounted to Kshs.4.38 billion as of 31st March 2026. Furthermore, the County Treasury did not adhere to the trade payables payment plan.
vi. The County reported revenue collections of Kshs. 5.19 billion under Park Fees against an approved budget estimate of Kshs. 5.49 billion, resulting negative variance of approximately Kshs. 300 million.

The County should implement the following recommendations to improve budget execution:

i. *The County Treasury should ensure the timely preparation and submission of financial reports to the Controller of Budget per the timelines prescribed in Section 166 of the PFM Act, 2012.*
ii. *The County should address its own-source revenue performance to ensure the approved budget is fully financed. Appropriate austerity measures should be implemented to ensure expenditure commitments are aligned with available revenue.*
iii. *The County should implement strategies to increase development expenditures in FY 2025/26.*
iv. *The County should ensure timely review and extension of public funds whose lifespans are nearing expiration or have lapsed to prevent operational disruptions. Additionally, any expenditure from lapsed funds should cease immediately, and legal mechanisms should be followed to re-establish or wind up such funds in compliance with the Public Finance Management Act.*
v. *The County Leadership should address the situation of trade payables to ensure that genuine bills are paid promptly in the remaining financial year. Further, compliance with the Trade Payables Action Plan should be enforced.*
vi. *The County is advised to conduct a revenue reconciliation of the reported figures to ascertain and address the variance.*

3.34. County Government of Nyamira

3.34.1 Overview of FY 2025/26 Budget

The Nyamira County Approved budget for FY 2025/26 is Kshs.8.65 billion. It comprises Kshs.3.28 billion (38 per cent) and Kshs.5.37 billion (62 per cent) allocation for development and recurrent programmes, respectively. The budget estimates represent an increase of Kshs.534.40 million (7 per cent) from the FY 2024/25 budget, comprising a development budget of Kshs.2.87 billion and a recurrent budget of Kshs.5.23 billion. The increase in the budget was primarily attributed to a rise in the projection of own-source revenue and a balance brought forward from FY 2024/25.

The budget is to be financed from various revenue sources. These include the equitable share of revenue raised nationally of Kshs.6.07 billion (70per cent), additional allocations of Kshs.1.32 billion (15 per cent), a cash balance brought forward from FY 2024/25 of Kshs.383.64 million (4per cent) and Kshs.868.71 million (10 per cent) generated as own-source revenue. A breakdown of the additional allocations is shown in Table 3.499.

3.34.2 Revenue Performance

During the first nine months of FY 2025/26, the County reported total revenues of Kshs.5.36 billion. This amount represented an increase of 34 per cent compared to the amount received in a similar period in FY 2024/25 of Kshs.4 billion. The total revenue consisted of Kshs.4.04 billion from the equitable share of revenue raised nationally, additional allocations from the national government and development partners of Kshs.272.72 million, and own-source revenue (OSR) collection of Kshs.411.28 million. Additionally, the County had a cash balance of Kshs.638.62 million from FY 2024/25. The total OSR collection of Kshs.411.28 million included Facilities Improvement Financing (FIF) of Kshs.309.70 million, and Kshs.101.58 million from other OSR sources.

Table 3.499 summarises the total revenue available to the County Government during FY 2025/26.

Table 3.499: Nyamira County, Revenue Performance in the first nine months of FY 2025/26

No	Revenue Stream	Annual Targeted Revenue (Kshs.)	Actual Receipts (Kshs.)	Receivables in the First Nine Months of FY 2025/26 (Kshs.)	Total Revenues (in accrual basis) in the First Nine Months of FY 2025/26 (Kshs.)	Variance (Kshs.)
		A	B	C	D=B+C	E=A-D
A	**Unspent Balance from FY 2024/25**				-	
1	Balance at CRF	383,479,287	638,451,249		638,451,249	254,971,962
2	County Executive Refunds to CRF	164,708	164,708		164,708	-
3	County Assembly Refunds to CRF	2,039	2,039		2,039	-
	Sub-Total	**383,646,035**	**638,617,997**	**-**	**638,617,997**	**254,971,962**
B	**Equitable Share of Revenue Raised Nationally**				-	-
1	Equitable Share	6,073,434,356	4,038,833,847		4,038,833,847	2,034,600,509
	Sub-Total	**6,073,434,356**	**4,038,833,847**	**-**	**4,038,833,847**	**2,034,600,509**
C	**Transfers from the Equalisation Fund**				-	-
1					-	-
	Sub-Total	**-**	**-**	**-**	-	-
D	**Additional Allocations (Including Grants)**				-	-
1	Kenya Devolution Support Programme Level II	352,500,000			-	352,500,000
2	National Agricultural Value Chain Development Project (NAVCDP)	231,250,000			-	231,250,000
3	Kenya Second Informal Settlement Improvement Programme (KISIP 2)	148,123,322	110,890,473		110,890,473	37,232,849
4	County Climate Resilience Support (CCRS)-World Bank	162,210,133	21,055,736		21,055,736	141,154,397
5	Aggregated Industrial Park Programme	133,500,000	133,368,421		133,368,421	131,579
6	Road Maintenance Levy Fund	114,508,787			-	114,508,787
7	Community Health promoters	64,349,711			-	64,349,711
8	Kenya Agricultural Business Development Project (Sweden)	10,918,919			-	10,918,919
9	Kenya Devolution Support Programme Level I	37,500,000			-	37,500,000
10	Kenya Urban Support Programme (KUSP_UIG)	35,000,000			-	35,000,000
11	Kenya Urban Support Programme (KUSP_UDG)	19,817,128			-	19,817,128
12	DANIDA Level one	5,358,000	7,410,000		7,410,000	-2,052,000
13	DANIDA Level 2&3	5,472,000			-	5,472,000

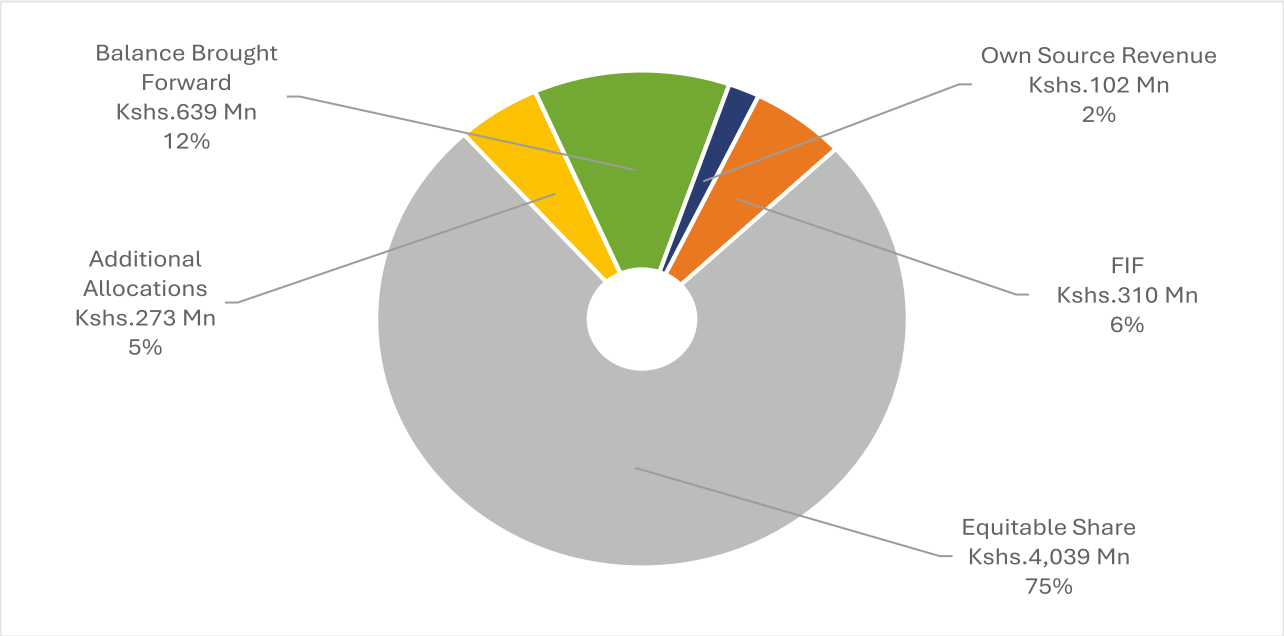
No	Revenue Stream	Annual Targeted Revenue (Kshs.)	Actual Receipts (Kshs.)	Receivables in the First Nine Months of FY 2025/26 (Kshs.)	Total Revenues (in accrual basis) in the First Nine Months of FY 2025/26 (Kshs.)	Variance (Kshs.)
		A	B	C	D=B+C	E=A-D
	Sub-Total	**1,320,508,000**	**272,724,630**	**-**	**272,724,630**	**1,047,783,370**
E	**Ordinary Own Source Revenue (OSR)**				-	-
	Matatu stickers	13,085,208	14,038,856		14,038,856	- 953,648
	Market Dues	17,131,593	1,074,371		1,074,371	16,057,222
	Single Business Permits	34,412,338	34,509,937		34,509,937	- 97,599
	Daily parking fees	13,996,385	2,587,500		2,587,500	11,408,885
	Buildings Plan Approval Fee	39,705,261	7,363,470		7,363,470	32,341,791
	Market stall Rent	4,076,097	920,200		920,200	3,155,897
	Liquor Licences	5,869,173	3,919,363		3,919,363	1,949,810
	Disposal of Motor Vehicles	12,985,553	1,028,500		1,028,500	11,957,053
	Land Rates	14,217,679	9,401,054		9,401,054	4,816,625
	Advertisement Charges	43,320,285	14,158,296		14,158,296	29,161,989
	Garbage collection fees	3,998,967	116,700		116,700	3,882,267
	Water, sanitation and irrigation fees	765,903	200,600		200,600	565,303
	Receipts from Permission to Use the Goods or to Perform Services and Act	4,418,671	378,480		378,480	4,040,191
	Trade, weights &measures	2,503,914	670,000		670,000	1,833,914
	CESS	2,656,625	7,573,238		7,573,238	- 4,916,613
	Hire of Machinery &Equipment		856,160		856,160	- 856,160
	Artificial Insemination Services	2,451,509	1,056,160			
	Administration and Compliance fees	3,114,839	1,728,975			
	Sub-Total	**218,710,000**	**101,581,860**	**-**	**98,796,725**	**114,346,927**
F						
1	SHIF	650,000,000	309,699,635		309,699,635	340,300,365
	Sub-Total	**650,000,000**	**309,699,635**	**-**	**309,699,635**	**340,300,365**
	Grand Total	**8,646,298,391**	**5,361,457,968**	**-**	**5,361,457,968**	**3,284,840,423**

Source: *Nyamira County Treasury*

The County has enacted the Nyamira County Health Facilities Improvement Financing Act, 2025, as a governing legislation on the operation of ordinary A-I-A and FIF.

Figure 3.199 provides a detailed breakdown of receipts.

Figure 3.199: Nyamira County Composition of Revenue in the first nine months of FY 2025/26

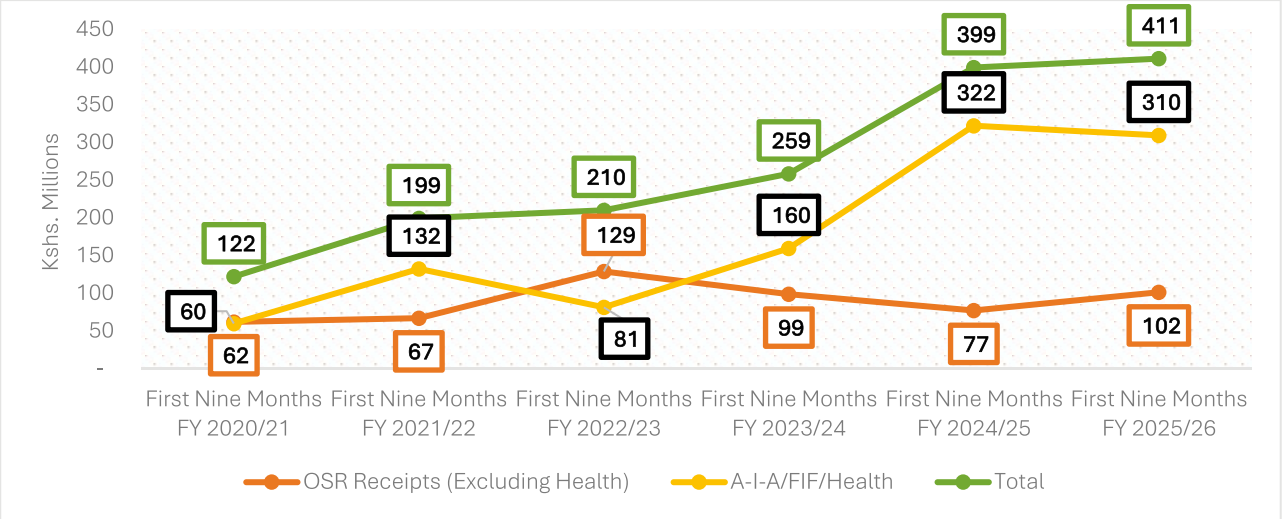


Source: *Nyamira County Treasury*

The equitable share of revenue raised nationally, OSR, and FIF contributed 75 per cent, 2 per cent and 6 per cent, respectively, of the total receipts for the reporting period.

Figure 3.200 shows the collection trend in own-source revenue from the first nine months of FY 2020/21 to the first nine months of FY 2025/26.

Figure 3.200: Nyamira County Trend in Own-Source Revenue Collection from the first nine months of FY 2020/21 to the first nine months of FY 2025/26



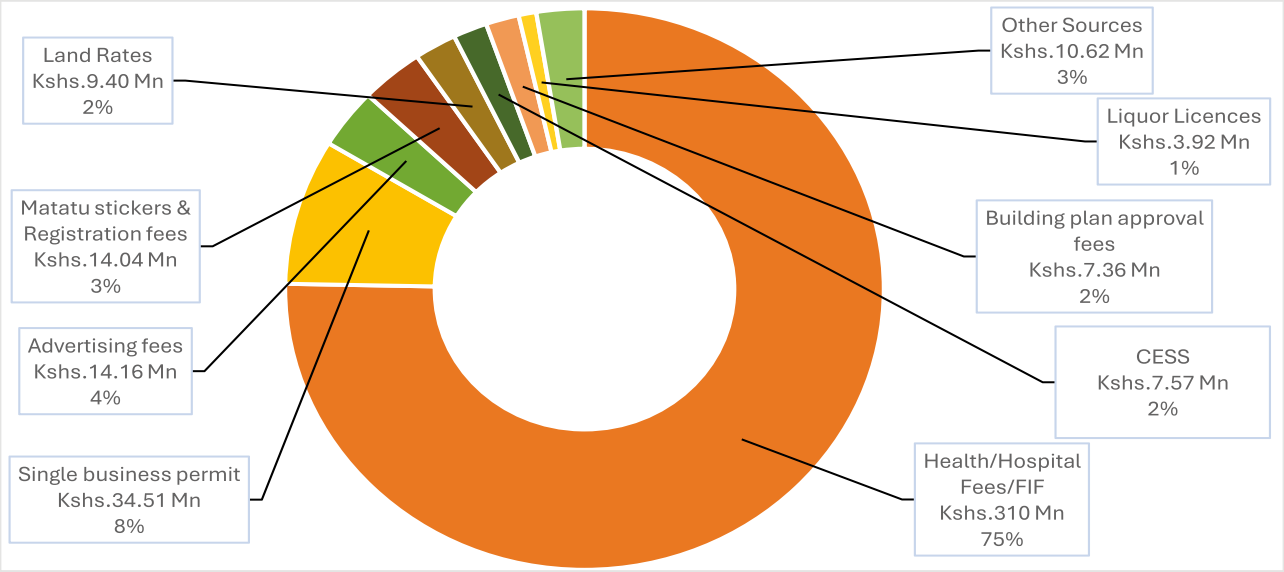
Source: *Nyamira County Treasury*

During the first nine months of FY 2025/26, the County received Kshs.411.28 million from OSR, including FIF. This amount was an increase of 3 per cent compared to Kshs.399.44 million realised in a similar period in FY 2024/25, and was 47 per cent of the annual target and 10 per cent of the equitable revenue share disbursed.

The increase in OSR was attributed to stringent revenue collection measures, surveillance, and an improved supply of drugs in health facilities, which in turn has led to more visits to county health facilities.

The revenue streams that contributed the most to OSR receipts are shown in Figure 3.201.

Figure 3.201: Nyamira County Top Own Source Revenue Streams in the first nine months of FY 2025/26



Source: *Nyamira County Treasury*

As shown in Figure 3.201, the largest revenue stream, at Kshs.310 million, was Facility Improvement Financing, accounting for 75 per cent of total OSR receipts. The County Government indicated that it has automated 29 of 31 revenue streams. The system utilised for FIF revenue collection is Afya Kenya Digital Health Platform, which has been in use since 2023.

3.34.3 Revenue Receivables

As of 1st July 2025, the County did not report revenue receivables.

3.34.4 Borrowing by the County

The County Government did not borrow funds during the period under review, as disclosed, and had no outstanding amounts as at 31st March 2026.

3.34.5 Withdrawals from the County Revenue Fund and County Assembly Fund

During the reporting period, the Controller of Budget approved exchequer withdrawal requests totalling Kshs.4.18 billion from the Nyamira County Revenue Fund (CRF) account. This amount consisted of Kshs.558.49 million (13 per cent) designated for development programs and Kshs.3.59 million (87 per cent) allocated for recurrent programs.

An analysis of the released recurrent exchequers shows that Kshs.2.61 billion was allocated to employee compensation and Kshs.978.80 million to operations and maintenance expenditures. Within the operations and maintenance category, 19 per cent was for domestic travel and 1per cent for foreign travel. The domestic travel exchequers totalled Kshs.168.16 million, which included Kshs.67.73 million for the County Executive and Kshs.77.89 million for the County Assembly. Meanwhile, the foreign travel exchequers amounted to Kshs.6.89 million for the County Assembly.

As of 31st March 2026, the County Government's cash balance in the Nyamira CRF account was Kshs.1.51 billion.

Nyamira County has not operationalised the Nyamira County Assembly Fund.

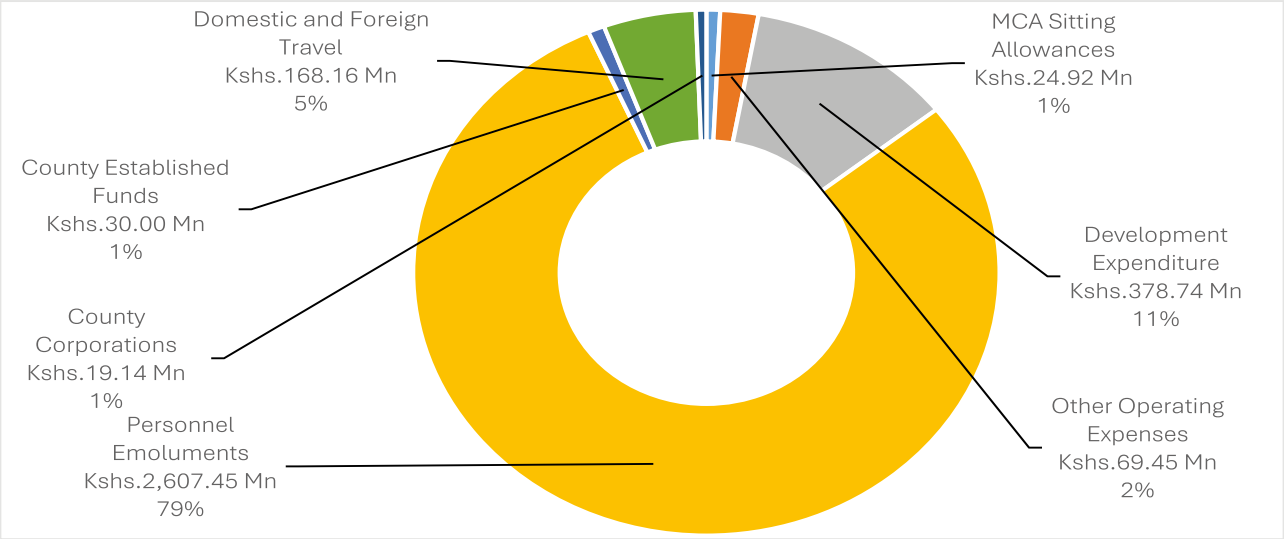
3.34.6 Expenditure Review

The County spent Kshs.4.99 billion on development and recurrent programmes during the reporting period. The expenditure represented 120 per cent of the total funds released by the CoB. The expenditure beyond

the funds released by CoB is attributed to Facility Financing Funds, which were spent at source. It comprised Kshs.1.29 billion for development programmes and Kshs.3.70 billion for recurrent programmes. Expenditure on development programmes accounted for 39 per cent of the annual development expenditure budget, while recurrent expenditure accounted for 69 per cent of the annual recurrent expenditure budget.

Figure 3.202 provides a detailed breakdown of total expenditure.

Figure 3.202: Nyamira County Composition of Expenditure in the first nine months of FY 2025/26



Source: *Nyamira County Treasury*

As shown in Figure 3.202, the three highest expenditure categories were Personnel Emoluments, Development expenditure, and domestic and foreign travel, contributing 79, 11, and 3 per cent of the total expenditure for the reporting period.

3.34.7 Expenditure by Economic Classification

The County Executive incurred Kshs.2.27 billion in employee compensation, Kshs.912.98 million in operations and maintenance, and Kshs.1.29 billion in development activities. Similarly, the County Assembly spent Kshs.297.53 million on compensation of employees, Kshs.224.92 million on operations and maintenance, and Kshs.29.49 million on development activities, as shown in Table 3.500.

Table 3.500: Nyamira County Summary of Budget and Expenditure by Economic Classification

Sector / Category	Budget (Kshs)	Exchequer Issues (Kshs)	Amount Paid in the First Nine Months of FY 2025/26 (Kshs.) (b)	Expenditure Accrued in the First Nine Months of FY 2025/26 (Kshs.) (c)	Total Expenditure in the First Nine Months of FY 2025/26 (Kshs.) (d=b+c)	Absorption (%) (d/a*100)
County Executive						
Recurrent	**4,675,893,205**	**3,115,322,255**	**2,697,438,060**	**483,457,876**	**3,180,895,936**	**68**
Compensation to Employees	2,982,050,590	2,312,428,771	2,010,568,730	257,344,459	2,267,913,189	76
Operations & Maintenance	1,693,842,615	802,893,484	686,869,330	226,113,417	912,982,747	54
Development	**3,048,990,777**	**558,998,291**	**378,740,839**	**914,761,295**	1,293,502,134	**42**
Executive Sub-total	**7,724,883,982**	**3,674,320,546**	**3,076,178,899**	**1,398,219,171**	**4,474,398,070**	**58**
County Assembly						
Recurrent	**689,414,409**	**473,430,183**	**449,480,818**	**72,967,465**	**522,448,283**	**76**
Compensation to Employees	419,033,364	297,525,670	297,525,670	-	297,525,670	71
Operations & Maintenance	270,381,045	175,904,513	151,955,148	72,967,465	224,922,613	83

Sector / Category	Budget (Kshs)	Exchequer Issues (Kshs)	Amount Paid in the First Nine Months of FY 2025/26 (Kshs.) (b)	Expenditure Accrued in the First Nine Months of FY 2025/26 (Kshs.) (c)	Total Expenditure in the First Nine Months of FY 2025/26 (Kshs.) (d=b+c)	Absorption (%) (d/a*100)
Development	**232,000,000**	**29,489,031**	**29,489,031**	**-**	29,489,031	**13**
Assembly Sub-total	**921,414,409**	**502,919,214**	**478,969,849**	**72,967,465**	**551,937,314**	**60**
Combined County Totals						
Total Recurrent	**5,365,307,614**	**3,588,752,438**	**3,146,918,878**	**556,425,341**	**3,703,344,219**	**69**
Compensation to Employees	3,401,083,954	2,609,954,441	2,308,094,400	257,344,459	2,565,438,859	75
Operations & Maintenance	1,964,223,660	978,797,997	838,824,478	299,080,882	1,137,905,360	58
Total Development	**3,280,990,777**	**588,487,322**	**408,229,870**	**914,761,295**	**1,322,991,165**	**40**
Grand Total	**8,646,298,391**	**4,177,239,760**	**3,555,148,748**	**1,471,186,636**	**5,026,335,384**	**58**

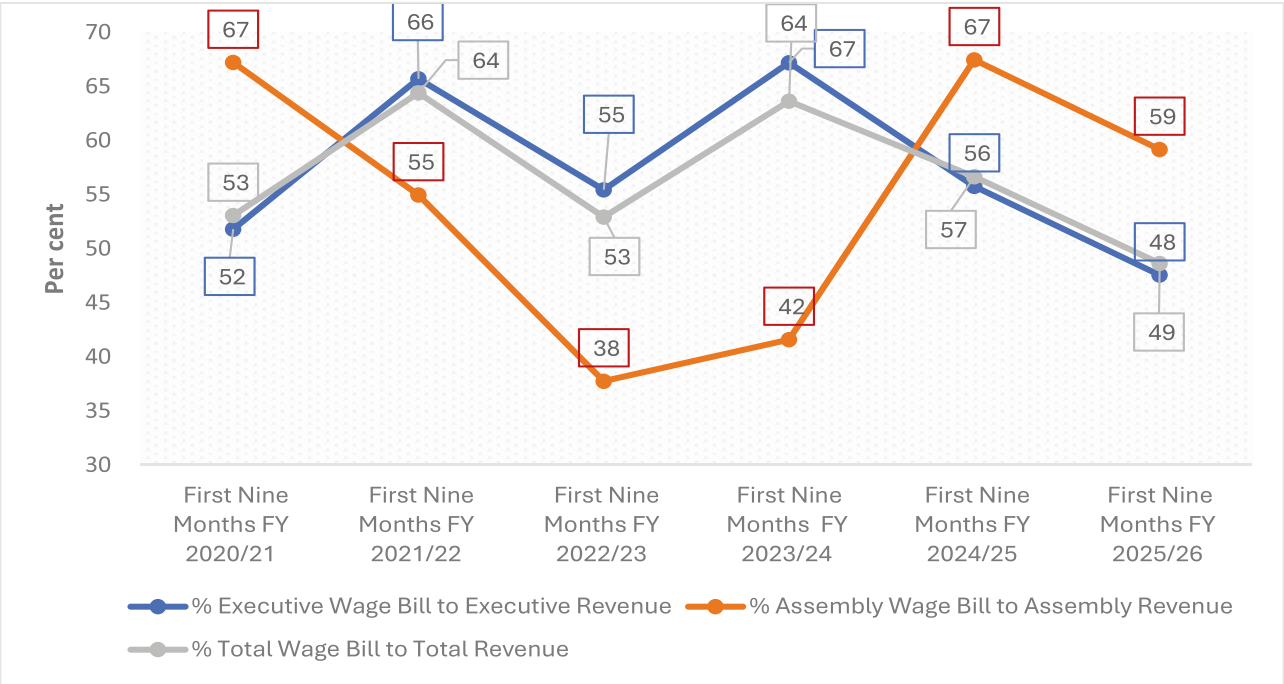
Source: *Nyamira County Treasury*

3.34.8 Expenditure on Employee Compensation

The expenditure on employee compensation totalled Kshs.2.567 billion, representing 49 per cent of revenue. This expenditure on employee compensation shows. an increase compared to the Kshs.2.26 billion reported in a similar period in FY 2024/25. Of this total, Kshs.1.17 billion related to Health Sector employees, accounting for 45 per cent of the overall employees' compensation. The increase in employee compensation can be attributed to the fact that we have reported accrued expenses which were never reported in a similar period in FY 2024/25

Figure 3.203 shows the trend in employee compensation as a percentage of total revenue from the first nine months of FY 2020/21 to the first nine months of FY 2025/26.

Figure 3.203: Percentage of Employee Compensation Expenditure to Total Revenue Received in the first nine months of FY 2020/21 to the first nine months of FY 2025/26



Source: *Nyamira County Treasury*

Further analysis indicated that PE costs totalling Kshs.2.57 billion were processed through the Human Resource Information System (HRIS). In contrast, Kshs.44.52 million was processed through manual payrolls, which accounted for 2 per cent of the total PE cost. The justification for the continued use of manual

payroll was that the employees of Nyamira Water and Sanitation Company had not been onboarded on the Human Resource Information System (HRIS)

The manual payroll comprised salaries for 44 staff not onboarded into the Human Resource Information System (HRIS), salaries for 25 casual staff, as shown in Table 3.501.

Table 3.501: Breakdown of Nyamira County Manual Payroll

Sno.	Description of Manual Payroll	Amount (Kshs.)
	Salaries for staff yet to be onboarded into HRIS	42,015,574
	Salaries for casual staff	2,500,008
	Total	**44,515,582.00**

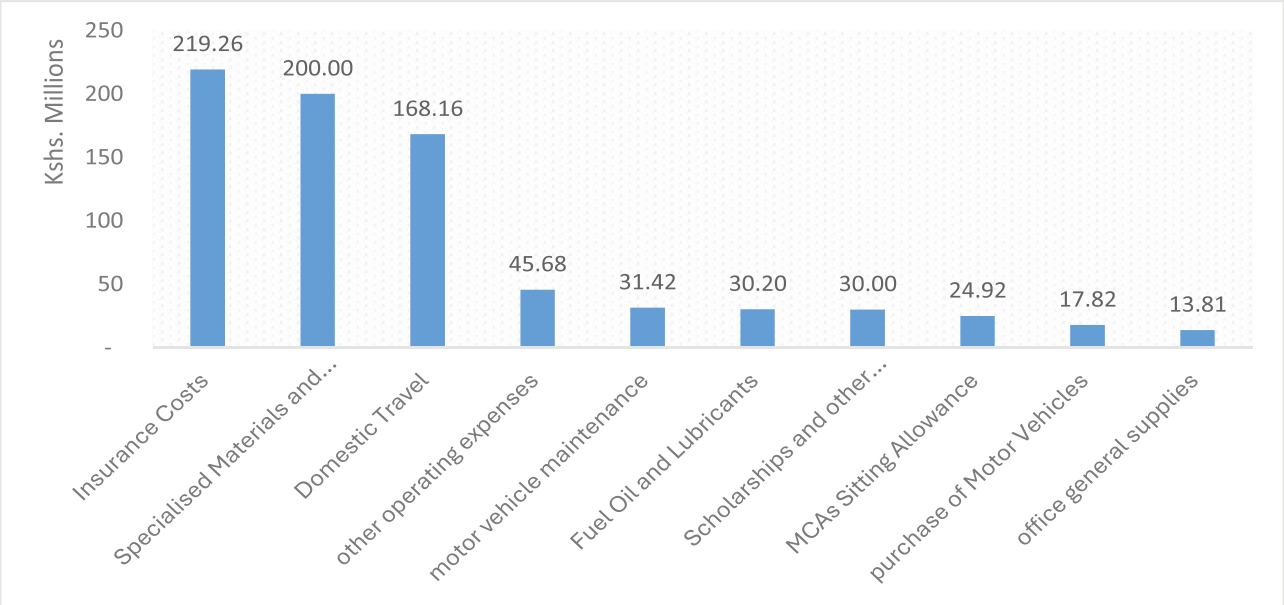
Source: *Nyamira County Treasury*

The County Assembly spent Kshs.24.92 million on committee sitting allowances for the 34 MCAs against the annual budget allocation of Kshs.41.18 million. The average monthly sitting allowance was Kshs.66,230 per MCA. The County Assembly has 20 House Committees.

3.34.9 Expenditure on Operations and Maintenance

During the reporting period, the County spent Kshs.1.14 billion on operations and maintenance, representing a 96 per cent increase compared to the same period in FY 2024/25, when the County spent Kshs.558.97 million. Figure 3.204 illustrates the distribution of Operations and Maintenance expenditures across the major spending categories.

Figure 3.204: Nyamira County, Operations and Maintenance Expenditure by Major Categories



Source: *Nyamira County Treasury*

3.34.10 Unbundling "Other Operating Expenses-other (IFMIS Code 2211399)" Under Operations and Maintenance Expenditures

The budget performance report for the first nine months of FY 2025/26 indicates that the County spent Kshs.46 million on "*other operating expenses other (IFMIS Code 2211399)*," which was 4 per cent of the total operations and maintenance expenditure of Kshs.1.09 billion. The disaggregated items under the "*Other Operating Expenses-other*" category are shown in Table 3.502.

Table 3.502: Breakdown of "Other Operating Expenses" under O&M Expenditures

Code	Item	Budget (Kshs)	Expenditure (Kshs.)
2211399	Trade payables	44,000,000	45,678,988
	Total	44,000,000	45,678,988

Source: *Nyamira County Treasury*

A review of the other expense items listed in the table revealed the following inconsistencies:

3.34.11 County-Established Funds

Section 116 of the PFM Act 2012 allows County Governments to establish other public funds, subject to approval from the County Executive Committee and the County Assembly. The County allocated Kshs.55 million to County-Established funds in FY 2025/26, representing less than one per cent of the County's overall budget. Of this amount, the County allocated Kshs.10 million to the Emergency Fund in line with Section 110 of the PFM Act, 2012, accounting for less than one per cent of the total budget. Table 3.503 summarises each established Fund's budget allocation and performance during the reporting period.

Table 3.503: Performance of Nyamira County Established Funds in the first nine months of FY 2025/26

S/No.	Name of the Fund	Date Published	Approved Budget Allocation in FY 2025/26 (Kshs.)	Exchequer Issues in the first nine months of FY 2025/26 (Kshs.)	Actual disbursements in the First Nine months of FY 2025/26 (Kshs.)	Cumulative disbursements to the Fund (Kshs.)	Submission of Financial Statements (Yes/No)
	County Executive Established Funds						
1.	Emergency Fund	March 2019	10,000,000	-	-	146,000,000	No
2.	Education Support Fund	May 2016	30,000,000	19,380,000	29,997,010	689,912,523	No
3.	Car Loan & Mortgage Fund	August 2015	15,000,000	-	-	152,500,000	No
	County Assembly Established Funds						
4.	Car and Mortgage Fund (Assembly)	September 2017	-	-	-	431,000,000	No
	Total		55,000,000	19,380,000	29,997,010	1,408,795,513	

Source: *Nyamira County Treasury*

During the reporting period, the CoB did not receive quarterly financial reports from all the Fund Administrators, as indicated in Table 3.503, contrary to the requirement of Section 168 of the PFM Act, 2012.

Regulation 197(1)(i) of the Public Finance Management (County Governments) Regulations, 2015, allows County Governments to establish public funds with a lifespan capped at 10 years unless extended by the County Assembly. In FY 2025/26, the CoB determined that the Car Loan and Mortgage Fund's lifespan had lapsed. Consequently, the CoB did not approve any withdrawal requests to support the operations of the lapsed funds. Further, the county should review the Education Support fund, which is almost lapsing, to avoid future inconveniences.

3.34.12 County Municipalities, Corporations and Agencies

The County has two county corporations, which were allocated Kshs.66. million in FY 2025/26. Their total expenditure for the review period amounted to Kshs.19.14 million as shown in Table 3.504.

Table 3.504: Performance of Nyamira County Corporations in the first nine months of FY 2025/26

S/No.	Name of the Corporation	Approved Budget Allocation in FY 2025/26 (Kshs.)	Exchequer Issues (Kshs.)	Actual Transfers in FY 2025/26 (Kshs.)	Cumulative Transfers to the Corporation since its inception (Kshs.)
1.	Nyamira Water and Sanitation Company	60,501,185	19,142,328	19,142,328	50,649,275

S/No.	Name of the Corporation	Approved Budget Allocation in FY 2025/26 (Kshs.)	Exchequer Issues (Kshs.)	Actual Transfers in FY 2025/26 (Kshs.)	Cumulative Transfers to the Corporation since its inception (Kshs.)
2.	Nyamira Investment Corporation	5,498,185	-	-	3,599,826
	Total	**5,999,370**	**19,142,328**	**19,142,328**	**54,249,101**

Source: *Nyamira County Treasury*

3.34.13 Expenditure on Domestic and Foreign Travel

Expenditure on domestic travel amounted to Kshs.168.16 million and comprised Kshs.92.29 million spent by the County Assembly and Kshs.75.87 million by the County Executive. Expenditure on foreign travel amounted to Kshs.6.89 million for the County Assembly. Expenditure on foreign travel is summarised in Table 3.505.

Table 3.505: Summary of Expenditure on Foreign Travel in the first nine months of FY 2025/26

Arm of County Government	Number of Officers Travelled	Date travelled	Purpose of the travel	Destination	Actual Payment on Travel (a) (Kshs.)	Accrued Expenditure on Travel (b) (Kshs.)	Total Expenditure on Travel (c=a+b) (Kshs.)
County Assembly	2	4th To 6th August 2025	National Conference of State Legislatures, Boston, Massachusetts	USA	1,521,960		1,521,960
County Assembly	4	28th November to 5th December 2025	African Local Authorities Exchange Mission	South Africa	1,192,872		1,192,872
County Assembly	19	18th December to 22nd December 2025	East African Local Government Forum Meeting	Rwanda	4,176,112		4,176,112
Total					6,890,944	0	6,890,944

Source: *Nyamira County Assembly*

3.34.14 Facility Improvement Financing (FIF)

During the review period, the County reported collections of Kshs.309.70 million as FIF, which was 48 per cent of the annual target of Kshs.650 million. The collected amount was retained and utilised at source in line with the Facility Improvement Financing Act, 2023. The County has developed regulations to operationalise the FIF Act of 2025.

The expenditure by the health facilities amounted to Kshs.264.39 million, as shown in Table 3.506.

Table 3.506: Nyamira County Health Facilities Expenditure Performance in the first nine months of FY 2025/26

No.	Health Facility	Number of Facilities	Approved Budget (Kshs.)	Actual Expenditure (Kshs.)	Absorption rate (%)
1.	Level 5 Hospital	1	300,000,000	128,142,245	43
2.	Level 4 Hospital	8	269,500,000	72,479,720	27
3.	Level 3 Facility	71	50,000,000	40,500,000	81
4.	Level 2 Facility	38	30,500,000	23,271,490	76
	Total	**118**	**650,000,000**	**264,393,455**	41

Source: *Nyamira County Treasury*

3.34.15 Development Expenditure

In the review period, the County reported spending Kshs.1.32 billion on development programmes, representing a 103 per cent increase over FY 2024/25, when the County spent Kshs.652.80 million. Table 3.507 summarises the development projects with the highest expenditure in the reporting period.

The increase in development expenditure was attributed to the reporting of accrued expenses, whereas in the previous period the report was prepared on a cash basis.

Table 3.507: Nyamira County, List of Development Projects with the Highest Expenditure

No	Sector	Project Name	Project Location	Contract sum (Kshs)	Total Funding in FY 2025/26 (Kshs.)	Expenditure (on an accrual basis) in the First Nine months of FY 2025/26 (Kshs.)	Percentage (%) of Completion
County Funded Projects							
1	Lands, Physical Planning, Housing and Urban Development	Consultancy services on the preparation of the Nyamira County Valuation rolls	County wide	44,000,000	-	17,400,000	4
2	Environment, Water, Energy & Natural Resources	construction of water tank & distribution of water from the Ribariri water project, Magwagwa ward	Magwagwa	4,979,053	-	4,979,053	100
3	Environment, Water, Energy & Natural Resources	Protection of water springs in Itibo Ward	Itibo	4,944,823	-	4,944,823	100
4	Environment, Water, Energy & Natural Resources	supply, delivery, installation & commissioning of solar-powered street lights within Nyamira municipality	Township	4,358,600	-	4,358,600	100
5	Medical Services	construction and completion of the outpatient block at Nyangoso Health Facility	Township	4,221,850	-	4,221,850	100
6	Transport & Public Works	Maintenance of Gekano Primary School, Junction St. Thomas, Gekano-St. Paul's Gekano High School, Signpost- Riogeto Junction. Road	Magombo	4,008,780	-	4,008,780	100
7	Education & Vocational Training	construction & completion of 2 NO. ECDE Classrooms, Furniture, and Pit Latrine at Kibiraa Primary School	Bomwagamo	3,999,500	-	3,999,500	100
8	Education & Vocational Training	construction & completion of 2 NO. ECDE Classrooms at Nyaronde Primary School	Nyansiongo	3,499,670	-	3,499,670	100
9	Environment, Water, Energy & Natural Resources	Rehabilitation of the Rirumi Nyageita water project in Bonyamatuta ward	Bonyamatuta	3,199,709	3,199,709	-	-
10	Education & Vocational Training	construction & completion of 2-door pit latrine and installation of 5000L water tank at Kiomoso Primary School	Gachuba	3,199,690	-	3,199,690	100
Donor Funded Projects							

No	Sector	Project Name	Project Location	Contract sum (Kshs)	Total Funding in FY 2025/26 (Kshs.)	Expenditure (on an accrual basis) in the First Nine months of FY 2025/26 (Kshs.)	Percentage (%) of Completion
1	Lands, Physical Planning, Housing and Urban Development S	Kenya informal settlement project-Keroka	Keroka Municipality	160,123,322	-	122,890,473	**77**
2	Environment, Water, Energy & Natural Resources	County Climate Institutional Support (CCIS)-World Bank	HQ	212,210,133	-	71,055,736	**33**
3	Public Service Management	Kenya Devolution Support Program II	HQ	372,500,000	-	20,000,000	**5**
4	Crop Development	National Agricultural Value Chain Development Project	COUNTY WIDE	302,168,919	-	40,000,000	**13**

Source: *Nyamira County Treasury*

The County reported two stalled development projects as of 31st March 2026, with an estimated value of Kshs.417.35 million, of which Kshs.259.99 has already been paid. The stalled projects are shown in Table 3.508.

Table 3.508: Nyamira County Stalled Projects as of 31st March 2026

No	Sector	Project Name	Project Location	Project Start Date	Expected Completion Date of the Project	Estimated Value of the Project (Kshs.)	Amount Paid on the stalled project (Kshs.)	Outstanding Unpaid Balance As of 31st March 2026	Percentage of Completion before stalling of the Project
1	County Executive	Nyamira County Headquarters	Nyamira Town	31-12-2018	31-12-2021	382,970,401	233,382,457	149,587944	61
2	County Assembly	County Assembly Speaker's Residence	Bonyamatuta Ward	6th February 2023	July 2024	34,377,805	26,615,748	7,762,057	77

Source: *Nyamira County Treasury*

The county headquarter stalled since the contractor vacated site due to non-payments of completed works while the County Assembly Speaker's residence has no budgetary allocation in FY 2025/26.

3.34.16 Budget Performance by Department

Table 3.509 summarises the approved budget allocation, expenditure, and absorption rate by department for the period under review.

Table 3.509: Nyamira County, Budget Allocation and Absorption Rate by Department in the first nine months of FY 2025/26

Department	Budget Allocation (Kshs.Millions)		Exchequer Issues (Kshs.Millions)		Expenditure (Kshs. Millions)		Expenditure to Exchequer Issues (%)		Absorption rate (%)	
	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev
County Assembly	689.41	232.00	523.95	29.49	522.45	29.49	100	100	76	13
County Executive	444.95		264.81		164.77	-	62	-	37	-
Finance and Accounting services	187.49	261.57	139.54	50.17	129.57	50.17	93	100	69	19
Crop Development	60.53	317.67	58.67	40.00	48.26	40.00	82	100	80	13
Environment, Water, Energy & Natural Resources	72.58	248.71	67.43	71.06	52.62	71.06	78	100	72	29

Department	Budget Allocation (Kshs.Millions)		Exchequer Issues (Kshs.Millions)		Expenditure (Kshs. Millions)		Expenditure to Exchequer Issues (%)		Absorption rate (%)	
	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev
Education & Vocational Training	470.27	108.90	331.19	-	296.09	-	89	-	63	-
Medical Services	926.62	419.30	586.30	140.29	507.93	-	87	-	55	-
Land, Physical Planning, Housing and Urban Development	92.43	291.02	54.83	-	54.83	122.89	100	-	59	42
Water, Sanitation, and Irrigation	44.23	88.70	41.83	74.63	33.13	-	79	-	75	-
Transport & Public WorkS	107.96	435.72	97.30	133.37	89.85	74.63	92	56	83	17
Trade, Tourism and Co-operatives Development	45.35	256.20	33.49	-	29.84	-	89	-	66	-
Youth, Gender, Culture and Social Services	79.79	26.80	50.78	20.00	50.78	-	100	-	64	-
CPSB	57.30	-	20.45	-	10.45	-	51	-	18	-
Public Service Management	508.09	372.50	282.42	-	257.14	20.00	91	-	51	5
Nyamira Municipality	86.78	94.30	43.27	-	41.87	-	97	-	48	-
County Attorney	24.45	-	6.71	-	1.71	-	26	-	7	-
Economic Planning, Resources Mobilisation, and ICT	178.55	20.00	106.50	-	80.77	-	76	-	45	-
Livestock and Fisheries Services	102.92	16.50	46.31	-	36.31	-	78	-	35	-
Primary Healthcare	1,102.07	41.10	831.94	-	783.73	-	94	-	71	-
Keroka municipality	28.56	20.00	10.09	-	7.34	-	73	-	26	-
Nyamira revenue board	14.00	-	1.30	-	1.30	-	100	-	9	-
Nyamira disability board	5.00	-	-	-	-	-	-	-	-	-
Nyamira Investment Company	5.50	-	-	-	-	-	-	-	-	-
Nyamira Water and Sanitation Company	30.50	30.00	19.14	-	19.14	-	100	-	63	-
Total	**5,365**	**3,281**	**3,618.24**	**559.00**	**3,219.89**	**408.23**	**89**	**73**	**60**	**12**

***Source**: Nyamira County Treasury*

Analysis of expenditure by departments shows that the Department of Land, Physical Planning, Housing and Urban Development recorded the highest absorption rate of development budget at 42 per cent, followed by the Department of Environment, Water, Energy & Natural Resources at 29 per cent. The Department of Transport & Public Works had the highest percentage of recurrent expenditure to budget at 83 per cent, while the Department of County Executive had the lowest at 37 per cent.

3.34.17 Budget Execution by Programmes and Sub-Programmes

Budget execution was concentrated in selected performance bands. The county reported its programmes and sub-programmes with combined development and recurrent columns. In the 1–10 per cent band, development absorption was reported for community development and special funding under the Department of Public Service Management at 5 per cent and for other energy sources promotion under the Department of Environment, Water, Energy and Natural Resources at 8 per cent.

In the 21–30 per cent band, development absorption was reported for cooperative promotion under the Department of Trade, Tourism, Industrialisation and Cooperatives Development at 25 per cent and for infrastructural development and fire safety under Nyamira Municipality at 29 per cent. In the 31–40 per cent band, development absorption was reported for physical planning under the Department of Lands, Housing and Urban Development at 42 per cent.

On the recurrent side, absorption was reported in the 11–20 per cent band for cultural promotion of heritage under the Department of Youths, Sports, Gender, Culture and Social Services at 15 per cent, for trade promotion at 17 per cent, and for information and communication services under the Department of Edu-

cation and ICT at 18 per cent. In the 31–40 per cent band, recurrent absorption was reported for pollution and waste management at 30 per cent, for physical planning and surveying services at 34 per cent, for general administration and support services under the County Public Service Board at 37 per cent, for community development and special funding at 40 per cent, and for general administration support services under the County Executive Office at 41 per cent.

In the 61–70 per cent band, development absorption was reported for trade promotion under the Department of Trade, Tourism, Industrialisation and Cooperatives Development at 61 per cent. In the 71–80 per cent band, development absorption was reported for livestock products value addition and marketing under the Department of Livestock and Fisheries at 79 per cent, for major towns water services under the Department of Water, Sanitation and Irrigation at 77 per cent, and for accounting and financial services under the Department of Finance and Economic Planning at 75 per cent.

In the 81–90 per cent band, recurrent absorption was reported for administration support services under the Department of Medical Services at 84 per cent, for general administration support services under the Department of Finance and Economic Planning at 88 per cent, for general administration support services under the Department of Environment, Water, Energy and Natural Resources at 81 per cent, and for general administration under the Department of Education and ICT at 72 per cent. In the 90–100 per cent band, recurrent absorption reached 97 per cent for facility infrastructural services under the Department of Medical Services and 96 per cent for livestock products value addition and marketing and for general administration and support services under the Department of Public Service Management.

Low absorption in the lower performance bands reflected slow implementation across community development, energy, cooperative, municipality and culture sub-programmes, while performance in the higher bands reflected the prioritisation of the respective sub-programmes during the review period.

Table 3.510 summarises budget execution by programmes and sub-programmes in the period under review with the highest absorption rates.

Table 3.510: Budget Execution by Programmes and Sub-Programmes with Highest Absorption Rates

Programme	Sub-Programme	Revised Approved Estimates (Kshs.)		Actual Expenditure (Kshs.)		Absorption Rate (%)	
		Rec	Dev	Rec	Dev	Rec	Dev
Department of Medical Services							
Health products &Technologies	Facility infrastructural services	210,000,000	-	203,156,700	-	97	-
General Administration, Planning & Support Services, Policy planning	Administration support services	471,923,037	-	395,693,896	-	84	-
	Sub-Total	**681,923,037**	**-**	**598,850,596**	**-**	**88**	**-**
Department of Livestock and Fisheries							
Livestock development and promotion	Livestock products value addition and marketing	10,340,000	2,500,000	9,935,540	1,965,796	96	79
	Sub-Total	**10,340,000**	**2,500,000**	**9,935,540**	**1,965,796**	**96**	**79**
Department of Public Service Management							
General Administration and support services	General administration and support services	258,085,294	-	248,676,110	-	96	-
	Sub-Total	**258,085,294**	**-**	**248,676,110**	**-**	**96**	**-**
Department of Finance and Economic Planning							
	Accounting and financial services	-	261,573,174	-	196,550,999	-	75
General Administration and support services	General administration support services	72,229,057	-	63,917,092	-	88	-
	Sub-Total	**72,229,057**	**261,573,174**	**63,917,092**	**196,550,999**	**88**	**75**

Programme	Sub-Programme	Revised Approved Estimates (Kshs.)		Actual Expenditure (Kshs.)		Absorption Rate (%)	
		Rec	Dev	Rec	Dev	Rec	Dev
Department of Water, Sanitation and Irrigation							
Water Resources Management	Major towns water services	17,500,000	88,700,000	15,200,000	68,600,000	87	77
	Sub-Total	**17,500,000**	**88,700,000**	**15,200,000**	**68,600,000**	**87**	**77**
Department of Environment, Water, Energy & Natural Resources							
General Administration, Planning and Support Services	General administration and support services	46,584,289	-	37,779,640	-	81	-
Energy & Mineral Services	Other energy sources promotion	16,000,000	34,500,000	12,779,640	2,614,500	80	8
	Sub-Total	**46,584,289**	**-**	**37,779,640**	**-**	**81**	**-**
Department of Education and ICT							
General Administration Planning and Support Services	General administration	408,119,259	-	293,118,942	-	72	-
	Sub-Total	**408,119,259**	**-**	**293,118,942**	**-**	**72**	**-**
Department of Lands, Physical Planning, Housing and Urban Development							
General administration and support services	General administration and support services	72,228,464	-	54,174,339	-	75	-

***Source**: Nyamira County Treasury*

The development sub-programmes with the highest budget implementation rates were: Livestock products value addition and marketing in the Department of Livestock and Fisheries at 79 per cent, Major towns water services in the Department of Water, Sanitation and Irrigation at 77 per cent, and Accounting and financial services in the Department of Finance and Economic Planning at 75 per cent.

For recurrent sub-programmes, the top performers included: Facility infrastructural services in the Department of Medical Services at 97 per cent, Livestock products value addition and marketing in the Department of Livestock and Fisheries at 96 per cent, and General administration and support services in the Department of Public Service Management at 96 per cent.

Table 3.511 summarises the budget execution by programmes and sub-programmes in the period under review that had the lowest absorption rates.

Table 3.511: Budget Execution by Programmes and Sub-Programmes with Lowest Absorption Rates

Programme	Sub-Programme	Revised Approved Estimates (Kshs.)		Actual Expenditure (Kshs.)		Absorption Rate (%)	
		Rec	Dev	Rec	Dev	Rec	Dev
Nyamira Municipality							
Infrastructural development and fire safety	Infrastructural development and fire safety	35,500,000	94,295,838	-	27,500,000	-	29
	Sub-Total	**35,500,000**	**94,295,838**	**-**	**27,500,000**	**-**	**29**
Department of Public Service Management							
community development and special funding	community development and special funding	37,500,000	372,500,000	15,041,115	20,000,000	40	5
	Sub-Total	**37,500,000**	**372,500,000**	**15,041,115**	**20,000,000**	**40**	**5**
-County Public Service Board							
General administration and support services	General administration and support services	53,918,258	-	20,454,543	-	37	-
	Sub-Total	**53,918,258**	**-**	**20,454,543**	**-**	**38**	**-**

Programme	Sub-Programme	Revised Approved Estimates (Kshs.)		Actual Expenditure (Kshs.)		Absorption Rate (%)	
		Rec	Dev	Rec	Dev	Rec	Dev
Department of Youths, Sports, Gender, Culture and Social Services							
Promotion & Management of Sports	Cultural promotion of heritage	6,500,000	-	983,635	-	15.	-
	Sub-Total	**6,500,000**	**-**	**983,635**	**-**	**15**	**-**
Department of Trade, Tourism, Industrialisation, and Cooperatives Development							
Trade, Cooperative & Investment	Cooperative promotion	2,500,000	10,000,000	1,609,580	2,500,000	64	25
	Trade promotion	4,000,000	246,200,000	699,884	151,372,980	17	61
	Sub-Total	**6,500,000**	**256,200,000**	**2,309,464**	**153,872,980**	**36**	**60**
Department of Lands, Housing and Urban Development							
Physical Planning and Surveying Services	Physical Planning	14,800,000	41,600,000	5,007,100	17,400,000	34	42
	Sub-Total	**14,800,000**	**41,600,000**	**5,007,100**	**17,400,000**	**34**	**42**
Department of Education and ICT							
Information, Communication, and Technology	Information and communication services	4,800,000	-	875,700	-	18	-
	Sub-Total	**4,800,000**	**-**	**875,700**	**-**	**18**	**-**
Department of Environment, Energy, Natural Resources and Mining							
Environmental Protection	Pollution and waste management	10,000,000	2,000,000	3,014,923	-	30	-
	Sub-Total	**10,000,000**	**2,000,000**	**3,014,923**	**-**	**30**	**-**
County Executive Office							
General administration support services	General administration support services	197,138,843	-	80,189,439	-	41	-
	Sub-Total	**197,138,843**	**-**	**80,189,439**	**-**	**41**	**-**

***Source**: Nyamira County Treasury*

The development sub-programmes with the lowest budget implementation rates were as follows: community development and special funding in the Department of Public Service Management at 5 per cent, Cooperative promotion in the Department of Trade, Tourism, Industrialization and Cooperatives Development at 25 per cent, and Infrastructural development and fire safety in Nyamira Municipality at 29 per cent.

For recurrent sub-programmes, the poorest performers included: Cultural promotion heritage in the Department of Youths, Sports, Gender, Culture and Social Services at 15 per cent, Trade promotion in the Department of Trade, Tourism, Industrialisation and Cooperatives Development at 17 per cent, and Information and communication services in the Department of Education and ICT at 18 per cent

3.34.18 Settlement of Trade Payables

As of 1st July 2025, the County reported trade payables totalling Kshs.711.42 million. This amount consisted of Kshs.689.42 million from the County Executive and Kshs.22 million from the County Assembly. The trade payables from the County Executive comprised Kshs.350.01 million for recurrent expenditure and Kshs.339.41 million for development expenditure.

During the reporting period, the County Executive settled trade payables amounting to Kshs.50.17 million (100 per cent) for development programmes. On the other hand, the County Assembly settled trade payables amounting to Kshs.10.07 million (100 per cent) for development activities. The outstanding trade payables as of 31st March 2026 were Kshs.709.11 million for the County Executive and Kshs.13.77 million for County Assembly. Table 3.512 provides additional details of trade payables.

Table 3.512: Nyamira County Trade Payables as of 31st March 2026

	County Entity	Development	Recurrent	Total
As at 1 July 2025 (End of FY 2024/25)	County Executive	339,408,444	350,009,822	689,418,267
	County Assembly	22,000,000	-	22,000,000
	Total	361,408,444	350,009,822	711,418,267
Amount paid in FY 2025/26	County Executive	50,168,069	-	50,168,069
	County Assembly	10,071,130	-	10,071,130
	Total	60,239,199	-	60,239,199
Trade Payables Incurred in FY 2025/26	County Executive	33,678,230	36,181,401	69,859,631
	County Assembly	-	3,700,000	3,700,000
	Total	33,678,230	39,881,401	73,559,631
Outstanding Trade Payables as of 31 March 2026 (Kshs.)	County Executive	322,918,605	386,191,223	709,109,829
	County Assembly	10,071,130	3,700,000	13,771,130
	Total	**332,989,735**	**389,891,223**	**722,880,959**

Source: *Nyamira County Treasury*

The County Executive and the Assembly submitted a trade payables payment plan, committing to pay Kshs.361.41 million and Kshs.350.01 million on recurrent and development expenditure, respectively, in FY 2025/26. The County did not adhere to this payment plan, as it cleared Kshs.50.17 million for the Executive and Kshs.10.07 million for the Assembly.

Table 3.513 and Table 3.514 present the ageing of the total outstanding bills as of 31st March 2026 for the County Executive and Assembly, which were Kshs.694.11 million.

Table 3.513: Nyamira County Executive Trade Payables Ageing Analysis as of 31st March 2026

Category	Ageing analysis (Amount in Kshs.)				Total
	Under one year	1-2 years	2-3 years	Over 3 years	
County Executive					
Development Trade Payables	36,181,401	79,436,354	105,032,953	104,771,068	325421776
Recurrent Trade Payables (Goods & Services)	33,678,230	106,915,231	158,256,924	61,777,743	360,628,128
Recurrent Trade Payables (Salary Arrears and Statutory Deductions)	-	36,831,054	-	-	36,831,054
Recurrent Trade Payables (Staff Claims)	-	-	-	-	-
Total Recurrent Trade Payables	33,678,230	143,746,286	158,256,924	61,777,743	397,459,182
Total Trade Payables	**69,859,631**	**223,182,640**	**263,289,877**	**166,548,811**	**722,880,959**
% of Total	**10**	**31**	**36**	**23**	**100**

Source: *Nyamira County Treasury*

Table 3.514: Nyamira County Assembly Trade Payables Ageing Analysis as of 31st March 2026

Category	Ageing analysis (Amount in Kshs.)				Total
	Under one year	1-2 years	2-3 years	Over 3 years	
Development Trade Payables	-	10,071,130	-	-	10,071,130
Recurrent Trade Payables (Staff Claims)	3,700,000	-	-	-	3,700,000
Total Trade Payables	**3,700,000**	**10,071,130**	**-**	**-**	**13,771,130**
% of Total	**27**	**73**	**-**	**-**	**100**

Source: *Nyamira County Assembly*

As shown in Table 3.513 and Table 3.514, there were no salary arrears or statutory deductions for trade payables.

Additionally, the two tables indicate that 63 per cent of total trade payables are aged between two and three years, a trend attributed to a lack of commitment to settle them. To address this situation, the county should prepare a trade payables payment plan and adhere to the plan.

We recommend that the county prioritise payment of trade payables on a first-in, first-out (FIFO) basis.

3.34.19 General Observations and Recommendations

In the course of overseeing and reporting on the implementation of the Nyamira County budget, the CoB identified the following challenges, which hampered effective budget implementation;

i. The County Treasury's late submission of financial reports to the Controller of Budget affected the timely preparation of the budget implementation report, which was received on 29th April 2026
ii. The underperformance of own-source revenue at Kshs.868.71 million against an annual target of Kshs.411.28 million, representing 47 per cent of the financial year target.
iii. Low development performance in the review period as the County incurred Kshs.408.23 million on development activities, achieving a 12 per cent absorption rate.
iv. Regulation 197(1)(i) of the Public Finance Management (County Governments) Regulations, 2015, limits the lifespan of public funds to 10 years unless extended by the County Assembly. As of 31st March 2026, the Education Support Fund and the Car Loan & Mortgage Fund had lapsed, making them ineligible for further withdrawals.
v. Fund Administrators failed to submit quarterly financial and non-financial reports to the CoB within the timelines provided by law, which is against the requirement of Section 168 of the PFM Act, 2012. The reports for all the Funds were not submitted to the CoB as of 15 April 2026.
vi. High level of trade payables, which amounted to Kshs.694.11 million as of 31st March 2026. Furthermore, the County Treasury did not adhere to the trade payables payment plan.
vii. Non-submission of copies of authorisation letters for opening commercial bank accounts as per Regulation 82(5) of the Public Finance Management (County Governments) Regulations, 2015.
viii. The actual expenditure on FIF of Kshs.264.39 million is lower than the reported FIF receipts of Kshs.309 million.

The County should implement the following recommendations to improve budget execution:

i. *The County Treasury should ensure the timely preparation and submission of financial reports to the Controller of Budget per the timelines prescribed in Section 166 of the PFM Act, 2012.*
ii. *The County should address its own-source revenue performance to ensure the approved budget is fully financed. Appropriate austerity measures should be implemented to ensure expenditure commitments are aligned with available revenue.*
iii. *The County should implement strategies to increase development expenditures in FY 2025/26.*
iv. *The County should ensure timely review and extension of public funds whose lifespans are nearing expiration or have lapsed to prevent operational disruptions. Additionally, any expenditure from lapsed funds should cease immediately, and legal mechanisms should be followed to re-establish or wind up such funds in compliance with the Public Finance Management Act.*
v. *The CECMF should follow up to ensure Fund Administrators prepare and submit statutory reports in line with the PFM Act, 2012.*
vi. *The County Leadership should address the situation of trade payables to ensure that genuine bills are paid promptly in the remaining financial year. Further, compliance with the Trade Payables Action Plan should be enforced.*
vii. *The County Treasury should ensure it submits copies of authorisation letters to the CoB for opening commercial bank accounts to enhance accountability and oversight.*
viii. *The County should ensure that all FIF expenditures are recorded and aligned to FIF receipts.*

3.35. County Government of Nyandarua

3.35.1 Overview of FY 2025/26 Budget

The Nyandarua County Approved Budget for FY 2025/26 is Kshs.9.43 billion. It comprises Kshs.3.59 billion (38 per cent) and Kshs.5.83 billion (62 per cent) allocation for development and recurrent programmes, respectively. The budget estimates represent an increase of Kshs.646.71 million (7 per cent) from the FY 2024/25 budget, which comprised a development budget of Kshs.3.17 billion and a recurrent budget of Kshs.5.61 billion. The increase in the budget was primarily attributed to increases in the equitable share and conditional allocations.

The budget is to be financed from various revenue sources. These include; the equitable share of revenue raised nationally of Kshs.6.66 billion (70 per cent), additional allocations of Kshs.1.79 million (19 per cent), a cash balance of Kshs.78.99 million (1 per cent) brought forward from FY 2024/25, and Kshs.975 million (10 per cent) generated as own-source revenue. A breakdown of the additional allocations is shown in Table 3.515.

3.35.2 Revenue Performance

During the first nine months of FY 2025/26, the County reported total revenues amounting to Kshs.6.31 billion. This amount represented an increase of 27 per cent compared to the amount received in a similar period in FY 2024/25 of Kshs.4.96 billion. The total revenue consisted of Kshs.5.04 billion from the equitable share of revenue raised nationally, additional allocations from the national government and development partners of Kshs.631.11 million, and own-source revenue (OSR) collection of Kshs.553.13 million. Additionally, the County had a cash balance of Kshs.78.99 million from FY 2024/25. The total OSR collection of Kshs.553.13 million included Facilities Improvement Financing (FIF) of Kshs.386.47 million, and Kshs.166.66 million from other OSR sources.

Table 3.515 summarises the total revenue available to the County Government during FY 2025/26.

Table 3.515: Nyandarua County, Revenue Performance in the first nine months of FY 2025/26

No	Revenue Stream	Annual Targeted Revenue (Kshs.)	Actual Receipts (Kshs.)	Receivables in the First Nine Months of FY 2025/26 (Kshs.)	Total Revenues (in accrual basis) in the First Nine Months of FY 2025/26 (Kshs.)	Revenue Performance
		A	B	C	D	E=D/A*100
A	**Unspent Balance from FY 2024/25**					
1	Balance at CRF	-	78,705,851	-	78,705,851	-
2	County Executive Refunds to CRF	-	244,086	-	244,086	-
3	County Assembly Refunds to CRF	-	43,959.15	-	43,959	-
	Sub-Total	**-**	**78,993,897**	**-**	**78,993,897**	**-**
B	**Equitable Share of Revenue Raised Nationally**					
1	Equitable Share	6662675631	4512101695	533,014,050	5,045,115,745	76
	Sub-Total	**6,662,675,631**	**4,512,101,695**	**533,014,050**	**5,045,115,745**	**76**
C	**Additional Allocations (Including Grants)**					
1	Supplement for Construction of County Headquarters	121,000,000	-	-	-	-
2	Fertilizer Subsidy Programme	121,620,000	-	-	-	-
3	Development of County Aggregation and Industrial Park (CAIP) Grant	-	250,000,000	-	250,000,000	-
4	Livestock Value Chains Support Project	135,210,000	-	-	-	-

No	Revenue Stream	Annual Targeted Revenue (Kshs.)	Actual Receipts (Kshs.)	Receivables in the First Nine Months of FY 2025/26 (Kshs.)	Total Revenues (in accrual basis) in the First Nine Months of FY 2025/26 (Kshs.)	Revenue Performance
		A	B	C	D	E=D/A*100
5	Kenya Urban Support Programme (KUSP)	-	39,120,562	-	39,120,562	-
6	Road Maintenance Levy Fund	222,822,888	-	-	-	-
7	Road Maintenance Levy Fund FY 2024-25	222,822,888	78,019,732	-	78,019,732	35
8	Community Health Promoters Project	41,200,000	-	-	-	**35**
9	IDA (World Bank) - National Agriculture Value Chain Development Project (NAVCDP)	151,520,000	145,230,902	-	145,230,902	96
10	Sweden- Kenya Agricultural Business Development Project (KABDP)	10,920,000	-	-	-	**96**
11	DANIDA - Primary Health Care in Devolved Context	10,972,500	-	-	-	-
12	World Bank- Financing Locally Led Climate Action Program (FLLOCA)- County Climate Resilience Investment Grant Bal b/f FY 2024-25	136,000,000	-	-	-	-
13	World Bank- Financing Locally Led Climate Action Program (FLLOCA)- County Climate Resilience Investment Grant	104,000,000	83,482,556	-	83,482,556	80
14	Kenya Devolution Support Programme Level 1- FY 2021-22	83,211,329	-	-	-	**80**
15	Kenya Development Support Program Phase 2- Level 2- Institution grant	37,500,000	35,253,471	-	35,253,471	94
16	Kenya Development Support Program Phase 2- Level 2- Institution grant B/f FY 2024-25	37,500,000	-	-	-	**94**
	Sub-Total	**1,436,299,605**	**631,107,223**	**-**	**631,107,223**	**44**
D	**Ordinary Own Source Revenue (OSR)**					
1	Ordinary Own Source Revenue (OSR)	675,000,000	166,659,057	-	166,659,057	**100**
	Sub-Total	**675,000,000**	**166,659,057**	**-**	**166,659,057**	25
E	**Facility Improvement Financing (FIF)**					
1	SHIF	300,000,000	386,471,330	-	386,471,330	129
	Sub-Total	**300,000,000**	**386,471,330**	**-**	**386,471,330**	**129**
	Grand Total	**9,073,975,236**	**5,775,333,202**	**533,014,050**	**6,308,347,252**	**69**

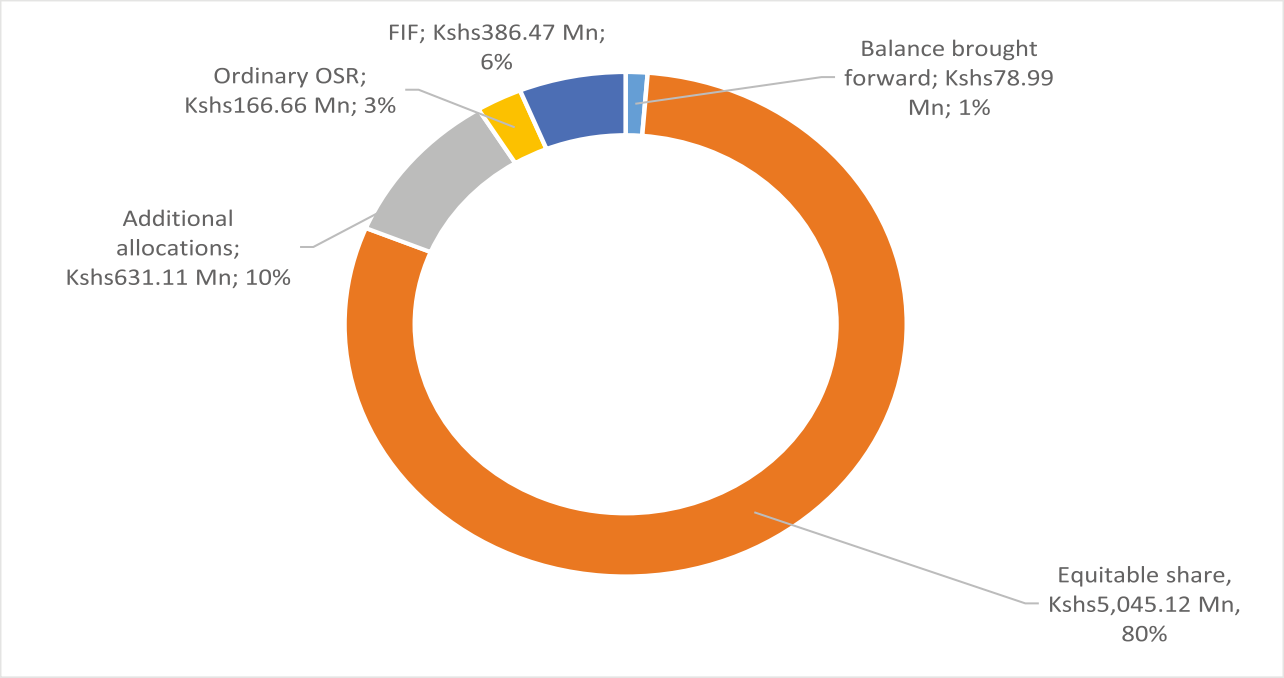
Source: *Nyandarua County Treasury*

The ordinary OSR of Kshs.166.66 million collected during the first nine months of the year represented 25 per cent of the annual target of Kshs.675 million. The FIF collections on the other hand for the same period amounted to Kshs.386.47 million representing 129 per cent of the annual target of Kshs.300 million, therefore taking a larger portion of the total OSR. The overperformance of FIF of 129 per cent was due to the accrual basis of accounting for the SHA reimbursements during the period under review.

The County Government has developed the Nyandarua County Facility Financing bill of 2025 to operationalise the National Facilities Improvement Financing Act, 2023. However, the Nyandarua FIF Regulations are still at the County Assembly pending approval and enactment.

Figure 3.205 provides a detailed breakdown of receipts.

Figure 3.205: Nyandarua County Composition of Revenue in the first nine months of FY 2025/26

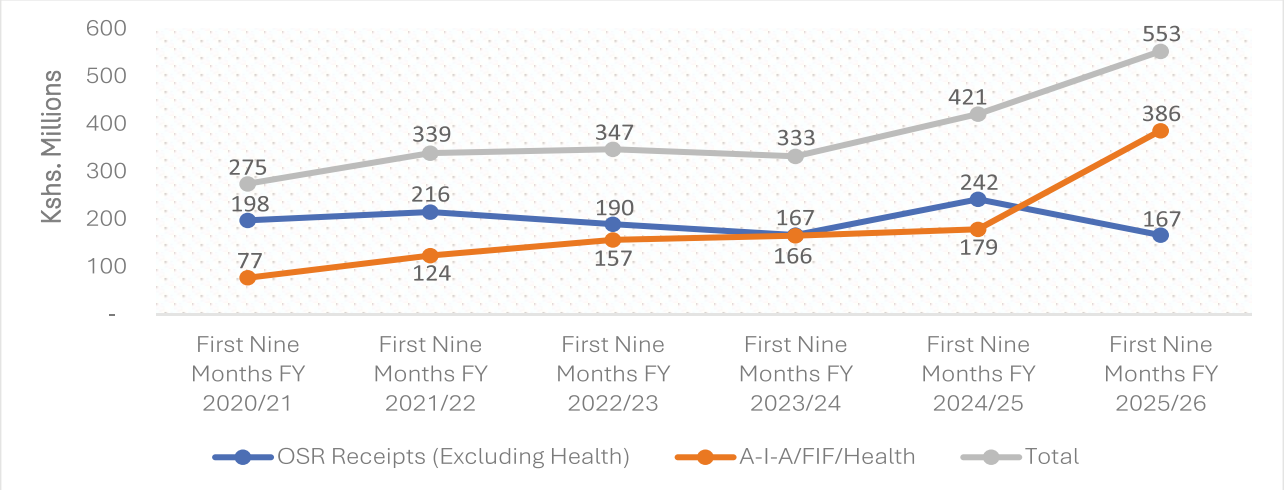


Source: *Nyandarua County Treasury*

The equitable share of revenue raised nationally, additional allocations and FIF contributed 80 per cent, 10 per cent and 6 per cent, respectively, of the total receipts for the reporting period.

Figure 3.206 shows the collection trend in own-source revenue from the first nine months of FY 2020/21 to the first nine months of FY 2025/26.

Figure 3.206: Nyandarua County Trend in Own-Source Revenue Collection from the first nine months of FY 2020/21 to the first nine months of FY 2025/26



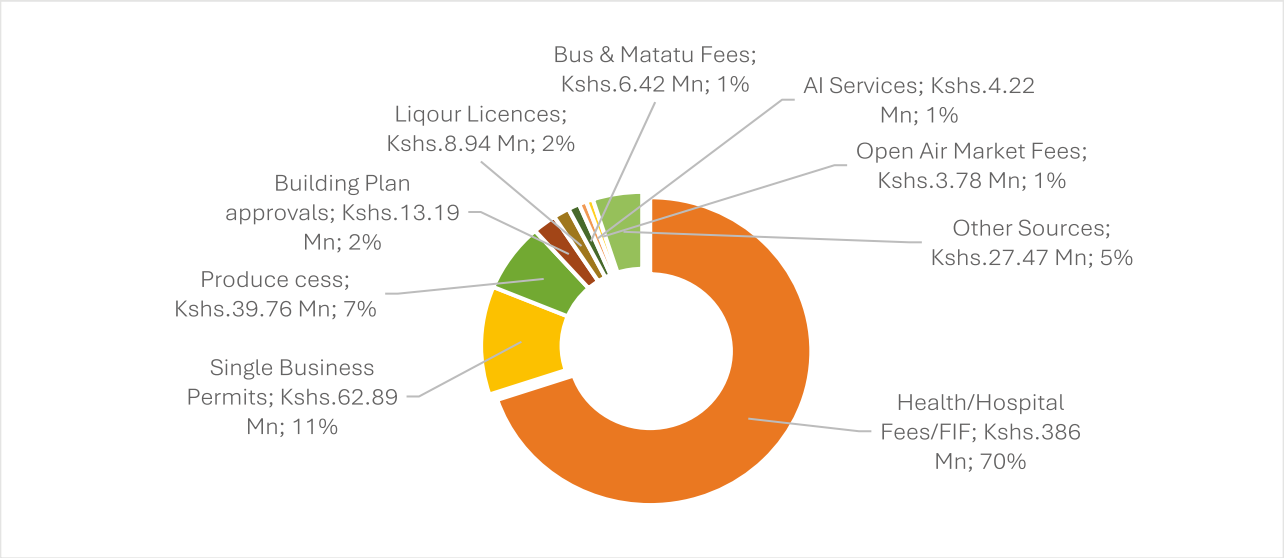
Source: *Nyandarua County Treasury*

During the first nine months of FY 2025/26, the County received Kshs.553.13 million from OSR, including FIF. This amount was an increase of 31 per cent compared to Kshs.420.87 million realised in a similar period in FY 2024/25, and was 57 per cent of the annual target and 12 per cent of the equitable revenue share disbursed.

The increase in OSR is attributed to the increased collection from the optimal use of health facilities and an increase in of SHA claims.

The revenue streams that contributed the most to OSR receipts are shown in Figure 3.207.

Figure 3.207: Nyandarua County Top Own Source Revenue Streams in the first nine months of FY 2025/26



Source: *Nyandarua County Treasury*

As shown in Figure 3.207, the largest revenue stream, at Kshs.386 million, was FIF/hospital collections accounting for 70 per cent of total OSR receipts. The County Government indicated that it has automated 75 revenue streams but it has reported experiencing longer downturns with the current system. The system utilised for FIF revenue collection is Taifa Care, which has been in use since September 2025.

3.35.3 Revenue Receivables

As of 1st July 2025, the County reported revenue receivables of Kshs.565.98 million, this amount increased to Kshs.1.23 billion as of 31st March 2026. The County did not report on having an established and clear system of tracking its revenue receivable. Table 3.516 presents a breakdown of the County's revenue receivables.

Table 3.516: Nyandarua County Receivables as of 31st March 2026

No	Revenue Stream	Revenue Receivables as of 1 July 2025 (Kshs.)	Progress made in First Nine Months of FY 2025/26			OSR Receivables as of 31st March 2026 (Kshs.)
			Waivers (Kshs)	Receivables paid in the financial year (Kshs)	Receivables earned in First Nine Months of FY 2025/26 (Kshs)	
		a	b	c	d	e=a-b-c+d
A	**Equitable Share of Revenue Raised Nationally**					
1	Equitable Share for March 2026	-	-	-	533,014,050	533,014,050
	Sub-Total	**-**	**-**	**-**	**533,014,050**	**533,014,050**
B	**Additional Allocations**					
1	Road Maintenance levy fund	222,822,888	-	78,019,732	-	144,803,156
	KDSP Level 1 FY 2021-22	104,000,000	-	-	-	104,000,000
2	Kenya Development Support Programme Phase II-Level II	37,500,000	-	-	-	37,500,000
	Sub-Total	**364,322,888**	**-**	**78,019,732**	**-**	**286,303,156**

No	Revenue Stream	Revenue Receivables as of 1 July 2025 (Kshs.)	Progress made in First Nine Months of FY 2025/26			OSR Receivables as of 31st March 2026 (Kshs.)
			Waivers (Kshs)	Receivables paid in the financial year (Kshs)	Receivables earned in First Nine Months of FY 2025/26 (Kshs)	
C	**Ordinary Own Sources of Revenue**					
1	Plot rate	177,408,893	-	437970	-	176,970,923
2	Land rate	31,081,414	-	1,935,534	-	29,145,880
3	Kiosk / Ground rent	4,795,411	-	136580	-	4,658,831
4	House rent	6,970,691	-	231,860	-	6,738,831
5	Market Stall rent	7,892,540	-	686,150	-	7,206,390
	Sub-Total	**228,148,949**	**-**	**3,428,094**	**-**	**224,720,855**
D	**Facility Improvement Fund (FIF)**					
1	SHIF	295,167,215	-	112,094,976	-	183,072,239
	Sub-Total	**295,167,215**	**-**	**112,094,976**	**-**	**183,072,239**
	Grand Total	**887,639,052**	**-**	**193,5542,802**	**533,014,050**	**1,227,110,300**

Source: Nyandarua *County Treasury*

As of 31st March 2026, the revenue receivables totalled to Kshs.1.23 billion, comprising of Kshs.533.01 million for equitable share, Kshs.286.3 million for additional allocations Kshs.224.72 million for ordinary own source revenue and Kshs.183.07 million for Facility Improvement Fund. The County Treasury did not report on outlined any measures to track and collect the outstanding receivables in FY 2025/26.

3.35.4 Borrowing by the County

The County Treasury has an MoU with Tower Sacco for the payment of salaries whenever there was a delay in the disbursement of the equitable share

3.35.5 Withdrawals from the County Revenue Fund and County Assembly Fund

During the reporting period, the Controller of Budget approved exchequer withdrawal requests totalling Kshs.4.20 billion from the Nyandarua County Revenue Fund (CRF) account. This amount consisted of Kshs.813.61 million (19 per cent) designated for development programs and Kshs.3.39 billion (81 per cent) allocated for recurrent programs.

An analysis of the released recurrent exchequers shows that Kshs.2.17 billion was allocated to employee compensation and Kshs.1.22 billion to operations and maintenance expenditures. Within the operations and maintenance category, 19 per cent was for domestic travel and 2 per cent for foreign travel. The domestic travel exchequers totalled Kshs.236.97 million, which included Kshs.136.28 million for the County Executive and Kshs.100.69 million for the County Assembly. Meanwhile, the foreign travel exchequers amounted to Kshs.19.96 million, with Kshs.2.04 million for the County Executive and Kshs.17.92 million for the County Assembly.

As of 31st March 2026, the County Government's cash balance in the Nyandarua CRF account was Kshs.934.48 million. Further, the County had not operationalised the County Assembly Fund as of 31st March 2026.

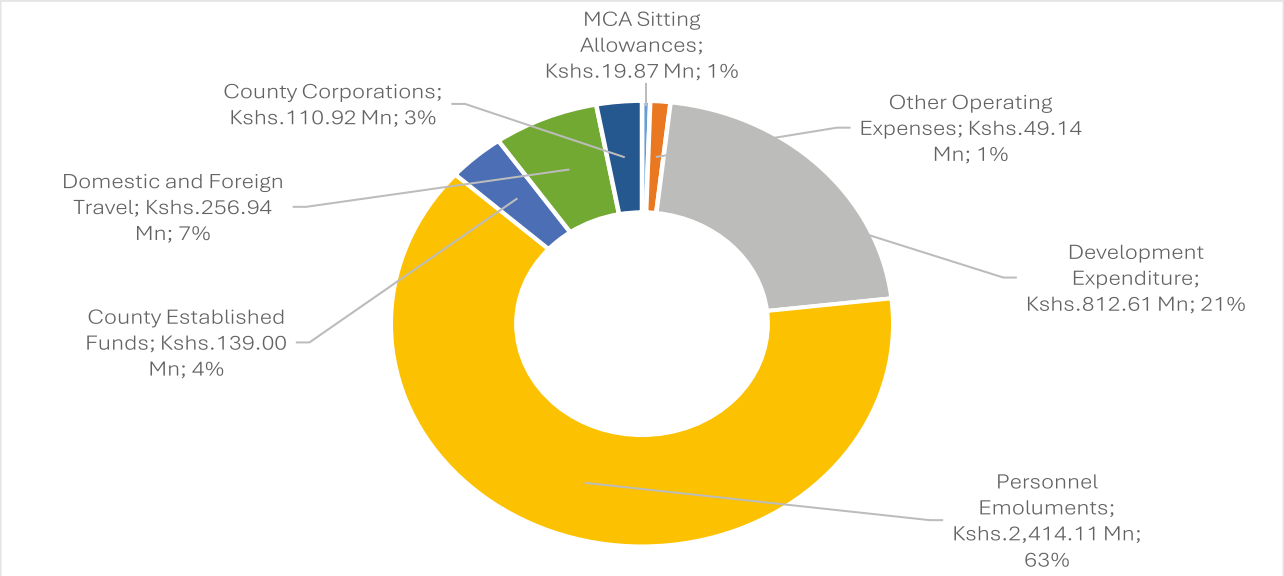
3.35.6 Expenditure Review

The County spent Kshs.4.45 billion on development and recurrent programmes during the reporting period. The expenditure represented 106 per cent of the total funds released by the CoB. It comprised Kshs.812.61 million for development programmes and Kshs.3.64 billion for recurrent programmes. Expenditure on de-

velopment programmes accounted for 23 per cent of the annual development expenditure budget, while recurrent expenditure accounted for 62 per cent of the annual recurrent expenditure budget.

Figure 3.208 provides a detailed breakdown of total expenditure.

Figure 3.208: Nyandarua County Composition of Expenditure in the first nine months of FY 2025/26



Source: Nyandarua *County Treasury*

As shown in Figure 3.208, the three highest expenditure categories were Personnel emoluments, development, and domestic and foreign travel, contributing 63, 21 and 7 per cent of total expenditure for the reporting period.

3.35.7 Expenditure by Economic Classification

The County Executive incurred Kshs.2.12 billion in employee compensation, Kshs.922.45 million in operations and maintenance, and Kshs.807.50 million in development activities. Similarly, the County Assembly spent Kshs.288.47 million on compensation of employees, Kshs.301.94 million on operations and maintenance, and Kshs.5.11 million on development activities, as shown in Table 3.517.

Table 3.517: Nyandarua County Summary of Budget and Expenditure by Economic Classification

Expenditure Classification	Approved Budget (Kshs.Million) (a)		Amount Paid in the first nine months of FY 2025/26 (Kshs. Million) (b)		Expenditure Accrued in the first nine months of FY 2025/26 (Kshs.Million) (c)		Total Expenditure in the first nine months of FY 2025/26 (Kshs. Million) (d=b+c)		Absorption (%) (d/a*100)	
	Executive	Assembly	Executive	Assembly	Executive	Assembly	Executive	Assembly	Executive	Assembly
Total Recurrent Expenditure	**5,035.52**	**798.35**	**2,833.97**	**558.31**	**214.13**	**32.10**	**3,048.09**	**590.41**	**61**	**74**
Compensation of Employees	2,624.21	457.05	1,911.52	256.37	214.13	32.10	2,125.64	288.47	**81**	**63.**
Operations and Maintenance	2,411.31	341.30	922.45	301.94	-	-	922.45	301.94	**-**	**-**
Development Expenditure	**3,469.61**	**123.00**	**807.50**	**5.11**	**-**	**-**	**807.50**	**5.11**	**-**	**-**
Total	**8,505.13**	**921.35**	**3,641.47**	**563.41**	**214.13**	**32.10**	**3,855.59**	**595.51**	**36**	**64**

***Source**: Nyandarua County Treasury*

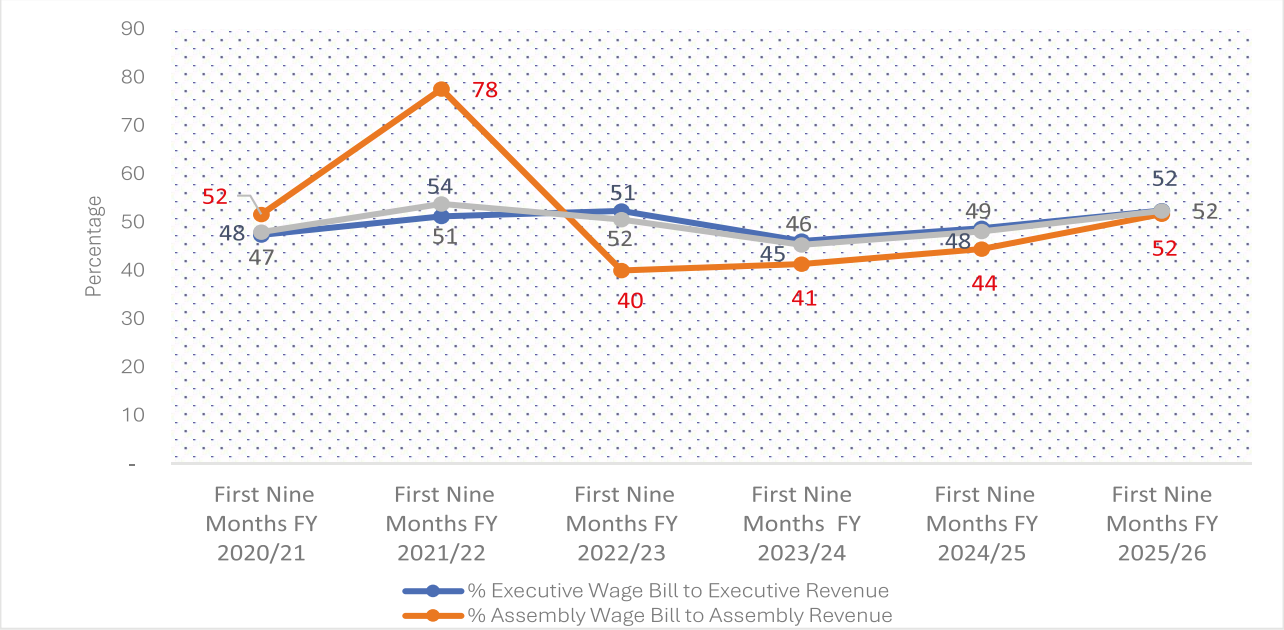
3.35.8 Expenditure on Employee Compensation

The expenditure on employee compensation totalled Kshs.2.41 billion, representing 38 per cent of reve-

nue. This expenditure on employee compensation shows an increase compared to the Kshs.1.73 billion reported in a similar period in FY 2024/25. Of this total, Kshs.764.87 million related to Health Sector employees, accounting for 32 per cent of the overall employees' compensation.

Figure 3.209 shows the trend in employee compensation as a percentage of total revenue from the first nine months of FY 2020/21 to the first nine months of FY 2025/26.

Figure 3.209: Percentage of Employee Compensation Expenditure to Total Revenue Received in the first nine months of FY 2020/21 to the first nine months of FY 2025/26



Source: Nyandarua County Treasury

Further analysis indicated that PE costs amounting to Kshs.2.32 billion were processed through the Human Resource Information System (HRIS). In contrast, Kshs.97.37 million was processed through manual payrolls, which accounted for 4 per cent of the total PE cost. The justification for the continued use of manual payroll was the additional staff who had been recruited and who were yet to acquire personal numbers. Also, employer statutory contributions are not directly populated in the HRIS system, therefore appearing as *a* manual payment within the payroll

The manual payroll comprised salaries for staff not onboarded into the Human Resource Information System (HRIS), salaries for casual staff, and top-up allowances for security personnel, as shown in Table 3.518.

Table 3.518: Breakdown of Nyandarua County Manual Payroll

S/N	Category	County Executive	County Assembly	Total
2	Salaries for casual staff	3,882,600	876,300	4,758,900
3	Top-up Allowances for security officers	1,750,065	1,620,000	3,370,065
5	Community Health Workers	52,194,000	-	52,194,000
6	189 Interns	8,230,354	-	8,230,354
7	9 newly engaged employees	3,185,992	-	3,185,992
	Total	**69,243,011**	**2,496,300**	**71,739,311**

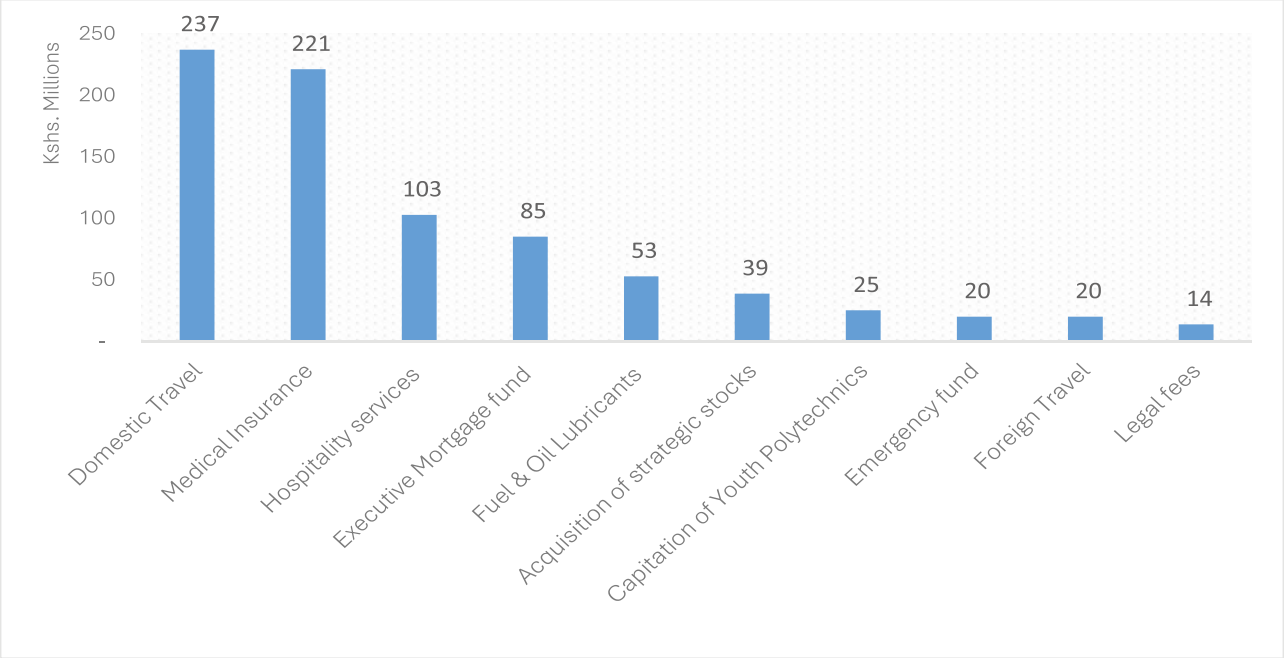
Source: Nyandarua County Treasury

The County Assembly spent Kshs.19.87 million on committee sitting allowances for the 41 MCAs and Speaker against the annual budget allocation of Kshs.36.86 million. The average monthly sitting allowance was Kshs.52,564 per MCA. The County Assembly has 17 House Committees.

3.35.9 Expenditure on Operations and Maintenance

During the reporting period, the County spent Kshs.1.22 billion on operations and maintenance, representing a decrease of 11 per cent compared to a similar period in FY 2024/25, when the County spent Kshs.1.38 billion. Figure 3.210 illustrates the distribution of Operations and Maintenance expenditures across the major spending categories.

Figure 3.210: Nyandarua County, Operations and Maintenance Expenditure by Major Categories



Source: *Nyandarua County Treasury*

3.35.10 Unbundling "Other Operating Expenses - Other" (IFIMIS Code 2211399) Under Operations and Maintenance Expenditures

The budget performance report for the first nine months of FY 2025/26 indicates that the County spent Kshs.32.80 million on "*other operating expenses - other*," which was 3 per cent of the total operations and maintenance expenditure of Kshs.1.22 billion. The disaggregated items under the "*Other Operating Expenses - other*" category are shown in Table 3.519.

Table 3.519: Breakdown of "Other Operating Expenses - Other" under O&M Expenditures

Code	Item	Budget (Kshs)	Expenditure (Kshs.)
2211399	Governor's tournament	14,500,000	14,500,000
2211399	Governance and outreach programs	12,500,000	12,500,000
2211399	Cross-country games	1,000,000	1,000,000
2211399	Support for federation club sports events - FKF LEAGUE	1,500,000	1,500,000
2211399	Corrective Surgeries for Children	1,600,000	1,000,000
2211399	Under 20 athletics	800,000	800,000
2211399	Sport activities for the PWD (including wheelchair basketball)	900,000	900,000
2211399	Mapping and profiling of investment opportunities	700,000	600,000
TOTAL		**33,500,000**	**32,800,000**

Source: *Nyandarua County Treasury*

A review of the other expense items listed in the table revealed the following inconsistencies:

- Some expenditures with clear and unique budget codes were erroneously aggregated under the 'other operating expenses - other' category. These include: Governor's tournament, governance

and outreach programs, cross country games, support to federation club sports events - FKF LEAGUE, corrective Surgeries for Children, temporary committee expenses, energy audit.

- *Several expenditure items were recorded with vague or generic descriptions, making it difficult to determine their nature and map them to the correct budget codes e.g. Mapping and profiling of investment opportunities, Governance and outreach programs etc.*

3.35.11 County-Established Funds

Section 116 of the PFM Act 2012 allows County Governments to establish other public funds, subject to approval from the County Executive Committee and the County Assembly. The County allocated Kshs.314.81million to County-Established funds in FY 2025/26, representing 3 per cent of the County's overall budget. Of this amount, the County allocated Kshs.40 million to the Emergency Fund in line with Section 110 of the PFM Act, 2012, accounting for 0.4 per cent of the total budget. Table 3.520 summarises each established Fund's budget allocation and performance during the reporting period.

Table 3.520: Performance of Nyandarua County Established Funds in the first nine months of FY 2025/26

S/No.	Name of the Fund	Year Established	Approved Budget Allocation in FY 2025/26 (Kshs.)	Exchequer Issues in the first nine months of FY 2025/26 (Kshs.)	Actual disbursements in the first nine months of FY 2025/26 (Kshs.)	Cumulative disbursements to the Fund (Kshs)	Submission of Financial Statements (Yes/No.)
	County Executive Established Funds						
1.	Nyandarua County Emergency Fund	2016	40,000,000	20,000,000	20,000,000		Yes
2.	Nyandarua County Bursary Fund	2016	144,811,420	-	5,000,000		Yes
3.	Nyandarua county Executive mortgage fund	2019	85,000,000	85,000,000	85,000,000		Yes
4.	Agricultural Institutions Revolving Fund		5,000,000	-	-		No
	County Assembly Established Funds						
5.	Nyandarua County Assembly Staff Car & Mortgage		40,000,000	40,000,000	40,000,000		Yes
6.	Nyandarua County Assembly MCAs Car & Mortgage		- -	-	-		Yes
	Total		**314,811,420**	**145,000,000**	**150,000,000**		

Source: *Nyandarua County Treasury*

During the reporting period, the CoB did not receive quarterly financial reports from the Fund Administrator of Agriculture revolving fund as indicated in Table 3.6. The County disclosed that administration costs of the county established funds were below the 3 per cent limit of the Fund budget set in Regulation 197(1)(d) of the Public Finance Management (County Governments) Regulations, 2015.

Regulation 197(1)(i) of the Public Finance Management (County Governments) Regulations, 2015, allows County Governments to establish public funds with a lifespan capped at 10 years unless extended by the County Assembly.

3.35.12 County Corporations

The County has two County Corporations, which were allocated Kshs.136.37 million in FY 2025/26. Their total expenditure for the review period amounted to Kshs.110.92 million, as shown in Table 3.521.

Table 3.521: Performance of Nyandarua County Corporations in the first nine months of FY 2025/26

S/No.	Name of the Corporation	Approved Budget Allocation in FY 2025/26 (Kshs.)	Exchequer Issues (Kshs.)	Actual Transfers in the first nine months of FY 2025/26 (Kshs.)	Cumulative Transfers to the Corporation since its inception (Kshs.)
1	Olkalou Water and Sanitation	67,595,585	-	66,024,699	-
2	Nyandarua Water and	68,781,380	-	44,893,304	-
	Total	**136,376,965**		**110,918,003**	**-**

Source: *Nyandarua County Treasury*

The corporations rely on a mix of own-source revenues-such as water sales, billing, meter connections, penalties, rent for public toilets and transfers from water sector trust fund.

3.35.13 Expenditure on Domestic and Foreign Travel

Expenditure on domestic travel amounted to Kshs.236.97 million and comprised Kshs.100.67 million spent by the County Assembly and Kshs.136.28 million by the County Executive. Expenditure on foreign travel amounted to Kshs.19.96 million and comprised Kshs.17.92 million by the County Assembly and Kshs.2.04 million by the County Executive. Expenditure on foreign travel is summarised in Table 3.522.

Table 3.522: Summary of Expenditure on Foreign Travel in the first nine months of FY 2025/26

Arm of County Government	Number of Officers Travelled	Date travelled	Purpose of the travel	Destination	Actual Payment on Travel (a) (Kshs.)	Accrued Expenditure on Travel (b) (Kshs.)	Total Expenditure on Travel (c=a+b) (Kshs.)
County Executive	3	10-20 Nov 2025	Attend COP climate summit	Brazil	2,043,600	-	2,043,600
County Assembly	5	10th to 17th August 2025	Common wealth hansard editors Biennial conference	Accra, Ghana	1,060,540	-	1,060,540
County Assembly	4	10th to 17th August 2025	Learning of Parliamentary Practices	Arusha, Tanzania	1,201,043	-	1,201,043
County Assembly	10	6th to 13th September 2025	Learning tour with East African Legislative Assembly	Arusha, Tanzania	2,914,883	-	2,914,883
County Assembly	4	4th to 11th September 2025	2nd Africa Climate Summit	Addis Ababa	1,665,644	-	1,665,644
County Assembly	5	21st January 2026 to 1st February 2026	learning on parliamentary practices	Arusha, Tanzania	2,412,300	-	2,412,300
County Assembly	5	26th to 31st August 2025	3rd East Africa Community in House convention	Kigali, Rwanda	1,022,205	-	1,022,205
County Executive	1	2nd to 12th Nov. 2025	International knowledge exchange program	France	867,655	-	867,655
County Executive	4	4th to 11th Sept. 2025	2nd Africa Climate Summit	Addis Ababa	1,665,644	-	1,665,644
County Executive	1	2nd to 8th Nov. 2025	International knowledge exchange program	Boston Massachusetts	425,243	-	425,243
County Executive	1	5th to 13th Jan. 2026	Executive Delevepment program	Geneva Switzeland	869,589	-	869,589

Arm of County Government	Number of Officers Travelled	Date travelled	Purpose of the travel	Destination	Actual Payment on Travel (a) (Kshs.)	Accrued Expenditure on Travel (b) (Kshs.)	Total Expenditure on Travel (c=a+b) (Kshs.)
County Assembly	5	21st Jan 2026 to 1st Feb. 2026	Learning on parliamentary practices		2,412,300	-	2,412,300
					3,191,796	**-**	**3,191,796**

Source: Nyandarua County Treasury and Nyandarua County Assembly

We observed that hat while the County Assembly reported foreign travel of Kshs.19.96 million in the review period, the disclosed individual foreign travels summed up to Kshs.5.97 million.

3.35.14 Facility Improvement Financing

During the review period, the County reported collections of Kshs.386.47 million as FIF, which was 129 per cent of the annual target of Kshs.300 million. The collected amount was retained and utilised at source in line with the Facility Improvement Financing Act, 2023. The Nyandarua FIF Regulations is before the County Assembly pending approval and enactment.

The expenditure by the health facilities amounted to Kshs.149.37 million, as shown in Table 3.523.

Table 3.523: Nyandarua County Health Facilities Expenditure Performance in the first nine months of FY 2025/26

No.	Health Facility	Number of Facilities	Approved Budget (Kshs.)	Actual Expenditure (Kshs.)	Absorption rate (%)
2.	Level 4 Hospital	2	209,370,922	89,603,199.00	43
3.	Level 3 Facility	26	66,844,200	39,170,545.20	59
4.	Level 2 Facility	60	23,784,878	20,593,200.60	87
	Total	**88**	**300,000,000**	**149,366,945**	**50**

Source: *Nyandarua County Treasury*

It is worth noting that actual expenditure on FIF of Kshs.149.37 million is significantly lower than the reported FIF receipts of Kshs.386.47 million.

3.35.15 Development Expenditure

In the review period, the County reported spending Kshs.812.61 million on development programmes, representing an increase of 29 per cent compared to FY 2024/25, when the County spent Kshs.629.57 million. Table 3.524 summarises the development projects with the highest expenditure in the reporting period.

The increase in development expenditure was attributed to timely disbursement of conditional allocations such as National Value Chain Development and Financing locally-led climate action grants amounting to Kshs.145.23 million and Kshs.83.48 million respectively.

Table 3.524: Nyandarua County, List of Development Projects with the Highest Expenditure

No	Sector	Project Name	Project Location	Project Commencement Date	Expected date of Completion of the Project	Contract sum (Kshs)	Total Funding in FY 2025/26 (Kshs.)	Expenditure (on an accrual basis) in the first nine months of FY 2025/26 (Kshs.)	Cumulative project expenditure (on an accrual basis) as of 31st March 2026 (Kshs.)	Percentage (%) of Completion
County Funded Projects										

No	Sector	Project Name	Project Location	Project Commencement Date	Expected date of Completion of the Project	Contract sum (Kshs)	Total Funding in FY 2025/26 (Kshs.)	Expenditure (on an accrual basis) in the first nine months of FY 2025/26 (Kshs.)	Cumulative project expenditure (on an accrual basis) as of 31st March 2026 (Kshs.)	Percentage (%) of Completion
1	Roads	Assorted grading works and road improvement works for Kiruthu road	Ndaragwa Central	30.05.2025	02.07.2025	4,000,000	4,000,000	3,998,600	3,998,600	100
2	Public Works	County headquarters	Olkalou Town	13.01.2023	22.05.2026	449,097,569	30,000,000	30,000,000	291,913,419	65
3	Education & Culture	Completion of Gordon Cultural and mentorship centre (Phase 2) - Engineer	Engineer	27.02.2025	27.02.2027	8,000,000	8,000,000	6,187,694	6,187,694	80
4	Health	Upgrade of Bamboo health center radiology completion and equipping - Kinangop subcounty	Kinangop	6.05.2024	30.09.2026	6500000	6,500,000	3,357,263	3,357,263	55
5	Health	JM Mashujaa complex	Olkalou Town	24.06.2021	Transferred to KDF-EXECUTIVE ORDER	468,740,156	100,000,000	98,990,760		60
6	Health	Improvement of Njabini health center	Njabini	16.09.2025	26.11.2025	3,000,000	3,000,000	2,939,208	2,939,208	
Donor Funded Projects										
1	Agriculture	IDA(World Bank) - National Agricultural Value Chain Development Project (NAVCDP)	County wide	29.03.2022	31.12.2027	151,520,000	151,520,000	145,230,903	145,230,903	96
2	Water	County Contribution -Financing Locally Led Climate Action Program (FLLOCA)	Rurii	11.03.2026	23.03.2026	3,797,050	4,000,000	3,797,050	3,797,050	99
3	Water	County Contribution - Financing Locally Led Climate Action Program (FLLOCA)- Last mile reticulation - Michore borehole	Michore	11.03.2026	23.03.2026	3,930,557	4,000,000	3,930,557	3,930,557	99

Source: *Nyandarua County Treasury*

The County did not report any stalled projects during the period under review.

3.35.16 Budget Performance by Department

Table 3.525 summarises the approved budget allocation, expenditure, and absorption rate by department for the period under review.

Table 3.525: Nyandarua County, Budget Allocation and Absorption Rate by Department in the first nine months of FY 2025/26

Department	Budget Allocation (Kshs.Millions)		Exchequer Issues (Kshs.Millions)		Expenditure (Kshs. Millions)		Expenditure to Exchequer Issues (%)		Absorption rate (%)	
	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev
Office of the Governor & Deputy Governor	125.00	-	52.31	-	52.31	-	100	-	42	-
Office of the County Secretary	113.75	-	53.76	-	53.76	-	100	-	47	-
County Public Service Board	28.00	-	14.11	-	14.11	-	100	-	50	-
Public Service Administration & Devolution	2,759.00	352.50	2,125.66	35.25	2,335.79	35.25	110	100	85	10
Office of County Attorney	39.60		15.34	-	15.34	-	100	-	39	-
Finance, Economic Planning & ICT	483.20	272.92	228.21	152.39	228.21	152.39	100	100	47	56
Agriculture, agribusiness, livestock and fisheries	105.61	506.62	25.50	150.23	25.50	150.23	100	100	24	30
Health Services	582.95	182.27	123.70	118.95	123.70	118.95	100	100	21	65
Education, Technical Training, Culture, Gender and Social Protection	298.29	111.77	59.28	-	59.28	-	100	-	20	-
Tourism, Cooperatives Development, Trade & Industrialization	55.49	43.50	20.10	-	20.10	-	100	-	36	-
Roads, Transport, Energy &Public Works	103.52	1,392.05	32.38	189.19	32.38	189.19	100	100	31	14
Lands, Housing & Physical Planning	72.09	88.55	12.39	-	12.39	-	100	-	17	-
Water, Environment, Climate Change & Natural Resources	56.25	502.12	20.76	161.48	20.76	161.48	100	100	37	32
Youth, Sports & Innovation	106.22	13.10	39.21	-	39.21	-	100	-	37	-
Ol Kalou Municipality	36.00	4.20	3.36	-	3.36	-	100	-	9	-
Mairo Inya Municipality	36.35	-	8.56	-	8.56	-	100	-	24	-
Engineer Municipality	34.20		3.32	-	3.32	-	100	-	10	-
County Assembly	798.35	123.00	553.22	5.11	590.41	5.11	107	100	74	4
Total	**5,833.86**	**3,592.61**	**3,391.18**	**812.61**	**3,638.50**	**812.61**	**107**	**100**	**62**	**23**

***Source**: Nyandarua County Treasury*

Analysis of expenditure by departments shows that the Department of Health recorded the highest absorption rate of development budget at 65 per cent followed by the Department of Finance & Economic Planning at 56 per cent. The Department of Public Service Administration had the highest percentage of recurrent expenditure to budget at 85 per cent, while Olkalou Municipality had the lowest at 9 per cent.

3.35.17 Budget Execution by Programmes and Sub-Programmes

Budget execution was concentrated in selected performance bands. In the 1–10 per cent band, recurrent absorption was reported for communication and public relations at 3 per cent and county records management at 4 per cent under the Office of the County Secretary and Head of Public Service, for youth affairs under the Department of Youth, Sports and Innovation at 5 per cent, for climate change resilience under the Department of Water, Environment and Climate Change at 5 per cent, and for special programmes and diaspora affairs under the Office of the Governor at 6 per cent. Most of the development sub-programmes with the lowest absorption recorded nil expenditure during the review period.

In the 11–20 per cent band, development absorption was reported for transport, including fuel levy and general administration and support services, under the Department of Roads, Transport, Energy and Public Works at 14 per cent. No sub-programmes were reported in the 21–30 per cent, 31–40 per cent, or 41–50 per cent bands.

In the 51–60 per cent band, development absorption was reported for climate change resilience under the Department of Water, Environment, Climate Change and Natural Resources at 51 per cent. No sub-programmes were reported in the 61–70 per cent band. In the 71–80 per cent band, recurrent absorption was reported for legislative, oversight and representation under the County Assembly at 74 per cent and for alcohol drinks control and civic education under the Department of Education, Children and Gender Affairs at 80 per cent.

In the 81–90 per cent band, recurrent absorption was reported for economic development planning, including trade payables, under the Department of Finance and Economic Planning at 84 per cent and for payroll services under the Department of Public Service Administration and Devolution at 88 per cent. In the 90–100 per cent band, development absorption reached 65 per cent for infrastructure and equipment under the Department of Health Services and 65 per cent for economic development planning under the Department of Finance and Economic Planning, while recurrent absorption reached 93 per cent for revenue collection and administration, including automation. No sub-programmes were reported above 100 per cent.

Low absorption in the lower performance bands reflected nil and single-digit implementation across communication, records management, youth affairs and climate change sub-programmes, with most development sub-programmes recording no expenditure. Conversely, performance in the higher bands reflected the prioritisation of the respective sub-programmes during the review period.

Table 3.526 summarises budget execution by programmes and sub-programmes in the period under review with the highest absorption rates.

Table 3.526: Budget Execution by Programmes and Sub-Programmes with Highest Absorption Rates

Programme	Sub-Programme	Gross Approved Estimates FY 2025/26 (Kshs.)	Expenditure (including accrued expenditure) as of 31st March 2026 (Kshs.)	Absorption Rate (%)
		Dev	Dev	Dev
DEVELOPMENT				
DEPARTMENT OF HEALTH SERVICES				
Health infrastructure	Infrastructure and Equipment	182,274,615	118,951,022	65
Department Of Finance & Economic Planning				
Economic planning and development	Economic Development Planning including trade payables	235,924,293	152,392,021	65
Department Of Water, Environment, Climate Change and Natural Resources				
Environment	Climate change resilience	314,000,000	161,482,556	51
Department Of Agriculture, Livestock				
Crop development and management	land and crop development	345,710,000	150,230,902	43
Department Of Roads, Transport, Energy & Public Works				
Road transport	Transport (Including fuel level, General Administration & Support Services)	1,150,949,776	159,191,807	14
RECURRENT				
Department Of Finance & Economic Planning				
Public Finance Management	Revenue Collection and Administration (Including automation)	25,070,000	23,401,378	93
Department Of Public Service Administration & Devolution				
Human Resource Management	Payroll services	2,627,609,473	2,311,133,811	88
Department Of Finance & Economic Planning				

Programme	Sub-Programme	Gross Approved Estimates FY 2025/26 (Kshs.)	Expenditure (including accrued expenditure) as of 31st March 2026 (Kshs.)	Absorption Rate (%)
		Dev	Dev	Dev
Economic planning and development	Economic Development Planning including trade payables	47,925,462	40,268,567	84
Department Education, Children, Gender Affairs				
General administration, planning and support services	Alcohol Drinks Control and Civic Education	5,550,000	4,437,000	80
County Assembly				
County Assembly Services	Legislative, Oversight & Representation	798,345,693	590,407,227	74

Source: *Nyandarua County Treasury*

The development sub-programmes with the highest budget implementation rates were: Infrastructure and Equipment in the Department of Health at 65 per cent, Economic planning and Development in the Department of Finance and economic planning at 65 per cent, and Climate change resilience at 51 per cent.

For recurrent sub-programmes, the top performers included: Revenue Collection and Administration (Including automation) in the Department of Finance & Economic Planning at 93 per cent, Payroll services in the Department of Public Administration at 88 per cent, and Economic Development Planning including trade payables in the Department of Finance & Economic Planning at 84 per cent.

Table 3.527 summarises the budget execution by programmes and sub-programmes in the period under review that had the lowest absorption rates.

Table 3.527: Budget Execution by Programmes and Sub-Programmes with Lowest Absorption Rates

Programme	Sub-Programme	Gross Approved Estimates FY 2025/26 (Kshs.)	Expenditure (including accrued expenditure) as of 31st March 2026 (Kshs.)	Absorption Rate (%)
		Dev	Dev	Dev
RECURRENT				
Office Of the County Secretary & Head of Public Service				
County Secretary	Communication and Public Relations	5,850,000	167,000	**3**
	County Records Management	3,950,000	153,236	4
Department Of Youth, Sports & Innovation				
Youth Affairs	Youth Affairs	43,770,802	2,391,400	5
Department Of Water, Environment & Climate Change				
Environment	Climate change resilience	7,150,000	350,000	5
Office Of the Governor				
General Administration, Planning & Support	Special Programs and Diaspora Affairs	6,500,000	400,000	6

Source: *Nyandarua County Treasury*

Most of the development sub-programmes had nil expenditure. For recurrent sub-programmes, the poorest performers included: communication & public relations, and county records management both in the office of the county secretary at 3 per cent and 4 per cent respectively, Youth affairs in the Department of Youth, Sports & Innovation at 5 per cent, and Climate change resilience in the Department of Water & Environment at 5 per cent.

3.35.18 Settlement of Trade Payables

As of 1st July 2025, the County reported trade payables totalling Kshs.1.45 billion. This amount consisted of Kshs.1.36 billion from the County Executive and Kshs.88.01 million from the County Assembly. The trade payables from the County Executive comprised of Kshs.576.52 million for recurrent expenditure and Kshs.787.01 million for development expenditure.

During the reporting period, the County Executive settled trade payables amounting to Kshs.398.38 million, comprising Kshs.156.39 million (39 per cent) for development programmes and Kshs.241.99 million (61 per cent) for recurrent programmes. On the other hand, the County Assembly settled trade payables amounting to Kshs.36.99 million; the entire amount being recurrent trade payables. The outstanding trade payables as of 31st March 2026 were Kshs.928.15 million for County Executive and Kshs.51.02 million for County Assembly. Table 3.528 provides additional details of trade payables.

Table 3.528: Nyandarua County Trade Payables as of 31st March 2026

	County Entity	Development	Recurrent	Total
As at 1 July 2025 (End of FY 2024/25)	County Executive	787,010,391	576,516,029	1,363,526,420
	County Assembly	46,069	87,964,784	88,010,853
	Total	787,056,460	664,480,813	1,451,537,273
Amount paid in FY 2025/26	County Executive	156,390,621	241,994,515	398,385,136
	County Assembly	-	36,992,747	36,992,747
	Total	156,390,621	278,987,262	435,377,883
Trade Payables Incurred in FY 2025/26	County Executive	-	-	-
	County Assembly	-	-	-
	Total	-	-	-
Outstanding Trade Payables as of 31 March 2026 (Kshs.)	County Executive	630,619,770	297,528,767	928,148,537
	County Assembly	46,069	50,972,037	51,018,106
	Total	**630,665,839**	**348,500,804**	**979,166,643**

Source: *Nyandarua County Treasury*

The County Executive and the Assembly submitted a trade payables payment plan, committing to pay Kshs.233.39 million and Kshs.26.39 million on recurrent and development expenditure, respectively, in FY 2025/26. The County adhered to this payment plan, as it cleared Kshs.398.38 million for the Executive and Kshs.36.99 million for the Assembly.

Table 3.529 and Table 3.530 present the ageing of the total outstanding bills as of 31st March 2026 for the County Executive and Assembly, which were Kshs.979.17 billion.

Table 3.529: Nyandarua County Executive Trade Payables Ageing Analysis as of 31st March 2026

Category	Ageing analysis (Amount in Kshs.)				Total
	Under one year	1-2 years	2-3 years	Over 3 years	
County Executive					
Development Trade Payables	630,619,770	-	-	-	630619770
Recurrent Trade Payables (Goods & Services)	167,223,254	117,543,620	12,761,893	-	297,528,767
Recurrent Trade Payables (Salary Arrears and Statutory Deductions)	-	-	-	-	-
Recurrent Trade Payables (Staff Claims)	-	-	-	-	-
Total Recurrent Trade Payables	**167,223,254**	**117,543,620**	**12,761,893**	**-**	**297,528,767**

Category	Ageing analysis (Amount in Kshs.)				Total
	Under one year	1-2 years	2-3 years	Over 3 years	
Total Trade Payables	**797,843,024**	**117,543,620**	**12,761,893**	**-**	**928,148,537**
% of Total	**86**	**13**	**1**	**-**	**100**

Source: *Nyandarua County Treasury*

Table 3.530: Nyandarua County Assembly Trade Payables Ageing Analysis as of 31st March 2026

Category	Ageing analysis (Amount in Kshs.)				Total
	Under one year	1-2 years	2-3 years	Over 3 years	
Development Trade Payables	-	46,069	-	-	46,069
Recurrent Trade Payables (Goods & Services)	6,729,859	30,000	44,212,178	-	50,972,037
Recurrent Trade Payables (Salary Arrears and Statutory Deductions)	-	-	-	-	-
Recurrent Trade Payables (Staff Claims)	-	-	-	-	-
Total Recurrent Trade Payables	6,729,859	76,069	44,212,178	-	51,018,106
Total Trade Payables	**6,729,859**	**106,069**	**44,212,178**	**-**	**51,018,106**
% of Total	**13**	**-**	**87**	**-**	**100**

Source: *Nyandarua County Treasury*

The two tables indicate that 86 per cent of total trade payables for the executive are aged under 1 year while 87 per cent of the trade payables for the county assembly are aged between 2-3 years, a trend attributed to failure to clear historical trade payables. To address this situation, the county should settle trade payables on FIFO basis.

3.35.19 General Observations and Recommendations

In the course of overseeing and reporting on the implementation of the Nyandarua County budget, the CoB identified the following challenges, which hampered effective budget implementation;

i. The underperformance of own-source revenue at Kshs.553.13 million against an annual target of Kshs.975 million, representing 57 per cent of the financial year target. Additionally, the ordinary OSR performed dismally compared to FIF with the county treasury collecting Kshs.166.66 million against a target of Kshs.675 million, representing 25 per cent of the annual target.
ii. High levels of trade receivables, which amounted to Kshs.1.23 billion as of 31st March 2026.
iii. Low development performance in the review period as the County incurred Kshs.812.61 million on development activities, achieving a 23 per cent absorption rate.
iv. Huge variances between FIF receipts and expenditure. The actual expenditure on FIF of Kshs.149.37 million is significantly lower than the reported FIF receipts of Kshs.386.47 million.
v. High level of trade payables, which amounted to Kshs.979.17 million as of 31st March 2026. Furthermore, 93 per cent of the trade payables for the county assembly are aged over three years pointing to failure to address historical trade payables.
vi. Use of manual payroll. Personnel emoluments amounting to Kshs.97.37 million for staff not on-boarded into HRIS and casual staff were processed through manual payroll, accounting for 4 per cent of the total payroll cost. Manual payroll is prone to abuse and may result in the loss of public funds.
vii. High level of trade receivables, which amounted to Kshs.1.23 billion as of 31st march, 2026.

The County should implement the following recommendations to improve budget execution:

i. *The County should address its own-source revenue performance to ensure the approved budget is fully financed. Appropriate austerity measures should be implemented to ensure expenditure commitments are aligned with available revenue.*
ii. *The County Treasury should institute measures to ensure that the trade receivables due are recovered in order to increase the cash flow for the County.*
iii. *The County should implement strategies to increase development expenditures in FY 2025/26.*
iv. *The County Treasury should address the variance between FIF receipts and expenditure and provide an accurate report on the same.*
v. *The County Leadership should address the situation of trade payables to ensure that genuine bills are paid promptly in the remaining financial year. Further, compliance with the Trade Payables Action Plan should be enforced.*
vi. *The Government requires that salaries be processed through the HRIS system, and the County is advised to fast-track the acquisition of Unified Personnel Numbers for their staff. The County Public Service Board should regulate staff engagement on contract and casual workers as provided under Section 74 of the County Governments Act 2012. Furthermore, strict adherence to the approved staff establishment should be maintained.*
vii. *The County Treasury should institute measures to ensure that the trade receivables due are recovered in order to increase the cashflow to the County.*

3.36. County Government of Nyeri

3.36.1 Overview of FY 2025/26 Budget

Nyeri County Supplementary 1 Budget for FY 2025/26 is Kshs.9.44 billion. It comprises Kshs.3.12 billion (33 per cent) and Kshs.6.32 billion (67 per cent) allocation for development and recurrent programmes, respectively. The budget estimates represent an increase of Kshs.690.73 million (8 per cent) from the FY 2024/25 budget, which comprised a development budget of Kshs.2.89 billion and a recurrent budget of Kshs.5.59 billion. The increase in the budget was primarily attributed to the rise in the equitable share and the inclusion of the balance brought forward in the supplementary budget.

The budget is to be financed from various revenue sources. These include the equitable share of revenue raised nationally of Kshs.6.9 billion (67 per cent), additional allocations of Kshs.1.33 billion (13 per cent), a cash balance brought forward from FY 24/25 of Kshs.285.06 million (3 per cent) and Kshs.1.65 billion (16 per cent) generated as own-source revenue and other revenues of Kshs.129.50 million (1 per cent). A breakdown of the additional allocations is shown in Table 3.531.

3.36.2 Revenue Performance

During the first nine months of FY 2025/26, the County reported total revenues amounting to Kshs.6.76 billion. This amount represented an increase of 29 per cent compared to the amount received in a similar period in FY 2024/25 of Kshs.5.23 billion. The total revenue consisted of Kshs.4.59 billion from the equitable share of revenue raised nationally, additional allocations from the national government and development partners of Kshs.593.34 million, and own-source revenue (OSR) collection of Kshs.1.29 billion. Additionally, the County had a cash balance of Kshs.285.06 million from FY 2024/25 and other revenues of Kshs.76,000. The total OSR collection of Kshs.1.29 billion included Facilities Improvement Financing (FIF) of Kshs.764.23 million, and Kshs.530.03 million from other OSR sources.

Table 3.531 summarises the total revenue available to the County Government during FY 2025/26.

Table 3.531: Nyeri County, Revenue Performance in the first nine months of FY 2025/26

No	Revenue Stream	Annual Targeted Revenue (Kshs.)	Actual Receipts (Kshs.)	Receivables in the First Nine Months of FY 2025/26 (Kshs.)	Total Revenues (in accrual basis) in the First Nine Months of FY 2025/26 (Kshs.)	Revenue Performance.
		A	B	C	D=B+C	F=D/A*100
A	Unspent Balance from FY 2024/25				-	
1	Balance at CRF	285,064,165	285,064,165		285,064,165	100%

No	Revenue Stream	Annual Targeted Revenue (Kshs.)	Actual Receipts (Kshs.)	Receivables in the First Nine Months of FY 2025/26 (Kshs.)	Total Revenues (in accrual basis) in the First Nine Months of FY 2025/26 (Kshs.)	Revenue Performance.
		A	B	C	D=B+C	F=D/A*100
A	**Unspent Balance from FY 2024/25**					
	Sub-Total	**285,064,165**	**285,064,165**	**-**	**285,064,165**	100
B	**Equitable Share of Revenue Raised Nationally**					
1	Equitable Share	6,896,132,673	4,585,928,227		4,585,928,227	66
	Sub-Total	**6,896,132,673**	**4,585,928,227**	**-**	**4,585,928,227**	66
C	**Additional Allocations (Including Grants)**					
1	Kenya Informal Settlement programme (KISIP II)	52,000,000	-	-	-	-
2	Kenya Informal Settlement programme (KISIP II) Level 1	72,910,620	35,253,471	-	35,253,471	48
3	Kenya Informal Settlement programme (KISIP II)	352,500,000	-	-	-	-
4	The Danish International Development Agency (DANIDA)	8,722,669	-	-	-	-
5	Aggregated Industrial Park Programme (CAIP)	256,835,020	250,000,000	-	250,000,000	97
6	IDA (World Bank) Credit - National Agricultural Value Chain Development Programme (NAVCDP)	231,250,000	138,131,337	-	138,131,337	60
7	Aquaculture Business Development Programme (ABDP)	16,769,367	-	-	-	-
8	Kenya Urban Support Programme UIG	63,868,406	-	-	-	-
9	Kenya Urban Support Programme UDG	4,036	77,589,673	-	77,589,673	19,224
10	IDA (World Bank) Credit - (Financing Locally - Led Climate Action (FLLoCA) program - County Climate Institutional Support (CCIS) Grants	175,823,040	92,367,481	-	92,367,481	53
11	Roads Maintenance Fuel Levy (RMFL)	100,353,012	-	-	-	-
	Sub-Total	**1,331,036,170**	**593,341,962**	**-**	**593,341,962**	45
D	**Ordinary Own Source Revenue (OSR)**					
1	Business Permits	130,000,000	90,176,203	-	90,176,203	69
2	Enclosed Bus Park	90,000,000	63,235,236	-	63,235,236	70
3	Liquor License	70,000,000	71,262,450	-	71,262,450	102
4	Refuse Collection/Waste Disposal	50,000,000	35,473,370	-	35,473,370	71
5	Cess (Quarry, Produce, Kaolin)	45,000,000	33,326,793	-	33,326,793	74
6	Market Entrance/Stalls/Shops Rents	52,000,000	33,248,909	-	33,248,909	64
7	Land Rates/Other Property Charges	70,000,000	33,166,094	-	33,166,094	47
8	Other Sources	293,000,000	170,140,066	-	170,140,066	58
	Sub-Total	**800,000,000**	**530,029,121**	**-**	**530,029,121**	**66**
E	**Facility Improvement Financing (FIF)**					
1	SHIF	850,000,000	764,286,426	-	764,286,426	90

No	Revenue Stream	Annual Targeted Revenue (Kshs.)	Actual Receipts (Kshs.)	Receivables in the First Nine Months of FY 2025/26 (Kshs.)	Total Revenues (in accrual basis) in the First Nine Months of FY 2025/26 (Kshs.)	Revenue Performance.
		A	B	C	D=B+C	F=D/A*100
	Sub-Total	**850,000,000**	**764,286,426**	**-**	**764,286,426**	90
F	**Other Revenues**					
1	Community Health Promoters	74,250,000	-	-	-	-
2	Court Fines	76,000	76,000	-	76,000	100
3	Doctors Salaries Arrears	55,172,326		-	-	-
	Sub-Total	**129,498,326**	**76,000**	**-**	**76,000**	-
	Grand Total	**10,291,731,334**	**6,758,725,901**	**-**	**6,758,725,901**	**66**

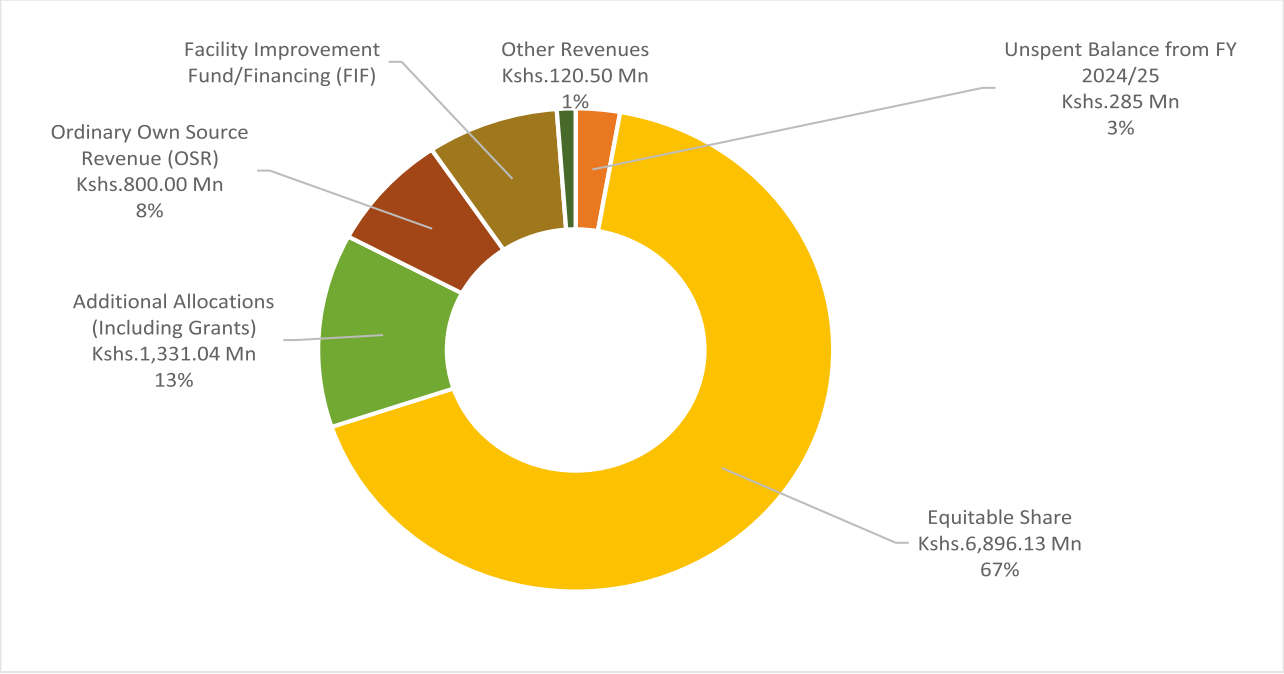
***Source: Nyeri** County Treasury*

During the period under review the county did not attain most of its revenue targets as shown in Table 3.531 above. However, exceptions were noted in liquor licenses where the county attained 102 per cent over its target. Equally, the County had not budgeted for the Kenya Urban support Program (UDG) but it received Kshs.77.6 million towards funding its activities.

The County has a governing legislation on the operation of ordinary A-I-A and FIF.

Figure 3.211 provides a detailed breakdown of receipts.

Figure 3.211: Nyeri County Composition of Revenue in the first nine months of FY 2025/26

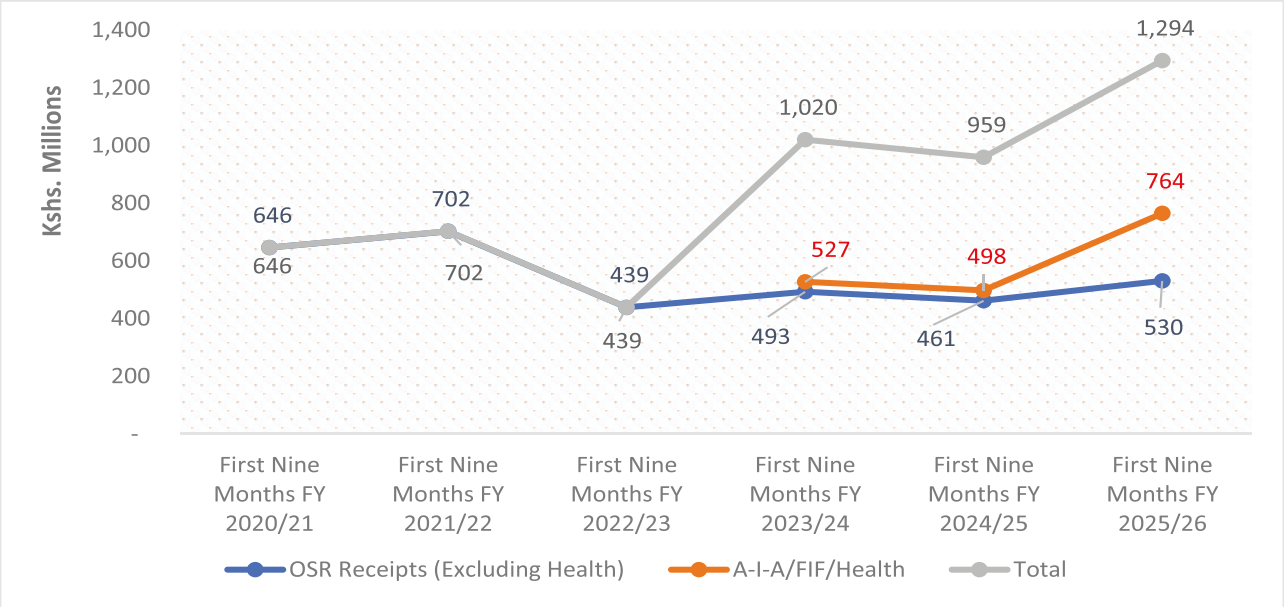


***Source:** Nyeri County Treasury*

The equitable share of revenue raised nationally, OSR, and FIF contributed 67 per cent, 8 per cent and 8 per cent, respectively, of the total receipts for the reporting period.

Figure 3.212 shows the collection trend in own-source revenue from the first nine months of FY 2020/21 to the first nine months of FY 2025/26.

Figure 3.212: Nyeri County Trend in Own-Source Revenue Collection from the first nine months of FY 2020/21 to the first nine months of FY 2025/26

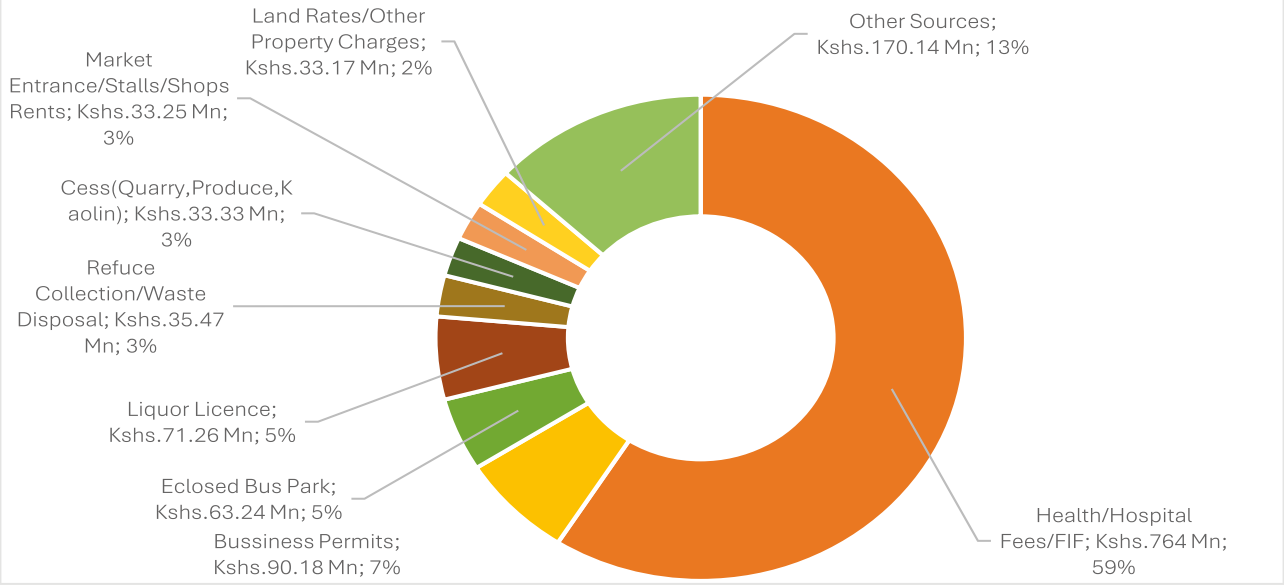


Source: Nyeri County Treasury

During the first nine months of FY 2025/26, the County received Kshs.1.29 billion from OSR, including FIF. This amount was an increase of 35 per cent compared to Kshs.958.89 million realised in a similar period in FY 2024/25, and was 78 per cent of the annual target and 19 per cent of the equitable revenue share disbursed.

The revenue streams that contributed the most to OSR receipts are shown in Figure 3.213.

Figure 3.213: Nyeri County Top Own Source Revenue Streams in the first nine months of FY 2025/26



Source: *Nyeri County Treasury*

As shown in Figure 3.213, the largest revenue stream, at Kshs.764.23 million, was FIF, accounting for 59 per cent of total OSR receipts. The County Government indicated that it has automated 20 revenue streams out of 55.

3.36.3 Revenue Receivables

As of 1st July 2025, the County reported revenue receivables of Kshs.1.12 billion, which increased to Kshs.1.28 billion as of 31st March 2026. The County manages its revenue receivables using a manual system, with an accrual-basis option. Table 3.532 presents a breakdown of the County's revenue receivables.

Table 3.532: Nyeri County Revenue Receivables as of 31st March 2026

No	Revenue Stream	Receivables as of 1 July 2025 (Kshs.)	Progress made in First Nine Months of FY 2025/26			Receivables as of 31st March 2026 (Kshs.)
			Waivers (Kshs)	Arrears paid in the financial year (Kshs)	Arrears earned in First Nine Months of FY 2025/26 (Kshs)	
		a	b	C	d	f=a-b-c+d
A	**Ordinary Own Sources of Revenue**					
	Land Rates	606,188,728	7,265,049	10,984,500	17,345,600	605,284,779
	Property	54,803,431	100,425	16,475,940	2,540,680	40,767,746
	Sub-Total	**660,992,159**	**7,365,474**	**27,460,440**	**19,886,280**	**646,052,525**
B	**Facility Improvement Financing (FIF)**					
1	SHIF	456,177,778	24,678,400		200,567,980	632,067,358
	Sub-Total	**456,177,778**	**24,678,400**	**-**	**200,567,980**	**632,067,358**
	Grand Total	**1,117,169,937**	**32,043,874**	**27,460,440**	**220,454,260**	**1,278,119,883**

Source: Nyeri *County Treasury*

As of 31st March 2026, the revenue receivables totalled to Kshs.1.28 billion, comprising Kshs.646.05 million (51 per cent) for Own Source Revenue (OSR), and Kshs.632.07 (49 per cent) for Facility Improvement Financing (FIF). The measures instituted by the County to collect the outstanding receivables in FY 2025/26 include sensitizing tax payers, taking legal action on defaulter, and constant follow up to collect the outstanding receivables.

3.36.4 Borrowing by the County

The County did not report on any credit facilities or short-term borrowing with commercial banks during the period under review.

3.36.5 Withdrawals from the County Revenue Fund and County Assembly Fund

During the reporting period, the Controller of Budget approved exchequer withdrawal requests totalling Kshs.5.47 billion from the Nyeri County Revenue Fund (CRF) account. This amount consisted of Kshs.932.97 million (17 per cent) designated for development programs and Kshs.4.54 billion (83 per cent) allocated for recurrent programs.

An analysis of the released recurrent exchequers shows that Kshs.3.49 billion was allocated to employee compensation, and Kshs.1.05 billion to operations and maintenance expenditures. Within the operations and maintenance category, 25 per cent was for domestic travel and 6 per cent for foreign travel. The domestic travel exchequers totalled Kshs.265.33 million, which included Kshs.130.5 million for the County Executive and Kshs.134.83 million for the County Assembly. Equally, the foreign travel exchequers amounted to Kshs.62.67 million, with Kshs.143,616 for the County Executive and Kshs.62.12 million for the County Assembly.

As of 31st March 2026, the County Government's cash balance in the Nyeri CRF account was Kshs.1.18 billion.

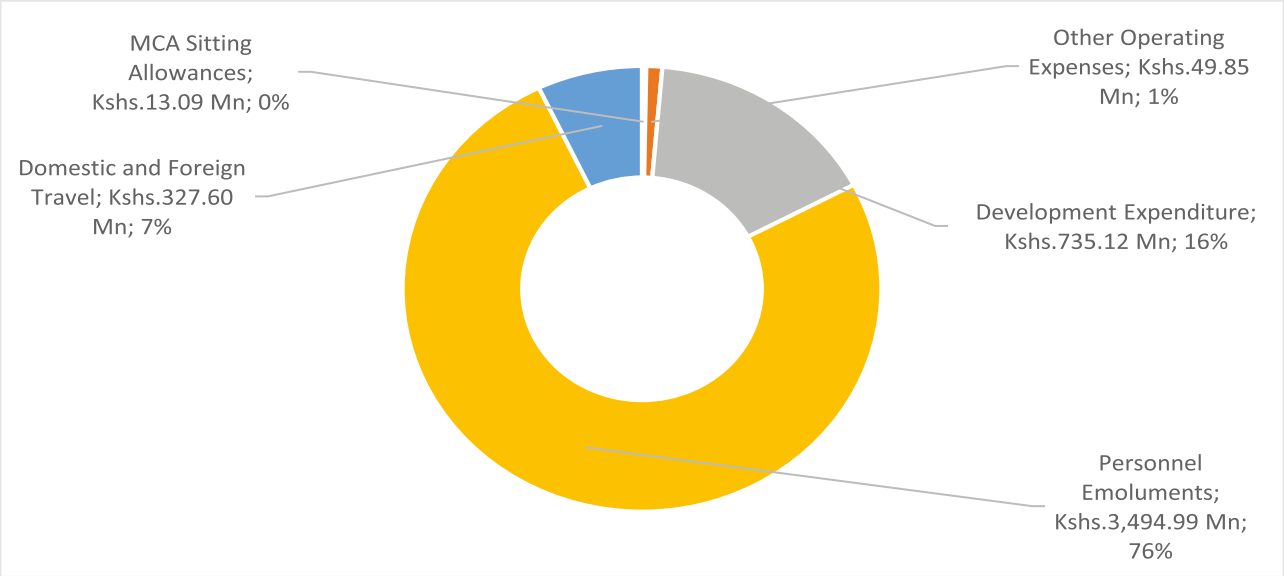
In addition, the Controller of Budget did not approve exchequer withdrawal requests from the Nyeri County Assembly Fund (CAF) account during the review period. This account has not been operationalized thus the County Assembly continued to receive its allocation from the Nyeri County Revenue Fund.

3.36.6 Expenditure Review

The County spent Kshs.5.34 billion on development and recurrent programmes during the reporting period. The expenditure represented 98 per cent of the total funds released by the CoB. It comprised Kshs.735.12 million for development programmes and Kshs.4.60 billion for recurrent programmes. Expenditure on development programmes accounted for 24 per cent of the annual development expenditure budget, while recurrent expenditure accounted for 73 per cent of the annual recurrent expenditure budget.

Figure 3.214 provides a detailed breakdown of total expenditure.

Figure 3.214: Nyeri County Composition of Expenditure in the first nine months of FY 2025/26



Source: Nyeri *County Treasury*

As shown in Figure 3.214, the three highest expenditure categories were personnel emoluments, development expenditure and domestic and foreign travel contributing 76,16 and 7 per cent of total expenditure for the reporting period.

3.36.7 Expenditure by Economic Classification

The County Executive incurred Kshs.3.31 billion in employee compensation, Kshs.755.23 million in operations and maintenance, and Kshs.735.12 million in development activities. Similarly, the County Assembly spent Kshs.188.65 million on compensation of employees, Kshs.352.83 million on operations and maintenance, and nil on development activities, as shown in Table 3.533.

Table 3.533: Nyeri County Summary of Budget and Expenditure by Economic Classification

Expenditure Classification	Approved Budget (Kshs.Million) (a)		Amount Paid in the first nine months of FY 2025/26 (Kshs. Million) (b)		Expenditure Accrued in the first nine months of FY 2025/26 (Kshs. Million) (c)		Total Expenditure in the first nine months of FY 2025/26 (Kshs. Million) (d=b+c)		Absorption (%) (d/a*100)	
	Executive	Assembly	Executive	Assembly	Executive	Assembly	Executive	Assembly	Executive	Assembly
Total Recurrent Expenditure	**5,530.18**	**793.94**	**4,066.56**	**536.49**	**-**	**-**	**4,066.56**	**536.49**	74	68
Compensation of Employees	4,375.42	263.80	3,311.34	183.65	-	-	3,311.34	183.65	76	70
Operations and Maintenance	1,154.76	530.14	755.23	352.83	-	-	755.23	352.83	65	67
Development Expenditure	**3,087.61**	**30.00**	**735.12**	**-**	**-**	**-**	735.12	-	24	-
Total	**8,617.79**	**823.94**	**4,801.68**	**536.49**	**-**	**-**	**4,801.68**	**536.49**	**56**	**65**

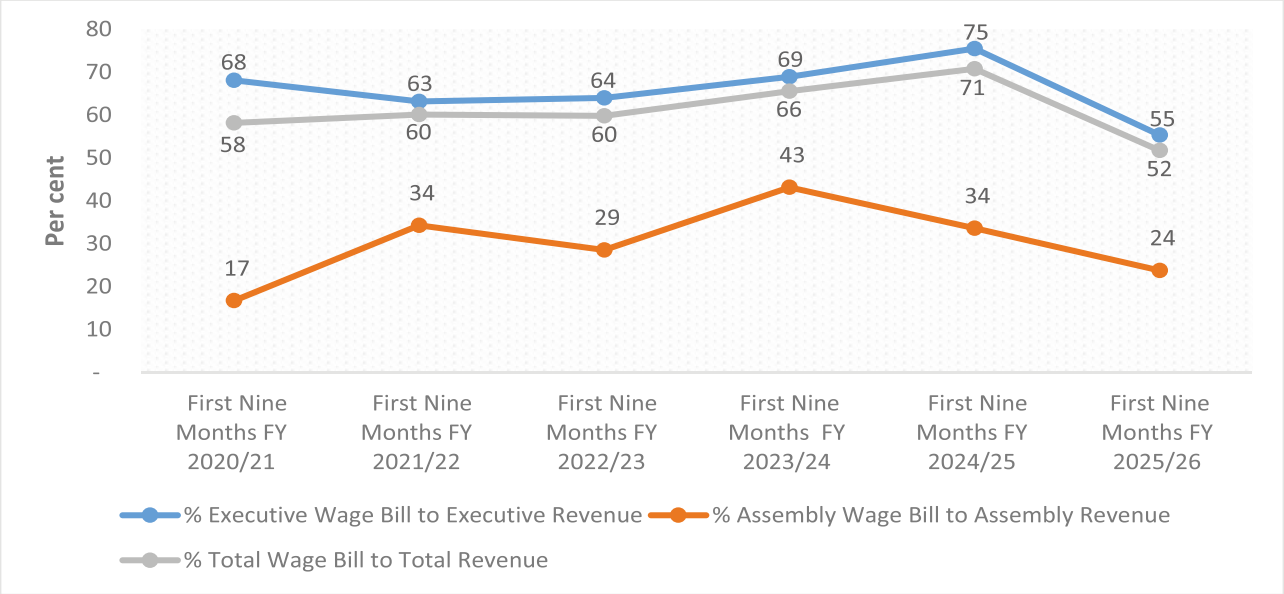
***Source**: Nyeri County Treasury*

3.36.8 Expenditure on Employee Compensation

The expenditure on employee compensation totalled Kshs.3.49 billion, representing 52 per cent of the total revenue. This expenditure on employee compensation shows an increase of 4 per cent compared to the Kshs.3.35 billion reported in a similar period in FY 2024/25. Of this total, Kshs.2.17 billion related to Health Sector employees, accounting for 62 per cent of the overall employees' compensation.

Figure 3.215 shows the trend in employee compensation as a percentage of total revenue from the first nine months of FY 2020/21 to the first nine months of FY 2025/26.

Figure 3.215: Percentage of Employee Compensation Expenditure to Total Revenue Received in the first nine months of FY 2020/21 to the first nine months of FY 2025/26



Source: Nyeri County Treasury

Further analysis indicated that PE costs amounting to Kshs.3.3 billion were processed through the Human Resource Information System (HRIS). In contrast, Kshs.193 million was processed through manual payrolls, which accounted for 6 per cent of the total PE cost. The County indicated that the continued use of manual payroll was that the payment were for medical interns, and casuals working in the County hospitals.

The manual payroll comprised salaries for 190 staff not onboarded into the Human Resource Information System (HRIS), salaries for 20 casual staff, top-up allowances for security personnel, gratuity remittances to pension schemes for staff on contract, and LAPTRUST/LAPFUND Pension Contributions, as shown in Table 3.534.

Table 3.534: Breakdown of Nyeri County Manual Payroll

S/No.	Category	County Executive	County Assembly	Total
1	Salaries for staff paid outside the Human Resource Information System (HRIS)	606,147	6,266,844	6,872,991
2	Salaries for casual staff	262,937		262,937
3	Top-up Allowances for security officers	18,706,944	2,381,120	21,088,064
4	LAPTRUST/LAPFUND Pension Contributions	67,333,790	7,127,442	74,461,232
5	Gratuity for contract staff	46,380,262	19,442,781	65,823,043
6	Community Health Workers	24,497,500	-	24,497,500
	Total	**157,787,580**	**35,218,187**	**193,005,767**

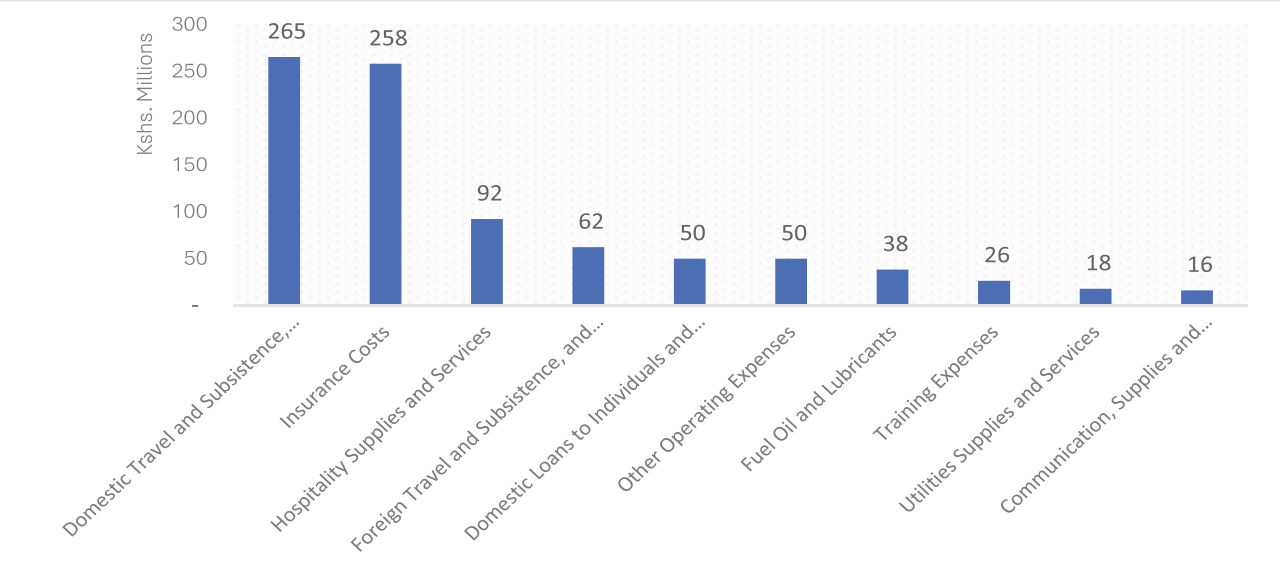
Source: *Nyeri County Treasury*

The County Assembly spent Kshs.13.09 million on committee sitting allowances for the 43 MCAs against the annual budget allocation of Kshs.18 million. The average monthly sitting allowance was Kshs.33,830 per MCA. The County Assembly has 24 House Committees.

3.36.9 Expenditure on Operations and Maintenance

During the reporting period, the County spent Kshs.1.11 billion on operations and maintenance, representing an increase of 30 per cent compared to a similar period in FY 2024/25, when the County spent Kshs.851.12 million. Figure 3.216 illustrates the distribution of Operations and Maintenance expenditures across the major spending categories.

Figure 3.216: Nyeri County, Operations and Maintenance Expenditure by Major Categories



Source: *Nyeri County Treasury*

3.36.10 Unbundling "Other Operating Expenses - Other" (IFMIS Code 2211399) Under Operations and Maintenance Expenditures

The budget performance report for the first nine months of FY 2025/26 indicates that the County spent Kshs.14.96 million on "*other operating expenses - Other*," which was 5 per cent of the total operations and maintenance expenditure of Kshs.1.11 billion. The disaggregated items under the "*Other Operating Expenses - Other*" category are shown in Table 3.535.

Table 3.535: Breakdown of "Other Operating Expenses - Other" under O&M Expenditures

Code	Item	Budget (Kshs)	Expenditure (Kshs.)
2211399	Ward office rent July 2025 -March 2026	584,100	584,100
2211399	Ward office Expenses July 2025-March 2026	10,507,660	10,507,660
2211399	Surrender of Temporary Imprest	650,000	650,000
2211399	Reimbursement of Standing Imprest	472,690	472,690
2211399	Refund of ward office expenses Jan 2026	2,543,180	2,543,180
2211399	Payment for confirmation of certificate by Kenya Nation examination council	104,400	104,400
2211399	Allowance for July and Aug 2025 Chinga Ward	95,670	95,670
	Total	**14,957,700**	**14,957,700**

Source: *Nyeri County Treasury*

A review of the other expense items listed in the table revealed the following inconsistencies:

- *Some expenditures with clear and unique budget codes were erroneously aggregated under the "Other Operating Expenses - Other" category. These include: w*ard office expenses, temporary imprest, standing imprest, and allowances for Ward office.
- *Several expenditure items were recorded with vague or generic descriptions, making it difficult to determine their nature and map them to the correct budget codes. For example,* payment for confirmation of certificate by Kenya Nation examination council, as in Table1.6 above.

3.36.11 County-Established Funds

Section 116 of the PFM Act 2012 allows County Governments to establish other public funds, subject to approval from the County Executive Committee and the County Assembly. The County allocated Kshs.100 million to County-Established funds in FY 2025/26, representing 1 per cent of the County's overall budget. Further, the County did not allocate any funds to the Emergency Fund contrary to Section 110 of the PFM Act, 2012. Table 3.536 summarises each established Fund's budget allocation and performance during the reporting period.

Table 3.536: Performance of Nyeri County Established Funds in the first nine months of FY 2025/26

S/ No.	Name of the Fund	Year Established	Approved Budget Allocation in FY 2025/26 (Kshs.Million)	Exchequer Issues in the first nine months of FY 2025/26 (Kshs.Million)	Actual disbursements in the first nine months of FY 2025/26 (Kshs.Million)	Cumulative disbursements to the Fund (Kshs.Million)	Submission of Financial Statements (Yes/No.)
County Executive Established Funds							
1.	Nyeri County Elimu Fund	2015	100.00	-	-	342.00	No
2.	Nyeri County Emergency Fund	2025	-	-	-	20.00	No
3.	Nyeri County Health Fund	2021	-	-	-	141.70	No
4.	Nyeri County Enterprise Development Fund	2015	-	-	-	40.00	No
5.	Nyeri County Car Mortgage Fund (Executive)	2017	-	-	-	100.00	No
County Assembly Established Funds							
7.	Nyeri County Car & Mortgage Assembly Members	2017	-	-	-	184.00	No
8.	Nyeri County Car Mortgage Fund (Assembly Staff)	2019	-	-	-	122.39	No
	Total		**100.00**	**-**	**-**	**850.09**	

Source: *Nyeri County Treasury*

During the reporting period, the CoB did not receive quarterly financial reports as indicated in Table 3.6, contrary to the requirement of Section 168 of the PFM Act, 2012. Further, Regulation 197(1)(i) of the Public Finance Management (County Governments) Regulations, 2015, allows County Governments to establish public funds with a lifespan capped at 10 years unless extended by the County Assembly. In FY 2025/26, the CoB established that the lifespan of the Nyeri County Elimu Fund, Nyeri County Emergency fund and Nyeri County Health fund had lapsed. Consequently, the CoB did not approve any requests for withdrawals to support the operations of the lapsed funds.

3.36.12 County Corporations

The County Corporations are autonomous they did not receive any allocations from the mainstream budget.

3.36.13 Expenditure on Domestic and Foreign Travel

Expenditure on domestic travel amounted to Kshs.265.33 million and comprised Kshs.134.83 million spent by the County Assembly and Kshs.130.5 million by the County Executive. Expenditure on foreign travel amounted to Kshs.62.27 million and comprised Kshs.62.12 million by the County Assembly and Kshs.143,616 by the County Executive. Expenditure on foreign travel is summarised in Table 3.537.

Table 3.537: Summary of Expenditure on Foreign Travel in the first nine months of FY 2025/26

Arm of County Government	Number of Officers Travelled	Date travelled	Purpose of the travel	Destination	Actual Payment on Travel (a) (Kshs.)	Accrued Expenditure on Travel (b) (Kshs.)	Total Expenditure on Travel (c=a+b) (Kshs.)
County Assembly	4	4th-11th Sept. 2025	Training session for adults in scouting	Arusha	1,863,534	-	1,863,534
County Assembly	23	5th-15th Oct 2025	Study tour in the East African legislative Assembly	Arusha	8,704,570	-	8,704,570
County Assembly	46	21st-27th Sept 2025	Training on budget implementation, monitoring and oversight for county assemblies.	Arusha	15,601,550	-	15,601,550
County Assembly	1	14th-19th September 2025	Training on budget implementation monitoring and oversight for county assemblies	Arusha	329,796	-	329,796
County Assembly	4	26th-9th Nov 2025	The 11th world scout parliament Union Youth Assembly	Arusha	2,855,100	-	2,855,100
County Assembly	1	26th Oct-3rd Nov 2025	Legislative administration-international knowledge exchange program for county assembly clerks	Spain & France	895,180	-	895,180
	1	27th Oct-3rd Nov 2025	Provision of return air ticket while travelling to Madrid	Spain & France	295,000	-	295,000
County Assembly	7	26th-4th Feb 2026	Training on development of indicators for effective governance by the County Service Board.	Singapore	6,390,660	-	6,390,660
County Assembly	7	5th-14th Feb 2026	Executive professional training programme on data technology and smart oversight.	Turkey	4,699,898	-	4,699,898
County Assembly	7	11th-21st Feb 2026	Executive professional training programme on data technology and smart oversight.	Turkey	5,218,220	-	5,218,220
County Assembly	33	26th-30th Jan 2026	Training on capacity building	Arusha	7,739,004	-	7,739,004
County Assembly	30	2nd-6th Feb 2026	Training on legislative governance policy, protocol and finance	Arusha	7,135,656	-	7,135,656.
County Executive	3	25th Oct -1st Nov 2025	Asia-Pacific Cities Summit and the Global Mayoral Forum 2025	Dubai	1,844,285	-	1,844,285

Source: Nyeri County Treasury and Nyeri County Assembly

3.36.14 Facility Improvement Financing

During the review period, the County reported collections of Kshs.764.29 million as FIF, which was 90 per cent of the annual target of Kshs.850 million. The collected amount was retained and utilised at source in line with the Facility Improvement Financing Act, 2023. The County has developed regulations to operationalise the FIF Act of 2023.

The expenditure by the health facilities amounted to Kshs.764.3 million, as shown in Table 3.538.

Table 3.538: Nyeri County Health Facilities Expenditure Performance in the first nine months of FY 2025/26

No.	Health Facility	Number of Facilities	Approved Budget (Kshs.)	Actual Expenditure (Kshs.)	Absorption rate (%)
1	County Referral Hospital	1	358,446,215	258,160,997	72
2	Karatina Hospital	1	164,956,676	112,835,176	68
3	Mukurweini Hospital	1	101,659,294	62,007,063	61
4	Othaya Hospital	1	48,151,419	22,744,445	47
5	Mt. Kenya Hospital	1	43,990,046	31,206,865	71
6	Naromoru Hospital	1	48,398,589	17,417,712	36
7	Ihururu Rehab Centre	1	27,809,653	17,883,768	64
8	Level 2 and 3	120	56,588,108	242,041,401	428
	Total	**127**	**850,000,000**	**764,297,427**	**90**

Source: *Nyeri County Treasury*

3.36.15 Development Expenditure

In the review period, the County reported spending Kshs.735.12 million on development programmes, representing an increase of 38 per cent compared to FY 2024/25, when the County spent Kshs.531.4 million. Table 3.539 summarises the development projects with the highest expenditure in the reporting period.

Table 3.539: Nyeri County, List of Development Projects with the Highest Expenditure

No	Sector	Project Name	Project Location	Project Commencement Date	Expected date of Completion of the Project	Contract sum (Kshs. Million)	Total Funding in FY 2025/26 (Kshs. Million)	Expenditure (on an accrual basis) in the first nine months of FY 2025/26 (Kshs. Million)	Cumulative project expenditure (on an accrual basis) as of 31st March 2026 (Kshs. Million)	Percentage (%) of Completion
County Funded Projects										
1	Water, Environment, and Climate Change	Conditional grant for climate change programme	Countywide	FY 2025/2026	FY 2025/2026	125.00	16.96	-	16.96	14
Donor Funded Projects										
2	Agriculture, Livestock and Fisheries	Conditional Grants for NAVCDP	Countywide	FY 2025/2026	FY 2025/2026	231.25	138.13	-	138.13	60

No	Sector	Project Name	Project Location	Project Commencement Date	Expected date of Completion of the Project	Contract sum (Kshs. Million)	Total Funding in FY 2025/26 (Kshs. Million)	Expenditure (on an accrual basis) in the first nine months of FY 2025/26 (Kshs. Million)	Cumulative project expenditure (on an accrual basis) as of 31st March 2026 (Kshs. Million)	Percentage (%) of Completion
Equalization Funded Projects										
3	Trade, Co-operatives, Culture and Tourism	Streetlight Bills	Countywide	FY 2025/202 6	FY 2025/2026	99.54	115.94	-	115.94	116
4	Health Services and Public Health	Medical Drugs, Non-pharms and other specialized medical supplies for specialized programmes.	Countywide	FY 2025/2026	FY 2025/2026	100.00	52.70	-	52.70	53
5	Roads, Transport, Public Works, Infrastructure and Energy	Purchase of fuel and lubricants	Countywide	FY 2025/2026	FY 2025/2026	13.00	23.89	-	23.89	184
6	County Public Service and Solid Waste Management	Fuel (garbage collection and dumpsite management)	Countywide	FY 2025/2026	FY 2025/2026	18.00	19.44	-	19.44	108
7	Health Services and Public Health	Completion of Wamagana Level 4	Wamagana	FY 2025/2026	FY 2025/2026	20.00	19.33	-	19.33	97
8	Health Services and Public Health	Transfer to OM-WASCO	Iria-ini Othaya	FY 2025/2026	FY 2025/2026	17.50	17.50	-	17.50	100
9	Health Services and Public Health	Proposed OPD Block at Mukurwe-ini Hospital - Phase 1. - Ongoing Works	Mukurwe-ini	FY 2025/2026	FY 2025/2026	12.58	12.58	-	12.58	100
10	County Public Service and Solid Waste Management	Solid waste management; Fuel for Garbage collection trucks-	Countywide	FY 2025/2026	FY 2025/2026	15.65	12.36	-	12.36	79

Source: *Nyeri County Treasury*

The County reported did not report on any stalled development projects as of 31st March 2026.

3.36.16 Budget Performance by Department

Table 3.540 summarises the approved budget allocation, expenditure, and absorption rate by department for the period under review.

Table 3.540: Nyeri County, Budget Allocation and Absorption Rate by Department in the first nine months of FY 2025/26

Department	Revised Budget Allocation (Kshs.Million)		Exchequer Received (Kshs. Million)		Expenditure (Kshs. Million)		Expenditure to Exchequer (%)		Absorption rate (%)	
	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev
Executive Office of the Governor and the Deputy Governor	149.38	31.77	86.50	-	92.90	-	107.40	-	62	-
Office of the County Secretary	402.55	1.50	334.53	-	341.44	-	102.07	-	85	-
Finance, Economic Planning and ICT	634.14	25.48	529.73	-	538.07	-	101.57	-	85	-
Lands, Physical Planning and Urban Development	84.66	72.30	65.49	-	66.09	-	100.91	-	78	-
Health Services and Public Health	2757.82	343.18	1929.74	129.43	1937.69	129.43	100.41	100	70	38
Gender, Youth, Social Services and Sports	110.56	169.43	70.62	29.50	73.35	28.69	103.86	97.26	66	17
County Public Service and Solid Waste Management	237.21	60.38	188.46	22.65	187.74	24.59	99.62	108.58	79	41
Agriculture, Livestock and Aquaculture Development	260.35	364.16	205.35	176.50	206.48	181.88	100.55	103.05	79	50
Trade, Cooperatives, Culture and Tourism	73.63	336.13	28.67	9.27	30.63	9.70	106.86	104.66	41	3
Education, Training and Devolution	523.71	547.54	435.27	52.12	408.42	54.33	93.83	104.23	78	10
Water, Environment, and Climate Change	83.96	297	26.79	180.54	28.75	62.16	107.32	34.43	34	21
County Assembly	793.94	30	487.04	-	536.49	-	110.15	-	68	-
County Public Service Board	51.88	4	42.31	-	43.48	-	102.78	-	84	-
Roads, Transport, Public Works, Infrastructure and Energy	97.67	626.05	74.28	296.77	76.56	196.42	103.06	66.19	78	31
County Attorney	24.30	-	10.93	-	10.73	-	98.20	-	44	-
Nyeri Municipality	38.35	208.68	24.43	36.20	24.23	47.93	99.16	132.41	63	23
	6324.12	**3117.61**	**4540.13**	**932.97**	**4603.05**	**735.12**	**101.39**	**78.79**	**72.79**	**23.58**

Source: *Nyeri County Treasury*

Analysis of expenditure by departments shows that the Department of Agriculture, Livestock and Aquaculture Development recorded the highest absorption rate of development budget at 50 per cent, followed by the Department of County Public Service and Solid Waste Management at 41 per cent. The Department of Finance, Economic Planning and ICT had the highest percentage of recurrent expenditure to budget at 85 per cent, while the Department of Water, Environment, and Climate Change had the lowest at 34 per cent.

3.36.17 Budget Execution by Programmes and Sub-Programmes

Budget execution was concentrated in selected performance bands. In the 1–10 per cent band, development absorption was reported for administration, planning and support services under the Department of County Public Service and Solid Waste Management at 1 per cent, for environment conservation, protection and management under the Department of Environment and Climate Change at 2 per cent, for trade promotion under the Department of Trade, Cooperatives, Culture and Tourism at 2 per cent, for administration and planning services under the Department of Agriculture, Livestock and Aquaculture Development at 2 per cent, and for solid waste management under the Department of Gender, Youth, Social Services and Sports at 10 per cent.

In the 11–20 per cent band, recurrent absorption was reported for donor support services at 15 per cent

and youth training and development at 17 per cent under the Department of Education, Training and Devolution, for community health under the Department of Health Services and Public Health at 18 per cent, and for climate change under the Department of Water, Environment and Climate Change at 19 per cent. In the 21–30 per cent band, recurrent absorption was reported for energy management under the Department of Roads, Transport, Public Works, Infrastructure and Energy at 26 per cent.

No sub-programmes were reported in the 31–40 per cent or 41–50 per cent bands. In the 51–60 per cent band, development absorption was reported for energy management under the Department of Roads, Transport, Public Works, Infrastructure and Energy at 51 per cent, for the county agriculture extension programme under the Department of Agriculture, Livestock and Aquaculture Development at 52 per cent, and for donor support services at 57 per cent.

In the 61–70 per cent band, development absorption was reported for county access and feeder roads improvement under the Department of Roads, Transport, Public Works, Infrastructure and Energy at 65 per cent and for provision of extension services to livestock farmers under the Department of Agriculture, Livestock and Aquaculture Development at 69 per cent. In the 81–90 per cent band, recurrent absorption was reported for county access and feeder roads improvement at 91 per cent, for administrative support services under the Department of Education, Training and Devolution at 91 per cent, and for administration and personnel services under the Department of Finance, Economic Planning and ICT at 90 per cent. In the 90–100 per cent band, recurrent absorption reached 100 per cent for development of agricultural land for crop production under AMS Naromoru and for farm development under Wambugu ATC. No sub-programmes were reported above 100 per cent.

Low absorption in the lower performance bands reflected slow implementation across public service administration, environment, trade and agriculture administration sub-programmes. Conversely, performance in the higher bands reflected the prioritisation of the respective sub-programmes during the review period.

Table 3.541 summarises budget execution by programmes and sub-programmes in the period under review with the highest absorption rates.

Table 3.541: Budget Execution by Programmes and Sub-Programmes with Highest Absorption Rates

Programme	Sub-Programme	Gross Approved Estimates FY 2025/26 (Kshs.) Dev	Expenditure (including accrued expenditure) as of 31st March 2026 (Kshs.) Dev	Absorption Rate (%) Dev
DEVELOPMENT				
Agriculture, Livestock and Aquaculture Development				
Livestock Production Management	Provision of Extension Services to Livestock farmers	25,445,000	17,599,890	69
Roads, Transport, Public Works, Infrastructure and Energy				
Roads development, maintenance and management	County access and feeder roads improvement	15,050,000	9,733,171	65
Agriculture, Livestock and Aquaculture Development				
Resource mobilization and Donor Support	Donor Support Services	253,019,367	143,131,337	57
Agriculture, Livestock and Aquaculture Development				
Agricultural Management	County Agriculture Extension Program	17,735,400	9,305,137	52
Roads, Transport, Public Works, Infrastructure and Energy				
Energy Sector development	Energy Management	249,056,445	126,885,253	51

Programme	Sub-Programme	Gross Approved Estimates FY 2025/26 (Kshs.) Dev	Expenditure (including accrued expenditure) as of 31st March 2026 (Kshs.) Dev	Absorption Rate (%) Dev
RECURRENT				
Agriculture, Livestock and Aquaculture Development				
AMS Naromoru	Development of Agricultural Land for Crop Production	1,226,000	1,226,000	100
Agriculture, Livestock and Aquaculture Development				
Wambugu ATC	Farm Development	6,630,000	6,630,000	100
Roads, Transport, Public Works, Infrastructure and Energy				
Roads development, maintenance and management	County access and feeder roads improvement	78,383,477	71,198,852	91
Education, Training and Devolution				
General administration and policy Development and implementation	Administrative Support Services	431,373,760	392,451,107	91
Finance, Economic Planning and ICT				
Executive Services	Administration and personnel services	512,389,788	462,974,469	90

Source: *Nyeri County Treasury*

The development sub-programmes with the highest budget implementation rates were: Provision of Extension Services to Livestock farmers in the Department of Agriculture, Livestock and Aquaculture Development at 69 per cent, County access and feeder roads improvement in the Department of Roads, Transport, Public Works, Infrastructure and Energy at 65 per cent, and Donor Support Services in the Department of Agriculture, Livestock and Aquaculture Development at 57 per cent.

For recurrent sub-programmes, the top performers included: Development of Agricultural Land for Crop Production and Farm Development in the Department of Agriculture, Livestock and Aquaculture Development at 100 per cent respectively; County access and feeder roads improvement in the Department of Roads, Transport, Public Works, Infrastructure and Energy at 91 per cent; and Administrative Support Services in the Department of Education, Training and Devolution at 91 per cent.

Table 3.542 summarises the budget execution by programmes and sub-programmes in the period under review that had the lowest absorption rates**.**

Table 3.542: Budget Execution by Programmes and Sub-Programmes with Lowest Absorption Rates

Programme	Sub-Programme	Gross Approved Estimates FY 2025/26 (Kshs.)	Expenditure (including accrued expenditure) as of 31st March 2026 (Kshs.)	Absorption Rate (%)
		Dev	Dev	Dev
DEVELOPMENT				
County Public Service and Solid Waste Management				
Human Resources Management	Administration Planning and Support Services	10,676,456	143,318	1
Environment and Climate Change				

Programme	Sub-Programme	Gross Approved Estimates FY 2025/26 (Kshs.)	Expenditure (including accrued expenditure) as of 31st March 2026 (Kshs.)	Absorption Rate (%)
		Dev	Dev	Dev
Environment and Climate Change	Environment Conservation, Protection and Management	6,282,249	149,500	2
Trade, Cooperatives, Culture and Tourism				
Trade and Cooperative Development	Trade Promotion	311,132,316	7,471,215	2
Agriculture, Livestock and Aquaculture Development				
Agricultural Management	Administration and planning services	19,479,329	394,500	2
Gender, Youth, Social Services and Sports				
Sanitation Management	Solid Waste Management	31,860,177	3,074,956	10
RECURRENT				
Education, Training and Devolution				
Resource Mobilization and Donor Support	Donor Support Services	79,909,500	12,234,425	15
Education, Training and Devolution				
Youth Training and Development	Youth Training and Development	6,810,000	1,171,143	17
Health Services and Public Health				
Health Services	Community health	950,000	173,000	18
Water, Environment, and Climate Change				
Environment and Climate Change	Climate Change	13,236,178	2,496,400	19
Roads, Transport, Public Works, Infrastructure and Energy				
Energy Sector development	Energy Management	18,589,160	4,833,067	26

Source: *Nyeri County Treasury*

The development sub-programmes with the lowest budget implementation rates were as follows: Administration Planning and Support Services in the Department of County Public Service and Solid Waste Management at 1 per cent, Environment Conservation, Protection and Management, in the Department of Environment and Climate Change at 2 per cent, and Trade Promotion, Administration and planning services in the Department of Trade and Cooperative Development and Agriculture, Livestock and Aquaculture Development at 2 per cent respectively.

For recurrent sub-programmes, the poorest performers included: Donor Support Service in the Department of Education, Training and Devolution at 15 per cent, Youth Training and Development in the Department of Education, Training and Devolution at 17 per cent, and Community health in the Department of Health Services and Public Health at 18 per cent.

3.36.18 Settlement of Trade Payables

As of 1st July 2025, the County reported trade payables totalling Kshs.356.63 million. This amount consisted of Kshs.342.36 million from the County Executive and Kshs.14.27 million from the County Assembly. The trade payables from the County Executive comprised of Kshs.322.46 million for recurrent expenditure and Kshs.19.9 million for development expenditure.

During the reporting period, the County Executive settled trade payables amounting to Kshs.111.39 million, comprising Kshs.103.94 million (93 per cent) for recurrent programmes and Kshs.7.45 million (7 per cent) for development programmes. On the other hand, the County Assembly settled trade payables worth Kshs.14.27 million for recurrent activities. The outstanding trade payables as of 31st March 2026 were Kshs.230.97 million for the County Executive and nil for the County Assembly. Table 3.543 provides additional details of trade payables.

Table 3.543: Nyeri County Trade Payables as of 31st March 2026

	County Entity	Development	Recurrent	Total
As at 1 July 2025 (End of FY 2024/25)	County Executive	19,900,149	322,459,478	342,359,627
	County Assembly	-	14,270,100	14,270,100
	Total	**19,900,149**	**336,729,578**	**356,629,727**
Amount paid in FY 2025/26	County Executive	7,450,383	103,941,641	111,392,024
	County Assembly	-	14,270,100	14,270,100
	Total	**7,450,383**	**118,211,741**	**125,662,124**
Trade Payables Incurred in FY 2025/26	County Executive	-	-	-
	County Assembly	-	-	-
	Total	**-**	**-**	**-**
Outstanding Trade Payables as of 31 March 2026 (Kshs.)	County Executive	12,449,766	218,517,837	230,967,603
	County Assembly	-	-	-
	Total	**12,449,766**	**218,517,837**	**230,967,603**

Source: Nyeri *County Treasury*

The County Executive and the Assembly submitted a trade payables payment plan, committing to pay Kshs.336.73 million and Kshs.19.9 million, respectively, in FY 2025/26. The County Assembly adhered to this payment plan, as it cleared Kshs.14.27 million while the county Executive did not adhere to the payment plan because it cleared only 111.39 million out of 342.36 million. Table 3.544 and Table 3.545 present the ageing of the total outstanding bills as of 31st March 2026 for the County Executive which were Kshs.230.97 million

Table 3.544: Nyeri County Executive Trade Payables Ageing Analysis as of 31st March 2026

Category	Ageing analysis (Amount in Kshs.)				Total
	Under one year	1-2 years	2-3 years	Over 3 years	
County Executive					
Development Trade Payables	12,449,766	-	-	-	12,449,766
Recurrent Trade Payables (Goods & Services)	147,768,423	58,134,663	-	-	205,903,086
Recurrent Trade Payables (Salary Arrears and Statutory Deductions)	762,538	26,880	-	-	789,417
Recurrent Trade Payables (Staff Claims)	11,825,334	-	-	-	11,825,334
Total Recurrent Trade Payables	160,356,295	58,161,543	-	-	218,517,837
Total Trade Payables	172,806,060	58,161,543	-	-	230,967,603
% of Total	**75**	**25**	**-**	**-**	**100**

Source: Nyeri *County Treasury*

Table 3.545: Nyeri County Assembly Trade Payables Ageing Analysis as of 31st March 2026

Category	Ageing analysis (Amount in Kshs.)				Total
	Under one year	1-2 years	2-3 years	Over 3 years	
Development Trade Payables	-	-	-	-	-
Recurrent Trade Payables (Goods & Services)	-	-	-	-	-
Recurrent Trade Payables (Salary Arrears and Statutory Deductions)	-	-	-	-	-
Recurrent Trade Payables (Staff Claims)	-	-	-	-	-
Total Recurrent Trade Payables	-	-	-	-	-
Total Trade Payables	-	-	-	-	-
% of Total	-	-	-	-	-

Source: Nyeri *County Treasury*

As shown in Table 3.544 and Table 3.545, the total salary arrears and statutory deductions for trade payables amounted to Kshs 789,417, which represented less than one per cent of the total trade payables of Kshs 230.97 million as of March 31, 2026.

Additionally, the two tables indicate that 100 per cent of total trade payables are aged between under one year and 1-2 years, a trend attributed to lack of proper documentation to support the settlement of the payables. To address this situation, the county should endeavour to settling this on FIFO Basis.

3.36.19 General Observations and Recommendations

In the course of overseeing and reporting on the implementation of the Nyeri County budget, the CoB identified the following challenges, which hampered effective budget implementation;

i. The County Treasury's late submission of financial reports to the Controller of Budget affected the timely preparation of the budget implementation report, which was received on 30th April 2026
ii. High levels of trade receivables, which amounted to Kshs.1.28 billion as of 31st March 2026
iii. Low development performance in the review period as the County incurred Kshs.735.12 million on development activities, achieving a 24 per cent absorption rate.
iv. The County reported Kshs.14.96 million under "*other operating expenses - other,*" accounting for 5 per cent of total operation and maintenance costs of Kshs.1.1 billion. The review revealed that this category was misused to record items with specific budget codes, distorting the cost structure, reducing financial transparency, and weakening accountability in public fund management.
v. Fund Administrators failed to submit quarterly financial and non-financial reports to the CoB within the timelines provided by law, which is against the requirement of Section 168 of the PFM Act, 2012. The reports for the Nyeri County Elimu Fund, Nyeri County Emergency Fund, Nyeri County Health Fund, Nyeri County Enterprise Development Fund, Executive Car Mortgage Fund, County Assembly Staff Mortgage and Car loan, and MCAs Mortgage and Car loan Fund were not submitted to the CoB as of 15 April 2026.

The County should implement the following recommendations to improve budget execution:

i. *The County Treasury should ensure the timely preparation and submission of financial reports to the Controller of Budget per the timelines prescribed in Section 166 of the PFM Act, 2012.*
ii. *The County Treasury should institute measures to ensure that it recovers the trade receivables due in order to increase the County's cash flow.*
iii. *The County should implement strategies to increase development expenditures in FY 2025/26.*
iv. *The County Treasury should adhere to the approved budget classification framework by ensuring that all expenditures are recorded under their specific budget codes rather than being aggregated under the "Other Operating Expenses - Other" category.*
v. *The CECMF should follow up to ensure Fund Administrators prepare and submit statutory reports in line with the PFM Act, 2012.*

3.37. County Government of Samburu

3.37.1 Overview of FY 2025/26 Budget

The Samburu County Supplementary Budget for FY 2025/26 is Kshs.8.11 billion. It comprises Kshs.2.71 billion (33 per cent) and Kshs.5.40 billion (67 per cent) allocation for development and recurrent programmes, respectively. The budget estimates represent an increase of Kshs.727.16 million (10 per cent) from the FY 2024/25 budget, which comprised a development budget of Kshs.2.24 billion and a recurrent budget of Kshs.5.14 billion. The increase in the budget was primarily attributed to the rise in the equitable share and own-source revenue.

The budget is to be financed from various revenue sources. These include: the equitable share of revenue raised nationally of Kshs.6.34 billion (74 per cent), additional allocations of Kshs.1.47 million (17 per cent), a cash balance of Kshs.400 million (5 per cent) brought forward from FY 2024/25, and Kshs.302 million (4 per cent) generated as own-source revenue. A breakdown of the additional allocations is shown in Table 3.546.

3.37.2 Revenue Performance

During the first nine months of FY 2025/26, the County reported total revenues amounting to Kshs.3.99 billion. This amount represented a decrease of 13 per cent compared to the amount received in a similar period in FY 2024/25 of Kshs.4.51 billion. The total revenue consisted of Kshs.3.17 billion from the equitable share of revenue raised nationally, additional allocations from the national government and development partners of Kshs.309.05 million, and own-source revenue (OSR) collection of Kshs.391.15 million. Additionally, the County had a cash balance of Kshs.122.76 million from FY 2024/25. The total OSR collection of Kshs.391.15 million included Facilities Improvement Financing (FIF) of Kshs.113.13 million and Kshs.278.02 million from other OSR sources.

Table 3.546 summarises the total revenue available to the County Government during FY 2025/26.

Table 3.546: Samburu County, Revenue Performance in the first nine months of FY 2025/26

No	Revenue Stream	Annual Targeted Revenue (Kshs.)	Actual Receipts (Kshs.)	Receivables in the first nine months of FY 2025/26 (Kshs.)	Total Revenues (in accrual basis) in the first nine months of FY 2025/26 (Kshs.)	Revenue Performance (%)
		A	B	C	D	F=D/A*100
A	**Unspent Balance from FY 2023/24**					
1	Balance at CRF	400,000,000	118,698,301	-	118,698,301	30
2	County Executive Refunds to CRF	-	24,412	-	24,412	100
3	County Assembly Refunds to CRF	-	4,023,196	-	4,023,196	100
	Sub-Total	400,000,000	118,698,301		118,698,301	31
B	**Equitable Share of Revenue Raised Nationally**	6,336,970,364	3,168,485,182	-	3,136,800,330	49
1		**6,336,970,364**	**3,168,485,182**	**-**	**3,136,800,330**	49
	Sub-Total	6,336,970,364	3,168,485,182		3,136,800,330	49
C	**Transfers from the Equalisation Fund**					-
1						-
	Sub-Total					-
D	**Additional Allocations (Including Grants)**					-

No	Revenue Stream	Annual Targeted Revenue (Kshs.)	Actual Receipts (Kshs.)	Receivables in the first nine months of FY 2025/26 (Kshs.)	Total Revenues (in accrual basis) in the first nine months of FY 2025/26 (Kshs.)	Revenue Performance (%)
		A	B	C	D	F=D/A*100
1	**Unconditional Additional Allocations to County Governments**					-
a	DANIDA (Health support funds)	7,446,000	-	-	-	-
b	Mineral Royalties	17,501	-	-	-	-
2	Kenya Livestock Commercialisation Project (KELCLOP)	70,250,000	-	-	-	-
a	Kenya Urban Support Program (Grant)-UIG	35,000,000	-	-	-	-
b	IDA (World Bank Credit: Kenya Urban Support Project (KUSP)- Urban Development Grant (UDG)	70,000,000	-	-	-	-
c	IDA (World Bank) - Credit - Food Systems Resilience Project(FSRP)	246,000,000	115,059,800	-	115,059,800	47
d	Road Maintenance Levy Fund	47,106,940	-	-	-	-
e	Community Health Promotors	37,500,000	19,080,000	-	19,080,000	51
3	IDA (World Bank0 Credit-Second Kenya Devolution Support Program (KDSP II)	352,500,000	35,253,472	-	35,253,472	10
1	World Bank loan for the National Agricultural and Rural Inclusive Growth Project B/F	142,500,000	-	-	-	-
2	Agriculture Sector Development Support Programme (ASDSP) B/F	25,615,979	-	-	-	-
3	ELRP (Locust)	170,000,000	78,800,000		78,800,000	46
4	SWEDEN-Kenya Agricultural Business Development Project (KABDP)	60,855,995	60,855,995	-	60,855,995	100
5	Balance brought forward 2023-24 - CRF	130,000,000	-	-	-	-
6	Finance Localy led Climate Action Program (FLLoCA) Dev	63,933,785	-	-	-	-
7	Finance Localy led Climate Action Program (FLLoCA) b/f Rec	7,671,059	-	-	-	-
	Sub-Total	**1,466,397,259**	**309,049,267**	**-**	**309,049,267**	21
E	**Ordinary Own Source Revenue (OSR)**					
1	Game Parks/Nature Reserves Fees	185,000,000	231,971,186.48	-	231,971,186	125

No	Revenue Stream	Annual Targeted Revenue (Kshs.)	Actual Receipts (Kshs.)	Receivables in the first nine months of FY 2025/26 (Kshs.)	Total Revenues (in accrual basis) in the first nine months of FY 2025/26 (Kshs.)	Revenue Performance (%)
		A	B	C	D	F=D/A*100
2	Land Rates	13,027,000	**10,131,781**	-	10,131,781	78
3	Single Business Permits	18,480,000	9,751,481	-	9,751,481	53
4	Total Cess Receipts	14,220,300	**7,920,767**	-	7,920,767	56
5	Miscellaneous Revenue	927,900	5,193,677.52	-	5,193,678	560
6	Environment and conservancy	15,600,000	3,649,561	-	3,649,561	23
7	Markets and Slaughter House Fees	12,705,000	2,741,857	-	2,741,857	22
8	Vehicle Parking Receipts/ Transport	6,151,500	2,237,765	-	2,237,765	36
9	Advertisement	2,772,000	1,447,700	-	1,447,700	52
10	Liquor License	7,137,900	1,338,000	-	1,338,000	19
11	Other Revenue	6,343,700	1,335,844	-	1,335,844	21
	Sub-Total	**282,365,300**	**277,719,620**	**-**	**277,719,620**	98
F	**Facility Improvement Financing (FIF)**			**-**		-
1	SHIF	-	112,102,945	-	112,102,945	100
2	Defunct NHIF	**-**	**-**	**-**	**-**	-
	Sub-Total	**-**	112,102,945		112,102,945	100
G	**Appropriations in Aid**	**-**				
1	Facility Improvement Financing (FIF)	19,635,000	1,331,444	-	1,331,444	7
	Sub-Total	**19,635,000**	**1,331,444**	**-**	**1,331,444**	**7**
Total		**8,505,367,923**	**3,987,386,759**	**-**	**3,987,386,759**	**47**

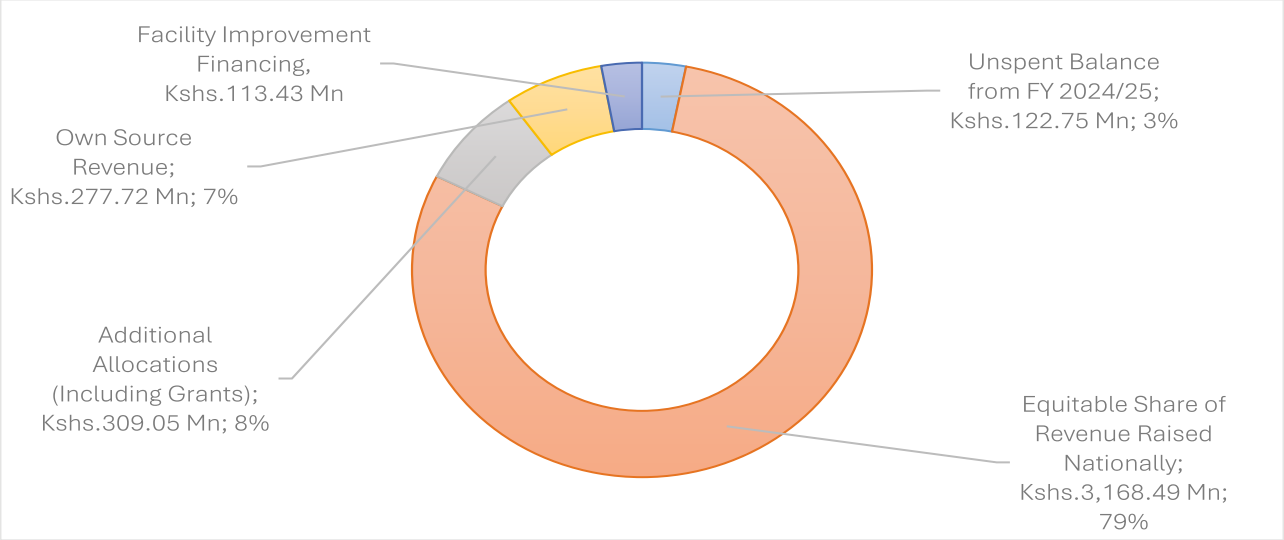
Source: *Samburu County Treasury*

During the period under review, the county did not meet most of its revenue targets, as shown in Table 3.546 above; however, exceptions were noted in Game fees Charges, where the county exceeded its target by 125 per cent. Significantly, the county also collected Kshs 112.10 million from SHIF; this amount had not been budgeted for, thereby increasing own-source revenue.

The County does not have governing legislation on the operation of ordinary A-I-A and FIF.

Figure 3.217 provides a detailed breakdown of receipts.

Figure 3.217: Samburu County Composition of Revenue in the first nine months of FY 2025/26

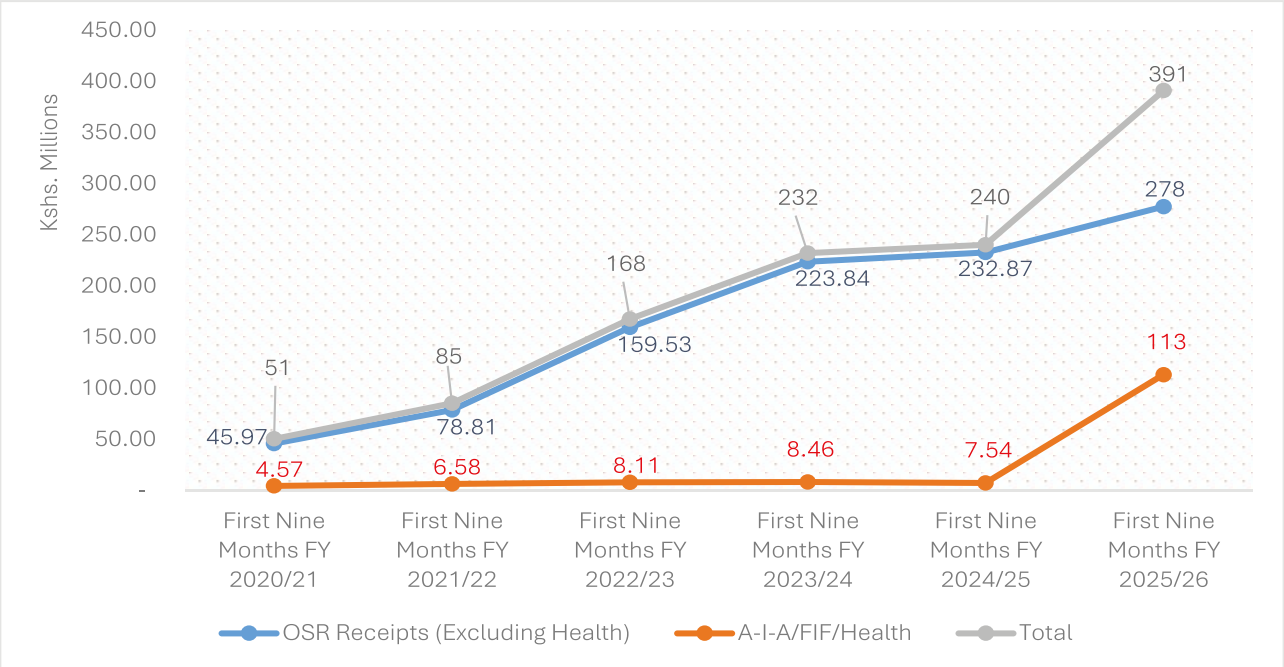


Source: *Samburu County Treasury*

The equitable share of revenue raised nationally, OSR, and FIF contributed 79 per cent, 7 per cent and 3 per cent, respectively, of the total receipts for the reporting period.

Figure 3.218 shows the collection trend in own-source revenue from the first nine months of FY 2020/21 to the first nine months of FY 2025/26.

Figure 3.218: Samburu County Trend in Own-Source Revenue Collection from the first nine months of FY 2020/21 to the first nine months of FY 2025/26

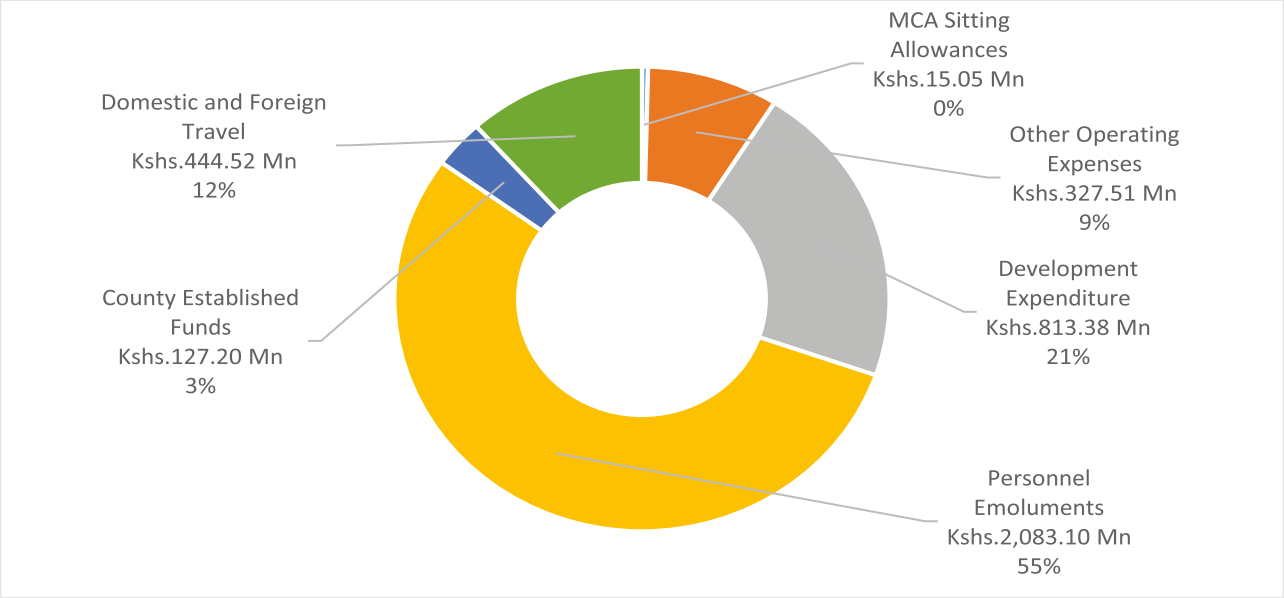


Source: *Samburu County Treasury*

During the first nine months of FY 2025/26, the County received Kshs.391.15 million from OSR, including FIF. This amount was an increase of 63 per cent compared to Kshs.240.40 million realised in a similar period in FY 2024/25, and was 130 per cent of the annual target and 12 per cent of the equitable revenue share disbursed.

The revenue streams that contributed the most to OSR receipts are shown in Figure 3.219.

Figure 3.219: Samburu County Top Own Source Revenue Streams in the first nine months of FY 2025/26



Source: *Samburu County Treasury*

As shown in Figure 3, the largest revenue stream, at Kshs.231.97 million, was Game Park Fees, accounting for 59 per cent of total OSR receipts. The County Government indicated that it has automated 16 revenue streams out of 19. The system utilised for FIF revenue collection is Supapay, which has been in use since March 2024.

3.37.3 Revenue Receivables

As of 1st July 2025, the County reported receivables of Kshs.22.83 million, which decreased to Kshs.4 million as of 31st March 2026. Table 3.2 presents a breakdown of the County's receivables.

The County manages its receivables using a manual system, with a cash-basis option. Table 3.547 presents a breakdown of the County's receivables.

Table 3.547: Samburu County Receivables as of 31st March 2026

No	Revenue Stream	Receivables as of 1 July 2025 (Kshs.)	Progress made in the first nine months of FY 2025/26			Receivables as of 31st March 2026 (Kshs.)	
			Waivers (Kshs)	Receivables paid in the financial year (Kshs)	Receivables earned in the first nine months of FY 2025/26 (Kshs)		
		A	B	C	D	f=a-b-c+d	
A	**Facility Improvement Fund (FIF)**						
1	**SHIF**	**18,825,335**	**-**	**18,825,335**	**-**	**-**	
2	**Defunct NHIF**	**4,000,000**	**-**	**-**	**-**	**4,000,000**	
	Sub-Total	**22,825,335**	**-**	**18,825,335**		4,000,000	
Total		**22,825,335**	**-**	**18,825,335**		**-**	

Source: Samburu *County Treasury*

As of 31st March 2026, the receivables totalled to Kshs.4 million, which has not been remitted by the defunct NHIF. The measures instituted by the County to collect the outstanding trade receivables in FY 2025/26 include constant reminders to the defunct NHIF.

3.37.4 Borrowing by the County

During the period under review, the county did not make any borrowing.

3.37.5 Withdrawals from the County Revenue Fund and County Assembly Fund

During the reporting period, the Controller of Budget approved exchequer withdrawal requests totalling Kshs.4.64 billion from the Samburu County Revenue Fund (CRF) account. This amount consisted of Kshs.813.38 million (18 per cent) designated for development programs and Kshs.3.83 billion (82 per cent) allocated for recurrent programs.

An analysis of the released recurrent exchequers shows that Kshs.2.08 billion was allocated to employee compensation and Kshs.1.74 billion to operations and maintenance expenditures. Within the operations and maintenance category, 24 per cent was for domestic travel and 2 per cent for foreign travel. The domestic travel exchequers totalled Kshs.417.18 million, which included Kshs.336.42 million for the County Executive and Kshs.80.76 million for the County Assembly. Meanwhile, the foreign travel exchequers amounted to Kshs.27.35 million, with Kshs.5.99 million for the County Executive and Kshs.21.35 million for the County Assembly.

As of 31st March 2026, the County Government's cash balance in the CRF account was Kshs.397.02 million.

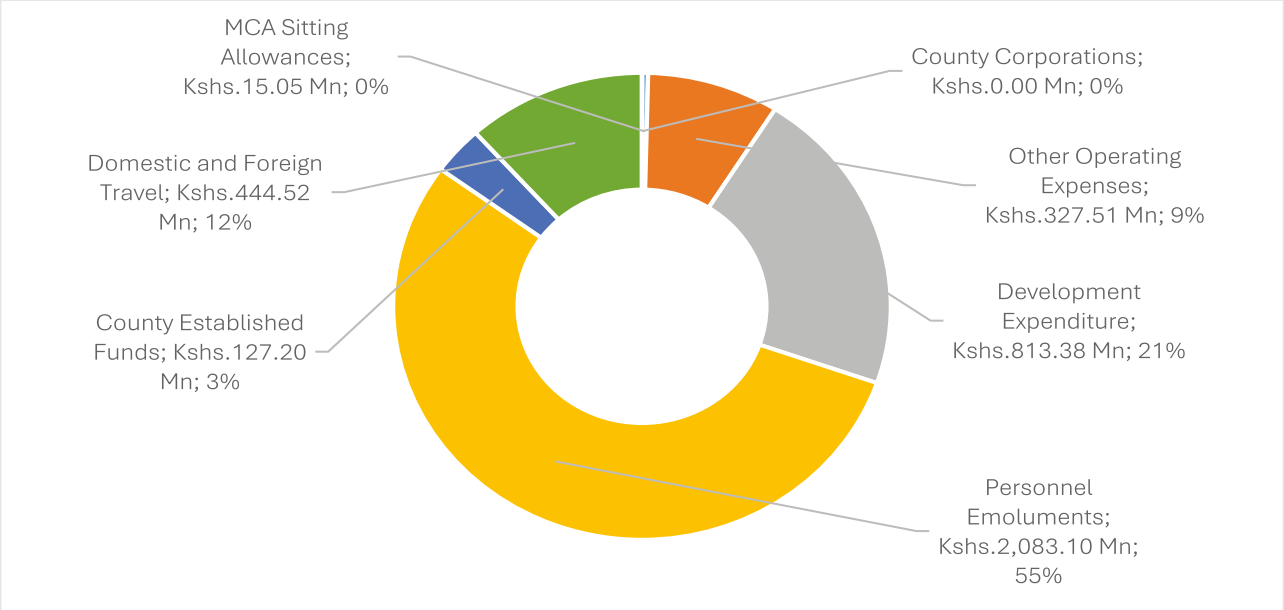
In addition, the Controller of Budget did not approve exchequer withdrawal requests from the Samburu County Assembly Fund (CAF) account during the review period. This account has not been opened as required by the PFMA Amendment of 2025. However, the county assembly continued to receive its allocation from the Samburu County Revenue Fund.

3.37.6 Expenditure Review

The County spent Kshs.4.64 billion on development and recurrent programmes during the reporting period. The expenditure represented 100 per cent of the total funds released by the CoB. It comprised Kshs.813.38 million for development programmes and Kshs.3.82 billion for recurrent programmes. Expenditure on development programmes accounted for 30 per cent of the annual development expenditure budget, while recurrent expenditure accounted for 71 per cent of the annual recurrent expenditure budget.

Figure 3.220 provides a detailed breakdown of total expenditure.

Figure 3.220: Samburu County Composition of Expenditure in the first nine months of FY 2025/26



Source: Samburu *County Treasury*

As shown in Figure 3.220, the three highest expenditure categories were Personnel Emoluments, Development Expenditure, Domestic and foreign travel, contributing 55, 21 and 12 per cent of total expenditure for the reporting period.

3.37.7 Expenditure by Economic Classification

The County Executive incurred Kshs.1.86 billion in employee compensation, Kshs.1.54 billion in opera-

tions and maintenance, and Kshs.810.10 million in development activities. Similarly, the County Assembly spent Kshs.218.67 million on compensation of employees, Kshs.207.56 million on operations and maintenance, and Kshs.3.28 million on development activities, as shown in Table 3.548.

Table 3.548: TSamburu County Summary of Budget and Expenditure by Economic Classification

Expenditure Classification	Approved Budget (Kshs. million) (a)		Amount Paid in the first nine months of FY 2025/26 (Kshs.million) (b)		Expenditure Accrued in the first nine months of FY 2025/26 (Kshs. million) (c)		Total Expenditure in the first nine months of FY 2025/26 (Kshs. million) (d=b+c)		Absorption (%) (d/a*100)	
	Executive	Assembly	Executive	Assembly	Executive	Assembly	Executive	Assembly	Executive	Assembly
Total Recurrent Expenditure	**4,834.17**	**569.62**	**3,399.59**	**426.23**	**-**	**-**	**3,399.59**	**426.23**	**70**	**75**
Compensation of Employees	2,760.52	322.07	1,864.43	218.67	-	-	1,864.43	218.67	**68**	**68**
Operations and Maintenance	2,073.65	247.54	1,535.16	207.56	-	-	1,535.16	207.56	**74**	**84**
Development Expenditure	**2,645.11**	**60.48**	**810.10**	**3.28**	**-**	**-**	**810.10**	**3.28**	**31**	**5**
Total	**7,479.28**	**630.10**	**4,209.70**	**429.51**	**-**	**-**	**4,209.70**	**429.51**	**56**	**68**

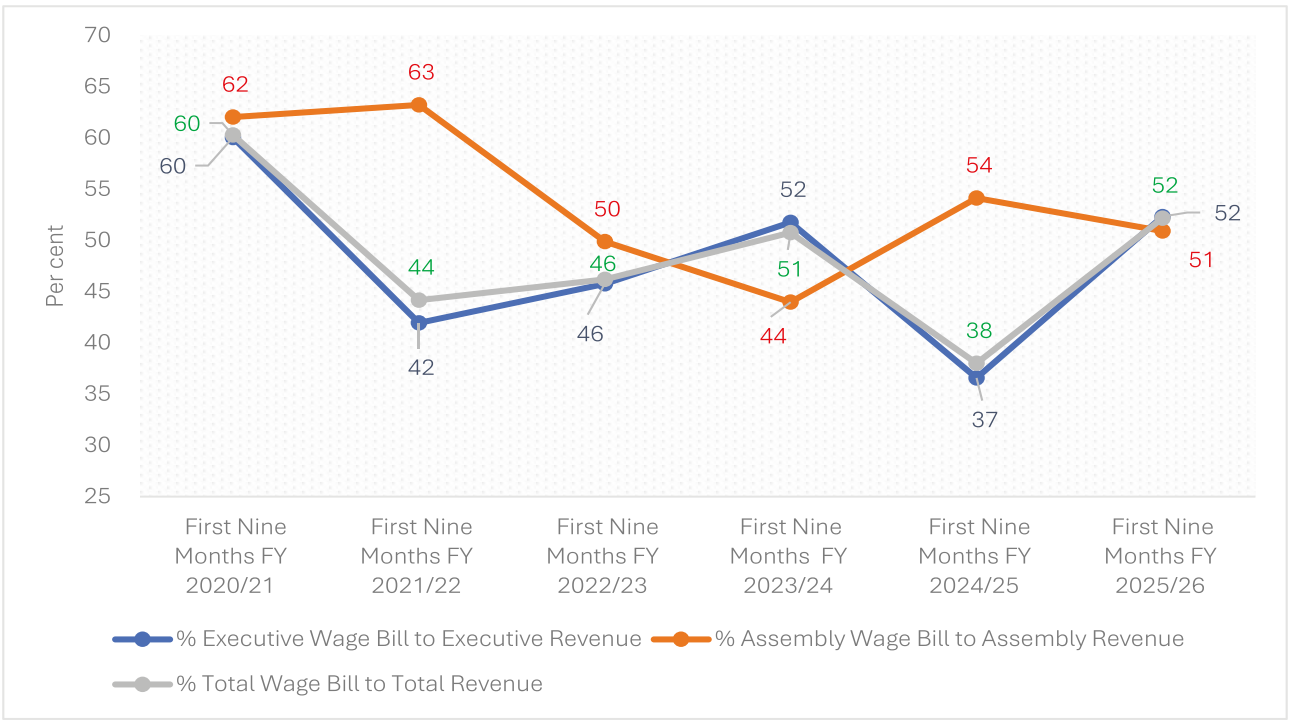
Source: *Samburu County Treasury*

3.37.8 Expenditure on Employee Compensation

The expenditure on employee compensation totalled Kshs.2.08 million, representing 54 per cent of revenue. This expenditure on employee compensation shows. an increase compared to the Kshs.1.87 billion reported in a similar period in FY 2024/25. Of this total, Kshs.656.03 billion is related to Health Sector employees, accounting for 31 per cent of the overall employees' compensation.

Figure 3.221 shows the trend in employee compensation as a percentage of total revenue from the first nine months of FY 2020/21 to the first nine months of FY 2025/26.

Figure 3.221: Percentage of Employee Compensation Expenditure to Total Revenue Received in the first nine months of FY 2020/21 to the first nine months of FY 2025/26



Source: Samburu County Treasury

Further analysis indicated that PE costs amounting to Kshs.2.07 billion were processed through the Human Resource Information System (HRIS). In contrast, Kshs.12.49 million was processed through manual payrolls, which accounted for 1 per cent of the total PE cost. The county has since adopted the use of Human Resource Information System in processing of Salaries.

The manual payroll comprised salaries for 68 staff not onboarded into the Human Resource Information System (HRIS) and top-up allowances for security personnel, as shown in Table 3.549.

Table 3.549: Breakdown of Samburu County Manual Payroll

Sno.	Description of Manual Payroll	Amount (Kshs.)
1	Salaries for staff yet to be onboarded into HRIS	11,703,955
2	Top-up Allowances for Security Officers	781,200
	Total	12,485,155

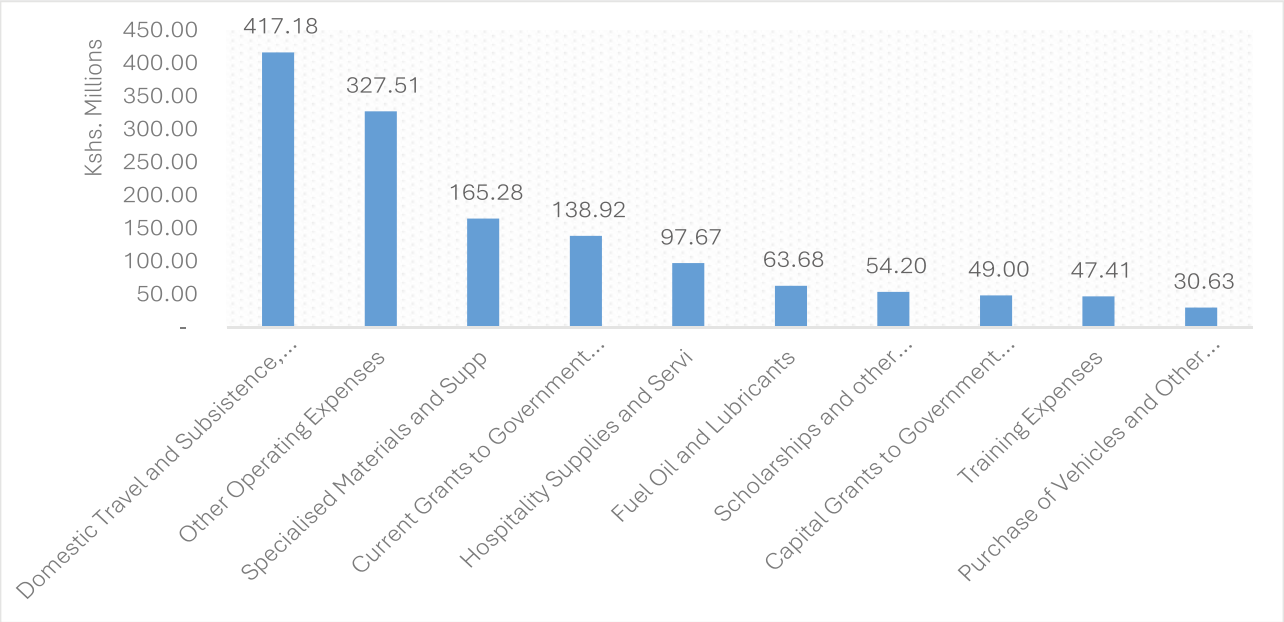
Source: Samburu County Treasury

The County Assembly spent Kshs.15.05 million on committee sitting allowances for the 26 MCAs against the annual budget allocation of Kshs.30.45 million. The average monthly sitting allowance was Kshs.63,326 per MCA. The County Assembly has 15 House Committees.

3.37.9 Expenditure on Operations and Maintenance

During the reporting period, the County spent Kshs.1.74 billion on operations and maintenance, representing an increase of 34 per cent compared to a similar period in FY 2024/25, when the County spent Kshs.1.30 billion. Figure 3.222 illustrates the distribution of Operations and Maintenance expenditures across the major spending categories.

Figure 3.222: Samburu County, Operations and Maintenance Expenditure by Major Categories



Source: *Samburu County Treasury*

3.37.10 Unbundling "Other Operating Expenses - Other" Under Operations and Maintenance Expenditures

The budget performance report for the first nine months of FY 2025/26 indicates that the County spent Kshs.80 million on "*other operating expenses*," which was 5 per cent of the total operations and maintenance expenditure of Kshs.1.74 billion. The disaggregated items under the "*Other Operating Expenses*" category are shown in Table 3.550.

Table 3.550: Breakdown of "Other Operating Expenses-Other (code 2211399)" under O&M Expenditures

Code	Item	Budget (Kshs)	Expenditure (Kshs.)
2211399	Other Operating Expenses - Other	80,836,770	80,836,770
	Total	**327,513,696**	**327,513,696**

Source: *Samburu County Treasury*

3.37.11 County-Established Funds

Section 116 of the PFM Act 2012 allows County Governments to establish other public funds, subject to approval from the County Executive Committee and the County Assembly. The County allocated Kshs.264.21 million to County-Established funds in FY 2025/26, representing 3 per cent of the County's overall budget. Of this amount, the County allocated Kshs.20 million to the Emergency Fund in line with Section 110 of the PFM Act, 2012, accounting for 0.2 per cent of the total budget. Table 3.551 summarises each established Fund's budget allocation and performance during the reporting period.

Table 3.551: Performance of Samburu County Established Funds in the first nine months of FY 2025/26

S/No.	Name of the Fund	Year Established	Approved Budget Allocation in FY 2025/26 (Kshs.)	Exchequer Issues in the first nine months of FY 2025/26 (Kshs.)	Actual disbursements in the first nine months of FY 2025/26 (Kshs.)	Cumulative disbursements to the Fund (Kshs)	Submission of Financial Statements (Yes/No.)
		County Executive Established Funds					
1	Conservancies Fund – Department of Tourism, Trade, Enterprise Development and Cooperatives	2017	134,000,000	67,000,000	67,000,000	67,000,000	NO
2	Executive Car Loan and Mortgage	2017	3,000,000	-	-	-	NO
3	Bursaries and Support Services - Department of Education and Vocational Training	2017	100,000,000	60,200,000	60,200,000	60,200,000	YES
4	PLWD Fund	2017	5,000,000	-	-	-	NO
5	Emergency Fund – Department of Finance	2017	20,000,000	-	-	-	NO
County Assembly Established Funds							
	Assembly Car Loan and Mortgage	2017	2,212,000	-	-	-	NO
	Total		**2,212,000**	**127,200,000**	**127,000,000**	**127,000,000**	

Source: *Samburu County Treasury*

During the reporting period, the CoB received quarterly financial reports from one Fund Administrator, as indicated in Table 3.6, contrary to the requirement of Section 168 of the PFM Act, 2012. The County disclosed that the administration costs of the Bursary fund were within the 3 per cent limit of the Fund budget set in Regulation 197(1)(d) of the Public Finance Management (County Governments) Regulations, 2015.

Regulation 197(1)(i) of the Public Finance Management (County Governments) Regulations, 2015, allows County Governments to establish public funds with a lifespan capped at 10 years unless extended by the County Assembly. In FY 2025/26, the CoB established that the lifespan of all funds was within the required 10-year period.

3.37.12 County Municipalities, Corporations and Agencies

During the period under review, the County of Samburu did not have an established county corporation.

3.37.13 Expenditure on Domestic and Foreign Travel

Expenditure on domestic travel amounted to Kshs.417.18 million and comprised Kshs.80.76 million spent by the County Assembly and Kshs.336.42 million by the County Executive. Expenditure on foreign travel amounted to Kshs.27.35 million and comprised Kshs.21.35 million by the County Assembly and Kshs.5.99 million by the County Executive. Expenditure on foreign travel is summarised in Table 3.552.

Table 3.552: Summary of Expenditure on Foreign Travel in the first nine months of FY 2025/26

Arm of County Government	Number of Officers Travelled	Date travelled	Purpose of the travel	Destination	Actual Payment on Travel (a) (Kshs.)	Accrued Expenditure on Travel (b) (Kshs.)	Total Expenditure on Travel (c=a+b) (Kshs.)
Executive	1	22nd Sep To 27th Sept 2025	Leadership and Change Management Programme In Dubai	Dubai-Uae	753,770	-	753,770
Executive	4	4th To 6th November,2025	The World Travel Market (WTM) London 2025	United Kingdom	3,466,553	-	3,466,553
Executive	4	17th To 28th November,2025	The Women Leader's Guide To High Impact Public Policy And Sustainable Development Conference Training In Istanbul, Turkey	Turkey	4,934,624	-	4,934,624
Executive	2	15th To 23rd Nov 2025	UNFCCC Conference of the Parties (COP30) 2025 Taking Place In Belem Brazil	Brazil	1,795,938		1,795,938
Executive	3	1st To 5th December,2025	ICPAK 31st EXECUTIVE SEMINAR	Turkey	3,460,365	-	3,460,365
Executive	2	30th Nov To 14th Dec 2025	The Woman Leader's Guide To High-Impact Public Policy And Sustainable Development Conference	Turkey	3,214,176	-	3,214,176
County Assembly	4	23rd Feb To 28th 2025	CASA Games For East Africa	Kampala, Uganda	1,380,371	-	1,380,371
County Assembly	1	26th To 3rd November 2025	SOCCAT, Speakers Forum	Spain And Italy	1,769,620	-	1,769,620
County Assembly	1	12th To 18th October 2025	ICT Strategy Summit	Dubai	798,055	-	798,055
County Assembly	1	12th To 18th October 2025	Modern Tourism Forum	Bostwana,	450,199	-	450,199
County Assembly	7	9th-15th January 2026		Kampala, Uganda	16,951,980	-	16,951,980
Total						-	

Source: Samburu County Treasury and Samburu County Assembly

3.37.14 Facility Improvement Financing

During the review period, the County reported collections of Kshs.113.43 million as FIF, which was 578 per cent of the annual target of Kshs.19.64 million. The collected amount was partly retained and utilised at

source in line with the Facility Improvement Financing Act, 2023. The County has however, not developed regulations to operationalise the FIF Act of 2023.

The expenditure by the health facilities amounted to Kshs.88.20 million, as shown in Table 3.553.

Table 3.553: Samburu County Health Facilities Expenditure Performance in the first nine months of FY 2025/26

No.	Health Facility	Number of Facilities	Approved Budget (Kshs.)	Actual Expenditure (Kshs.)	Absorption rate (%)
1.	Level 5 Hospital	1	41,871,741	40,466,694	97
2.	Level 4 Hospital	4	23,289,600	22,765,432	98
3.	Level 3 Facility	26	12,845,392	12,645,211	98
4.	Level 2 Facility	70	12,612,191	12,320,200	98
	Total		**90,618,924**	**88,197,537**	97

Source: *Samburu County Treasury*

3.37.15 Development Expenditure

In the review period, the County reported spending Kshs 813.38 million on development programmes, representing an increase of 25 per cent compared to FY 2024/25, when the County spent Kshs.648.97 million. Table 3.554 summarises the development projects with the highest expenditure in the reporting period.

The increase in development expenditure was attributed to improved settlement of the trade payables.

Table 3.554: Samburu County, List of Development Projects with the Highest Expenditure

No	Sector	Project Name	Project Location	Project Commencement Date	Expected date of Completion of the Project	Contract sum (Kshs)	Total Funding in FY 2025/26 (Kshs.)	Expenditure (on an accrual basis) in the first nine months of FY 2025/26 (Kshs.)	Cumulative project expenditure (on an accrual basis) as of 31st March 2026 (Kshs.)	Percentage (%) of Completion
County Funded Projects										
1	Livestock	Supply of Camels	Samburu County	2024/2025	30th June,2025	24,229,008	24,229,008	24,229,008	24,229,008	100
2	Livestock	Supply of Camels	Samburu County	2024/2025	30th June,2025	12,999,501	12,999,501	12,999,501	12,999,501	100
3	Public Works	Payment for the Construction of the Mbukwa Footbridge	Samburu County	2024/2025	30th June,2025	9,399,700	9,399,700	9,399,700	9,399,700	100
4	Education	Construction of 30 no.ECDE Kitchens	Samburu County	2023/2024	30th June,2025	9,016,000	9,016,000	9,016,000	9,016,000	100
5	Water	Drilling & equipping of 3NO B/holes (Leere , Naimaral & Mekewa) at Samburu North	Samburu County	1st July,2025	30th June,2025	8,924,922	8,924,922	8,924,922	8,924,922	100
6	Water	Disilting Of Naisunyai Dam	Samburu County	1st July,2024	30th June,2025	4,999,400	4,999,400	4,999,400	4,999,400	100
7	Public Works	Payment For Repair Of Seiyia Footbridge	Samburu County	1st July,2024	30th June,2025	4,999,000	4,999,000	4,999,000	4,999,000	100
8	Trade	Payment For Renovation Of Baragoi Market	Samburu County	1st July,2024	30th June,2025	4,997,530	4,997,530	4,997,530	4,997,530	100

No	Sector	Project Name	Project Location	Project Commencement Date	Expected date of Completion of the Project	Contract sum (Kshs)	Total Funding in FY 2025/26 (Kshs.)	Expenditure (on an accrual basis) in the first nine months of FY 2025/26 (Kshs.)	Cumulative project expenditure (on an accrual basis) as of 31st March 2026 (Kshs.)	Percentage (%) of Completion
9	Education	Construction of 2 no ECDE Classes & 2no Pitlatrines At Ntil, Loosayen Ndoto Ward	Samburu County	1st July,2024	30th June,2025	4,994,230	4,994,230	4,994,230	4,994,230	100
10	Roads	Improvement of the Sirata Area Road	Samburu County	1st July,2024	30th June,2025	3,999,800	3,999,800	3,999,800	3,999,800	100
Donor Funded Projects										
1	LIVESTOCK	Samburu, Kenya Livestock Commercialisation	Samburu County	1st July,2025	30th June,2026	70,250,000	70,250,000	41,094,477	41,094,477	58
2	Roads And Public Works	Samburu County Roads Maintenance Levy	Samburu County	1st July,2025	30th June,2026	60,855,995	60,855,995	60,855,995	60,855,995	100
3	Agriculture, Livestock, and Crop Productions	Food System Resilience Project (FSRP)	Samburu County	1st July,2025	30th June,2026	246,000,000	246,000,000	115,059,820	115,059,820	47

Source: *Samburu County Treasury*

The County reported 2 stalled development projects as of 31st March 2026, with an estimated value of Kshs.204.54 million, of which Kshs.168.23 has already been paid. The stalled projects are shown in Table 3.555.

Table 3.555: Samburu County Stalled Projects as of 31st March 2026

No	Sector	Project Name	Project Location	Estimated Value of the Project (Kshs.)	Amount Paid on the stalled project (Kshs.)	Accrued Expenditure on the stalled project (Kshs.)	Outstanding Unpaid Balance As of 31st March 2026	Percentage of Completion before stalling of the Project
1	Health Services	Proposed construction of inpatient Block at Samburu County Teaching and Referral Hospital	Maralal	116,951,010	107,790,785	9,160,225	9,160,225	92
2	Admnistration	Construction of Governors official residence	Maralal	87,586,528	60,440,153	27,146,375	27,146,375	69

Source: Samburu County treasury

3.37.16 Budget Performance by Department

Table 3.556 summarises the approved budget allocation, expenditure, and absorption rate by department for the period under review.

Table 3.556: Samburu County, Budget Allocation and Absorption Rate by Department in the first nine months of FY 2025/26

Department	Revised Budget Allocation (Kshs. Million)		Exchequer Received (Kshs. Million)		Expenditure (Kshs.Million)		Expenditure to Exchequer (%)		Absorption rate (%)	
	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev
County Executive	499.43	2	434	-	433.87	-	100	-	87	-
Finance, Economic Planning & ICT	1,006.57	39	723	1	723.07	998.50	100	100	72	3
Agriculture, Livestock Development, Veterinary Services & Fisheries	213.02	743	167	279	166.73	278.92	100	100	78	38
Water, Environment, Natural Resources & Energy	180.52	583	143	123	142.91	123.11	100	100	79	21
Education and Vocational Training	573.23	145	427	32	427.43	32.22	100	100	75	22
Medical Services, Public Health & Sanitation	1,551.62	103	977	-	976.64	-	100	100	63	-
Lands, Housing, Physical Planning & Urban Development	211.73	137	127	30	127.35	30	100	100	60	22
Roads, Transport & Public Works	97.22	303	59	220	58.70	220.44	100	100	60	73
Tourism, Trade, Enterprise Development & Cooperatives	252.45	198	158	104	157.77	104.48	100	100	63	53
Culture, Social Services, Gender, Sports & Youth Affairs	248.37	392	185	20	185.12	19.95	100	100	75	5
County Assembly	569.62	60.48	426.23	3.28	426.23	3.28	100	100	75	5
Total	**5403.79**	**2705.59**	**3825.82**	**813.38**	**3825.82**	**813.38**	**100**	**100**	**71**	**30**

Source: *Samburu County Treasury*

Analysis of expenditure by departments shows that the Department of Roads, Transport & Public Works recorded the highest absorption rate of development budget at 73 per cent, followed by the Department of Tourism, Trade, Enterprise Development & Cooperatives at 53 per cent. The County Executive had the highest percentage of recurrent expenditure to budget at 87 per cent, while the Department of Lands, Housing, Physical Planning & Urban Development had the lowest at 60 per cent.

3.37.17 Budget Execution by Programmes and Sub-Programmes

Budget execution was concentrated in selected performance bands. In the 1–10 per cent band, recurrent absorption was reported for firefighting services under the Department of Lands, Housing, Physical Planning and Urban Development at 0 per cent and for GIS database creation and social welfare and gender, both at 10 per cent. A number of development sub-programmes recorded nil absorption, including administration of human resources in the county public service, system security under the Department of Finance, Economic Planning and ICT, revitalisation of youth polytechnics under the Department of Education and Vocational Training, health policy, planning and financing under the Department of Medical Services, Public Health and Sanitation, and survey and mapping under the Department of Lands, Housing, Physical Planning and Urban Development.

In the 11–20 per cent band, recurrent absorption was reported for housing management services under the Department of Lands, Housing, Physical Planning and Urban Development at 19 per cent. No sub-programmes were reported in the 21–30 per cent or 31–40 per cent bands. In the 41–50 per cent band, development absorption was reported for development of capture fisheries resources at 44 per cent (with the recurrent component at 42 per cent), and recurrent absorption was reported for system security under the Department of Finance, Economic Planning and ICT at 46 per cent.

In the 51–60 per cent band, development absorption was reported for establishment and management of the county tourism information centre under the Department of Tourism, Trade, Enterprise Development and Cooperatives at 56 per cent, while recurrent absorption was recorded for rehabilitation of roads, drainage and bridges at 51 per cent, for revitalization of youth polytechnics at 56 per cent, and for health policy, planning and financing at 56 per cent.

In the 61–70 per cent band, recurrent absorption was reported for administration of human resources in the county public service at 69 per cent. In the 71–80 per cent band, development absorption was reported for rehabilitation of roads, drainage and bridges under the Department of Roads, Transport and Public Works at 74 per cent. In the 81–90 per cent band, recurrent absorption was reported for promotion of value addition of livestock and livestock products at 86 per cent, for survey and mapping at 89 per cent, for public road transport and parking at 89 per cent, and for establishment and management of the county tourism information centre at 85 per cent. In the 90–100 per cent band, development absorption reached 100 per cent for development of capture fisheries resources, while recurrent absorption reached 100 per cent for general administration, planning and support services under sports, 99 per cent for administration, planning and support services under the Department of Agriculture, Livestock Development, Veterinary Services and Fisheries, 98 per cent for administration under the Department of Water, Environment, Natural Resources and Energy, and 95 per cent for sub-county administration under the County Executive. No sub-programmes were reported above 100 per cent.

Low absorption in the lower performance bands reflected the development sub-programmes that recorded no expenditure across county executive, finance, education, medical services and lands. Conversely, performance in the higher bands was attributed to the increased settlement of trade payables and the prioritisation of the respective sub-programmes during the review period.

Table 3.557 summarises budget execution by programmes and sub-programmes in the period under review with the highest absorption rates.

Table 3.557: Budget Execution by Programmes and Sub-Programmes with Highest Absorption Rates

Programme	Sub-Programme	Revised Approved Estimates (Kshs.)		Actual Expenditure (Kshs.)		Absorption Rate (%)	
		Rec	Dev	Rec	Dev	Rec	Dev
County Executive							
	Sub County Administration	156,854,408	-	149,561,324	-	95	-
	Coordination, Supervision and Human Resource Services	55,454,601	-	54,051,660	-	97	-
	Administration, Planning and Support Services	61,343,803	-	60,636,950	-	99	-
	Promotion of Value Addition of Livestock and Livestock Products	23,755,627	301,150,000	20,449,920	131,244,221	86	44
	Development of capture fisheries resources	10,537,348	7,700,000	4,439,751	7,698,594	42	100

Programme	Sub-Programme	Revised Approved Estimates (Kshs.)		Actual Expenditure (Kshs.)		Absorption Rate (%)	
		Rec	Dev	Rec	Dev	Rec	Dev
Water, Environment, Natural Resources & Energy							
	Administration	35,395,712		34,755,806	-	98	-
Medical Services, Public Health & Sanitation							
	Provision Of Essential Health Services In All The Levels	16,493,434		15,173,551	-	92	-
Lands, Housing, Physical Planning & Urban Development							
	Survey And Mapping	14,433,925	2,000,000	12,821,886	-	89	-
	Street lights management	16,810,206	5,000,000	15,416,823	-	92	-
Roads, Transport & Public Works							
	Rehabilitation of Roads, Drainage and Bridges	10,968,610	297,519,245	5,587,620	220,436,034	51	74
	Public Road transport and parking	7,988,962		7,095,630	-	89	-
	Design, supervision and rehabilitation of County Buildings	11,281,420		10,571,780	-	94	-
Tourism, Trade, Enterprise Development & Cooperatives							
	Producer Business Groups	54,606,230		50,268,471	-	92	-
	Establish & Management of County Tourism Information Centre	71,939,240	177,800,000	60,913,812	99,483,364	85	56
Culture, Social Services, Gender, Sports & Youth Affairs							
	General Administration Planning and Support Services (Sports)	107,190,208	-	107,190,208	-	100	-

Source: *Samburu County Treasury*

The development sub-programmes with the highest budget implementation rates were: Development of capture fisheries resources in the Department of Agriculture, Livestock Development; Rehabilitation of Roads, Drainage and Bridges at Roads of Transport & Public Works; Establish & Management of County Tourism Information Centre in the Department of Tourism, Trade, Enterprise Development & Cooperatives at 100 per cent, 74 and 56 per cent respectively.

For recurrent sub-programmes, the top performers included: General Administration Planning and Support Services (Sports) in the Department of Culture, Social Services, Gender, Sports & Youth Affairs at 100 per cent; Administration, Planning and Support Services in the Department of Agriculture, Livestock Development, Veterinary Services & Fisheries at 99 per cent; and Administration, Planning and Support Services in the Department of Water, Environment, Natural Resources & Energy at 98 per cent. The higher performance of these programmes can be attributed to the increased settlement of trade payables

Table 3.558 summarises the budget execution by programmes and sub-programmes in the period under review that had the lowest absorption rates.

Table 3.558: Budget Execution by Programmes and Sub-Programmes with Lowest Absorption

Programme	Sub-Programme	Revised Approved Estimates (Kshs.)		Actual Expenditure (Kshs.)		Absorption Rate (%)	
		Rec	Dev	Rec	Dev	Rec	Dev
County Executive Services							
	Administration of Human Resources in County Public Service	67,679,882	2,000,000	46,894,527	-	69	-
Finance, Economic Planning & ICT							
	System Security	33,737,584	34,478,387	15,681,762	-	46	-
Education and Vocational Training							
	SP1 Revitalization of Youth Polytechnics	33,307,755	15,832,477	18,710,884	-	56	-
Medical Services, Public Health & Sanitation							
	Health Policy, Planning & Financing	19,900,427	102,600,000	11,234,110	-	56	-
Lands, Housing, Physical Planning & Urban Development							
	GIS Data Base creation	3,680,000		350,484	-	10	-
	Firefighting services	2,770,077		-	-	-	-
	Housing management services	45,341,287		8,490,380	-	19	-
	Survey And Mapping	14,433,925	2,000,000	12,821,886	-	89	-
Roads, Transport & Public Works							
	Street lights management	16,810,206	5,000,000	15,416,823	-	92	-
Culture, Social Services, Gender, Sports & Youth Affairs							
	Social Welfare and Gender	14,300,000		1,389,500	-	10	-

Source: *Samburu County Treasury*

The development sub-programmes with the lowest budget implementation rates were as follows: Administration of Human Resources in County Public Service in the County Executive, System Security of Finance and Economic Planning, Revitalisation of Youth Polytechnics of Education and Vocational training; Health policy Planning and Financing of Medical Services department; and Survey and Mapping at Lands and Urban Development. All these departments had no expenditure during the period under review.

For recurrent sub-programmes, the poorest performers included: firefighting services in the department of Culture, Social Services, Gender, Sports & Youth Affairs 0 per cent; GIS Data Base creation in the Department of Lands, Housing, Physical Planning & Urban Development at 10 per cent; and Social Welfare and Gender in the Department of Culture, Social Services, Gender, Sports & Youth Affairs at 10 per cent.

3.37.18 Settlement of Trade Payables

As of 1st July 2025, the County reported trade payables totalling Kshs.481.19 billion. This amount consisted of Kshs.431.83 million from the County Executive and Kshs.49.36 million from the County Assembly. The trade payables from the County Executive comprised of Kshs.200.79 million for recurrent expenditure and Kshs.231.05 million for development expenditure.

During the reporting period, the County Executive settled trade payables amounting to Kshs.349.49 million, comprising Kshs.172.19 million (49 per cent) for recurrent programmes and Kshs.177.31 million (51 per cent) for development programmes. On the other hand, the County Assembly settled trade payables amounting to Kshs.25.25 million, comprising Kshs.17.53 million (69 per cent) for recurrent activities and

Kshs.7.72 million (31 per cent) for development activities. The outstanding trade payables as of 31st March 2026 were Kshs.60.06 million for County Executive and Kshs.24.11 million for County Assembly.Table 3.559 provides additional details of trade payables.

Table 3.559: Samburu County Trade Payables as of 31st March 2026

		County Entity	Development (Kshs.)	Recurrent (Kshs.)	Total (Kshs.)
As at 1 July 2025 (End of FY 2024/25)	a	County Executive	231,045,333	200,786,404	431,831,737
		County Assembly	7,721,925	41,639,817	49,361,742
		Total	238,767,258	242,426,221	481,193,479
Trade payables scheduled to be settled in the first nine months of FY 2025/26 per the action plan	b	County Executive			-
		County Assembly			-
		Total	-	-	-
Amount paid in the first nine months of FY 2025/26	c	County Executive	177,306,209	172,189,699	349,495,907
		County Assembly	7,721,925	17,526,748	25,248,673
		Total	185,028,134	189,716,447	374,744,580
Trade Payables Incurred in the First Nine Months of FY 2025/26	d	County Executive			-
		County Assembly			-
		Total	-	-	-
Outstanding trade payables as of 31st March 2026	**e=a-c*b**	**County Executive**	**53,739,724**	**6,266,760**	**60,006,484**
		County Assembly	**-**	**24,113,069**	**24,113,069**
		Total	**53,739,724**	**30,379,829**	**84,119,553**

Source: *Samburu County Treasury*

The County Executive and the Assembly submitted a trade payables payment plan, committing to pay Kshs.242.43 million and Kshs.238.77 million on recurrent and development expenditure, respectively, in FY 2025/26. The County Partly adhered to this payment plan, as it cleared Kshs.349.50 million for the Executive and Kshs.25.25 million for the Assembly.

Table 3.560 and Table 3.561 present the ageing of the total outstanding bills as of 31st March 2026 for the County Executive and Assembly, which were Kshs.84.12 million.

Table 3.560: Samburu County Executive Trade Payables Ageing Analysis as of 31st March 2026

Category	Ageing analysis (Amount in Kshs.)				Total
	Under one year	1-2 years	2-3 years	Over 3 years	
Development Trade Payables	41,475,919	-	-	12,263,805	53739724
Recurrent Trade Payables (Goods & Services)	1,675,098	-	-	2,334,000	4,009,098
Recurrent Trade Payables (Salary Arrears and Statutory Deductions)	1,800,821	-	-	456,841	2,257,662
Recurrent Trade Payables (Staff Claims)	-	-	-	-	-
Total Recurrent Trade Payables	3,475,919	-	-	2,790,841	6,266,760
Total Trade Payables		**-**	**-**	**15,054,646**	**60,006,484**
% of Total	**75**	**0**	**0**	**25**	**100**

Source: *Samburu County Treasury*

Table 3.561: Samburu County Assembly Trade Payables Ageing Analysis as of 31st March 2026

Category	Ageing analysis (Amount in Kshs.)				Total
	Under one year	1-2 years	2-3 years	Over 3 years	
Development Trade Payables	**-**	-	-	-	**-**
Recurrent Trade Payables (Goods & Services)	10,205,523				10,205,523
Recurrent Trade Payables (Salary Arrears and Statutory Deductions)					-
Recurrent Trade Payables (Staff Claims)	13,907,546				13,907,546
Total Recurrent Trade Payables	24,113,069	-	-	-	24,113,069
Total Trade Payables	24,113,069	-	-	-	24,113,069
% of Total	**100**	**-**	**-**	**-**	**100**

Source: *Samburu County Treasury*

As shown in Table 3.560 and Table 3.561, the total salary arrears and statutory deductions for trade payables amounted to Kshs 2.26 million, which represented 2.6 per cent of the total trade payables of Kshs 84.11 million as of March 31, 2026. The statutory deductions were wholly meant for statutory deductions.

Additionally, the two tables indicate that 18 per cent of total trade payables are aged over three years, a trend attributed to a lack of proper documentation to support their settlement. The County should endeavour to settle this on a FIFO Basis.

3.37.19 General Observations and Recommendations

In the course of overseeing and reporting on the implementation of the Samburu County budget, the CoB identified the following challenges, which hampered effective budget implementation;

i. Low development performance in the review period as the County incurred Kshs.813.38 million on development activities, achieving a 30 per cent absorption rate.
ii. Fund Administrators failed to submit quarterly financial and non-financial reports to the CoB within the timelines provided by law, which is against the requirement of Section 168 of the PFM Act, 2012. The reports for the Assembly Car Loan and Mortgage, Executive Car Loan and Mortgage, Bursaries and Support Services, People Living with Disability Fund, Emergency Fund, and Executive Car Loan and Mortgage Fund were not submitted to the CoB as of 15 April 2026.
iii. High level of trade payables, which amounted to Kshs.84.12 million as of 31st March 2026. Furthermore, the County Treasury did not adhere to the trade payables payment plan.
iv. Use of manual payroll. Personnel emoluments amounting to Kshs.12.49 million for 68 staff not onboarded into HRIS were processed through manual payroll, accounting for 1 per cent of the total payroll cost. Manual payroll is prone to abuse and may result in the loss of public funds.
v. Non-submission of copies of authorisation letters for opening commercial bank accounts as per Regulation 82(5) of the Public Finance Management (County Governments) Regulations, 2015.

The County should implement the following recommendations to improve budget execution:

i. *The County should implement strategies to increase development expenditures in FY 2025/26.*
ii. *The CECMF should follow up to ensure Fund Administrators prepare and submit statutory reports in line with the PFM Act, 2012.*
iii. *The County Leadership should address the situation of trade payables to ensure that genuine bills are paid promptly in the remaining financial year. Further, compliance with the Trade Payables Action Plan should be enforced.*
iv. *The Government requires that salaries be processed through the HRIS system, and the County is advised to fast-track the acquisition of Unified Personnel Numbers for their staff. The County Public Service Board should regulate staff engagement on contract and casual workers as provided under Section 74 of the County Governments Act 2012. Furthermore, strict adherence to the approved staff establishment should be maintained.*

v. *The County Treasury should ensure it submits copies of authorisation letters to the CoB for opening commercial bank accounts to enhance accountability and oversight.*

3.38. County Government of Siaya

3.38.1 Overview of FY 2025/26 Budget

The Siaya County Approved Budget for FY 2025/26 is Kshs.12.79 billion. It comprises Kshs.5.82 billion (45 per cent) and Kshs.6.97 billion (55 per cent) allocation for development and recurrent programmes, respectively. The budget estimates represent an increase of Kshs.1.85 billion (17 per cent) from the FY 2024/25 budget, which comprised a development budget of Kshs.4.87 billion and a recurrent budget of Kshs.6.07 billion. The increase in the budget was primarily attributed to the rise in equitable share and own source revenue.

The budget is to be financed from various revenue sources. These include the equitable share of revenue raised nationally of Kshs.7.75 billion (60 per cent), additional allocations of Kshs.962.9 million (8 per cent), a cash balance brought forward from FY 2024/25 of Kshs.961 million (8 per cent) and Kshs.3.11 billion (24 per cent) generated as own-source revenue. A breakdown of the additional allocations is shown in Table 3.562.

3.38.2 Revenue Performance

During the first nine months of FY 2025/26, the County reported total revenues amounting to Kshs.7.93 billion. This amount represented an increase of 13 per cent compared to the amount received in a similar period in FY 2024/25 of Kshs.6.99 billion. The total revenue consisted of Kshs.5.78 billion from the equitable share of revenue raised nationally, additional allocations from the national government and development partners of Kshs.586.96 million, and own-source revenue (OSR) collection of Kshs.607.44 million. Additionally, the County had a cash balance of Kshs.961.81 million from FY 2024/25. The total OSR collection of Kshs.607.44 million included Facilities Improvement Financing (FIF) of Kshs.423.24 million, and Kshs.184.20 million from other OSR sources.

Table 3.562 summarises the total revenue available to the County Government during FY 2025/26.

Table 3.562: Siaya County, Revenue Performance in the first nine months of FY 2025/26

No	Revenue Stream	Annual Targeted Revenue (Kshs.)	Actual Receipts (Kshs.)	Receivables in the first nine months of FY 2025/26 (Kshs.)	Total Revenues (in accrual basis) in the first nine months of FY 2025/26 (Kshs.)	Revenue Performance
		A	B	C	D	F=D/A*100
A	**Unspent Balance from FY 2023/24**					
1	Balance at CRF	961,813,235	961,813,235	-	961,813,235	100
2	County Executive Refunds to CRF	-	-	-	-	-
3	County Assembly Refunds to CRF	-	-	-	-	-
	Sub-Total	**961,813,235**	**961,813,235**	**-**	**961,813,235**	**100**
B	Equitable Share of Revenue Raised Nationally	7,754,478,885	5,156,728,458	620,358,311	5,777,086,769	74.50
	Sub-Total	**7,754,478,885**	**5,156,728,458**	**620,358,311**	**5,777,086,769**	**74.5**
C	**Additional Allocations (Including Grants)**					
1	Arreas to health care workers	22,723,820	-	-	-	-

No	Revenue Stream	Annual Targeted Revenue (Kshs.)	Actual Receipts (Kshs.)	Receivables in the first nine months of FY 2025/26 (Kshs.)	Total Revenues (in accrual basis) in the first nine months of FY 2025/26 (Kshs.)	Revenue Performance
		A	B	C	D	F=D/A*100
2	Community Health promoters (CHP)	63,810,000	-	-	-	-
3	DANIDA	8,721,000	-	-	-	-
4	KDSP II-Recurrent	37,500,000	-	-	-	-
5	KDSP II-Development	352,500,000	88,280,415.15	-	**88,280,415.15**	25.04
6	Aquaculture Business Development Project (ABDP)	12,969,602	-	-	-	-
7	National Agricultural Value Chain Development Programme (NAVCDP)	231,250,000	133,217,918.31	-	**133,217,918.31**	57.61
8	Kenya Livestock Commercialisation Project (KELCOP)	60,550,000	33,549,430.60	-	**33,549,430.60**	55.41
9	Finnacing Locally Led Climate Action (FLLoCA)	11,000,000	11,000,000	-	**11,000,000**	100
10	Finnacing Locally Led Climate Action (FLLoCA)		187,287,129	-	**187,287,129**	-
11	Aggregation Industrial Park (CAIP)		133,368,421	-	**133,368,421**	-
12	Royalties	259,152	259,152	-	**259,152**	100
13	Roads Maintenance Levy Fund (RMLF)	160,843,161	-	-	-	-
	Sub-Total	**962,126,735**	**586,962,466.06**	**-**	**586,962,466.06**	**61.01**
D	**Ordinary Own Source Revenue (OSR)**					
1	Single Business Permits	498,490,765	67,979,642.80	-	67,979,642.80	13.64
2	Market Fees	345,678,098	29,978,613.55	-	29,978,613.55	8.67
3	Boda Boda	47,869,098	-	-	-	-
4	Weights & Measures	23,908,765	528,780	-	528,780	2.21
5	Trade Income (Audit Fee)	12,768,543	23,100	-	23,100	0.18
6	Advertisement Charges	11,550,000	3,759,304.15	-	3,759,304.15	32.55
7	Liquor Licensing	23,100,000	1,610,004	-	1,610,004	6.97
8	Bus Park	87,654,321	14,892,542	-	14,892,542	16.99
9	Plan Approval (Engineers)	24,768,098	4,558,163	-	4,558,163	18.40
10	Grader	10,626,000	-	-	-	-
11	Fire Inspection	2,310,000	-	-	-	-
12	Parking	45,786,908	9,742,772	-	9,742,772	21.28
13	County Hall Hire	161,700	-	-	-	-
14	Fish Cess	23,657,098	5,297,200	-	5,297,200	22.39
15	Slaughter Fees	12,879,076	233,990	-	233,990	1.82
16	Cilor	23,100,000	-	-	-	-
17	Sugar Cess	41,897,098	2,453,780.55	-	2,453,780.55	5.86

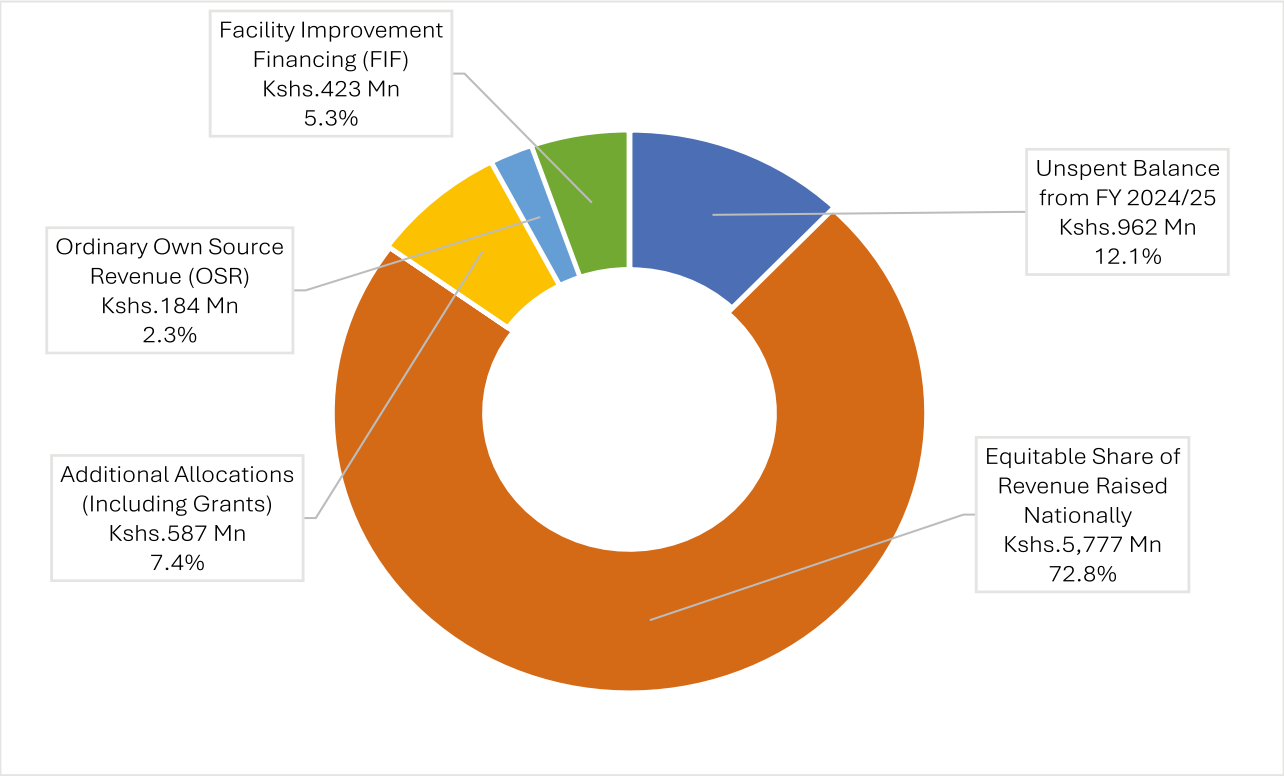
No	Revenue Stream	Annual Targeted Revenue (Kshs.)	Actual Receipts (Kshs.)	Receivables in the first nine months of FY 2025/26 (Kshs.)	Total Revenues (in accrual basis) in the first nine months of FY 2025/26 (Kshs.)	Revenue Performance
		A	B	C	D	F=D/A*100
18	Agriculture Income (Fisherman Licence)	6,214,236	484,950	-	484,950	7.80
19	Veterinary Services	5,076,497	2,916,050	-	2,916,050	57.44
20	Cattle Auction	5,775,000	2,270,750	-	2,270,750	39.32
21	Tractor Hire Services (T.H.S) Private Tractors	137,087,500	1,793,450	-	1,793,450	1.31
22	Sales Of Seeds	-	2,287,700	-	2,287,700	-
23	Sales Of Fertilizer	-	1,088,400	-	1,088,400	-
24	Plan Approval (Physical Planning)	37,178,098	4,287,332	-	4,287,332	11.53
25	Transfer Fee	3,003,000	1,425,874	-	1,425,874	47.48
26	Plot Rates	95,321,908	3,113,421	-	3,113,421	3.27
27	Plot Rent	94,321,890	6,222,965	-	6,222,965	6.60
28	Ground Rent	4,532,897	327,950	-	327,950	7.23
29	House Rent	5,313,000	63,247	-	63,247	1.19
30	Kiosk/Stall Rent	387,615,432	7,364,286	-	7,364,286	1.90
31	Burial Fee & Synage	115,500	-	-	-	-
32	Clearance Certificate	1,732,500	390,000	-	390,000	22.51
33	Site Fee	1,504,965	-	-	-	-
34	Survey Fee	1,732,500	503,200	-	503,200	29.04
35	Private Estate Fee	150,150	-	-	-	-
36	Nema (Noise Permit)	3,650,849	61,600	-	61,600	1.69
37	Sand Cess/Quarry	7,004,005	10,000	-	10,000	0.14
38	Misc.	-	5,010,345.40	-	5,010,345.40	-
39	School Fee	389,813	-	-	-	-
40	Impounding Fee	2,310,000	8,000	-	8,000	0.35
41	Public Health	-	3,516,906	-	3,516,906	-
	Sub-Total	**2,036,235,308**	**184,204,318**	**-**	**184,204,318**	**9.05**
F	**Facility Improvement Financing (FIF)**					
1	SHIF	1,078,685,515	324,278,467	-	324,278,466.81	30.06
2	Hospital Revenue	-	98,964,316	-	98,964,316.38	-
	Sub-Total	**1,078,685,515**	**423,242,783**	**-**	**423,242,783.19**	**39.24**
Total		**12,793,339,678**	**7,312,951,260**	**620,358,311**	**7,933,309,571**	62.01

Source: *Siaya County Treasury*

The County has a governing legislation on the operation of ordinary A-I-A and FIF.

Figure 3.223 provides a detailed breakdown of receipts.

Figure 3.223: Siaya County Composition of Revenue in the first nine months of FY 2025/26

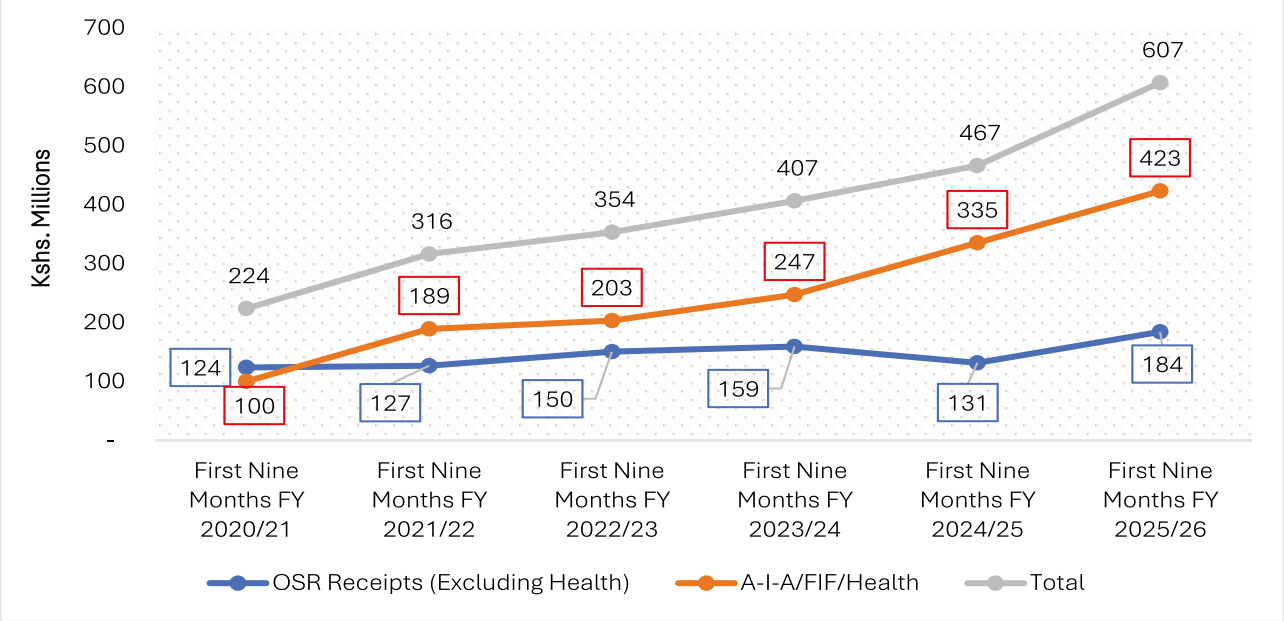


Source: *Siaya County Treasury*

The equitable share of revenue raised nationally, the unspent balance from FY 2024/25, and additional allocations (including grants) accounted for 73 per cent, 12 per cent, and 8 per cent of total receipts for the reporting period, respectively.

Figure 3.224 shows the collection trend in own-source revenue from the first nine months of FY 2020/21 to the first nine months of FY 2025/26.

Figure 3.224: Siaya County Trend in Own-Source Revenue Collection from the first nine months of FY 2020/21 to the first nine months of FY 2025/26

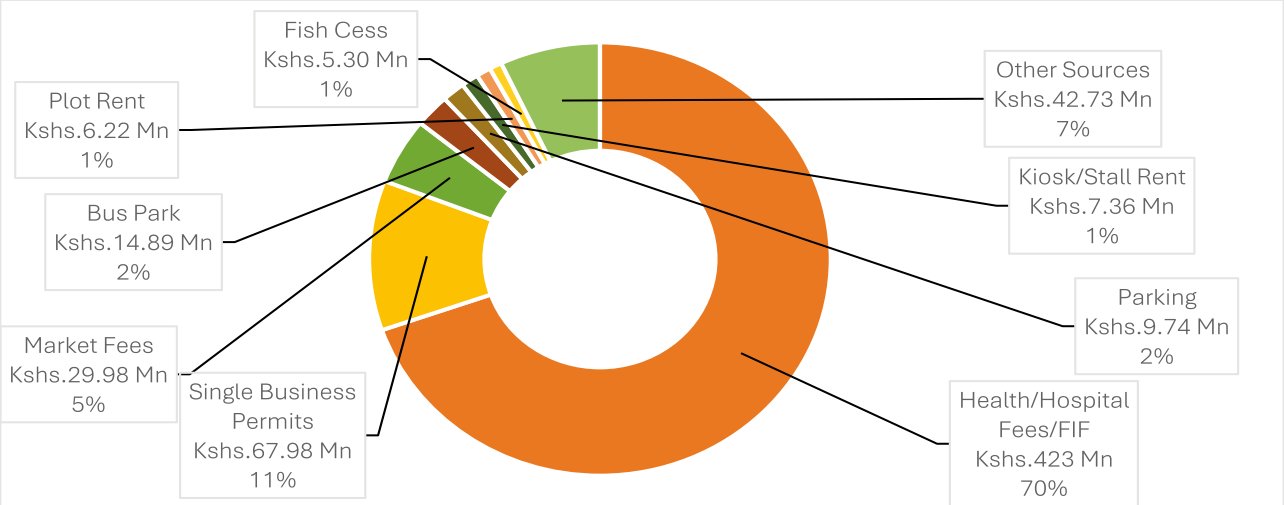


Source: *Siaya County Treasury*

During the first nine months of FY 2025/26, the County received Kshs.607.44 million from OSR, including FIF. This amount was an increase of 30 per cent compared to Kshs.466 million realised in a similar period

in FY 2024/25, and was 20 per cent of the annual target and 11 per cent of the equitable revenue share disbursed. The increase in OSR was attributed to the transition from manual to automated revenue collection and to enhanced revenue administration through inspections. The revenue streams that contributed the most to OSR receipts are shown in Figure 3.225.

Figure 3.225: Siaya County Top Own Source Revenue Streams in the first nine months of FY 2025/26



Source: Siaya County Treasury

As shown in Figure 3, the largest revenue stream, at Kshs.423.24 million, was Health/FIF/Hospital Fees, accounting for 70 per cent of total OSR receipts. The County Government indicated that it has automated 12 of 25 revenue streams.

3.38.3 Revenue Receivables

As of 1st July 2025, the County reported revenue receivables of Kshs.189.26 million, which increased to Kshs.954.26 million as of 31st March 2026. The County currently manages its revenue receivables using an automated system, with an accrual-basis option.

Table 3.563 presents a breakdown of the County's revenue receivables.

Table 3.563: Siaya County Receivables as of 31st March 2026

No	Revenue Stream	Receivables as of 1 July 2025 (Kshs.)	Progress made in the first nine months of FY 2025/26			Receivables as of 31st March 2026 (Kshs.)
			Waivers (Kshs)	Receivables paid in the financial year (Kshs)	Receivables earned in the first nine months of FY 2025/26 (Kshs)	
		a	b	c	d	f=a-b-c+d
A	**Equitable Share of Revenue Raised Nationally**					
1	Month of March	-	-	-	**620,358,311**	**620,358,311**
	Sub-Total	-	-	-	**620,358,311**	**620,358,311**
B	**Ordinary Own Sources of Revenue**					
1	Single Business Permit	57,952,905	-	15,290,589	528,242	43,190,558
2	Liquor	2,444,200	-	-	788,869	3,233,069
	Sub-Total	**60,397,105**	-	**15,290,589**	**1,317,111**	**46,423,627**
C	**Facility Improvement Fund (FIF)**					
1	SHIF	**128,863,123**	-	-	**158,613,533.87**	**287,476,657**
	Sub-Total	**128,863,123**	-	-	**158,613,533.87**	**287,476,657**
Total		**189,260,228**	-	**15,290,589**	**158,613,533.87**	**954,258,595**

Source: Siaya *County Treasury*

As of 31st March 2026, the revenue receivables totalled to Kshs.954.26 million, comprising Kshs.620.36 million for equitable share of revenue raised nationally (65 per cent), Kshs.287.48 million for SHIF (30 per cent) and Kshs.46.42 million for ordinary own source revenue (5 per cent). The measures instituted by the County to collect the outstanding arrears in FY 2025/26 include inspection and penalties for defaulters.

3.38.4 Borrowing by the County

The County Treasury did not report any borrowing during the reporting period.

3.38.5 Withdrawals from the County Revenue Fund and County Assembly Fund

During the reporting period, the Controller of Budget approved exchequer withdrawal requests totalling Kshs.4.63 billion from the Siaya County Revenue Fund (CRF) account. This amount consisted of Kshs.781.40 million (17 per cent) designated for development programs and Kshs.3.84 billion (83 per cent) allocated for recurrent programs.

An analysis of the released recurrent exchequers shows that Kshs.2.91 billion was allocated to employee compensation and Kshs.933.66 million to operations and maintenance expenditures. Within the operations and maintenance category, 23 per cent was for domestic travel. The domestic travel exchequers totalled Kshs.219.09 million, which included Kshs.116.97 million for the County Executive and Kshs.102.12 million for the County Assembly. The county did not request any funds for foreign travel during the period under review.

As of 31st March 2026, the County Government's cash balance in the Siaya CRF account was Kshs.952.47 million.

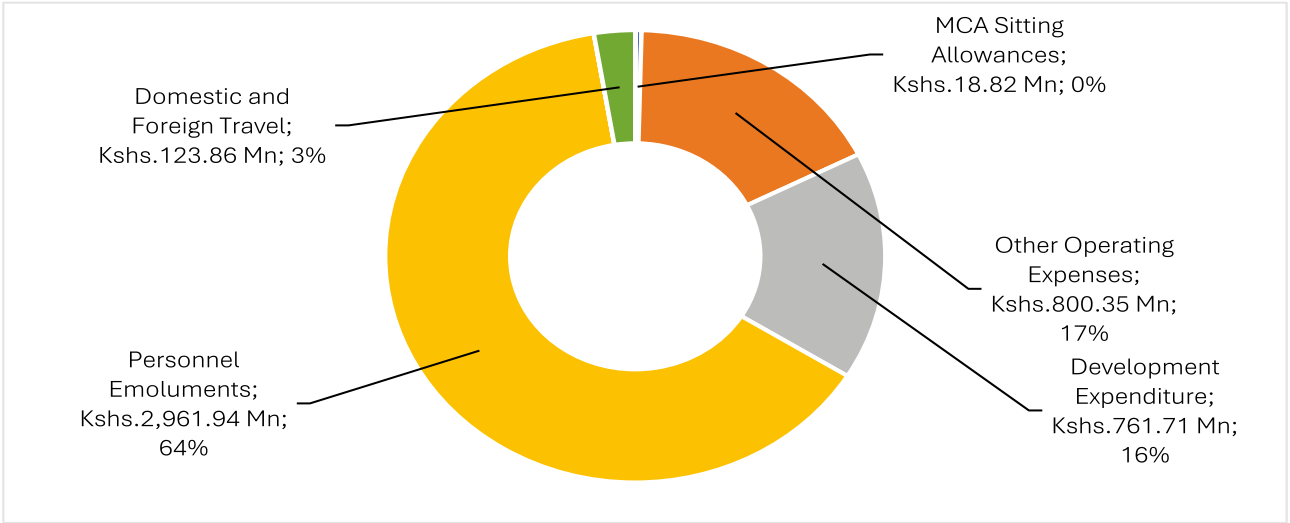
The County had not operationalised the County Assembly Fund as of 31st March 2026.

3.38.6 Expenditure Review

The County spent Kshs.4.52 billion on development and recurrent programmes during the reporting period. The expenditure represented 98 per cent of the total funds released by the CoB. It comprised Kshs.761.71 million for development programmes and Kshs.3.76 billion for recurrent programmes. Expenditure on development programmes accounted for 13 per cent of the annual development expenditure budget, while recurrent expenditure accounted for 54 per cent of the annual recurrent expenditure budget.

Figure 3.226 provides a detailed breakdown of total expenditure.

Figure 3.226: Siaya County Composition of Expenditure in the first nine months of FY 2025/26



Source: Siaya *County Treasury*

As shown in Figure 3.226, the three highest expenditure categories were personnel emoluments, other operating expenses, and development expenditure, contributing 64, 17 and 16 per cent of total expenditure for the reporting period.

3.38.7 Expenditure by Economic Classification

The County Executive incurred Kshs.2.71 billion in employee compensation, Kshs.485.34 million in operations and maintenance, and Kshs.742.21 million in development activities. Similarly, the County Assembly spent Kshs.252.99 million on compensation of employees, Kshs.315.01 million on operations and maintenance, and Kshs.19.50 million on development activities, as shown in Table 3.564.

Table 3.564: Siaya County Summary of Budget and Expenditure by Economic Classification

Expenditure Classification	Approved Budget (Kshs.) (a)		Amount Paid in the first nine months of FY 2025/26 (Kshs.) (b)		Expenditure Accrued in the first nine months of FY 2025/26 (Kshs.) (c)		Total Expenditure in the first nine months of FY 2025/26 (Kshs.) (d=b+c)		Absorption (%) (d/a*100)	
	Executive	Assembly	Executive	Assembly	Executive	Assembly	Executive	Assembly	Executive	Assembly
Total Recurrent Expenditure	**6,194,657,987**	**779,893,500**	**3,159,892,236**	**529,283,438**	**34,395,155**	**38,715,898**	**3,194,287,392**	**567,999,336**	**52**	**73**
Compensation of Employees	3,253,191,529	348,925,645	2,674,554,637	222,529,424	34,395,155	30,461,111	2,708,949,792	252,990,535	**83**	**73**
Operations & Maintenance	2,941,466,458	430,967,855	485,337,599	306,754,014	-	8,254,787	485,337,599	315,008,801	**16**	**73**
Development Expenditure	**5,237,450,643**	**581,337,548**	**742,208,540**	**19,498,687**	**-**	**-**	**742,208,541**	**19,498,687**	**14**	**3**
Total	**11,432,108,630**	**1,361,231,048**	**3,902,100,777**	**548,782,125**	**34,395,155**	**38,715,898**	**3,936,495,932**	**587,498,023**	**34**	**43**

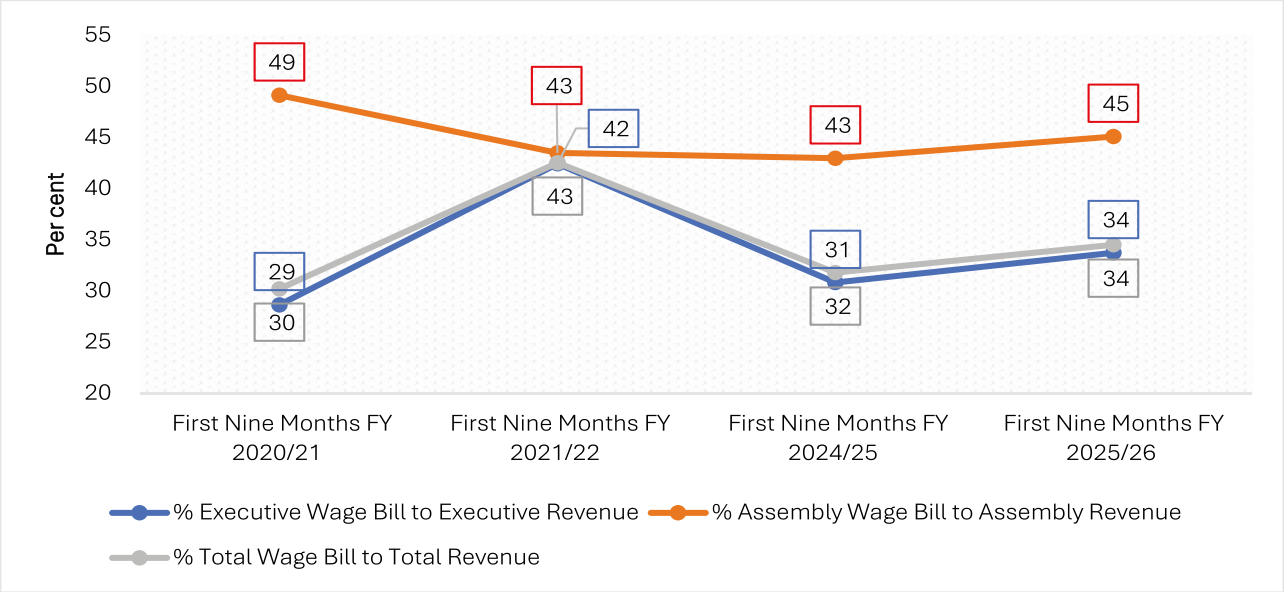
Source: *Siaya County Treasury*

3.38.8 Expenditure on Employee Compensation

The expenditure on employee compensation totalled Kshs.2.96 billion, representing 37 per cent of revenue. This expenditure on employee compensation shows. an increase compared to the Kshs.2.41 billion reported in a similar period in FY 2024/25.

Figure 3.227 shows the trend in employee compensation as a percentage of total revenue from the first nine months of FY 2020/21 to the first nine months of FY 2025/26.

Figure 3.227: Percentage of Employee Compensation Expenditure to Total Revenue Received in the first nine months of FY 2020/21 to the first nine months of FY 2025/26



Source: Siaya County Treasury

Further analysis indicated that PE costs totalling Kshs.2.50 billion were processed through the Human Resource Information System (HRIS). In contrast, Kshs.401.65 million was processed through manual payrolls, accounting for 14 per cent of the total PE cost.

The manual payroll comprised salaries for 477 staff not onboarded into the Human Resource Information System (HRIS), salaries for 1811 casual staff and top-up allowances for 11 security personnel, as shown in Table 3.565.

Table 3.565: Breakdown of Siaya County Manual Payroll

Sno.	Description of Manual Payroll	Amount (Kshs.)
1	Salaries for staff yet to be onboarded into HRIS	202,364,202
2	Salaries for casual staff	196,162,921
3	Top-up Allowances for Security Officers	3,118,500
	Total	**401,645,623**

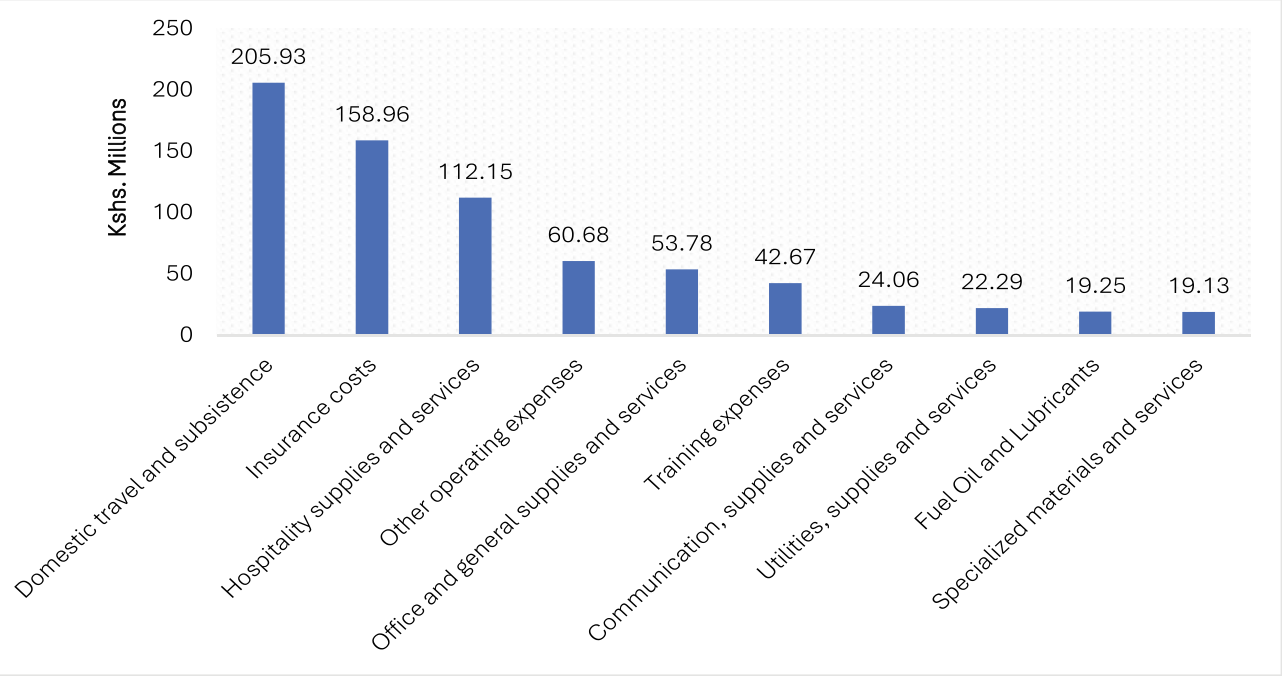
Source: Siaya County Treasury

The County Assembly spent Kshs.18.82 million on committee sitting allowances for the 45 MCAs against the annual budget allocation of Kshs.29.75 million. The average monthly sitting allowance was Kshs.46,472 per MCA. The County Assembly has 23 House Committees.

3.38.9 Expenditure on Operations and Maintenance

During the reporting period, the County spent Kshs.800.35 million on operations and maintenance, representing a decrease of 26 per cent compared to a similar period in FY 2024/25, when the County spent Kshs.1.01 billion. Figure 3.228 illustrates the distribution of Operations and Maintenance expenditures across the major spending categories.

Figure 3.228: Siaya County, Operations and Maintenance Expenditure by Major Categories



Source: *Siaya County Treasury*

3.38.10 Unbundling "Other Operating Expenses- others 2211399" Under Operations and Maintenance Expenditures

The budget performance report for the first nine months of FY 2025/26 indicates that the County spent Kshs.4.10 million on "*other operating expenses-others*," which was 1 per cent of the total operations and maintenance expenditure of Kshs.746.70 million. The expenditure exceeds the budget amount of Kshs.3.08

million, demonstrating poor budgetary discipline in the management of public finances. The disaggregated items under the "*Other Operating Expenses-others*" category is shown in Table 3.566.

Table 3.566: Breakdown of "Other Operating Expenses-2211399" under O&M Expenditures

Code	Item	Budget (Kshs)	Expenditure (Kshs.)
2211399	Other Operating Expenses- Others	3,080,000	4,102,151
	Total	**3,080,000**	**4,102,151**

Source: *Siaya County Treasury*

3.38.11 County-Established Funds

Section 116 of the PFM Act 2012 allows County Governments to establish other public funds, subject to approval from the County Executive Committee and the County Assembly. The County allocated Kshs.221 million to County-Established funds in FY 2025/26, representing 2 per cent of the County's overall budget. Of this amount, the County allocated Kshs.180 million to the Emergency Fund in line with Section 110 of the PFM Act, 2012, accounting for 1 per cent of the total budget. Table 3.567 summarises each established Fund's budget allocation and performance during the reporting period.

Table 3.567: Performance of Siaya County Established Funds in the first nine months of FY 2025/26

S/ No.	Name of the Fund	Year Established	Approved Budget Allocation in FY 2025/26 (Kshs.)	Exchequer Issues in the first nine months of FY 2025/26 (Kshs.)	Actual disbursements in the first nine months of FY 2025/26 (Kshs.)	Cumulative disbursements to the Fund (Kshs.)	Submission of Financial Statements (Yes/No)
	County Executive Established Funds						
1.	Siaya County Emergency Fund	2020	180,000,000	20,000,000	-	457,557,169	NO
2.	Siaya County Bursary Fund	2013	-	-	-	732,100,000	
3.	Financing Locally Led Climate Action (FLLoCA)	2022	11,000,000	198,287,129	-	470,842,789	NO
4.	Cooperative Development Fund	2024	10,000,000	-	-	-	NO
	County Assembly Established Funds						
5.	The Siaya County Assembly Car Loan and Mortgage Fund	2015	20,000,000	-	1,004,509	454,711,237	YES
	Total		**221,000,000**	**218,287,129**	**1,004,509**	**1,383,111,195**	

Source: *Siaya County Treasury*

During the reporting period, the CoB did not receive quarterly financial reports from 3 Fund Administrators, as indicated in Table 3.567.

Regulation 197(1)(i) of the Public Finance Management (County Governments) Regulations, 2015, allows County Governments to establish public funds with a lifespan capped at 10 years unless extended by the County Assembly. Therefore, the Siaya County Bursary Fund and the Siaya County Assembly Car Loan and Mortgage Fund should not be operated. They should be wound up and funds refunded to CRF.

3.38.12 County Municipalities, Corporations and Agencies

The County has 3 Semi-Autonomous municipalities, which were allocated Kshs.473.74 million in FY 2025/26. Their total expenditure for the review period amounted to Kshs.102.49 million, as shown in

Table 3.568: Performance of Siaya County Municipalities, Corporations, and Other Agencies in the first nine months of FY 2025/26

S/No.	Name of the Corporation	Approved Budget Allocation in FY 2025/26 (Kshs.)	Exchequer Issues (Kshs)	Reported Expenditures in the first nine months of FY 2025/26 (Kshs.)	Financial Statement Submitted
1	Siaya Municipality	241,998,322	58,895,152	55,801,587	NO
2	Bondo Municipality	117,457,978	29,699,000	27,129,063	NO
3	Ugunja Municipality	114,279,116	22,496,031	19,558,484	NO
Sub-total		**473,735,416**	**111,090,183**	**102,489,134**	

Source: *Siaya County Treasury*

The County Municipalities did not submit the quarterly financial statements as indicated in Table 3.568 above. Therefore, the Office of the Controller of Budget could not ascertain the figures above.

3.38.13 Expenditure on Domestic and Foreign Travel

Expenditure on domestic travel amounted to Kshs.123.86 million and comprised Kshs.102.12 million spent by the County Assembly and Kshs.21.74 million by the County Executive. The county did not report expenditure on foreign travel.

3.38.14 Facility Improvement Financing

During the review period, the County reported collections of Kshs.423.24 million as FIF, which was 39 per cent of the annual target of Kshs.1.07 billion. The collected amount was retained and utilised at source in line with the Facility Improvement Financing Act, 2023. The County developed regulations to operationalise the FIF Act of 2023.

The expenditure by the health facilities amounted to Kshs.434.22 million, as shown in Table 3.569.

Table 3.569: Siaya County Health Facilities Expenditure Performance in the first nine months of FY 2025/26

No.	Health Facility	Number of Facilities	Approved Budget (Kshs.)	Actual Expenditure (Kshs.)	Absorption rate (%)
1	Level 4 Hospital	16	875,188,589	377,702,468	43.16
2	Level 3 Facility	55	70,392,019	41,893,386	59.51
3	Level 2 Facility	104	133,104,907	14,619,970	10.98
Total		**175**	**1,078,685,515**	**434,215,824.90**	**40.25**

Source: *Siaya County Treasury*

3.38.15 Development Expenditure

In the review period, the County reported spending Kshs.761.71 million on development programmes, representing a decrease of 38 per cent compared to FY 2024/25, when the County spent Kshs.1.04 billion. Table 3.570 summarises the development projects with the highest expenditure in the reporting period.

Table 3.570: Siaya County, List of Development Projects with the Highest Expenditure

No	Sector	Project Name	Project Location	Project Commencement Date	Expected date of Completion of the Project	Contract sum (Kshs)	Total Funding in FY 2025/26 (Kshs.)	Expenditure (on an accrual basis) in the first nine months of FY 2025/26 (Kshs.)	Cumulative project expenditure (on an accrual basis) as of 31st March 2026 (Kshs.)	Percentage (%) of Completion
County Funded Projects										
1	Finance & Economic Planning	Complete Automation of Revenue	Executive			33,013,561	33,013,561	28,629,391	28,629,391	86.72
2	CHS	Completion of the casualty and maternity complex at Yala SCH	Executive	Dec-23	Feb-26	78,084,128	30,000,000	30,881,701	30,881,701	90
3	Governance, Administration and ICT	Phased construction of Ugenya Sub-County Office at Ukwala	Executive	11th April 2025	Nov-25	41,233,141	15,233,141	8,246,628	8,246,628	-
4	Governance, Administration and ICT	Phased construction of Gem Sub-County Office at Yala	Executive	12th May 2025	12th November 2025	41,593,819	15,593,819	5,673,545	5,673,545	2
5	Siaya Municipality	Completion of construction and equipping of Municipal Office complex - Phase 2 (multi- year project)	Siaya Municipal Compound	26/05/2025	26/05/2026	62,557,284	50,147,536	17,878,166	30,389,622	60
6	WEC-C&NR	Revamping South Sakwa (Olago)	Executive	7.03.2025	7.09.2025	47,023,421	17,150,000	17,146,272	17,146,272	60
7	AFSL&F	Provision of improved kienyeji chicks to South Gem groups	South Gem			10,412,743	10,000,000	8,436,415	8,436,415	100
8	PWRE&T	Phase of upgrading to Bitumen standard-Sega market ring road	north Ugenya	1st January	30th June	98,097,505	48,380,499	45,355,577	45,355,577	100
9	LPPH&UD	Preparation of Valuation Roll	Executive			43,000,000	6,178,324	6,095,280	6,095,280	75
10	PWRE&T	Opening, grading and gravelling of Sianga-Wambarra-Yao Kouma-Kongolo Road.	central sakwa	1st January	30th June	6,448,518	6,500,550	6,367,318	6,367,318	100

No	Sector	Project Name	Project Location	Project Commencement Date	Expected date of Completion of the Project	Contract sum (Kshs)	Total Funding in FY 2025/26 (Kshs.)	Expenditure (on an accrual basis) in the first nine months of FY 2025/26 (Kshs.)	Cumulative project expenditure (on an accrual basis) as of 31st March 2026 (Kshs.)	Percentage (%) of Completion
Donor Funded Projects										
1	CHS	construction of out-patient unit, Co-funding of Urenga Hospital-KDSP II	Executive			84,319,813	67,000,000	16,119,955	16,119,955	55

Source: *Siaya County Treasury*

The four projects, namely: complete automation of revenue, preparation of valuation roll, provision of improved kienyeji chicks to South Gem groups, and construction of out-patient unit, Co-funding of Urenga hospital-KDSP II, reported expenditure as of 30th March 2026, but did not provide the project commencement date or expected completion date in the report.

The County reported 1 stalled development project as of 31st March 2026, with an estimated value of Kshs.1.89 million, of which Kshs.3.72 million has already been paid. The project could not be budgeted for in the financial year 2025/2026 as it is currently under investigation. The stalled projects are shown in Table 3.571.

Table 3.571: Siaya County Stalled Projects as of 31st March 2026

No	Sector	Project Name	Project Location	Project Start Date	Expected Completion Date of the Project	Estimated Value of the Project (Kshs.)	Amount Paid on the stalled project (Kshs.)	Accrued Expenditure on the stalled project (Kshs.)	Outstanding Unpaid Balance As of 31st March 2026	Percentage of Completion before stalling of the Project
3	Enterprise	Completion of Nyamonye juakali	Yimbo East	31/12/2023	31/3/2024	1,878,186	3,720,000	-		40

Source: Siaya County Treasury

3.38.16 Budget Performance by Department

Table 3.572 summarises the approved budget allocation, expenditure, and absorption rate by department for the period under review.

Table 3.572: Siaya County, Budget Allocation and Absorption Rate by Department in the first nine months of FY 2025/26

Department	Budget Allocation (Kshs. Millions)		Exchequer Issues (Kshs.Millions)		Expenditure (Kshs.Millions)		Expenditure to Exchequer Issues (%)		Absorption rate (%)	
	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev
County Assembly	779.89	581.34	568.00	19.50	568.00	19.50	100	100	72.8	3.4
Governance and Administration	362.67	80.10	279.42	17.67	268.10	16.16	96	91.4	73.9	20.2
County Attorney	67.60	-	20.82	-	18.70	-	89.8	-	27.7	-
County Public Service Board	99.21	-	60.82	-	55.05	-	90.5	-	55.5	-
Finance and Economic Planning	1406.29	69.99	589.55	30.50	580.49	28.63	98.5	93.9	41.3	40.9
Agriculture, Food, Livestock & Fisheries	295.90	578.06	179.65	30.32	174.36	28.88	97.1	95.3	58.9	5

Department	Budget Allocation (Kshs. Millions)		Exchequer Issues (Kshs.Millions)		Expenditure (Kshs.Millions)		Expenditure to Exchequer Issues (%)		Absorption rate (%)	
	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev
Water, Irrigation, Environment & Natural Resources	93.89	465.73	37.03	71.08	33.73	68.80	91.1	96.8	35.9	14.8
Education, Youth Affairs, Gender & Social Services	386.98	620.64	259.85	100.68	253.73	97.96	97.6	97.3	65.6	15.8
County Health Services	2591.45	775.36	1477.95	108.40	1467.38	106.23	99.3	98	56.6	13.7
Lands, Physical Planning, Urban Development and Housing	137.14	124.15	46.26	23.59	43.42	22.75	93.9	96.4	31.7	18.3
Siaya Municipality	98.99	143.01	32.60	26.30	30.62	25.18	94	95.7	30.9	17.6
Bondo Municipality	66.26	51.20	25.70	4.00	23.63	3.50	91.9	87.5	35.7	6.8
Ugunja Municipality	54.45	59.83	22.50	-	19.56	-	86.9	-	35.9	-
Roads, Public Works, Energy and Transport	121.35	1706.89	56.59	268.16	47.04	265.89	83.1	99.2	38.8	15.6
Enterprise and Industrial Development	265.59	395.31	136.77	36.52	128.81	35.10	94.2	96.1	48.5	8.9
Tourism, Culture, Sports and Arts	146.90	167.18	51.77	44.67	49.66	43.14	95.9	96.6	33.8	25.8
Total	**6974.55**	**5818.79**	**3845.27**	**781.40**	**3762.29**	**761.71**	**97.8**	**97.5**	**53.9**	**13.1**

***Source**: Siaya County Treasury*

Analysis of expenditure by departments shows that the Department of Finance and Economic Planning recorded the highest absorption rate of development budget at 40.9 per cent, followed by the Department of Tourism, Culture, Sports and Arts at 25.8 per cent. The Department of Governance and Administration had the highest percentage of recurrent expenditure to budget at 73.9 per cent, while the Department of County Attorney had the lowest at 27.7 per cent.

The three lowest absorption rates for development of 5 per cent, 6.8 per cent and 8.9 per cent are as a result of no funding to the respective departments of Agriculture, Food, Livestock & Fisheries, Bondo Municipality and Enterprise and Industrial Development by County Treasury.

3.38.17 Budget Execution by Programmes and Sub-Programmes

Budget execution was concentrated in selected performance bands. In the 1–10 per cent band, development absorption was reported for administration services under the Department of Education, Youth Affairs, Gender and Social Services at 0 per cent. In the 11–20 per cent band, development absorption was reported for culture under the same department at 10.10 per cent, for general administration, planning and support services under Ugunja Municipality at 16.03 per cent, for fisheries development and management under the Department of Agriculture, Food, Livestock and Fisheries at 17.29 per cent, and for market services under the Department of Enterprise and Industrial Development at 18.74 per cent. Recurrent absorption in this band was reported for cooperative extension services at 10.93 per cent, for the facility improvement fund under the Department of County Health Services at 12.75 per cent, for economic planning services at 15.31 per cent, for monitoring and evaluation at 15.91 per cent, and for housing under the Department of Lands, Physical Planning, Urban Development and Housing at 19.98 per cent.

In the 41–50 per cent band, development absorption was reported for sports under the Department of Tourism, Culture, Sports and Arts at 42.27 per cent and for ECD programmes under the Department of Education, Youth Affairs, Gender and Social Services at 40.30 per cent.

In the 51–60 per cent band, development absorption was reported for forestry under the Department of Water, Irrigation, Environment and Natural Resources at 55.95 per cent and for youth polytechnics youth training under the Department of Education, Youth Affairs, Gender and Social Services at 54.37 per cent. In the 71–80 per cent band, development absorption was reported for tourism under the Department of Tourism, Culture, Sports and Arts at 71.17 per cent.

In the 81–90 per cent band, recurrent absorption was reported for crop management under the Department of Agriculture, Food, Livestock and Fisheries at 89.03 per cent and for administration under the same department at 87.96 per cent. In the 90–100 per cent band, recurrent absorption reached 94.47 per cent for firefighting and disaster management under the Department of Governance and Administration, 94.37 per cent for administration services under the Department of Education, Youth Affairs, Gender and Social Services, and 92.76 per cent for general administration, planning and support services under the County Public Service Board.

Low absorption in the lower performance bands reflected slow implementation across education administration, culture, municipality administration, fisheries, market, cooperative and health-financing sub-programmes. Conversely, performance in the higher bands reflected the prioritisation of the respective sub-programmes during the review period.

Table 3.573 summarises budget execution by programmes and sub-programmes in the period under review with the highest absorption rates.

Table 3.573: Budget Execution by Programmes and Sub-Programmes with Highest Absorption Rates

Programme	Sub-Programme	Gross Approved Estimates FY 2025/26 (Kshs.)	Expenditure (including accrued expenditure) as of 31st March 2026 (Kshs.)	Absorption Rate (%)
		Dev	Dev	Dev
DEVELOPMENT				
Tourism, Culture, Sports and Arts				
302025010	Tourism	48,502,484	34,519,965	71.17
501055010	Sports	118,682,202	50,167,597	42.27
Water, Irrigation, Environment and Natural Resources				
901035010	Forestry	131,139,261	73,371,952	55.95
Education, Youth Affairs, Gender and Social Services				
501035010	Youth Polytechnics Youth Training	36,171,050	19,667,794	54.37
501025010	ECD programmes	490,521,184	197,687,212.05	40.30
RECURRENT				
Governance and Administration				
702055010	Firefighting and disaster management	10,383,382	9,808,706	94.47
Education, Youth Affairs, Gender and Social Services				
501015010	Administration Services	352,778,717	332,909,289	94.37
County Public Service Board				
702015010	General Administration, Planning and Support Services	99,205,341	92,027,348	92.76
Agriculture, Food, Livestock and Fisheries				
101045010	Crop Management	116,492,015	103,709,167	89.03
101015010	Administration	119,667,284	105,265,032	87.96

Source: *Siaya County Treasury*

The development sub-programmes with the highest budget implementation rates were: Tourism in the Department of Tourism, Culture, Sports and Arts at 71.17 per cent, Forestry in the Department of Water, Irrigation, Environment and Natural Resources at 55.95 per cent, and Youth Polytechnics Youth Training in the Department of Education, Youth Affairs, Gender and Social Services at 54.37 per cent.

For recurrent sub-programmes, the top performers included: Firefighting and disaster management in the Department of Governance and Administration at 94.47 per cent, Administration Services in the Depart-

ment of Education, Youth Affairs, Gender and Social Services at 94.37 per cent, and General Administration, Planning and Support Services in the Department of County Public Service Board at 92.76 per cent.

Table 3.574: Budget Execution by Programmes and Sub-Programmes with Lowest Absorption Rates

Programme	Sub-Programme	Gross Approved Estimates FY 2025/26 (Kshs.)	Expenditure (including accrued expenditure) as of 31st March 2026 (Kshs.)	Absorption Rate (%)
		Dev	Dev	Dev
DEVELOPMENT				
Education, Youth Affairs, Gender and Social Services				
501015010	Administration Services	3,500,000	-	-
501065010	Culture	90,446,781	9,134,750	10.10
Ugunja Municipality				
102065010	General Administration, Planning and Support Services	59,832,766	9,590,190	16.03
Agriculture, Food, Livestock and Fisheries				
101055010	Fisheries Development &Management	42,285,653	7,310,604	17.29
Enterprise and Industrial Development				
301065010	Market services	395,306,483	74,090,321	18.74
RECURRENT				
Enterprise and Industrial Development				
301055010	Cooperative Extension Services	26,650,532	2,913,760	10.93
County Health Services				
401055010	Facility Improvement Fund	495,702,017	63,181,375	12.75
Finance and Economic Planning				
703075010	Economic planning services	124,295,990	19,035,341	15.31
703105010	Monitoring and Evaluation	9,880,000	1,571,600	15.91
Lands, Physical Planning, Urban Development and Housing				
102055010	Housing	56,825,207	11,354,804	19.98

Source: *Siaya County Treasury*

The development sub-programmes with the lowest budget implementation rates were as follows: Administration Services at 0 per cent and Culture at 10 per cent in the Department of Education, Youth Affairs, Gender and Social Services, and General Administration, Planning and Support Services at 16 per cent in the Department of Ugunja Municipality.

For recurrent sub-programmes, the poorest performers included: Cooperative Extension Services in the Department of Enterprise and Industrial Development at 11 per cent, Facility Improvement Fund in the Department of County Health Services at 13 per cent, and Economic planning services in the Department of Finance and Economic Planning at 15 per cent.

3.38.18 Settlement of Trade Payables

As of 1st July 2025, the County reported trade payables totalling Kshs.1.96 billion. This amount consisted of Kshs.1.88 billion from the County Executive and Kshs.72.85 million from the County Assembly. The trade payables from the County Executive comprised Kshs.1.06 billion for recurrent expenditure and Kshs.832.93 million for development expenditure.

During the reporting period, the County Executive settled trade payables amounting to Kshs.529.20 million, comprising Kshs.297.74 million (56 per cent) for recurrent programmes and Kshs.231.46 million (44

per cent) for development programmes. On the other hand, the County Assembly settled trade payables amounting to Kshs.38.99 million for recurrent activities. The outstanding trade payables as of 31st March 2026 were Kshs.1.36 billion for the County Executive and Kshs.72.58 million for the County Assembly. Table 3.575 provides additional details of trade payables.

Table 3.575: Siaya County Trade Payables as of 31st March 2026

		County Entity	Development (Kshs.)	Recurrent (Kshs.)	Total (Kshs.)
As at 1 July 2025 (End of FY 2024/25)	a	County Executive	832,926,758	1,057,040,407	1,889,967,165
		County Assembly	-	72,851,538	72,851,538
		Total	832,926,758	1,129,891,945	1,962,818,703
Trade payables scheduled to be settled in the first nine months of FY 2025/26 per the action plan	b	County Executive	231,460,126	297,740,642.19	529,200,768
		County Assembly	-	38,988,010	38,988,010
		Total	231,460,126	336,728,652	568,188,778
Amount paid in the first nine months of FY 2025/26	c	County Executive	231,460,126	297,740,642.19	529,200,768
		County Assembly	-	38,988,010	38,988,010
		Total	231,460,126	336,728,652	568,188,778
Trade Payables Incurred in the First Nine Months of FY 2025/26	d	County Executive	-	-	-
		County Assembly	-	38,715,898	38,715,898
		Total	-	38,715,898	38,715,898
Outstanding trade payables as of 31st March 2026	e=a-c*b	**County Executive**	601,466,632	759,299,765	1,360,766,397
		County Assembly	-	72,579,426	72,579,426
		Total	**601,466,632**	**831,879,191**	**1,433,345,823**

Source: *Siaya County Treasury*

The County Executive and the Assembly submitted a trade payables payment plan, committing to pay Kshs.336.73 million and Kshs.231.46 million on recurrent and development expenditure, respectively, in FY 2025/26. The County adhered to this payment plan, as it cleared Kshs.529.20 million for the Executive and Kshs.38.99 million for the Assembly, as per the action plan.

Table 3.576 and Table 3.577and present the ageing of the total outstanding bills as of 31st March 2026 for the County Executive and Assembly, which were Kshs.1.43 billion.

Table 3.576: Siaya County Executive Trade Payables Ageing Analysis as of 31st March 2026

Category	Ageing analysis (Amount in Kshs.)				Total
	Under one year	1-2 years	2-3 years	Over 3 years	
Development Trade Payables	**550,627,917**	**23,762,788**	**7,767,963**	**19,307,965**	**601,466,632**
Recurrent Trade Payables (Goods & Services)	398,496,663	75,713,682	24,957,715	13,027,705	**512,195,765**
Recurrent Trade Payables (Salary Arrears and Statutory Deductions)	243,133,834	-	-	-	**243,133,834**
Recurrent Trade Payables (Staff Claims)	3,970,166	-	-	-	**3,970,166**
Total Recurrent Trade Payables	645,600,663	75,713,682	24,957,715	13,027,705	**759,299,765**
Total Trade Payables	**1,196,228,580**	**99,476,470**	**32,725,678**	**32,335,670**	**1,360,766,397**
% of Total	**87.91**	**7.31**	**2.40**	**2.38**	**100**

Source: *Siaya County Treasury*

Table 3.577: Siaya County Assembly Trade Payables Ageing Analysis as of 31st March 2026

Category	Ageing analysis (Amount in Kshs.)				Total
	Under one year	1-2 years	2-3 years	Over 3 years	
Development Trade Payables	**-**	**-**	**-**	**-**	**-**
Recurrent Trade Payables (Goods & Services)	42,118,315	-	-	-	**42,118,315**
Recurrent Trade Payables (Salary Arrears and Statutory Deductions)	30,461,111	-	-	-	**30,461,111**
Recurrent Trade Payables (Staff Claims)	-	-	-	-	**-**
Total Recurrent Trade Payables	72,579,426	-	-	-	**72,579,426**
Total Trade Payables	**72,579,426**	**-**	**-**	**-**	**72,579,426**
% of Total	**100**	**-**	**-**	**-**	**100**

Source: *Siaya County Treasury*

As shown in Table 3.576 and Table 3.577, the total salary arrears and statutory deductions for trade payables amounted to Kshs 273.59 million, which represented 19 per cent of the total trade payables of Kshs.1.43 billion as of March 31, 2026.

3.38.19 General Observations and Recommendations

In the course of overseeing and reporting on the implementation of the Siaya County budget, the CoB identified the following challenges, which hampered effective budget implementation;

i. The County Treasury's late submission of financial reports to the Controller of Budget affected the timely preparation of the budget implementation report, which was received on 24th April 2026.
ii. The underperformance of own-source revenue at Kshs.607 million against an annual target of Kshs.3.11 billion, representing 20 per cent of the financial year target.
iii. Low development performance in the review period as the County incurred Kshs.761 million on development activities, achieving 13 per cent of the entire development budget.
iv. Unspent funds from FY 2024/25 were not refunded into the CRF account, resulting in actual expenditures exceeding the approved exchequer in several departments, as shown in Table 3.12.
v. Regulation 197(1)(i) of the Public Finance Management (County Governments) Regulations, 2015, limits the lifespan of public funds to 10 years unless extended by the County Assembly. As of 31st March 2026, all funds were up to date.
vi. Fund Administrators failed to submit quarterly financial and non-financial reports to the CoB within the timelines provided by law, which is against the requirement of Section 168 of the PFM Act, 2012. The reports for the Flocca Fund, Cooperative Fund, and Emergency Fund, including the municipality's financial statements, had not been submitted to the CoB as of 15 April 2026.
vii. High level of trade payables, which amounted to Kshs 1.88 billion as of 31st March 2026. Furthermore, the County Treasury did not adhere to the trade payables payment plan.
viii. Use of manual payroll. Personnel emoluments amounting to Kshs.401 million for 477 staff not onboarded into the HRIS, and 1811 casual staff were processed through manual payroll, accounting for 14 per cent of the total payroll cost. Manual payroll is prone to abuse and may result in the loss of public funds.
ix. Non-submission of copies of authorisation letters for opening commercial bank accounts as per Regulation 82(5) of the Public Finance Management (County Governments) Regulations, 2015.
x. The county treasury should ensure budget items are assigned specific SCOA codes and not bulk items in "Other Operating expenses- Others (code 2211399) which do not have a specific item description.
xi. High level of trade receivables of Kshs.46.23 million on own source revenues that remained uncollected as at 31st March 2026.

The County should implement the following recommendations to improve budget execution:

i. *The County Treasury should ensure the timely preparation and submission of financial reports to*

the Controller of Budget per the timelines prescribed in Section 166 of the PFM Act, 2012.

ii. *The County should address its own-source revenue performance to ensure the approved budget is fully financed. Appropriate austerity measures should be implemented to ensure expenditure commitments are aligned with available revenue.*

iii. *The County should implement strategies to increase development expenditures in FY 2025/26.*

iv. *The County Treasury should ensure unspent funds from the previous financial year are deposited into the CRF Account in line with Section 136 of the PFM Act 2012.*

v. *The County should ensure timely review and extension of public funds whose lifespans are nearing expiration or have lapsed to prevent operational disruptions. Additionally, any expenditure from lapsed funds should cease immediately, and legal mechanisms should be followed to re-establish or wind up such funds in compliance with the Public Finance Management Act.*

vi. *The CECMF should follow up to ensure Fund Administrators prepare and submit statutory reports in line with the PFM Act, 2012.*

vii. *The County Leadership should address the situation of trade payables to ensure that genuine bills are paid promptly in the remaining financial year. Further, compliance with the Trade Payables Action Plan should be enforced.*

viii. *The Government requires that salaries be processed through the HRIS system, and the County is advised to fast-track the acquisition of Unified Personnel Numbers for their staff. The County Public Service Board should regulate staff engagement on contract and casual workers as provided under Section 74 of the County Governments Act 2012. Furthermore, strict adherence to the approved staff establishment should be maintained.*

ix. *The County Treasury should ensure it submits copies of authorisation letters to the CoB for opening commercial bank accounts to enhance accountability and oversight.*

x. *The County Treasury should adhere to the approved budget classification framework by ensuring that all expenditures are recorded under their specific budget codes rather than being aggregated under the "Other Operating Expenses-Other" category.*

xi. *The Controller of Budget recommends that the County Government should institute measures of collecting the trade receivables in order to meet the set revenue targets and expenditures as per the budget.*

3.39. County Government of Taita-Taveta

3.39.1 Overview of FY 2025/26 Budget

The Taita Taveta County Approved Budget for FY 2025/26 is Kshs.8.34 billion. It comprises Kshs.2.61 billion (31 per cent) and Kshs.5.72 billion (69 per cent) allocation for development and recurrent programmes, respectively. The budget estimates represent an increase of Kshs.155.32 million (2 per cent) from the FY 2024/25 budget, which comprised a development budget of Kshs.2.41 billion and a recurrent budget of Kshs.5.77 billion. The increase the budget was primarily attributed to the rise in local revenue projections and balance brought forward from the previous years.

The budget is to be financed from various revenue sources. These include the equitable share of revenue raised nationally Kshs.5.76 billion (69 per cent), additional allocations of Kshs.1.57 billion (19 per cent), Kshs.949.60 million (10 per cent) generated as own-source revenue and kshs.51.76 million (less than 1 per cent) as other revenues. A breakdown of the additional allocations is shown in Table 3.372.

3.39.2 Revenue Performance

During the first nine months of FY 2025/26, the County reported total revenues of Kshs.5.55 billion. This amount represented an increase of 50 per cent compared to the amount received in a similar period in FY 2024/25 of Kshs.3.69 billion. The total revenue consisted of Kshs.4.29 billion from the equitable share of revenue raised nationally, additional allocations from the national government and development partners of Kshs.736.58 million, Kshs.31.01 million as balance brought forward from FY 2024/25, Kshs.51.76 million from mineral royalties and own-source revenue (OSR) collection of Kshs.437.09 million. Additionally. The total OSR collection of Kshs.437.09 million included Facilities Improvement Financing (FIF) of Kshs.202.53 million, and Kshs.234.55 million from other OSR sources.

Table 3.578 summarises the total revenue available to the County Government during FY 2025/26.

Table 3.578: Taita Taveta County, Revenue Performance in the first nine months of FY 2025/26

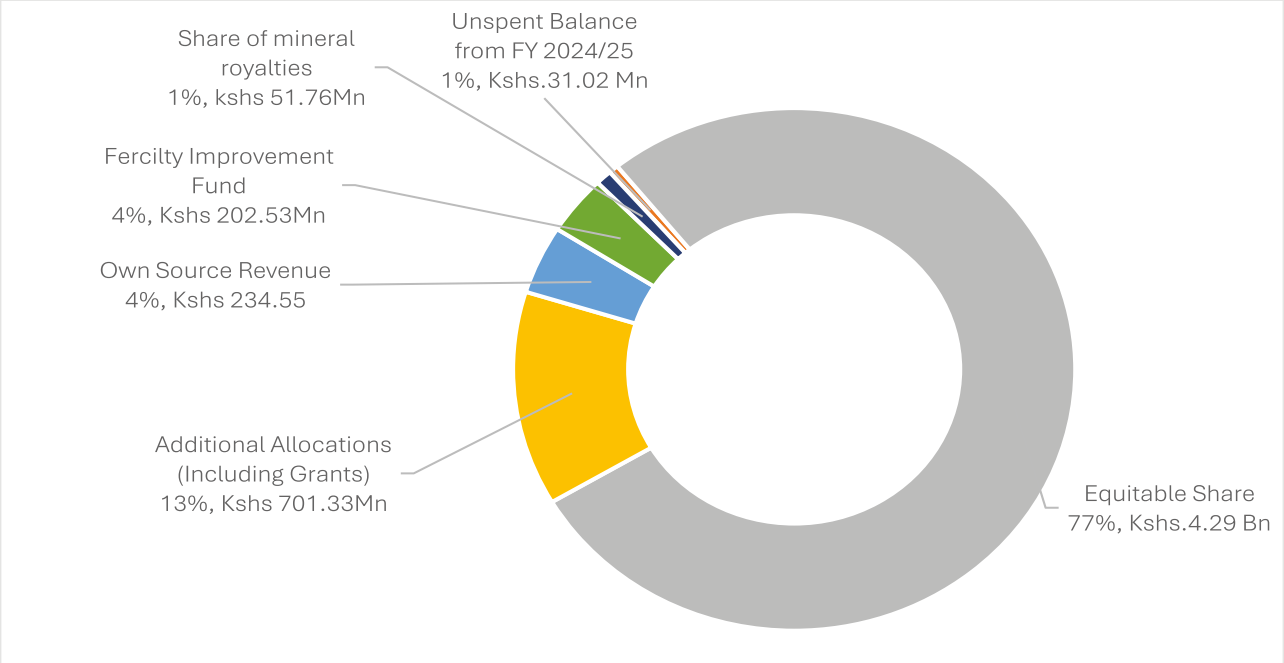
No	Revenue Stream	Annual Targeted Revenue (Kshs.)	Actual Receipts (Kshs.)	Receivables in the First Nine Months of FY 2025/26 (Kshs.)	Total Revenues (in accrual basis) in the First Nine Months of FY 2025/26 (Kshs.)	Variance (Kshs.)
		A	B	C	D=B+C	E=A-D
A	**Unspent Balance from FY 2024/25**					
1	Balance at CRF	-	31,007,805	-	31,007,805	- 31,007,805
2	County Executive Refunds to CRF	-	1,796	-	1,796	- 1,796
3	County Assembly Refunds to CRF	-	9,008	-	9,008	- 9,008
	Sub-Total	**-**	**31,018,610**	**-**	**31,018,610**	**- 31,018,610**
B	**Equitable Share of Revenue Raised Nationally**					
1	Equitable Share	5,760,449,685	3,830,699,040	460,835,975	4,291,535,015	1,468,914,670
	Sub-Total	**5,760,449,685**	**3,830,699,040**	**460,835,975**	**4,291,535,015**	**1,468,914,670**
C	**Additional Allocations (Including Grants)**					
1	National Agricultural Value Chain Development Programme (NAVCDP)	231,250,000	136,001,078	-	136,001,078	95,248,922
2	Water and Sanitation Development Project (WSDP)	450,000,000	366,000,000	-	366,000,000	84,000,000
3	KCB-JABEIC grant	2,000,000	-	-	-	2,000,000
4	Financing Locally Led Climate Action (FLLoCAP Grant B/F 2024-25)	49,172,775	-	-	-	49,172,775
5	Financing Locally Led Climate Action (FLLoCAP Grant 2025-26)	95,504,442	85,685,019	-	85,685,019	9,819,423
6	Danida Grant - Primary Health Care	9,547,500	-	-	-	9,547,500
7	Danida Grant - Primary Health Care Brought Forward	6,532,500	-	-	-	6,532,500
8	Kenya Devolution Support Programme (KDSP II-Level I)	72,909,500	35,253,471	35,250,118	70,503,589	2,405,911
9	Kenya Devolution Support Programme (KDSP II-Level II)	390,000,000	-	-	-	390,000,000
10	Kenya Informal Settlement Improvement Project (KISIP)	60,000,000	-	-	-	60,000,000
11	Kenya Informal Settlement Improvement Project (KISIP) B/F	26,321,755	-	-	-	26,321,755
12	Kenya Urban Support Programme (World Bank)-(KUSP)-UIG B/F	32,309,300	-	-	-	32,309,300
13	Kenya Urban Support Programme (World Bank)-(KUSP)-UDG B/F	18,278,289	-	-	-	18,278,289
14	Kenya Urban Support Programme (World Bank)-(KUSP)	51,000,000	-	-	-	51,000,000
15	Roads Maintenance and Fuel Levy Fund	78,389,752	78,389,752	-	78,389,752	-

No	Revenue Stream	Annual Targeted Revenue (Kshs.)	Actual Receipts (Kshs.)	Receivables in the First Nine Months of FY 2025/26 (Kshs.)	Total Revenues (in accrual basis) in the First Nine Months of FY 2025/26 (Kshs.)	Variance (Kshs.)
		A	B	C	D=B+C	E=A-D
	Sub-Total	**1,573,215,813**	**701,329,320**	**35,250,118**	**736,579,438**	**836,636,375**
D	**Ordinary Own Source Revenue (OSR)**					
1	Own Source Revenue	669,600,000	234,554,913	-	234,554,913	435,045,087
	Sub-Total	**669,600,000**	**234,554,913**	**-**	**234,554,913**	**435,045,087**
E	**Facility Improvement Financing s**					
1	SHIF	280,000,000	202,534,503	-	202,534,503	77,465,497
	Sub-Total	**1,229,600,000**	**202,534,503**	**-**	**202,534,503**	**77,465,497**
F	**Other Revenues**					
1	Share of mineral royalties	51,756,326	51,756,326	-	51,756,326	-
	Sub-Total	**51,756,326**	**51,756,326**	**-**	**51,756,326**	**-**
	Grand Total	**8,335,021,824**	**5,051,892,712**	**496,086,093**	**5,547,978,805**	**2,787,043,019**

Source: *Taita Taveta County Treasury*

The County has governing legislation on the operation of FIF. Figure 3.229 provides a detailed breakdown of receipts.

Figure 3.229: Taita Taveta County Composition of Revenue in the first nine months of FY 2025/26

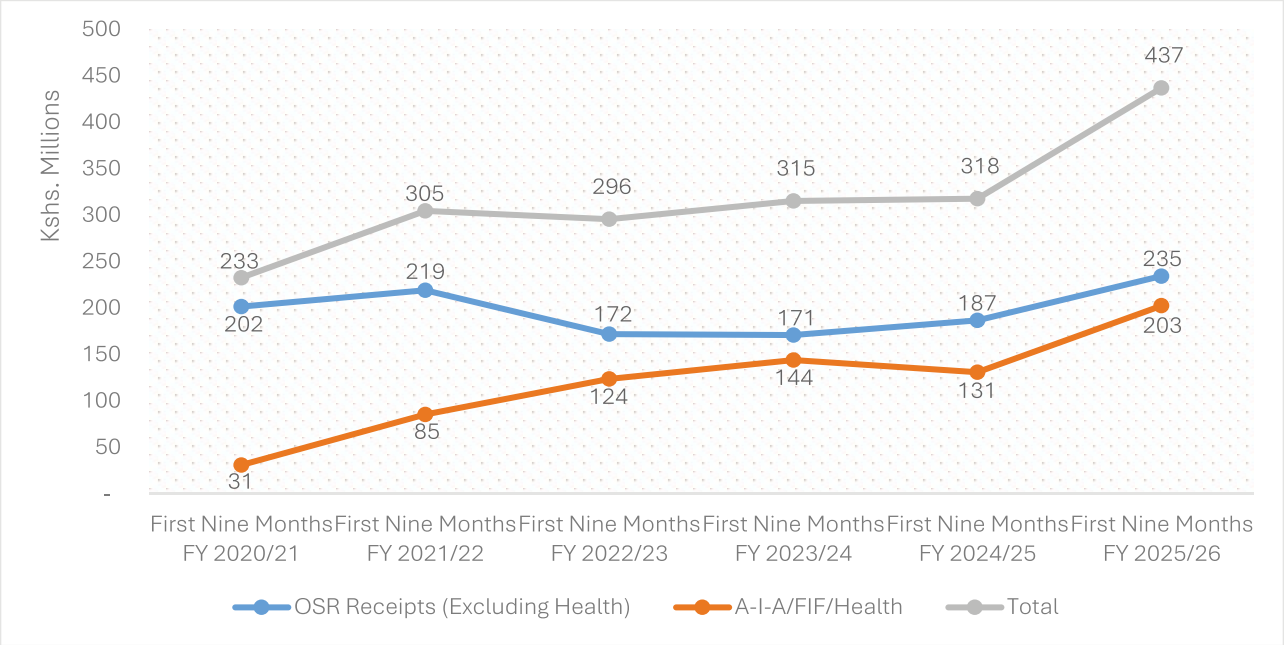


Source: *Taita Taveta County Treasury*

The equitable share of revenue raised nationally, OSR, and FIF contributed 77 per cent, 4 per cent and 4 per cent, respectively, of the total receipts for the reporting period.

Figure 3.230 shows the collection trend in own-source revenue from the first nine months of FY 2020/21 to the first nine months of FY 2025/26.

Figure 3.230: Taita Taveta County Trend in Own-Source Revenue Collection from the first nine months of FY 2020/21 to the first nine months of FY 2025/26

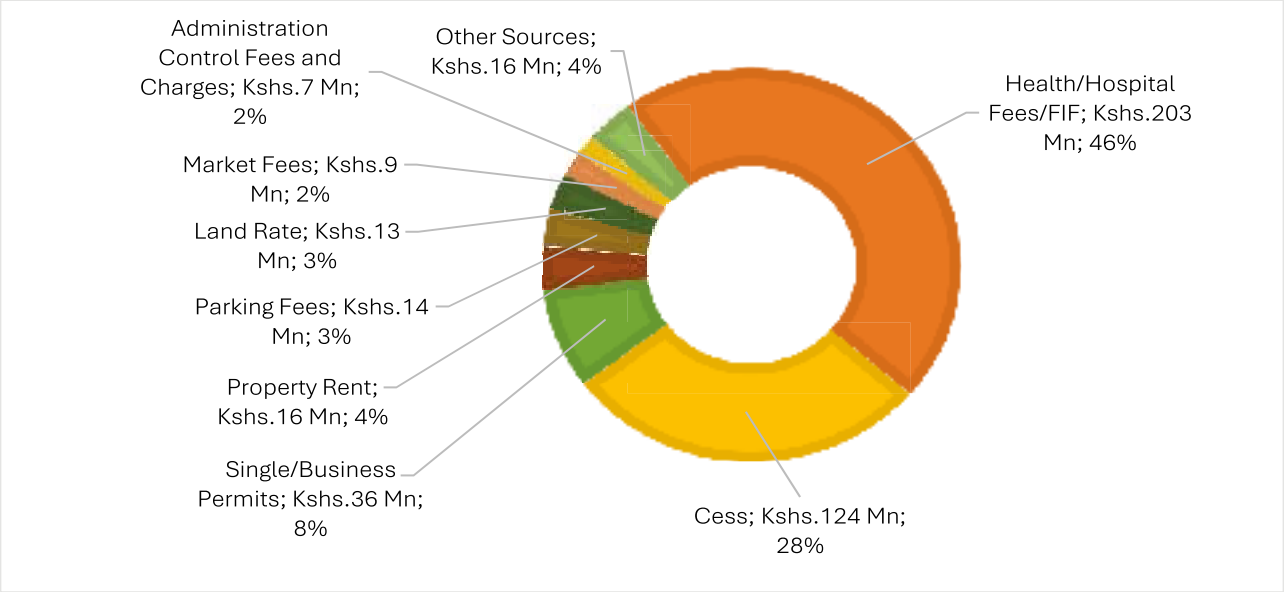


Source: *Taita Taveta County Treasury*

During the first nine months of FY 2025/26, the County received Kshs.437.09 million from OSR, including FIF. This amount was an increase of 38 per cent compared to Kshs.317.78 million realised in a similar period in FY 2024/25, and was 46 per cent of the annual target and 10 per cent of the equitable revenue share disbursed.

The increase in own-source revenue collection was attributed to revenue mapping and automation of the revenue collection system. The revenue streams that contributed the most to OSR receipts are shown in Figure 3.231

Figure 3.231: Taita Taveta County Top Own Source Revenue Streams in the first nine months of FY 2025/26



Source: Taita Taveta County Treasury

As shown in Figure 3.231, the largest revenue stream, at Kshs.203 million, was from FIF, accounting for 46 per cent of total OSR receipts. The County Government indicated that it has automated 5 of the 8 operational modules of its revenue collection system, known as the County Integrated Management Information System (CIRMIS).

3.39.3 Revenue Receivables

As of 1st July 2025, the County did not report revenue Receivables. However, the County reported Kshs.496.09 million revenue receivable as of 31st March 2026. The County manages its revenue receivables on a manual accrual basis. Table 3.579 presents a breakdown of the County's revenue Receivables.

Table 3.579: Taita Taveta County Receivables as of 31st March 2026

Revenue Stream	Revenue Receivables as of 1 July 2025 (Kshs.)	Progress made in First Nine Months of FY 2025/26			OSR Receivables as of 31st March 2026 (Kshs.)
		Waivers (Kshs)	Receivables paid in the financial year (Kshs)	Receivables earned in First Nine Months of FY 2025/26 (Kshs)	
	a	b	c	d	f=a-b-c+d
Equitable Share of Revenue Raised Nationally					
Mar-26	-	-	-	460,835,975	-
Sub-Total	**-**	**-**	**-**	**460,835,975**	**-**
Additional Allocations					
Kenya Devolution Support Programme (KDSP II-Level I)	-	-	-	35,250,118	-
Sub-Total	**-**	**-**	**-**	**35,250,118**	**-**
Grand Total	**-**	**-**	**-**	**496,086,093**	**-**

Source: Taita Taveta *County Treasury*

As of 31st March 2026, the revenue receivables totalled Kshs.496.09 million, comprising Kshs.460.84 for the equitable share (93 per cent) and Kshs.35.25 for the Kenya Devolution Support Programme level 1 (7 per cent). The measures instituted by the County to collect the outstanding arrears in FY 2025/26 include Liaising with the National Treasury to ensure the timely disbursement of the equitable share and the timely compliance with development partners' conditions for funding.

3.39.4 Borrowing by the County

The two arms of the County Government did not report any credit facilities or short-term borrowing with commercial banks during the period under review.

3.39.5 Withdrawals from the County Revenue Fund and County Assembly Fund

During the reporting period, the Controller of Budget approved exchequer withdrawal requests totalling Kshs.4.29 billion from the Taita Taveta County Revenue Fund (CRF) account. This amount consisted of Kshs.949.02 million (22 per cent) designated for development programs and Kshs.3.34 billion (78 per cent) allocated for recurrent programs.

An analysis of the released recurrent exchequers shows that Kshs.2.58 billion was allocated to employee compensation and Kshs.754.11 million to operations and maintenance expenditures. Within the operations and maintenance category, 26 per cent was for domestic travel and 1 per cent for foreign travel. The domestic travel exchequers totalled Kshs.194.8 million, which included Kshs.92.59 million for the County Executive and Kshs.102.21 million for the County Assembly. Meanwhile, the foreign travel exchequers amounted to Kshs.9.9 million, with Kshs.0.21 million for the County Executive and Kshs.9.78 million for the County Assembly.

As of 31st March 2026, the County Government's cash balance in the Taita Taveta CRF account was Kshs.175.77 million.

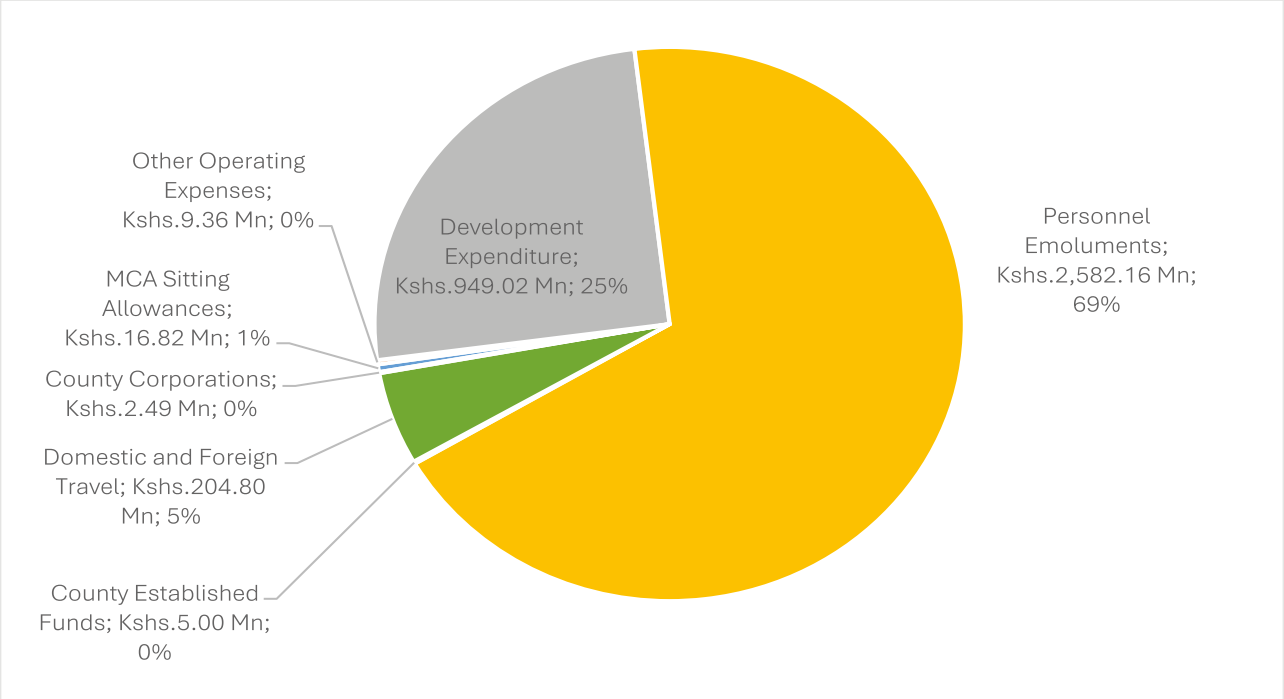
The Taita Taveta County Assembly Fund (CAF) account was not operationalised as of 31st March 2026.

3.39.6 Expenditure Review

The County spent Kshs.4.29 billion on development and recurrent programmes during the reporting period. The expenditure represented 100 per cent of the total funds released by the CoB. It comprised Kshs.949.02 million for development programmes and Kshs.3.34 billion for recurrent programmes. Expenditure on development programmes accounted for 36 per cent of the annual development expenditure budget, while recurrent expenditure accounted for 58 per cent of the annual recurrent expenditure budget.

Figure 3.232 provides a detailed breakdown of total expenditure.

Figure 3.232: Taita Taveta County Composition of Expenditure in the first nine months of FY 2025/26



Source: Taita Taveta *County Treasury*

As shown in Figure 3.232, the three highest expenditure categories were Personnel emoluments, development expenditure & domestic travel, contributing 69, 25 and 5 per cent of total expenditure for the reporting period.

3.39.7 Expenditure by Economic Classification

The County Executive incurred Kshs.2.95 billion in employee compensation, Kshs.523.05 million in operations and maintenance, and Kshs.905.87 million in development activities. Similarly, the County Assembly spent Kshs.247.64 million on compensation of employees, Kshs.231.06 million on operations and maintenance, and Kshs.43.15 million on development activities, as shown in Table 3.580

Table 3.580: Taita Taveta County Summary of Budget and Expenditure by Economic Classification

Expenditure Classification	Approved Budget (Kshs.Mn) (a)		Amount Paid in the first nine months of FY 2025/26 (Kshs.Mn) (b)		Expenditure Accrued in the first nine months of FY 2025/26 (Kshs. Mn) (c)		Total Expenditure in the first nine months of FY 2025/26 (Kshs.Mn) (d=b+c)		Absorption (%) (d/a*100)	
	Executive	Assembly	Executive	Assembly	Executive	Assembly	Executive	Assembly	Executive	Assembly
Total Recurrent Expenditure	4,989.88	731.80	2,910.97	425.30	558.08	53.40	3,469.05	478.70	**70**	**65**
Compensation of Employees	2,891.96	310.09	2,387.92	194.24	558.08	53.40	2,946.00	247.64	102	80

Expenditure Classification	Approved Budget (Kshs.Mn) (a)		Amount Paid in the first nine months of FY 2025/26 (Kshs.Mn) (b)		Expenditure Accrued in the first nine months of FY 2025/26 (Kshs. Mn) (c)		Total Expenditure in the first nine months of FY 2025/26 (Kshs.Mn) (d=b+c)		Absorption (%) (d/a*100)	
	Executive	Assembly	Executive	Assembly	Executive	Assembly	Executive	Assembly	Executive	Assembly
Operations and Maintenance	2,097.92	421.71	523.05	231.06	0.00	0.00	523.05	231.06	25	55
Development Expenditure	2,528.34	85.00	905.87	43.15	0.00	0.00	905.87	43.15	**36**	**51**
Total	**7,518.22**	**816.80**	**3,816.83**	**468.45**	**558.08**	**53.40**	**4,374.92**	**521.85**	**59**	**64**

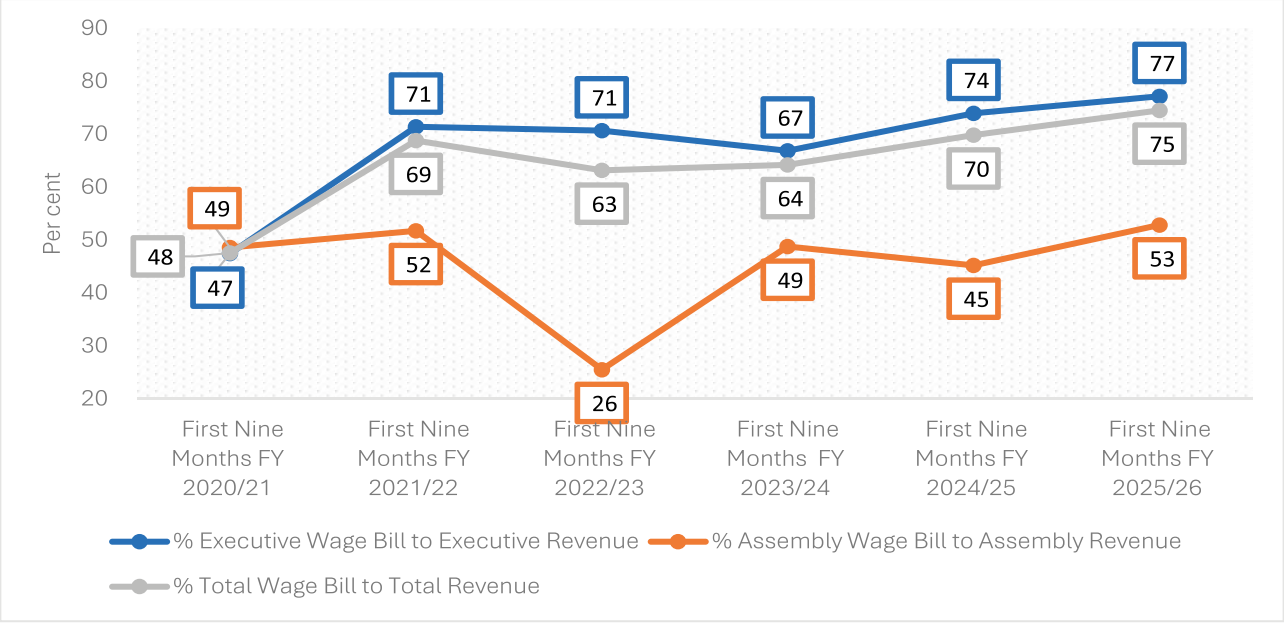
Source: *Taita Taveta County Treasury*

3.39.8 Expenditure on Employee Compensation

The expenditure on employee compensation totalled Kshs.3.19 million, representing 57 per cent of revenue. This expenditure on employee compensation shows. an increase compared to the Kshs.2.23 million reported in a similar period in FY 2024/25. Of this total, Kshs.1.34 billion related to Health Sector employees, accounting for 42 per cent of the overall employees' compensation. The 43 per cent increase in personnel emoluments compared to the previous financial year was attributed to the accrual basis of accounting, which was not applied in that year.

Figure 3.233 shows the trend in employee compensation as a percentage of total revenue from the first nine months of FY 2020/21 to the first nine months of FY 2025/26

Figure 3.233: Percentage of Employee Compensation Expenditure to Total Revenue Received in the first nine months of FY 2020/21 to the first nine months of FY 2025/26



Source: Taita Taveta County Treasury

Further analysis indicated that PE costs totalling Kshs.2.49 billion were processed through the Human Resource Information System (HRIS). In contrast, Kshs.57.35 million was processed through manual payrolls, which accounted for 2 per cent of the total PE cost.

The manual payroll comprised salaries for staff not onboarded into the Human Resource Information System (HRIS), who are mainly ward office staff employed temporarily, and gratuity remittances to pension schemes for staff on contract, as shown inTable 3.581

Table 3.581: Breakdown of Taita Taveta County Manual Payroll

Sno.	Description of Manual Payroll	Amount (Kshs.)
1	Salaries for staff paid outside the Human Resource Information System (HRIS)	12,794,192
2.	Gratuity for contract staff	44,551,563
	Total	**57,345,728**

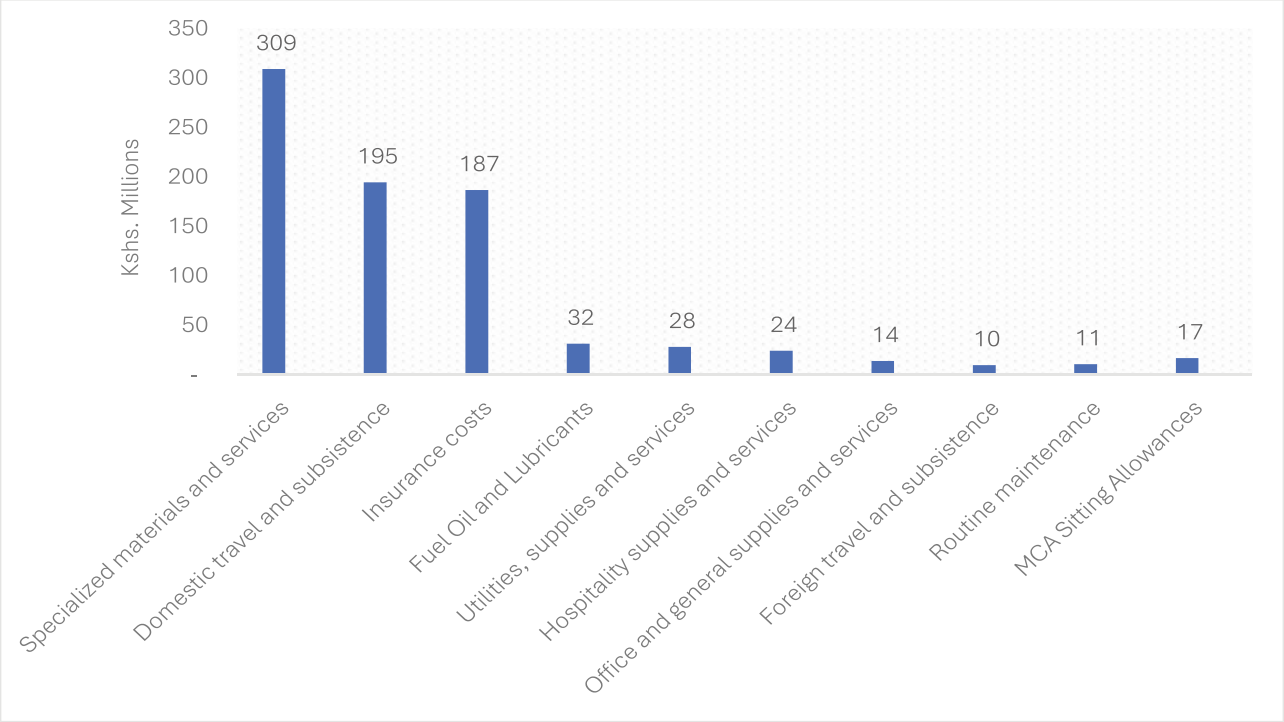
Source: Taita Taveta County Treasury

The County Assembly spent Kshs.16.82 million on committee sitting allowances for the 32 MCAs against the annual budget allocation of Kshs.27.80 million. The average monthly sitting allowance was Kshs.58,408 per MCA. The County Assembly has 23 House Committees.

3.39.9 Expenditure on Operations and Maintenance

During the reporting period, the County spent Kshs.754.11 million on operations and maintenance, representing a decrease of 23 per cent compared to a similar period in FY 2024/25, when the County spent Kshs.976.35 million. Figure 3.234 illustrates the distribution of Operations and Maintenance expenditures across the major spending categories.

Figure 3.234: Taita Taveta County, Operations and Maintenance Expenditure by Major Categories



Source: *Taita Taveta County Treasury*

3.39.10 Unbundling "Other Operating Expenses-Other" Under Operations and Maintenance Expenditures

The budget performance report for the first nine months of FY 2025/26 indicates that the County spent Kshs.9.36 million on "*other operating expenses-Other*," which was 1 per cent of the total operations and maintenance expenditure of Kshs.754.11 million. This category of expenditure includes Kshs.6.33 million for legal fees, Kshs.1.11 million for professional subscriptions, Kshs.0.76 million for contracted professional services, and Kshs.0.39 million for bank charges. The disaggregated items under the "*Other Operating Expenses-other*" category are shown in Table 3.582

Table 3.582: Breakdown of "Other Operating Expenses-other" under O&M Expenditures

Code	Item	Budget (Kshs)	Expenditure (Kshs.)
2211399	Other Operating Expenses - Other	5,500,000	764,292
	Total	**35,084,975**	**9,357,076**

Source: *Taita Taveta County Treasury*

3.39.11 County-Established Funds

Section 116 of the PFM Act 2012 allows County Governments to establish other public funds, subject to approval from the County Executive Committee and the County Assembly. The County allocated Kshs.42.05 million to County-Established funds in FY 2025/26, or less than 1 per cent of the County's overall budget. Further, the County allocated Kshs.10 million to the Emergency Fund (less than 1 per cent of the total budget) in line with Section 110 of the PFM Act, 2012

Table 3.583 summarises each established Fund's budget allocation and performance during the reporting period.

Table 3.583: Performance of Taita Taveta County Established Funds in the first nine months of FY 2025/26

S/No.	Name of the Fund	Approved Budget Allocation in FY 2025/26 (Kshs.)	Exchequer Issues in First Nine Months of FY 2025/26 (Kshs.)	Actual Expenditure in the First Nine Months of FY 2025/26 (Kshs.)	Cumulative disbursements to the Fund (Kshs)	Submission of Financial Statements (Yes/No.)
		County Executive Established Funds				
1.	County Emergency Fund	10,000,000.00	-	-	-	Yes
2.	County Executive Mortgage and car Loan	5,000,000.00	-	-	-	Yes
3.	Taita Taveta County Education Fund Account	2,050,000.00	-	-	-	Yes
		County Assembly Established Funds				
1.	County Assembly Staff Car Loan & Mortgage	25,000,000	5,000,000	5,000,000	5,000,000	Yes
	Total	**42,050,000**	**5,000,000**	**5,000,000**	**5,000,000**	**-**

Source: *Taita Taveta County Treasury*

3.39.12 County Corporations

The County has one County Corporation, which was allocated Kshs.5.35 million in FY 2025/26, shown in Table 3.584

Table 3.584: Performance of Taita Taveta County Corporations in the first nine months of FY 2025/26

S/No.	Name of the Corporation	Approved Budget Allocation in FY 2025/26 (Kshs.)	Exchequer Issues in the first nine months of the FY 2025/26 (Kshs.)	Actual Transfers in first nine months in the FY 2025/26 (Kshs.)	Cumulative Transfers to the Corporation since its inception (Kshs.)
1.	County Investments and Development Corporation	5,350,000.00	-	-	-
	Total	**5,350,000.00**	**-**	**-**	**-**

Source: *Taita Taveta County Treasury*

3.39.13 Expenditure on Domestic and Foreign Travel

Expenditure on domestic travel amounted to Kshs.194.81 million and comprised Kshs.102.21 million spent by the County Assembly and Kshs.92.59 million by the County Executive. Expenditure on foreign travel amounted to Kshs.9.99 million and comprised Kshs.9.78 million by the County Assembly and Kshs.0.21 million by the County Executive. Expenditure on foreign travel is summarised in Table 3.585

Table 3.585: Summary of Expenditure on Foreign Travel in the first nine months of FY 2025/26

Arm of County Government	No. of Officers Travelled	Dates travelled	Purpose of the travel	Destination	Total Costs of the Travel (Kshs.)
County Executive	1		Vaccinology Course in Kigali, Rwanda	Kigali	211,970
County Assembly	1	01/08/2025-08/08/2025	Training On Good Practices at the Gujarat Legislative Assembly, India	India	393,160
County Assembly	3	10/08/2025-16/08/2025	Conference in Accra, Ghana	Ghana	1,617,700
County Assembly	7	07/12/2025 -13/12/2025	To Attend 20Th Session of Intergovernmental Committee	New Delhi	2,298,557
County Assembly	1	02/11/2025-14/11/2025	Empowering Legislative Administrative International Knowledge Exchange Programme	Spain & France	247,152
County Assembly	1	26/11/2025-29/11/2025	The Coh Africa Law Society AGM	Ethiopia	280,575
County Assembly	7	08/12/2025 - 13/12/2025	The 12Th Session of The Inter-Governmental Committee	India	2,288,957
County Assembly	1	05/01/2026 - 12/01/2026	Executive Development Programme in Geneva, Switzerland	Switzerland	772,746
County Executive	7	08/12/2025 - 13/12/2025	UNESCO Workshop	India	2,854,800
Total					**9,995,795**

Source: Taita Taveta County Treasury and Taita Taveta County Assembly

3.39.14 Facility Improvement Financing

During the review period, the County reported collections of Kshs.202.53 million as FIF, which was 72 per cent of the annual target of Kshs.280 million. The collected amount was retained and utilised at source in line with the Facility Improvement Financing Act, 2023. The County has developed regulations to operationalise the FIF Act of 2023.

The expenditure by the health facilities amounted to Kshs.275.79 million, as shown in Table 3.26.

Table 3.586: Taita Taveta County Health Facilities Expenditure Performance in the first nine months of FY 2025/26

No.	Health Facility	Number of Facilities	Approved Budget (Kshs.)	Actual Expenditure (Kshs.)	Absorption rate (%)
1	Level 5 Hospital				
2	Level 4 Hospital	4	268,028,347.94	202,534,503	76
3	Level 3 Facility	14	40,000,000.00	26,125,449	65
4	Level 2 Facility	54	65,000,000.00	47,136,660	73
	Total	**72**	**373,028,347.94**	**275,796,612**	**74**

Source: *Taita Taveta County Treasury*

3.39.15 Development Expenditure

In the review period, the County reported spending Kshs.949.02 million on development programmes, representing an increase of 178 per cent compared to FY 2024/25, when the County spent Kshs.341.18 million. Table 3.10 summarises the development projects with the highest expenditure in the reporting period.

The increase in development expenditure was attributed to the timely payment of trade payables and the timely procurement and payment for projects funded by development partners.

Table 3.587: Taita Taveta County, List of Development Projects with the Highest Expenditure

No	Sector	Project Name		Project Commencement Date	Expected date of Completion of the Project (Kshs Mn)	Contract sum	Total Funding in FY 2025/26 (Kshs. Mn)	Expenditure (on an accrual basis) in the first nine months of FY 2025/26 (Kshs. Mn)	Cumulative project expenditure (on an accrual basis) as of 31st March 2026 (Kshs.Mn)	Percentage (%) of Completion
	County Funded Projects									
1	Finance	Trade payables	County wide		-	210.00	165.02	-	165.02	-
2	County Assembly	Construction of the County Assembly Chamber	County Assembly		-	85.00	43.15	-	43.15	-
3	Public Work	County Roads Maintenance Programme/Access Roads	County wide		-	78.39	78.39	-	6.99	-
	Donor Funded Projects									
3	Water	Water and Sanitation Development Project	County wide		-	450.00	366.00	-	366.00	-
4	Agriculture	WB-National Agricultural Value Chain Development Project	County wide		-	231.25	141.00	-	141.00	-
5	Environment	Locally Led Climate Action Programme(Climate Change) WB	County wide		-	144.67	95.21	-	95.21	-
6	Public Administration	Kenya Devolution Support Programme (KDSP)	County wide		-	72.91	35.25	-	35.21	-
7	Lands	Kenya Informal Settlement Improvement Project (KISIP)	Voi		-	86.31	26.32	-	26.32	-
8	Health	Danida Grant - Primary Healthcare	County wide		-	20.77	20.77	-	20.77	-

Source: *Taita Taveta County Treasury*

The County report did not report on stalled development projects as of 31st March 2026.

3.39.16 Budget Performance by Department

Table 3.588 summarises the approved budget allocation, expenditure, and absorption rate by department for the period under review.

Table 3.588: Taita Taveta County, Budget Allocation and Absorption Rate by Department in the first nine months of FY 2025/26

Department	Budget Allocation (Kshs.Millions)		Exchequer Issues (Kshs.Millions)		Expenditure (Kshs. Millions)		Expenditure to Exchequer Issues (%)		Absorption rate (%)	
	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev
County Assembly	731.80	85.00	425.30	43.15	425.30	43.15	100	100	58	1
Public Service and Administration	1,729.79	352.50	898.03	3.50	898.03	3.50	100	100	52	1.
Office of The Governor	255.07	-	135.52	-	135.52	-	100	-	53	-
Finance and Planning	642.71	212.50	336.87	168.87	336.87	168.87	100	100	52	80
Agriculture, Livestock, and Fisheries	117.99	292.05	103.55	141.00	103.55	141.00	100	100	88	48
Water and Irrigation	66.83	679.06	52.13	451.69	52.13	451.69	100	100	78	67
Education and Libraries	314.20	131.22	290.66	21.85	290.66	21.85	100	100	93	17
Health	1,582.42	133.34	973.29	1.00	973.29	1.00	100	100	62	0.7
Trade, Tourism and Cooperative Development	35.35	21.30	23.73	-	23.73	-	100	-	67	-
County Public Service Board	37.54	3.00	29.71	-	29.71	-	100	-	79	-
Infrastructure and Public Works	59.35	255.04	25.99	81.89	25.99	81.89	100	100	44	32
Land, Environment & Natural Resources	29.46	112.52	10.13	26.32	10.13	26.32	100	100	34	23
Youth, Gender, Sports, Culture and Social Services	39.44	244.53	19.35	9.75	19.35	9.75	100	100	49	4
Mwatate Municipality	46.51	72.28	4.62	-	4.62	-	100	-	10	-
Voi Municipality	17.56	11.00	4.23	-	4.23	-	100	-	24	-
Taveta Municipality	15.66	8.00	3.15	-	3.15	-	100	-	20	-
Total	**5,721.68**	**2,613.34**	**3,336.27**	**949.02**	**3,336.27**	**949.02**	**100**	**100**	**58**	**36**

Source: *Taita Taveta County Treasury*

Analysis of expenditure by departments shows that the Department of Finance & Economic Planning recorded the highest absorption rate of development budget at 80 per cent, followed by the Department of County Assembly at 51 per cent. The Department of Agriculture had the highest percentage of recurrent expenditure to budget at 88 per cent, while the Department of Mwatate Municipality had the lowest at 10 per cent.

3.39.17 Budget Execution by Programmes and Sub-Programmes

Budget execution was concentrated in selected performance bands. In the 1–10 per cent band, development absorption was reported for water infrastructure development under the Department of Water at 0.36 per cent and for the Taveta Municipality development programme at 4 per cent, while recurrent absorption was recorded for administration and support services under the Department of Health at 6 per cent.

In the 11–20 per cent band, development absorption was reported for cooperatives development under the Department of Trade, Tourism and Cooperative Development at 12 per cent and for library services under the Department of Education at 11 per cent, while recurrent absorption was recorded for administration, planning and support services under the Mwatate Municipality at 10 per cent, for human resource planning, management and development under the Department of Trade at 17 per cent, and for hospitals and specialised health services under the Department of Health at 21 per cent.

In the 21–30 per cent band, recurrent absorption was reported for early childhood education and youth training development programme under the Department of Education and Early Childhood Development at 27 per cent, while development absorption was recorded for crop development under the Department of Agriculture at 30 per cent. In the 31–40 per cent band, development absorption was reported for blue economy development under the Department of Agriculture, Livestock and Fisheries at 37 per cent, for special programmes and service delivery under the Kenya Devolution Support Programme at 37 per cent, and for preventive and promotive services under the Department of Health at 35 per cent.

In the 41–50 per cent band, development absorption was reported for livestock production under the Department of Agriculture, Livestock and Fisheries at 44 per cent. In the 81–90 per cent band, recurrent absorption was reported for public finance management under the Department of Finance at 90 per cent. In the 90–100 per cent band, recurrent absorption reached 100 per cent for general administration and support services under the Department of Trade, 98 per cent for the same sub-programme under the Departments of Education and Vocational Training and Health, and 96 per cent for administration and support services under the Department of Energy.

Low absorption in the lower performance bands reflected slow implementation across water infrastructure, municipality, cooperative, library and health administration sub-programmes. Conversely, performance in the higher bands was attributed to timely procurement and payments to suppliers and the prioritisation of the respective sub-programmes during the review period.

Table 3.589 summarises budget execution by programmes and sub-programmes in the period under review with the highest absorption rates.

Table 3.589: Budget Execution by Programmes and Sub-Programmes with Highest Absorption Rates

Programme	Sub-Programme	Gross Approved Estimates FY 2025/26 (Kshs.)	Expenditure (including accrued expenditure) as of 31st March 2026 (Kshs.)	Absorption Rate (%)
DEVELOPMENT				
Agriculture, Livestock & Fisheries				
	Livestock Production	9,330,000	4,143,538	44
Agriculture, Livestock & Fisheries				
	Blue Economy Development	2,614,643	968,871	37
Kenya Devolution Support Programme				

Programme	Sub-Programme	Gross Approved Estimates FY 2025/26 (Kshs.)	Expenditure (including accrued expenditure) as of 31st March 2026 (Kshs.)	Absorption Rate (%)
	Special Programmes & Service delivery	32350000	12069075	37
Health				
	Preventive & Promotive services	92,149,000	32,563,852	35
Agriculture				
	Crop Development	39,930,000	11,979,912	30
RECURRENT				
Trade				
	General Administration and Support Services Programme	16,967,785	16,967,181	100
Education & Vocational Training				
	General Administration, Planning and Support services	257,964,201	252,558,371	98
Health				
	General Administration, Planning and Support services	257964201	252558371.4	98
Energy				
	Administration and Support Services	925,155,368	891,489,813	96
Finance				
	Public Finance Management	394,820,000	357,117,997	90

Source: Taita Taveta County Treasury

The development sub-programmes with the highest budget implementation rates were: Livestock Production in the Department of Agriculture, Livestock & Fisheries development at 44 per cent, Blue Economy Development in the Department of Agriculture, Livestock & Fisheries development at 37 per cent, and Special Programs & Service Delivery at 37 per cent.

For recurrent sub-programmes, the top performers included: General Administration and Support Services Programme in the Department of Trade at 100 per cent, General Administration and Support Services Programme in the Department of Education & Vocational Training at 98 per cent, and General Administration and Support Services Programme in the Department of Health at 98 per cent.

The higher performance of these programmes can be attributed to timely procurement and payments to suppliers.

Table 3.590 summarises the budget execution by programmes and sub-programmes in the period under review that had the lowest absorption rates.

Table 3.590: Budget Execution by Programmes and Sub-Programmes with Lowest Absorption Rates

Programme	Sub-Programme	Gross Approved Estimates FY 2025/26 (Kshs.)	Expenditure (including accrued expenditure) as of 31st March 2026 (Kshs.)	Absorption Rate (%)
DEVELOPMENT				
Trade Tourism & Cooperative Development				
	Cooperatives Development	3,093,000	385,577	12
Education				

Programme	Sub-Programme	Gross Approved Estimates FY 2025/26 (Kshs.)	Expenditure (including accrued expenditure) as of 31st March 2026 (Kshs.)	Absorption Rate (%)
	Library Services	5,800,000	629,500	11
Taveta Municipality				
	Development Programme	244,534,656	9,750,000	4
Water				
	Water Infrastructure Development	465,293,292	1,677,740	0.36
RECURRENT				
Education & Early Childhood Development				
	Early Childhood Education and Youth Training Development Programme	5,290,000	1,417,298	27
Health				
	Hospitals & Specialised Health Services	397,868,000	85,124,705	21
Trade				
	Human Resource Planning, Management & Development	3,400,000	576,200	17
Mwatate Municipality				
	Administration Planning and Support Services	46,509,300	4,624,814	10
Health				
	Administration and Support Services	293,330,000	16,986,451	6

Source: *Taita Taveta County Treasury*

The development sub-programmes with the lowest budget implementation rates were as follows: Cooperative Developments in the Department of Trade, Tourism & Cooperative Development at 13 per cent; Library Services in the Department of Education & Libraries at 11 per cent; and Water Infrastructure Development at less than 1 per cent.

For recurrent sub-programmes, the poorest performers included: Human Resources Planning in the Department of Trade at 17 per cent, Administration Planning & Support Services in the Department of Mwatate Municipality at 10 per cent, and Administration & Support Services in the Department of Health at 6 per cent.

3.39.18 Settlement of Trade Payables

As of 1st July 2025, the County reported trade payables totalling Kshs.2.34 billion. This amount consisted of Kshs.2.22 billion from the County Executive and Kshs.115.01 million from the County Assembly. The trade payables from the County Executive comprised Kshs.1.57 billion for recurrent expenditure and Kshs.655.45 million for development expenditure.

During the reporting period, the County Executive settled trade payables amounting to Kshs.412.93 million, comprising Kshs.268.08 million (58 per cent) for recurrent programmes and Kshs.174.91 million (42 per cent) for development programmes. On the other hand, the County Assembly settled trade payables amounting to Kshs.30.06 million, comprising Kshs.30.06 million (100 per cent) for recurrent. The outstanding trade payables as of 31st March 2026 were Kshs.1.81 billion for County Executive and Kshs.84.95 million for County Assembly.Table 3.591 provides additional details of trade payables.

Table 3.591: Taita Taveta County Trade Payables as of 31st March 2026

	County Entity	Development	Recurrent	Total
As at 1 July 2025 (End of FY 2024/25)	County Executive	655,448,681	1,569,473,980	2,224,922,660
	County Assembly	-	115,013,072	115,013,072
	Total	655,448,681	1,684,487,052	2,339,935,732
Amount paid in FY 2025/26	County Executive	174,908,717	238,024,718	412,933,435
	County Assembly	-	30,058,340	30,058,340
	Total	174,908,717	268,083,058	442,991,775
Trade Payables Incurred in FY 2025/26	County Executive	-	-	-
	County Assembly	-	-	-
	Total	-	-	-
Outstanding Trade Payables as of 31 March 2026(Kshs.)	County Executive	480,539,963	1,331,449,262	1,811,989,225
	County Assembly	-	84,954,732	84,954,732
	Total	**480,539,963**	**1,416,403,994**	**1,896,943,957**

Source: *Taita Taveta County Treasury*

The County Executive and the Assembly submitted a trade payables payment plan, committing to pay Kshs.210. million and Kshs.22 million on recurrent and development expenditure, respectively, in FY 2025/26. The County adhered to this payment plan, as it cleared Kshs.412.93 million for the Executive and Kshs.30.06 million for the Assembly.

Table 3.592 and Table 3.593 present the ageing of the total outstanding bills as of 31st March 2026 for the County Executive and Assembly, which were Kshs.1.89 billion.

Table 3.592: Taita Taveta County Executive Trade Payables Ageing Analysis as of 31st March 2026

Category	Ageing analysis (Amount in Kshs.)				Total
	Under one year	1-2 years	2-3 years	Over 3 years	
County Executive					
Development Trade Payables	**51,539,717**	**236,260,267**	**223,355,152**	**57,591,249**	**568,746,385**
Recurrent Trade Payables (Goods & Services)	117,649,222	200,651,653	84,641,827	200,745,231	603,687,933
Recurrent Trade Payables (Salary Arrears and Statutory Deductions)	-	25,114,101	612,280,476	-	637,394,577
Recurrent Trade Payables (Staff Claims)	1,314,350	105,400	740,580	-	2,160,330
Total Recurrent Trade Payables	**118,963,572**	**225,871,154**	**697,662,883**	**200,745,231**	**1,243,242,840**
Total Trade Payables	**170,503,289**	**462,131,421**	**921,018,034**	**258,336,480**	**1,896,943,957**
% of Total	**9.41**	**25.50**	**50.83**	**14.26**	**100**

Source: *Taita Taveta County Treasury*

Table 3.593: Taita Taveta County Assembly Trade Payables Ageing Analysis as of 31st March 2026

Category	Ageing analysis (Amount in Kshs.)				Total
	Under one year	1-2 years	2-3 years	Over 3 years	
Development Trade Payables	-	-	-	-	-
Recurrent Trade Payables (Goods & Services)	-	-	84,954,732	-	**84,954,732**

Category	Ageing analysis (Amount in Kshs.)				Total
	Under one year	1-2 years	2-3 years	Over 3 years	
Recurrent Trade Payables (Salary Arrears and Statutory Deductions)	-	-	-	-	-
Recurrent Trade Payables (Staff Claims)	-	-	-	-	-
Total Recurrent Trade Payables	-	-	84,954,732	-	**84,954,732**
Total Trade Payables	-	-	**84,954,732**	-	**84,954,732**
% of Total	-	-	**100**	-	**100**

Source: *Taita Taveta County Treasury*

As shown in Table 3.592 and Table 3.593, the total salary arrears and statutory deductions for trade payables amounted to Kshs637.39 million which represented 34 er cent of the total trade payables of Kshs.1.89billion as of March 31, 2026.

Additionally, the two tables indicate that 53 per cent of total trade payables are aged between 2-3 years, a trend attributed to unrealistic revenue collection target and delay in disbursements of national shareable revenue by the National Treasury.

3.39.19 General Observations and Recommendations

In the course of overseeing and reporting on the implementation of the Taita Taveta County budget, the CoB identified the following challenges, which hampered effective budget implementation;

i. The County Treasury's late submission of financial reports to the Controller of Budget affected the timely preparation of the budget implementation report, which was received on 27th April 2026.
ii. The underperformance of own-source revenue at Kshs.234.55 million against an annual target of Kshs.669.60 million, representing 35 per cent of the financial year target.
iii. Low development performance in the review period as the County incurred Kshs.949.02 million on development activities, achieving a 36 per cent absorption rate.
iv. High level of trade payables, which amounted to Kshs.1.89 billion as of 31st March 2026. Furthermore, the County Treasury did not adhere to the trade payables payment plan.
v. Use of manual payroll. Personnel emoluments amounting to Kshs.57.35 million for staff not onboarded into HRIS and casual staff were processed through manual payroll, accounting for 2 per cent of the total payroll cost. Manual payroll is prone to abuse and may result in the loss of public funds.
vi. Non-submission of copies of authorisation letters for opening commercial bank accounts as per Regulation 82(5) of the Public Finance Management (County Governments) Regulations, 2015.

The County should implement the following recommendations to improve budget execution:

i. *The County Treasury should ensure the timely preparation and submission of financial reports to the Controller of Budget per the timelines prescribed in Section 166 of the PFM Act, 2012.*
ii. *The County should address its own-source revenue performance to ensure the approved budget is fully financed. Appropriate austerity measures should be implemented to ensure expenditure commitments are aligned with available revenue.*
iii. *The County should implement strategies to increase development expenditures in FY 2025/26.*
iv. *The County Leadership should address the situation of trade payables to ensure that genuine bills are paid promptly in the remaining financial year. Further, compliance with the Trade Payables Action Plan should be enforced.*
v. *The Government requires that salaries be processed through the HRIS system, and the County is advised to fast-track the acquisition of Unified Personnel Numbers for their staff. The County Public Service Board should regulate staff engagement on contract and casual workers as provided under*

Section 74 of the County Governments Act 2012. Furthermore, strict adherence to the approved staff establishment should be maintained.

vi. *The County Treasury should ensure it submits copies of authorisation letters to the CoB for opening commercial bank accounts to enhance accountability and oversight.*

3.40. County Government of Tana River

3.40.1 Overview of FY 2025/26 Budget

The Tana River County Approved Budget for FY 2025/26 is Kshs.9.96 billion. It comprises Kshs.4.32 billion (43 per cent) and Kshs.5.64 billion (57 per cent) allocation for development and recurrent programmes, respectively. The budget estimates represent an increase of Kshs.655.36 million (7 per cent) from the FY 2024/25 budget, which comprised a development budget of Kshs.3.64 billion and a recurrent budget of Kshs.5.67 billion. The increase in the budget was primarily attributed to the rise in the equitable share.

The budget is to be financed from various revenue sources. These include; the equitable share of revenue raised nationally of Kshs.7.22 billion (72 per cent), additional allocations of Kshs.1.66 billion (17 per cent), a cash balance of Kshs.878.06 million (9 per cent) brought forward from FY 2024/25, and Kshs.200.42 million (2 per cent) generated as own-source revenue. A breakdown of the additional allocations is shown in Table 3.594

3.40.2 Revenue Performance

During the first nine months of FY 2025/26, the County reported total revenues amounting to Kshs.6.28 billion. This amount represented an increase of 9 per cent compared to the amount received in a similar period in FY 2024/25 of Kshs.5.77 billion. The total revenue consisted of Kshs.4.80 billion from the equitable share of revenue raised nationally, additional allocations from the national government and development partners of Kshs.512.45 million, and own-source revenue (OSR) collection of Kshs.87.86 million. Additionally, the County had a cash balance of Kshs.878.06 million from FY 2024/25. The total OSR collection of Kshs.87.86 million included Facilities Improvement Financing (FIF) of Kshs.2.24 million, and Kshs.85.62 million from other OSR sources.

Table 3.594 summarises the total revenue available to the County Government during FY 2025/26.

Table 3.594: Tana River County, Revenue Performance in the first nine months of FY 2025/26

No	Revenue Stream	Annual Targeted Revenue (Kshs.)	Actual Receipts (Kshs.)	Receivables in the First Nine Months of FY 2025/26 (Kshs.)	Total Revenues (in accrual basis) in the First Nine Months of FY 2025/26 (Kshs.)	Variance (Kshs.)
		A	B	C	D=B+C	E=A-D
A	**Unspent Balance from FY 2024/25**	**-**	**-**	**-**	**-**	**-**
1	Balance at CRF	877,870,357	877,870,357	-	877,870,357	-
2	County Executive Refunds to CRF	190,769	190,769	-	190,769	-
3	County Assembly Refunds to CRF	4,004	4,004	-	4,004	-
	Sub-Total	**878,065,130**	**878,065,130**	**-**	**878,065,130**	**-**
B	**Equitable Share of Revenue Raised Nationally**					
1	Equitable Share	7,222,474,730	4,802,945,696	-	4,802,945,696	2,419,529,034
	Sub-Total	**7,222,474,730**	**4,802,945,696**	**-**	**4,802,945,696**	**2,419,529,034**
C	**Additional Allocations (Including Grants)**					

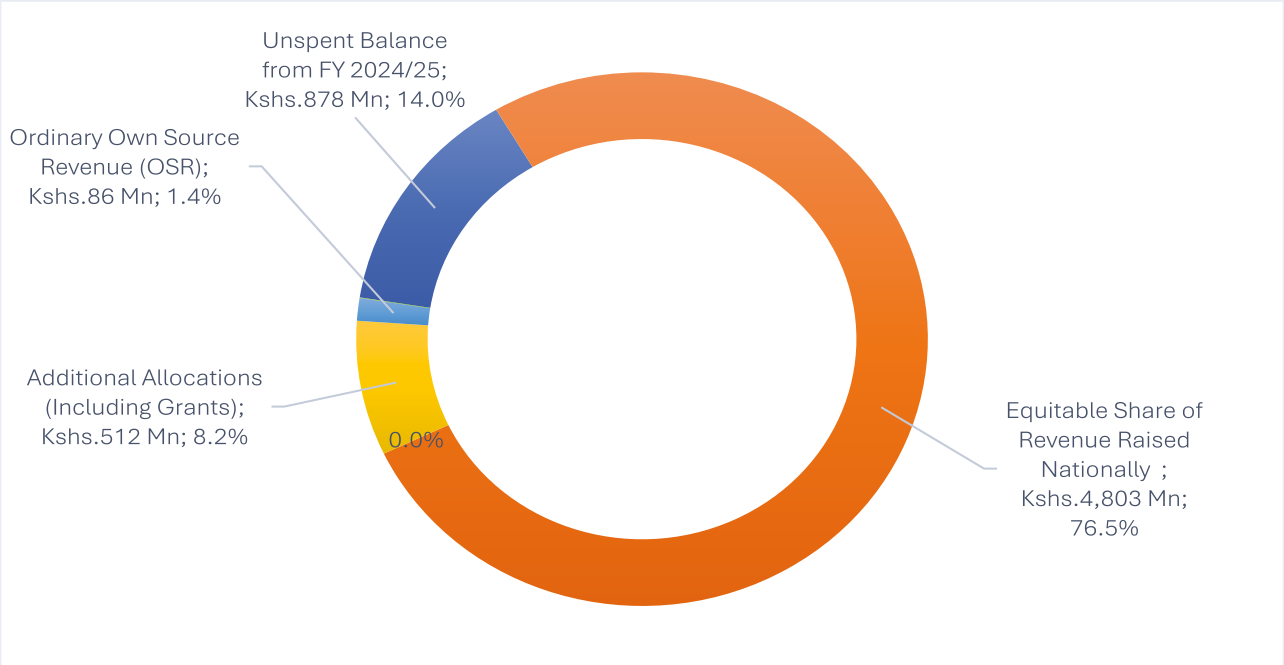
No	Revenue Stream	Annual Targeted Revenue (Kshs.)	Actual Receipts (Kshs.)	Receivables in the First Nine Months of FY 2025/26 (Kshs.)	Total Revenues (in accrual basis) in the First Nine Months of FY 2025/26 (Kshs.)	Variance (Kshs.)
		A	B	C	D=B+C	E=A-D
1	DANIDA (Universal Healthcare in Devolved System Program)	13,181,250	-	-	-	13,181,250
2	National Agricultural Value Chain Development Project (NAVCDP)	-	-	-	-	-
3	Food Systems Resilience Project (FSRP)	244,046,795	110,059,820	-	110,059,820	133,986,975
4	Kenya Agribusiness Development Programme	-	-	-	-	-
5	Second Kenya Devolution Support Program (KDSP II) - Institutional Grant (Level 1 Grant)	37,500,000	35,253,471	-	35,253,471	2,246,529
6	Second Kenya Devolution Support Program (KDSP II) - Service Delivery and Investment Grant (Level 2 Grant)	352,500,000	-	-	-	352,500,000
7	Financing Locally-Led Climate Action (FLLoCA) - County Climate Institutional Support (CCIS)	-	-	-	-	-
8	Financing Locally-Led Climate Action (FLLoCA) - County Climate Resilience Investment (CCRI)	150,000,000	117,133,439	-	117,133,439	32,866,561
9	Kenya Urban Support Project (KUSP) - Urban Institutional Grant (UIG)	35,000,000	-	-	-	35,000,000
10	Kenya Urban Support Project (KUSP) - Urban Development Grant (UDG)	100,000,000	-	-	-	100,000,000
11	Kenya Water, Sanitation, and Hygiene Program (K-WASH)	129,150,000	-	-	-	129,150,000
12	Supplement for Construction of County Headquarters	134,330,205	-	-	-	134,330,205
13	Aggregated Industrial Parks Programme	250,000,000	250,000,000	-	250,000,000	-
14	Community Health Promoters (CHPs)	28,200,000	-	-	-	28,200,000
15	Road Maintenance Fuel Levy (RMFL)	190,000,000	-	-	-	190,000,000
	Sub-Total	**1,663,908,250**	**512,446,730**	**-**	**512,446,730**	**1,151,461,520**
D	**Ordinary Own Source Revenue (OSR)**					
1	OSR	196,067,171	85,623,169	-	-	196,067,171
	Sub-Total	**196,067,171**	**85,623,169**	**-**	**85,623,169**	**196,067,171**
E	**Facility Improvement Fund/Financing (FIF)**					

No	Revenue Stream	Annual Targeted Revenue (Kshs.)	Actual Receipts (Kshs.)	Receivables in the First Nine Months of FY 2025/26 (Kshs.)	Total Revenues (in accrual basis) in the First Nine Months of FY 2025/26 (Kshs.)	Variance (Kshs.)
		A	B	C	D=B+C	E=A-D
1	SHIF	-	-	-	-	-
2	Defunct NHIF	-	-	-	-	-
3	FIF	4,352,510	2,235,539	-	2,235,539	2,116,971
	Sub-Total	**4,352,510**	**2,235,539**	**-**	**2,235,539**	**2,116,971**
	Grand Total	**9,964,867,791**	**6,281,316,264**	**-**	**6,281,316,264**	**3,769,174,696**

Source: *Tana River County Treasury*

Figure 3.235 provides a detailed breakdown of receipts.

Figure 3.235: Tana River County Composition of Revenue in the first nine months of FY 2025/26

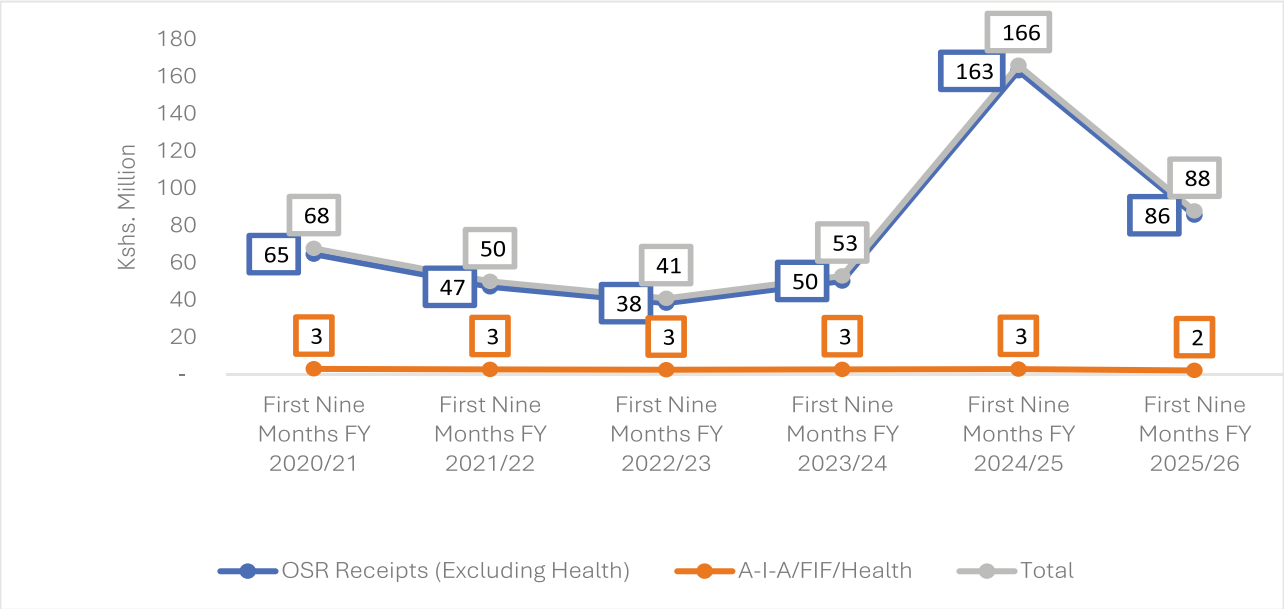


Source: *Tana River County Treasury*

The equitable share of revenue raised nationally, OSR, and FIF contributed 77 per cent, 1 per cent and less than one per cent, respectively, of the total receipts for the reporting period.

Figure 3.236 shows the collection trend in own-source revenue from the first nine months of FY 2020/21 to the first nine months of FY 2025/26.

Figure 3.236: Tana River County Trend in Own-Source Revenue Collection from the first nine months of FY 2020/21 to the first nine months of FY 2025/26



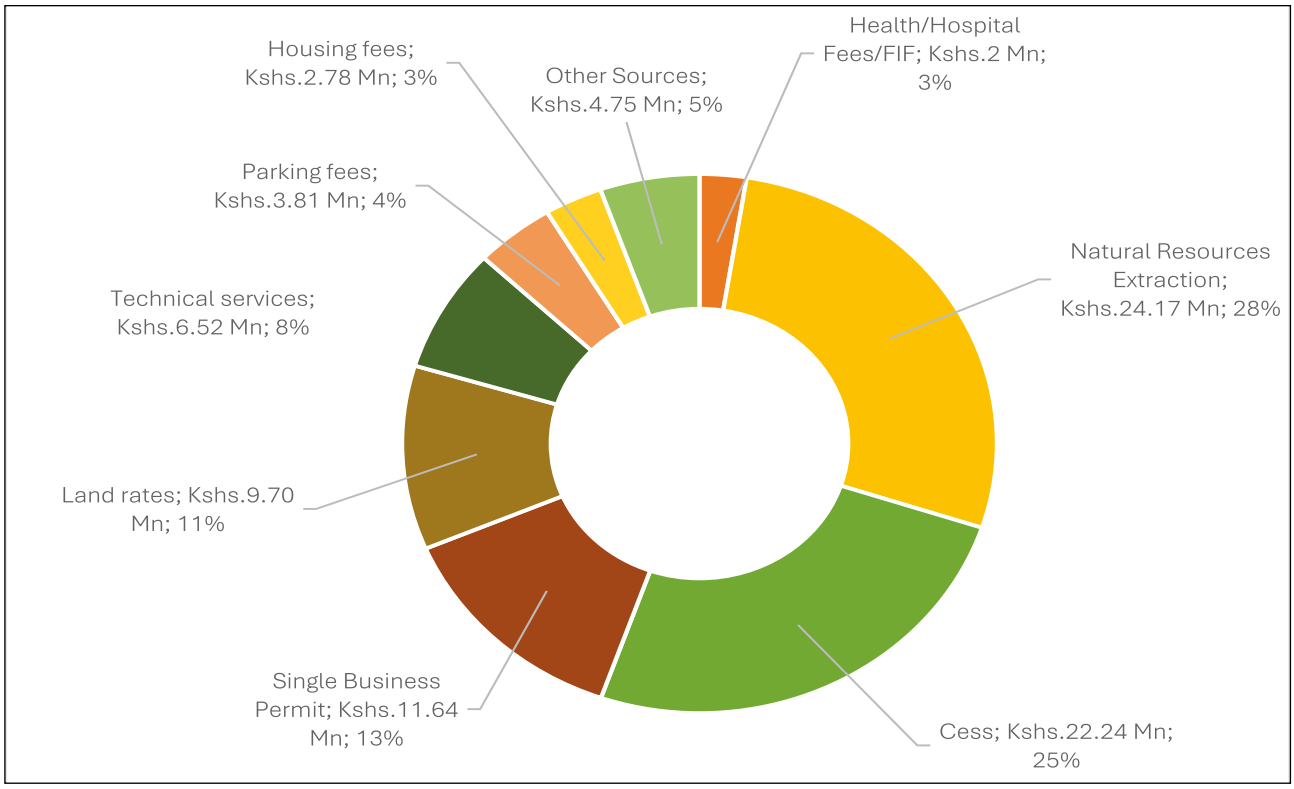
Source: *Tana River County Treasury*

During the first nine months of FY 2025/26, the County received Kshs.87.86 million from OSR, including FIF. This amount was a decrease of 47 per cent compared to Kshs.166.13 million realised in a similar period in FY 2024/25, and was 44 per cent of the annual target and 1 per cent of the equitable revenue share disbursed.

The decrease in OSR was attributed to OSR collection leakages due to the use of the manual collection method and the lack of OSR mobilisation strategies.

The revenue streams that contributed the most to OSR receipts are shown in Figure 3.237

Figure 3.237: Tana River County Top Own Source Revenue Streams in the first nine months of FY 2025/26



Source: Tana River County Treasury

As shown in Figure 3.237, the largest revenue stream, at Kshs.24.17 million, was Natural Sources Extraction, accounting for 28 per cent of total OSR receipts. The County Government has not yet automated revenue collection.

3.40.3 Revenue Receivables

As 31st March 2026, the County did not report any receivables

3.40.4 Borrowing by the County

Tana River County Executive and Assembly did not report any credit facility during the period under review.

3.40.5 Withdrawals from the County Revenue Fund and County Assembly Fund

During the reporting period, the Controller of Budget approved exchequer withdrawal requests totalling Kshs.4.47 billion from the Tana River County Revenue Fund (CRF) account. This amount consisted of Kshs.940.58 million (21 per cent) designated for development programs and Kshs.3.52 billion (79 per cent) allocated for recurrent programs.

An analysis of the released recurrent exchequers shows that Kshs.1.71 billion was allocated to employee compensation and Kshs.1.82 billion to operations and maintenance expenditures. Within the operations and maintenance category, 18 per cent was for domestic travel and 2 per cent for foreign travel. The domestic travel exchequers totalled Kshs.327.08 million, which included Kshs.250.18 million for the County Executive and Kshs.76.90 million for the County Assembly. Meanwhile, the foreign travel exchequers amounted to Kshs.41.53 million for the County Executive only.

As of 31st March 2026, the County Government's cash balance in the Tana River County CRF account was Kshs.1.88 billion.

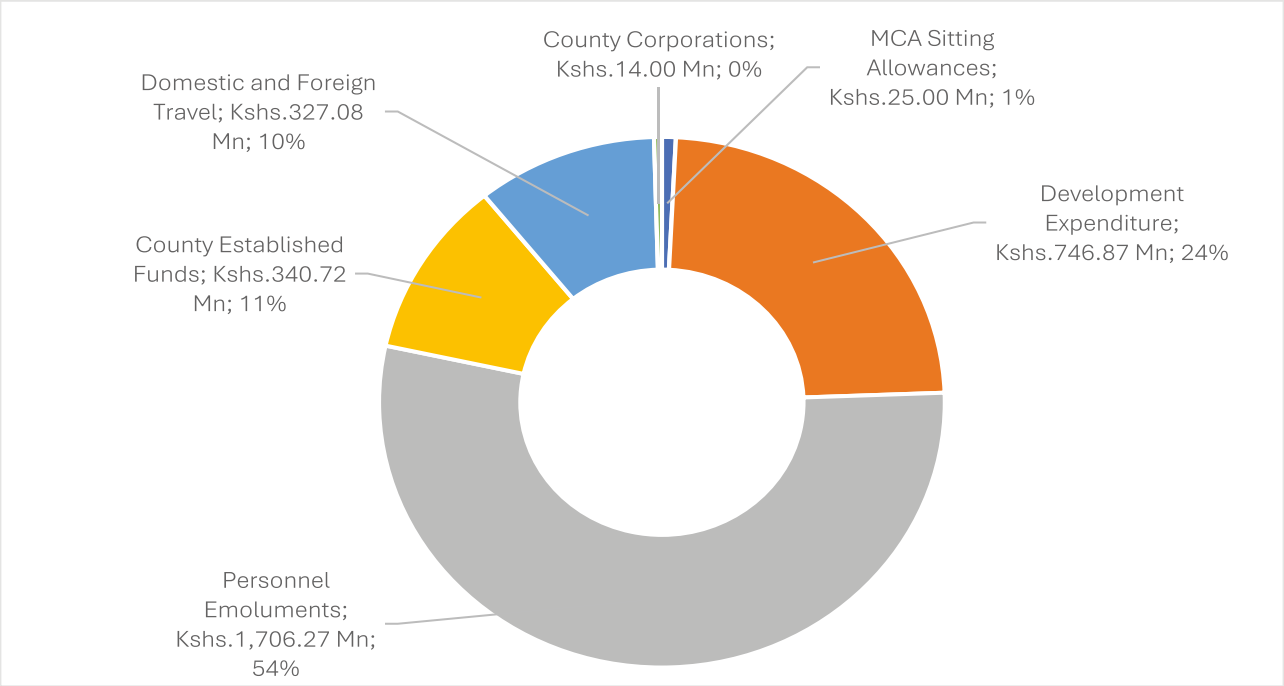
The Tana River County Assembly Fund (CAF) account was not operationalised during the review period

3.40.6 Expenditure Review

The County spent Kshs.3.91 billion on development and recurrent programmes during the reporting period. The expenditure represented 88 per cent of the total funds released by the CoB. It comprised Kshs.746.87 million for development programmes and Kshs.3.16 billion for recurrent programmes. Expenditure on development programmes accounted for 17 per cent of the annual development expenditure budget, while recurrent expenditure accounted for 56 per cent of the annual recurrent expenditure budget.

Figure 3.238 provides a detailed breakdown of total expenditure.

Figure 3.238: Tana River County Composition of Expenditure in the first nine months of FY 2025/26



Source: *Tana River County Treasury*

As shown in Figure 3.238, the three highest expenditure categories were Personal Emoluments, Development Expenditure, and County Established funds, contributing 54 per cent, 24 per cent and 11 per cent of total expenditure for the reporting period.

3.40.7 Expenditure by Economic Classification

The County Executive incurred Kshs.1.47 billion in employee compensation, Kshs.1.33 billion in operations and maintenance, and Kshs.629.76 million in development activities. Similarly, the County Assembly spent Kshs.237.43 million on compensation of employees, Kshs.126.80 million on operations and maintenance, and Kshs.117.12 million on development activities, as shown in Table 3.595.

Table 3.595: Tana River County Summary of Budget and Expenditure by Economic Classification

Expenditure Classification	Approved Budget (Kshs.) (a)		Amount Paid in the Fnine months of FY 2025/26 (Kshs.) (b)		Expenditure Accrued in the First Nine months of FY 2025/26 (Kshs.) (c)		Total Expenditure in the First Nine months of FY 2025/26 (Kshs.) (d=b+c)		Absorption (%) (d/a*100)	
	Executive	Assembly	Executive	Assembly	Executive	Assem-bly	Executive	Assembly	Executive	Assembly
Total Recurrent Expenditure	**5,059,036,132**	**580,218,891**	**2,796,189,877**	**364,330,584**	**-**	**-**	**2,796,189,877**	**364,330,584**	**55**	**63**
Compensation of Employees	2,417,751,400	304,745,529	1,468,833,508	237,434,120	-	-	1,468,833,508	237,434,120	**61**	**78**
Operations and Maintenance	2,641,284,732	275,473,362	1,327,356,369	126,896,464	-	-	1,327,356,369	126,896,464	**50**	**46**
Development Expenditure	**3,884,454,744**	**441,158,025**	**629,758,993**	**117,115,600**	**-**	**-**	**629,758,993**	**117,115,600**	**16**	**27**
Total	**8,943,490,876**	**1,021,376,916**	**3,425,948,870**	**481,446,184**	**-**	**-**	**3,425,948,870**	**481,446,184**	**38**	**47**

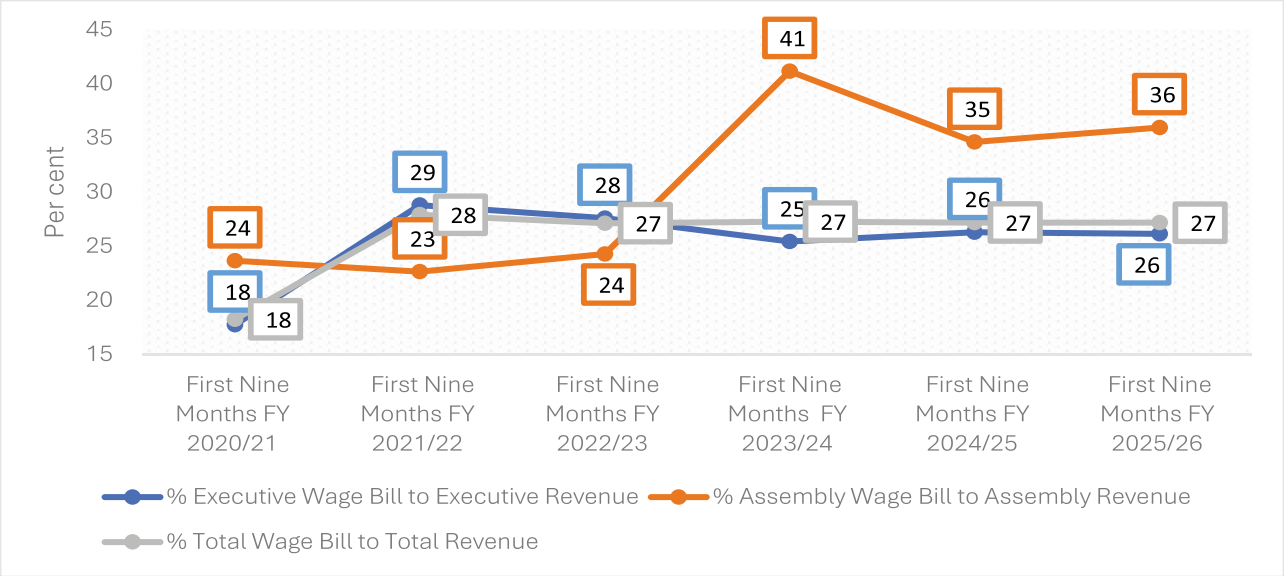
Source: *Tana River County Treasury*

3.40.8 Expenditure on Employee Compensation

The expenditure on employee compensation totalled Kshs.1.71 billion, representing 27 per cent of revenue. This expenditure on employee compensation shows an increase compared to the Kshs.1.59 billion reported in a similar period in FY 2024/25. Of this total, Kshs.714.06 million related to Health Sector employees, accounting for 42 per cent of the overall employees' compensation.

Figure 3.239 shows the trend in employee compensation as a percentage of total revenue from the first nine months of FY 2020/21 to the first nine months of FY 2025/26.

Figure 3.239: Percentage of Employee Compensation Expenditure to Total Revenue Received in the first nine months of FY 2020/21 to the first nine months of FY 2025/26



Source: Tana River County Treasury

Further analysis indicated that PE costs totalling Kshs.1.58 billion were processed through the Human Resource Information System (HRIS). In contrast, Kshs.125.11 million was processed through manual payrolls, which accounted for 7 per cent of the total PE cost. The justification for the continued use of manual payroll was the delays in attaining personal identification numbers for new staff and the county assembly ward office staff who are on a contract basis.

The manual payroll comprised salaries for staff not onboarded to the Human Resource Information System (HRIS) and for Community Health Promoters (CHPs), as shown in Table 3.596

Table 3.596: Breakdown of Tana River County Manual Payroll

	Category	County Executive	County Assembly	Total
1	Salaries for staff paid outside the Human Resource Information System (HRIS)	56,646,480	48,660,150	105,306,630
6	Community Health Promoters	19,804,376	-	19,804,376
	Total	**76,450,856**	**48,660,150**	**125,111,006**

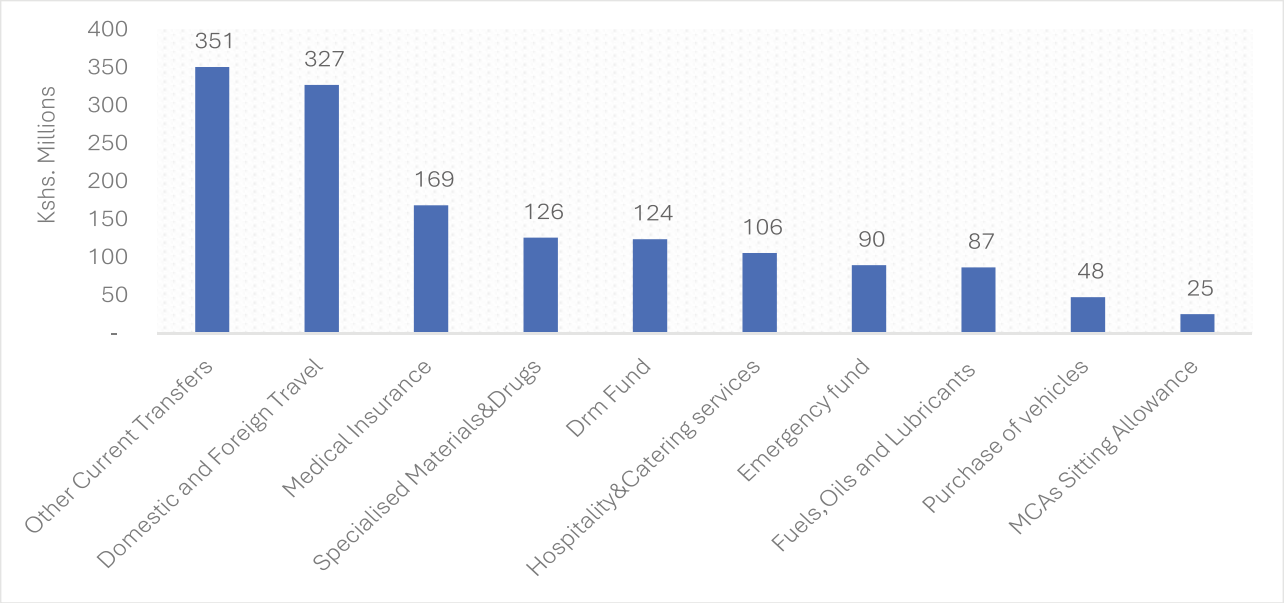
Source: Tana River County Treasury

The County Assembly spent Kshs.25 million on committee sitting allowances for the 27 MCAs against the annual budget allocation of Kshs.34.61 million. The average monthly sitting allowance was Kshs.102,896 per MCA. The County Assembly has 20 House Committees.

3.40.9 Expenditure on Operations and Maintenance

During the reporting period, the County spent Kshs.1.45 billion on operations and maintenance, representing a decrease of 27 per cent compared to a similar period in FY 2024/25, when the County spent Kshs.1.87 billion. Figure 3.238 illustrates the distribution of Operations and Maintenance expenditures across the major spending categories.

Figure 3.240: Tana River County, Operations and Maintenance Expenditure by Major Categories



Source: *Tana River County Treasury*

3.40.10 County-Established Funds

Section 116 of the PFM Act 2012 allows County Governments to establish other public funds, subject to approval from the County Executive Committee and the County Assembly. The County allocated Kshs.752.13 million to County-Established funds in FY 2025/26, or 7 per cent of the County's overall budget. Further, the County allocated Kshs.179.07 million to the Emergency Fund (2 per cent of the total budget) in line with Section 110 of the PFM Act, 2012. Table 3.597 summarises each established Fund's budget allocation and performance during the reporting period.

Table 3.597: Performance of Tana River County Established Funds in the first nine months of FY 2025/26

S/No.	Name of the Fund	Year Established		Approved Budget Allocation in FY 2025/26 (Kshs.)	Exchequer Issues in the First Nine Months FY 2025/26 (Kshs.)	Actual Expenditure in the First Nine Months FY 2025/26 (Kshs.)	Cumulative disbursements to the Fund	Submission of First Nine Months Financial Statements (Yes/No.)
County Executive Established Funds								
1.	Emergency Fund	2020		179,066,825	179,066,825	89,533,412	-	YES
2.	Disaster Risk Management Fund	2021		249,066,825	124,533,412	124,091,144	-	YES
3.	C. E Car Loan & Mortgage Fund	2018		50,000,000	25,000,000	25,000,000	-	YES
4.	Bursary Fund	2014		274,000,000	137,000,000	102,100,000	-	YES
County Assembly Established Funds								
5.	County Assembly Car Loan & Mortgage Fund	2014		-	-	-	-	YES
	Total	-		**752,133,650**	**465,600,237**	**340,724,556**	**-**	

Source: *Tana River County Treasury*

During the reporting period, the CoB received all quarterly financial reports from 5 Fund Administrators, as indicated in Table 3.597, in accordance with the requirements of Section 168 of the PFM Act, 2012. The County disclosed that administration costs of the five Funds were within the 3 per cent limit of the Fund budget set in Regulation 197(1)(d) of the Public Finance Management (County Governments) Regulations, 2015.

Regulation 197(1)(i) of the Public Finance Management (County Governments) Regulations, 2015, allows County Governments to establish public funds with a lifespan capped at 10 years unless extended by the County Assembly. In FY 2025/26, the CoB established that the lifespan of Bursary and Scholarship Fund and the County Assembly Car loan & Mortgage Funds had lapsed. The Lifespan of Bursary and Scholarship fund was extended by the County assembly enabling CoB to approve requests for withdrawals to support the operations of the fund.

3.40.11 County Corporations

The County has one County corporation which was allocated Kshs.28million in FY 2025/26. There Their total expenditure for the review period amounted to Kshs.14.0 million as shown in Table 3.598

Table 3.598: Performance of Tana River County Corporations in the first nine months of FY 2025/26

S/No.	Name of the Corporation	Parent Department	Approved Budget Allocation in FY 2025/26 (Kshs.)	Exchequer Issues in the First Nine Months FY 2025/26 (Kshs)	Actual Expenditure in the First nine months FY 2025/26 (Kshs.)
1.	Tana River Water and Sanitation Company (TAWASCO)	Water, Energy, Mining, Forestry and Natural Resources	28,000,000	14,000,000	14,000,000
	Total		**28,000,000**	**14,000,000**	**14,000,000**

Source: *Tana River County Treasury*

3.40.12 Expenditure on Domestic and Foreign Travel

Expenditure on domestic travel amounted to Kshs.327.08 million and comprised Kshs.76.90 million spent by the County Assembly and Kshs.250.18 million by the County Executive. Expenditure on foreign travel amounted to Kshs.41.53 million incurred by the County Executive only. Expenditure on foreign travel is summarised in Table 3.599

Table 3.599: Summary of Expenditure on Foreign Travel in the first nine months of FY 2025/26

Arm of County Government	No. of Officers Travelled	Purpose of the travel	Destination	Total Costs of the Travel (Kshs.)
County Executive	2	Being paid for the India Trip	India	2,989,384
County Executive	4	Being paid for Conference fees for 4 People while attending the 5th Gacopa International Conference	India	7,222,180
County Executive	7	Being per diem attending the Africa Development Conference and Awards in Ethiopia	Ethiopia	6,931,720
County Executive	7	Per diem while attending the Africa Climate Summit in Addis Ababa, Ethiopia f	Ethiopia	7,748,920
County Executive	3	Per diem while attending the Leadership and Governance Conference in Dubai	Dubai	5,534,587
County Executive	7	Per diem while participating in Ealasca Games in Uganda from	Brazil	7,902,400
County Executive	7	Per diem while participating in Ealasca Games in Uganda	Uganda	2,466,639
				40,795,830

Source: Tana River County Treasury and Tana River County Assembly

3.40.13 Facility Improvement Financing

During the review period, the County reported collections of Kshs.2.24 million as FIF, which was 51 per cent of the annual target of Kshs.4.35 million. The collected amount was retained and utilised at source in line with the Facility Improvement Financing Act, 2023. The County, however, has not developed regulations to operationalise the FIF Act of 2023.

The expenditure by the health facilities amounted to Kshs.69.66 million, as shown in Table 3.600.

Table 3.600: Tana River County Health Facilities Expenditure Performance in the first nine months of FY 2025/26

No.	Health Facility	Number of Facilities	Approved Budget (Kshs.)	Actual Expenditure (Kshs.)	Absorption rate (%)
1.	Level 5 Hospital	0	0	0	0
2.	Level 4 Hospital	3	63,370,000	45,658,502	72
3.	Level 3 Facility	3	11,752,704	6,185,240	53
4.	Level 2 Facility	47	29,739,698	17,819,526	60
	Total	**53**	**104,862,402**	**69,663,268**	66

Source: *Tana River County Treasury*

3.40.14 Development Expenditure

In the review period, the County reported spending Kshs.746.87 million on development programmes, representing a decrease of 43 per cent compared to FY 2024/25, when the County spent Kshs.1.07 billion. Table 3.601 summarises the development projects with the highest expenditure in the reporting period.

The decline in development expenditure was attributed to challenges with implementing e-procurement in the County.

Table 3.601: Tana River County, List of Development Projects with the Highest Expenditure

No	Sector	Project Name	Project Location	Budget (Kshs.)	Total Funding in FY 2025/26 (Kshs.)	Expenditure (on an accrual basis) in the first nine months of FY 2025/26 (Kshs.)	Cumulative project expenditure (on an accrual basis) as of 31st March 2026 (Kshs.)	Absorption(%)
County Funded Projects								
1	County Assembly	Construction of Residential &Non-Residential Buildings	Hola	441,158,025	152,529,222	117,115,600	117,115,600	27
2	Finance Planning	Trade payables	Hola	629,420,409	270,194,068	267,739,075	267,739,075	43
3	Education and Vocational Training	Scholarship, Bursary and Education Infrastructure Fund	Hola	274,000,000	137,000,000	102,100,000	102,100,000	37
4	Water, Energy, Mining, Forestry and Natural Resources	Transfer to TAWASCO	Hola	28,000,000	14,000,000	14,000,000	14,000,000	50
Donor Funded Projects								
1	Environment and Climate Change	Financially Locally Led Climate Action Programme (FLOCCA) WB	County wide	150,000,000	117,133,439	117,133,439	117,133,439	78
2	Public Service, Administration and Citizen Participation	KDSP	County wide	37,500,000	35,253,471	35,253,471	35,253,471	94
3	Agriculture, Livestock, Fisheries and Veterinary	Food Systems Resilience Project (FSRP)	County wide	244,046,795	110,059,820	90,059,820	90,059,820	37

Source: *Tana River County Treasury*

3.40.15 Budget Performance by Department

Table 3.602 summarises the approved budget allocation, expenditure, and absorption rate by department for the period under review.

Table 3.602: Tana River County, Budget Allocation and Absorption Rate by Department in the first nine months of FY 2025/26

Department	Budget Allocation (Kshs.Millions)		Exchequer Issues (Kshs.Millions)		Expenditure (Kshs. Millions)		Expenditure to Exchequer Issues (%)		Absorption rate (%)	
	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev
County Assembly	580.22	441.16	507.56	152.53	364.33	117.12	71.8	76.8	62.8	26.5
Office of The Governor and Deputy Governor	422.27	-	364.63	-	338.22	-	92.8	-	80.1	-
Finance and Planning	482.02	629.42	387.19	270.19	376.74	267.74	97.3	99.1	78.2	42.5
County Public Service Board	88.17	-	62.64	-	51.03	-	81.5	-	57.9	-
Trade, Tourism, Wildlife and Cooperative Development	53.60	265.00	50.15	-	40.37	-	80.5	-	75.3	-
Agriculture, Livestock, Fisheries and Veterinary	155.70	470.67	48.96	126.72	47.22	6.48	96.4	5.1	30.3	1.4
Culture, gender, Youth, Sports and Social Services	58.18	52.00	16.83	4.11	15.37	4.11	91.3	100.0	26.4	7.9
Education and Vocational Training	47.11	444.00	15.78	162.20	9.57	139.65	60.6	86.1	20.3	31.5
Medical Services, public Health and sanitation	1,589.08	120.00	845.53	5.67	794.73	-	94.0	-	50.0	-
Special program	261.70	-	132.94	-	129.26	-	97.2	-	49.4	-
Roads, Transport, Public works, Housing and Urbanisation	100.15	849.29	35.71	6.41	35.66	-	99.9	-	35.6	-
Water, Energy, Mining, Forestry and Natural Resources	47.29	257.83	17.10	14.97	15.94	14.00	93.2	93.5	33.7	5.4
Public Service, Administration and Citizen Participation	1,585.21	388.60	1,005.77	-	917.34	-	91.2	-	57.9	-
Lands and Physical Planning	39.59	50.00	13.70	-	12.41	-	90.6	-	31.3	-

Department	Budget Allocation (Kshs.Millions)		Exchequer Issues (Kshs.Millions)		Expenditure (Kshs. Millions)		Expenditure to Exchequer Issues (%)		Absorption rate (%)	
	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev
Hola Municipality	83.01	120.00	5.59	-	3.72	-	66.5	-	4.5	-
Environment and Climate Change	45.95	237.64	14.92	197.77	8.63	197.77	57.8	100.0	18.8	83.2
Total	**5,639.26**	**4,325.61**	**3,524.99**	**940.58**	**3,160.52**	**746.87**	**89.7**	**79.4**	**56.0**	**17.3**

***Source**: Tana River County Treasury*

Analysis of expenditure by departments shows that the Department of Environment and Climate Change recorded the highest absorption rate of development budget at 83 per cent, followed by the Department of Finance and Economic Planning at 43 per cent. The Office of the Governor and Deputy Governor had the highest percentage of recurrent expenditure to budget at 80 per cent, while the Hola Municipality had the lowest at 4 per cent.

3.40.16 Budget Execution by Programmes and Sub-Programmes

Budget execution was concentrated in selected performance bands. In the 1–10 per cent band, development absorption was reported for routine maintenance at 1 per cent and urbanisation at 4 per cent under the Department of Roads, Transport, Public Works, Housing and Urbanisation, and for ECDE infrastructure under the Department of Education and Vocational Training at 9 per cent. Recurrent absorption was reported for human resources for health under the Department of Medical Services, Public Health and Sanitation at 1 per cent, for information and communication technology under the Department of Public Service, Administration and Citizen Participation at 2 per cent, for gender and leadership at 3 per cent, and for administration, planning and support services under the Department of Lands and Physical Planning at 4 per cent.

In the 11–20 per cent band, development absorption was reported for county headquarters under the Department of Roads, Transport, Public Works, Housing and Urbanisation at 11 per cent and for administration, planning and support services under the Department of Culture, Gender, Youth, Sports and Social Services at 19 per cent, while recurrent absorption was recorded for administration, planning and support services under the same department at 19 per cent.

In the 81–90 per cent band, development absorption was reported for administration, planning and support services under the Department of Finance and Planning at 90 per cent and for the county sports league under the Department of Culture, Gender, Youth, Sports and Social Services at 89 per cent.

In the 90–100 per cent band, development absorption reached 100 per cent for community bursary under the Department of Education and Vocational Training, 99 per cent for women empowerment, and 98 per cent for the county social protection scheme under the Department of Culture, Gender, Youth, Sports and Social Services. Recurrent absorption reached 100 per cent for drought management and emergency relief under special programmes, for provision of modern tools and equipment under the Department of Education and Vocational Training, and for the national agriculture value chain under the Department of Agriculture, Livestock, Fisheries and Veterinary, while weights and measures under the Department of Trade, Tourism, Wildlife and Cooperative Development reached 98 per cent.

Low absorption in the lower performance bands was attributed to the delay in the approval of departmental work plans. Conversely, performance in the 90–100 per cent band was attributed to the timely approval of departmental work plans and the prioritisation of the respective sub-programmes during the review period.

Table 3.603 summarises budget execution by programmes and sub-programmes in the period under review with the highest absorption rates.

Table 3.603: Budget Execution by Programmes and Sub-Programmes with Highest Absorption Rates

Programme	Sub-Programme	Gross Approved Estimates FY 2025/26 (Kshs.)	Expenditure (including accrued expenditure) as of 31st March 2026 (Kshs.)	Absorption Rate (%)
DEVELOPMENT				
DEVELOPMENT				
Education and Vocational Training	Community Bursary	274,000,000	274,000,000	100
Culture, gender, Youth, Sports and Social Services	Women Empowerment	20,000,000	19,814,400	99
Culture, gender, Youth, Sports and Social Services	County Social Protection Scheme	2,000,000	1,964,259	98
Finance and Planning	Administration, Planning,&Support Services	23,403,618	20,967,000	90
Culture, gender, Youth, Sports and Social Services	County Sports League	7,000,000	6,231,000	89
RECURRENT				
		Rec	Rec	Rec
RECURRENT				
Special programs	Drought management	2,000,000	2,000,000	100
Special programs	Emergency Relief	250,666,825	250,666,825	100
Education and Vocational Training	Provision of Modern tools &equipment's	11,000,000	11,000,000	100
Agriculture, Livestock, Fisheries and Veterinary	National Agriculture Value Chain	5,000,000	5,000,000	100
Trade, Tourism, Wildlife and Cooperative Development	Weights and Measures	3,393,849	3,324,149	98

Source: *Tana River County Treasury*

The development sub-programmes with the highest budget implementation rates were: Community bursary in the Department of Education and vocational training at 100 per cent, Women empowerment in the Department of Youth, Culture and social services at 99 per cent, and County social protection scheme in the Department of Youth, Culture and social services at 98 per cent.

For recurrent sub-programmes, the top performers included: Drought management in the Department of Special programs at 100 per cent, Emergency relief in the Department of Special programs at 100 per cent, and Provision of modern tools and equipment in the Department of Agriculture, livestock, fisheries, and veterinary at 100 per cent.

The higher performance of these programmes can be attributed to the timely approval of departmental work plans.

summarises the budget execution by programmes and sub-programmes in the period under review that had the lowest absorption rates.

Table 3.604: Budget Execution by Programmes and Sub-Programmes with Lowest Absorption Rates

Programme	Sub-Programme	Gross Approved Estimates FY 2025/26 (Kshs.)	Expenditure (including accrued expenditure) as of 31st March 2026 (Kshs.)	Absorption Rate (%)
DEVELOPMENT				
DEVELOPMENT				
Roads, Transport, Public works, Housing and Urbanisation	Routine Maintenance	363,459,630	4,345,323	1
Roads, Transport, Public works, Housing and Urbanisation	Urbanization	111,500,000	4,999,029	4
Education and Vocational Training	ECDE Infrastructure	132,500,000	11,798,090	9
Roads, Transport, Public works, Housing and Urbanisation	County Headquarters	329,330,205	35,574,080	11
Culture, gender, Youth, Sports and Social Services	Administration, planning, and support services	8,000,000	1,500,000	19
RECURRENT				
		Rec	Rec	Rec
RECURRENT				
Medical Services, public Health and sanitation	Human Resources for Health	1,217,555,890	15,858,560	1
Public Service, Administration and Citizen Participation	Information Communication Technology (ICT)	8,700,000	160,700	2
Culture, gender, Youth, Sports and Social ServiceS	Gender and Leadership	2,983,500	100,500	3
Lands and Physical Planning	Administration, planning, and support services	1,344,626	50,000	4
Culture, gender, Youth, Sports and Social Services	Administration, planning, and support services	8,000,000	1,500,000	19

***Source**: Tana River County Treasury*

The development sub-programmes with the lowest budget implementation rates were: Routine maintenance in the Department of Roads, Transport and Public Works at 1 per cent, Urbanisation in the Department of Roads, Transport and Public Works at 4 per cent and ECDE Infrastructure in the Department of Education and Vocational Training at 9 per cent.

For recurrent sub-programmes, the lowest-performing included: human resources for health in the Department of Medical Services, public Health and Sanitation at 1 per cent, ICT in the Department of Public Service, Administration and Citizen participation at 2 per cent, and Gender and leadership in the Department of Culture, gender, Youth, Sports and Social Services at 3 per cent.

These lower performances can be attributed to the delay in the approval of departmental work plans

3.40.17 Settlement of Trade Payables

As of 1st July 2025, the County reported trade payables totalling Kshs.2.37 billion. This amount was from the County Executive only. The trade payables from the County Executive comprised Kshs.1.19 billion for recurrent expenditure and Kshs.1.17 billion for development expenditure.

During the reporting period, the County Executive settled trade payables amounting to Kshs.296.96 million, comprising Kshs.26.76 million (9per cent) for recurrent programmes and Kshs.270.19 million (91 per cent) for development programmes. The outstanding trade payables as of 31st March 2026 were Kshs.2.07 billion for County Executive. Table 3.605 provides additional details of trade payables.

Table 3.605: Tana River County Trade Payables as of 31st March 2026

	County Entity	Development	Recurrent	Total
As at 1 July 2025 (End of FY 2024/25)	County Executive	1,175,571,115	1,193,950,184	2,369,521,299
	County Assembly	-	-	-
	Total	1,175,571,115	1,193,950,184	2,369,521,299
Amount paid in FY 2025/26	County Executive	270,194,068	26,764,836	296,958,904
	County Assembly	-	-	-
	Total	270,194,068	26,764,836	296,958,904
Trade Payables Incurred in FY 2025/26	County Executive	-	-	-
	County Assembly	-	-	-
	Total	-	-	-
Outstanding Trade Payables as of 31st March 2026 (Kshs.)	**County Executive**	**905,377,047**	**1,167,185,348**	**2,072,562,395**
	County Assembly	**-**	**-**	**-**
	Total	**905,377,047**	**1,167,185,348**	**2,072,562,395**

Source: *Tana River County Treasury*

The County Executive and the County Assembly did not submit a trade payables payment plan. The County Executive cleared trade Payables amounting to Kshs.296.96 million.

Table 3.606 present the ageing of the total outstanding bills as of 31st March 2026 for the County Executive, which amounted to Kshs 2.07 billion.

Table 3.606: Tana River County Executive Trade Payables Ageing Analysis as of 31st March 2026

Category	Ageing analysis (Amount in Kshs.)				Total
	Under one year	1-2 years	2-3 years	Over 3 years	
Development Trade Payables	**131,964,210**	**370,271,431**	**159,282,924**	**243,858,483**	**905,377,047**
Recurrent Trade Payables (Goods & Services)	386,536,065	192,696,046	358,100,500	229,852,737	**1,167,185,348**
Recurrent Trade Payables (Salary Arrears and Statutory Deductions)	-	-	-	-	**-**
Recurrent Trade Payables (Staff Claims)	-	-	-	-	**-**
Total Recurrent Trade Payables	386,536,065	192,696,046	358,100,500	229,852,737	**1,167,185,348**
Total Trade Payables	**518,500,275**	**562,967,476**	**517,383,424**	**473,711,220**	**2,072,562,395**
% of Total	**25**	**27**	**25**	**23**	**100**

Source: *Tana River County Treasury*

3.40.18 General Observations and Recommendations

In the course of overseeing and reporting on the implementation of the Tana River County budget, the CoB identified the following challenges, which hampered effective budget implementation;

i. The underperformance of own-source revenue at Kshs.87.86 million against an annual target of Kshs.200.42 million, representing 44per cent of the financial year target.
ii. Low development performance in the review period as the County incurred 746.87million on development activities, achieving a 17 per cent absorption rate.
iii. High level of trade payables, which amounted to Kshs.2.07 billion as of 31st March 2026.
iv. Use of manual payroll. Personnel emoluments amounting to Kshs.127.11 million for staff not onboarded into the HRIS and Community Health Promoters (CHPs) were processed through manual payroll, accounting for 7 per cent of the total payroll cost. Manual payroll is prone to abuse and may result in the loss of public funds.

The County should implement the following recommendations to improve budget execution:

i. *The County should address its own-source revenue performance to ensure the approved budget is fully financed. Appropriate austerity measures should be implemented to ensure expenditure commitments are aligned with available revenue.*
ii. *The County should implement strategies to increase development expenditures in FY 2025/26.*
iii. *The County Leadership should address the situation of trade payables to ensure that genuine bills are paid promptly in the remaining financial year; further, compliance with the trade payables Action Plan should be enforced.*
iv. *The Government requires that salaries be processed through the HRIS system, and the County is advised to fast-track the acquisition of Unified Personnel Numbers for their staff. The County Public Service Board should regulate staff engagement of casual workers as provided under Section 74 of the County Governments Act 2012. Furthermore, strict adherence to the approved staff establishment should be maintained.*

3.41. County Government of Tharaka-Nithi

3.41.1 Overview of FY 2025/26 Budget

The Tharaka Nithi County Approved Supplementary Budget for FY 2025/26 is Kshs.7.51 billion. It comprises Kshs.2.90 billion (39 per cent) and Kshs.4.62 billion (61 per cent) allocation for development and recurrent programmes, respectively. The budget estimates represent an increase of Kshs.557.66 million (8 per cent) from the FY 2024/25 budget, which comprised a development budget of Kshs.2.52 billion and a recurrent budget of Kshs.4.44 billion. The increase in the budget was primarily attributed to the rise of equitable share and own source revenue.

The budget is to be financed from various revenue sources. These include the equitable share of revenue raised nationally of Kshs.5.06 billion (67 per cent), additional allocations of Kshs.1.60 million (21 per cent), a cash balance brought forward from FY 24/25 of Kshs.205.32 million (3 per cent), Kshs.44.01 million (1 per cent) from Equalization fund and Kshs.598.48 million (8 per cent) generated as own-source revenue. A breakdown of the additional allocations is shown in Table 3.607.

3.41.2 Revenue Performance

During the first nine months of FY 2025/26, the County reported total revenues amounting to Kshs.4.33 billion. This amount represented an increase of 30 per cent compared to the amount received in a similar period in FY 2024/25 of Kshs.3.32 billion. The total revenue consisted of Kshs.3.36 million from the equitable share of revenue raised nationally, additional allocations from the national government and development partners of Kshs.300.66 million, and own-source revenue (OSR) collection of Kshs.459.77 million. Additionally, the County had a cash balance of Kshs.205.32 million from FY 2024/25. The total OSR collection of Kshs.459.77 million included Facilities Improvement Financing (FIF) of Kshs.270.12 million, and Kshs.189.65 million from other OSR sources.

Table 3.607 summarises the total revenue available to the County Government during FY 2025/26.

Table 3.607: Tharaka Nithi County, Revenue Performance in the first nine months of FY 2025/26

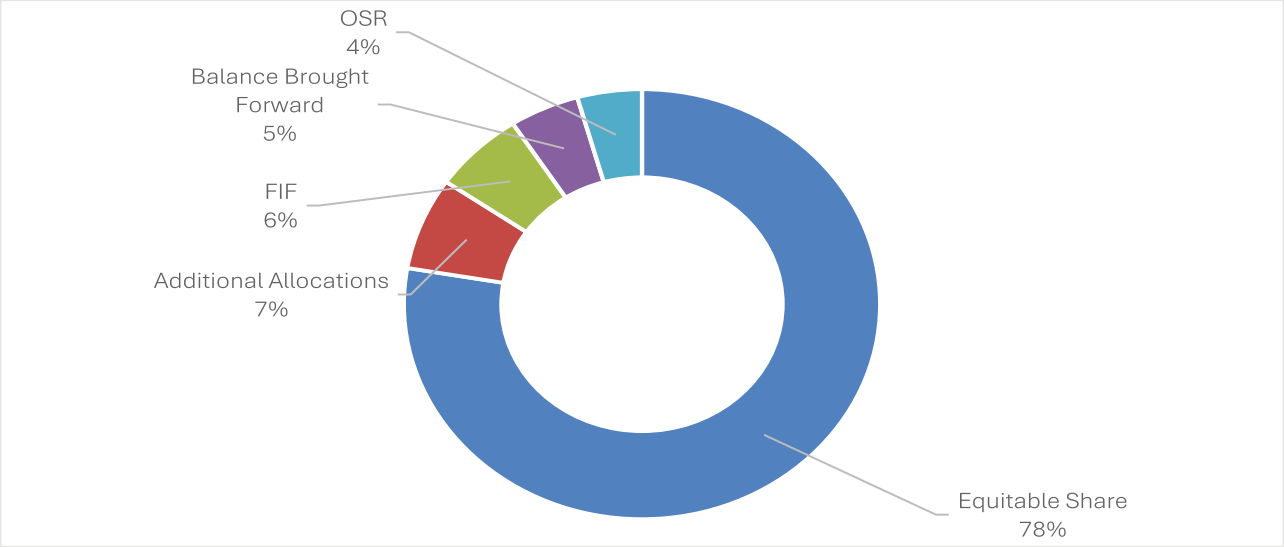
No	Revenue Stream	Annual Targeted Revenue (Kshs.)	Actual Receipts (Kshs.)	Receivables in the First Nine Months of FY 2025/26 (Kshs.)	Total Revenues (in accrual basis) in the First Nine Months of FY 2025/26 (Kshs.)	Revenue Performance (%)
		A	B	C	D=B+C	E=A-D
A	Unspent Balance from FY 2024/25					
1	Balance at CRF	203,810,744	203,810,744	-	203,810,744	100
2	County Executive Refunds to CRF	1,511,750	1,511,750	-	1,511,750	100
3	County Assembly Refunds to CRF	1,953	1,953	-	1,953	100
	Sub-Total	**205,324,447**	**205,324,447**	**-**	**205,324,447**	-
B	**Equitable Share of Revenue Raised Nationally**					
1	Equitable Share	5,058,286,293	3,363,803,385	-	3,363,803,385	67
	Sub-Total	**5,058,286,293**	**3,363,803,385**	**-**	**3,363,803,385**	67
C	**Transfers from the Equalization Fund**					
1		44,005,716	-	-	-	-
	Sub-Total	**44,005,716**	**-**	**-**	**-**	**-**
D	**Additional Allocations (Including Grants)**					
1	Danida	6,324,000	-	-	-	-
2	Other Conditional Grants/ CHP National Grant	37,950,000	-	-	-	-
3	Other Conditional Grants/ Basic Salary Arrears for CG Health Workers	24,597,481	-	-	-	-
4	Supplement of Construction	30,000,000	-	-	-	-
5	National Agricultural Value Chain Development Project (NAVCDP	231,250,000	98,713,418	98,713,418	98,713,418	43
6	Kenya Informal Settlement Programme	1,000,000	-	-	-	-
7	FLOCCA	197,000,000	80,220,461	80,220,461	80,220,461	41
8	FLOCCA bal b/f	89,133,840	-	-	-	-
9	WB KWASH P for R	350,000,000	-	-	-	-
10	Aquaculture Business Development Programme	10,489,999	7,862,418	7,862,418	7,862,418	75
11	KDSP-II Level II (Investment grant)	352,500,000	-	-	-	-
12	KDSP-II Level I (Institutional grant)	72,909,500	35,253,471	35,253,471	35,253,471	48
13	KUSP II - UIG Grant	36,750,000	-	-	-	-
14	KUSP II- UDG Grant	108,609,811	78,611,813	78,611,813	78,611,813	72
15	Road Maintenance Levy	55,944,250	-	-	-	-
	Sub-Total	**1,604,458,881**	**300,661,581**	**300,661,581**	**300,661,581**	**19**

No	Revenue Stream	Annual Targeted Revenue (Kshs.)	Actual Receipts (Kshs.)	Receivables in the First Nine Months of FY 2025/26 (Kshs.)	Total Revenues (in accrual basis) in the First Nine Months of FY 2025/26 (Kshs.)	Revenue Performance (%)
		A	B	C	D=B+C	E=A-D
E	**Ordinary Own Source Revenue (OSR)**					
1	SBP And Advertisement	98,150,000	60,191,102	60,191,102	60,191,102	61
2	Live Stock Sales and Agricultural Cess	3,578,000	647,586	647,586	647,586	18
3	Batter Market/Trade	23,486,000	11,561,712	11,561,712	11,561,712	49
4	Natural Resource Cess	60,522,000	41,098,373	41,098,373	41,098,373	68
5	Parking Fees	22,000,000	18,156,556	18,156,556	18,156,556	83
6	House Rent/Stall	5,314,000	3,795,344	3,795,344	3,795,344	71
7	Plan Approval	16,000,000	9,001,472	9,001,472	9,001,472	56
8	Liquor	25,000,000	16,106,522	16,106,522	16,106,522	64
9	Veterinary Services	9,200,000	4,955,171	4,955,171	4,955,171	54
10	Penalties	400,000	145,040	145,040	145,040	36
11	Administrative Fee	1,750,000	191,986	191,986	191,986	11
12	Plot Rent, Land Rates	8,200,000	8,663,591	8,663,591	8,663,591	106
13	Property Fee (Search/ Transfers/ Sub Division & Repegging)	5,000,000	1,892,016	1,892,016	1,892,016	38
14	Miscellaneous Fee	14,081,692	13,226,014	13,226,014	13,226,014	94
15	Co-Operative Services	200,000	16,940	16,940	16,940	8
16	Fire Inspection	200,000	-	-	-	-
	Sub-Total	**293,081,692**	**189,649,425**	**189,649,425**	**189,649,425**	**65**
F	**Facility Improvement Fund/Financing (FIF)**					
1	Hospital Fees	300,400,000	267,089,409	267,089,409	267,089,409	89
2	Public Health Fees	5,000,000	3,026,008	3,026,008	3,026,008	61
3	Other		-	-	-	-
	Sub-Total	**305,400,000**	**270,115,417**	**270,115,417**	**270,115,417**	**88**
	Grand Total	**7,510,557,029**	**4,329,554,255**	**760,426,423**	**4,329,554,255**	**58**

Source: *Tharaka Nithi County Treasury*

It is noted that the county has not enacted legislation governing the operations of the ordinary Appropriation – In – Aid and the Facility Improvement Fund. Figure 3.241 provides a detailed breakdown of receipts.

Figure 3.241: Tharaka Nithi County Composition of Revenue in the first nine months of FY 2025/26

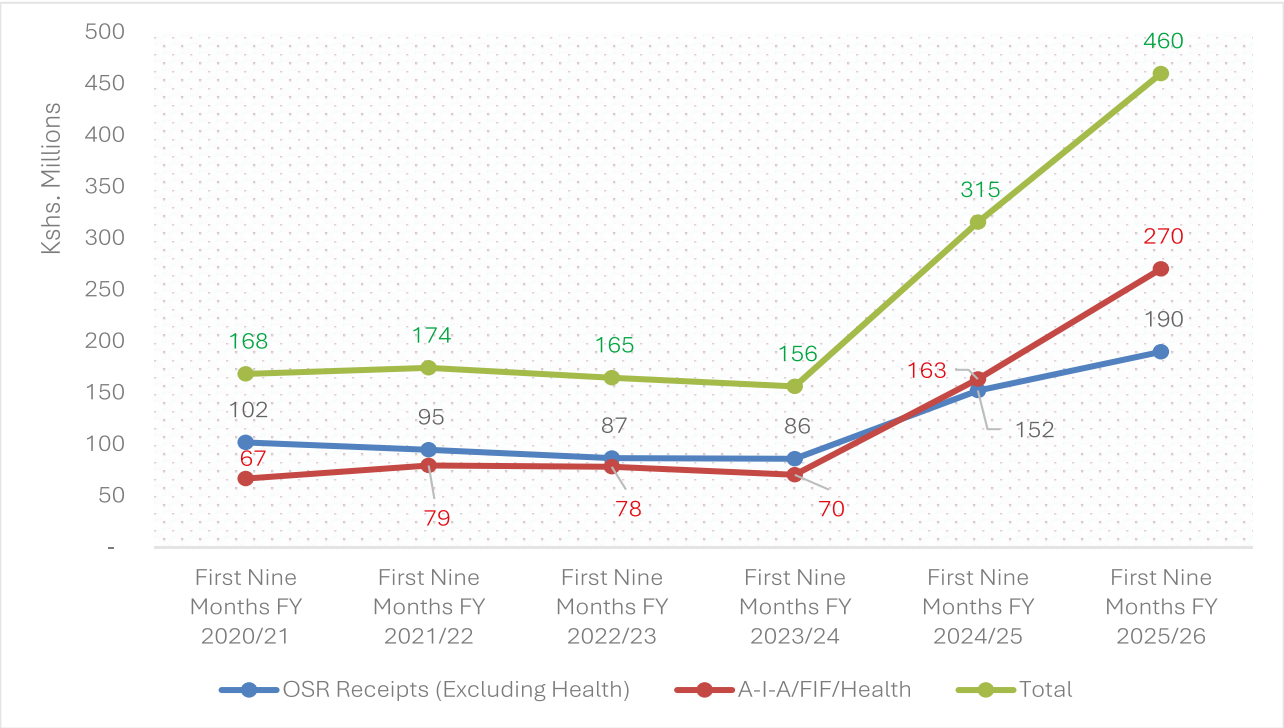


Source: *Tharaka Nithi County Treasury*

The equitable share of revenue raised nationally, additional allocations and Facility Improvement Fund (FIF) contributed 78 per cent, 7 per cent and 6 per cent respectively, of the total receipts for the reporting period.

Figure 3.242 shows the collection trend in own-source revenue from the first nine months of FY 2020/21 to the first nine months of FY 2025/26.

Figure 3.242: Tharaka Nithi County Trend in Own-Source Revenue Collection from the first nine months of FY 2020/21 to the first nine months of FY 2025/26

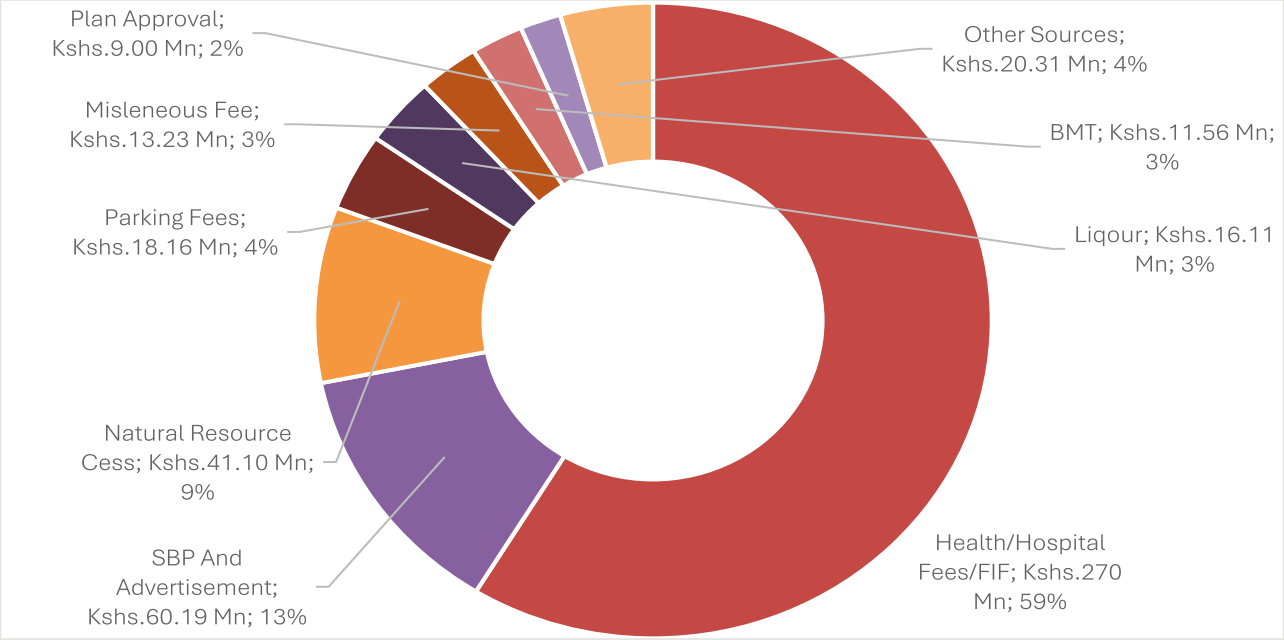


Source: *Tharaka Nithi County Treasury*

During the first nine months of FY 2025/26, the County received Kshs.459.76 million from OSR, including FIF. This amount was an increase of 46 per cent compared to Kshs.315.38 million realised in a similar period in FY 2024/25, and was 77 per cent of the annual target and 14 per cent of the equitable revenue share disbursed.

The increase in OSR was attributed to implementation of a more organised leak-proof revenue collection methods. The revenue streams that contributed the most to OSR receipts are shown in Figure 3.243

Figure 3.243: Tharaka Nithi County Top Own Source Revenue Streams in the first nine months of FY 2025/26



Source: Tharaka Nithi County Treasury

As shown in Figure 3.243, the largest revenue stream, at Kshs.270.12 million, was Health/hospital fees/FIF, accounting for 59 per cent of total OSR receipts. The County Government indicated that it has automated all its. The system utilised for FIF revenue collection is called "Afyake", which has been in use since February 2024.

3.41.3 Revenue Receivables

As of 1st July 2025, the County reported receivables of Kshs.137.53 million, which increased to Kshs.230.58 million as of 31st March 2026. The County manages its receivables using a manual system, with a cash- or accrual-basis option. Table 3.608 presents a breakdown of the County's receivables.

Table 3.608: Tharaka Nithi County Receivables as of 31st March 2026

No	Revenue Stream	Receivables as of 1st July 2025 (Kshs.)	Progress Waivers (made in First Nine Months of FY 2025/26			Receivables as of 31st March 2026 (Kshs.)
			Kshs)	Arrears paid in the financial year (Kshs)	Arrears earned in First Nine Months of FY 2025/26 (Kshs)	
		a	b	c	d	f=a-b-c+d
D	**Ordinary Own Sources of Revenue**					
1	Plot Rent	57,762,492	-	3,162,945	-	54,599,547
2	County Houses	1,462,556	-	1,133,744	-	1,588,856
3	Market Stalls	833,250	-	833,250	-	655,500
	Sub-Total	**60,058,298**	**-**	**5,129,939**	**-**	**56,843,903**
E	**Facility Improvement Fund (FIF)**					
1	National Hospital Insurance Fund (NHIF)	22,075,535	-	-	-	22,075,535
2	Social Health Insurance Fund (SHIF)	54,382,260	-	28,994,230		151,147,802
3	AON Insurance	1,011,000	-	497,656	-	513,344

No	Revenue Stream	Receivables as of 1st July 2025 (Kshs.)	Progress Waivers (made in First Nine Months of FY 2025/26			
			Kshs)	Arrears paid in the financial year (Kshs)	Arrears earned in First Nine Months of FY 2025/26 (Kshs)	Receivables as of 31st March 2026 (Kshs.)
4	Other	-	-	-	-	-
	Sub-Total	**77,468,795**	**-**	**29,491,886**	**-**	**173,736,681**
	Grand Total	**137,527,093**	**-**	**34,621,825**	**-**	**230,580,584**

Source: *Tharaka Nithi County Treasury*

As of 31st March 2026, the receivables totalled to Kshs.230.58 million, comprising Kshs.173.74 million for FIF (75 per cent) and 56.84 million (25 per cent). The measures instituted by the County to collect the outstanding arrears in FY 2025/26 include automating the collection of certain revenue lines.

3.41.4 Borrowing by the County

Neither the Tharaka Nithi Executive nor the Assembly has commercial banking credit lines

3.41.5 Withdrawals from the County Revenue Fund and County Assembly Fund

During the reporting period, the Controller of Budget approved exchequer withdrawal requests totalling Kshs.4.46 billion from the Tharaka-Nithi County Revenue Fund (CRF) account. This amount consisted of Kshs.713.12 million (21 per cent) designated for development programs and Kshs.2.74 billion (79 per cent) allocated for recurrent programs.

An analysis of the released recurrent exchequers shows that Kshs.1.98 billion was allocated to employee compensation and Kshs.767.49 million to operations and maintenance expenditures. Within the operations and maintenance category, 18 per cent was for domestic travel and 0.5 per cent for foreign travel. The domestic travel exchequers totalled Kshs.136.60 million, which included Kshs.30.78 million for the County Executive and Kshs.105.82 million for the County Assembly. Meanwhile, the foreign travel exchequers amounted to Kshs.3.60 million, with Kshs.2.85 million for the County Executive and Kshs.0.75 million for the County Assembly.

As of 31st March 2026, the County Government's cash balance in the Tharaka Nithi CRF account was Kshs.727.06 million.

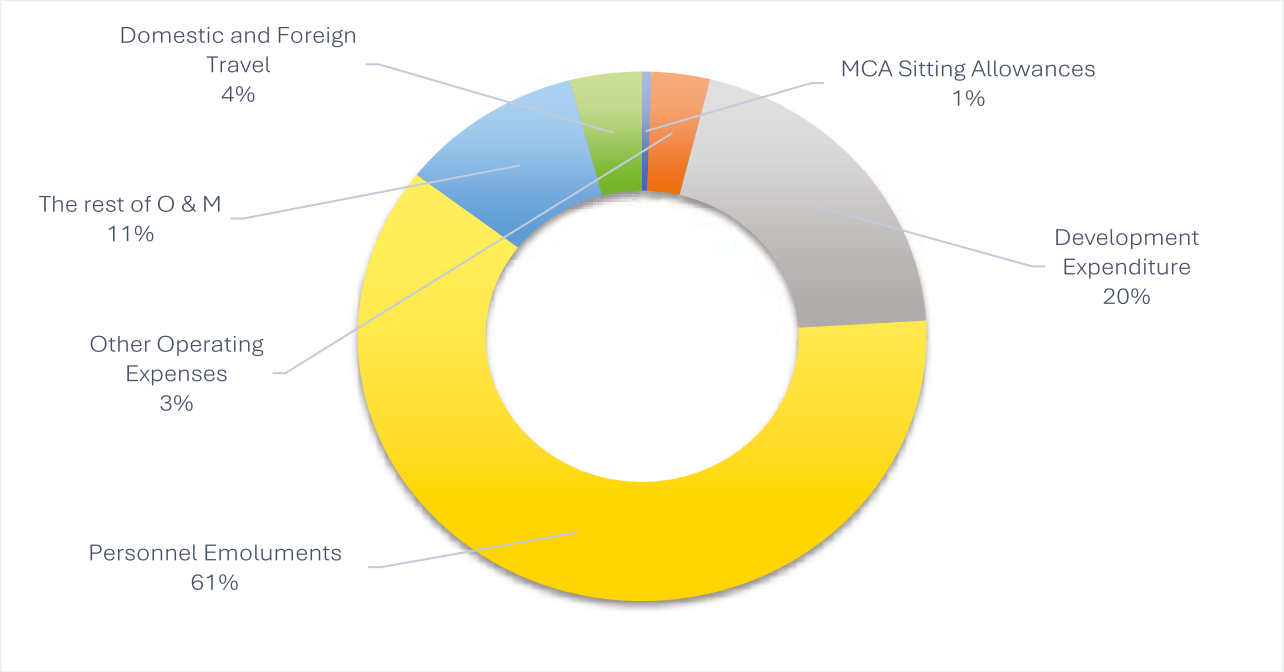
The Tharaka Nithi County Assembly has not yet operationalised the CAF account.

3.41.6 Expenditure Review

The County spent Kshs.3.36 billion on development and recurrent programmes during the reporting period. The expenditure represented 97 per cent of the total funds released by the CoB. It comprised Kshs.677.87 million for development programmes and Kshs.2.68 billion for recurrent programmes. Expenditure on development programmes accounted for 24 per cent of the annual development expenditure budget, while recurrent expenditure accounted for 58 per cent of the annual recurrent expenditure budget.

Figure 3.244 provides a detailed breakdown of total expenditure.

Figure 3.244: Tharaka Nithi County Composition of Expenditure in the first nine months of FY 2025/26



Source: *Tharaka Nithi County Treasury*

As shown in Figure 3.244, the three highest expenditure categories were Personal Emoluments, Development Expenditure and the rest of Operations and Maintenance, contributing 61, 20, 11 per cent of total expenditure for the reporting period.

3.41.7 Expenditure by Economic Classification

The County Executive incurred Kshs.1.91 billion in employee compensation, Kshs.442.72 million in operations and maintenance, and Kshs.667.91 million in development activities. Similarly, the County Assembly spent Kshs.167.06 million on compensation of employees, Kshs.157.22 million on operations and maintenance, and Kshs.9.96 million on development activities, as shown in Table 3.609

Table 3.609: Tharaka Nithi County Summary of Budget and Expenditure by Economic Classification

Sector / Category	Budget (Kshs)	Amount Paid in the First Nine Months of FY 2025/26 (Kshs.) (b)	Expenditure Accrued in the First Nine Months of FY 2025/26 (Kshs.) (c)	Total Expenditure in the First Nine Months of FY 2025/26 (Kshs.) (d=b+c)	Absorption (%) (d/a*100)
County Executive					
Recurrent	**4,108,895,737**	**2,354,881,134**	**-**	**2,354,881,134**	**57**
Compensation to Employees	2,545,544,603	1,912,157,615	-	1,912,157,615	75
Operations & Maintenance	1,563,351,134	442,723,519	-	442,723,519	28
Development	**2,807,183,437**	**667,906,561**	**-**	667,906,561	**24**
Executive Sub-total	**6,916,079,174**	**3,022,787,695**	**-**	**3,022,787,695**	**44**
County Assembly					
Recurrent	**508,533,605**	**302,856,441**	**21,421,312**	**324,277,753**	**64**
Compensation to Employees	254,453,496	145,633,863	21,421,312	167,055,175	66
Operations & Maintenance	254,080,109	157,222,578	-	157,222,578	62

Sector / Category	Budget (Kshs)	Amount Paid in the First Nine Months of FY 2025/26 (Kshs.) (b)	Expenditure Accrued in the First Nine Months of FY 2025/26 (Kshs.) (c)	Total Expenditure in the First Nine Months of FY 2025/26 (Kshs.) (d=b+c)	Absorption (%) (d/a*100)
Development	**30,000,000**	**9,960,810**	**-**	**9,960,810**	**33**
Assembly Sub-total	**538,533,605**	**312,817,251**	**21,421,312**	**334,238,563**	**62**
Combined County Totals					
Total Recurrent	**4,617,429,342**	**2,657,737,575**	**21,421,312**	**2,679,158,887**	**58**
Compensation to Employees	2,799,998,099	2,057,791,478	21,421,312	2,079,212,790	74
Operations & Maintenance	1,817,431,243	599,946,097	-	599,946,097	33
Total Development	**2,837,183,437**	**677,867,371**	**-**	**677,867,371**	**24**
Grand Total	**7,454,612,779**	**3,335,604,946**	**21,421,312**	**3,357,026,258**	**45**

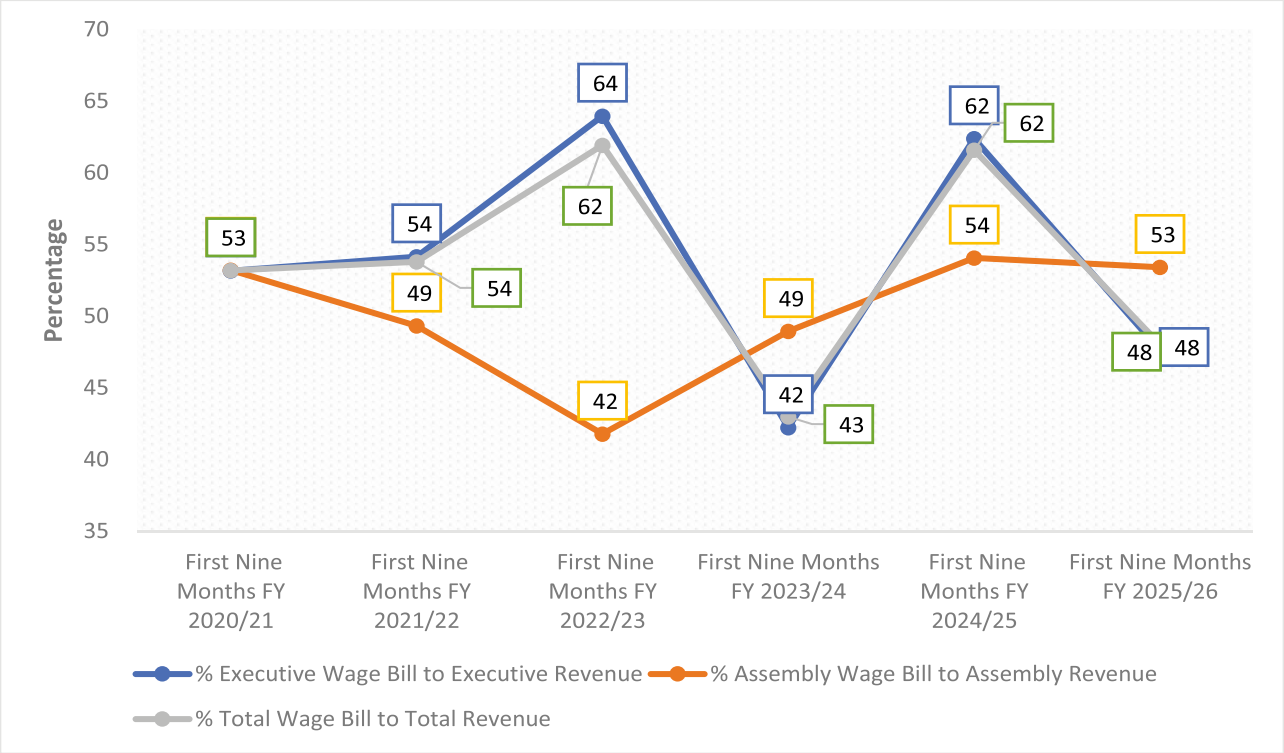
Source: *Tharaka Nithi County Treasury*

3.41.8 Expenditure on Employee Compensation

The expenditure on employee compensation totalled Kshs.2.08 million, representing 48 per cent of revenue. This expenditure on employee compensation shows. an increase compared to the Kshs.2.04 million reported in a similar period in FY 2024/25. Of this total, Kshs.1.24 billion related to Health Sector employees, accounting for 59 per cent of the overall employees' compensation.

Figure 3.245 shows the trend in employee compensation as a percentage of total revenue from the first nine months of FY 2020/21 to the first nine months of FY 2025/26.

Figure 3.245: Percentage of Employee Compensation Expenditure to Total Revenue Received in the first nine months of FY 2020/21 to the first nine months of FY 2025/26



Source: Tharaka Nithi County Treasury

Further analysis indicated that PE costs totalling Kshs.1.82 billion were processed through the Human Resource Information System (HRIS). In contrast, Kshs.261.18 million was processed through manual payrolls, which accounted for 13 per cent of the total PE cost. The justification for the continued use of manual

payroll was the payment of casual staff salaries. Also, PE payments that are done outside the system, such as error corrections, PE payments by the employer, and employer contributions for pensions

The manual payroll composition Is as shown in Table 3.610 below

Table 3.610: Breakdown of Tharaka Nithi County Manual Payroll

Category	County Executive	County Assembly	Total
Gratuity - Employer	44,712,609	-	44,712,609
Pensions - Employer	44,953,191	-	44,953,191
Pension Arrears	5,214,480	10,850,564	16,065,044
Community Health Workers	34,102,400	-	34,102,400
KRA Tax Assessment	9,406,423	-	9,406,423
Road marshals stipend	13,681,500	-	13,681,500
Reconciliations	84,430,014	-	84,430,014
Miscellaneous	13,825,291	-	13,825,291
Total	250,325,908	10,850,564	261,176,472

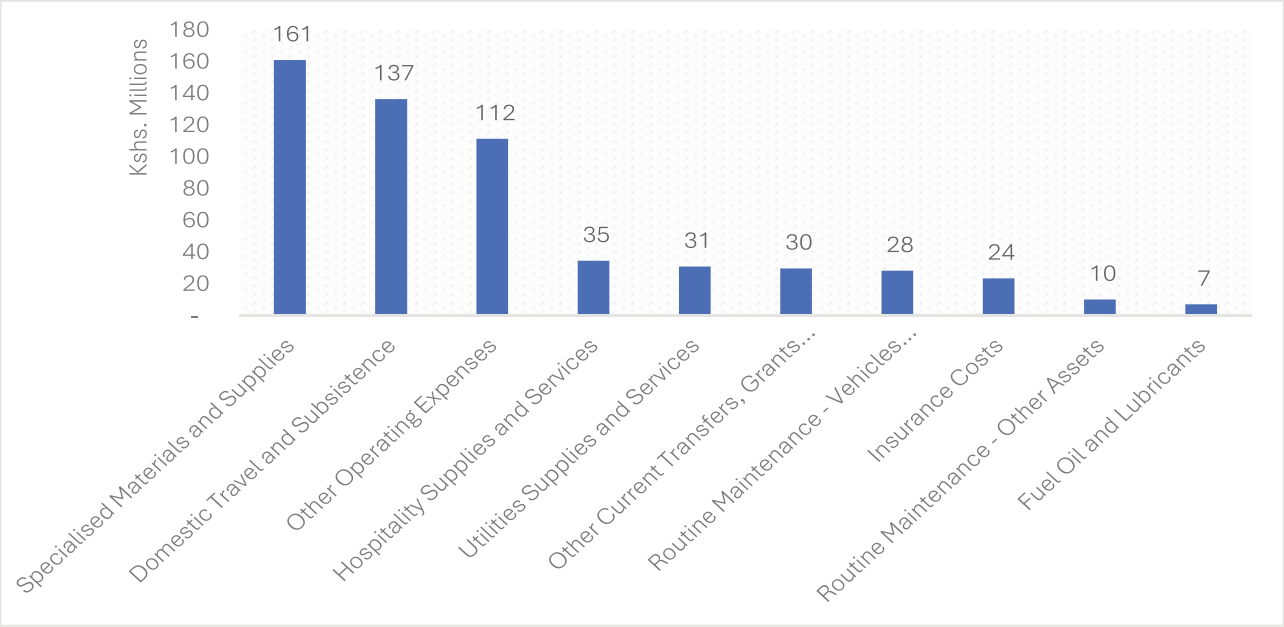
Source: Tharaka Nithi County Treasury

The County Assembly spent Kshs.17.97 million on committee sitting allowances for the 24 MCAs against the annual budget allocation of Kshs.27.90 million. The average monthly sitting allowance was Kshs.83,200 per MCA. The County Assembly has 19 House Committees.

3.41.9 Expenditure on Operations and Maintenance

During the reporting period, the County spent Kshs.599.95 million on operations and maintenance, representing a decrease of 7 per cent compared to a similar period in FY 2024/25, when the County spent Kshs.647.95 million.Figure 3.246 illustrates the distribution of Operations and Maintenance expenditures across the major spending categories.

Figure 3.246: Tharaka Nithi County, Operations and Maintenance Expenditure by Major Categories



Source: *Tharaka Nithi County Treasury*

3.41.10 County-Established Funds

Section 116 of the PFM Act 2012 allows County Governments to establish other public funds, subject to approval from the County Executive Committee and the County Assembly. The County allocated Kshs.260

million to County-Established funds in FY 2025/26, or 4 per cent of the County's overall budget. Further, the County allocated Kshs.10 million to the Emergency Fund (0.15 per cent of the total budget) in line with Section 110 of the PFM Act, 2012. Table 3.611 summarises each established Fund's budget allocation and performance during the reporting period.

Table 3.611: Performance of Tharaka Nithi County Established Funds in the First Nine Months of FY 2025/26

S/No.	Name of the Fund	Year Established	Approved Budget Allocation in FY 2025/26 (Kshs.)	Exchequer Issues in First Nine Months of FY 2025/26 (Kshs.)	Actual Expenditure in the First Nine Months of FY 2025/26 (Kshs.)	Cumulative disbursements to the Fund (Kshs)	Submission of Financial Statements (Yes/No.)
Tharaka Nithi County Executive Established Funds							
1	Bursary Development Fund	2019	-	-	-	110,032,667	Yes
2	Emergency Fund	2019	10,000,000	-	-	15,116,817	Yes
3	Youth Fund	2022	-	-	-	25,000,000	Yes
4	Car Loan and Mortgage Fund	2024	-	-	-	70,000,000	Yes
5	Climate Change Fund	2024	252,000,000	8,915,619	8,915,619	195,843,205	Yes
Tharaka Nithi County Assembly Established Funds							
1	Car and Mortgage Fund	-	-	-	-	-	No
	Total		**262,000,000**	**8,915,619**	**8,915,619**	**415,992,689**	

Source: *Tharaka Nithi County Treasury*

During the reporting period, the CoB did not receive quarterly financial reports from one Fund Administrator, as indicated in Table 3.611, contrary to the requirement of Section 168 of the PFM Act, 2012. Regulation 197(1)(d) of the Public Finance Management (County Governments) Regulations, 2015 sets the ceiling of administration costs of established funds at 3 per cent of the fund budget. For the funds whose financial statements were received by the Controller of Budget, the administrative cost ceilings were not breached.

Regulation 197(1)(i) of the Public Finance Management (County Governments) Regulations, 2015, allows County Governments to establish public funds with a lifespan capped at 10 years unless extended by the County Assembly. In FY 2025/26, the CoB determined that the funds' lifespan had not elapsed.

3.41.11 County Corporations

The County has one corporation and does not receive budgetary allocation from the county budget. Table 3.612 gives the breakdown.

Table 3.612: Performance of Tharaka Nithi County Corporations in the First Nine Months of FY 2025/26

S/No.	Name of the Corporation	Approved Budget Allocation in FY 2025/26 (Kshs.)	Exchequer Issues (Kshs.)	Actual Transfers in the first nine months of FY 2025/26 (Kshs.)	Cumulative Transfers to the Corporation since its inception (Kshs.)
	Nithi Water and Sanitation Company (NIWASCO)	Nil	Nil	Nil	Nil
	Total	**Nil**	**Nil**	**Nil**	**Nil**

Source: *Tharaka Nithi County Treasury*

3.41.12 Expenditure on Domestic and Foreign Travel

Expenditure on domestic travel amounted to Kshs.136.60 million and comprised Kshs.105.82 million spent by the County Assembly and Kshs.30.78 million by the County Executive. Expenditure on foreign travel amounted to Kshs.4.90 million and comprised Kshs.0.75 million by the County Assembly and Kshs.4.15 million by the County Executive. Expenditure on foreign travel is summarised in Table 3.613.

Table 3.613: Summary of Expenditure on Foreign Travel in the first nine months of FY 2025/26

Arm of County Government	Number of Officers Travelled	Date travelled	Purpose of the travel	Destination	Actual Payment on Travel (a) (Kshs.)	Accrued Expenditure on Travel (b) (Kshs.)	Total Expenditure on Travel (c=a+b) (Kshs.)
County Executive	2	17th-19th September 2025	Council of Governors delegation aiming at strengthening the bilateral relations between Kenya and Greece and Italy	Greece, Italy	1,609,736	1,609,736	1,609,736
County Executive	2	10th - 21st November 2025	COP 30 Conference	Belem, Brazil	1,853,170	1,853,170	1,853,170
County Executive	1	13th -20th March, 2026	Panellist during the 70th session of the Commission on the Status of Women	New York	684,320	684,320	684,320
County Assembly	1	1st-10 July 2025	Official Duty	London UK	751,400	751,400	751,400

Source: Tharaka Nithi County Treasury

3.41.13 Facility Improvement Financing

During the review period, the County reported collections of Kshs.270.12 million as FIF, which was 88 per cent of the annual target of Kshs.305.40 million. The collected amount was swept to CRF, then channelled back to the hospital facility that collected it. The County has (however, not) developed regulations to operationalise the FIF Act of 2023.

The expenditure by the health facilities amounted to Kshs.134.41 million, as shown in Table 3.614.

Table 3.614: Tharaka Nithi County Health Facilities Expenditure Performance in the first nine months of FY 2025/26

No.	Health Facility	Number of Facilities	Approved Budget (Kshs.)	Actual Expenditure (Kshs.)	Absorption rate (%)
1.	One Level 5 Hospital (Chuka Referral Hospital)	1	148,600,000	118,692,396	79.9
2.	Two Level 4 Hospitals (Magutuni and Marimanti)	2	38,450,000	15,716,670	40.9
	Total		**187,050,000**	**134,409,066**	**71.9**

Source: *Tharaka Nithi County Treasury*

3.41.14 Development Expenditure

In the review period, the County reported spending Kshs.677.87 million on development programmes, representing a 25 per cent increase over FY 2024/25, when the County spent Kshs.542.45 million. Table 3.615 summarises the development projects with the highest expenditure in the reporting period. The increase in development expenditure was attributed to an increase in funding from both own-source revenue and an equitable share.

Table 3.615: Tharaka Nithi County, List of Development Projects with the Highest Expenditure

No	Sector	Project Name	Project Location	Project Commencement Date	Expected date of Completion of the Project	Contract sum (Kshs)	Total Funding in FY 2025/26 (Kshs.)	Expenditure (on an accrual basis) in the first nine months of FY 2025/26 (Kshs.)	Cumulative project expenditure (on an accrual basis) as of 31st March 2026 (Kshs.)	Percentage (%) of Completion
County Funded Projects										
1	Agriculture	Crop Subsidy	Countywide	13 October 2025	30 November 2025	72,100,000	72,100,000	72,100,000	72,100,000	100%
2	Roads	Upgrading of Katharaka-Mukui Road to Bitumen Standard (Design and Build)	Ganga	20/01/2025	20/01/2030	685,006,324	56,260,243.60	56,260,243.60	113,609,715.60	26.96
3	Roads	RML	Countywide	01 July 2025	30 June 2026	55,944,250	55,944,250	55,944,250	55,944,250	
4	HEALTH	Count-Part Funding Safaricom Mpesa Foundation (Mpukoni Health Centre)	Magumoni	03 April 2025	30 April 2027	95,890,510	30,310,680	30,310,680	39,173,080	41%
5	Roads	Upgrading of Karandini-Kithioroni Roads to Bitumen Standard	Magumoni	23/12/2020	23/12/2023	450,171,829.80	29,799,309.60	29,799,309.60	415,111,457.57	92.21
6	Roads	Proposed Completion of Ndagani Market	Karingani	07 May 2025	07 May 2026	40,849,000	19,992,691	19,992,691	27,557,271	67.50
7	Roads	Completion of Tharaka Nithi County Headquarters at Kathwana	Igambang'ombe	12-03-25	03-12-26	129,003,938	17,493,240	17,493,240	36,950,865.40	15.08
8	Roads	Upgrading of Kambandi-Cheera-Ruguti Road to Bitumen Standard	Mugwe	21/11/2018	21/11/2021	356,261,151.12	12,637,620	12,637,620	279,713,488.59	75
9	Water and Irrigation	Other Civil Works and trade payables	County wide	-	-	-	11,316,101	11,316,101	11,316,101	-
10	Water, Environment and Natural Resources	FLLoCA - Counter fund	Countywide	01-07-25	30-06-26	-	11,000,000	11,000,000	11,000,000	-
Donor Funded Projects										
1	Agriculture	NAVCDP	Countywide	01 July 2025	30/06/2026	231,250,000	98,713,413	98,713,413	98,713,413	42.7%
2	Water, Environment and Natural Resources	FLLoCA - Conditional Grant	Countywide	01-07-25	30/06/2026	-	89,133,945	89,133,945	89,133,945	-
3	Fisheries and Ecosystem Development	Aquaculture Business Development Programme (ABDP)	Countywide	01 July 2025	30/06/2026	15,810,000	7,862,418	7,862,418	7,862,418	-

Source: *Tharaka Nithi County Treasury*

The County reported one stalled development project as of 31st March 2026, with an estimated value of Kshs.689.34 million, of which Kshs.105.89 million has already been paid. The stalled projects are shown in Table 3.616.

Table 3.616: Tharaka Nithi County Stalled Projects as of 31st March 2026

Project Name	Project Location	Estimated Value of the Project (Kshs.)	Amount Paid on the stalled project	Outstanding Balance as of 31st March 2026	Percentage of Completion Before Stalling of the Project	Reason for Project Stalling
Upgrading of Tunyai Nthaara Road to Bitumen Standard	Chiakariga	689,341,000	105,887,119	583,453,881	15%	Funding

Source: Tharaka Nithi County Treasury

The reasons for stalling were attributed to budgetary constraints.

3.41.15 Budget Performance by Department

Table 3.617 summarises the approved budget allocation, expenditure, and absorption rate by department for the period under review.

Table 3.617: Tharaka Nithi County, Budget Allocation and Absorption Rate by Department in the first nine months of FY 2025/26

Department	Budget Allocation (Kshs.Millions)		Exchequer Issues (Kshs.Millions)		Expenditure (Kshs. Millions)		Expenditure to Exchequer Issues (%)		Absorption rate (%)	
	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev
Office of the Governor and Deputy	114.82	-	52.69	-	44.90	-	85.2	-	39.1	-
Roads, Infrastructure, Public Works and Urban Dev	237.21	855.05	123.18	283.59	86.27	283.59	70.0	100.0	36.4	33.2
Medical Services	1,961.64	225.29	1,310.77	45.55	1,310.21	45.55	100.0	100.0	66.8	20.2
Agric, Livestock, Vet Services, and Coop Dev	203.92	492.90	119.09	99.35	118.44	198.07	99.5	199.4	58.1	40.2
Public Admin, Intergov Coordination and Devolution Affairs	214.28	367.50	76.22	136.25	57.83	2.28	75.9	1.7	27.0	0.6
Educational and Vocational Training	212.22	40	144.75	10.05	136.14	10.05	94.1	100.0	64.2	25.1
Finance and Economic Planning	250.77	40	114.43	-	111.41	-	97.4	-	44.4	-
Environment, Mining and Natural Resources	48.70	294	16.06	100.13	15.84	100.13	98.7	100.0	32.5	34.1
County Assembly	508.53	30	302.86	9.96	324.28	9.96	107.1	100.0	63.8	33.2
Water Services and Irrigation	64.86	455	37.45	15.30	35.41	15.30	94.6	100.0	54.6	3.4
County Public Service Board	38.86	-	19.07	-	18.90	-	99.1	-	48.6	-
Public Health and Sanitation	361.82	-	206.24	-	204.14	-	99.0	-	56.4	-
Youth and Sports	37.33	43	19.73	8.66	19.28	8.66	97.7	100.0	51.6	20.2
Culture and Tourism	36.47	5	21.66	2.09	21.02	2.09	97.0	100.0	57.6	41.8

Department	Budget Allocation (Kshs.Millions)		Exchequer Issues (Kshs.Millions)		Expenditure (Kshs. Millions)		Expenditure to Exchequer Issues (%)		Absorption rate (%)	
	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev
Revenue and Resource Mobilisation	117.11	-	68.84	-	67.86	-	98.6	-	57.9	-
Lands, Physical Planning and Housing	64.65	11.90	31.23	-	30.55	-	97.8	-	47.2	-
Fisheries And Ecosystem Dev	19.95	20.49	10.51	2	10.37	2	98.7	100.0	52.0	9.8
Gender, Children and Social Services	30.54	5	17.40	-	16.73	-	96.2	-	54.8	-
Trade, Investment Promotion, Energy and Industry	47.93	8	30.53	0.19	29.80	0.19	97.6	100.0	62.2	2.3
Office of the County Secretary and County Attorney	45.82	-	20.54	-	19.77	-	96.3	-	43.2	-
Total	**4,617.43**	**2,893.13**	**2,743.22**	**713.12**	**2,679.16**	**677.87**				

Source: *Tharaka Nithi County Treasury*

Analysis of expenditure by departments shows that the Department of Culture and Tourism recorded the highest absorption rate of development budget at 42 per cent, followed by the Department of Agriculture, Livestock, Veterinary Services, and Cooperative Development at 40 per cent. The Department of Medical Service had the highest percentage of recurrent expenditure to budget at 67 per cent, while the Department of Public Administration, Intergovernmental Coordination and Devolution Affairs had the lowest at 27 per cent.

3.41.16 Budget Execution by Programmes and Sub-Programmes

Budget execution was concentrated in selected performance bands. A large number of development and recurrent sub-programmes recorded nil absorption during the review period. These included, under development, general administration services and ICT infrastructure development in Roads, Infrastructure, Public Works and Urban Development; livestock policy development and capacity building in Agriculture, Livestock, Veterinary Services and Cooperative Development; sub-county administration and field services and the Tharaka Nithi KDSP capacity building sub-programme in Public Administration, Intergovernmental Coordination and Devolution Affairs; human resource management services in Finance and Economic Planning; general administration and support services in Environment, Mining and Natural Resources; domestic water services and irrigation and drainage services in Water Services and Irrigation; athletics championships and other games in Youth and Sports; physical planning services in Lands, Physical Planning and Housing; gender, youth and women empowerment in Gender, Children and Social Services; and energy resource development and management in Trade, Investment Promotion, Energy and Industry.

Under recurrent, nil absorption was reported for Chuka Municipality administration and management, primary healthcare at Kibunga, cooperative development, veterinary services and disease prevention, athletics championships and other games, tourism branding and marketing, and industrial development.

In the 41–50 per cent band, development absorption was reported for culture and arts promotion under Culture and Tourism at 42 per cent, rural roads improvement and maintenance services under Roads, Infrastructure, Public Works and Urban Development at 50 per cent, and crops development, agribusiness and market development under Agriculture, Livestock, Veterinary Services and Cooperative Development

at 51 per cent. In the 51–60 per cent band, development absorption was reported for veterinary services and disease prevention at 57 per cent.

In the 71–80 per cent band, recurrent absorption was reported for human resource management under Medical Services at 76 per cent. In the 81–90 per cent band, recurrent absorption was reported for youth training and capacity building under Education and Vocational Training at 83 per cent and for general administration services under Medical Services at 81 per cent. In the 90–100 per cent band, recurrent absorption reached 95 per cent for general administration services under Roads, Infrastructure, Public Works and Urban Development. In the band above 100 per cent, development absorption reached 144 per cent for talent search and promotion under Sports Development and Promotion, and recurrent absorption reached 101 per cent for livestock policy development and capacity building.

The development and recurrent sub-programmes with the lowest absorption rates remained at zero per cent and had yet to be implemented. There was no single reason for the non-implementation; for some programmes associated with additional allocations, absorption was nil because the respective National Government entities had not released the funds. Conversely, the higher-performing programmes benefited from their priority status with the County and, in some cases, from rolled-over funds that were not swept back to the County Revenue Fund at the close of the previous financial year and were therefore easier to spend.

Table 3.618 summarises budget execution by programmes and sub-programmes in the period under review with the highest absorption rates.

Table 3.618: Budget Execution by Programmes and Sub-Programmes with Highest Absorption Rates

Prog	Sub-Programme	Revised Approved Estimates (Kshs.)	Actual Expenditure (Kshs.)	Absorption Rate (%)
Development				
3628 Youth and Sports				
P: Sports Development and Promotion				
	SP: Talent Search and Promotion	6,000,000	8,664,700	144
3615 Agriculture, Livestock, Veterinary Services, and Cooperative Development				
P: Livestock and Fisheries Resource Management and Development				
	SP: Veterinary Services and Disease Prevention	16,500,000	9,445,950	57
3615 Agriculture, Livestock, Veterinary Services, and Cooperative Development				
P: Crop Development and Management				
	SP: Crops Development, Agribusiness and Market Development	202,650,000	103,713,418	51
3612 Roads, Infrastructure, Public Works and Urban Development				
P: Roads Transport				
	SP: Rural Roads Improvement and Maintenance Services	483,005,716	241,813,498	50
3629 Culture and Tourism				
P: Culture, Arts and Social Services				
	SP: Culture and Arts Promotion	5,000,000	2,089,500	42
Recurrent				
3615 Agriculture, Livestock, Veterinary Services, and Cooperative Development				
P: Livestock and Fisheries Resource Management and Development				
	SP: Livestock Policy Development and Capacity Building	31,998,916	32,345,160	101

Prog	Sub-Programme	Revised Approved Estimates (Kshs.)	Actual Expenditure (Kshs.)	Absorption Rate (%)
3612 Roads, Infrastructure, Public Works and Urban Development				
P: General Administration Planning and Support Services				
	SP: General Administration Services	51,400,400	49,003,500	95
3617 Education and Vocational Training				
P: Education and Youth Training				
	SP: Youth Training and Capacity Building	36,169,900	30,173,800	83
3613 Medical Services				
P: General Administration Planning and Support Services				
	SP: General Administration Services	120,508,441	97,367,926	81
3613 Medical Services				
P: General Administration Planning and Support Services				
	SP: Human resource management	1,360,385,959	1,030,404,377	76

Source: *Tharaka Nithi County Treasury*

The higher performance of these programmes can be attributed to the "priority status" the county accords them. Also, some of the programs benefited from rolled funds that are not swept back to CRF at the end of the previous financial year. These funds are saved from the bureaucracy of the opening year procedure; hence, they are easier to spend

Table 3.619: Budget Execution by Programmes and Sub-Programmes with Lowest Absorption Rates

Prog	Sub-Programme	Revised Approved Estimates (Kshs.)	Actual Expenditure (Kshs.)	Absorption Rate (%)
3612 Roads, Infrastructure, Public Works and Urban Development				
P: General Administration Planning and Support Services				
	SP: General Administration Services	82,244,250		0
P: ICT Infrastructure Development				
	SP: ICT Infrastructure Development	10,000,000		0
3615 Agriculture, Livestock, Veterinary Services, and Cooperative Development				
P: Livestock and Fisheries Resource Management and Development				
	SP: Livestock Policy Development and Capacity Building	4,000,000		0
3616 Public Administration, Intergovernmental Coordination and Devolution Affairs				
P: General Administration, Planning and Support Services				
	SP: Sub-County Administration and Field Services	5,000,000		0
P: Kenya Devolution Support Programme				
	SP: Tharaka Nithi KDSP Capacity Building	362,500,000	-	0
3619 Finance and Economic Planning				
P: General Administration, Planning and Support Services				
	SP: Human Resource Management Services	40,000,000	-	-
3620 Environment, Mining and Natural Resources				
P: General Administration, Planning and Support Services				

Prog	Sub-Programme	Revised Approved Estimates (Kshs.)	Actual Expenditure (Kshs.)	Absorption Rate (%)
	SP: General Administration and Support Services	30,000,000	-	-
3622 Water Services and Irrigation				
P: Water Supply Services				
	SP: Domestic Water Services	36,300,000	-	-
	SP: Irrigation and Drainage Services	34,000,000	-	-
3628 Youth and Sports				
P: Sports Development and Promotion				
	SP: Athletics Championships and Other Games	37,000,000	-	-
3631 Lands, Physical Planning and Housing				
P: Land Policy and Planning				
	SP: Physical Planning Services	11,900,000	-	-
3633 Gender, Children and Social Services				
P: Gender and Youth Empowerment				
	SP: Gender, Youth and Women Empowerment	5,000,000	-	-
3634 Trade, Investment Promotion, Energy and Industry				
P: Energy Resource Development & Management				
	SP: Energy Resource Development & Management	8,000,000	-	-
Recurrent				
3612 Roads, Infrastructure, Public Works and Urban Development				
P: Chuka Municipality Development Programme				
	SP: Chuka Municipality Administration and management	6,735,000	-	-
P: Curative and Rehabilitative Services				
	SP: Primary Healthcare-Kibunga	1,300,000	-	-
P: Cooperative Development and Management				
	SP: Cooperative Development	2,163,380	-	-
P: Livestock and Fisheries Resource Management and Development				
	SP: Veterinary Services and Disease Prevention	8,507,191	28,700	-
P: Sports Development and Promotion				
	SP: Athletics Championships and Other Games	2,147,750	-	-
P: Tourism Development and Promotion				
	SP: Tourism Branding and Marketing	2,716,444	-	-
P: Industrial Development and Investment				
	SP: Industrial Development	2,830,000	-	-

Source: *Tharaka Nithi County Treasury*

The development sub-programmes and recurrent sub-programs with the lowest absorptions are shown in the table above; their absorption rates are still zero per cent and have yet to be implemented.

There is no single major reason why the implementation of the above programs did not take off. For some of the programmes. Reasons vary, for example, programs associated with additional allocations are zero because the respective National Government Entities had not released the additional allocations

3.41.17 Settlement of Trade Payables

As of 1st July 2025, the County reported trade payables totalling Kshs.739.16 million. This amount consisted of Kshs.622.91 million from the County Executive and Kshs.116.25 million from the County Assembly. The trade payables from the County Executive comprised Kshs.437.48 million for recurrent expenditure and Kshs.185.44 million for development expenditure.

During the reporting period, the County Executive settled trade payables amounting to Kshs.268.37 million, comprising Kshs.192.74 million (44 per cent) for recurrent programmes and Kshs.75.63 million (41 per cent) for development programmes. On the other hand, the County Assembly settled trade payables amounting to Kshs.11.21 million, comprising Kshs.1.25 million (1 per cent) for recurrent activities and Kshs.9.96 million (72 per cent) for development activities. The outstanding trade payables as of 31st March 2026 were Kshs.354.54 million for the County Executive and Kshs.105.04 million for County Assembly. Table 3.620 provides additional details of trade payables.

Table 3.620: Tharaka Nithi County Trade Payables as of 31st March 2026

		County Entity	Development (Kshs.)	Recurrent (Kshs.)	Total (Kshs.)
As at 1 July 2025 (End of FY 2024/25)	a	County Executive	185,435,237	437,475,073	622,910,310
		County Assembly	13,879,858	102,367,235	116,247,093
		Total	199,315,095	539,842,308	739,157,403
Trade payables scheduled to be settled in the first nine months of FY 2025/26 per the action plan	b	County Executive	141,960,977	417,731,044	559,692,022
		County Assembly	11,922,936	6,757,391	18,680,327
		Total	153,883,913	424,488,435	578,372,349
Amount paid in the first nine months of FY 2025/26	c	County Executive	75,634,702	192,736,216	268,370,917
		County Assembly	9,960,810	1,245,255	11,206,065
		Total	85,595,512	193,981,471	279,576,982
Trade Payables Incurred in the First Nine Months of FY 2025/26	d	County Executive	-	-	-
		County Assembly	-	-	-
		Total	-	-	-
Outstanding trade payables as of 31st March 2026	**e=a-c*b**	**County Executive**	**109,800,536**	**244,738,857**	**354,539,393**
		County Assembly	**3,919,048**	**101,121,980**	**105,041,028**
		Total	**113,719,584**	**345,860,837**	**459,580,421**

Source: *Tharaka Nithi County Treasury*

The County Executive and the Assembly submitted a trade payables payment plan, committing to pay Kshs.402.47 million and Kshs.104.18 million on recurrent and development expenditure, respectively, by the end of the third quarter in FY 2025/26. The County, both the executive and the assembly,, did not adhere to this payment plan, as it cleared Kshs.268.37 million for the Executive and Kshs.11.21 million for the Assembly.

Table 3.621 and Table 3.622 present the ageing of the total outstanding bills as of 31st March 2026 for the County Executive and Assembly, which were Kshs.459.92 million.

Table 3.621: Tharaka Nithi County Executive Trade Payables Ageing Analysis as of 31st March 2026

Category	Ageing analysis (Amount in Kshs.)				Total
	Under one year	1-2 years	2-3 years	Over 3 years	
Development Trade payables	**59,591,191**	**4,680,059**	**92,919**	**45,767,126**	**110,131,295**
Recurrent Trade Payables (Goods & Services)	131,003,086	16,071,813	9,501,506	87,831,693	**244,408,098**
Recurrent Trade Payables (Salary Arrears and Statutory Deductions)	-	-	-	-	**-**
Recurrent Trade Payables (Staff Claims)	-	-	-	-	**-**
Total Recurrent Trade Payables	131,003,086	16,071,813	9,501,506	87,831,693	**244,408,098**
Total Trade Payables	**190,594,277**	**20,751,872**	**9,594,425**	**133,598,819**	**354,539,393**
% of Total	**54**	**6**	**3**	**38**	**100**

Source: *Tharaka Nithi County Treasury*

Table 3.622: Tharaka Nithi County Assembly Trade Payables Ageing Analysis as of 31st March 2026

Category	Ageing analysis (Amount in Kshs.)				Total
	Under one year	1-2 years	2-3 years	Over 3 years	
Development Trade Payables	**-**	**-**	**3,919,048**	**-**	**3,919,048**
Recurrent Trade Payables (Goods & Services)	-	-	19,469,410.13	66,524,503	**85,993,913.13**
Recurrent Trade Payables (Salary Arrears and Statutory Deductions)	-	-	15,128,066.87	-	**15,128,066.87**
Recurrent Trade Payables (Staff Claims)	-	-	-	-	-
Total Recurrent Trade Payables	-	-	34,597,477	66,524,503	**101,121,980**
Total Trade Payables	**-**	**-**	**38,516,525**	**66,524,503**	**105,041,028**
% of Total	**-**	**-**	**37**	**63**	**100**

Source: *Tharaka Nithi County Treasury*

As shown in Table 3.621 and Table 3.622, the total salary arrears and statutory deductions for trade payables amounted to Kshs 15.13 million, which represented 0.3 per cent of the total trade payables of Kshs 459.92 as of March 31, 2026. The Personal Emoluments linked to trade payables of Kshs.15.13 million is made up of statutory deductions and third-party deductions in the County Assembly.

Additionally, the two tables indicate that 41 per cent of total trade payables are aged under one year, 4 per cent are between 1 - 2 years, and 11 per cent are 2 – 3 years

3.41.18 General Observations and Recommendations

In the course of overseeing and reporting on the implementation of the Tharaka Nithi County budget, the CoB identified the following challenges, which hampered effective budget implementation;

i. The County Treasury's late submission of financial reports to the Controller of Budget affected the timely preparation of the budget implementation report. The county executive's first draft of the report was received on 27th April 2026. The county assembly's report was received on time.
ii. Low development performance in the review period as the County incurred Kshs.677.87 million on development activities, achieving a 24 per cent absorption rate.

iii. The Fund Administrators of the County Assembly failed to submit quarterly financial and non-financial reports to the CoB within the timelines provided by law, which is against the requirement of Section 168 of the PFM Act, 2012. The reports for the Car and Mortgage Fund, the only fund owned by the assembly, have not been submitted since the 2025 – 26 FY began.

iv. High level of trade payables, which amounted to Kshs.459.92 million as of 31st March 2026. Furthermore, the County Treasury did not adhere to the trade payables payment plan.

The County should implement the following recommendations to improve budget execution:

i. *The County Treasury should ensure the timely preparation and submission of financial reports to the Controller of Budget per the timelines prescribed in Section 166 of the PFM Act, 2012.*

ii. *The County should implement strategies to increase development expenditures in FY 2025/26.*

iii. *The CECMF should follow up to ensure Fund Administrators prepare and submit statutory reports in line with the PFM Act, 2012.*

iv. *The County Leadership should address the situation of trade payables to ensure that genuine bills are paid promptly in the remaining financial year. Further, compliance with the Trade Payables Action Plan should be enforced.*

3.42. County Government of Trans-Nzoia

3.42.1 Overview of FY 2025/26 Budget

The Trans Nzoia County Approved Budget for FY 2025/26 is Kshs.9.92 billion. It comprises Kshs.3.67 billion (37 per cent) and Kshs.6.25 billion (63 per cent) allocation for development and recurrent programmes, respectively. The budget estimates represent a decrease in Kshs.537.36 million (5 per cent) from the FY 2024/25 budget, which comprised a development budget of Kshs.4.34 billion and a recurrent budget of Kshs.6.11 billion. The decrease in the budget was primarily due to declines in unspent balances and conditional grants.

The budget is to be financed from various revenue sources. These include the equitable share of revenue raised nationally of Kshs.7.99 billion (81 per cent), additional allocations of Kshs.804.91 million (8 per cent), a cash balance brought forward from FY 24/25 of Kshs.509.47 million (5 per cent) and Kshs.600 million (6 per cent) generated as own-source revenue. A breakdown of the additional allocations is shown in Table 3.623.

3.42.2 Revenue Performance

During the first nine months of FY 2025/26, the County reported total revenues amounting to Kshs.6.48 billion. This amount represented a 20 per cent increase over the amount received in a similar period in FY 2024/25, in Kshs.5.42 billion. The total revenue consisted of Kshs.5.31 billion from the equitable share of revenue raised nationally, additional allocations from the national government and development partners of Kshs.170.91 million, and own-source revenue (OSR) collection of Kshs 488.57 million. Additionally, the County had a cash balance of Kshs.509.47 million from FY 2024/25. The total OSR collection of Kshs.488.57 million included Facilities Improvement Financing (FIF) of Kshs.245,43 million, and Kshs.243.14 million from other OSR sources.

Table 3.623 summarises the total revenue available to the County Government during FY 2025/26.

Table 3.623: Trans Nzoia County, Revenue Performance in the first nine months of FY 2025/26

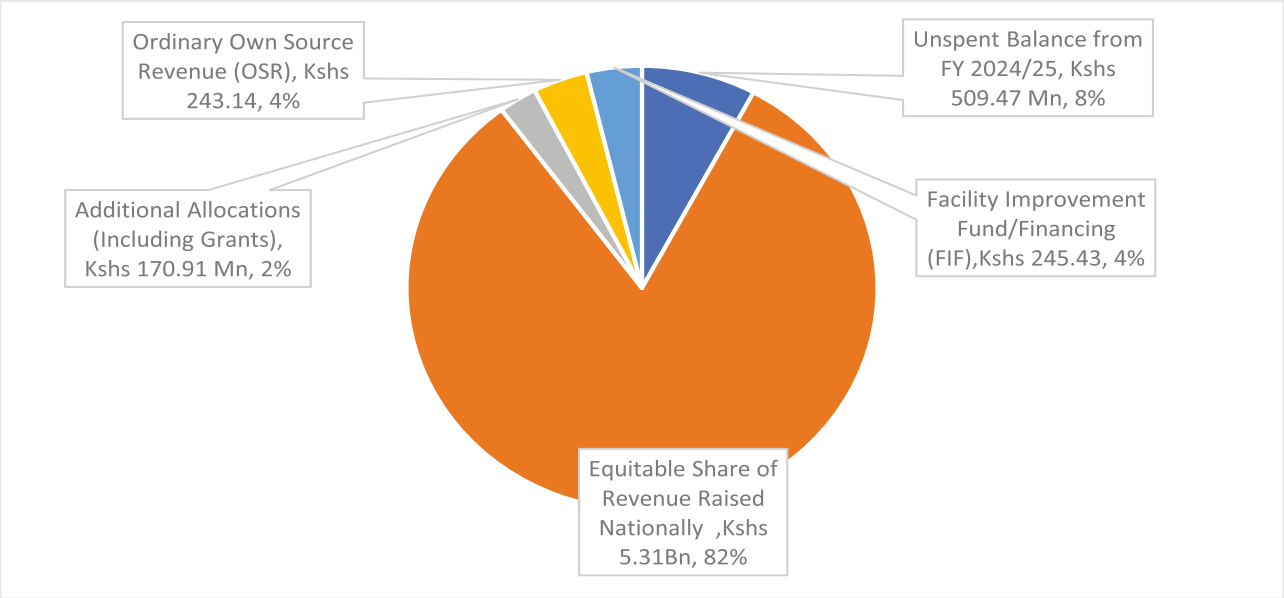
No	Revenue Stream	Annual Targeted Revenue (Kshs.)	Actual Receipts (Kshs.)	Receivables in the first nine months of FY 2025/26 (Kshs.)	Total Revenues (in accrual basis) in the first nine months of FY 2025/26 (Kshs.)	Revenue Performance
		A	B	C	D	F=D/A*100
A	**Unspent Balance from FY 2024/25**					
1	Balance at CRF	506,795,463	506,795,463	-	506,795,463	100

No	Revenue Stream	Annual Targeted Revenue (Kshs.)	Actual Receipts (Kshs.)	Receivables in the first nine months of FY 2025/26 (Kshs.)	Total Revenues (in accrual basis) in the first nine months of FY 2025/26 (Kshs.)	Revenue Performance
		A	B	C	D	F=D/A*100
2	County Executive Refunds to CRF	2,661,315	2,661,315	-	2,661,315	100
3	County Assembly Refunds to CRF	11,994	11,994	-	11,994	100
	Sub-Total	**509,468,773**	**509,468,773**	**-**	**509,468,773**	100
B	**Equitable Share of Revenue Raised Nationally**					
1	Equitable Share	7,991,120,837	5,314,095,356	-	5,314,095,356	66
	Sub-Total	**7,991,120,837**	**5,314,095,356**		**5,314,095,356**	**66**
C	**Transfers from the Equalisation Fund**					
1		12,161,730	-	-	-	-
	Sub-Total	**12,161,730**	**-**		**-**	**-**
D	**Additional Allocations (Including Grants)**					
1	**Unconditional Additional Allocations to County Governments**					
a	Allocations for Court Fines	-	-	-	-	-
b	Allocations for 20% Share of Mineral Royalties	-	-	-	-	-
2	**Conditional Additional Allocations from the National Government's**					
a	Settlement of Doctors' Salary Arrears	46,626,677	-	-	-	-
b	Community Health Promoters (CHPs) Programme	67,200,000	-	-	-	-
3	**Conditional Allocations from Loans and Grants**					
6	Kenya Devolution Support Programme Phase Two (KDSP II) Level I Grant	37,500,000	35,253,471	-	35,253,471	94
7	Kenya Devolution Support Programme Phase Two (KDSP II) Level 2 Grant	352,500,000	-	-	-	-
8	Kenya Livestock Commercialisation Project (KelCop)	60,550,000	25,547,998	-	25,547,998	42
12	National Agricultural Value Chain Development Project (NAVCDP)	231,250,000	110,110,358	-	110,110,358	48
13	Primary Health Care in Devolved Context (PHDC) Programme	9,282,000	-	-	-	-
...						
	Sub-Total	**804,908,677**	**170,911,827**	**-**	**170,911,827**	**21**
E	**Ordinary Own Source Revenue (OSR)**					
1		324,970,591	243,142,312	-	243,142,312	75
...						
	Sub-Total	**324,970,591**	**243,142,312**		**243,142,312**	**75**
F	**Facility Improvement Fund/Financing (FIF)**					
1	SHIF	275,029,409	245,431,850	-	245,431,850	89
	Sub-Total	**275,029,409**	**245,431,850**	**-**	**245,431,850**	**89**
Total		**9,917,660,017**	**6,483,050,119**	**-**	**6,483,050,119**	**65**

Source: *Trans Nzoia County Treasury*

The County has governing legislation on the operation of ordinary A-I-A and FIF. Figure 3.247 provides a detailed breakdown of receipts.

Figure 3.247: Trans Nzoia County Composition of Revenue in the first nine months of FY 2025/26

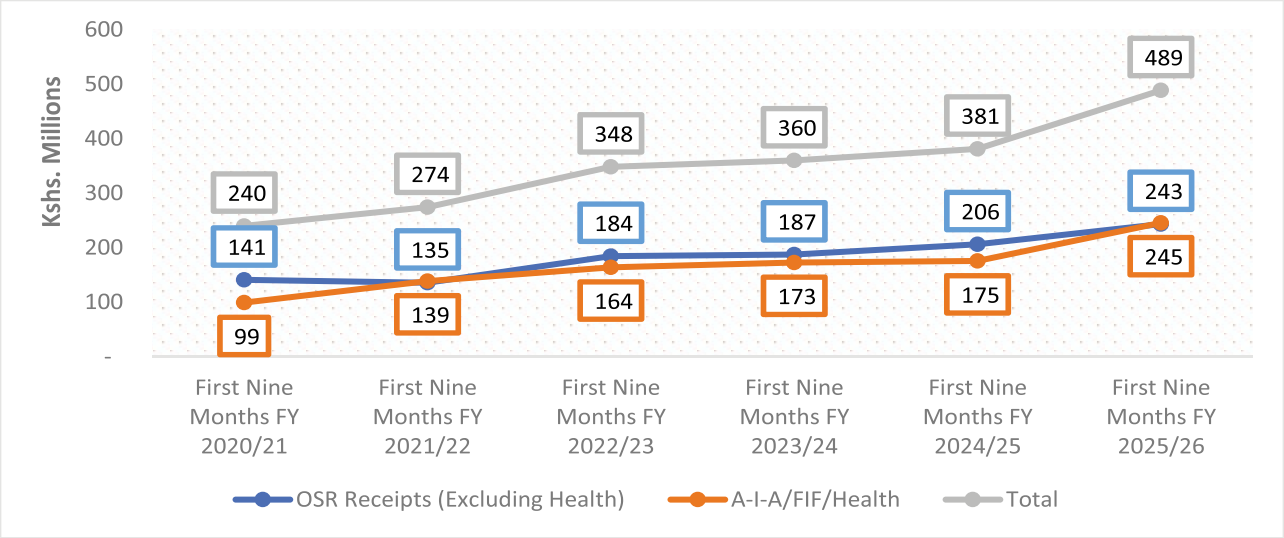


Source: *Trans Nzoia County Treasury*

The equitable share of revenue raised nationally, OSR, and FIF contributed 82 per cent, 4 per cent and 4 per cent, respectively, of the total receipts for the reporting period.

Figure 3.248 shows the collection trend in own-source revenue from the first nine months of FY 2020/21 to the first nine months of FY 2025/26.

Figure 3.248: Trans Nzoia County Trend in Own-Source Revenue Collection from the first nine months of FY 2020/21 to the first nine months of FY 2025/26

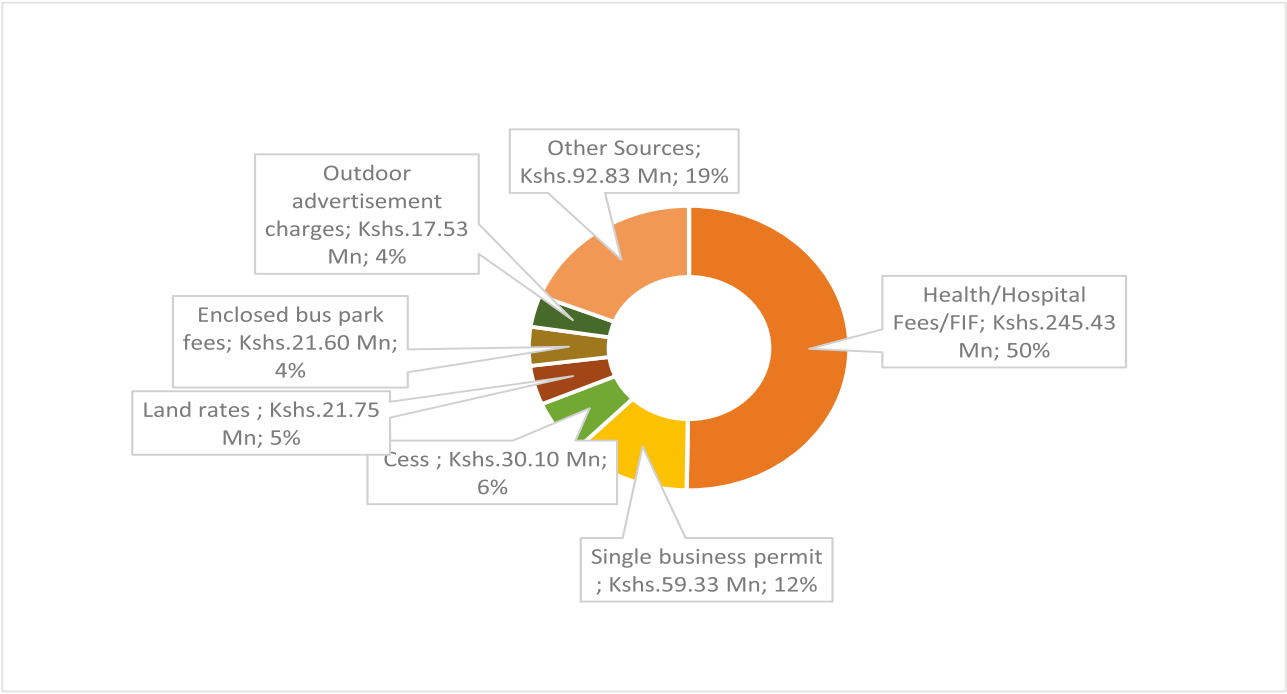


Source: *Trans Nzoia County Treasury*

During the first nine months of FY 2025/26, the County received Kshs.488.57 million from OSR, including FIF. This amount was an increase of 28 per cent compared to Kshs.381.22 million realised in a similar period in FY 2024/25, and was 81 per cent of the annual target and 9 per cent of the equitable revenue share disbursed.

The increase in OSR was attributed to the automation of some revenue streams to cashless processing. The revenue streams that contributed the most to OSR receipts are shown in Figure 3.249.

Figure 3.249: Trans Nzoia County Top Own Source Revenue Streams in the first nine months of FY 2025/26



Source: Trans Nzoia County Treasury

As shown in Figure 3.249, the largest revenue stream, at Kshs.245.43 million, was Health/Hospital Fees/FIF, accounting for 50 per cent of total OSR receipts. The County Government indicated that it has automated 37 of 56 revenue streams. The system utilised for FIF revenue collection is Jumbo Soft, which has been in use since May 2025.

3.42.3 Revenue Receivables

The County has did not report on any revenue receivables during the reporting period.

3.42.4 Borrowing by the County

The Trans Nzoia County did not report any borrowing during the reporting period.

3.42.5 Withdrawals from the County Revenue Fund and County Assembly Fund

During the reporting period, the Controller of Budget approved exchequer withdrawal requests totalling Kshs.5.01 billion from the Trans Nzoia County Revenue Fund (CRF) account. This amount consisted of Kshs.1.60 billion (32 per cent) designated for development programs and Kshs.3.41 billion (68 per cent) allocated for recurrent programs.

An analysis of the released recurrent exchequers shows that Kshs.2.40 billion was allocated to employee compensation and Kshs.1.01 billion to operations and maintenance expenditures. Within the operations and maintenance category, 5 per cent was for domestic travel. The domestic travel exchequers totalled Kshs.150.24 million, which included Kshs.47.19 million for the County Executive and Kshs.103.05 million for the County Assembly. Meanwhile, the foreign travel exchequers amounted to Kshs.17.13 million, which was only for the County Assembly.

As of 31st March 2026, the County Government's cash balance in the Trans Nzoia CRF account was Kshs.695.46 million.

In addition, the Controller of Budget approved exchequer withdrawal requests totalling Kshs.377.74 million from the Trans Nzoia County Assembly Fund (CAF) account during the review period. This amount Kshs.377.74 million was only for recurrent activities.

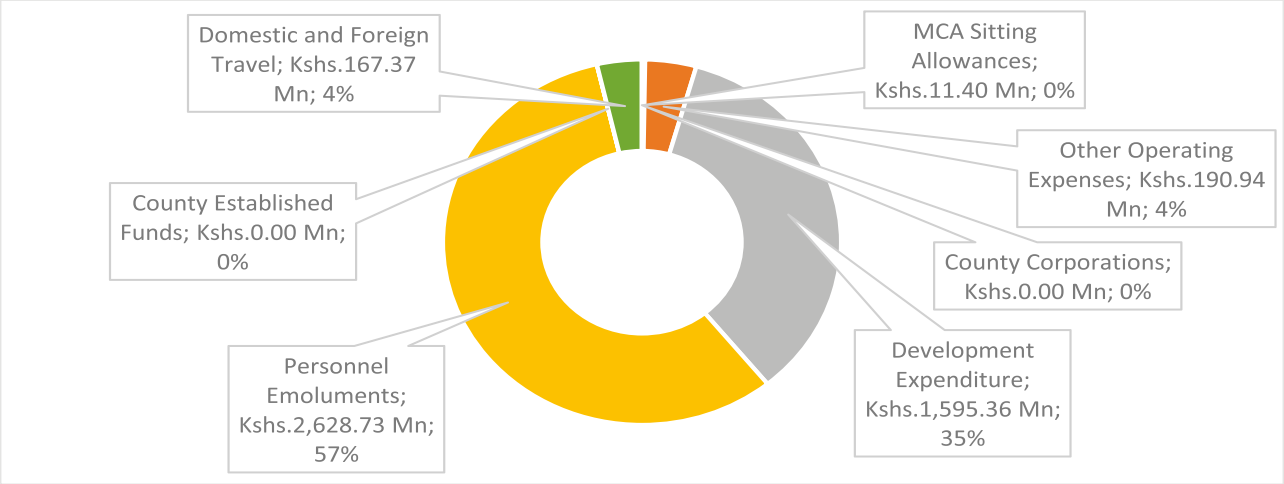
As of 31st March 2026, the County Government's cash balance in the Trans Nzoia CAF account was Kshs.0.03 million.

3.42.6 Expenditure Review

The County spent Kshs.5.39 billion on development and recurrent programmes during the reporting period. The expenditure represented 100 per cent of the total funds released by the CoB. It comprised Kshs.1.60 billion for development programmes and Kshs.3.79 billion for recurrent programmes. Expenditure on development programmes accounted for 44 per cent of the annual development expenditure budget, while recurrent expenditure accounted for 61 per cent of the annual recurrent expenditure budget.

Figure 3.250 provides a detailed breakdown of total expenditure.

Figure 3.250: Trans Nzoia County Composition of Expenditure in the first nine months of FY 2025/26



Source: Trans Nzoia County *Treasury*

As shown in Figure 3.250, the three highest expenditure categories were Personnel Emoluments, Development Expenditure, and Domestic and Foreign Travel, contributing 57, 35, and 4 per cent of the total expenditure for the reporting period.

3.42.7 Expenditure by Economic Classification

The County Executive incurred Kshs.2.40 billion in employee compensation, Kshs.1.01 billion in operations and maintenance, and Kshs1.60 billion in development activities. Similarly, the County Assembly spent Kshs.221.27 million on compensation of employees, Kshs.156.47 million on operations and maintenance, and Kshs.0 million on development activities, as shown in Table 3.624.

Table 3.624: Trans Nzoia County Summary of Budget and Expenditure by Economic Classification

Expenditure Classification	Approved Budget (Kshs.) (a)		Amount Paid in the first nine months of FY 2025/26 (Kshs.) (b)		Expenditure Accrued in the first nine months of FY 2025/26 (Kshs.) (c)		Total Expenditure in the first nine months of FY 2025/26 (Kshs.) (d=b+c)		Absorption (%) (d/a*100)	
	Executive	Assembly	Executive	Assembly	Executive	Assembly	Executive	Assembly	Executive	Assembly
Total Recurrent Expenditure	**5,585,864,959**	**664,759,422**	**3,419,570,309**	**377,741,396**	**-**	**-**	**3,419,570,309**	**377,741,396**	**61**	**57**
Compensation of Employees	3,715,229,946	349,739,422	2,407,462,509	221,272,055	-	-	2,407,462,509	221,272,055	65	63
Operations and Maintenance	1,870,635,013	315,020,000	1,012,107,800	156,469,341	-	-	1,012,107,800	156,469,341	54	50
Development Expenditure	**3,667,035,636**	**-**	**1,595,361,732**	**-**	**-**	**-**	**1,595,361,732**	**-**	**44**	**-**
Total	**9,252,900,595**	**664,759,422**	**5,014,932,041**	**377,741,396**			**5,014,932,041**	**377,741,396**	**54**	**57**

***Source**: Trans Nzoia County Treasury*

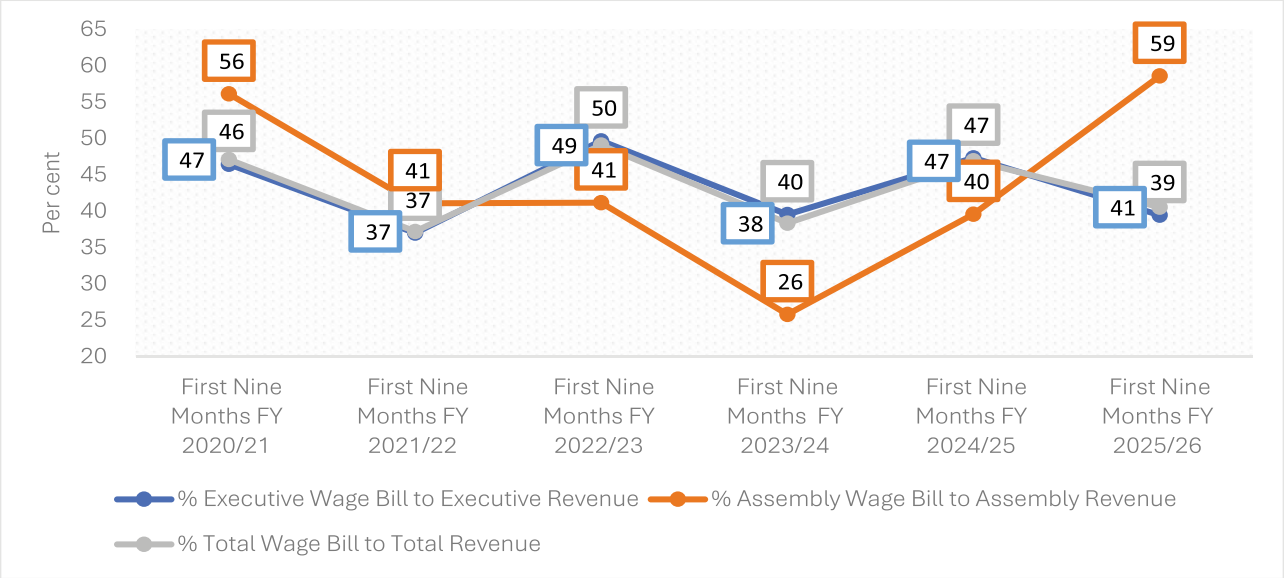
3.42.8 Expenditure on Employee Compensation

The expenditure on employee compensation totalled Kshs.2.63 billion, representing 41 per cent of revenue. This expenditure on employee compensation shows. a decrease compared to the Kshs.2.68 billion

reported in a similar period in FY 2024/25. Of this total, Kshs.1.46 billion related to Health Sector employees, accounting for 56 per cent of the overall employees' compensation.

Figure 3.251 shows the trend in employee compensation as a percentage of total revenue from the first nine months of FY 2020/21 to the first nine months of FY 2025/26.

Figure 3.251: Percentage of Employee Compensation Expenditure to Total Revenue Received in the first nine months of FY 2020/21 to the first nine months of FY 2025/26



Source: *Trans Nzoia County Treasury*

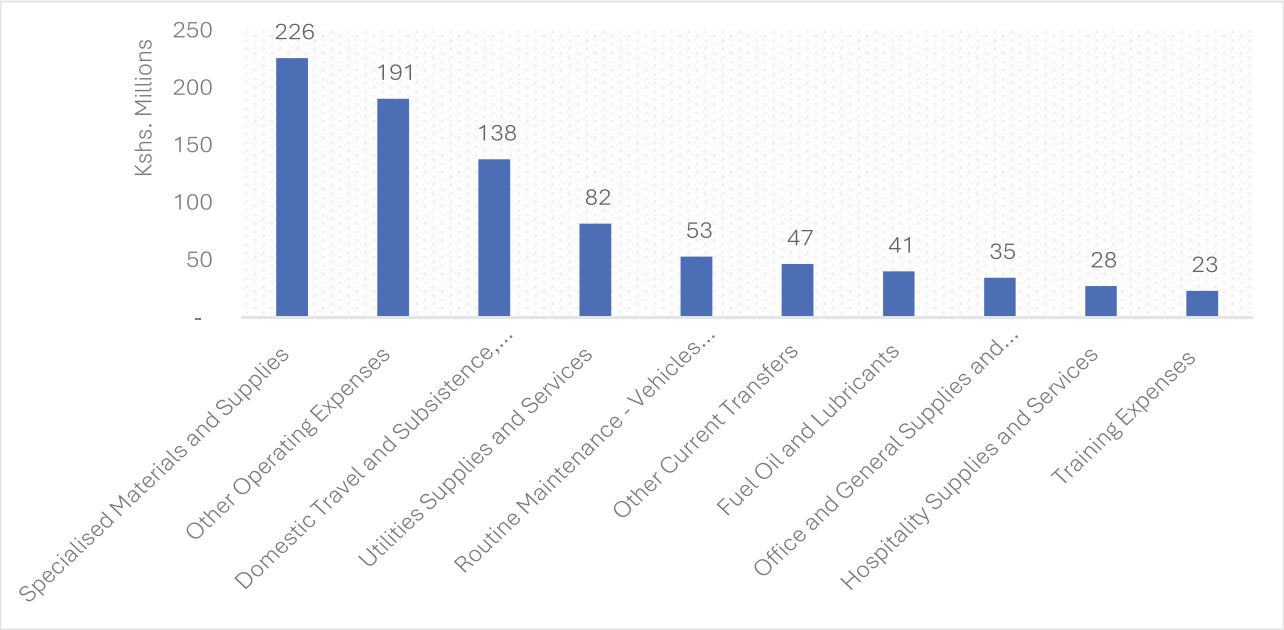
Further analysis indicated that PE costs totalling Kshs.2.63 billion were processed through the Human Resource Information System (HRIS).

The County Assembly spent Kshs.11.40 million on committee sitting allowances for the 33 MCAs against the annual budget allocation of Kshs.42.43 million. The average monthly sitting allowance was Kshs.37,270 per MCA. The County Assembly has 22 House Committees.

3.42.9 Expenditure on Operations and Maintenance

During the reporting period, the County spent Kshs.1.17 billion on operations and maintenance, representing a 29 per cent increase compared to the same period in FY 2024/25, when the County spent Kshs.903.10 million. Figure 3.252 illustrates the distribution of Operations and Maintenance expenditures across the major spending categories.

Figure 3.252: Trans Nzoia County, Operations and Maintenance Expenditure by Major Categories



Source: *Trans Nzoia County Treasury*

3.42.10 Unbundling "Other Operating Expenses" Under Operations and Maintenance Expenditures

The budget performance report for the first nine months of FY 2025/26 indicates that the County spent Kshs.127.93 million on "*other operating expenses*," which was 16 per cent of the total operations and maintenance expenditure of Kshs.1.17 billion. The disaggregated items under the "*Other Operating Expenses*" category are shown in Table 3.625.

Table 3.625: Breakdown of "Other Operating Expenses - Other" IFMIS Code 2211399 under O&M Expenditures

Code	Item	Budget (Kshs)	Expenditure (Kshs.)
2211399	Audit Committee Expenses and CBEF	4,000,000	1,447,000
2211399	Medical support to vulnerable (indigent) Groups - Natecare and 1 bag of Maize Programme	29,000,000	28,592,500
2211399	Other Operating Expenses - Other	110,927,538	97,893,786
	Total	**143,927,538**	**127,933,286**

Source: *Trans Nzoia County Treasury*

The county did not provide a breakdown of Other Operating Expenses -Other Amounting to Kshs.127.93 million therefore, the OCoB could not ascertain the specific expenditure.

3.42.11 County-Established Funds

Section 116 of the PFM Act 2012 allows County Governments to establish other public funds, subject to approval from the County Executive Committee and the County Assembly. The County allocated Kshs.80 million to County-Established funds in FY 2025/26, representing 1 per cent of the County's overall budget. Of this amount, the County allocated Kshs.40 million to the Emergency Fund in line with Section 110 of the PFM Act, 2012, accounting for 0.4 per cent of the total budget. Table 3.626 summarises each established Fund's budget allocation and performance during the reporting period.

Table 3.626: Performance of Trans Nzoia County Established Funds in the first nine months of FY 2025/26

S/No.	Name of the Fund	Year Established	Approved Budget Allocation in FY 2025/26 (Kshs.)	Exchequer Issues in the first nine months of FY 2025/26 (Kshs.)	Actual disbursements in the first nine months of FY 2025/26 (Kshs.)	Cumulative disbursements to the Fund (Kshs)	Submission of Financial Statements (Yes/No.)
		County Executive Established Funds					
1	Car Loan and Mortgage		25,000,000	-	-	Not provided	No
2	Elimu Bursary Fund		15,000,000	-	-	995,451,795	No
3	Nawiri Fund		-	-	-	84,000,000	No
4	Emergency Fund		40,000,000	20,000,000	20,000,000	20,000,000	No
		County Assembly Established Funds					
1	Car Loan and Mortgage Scheme Fund (Members and Staff	2014	-	-	-	313,738,212	Yes
	Total						

Source: *Trans Nzoia County Treasury*

During the reporting period, the CoB did not receive quarterly financial reports from the Car loan and mortgage, Elimu bursary Fund, Nawiri Fund, and Emergency fund from Fund Administrators, as indicated in Table 3.626, contrary to the requirement of Section 168 of the PFM Act, 2012.

Regulation 197(1)(i) of the Public Finance Management (County Governments) Regulations, 2015, allows County Governments to establish public funds with a lifespan capped at 10 years unless extended by the County Assembly. In FY 2025/26, the CoB determined that the lifespan of the Nawiri Fund and the Elimu bursary funds had lapsed. Consequently, the CoB did not approve any withdrawal requests to support the operations of the lapsed funds.

3.42.12 County Municipalities,Corporations, and other Agencies.

The County has Trans Nzoia County corporations, which were allocated Kshs.0 million in FY 2025/26. Their total expenditure for the review period amounted to Kshs.0 million, as shown in Table 3.627.

Table 3.627: Performance of Trans Nzoia County Corporations in the first nine months of FY 2025/26

S/No.	Name of the Corporation	Approved Budget Allocation in FY 2025/26 (Kshs.)	Exchequer Issues (Kshs.)	Actual Transfers in the first nine months of FY 2025/26 (Kshs.)	Cumulative Transfers to the Corporation since its inception (Kshs.)
	Trans Nzoia Water and Sewerage Company Ltd	-	-	-	14,500,000
	Total	**-**	**-**	**-**	**14,500,000**

Source: *Trans Nzoia County Treasury*

3.42.13 Expenditure on Domestic and Foreign Travel

Expenditure on domestic travel amounted to Kshs.150.24 million and comprised Kshs.103.05 million spent by the County Assembly and Kshs.47.19 million by the County Executive. Expenditure on foreign travel amounted to Kshs.17.12 million and comprised Kshs.17.12 million by the County Assembly and Kshs.0 million by the County Executive. Expenditure on foreign travel is summarised in Table 3.628.

Table 3.628: Summary of Expenditure on Foreign Travel in the first nine months of FY 2025/26

Arm of County Government	Number of Officers Travelled	Date travelled	Purpose of the travel	Destination	Actual Payment on Travel (a) (Kshs.)	Accrued Expenditure on Travel (b) (Kshs.)	Total Expenditure on Travel (c=a+b) (Kshs.)
County assembly	6	10/10-20/10/2025	Transformative Leadership and Effective Governance Programme.	Turkey	3,134,040		3,134,040
County assembly	1	28/06-05/07/2025	The Kenya Australia Chamber of Commerce Agricultural Forum.	Australia	301,860		301,860
County assembly	5	30/10-7/11/2025	Training Conference on Best Diplomats and Leadership program.	Turkey	2,611,700		2,611,700
County assembly	7	14/10-24/10/2025	Transformative Leadership and Effective Governance program for County Assemblies.	Turkey	3,580,850		3,580,850
County assembly	3	28/06-05/07/2025	The Kenya Australia Chamber of Commerce Agricultural Forum.	Australia	588,000		588,000
County assembly	2	5/10-11/11/2025	The Global Girl Leading Educational Conference Forum.	London	1,168,700		1,168,700
County assembly	3	10/11-20/11/2025	Transformative Leadership and Effective Governance program for county Assemblies.	Addis Ababa Ethiopia	1,384,110		1,384,110
County assembly	2	24/11-29/11/2025	Transformative Leadership and Effective Governance program for county Assemblies.	Addis Ababa Ethiopia	791,700		791,700
County assembly	28	various dates	air tickets	various destination	3,568,408		3,568,408
Total					**17,129,368**		**17,129,368**

Source: *Trans Nzoia County Treasury and Trans Nzoia County Assembly*

3.42.14 Facility Improvement Financing

During the review period, the County reported collections of Kshs.245.43 million as FIF, which was 89 per cent of the annual target of Kshs.275.02 million. The collected amount was retained and utilised at source in line with the Facility Improvement Financing Act, 2023. The County has developed regulations to operationalise the FIF Act of 2023.

The expenditure by the health facilities amounted to Kshs.178.26 million, as shown in Table 3.629.

Table 3.629: Trans Nzoia County Health Facilities Expenditure Performance in the first nine months of FY 2025/26

No.	Health Facility	Number of Facilities	Approved Budget (Kshs.)	Actual Expenditure (Kshs.)	Absorption rate (%)
1.	Level 4 Hospital	2	221,669,508	153,449,948	69
2.	Level 3 Facility	9	180,429,737	24,816,220	14
	Total		**402,099,245**	**178,266,168**	**44**

Source: *Trans Nzoia County Treasury*

3.42.15 Development Expenditure

In the review period, the County reported spending Kshs.1.60 billion on development programmes, representing a 31 per cent increase over FY 2024/25, when the County spent Kshs.1.22 billion. Table 3.630 summarises the development projects with the highest expenditure in the reporting period.

Table 3.630: Trans Nzoia County, List of Development Projects with the Highest Expenditure

No	Sector	Project Name	Project Location	Project Commencement Date	Expected date of Completion of the Project	Contract sum (Kshs)	Total Funding in FY 2025/26 (Kshs.)	Expenditure (on an accrual basis) in the first nine months of FY 2025/26 (Kshs.)	Cumulative project expenditure (on an accrual basis) as of 31st March 2026 (Kshs.)	Percentage (%) of Completion
County Funded Projects										
1	PSM	Proposed Construction of Trans Nzoia Headquarters	Trans Nzoia Headquarters	10/07/23	09/07/26	498,835,545	75,327,479	59,359,621	459,420,044	92
2	Trade, Commerce	Construction of CAIPS	Matisi ward	01/09/23	01/03/25	500,000,000	132,546,345	65,389,194	220,975,273	44
3	Gender-Sports Promotion	Proposed Construction & Rehabilitation of Kenyatta Stadium Phase 1A	Tuwan Ward	01/02/23	30/04/25	657,305,894	231,000,000	18,881,257	438,493,424	67
4	PSM	Proposed street lighting from the county commissioner's area to the referral hospital	KWTRH	01/07/25	30/06/26	17,998,444	17,998,444	17,998,444	17,998,444	100
5	Water	Dam Construction And Rehabilitation Service-Limuli-Sirende Ward	Sirende ward	01/07/25	30/06/26	6,662,290	6,662,290	6,662,290	6,662,290	100
6	Water	Robinson Dam Rehabilitation In Chepchoina Ward	Chepchoina ward	01/07/25	30/06/26	6,079,500	6,079,500	6,079,500	6,079,500	100%
7	Water	Equipping of boreholes at Chemosit/state lodge and Liyavo	Liyavo	01/07/25	30/06/26	5,700,000	5,700,000	5,700,000	5,700,000	100
8	Water	Sendera Chebirbei Primary Pipeline Extension-Endebess Ward	Endebess ward	01/07/25	30/06/26	4,824,300	4,824,300	4,824,300	4,824,300	100
9	Water	Dam Rehabilitation At Wamuini-Waitaluk Ward	Waitaluk ward	01/07/25	30/06/26	4,786,840	4,786,840	4,786,840	4,786,840	100
10	Roads	Routine maintenance of Aquinoe ECD-Mukuyu road 1	Mukuyu road	01/07/2025	30/06/26	4,582,932	4,582,932	4,582,840	4,582,840	100

Source: *Trans Nzoia County Treasury*

The County reported one stalled development project as of 31st March 2026, with an estimated value of Kshs.874 million, of which Kshs.794.52 million has already been paid. The stalled projects are shown in Table 3.631.

Table 3.631: Trans Nzoia County Stalled Projects as of 31st March 2026

No	Sector	Project Name	Project Location	Project Commencement Date	Expected Completion Date of the Project	Estimated Value of the Project (Kshs.)	Amount Paid on the stalled project (Kshs.)	Accrued Expenditure on the stalled project (Kshs.)	Outstanding Unpaid Balance As of 31st March 2026	Percentage of Completion before stalling of the Project	Reason for Project Stalling
1	Trade, Commerce	Completion of Kitale Business Centre	Matisi Ward	10/06/19	30/09/23	874,000,000	794,520,064	300,000,000	300,000,000	97	

Source: Trans Nzoia County Treasury

3.42.16 Budget Performance by Department

Table 3.632 summarises the approved budget allocation, expenditure, and absorption rate by department for the period under review.

Table 3.632: Trans Nzoia County, Budget Allocation and Absorption Rate by Department in the first nine months of FY 2025/26

Department	Revised Budget Allocation (Kshs.Million)		Exchequer Received (Kshs.Million)		Expenditure (Kshs.Million)		Expenditure to Exchequer (%)		Absorption rate (%)	
	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev
Agriculture and Irrigation	255.98	396.25	119.46	150.23	119.46	150.23	100.0	100.0	47	38
Livestock and Cooperative	5.23	143.08	3.35	59.17	3.35	59.17	100.0	100.0	64	41
Trade and Industrialization	57.21	158.55	36.94	35	36.94	35	100.0	100.0	65	22
Water and Environment	61.88	361.85	46.37	295.38	46.37	295.38	100.0	100.0	75	82
Public Works and Energy	120.56	31.50	87.35	4.17	87.35	4.17	100.0	100.0	72	13
Roads and infrastructure	73.66	603.42	57.12	381.82	57.12	381.82	100.0	100.0	78	63
Health and Sanitation	2,512.94	164.50	1,727.46	44.56	1,727.46	44.56	100.0	100.0	69	27
Lands and Housing	56.69	27.48	27.63	-	27.63	-	100.0	-	49	-
Municipal Board	29.26	97.70	20.39	38.37	20.39	38.37	100.0	100.0	70	39
Gender and Youth	75.54	371.63	56.11	273.86	56.11	273.86	100.0	100.0	74	74
Governance	161.06	-	158.03	-	158.03	-	100.0	-	98	-
Public Service Management	602.75	565.83	221.55	100.06	221.55	100.06	100.0	100.0	37	18
County Public Service Board	97.44	-	55.19	-	55.19	-	100.0	-	57	-
Education and ICT	608	130.16	347.56	74.84	347.56	74.84	100.0	100.0	57	58
Finance	796.65	612.36	428.66	137.88	428.66	137.88	100.0	100.0	54	23
Economic Planning	24.03	2.73	8.29	-	8.29	-	100.0	-	34	-
County Attorney	46.97	-	18.11	-	18.11	-	100.0	-	39	-
County Assembly	664.76	-	377.74	-	377.74	-	100.0	-	57	-
Total	**6,250.62**	**3,667.04**	**3,797.31**	**1,595.36**	**3,797.31**	**1,595.36**	**100.0**	**100.0**	61	44

***Source**: Trans Nzoia County Treasury*

Analysis of expenditure by departments shows that the Department of Water and Environment recorded the highest absorption rate of development budget at 82 per cent, followed by the Department of Gender and Youth at 74 per cent. The Department of Governance had the highest percentage of recurrent expenditure to budget at 98 per cent, while the Department of Economic Planning had the lowest at 34 per cent.

3.42.17 Budget Execution by Programmes and Sub-Programmes

Budget execution was concentrated in selected performance bands. In the 1–10 per cent band, development absorption was reported at 0 per cent for administrative and support services under the Department of Lands, Housing and Urban Planning and for county development planning services under the Department of Economic Planning. In the 11–20 per cent band, development absorption was reported for maintenance of roads under the Department of Public Works at 13 per cent and for supervision and management of projects under the Department of Public Service Management at 18 per cent.

In the 21–30 per cent band, development absorption was reported for medium and small enterprises under the Department of Trade, Commerce and Industry at 22 per cent. In the 31–40 per cent band, recurrent absorption was reported for administrative and support services under the Department of Economic Planning at 35 per cent, under the Department of Public Service Management at 37 per cent, and under the Department of County Attorney at 39 per cent.

In the 41–50 per cent band, development absorption was reported for post-harvest management and value addition under the Department of Agriculture, Livestock at 41 per cent, while recurrent absorption was recorded for administrative and support services under the Department of Agriculture, Livestock at 47 per cent and under the Department of Lands, Housing and Urban Planning at 49 per cent.

In the 51–60 per cent band, development absorption was reported for vocational training development under the Department of Education and ICT at 58 per cent. In the 61–70 per cent band, development absorption was reported for administrative and support services under the Department of Roads and Infrastructure at 63 per cent. In the 71–80 per cent band, development absorption was reported for culture development under the Department of Gender, Sports, Culture and Tourism at 74 per cent, while recurrent absorption was recorded for administrative and support services under the Department of Roads and Infrastructure at 78 per cent, under the Department of Water, Environment and Natural Resources at 75 per cent, under the Department of Gender, Sports, Culture and Tourism at 74 per cent, and under the Department of Public Works at 73 per cent. In the 81–90 per cent band, development absorption reached 82 per cent for waste management under the Department of Water, Environment and Natural Resources. In the 90–100 per cent band, recurrent absorption reached 98 per cent for administrative and support services under the Department of Governance.

Low absorption in the lower performance bands reflected nil and slow implementation across lands, economic planning, roads maintenance, public service projects and trade sub-programmes. Conversely, performance in the higher bands reflected the prioritisation of the respective sub-programmes during the review period.

Table 3.633 summarises budget execution by programmes and sub-programmes in the period under review with the highest absorption rates.

Table 3.633: Budget Execution by Programmes and Sub-Programmes with Highest Absorption Rates

Programme	Sub-Programme	Gross Approved Estimates FY 2025/26 (Kshs.)	Expenditure (including accrued expenditure) as of 31st March 2026 (Kshs.)	Absorption Rate (%)
DEVELOPMENT				
Water, Environment and Natural Resources				
Environment management and protection	Waste Management	361,851,915	295,383,455	82
Gender, Sports, Culture and Tourism				
Culture development and promotion	Culture development	371,625,445	273,859,416	74
Roads and Infrastructure				
Administrative And Support Services	Administrative And Support Services	603,422,785	381,823,780	63
Education and ICT				
Vocational Training Development	Vocational Training Development	130,156,226	74,841,849	58
Agriculture, Livestock				

Programme	Sub-Programme	Gross Approved Estimates FY 2025/26 (Kshs.)	Expenditure (including accrued expenditure) as of 31st March 2026 (Kshs.)	Absorption Rate (%)
Crop Development	Post-harvest management and value addition	143,077,772	59,173,933	41
RECURRENT				
Governance				
Administrative And Support Services	Administrative And Support Services	161,062,720	158,029,418	98
Roads and Infrastructure				
Administrative And Support Services	Administrative And Support Services	73,664,000	57,119,890	78
Water, Environment and Natural Resources				
Administrative And Support Services	Administrative And Support Services	61,875,262	46,368,425	75
Gender, Sports, Culture and Tourism				
Administrative And Support Services	Administrative And Support Services	75,536,308	56,113,077	74
Public Works				
Administrative And Support Services	Administrative And Support Services	120,558,725	87,354,187	73

Source: *Trans Nzoia County Treasury*

The development sub-programmes with the highest budget implementation rates were: Waste Management in the Department of Water, Environment and Natural Resources at 82 per cent, Culture development in the Department of Gender, Sports, Culture and Tourism at 74 per cent, and Administrative and Support Services at 63 per cent.

For recurrent sub-programmes, the top performers included: Administrative and Support Services in the Department of Governance at 98 per cent, Administrative and Support Services in the Department of Roads and Infrastructure at 78 per cent, and Administrative and Support Services in the Department of Water, Environment and Natural Resources at 75 per cent.

Table 3.634 summarises the budget execution by programmes and sub-programmes in the period under review that had the lowest absorption rates.

Table 3.634: Budget Execution by Programmes and Sub-Programmes with Lowest Absorption Rates

Programme	Sub-Programme	Gross Approved Estimates FY 2025/26 (Kshs.)	Expenditure (including accrued expenditure) as of 31st March 2026 (Kshs.)	Absorption Rate (%)
DEVELOPMENT				
Lands, Housing and Urban Planning				
Administrative and Support Services	Administrative and Support Services	27,484,073	-	-
Economic Planning				
County Research and Development Planning	County Development Planning Services	2,733,421	-	-
Public Works				
Road Construction and Road Maintenance	Maintenance of Roads	31,500,000	4,173,120	13
Public Service Management				
Infrastructure Development	Supervision and Management of Projects	565,826,003	100,061,747	18
Trade, Commerce and Industry				
Medium and small Enterprises	Medium and small Enterprises	158,546,345	35,000,000	22

Programme	Sub-Programme	Gross Approved Estimates FY 2025/26 (Kshs.)	Expenditure (including accrued expenditure) as of 31st March 2026 (Kshs.)	Absorption Rate (%)
RECURRENT				
Economic Planning				
Administrative and Support Services	Administrative and Support Services	24,034,962	8,287,618	35
Public Service Management				
Administrative and Support Services	Administrative and Support Services	602,749,118	221,547,664	37
County Attorney				
Administrative and Support Services	Administrative and Support Services	46,970,000	18,112,083	39
Agriculture, Livestock				
Administrative and Support Services	Administrative and Support Services	261,212,137	122,801,358	47
Lands, Housing and Urban Planning				
Administrative and Support Services	Administrative and Support Services	56,690,942	27,630,313	49

Source: *Trans Nzoia County Treasury*

The development sub-programmes with the lowest budget implementation rates were as follows: Administrative and Support Services in the Department of Lands, Housing and Urban Planning at 0 per cent, County Development Planning Services in the Department of Economic Planning at 0 per cent, and Maintenance of Roads at 13 per cent.

For recurrent sub-programmes, the poorest performers included: Administrative and Support Services in the Department of Economic Planning at 35 per cent, Administrative and Support Services in the Department of Public Service Management at 37 per cent, and Administrative and Support Services in the Department of County Attorney at 39 per cent.

3.42.18 Settlement of Trade Payables

As of 1st July 2025, the County reported trade payables totalling Kshs.2.57 billion. This amount consisted of Kshs.2.57 billion from the County Executive only. The trade payables from the County Executive comprised Kshs.1.08 billion for recurrent expenditure and Kshs.1.49 billion for development expenditure.

During the reporting period, the County Executive settled trade payables amounting to Kshs.816.61 million, comprising Kshs.277.53 million (34 per cent) for recurrent programmes and Kshs.539.07 million (66 per cent) for development programmes. On the other hand, the outstanding trade payables as of 31st March 2026 were Kshs.1.75 billion for the County Executive and Kshs.0 million for the County Assembly.

Table 3.635 provides additional details of trade payables.

Table 3.635: Trans Nzoia County Trade Payables as of 31st March 2026

		County Entity	Development (Kshs.)	Recurrent (Kshs.)	Total (Kshs.)
As at 1 July 2025 (End of FY 2024/25)	a	County Executive	1,486,134,308	1,083,865,222	**2,569,999,530**
		County Assembly	-	-	**-**
		Total	**1,486,134,308**	**1,083,865,222**	**2,569,999,530**
Trade payables scheduled to be settled in the first nine months of FY 2025/26 per the action plan	b	County Executive	1,111,707,169	761,488,893	**1,873,196,062**
		County Assembly			**-**
		Total	1,111,707,169	761,488,893	1,873,196,062

		County Entity	Development (Kshs.)	Recurrent (Kshs.)	Total (Kshs.)
Amount paid in the first nine months of FY 2025/26	c	County Executive	539,072,512	277,534,954	**816,607,466**
		County Assembly	-	-	**-**
		Total	**539,072,512**	**277,534,954**	**816,607,466**
Trade Payables Incurred in the First Nine Months of FY 2025/26	d	County Executive	**-**	**-**	**-**
		County Assembly	**-**	**-**	**-**
		Total	**-**	**-**	**-**
Outstanding trade payables as of 31st March 2026	**e=a-c*b**	**County Executive**	**947,061,797**	**806,330,268**	**1,753,392,065**
		County Assembly	**-**	**-**	**-**
		Total	**947,061,797**	**806,330,268**	**1,753,392,065**

Source: *Trans Nzoia County Treasury*

The County Executive submitted a trade payables payment plan, committing to pay Kshs.761.49 million and Kshs.1.11 billion on recurrent and development expenditure, respectively, in FY 2025/26. The County did not adhere to this payment plan, as it cleared Kshs.816.61 million for the Executive.

Table 3.636 present the ageing of the total outstanding bills as of 31st March 2026 for the County Executive and Assembly, which were Kshs.1.75 billion.

Table 3.636: Trans Nzoia County Executive Trade Payables Ageing Analysis as of 31st March 2026

Category	Ageing analysis (Amount in Kshs.)				Total
	Under one year	1-2 years	2-3 years	Over 3 years	
Development Trade Payables	**244,645,773**	**498,462,847**	**157,087,167**	**46,866,010**	**947,061,797**
Recurrent Trade Payables (Goods & Services)	163,495,979	225,842,190	47,767,236	24,873,763	**461,979,168**
Recurrent Trade Payables (Salary Arrears and Statutory Deductions)	77,571,923	105,889,301	33,920,012	126,969,864	**344,351,100**
Recurrent Trade Payables (Staff Claims)	-	-	-	-	**-**
Total Recurrent Trade Payables	**241,067,902**	**331,731,491**	**81,687,248**	**151,843,627**	**806,330,268**
Total Trade Payables	**485,713,675**	**830,194,338**	**238,774,415**	**198,709,637**	**1,753,392,065**
% of Total	**28**	**47**	**14**	**11**	**100**

Source: *Trans Nzoia County Treasury*

3.42.19 General Observations and Recommendations

In the course of overseeing and reporting on the implementation of the Trans Nzoia County budget, the CoB identified the following challenges, which hampered effective budget implementation;

i. The County Treasury's late submission of financial reports to the Controller of Budget affected the timely preparation of the budget implementation report, which was received on 22nd April 2026
ii. Low development performance in the review period as the County incurred Kshs.1.60 billion on development activities, achieving a 44 per cent absorption rate.
iii. Regulation 197(1)(i) of the Public Finance Management (County Governments) Regulations, 2015, limits the lifespan of public funds to 10 years unless extended by the County Assembly. As of 31st March 2026, the lifespan of the Nawiri Fund and the Elimu Burasry Fund had lapsed, making them ineligible for further withdrawals.
iv. Fund Administrators failed to submit quarterly financial and non-financial reports to the CoB within the timelines provided by law, which is against the requirement of Section 168 of the PFM Act, 2012. The reports for all the Funds were not submitted to the CoB as of 15 April 2026.
v. High level of trade payables, which amounted to Kshs.1.75 billion as of 31st March 2026. Furthermore, the County Treasury did not adhere to the trade payables payment plan.
vi. Non-submission of copies of authorisation letters for opening commercial bank accounts as per

Regulation 82(5) of the Public Finance Management (County Governments) Regulations, 2015.

The County should implement the following recommendations to improve budget execution:

i. *The County Treasury should ensure the timely preparation and submission of financial reports to the Controller of Budget per the timelines prescribed in Section 166 of the PFM Act, 2012.*
ii. *The County should implement strategies to increase development expenditures in FY 2025/26.*
iii. *The County should ensure timely review and extension of public funds whose lifespans are nearing expiration or have lapsed to prevent operational disruptions. Additionally, any expenditure from lapsed funds should cease immediately, and legal mechanisms should be followed to re-establish or wind up such funds in compliance with the Public Finance Management Act.*
iv. *The CECMF should follow up to ensure Fund Administrators prepare and submit statutory reports in line with the PFM Act, 2012.*
v. *The County Leadership should address the situation of trade payables to ensure that genuine bills are paid promptly in the remaining financial year. Further, compliance with the Trade Payables Action Plan should be enforced.*
vi. *The County Treasury should ensure it submits copies of authorisation letters to the CoB for opening commercial bank accounts to enhance accountability and oversight.*

3.43. County Government of Turkana

3.43.1 Overview of FY 2025/26 Budget

The Turkana County Approved Supplementary Budget for FY 2025/26 is Kshs.19.91 billion. It comprises Kshs.7.60 billion (38 per cent) and Kshs.12.30 billion (62 per cent) allocation for development and recurrent programmes, respectively. The budget estimates represent an increase of Kshs.2.69 billion (16 per cent) from the FY 2024/25 budget, which comprised a development budget of Kshs.6.64 billion and a recurrent budget of Kshs.10.57 billion.

The budget is to be financed from various revenue sources. These include: the equitable share of revenue raised nationally of Kshs.13.89 billion (70 per cent), additional allocations of Kshs.3.35 billion (17 per cent), a cash balance of Kshs.1.26 billion (7 per cent) brought forward from FY 2024/25, and Kshs.1.2 billion (6 per cent) generated as own-source revenue. A breakdown of the additional allocations is shown in Table 3.637.

3.43.2 Revenue Performance

During the first nine months of FY 2025/26, the County reported total revenues amounting to Kshs.11.35 billion. This amount represented a decrease of 3 per cent compared to the amount received in a similar period in FY 2024/25 of Kshs.11.76 million. The total revenue consisted of Kshs.9.24 billion from the equitable share of revenue raised nationally, additional allocations from the national government and development partners of Kshs.693.16 million, and the own-source revenue (OSR) collection of Kshs.162.92 million. Additionally, the County had a cash balance of Kshs.1.26 billion from FY 2024/25. The total OSR collection of Kshs.162.92 million included Facilities Improvement Financing (FIF) of Kshs.19.88 million.

Table 3.637 summarises the total revenue available to the County Government during FY 2025/26.

Table 3.637: Turkana County, Revenue Performance in the first nine months of FY 2025/26

No	Revenue Stream	Annual Targeted Revenue (Kshs.)	Actual Receipts (Kshs.)	Receivables in the first nine months of FY 2025/26 (Kshs.)	Total Revenues (in accrual basis) in the first nine months of FY 2025/26 (Kshs.)	Revenue Performance
		A	B	C	D	F=D/A*100
A	**Unspent Balance from FY 2023/24**					
1	Balance at CRF	1,254,828,087	1,254,828,087	-	1,254,828,087	100
2	County Executive Refunds to CRF	169,816	169,816	-	169,816	100

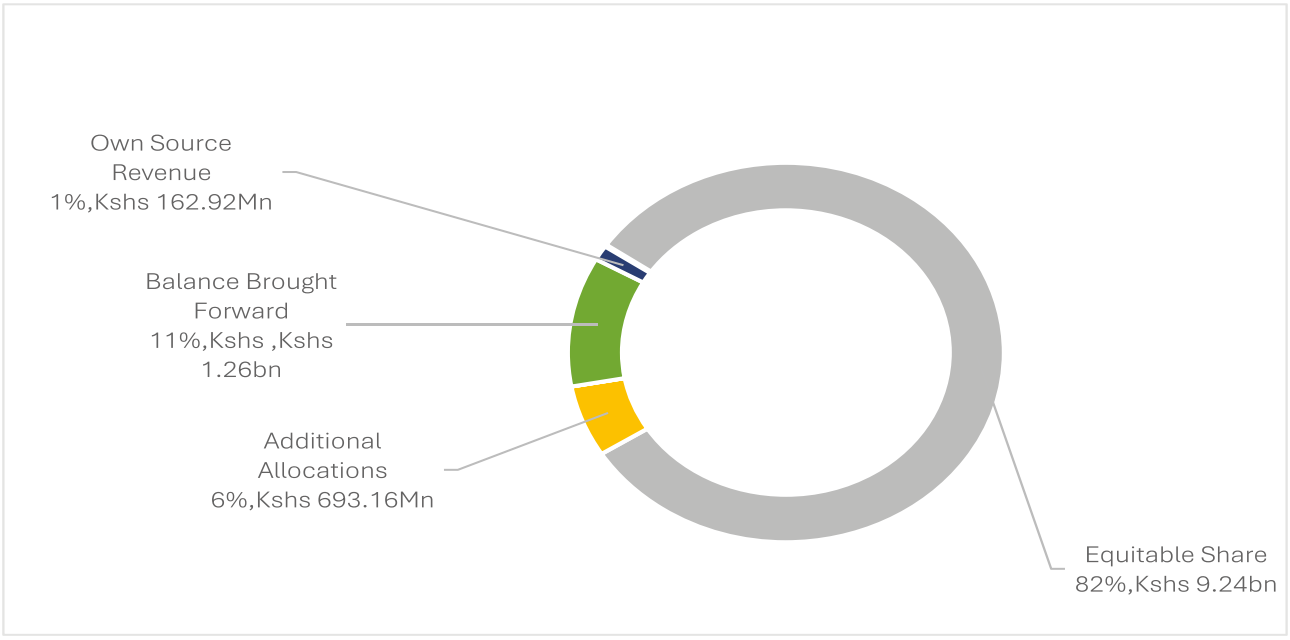
No	Revenue Stream	Annual Targeted Revenue (Kshs.)	Actual Receipts (Kshs.)	Receivables in the first nine months of FY 2025/26 (Kshs.)	Total Revenues (in accrual basis) in the first nine months of FY 2025/26 (Kshs.)	Revenue Perfor-mance
		A	B	C	D	F=D/A*100
3	County Assembly Refunds to CRF	57,687	57,687	-	57,687	100
	Sub-Total	**1,255,055,590**	**1,255,055,590**		**1,255,055,590**	**100**
B	**Equitable Share of Revenue Raised Nationally**	**13,892,577,371**	**9,238,563,949**	**-**	**9,238,563,949**	67
1						
	Sub-Total	**13,892,577,371**	**9,238,563,949**	**-**	**9,238,563,949**	**67**
3	**Conditional Allocations from Loans and Grants**					
1	Financing Locally Lead Climate Action (FLLoCA)	350,000,000	205,925,609	-	205,925,609	
2	K-WASH	200,000,000	-	-	-	
3	Drought Resilience Programme in Northern Kenya(DRPNK)	696,652,000	110,059,820	-	110,059,820	
4	Food System Resilience Pro-gramme (FSRP)	251,153,846	60,642,262	-	60,642,262	
5	Agricultural Sector Development Support Programme(ASDSP/KADP)	11,000,000		-	-	
6	ELRP(Emergency Locust Response Project	142,500,000		-	-	
7	Kenya Urban Support Programme (KUSP) II UIG	28,400,000		-	-	
8	Window for Host & Refugees(WHR) UIG	70,000,000		-	-	
9	Kenya Urban Support Programme (KUSP) II UDG- Lodwar	174,734,820	80,419,269	-	80,419,269	
10	Window for Host & Refugees (WHR) UDG- Kakuma	716,242,240		-	-	
11	DANIDA (Primary Health Care for facilities Level 2 & 3)	43,206,750		-	-	
12	DANIDA (Level 1)	15,984,000		-	-	
13	KDSP II LEVEL I	37,500,000		-	-	
14	KDSP II LEVEL II	352,500,000	35,253,471	-	35,253,471	
15	Kenya Urban Support Programme (KUSP) II UDGLodwar FY 2024/25 Balance	62,725,320	200,859,850	-	200,859,850	
16	KDSP 11 LEVEL 1 FY. 2024/25 Balance	37,500,000		-	-	
17	RMLF 2024/25 Balance	163,815,927		-	-	
...						
	Sub-Total	**3,353,914,903**	**693,160,281**	**-**	**693,160,281**	**21**
E	**Ordinary Own Source Revenue (OSR)**					
1	Single Business Permits	90,000,000	32,147,963	-	32,147,963	36
2	Cess	115,000,000	62,384,458	-	62,384,458	54
3	Market Fees	25,000,000	4,044,720	-	4,044,720	16
4	Advertisement	25,000,000	1,760,960	-	1,760,960	7
5	Parking Fees	10,000,000	2,014,630	-	2,014,630	20
6	Land Survey/Rates	100,000,000	2,711,744	-	2,711,744	3

No	Revenue Stream	Annual Targeted Revenue (Kshs.)	Actual Receipts (Kshs.)	Receivables in the first nine months of FY 2025/26 (Kshs.)	Total Revenues (in accrual basis) in the first nine months of FY 2025/26 (Kshs.)	Revenue Perfor-mance
		A	B	C	D	F=D/A*100
7	Property Rent	5,000,000	4,352,045	-	4,352,045	87
8	Public Health Services	15,000,000	1,119,000	-	1,119,000	7
9	Administration Control Fees and Charges	26,200,000	4,347,500	-	4,347,500	17
10	Other Fees and Penalties and Forfeitures	8,000,000	14,422,056	-	14,422,056	180
11	Park Fees	3,500,000	60,420	-	60,420	2
12	Conservancy Administration	63,000,000	11,596,230	-	11,596,230	18
13	Hospital Fees(FIF)			-	-	-
14	Hire of County Assests	105,000,000	1,849,768	-	1,849,768	2
15	Physical Planning and Develop-ment	2,300,000	231,000	-	231,000	10
16	Miscellaneous Receipts	7,000,000		-	-	-
	Sub-Total	**600,000,000**	**143,042,494**	**-**	**143,042,494**	**24**
F	**Facility Improvement Fund/Fi-nancing (FIF)**					
1	SHIF	350,000,000	16,313,793	-	16,313,793	5
2	Other insurances	100,000,000	3,561,490	-	3,561,490	4
3	Lokitaung sub-county hospital	150,000,000		-	-	
4						
...						
	Sub-Total	**600,000,000**	**19,875,283**	**-**	**19,875,283**	3
	Total	**19,906,285,687**	**11,349,697,596**	**-**	**11,349,697,596**	**58**

Source: *Turkana County Treasury*

Figure 3.253 provides a detailed breakdown of receipts.

Figure 3.253: Turkana County Composition of Revenue in the first nine months of FY 2025/26

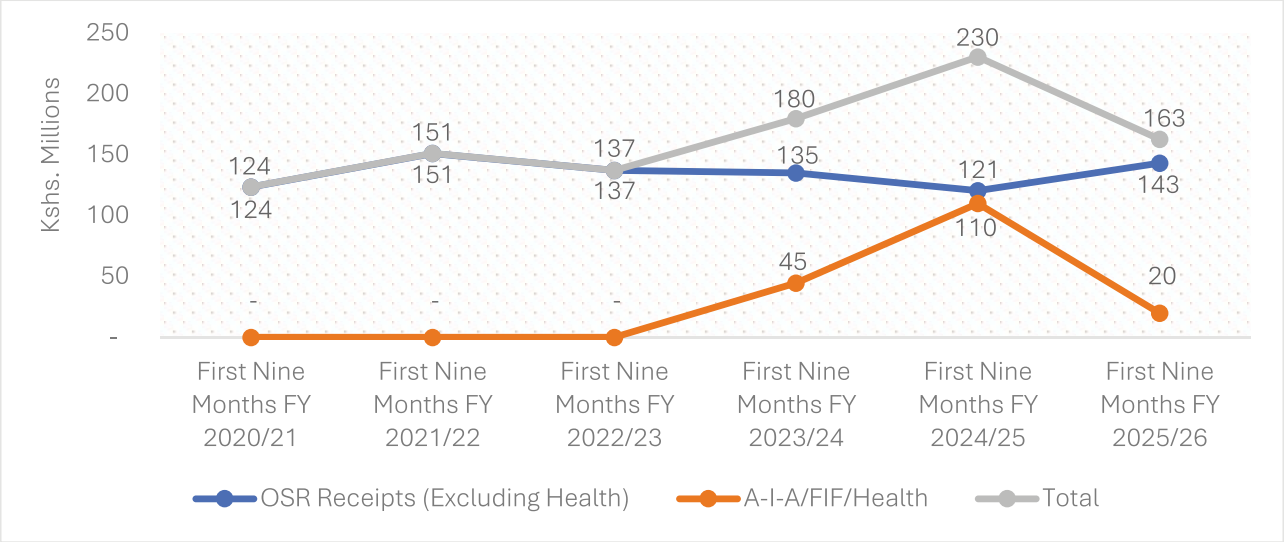


Source: *Turkana County Treasury*

The equitable share of revenue raised nationally, Balance brought Forward , and Additional Allocations contributed 81 per cent, 11 per cent and 6 per cent, respectively, of the total receipts for the reporting period.

Figure 3.254 shows the collection trend in own-source revenue from the first nine months of FY 2020/21 to the first nine months of FY 2025/26.

Figure 3.254: Turkana County Trend in Own-Source Revenue Collection from the first nine months of FY 2020/21 to the first nine months of FY 2025/26

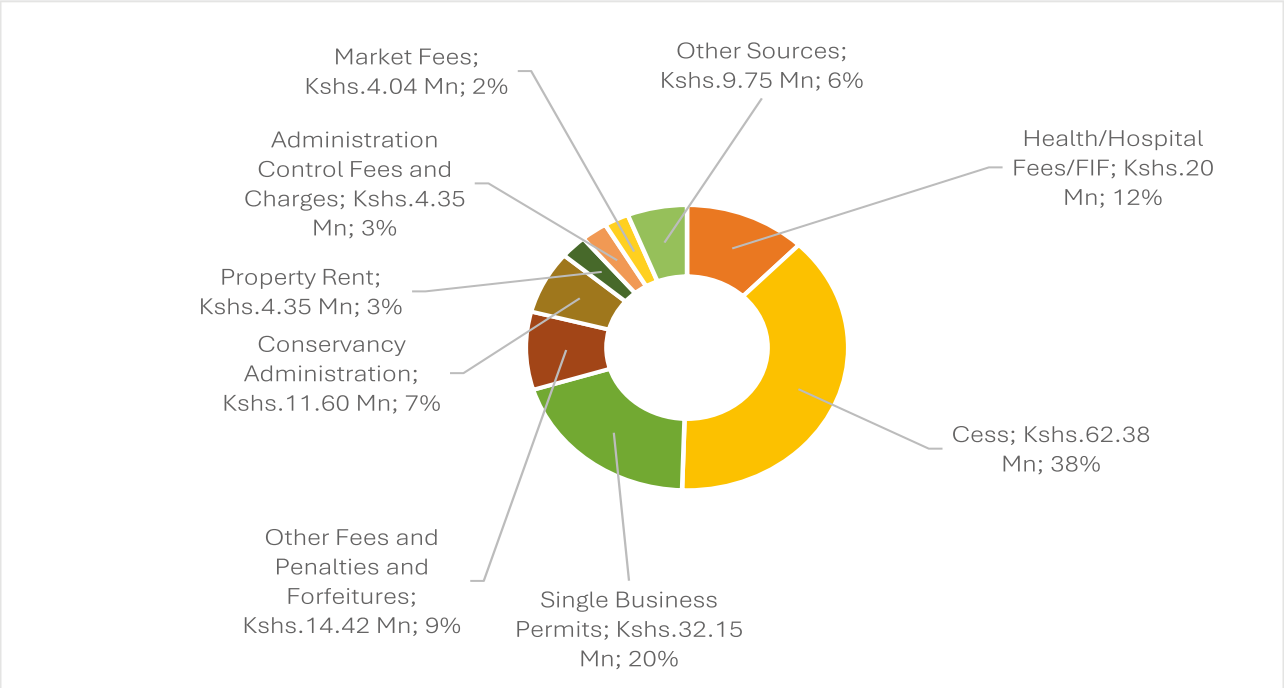


Source: *Turkana County Treasury*

During the first nine months of FY 2025/26, the County received Kshs.162.92 million from OSR, including FIF. This amount was a decrease of 29 per cent compared to Kshs.230.48 million realised in a similar period in FY 2024/25, and was 14 per cent of the annual target and 2 per cent of the equitable revenue share disbursed.

The decrease in OSR was attributed to low economic activities in the County. The revenue streams that contributed the most to OSR receipts are shown in Figure 3.255.

Figure 3.255: Turkana County Top Own Source Revenue Streams in the first nine months of FY 2025/26



Source: Turkana County Treasury

As shown in Figure 3.255, the largest revenue stream, at Kshs.62.38 million, was cess, accounting for 38 per cent of total OSR receipts. The County Government indicated that it has automated 20 of 22 revenue streams. Facility Improvement Financing (FIF) refers to the FIF Act 2023, passed by the Senate, and the localised Turkana County Facility Improvement Financing Bill 2025 (passed by the County Assembly). It allows public health facilities to collect, retain, and directly use their own-source revenue (user fees, SHIF reimbursements, etc.) for operational costs, maintenance, repairs, commodities, and minor improvements, rather than remitting all revenue to the County Treasury.

3.43.3 Revenue Receivables

As of 1st July 2025, the County had not reported any receivables, even as of 31st March 2026.

3.43.4 Borrowing by the County

Turkana County Executive/ Assembly did not report any borrowing during the period under review.

3.43.5 Withdrawals from the County Revenue Fund and County Assembly Fund

During the reporting period, the Controller of Budget approved exchequer withdrawal requests totalling Kshs.11.47 billion from the Turkana County Revenue Fund (CRF) account. This amount consisted of Kshs.2.63 billion (23 per cent) designated for development programs and Kshs.8.84 billion (77 per cent) allocated for recurrent programs.

An analysis of the released recurrent exchequers shows that Kshs.4.60 billion was allocated to employee compensation and Kshs.4.24 billion to operations and maintenance expenditures. Within the operations and maintenance category, 5 per cent was for domestic travel and 0.1 per cent for foreign travel. The domestic travel exchequers totalled Kshs.194.22 million, which included Kshs.102.22 million for the County Executive and Kshs.92 million for the County Assembly. Meanwhile, the foreign travel exchequers amounted to Kshs.4.30 million for the County Executive only.

As of 31st March 2026, the County Government's cash balance in the Turkana CRF account was Kshs.1.72 billion.

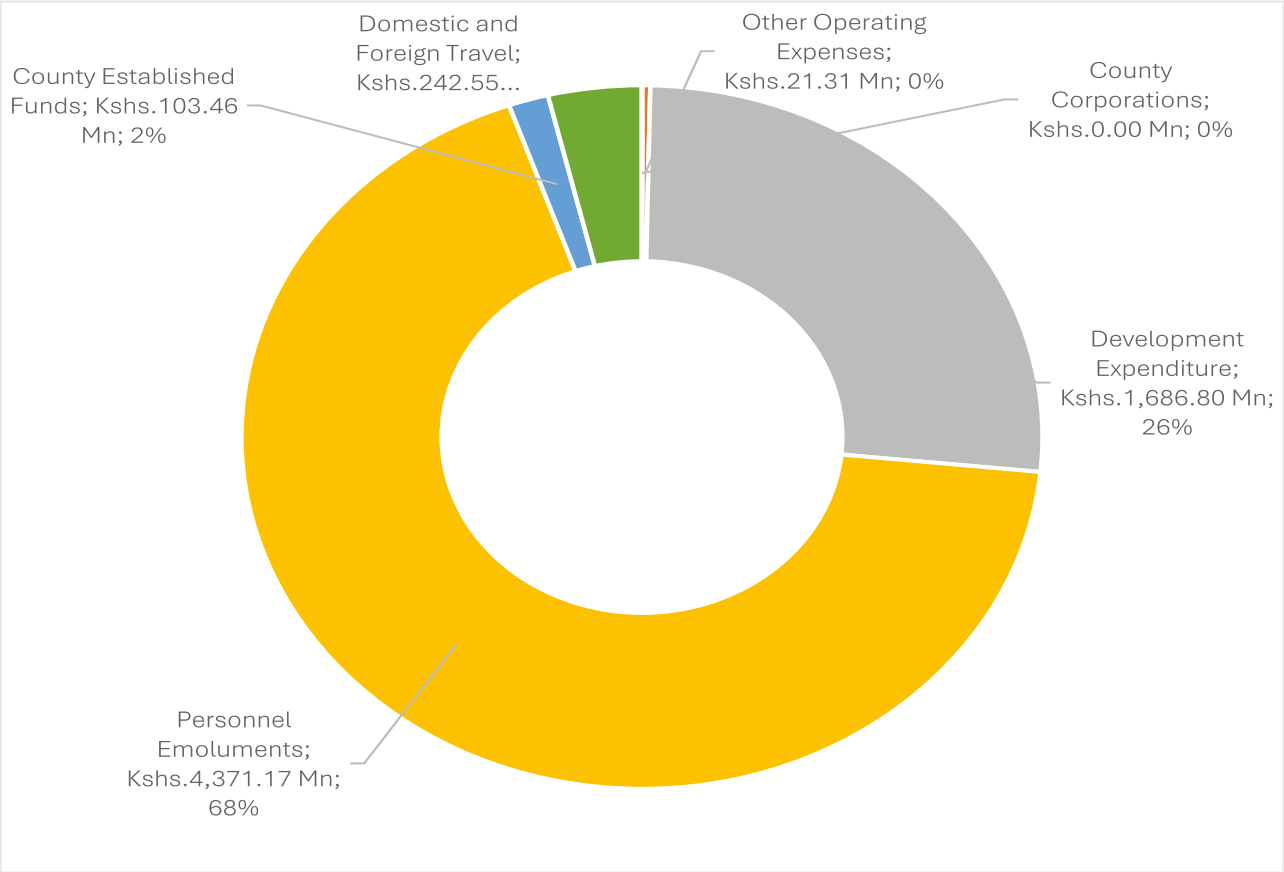
The Turkana County had not operationalised the County Assembly fund as of 31st March,2026 .

3.43.6 Expenditure Review

The County spent Kshs.8.94 billion on development and recurrent programmes during the reporting period. The expenditure represented 78 per cent of the total funds released by the CoB. It comprised Kshs.1.69 billion for development programmes and Kshs.7.25 billion for recurrent programmes. Expenditure on development programmes accounted for 22 per cent of the annual development expenditure budget, while recurrent expenditure accounted for 59 per cent of the annual recurrent expenditure budget.

Figure 3.256 provides a detailed breakdown of total expenditure.

Figure 3.256: Turkana County Composition of Expenditure in the first nine months of FY 2025/26



Source: Turkana *County Treasury*

As shown in Figure 3.256, the three highest expenditure categories were personnel Emoluments, Development expenditure, and Domestic and foreign travel, contributing 68, 26, and 4 per cent of the total expenditure for the reporting period.

3.43.7 Expenditure by Economic Classification

The County Executive incurred Kshs.4.04 billion in employee compensation, Kshs.2.62 billion in operations and maintenance, and Kshs.1.69 billion in development activities. Similarly, the County Assembly spent Kshs.366.10 million on compensation of employees, Kshs.224.76 million on operations and maintenance, and nothing on development activities, as shown in Table 3.638.

Table 3.638: Turkana County Summary of Budget and Expenditure by Economic Classification

Expenditure Classification		Total Recurrent Expenditure	Compensation of Employees	Operations and Maintenance	Development Expenditure	Total
Approved Budget (Kshs.) (a)	**Executive**	**11,420,016,335**	5,410,968,612	6,009,047,723	**7,532,426,470**	**18,952,442,805**
	Assembly	**883,842,882**	419,455,731	464,387,151	**70,000,000**	**953,842,882**
Amount Paid in the first nine months of FY 2025/26 (Kshs.) (b)	**Executive**	**6,665,020,559**	4,044,532,448	2,620,488,111	**1,686,803,642**	**8,351,824,201**
	Assembly	**453,460,269**	326,642,394	126,817,875	**-**	**453,460,269**
Expenditure Accrued in the first nine months of FY 2025/26 (Kshs.) (c)	**Executive**	**-**	-	-	**-**	**-**
	Assembly	**137,402,248**	39,457,706	97,944,542	**-**	**137,402,248**
Total Expenditure in the first nine months of FY 2025/26 (Kshs.) (d=b+c)	**Executive**	**6,665,020,559**	4,044,532,448	2,620,488,111	1,686,803,642	**8,351,824,201**
	Assembly	**590,862,517**	366,100,100	224,762,417	**-**	**590,862,517**
Absorption (%) (d/a*100)	**Executive**	**58**	75	44	**22**	**44**
	Assembly	**67**	87	48	**-**	**62**

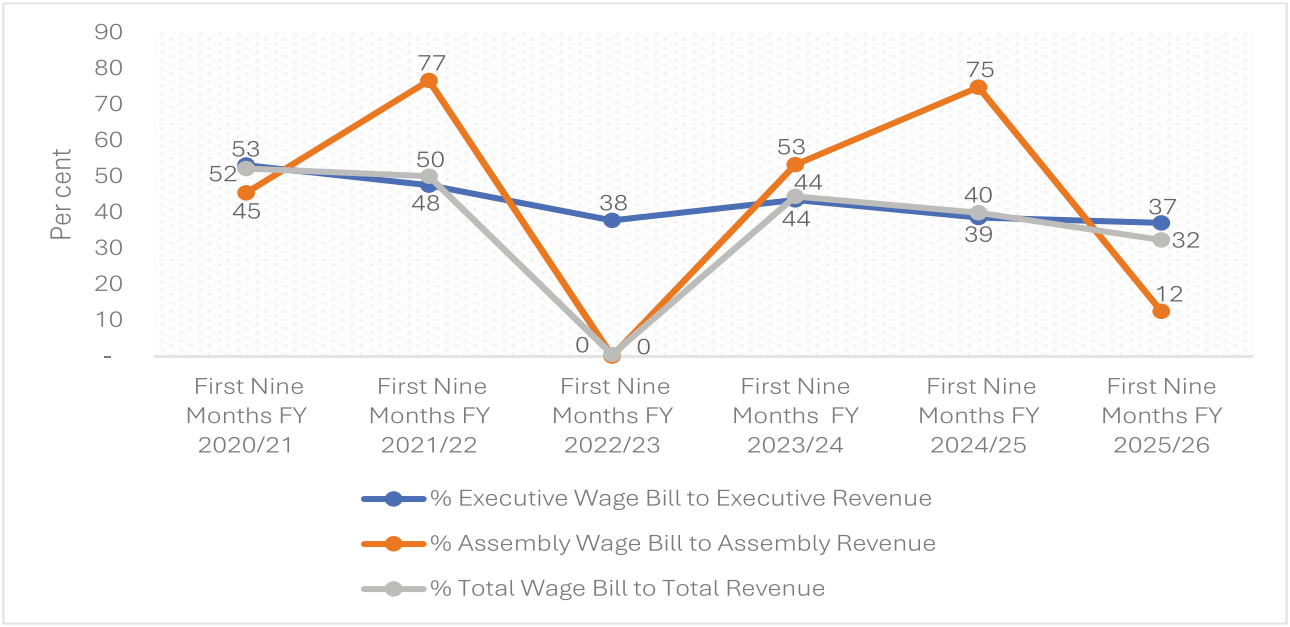
***Source**: Turkana County Treasury*

3.43.8 Expenditure on Employee Compensation

The expenditure on employee compensation totalled Kshs.4.41 billion, representing 38 per cent of revenue. This expenditure on employee compensation shows. an increase compared to the Kshs.4.39 billion reported in a similar period in FY 2024/25. Of this total, Kshs.2.22 billion related to Health Sector employees, accounting for 50 per cent of the overall employees' compensation.

Figure 3.257 shows the trend in employee compensation as a percentage of total revenue from the first nine months of FY 2020/21 to the first nine months of FY 2025/26.

Figure 3.257: Percentage of Employee Compensation Expenditure to Total Revenue Received in the first nine months of FY 2020/21 to the first nine months of FY 2025/26



Source: Turkana County Treasury

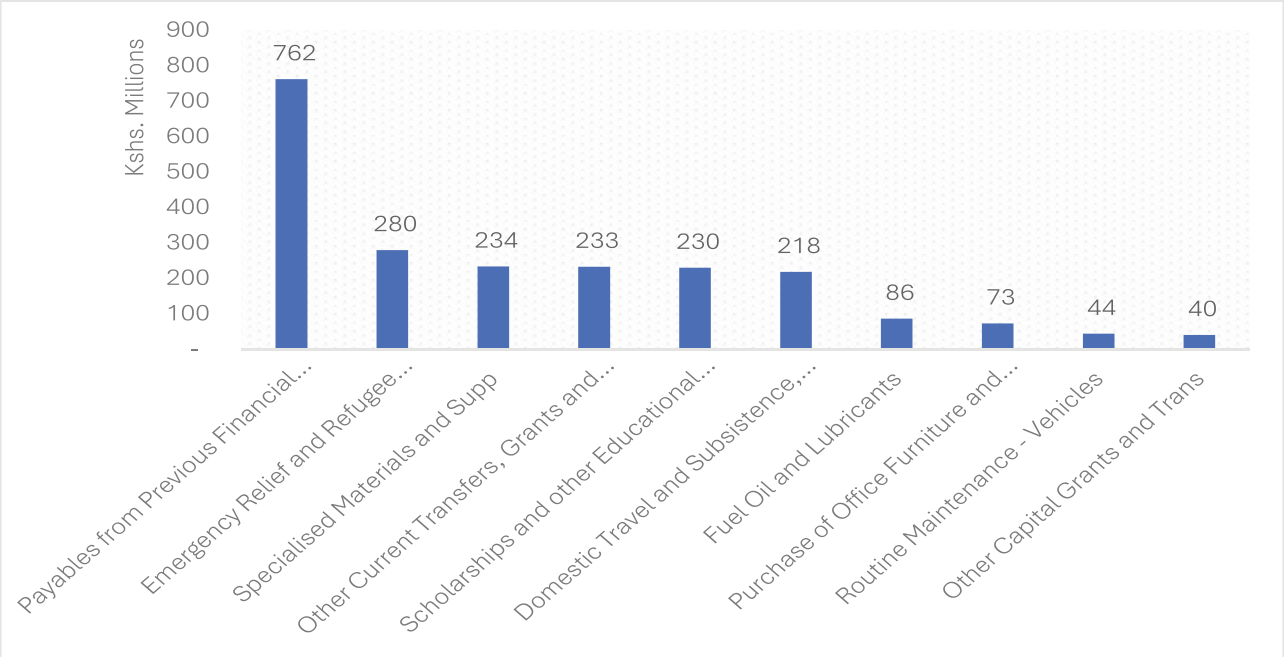
Further analysis indicated that all PE, amounting to Kshs.4.41 billion, were processed through the Human Resource Information System (HRIS).

The County Assembly spent Kshs.10.46 million on committee sitting allowances for the 48 MCAs against the annual budget allocation of Kshs.60.37 million. The average monthly sitting allowance was Kshs.24,208 per MCA. The County Assembly has 21 House Committees.

3.43.9 Expenditure on Operations and Maintenance

During the reporting period, the County spent Kshs.2.85 billion on operations and maintenance, representing an increase of 316 per cent compared to a similar period in FY 2024/25, when the County spent Kshs.680.57 million. Figure 3.258 illustrates the distribution of Operations and Maintenance expenditures across the major spending categories.

Figure 3.258: Turkana County, Operations and Maintenance Expenditure by Major Categories



Source: Turkana *County Treasury*

3.43.10 Unbundling "Other Operating Expenses" Under Operations and Maintenance Expenditures

The budget performance report for the first nine months of FY 2025/26 indicates that the County spent Kshs.20.51 million on "*other operating expenses*," which was 0.7 per cent of the total operations and maintenance expenditure of Kshs.2.85 million. This category of expenditure was entirely for garbage collection. The disaggregated items under the "*Other Operating Expenses*" category are shown in Table 3.639.

Table 3.639: Breakdown of "Other Operating Expenses" IFMIS Code 2211399 under O&M Expenditures

Code	Item	Budget (Kshs)	Expenditure (Kshs.)
2211300	Other Operating Expenses	58,311,648	20,514,600
	Total	**58,311,648**	**20,514,600**

Source: Turkana *County Treasury*

The county did not provide a breakdown of Other Operating Expenses -Other Amounting to Kshs 20,514,600 million therefore, the OCoB could not ascertain the specific expenditure.

3.43.11 County-Established Funds

Section 116 of the PFM Act 2012 allows County Governments to establish other public funds, subject to approval from the County Executive Committee and the County Assembly. The County allocated Kshs.1.26 billion to County-Established funds in FY 2025/26, representing 6 per cent of the County's overall budget. Of this amount, the County allocated Kshs.100 million to the Emergency Fund in line with Section 110 of the PFM Act, 2012, accounting for 0.5 per cent of the total budget. Table 3.640 summarises each established Fund's budget allocation and performance during the reporting period.

Table 3.640: Performance of Turkana County Established Funds in the first nine months of FY 2025/26

S/No.	Name of the Fund	Year Established	Approved Budget Allocation in FY 2025/26 (Kshs.)	Exchequer Issues in the first nine months of FY 2025/26 (Kshs.)	Actual disbursements in the first nine months of FY 2025/26 (Kshs.)	Cumulative disbursements to the Fund (Kshs)	Submission of Financial Statements (Yes/No.)
		County Executive Established Funds					
1	Turkana County Biashara Fund	2014	20,000,000	-	-	360,325,320	Yes
2	Turkana County Education Fund	2014	430,000,000	230,000,000	11,266,972	3,510,512,471	Yes
3	Climate Change Fund	2021	492,880,623	348,806,232	32,186,752	590,608,723	Yes
4	Youth and Women Fund	2014	70,000,000	35,000,000	-	425,000,000	Yes
5	Turkana County Co-operative Enterprise Fund	2014	-	-	-	96,251,070	Yes
6	Turkana County Car Loan and Mortgage Fund	2016	-	-	-	200,822,217	Yes
7	Turkana County Covid Fund	2020	-	-	-	606,674,113	Yes
8	Turkana County Emergency Fund	2016	100,000,000	-	100,000,000	1,292,388,792	Yes
9	Water Services Fund	2022	5,000,000	-	-	127,492,682	Yes
10	Community Health Services Fund	2025	117,027,000	117,027,000	60,010,838	62,745,912	Yes
11	Turkana County Persons with Disabilities Fund	2025	24,000,000	-	-	-	Yes
		County Assembly Established Funds					
1	Turkana County Assembly Car Loan and Mortgage (Members) Scheme Fund	2014	-	-	-	369,120,445	No
2	Turkana County Assembly Car Loan and Mortgage (Staff) Scheme Fund	2016	-	-	-	252,147,682	No
	Total		**1,258,907,623**	**730,833,232**	**103,464,687**	**7,894,089,427**	

Source: Turkana *County Treasury*

During the reporting period, the CoB did/ did not receive quarterly financial reports from 2 Fund Administrators, as indicated in Table 3.640, contrary to the requirement of Section 168 of the PFM Act, 2012.

3.43.12 County Corporations

The County has 2 County Corporations that did not receive an allocation for FY 2025/26. There was nil expenditure for the review period, as shown in Table 3.641.

Table 3.641: Performance of Turkana County Corporations in the first nine months of FY 2025/26

S/No.	Name of the Corporation	Approved Budget Allocation in FY 2025/26 (Kshs.)	Exchequer Issues (Kshs.)	Actual Transfers in the first nine months of FY 2025/26 (Kshs.)	Cumulative Transfers to the Corporation since its inception (Kshs.)
1	Turkana County Rural Water Services	-	-	-	5,000,000
2	Turkana Urban Water and Sanitation Company Limited	-	-	-	5,000,000
	Total				**10,000,000**

Source: Turkana *County Treasury*

3.43.13 Expenditure on Domestic and Foreign Travel

Expenditure on domestic travel amounted to Kshs.194.22 million and comprised Kshs.92 million spent by the County Assembly and Kshs.102.22 million by the County Executive. Expenditure on foreign travel amounted to Kshs.4.30 million all by the County Executive. Expenditure on foreign travel is summarised in Table 3.642.

Table 3.642: Summary of Expenditure on Foreign Travel in the first nine months of FY 2025/26

Arm of County Government	Number of Officers Travelled	Date travelled	Purpose of the travel	Destination	Actual Payment on Travel (a) (Kshs.)	Accrued Expenditure on Travel (b) (Kshs.)	Total Expenditure on Travel (c=a+b) (Kshs.)
County Executive	1	10/6/2025	Attended the 75th Annual plenary session of the executive on the High Commissioner's programme	Geneva-Switzerland	613,290	-	613,290
County Executive	6	11/24/2025	Attended the 3rd African Association of Accountants General conference	Accra-Ghana	1,856,820	-	1,856,820
Total					**2,470,110**	**-**	**2,470,110**

Source: Turkana County Treasury and Turkana County Assembly

3.43.14 Facility Improvement Financing

During the review period, the County reported collections of Kshs.19.88 million as FIF, which was 3 per cent of the annual target of Kshs.600 million. The collected amount was retained and utilised at source in line with the Facility Improvement Financing Act, 2023. The County has (however, not) developed regulations to operationalise the FIF Act of 2023.

The expenditure by the health facilities amounted to Kshs.22.12 million, as shown in Table 3.643.

Table 3.643: Turkana County Health Facilities Expenditure Performance in the first nine months of FY 2025/26

No.	Health Facility	Number of Facilities	Approved Budget (Kshs.)	Actual Expenditure (Kshs.)	Absorption rate (%)
2.	Level 4 Hospital	11	94,390,400	8,720,285	9
3.	Level 3 Facility	27	22,703,136.70	8,224,056	36
4.	Level 2 Facility	145	11,226,700	5,177,700	46
	Total	**183**	**128,320,236.70**	**22,122,041**	**92**

Source: *Turkana County Treasury*

3.43.15 Development Expenditure

In the review period, the County reported spending Kshs.1.69 billion on development programmes, representing a decrease of 35 per cent compared to FY 2024/25, when the County spent Kshs.2.61 billion. Table 3.644 summarises the development projects with the highest expenditure in the reporting period.

The decline in development expenditure was attributed to slow economic activity and delays in project completion.

Table 3.644: Turkana County, List of Development Projects with the Highest Expenditure

No	Sector	Project Name	Project Location	Project Commencement Date	Expected date of Completion of the Project	Contract sum (Kshs. Mn)	Total Funding in FY 2025/26 (Kshs. Mn)	Expenditure (on an accrual basis) in the first nine months of FY 2025/26 (Kshs. Mn)	Cumulative project expenditure (on an accrual basis) as of 31st March 2026 (Kshs. Mn)	Percentage (%) of Completion
County Funded Projects										
1	Health and Sanitation	Constructions Of Napeitom Fence And Additional 10 Permanent Houses	Kapedo/ Napeitom Ward			68.65	70.00	40.65		100%
2	Agriculture and Land Reclamation	Construction And Establishment Of Nakwamoru Model Drip Irrigation Scheme	Kaptir Ward			42.47	45.00	33.46		100%
3	MEDICAL SERVICES	Initial Works Of Level Six Hospital- Consultancy For Architectural Services(Designs,Drawing And Boqs	Kanamkemer			99.00	100.00	29.70		30%
4	Lands	County Spatial Plan Payment	County Wide			111.74	91.74	25.14		77%
5	Water Services	Reticulation Of Kalokol Water Project	KALOKOL			39.98	40.00	19.99		100%
6	Public Works	Proposed Construction And Equipping Of Materials Testing Lab	Township			22.71	22.71	19.37		86%
7	Water Services	Lodwar Municipality Water Project	Headquarters			23.90	25.00	16.13		100%
8	Water Services	Construction Of Nalemsekon Water Supply	Lapur			25.47	27.00	15.38		100%
9	MEDICAL SERVICES	Construction Of Opd Block And Renovation Of Staff Houses At Kibish Health Centre	Kibish			17.74	17.74	14.77		100%
10	Office of the Governor	Construction Of Governors Residence	Headquarters			90.00	28.00	14.51		16%
Donor Funded Projects										
11	aptap									
12	WATER/ LIVESTOCK	Storage and reticulation of water from Nabeye to Kalemngorok	Nabeye-Kalemng'orok			31.54	31.54	31.54	31.54	100%

No	Sector	Project Name	Project Location	Project Commencement Date	Expected date of Completion of the Project	Contract sum (Kshs. Mn)	Total Funding in FY 2025/26 (Kshs. Mn)	Expenditure (on an accrual basis) in the first nine months of FY 2025/26 (Kshs. Mn)	Cumulative project expenditure (on an accrual basis) as of 31st March 2026 (Kshs. Mn)	Percentage (%) of Completion
13	Environment	Establishment of 10 acres greenbelt/botanical garden	Nakamane			29.00	29.00	29.00	29.00	100%
14	WATER/ LIVESTOCK	Kakuma municipality water supply expansion project. Drilling,equipping and reticulation of 2 No.Borehole	Kakuma			22.68	22.68	22.68	22.68	100%
15	WATER/ LIVESTOCK	Drilling and equipping a water borehole	Kamuge			8.50	8.50	8.50	8.50	100%
16	WATER/ LIVESTOCK	Drilling and equipping of a water borehole	Elelea	FY 2024 2025	31ST Dec 2025	7.00	7.00	7.00	7.00	100%
17	WATER/ LIVESTOCK	Drilling and equipping of a water borehole	Morulem			7.00	7.00	7.00	7.00	100%
18	WATER/ LIVESTOCK	Drilling and equipping a water borehole	Nawoitorong			7.00	7.00	7.00	7.00	100%
19	WATER/ LIVESTOCK	Drilling and equipping a water borehole	Ng'abaakan			7.00	7.00	7.00	7.00	100%
20	WATER/ LIVESTOCK	Drilling and equipping of water borehole	Kang'iloi			7.00	7.00	7.00	7.00	100%

Source: *Turkana County Treasury*

The County did not report stalled development projects as of 31st March 2026.

3.43.16 Budget Performance by Department

Table 3.645 summarises the approved budget allocation, expenditure, and absorption rate by department for the period under review.

Table 3.645: Turkana County, Budget Allocation and Absorption Rate by Department in the first nine months of FY 2025/26

Department	Revised Budget Allocation (Kshs.Million)		Exchequer Received (Kshs.Million)		Expenditure (Kshs. Million)		Expenditure to Exchequer (%)		Absorption rate (%)	
	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev
Office of the Governor	129.96	-	124.77	-	98.50	-	79	-	76	-
Office of the Deputy Governor	20.53	-	19.98	-	12.78	-	64	-	62	-

Department	Revised Budget Allocation (Kshs.Million)		Exchequer Received (Kshs.Million)		Expenditure (Kshs. Million)		Expenditure to Exchequer (%)		Absorption rate (%)	
	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev
Department of Finance and Economic Planning - County Treasury	2,473.11	2,546.83	1,656.28	793.06	943.25	561.96	57	71	38	22
Department of Water Services	32.95	497.56	16.88	359.64	21.33	81.72	126	23	65	16
Department of Health and Sanitation	1,296.03	196.20	627.95	105.73	707.77	-	113	-	55	-
Department of Trade, Gender and Tourism	69.55	64.00	56.00	48.95	51.23	20.00	91	41	74	31
Department of Education, Sports and Social Protection	692.79	155.30	399.63	114.64	339.09	-	85	-	49	-
Department of Public Services, Administration and Disaster Management	6,253.75	464.00	5,268.81	53.25	4,367.94	45.25	83	85	70	10
Department of Infrastructure, Transport and Public Works	32.36	377.41	1.21	147.77	17.52	90.09	1,448	61	54	24
Department of Agriculture, Livestock Development and Fisheries	61.95	1,440.15	29.12	353.36	9.29	642.05	32	182	15	45
Department of Natural Resources and Climate Change	22.05	801.18	21.61	597.91	15.65	243.98	72	41	71	30
Department of Lands, Physical Planning and Urban Development	159.79	15.50	6.87	-	21.68	-	315	-	14	-
Turkana County Assembly	894.84	70.00	562.46	-	453.46	-	81	-	51	-
Turkana County Public Service Board	47.21	-	12.91	-	22.56	-	175	-	48	-
Office of the County Attorney	25.85	-	1.01	-	15.11	-	1,503	-	58	-
Lodwar Municipality	74.67	258.06	22.30	50.00	19.07	1.75	86	3	26	1

Department	Revised Budget Allocation (Kshs.Million)		Exchequer Received (Kshs.Million)		Expenditure (Kshs. Million)		Expenditure to Exchequer (%)		Absorption rate (%)	
	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev
Kakuma Municipality	16.46	716.24	14.81	-	2.27	-	15	-	14	-
Total	**12,303.86**	**7,602.43**	**8,842.60**	**2,624.32**	**7,118.48**	**1,686.80**	**81**	**64**	**58**	**22**

***Source**: Turkana County Treasury*

Analysis of expenditure by departments shows that the Department of Agriculture, Livestock Development and Fisheries recorded the highest absorption rate of development budget at 45 per cent, followed by the Department of Trade, Gender and Tourism at 31 per cent. The Department of the Office of the Governor had the highest percentage of recurrent expenditure to budget at 76 per cent, while the Department of Lands, Physical Planning and Urban Development and Kakuma Municipality had the lowest at 14 per cent.

3.43.17 Budget Execution by Programmes and Sub-Programmes

Budget execution was concentrated in selected performance bands. A number of development and recurrent sub-programmes recorded nil absorption during the review period. Under development, these were the K-Wash World Bank programme and water-saving irrigation technologies under the Department of Water Services, fisheries infrastructure and establishment of a livestock multiplication and breeding centre under the Department of Agriculture, Livestock Development and Fisheries, and frame survey under the Department of Lands, Physical Planning and Urban Development. Under recurrent, these were resource mobilisation for climate change and climate change research assessments and tools under the Department of Natural Resources and Climate Change, county publicity and branding under the Office of the Deputy Governor, and the county statistical unit and social intelligence integration and reporting under the Department of Finance and Economic Planning. In the 31–40 per cent band, development absorption was reported for livestock risk management under the Department of Lands, Physical Planning and Urban Development at 35 per cent.

In the 41–50 per cent band, development absorption was reported for the DRNKP/KfW project under the Department of Agriculture, Livestock Development and Fisheries at 49 per cent. In the 61–70 per cent band, development absorption was reported for emergency response and drought mitigation under the Department of Water Services at 64 per cent. In the 71–80 per cent band, development absorption was reported for the Food Systems Resilience Project under the Department of Agriculture, Livestock Development and Fisheries at 73 per cent.

In the 90–100 per cent band, development absorption reached 100 per cent for the Biashara Fund under the Department of Trade, Gender and Tourism. In the band above 100 per cent, recurrent absorption reached 168 per cent for the inter-county performance review forum under the Office of the Governor, 116 per cent for emergency response and drought mitigation under the Department of Water Services, 106 per cent for clinical services under the Department of Health and Sanitation, 105 per cent for efficiency monitoring under the Office of the Governor, and 101 per cent for media partnerships and stakeholder engagement under the Office of the Deputy Governor.

Low absorption in the lower performance bands was reflected in the development and recurrent sub-programmes that recorded no expenditure. Conversely, the sub-programmes exceeding 100 per cent reflected expenditure recorded before the supplementary budget reduced their allocations, such that actual spending exceeded the revised estimates during the review period.

Table 3.646 summarises budget execution by programmes and sub-programmes in the period under review with the highest absorption rates.

Table 3.646: Budget Execution by Programmes and Sub-Programmes with Highest Absorption Rates

Programme	Sub-Programme	Gross Approved Estimates FY 2025/26 (Kshs.)	Expenditure (including accrued expenditure) as of 31st March 2026 (Kshs.)	Absorption Rate (%)
DEVELOPMENT				
DEPARTMENT OF TRADE, GENDER AND TOURISM				
	Biashara Fund	20,000,000	20,000,000	100
DEPARTMENT OF AGRICULTURE, LIVESTOCK DEVELOPMENT AND FISHERIES				
	Food Systems Resilience Project	261,153,846	190,186,951	73
DEPARTMENT OF WATER SERVICES				
	Emergency Response & Drought Mitigation	37,460,000	24,140,000	64
DEPARTMENT OF AGRICULTURE, LIVESTOCK DEVELOPMENT AND FISHERIES				
	DRNKP/KfW	860,384,692	422,838,230	49
DEPARTMENT OF LANDS, PHYSICAL PLANNING AND URBAN DEVELOPMENT				
	Livestock Risk Mgt	82,713,115	29,029,300	35
RECURRENT				
OFFICE OF THE GOVERNOR				
	Inter-County Performance Review Forum	1,333,706	1,333,706	168
DEPARTMENT OF WATER SERVICES				
	Emergency Response & Drought Mitigation	2,454,080	2,454,080	116
DEPARTMENT OF HEALTH AND SANITATION				
	Clinical Services	944,240	998,400	106
OFFICE OF THE GOVERNOR				
	Efficiency Monitoring	3,357,938	3,357,938	105
OFFICE OF THE DEPUTY GOVERNOR				
	Media Partnerships & Stakeholder Engagement	429,190	429,190	101

Source: *Turkana County Treasury*

The development sub-programmes with the highest budget implementation rates were: Biashara Fund in the Department of Trade, Gender and Tourism at 100 per cent, Food Systems Resilience Project in the Department of Agriculture, Livestock Development and Fisheries at 73 per cent, and Emergency Response & Drought Mitigation in the Department of Water Services at 64 per cent.

For recurrent sub-programmes, the top performers included: Inter-County Performance Review Forum in the Office of the Governor at 168 per cent, Emergency Response & Drought Mitigation in the Department of Water Services at 116 per cent, and Clinical Services in the Department of Health and Sanitation at 106 per cent.

The higher performance of these programmes can be attributed to the Supplementary budget being undertaken and to allocations being reduced after actual expenditure had already taken place.

Table 3.647 summarises the budget execution by programmes and sub-programmes in the period under review that had the lowest absorption rates.

Table 3.647: Budget Execution by Programmes and Sub-Programmes with Lowest Absorption Rates

Programme	Sub-Programme	Gross Approved Estimates FY 2025/26 (Kshs.)	Expenditure (including accrued expenditure) as of 31st March 2026 (Kshs.)	Absorption Rate (%)
DEVELOPMENT				
DEPARTMENT OF WATER SERVICES				
	K-Wash World Bank Programme	256,500,000	-	-
DEPARTMENT OF WATER SERVICES				
	Water Saving Irrigation Technologies	7,000,000	-	-
DEPARTMENT OF AGRICULTURE, LIVESTOCK DEVELOPMENT AND FISHERIES				
	Fisheries Infrastructure	19,900,000	-	-
DEPARTMENT OF LANDS, PHYSICAL PLANNING AND URBAN DEVELOPMENT				
	Frame survey	20,000,000	-	-
DEPARTMENT OF AGRICULTURE, LIVESTOCK DEVELOPMENT AND FISHERIES				
	Establish a livestock Multiplication and breeding Centre.	10,000,000	-	-
RECURRENT				
DEPARTMENT OF NATURAL RESOURCES AND CLIMATE CHANGE				
	Resource Mobilisation for Climate Change	255,200	-	-
DEPARTMENT MINISTRY OF NATURAL RESOURCES AND CLIMATE CHANGE				
	Climate Change Research Assessments & Tools	255,200	-	0
OFFICE OF THE DEPUTY GOVERNOR				
	County Publicity & Branding	421,080	-	0
DEPARTMENT OF FINANCE AND ECONOMIC PLANNING - COUNTY TREASURY				
	County Statistical Unit	753,829	-	0
DEPARTMENT OF FINANCE AND ECONOMIC PLANNING - COUNTY TREASURY				
	Social Intelligence Integration & Reporting	323,046	-	0

Source: *Turkana County Treasury*

The development sub-programmes with the lowest budget implementation rates, amongst others, were as follows: K-Wash World Bank Programme in the Department of Water Services at 0 per cent; Water Saving Irrigation Technologies in the Department of Water Services at 0 per cent; and Fisheries Infrastructure at 0 per cent.

For recurrent sub-programmes, the poorest performers amongst others included: Resource Mobilisation for Climate Change in the Department of Natural Resources and Climate Change at 0 per cent, Climate Change Research Assessments & Tools in the Department of Natural Resources and Climate Change at 0 per cent, and County Publicity & Branding in the Office of the Deputy Governor at 0 per cent.

3.43.18 Settlement of Trade Payables

As of 1st July 2025, the County reported trade payables totalling to Kshs.5.17 billion. This amount consisted of Kshs.4.92 billion from the County Executive and Kshs.252.87 million from the County Assembly. The trade payables from the County Executive comprised Kshs.2.28 billion for recurrent expenditure and Kshs.2.64 billion for development expenditure.

During the reporting period, the County Executive settled trade payables amounting to Kshs.360.45 million, comprising Kshs.116.57 million (32 per cent) for recurrent programmes and Kshs.243.88 million (68 per cent) for development programmes. On the other hand, the County Assembly did not settle trade payables. The outstanding trade payables as of 31st March 2026 were Kshs.4.56 billion for County Executive and Kshs.252.87 million for County Assembly. Table 3.648 provides additional details of trade payables.

Table 3.648: Turkana County Trade Payables as of 31st March 2026

		County Entity	Development (Kshs.)	Recurrent (Kshs.)	Total (Kshs.)
As at 1 July 2025 (End of FY 2024/25)	a	County Executive	2,278,298,681	2,637,428,096	4,915,726,777
		County Assembly	213,204,305	39,667,653	252,872,958
		Total	2,491,502,986	2,677,095,749	5,168,598,735
Trade payables scheduled to be settled in the first nine months of FY 2025/26 per the action plan	b	County Executive	1,407,245,336	1,192,637,817	2,599,883,153
		County Assembly	33,346,320	29,064,313	62,410,633
		Total	1,440,591,656	1,221,702,130	2,662,293,786
Amount paid in the first nine months of FY 2025/26	c	County Executive	243,879,631	116,570,281	360,449,911
		County Assembly	-	-	-
		Total	**243,879,631**	**116,570,281**	**360,449,911**
Trade Payables Incurred in the First Nine Months of FY 2025/26	d	County Executive	-	-	-
		County Assembly	-	-	-
		Total	-	-	-
Outstanding trade payables as of 31st March 2026	**e = a - c*b**	**County Executive**	**2,034,419,050**	**2,520,857,815**	**4,555,276,865**
		County Assembly	**213,204,305**	**39,667,653**	**252,871,958**
		Total	**2,247,623,355**	**2,560,525,468**	**4,808,148,823**

Source: Turkana *County Treasury*

The County Executive and the Assembly submitted a trade payables payment plan, committing to pay Kshs.1.22 billion and Kshs.1.44 billion on recurrent and development expenditure, respectively, in FY 2025/26. The County did not adhere to this payment plan, as it cleared Kshs.360.45 million for the Executive and none for the Assembly.

Table 3.649 and Table 3.650 present the ageing of the total outstanding bills as of 31st March 2026 for the County Executive and Assembly, which amounted to Kshs.2.47 billion.

Table 3.649: Turkana County Executive Trade Payables Ageing Analysis as of 31st March 2026

Category	Ageing analysis (Amount in Kshs.)				Total
	Under one year	1-2 years	2-3 years	Over 3 years	
Development Trade Payables	**1,420,358,415**	**309,052,276**	**185,721,657**	**546,090,442**	**2,461,222,790**
Recurrent Trade Payables (Goods & Services)	1,737,637,417	70,676,975	174,343,188	111,396,497	2,094,054,077
Recurrent Trade Payables (Salary Arrears and Statutory Deductions)	-	-	-	-	-
Recurrent Trade Payables (Staff Claims)	-	-	-	-	-
Total Recurrent Trade Payables	1,737,637,417	70,676,975	174,343,188	111,396,497	2,094,054,077
Total Trade Payables	**3,157,995,832**	**379,729,251**	**360,064,845**	**657,486,939**	**4,555,276,867**
% of Total	**69%**	**8%**	**8%**	**14%**	**100%**

Source: Turkana *County Treasury*

Table 3.650: Turkana County Assembly Trade Payables Ageing Analysis as of 31st March 2026

Category	Ageing analysis (Amount in Kshs.)				Total
	Under one year	1-2 years	2-3 years	Over 3 years	
Development Trade Payables	**1,843,180**	**211,361,125**	**-**	**-**	**213,204,305**
Recurrent Trade Payables (Goods & Services)	-	**39,667,653**	**-**	**-**	**39,667,653**
Recurrent Trade Payables (Salary Arrears and Statutory Deductions)	-	-	-	-	-
Recurrent Trade Payables (Staff Claims)	-	-	-	-	-
Total Recurrent Trade Payables	**-**	**39,667,653**	**-**	**-**	**39,667,653**
Total Trade Payables	**1,843,180**	**251,028,778**	**-**	**-**	**252,871,958**
% of Total	**1**	**99**	**-**	**-**	**100**

Source: Turkana *County Treasury*

As shown in Table 3.649 and Table 3.650, 20 per cent of total trade payables are aged over two years, a trend attributed to non-payment of trade payables. To address this situation, the county should adhere to the submitted payment plans and make payments on a FIFO basis.

3.43.19 General Observations and Recommendations

In the course of overseeing and reporting on the implementation of the Turkana County budget, the CoB identified the following challenges, which prevented effective budget implementation;

i. The County Treasury's late submission of financial reports to the Controller of Budget affected the timely preparation of the budget implementation report, which was received on 28th April 2026.
ii. The underperformance of own-source revenue at Kshs.162.92 million against an annual target of Kshs.1.2 billion, representing 14 per cent of the financial year target.
iii. Low development performance in the review period as the County incurred Kshs.1.69 billion on development activities, achieving a 22 per cent absorption rate.
iv. Fund Administrators failed to submit quarterly financial and non-financial reports to the CoB within the timelines provided by law, which is against the requirement of Section 168 of the PFM Act, 2012. The County Assembly reports had not been submitted to the CoB as of 15 April 2026.
v. High level of trade payables, which amounted to Kshs.4.80 billion as of 31st March 2026. Furthermore, the County Treasury did not adhere to the trade payables payment plan.
vi. Non-submission of copies of authorisation letters for opening commercial bank accounts as per Regulation 82(5) of the Public Finance Management (County Governments) Regulations, 2015.

The County should implement the following recommendations to improve budget execution:

i. *The County Treasury should ensure the timely preparation and submission of financial reports to the Controller of Budget per the timelines prescribed in Section 166 of the PFM Act, 2012.*
ii. *The County should address its own-source revenue performance to ensure the approved budget is fully financed. Appropriate austerity measures should be implemented to ensure expenditure commitments are aligned with available revenue.*
iii. *The County should implement strategies to increase development expenditures in FY 2025/26.*
iv. *The CECMF should follow up to ensure Fund Administrators prepare and submit statutory reports in line with the PFM Act, 2012.*
v. *The County Leadership should address the situation of trade payables to ensure that genuine bills are paid promptly in the remaining financial year. Further, compliance with the Trade Payables Action Plan should be enforced.*
vi. *The County Treasury should ensure it submits copies of authorisation letters to the CoB for opening commercial bank accounts to enhance accountability and oversight.*

3.44. County Government of Uasin Gishu

3.44.1 Overview of FY 2025/26 Budget

The Uasin Gishu County Approved First Supplementary Budget for FY 2025/26 is Kshs.17.43 billion. It comprises Kshs.7.44 billion (42.7 per cent) and Kshs.9.98 billion 57.3 per cent) allocation for development and recurrent programmes, respectively. The budget estimates represent an increase of Kshs.2.26 billion (14.9 per cent) from the FY 2024/25 budget, which comprised a development budget of Kshs.7.38 billion and a recurrent budget of Kshs.7.79 billion. The increase in the budget was primarily due to the inclusion of balances brought forward from the previous financial year and the rollover of conditional funds not previously included in the approved budget estimates.

The budget is to be financed from various revenue sources. These include the equitable share of revenue raised nationally of Kshs.8.98 billion (51.5 per cent), additional allocations of Kshs.2.05 billion (11.8 per cent), a cash balance brought forward from FY 24/25 of Kshs.3.30 billion (18.9 per cent), appropriation-in-aid (AIA) of Kshs.582.03 million (2.3 per cent), the conditional grants rollover of Kshs.1.21 billion (7 per cent) and Kshs 1.3 billion (7.5 per cent) generated as own-source revenue. A breakdown of the additional allocations is shown in Table 3.651.

3.44.2 Revenue Performance

During the first nine months of FY 2025/26, the County reported total revenues amounting to Kshs.12.47 billion. This amount represented an increase of 55 per cent compared to the amount received in a similar period in FY 2024/25 of Kshs.7.87 billion. The total revenue consisted of Kshs.5.97 billion from the equitable share of revenue raised nationally, additional allocations from the national government and development partners of Kshs.383.77 million, and own-source revenue (OSR) collection of Kshs.1.14 billion. Additionally, the County had a cash balance of Kshs.4.51 billion from FY 2024/25. The total OSR collection of Kshs.1.14 billion included Facilities Improvement Financing (FIF) of Kshs.472.04 million.

Table 3.651 summarises the total revenue available to the County Government during FY 2025/26.

Table 3.651: Uasin Gishu County, Revenue Performance in the first nine months of FY 2025/26

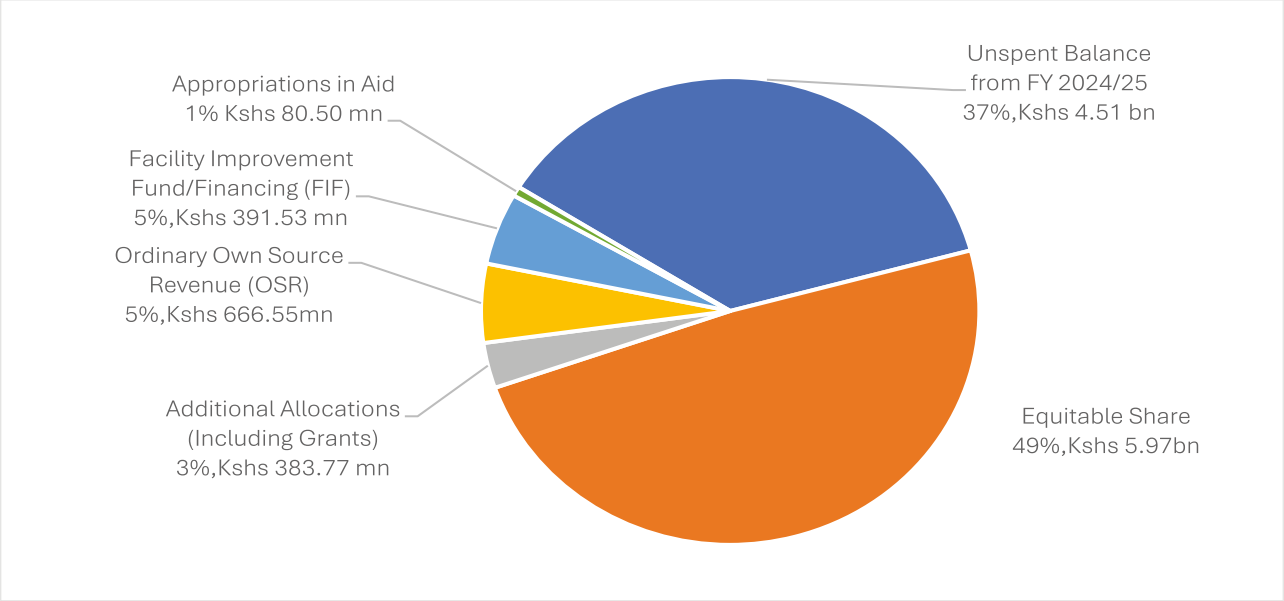
No	Revenue Stream	Annual Targeted Revenue (Kshs.)	Actual Receipts (Kshs.)	Receivables in the First Nine Months of FY 2025/26 (Kshs.)	Total Revenues (in accrual basis) in the First Nine Months of FY 2025/26 (Kshs.)	Variance (Kshs.)
		A	B	C	D=B+C	E=A-D
A	Unspent Balance from FY 2024/25	4,484,556,589	4,484,556,589	-	4,484,556,589	-
1	Balance at CRF	18,058,576	18,058,576	-	18,058,576	-
2	County Executive Refunds to CRF	11,557,626	11,557,626	-	11,557,626	-
3	County Assembly Refunds to CRF	591	591	-	591	-
	Sub-Total	**4,514,173,382**	**4,514,173,382**	**-**	**4,514,173,382**	-
B	**Equitable Share of Revenue Raised Nationally**					
1	Equitable Share	8,977,014,770	5,970,372,983	-	5,970,372,983	3,006,641,787
	Sub-Total	**8,977,014,770**	**5,970,372,983**	**-**	**5,970,372,983**	**3,006,641,787**
C	**Additional Allocations (Including Grants)**					
1	WB- KDSP II Level 1 Grants	72,909,500	-	-	-	72,909,500
2	Kenya Devolution Support Program Level I (b/f)	6,498,722	-	-	-	6,498,722
3	Kenya Devolution Support Program Level II	352,500,000	35,253,471	-	35,253,471	317,246,529

No	Revenue Stream	Annual Targeted Revenue (Kshs.)	Actual Receipts (Kshs.)	Receivables in the First Nine Months of FY 2025/26 (Kshs.)	Total Revenues (in accrual basis) in the First Nine Months of FY 2025/26 (Kshs.)	Variance (Kshs.)
		A	B	C	D=B+C	E=A-D
4	Grant from the World Bank- IDA (NAVCDP)	231,250,000	164,735,677	-	164,735,677	66,514,323
5	Settlement of Doctor's Salary Arrears	9,600,471	-	-	-	9,600,471
6	Community Health Promoters	61,980,000	15,022,500	-	15,022,500	46,957,500
7	Primary Health Care (DANIDA)	21,477,894	-	-	-	21,477,894
8	WB-KISIP II	260,000,000	-	-	-	260,000,000
9	0.5% of Housing Levy Fund	1,987,622	-	-	-	1,987,622
10	20% Share of Mineral Royalties	5,090,269	-	-	-	5,090,269
11	Grants from EPZ for Spatial Plan	100,000,000	-	-	-	100,000,000
12	Road Maintenance Fuel Levy (RMLF)	245,361,740	-	-	-	245,361,740
13	Kenya Urban Support Project (KUSP) UIG	32,309,300	-	-	-	32,309,300
14	Kenya Urban Support Project (KUSP) - UDG	465,934,137	-	-	-	465,934,137
15	FLoCCA FY 2024/25	187,088,542	168,760,502	-	168,760,502	18,328,040
16	Village Polytechnic Project Grants	6,942	-	-	-	6,942
	Sub-Total	**2,053,995,139**	**383,772,150**	**-**	**383,772,150**	**1,670,222,989**
D	**Ordinary Own Source Revenue (OSR)**					
1	OSR	1,300,000,000	666,551,082	-	666,551,082	633,448,918
	Sub-Total	**1,300,000,000**	**666,551,082**	**-**	**666,551,082**	**633,448,918**
E	**Facility Improvement Fund/Financing (FIF)**					
1	SHIF	450,000,000	391,536,271	215,461,254	606,997,525	- 156,997,525
	Sub-Total	**450,000,000**	**391,536,271**	**215,461,254**	**606,997,525**	**- 156,997,525**
F	**Appropriations in Aid**					
1	Alcoholic Drinks Control Board (AIA)	73,150,000	51,070,100	-	51,070,100	22,079,900
2	Agricultural Training Centre (AIA)	58,884,571	29,430,195	-	29,430,195	29,454,376
	Sub-Total	**132,034,571**	**80,500,295**	**-**	**80,500,295**	**51,534,276**
G	**Other Revenues**					
1		-	472,036,566	-	-	-
	Sub-Total	**-**	**472,036,566**	**-**	**-**	**-**
	Grand Total	**17,427,217,862**	**12,478,942,728**	**215,461,254**	**12,222,367,417**	**5,204,850,445**

Source: *Uasin Gishu County Treasury*

Figure 3.259 provides a detailed breakdown of receipts.

Figure 3.259: Uasin Gishu County Composition of Revenue in the first nine months of FY 2025/26

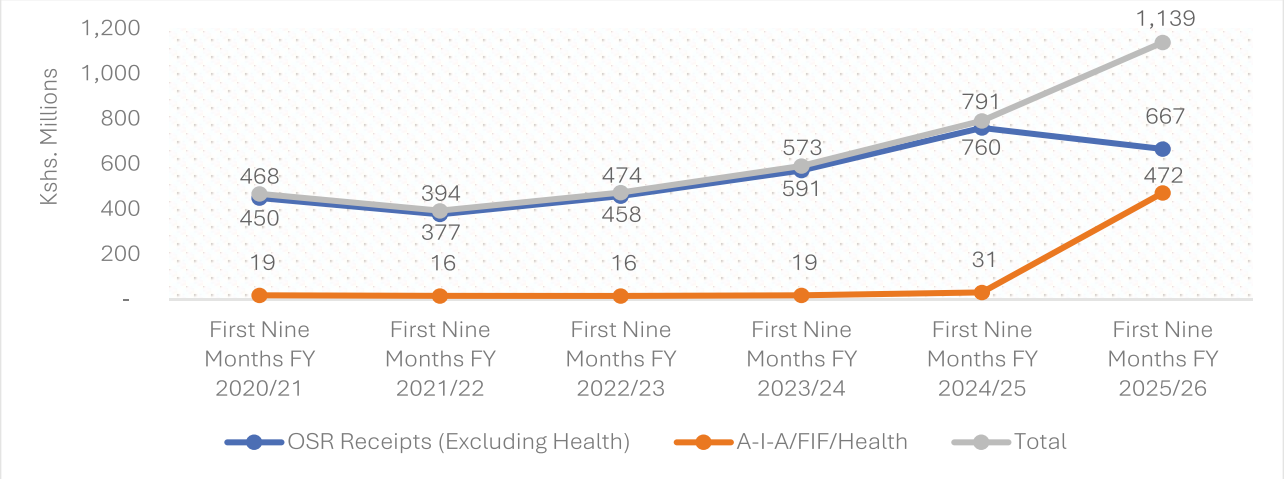


Source: *Uasin Gishu County Treasury*

The equitable share of revenue raised nationally, unspent balances, and FIF contributed 49 per cent, 37 per cent and 5 per cent, respectively, of the total receipts for the reporting period.

Figure 3.260 shows the collection trend in own-source revenue from the first nine months of FY 2020/21 to the first nine months of FY 2025/26.

Figure 3.260: Uasin Gishu County Trend in Own-Source Revenue Collection from the first nine months of FY 2020/21 to the first nine months of FY 2025/26

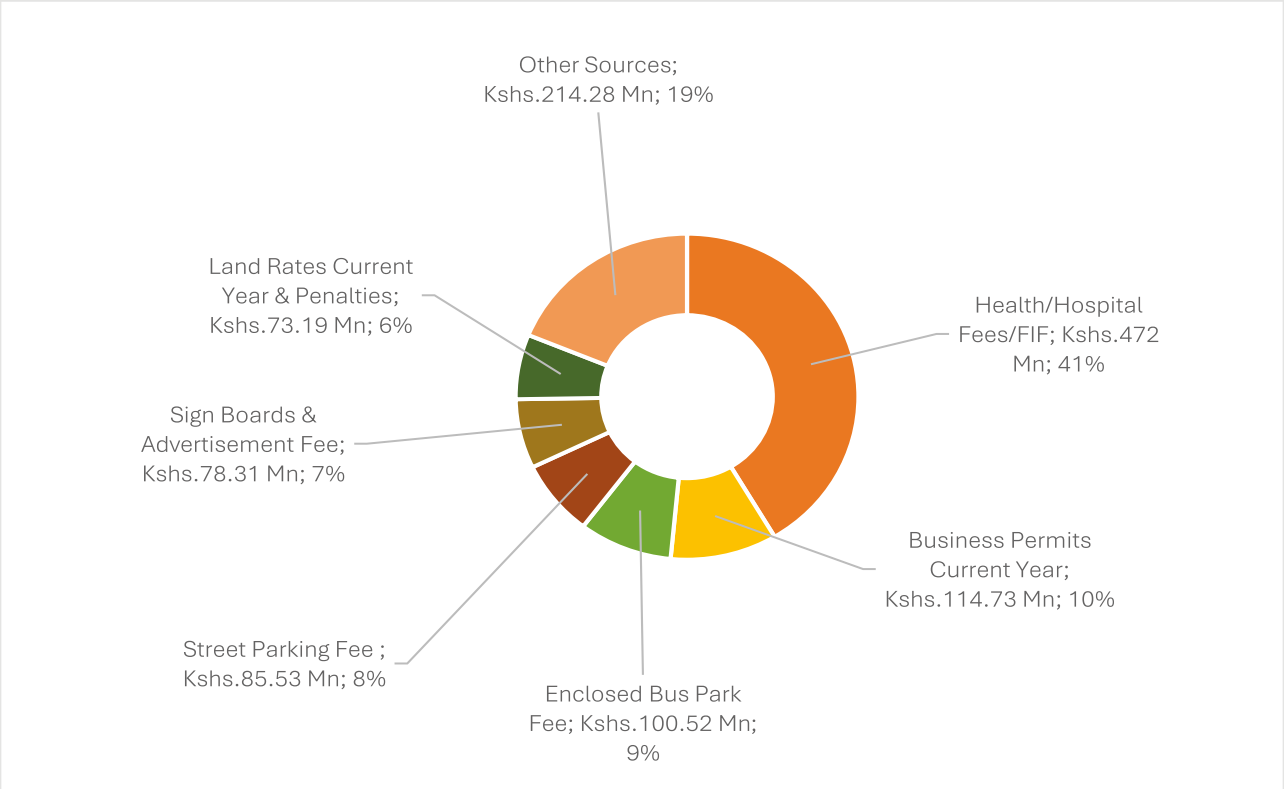


Source: *Uasin Gishu County Treasury*

During the first nine months of FY 2025/26, the County received Kshs.1.14 billion from OSR, including FIF. This amount was an increase of 44 per cent compared to Kshs.791.41 million realised in a similar period in FY 2024/25, and was 80 per cent of the annual target and 19 per cent of the equitable revenue share disbursed.

The revenue streams that contributed the most to OSR receipts are shown in Figure 3.261

Figure 3.261: Uasin Gishu County Top Own Source Revenue Streams in the first nine months of FY 2025/26



Source: Uasin Gishu County Treasury

As shown in Figure 3.261, the largest revenue stream, at Kshs.472 million, was the Health department under FIF, accounting for 41 per cent of total OSR receipts. The County Government indicated that it has automated 21 of 37 revenue streams. The system utilised for FIF revenue collection is SISOBO, which has been in use since 2024.

3.44.3 Revenue Receivables

As of 1st July 2025, the County reported receivables of Kshs.252.49 million. The County did not indicate how they track its receivables. As of 31st March 2026, the receivables comprised Kshs.252.49 million for FIF. The County did not indicate the measures instituted to collect the outstanding arrears in FY 2025/26.

3.44.4 Borrowing by the County

Uasin Gishu County did not report any borrowing during the reporting period.

3.44.5 Withdrawals from the County Revenue Fund and County Assembly Fund

During the reporting period, the Controller of Budget approved exchequer withdrawal requests totalling Kshs.6.36 billion from the Uasin Gishu County Revenue Fund (CRF) account. This amount consisted of Kshs.1. billion (15.7 per cent) designated for development programs and Kshs.5.36 billion (84.3 per cent) allocated for recurrent programs.

An analysis of the released recurrent exchequers shows that Kshs.3.9 billion was allocated to employee compensation and Kshs.1.50 billion to operations and maintenance expenditures. Within the operations and maintenance category, 15.8 per cent was for domestic travel and 1.2 per cent for foreign travel. The domestic travel exchequers totalled Kshs.231.82 million, including Kshs.77.78 million for the County Executive and Kshs.154.04. million for the County Assembly. Meanwhile, the foreign travel exchequers amounted to Kshs.17.7 million, with Kshs.11.01 million for the County Executive and Kshs.5.18 million for the County Assembly.

As of 31st March 2026, the County Government's cash balance in the County CRF account was Kshs 966.09 million.

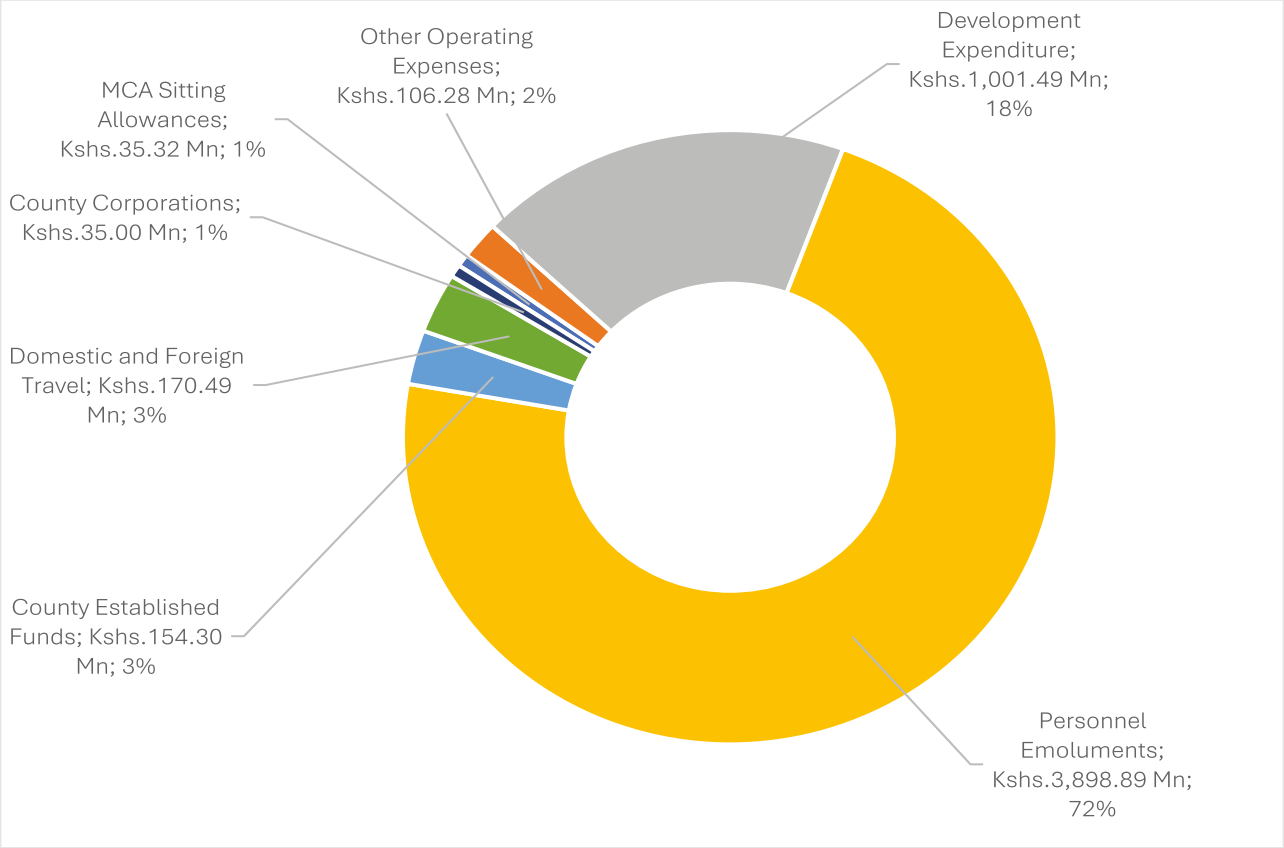
The County had not operationalised the County Assembly Fund as of 31st March 2026.

3.44.6 Expenditure Review

The County spent Kshs.6.36 billion on development and recurrent programmes during the reporting period. The expenditure represented 100 per cent of the total funds released by the CoB. It comprised Kshs.1 billion for development programmes and Kshs.5.36 billion for recurrent programmes. Expenditure on development programmes accounted for 13 per cent of the annual development expenditure budget, while recurrent expenditure accounted for 54 per cent of the annual recurrent expenditure budget.

Figure 3.262 provides a detailed breakdown of total expenditure.

Figure 3.262: Uasin Gishu County Composition of Expenditure in the first nine months of FY 2025/26



Source: *Uasin Gishu County Treasury*

As shown in Figure 3.262, the three highest expenditure categories were Personnel expenditure, Development expenditure, and Domestic and Foreign Travel, contributing 72, 18 and 3 per cent of total expenditure for the reporting period.

3.44.7 Expenditure by Economic Classification

The County Executive incurred Kshs.3.63 billion in employee compensation, Kshs.1.15 billion in operations and maintenance, and Kshs.1 billion in development activities. Similarly, the County Assembly spent Kshs.267.18 million on compensation of employees, Kshs.309.88 million on operations and maintenance, and nothing on development activities, as shown in Table 3.652.

Table 3.652: Uasin Gishu County Summary of Budget and Expenditure by Economic Classification

Sector / Category	Budget (Kshs)	Exchequer Issues (Kshs)	Amount Paid in the First Nine Months of FY 2025/26 (Kshs.) (b)	Expenditure Accrued in the First Nine Months of FY 2025/26 (Kshs.) (c)	Total Expenditure in the First Nine Months of FY 2025/26 (Kshs.) (d=b+c)	Absorption (%) (d/a*100)
County Executive						
Recurrent	**9,095,478,158**	**4,786,014,540**	**4,717,323,233**	**68,691,307**	**4,786,014,540**	**53**
Compensation to Employees	5,117,182,703	3,631,703,192	3,631,703,192	-	3,631,703,192	71
Operations & Maintenance	3,978,295,455	1,154,311,348	1,085,620,041	68,691,307	1,154,311,348	29
Development	**7,332,254,396**	**1,001,490,564**	**907,802,707**	**93,687,857**	**1,001,490,564**	**14**
Executive Sub-total	**16,427,732,554**	**5,787,505,104**	**5,625,125,940**	**162,379,164**	**5,787,505,104**	**35**
County Assembly						
Recurrent	**889,485,308**	**577,072,210**	**565,570,492**	**11,501,718**	**577,072,210**	**65**
Compensation to Employees	402,998,662	267,184,698	267,184,698	-	267,184,698	66
Operations & Maintenance	486,486,646	309,887,512	298,385,794	11,501,718	309,887,512	64
Development	**110,000,000**	**-**	**-**	**-**	**-**	**-**
Assembly Sub-total	**999,485,308**	**577,072,210**	**565,570,492**	**11,501,718**	**577,072,210**	**58**
Combined County Totals						
Total Recurrent	**9,984,963,466**	**5,363,086,750**	**5,282,893,725**	**80,193,025**	**5,363,086,750**	**54**
Compensation to Employees	5,520,181,365	3,898,887,890	3,898,887,890	-	3,898,887,890	71
Operations & Maintenance	4,464,782,101	1,464,198,859	1,384,005,834	80,193,025	1,464,198,859	33
Total Development	**7,442,254,396**	**1,001,490,564**	**907,802,707**	**93,687,857**	**1,001,490,564**	**13**
Grand Total	**17,427,217,862**	**6,364,577,314**	**6,190,696,432**	**173,880,882**	**6,364,577,314**	**37**

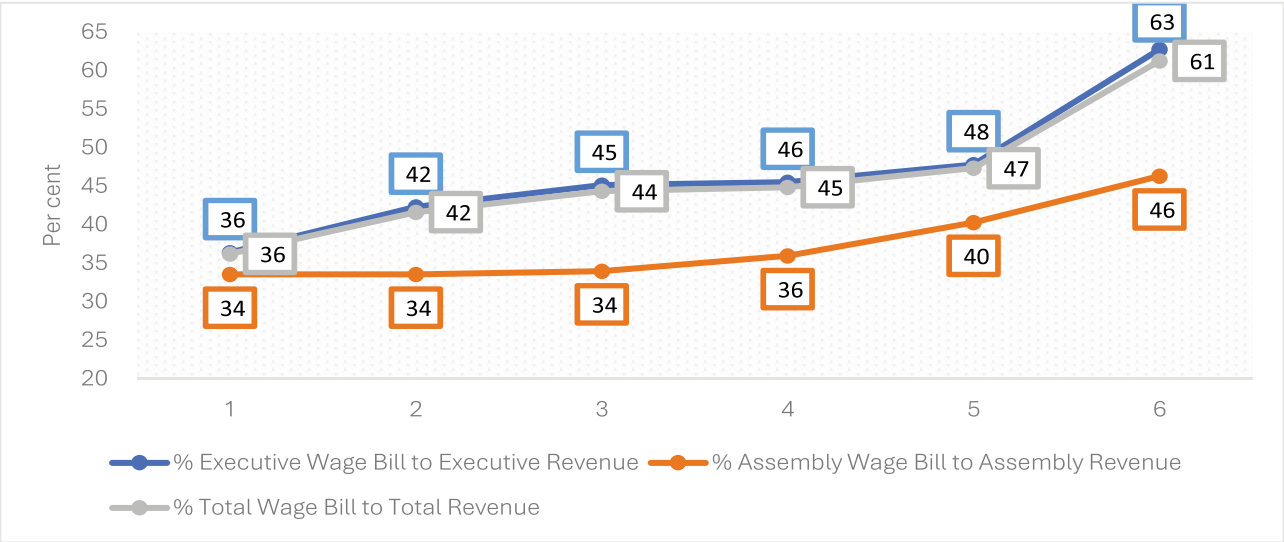
Source: *Uasin Gishu County Treasury*

3.44.8 Expenditure on Employee Compensation

The expenditure on employee compensation totalled Kshs.3.9 billion, representing 61 per cent of revenue. This expenditure on employee compensation shows. an increase compared to the Kshs.3.72 billion reported in a similar period in FY 2024/25. Of this total, Kshs.1.84 billion related to Health Sector employees, accounting for 47 per cent of the overall employees' compensation.

Figure 3.263 shows the trend in employee compensation as a percentage of total revenue from the first nine months of FY 2020/21 to the first nine months of FY 2025/26.

Figure 3.263: Percentage of Employee Compensation Expenditure to Total Revenue Received in the first nine months of FY 2020/21 to the first nine months of FY 2025/26



Source: Uasin Gishu County Treasury

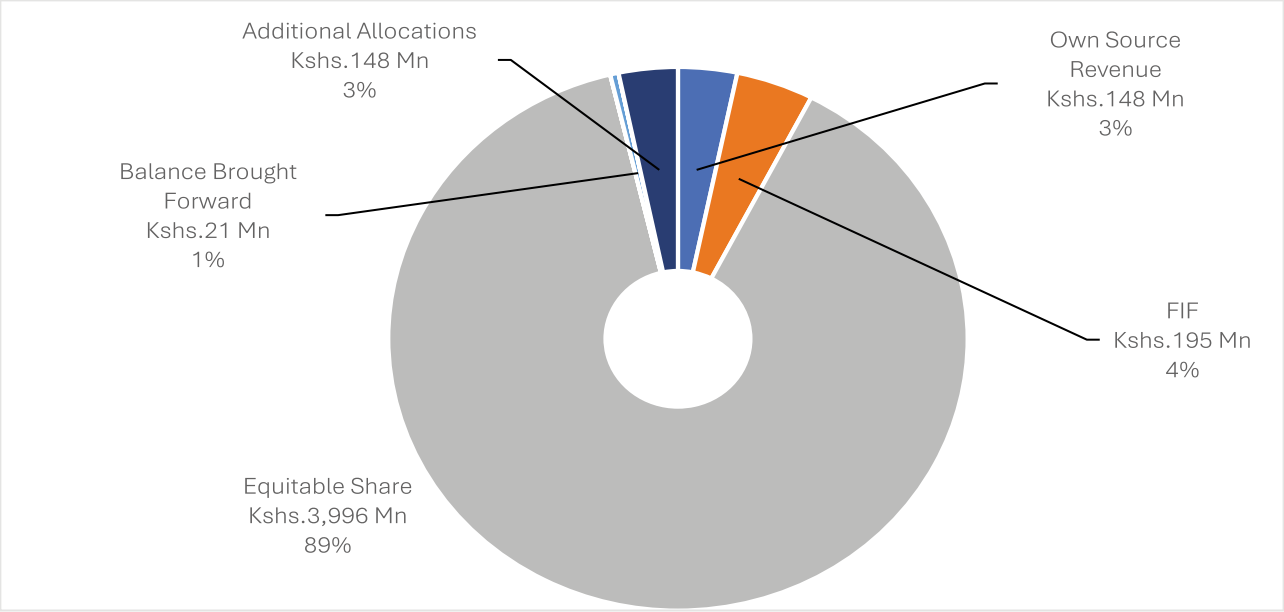
Further analysis indicated that PE costs totalling Kshs.3.9 billion were processed through the Human Resource Information System (HRIS).

The County Assembly spent Kshs.19.82 million on committee sitting allowances for the 45 MCAs, against the annual budget allocation of Kshs.39.92 million. The average monthly sitting allowance was Kshs.48,935 per MCA. The County Assembly has 22 House Committees.

3.44.9 Expenditure on Operations and Maintenance

During the reporting period, the County spent Kshs.1.46 billion on operations and maintenance. Figure 3.264 illustrates the distribution of Operations and Maintenance expenditures across the major spending categories.

Figure 3.264: Uasin Gishu County, Operations and Maintenance Expenditure by Major Categories



Source: *Uasin Gishu County Treasury*

3.44.10 County-Established Funds

Section 116 of the PFM Act 2012 allows County Governments to establish other public funds, subject to approval from the County Executive Committee and the County Assembly. The County allocated Kshs.356.5

million to County-Established funds in FY 2025/26, representing 2 per cent of the County's overall budget. Of this amount, the County allocated Kshs 70 million to the Emergency Fund in line with Section 110 of the PFM Act, 2012. Table 3.653 summarises each established Fund's budget allocation and performance during the reporting period.

Table 3.653: Performance of Uasin Gishu County Established Funds in the first nine months of FY 2025/26

S/ No.	Name of the Fund	When it was established	Has it been renewed	Approved Budget Allocation in FY 2025/26 (Kshs.)	Exchequer Issues in FY 2025/26 (Kshs.)	Actual Expenditure in FY 2025/256(Kshs.)	Cumulative disbursements to the Fund (Kshs)	Submission of Annual Financial Statements (Yes/No.)
	County Executive Established Funds							
1	Uasin Gishu County Emergency Fund-Governor			70,000,000	-	-	275,096,374	Yes
2	Uasin Gishu County Enterprise Development Fund (Co-op)	2016		-	-	-	761,000,000	Yes
3	Uasin Gishu County Inua Biashara Fund (trade)	2018		-	-	-	353,612,396	Yes
4	Uasin Gishu County Bursary and Skills Development Support Fund	2014	2015- Regulation yet to be developed	186,500,000	-	-	1,293,600,000	Yes
5	Car Loan & Mortgage - County Executive(governor)			100,000,000	100,000,000	100,000,000	513,000,000	Yes
7	County Education Revolving Fund-Tvet	2015	2025	-	-	-	322,115,883	Yes
8	Uasin Gishu Alcohol Drinks Control Fund	2014	Extension was sought, and progress was made toward enacting a new ACT.	-	-	-	36,643,826	Yes
	Flocca (Climate change fund- 2% of Development)	2021					513,452,234	No
	County Assembly Established Funds							
9	Car Loan & Mortgage - County Assembly	2015	yet to renew the ACT	-	-	-	325,272,646	No
	Total			**356,500,000**	**100,000,000**	**100,000,000**	**4,393,793,359**	

Source: *Uasin Gishu County Treasury*

During the reporting period, the CoB did not receive quarterly financial reports from the Climate Change Fund and the County Assembly Car Loan and Mortgage Fund Administrators, as indicated in Table 3.653 , contrary to the requirement of Section 168 of the PFM Act, 2012.

Regulation 197(1)(i) of the Public Finance Management (County Governments) Regulations, 2015, allows County Governments to establish public funds with a lifespan capped at 10 years unless extended by the County Assembly.

3.44.11 County,Municipalities, Corporations,and other Agencies.

The County has 1 County Corporation, which was allocated Kshs.50 million in FY 2025/26. Their total expenditure for the review period amounted to Kshs.35 million, as shown in Table 3.654.

Table 3.654: Performance of Uasin Gishu County Corporations in the first nine months of FY 2025/26

S/No.	Name of the Corporation	Approved Budget Allocation in FY 2025/26 (Kshs.)	Exchequer Issues (Kshs.)	Actual Transfers in FY 2025/26 (Kshs.)	Cumulative Transfers to the Corporation since its inception (Kshs.)
1	Uasin Gishu Rural Water and Sanitation Company (URWASCO)	50,000,000	35,000,000	35,000,000	44,700,000
	Total	**50,000,000**	**35,000,000**	**35,000,000**	**44,700,000**

Source: *Uasin Gishu County Treasury*

3.44.12 Expenditure on Domestic and Foreign Travel

Expenditure on domestic travel amounted to Kshs.231.82 million and comprised Kshs.154 million spent by the County Assembly and Kshs.77.78 million by the County Executive. Expenditure on foreign travel amounted to Kshs.17.7 million and comprised Kshs.6.69 million by the County Assembly and Kshs.11 million by the County Executive. Expenditure on foreign travel is summarised in Table 3.655.

Table 3.655: Summary of Expenditure on Foreign Travel in the first nine months of FY 2025/26

Arm of County Government	No. of Officers Travelled	Dates travelled	Purpose of the travel	Destination	Total Costs of the Travel (Kshs.)
County Executive	9	11/11/2025-20/11/2025	Partnership Summit	Spain	4,948,141
County Executive	11	16/7/2025-26/7/2025	Sister city celebration	USA Minneapolis	6,066,346

Source: Uasin Gishu County Treasury and Uasin Gishu County Assembly

3.44.13 Facility Improvement Financing

During the review period, the County reported collections of Kshs.391.54 million as FIF, which was 80.4 per cent of the annual target of Kshs.76.8 million. The collected amount was retained and utilised at source in line with the Facility Improvement Financing Act, 2023. The expenditure by the health facilities amounted to Kshs.391.54 million, as shown in Table 3.656.

Table 3.656: Uasin Gishu County Health Facilities Expenditure Performance in the first nine months of FY 2025/26

No.	Health Facility	Number of Facilities	Approved Budget (Kshs.)	Actual Expenditure (Kshs.)	Absorption rate (%)
1	Level 5 Hospital	-	-	-	
2	Level 4 Hospital	5	173,058,385.34	173,058,385.34	100
3	Level 3 Facility	28	138,190,635.57	138,190,635.57	100
4	Level 2 Facility	97	80,287,249.60	80,287,249.60	100
	Total	**130**	**391,536,270.51**	**391,536,270.51**	

Source: *Uasin Gishu County Treasury*

3.44.14 Development Expenditure

In the review period, the County reported spending Kshs.1 billion on development programmes, representing a decrease of 53 per cent compared to FY 2024/25, when the County spent Kshs.2.14 billion. Table 3.657 summarises the development projects with the highest expenditure in the reporting period.

The decrease in development expenditure was attributed to the slow implementation of e-Government procurement processes.

Table 3.657: Uasin Gishu County, List of Development Projects with the Highest Expenditure

No	Sector	Project Name	Project Location	Project Commencement Date	Expected date of Completion of the Project	Contract sum (Kshs)	Total Funding in FY 2025/26 (Kshs.)	Expenditure (in accrual basis) in the First nine months of FY 2025/26 (Kshs.)	Cumulative project expenditure (on an accrual basis) as of 30th March 2026 (Kshs.)	Percentage (%) of Completion
1	Clinical Services	Construction of the Turbo Level IV Hospital	Tapsagoi ward	May-23	May-25	705,710,330	50,000,000	48,330,496	159,382,390	21
2	Roads, Transport and Public Works	grading and gravelling	county wide			79,741,335	409,508,517	79,741,335	79,741,335	25
3	Agriculture and Agribusiness	Purchase of Coffee Seedlings	Chebororwa ATC	1st July 2024	30th June 2025	56,000,000	62,000,000	56,000,000	56,000,000	98
4	Water, Irrigation and Sanitation	Nigeria South Dispensary	Megun	17/02/2025	25-Nov	26,796,287	30,000,000	6,435,476	26,796,287	100
5	Water, Irrigation and Sanitation	Kapchepkwony Water Project	Soy	06/03/2025	25-Dec	24,510,277	30,000,000	24,510,277	24,510,277	100
6	Education and Vocational Training	Ngenyilel VTC	Ngenyilel	1st August, 2025	30th June, 2026	19,640,175	21,000,000	19,640,175	19,640,175	100
7	Water, Irrigation and Sanitation	Tumoge Spring Water Project	Tulwet/ Chuiyat	25-Apr	25-Oct	14,745,628	15,000,000	4,525,544	14,745,628	100
8	Water, Irrigation and Sanitation	Sigilai Bombo Water Project	Tulwet/ Chuiyat	25-Mar	25-Jul	13,760,604	15,000,000	5,978,707	13,760,604	100
9	Water, Irrigation and Sanitation	Saniak Water Project	Ziwa	10/06/2025	10/12/2025	4,998,500	5,000,000	4,998,500	4,998,500	100
10	Roads, Transport and Public Works	Construction Of Bindura-Tulwet Box Culvert	Tarakwa Ward	04/04/2025	08/04/2025	4,997,906	5,000,000	4,997,906	4,997,906	100

Source: *Uasin Gishu County Treasury*

The County reported 4 stalled development projects as of 31st March 2026, with an estimated value of Kshs.466.92 million, of which Kshs.129.58 million has already been paid. The stalled projects are shown in Table 3.658.

Table 3.658: County Stalled Projects as of 31st March 2026

No	Sector	Project name	Project location	Project commencement date	Expected date of completion of the project	Estimated value of the project (KSh)	Amount paid on the stalled project (KSh)	Accrued Expenditure on the stalled project (KSh)	Outstanding/ unpaid balance as at 31st March 2026 (KSh)	Percentage (%) of completion
1	Gender and Social Protection	Phase 1 Special Needs Assessment, Training and Rehabilitation Centre, Chebolol	Cheptiret/ Kipchamo ward	01/06/2022	30/12/2023	175,875,101	24,108,043.72	70,459,852.60	151,767,057.28	13.7
2	ARUD	Consultancy services for the preparation of Uasin Gishu County Physical and Land Use Development Plan	Countywide	25-Mar	27-Mar	288,043,312	100,000,000	-	-	15

No	Sector	Project name	Project location	Project commencement date	Expected date of completion of the project	Estimated value of the project (KSh)	Amount paid on the stalled project (KSh)	Accrued Expenditure on the stalled project (KSh)	Outstanding/ unpaid balance as at 31st March 2026 (KSh)	Percentage (%) of completion
3	ARUD	Consultancy services for the Local Physical and Land Use Development Plan for Kabomoi and Karuna trading centres	Kabomoi and Karuna trading centres	25-Feb	25-Apr	3,490.800	3,500,000	-	-	30
4	ARUD	Consultancy services for Local Physical and Land use development plan for Kerotet-Kiborokwa trading centre and survey of public utilities in Kimumu Township	Kiborokwa trading centre	23-Jun	24-Nov	2,998,600	1,973,950	-	2,248,950	95
		Total				**466,917,013**	**129,581,994**	**70,459,853**	**154,016,007**	

Uasin Gishu County Treasury

3.44.15 Budget Performance by Department

Table 3.659 summarises the approved budget allocation, expenditure, and absorption rate by department for the period under review.

Table 3.659: Uasin Gishu County, Budget Allocation and Absorption Rate by Department in the first nine months of FY 2025/26

Department	Budget Allocation (Kshs.Millions)		Exchequer Issues (Kshs.Millions)		Expenditure (Kshs. Millions)		Expenditure to Exchequer Issues (%)		Absorption rate (%)	
	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev
Finance	1,185	-	494		494		100	-	42	-
Public Service Management	1,102	-	628		628		100	-	57	-
ICT, E-Government and Innovation	79	30	35	13	35	13	100	100	44	44
Roads, Transport and Public Works	595	1,659	423	367	423	367	100	100	71	22
Clinical Services	2,135	444	1,159	124	1,420	124	122	100	67	28
Agriculture and Agribusiness	272	495	181	102	181	102	100	100	67	21
Trade, Industry, Investment and Tourism	210	193	36	38	36	38	100	100	17	20
Education and Vocational Training	749	299	410	20	410	20	100	100	55	7
County Public Service Board	89	-	26		26		100	-	30	-
County Assembly	889	110	530		611		115	-	69	-
Economic Planning	162	-	75		75		100	-	46	-
Administration and Devolution	233	500	67	-	67	-	100	-	29	-
Youth and Sports Development	418	98	194	10	194	10	100	100	46	10

Department	Budget Allocation (Kshs.Millions)		Exchequer Issues (Kshs.Millions)		Expenditure (Kshs. Millions)		Expenditure to Exchequer Issues (%)		Absorption rate (%)	
	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev
Co-Operatives and Enterprise Development	104	4	34	-	34	-	100	-	32	-
Livestock Development and Fisheries	73	172	35	36	35	36	100	100	48	21
Eldoret Municipality	128	649	46	9	46	9	100	100	36	1
Promotive and Preventive Health	609	135	400	12	400	12	100	100	66	9
Energy, Environment, Climate Change and Natural Resources	104	532	13	93	13	93	100	100	13	18
Partnership, Liaison and Linkages	52	-	13	-	13	-	100	-	25	-
Gender, Social Protection and Culture	189	-	41	6	41	6	100	100	22	-
Housing and Urban Development	108	1,229	15	2	15	2	100	100	14	0
Lands and Physical Planning	73	309	25	9	25	9	100	100	35	3
Water, Irrigation and Sanitation	216	585	63	164	63	164	100	100	29	28
Office of the County Attorney	86	-	15	-	15	-	100	-	17	-
Total	**9,985**	**7,442**	**5,021**	**1,006**	**5,363**	**1,006**	**107**	**100**	**54**	**14**

Source: *Uasin Gishu County Treasury*

Analysis of expenditure by departments shows that the Department of CT, E-Government and Innovation recorded the highest absorption rate of development budget at 44.1 per cent, followed by the Department of Clinical Services at 28 per cent. The Department of Roads, Transport and Public Works had the highest percentage of recurrent expenditure to budget at 71.2 per cent, while the Department of the Office of the County Attorney had the lowest at 16.8 per cent.

3.44.16 Budget Execution by Programmes and Sub-Programmes

Budget execution was concentrated in selected performance bands. The county's reported sub-programmes were predominantly in the lower performance bands. In the 1–10 per cent band, development absorption was reported for energy services under the Department of Energy and Environment at 4 per cent, for housing development services under the Department of Housing and Urban Development at 7 per cent, for roads infrastructure development at 7 per cent, and for breeding services under the Department of Agriculture at 10 per cent.

In the 11–20 per cent band, recurrent absorption was reported for legal services under the Department of County Attorney at 16.2 per cent. In the 21–30 per cent band, recurrent absorption was reported for social protection and safety nets under the Department of Gender at 20.1 per cent, for the standard weighbridge under the Department of Trade at 21.2 per cent, for administrative and support services at 27 per cent, and for drilling of boreholes at 27.9 per cent.

In the 31–40 per cent band, recurrent absorption was reported for ICT services at 30.4 per cent.

Low absorption across the reported sub-programmes reflected slow implementation in energy, housing, roads, breeding, legal, social protection and weighbridge sub-programmes during the review period.

Table 3.660 summarises budget execution by programmes and sub-programmes in the period under review with the highest absorption rates.

Table 3.660: Budget Execution by Programmes and Sub-Programmes with Highest Absorption Rates

Programme	Sub-Programme	Description	Gross Approved Estimates FY 2025/26 (Kshs.)	Expenditure (including accrued expenditure) as of 31st March 2026 (Kshs.)	Absorption Rate (%)
Development					
214004310			50,000,000	2,233,100	4
	214014310	SP Energy Services	50,000,000	2,233,100	4
122004310			30,000,000	2,089,220	7
	122014310	SP Housing Development Services	30,000,000	2,089,220	7
204004310		ROADS INFRASTRUCTURE DEVELOPMENT	397,000,000	29,225,457.30	7
	101034310	Breeding services	150,000,000	14,736,897	10
Reccurent					
115004310			66,390,358	10,729,609.45	16.2
	115014310	SP Legal Services	66,390,358	10,729,609.45	16.2
512004310			8,000,000	1,608,000	20.1
	512024310	SP Social Protection & Safety Nets	8,000,000	1,608,000	20.1
305004310		WEIGHTS AND MEASUREMENTS	36,715,854	7,799,118	21.2
	305014310	Standard weighbridge	36,715,854	7,799,118	21.2
202004310		ADMINISTRATIVE SUPPORT SERVICES	639,306,634	172,638,958	27.0
	202044310	Administrative and Support Services	639,306,634	172,638,958	27.0
	901014310	Drilling of boreholes	167,891,402	46,842,020.40	27.9
216004310			59,206,559	18,025,294.30	30.4
	216014310	SP ICT Services	59,206,559	18,025,294.30	30.4

***Source**: Uasin Gishu County Treasury*

The development sub-programmes with the lowest budget implementation rates were: Energy Services in the Department of Energy and Environment at 4 per cent, Housing Development services in the Department of Housing and Urban Development at 7 per cent, and breeding services in the Department of Agriculture at 10 per cent.

For recurrent sub-programmes, the lowest-performing included: legal services in the Department of County Attorney at 16 per cent, social protection and safety nets in the Department of Gender at 20 per cent, and standard weighbridge in the Department of Trade at 21 per cent.

3.44.17 Settlement of Trade Payables

As of 1st July 2025, the County reported trade payables totalling Kshs.1.55 billion. This amount consisted of Kshs.1.44 billion from the County Executive and Kshs.113.58 million from the County Assembly. The trade payables from the County Executive comprised Kshs.1.24 billion for recurrent expenditure and Kshs.199.65 million for development expenditure.

During the reporting period, the County Executive settled trade payables amounting to Kshs.510.09 million, comprising Kshs.420.39 million (34 per cent) for recurrent programmes and Kshs.89.7 million (45 per cent) for development programmes. On the other hand, the County Assembly settled trade payables amounting to Kshs.38.75 million (34 per cent) for recurrent activities. The outstanding trade payables as of 31st March 2026 were Kshs.928.09 million for the County Executive and Kshs.134.23 million for the County Assembly.

Table 3.661 provides additional details of trade payables.

Table 3.661: Uasin Gishu County Trade Payables as of 31st March 2026

	County Entity	Development (Kshs.)	Recurrent (Kshs.)	Total (Kshs.)
As at 1 July 2025 (End of FY 2024/25)	County Executive	199,652,333	1,238,530,152	1,438,182,484
	County Assembly	-	113,579,633	113,579,633
	Total	199,652,333	1,352,109,785	1,551,762,117
Amount paid in FY 2025/26	County Executive	89,700,328	420,391,303	510,091,631
	County Assembly		38,748,929	38,748,929
	Total	89,700,328	459,140,232	548,840,560
Trade Payables Incurred in FY 2025/26	County Executive	-	-	-
	County Assembly	-	112,862,225	112,862,225
	Total	-	112,862,225	112,862,225
Outstanding Trade Payables as of 31 March 2026(Kshs.)	County Executive	109,952,004	818,138,849	928,090,853
	County Assembly		134,226,390	134,226,390
	Total	**109,952,004**	**952,365,239**	**1,062,317,243**

Source: *Uasin Gishu County Treasury*

The County Executive and the Assembly submitted a trade payables payment plan, committing to pay Kshs.950 million and Kshs.199.65 million on recurrent and development expenditure, respectively, in FY 2025/26. The County did not adhere to this payment plan, as it cleared Kshs.429.39 million for the Executive and Kshs.38.75 million for the Assembly.

Table 3.662 and Table 3.663 present the ageing of the total outstanding bills as of 31st March 2026 for the County Executive and Assembly, which were Kshs.928.08 million

Table 3.662: Uasin Gishu County Executive Trade Payables Ageing Analysis as of 31st March 2026

Category	Ageing analysis (Amount in Kshs.)				Total
	Under one year	1-2 years	2-3 years	Over 3 years	
County Executive					
Development Trade Payables	**100,555,604**	**9,396,400**	**-**	**-**	**109,952,004**
Recurrent Trade Payables (Goods & Services)	171,389,201	208,634,257	12,590,595	13,736,215	406,350,269
Recurrent Trade Payables (Salary Arrears and Statutory Deductions)	21,433,701	-	390,345,879		411,779,579
Recurrent Trade Payables (Staff Claims)	-	-	-	-	-
Total Recurrent Trade Payables	192,822,902	208,634,257	402,936,474	13,736,215	818,129,849
Total Trade Payables	**293,378,506**	**218,030,657**	**402,936,474**	**13,736,215**	**928,081,853**
% of Total	**31.6**	**23.5**	**43.4**	**1.5**	**100**

Source: *Uasin Gishu County Treasury*

Table 3.663: Uasin Gishu County Assembly Trade Payables Ageing Analysis as of 31st March 2026

Category	Ageing analysis (Amount in Kshs.)				Total
	Under one year	1-2 years	2-3 years	Over 3 years	
County Assembly					
Development Trade Payables					-
Recurrent Trade Payables (Goods & Services)	34,408,109	22,210,758	19,415,680	4,456,680	80,491,227
Recurrent Trade Payables (Salary Arrears and Statutory Deductions)	17,822,138	35,644,277			53,466,415
Recurrent Trade Payables (Staff Claims)	268,748				
Total Recurrent Trade Payables	**52,498,995**	**57,855,035**	**19,415,680**	**4,456,680**	**134,226,390**

Category	Ageing analysis (Amount in Kshs.)				Total
	Under one year	1-2 years	2-3 years	Over 3 years	
Total Trade Payables	52,498,995	57,855,035	19,415,680	4,456,680	134,226,390
% of Total	60	18	20	2	100

Source: *Uasin Gishu County Treasury*

As shown in Table 3.662 and Table 3.663, the total salary arrears and statutory deductions for trade payables amounted to Kshs 481.25 million, representing 48 per cent of the total trade payables of Kshs.1 billion as of March 31, 2026. Additionally, the two tables indicate that 43 per cent of total trade payables are aged between 2 and 3 years.

3.44.18 Implementation of the Equalisation Fund by Uasin Gishu County

During the review period, the County did not receive equalisation funds.

3.44.19 General Observations and Recommendations

In the course of overseeing and reporting on the implementation of the Uasin Gishu County budget, the CoB identified the following challenges, which hampered effective budget implementation;

i. The County Treasury's late submission of financial reports to the Controller of Budget affected the timely preparation of the budget implementation report, which was received on 26th April 2026.
ii. Low development performance in the review period as the County incurred Kshs.1 billion on development activities, achieving a 13 per cent absorption rate.
iii. Fund Administrators failed to submit quarterly financial and non-financial reports to the CoB within the timelines provided by law, which is against the requirement of Section 168 of the PFM Act, 2012. The reports for the County Assembly Car and Mortgage Fund and the FLLoCA (Climate change fund - 2% of Development) Fund were not submitted to the CoB as of 15 April 2026.
iv. High level of trade payables, which amounted to Kshs.1.06 billion as of 31st March 2026. Furthermore, the County Treasury did not adhere to the trade payables payment plan.
v. Non-submission of copies of authorisation letters for opening commercial bank accounts as per Regulation 82(5) of the Public Finance Management (County Governments) Regulations, 2015.

The County should implement the following recommendations to improve budget execution:

i. *The County Treasury should ensure the timely preparation and submission of financial reports to the Controller of Budget per the timelines prescribed in Section 166 of the PFM Act, 2012.*
ii. *The County should implement strategies to increase development expenditures in FY 2025/26.*
iii. *The CECMF should follow up to ensure Fund Administrators prepare and submit statutory reports in line with the PFM Act, 2012.*
iv. *The County Leadership should address the situation of trade payables to ensure that genuine bills are paid promptly in the remaining financial year. Further, compliance with the Trade Payables Action Plan should be enforced.*
v. *The County Treasury should ensure it submits copies of authorisation letters to the CoB for opening commercial bank accounts to enhance accountability and oversight.*

3.45. County Government of Vihiga

3.45.1 Overview of FY 2025/26 Budget

The Vihiga County Approved Supplementary Budget for FY 2025/26 is Kshs.7.93 billion. It comprises Kshs.2.68 billion (34 per cent) and Kshs.5.24 billion (66 per cent) in allocations for development and recurrent programmes, respectively. The budget estimates represent an increase of Kshs.820.32 million (12 per cent) from the FY 2024/25 budget, comprising a development budget of Kshs.2.29 billion and a recurrent budget of Kshs.4.82 billion. The increase in the budget was primarily attributable to higher own-source revenue and additional CARA allocations.

The budget is to be financed from various revenue sources. These include the equitable share of revenue raised nationally of Kshs.6.01 billion (76 per cent), additional allocations of Kshs.1.44 billion (18 per cent), a cash balance brought forward from FY 24/25 of Kshs.21.06 million (0.3 per cent) and Kshs.452.71 million (6 per cent) generated as own-source revenue. A breakdown of the additional allocations is shown in Table 3.664

3.45.2 Revenue Performance

During the first nine months of FY 2025/26, the County reported total revenues of Kshs.5.33 billion. This amount represented an increase of 28 per cent compared to the amount received in a similar period in FY 2024/25 of Kshs.4.17 billion. The total revenue consisted of Kshs.4.48 billion from the equitable share of revenue raised nationally, additional allocations from the national government and development partners of Kshs.480.14 million, and own-source revenue (OSR) collection of Kshs.350.16 million. Additionally, the County had a cash balance of Kshs.21.06 million from FY 2024/25. The total OSR collection of Kshs.350.16 million included Facilities Improvement Financing (FIF) of Kshs.194.75 million and Kshs.155.41 million from other OSR sources.

Table 3.664 summarises the total revenue available to the County Government during FY 2025/26.

Table 3.664: Vihiga County, Revenue Performance in the first nine months of FY 2025/26

No	Revenue Stream	Annual Targeted Revenue (Kshs.)	Actual Receipts (Kshs.)	Receivables in the first nine months of FY 2025/26 (Kshs.)	Total Revenues (in accrual basis) in the first nine months of FY 2025/26 (Kshs.)	Revenue Performance (%)
		B	C	D	E	F=E/B*100
A	**Unspent Balance from FY 2023/24**					
1	Balance At CRF	**21,063,163**	**21,063,163**	-	**21,063,163**	100
	Sub-Total	**21,063,163**	**21,063,163**		**21,063,163**	**100**
B	**Equitable Share of Revenue Raised Nationally**	6,008,751,224	3,995,819,546	480,700,098	4,476,519,644	74
	Sub-Total	**6,029,814,387**	**3,995,819,546**	**480,700,098**	**4,476,519,644**	**74**
C	**Additional Allocations (Including Grants)**					
1	**Conditional Additional Allocations from The National Government's**					
a	Settlement of Doctors' Salary Arrears	15,044,112	-	-	-	-
b	Allocations For 0.5 % Of Housing Levy Fund to the County Rural and Urban Affordable Housing Committees	1,987,622	-	-	-	-
2	**Conditional Allocations from Loans and Grants**					
1	Aggregated Industrial Parks Programme	250,000,000	250,000,000	-	250,000,000	100
2	Community Health Promoters (CHPS)	43,380,000	-	-	-	-
3	Nutritional International	2,126,051	-	-	-	-
4	Primary Health Care In Developed Context Programme (DANIDA)	14,663,250	-	-	-	-
5	Flloca-County Climate Resilient Investment (CCRI) Grant	181,365,284	112,571,213	-	112,571,213	62
6	Kenya Devolution Support Programme II (KDSP II) Level 1 Grant	73,787,955	37,128,471	-	37,128,471	50
7	Kenya Devolution Support Programme II (KDSP II) Level 2 Grant	352,500,000	-	-	-	-
8	Kenya Urban Support Programme - UIG Grant	60,309,300	2,500,000	-	2,500,000	4
9	Kenya Urban Support Programme - UDG Grant	18,278,289	-	-	-	-

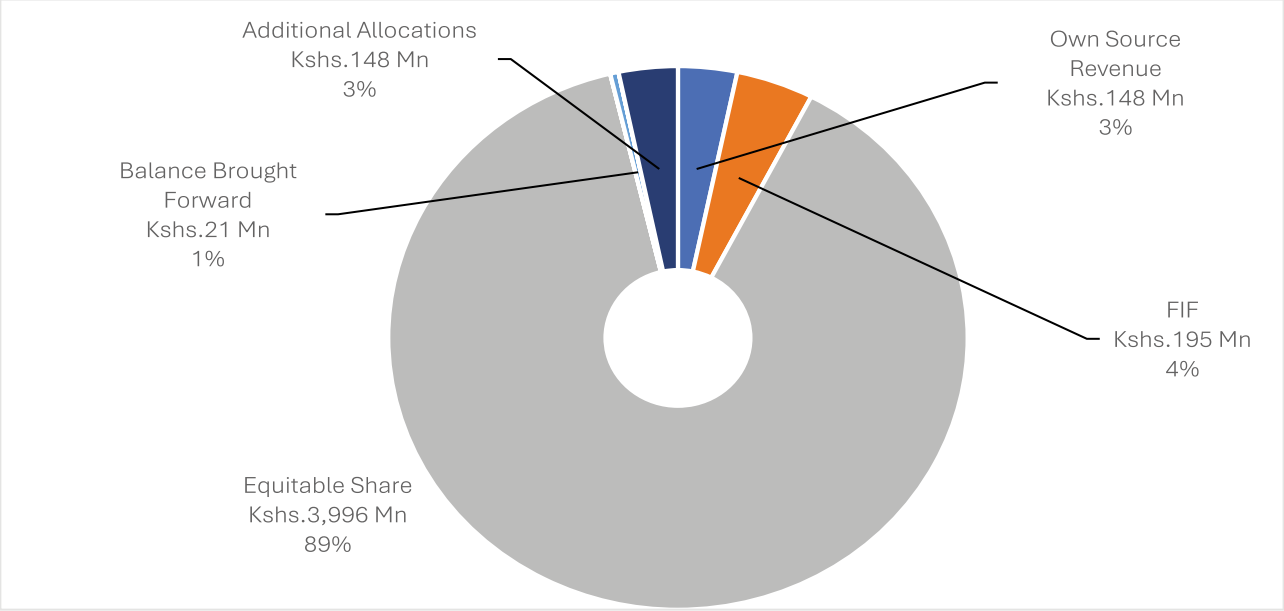
No	Revenue Stream	Annual Targeted Revenue (Kshs.)	Actual Receipts (Kshs.)	Receivables in the first nine months of FY 2025/26 (Kshs.)	Total Revenues (in accrual basis) in the first nine months of FY 2025/26 (Kshs.)	Revenue Performance (%)
		B	C	D	E	F=E/B*100
10	Kenya Water, Sanitation, and Hygiene (K-WASH) Programme.	130,000,000	-	-	-	-
11	National Agriculture Value Chain Development Projects (NAVCDP)	260,555,638	77,944,709	-	77,944,709	30
12	Road Maintenance Fuel Levy (RMFL)	37,535,760	-	-	-	-
13	Vihiga County Vocational Training Centre Capitation Account	**2,157,034**	-	-	-	-
	Sub-Total	**1,443,690,295**	**480,144,393**	**-**	**480,144,393**	
D	**Ordinary Own Source Revenue (OSR)**					
1	Parking Fee	6,413,307	7,479,403	-	7,479,403	117
2	Bus Park	27,828,003	29,172,312	-	29,172,312	105
3	Markets	11,003,436	9,993,302	-	9,993,302	91
4	Single Business Permits	45,202,182	40,125,266	-	40,125,266	89
5	SBP Application	187,000	264,500	-	264,500	141
6	Conservancy Fee	6,542,000	4,587,000	-	4,587,000	70
7	SBP Penalty	261,640	86,273	-	86,273	33
8	Fines and Penalties	858,371	972,200	-	972,200	113
9	Land Rates	579,306	1,212,741	-	1,212,741	209
10	Stall Rent	2,612,356	1,536,500	-	1,536,500	59
11	House Rent	3,249,075	2,535,700	-	2,535,700	78
12	Commission	1,462,263	-	-	-	-
13	Sand\Murram	2,214,100	2,016,760	-	2,016,760	91
14	Water Administration	569,000	66,500	-	66,500	12
15	Plan App and Approval	1,449,750	2,250,450	-	2,250,450	155
16	Physical Planning	2,400,900	4,530,950	-	4,530,950	189
17	Ground/Site Rent	370,475	380,260	-	380,260	103
18	Advertisement	3,887,399	4,485,500	-	4,485,500	115
19	Wall & Vehicle Branding	16,542,600	10,227,424	-	10,227,424	62
20	Land Boundary\Disputes	140,000	245,000	-	245,000	175
21	Slaughter Management	1,902,030	1,023,740	-	1,023,740	54
22	Stock Sales	3,239,380	2,982,550	-	2,982,550	92
23	Motorbike Stickers	5,320,500	4,537,050	-	4,537,050	85
24	Weights & Measures	488,800	394,250	-	394,250	81
25	Signages	1,467,439	863,500	-	863,500	59
26	Way Leave Application	1,860,484	853,010	-	853,010	46
27	Veterinary & Fisheries	2,176,556	2,276,530	-	2,276,530	105
28	Search Fees	5,000	52,000	-	52,000	1040
29	Renovation	245,400	417,500	-	417,500	170
30	Building Inspection Fee	957,000	953,200	-	953,200	100
31	Hire of Machines	70,000	529,800	-	529,800	757

No	Revenue Stream	Annual Targeted Revenue (Kshs.)	Actual Receipts (Kshs.)	Receivables in the first nine months of FY 2025/26 (Kshs.)	Total Revenues (in accrual basis) in the first nine months of FY 2025/26 (Kshs.)	Revenue Performance (%)
		B	C	D	E	F=E/B*100
32	Fire Inspection Fee	990,500	753,000	-	753,000	76
33	Scrutiny Mechanical	1,237,720	644,000	-	644,000	52
34	Scrutiny Electrical	1,289,620	574,000	-	574,000	45
35	Noise Pollution	183,200	336,420	-	336,420	184
36	Toilet Fees	500,000	144,870	-	144,870	29
37	Hoarding	159,000	207,000	-	207,000	130
38	Clearance Certificate Fee	16,000	29,500	-	29,500	184
39	Change of User	229,000	212,000	-	212,000	93
40	Tea Cess	3,434,173	1,238,669	-	1,238,669	36
41	Hire of Ground	370,475	142,750	-	142,750	39
42	Cooperatives	58,674	78,800	-	78,800	134
43	Education	100,000	30,000	-	30,000	30
44	Disposal of County Asset	4,644,250	24,970	-	24,970	1
45	Receipts from Related Parties	2,654,987	5,702,979	-	5,702,979	215
46	Miscellaneous	2,622,842	1,280,547	-	1,280,547	49
	Sub-Total	**169,996,193**	**148,450,676**	**-**	**148,450,676**	
E	**Facility Improvement Financing (FIF)**					
1	Public Health (A.I.A)	5,131,585	3,408,745	-	3,408,745	66
2	Hospitals- Cash (A.I.A)	43,015,061	35,145,001	-	35,145,001	82
3	**SHA/SHIF**	225,982,692	156,196,865	-	156,196,865	69
	Sub-Total	**274,129,338**	**194,750,611**	**-**	**194,750,611**	
F	**Other Revenues**					
1	Liquor License Fee	5,546,821	4,430,114	-	4,430,114	80
2	Vihiga FM Receipts	514,089	1,133,855	-	1,133,855	221
3	Gold	2,524,643	1,394,000	-	1,394,000	55
	Sub-Total	**8,585,553**	**6,957,969**	**-**	**6,957,969**	-
Total		**7,926,215,766**	**4,847,186,358**	**480,700,098**	**5,327,886,456**	**67**

Source: *Vihiga County Treasury*

The County has no governing legislation on the operation of ordinary A-I-A and FIF. Figure 3.265 provides a detailed breakdown of receipts.

Figure 3.265: Vihiga County Composition of Revenue in the first nine months of FY 2025/26

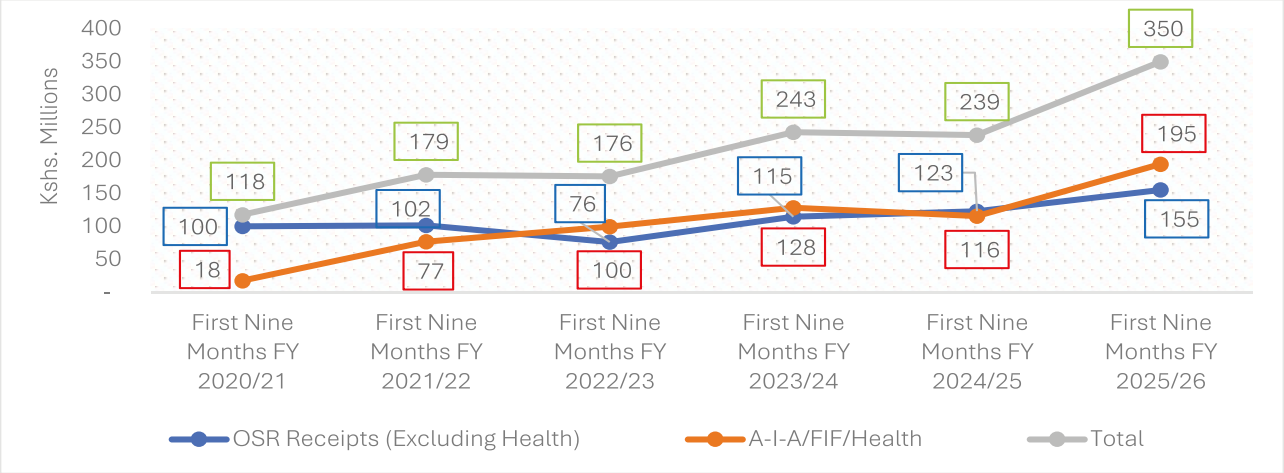


Source: *Vihiga County Treasury*

The equitable share of revenue raised nationally, OSR, and FIF contributed 89, 3 and 4 per cent, respectively, of the total receipts for the reporting period.

Figure 3.266 shows the collection trend in own-source revenue from the first nine months of FY 2020/21 to the first nine months of FY 2025/26.

Figure 3.266: Vihiga County Trend in Own-Source Revenue Collection from the first nine months of FY 2020/21 to the first nine months of FY 2025/26



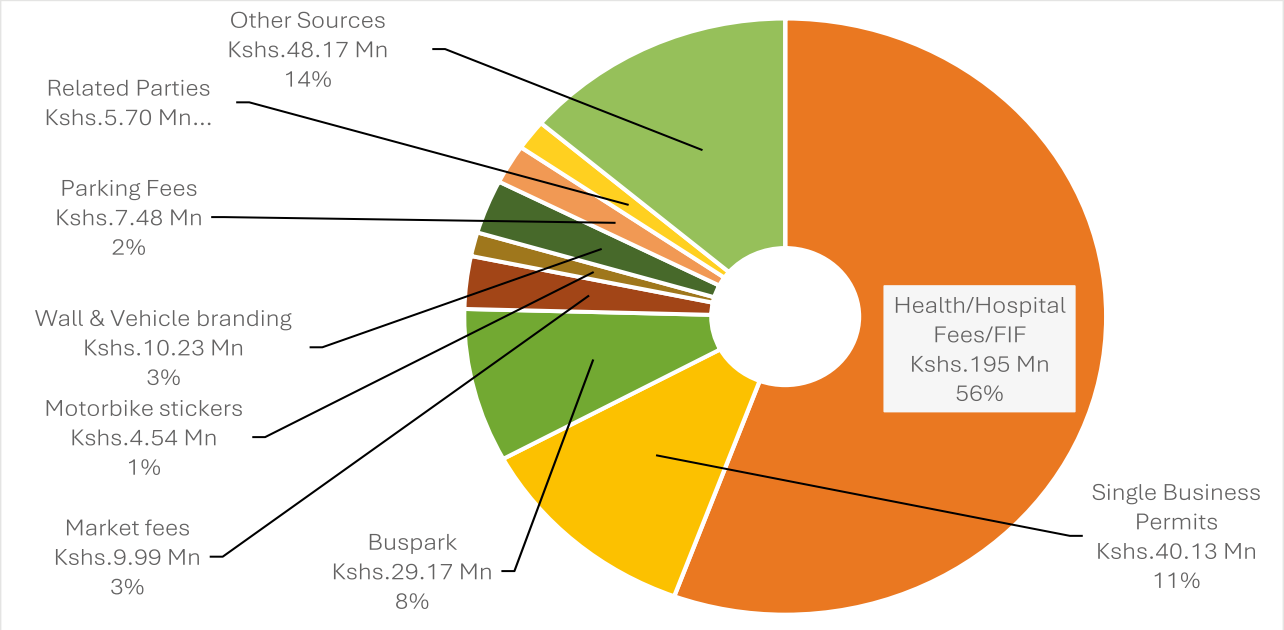
Source: *Vihiga County Treasury*

During the first nine months of FY 2025/26, the County received Kshs.350.16 million from OSR, including FIF. This amount was an increase of 47 per cent compared to Kshs.238.95 million realised in a similar period in FY 2024/25, and was 77 per cent of the annual target and 9 per cent of the equitable revenue share disbursed.

The increase in own-source revenue was due to timely reimbursement of claims from SHIF and the automation of revenue collection systems to mitigate loopholes.

The revenue streams that contributed the most to OSR receipts are shown in Figure 3.267

Figure 3.267: Vihiga County Top Own Source Revenue Streams in the first nine months of FY 2025/26



Source: Vihiga County Treasury

As shown in Figure 3.267, the largest revenue stream, at Kshs.195 million, was Health/Hospital Fees/FIF, accounting for 56 per cent of total OSR receipts. The County Government indicated that it has automated 45 of 47 revenue streams. The system utilised for FIF revenue collection is the Hospital Information Management System (HIMS), which has been in use since 2017.

3.45.3 Revenue Receivables

As of 31st March 2026, the county did not report any receivable revenue.

3.45.4 Borrowing by the County

Vihiga County Executive and Assembly did not report on accessing credit facilities with any bank as of 31st March 2026.

3.45.5 Withdrawals from the County Revenue Fund and County Assembly Fund

During the reporting period, the Controller of Budget approved exchequer withdrawal requests totalling Kshs.4.54 billion from the Vihiga County Revenue Fund (CRF) account. This amount consisted of Kshs.943.78 million (21 per cent) designated for development programs and Kshs.3.59 billion (79 per cent) allocated for recurrent programs.

An analysis of the released recurrent exchequers shows that Kshs.2.46 billion was allocated to employee compensation and Kshs.1.13 billion to operations and maintenance expenditures. Within the operations and maintenance category, 21 per cent was for domestic travel and 2 per cent for foreign travel. The domestic travel exchequers totalled Kshs.213.55 million, which included Kshs.80.43 million for the County Executive and Kshs.133.12 million for the County Assembly. Meanwhile, the foreign travel exchequers amounted to Kshs.35.59 million, with Kshs.15.45 million for the County Executive and Kshs.20.15 million for the County Assembly.

As of 31st March 2026, the County Government's cash balance in the Vihiga CRF account was Kshs.203.64 million.

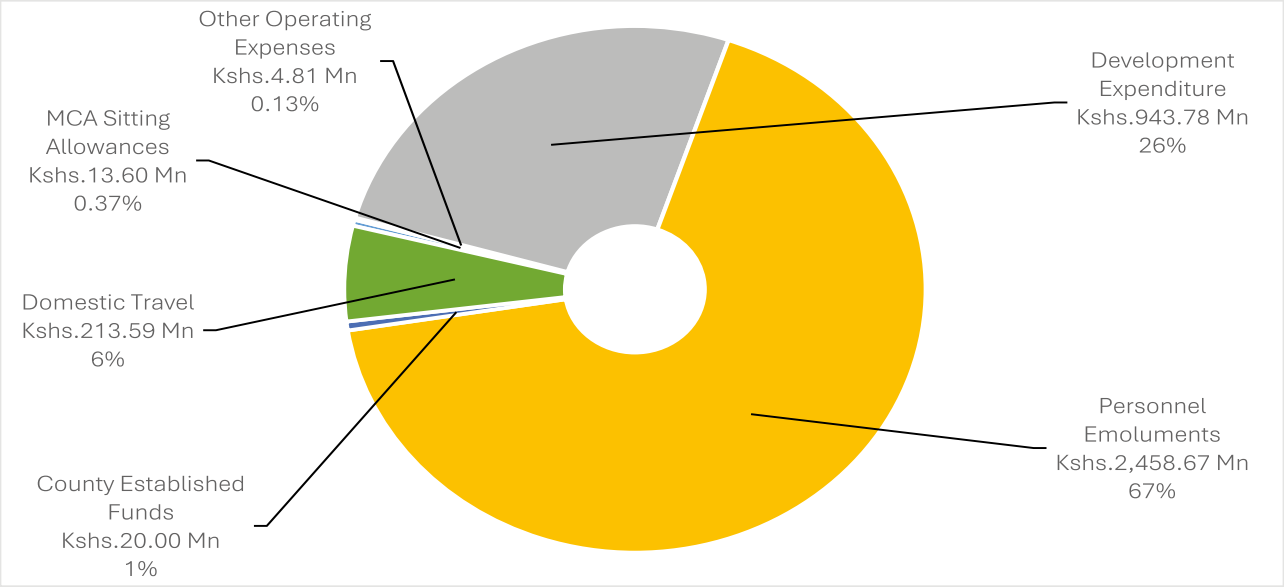
In addition, the Vihiga County Assembly has yet to operationalise the Vihiga County Assembly Fund (CAF); therefore, the Controller of Budget did not approve exchequer withdrawal requests from the Fund during the review period.

3.45.6 Expenditure Review

The County spent Kshs.4.54 billion on development and recurrent programmes during the reporting period. The expenditure represented 100 per cent of the total funds released by the CoB. It comprised Kshs.943.78 million for development programmes and Kshs.3.59 billion for recurrent programmes. Expenditure on development programmes accounted for 35 per cent of the annual development expenditure budget, while recurrent expenditure accounted for 69 per cent of the annual recurrent expenditure budget.

Figure 3.268 provides a detailed breakdown of total expenditure.

Figure 3.268: Vihiga Composition of Expenditure in the first nine months of FY 2025/26



Source: *Vihiga County Treasury*

As shown in Figure 3.268, the three highest expenditure categories were Personnel Emoluments, Development Expenditure, and Domestic Travel, contributing 67, 26, and 6 per cent of the total expenditure for the reporting period.

3.45.7 Expenditure by Economic Classification

The County Executive incurred Kshs.2.22 billion in employee compensation, Kshs.954.72 million in operations and maintenance, and Kshs.943.78 million in development activities. Similarly, the County Assembly spent Kshs.236.83 million on compensation of employees and Kshs.179.57 million on operations and maintenance, as shown in Table 3.665

Table 3.665: Vihiga County Summary of Budget and Expenditure by Economic Classification

Expenditure Classification	Approved Budget (Kshs.) (a)		Amount Paid in the first nine months of FY 2025/26 (Kshs.) (b)		Total Expenditure in the first nine months of FY 2025/26 (Kshs.) (d=b+c)		Absorption (%) (d/a*100)	
	Executive	Assembly	Executive	Assembly	Executive	Assembly	Executive	Assembly
Total Recurrent Expenditure	**4,524,551,912**	**719,818,046**	**3,176,560,246**	**416,401,556**	**3,176,560,246**	**416,401,556**	**70**	**58**
Compensation of Employees	2,744,710,456	365,419,946	2,221,838,885	236,832,717	2,221,838,885	236,832,717	81	65
Operations and Maintenance	1,779,841,456	354,398,100	954,721,361	179,568,839	954,721,361	179,568,839	54	51
Development Expenditure	**2,624,741,866**	**57,103,942**	**943,776,684**	**-**	**943,776,684**	**-**	**36**	**-**
Total	**7,149,293,778**	**776,921,988**	**4,120,336,930**	**416,401,556**	**4,120,336,930**	**416,401,556**	**58**	**54**

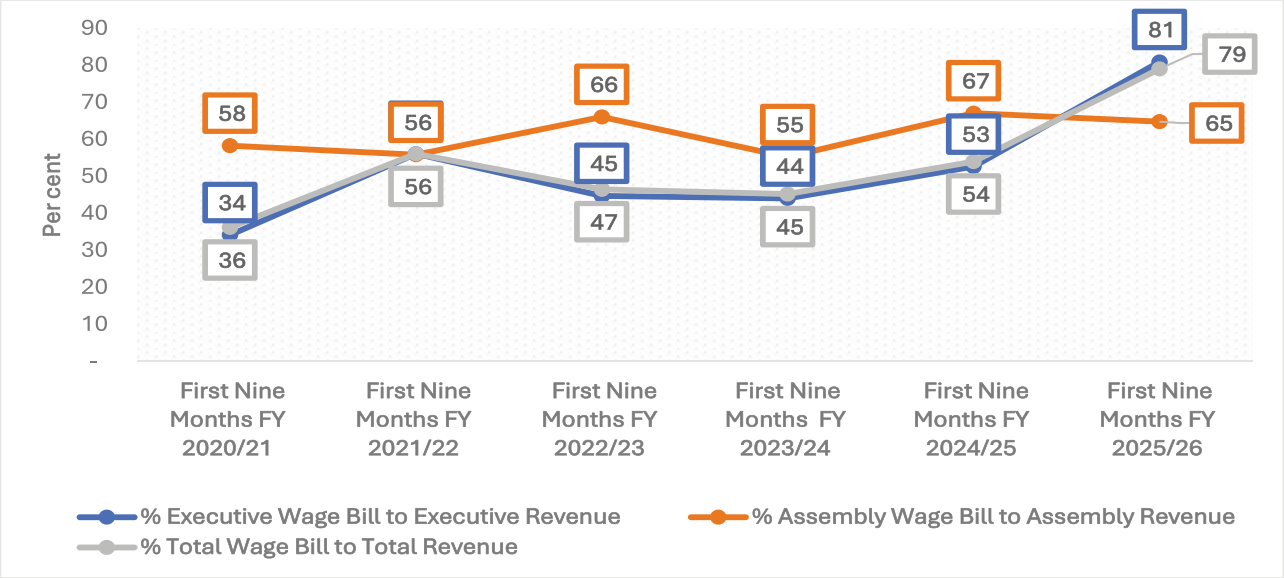
Source: *Vihiga County Treasury*

3.45.8 Expenditure on Employee Compensation

The expenditure on employee compensation totalled Kshs.2.46 billion, representing 46 per cent of revenue. This expenditure on employee compensation shows an increase compared to the Kshs.1.98 billion reported in a similar period in FY 2024/25. Of this total, Kshs.699.55 million related to Health Sector employees, accounting for 28 per cent of the overall employees' compensation.

Figure 3.269 shows the trend in employee compensation as a percentage of total revenue from the first nine months of FY 2020/21 to the first nine months of FY 2025/26.

Figure 3.269: Percentage of Employee Compensation Expenditure to Total Revenue Received in the first nine months of FY 2020/21 to the first nine months of FY 2025/26



Source: Vihiga County Treasury

Further analysis indicated that PE costs totalling Kshs.2.39 billion were processed through the Human Resource Information System (HRIS). In contrast, Kshs.7.31 million was processed through manual payrolls, which accounted for 0.3 per cent of the total PE cost. The justification for the continued use of manual payroll was mainly due to payments for community health workers who are not defined in the HRIS, top-up payments to security officers, and salaries for staff who are in the process of being onboarded into the HRIS system.

The manual payroll comprised salaries for staff not onboarded into the Human Resource Information System (HRIS), top-up allowances for security personnel, as shown in Table 3.666

Table 3.666: Breakdown of Vihiga County Manual Payroll

Sno.	Description of Manual Payroll	Amount (Kshs.)
	Salaries for staff yet to be onboarded into HRIS	1,499,950
	Top-up Allowances for Security Officers	5,806,110
	Total	**7,306,060**

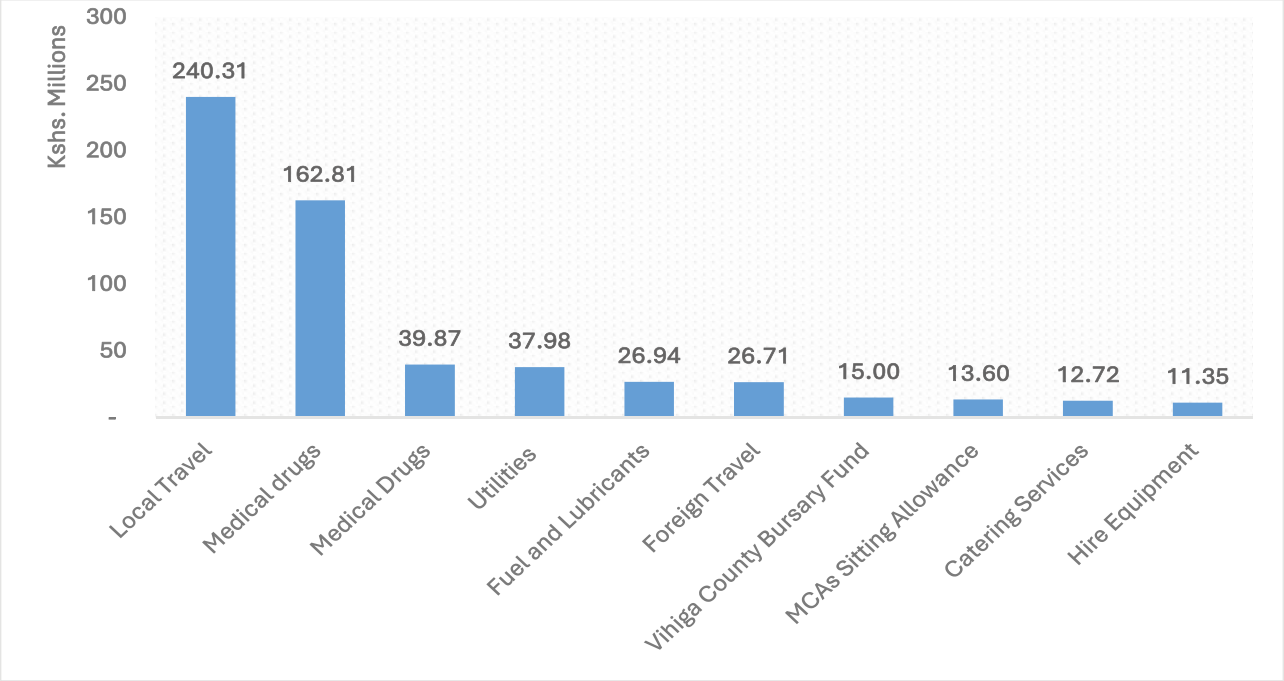
Source: Vihiga County Treasury

The County Assembly spent Kshs.13.60 million on committee sitting allowances for the 38 MCAs against the annual budget allocation of Kshs.30.68 million. The average monthly sitting allowance was Kshs.39,770 per MCA. The County Assembly has 24 House Committees.

3.45.9 Expenditure on Operations and Maintenance

During the reporting period, the County spent Kshs.1.13 billion on operations and maintenance, representing an increase of 54 per cent compared to a similar period in FY 2024/25, when the County spent Kshs.734.09 million. Figure 3.270 illustrates the distribution of Operations and Maintenance expenditures across the major spending categories.

Figure 3.270: Vihiga County, Operations and Maintenance Expenditure by Major Categories



Source: *Vihiga County Treasury*

3.45.10 Unbundling "Other Operating Expenses-other (IFMIS Code 2211399)" Under Operations and Maintenance Expenditures

The budget performance report for the first nine months of FY 2025/26 indicates that the County spent Kshs.4.81 million on "*other operating expenses other (IFMIS Code 2211399)*," which was 0.4 per cent of the total operations and maintenance expenditure of Kshs.1.13 billion. This expenditure category of Kshs.4.81 million was entirely for public participation. The disaggregated items under the "*Other Operating Expenses*" category is shown in Table 3.667.

Table 3.667: Breakdown of "Other Operating Expenses" under O&M Expenditures

Code	Item	Budget (Kshs)	Expenditure (Kshs.)
2211399	Other Operating Expenses	10,000,000	4,807,886
	Total	**10,000,000**	**4,807,886**

Source: *Vihiga County Treasury*

A review of the "other operating expenses- Other" item listed in the table revealed that the expenditure was incurred under public participation programmes.

3.45.11 County-Established Funds

Section 116 of the PFM Act 2012 allows County Governments to establish other public funds, subject to approval from the County Executive Committee and the County Assembly. The County allocated Kshs.35 million to County-Established funds in FY 2025/26, representing 0.4 per cent of the County's overall budget. The County allocated Kshs.5 million to the Emergency Fund in line with Section 110 of the PFM Act, 2012, accounting for 0.1 per cent of the total budget. Table 3.668 summarises each established Fund's budget allocation and performance during the reporting period.

Table 3.668: Performance of Vihiga County Established Funds in the first nine months of FY 2025/26

S/No.	Name of the Fund	Year Published	Approved Budget Allocation in FY 2025/26 (Kshs.)	Exchequer Issues in the first nine months of FY 2025/26 (Kshs.)	Cumulative disbursements to the Fund (Kshs)	Submission of Financial Statements (Yes/No.)
County Executive Established Funds						
1	Vihiga County Sports Fund	2016	5,000,000	5,000,000	70,000,000	Yes
2	Vihiga County Education Fund	2026	25,000,000	15,000,000	1,031,743,412	Yes
3	Vihiga County Emergency Fund	2019	5,000,000	5,000,000		Yes
	Total	**-**	**35,000,000**	**20,000,000**	**-**	**-**

Source: *Vihiga County Treasury*

During the reporting period, the CoB received quarterly financial reports from Vihiga County Sports Fund, Vihiga County Bursary Fund and Vihiga County Emergency Fund Administrators, as indicated in Table 3.668, in line with the requirement of Section 168 of the PFM Act, 2012. The County disclosed that administration costs for Vihiga County Sports, Vihiga County Education and Vihiga County Emergency Funds were within the 3 per cent limit of the Fund budget set in Regulation 197(1)(d) of the Public Finance Management (County Governments) Regulations, 2015.

Regulation 197(1)(i) of the Public Finance Management (County Governments) Regulations, 2015, allows County Governments to establish public funds with a lifespan capped at 10 years unless extended by the County Assembly. In FY 2025/26, the CoB determined that the lifespans of the Vihiga County Sports Fund, Vihiga County Education Fund and Vihiga County Emergency Fund had not lapsed. Consequently, the CoB approved withdrawal requests to support operations in line with the law.

3.45.12 County Corporations

The County has no County Corporation reported during the review period.

3.45.13 Expenditure on Domestic and Foreign Travel

Expenditure on domestic travel amounted to Kshs.213.59 million and comprised Kshs.133.12 million spent by the County Assembly and Kshs.80.43 million by the County Executive. Expenditure on foreign travel amounted to Kshs.27.55 million and comprised Kshs.27.55 million by the County Assembly and nil by the County Executive. Expenditure on foreign travel is summarised in Table 3.669.

Table 3.669: Summary of Expenditure on Foreign Travel in the first nine months of FY 2025/26

Arm of County Government	Number of Officers Travelled	Date travelled	Purpose of the travel	Destination	Actual Payment on Travel (a) (Kshs.)	Accrued Expenditure on Travel (b) (Kshs.)	Total Expenditure on Travel (c=a+b) (Kshs.)
County Assembly	1	14th to 18th July 2025	A workshop on Effective Legislative Processes, Pre/ Post Legislative Scrutiny	Arusha, Tanzania	401,066	-	401,066
County Assembly	7	24th Aug to 2nd Sep 2025	A workshop on Transformational Leadership and Legislative Development	Kampala, Uganda	2,210,579	-	2,210,579
County Assembly	7	28th Sep to 6th Oct, 2025	Integrated Strategy and Risk Management for Public Service Leaders	Jinja, Uganda	2,289,140	-	2,289,140
County Assembly	7	28th Sep to 5th Oct, 2025	Integrated Strategy and Risk Management for Public Service Leaders	Arusha, Tanzania	2,238,572	-	2,238,572
County Assembly	7	28th Sep to 5th Oct, 2025	A workshop on Formations, Roles and Functions of the Speakers Panel	Arusha, Tanzania	2,319,842	-	2,319,842

Arm of County Government	Number of Officers Travelled	Date travelled	Purpose of the travel	Destination	Actual Payment on Travel (a) (Kshs.)	Accrued Expenditure on Travel (b) (Kshs.)	Total Expenditure on Travel (c=a+b) (Kshs.)
County Assembly	4	12th to 29th December, 2025	Training on Results-Based Performance Management, Legislation and Leadership	Jinja, Uganda	1,290,020	-	1,290,020
County Assembly	12	12th to 29th to 29th Dec, 2025	Training on Strengthening Regional Integration for Sustainable Peace and Security	Jinja, Uganda	3,823,104	-	3,823,104
County Assembly	6	2nd to 8th February, 2026	CASB Benchmarking at Kampala Division, Urban Council	Kampala, Uganda	1,791,954	-	1,791,954
County Assembly	7	2nd to 8th February, 2026	Training on Integrated Strategy and Risk Management	Jinja, Uganda	2,289,140	-	2,289,140
County Assembly	7	2nd to 8th Feb 2026	Benchmarking at Kampala Division, Urban Council	Kampala, Uganda	2,221,415	-	2,221,415
County Assembly	7	16th to 20th Feb, 2026	Training on Integrated Strategy and Risk Management	Kampala, Uganda	4,506,040	-	4,506,040
County Assembly	7	21st to 28th Feb, 2026	A workshop on PFM/ Financial and Oversight Management	Ranburg, South Africa	2,167,200	-	2,167,200
Total					**27,548,072**	**-**	**27,548,072**

Source: Vihiga County Treasury and Vihiga County Assembly

3.45.14 Facility Improvement Financing (FIF)

During the review period, the County reported collections of Kshs.194.75 million as FIF, which was 71 per cent of the annual target.274.13 million. The collected amount was retained and utilised at source in line with the Facility Improvement Financing Act, 2023. The County, however, has not developed regulations to operationalise the FIF Act of 2023.

The expenditure by the health facilities amounted to Kshs.115.69 million, as shown in Table 3.670.

Table 3.670: Vihiga County Health Facilities Expenditure Performance in the first nine months of FY 2025/26

No.	Health Facility	Number of Facilities	Approved Budget (Kshs.)	Actual Expenditure (Kshs.)	Absorption rate (%)
1.	Level 5 Hospital	-	-	-	-
2.	Level 4 Hospital	1	179,931,084	100,454,170	56
3.	Level 3 Facility	5	52,780,000	15,239,174	29
4.	Level 2 Facility	70	-	-	-
	Total	**76**	**232,711,084**	**115,693,344**	**50**

Source: *Vihiga County Treasury*

3.45.15 Development Expenditure

In the review period, the County reported spending Kshs.943.78 million on development programmes, representing an increase of 64 per cent compared to FY 2024/25, when the County spent Kshs.602.16 million. Table 3.671 summarises the development projects with the highest expenditure in the reporting period.

The increase in development expenditure was attributed to increased settlement of trade payables.

Table 3.671: Vihiga County, List of Development Projects with the Highest Expenditure

No	Sector	Project Name	Project Location	Project Commencement Date	Expected date of Completion of the Project	Contract sum (Kshs)	Total Funding in FY 2025/26 (Kshs.)	Cumulative project expenditure (on an accrual basis) as of 31st March 2026 (Kshs.)	Percentage (%) of Completion
County Funded Projects									
1	Health Services	Construction of Emukunzi	Central Bunyore Ward	2024/2025	2024/2025	5,992,908	5,992,908	5,992,908	100
2	Education, Science, Technical and Vocational Training	Supply and Delivery of Tools and Equipment for VTCs	Lugaga/Wamulua Ward	2024/2025	2024/2025	11,198,900	11,198,900	5,000,000	45
3	Environment, Water, Energy and Natural Resources	Completion of the water project Phase II	Vihiga	2024/2025	2024/2025	4,903,485	4,903,485	4,903,485	100
4	Physical Planning, Lands and Housing	Construction of Overhead Tanks at the Governor's and Deputy Governor's Residences	Izava/ Lyadunywa Ward	2024/2025	2024/2025	4,994,832	4,994,832	4,994,832	100
5	Administration and Coordination of County Affairs	Construction of Hamisi Sub-County Offices	Shamakhoko Ward	2024/2025	2024/2025	4,455,410	4,455,410	4,455,414	100
6	Transport, Infrastructure and Communication	Maintenance of Chavakali – Solongo (Lot 1) Musembe – Kiangula Road	West Sabatia Ward	2024/2025	2024/2025	4,997,190	4,997,190	4,997,190	100
7	Transport, Infrastructure and Communication	Maintenance of Jepses – Munyoje Hill Road	Gisambai Ward	2024/2025	2024/2025	6,591,120	6,591,120	6,591,120	100
8	Transport, Infrastructure and Communication	Rehabilitation of Nyabre – Mpaka Road	Izava/ Lyadunywa	2024/2025	2024/2025	3,990,865	3,990,865	3,990,865	100
9	Health Services	Construction of a Transformer House at Emuhaya Hospital	Central Bunyore	2024/2025	2024/2025	3,924,069	3,924,069	3,924,069	100
10	Health Services	Construction of KMTC Classes	Lugaga/Wamuluma Ward	2024-2025	2024-2025	3,530,217	3,530,217	3,530,217	100

Source: *Vihiga County Treasury*

The County did not report on any stalled development projects as of 31st March 2026.

3.45.16 Budget Performance by Department

Table 3.672 summarises the approved budget allocation, expenditure, and absorption rate by department for the period under review.

Table 3.672: Vihiga County, Budget Allocation and Absorption Rate by Department in the first nine months of FY 2025/26

Department	Revised Budget Allocation (Kshs. Million)		Exchequer Received (Kshs. Million)		Expenditure (Kshs.Million)		Expenditure to Exchequer (%)		Absorption rate (%)	
	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev
Office of the Governor	201.62	-	133.21	-	133.21	-	100	-	66	-
Finance and Economic Planning	358.09	50.02	264.40	3.83	264.40	3.83	100	100	74	8
Agriculture, Livestock and Fisheries	126.59	303.69	93.29	157.16	93.29	157.16	100	100	74	52
Health Services	1,851.63	183.43	1,351.89	80.56	1,351.89	80.56	100	100	73	44
Education, Science, Technical and Vocational Training	568.93	161.97	420.45	37.66	420.45	37.66	100	100	74	23
Gender, Culture, Youth, Sports and Social Services	124.47	19.71	85.53	7.59	85.53	7.59	100	100	69	39
Commerce, Tourism and Cooperative	86.45	432.71	67.93	300.97	67.93	300.97	100	100	79	70
County Public Service Board	80.03	-	61.29	-	61.29	-	100	-	77	-
Environment, Water, Energy and Natural Resources	158.74	584.54	140.66	241.74	140.66	241.74	100	100	89	41
Transport, Infrastructure and Communication	186.10	416.31	109.72	64.02	109.72	64.02	100	100	59	15
Physical Planning, Lands and Housing	147.58	102.09	87.62	46.17	87.62	46.17	100	100	59	45
County Assembly	719.82	57.10	416.40	-	416.40	-	100	-	58	-
Administration and Coordination of County Affairs	601.63	370.28	334.75	4.08	334.75	4.08	100	100	56	1
County Attorney	32.70	-	25.81	-	25.81	-	100	-	79	-
	5,244.37	**2,681.85**	**3,592.96**	**943.78**	**3,592.96**	**943.78**	**100**	**100**	**69**	**35**

***Source**: Vihiga County Treasury*

Analysis of expenditure by departments shows that the Department of Commerce, Tourism and Cooperative recorded the highest absorption rate of development budget at 70 per cent, followed by the Department of Agriculture, Livestock and Fisheries at 52 per cent. The Department of Environment, Water, Energy and Natural Resources had the highest percentage of recurrent expenditure to budget at 89 per cent, while the Department of Administration and Coordination of County Affairs had the lowest at 56 per cent.

The dismal development absorption rate of 15, 8 and 1 percent demonstrates poor fiscal discipline where county does not promote equity and equality financing of planned budgetary items.

3.45.17 Budget Execution by Programmes and Sub-Programmes

Budget execution was concentrated in selected performance bands. A number of development and recurrent sub-programmes recorded nil absorption during the review period. Under development, these were health promotion under the Department of Health Services, youth polytechnic development under the Department of Education, Science, Technical and Vocational Training, social protection under the Department of Gender, Culture, Youth, Sports and Social Services, waste water management under the Department of Environment, Water, Energy and Natural Resources, and Vihiga Municipality KUSP under the Department of Physical Planning, Lands and Housing. Under recurrent, these were disaster management and mitigation under the Office of the Governor, ward development projects under the Department of Agriculture, Livestock and Fisheries, infrastructure, social, economic policy and planning and rehabilitation of

health facilities under the Department of Health Services, and promotion of culture and heritage under the Department of Gender, Culture, Youth, Sports and Social Services.

In the 41–50 per cent band, development absorption was reported for administrative services under the Department of Agriculture, Livestock and Fisheries at 46 per cent.

In the 61–70 per cent band, development absorption was reported for administrative services under the Department of Gender, Culture, Youth, Sports and Social Services at 65 per cent and for administrative services under the Department of Health Services at 61 per cent. In the 71–80 per cent band, development absorption was reported for administrative services under the Department of Transport, Infrastructure and Communication at 79 per cent.

In the 81–90 per cent band, development absorption was reported for land survey and mapping under the Department of Physical Planning, Lands and Housing at 84 per cent, while recurrent absorption was recorded for performance management under the Office of the Governor at 91 per cent and for research and development under the Department of Health Services at 87 per cent. In the 90–100 per cent band, development absorption reached 100 per cent for mechanical services under the Department of Transport, Infrastructure and Communication, while recurrent absorption reached 100 per cent for livestock extension under the Department of Agriculture, Livestock and Fisheries, 96 per cent for promotion of sports, and 95 per cent for the emergency and disaster fund.

Low absorption in the lower performance bands was attributed to electronic procurement challenges that delayed the adoption of the new procurement system and to the slow settlement of trade payables. Conversely, performance in the higher bands was attributed to the enhanced settlement of trade payables during the review period.

Table 3.673 summarises budget execution by programmes and sub-programmes in the period under review with the highest absorption rates.

Table 3.673: Budget Execution by Programmes and Sub-Programmes with Highest Absorption Rates

Programme	Sub-Programme	Gross Approved Estimates FY 2025/26 (Kshs.)	Expenditure (including accrued expenditure) as of 31st March 2026 (Kshs.)	Absorption Rate (%)
DEVELOPMENT				
Department of Transport, Infrastructure and Communication				
204024860	Mechanical Services	7,200,000	7,200,000	100
Department of Physical Planning, Lands and Housing				
110014860	Land Survey and Mapping	49,362,517	41,425,857	84
Department of Transport, Infrastructure and Communication				
201024860	Administrative Services	120,572,000	95,103,637	79
Department of Gender, Culture, Youth, Sports and Social Services				
901024860	Administrative Services	14,711,865	9,585,262	65
Department of Health Services				
401024860	Administrative Services	180,365,387	110,539,939	61
Department of Agriculture, Livestock and Fisheries				
101024860	Administrative Services	336,132,915	154,655,240	46
RECURRENT				
Department of Agriculture, Livestock and Fisheries				
105024860	Livestock Extension	600,000	600,000	100
Department of Gender, Culture, Youth, Sports and Social Services				
903014860	Promotion of sports	5,200,000	5,000,000	96

Programme	Sub-Programme	Gross Approved Estimates FY 2025/26 (Kshs.)	Expenditure (including accrued expenditure) as of 31st March 2026 (Kshs.)	Absorption Rate (%)
Department of Administration and Coordination of County Affairs				
702014860	Emergency and Disaster Fund	1,000,000	954,000	95
Department of the Office of the Governor				
707014860	Performance Management	4,500,000	4,082,450	91
Department of Health Services				
101044860	Research and Development	3,372,000	2,933,300	87

Source: *Vihiga County Treasury*

The development sub-programmes with the highest budget implementation rates were: Mechanical Services in the Department of Transport, Infrastructure and Communication at 100 per cent; Land survey and mapping in the Department of Physical Planning, Lands and Mapping at 84 per cent; and Administrative Services in the Department of Transport, Infrastructure and Communication at 79 per cent.

For recurrent sub-programmes, the top performers included: Livestock Extension in the Department of Agriculture, Livestock and Fisheries at 100 per cent, Promotion of Sports in the Department of Gender, Culture, Youth, Sports and Social Services at 96 per cent, and Emergency and Disaster Fund in the Department of Administration and Coordination of County Affairs at 95 per cent.

The higher performance of these programmes can be attributed to enhanced settlement of trade payables.

Table 3.674 summarises the budget execution by programmes and sub-programmes in the period under review that had the nil absorption rates.

Table 3.674: Budget Execution by Programmes and Sub-Programmes with Nil Absorption Rates

Programme	Sub-Programme	Gross Approved Estimates FY 2025/26 (Kshs.)	Expenditure (including accrued expenditure) as of 31st March 2026 (Kshs.)	Absorption Rate (%)
		Dev	Dev	Dev
DEVELOPMENT				
Department of Health Services				
405034860	Health Promotion	3,067,580	-	0
Department of Education, Science, Technical and Vocational Training				
504014860	Youth Polytechnic Development	2,000,000	-	0
Department of Gender, Culture, Youth, Sports and Social Services				
904014860	Social Protection	5,000,000	-	0
Department of Environment, Water, Energy and Natural Resources				
1003024860	Waste Water Management	130,000,000	-	0
Department of Physical Planning, Lands and Housing				
111034860	Vihiga Municipality KUSP	20,278,289	-	0
RECURRENT				
Department of the Office of the Governor				
707024860	Disaster Management and Mitigation	5,950,000	-	0
Department of Agriculture. Livestock and Fisheries				
103044860	Ward Development Projects	3,250,000	-	0

Programme	Sub-Programme	Gross Approved Estimates FY 2025/26 (Kshs.)	Expenditure (including accrued expenditure) as of 31st March 2026 (Kshs.)	Absorption Rate (%)
		Dev	Dev	Dev
Department of Health Services				
402014860	Infrastructure, Social, Economic Policy and Planning	3,000,000	-	0
Department of Health Services				
403014860	Rehabilitation of Health Facilities	5,000,000	-	0
Department of Gender, Culture, Youth, Sports and Social Services				
903024860	Promotion of Culture and Heritage	6,400,000	-	0

Source: *Vihiga County Treasury*

The development sub-programmes had nil budget implementation rates as show in Table 3.674. These low performances can be attributed to electronic procurement challenges that contributed to the delayed adoption of the new procurement system and to the slow settlement of trade payables in the respective departments.

3.45.18 Settlement of Trade Payables

As of 1st July 2025, the County reported trade payables totalling Kshs.1.09 billion. This amount consisted of Kshs.1.08 billion from the County Executive and Kshs.6.69 million from the County Assembly. The trade payables from the County Executive comprised Kshs.354.46 million for recurrent expenditure and Kshs.727.51 million for development expenditure.

During the reporting period, the County Executive settled trade payables amounting to Kshs.210.56 million, comprising Kshs.28.52 million (17 per cent) for recurrent programmes and Kshs.175.25 million (83 per cent) for development programmes. On the other hand, the County Assembly settled trade payables amounting to Kshs.6.69 million, comprising Kshs.6.69 million (100 per cent) for recurrent activities and nil for development activities. The outstanding trade payables as of 31st March 2026 were Kshs.871.51 million for the County Executive and nil for County Assembly.

Table 3.675 provides additional details of trade payables.

Table 3.675: Vihiga County Trade Payables as of 31st March 2026

		County Entity	Development (Kshs.)	Recurrent (Kshs.)	Total (Kshs.)
As at 1 July 2025 (End of FY 2024/25)	a	County Executive	727,506,936	354,462,890	1,081,969,826
		County Assembly	-	6,688,024	6,688,024
		Total	727,506,936	361,150,914	1,088,657,850
Trade payables scheduled to be settled in the first nine months of FY 2025/26 per the action plan	b	County Executive	354,602,200	210,500,621	565,102,821
		County Assembly	-	6,688,024	6,688,024
		Total	354,602,200	217,188,645	571,790,845
Amount paid in the first nine months of FY 2025/26	c	County Executive	175,251,586	28,523,953	210,463,563
		County Assembly	-	6,688,024	6,688,024
		Total	175,251,586	28,523,953	217,151,587
Outstanding trade payables as of 31st March 2026	**e = a - c*b**	**County Executive**	**552,255,350**	**325,938,937**	**871,506,263**
		County Assembly	-	-	-
		Total	**552,255,350**	**319,250,913**	**871,506,263**

Source: *Vihiga County Treasury*

The County Executive and the Assembly submitted a trade payables payment plan, committing to pay Kshs.210.50 million and Kshs.354.60 million on recurrent and development expenditure, respectively, in FY 2025/26. The County executive did not adhere to this payment plan, since it settled Kshs.210.46 million compared to Kshs.565.10 million as per the action plan . However, the County Assembly settled Kshs.6.69 million which was as per the action plan.

Table 3.676 present the ageing of the total outstanding bills as of 31st March 2026 for the County Executive and Assembly, which were Kshs.871.51 million.

Table 3.676: Vihiga County Executive Trade Payables Ageing Analysis as of 31st March 2026

Category	Ageing analysis (Amount in Kshs.)				Total
	Under one year	1-2 years	2-3 years	Over 3 years	
Development Trade Payables	**155,389,378.60**	**180,567,450.00**	**-**	**216,298,521.40**	**552,255,350.00**
Recurrent Trade Payables (Goods & Services)	146,159,020.00	173,091,893.00	-	-	**319,250,913.00**
Total Trade Payables	**301,548,398.00**	**353,659,343.00**	**-**	**216,298,521.40**	**871,506,263.00**
% of Total	**34**	**41**	**-**	**25**	**100**

Source: *Vihiga County Treasury*

There were no salary arrears or statutory deductions among the trade payables as of March 31, 2026.

Additionally, Table 3.676 indicates that 34 per cent of total trade payables are under 1 year, 41 per cent between 1 and 2 years, and 25 per cent over 3 years, a trend attributed to non-adherence to the trade payables action plan. To address this situation, the county should adhere to the trade payables action plan and ensure that the trade payables are paid on a First-In First-Out basis.

3.45.19 General Observations and Recommendations

In the course of overseeing and reporting on the implementation of the Vihiga County budget, the CoB identified the following challenges, which hampered effective budget implementation;

i. Low development performance in the review period as the County incurred Kshs.943.78 million on development activities, achieving a 35 per cent absorption rate.
ii. The County has no governing legislation on the operation of ordinary A-I-A and FIF, therefore should not spend any funds at source without sweeping to CRF.
iii. High level of trade payables, which amounted to Kshs.871.51 million as of 31st March 2026. Furthermore, the County Treasury did not adhere to the trade payables payment plan.
iv. Non-submission of copies of authorisation letters for opening commercial bank accounts as per Regulation 82(5) of the Public Finance Management (County Governments) Regulations, 2015.
v. The County reported Kshs.4.81 million under "*other operating expenses-Other Ifmis code 2211399,*" accounting for 0.4 per cent of total operation and maintenance costs. The review revealed that the County used this category to conduct public participation.
vi. The County has no governing legislation on the operation of ordinary A-I-A and FIF, therefore should not spend any funds at source without sweeping to CRF.

The County should implement the following recommendations to improve budget execution:

i. *The County should implement strategies to increase development expenditures in FY 2025/26.*
ii. *The county should stop forthwith the spending of funds at source in the disguise of AiA or FIF unless duly approved through an Act of parliament/ County Assembly as required by law*
iii. *The County Leadership should address the situation of trade payables to ensure that genuine bills are paid promptly in the remaining financial year. Further, compliance with the Trade Payables Action Plan should be enforced.*
iv. *The County Treasury should ensure it submits copies of authorisation letters to the CoB for opening commercial bank accounts to enhance accountability and oversight.*
v. *The County Treasury should adhere to the approved budget classification framework by ensuring that all expenditures are recorded under their specific budget codes rather than being aggregated*

under the "Other Operating Expenses-other" category.

vi. *The county should stop forthwith the spending of funds at source in the disguise of AiA or FIF unless duly approved through an Act of parliament/ County Assembly as required by law.*

3.46. County Government of Wajir

3.46.1 Overview of FY 2025/26 Budget

The Wajir County Approved Supplementary Budget for FY 2025/26 is Kshs.13.64 billion. It comprises Kshs.4.88 billion (36 per cent) and Kshs.8.76 billion (64 per cent) allocation for development and recurrent programmes, respectively. The budget estimates represent an increase of Kshs.120.89 million (1 per cent) from the FY 2024/25 budget, which comprised a development budget of Kshs.5.14 billion and a recurrent budget of Kshs.8.38 billion. The increase in the budget was primarily attributed to the rise in Equitable Share and Own Source Revenue.

The budget is to be financed from various revenue sources. These include the equitable share of revenue raised nationally of Kshs.10.51 billion (77 per cent), additional allocations of Kshs.2.14 billion (16 per cent), a cash balance brought forward from FY 24/25 of Kshs.583.23 million (4 per cent), Kshs.350 million (3 per cent) generated as own-source revenue and Kshs.57.21 million (0.4 per cent) as other revenues. A breakdown of the additional allocations is shown in Table 3.677.

3.46.2 Revenue Performance

During the first nine months of FY 2025/26, the County reported total revenues of Kshs.8.83 billion. This amount represented an increase of 26.5 per cent compared to the amount received in a similar period in FY 2024/25 of Kshs.6.98 billion. The total revenue consisted of Kshs.6.99 billion from the equitable share of revenue raised nationally, additional allocations from the national government and development partners of Kshs.892.92 million, and own-source revenue (OSR) collection of Kshs.242.51 million. Additionally, the County had a cash balance of Kshs.647.83 million from FY 2024/25. The total OSR collection of Kshs.242.51 million included Facilities Improvement Financing (FIF) of Kshs.166.73 million, and Kshs.75.79 million from other OSR sources.

Table 3.677 summarises the total revenue available to the County Government during FY 2025/26.

Table 3.677: Wajir County, Revenue Performance in the first nine months of FY 2025/26

No	Revenue Stream	Annual Targeted Revenue (Kshs.)	Actual Receipts (Kshs.)	Receivables in the First Nine Months of FY 2025/26 (Kshs.)	Total Revenues (in accrual basis) in the First Nine Months of FY 2025/26 (Kshs.)	Revenue Performance (Kshs.)
		A	B	C	D=B+C	E=A-D
A	Unspent Balance from FY 2024/25	583,230,889	647,763,532		647,763,532	- 64,532,643
1	Balance at CRF		59,532		59,532	- 59,532
2	County Executive Refunds to CRF		8,518		8,518	- 8,518
3	County Assembly Refunds to CRF				-	-
	Sub-Total	**583,230,889**	**647,831,581**	**-**	**647,831,581**	**64,600,692**
B	**Equitable Share of Revenue Raised Nationally**					
1	Equitable Share	10,507,580,683	6,986,409,761	-	6,986,409,761	3,521,170,922
	Sub-Total	**10,507,580,683**	**6,986,409,761**	**-**	**6,986,409,761**	**3,521,170,922**
C	**Additional Allocations (Including Grants)**					
1	County Aggregation Industrial Park	250,000,000	173,076,922.00	-	173,076,922	76,923,078
2	Road Maintenance Fuel Levy	90,533,914	-	-	-	90,533,914
3	Community Health Promoters (CHPs)	60,810,000	-	-	-	60,810,000
4	Basic Salary Arrears for county government health workers	19,869,801	-	-	-	19,869,801

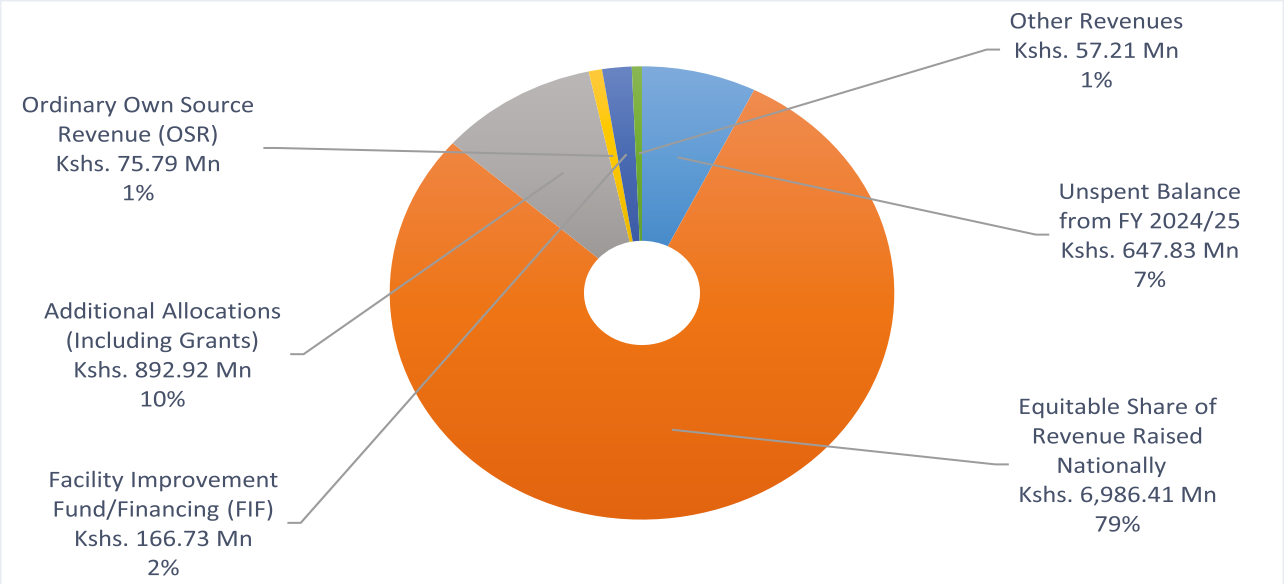
No	Revenue Stream	Annual Targeted Revenue (Kshs.)	Actual Receipts (Kshs.)	Receivables in the First Nine Months of FY 2025/26 (Kshs.)	Total Revenues (in accrual basis) in the First Nine Months of FY 2025/26 (Kshs.)	Revenue Performance (Kshs.)
		A	B	C	D=B+C	E=A-D
5	0.5% of the housing levy fund to counties	1,987,622	-	-	-	1,987,622
6	Transfer of Museum Function		-	-	-	-
7	DANIDA Grant	32,492,036	-	-	-	32,492,036
8	AFD - Kenya Informal Settlement Improvement Project II (KISIP II)	68,615,663	-	-	-	68,615,663
9	IDA (World Bank) - Emergency Locust Response Project (ELRP)	-	-	-	-	-
10	IDA (World Bank) Loan for the Food Systems Resilience Project (FSRP)	246,153,846	-	-	-	246,153,846
11	IDA (World Bank) Loan for the Water & Sanitation Development Project (WSDP)	550,000,000	480,000,000.00	-	480,000,000	70,000,000
12	IDA (WB) Credit: Kenya Devolution Support Project (KDSP) Level 1 Grant	72,909,500	35,253,472.00	-	35,253,472	37,656,028
13	IDA (WB) Credit: Kenya Devolution Support Project (KDSP) Level 2 Grant	352,500,000	-	-	-	352,500,000
14	IDA (WB) Credit: Kenya Urban Support Project (KUSP) –Urban Development Grant (UIG)	26,000,000	-	-	-	26,000,000
15	IDA (WB) Credit: Kenya Urban Support Project (KUSP) –Urban Development Grant (UDG)	88,262,999	-	-	-	88,262,999
16	World Bank (Finance Locally-Led Climate Program (FLLoCA) for County Climate Resilience Investment (CCIS) Grant	11,000,000	11,000,000.00	-	11,000,000	-
17	World Bank (Finance Locally-Led Climate Program (FLLoCA) (CCRI)Level 2Grant	269,359,280	193,592,797.00	-	193,592,797	75,766,483
18	SWEDEN - Kenya Agricultural Business Development Project (KABDP)		-	-	-	-
	Sub-Total	**2,140,494,661**	**892,923,191**	**-**	**892,923,191**	**1,247,571,470**
D	**Ordinary Own Source Revenue (OSR)**					
1	Ordinary Own Source Revenue (OSR)	110,000,000	75,788,798.65	-	75,788,799	34,211,201
	Sub-Total	**110,000,000**	**75,788,799**	**-**	**75,788,799**	**34,211,201**
E	**Facility Improvement Fund/Financing (FIF)**					
1	SHIF	20,000,000	59,430,487	-	59,430,487	- 39,430,487
2	Defunct NHIF	-	-	-	-	-
3	Other	220,000,000	107,295,102		107,295,102	112,704,899
	Sub-Total	**240,000,000**	**166,725,589**	**-**	**166,725,589**	**73,274,411**
F	**Other Revenues**					
1	Climate Change SPA balance	40,431,929	40,431,929	-	40,431,929	-
2	Transfer from Revolving Fund	16,778,512	16,778,512	-	16,778,512	-
	Sub-Total	**57,210,441**	**57,210,441**	**-**	**57,210,441**	**-**
	Grand Total	**13,638,516,674**	**8,826,889,362**	**-**	**8,826,889,362**	**4,811,627,312**

Source: *Wajir County Treasury*

The County has the governing legislation for the operation of FIF, i.e., the Wajir County Health Facility Improvement Financing Act 2023 and the Wajir County Health Facility Improvement Financing Regulations 2024.

Figure 3.271 provides a detailed breakdown of receipts.

Figure 3.271: Wajir County Composition of Revenue in the first nine months of FY 2025/26

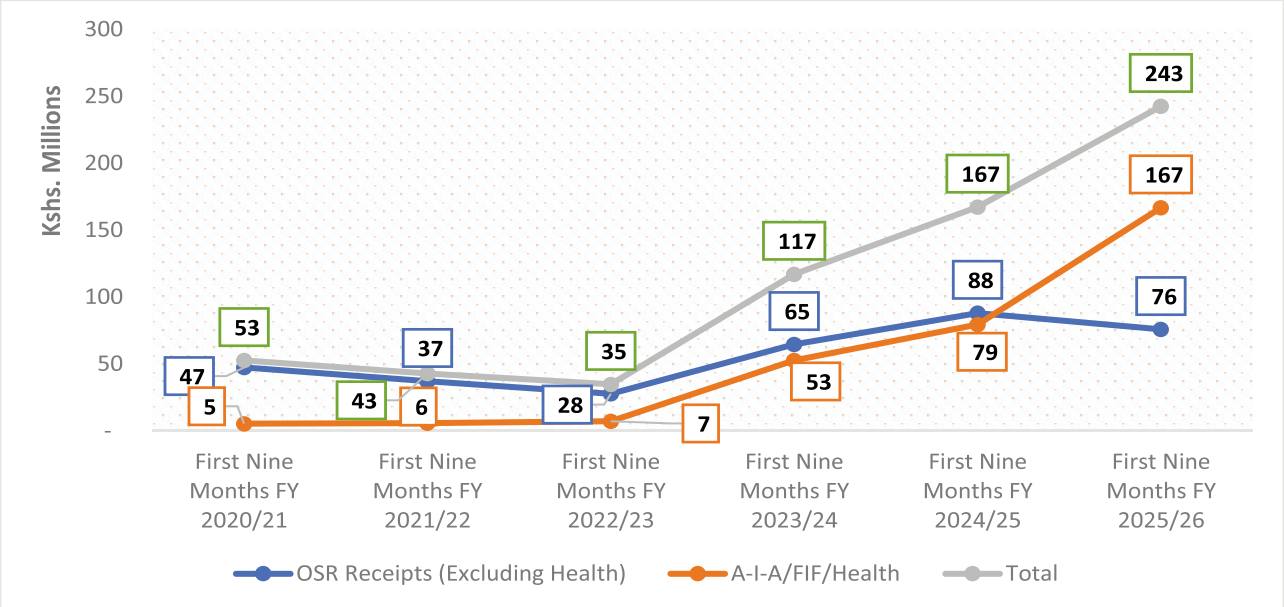


Source: *Wajir County Treasury*

The equitable share of revenue raised nationally, Additional Allocations, and Unspent Balances from FY 2024/25 contributed 79 per cent, 10 per cent and 7 per cent, respectively, of the total receipts for the reporting period.

Figure 3.272 shows the collection trend in own-source revenue from the first nine months of FY 2020/21 to the first nine months of FY 2025/26.

Figure 3.272: Wajir County Trend in Own-Source Revenue Collection from the first nine months of FY 2020/21 to the first nine months of FY 2025/26



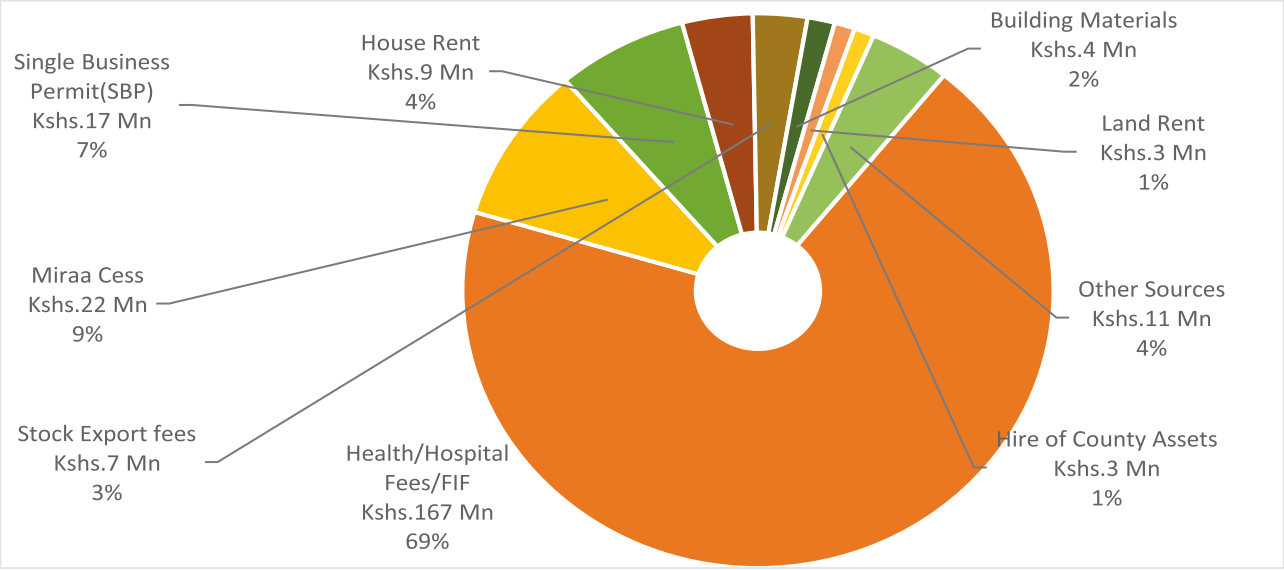
Source: *Wajir County Treasury*

During the first nine months of FY 2025/26, the County received Kshs.242.51 million from OSR, including FIF. This amount was an increase of 45 per cent compared to Kshs.167.30 million realised in a similar period in FY 2024/25, and was 69 per cent of the annual target and 4 per cent of the equitable revenue share disbursed.

The increase in Revenue can be attributed to the revenue enforcement measures taken by the County Government of Wajir, Revenue Automation and the Enactment of the FIF Act.

The revenue streams that contributed the most to OSR receipts are shown in Figure 3.273

Figure 3.273: Wajir County Top Own Source Revenue Streams in the first nine months of FY 2025/26



Source: Wajir County Treasury

As shown in Figure 3.273 , the largest revenue stream, at Kshs.166.73 million, was Health/Hospital Fees/FIF, accounting for 69 per cent of total OSR receipts. The County has also automated its revenue collection. The system utilised for FIF revenue collection is the Wajir County Revenue Management System.

County did not report any account receiveables as at 31st March 2026.

3.46.3 Withdrawals from the County Revenue Fund and County Assembly Fund

During the reporting period, the Controller of Budget approved exchequer withdrawal requests totalling Kshs.8.44 billion from the Wajir County Revenue Fund (CRF) account. This amount consisted of Kshs.2.61 billion (54 per cent) designated for development programs and Kshs.5.83 billion (67 per cent) allocated for recurrent programs.

An analysis of the released recurrent exchequers shows that Kshs.3.80 billion was allocated to employee compensation and Kshs.2.04 billion to operations and maintenance expenditures. Within the operations and maintenance category, 5.4 per cent was for domestic travel and 0.2 per cent for foreign travel. The domestic travel exchequers totalled Kshs.109.33 million, which included Kshs.66.63 million for the County Executive and Kshs.42.70 million for the County Assembly. Meanwhile, the foreign travel exchequers amounted to Kshs.2.97 million for the County Executive and nil for the County Assembly.

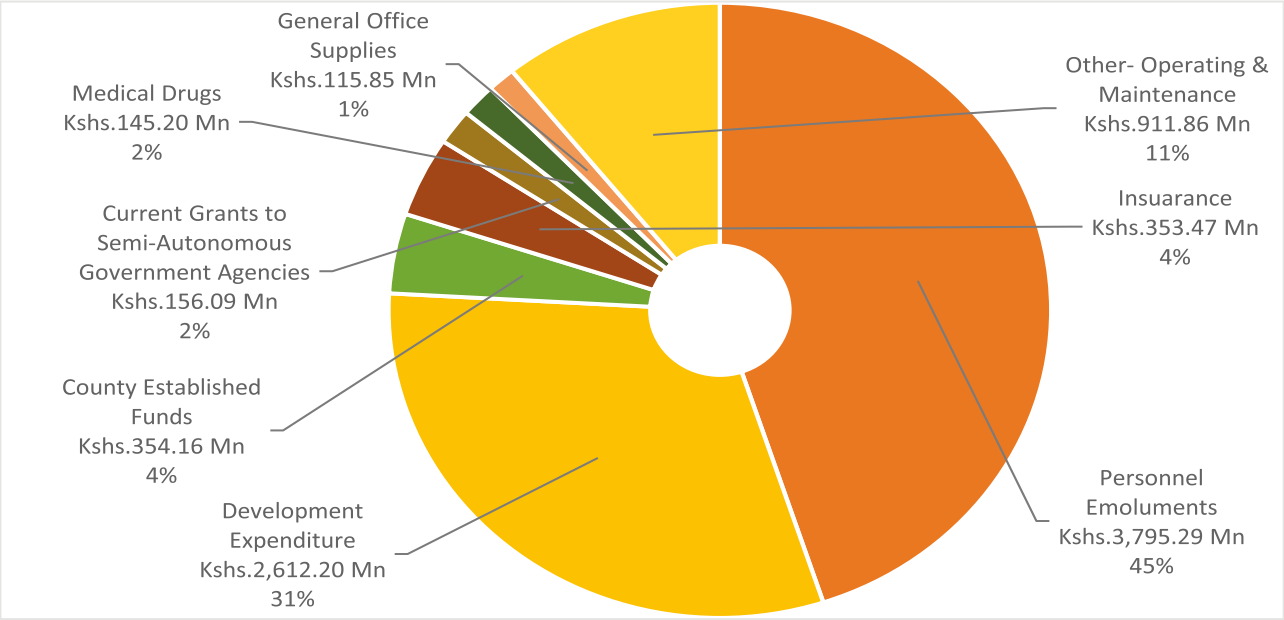
As of 31st March 2026, the County Government's cash balance in the Wajir County CRF account was Kshs.351.64 million. The County had not operationalised the County Assembly Fund as of 31st March 2026.

3.46.4 Expenditure Review

The County spent Kshs.8.44 billion on development and recurrent programmes during the reporting period. The expenditure represented 100 per cent of the total funds released by the CoB. It comprised Kshs.2.61 billion for development programmes and Kshs.5.83 billion for recurrent programmes. Expenditure on development programmes accounted for 54 per cent of the annual development expenditure budget, while recurrent expenditure accounted for 67 per cent of the annual recurrent expenditure budget.

Figure 3.274 provides a detailed breakdown of total expenditure.

Figure 3.274: Wajir County Composition of Expenditure in the first nine months of FY 2025/26



Source: Wajir *County Treasury*

As shown in Figure 3.274, the three highest expenditure categories were Personnel Emoluments, Development Expenditure, and Other O&M, contributing 45, 31 and 11 per cent of total expenditure for the reporting period.

3.46.5 Expenditure by Economic Classification

The County Executive incurred Kshs.3.29 billion in employee compensation, Kshs.1.90 billion in operations and maintenance, and Kshs.2.61 billion in development activities. Similarly, the County Assembly spent Kshs.503.85 million on compensation of employees, Kshs.132.12 million on operations and maintenance, and nil on development activities, as shown in Table 3.678

Table 3.678: Wajir County Summary of Budget and Expenditure by Economic Classification

Sector / Category	Budget (Kshs Mn.)	Exchequer Issues (Kshs Mn.)	Amount Paid in the First Nine Months of FY 2025/26 (Kshs Mn.) (b)	Expenditure Accrued in the First Nine Months of FY 2025/26 (Kshs Mn.) (c)	Total Expenditure in the First Nine Months of FY 2025/26 (Kshs Mn.) (d=b+c)	Absorption (%) (d/a*100)
County Executive						
Recurrent	**7,840.07**	**5,195.95**	**5,195.95**	**-**	**5,195.95**	**66**
Compensation to Employees	4,620.04	3,291.45	3,291.45	-	3,291.45	71
Operations & Maintenance	3,220.03	1,904.50	1,904.50	-	1,904.50	59
Development	4,879.67	2,612.20	2,612.20	-	2,612.20	**54**
Executive Sub-total	**12,719.74**	**7,808.15**	**7,808.15**	**-**	**7,808.15**	**61**
County Assembly						
Recurrent	**918.78**	**635.97**	**635.97**	**-**	**635.97**	**69**
Compensation to Employees	612.42	503.85	503.85	-	503.85	82
Operations & Maintenance	306.36	132.12	132.12	-	132.12	43
Development	**-**	**-**	**-**	**-**	**-**	**-**
Assembly Sub-total	**918.78**	**635.97**	**635.97**	**-**	**635.97**	**69**

Sector / Category	Budget (Kshs Mn.)	Exchequer Issues (Kshs Mn.)	Amount Paid in the First Nine Months of FY 2025/26 (Kshs Mn.) (b)	Expenditure Accrued in the First Nine Months of FY 2025/26 (Kshs Mn.) (c)	Total Expenditure in the First Nine Months of FY 2025/26 (Kshs Mn.) (d=b+c)	Absorption (%) (d/a*100)
Combined County Totals						
Total Recurrent	**8,758.85**	**5,831.92**	**5,831.92**	**-**	**5,831.92**	**67**
Compensation to Employees	5,232.46	3,795.29	3,795.29	-	3,795.29	73
Operations & Maintenance	3,526.39	2,036.62	2,036.62	-	2,036.62	58
Total Development	**4,879.67**	**2,612.20**	**2,612.20**	**-**	**2,612.20**	**54**
Grand Total	**13,638.52**	**8,444.12**	**8,444.12**	**-**	**8,444.12**	**62**

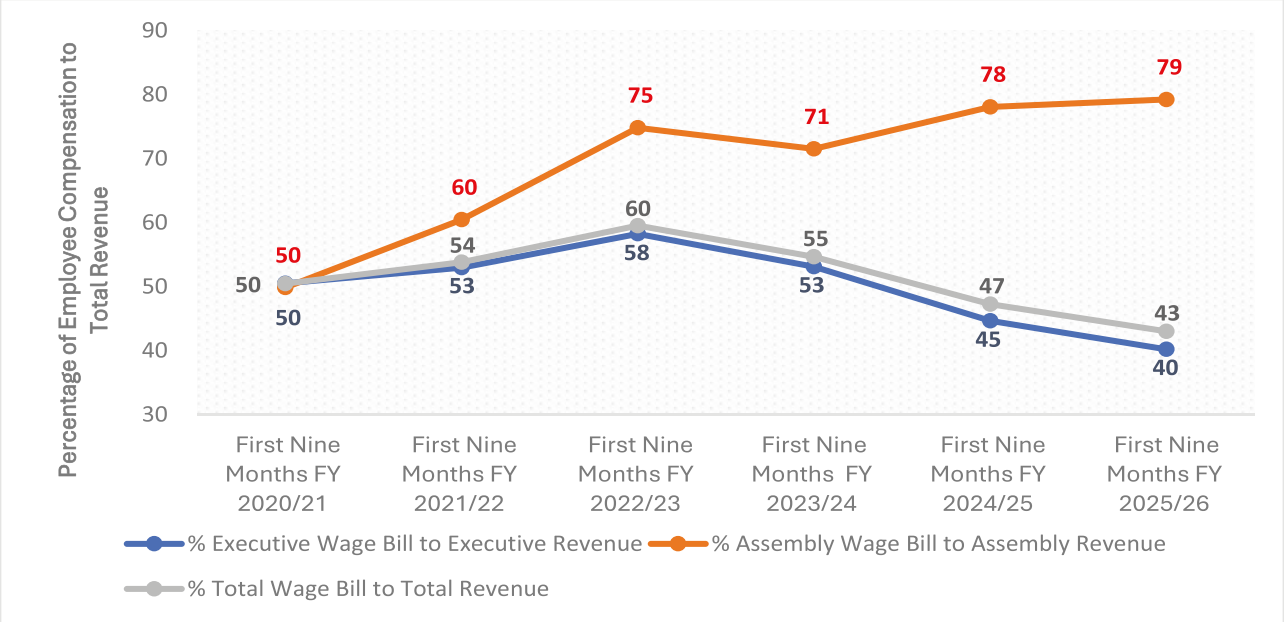
Source: *Wajir County Treasury*

3.46.6 Expenditure on Employee Compensation

The expenditure on employee compensation totalled Kshs.3.80 billion, representing 43.0 per cent of revenue. This expenditure on employee compensation shows. an increase compared to the Kshs.3.30 billion reported in a similar period in FY 2024/25. Of this total, Kshs.1.58 billion related to Health Sector employees, accounting for 42 per cent of the overall employees' compensation.

Figure 3.275 shows the trend in employee compensation as a percentage of total revenue from the first nine months of FY 2020/21 to the first nine months of FY 2025/26.

Figure 3.275: Percentage of Employee Compensation Expenditure to Total Revenue Received in the first nine months of FY 2020/21 to the first nine months of FY 2025/26



Source: Wajir County Treasury

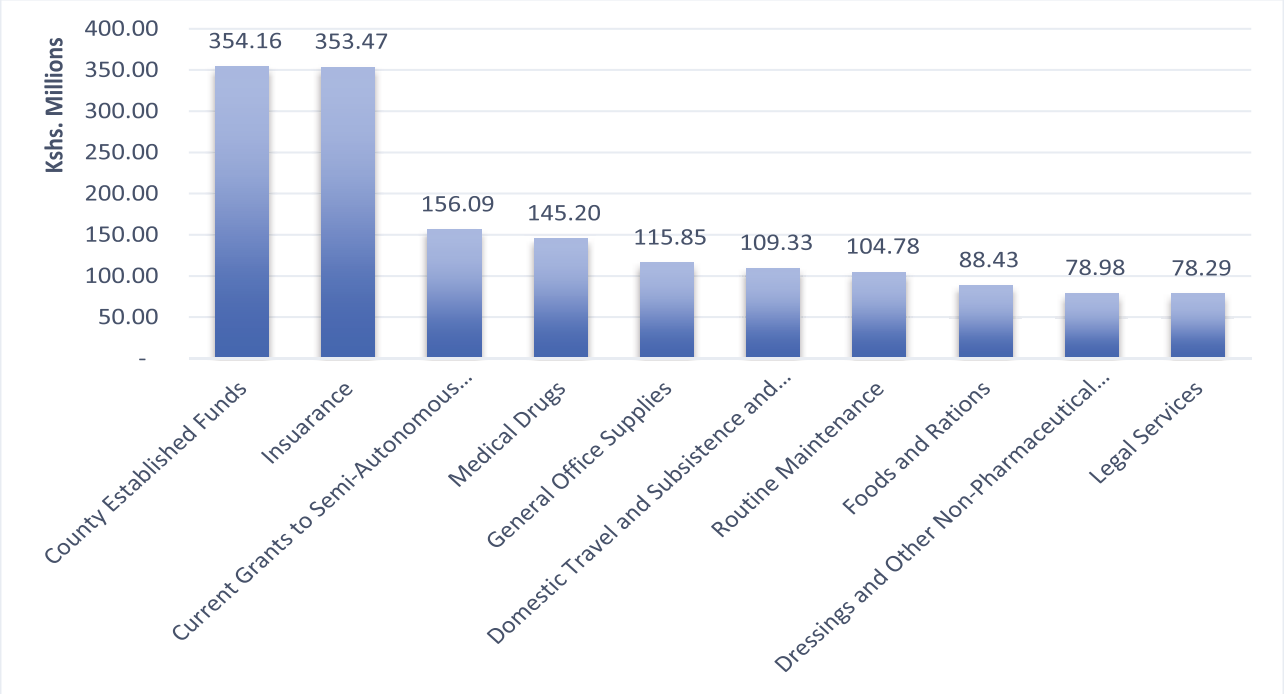
Further analysis indicated that PE costs amounting to Kshs.3.31 billion were processed through the Human Resource Information System (HRIS). In contrast, Kshs.480.87 million was processed through manual payrolls, which accounted for 13 per cent of the total PE cost. The justification for the continued use of manual payroll was the County Government of Wajir's delay in constituting the County Public Service Board and the Directorate of Public Service Management's (DPSM) delay in processing Payroll Numbers.

The County Assembly spent Kshs.32.26 million on committee sitting allowances for the 46 MCAs, inclusive of the County Assembly Speaker, against the annual budget allocation of Kshs.37.86 million. The average monthly sitting allowance was Kshs.77,923 per MCA. The County Assembly has 24 House Committees.

3.46.7 Expenditure on Operations and Maintenance

During the reporting period, the County spent Kshs.2.04 billion on operations and maintenance, representing a 33 per cent increase over the same period in FY 2024/25, when the County spent Kshs.1.54 billion. Figure 3.276 illustrates the distribution of Operations and Maintenance expenditures across the major spending categories.

Figure 3.276: Wajir County, Operations and Maintenance Expenditure by Major Categories



Source: *Wajir County Treasury*

3.46.8 Unbundling "Other Operating Expenses-Other" Under Operations and Maintenance Expenditures

The budget performance report for the first nine months of FY 2025/26 indicates that the County spent Kshs.169.48 million on "other operating expenses-Other," which accounted for 8 per cent of the total operations and maintenance expenditure of Kshs.2.04 billion. The disaggregated items under the *"Other Operating Expenses-Other"* category are shown in Table 3.679.

Table 3.679: Breakdown of "Other Operating Expenses (code 2211399)" under O&M Expenditures

Code	Department	Item	Budget (Kshs)	Expenditure (Kshs.)
2211399	County Assembly	Other Operating Expenses (Trade Payables, Trade payables)	103,706,053	103,706,053
2211399	County Executive	Other Operating Expenses	73,050,000	65,770,819

Source: *Wajir County Treasury*

A review of the Other Operating Expenses (code 2211399) items listed in the table above revealed the following inconsistencies:

- *The County Assembly had expenditures with clear and unique budget codes that were aggregated under the "Other Operating Expenses-other" Category. These totalled Kshs.103.71 Million spent for County Assembly Trade Payables (Trade payables).*
- *The County Executive had expenditures with clear and unique budget codes that were aggregated under the "Other Operating Expenses-other" category. These totalled Kshs.65.77 Million for the County Executive Departments.*
- *The Controller of Budget recommends that the county Government should use specific system codes for during budgeting to enhance transparency and accountability. In addition the county should provide breakdown of the specific items paid.*

3.46.9 County-Established Funds

Section 116 of the PFM Act 2012 allows County Governments to establish other public funds, subject to approval from the County Executive Committee and the County Assembly. The County allocated Kshs.434.16 million to County-Established funds in FY 2025/26, representing 3.2 per cent of the County's overall budget. Of this amount, the County allocated Kshs.200 million to the Emergency Fund in line with Section 110 of the PFM Act, 2012, accounting for 1 per cent of the total budget. Table 3.680 summarises the budgets and performance of each established Fund during the reporting period.

Table 3.680: Performance of Wajir County Established Funds in the first nine months of FY 2025/26

S/ No.	Name of the Fund	Year Established	Approved Budget Allocation in FY 2025/26 (Kshs.)	Exchequer Issues in FY 2025/26 (Kshs.)	Actual Expenditure in FY 2025/26 (Kshs.)	Cumulative disbursements to the fund (since Inception) (Kshs)	Submission of Financial Statements (Yes/No)
County Executive Established Funds							
1	Wajir Emergency Fund	2014	200,000,000	200,000,000	199,917,028	800,000,000	YES
2	Wajir County Bursary Fund	2019	110,000,000	110,000,000	110,000,000	370,000,000	YES
3	Wajir County Climate Fund	2019	80,000,000	80,000,000	80,000,000	305,000,000	YES
4	Wajir County Disability Fund	2021	44,160,000	44,160,000	44,160,000	165,279,000	YES
5	Wajir County Revolving Fund	2014	-	-	-	132,000,000	YES
Total			**434,160,000**	**434,160,000**	**339,848,709**	**1,772,279,000**	

Source: *Wajir County Treasury*

During the reporting period, the CoB received quarterly financial reports from 5 Fund Administrators, as indicated in Table 3.680, contrary to the requirement under Section 168 of the PFM Act, 2012.

Regulation 197(1)(i) of the Public Finance Management (County Governments) Regulations, 2015, allows County Governments to establish public funds with a lifespan capped at 10 years unless extended by the County Assembly. In FY 2025/26, the CoB established that the lifespan of the Wajir County Revolving Fund had lapsed. Consequently, the CoB did not approve any withdrawal requests to support the operations of the lapsed funds.

3.46.10 County Corporations and Municipalities

The County has 2 County Corporations, which were allocated Kshs.1.16 billion in FY 2025/26. Their total expenditure for the review period amounted to Kshs.709.61 as shown in Table 3.681

Table 3.681: Performance of Wajir County Corporations in the first nine months of FY 2025/26

S/ No.	Name of the Corporation	Parent Department	Expenditure type	Approved Budget Allocation in FY 2025/26 (Kshs.)	Exchequer Issues in the FY 2025/26 (Kshs.)	Actual Transfers in FY 2025/26 (Kshs.)
1.	Wajir Water and Sewerage Company [WAJWASCO]	Water Resources Development	Recurrent	145,000,000	118,943,773	118,943,773
			Development	630,000,000	553,527,182	553,527,182
2.	Wajir Municipality	Lands, Housing and Physical Planning	Recurrent	236,120,094	37,142,338	37,142,338
			Development	145,092,053	-	-
Total				**1,156,212,147**	**709,613,293**	**709,613,293**

Source: *Wajir County Treasury*

3.46.11 Expenditure on Domestic and Foreign Travel

Expenditure on domestic travel amounted to Kshs.109.33 million and comprised Kshs.42.70 million spent by the County Assembly and Kshs.66.63 million by the County Executive. Expenditure on foreign travel

amounted to Kshs.2.97 million spent by the County Executive. Expenditure on foreign travel is summarised in Table 3.682

Table 3.682: Summary of Expenditure on Foreign Travel in the first nine months of FY 2025/26

Arm of County Government	Number of Officers Travelled	Date travelled	Purpose of the travel	Destination	Actual Payment on Travel (a) (Kshs.)	Total Expenditure on Travel (Kshs.)
County Executive	6	26th October - 2nd November 2025	Official Visit to, Morocco to attend the activities of the 14th International Date Festival	Morocco	2,971,648	2,971,648
Total					2,971,648	2,971,648

Source: Wajir County Treasury and Wajir County Assembly

3.46.12 Facility Improvement Financing

During the review period, the County reported collections of Kshs.166.73 million as FIF, which was 70 per cent of the annual target of Kshs.240 million. The collected amount was retained and utilised at source in line with the Facility Improvement Financing Act, 2023. The County has developed regulations to operationalise the FIF Act of 2023.

The expenditure by the health facilities amounted to Kshs.129.17 million, as shown inTable 3.683

Table 3.683: Wajir County Health Facilities Expenditure Performance in the first nine months of FY 2025/26

No.	Health Facility	Number of Facilities	Approved Budget (Kshs.)	Actual Expenditure (Kshs.)	Absorption Rate (%)
1.	Level 5 Hospital	1	90,000,000.00	50,630,083.00	56
2.	Level 4 Hospital	8	90,850,000.00	78,538,638.12	86
Total			**180,850,000.00**	**129,168,721.12**	**71**

Source: *Wajir County Treasury*

3.46.13 Development Expenditure

In the review period, the County reported spending Kshs.2.61 million on development programmes, representing a 93 per cent increase over FY 2024/25, when the County spent Kshs.1.35 million. Table 3.684 summarises the development projects with the highest expenditure in the reporting period.

Table 3.684: Wajir County, List of Development Projects with the Highest Expenditure

No	Sector	Project Name	Project Location	Expenditure (on an accrual basis) in the first nine months of FY 2025/26 (Kshs.)	Percentage (%) of Completion
County Funded Projects					
1	Wajir - Roads, Transport and Public Works	Road Routine Maintenance of Abaqhalul - Dowgudud Road	Abaqhalul	84,500,780.00	100
2	Energy, Environment and Natural Resources	Climate Change Fund	County Wide	80,000,000.00	100
3	Wajir - Water Resources Development	Borehole Installation Equipment, Pipes, and Fittings Under the Water Resources Development	County Wide	78,762,200.00	100
4	Wajir - Roads, Transport and Public Works	Project Management Vehicles Under the County Projects Management Programme	Wajir Town, Wajir East	72,174,888.00	100
5	Wajir - Public Health, Medical Services and Sanitation	Construction Of Accident and Emergency Centre at Wajir County Referral Hospital	Wajir Town, Wajir East	67,450,343.40	100

No	Sector	Project Name	Project Location	Expenditure (on an accrual basis) in the first nine months of FY 2025/26 (Kshs.)	Percentage (%) of Completion
6	Wajwasco	Supply & Delivery of Generator Sets Under the Wajir County Water Resources Development Programmes (Wajwasco County Entity)	Wajir Town, Wajir East	33,650,000.00	100
7	Wajir - Water Resources Development	Construction Of 30,000m3 Water Harvesting Structure Water Pan at Diif Wajir South	Wajir South	29,999,700.75	100
8	Wajwasco	Wajwasco (County Entity)	County Wide	29,821,142.00	100
9	Wajir - Public Health, Medical Services and Sanitation	Construction for Upgrading of Hadado Health Centre to Level 4,	Hadado	28,683,126.30	100
10	Wajir - Roads, Transport and Public Works	Project Management Vehicles Under the County Projects Management Programme	Wajir Town, Wajir East	26,767,179.00	100
Donor Funded Projects					
1	Wajwasco	Wajir County Water Sanitation Development Programme Grant	County Wide	480,000,000.00	100
2	Energy, Environment and Natural Resources	County Climate Resilience Investment Grant (CCRIG),	County Wide	174,233,517.00	100
3	Trade, Industrialisation, Co-Operative Development	Wajir County Aggregation and Industrial Park's	Wajir Town, Wajir East	127,894,739.50	100
4	Trade, Industrialisation, Co-Operative Development	CAIPs Grant B/F	Wajir Town, Wajir East	45,182,182.00	36
5	Energy, Environment and Natural Resources	FLLoCCA (Donor)	Wajir Town, Wajir East	19,359,280.00	7

Source: *Wajir County Treasury*

The county did not report any stalled project as at 31st March 2026

3.46.14 Budget Performance by Department

Table 3.685 summarises the approved budget allocation, expenditure, and absorption rate by department for the period under review.

Table 3.685: Wajir County, Budget Allocation and Absorption Rate by Department in the first nine months of FY 2025/26

Department	Budget Allocation (Kshs.Millions)		Exchequer Issues (Kshs.Millions)		Expenditure (Kshs. Millions)		Expenditure to Exchequer Issues (%)		Absorption rate (%)	
	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev
County Executive	500.94	-	407.19	-	407.19	-	100.0	-	81.3	-
Finance and Economic Planning	697.81	-	516.26	-	516.26	-	100.0	-	74.0	-
Roads, Transport and Public Works	213.67	507.43	168.30	307.28	168.30	307.28	100.0	100.0	78.8	60.6
Water Resources Development	306.22	1,402.28	196.38	1,060.65	196.38	1,060.65	100.0	100.0	64.1	75.6
Energy, Environment and Natural Resources	98.03	453.29	49.62	276.29	49.62	276.29	100.0	100.0	50.6	61.0
Public Health, Medical Services and Sanitation	3,274.62	498.96	2,241.15	199.87	2,241.15	199.87	100.0	100.0	68.4	40.1
Education, Youth, Gender and Social Services	876.11	431.39	664.86	391.57	664.86	391.57	100.0	100.0	75.9	90.8

Department	Budget Allocation (Kshs.Millions)		Exchequer Issues (Kshs.Millions)		Expenditure (Kshs. Millions)		Expenditure to Exchequer Issues (%)		Absorption rate (%)	
	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev
Agriculture, Livestock, and Fisheries Development	263.22	411.60	149.30	117.89	149.30	117.89	100.0	100.0	56.7	28.6
Trade, Industrialisation, Co-operative Development	173.35	279.69	101.51	182.57	101.51	182.57	100	100	59	65
Lands, Housing and Physical Planning	232.37	517.53	60.79	60.05	60.79	60.05	100	100	26	12
Public Service, Labour, and Decentralised Unit	1,123.38	377.50	603.81	16.05	603.81	16.05	100	100	54	4
County Public Service Board	80.34	-	36.78	-	36.78	-	100	-	46	-
County Assembly	918.78	-	635.97	-	635.97	-	100	-	69	-
Total	**8,758.85**	**4,879.67**	**5,831.92**	**2,612.20**	**5,831.92**	**2,612.20**	**100**	**100**	**67**	**54**

***Source**: Wajir County Treasury*

Analysis of expenditure by departments shows that the Department of Education, Youth, Gender and Social Services recorded the highest absorption rate of development budget at 91 per cent, followed by the Department of Water Resources Development at 76 per cent. The Department of County Executive had the highest percentage of recurrent expenditure to budget at 81 per cent, while the Department of Lands, Housing and Physical Planning had the lowest at 26 per cent.

3.46.15 Budget Execution by Programmes and Sub-Programmes

Budget execution was concentrated in selected performance bands. In the 1–10 per cent band, development absorption was reported for primary health care under Public Health, Medical Services and Sanitation at 4 per cent, urban physical planning services under Lands, Housing and Physical Planning at 5.3 per cent, food production services under Agriculture, Livestock and Fisheries Development at 6.4 per cent, and public works services under Lands, Housing and Physical Planning at 8.6 per cent. In addition, five development sub-Programmes recorded nil absorption.

In the 11–20 per cent band, development absorption was reported for urban development management at 17.1 per cent, while recurrent absorption was recorded for urban physical planning services at 13.9 per cent. In the 21–30 per cent band, recurrent absorption was reported for decentralized unit services under Public Service, Labor and Decentralized Unit at 23.2 per cent. In the 31–40 per cent band, recurrent absorption was reported for primary health care under Public Health at 30.7 per cent and intergovernmental relations under special Programmes at 35.3 per cent.

In the 41–50 per cent band, recurrent absorption was reported for environmental conservation services under Energy, Environment and Natural Resources at 41.8 per cent. In the 81–90 per cent band, recurrent absorption was reported for investment and industry services under Trade, Industrialization and Cooperative Development at 91.5 per cent, and development absorption was recorded for early childhood education development services at 91.1 per cent.

In the 90–100 per cent band, development absorption reached 100 per cent for county transport services under Roads and Transport, natural resource management under Energy, Environment and Natural Resources, and veterinary services under Agriculture, Livestock and Fisheries Development, and 96.2 per cent for infrastructural development under vocational training services. Recurrent absorption reached 99.9 per cent for county transport services, 96.8 per cent for county supply chain management, 95.5 per cent for conflict prevention, management and resolution, and 95 per cent for county accounting services.

Low absorption in the lower performance bands reflected slow implementation across primary health care, urban physical planning, food production and public works, with several development sub-Programmes recording nil absorption. Conversely, performance in the 90–100 per cent band reflected prudent budget implementation and the prioritization of the respective sub-programmes during the review period.

Table 3.686 summarises budget execution by programmes and sub-programmes in the period under review with the highest absorption rates.

Table 3.686: Budget Execution by Programmes and Sub-Programmes with Highest Absorption Rates

Programme	Sub-Programme	Revised Approved Estimates (Kshs.)	Actual Expenditure (Kshs.)	Absorption Rate (%)
Development				
Roads And Transport				
County Roads And Transport Management	County Transport Services	98,942,067	98,942,067	100
Energy, Environment, and Natural Resources				
Natural Resource Management	Natural Resource Management	1,495,000	1,495,000	100
Agriculture, Livestock, And Fisheries Development				
Livestock Management Services	Veterinary Services	3,000,000	2,999,586	100
Education, Youth, Gender, and Social Services				
Vocational Training Services	Infrastructural Development	6,000,000	5,770,420	96
Early Childhood Education Development Services	Early Childhood Education Development Services	412,289,064	375,401,773	91
Recurrent				
Roads And Transport				
County Roads And Transport Management	County Transport Services	70,302,372	70,226,908	100
Finance And Economic Planning				
Public Finance Management	County Supply Chain Management	33,103,200	32,043,969	97
Public Service, Labour, and Decentralised Unit				
Special Programmes	Conflict Prevention, Management, and Resolution	55,100,000	52,616,314	96
Finance And Economic Planning				
Public Finance Management	County Accounting Services	257,020,000	244,229,262	95
Trade, Industrialisation, Co-Operative Development				
Industrialization And Investment Services	Investment And Industry Services	2,295,000	2,101,000	92

Source: *Wajir County Treasury*

The development sub-programmes with the highest budget implementation rates were: County Transport Services in the Department of Roads and Transport at 100 per cent, Natural Resource Management in the Department of Energy, Environment and Natural Resources at 100 per cent, and Veterinary Services in the Department of Agriculture, Livestock, and Fisheries Development at 100 per cent.

For recurrent sub-programmes, the top performers included: County Transport Services in the Department of Roads and Transport at 100 per cent, County Supply Chain Management in the Department of Finance and Economic Planning at 97 per cent, and Conflict Prevention, Management and Resolution in the Department of Public Service, Labor And Decentralized Unit at Table 3.687 summarises the budget execution by programmes and sub-programmes in the period under review that had the lowest absorption rates.

Table 3.687: Budget Execution by Programmes and Sub-Programmes with Lowest Absorption Rates

Programme	Sub-Programme	Revised Approved Estimates (Kshs.)	Actual Expenditure (Kshs.)	Absorption Rate (%)
Development				
Public Health, Medical Services and Sanitation				
Primary Health Care	Primary Health Care	161,767,800.00	6,417,800	4.0
Lands, Housing and Physical Planning				
Land Policy and Physical Planning	Urban Physical Planning Services	100,515,663	5,300,000	5.3

Programme	Sub-Programme	Revised Approved Estimates (Kshs.)	Actual Expenditure (Kshs.)	Absorption Rate (%)
Agriculture, Livestock, and Fisheries Development				
Food Production Services	Food Production Services	275,903,846	17,699,146	6.4
Lands, Housing and Physical Planning				
Public Works Services	Public Works Services	195,000,000	16,780,738	8.6
Land Policy and Physical Planning	Urban Development Management	222,012,999	37,967,311	17.1
Recurrent				
Lands, Housing and Physical Planning				
Land Policy and Physical Planning	Urban Physical Planning Services	139,986,976	19,510,323	13.9
Public Service, Labour, and Decentralised Unit				
Decentralised unit and Town admin	Decentralised Unit Services	23,562,498	5,461,571	23.2
Public Health, Medical Services and Sanitation				
Public Health	Primary Health Care	238,532,036	73,153,900	30.7
Public Service, Labour, and Decentralised Unit				
Special Programs	Intergovernmental Relations	106,507,204	37,576,825	35.3
Energy, Environment and Natural Resources				
Environmental Conservation Services	Environmental Conservation Services	9,120,000	3,812,768	41.8

Source: *Wajir County Treasury*

There were 5 development sub-programmes with zero-per-cent budget implementation rates. For recurrent sub-programmes, the poorest performers included: Climate Change in the Department of Energy, Environment and Natural Resources at 0 per cent, Urban Physical Planning Services in the Department of Lands, Housing and Physical Planning at 13.9 per cent, and Decentralised Unit Services in the Department of Public Service, Labour and Decentralised Unit at 23.2 per cent.

3.46.16 Settlement of Trade Payables

As of July 1 2025, the County reported trade payables totalling Kshs.3.86 billion. This amount consisted of Kshs.3.63 billion from the County Executive and Kshs.233.51 million from the County Assembly. The trade payables from the County Executive comprised Kshs.1.39 billion for recurrent expenditure and Kshs.2.24 billion for development expenditure.

During the reporting period, the County Executive settled trade payables amounting to Kshs.1.20 billion, comprising Kshs.532.32 million (44 per cent) for recurrent programmes and Kshs.666.74 million (56 per cent) for development programmes. On the other hand, the County Assembly settled trade payables amounting to Kshs.103.71 million, comprising Kshs.103.71 million (100 per cent) for recurrent activities and had no development activities trade payables. The outstanding trade payables as of 31st March 2026 were Kshs.2.43 billion for the County Executive and Kshs.129.81 million for the County Assembly.

Table 3.688 provides additional details of trade payables.

Table 3.688: Wajir County Trade Payables as of 31st March 2026

Category		County Entity	Development	Recurrent	Total
As at 1 July 2025 (End of FY 2024/25)	a	County Executive	2,236,024,253.05	1,394,314,907.62	3,630,339,161
		County Assembly	-	233,512,399.02	233,512,399
		Total	**2,236,024,253**	**1,627,827,307**	**3,863,851,560**
Trade payables scheduled to be settled in the first nine months of FY 2025/26 per the action plan	b	County Executive	1,103,130,896.47	726,858,443.48	1,829,989,340
		County Assembly	-	107,489,600.02	107,489,600
		Total	**1,103,130,896**	**834,348,044**	**1,937,478,940**

Category		County Entity	Development	Recurrent	Total
Amount paid in the first nine months of FY 2025/26	c	County Executive	666,745,581.00	532,324,698.88	1,199,070,280
		County Assembly	-	103,706,153.25	103,706,153
		Total	**666,745,581**	**636,030,852**	**1,302,776,433**
Trade Payables Incurred in the First Nine Months of FY 2025/26	d	County Executive	-	-	-
		County Assembly	-	-	-
		Total	**-**	**-**	**-**
Outstanding trade payables as of 31st March 2026	e=a-(c+b)	County Executive	1,569,278,672	861,990,209	2,431,268,881
		County Assembly	-	129,806,246	129,806,246
		Total	**1,569,278,672**	**991,796,455**	**2,561,075,127**

Source: *Wajir County Treasury*

The County Executive and the Assembly submitted a trade payables payment plan, committing to pay Kshs.1.83 billion and Kshs.107.49 million on recurrent and development expenditure, respectively, in FY 2025/26. The County did not adhere to this payment plan, as it cleared Kshs.1.20 billion for the Executive and Kshs.103.71 million for the Assembly.

Table 3.689 and Table 3.690 present the ageing of the total outstanding bills as of 31st March 2026 for the County Executive and Assembly, which were Kshs.2.56 billion.

Table 3.689: Wajir County Executive Trade Payables Ageing Analysis as of 31st March 2026

Category	Ageing analysis (Amount in Kshs.)				Total
	Under one year	1-2 years	2-3 years	Over 3 years	
County Executive					
Development Trade Payables	**448,811,931.89**	**-**	**-**	**1,120,466,740.16**	**1,569,278,672**
Recurrent Trade Payables (Goods & Services)	8,143,513.60	-	-	81,841,699.40	89,985,213
Recurrent Trade Payables (Salary Arrears and Statutory Deductions)	21,087,165.10	-	-	732,615,330.64	753,702,496
Recurrent Trade Payables (Staff Claims)	10,047,500.00	-	-	8,255,000.00	18,302,500
Total Recurrent Trade Payables	**39,278,179**	**-**	**-**	**822,712,030**	**861,990,209**
Total Trade Payables	**488,090,111**	**-**	**-**	**1,943,178,770**	**2,431,268,881**
% of Total	**20**	**-**	**-**	**80**	**100**

Source: *Wajir County Treasury*

Table 3.690: Wajir County Assembly Trade Payables Ageing Analysis as of 31st March 2026

Category	Ageing analysis (Amount in Kshs.)				Total
	Under one year	1-2 years	2-3 years	Over 3 years	
County Assembly					
Development Trade Payables	-	-	-	-	-
Recurrent Trade Payables (Goods & Services)	-	24,734,600.00		88,228,521.77	112,963,122
Recurrent Trade Payables (Salary Arrears and Statutory Deductions)	3,783,452.35	5,773,833.50	7,285,838.15		16,843,124
Recurrent Trade Payables (Staff Claims)	-	-	-	-	-
Total Recurrent Trade Payables	**3,783,452**	**30,508,434**	**7,285,838**	**88,228,522**	**129,806,246**
Total Trade Payables	**3,783,452**	**30,508,434**	**7,285,838**	**88,228,522**	**129,806,246**
% of Total	**3**	**24**	**6**	**68**	**100**

Source: *Wajir County Treasury*

As shown in Table 3.689 and Table 3.690, the total salary arrears and statutory deductions for trade payables amounted to Kshs 770.55, which represented 30 per cent of the total trade payables of Kshs 2.56 as of March 31, 2026. Additionally, the two tables indicate that 79 per cent of total trade payables are aged over three years

3.46.17 General Observations and Recommendations

In the course of overseeing and reporting on the implementation of the Wajir County budget, the CoB identified the following challenges, which hampered effective budget implementation;

i. The County Treasury's late submission of financial reports to the Controller of Budget affected the timely preparation of the budget implementation report, which was received on 21/04/26.
ii. Low development performance in the review period as the County incurred Kshs.2.61 billion on development activities, achieving a 54 per cent absorption rate.
iii. Regulation 197(1)(i) of the Public Finance Management (County Governments) Regulations, 2015, limits the lifespan of public funds to 10 years unless extended by the County Assembly. As of 31st March 2026, the lifespan of the Wajir County Revolving Fund had lapsed, making it ineligible for further withdrawals.
iv. High level of trade payables, which amounted to Kshs.2.56 billion as of 31st March 2026. Furthermore, the County Treasury did not adhere to the trade payables payment plan.
v. Use of manual payroll. Personnel emoluments amounting to Kshs.480.87 million were processed through the manual payroll, accounting for 13 per cent of the total payroll cost. Manual payroll is prone to abuse and may result in the loss of public funds.
vi. Non-submission of copies of authorisation letters for opening commercial bank accounts as per Regulation 82(5) of the Public Finance Management (County Governments) Regulations, 2015.
vii. The County reported Kshs.169.48 million under "*other operating expenses,*" accounting for 8 per cent of total operation and maintenance costs. This is misused to record items with specific budget codes, distorting the cost structure, reducing financial transparency, and weakening accountability in public fund management.

The County should implement the following recommendations to improve budget execution:

i. *The County Treasury should ensure the timely preparation and submission of financial reports to the Controller of Budget per the timelines prescribed in Section 166 of the PFM Act, 2012.*
ii. *The County should implement strategies to increase development expenditures in FY 2025/26.*
iii. *The County should ensure timely review and extension of public funds whose lifespans are nearing expiration or have lapsed to prevent operational disruptions. Additionally, any expenditure from lapsed funds should cease immediately, and legal mechanisms should be followed to re-establish or wind up such funds in compliance with the Public Finance Management Act.*
iv. *The County Leadership should address the situation of trade payables to ensure that genuine bills are paid promptly in the remaining financial year. Further, compliance with the Trade Payables Action Plan should be enforced.*
v. *The Government requires that salaries be processed through the HRIS system, and the County is advised to fast-track the acquisition of Unified Personnel Numbers for their staff. The County Public Service Board should regulate staff engagement on contract and casual workers as provided under Section 74 of the County Governments Act 2012. Furthermore, strict adherence to the approved staff establishment should be maintained.*
vi. *The County Treasury should ensure it submits copies of authorisation letters to the CoB for opening commercial bank accounts to enhance accountability and oversight.*
vii. *The County Treasury should adhere to the approved budget classification framework by ensuring that all expenditures are recorded under their specific budget codes rather than being aggregated under the "Other Operating Expenses-other" category.*

3.47. County Government of West Pokot

3.47.1 Overview of FY 2025/26 Budget

The West Pokot County Supplementary Budget for FY 2025/26 is Kshs.8.99 billion. It comprises Kshs.2.76 billion (31 per cent) and Kshs.6.23 billion (69 per cent) allocation for development and recurrent programmes, respectively. The budget estimates represent an increase of Kshs.1.32 billion (17 per cent) from the FY 2024/25 budget, which comprised a development budget of Kshs.2.25 billion and a recurrent budget of Kshs.5.42 billion. The increase in the budget was primarily attributed to the rise in additional allocation.

The budget is to be financed from various revenue sources. These include the equitable share of revenue raised nationally of Kshs.7 billion (78 per cent) and additional allocations of Kshs.1.21 billion (13 per cent), a cash balance brought forward from FY 24/25 of Kshs.368 million (5 per cent) and Kshs.351.66 million (4 per cent) generated as own-source revenue. A breakdown of the additional allocations is shown in Table 3.691.

3.47.2 Revenue Performance

During the first nine months of FY 2025/26, the County reported total revenues of Kshs.6.07 billion. This amount represented an increase of 39 per cent compared to the amount received in a similar period in FY 2024/25 of Kshs.4.37 billion. The total revenue consisted of Kshs.4.66 billion from the equitable share of revenue raised nationally, additional allocations from the national government and development partners of Kshs.340.97 million, and own-source revenue (OSR) collection of Kshs.216.31 million. Additionally, the County had a cash balance of Kshs.368 million from FY 2024/25. The total OSR collection of Kshs.293.93 million included Facilities Improvement Financing (FIF) of Kshs.216.31 million, and Kshs.77.34 million from other OSR sources.

Table 3.691 summarises the total revenue available to the County Government during FY 2025/26.

Table 3.691: West Pokot County, Revenue Performance in the first nine months of FY 2025/26

No	Revenue Stream	Annual Targeted Revenue (Kshs.)	Actual Receipts (Kshs.)	Receivables in the first nine months of FY 2025/26(Kshs.)	Total Revenues (in accrual basis) in the first nine months of FY 2025/26 (Kshs.)	Revenue Performance (%)
		A	B	C	D	F=D/A*100
A	**Unspent Balance from FY 2024/25**					
1	Balance at CRF	367,995,569	367,995,569	-	367,995,569	100
2	County Executive Refunds to CRF	60,691,204	60,691,204	-	60,691,204	100
3	County Assembly Refunds to CRF	254,821	254,821	-	254,821	100
	Sub-Total	**428,686,773**	**428,686,773**	**-**	**428,686,773**	**100**
B	**Equitable Share of Revenue Raised Nationally**					
1	Equitable Share	7,002,426,008	4,656,613,293	560,194,080	5,216,807,373	75
	Sub-Total	**7,002,426,008**	**4,656,613,293**	**560,194,080**	**5,216,807,373**	**75**
C	**Additional Allocations (Including Grants)**					
1	Road Maintenance Levey Fund (RMLF)	57,829,022	57,829,022	-	57,829,022	100
2	Road Maintenance Levey Fund (RMLF) (Rollover)	75,264	-	-	-	-
3	Financing Locally Led Climate Action Program – County Climate Resilient Investment (FLoC-CA-CCIR)	200,000,000	110,785,441	-	110,785,441	55

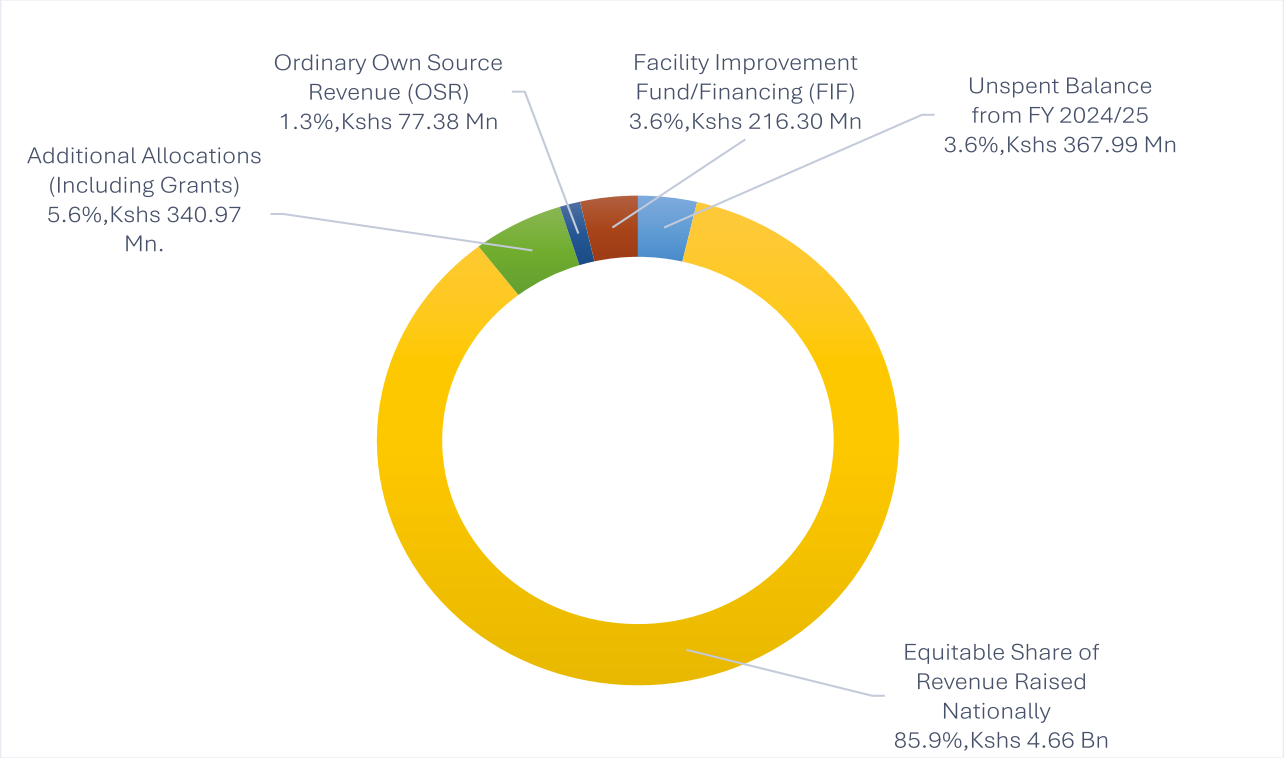
No	Revenue Stream	Annual Targeted Revenue (Kshs.)	Actual Receipts (Kshs.)	Receivables in the first nine months of FY 2025/26(Kshs.)	Total Revenues (in accrual basis) in the first nine months of FY 2025/26 (Kshs.)	Revenue Performance (%)
		A	B	C	D	F=D/A*100
4	Financing Locally Led Climate Action Program – County Climate Resilient Investment (FLoC-CA-CCIR) Rollover	47,706,635	-	-	-	-
5	Food System Resilience Project (FSRP)	246,153,846	110,059,920	-	110,059,920	45
6	Second Kenya Devolution Support Program – Institutional Grant (Level 1 Grant) (KDSP)	72,909,500	35,253,471	-	35,253,471	48
7	Second Kenya Devolution Support Program – Service Delivery and Investment Grant (Level 2 Grant) (KDSP)	352,500,000	-	-	-	-
8	Second Kenya Urban Support Project (KUSP) – Urban Development Grant (UDG)	51,847,857	-	-	-	-
9	Kenya Urban Support Project (KUSP) – Urban Institutional Grant (UIG)	28,000,000	-	-	-	-
10	Kenya Urban Support Project (KUSP) – Urban Institutional Grant (UIG) Rollover	32,309,300				-
11	Kenya Urban Support Project (KUSP) – Urban Institutional Grant (UDG) Rollover	27,883,609	27,038,970	-	27,038,970	97
12	Kenya Water, Sanitation, and Hygiene (K-WASH) Programme	130,000,000	-	-	-	-
13	DANIDA: Primary Health Care in a Devolved Context (PHDC)	8,058,000	-	-	-	-
14	DANIDA- Rollover FY 2024-25 Level 1	2,014,500				-
15	DANIDA- Rollover FY 2024-25 Level 1, 2 and 3	5,692,750				-
	Sub-Total	**1,262,980,283**	**340,966,824**	**-**	**340,966,824**	**27**
D	**Ordinary Own Source Revenue (OSR)**					
1	Market kiosk Rent	5,482,560	2,772,500	-	2,772,500	51
2	Business Permit	11,996,995	17,187,477	-	17,187,477	143
3	Market/Trade Centre fee	3,801,936	1,326,150	-	1,326,150	35
4	Building Plan approval fee	128,000	159,000	-	159,000	124
6	Other cesses	7,313,898	2,437,629	-	2,437,629	33

No	Revenue Stream	Annual Targeted Revenue (Kshs.)	Actual Receipts (Kshs.)	Receivables in the first nine months of FY 2025/26(Kshs.)	Total Revenues (in accrual basis) in the first nine months of FY 2025/26 (Kshs.)	Revenue Performance (%)
		A	B	C	D	F=D/A*100
7	Sand, Gravel and Ballast Extractions	24,151,014	13,609,700	-	13,609,700	56
8	Livestock Cess	9,975,712	4,196,590	-	4,196,590	42
9	Rent of Government Building and Housing	1,500,000	663,599	-	663,599	44
10	Advertising Fee	4,484,800	1,950,920	-	1,950,920	44
11	Street Parking Fee	1,187,056	828,828	-	828,828	70
12	Vehicle Parking Fee	8,241,684	1,864,390	-	1,864,390	23
13	Application /Renewals	1,565,760	172,800	-	172,800	11
14	Liquor Licence Fee	1,500,000	-	-	-	0
15	Other Miscellaneous fee	1,000,000	352,390	-	352,390	10
16	Receipt from Administration Fees and Charges	238,400	396,610	-	396,610	166
17	Land Rates /Plot Rent	13,900,000	10,913,113	-	10,913,113	79
18	Livestock Movement Permit	523,488	250,240		250,240	48
19	Forest Material Cess	1,159,696	543,300		543,300	47
20	Asset Disposal	-	17,712,713		17,712,713	-
	Sub-Total	**98,150,999**	**77,337,898**	**-**	**77,337,898**	**79**
E	**Facility Improvement Fund/Financing (FIF)**					
1	SHIF	253,505,000	216,308,235	-	216,308,235	85
2	Defunct NHIF	-	-	-	-	-
	Sub-Total	**351,655,999**	**293,643,133**	**-**	**293,643,133**	**84**
Total		**8,985,057,859**	**5,512,297,337**	**-**	**6,072,491,417**	68

Source: *West Pokot County Treasury*

The County has governing legislation on the operation of ordinary A-I-A and FIF. Figure 3.277 provides a detailed breakdown of receipts.

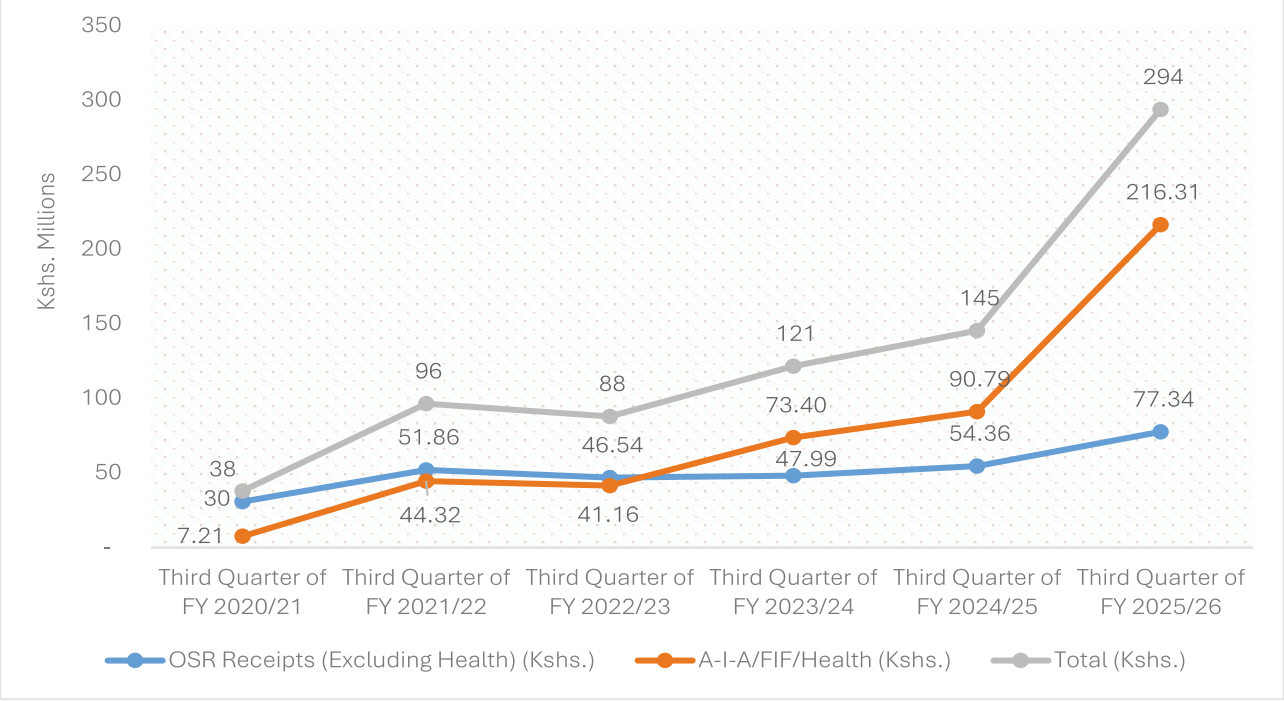
Figure 3.277: West Pokot County Composition of Revenue in the first nine months of FY 2025/26



Source: *West Pokot County Treasury*

The equitable share of revenue raised nationally, FIF, and Additional Allocations contributed 86 per cent, 4 per cent and 6 per cent, respectively, of the total receipts for the reporting period. Figure 3.278 shows the collection trend in own-source revenue from the first nine months of FY 2020/21 to the first nine months of FY 2025/26.

Figure 3.278: West Pokot County Trend in Own-Source Revenue Collection from the first nine months of FY 2020/21 to the first nine months of FY 2025/26



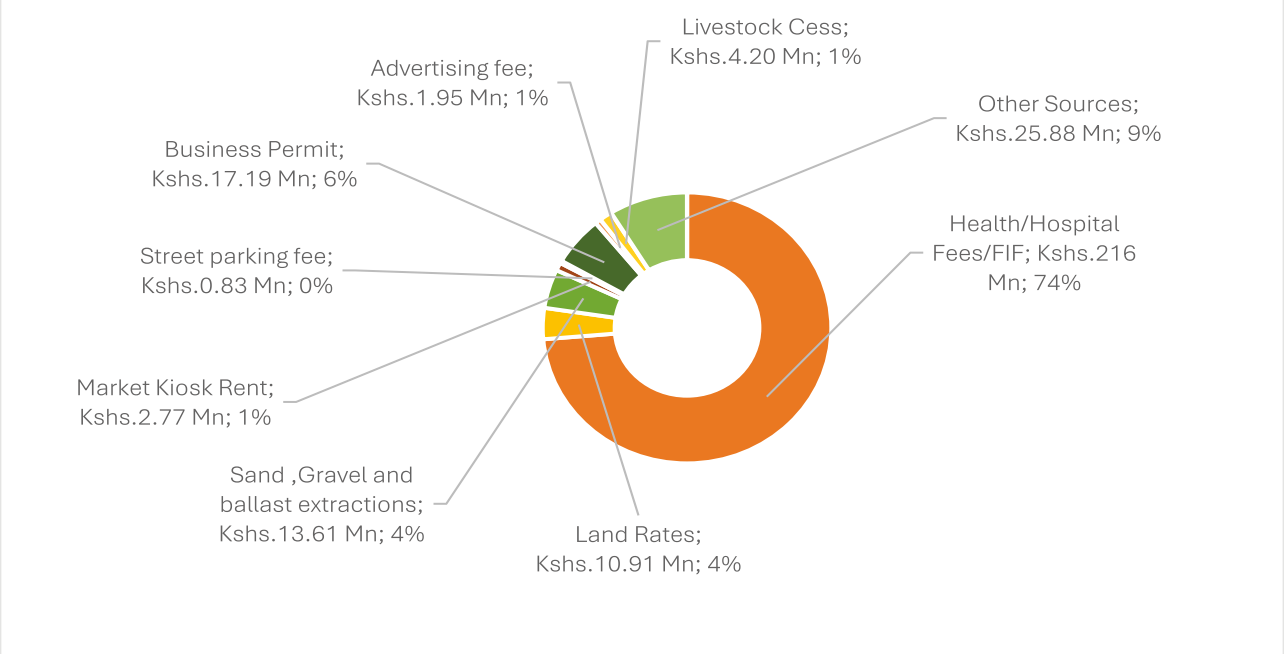
Source: *West Pokot County Treasury*

During the first nine months of FY 2025/26, the County received Kshs.293.65 million from OSR, including FIF. This amount was an increase of 102 per cent compared to Kshs.145.15 million realised in a similar pe-

riod in FY 2024/25, and was 84 per cent of the annual target and 6 per cent of the equitable revenue share disbursed. The increase in OSR was attributed to higher FIF collection.

The revenue streams that contributed the most to OSR receipts are shown in Figure 3.279

Figure 3.279: West Pokot County Top Own Source Revenue Streams in the first nine months of FY 2025/26



Source: *West Pokot County Treasury*

As shown in Figure 3.279, the largest revenue stream, at Kshs.216 million, was from FIF, accounting for 74 per cent of total OSR receipts. The County Government indicated that it has automated 14 of 19 revenue streams. The system utilised for FIF revenue collection is Afya KE, which has been in use since FY 2019/2020.

3.47.3 Revenue Receivables

As of 1st July 2025, the County reported receivables of Kshs.62.50 million, which increased to Kshs.635.15 million as of 31st March 2026. The County manages its receivables using a manual system, with an accrual-basis option. Table 3.692 presents a breakdown of the County's receivables.

Table 3.692: West Pokot County Receivables as of 31st March 2026

No	Revenue Stream	Receivables as of 1 July 2025 (Kshs.)	Progress made in the first nine months of FY 2025/26			Arrears as of 31st March 2026 (Kshs.)
			Waivers (Kshs)	Arrears paid in the financial year (Kshs)	Arrears earned in the first nine months of FY 2025/26 (Kshs)	
		a	b	c	d	f=a-b-c+d
A	**Equitable Share of Revenue Raised Nationally**					
1	Month of December	-	-	-	560,194,080	560,194,080
	Sub-Total	**-**	**-**	**-**	**560,194,080**	**560,194,080**
C	**Additional Allocations**					
	Sub-Total	**-**	**-**	**-**	**-**	**-**
D	**Ordinary Own Sources of Revenue**					
1	**Property Rent**	42,896,739	**-**	3,500,133	6,814,000	53,210,872
2	**Land Rates**	19,603,189	**-**	**-**	2,141,360	21,744,549
	Sub-Total	**62,499,928**	**-**	**3,500,133**	**8,955,360**	**74,955,421**
Total		**62,499,928**	**-**	**3,500,133**	**569,149,440**	**635,149,501**

Source: *West Pokot County Treasury*

As of 31st March 2026, the receivables totalled Kshs.635.15 million, comprising Kshs.560.19 million for the Equitable share of Revenue (88 per cent) and Kshs.74.96 million for own-source revenue (12 per cent). The measures instituted by the County to collect the outstanding arrears in FY 2025/26 include the introduction of interest and penalties.

3.47.4 Withdrawals from the County Revenue Fund and County Assembly Fund

During the reporting period, the Controller of Budget approved exchequer withdrawal requests totalling Kshs.4.77 billion from the West Pokot County Revenue Fund (CRF) account. This amount consisted of Kshs.635.34 million (13 per cent) designated for development programs and Kshs.4.13 billion (87 per cent) allocated for recurrent programs.

An analysis of the released recurrent exchequers shows that Kshs.2.55 billion was allocated to employee compensation and Kshs.1.59 billion to operations and maintenance expenditures. Within the operations and maintenance category, 31 per cent was for domestic travel and 1 per cent for foreign travel. The domestic travel exchequers totalled Kshs.492.91 million, which included Kshs.364.66 million for the County Executive and Kshs.128.24 million for the County Assembly. Meanwhile, the foreign travel exchequers amounted to Kshs.11.37 million, with Kshs.10.04 million for the County Executive and Kshs.1.33 million for the County Assembly.

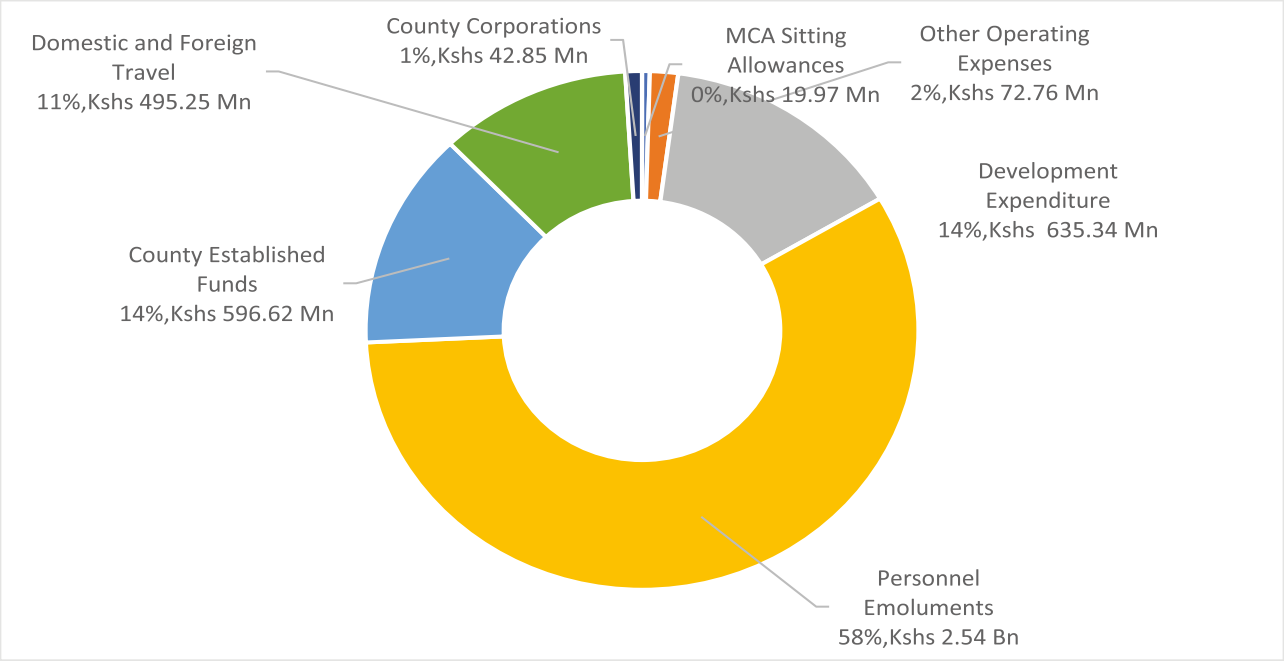
As of 31st March 2026, the County Government's cash balance in the West Pokot CRF account was Kshs.604.32 million. As of 31st March 2026, the County Assembly Fund was not operationalised.

3.47.5 Expenditure Review

The County spent Kshs.4.77 billion on development and recurrent programmes during the reporting period. The expenditure represented 100 per cent of the total funds released by the CoB. It comprised Kshs.635.34 million for development programmes and Kshs.4.13 billion for recurrent programmes. Expenditure on development programmes accounted for 23 per cent of the annual development expenditure budget, while recurrent expenditure accounted for 67 per cent of the annual recurrent expenditure budget.

Figure 3.280 provides a detailed breakdown of total expenditure.

Figure 3.280: West Pokot County Composition of Expenditure in the first nine months of FY 2025/26



Source: *West Pokot County Treasury*

As shown in Figure 3.280, the three highest expenditure categories were Personnel Emoluments, County Established Funds, and Development Expenditure, contributing 58, 14 and 14 per cent of total expenditure for the reporting period.

3.47.6 Expenditure by Economic Classification

The County Executive incurred Kshs.2.27 billion in employee compensation, Kshs.1.42 billion in operations and maintenance, and Kshs.635.34 million in development activities. Similarly, the County Assembly spent Kshs.278.29 million on compensation of employees, Kshs.162.96 million on operations and maintenance, and nil on development activities, as shown in Table 3.693.

Table 3.693: West Pokot County Summary of Budget and Expenditure by Economic Classification

Expenditure Classification	Approved Budget (Kshs.) (a)		Amount Paid in the first nine months of FY 2025/26 (Kshs.) (b)		Expenditure Accrued in the first nine months of FY 2025/26 (Kshs.) (c)		Total Expenditure in the first nine months of FY 2025/26 (Kshs.) (d=b+c)		Absorption (%) (d/a*100)	
	Executive	Assembly	Executive	Assembly	Executive	Assembly	Executive	Assembly	Executive	Assembly
Total Recurrent Expenditure	**5,528,144,620**	**699,024,354**	**3,689,647,804**	**441,246,506**	**-**	**-**	**3,689,647,804**	**441,246,506**	**67**	**63**
Compensation of Employees	3,086,780,246	399,594,292	2,267,028,253	278,288,279	-	-	2,267,028,253	278,288,279	73	70
Operations and Maintenance	2,441,364,374	299,430,062	1,422,619,551	162,958,227	-	-	1,422,619,551	162,958,227	58	54
Development Expenditure	**2,707,890,535**	**50,000,000**	**635,342,715**	**-**	**-**	**-**	**635,342,715**	**-**	**23**	**-**
Total	**8,236,035,155**	**749,024,354**	**4,324,990,519**	**441,186,506**	**-**	**-**	**4,324,990,519**	**441,186,506**	**53**	**59**

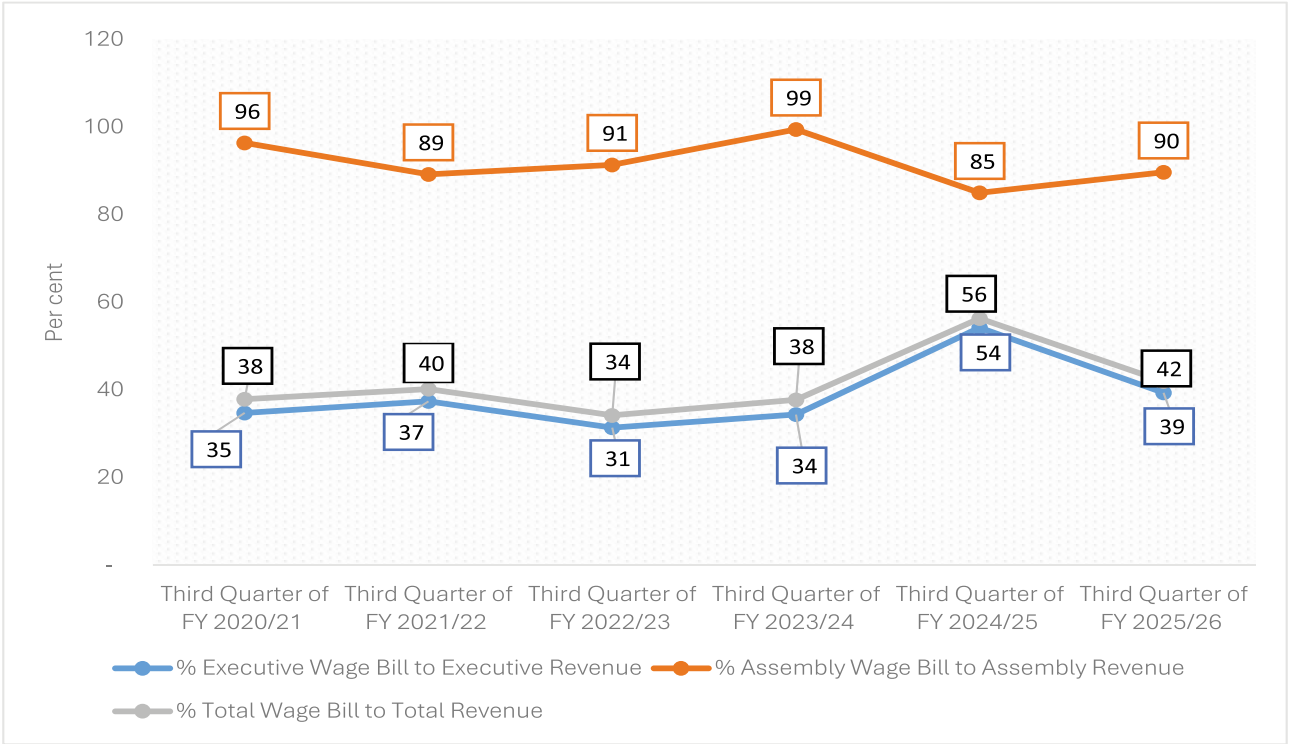
Source: *West Pokot County Treasury*

3.47.7 Expenditure on Employee Compensation

The expenditure on employee compensation totalled Kshs.2.55 billion, representing 28 per cent of revenue. This expenditure on employee compensation shows an increase compared to the Kshs.2.46 billion reported in a similar period in FY 2024/25. Of this total, Kshs.1.35 billion related to Health Sector employees, accounting for 53 per cent of the overall employees' compensation.

Figure 3.281shows the trend in employee compensation as a percentage of total revenue from the first nine months of FY 2020/21 to the first nine months of FY 2025/26.

Figure 3.281: Percentage of Employee Compensation Expenditure to Total Revenue Received in the first nine months of FY 2020/21 to the first nine months of FY 2025/26



Source: *West Pokot County Treasury*

Further analysis indicated that PE costs totalling Kshs.2.27 billion were processed through the Human Resource Information System (HRIS). In contrast, Kshs.8.78 million was processed through manual payrolls, which accounted for 0.3 per cent of the total PE cost.

The manual payroll comprised salaries, and top-up allowances for security personnel, as shown in Table 3.694.

Table 3.694: Breakdown of West Pokot County Manual Payroll

S.no.	Description of Manual Payroll	Amount (Kshs.)
	Top-up Allowances for Security Officers	8,783,300
	Total	**8,783,300**

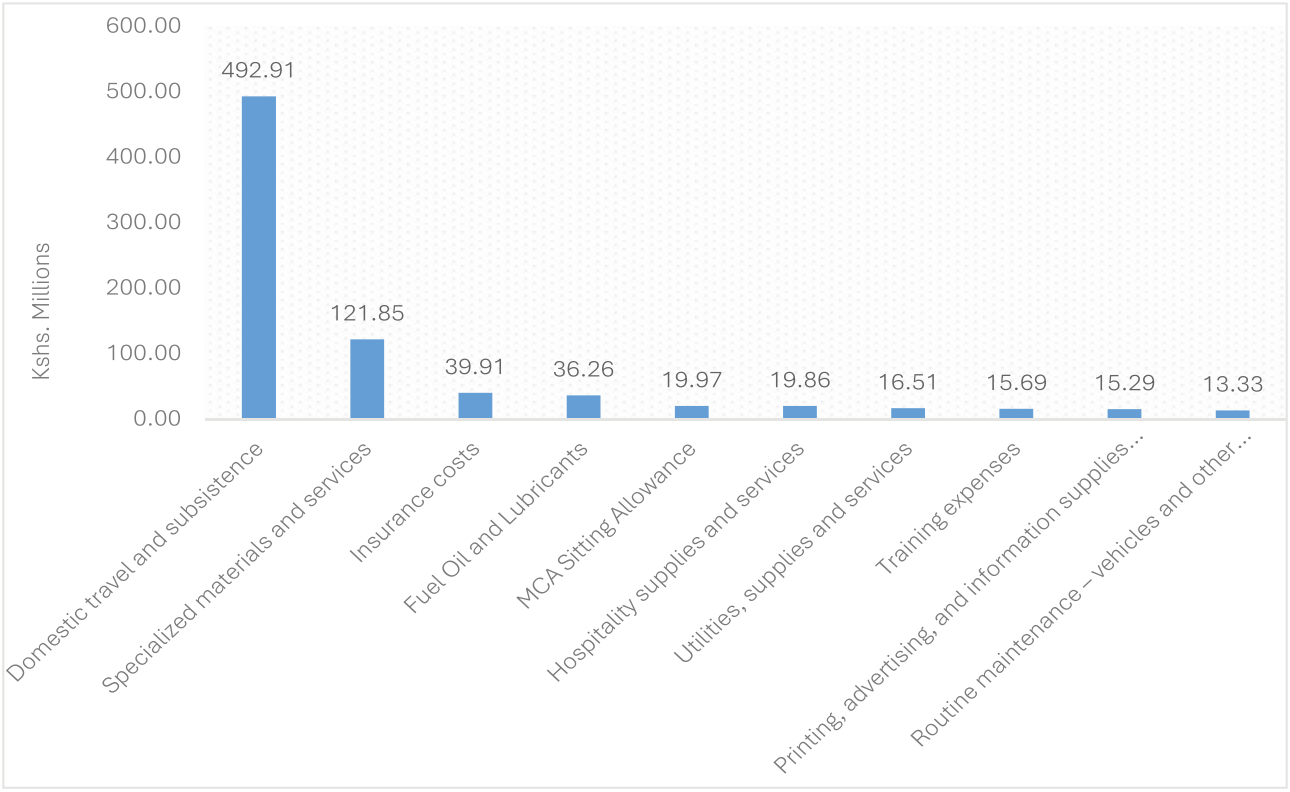
Source: *West Pokot County Treasury*

The County Assembly spent Kshs.19.97 million on committee sitting allowances for the 33 MCAs against the annual budget allocation of Kshs.33.58 million. The average monthly sitting allowance was Kshs.100,839 per MCA. The County Assembly has 26 House Committees.

3.47.8 Expenditure on Operations and Maintenance

During the reporting period, the County spent Kshs.1.58 billion on operations and maintenance, representing an increase of 1 per cent compared to a similar period in FY 2024/25, when the County spent Kshs.1.42 billion. Figure 3.282 illustrates the distribution of Operations and Maintenance expenditures across the major spending categories.

Figure 3.282: West Pokot County, Operations and Maintenance Expenditure by Major Categories



Source: *West Pokot County Treasury*

3.47.9 County-Established Funds

Section 116 of the PFM Act 2012 allows County Governments to establish other public funds, subject to approval from the County Executive Committee and the County Assembly. The County allocated Kshs.360 million to County-Established funds in FY 2025/26, representing 4 per cent of the County's overall budget. Of this amount, the County allocated Kshs.10 million to the Emergency Fund in line with Section 110 of the PFM Act, 2012 (less than 1 per cent of the total budget). Table 3.695 summarises each established Fund's budget allocation and performance during the reporting period.

Table 3.695: Performance of West Pokot County Established Funds in the first nine months of FY 2025/26

S/ No.	Name of the Fund	Year Established	Approved Budget Allocation in FY 2025/26 (Kshs.)	Exchequer Issues in the first nine months of FY 2025/26 (Kshs.)	Actual disbursements in the first nine months of FY 2025/26 (Kshs.)	Cumulative disbursements to the Fund (Kshs)	Submission of Financial Statements (Yes/ No.)
		County Executive Established Funds					
1	West Pokot County Car Loan and Mortgage	2016	-	-	75,407,000	225,000,000	Yes
2	West Pokot County Bursary and Infrastructure Fund	2025	350,000,000	-	513,722,924	7,820,150,000	Yes
3	West Pokot County Cooperative Development Fund	2018	18,272,000	-	7,493,932	65,000,000	Yes
4	West Pokot County Emergency Fund	2025	10,000,000	-	-	-	No
		County Assembly Established Funds					
1	West Pokot County Assembly Car Loans and Mortgage	2025	-	-	-	240,726,312	No
	Total		**378,272,000**	**-**	**596,623,856**	**8,350,876,312**	

Source: *West Pokot County Treasury*

During the reporting period, the CoB did not receive quarterly financial reports from 2 Fund Administrators, as indicated in Table 3.67, contrary to the requirement of Section 168 of the PFM Act, 2012.

3.47.10 County Corporations

The County has two corporations that were allocated Kshs.213.94 million in FY 2025/26. Their total transfer for the review period amounted to Kshs.42.85 million, as shown in Table 3.696

Table 3.696: Performance of West Pokot County Corporations in the first nine months of FY 2025/26

S/No.	Name of the Corporation	Approved Budget Allocation in FY 2025/26 (Kshs.)	Exchequer Issues (Kshs.)	Actual Transfers in the first nine months of FY 2025/26 (Kshs.)	Cumulative Transfers to the Corporation since its inception (Kshs.)
	Chepareria Municipality	25,800,000	14,300,000	14,300,000	21,450,000
	Kacheliba Municipality	188,140,766	28,550,000	28,550,000	295,159,300
	Total	**213,940,766**	**42,850,000**	**42,850,000**	**316,609,300**

Source: *West Pokot County Treasury*

3.47.11 Expenditure on Domestic and Foreign Travel

Expenditure on domestic travel amounted to Kshs.492.91 million and comprised Kshs.128.25 million spent by the County Assembly and Kshs.364.66 million by the County Executive. Expenditure on foreign travel amounted to Kshs.11.37 million and comprised Kshs.1.33 million by the County Assembly and Kshs.10.04 million by the County Executive. Expenditure on foreign travel is summarised in Table 3.697.

Table 3.697: Summary of Expenditure on Foreign Travel in the first nine months of FY 2025/26

Arm of County Government	Number of Officers Travelled	Date travelled	Purpose of the travel	Destination	Actual Payment on Travel (a) (Kshs.)	Accrued Expenditure on Travel (b) (Kshs.)	Total Expenditure on Travel (c=a+b) (Kshs.)
County Executive	2	24th November to 28th November 2025	Attendance of workshop for boards, Audit Committee, CEOS and heads of internal Audit	Istanbul, Turkey	1,794,380	-	1,794,380
County Executive	1	13th December to 20th December 2025	Attendance of international conference of business analytics and intelligence(2025-ICBAI)	Tamilnadu, India	697,291	-	697,291
County Executive	2	8th December to 15th December 2025	Attendance strong cities network sixth Global Summit	Toronto, Canada	2,171,021	-	2,171,021
County Executive	3	3rd March to 9th March 2026	Training workshop and study visit on trade, technological innovations and infrastructure development	China	5,374,002	-	5,374,002
County Assembly	5	19th January to 23rd January 2026	Training on strategic financial management and accountability in parliamentary governance	Kampala, Uganda	1,331,850	-	1,331,850
Total					**11,368,544**	**-**	**11,368,544**

Source: *West Pokot County Treasury and County Assembly*

3.47.12 Facility Improvement Financing

During the review period, the County reported collections of Kshs.216.31 million as FIF, which was 85 per cent of the annual target of Kshs.253.51 million. The collected amount was retained and utilised at source in line with the Facility Improvement Financing Act, 2023. The County, however, has not developed regulations to operationalise the FIF Act of 2023. The expenditure by the health facilities amounted to Kshs.95.53 million, as shown in Table 3.698.

Table 3.698: West Pokot County Health Facilities Expenditure Performance in the first nine months of FY 2025/26

No.	Health Facility	Number of Facilities	Approved Budget (Kshs.)	Actual Expenditure (Kshs.)	Absorption rate (%)
1.	Kapenguria County Referral Hospital	1	132,800,000	57,284,913	43
2.	Kacheliba Sub-County Hospital	1	24,005,000	7,173,407	30
3.	Chepareria Sub-County Hospital	1	20,000,000	4,063,133	20
4.	Sigor Sub County Hospital	1	16,000,000	4,212,335	26
5.	Level 2 and 3 Facilities	82	60,000,000	22,800,950	38
	Total	**86**	**252,805,000**	**95,534,738**	**38**

Source: *West Pokot County Treasury*

3.47.13 Development Expenditure

In the review period, the County reported spending Kshs.635.34 million on development programmes, representing an increase of 15 per cent compared to FY 2024/25, when the County spent Kshs.551.07 million. Table 3.699 summarises the development projects with the highest expenditure in the reporting period.

Table 3.699: West Pokot County, List of Development Projects with the Highest Expenditure

No	Sector	Project Name	Project Location	Project Commencement Date	Expected date of Completion of the Project	Contract sum (Kshs)	Total Funding in FY 2025/26 (Kshs.)	Expenditure (in accrual basis) in the first nine months of FY 2025/26 (Kshs.)	Cumulative Project Expenditure (in accrual basis) as of 31st March 2026 (Kshs.)	Percentage (%) of Completion
County Funded Projects										
1.	Health and Sanitation	Construction of the Makutano Subcounty Hospital (Phase 2)	Mnangei	01/07/2025	01/03/2026	31,873,414	24,873,414	23,096,005	23,096,005	50
2.	Health and Sanitation	Equipping of Modern Morgue at KCRH	Kapenguria	03/02/2025		19,500,000	19,500,000	19,500,000	19,500,000	100
3.	Education and Technical Training	Completion of Education Administration Block	Kapenguria	23/02/2023	30/11/2025	36,812,987	22,767,066	-	14,500,000	90
4.	Water, Environment, Natural Resources and Climate Change	Upgrading of Kasei Borehole to Solar Power	Kasei	15/03/2024	30/06/2024	1,999,376	1,704,985	1,999,376	1,999,376	100
5.	County Executive	Proposed Renovation of Staff House at Governor's Residence	Kapenguaria	14/07/2025	15/09/2025	4,992,013	4,999,013	4,999,013	4,999,013	100
6.	Education and Technical Training	Construction of ECDE Classrooms	Lelan	28/04/2025	28/06/2025	9,999,990	10,000,000	4,999,995	4,999,995	100
7.	Livestock, Fisheries and Veterinary Services	Purchase of Boma Rhodes Seeds	Kapenguria	15/03/2022	15/04/2022	1,798,802	1,798,802	1,798,802	1,798,802	100
8.	Trade, Industrialization, Energy and Cooperative Development	Construction of Fresh Produce Market	Seker	16/12/2024	30/06/2026	109,209,105	30,000,000	90,000,000	90,000,000	82

No	Sector	Project Name	Project Location	Project Commencement Date	Expected date of Completion of the Project	Contract sum (Kshs)	Total Funding in FY 2025/26 (Kshs.)	Expenditure (in accrual basis) in the first nine months of FY 2025/26 (Kshs.)	Cumulative Project Expenditure (in accrual basis) as of 31st March 2026 (Kshs.)	Percentage (%) of Completion
9.	Youths Affairs, Sports, Tourism, Culture and Social Services.	Proposed Construction of Social Hall at Siyoi Advisory Centre	Siyoi	01/30/2025	31/12/2025	24,142,252	15,000,000	24,142,252	24,142,252	100
10.	County Executive	Proposed External Works at the Governor's Residence	Kapenguria	09/05/2024	09/07/2024	4,851,120	852,000	851,120	4,851,120	100

Source: *West Pokot County Treasury*

The County reported four (4) stalled development projects as of 31st March 2026, with an estimated value of Kshs.660 million, of which Kshs.108 million has already been paid. The stalled projects are shown in Table 3.700

Table 3.700: West Pokot County Stalled Projects as of 31st March 2026

No	Sector	Project Name	Project Location	Project Start Date	Expected Completion date of the Project	Estimated Value of the Project (Kshs.)	Amount Paid on the stalled project (Kshs.)	Accrued Expenditure on the stalled project (Kshs.)	Outstanding Unpaid Balance As of 31st March 2026	Percentage of Completion before stalling of the Project
1.	Trade, Industrialisation, Energy and Cooperative Development	Completion of West Pokot Milk Processing Plant	Lelan	2020/2021	30/06/2022	400,000,000	28,000,000	372,000,000	372,000,000	7
2.	Trade, Industrialisation, Energy and Cooperative Development	Completion of West Pokot Mango Processing Plant	Lomut	2020/2021	30/06/2022	150,000,000	15,000,000	135,000,000	135,000,000	10
3.	County Assembly	Completion of Residential Building (Speakers Residence)	Kapenguria	03/01/2014		68,000,000	32,000,000	36,000,000	36,000,000	70
4.	County Assembly	Completion of the Restaurant	Kapenguria	03/01/2014		42,000,000	33,000,000	9,000,000	9,000,000	98

Source: *West Pokot County Treasury*

3.47.14 Budget Performance by Department

Table 3.701 summarises the approved budget allocation, expenditure, and absorption rate by department for the period under review.

Table 3.701: West Pokot County, Budget Allocation and Absorption Rate by Department in the first nine months of FY 2025/26

Department	Revised Budget Allocation (Kshs. Million)		Exchequer Received (Kshs.Million)		Expenditure (Kshs. Million)		Expenditure to Exchequer (%)		Absorption rate (%)	
	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev	Rec	Dev
County Executive	353.43	32.70	148.05	11.99	148.05	11.99	100	100	41.9	36.7
Finance and Economic Planning	325.40	29.72	267.13	-	267.13	-	100	-	82.1	-
Public Works, Transport and Infrastructure	105.39	262.12	62.65	71.16	62.65	71.16	100	100	59.4	27.1
Health and Sanitation	2,188.15	359.57	1,573.97	52.44	1,573.97	52.44	100	100	71.9	14.6
Education and Technical Training	961.77	240.47	726.95	55.20	726.95	55.20	100	100	75.6	23
Agriculture and Irrigation	90.55	424.05	62.07	140.96	62.07	140.96	100	100	68.5	33.2
Livestock, Fisheries and Veterinary Services	93.93	83.60	50.18	4.10	50.18	4.10	100	100	53.4	4.9
Trade, Industrialisation, Energy and Cooperative Development	63.21	96.80	46.44	60.50	46.44	60.50	100	100	73.5	62.5
Lands, Housing, Physical Planning and Urban Development	244.77	139.67	139.00	4.60	139.00	4.60	100	100	56.8	3.3
Water, Environment, Natural Resources and Climate Change	96.10	574.51	60.57	200.24	60.57	200.24	100	100	63.0	34.9
Youths Affairs, Sports, Tourism, Culture and Social Services.	92.34	108.37	71.60	34.16	71.60	34.16	100	100	77.5	31.5
County Public Service Management, ICT and Decentralised Units	797.90	356.30	435.65	-	435.65	-	100	-	54.6	-
Special Programmes	115.21	-	45.41	-	45.41	-	100	-	39.4	-
West Pokot County Assembly	699.02	50.00	441.25	-	441.25	-	100	-	63.1	-
TOTAL	**6,227.17**	**2,757.89**	**4,130.90**	**635.43**	**4,130.90**	**635.43**	**100**	**100**	**66.3**	**23**

Source: *West Pokot County Treasury*

Analysis of expenditure by departments shows that the Department of Trade, Industrialisation, Energy and Cooperative Development recorded the highest absorption rate of development budget at 63 per cent, followed by the Department of County Executive at 37 per cent. The Department of Finance and Economic Planning had the highest percentage of recurrent expenditure to budget at 82 per cent, while the Department of Special Planning had the lowest at 39 per cent.

3.47.15 Budget Execution by Programmes and Sub-Programmes

Budget execution was concentrated in selected performance bands. The county reported a statement of the highest-absorbing sub-programmes, noting that most departments had zero absorption across the remaining development and recurrent sub-programmes.

In the 51–60 per cent band, development absorption was reported for curative health services under the Department of Health and Sanitation at 54 per cent. In the 61–70 per cent band, development absorption was reported for general administration, planning and support services under the Department of Education and Technical Training at 63 per cent, for youth vocational training at 67 per cent, and for climate change under the Department of Water, Environment, Natural Resources and Climate Change at 61 per cent.

In the 71–80 per cent band, development absorption was reported for general administration, planning and support services under the Department of Trade, Industrialisation, Investment and Cooperative Development at 75 per cent. In the 81–90 per cent band, recurrent absorption was reported for budget formulation services under the Department of Finance and Economic Planning at 87 per cent, for preventive health

services under the Department of Health and Sanitation at 89 per cent, for communication service under the Department of County Public Service Management, ICT and Decentralised Units at 82 per cent, and for staff affairs and development under the County Assembly at 82 per cent. In the 90–100 per cent band, recurrent absorption reached 92 per cent for gender, youth and sports development under the Department of Tourism, Youth, Sports and Culture.

Low absorption in the lower performance bands reflected the development and recurrent sub-programmes that recorded zero absorption across most departments. Conversely, performance in the higher bands reflected the prioritisation of the respective sub-programmes during the review period.

Table 3.702 summarises budget execution by programmes and sub-programmes in the period under review with the highest absorption rates.

Table 3.702: Budget Execution by Programmes and Sub-Programmes with Highest Absorption Rates

Programme/ Sub-Programme	Gross Approved Estimates FY 2025/26 (Kshs.)	Expenditure (including accrued expenditure) as of 31st March 2026(Kshs.)	Absorption Rate (%)
DEVELOPMENT			
Trade, Industrialisation, Investment and Cooperative Development			
General Administration, Planning and Support Services	80,300,000	60,499,000	75
Education and Technical Training			
General Administration, Planning and Support Services	38,015,699	23,682,116	63
Youth Vocational Training	13,200,000	8,800,000	67
Health and Sanitation			
Curative Health Services	83,180,771	44,554,480	54
Water, Environment, Natural Resources and Climate Change			
Climate Change	317,758,467	193,094,935	61
RECURRENT			
Finance and Economic Planning			
Budget Formulation Services	22,967,752	19,979,700	87
Tourism, Youth, Sports and Culture			
Gender, Youth, and Sports Development	34,980,271	32,067,315	92
Health and Sanitation			
Preventive Health Services	113,114,075	100,300,971	89
County Public Service Management, ICT and Decentralised Units			
Communication Service	3,284,000	2,684,000	82
County Assembly			
Staff Affairs and Development	31,732,000	26,161,100	82

Source: *West Pokot County Treasury*

The development sub-programmes with the highest budget implementation rates were: General Administration, Planning and Support Services in the Department of Trade, Industrialisation, Energy and Cooperative Development at 75 per cent, Youth Vocational Training in the Department of Education and Technical Training at 67 per cent, and Climate Change in the Department of Water, Environment, Natural Resources and Climate Change at 61 per cent.

For recurrent sub-programmes, the top performers included: Gender, Youths and sports Development in the Department of Tourism, Youth, Sports and Culture at 92 per cent, Preventive Health Services in the Department of Health and Sanitation at 89 per cent, and Budget Formulation services in the Department of Finance and Economic Planning at 87 per cent.

Most Departments had zero absorption rates across the sub-programmes, for both development and recurrent activities.

3.47.16 Settlement of Trade Payables

As of 1st July 2025, the County reported trade payables totalling Kshs.330.57 million. This amount consisted of Kshs.309.07 billion from the County Executive and Kshs.21.50 million from the County Assembly. The trade payables from the County Executive comprised Kshs.221.13 million for recurrent expenditure and Kshs.87.13 million for development expenditure.

During the reporting period, the County Executive settled trade payables amounting to Kshs.53.55 million, comprising Kshs.43.10 million (80 per cent) for recurrent programmes and Kshs.10.45 million (10 per cent) for development programmes. On the other hand, the County Assembly settled trade payables amounting to Kshs.21.50 million, solely for recurrent activities. The outstanding trade payables as of 31st March 2026 were Kshs.260.74 million for the County Executive and nil for the County Assembly. Table 3.703 provides additional details of trade payables.

Table 3.703: West Pokot County Trade Payables as of 31st March 2026

		County Entity	Development (Kshs.)	Recurrent (Kshs.)	Total (Kshs.)
As at 1 July 2025 (End of FY 2024/25)	a	County Executive	87,943,529	221,127,464	309,070,993
		County Assembly	-	21,502,274	21,502,274
		Total	87,943,529	242,629,738	330,573,267
Trade payables scheduled to be settled in the first nine months of FY 2025/26 per the action plan	b	County Executive	78,029,077	219,344,860	297,373,938
		County Assembly	-	21,502,274	21,502,274
		Total	78,029,077	240,847,134	318,876,212
Amount paid in the first nine months of FY 2025/26	c	County Executive	10,453,232	43,101,359	53,554,591
		County Assembly	-	21,502,274	21,502,274
		Total	10,453,232	64,603,633	75,056,865
Trade Payables Incurred in the First Nine Months of FY 2025/26	d	County Executive	-	5,220,237	5,220,237
		County Assembly	-	-	-
		Total	-	5,220,237	5,220,237
Outstanding trade payables as of 31st March 2026	**e = a - c*b**	**County Executive**	**77,490,297**	**183,246,342**	**260,736,639**
		County Assembly	**-**	**-**	**-**
		Total	**77,490,297**	**183,246,342**	**260,736,639**

Source: *West Pokot County Treasury*

The County Executive and the Assembly submitted a trade payables payment plan, committing to pay Kshs.240.85 million and Kshs.78.03 million on recurrent and development expenditure, respectively, in the first nine months of FY 2025/26. The County Executive did not adhere to this payment plan, as it cleared Kshs.53.55 million. The County Assembly adhered to this payment plan, as it cleared Kshs.21.50 million.

Table 3.704 present the ageing of the total outstanding bills as of 31st March 2026 for the County Executive and Assembly, which were Kshs.260.74 million.

Table 3.704: West Pokot County Executive Trade Payables Ageing Analysis as of 31st March 2026

Category	Ageing analysis (Amount in Kshs.)				Total
	Under one year	1-2 years	2-3 years	Over 3 years	
Development Trade Payables	62,553,418	3,056,885	8,960,765	2,919,229	77,490,297
Recurrent Trade Payables (Goods & Services)	3,095,287	5,106,595	75,515,936	16,817,990	100,535,808
Recurrent Trade Payables (Salary Arrears and Statutory Deductions)	-	-	5,220,237	-	5,220,237
Recurrent Trade Payables (Staff Claims)	-	-	-	-	-
Total Recurrent Trade Payables	**3,095,287**	**5,106,595**	**80,736,173**	**16,817,990**	**105,756,045**

Category	Ageing analysis (Amount in Kshs.)				Total
	Under one year	1-2 years	2-3 years	Over 3 years	
Total Trade Payables	65,648,705	8,163,480	89,696,938	19,737,219	183,246,342
% of Total	35	4	48	10	100

Source: *West Pokot County Treasury*

As shown in Table 3.704, the total salary arrears and statutory deductions for trade payables amounted to Kshs.5,220,237, which represented 2 per cent of the total trade payables of Kshs.260,736,639 as of March 31, 2026.

3.47.17 General Observations and Recommendations

In the course of overseeing and reporting on the implementation of the West Pokot County budget, the CoB identified the following challenges, which hampered effective budget implementation;

i. The County Treasury's late submission of financial reports to the Controller of Budget affected the timely preparation of the budget implementation report, which was received on 3rd May, 2026.
ii. Low development performance in the review period as the County incurred Kshs.635.43 million on development activities, achieving a 23 per cent absorption rate.
iii. Fund Administrators failed to submit quarterly financial and non-financial reports to the CoB within the timelines provided by law, which is against the requirement of Section 168 of the PFM Act, 2012. The reports for the Emergency Fund and West Pokot County Assembly Car Loans and Mortgage Fund were not submitted to the CoB as of 15 April 2026.
iv. High level of trade payables, which amounted to Kshs.260.74 billion as of 31st March 2026. Furthermore, the County Treasury did not adhere to the trade payables payment plan.
v. Non-submission of copies of authorisation letters for opening commercial bank accounts as per Regulation 82(5) of the Public Finance Management (County Governments) Regulations, 2015.
vi. The County reported Kshs.56.88 million under "other operating expenses," accounting for 4 per cent of total operation and maintenance costs. The review revealed that several expenditure items were recorded with vague or generic descriptions, making it difficult to determine their nature and map them to the correct budget codes.

The County should implement the following recommendations to improve budget execution:

i. *The County Treasury should ensure the timely preparation and submission of financial reports to the Controller of Budget per the timelines prescribed in Section 166 of the PFM Act, 2012.*
ii. *The County should implement strategies to increase development expenditures in FY 2025/26.*
iii. *The CECMF should follow up to ensure Fund Administrators prepare and submit statutory reports in line with the PFM Act, 2012.*
iv. *The County Leadership should address the situation of trade payables to ensure that genuine bills are paid promptly in the remaining financial year. Further, compliance with the Trade Payables Action Plan should be enforced.*
v. *The County Treasury should ensure it submits copies of authorisation letters to the CoB for opening commercial bank accounts to enhance accountability and oversight.*
vi. *The County Treasury should adhere to the approved budget classification framework by ensuring that all expenditures are recorded under their specific budget codes rather than being aggregated under the "Other Operating Expenses" category.*

4. KEY OBSERVATIONS AND RECOMMENDATIONS

4.1. Introduction

This section outlines the issues that affected budget implementation and reporting during the first nine months of FY 2025/26 and provides recommendations to address them. The main cross-cutting challenges were as follows:

4.1.1 Underperformance in Own-Source Revenue Collection

Article 209(3&4) of the Constitution allows county governments to impose property rates, entertainment taxes, and any other taxes authorised by an Act of Parliament. Also the County may charge for the services provided

Observation: During the first nine months of FY 2025/26, county governments collected Kshs.53.88 billion in own-source revenue, including Facility Improvement Financing. This amounted to 54 per cent of the annual target of Kshs.100.13 billion. The shortfall created budget deficits and disrupted the implementation of planned activities. Performance by county was mixed: 2 counties collected 25 per cent or less of the target revenue, 13 collected between 26 and 50 per cent, 23 collected between 51 and 75 per cent, and 9 collected 76 per cent or more.

Recommendation: *County governments should strengthen revenue administration and collection during the remaining period of FY 2025/26 to reduce the revenue shortfall. Where annual targets are no longer attainable, they should revise them through a supplementary budget and align estimates to realistic in-year performance.*

4.1.2 Increased Overdependence on Facility Improvement Financing

The Facilities Improvement Financing Act, 2023, establishes a secure, efficient, and accountable framework for collecting, retaining, and managing revenue generated from services provided at public health facilities. It also promotes equitable financing for health facility improvements, including benefit sharing, in line with applicable laws.

Section 107(2)(f) of the Public Finance Management Act, 2012 requires County Treasuries to manage county public finances prudently and to contain fiscal risks.

Observation: During the first nine months of FY 2025/26, Facilities Improvement Financing accounted for 50 per cent or more of total local revenue in 34 counties, the same number reported in the first Nine Months of FY 2025/26. Although this performance is notable, it points to continued reliance on a single revenue source.

Recommendation: *County governments should sustain gains in Facility Improvement Financing while broadening other own-source revenue streams to reduce reliance on a single source and strengthen revenue resilience.*

4.2. High Levels of Trade Receivables

Regulation 63 of the PFM (County Governments) Regulations, 2015 requires a receiver of revenue to ensure that adequate safeguards are in place and applied to the prompt collection and proper accounting of all county government revenue and other public monies relating to county departments or agencies.

Observation: As of 31 March 2026, county governments reported Kshs.166.14 billion as outstanding receivables, comprising Kshs.106.06 billion (64 per cent) of ordinary OSR, Kshs.26.87 billion (16 per cent) for FIF, and Kshs.33.20 billion (20 per cent) for Equitable Share. The high level of receivables underscores persistent challenges in revenue mobilisation, which constrain liquidity.

Recommendation: *County governments should implement a focused receivables recovery plan that strengthens enforcement of own-source revenue collection, establishes clear credit control procedures, and improves public awareness of payment obligations. They should also strengthen revenue audits and*

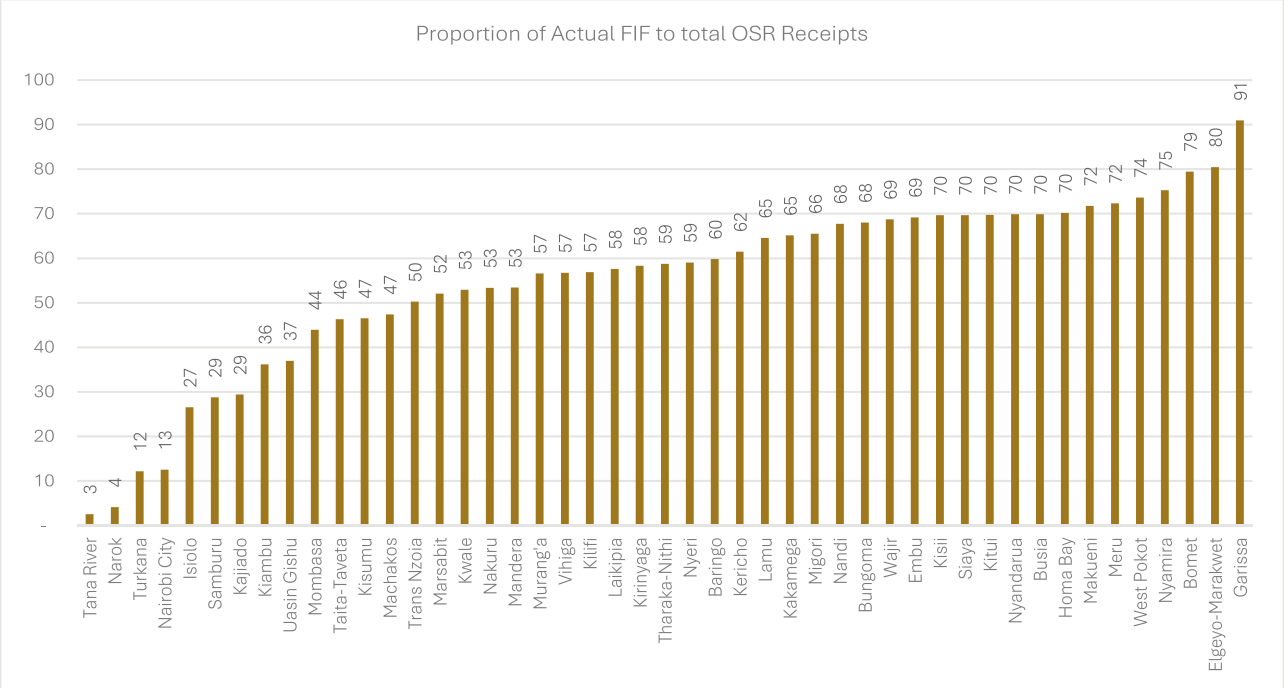
mapping, apply waiver protocols consistently, and improve SHIF reimbursement claims management through dedicated billing staff and digitised claims processing.

4.3. High Levels of Trade Payables and Inconsistent Reporting

Regulation 41(2) of the Public Finance Management (County Governments) Regulations, 2015 states: "Debt service payments shall be a first charge on the County Revenue Fund, and the Accounting Officer shall ensure this is done to the extent possible so that the county government does not default on debt obligations."

Observation: As of March 31, 2026, county governments had accumulated trade payables of Kshs.156.84 billion, according to the Controller of Budget. This was lower than Kshs.183.03 billion on June 30, 2025, Kshs.177.47 billion on September 30, 2025, and Kshs.163.74 billion on December 31, 2025. Although the downward trend during FY 2025/26 is commendable, the outstanding balance remains high at about 25 per cent of the cumulative county budget of Kshs.633.30 billion as of March 31, 2026. The high stock of trade payables continues to constrain service delivery and disrupt business operations.

We also observed inconsistencies in data submissions by some county governments, where the reported stock of trade payables as of March 31, 2026 did not align with the ageing analysis for the same date. These inconsistencies raise concerns about the reliability of the submitted data.



Recommendation: *County governments should prioritise the verification and settlement of eligible trade payables in line with legal requirements and implement the FY 2025/26 trade payables action plan. They should also reconcile payables records regularly to improve data accuracy and support timely payment planning.*

4.4. Non-Adherence to the First-in-First-Out Principle in the Settlement of Trade Payables

Regulation 41(2) of the Public Finance Management (County Governments) Regulations, 2015 states: "finalised and signed contracts are budgeted for first before new projects are considered by the accounting officer of the county government entity."

Observation: Regulation 41(2) of the Public Finance Management (County Governments) Regulations, 2015 requires county government entities to prioritise finalised contracts in their budgets before considering new projects. The Controller of Budget found inconsistent adherence to the first-in-first-out (FIFO)

principle outlined in Regulation 55(1)(b). Many County Executives and Assemblies are failing to prioritise the settlement of older, verified obligations, resulting in non-compliance.

As of March 31, 2026, although County Executives and Assemblies submitted trade payables reports, only twenty-nine provided action plans, revealing a significant gap in formal settlement strategies. Furthermore, compliance with quarterly tracking report submissions for settlement of verified trade payables remains low.

Recommendation: *The Controller of Budget recommends that all verified trade payables be treated as county government liabilities and settled promptly, regardless of administrative changes. Counties should prioritise settling older verified trade payables each financial year to mitigate fiscal and legal risks associated with non-payment.*

To improve transparency, each County Executive and Assembly should align its Trade payables Action Plan with the approved equitable share disbursement schedule. They should specify the portion of each disbursement allocated to settle verified trade payables and report on the corresponding payments.

Lastly, counties should restrict revisions to their trade payables stock during a financial year to well-documented and formally approved exceptions. A stable, auditable trade payables register should be maintained at the beginning of each financial year to enhance the credibility of action plans and progress reports.

4.5. Delay in Operationalisation of County Assembly Fund Accounts

Section 109 of the Public Finance Management Act (Cap. 412A), read together with Section 6 of the County Public Finance Laws (Amendment) Act, 2025, establishes the County Assembly Fund. Under these laws, the Clerk of the County Assembly administers the fund.

Observation: As of 31 March 2026, only two County Assembly Funds had been operationalised: Trans Nzoia and Marsabit. Other county assemblies were at different stages of operationalisation.

Recommendation: *Clerks of County Assemblies should work with County Executive Committee Members responsible for finance to fully operationalise County Assembly Funds by June 30, 2026. County governments should also include a clear disbursement schedule for transfers from the County Revenue Fund to the County Assembly Fund in their FY 2026/27 budget submissions.*

4.6. Low Expenditure on Development Programmes

According to Section 107(2)(b) of the Public Finance Management Act, 2012, at least 30 per cent of county governments' budgets should be allocated to development expenditures over the medium term. Additionally, Regulation 25(1)(g) of the PFM (County Governments) Regulations, 2015 stipulates that county governments' actual development spending should align with this requirement.

Observation: In the first nine months of FY 2025/26, county governments spent Kshs.72.07 billion on development activities, equivalent to 31 per cent of the annual development budget of Kshs.234.33 billion. Performance varied across counties: 19 counties recorded development absorption rates of 25 per cent or lower, 24 recorded rates between 26 and 50 per cent, and 4 recorded rates above 51 per cent.

Recommendation: *County governments should accelerate implementation and spending under development budgets during the remaining months of FY 2025/26 to improve absorption and support delivery of planned projects.*

4.7. Delay in Submission of Financial and Non-Financial Reports to the Controller of Budget

County governments must prepare and submit both financial and non-financial reports in accordance with Sections 166(4) and 168(3) of the Public Finance Management Act, 2012. They must submit these reports no later than one month after the end of each quarter. In addition, Section 16 of the Controller of Budget Act, 2016 requires Accounting Officers to cooperate with the Controller of Budget and respond promptly to inquiries.

Consistent with these requirements, the Controller of Budget set 15 April 2026 as the submission deadline for financial and non-financial reports for the review period.

Observation: Despite these legal requirements, some county governments submitted their financial and non-financial reports after the deadline. The delays slowed the finalisation of the County Budget Implementation Review Report for the first nine months of FY 2025/26.

Recommendation: *County governments should strengthen internal controls and reporting workflows to ensure quarterly financial and non-financial reports are submitted to the Controller of Budget on time and in full compliance with legal requirements.*

5. MONITORING AND EVALUATION OF COUNTY GOVERNMENTS' BUDGET IMPLEMENTATION FOR FY 2025/26

5.1. Introduction

Section 5(b) of the Controller of Budget Act, CAP 429, requires the Controller of Budget to ensure the prudent and efficient use of public funds by, among other functions, monitoring, evaluating, reporting, and recommending to the National and County governments measures to improve budget implementation.

To fulfil this mandate, the office of the Controller of Budget conducted field monitoring and evaluation visits in 47 County governments to assess the progress of budget implementation.

Picture 1: Migori County Governor, H.E. Ochilo Ayacko, and the Controller of Budget, FCPA Dr Margaret Nyakang'o, CBS, during the M&E Entry Meeting

5.2. Objectives of the Monitoring and Evaluation Exercise

The objectives of the monitoring and evaluation exercise were to:

i. Assess the status of implementation of the Facilities Improvement Financing Act of 2023.
ii. Monitor compliance with laws relating to the establishment and operations of Public Funds established by the County government.
iii. Assess compliance with the law on the banking arrangements.
iv. Assess the governance structures and performance of municipalities.
v. Assess the governance structures and performance of County corporations.
vi. Assess criteria for procurement of medical drugs and supplies.
vii. Unbundle expenditures categorised as "Other Expenses" under Operations and Maintenance.
viii. Determine the extent to which the projects funded in FY2024/25 have been implemented.
ix. Verify the status of implementation of projects funded under the Equalisation Fund.
x. Assess progress made by the Counties to implement recommendations from the previous monitoring and evaluation exercise.

5.3. Key Findings

5.3.1 Assessment of the Implementation of the Facilities Improvement Financing Act, 2023

The Facilities Improvement Financing Act, 2023, was enacted to enhance the financial autonomy of public health facilities by enabling them to retain and utilise internally generated revenue, thereby improving service delivery, accountability, and timely procurement of essential supplies.

A monitoring and evaluation exercise assessed its implementation at the County level and found that, despite its intended benefits, several challenges persist, hindering full operationalisation. These constraints continue to undermine the Act's objectives of strengthening health financing, accountability, and sustainability in public health facilities.

Picture 2: FCPA Dr Margaret Nyakang'o, CBS, inspects installed equipment at the Theatre Ward within the Awendo Mother and Child Unit at Awendo Sub-County Hospital, Migori County, as part of an oversight visit to assess health infrastructure development and service

5.3.2 Incomplete Operationalisation of Regulations

Section 29 of the Facilities Improvement Financing Act, 2023, states that "*a county government may enact legislation to give further effect to the provisions of this Act in the respective County*". *County Governments should expedite the finalisation, approval, and dissemination of FIF regulations and guidelines to provide a clear legal and operational framework for all stakeholders*. During the assessment, it was noted that some Counties had not enacted the necessary county-specific legislation, regulations, or policy frameworks to operationalise and contextualise the Act's implementation.

Recommendation

Counties should expedite the development and enactment of county legislation and accompanying regulations to establish a clear legal and operational framework for implementing the Facilities Improvement Financing Act, 2023. This will enhance governance, accountability, and effective utilisation of facility improvement funds.

5.3.3 Inadequate Sensitisation of the Facility-in- Charges on Reporting Requirements

The assessment revealed that in several Counties, Facility In-Charges have not been adequately sensitised on the requirements of Section 23 of the Facilities Improvement Financing Act, which requires account-

ing officers of health facilities to prepare and submit copies of annual financial statements within three months after the end of each financial year.

Recommendation

County Treasuries, in collaboration with the County Health Departments, should conduct structured capacity-building and sensitisation programmes for all Facility In-Charges on the provisions of the Facilities Improvement Financing Act, 2023, with particular emphasis on financial reporting obligations and timelines.

5.4. Status of County Public Funds

Section 110 of the PFM Act, 2012 grants power to CECM Finance to establish a County Emergency Fund to enable payments to be made for an urgent and unforeseen need for expenditure for which there is no specific legislative authority. Further, Section 116 of the PFM Act, 2012 allows County Governments to establish public funds with their lifespan capped at 10 years unless extended by the County Assembly. The following issues were noted during the monitoring and evaluation exercise.

5.4.1 Legal Tenure of County Public Funds

Regulation 197(1)(e) of the Public Finance Management (PFM) Act stipulates that the initial establishment of any County Public Fund must be approved for a maximum of ten (10) years. Upon the lapse of this period, continued existence and operation require fresh authorisation from both the County Executive Committee and the County Assembly. The monitoring and evaluation exercise revealed that several County Public Funds have already exceeded their legally approved tenure without renewal i.e. Kisumu, Baringo, Bomet, Embu, and Taita Taveta, Machakos Counties

Recommendation

The County Executive Committee Member (CEC) for Finance should urgently seek the requisite approvals from the County Executive Committee and County Assembly to either formally renew or wind up funds whose tenure has expired, in line with the provisions of the PFM Act.

5.4.2 Non-Compliance with Reporting Requirements for County Public Funds

The assessment noted that administrators of certain County Public Funds failed to submit copies of quarterly financial reports to the Controller of Budget as required under Section 168 of the Public Finance Management (PFM) Act, 2012. The quarterly reports are a critical accountability tool that enables the Controller of Budget to monitor the financial performance of County Public Funds and assess compliance with approved budgets.

Recommendation

The County Executive Committee members responsible for financial matters should ensure that fund administrators submit quarterly financial reports to the Controller of Budget in accordance with Section 168 of the Public Finance Management Act, 2012.

5.5. Assessment of Compliance with the Law on County Banking Arrangements

The monitoring and evaluation exercise reviewed the extent to which County Governments comply with Regulation 82(5) of the Public Finance Management (County Governments) Regulations, 2015, which requires the County Treasury to submit to the Controller of Budget a copy of the letter authorising an Accounting Officer to open a commercial bank account for County operations.

The assessment established that while Counties routinely open and operate commercial bank accounts

to facilitate specific operational transactions, many County Treasuries have not consistently submitted the required authorisation letters to the Controller of Budget.

Recommendation

County Treasuries should strictly comply with Regulation 82(5) of the Public Finance Management (County Governments) Regulations, 2015, by ensuring that for every commercial bank account opened under their mandate, a copy of the letter authorising the relevant Accounting Officer is promptly submitted to the Controller of Budget for records and oversight.

5.6. Assessment of the Municipalities and Urban Areas

Municipalities in Kenya are established under Article 184 of the Constitution of Kenya and operationalised through the Urban Areas and Cities Act, 2011, which formally creates municipalities as a category of urban areas under county governments and provides for their governance through municipal boards and managers. Under this legal framework, municipalities are mandated to deliver urban services, including development and maintenance of infrastructure such as roads, drainage systems, and street lighting; solid waste management; urban planning and development control; and management of markets and other trading infrastructure. OCOB assessed the performance of municipalities across the 47 counties and noted several issues that hamper effective service delivery and efficient utilisation of public resources. These included:

5.7. Weak Operational and Financial Autonomy

Municipalities operate with significant constraints on operational and financial autonomy despite being legally established as Semi-Autonomous Government Agencies under the Urban Areas and Cities Act. Although Municipal Charters delegate statutory functions, execution remains largely controlled by County Treasuries and sector departments, contrary to Sections 20 and 21 of the Act, which require empowered Boards and Municipal Managers to exercise executive authority.

Recommendation

The County Executive Committee Member (CECM) for Urban Planning should fully operationalise municipal autonomy by delegating financial and administrative authority in accordance with the law. Municipal Managers should be empowered to serve as fully authorised Accounting Officers with authority over budget execution, human resource deployment, and administrative decisions.

5.7.1 Centralised Payment Processing and Weak Budget Execution Controls

Sections 148 and 149 of the Public Finance Management Act, 2012, require the County Treasuries to support accounting officers of county government entities to discharge their roles effectively. Although municipalities have approved budgets, payment processing remains fully centralised under the County Treasuries. Municipal Managers approve expenditure in IFMIS, but the Treasury retains final authorisation and execution of payments. The absence of municipal-level financial tracking systems weakens financial reporting and low budget absorption.

Recommendation:

The County Treasuries should devolve full budget execution authority to Municipal Managers to enable them to implement approved work plans seamlessly, enhance financial accountability, and improve efficiency in service delivery.

5.7.2 Absence of Independent Asset Registers

Municipalities do not maintain independent asset registers; the County Treasury retains all assets. This undermines transparency, weakens asset planning and budgeting, and limits effective maintenance of municipal infrastructure. Sections 20 and 21 of the Urban Areas and Cities Act require municipalities to

manage and account for assets related to their delegated functions, which is essential for accountability and sustainable service delivery.

Recommendation:

Counties should facilitate the establishment of comprehensive municipal asset registers, including verification, valuation, and transfer of assets linked to delegated functions. Municipalities should be granted custodial responsibility over these assets to enhance transparency, improve maintenance planning, and strengthen accountability.

5.8. Status of Procurement of Medical Drugs and Supplies

The monitoring and evaluation exercise reviewed the status of the procurement of medical drugs and supplies across Counties, focusing on the adequacy of budgetary provision, the settlement of pending bills, and the status of outstanding payments to key suppliers, including the Kenya Medical Supplies Authority (KEMSA).

Picture 5: Central Drug Storage Facility at Wamalwa Kijana Referral Hospital, Trans Nzoia County

5.8.1 Inadequate Budget Provision for Health Commodities

In several Counties, budget allocations for the procurement of essential medical drugs and supplies were found to be insufficient when compared to the actual needs of public health facilities. For instance, a review of select Supplementary Budgets for FY 2024/25 showed that while Counties made provisions for health commodities, these allocations often fell short of the estimates required to meet morbidity workload data and the specific supply needs of primary healthcare facilities.

Recommendation

County Governments, through the CEC Members for Finance and Health, should use up-to-date morbidity and workload data when preparing health sector budgets. Evidence-based estimates should guide resource allocation to ensure adequate funding for the procurement of medical commodities and secure consistent supply chains in all health facilities.

Picture 6: The Controller of Budget, FCPA Dr Margaret Nyakang'o, is shown the telemedicine process (left) and, on the right, touring the central drug store at Muriranjas Level 4 Sub-county Hospital during the monitoring visit.

5.8.2 Accumulation and Delayed Settlement of Pending Bills

The assessment established that in many Counties, significant pending bills have accumulated for medical commodities that have already been supplied but not yet paid for. In numerous cases, only partial payments have been made, leaving substantial outstanding balances. This includes considerable unpaid obligations to the Kenya Medical Supplies Authority (KEMSA), which remains the principal supplier of affordable essential medical commodities to County public health facilities. The prolonged delays in settling these obligations have strained working relationships with KEMSA and other suppliers, eroded supplier confidence, and led to non-responsive bids in open tendering processes for the supply of medical commodities.

Recommendation

County Governments should ensure the timely settlement of all pending bills for medical commodities to restore supplier confidence and maintain stable supply chains for essential medical supplies. Counties should ring-fence dedicated budget allocations for clearing these arrears in the next budget cycle and adopt phased payment schedules where necessary.

5.8.3 Delayed Rollout of AfyaKe System and Reliance on Manual Stock Management Processes

The assessment noted that many counties continue to rely on manual inventory and stock management systems due to delays in the rollout and operationalisation of the AfyaKe Health Information System. The absence of an automated stock management platform limits real-time tracking of pharmaceutical inventories, weakens forecasting and demand planning, and increases the risk of inaccuracies in stock records i.e. Nairobi, Isiolo and Kwale Counties.

Recommendation

County governments, in collaboration with relevant national implementing agencies, should expedite the full rollout and operationalisation of the AfyaKe Health Information System across all health facilities. In the interim, standardised digital or semi-automated interim inventory management tools should be adopted to improve real-time stock monitoring and data-driven procurement decisions.

5.9. Unbundling of Expenditures under 'Other Operations and Maintenance

The monitoring and evaluation exercise included a desktop review of the County Governments' budget implementation reports. It revealed that many Counties continue to report significant expenditures under a broad category labelled 'Other Operations and Maintenance'. This practice results in limited disclosure and reduces the level of transparency required for effective oversight and public accountability.

The assessment found that when this category is unbundled, it often includes diverse and material items such as solid waste management services, legal fees, hire of heavy equipment, and payments to Community Health Promoters. Grouping these varied expenditures under a single, vague line item obscures the actual use of public resources. It makes it difficult for oversight institutions and the public to understand, track, and evaluate spending priorities.

Recommendation

County Governments should strengthen budget formulation, reporting, and disclosure practices by fully unbundling the 'Other Operations and Maintenance' expenditure category into clear, specific budget lines that accurately reflect the nature of the goods and services being procured.

5.10. Status of Implementation of Development Projects

The Public Finance Management (Public Investment Management) Regulations, 2022, provide a structured and transparent framework for public investment planning, appraisal, selection, and monitoring. Through the Public Investment Management Information System (PIMIS), the Regulations seek to ensure that only properly appraised and prioritised projects are included in budgets, thereby strengthening value for money, fiscal discipline, and alignment between planning and budgeting. However, implementation across county governments remains fragmented, as most County Treasuries have not fully established the required institutional structures, including functional Public Investment Management units and standardised appraisal mechanisms necessary for effective operationalisation of the framework. A sample of the projects monitored is presented below.

5.10.1 Miakhalo Tea Zone Roads

The project under the Roads and Public Works sector involves upgrading a 6.2-kilometre road through grading, gravelling, drainage works, bituminous surfacing, and the installation of road furniture, at a contract sum of Kshs.468.23 million. Commencing on 10th January 2024 and scheduled for completion by 9th January 2026, the project aims to improve road accessibility and transport efficiency within the Miakhalo Tea Zone.

During the monitoring visit, the project was found to be progressing slowly, with only earthworks completed on three sections, and overall progress standing at 20 per cent despite the nearing contract timeline. Contractor certificates worth Kshs. 71 million had already been raised, indicating a mismatch between financial expenditure and physical progress. Additionally, some completed earthwork sections had deteriorated, raising concerns over planning inefficiencies, potential cost escalations, and value for money.

Picture 8: Sections of Nyayo Tea Zone Road

5.10.2 Proposed Installation of Cabro-Paving Blocks and Street Lighting from Fruit Processing Plant (FPP) Access Road to the Main Road in Shimba Hills Municipality, Kwale County

This project entails the construction of a concrete perimeter wall around the fruit factory, cabro paving works, installation of three (3) floodlight masts, and the construction of a water house to facilitate a reliable water supply to the facility.

The scope of work has been substantially completed, with only the perimeter wall still ongoing. Upon full completion of this phase, the project will transition to Phase Four, which will focus on equipping the facility to enable full operationalisation of the fruit factory.

Picture 10: A Section of the Cabro Works within the Compound of the Fruit Processing Plant

5.11. Status of Implementation of Projects Funded under the Equalisation Fund

The Equalisation Fund, established under Article 204 of the Constitution of Kenya, is intended to accelerate development in marginalised areas by financing basic services such as water, roads, health facilities, and electricity, using 0.5% of national revenue to reduce regional disparities. However, implementation challenges persist, limiting its impact. In the first nine months of FY 2025/2026, the Controller of Budget authorised Kshs. 2.21 billion for disbursement, including Kshs. 356.87 million for pending bills under the Ministry of Water and Sanitation, and Kshs. 1.66 billion for development projects across 35 marginalised areas. Despite these disbursements, gaps remain in tracking project status and outcomes on the ground. A field monitoring and evaluation exercise was therefore undertaken to assess implementation progress, verify results against funds released, and identify challenges affecting the Fund's effectiveness in promoting equitable development.

5.11.1 Proposed Construction of Classrooms at Mikuwani Primary School in Kilimangodo, Lunga Lunga Constituency, Kwale County

The project entails the construction of two tiled classrooms at Mikuwani B Primary School in Kilimangodo, Dzombo Ward, Lungalunga Constituency, at a contract sum of Kshs.2.4 million. Although procurement had been initiated and the project recorded as complete, site verification confirmed that no works had commenced at the identified site. Further inquiries established that the project had been relocated to Mikuwani A Primary School, where construction works were ongoing at the foundation level. Mikuwani A Primary School, with an enrollment of 143 pupils and four PTA-employed teachers, is also unregistered with the Ministry of Education and has inadequate learning facilities, with some pupils lacking desks. The

monitoring exercise further noted unclear project oversight, with stakeholders attributing supervision to the area Member of Parliament rather than the County Government, as mandated under the Equalisation Fund framework. In addition, the project site lacked a signboard for publicity and accountability, contrary to transparency requirements.

Recommendation

The County Government should ensure education projects are properly planned using verified school data before implementation and that any changes in project location are formally approved and documented. Clear responsibility for project supervision should also be enforced in line with legal mandates to avoid confusion in oversight. In addition, all project sites should display clear signage showing key project details to improve transparency, accountability, and public awareness.

Picture 13: Modern Mikuwani B ECDE Centre, Kwale County

5.11.2 Proposed construction of Homa Bay County Arboretum and Recreational Centre

The project involves the construction of an Arboretum and Recreational Centre to conserve indigenous trees, promote environmental education and research, enhance climate resilience, and provide a green space for recreation and community activities. The project has a contract sum of Kshs. 29.78 million, commencing in FY 2024/25, with completion expected by December 2025. Expenditure incurred during FY 2024/25 amounted to Kshs. 29.78 million. The project is being implemented in three phases, with Phases I and II completed and fully paid for, while Phase III is planned for FY 2025/26 with a budget allocation of Kshs. 10 million.

5.12. Conclusion

The monitoring and evaluation exercises established that County Governments have made notable progress in implementing development programmes and strengthening service delivery across key sectors. However, several challenges continue to hinder effective budget implementation, including weak compliance with legal and regulatory frameworks, delays in project implementation, inadequate financial controls, accumulation of pending bills, weak institutional coordination, and capacity constraints in key service delivery areas. Further, gaps in planning, reporting, and oversight continue to affect accountability and efficient utilisation of public resources. Addressing these challenges through strengthened governance systems, enhanced compliance with public finance management laws, improved monitoring mechanisms, and the timely implementation of recommendations will be critical to promoting the prudent use of public resources and achieving sustainable service delivery outcomes across Counties. Details of the monitoring and evaluation reports for each county can be accessed on the website at www.cob.go.ke.

6. CONCLUSION

The County Budget Implementation Review Report is prepared and published in accordance with Article 228(6) of the Constitution. This Article requires the Controller of Budget (CoB) to submit a report on the implementation of the budgets of the national and county governments to each House of Parliament every four months. This report provides an overview of the budget implementation status for the first nine months of FY 2025/26. It presents an analysis of revenue performance and expenditure against annual targets and highlights key challenges encountered by County Governments during the reporting period.

The combined budgets of the forty-seven County Governments for FY 2025/26 amount to Kshs.633.30 billion, comprising 234.33 billion (37 per cent) allocated to development expenditure and Kshs.398.97 billion (63 per cent) for recurrent expenditure. During this reporting period, the own-source revenue collected by counties was Kshs.53.88 billion, representing 54 per cent of the annual target of Ksh.100.13 billion. The equitable share of revenue raised nationally and transferred to County Governments totalled Kshs.275.98 billion, representing 67 per cent of the approved equitable share of Kshs.415 billion. The cash balance for FY 2025/26 was Kshs.33.05 billion. Overall, County Governments had a total of Kshs.386.59 billion available for spending in the first nine months of FY 2025/26.

The total expenditure by County Governments was Kshs.331.65 billion, resulting in an absorption rate of 52 per cent of the annual County Governments' budget. Recurrent expenditure was Kshs.259.57 billion, representing 65 per cent of the annual recurrent budget, while development expenditure amounted to Kshs.72.07 billion, which corresponds to an absorption rate of 31 per cent.

The key challenges that negatively impacted budget implementation during this reporting period included subpar own-source revenue (OSR) performance, at only 54 per cent for all County Governments in the first nine months of FY 2025/26 and increased overdependence on Facility Improvement Financing. Other issues included a significant stock of trade payables and receivables by County Governments, low absorption of the development budget, and delays in submitting quarterly reports to the Controller of Budget.

The report provides appropriate recommendations to address the challenges. The Controller of Budget recommends that the County Executive and the County Assembly implement these recommendations to enhance budget implementation.

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